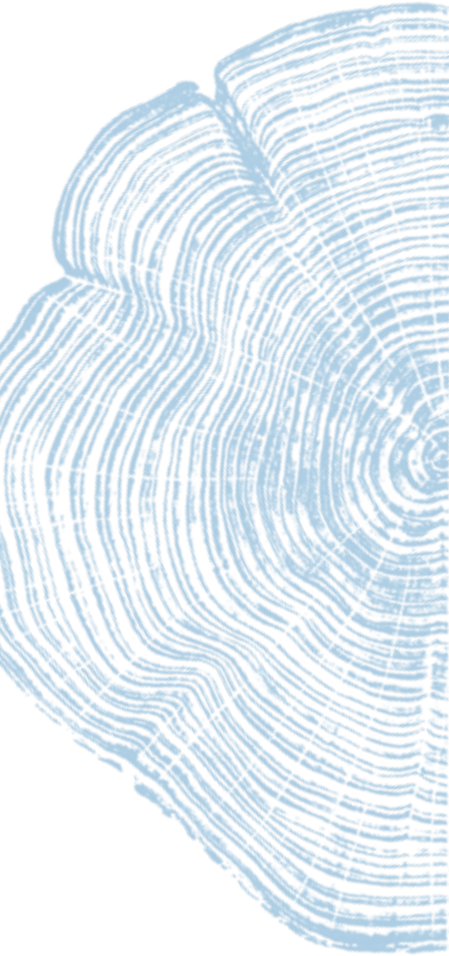


Phases of **GROWTH** / Faces of **GROWTH**



Phases of **GROWTH**

Faces of **GROWTH**



Every journey of progress carries many faces: strength, courage, resilience, renewal; and at HNB, these are not just qualities we admire, they are phases we have lived through, each shaping who we are today and who we continue to become.

This year marked a defining season of rooted growth, as we laid a deliberate foundation, reinforced our core, and set branching strategies in motion to strengthen our position and expand our impact. In the initial phases, we focused on consolidation, strengthening our foundation of trust and stability, deepening relationships, and securing our position as an industry leader. Now, as we enter a new transformative phase, we accelerate forward, driven by digital innovation and human potential.

As we evolve into a bank defined by the needs of our customers, in every phase, and through every face of change, HNB stands ready to empower Sri Lanka's next chapter of growth.

Growth, like nature, unfolds in phases. At HNB, our journey has evolved steadily over decades. Like a tree rooted deeply in the soil it serves, we are firmly rooted in the communities we support. Strengthened and sustained by the collective imprint of people, each phase of our growth is shaped by shared trust, purpose, and resolve. Today, the success of the individuals, communities, and enterprises we stand beside continue to define and deepen our story of progress.



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ABOUT THE REPORT

Report Profile

This Integrated Annual Report provides a holistic overview of the performance of Hatton National Bank PLC (hereinafter referred to as HNB or the Group), presenting a clear, balanced, and transparent account of the Bank's strategic priorities, governance and risk frameworks as well as resource allocation efforts, driving long-term value creation.

The current report for 2025 is the 12th Integrated Report published by HNB. Developed under the theme, Phases of GROWTH - Faces of GROWTH, 2025 report encapsulates HNB's progressive evolution across successive phases of strategic growth where the Bank has continued to operate effectively within an evolving external environment, while carefully balancing near-term imperatives with long-term strategic aspirations, thereby moving closer to realising its vision "To be the acknowledged leader and chosen partner in providing financial solutions through inspired people".

All previous integrated reports for the past 11 years, including the most recent report for 2025, have been made available for viewing and download, on the corporate website: www.hnb.lk

Scope and Boundary

The principle of Materiality underpins the determination of both the scope and depth of disclosures in HNB's Integrated Annual Report, thus ensuring that the information

presented is focused on matters that are most significant to the Bank's ability to create and sustain value over the short, medium, and long term.

Information contained herein relates primarily to the twelve-month period from 01st January 2025 to 31st December 2025, which coincides with the Bank's financial reporting period and includes post balance sheet events and information up to the Board approval on 25th February 2026. The financial information contained in the report relates to HNB PLC and its subsidiaries while non-financial information relates to the Bank unless explicitly stated in the report.



KEY IMPROVEMENTS CAPTURED IN 2025

Disclosures to align with SLFRS S2 standard

Improving connectivity of information, specifically between Stakeholder Engagement, Material Topics, Strategy and Resource Allocation



Chairman's Message - page 10
Managing Director/CEO's Review - page 13
Strategy and Resource Allocation - page 36
Business Line Review - page 48



www.hnb.lk

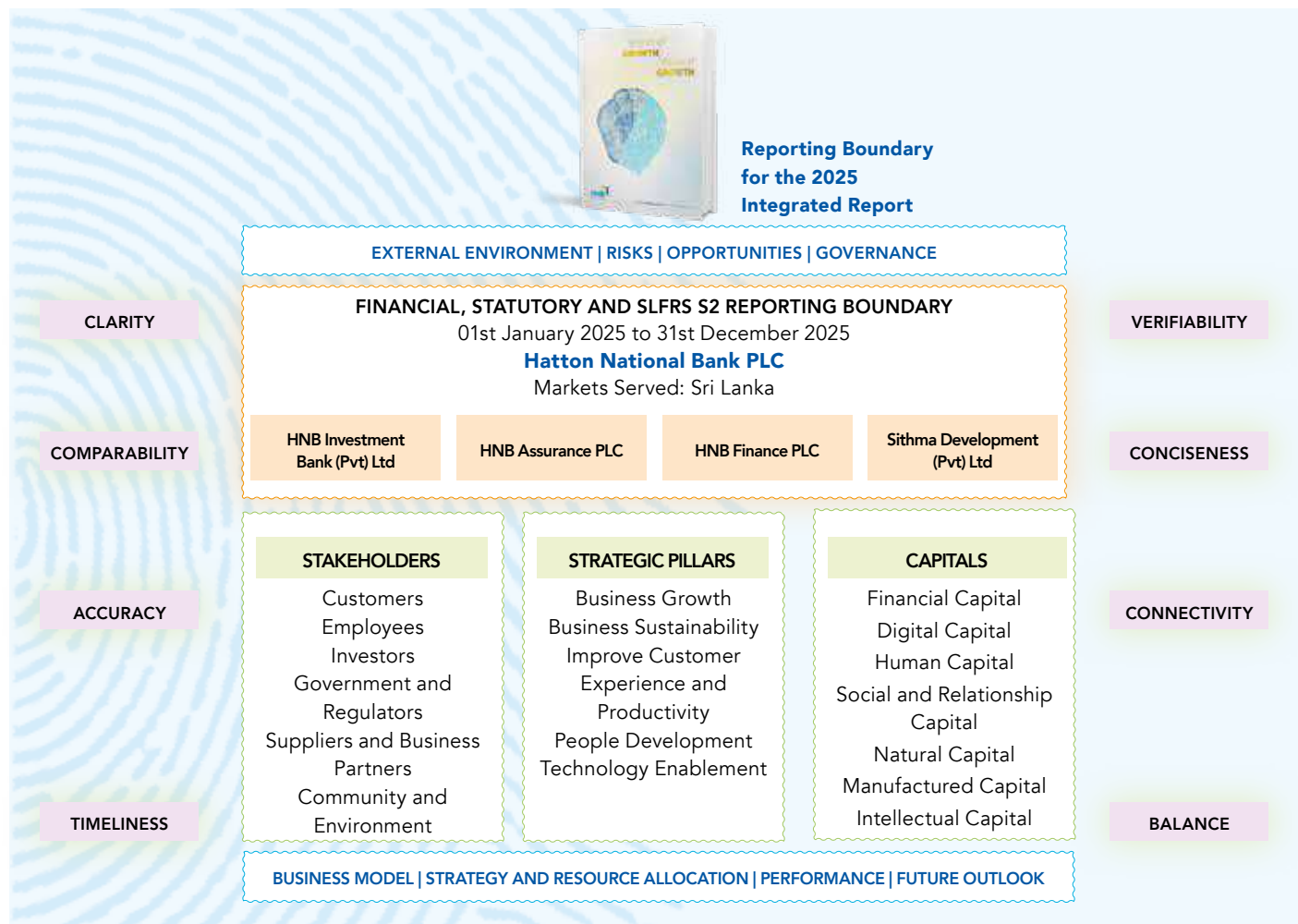


<https://www.hnb.lk/annual-reports/2025>



For the purposes of this report, 'Local' refers to activities, operations, and initiatives conducted within Sri Lanka.

ABOUT THE REPORT



Reporting Frameworks

Integrated Reporting (V)

- » IFRS Foundation's International<IR> Framework
- » "Guidelines for Presentation of Annual Reports" issued by the Institute of Chartered Accountants of Sri Lanka

Sustainability Reporting (V)

- » With reference to GRI (Global Reporting Initiative) standards, issued by Global Sustainability Standards Board
- » Sustainability Accounting Standards Board (SASB) for Commercial Banks
- » United Nations Sustainable Development Goals (SDGs)
- » United Nations Global Compact (UNGC)
- » SLFRS Sustainability Disclosures - S1 and S2 (M)

Financial Reporting (M)

- » Sri Lanka Accounting Standards issued by the Institute of Chartered Accountants of Sri Lanka
- » Companies Act No 07 of 2007
- » Listing Rules of the Colombo Stock Exchange

Governance, Compliance and Risk Reporting (M)

- » Corporate Governance Requirements stipulated under the Listing Rules of the Colombo Stock Exchange (CSE)
- » Securities and Exchange Commission of Sri Lanka Act No 36 of 1987 (as amended)
- » Code of Best Practice for Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka

(M) Mandatory Requirements

(V) Voluntary Adoption

Assurance

All components of this Integrated Annual Report, encompassing financial and non-financial disclosures, narrative commentary, and qualitative insights, have been subjected to a comprehensive review by the Board Audit Committee. This review process is intended to provide the Board with a high level of assurance on the integrity, completeness, and reliability of the information presented, and to ensure that the Report offers a balanced and transparent account of the Bank's performance, and progress to-date.

The Financial Statements for the year ended 31st December 2025 have been independently audited by KPMG, who have expressed their opinion on the fairness and accuracy of the financial disclosures in accordance with the applicable accounting standards and regulatory requirements. In addition, KPMG has provided limited assurance on the Content elements of the Integrated Report and selected sustainability indicators. The corresponding independent assurance statements are set out on pages 326 - 330 and 579 -587 of this Report.

Forward-Looking Statements

This Integrated Annual Report may contain forward-looking statements, including projections, estimates, targets, plans, and expectations regarding HNB's future financial performance, business strategy, and operational outcomes. These statements are based

on current assumptions, expectations, and information available to the Bank at the time of publication. However, actual results, performance, or outcomes may differ materially from those expressed or implied due to changes in market conditions, regulatory developments, economic factors, and other circumstances beyond HNB's control. Furthermore, HNB does not undertake any obligation to update or revise any forward-looking statements, whether as a result of new information, future events, or otherwise, except as required by applicable law. As such, readers are advised not to place undue reliance on these forward-looking statements.

Board Responsibility Statement

The Board of Directors of Hatton National Bank PLC takes full responsibility for the completeness, accuracy, and integrity of this report. The Board confirms that it has collectively reviewed its contents, supported by assurance reports from both internal and external providers. Based on this review, the Board is satisfied that the Integrated Report for 2025 effectively addresses all material issues impacting the Group's ability to create and sustain stakeholder value in the short, medium, and long term.

THE SEVEN CAPITALS THAT WE USE TO CREATE VALUE

-  Financial Capital
-  Digital Capital
-  Human Capital
-  Social and Relationship Capital
-  Natural Capital
-  Manufactured Capital
-  Intellectual Capital

STAKEHOLDER ENGAGEMENT

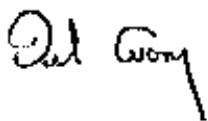
-  Customers
-  Employees
-  Business Partners
-  Government and Regulators
-  Communities
-  Investors

FEEDBACK

In line with the commitment to achieving reporting excellence, HNB welcomes feedback regarding this report and encourages readers to make use of the Investor Feedback Form available on page 613 to share their comments.



Nihal Jayawardene PC
Chairman



Devaka Cooray
Chairman,
Board Audit Committee



Damith Pallewatte
Managing Director/CEO

Colombo, Sri Lanka
25th February 2026

ABOUT HNB GROUP

Hatton National Bank PLC (HNB) is one of Sri Lanka's leading private sector banks, with a legacy spanning over 137 years. Established in 1888 as Hatton Bank to serve British planters in the country's central highlands, the institution was formally reconstituted as Hatton National Bank in 1970, signalling the Bank's transformation into a full-fledged commercial bank. Since then, HNB has continually developed its capabilities, expanding its reach, services, and impact across Sri Lanka's financial landscape.

Today, HNB stands for many things:

A Pillar of Strength

For over a century, HNB has stood as a pillar of strength and integrity, helping to preserve Sri Lanka's financial landscape through times of progress as well as during periods of challenge. Courage, resilience, and steadfast belief in the nation's potential remain the hallmarks of HNB's 137-year old legacy. Across generations and economic cycles, HNB has remained unwavering in its conviction to support enterprises, empower communities, and empower the dreams and aspirations of countless Sri

Lankans. It is this profound sense of duty that continues to fuel the Bank's passion to innovate, evolve and transform the future of banking in Sri Lanka.

A Bank for All Sri Lankans

HNB's 257-strong branch network along with another 861 Self-Service Machine (SSM) footprint underscore the commitment to empower households, SMEs, corporates, and institutions across every province to participate in economic activity and contribute meaningfully to national development.

A Domestic Systemically Important Bank

HNB stands as one of only three private sector banks in Sri Lanka designated as a Domestic Systemically Important Bank (D-SIB), a distinction that reflects not only HNB's scale and interconnectedness, but also its critical role in safeguarding national financial stability.

At HNB, this responsibility is undertaken with the utmost seriousness and discipline to serve as a steady anchor of stability and assurance in times of uncertainty,

while acting as a catalyst of growth and economic expansion during periods of recovery and progress.

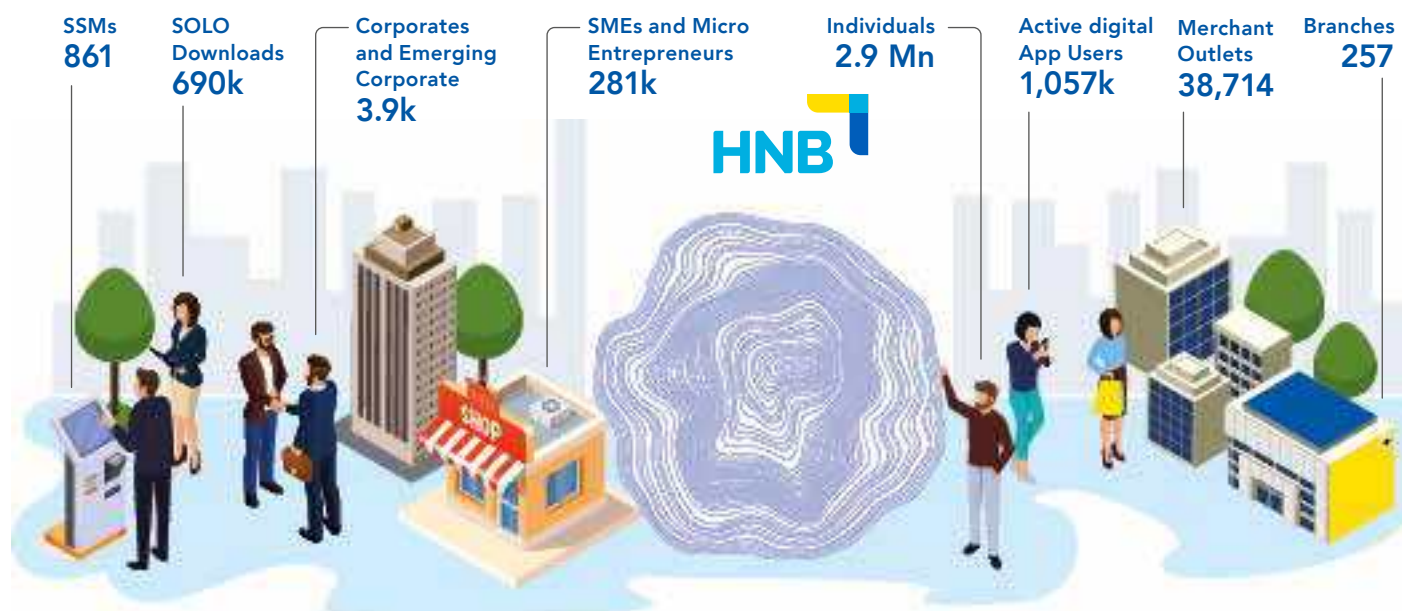
A Digital Disruptor

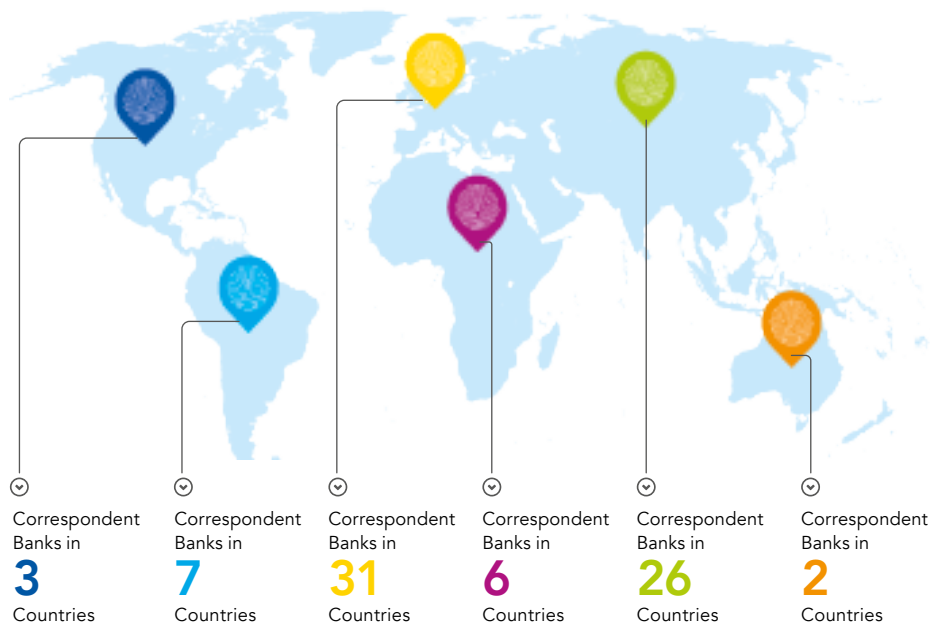
HNB's strategic investments in digital transformation positions the Bank as a digital disruptor within Sri Lanka's banking sector. By harnessing data, advanced analytics, and secure digital platforms, HNB is known for redefining customer experiences through the delivery of banking solutions that are faster, more intuitive, and seamlessly accessible across channels.

A Leader in Sustainable Banking

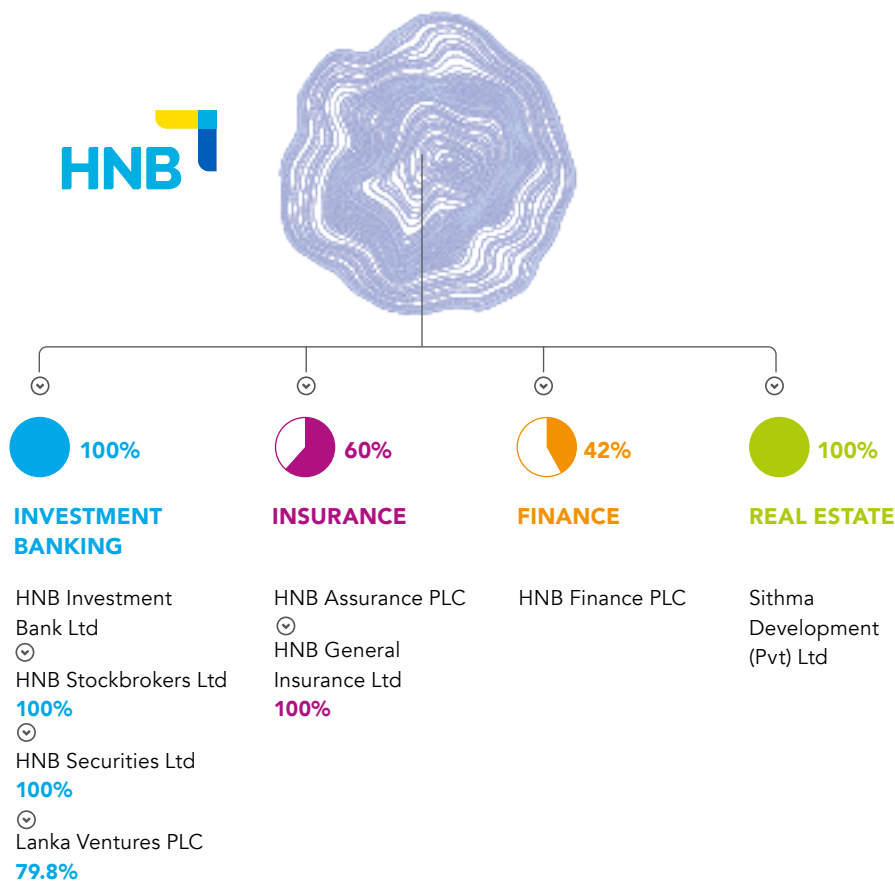
Sustainability is central to HNB's long-term vision. The Bank is committed to driving positive change by embedding sustainable practices across its operations and empowering customers to achieve growth responsibly. Through responsible lending that prioritises green and inclusive finance in alignment with national sustainability priorities, HNB strives to create enduring value for society, and safeguarding the environment for future generations of Sri Lankans.

Fostering a Connected Sri Lanka





Group Structure



DOMESTICALLY SIGNIFICANT

HNB's market share against Licensed Commercial Bank Assets and Liabilities.
(As at end of 2024 and Q3 2025)

Market Share

	Q3 2025	Q4 2024
Total Assets	10.7%	10.5%
Net Loans	11.9%	11.2%
Deposits	10.7%	10.7%
Equity	12.2%	12.2%

BANKING SERVICES

Wholesale Banking

Corporate Banking
Trade Finance
Treasury
HNB TxB
Islamic Banking
Custodian Services
Institutional Banking

RETAIL BANKING

Retail Banking
SME
Micro Finance

PERFORMANCE HIGHLIGHTS

	Bank			Group		
	2025 Rs Mn	2024 Rs Mn	Change	2025 Rs Mn	2024 Rs Mn	Change
Financial Capital						
A Resilient Performance						
Gross income	243,601	190,538	27.8%	300,748	228,477	31.6%
Net interest income	95,736	96,288	-0.6%	115,109	109,765	4.9%
Net fee and commission income	22,998	17,848	28.9%	24,995	19,149	30.5%
Total operating income	127,767	63,572	101.0%	174,875	97,124	80.1%
Impairment charges	-9,167	-78,988	-88.4%	-8,395	-77,874	-89.2%
Operating expenses	48,318	42,205	14.5%	85,815	71,129	20.6%
Operating profit before tax on financial services	88,616	100,355	-11.7%	97,456	103,869	-6.2%
Profit before income tax	71,492	79,821	-10.4%	79,486	84,099	-5.5%
Profit after tax	45,427	41,342	9.9%	49,813	44,840	11.1%
Financial Stability						
Shareholders' funds	270,321	231,479	16.8%	302,785	261,361	15.8%
Customer deposits	1,961,851	1,715,484	14.4%	2,017,732	1,750,259	15.3%
Gross loans and advances	1,513,960	1,159,740	30.5%	1,592,680	1,206,782	32.0%
Total assets	2,390,612	2,078,538	15.0%	2,638,237	2,209,174	19.4%
Total liabilities	2,120,291	1,847,059	14.8%	2,320,756	1,939,424	19.7%
Profitability						
Net interest margin (%)	4.61%	5.24%	-62 bps	5.24%	5.69%	-45 bps
Cost to income ratio (%)	37.82%	37.20%*	59 bps	49.07%	48.37%*	70 bps
Return on assets (%)	2.03%	2.06%	-3 bps	2.06%	2.11%	-5 bps
Return on equity (%)	18.11%	19.85%	-174 bps	16.87%	18.39%	-151 bps
Asset Quality						
Impaired loans (stage 3) ratio (%)	1.09%	1.88%	-79 bps			
Impairment (stage 3) to stage 3 loans ratio (%)	75.97%	74.42%	155 bps			
Investor Information						
Earnings per share (Rs)	79.44	72.30	9.9%	83.23	76.14	9.3%
Net assets per share (Rs)	472.74	404.81	16.8%	529.51	457.07	15.8%
Market value per voting share (Rs)	398.50	319.75	24.6%			
Total dividends per share (Rs)	20.00	15.00	33.3%			
Cash dividends per share (Rs)	15.00	15.00	0.0%			
Regulatory Ratios						
Core capital ratio (%)	16.85%	19.59%	-282 bps	18.65%	20.64%	-175 bps
Total capital ratio (%)	19.95%	23.96%	-408 bps	21.47%	24.70%	-286 bps
All currency liquidity coverage ratio (%)	227.75%	331.49%				

*Adjusted

NON-FINANCIAL HIGHLIGHTS

		2025	2024
Digital Capital			
Digital Customers	No (000's)	2,034	1,437
Active Users (Digital App and SOLO)	No (000's)	1,296	802
Total Number of Digital Transactions	Mn	63	47
Capex on Tech and Digital	Rs Mn	1,745	896
Digital Revenue	Rs Mn	1,833	1,422
Human Capital			
Employment Opportunities Created	No	5,645	5,577
New Recruits	No	654	768
Female Workforce	%	46	45
Investment in Learning and Development	Rs Mn	138	115
Average Training Hours per Employee	Hours	30	26
Retention Rate	%	95	93
Intellectual Capital			
Brand Equity (Brand Finance)	Rs Bn	19	25
Credit Rating	Fitch Ratings	AA-(lka)	A(lka)
Manufactured Capital			
Land and Building	Rs Mn	25,787	26,063
Capex (excluding Tech and Digital)	Rs Mn	1,351	979
Branches with Disability Access	No	216	213
Social and Relationship Capital			
Microfinance Customers	No (000's)	156	127
Financial Literacy Programmes	No	1,682	289
Participants of Financial Literacy Programmes	No	118,082	9,623
CSR Investments	Rs Mn	154	14
Adoption of IFC Performance Standards	Complied with	Yes	Yes
Natural Capital			
Carbon Footprint (Scope 1 and Scope 2)	tCO2e	7,016	6,357
Facilities Escalated to ESMS Unit for Evaluation	No	957	300
Amount of Credit Facilities Granted to Finance Environmentally Sustainable Projects	Rs Mn	79,791	46,257
No of Facilities Granted to Finance Environmentally Sustainable Projects	No	1,761	1,244
Contribution of loans Granted for Renewable Energy Projects for Avoidance of CO2 Emissions to the Atmosphere	tCO2e	14,835	Not reported
Paper Used	MT	77	83
Solar Energy Generated	GJ	6,894	7,135
Energy Requirements of the Branch Network which is met by Solar	%	12	13

* Scope 3 emissions are disclosed on page 140 of this report.

CHAIRMAN'S MESSAGE



The year under review marked a period of accelerated growth for HNB, as Sri Lanka's economic recovery gained meaningful traction in 2025. Drawing on its 137-year legacy of resilience and prudent leadership, HNB continued to play a pivotal role in mobilising capital across key sectors, enabling households, enterprises, and communities to participate fully in the nation's recovery journey.

Dear Stakeholders

It is my pleasure to present the Integrated Annual Report and Financial Statements of Hatton National Bank PLC (HNB) for the year ended 31st December 2025.

The year under review marked a period of accelerated growth for HNB, as Sri Lanka's economic recovery gained meaningful traction in 2025. Drawing on its 137-year legacy of resilience and prudent leadership, HNB continued to play a pivotal role in mobilising capital across key sectors, enabling households, enterprises, and communities to participate fully in the nation's recovery journey.

Sri Lanka Embarks on the Journey towards Growth and Resilience

Sri Lanka continued to build on the early signs of recovery visible in 2024, with the momentum deepening through 2025. Improved macroeconomic stability, strengthening domestic demand, and a gradual normalisation of trade flows supported a return to growth, with real GDP expanding at a healthy pace.

GROUP PROFIT AFTER TAX

Rs 49.8 Bn

GROUP TOTAL ASSETS

Rs 2.6 Tn

Conditions across key sectors showed steady progress, while cost pressures on households and businesses remained contained, as inflation moderated from the deflationary environment of late 2024 to low single digits during 2025.

The external sector also strengthened, with the current account estimated to have recorded a surplus for the third consecutive year. Higher foreign exchange inflows contributed to a modest and orderly depreciation of 5.6% in the market determined exchange rate.

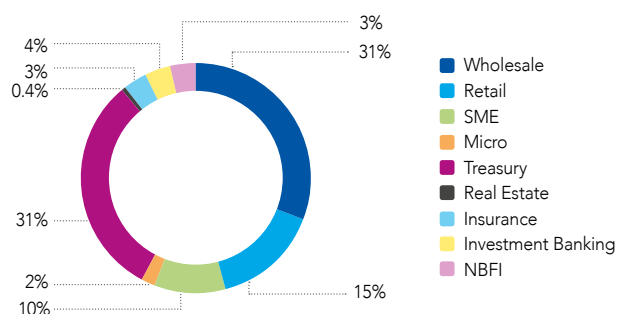
Against this backdrop, the Central Bank of Sri Lanka maintained its accommodative monetary policy stance throughout 2025 to support the strengthening of private sector credit appetite. Fiscal improvements and continued progress under the IMF programme further reinforced confidence in the country's recovery trajectory.

Banking Sector Performance and Progress on Sector Reforms

Favourable macroeconomic conditions materially strengthened the domestic financial sector. The banking industry recorded notable improvements in asset quality and sustained strong profitability in 2025. Liquidity and capital adequacy ratios remained comfortably above regulatory minimum thresholds, underscoring the sector's resilience and capacity to support sustainable economic growth over the medium to long term.

The impact of Cyclone Ditwah in December 2025 served as a stark reminder of the risks

Group Asset Mix



posed by climate related vulnerabilities. In response, the Central Bank directed financial institutions to extend immediate relief measures, including moratoria and targeted support for affected households and enterprises.

During the year, the Central Bank also advanced efforts to further enhance Sri Lanka's financial sector resolution framework, placing emphasis on institutional readiness and crisis management capabilities to safeguard system stability and avoid a recurrence of disruptions similar to those experienced during the 2022 crisis.

Consolidating HNB's Status as the Most Diversified Financial Services Conglomerate in Sri Lanka

As a Domestic Systemically Important Bank, HNB holds a consequential and trusted position within the national financial ecosystem. In 2025, the Bank continued to demonstrate leadership in supporting Sri Lanka's economic resurgence by sustaining credit flows and reinforcing confidence across priority sectors.

At the same time, HNB continued to leverage its unique structure as one of Sri Lanka's largest and most diversified financial services conglomerates, extending its impact well beyond traditional banking to meet the broader financial needs of the economy.

A significant milestone during the year was the landmark acquisition of the remaining 50% stake in Acuity Partners (Pvt) Ltd in

January 2025. Following the acquisition, the entity was rebranded as HNB Investment Bank (Pvt) Ltd, strengthening HNB's presence in investment banking, capital markets advisory, and structured finance. This move complements HNB's established strengths in insurance and financial services, creating enhanced synergies and enabling us to support customers throughout their financial journey.

Group Results

The period under review was one of consistent progress, reflected in the Group's robust performance for 2025.

Group assets surpassed the historic Rs 2.5 Tn mark by end September 2025 and closed the year at Rs 2.64 Tn, a 19.4% year-on-year expansion. The Bank remained the largest contributor to Group assets, with a share of 90.6%, reflecting a 15.0% year-on-year improvement.

The Group's deposit base grew by approximately Rs 267.5 Bn during the year, surpassing Rs 2.0 Tn as at 31st December 2025, with the Bank accounting for Rs 246.4 Bn of this growth.

Group Profit After Tax (PAT) reached Rs 49.8 Bn, a 11.1% year-on-year increase, while the Bank's PAT amounted to Rs 45.4 Bn, reflecting an 9.9% year-on-year growth.

On the strength of this performance, Group ROA and ROE remained healthy at 2.06% and 16.87% respectively. Continuing its track record of consistent returns,

CHAIRMAN'S MESSAGE

the Board declared a total final dividend of Rs 20.00 per share consisting of a cash dividend of Rs Rs 15.00 per share and a scrip dividend of Rs 5.00 per share, amounting to a total payout of Rs 11.4 Bn.

Board Matters

As custodians of the Bank's strategic direction, the Board approved the engagement of an external consultancy firm to develop HNB's Strategic Plan for 2026–2030. The Board worked closely with the consultants through the initial phases, including review of diagnostic findings and aspiration setting, ensuring alignment with the Bank's vision, market realities, and evolving stakeholder expectations.

Recognising the increasing importance of sustainability and the disclosure requirements mandated under SLFRS S1 and S2, the Board also initiated a comprehensive gap analysis to strengthen compliance with emerging reporting standards.

We were pleased to welcome Ms Dilani Champika Alagaratnam Goonatilleke to the Board with effect from 31st January 2025. An Attorney at Law by profession, Ms Goonatilleke brings extensive expertise in legal affairs, governance, risk, people management, and strategic leadership.

Continuing the momentum of the past two years, the Sri Lankan economy is expected to expand by around 4–5% in 2026. Yet the experience of the 2022 crisis underscores the importance of sustained resilience. The period ahead calls for stronger economic buffers, reinforced policy credibility, and enhanced capacity to absorb future shocks.

We also record with appreciation the valuable contributions of Mr W M M D Ratnayake, who resigned effective 30th May 2025, and Mr K A K Perera Gunawardena, who resigned effective 30th July 2025.

It is with deep sorrow that we note the passing of Mr P. R. Saldin in January 2026. Mr Saldin, who first served as an Alternate Director from July 2018 and later as a Non Independent, Non Executive Director from April 2021, enriched the Board with his wisdom, integrity, and exemplary professionalism. We remain profoundly grateful for his distinguished service.

Outlook and Way Forward for HNB

Continuing the momentum of the past two years, the Sri Lankan economy is expected to expand by around 4–5% in 2026. Yet the experience of the 2022 crisis underscores the importance of sustained resilience. The period ahead calls for stronger economic buffers, reinforced policy credibility, and enhanced capacity to absorb future shocks.

The Central Bank's Master Plan for the consolidation of banks and finance companies will play a vital role in strengthening risk management, improving operational efficiency, and building resilience across the financial system. Consolidation is expected to enable the sector to achieve scale, accelerate technological adoption, and promote financial inclusion while supporting healthy competition.

The launch of the CBSL's Sustainable Finance Roadmap 2.0 further highlights the imperative of balancing financial stability with long term sustainability. With the planned expansion of the Sri Lanka Green Finance Taxonomy in 2026 to include social criteria, banks will be called upon to channel capital in ways that advance national development priorities, climate resilience, and inclusive growth.

Additionally, the National Payment System Roadmap 2025–2027 will guide Sri Lanka's digital migration journey. Planned legal reforms and potential integration of

domestic payment systems with global networks will enhance cross border efficiency and competitiveness.

Anchored by strong fundamentals, disciplined governance, and a 137-year legacy of trust, HNB is well positioned to energise Sri Lanka's future. Guided by our Strategic Plan for 2026–2030, we will continue to strengthen core business verticals and leverage synergies across our subsidiaries to reinforce HNB's position as a fully fledged financial services conglomerate.

Acknowledgements

I extend my sincere appreciation to my colleagues on the Board for their guidance and commitment.

My heartfelt gratitude goes to the entire HNB management team, whose dedication, professionalism, and unwavering spirit underpin every achievement recorded in 2025.

I also thank our regulators — including the Central Bank of Sri Lanka, the Colombo Stock Exchange, the Securities and Exchange Commission, and the Ministry of Finance — for their consistent support and oversight.

To our shareholders, customers, business partners, suppliers, and all other stakeholders, thank you for your continued confidence, loyalty, and collaboration.

Looking ahead, HNB is poised to accelerate its growth trajectory and expand its impact over the next five years. I invite all our stakeholders to remain aligned with our vision as we strive to generate sustainable value for generations to come.



Nihal Jayawardene PC
Chairman

Colombo, Sri Lanka
25th February 2026

MANAGING DIRECTOR/ CEO'S REVIEW



2025 marked a year of decisive progress among many notable milestones, signalling the strength of our strategy and our commitment to long term value creation.

Dear Stakeholders

As Sri Lanka entered a new phase of recovery and renewed confidence in 2025, HNB advanced with clarity and purpose. This was a year of transformation, repositioning our balance sheet for growth, accelerating digital and operational reforms, and reaffirming HNB's leadership in the financial system. Against this backdrop, 2025 marked a year of decisive progress among many notable milestones, signalling the strength of our strategy and our commitment to long term value creation.

Supported by improving economic conditions and acceleration in private sector credit demand, HNB's Gross Loans and Advances expanded by Rs 354.2 Bn during the year, surpassing Rs 1.5 Tn in 2025, representing a robust 31% growth compared to 2024. The Bank's deposit base also strengthened, growing by Rs 246.4 Bn during the year to reach Rs 1.96 Tn as at 31st December 2025. The Bank focused its efforts on optimising the asset mix, redeploying funds from government securities into higher yielding loans. As a result, total assets recorded a growth of Rs 312 Bn to close the year at Rs 2.39 Tn.

Despite the strong growth in credit, net interest margins remained under pressure due to the Central Bank's accommodative monetary policy stance. Consequently, Net

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PROFIT AFTER TAX

Rs 45.4 Bn

TOTAL ASSETS

Rs 2.4 Tn

Interest Income (NII) declined marginally by 0.6% year-on-year largely due to the impact from investments in government securities.

However, non-fund-based income provided a strong counterbalance, with Net Fee and Commission Income growing by 28.9% year-on-year, driven by higher card usage and a sharp increase in digital transactions. In addition, Exchange Income rose to Rs 6.3 Bn during the year, benefiting from currency movements, compared to a loss of Rs 2.9 Bn recorded in 2024.

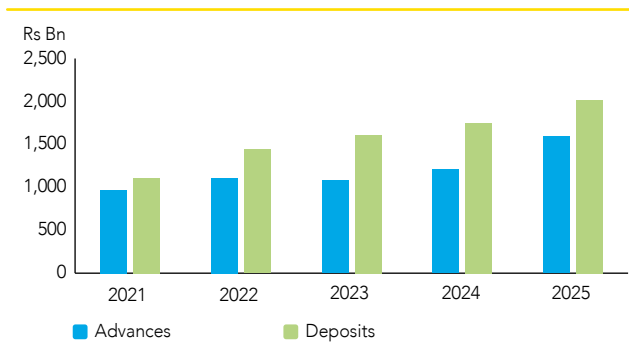
Consequently, the Bank reported a Profit After Tax (PAT) of Rs 45.4 Bn, up 9.9% from the Rs 41.3 Bn reported in the previous year.

In testament to the Bank's prudent risk management practices, disciplined underwriting standards, and focused recovery efforts, asset quality indicators improved significantly in 2025. This was evidenced by a notable improvement in the Stage 3 portfolio, with a 20% net reduction in overall Stage 3 portfolio and an impairment reversal of Rs 9.2 Bn. Consequently, the Net Stage 3 ratio improved to 1.09% as at end-December 2025, compared to 1.88% a year earlier, while the Stage 3 coverage ratio remained robust at 75.97%.

Summing up Sri Lanka's
Economic Reset

After five years of successive shocks and difficult yet essential reforms, Sri Lanka achieved a strong economic turnaround in 2025, signalling a long-anticipated

Growth



shift toward stability, resilience, and sustained recovery. GDP growth in 2025 outperformed initial expectations to reach a commendable 5.4% in the third quarter of the year, underscoring the resilience of the economy and the cumulative impact of disciplined policy measures implemented over recent years.

Anchored by well-managed inflation expectations and a progressive easing of policy rates, private sector credit growth gained significant traction during the year. Manufacturing, construction, and export-oriented industries emerged as key growth drivers. The services sector also recorded solid gains, supported by over 2.3 Mn tourist arrivals in 2025, while the steady remittance inflows, and prudent management of foreign exchange reserves restored investor confidence and reinforced the view that Sri Lanka's economic recovery is both credible and sustainable.

However, the positive trajectory of 2025 was disrupted late in the year by Cyclone Ditwah, one of the most severe climate events in Sri Lanka's recent history. The cyclone caused an estimated USD 4.1 Bn in direct physical damage, affecting close to 2 Mn people, damaging critical infrastructure, disrupting economic activity across the majority of the 25 districts, and imposing new fiscal and reconstruction burdens on the State. Its impact on transport networks, agriculture, housing, and small enterprises is expected to weigh on short term growth, strain vulnerable communities, and necessitate significant public expenditure for recovery efforts.

The Role of Banks in Driving a
True Sri Lankan Revival

As the national economy regains momentum, it is imperative that we as representatives of the local banking sector, look beyond cyclical recovery to understand the broader structural shifts reshaping the country's economic trajectory. Sri Lanka's recovery must therefore be anchored not in a return to the past, but instead driven by conviction to enhance future readiness.

Banks will be indispensable to this national effort. Beyond their traditional role as financial intermediaries, banks must act as strategic mobilisers of capital. It is vital that capital allocation is purposeful, aligned with national priorities, and focused on sectors capable of delivering meaningful economic impact. Accordingly, directing funding toward innovation, digital capabilities, and high-value manufacturing that would enhance Sri Lanka's competitiveness on the global stage, would be a key priority. Likewise strengthening the institutional ecosystem that supports a new generation of exporters and service providers will be essential to diversifying the Economy.

By streamlining capital flows into priority sectors, the banking sector can ensure that national savings are converted into productive, inclusive investments that underpin long-term, sustainable development. To achieve this, banks must embrace a more ambitious mandate as strategic intermediaries linking savers and investors with enterprises that require

growth-oriented capital. The objectives are clear: to rebuild livelihoods across the spectrum by connecting entrepreneurs, MSMEs, and corporates to finance and skills; thereby driving broad-based, inclusive growth that unlocks the economic potential of every region of the island, while strengthening national resilience through sustained support for transformational growth potential.

HNB's Strategic Imperatives for 2025

As a Domestic Systemically Important Bank (D-SIB), HNB is uniquely positioned to lead the paradigm shift required to power Sri Lanka's economic revival. However, I would like to reiterate that our commitment to the nation is not born of circumstance, it is driven by a clarity of purpose and an unwavering conviction to step forward to do what is required to keep the Sri Lankan economy moving forward, through cycles of growth, disruption, and recovery. It is this resolve that flows through HNB's DNA and defines who we are.

That said, I have to admit that every chapter of our journey thus far represents a deliberate investment in the nation's economic progress. Guided by this same sense of purpose, we took bold and decisive action in the year under review by partnering with a leading global strategy firm to design a comprehensive five-year transformation agenda, structured across two distinct phases. Phase I, which commenced in 2025, is anchored on a series of strategic imperatives to be executed over the next two years to lay a strong and scalable foundation that will serve as the launchpad for exponential growth over the next three-year time horizon, culminating in HNB's vision of becoming Sri Lanka's Largest Private Sector Bank by 2030.

Stabilising Sri Lanka's Agriculture Backbone

It is no secret that Sri Lanka at its core, is and has always been an agricultural nation. For centuries, rural agriculture has formed the backbone of our economy, sustaining livelihoods, shaping communities, and

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supporting national resilience. Regrettably however, this foundation has progressively weakened in recent decades, owing to underinvestment, outdated practices, climate volatility, and limited access to modern finance and technology. It is also very disheartening to see Sri Lankan farmers continuing to generate yields well below global benchmarks, not due to lack of effort, but because of entrenched knowledge gaps, resource constraints, and limited exposure to modern tools and techniques. I firmly believe the time has come to reverse these trends and restore agriculture to its rightful place at the heart of Sri Lanka's economic revival.

At HNB, we are proud to lead this transformation. Leveraging our unmatched reach, visibility, and deep rural presence, we focus on empowering farming communities, agri-entrepreneurs, exporters, youth, and women, essentially those who form the backbone of Sri Lanka's agriculture base.

Over the past year, we have built tangible momentum by empowering rural enterprise through HNB's flagship Sarusara programme. At the heart of Sarusara lies a commitment to agricultural modernisation through technology. Through strategic partnerships with leading agricultural machinery suppliers, HNB continues to champion labour-saving technologies that enables farmers to improve productivity, reduce dependency on manual labour, and stabilise income.

Outreach efforts through the Sarusara programmes have also shown us that

Sri Lanka is home to some remarkable changemakers: spice cultivators, fisheries operators, young exporters, designers, software engineers, and creative professionals. Each brings local insight, entrepreneurial drive, and the ambition to build sustainable businesses that uplift not only themselves, but entire communities. We believe our role as a bank is to identify these visionaries early, tailor financing and advisory solutions to their realities, and stand beside them as long-term partners in scale and growth.

In 2025, we moved forward with several pilot initiatives to lay the groundwork for precision agriculture, including drone-assisted crop monitoring, mobile soil-mapping services, and data-driven decision-making. Most notably, our soil-testing initiative focuses on transforming how farmers understand and manage their land to generate higher yields while reducing long-term soil degradation. Our goal through this initiative is to support 30,000 farmers over five years and empower them to become Agripreneurs.

Supporting Corporates to Scale with Confidence

Corporates are the engines of investment, employment creation, export growth, and innovation, all critical levers in moving the economy from recovery to stabilisation and onward to broad-based growth. In 2025, seeing Sri Lanka's corporate sector resume its anchoring role in driving economic expansion and stimulating activity across key industries, HNB strengthened its position as a strategic enabler of the

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next phase of corporate development. By actively evaluating opportunities across diverse sectors, we continued to channel funding towards expansion and diversification aimed at enhancing export competitiveness, productivity improvements, and sustained contributions to national economic growth.

In demonstrable evidence of our ability to mobilise capital towards growth, HNB was appointed as the Lead Arranger and Facility Agent for a landmark Rs 44.5 Bn debt syndication in 2025 to finance the flagship "Sobadhanavi", a 350MW LNG project. The transaction stands as the largest debt syndication ever concluded in Sri Lanka and brought together the highest number of participating local banks to date, which also highlights the Bank's structuring expertise, balance sheet strength, and the strong confidence placed in HNB by both borrowers and peer institutions.

Against the backdrop of improving market conditions and the gradual normalisation of trade flows, we also paid special attention towards nurturing emerging corporates, which I believe is essential for enhancing systemic resilience within the corporate sector. I am indeed pleased to see how our tailored financial solutions coupled with advisory support, is enabling emerging corporates to scale responsibly, and transition into more resilient, growth-oriented enterprises capable of contributing meaningfully to sustained economic expansion over time.

HNB has always taken great pride in leading the country's transition towards a cashless, digitally enabled economy. In 2025, we continued to build on prior investments in tech-driven innovation to further simplify financial interactions, unlock efficiency across value chains, and create scalable platforms that support sustainable economic growth.

Leading Sri Lanka's Digital Banking Evolution

HNB has always taken great pride in leading the country's transition towards a cashless, digitally enabled economy. In 2025, we continued to build on prior investments in tech-driven innovation to further simplify financial interactions, unlock efficiency across value chains, and create scalable platforms that support sustainable economic growth.

The launch of TxB TradeX in May 2025 marks a landmark step in strengthening our front-end digital ecosystem. A next-generation digital trade finance platform designed to fully digitise trade documentation and approval workflows, TradeX sets a new benchmark for digital trade services in Sri Lanka, thereby cementing HNB's leadership in modernising complex banking processes.

We continued to make meaningful progress in advancing financial inclusion by leveraging digital technology to overcome traditional entry barriers and expand access to formal financial services. In this context, we continued to drive innovation to transform the country's digital payments architecture with the launch of HNB Accept, a global-first, Visa-powered feature within the HNB Mobile Banking App, a solution designed to empower micro-entrepreneurs, SMEs, and individual sellers to participate fully in the digital economy with minimal barriers to entry. At the same time, we eliminated Merchant Discount Rates (MDR) for LANKAQR transactions, an initiative aimed at easing cost pressures to enable wider participation of SMEs and micro-entrepreneurs in the economy.

In yet another groundbreaking initiative, HNB was awarded an exclusive five-year contract by the Road Development Authority to introduce Sri Lanka's first card-based toll collection system, marking a departure from the cash-only model that has been in place since the inception of highway infrastructure in Sri Lanka. The initiative follows the official agreement signed and pilot launched in April 2025, between HNB and the RDA at the Ministry

of Transport, Highways, Ports, and Civil Aviation to implement a system enabling motorists to pay toll charges using credit and debit cards directly at highway booths signalling clear progress towards a cashless economy.

While these achievements certainly reinforce HNB's status as a pioneer, we understand true leadership demands responsibility, not only to innovate within our own organisation, but to actively champion the next generation of thinkers, builders, and disruptors who will not only define the country's future, but also position Sri Lanka at the forefront of the region's digital disruption.

Guided by this conviction, HNB took deliberate steps in 2025 to strengthen Sri Lanka's digital innovation pipeline. We hosted "Finnovation Lab 2025" at HNB Towers, bringing together over 150 undergraduates from more than 45 universities and institutions across the country. Organised in collaboration with the Sri Lanka FinTech Summit 2025, the Ministry of Digital Economy, the Ministry of Finance, and the Sri Lanka FinTech Forum, the programme provided hands-on exposure to fintech innovation while equipping participants with the skills, insights, and professional networks required to compete and lead in an increasingly digital global economy.

In line with our endeavour to elevate Sri Lanka's standing within the regional digital domain, HNB hosted the first-ever National FinTech Summit 2025, the first event of its kind in the country's, bringing together over 2,000 participants from 15 countries, including global fintech leaders and policymakers. The primary aim of this forum was to strengthen public-private partnerships that could potentially accelerate the country's digital financial transformation.

Enhancing Customer Experience and Trust

At HNB, our passion to serve customers drives everything we do. Our focus is not just on meeting their needs but understanding their challenges and

designing solutions to exceed their expectations. Over the past year, we spent a considerable amount of time refining our mobile banking platform to proactively address customer needs, which led to the introduction of the Instant Cash and Cash Against Deposit features as well as the facilitation of GovPay and traffic fine payments to make everyday banking simpler and more convenient.

To enhance accessibility and deliver a truly personalised experience, we launched a trilingual version of the HNB Mobile App, offering users the choice of Sinhala, Tamil, and English languages. Following the roll out, we have found that more than 80% of customers now bank in their native language. I am also very proud to note that with over 1 Mn active users, the HNB App continues to be among the top-rated banking apps in Sri Lanka.

As digital adoption grows, so does our obligation to ensure the highest standards of data protection and privacy. To that end, we made substantial investments in 2025 towards strengthening HNB's cybersecurity infrastructure as well as sourcing the best-in-class experts to safeguard our systems. Beyond this, we also formalised a data-sharing agreement within the broader HNB Group covering, HNB Assurance PLC, HNB General Insurance Ltd, HNB Investment Bank (Pvt) Ltd and HNB Finance PLC. The agreement developed in compliance with the Personal Data Protection Act, sets a strong precedent for ethical data management in Sri Lanka's financial sector and further reinforces HNB's commitment to trust, transparency, and the highest standards of digital integrity for all our customers and stakeholders.

As the country navigates economic recovery alongside escalating climate and social challenges, we firmly believe that advocating for Environmental, Social, and Governance (ESG) goes hand in hand with our role as a responsible financial institution and a trusted partner in Sri Lanka's long-term development. True to this commitment, HNB has systematically increased lending to sustainable businesses.

Building a Future-Ready Workforce

In my review for 2024, I outlined the launch of an ambitious Human Capital transformation designed to reinforce HNB's position as a modern, competitive employer and, ultimately, to elevate the quality of service delivered to our customers. After nearly a year of intense work, I am pleased to announce the successful completion of HNB's Human Resources framework, which now serves as the foundational strategy for building a high-performing, future-ready workforce.

Executed in partnership with two of the region's leading strategic consulting firms, the broad-based transformation initiative was aimed at fundamentally redesigning HNB's Job Banding and Grading structure and refreshing the Performance Management System, both in line with global standards, as well as upgrading Compensation and Benefits framework to reflect market standards and the evolving demands of the financial services sector.

This transformation was shaped by extensive Bank-wide engagement, including over 200 in-depth interviews and focus group discussions with executive employees representing all business verticals. A refreshed job-title architecture was also implemented to enhance clarity of career pathways, strengthen progression visibility, and ensure closer alignment with our institutional purpose as a partner in progress to our customers and the nation.

Our objective in driving this ambitious transformation is to ensure that each member of the HNB team is given a clearly defined career pathway, with transparent progression opportunities. We are proud to embark on this new chapter

in HNB's journey that will ensure every employee is empowered with the tools, support, training and motivation they need to uphold the legacy of excellence established by HNB over generations, while also continuing to push the envelope on innovation and service delivery.

Sustainability Advocacy

As the country navigates economic recovery alongside escalating climate and social challenges, we firmly believe that advocating for Environmental, Social, and Governance (ESG) goes hand in hand with our role as a responsible financial institution and a trusted partner in Sri Lanka's long-term development. True to this commitment, HNB has systematically increased lending to sustainable businesses.

We achieved a key milestone in advancing Sri Lanka's sustainability agenda through the Rs 10 Bn Sustainable Bond Issuance in December 2025 with the proceeds to be allocated towards eligible green and social projects. In a landmark transaction, HNB joined a consortium of international lenders to raise USD 1 Bn by way of a sustainability linked funding facility to drive the decarbonisation journey of a Singapore based entity.

Meanwhile, the urgency of building climate resilience was brought sharply into focus by the severe disruption caused by Cyclone Ditwah in December 2025 which highlighted critical climate-related vulnerabilities across HNB's value chain from Corporates and SMEs to Microfinance and Retail segments. From a financial perspective, these disruptions are anticipated to exert pressure on short-term cash flows. On a prudent basis the Bank has recognised an impairment provision on account of the impacted portfolio including an estimated value chain impact and remain committed to supporting the affected customers to revive their livelihoods.

As an immediate response, in addition to providing urgent support to our own employees and the community, the Bank stepped in to support national recovery

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efforts by contributing Rs 100 Mn to the Rebuild Sri Lanka Fund.

Learning from the disaster, we will continue to recalibrate our lending strategy by realigning portfolios, scaling up financing for climate-resilient infrastructure, and systematically integrating climate risk assessments into credit appraisal frameworks.

In 2025, HNB deepened its commitment to ethical and responsible banking through a landmark partnership with Transparency International Sri Lanka (TISL), launching a six-month nationwide initiative. This strategic collaboration strengthens governance across our value chain and across community stakeholders, while advancing national priorities on transparency, accountability, and integrity

Performance of Business Segments

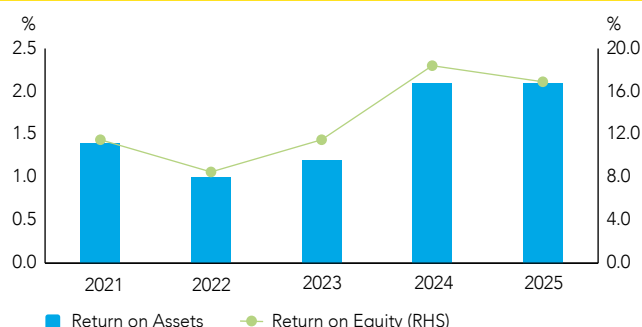
Retail Banking

Retail delivered broad based balance sheet expansion in 2025, with the retail lending portfolio up 33.0% year-on-year, supported by strong momentum across multiple product propositions. HNB reinforced its position in leasing as clear market leader among private commercial banks and sustained growth in housing finance, personal loans, and pawning, the latter moving toward market leadership among private commercial banks in the third quarter. We also accelerated our Cards franchise with market position rising from 5th to 2nd place again by the third quarter. On liabilities, disciplined deposit mobilisation supported a steady lift in savings, with retail deposits increasing by 12.5%.

Wholesale Banking

WBG posted solid growth, with the corporate lending book up 11.6% year-on-year, powered by a rebound in working capital and capex demand and a balanced mix of local and foreign loans, including several well structured syndications that diversified funding and sharpened client solutions. Trade finance volumes increased following the full removal of import restrictions, while portfolio de-

Returns



risking progressed with early settlements from select public-sector exposures. On liabilities, WBG deposits grew by 20.9% year-on-year to Rs 427.6 Bn, aided by targeted CASA initiatives, even as some corporates tactically reallocated surplus liquidity into alternative instruments in a low-rate setting.

SME Banking

Underpinned by a stabilising macroeconomic environment, easing inflationary pressures, and renewed business confidence, HNB's SME lending portfolio grew steadily throughout the current year. The resumption of vehicle imports in April 2025 also helped HNB's SME segment to capture a meaningful share of import-led trade activity.

Asset quality within the SME portfolio strengthened in line with the broader economic recovery, while deposits recorded a healthy growth, supported by the Bank's efforts to drive digital adoption and improve cash flow management among SME clients.

Microfinance

HNB's Microfinance segment gained significant momentum in 2025. Driven by sustained credit demand, the Microfinance loan portfolio expanded by a robust 54.0% year-on-year, strongly supported by micro leasing, driven by the uptake of agricultural machinery and equipment. Equally importantly, focused efforts to mobilise deposits contributed to a 25.1% year-on-year increase in deposits.

Treasury

HNB's Treasury operations for the year were influenced largely by the Bank's liquidity requirements. A significant portion of investments in local-currency government securities portfolio liquidated in response to the rapidly increasing private-sector credit demand. Consequently, HNB's government securities portfolio as at end-December 2025 contracted by 10.9% year-on-year.

Amidst moderate depreciation in the exchange rate and strong foreign exchange inflows, the Treasury adopted a multi-pronged approach to optimise returns. Accordingly, FX liquidity was channelled towards supporting local customer demand for trade as well as to finance cross-border transactions, while strategically increasing investments in offshore instruments to strengthen the Bank's FX income.

Performance of Subsidiaries

HNB Investment Bank (Pvt) Ltd

Completing its first year of operation as a fully owned subsidiary of the HNB Group, HNB Investment Bank consolidated its position as a trusted and strategic partner under the HNB banner.

The Company continued to make steady progress across all core segments, Corporate Finance, Stockbroking, and the Primary Dealer arm which delivered solid performances during the year. Despite this operational strength, HNB Investment Bank reported a 34.4% reduction in profitability, reflecting shifts in market conditions and business dynamics during the period.

HNB Assurance PLC

Driven by a notable increase in insurance adoption across Retail and Corporate segments, both the life insurance and general insurance segments of HNB Assurance PLC (HNBA) reported improved performances across all key metrics.

Bolstered by solid results from both verticals, HNBA outperformed the industry by reporting a 34.1% increase in Gross Written Premiums (GWP) for the year ending 31st December 2025. Likewise, a robust 25.9% improvement in profits was noted for the same period.

HNB Finance PLC

Against a favourable operating environment in 2025, HNB Finance PLC (HNBFI) pursued an aggressive growth strategy, focusing on collateral-backed lending which saw the Company's advances portfolio growing by 62.0% during the year 2025.

The company also focused on sustainable financing with emphasis on financial inclusion and electric vehicle financing and launched a product to support small scale farmers and women entrepreneurs.

Asset quality indicators also registered significant improvements in the year under review, in testimony to the combined impact of improving economic conditions alongside the Company's strategic shift away from unsecured lending.

Awards and Accolades

The awards and accolades that HNB continue to receive to-date, serve as a powerful affirmation of the values that guide our decisions and the consistency with which we execute our strategy.

We were honoured with The Bracken Award – Best Bank in Sri Lanka 2025 by The Banker Magazine (UK), marking an impactful return to the pinnacle of national banking excellence. Furthermore, the Bank was once again ranked among the world's top 1,000 banks by The Banker, reaffirming our global standing and the strength of our financial performance.

Complementing these achievements, HNB was recognised as Sri Lanka's Strongest Bank 2025 by The Asian Banker, reflecting the resilience of our balance sheet, prudence in risk management, and strength of our franchise.

HNB also took centre stage at the Best Corporate Citizen Sustainability Awards (BCCSA) 2025, organised by the Ceylon Chamber of Commerce (CCC), being crowned the Best Corporate Citizen in Sri Lanka for 2025.

In addition to these accolades, HNB was conferred Superbrand status for 2025, in recognition of its enduring reputation, consistent delivery of excellence, and sustained leadership in the banking sector, with the prestigious honour awarded by the global Superbrands organisation following an independent evaluation of brand strength. HNB was also recognised at the TAGS Awards 2025, receiving the Bronze Award for Overall Excellence in Corporate Reporting, the Silver Award in the Private Banks Sector category, and the Silver Award for Corporate Governance Disclosure in the Financial Services sector.

In 2025, HNB was also named the Best Retail Bank in Sri Lanka for the 15th time at the TAB Global Excellence in Retail Financial Services Awards. Sustaining leadership in retail banking over fifteen consecutive years, I believe, stands as a testament to our unwavering commitment to serve as a trusted partner in progress to every Sri Lankan.

The Bank was also recognised by Euromoney as Sri Lanka's Best Bank for Large Corporates, in recognition of the strength of HNB's corporate banking franchise and its capabilities across transaction banking, project finance, trade services, and cross-border financing outlining the clarity of purpose with which we have supported the country's corporate sector through every phase of the economic cycle.

These achievements build on our 2024 accolades as Best Bank in Sri Lanka and Best Bank for SMEs by Euromoney, underscoring HNB's leadership across the

full spectrum of banking: Retail, SME, and Corporate, thereby reaffirming HNB's role as a Domestic Systemically Important Bank in Sri Lanka.

Looking Ahead

HNB entered 2026 from a position of strength. Building on the solid foundations laid in 2025, our focus will be on strategically scaling core business verticals, deepening our relevance to customers, and reinforcing HNB's role as a catalyst for sustainable economic progress in Sri Lanka.

Within Wholesale Banking, we will sharpen our focus on capturing emerging opportunities across priority sectors by expanding our suite of solutions to deliver end-to-end support across the corporate value chain. At the same time, we will accelerate regional expansion and increase offshore exposure to diversify risk, reduce sensitivity to domestic systemic cycles, and build a more resilient and balanced portfolio. Sustainability-linked funding will remain a key priority, as we scale financing for green and sustainable projects in Sri Lanka and across the region, underpinned by stronger commercial capabilities and

As Sri Lanka works towards building a USD 15 Bn digital economy by 2030, HNB as a Domestic Systemically Important Bank will take the lead in enabling this transformation. We will continue to enhance the functionality of our digital channels to expand customers' transactional and account management capabilities, extend the mobile banking experience across segments, and further scale the digital payments ecosystem through the integration of next-generation solutions.

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a more rigorous, risk-based approach to lending. In SME Banking, our strategy will centre on value-chain financing to capture a larger share of the SME market. We will also look at opportunities to expand the scope of sustainability and climate financing, that deliver environmentally sustainable livelihoods, climate-resilient agriculture, and inclusive growth across the SME and microfinance segments.

A highly efficient and technology-enabled operating model will be a key catalyst in achieving these ambitious plans as we focus on rebalancing our work force towards direct business mobilisation. Achieving this will require deeper investment in workflow automation, more widespread adoption of machine-learning, AI-technology and predictive analytics across business processes. These efforts will be supported by continued strengthening of the Bank's data platform and architecture.

As Sri Lanka works towards building a USD 15 Bn digital economy by 2030, HNB as a Domestic Systemically Important Bank will take the lead in enabling this transformation. We will continue to enhance the functionality of our digital channels to expand customers' transactional and account management capabilities, extend the mobile banking experience across segments, and further scale the digital payments ecosystem through the integration of next-generation

solutions. At the same time, we will aim to pursue strategic collaborations with fintech partners to enable us to introduce innovative solutions for Corporate and SME clients and promote financial inclusion, among microfinance segments.

In tandem with the advancement of our digital ecosystem, we will focus more intently on strengthening data governance by expanding our enterprise data catalogue, enforcing data quality KPIs, and implementing robust access controls, retention standards, and privacy safeguards to ensure accountability and transparency, and safeguard stakeholder trust.

As we look ahead, I remain confident that the phases of growth we have planned for the next few years will culminate in delivering our vision to become Sri Lanka's Largest Private Sector Bank by 2030.

Appreciations

I wish to take this opportunity to express my heartfelt appreciation to the Chairman for his steadfast leadership and the Board of Directors of Hatton National Bank PLC for guiding HNB's ongoing progress and transformation. Their clarity of vision and commitment to strong governance continue to be instrumental in shaping the Bank's long-term strategy and resilience.

I would also like to acknowledge the exceptional dedication and professionalism of the entire HNB team, the "HATNA

Family". It is your collective resolve that enables HNB to consistently deliver value to our customers and stakeholders.

I extend my sincere appreciation to the Central Bank of Sri Lanka, the Securities and Exchange Commission of Sri Lanka, the Colombo Stock Exchange, the Ministry of Finance, and the Institute of Chartered Accountants of Sri Lanka for their continued guidance, cooperation, and constructive engagement, which play a vital role in strengthening the stability and integrity of Sri Lanka's financial system.

Finally, a special word of gratitude to our customers, shareholders, and all other stakeholders for the trust you continue to place in HNB. Your enduring support has been the cornerstone of every phase of our journey thus far and will remain the driving force behind the next phases of HNB's journey in the years ahead.

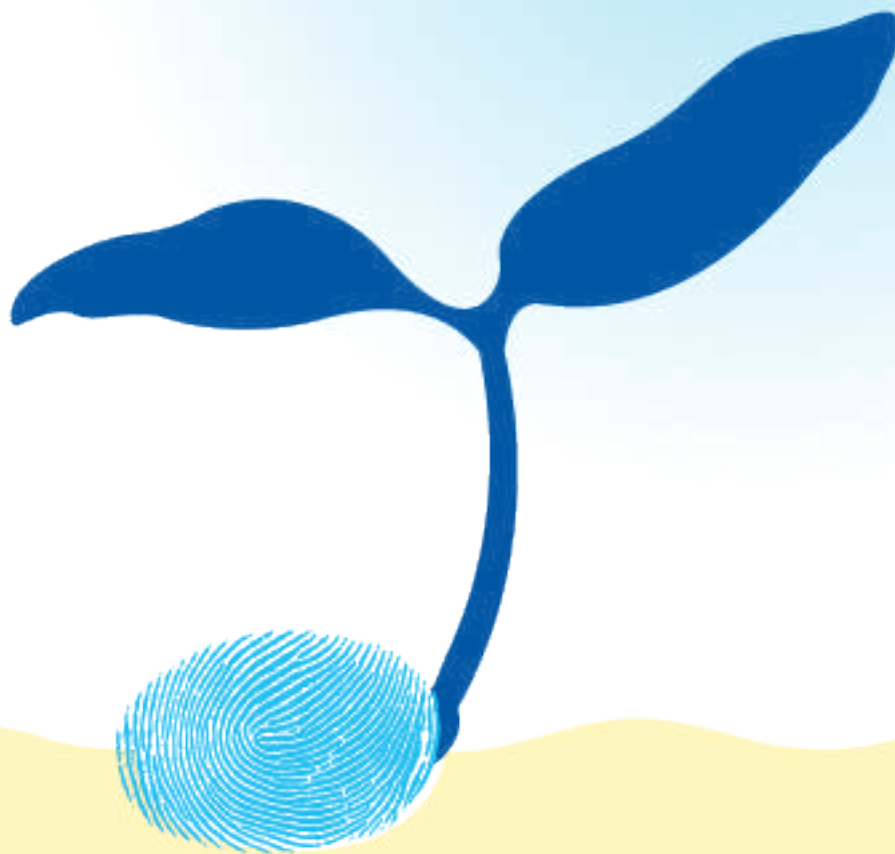


Damith Pallewatte

Managing Director/Chief Executive Officer

Colombo, Sri Lanka
25th February 2026

STRATEGY

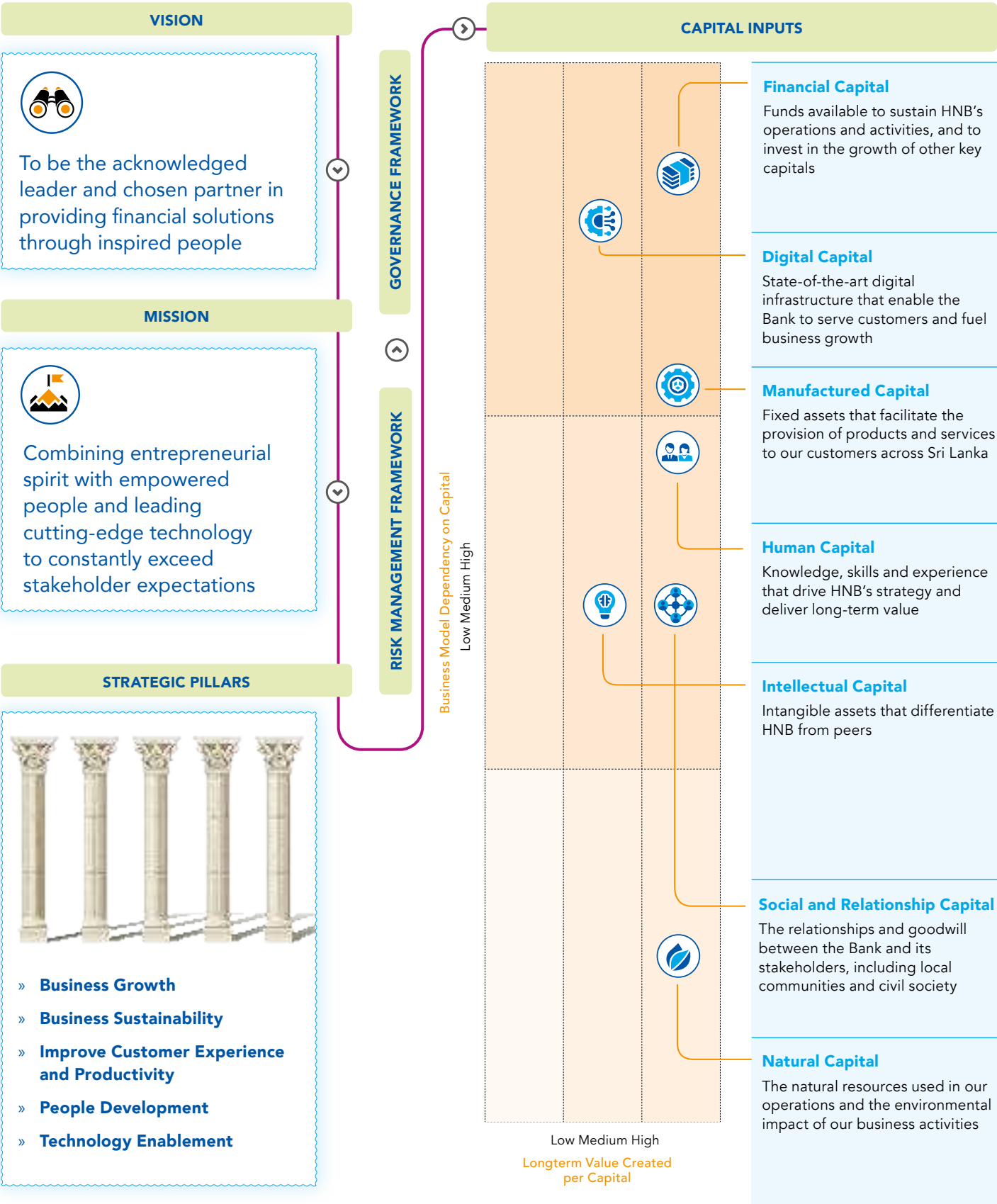


Phases of **POTENTIAL**

Germination marks the moment before growth becomes visible, when potential stirs beneath the surface under the right conditions. Hidden to the human eye, the seed begins to respond and take shape, giving rise to a new beginning formed through patience and purpose

At HNB, decades of progress have been cultivated through insight, discipline, and long-term intent. By strengthening that foundation and aligning strategy with the realities of a changing environment, the Bank enables growth that is resilient from the outset, able to rise steadily, withstand uncertainty, and mature with confidence.

VALUE CREATION MODEL



	CORE BUSINESS ACTIVITIES	OUTPUTS FOR HNB	CAPITAL TRADE-OFFS	STAKEHOLDER OUTCOMES	STAKEHOLDERS IMPACTED	SDGs
» Deposit base Rs 1.96 Tn » Shareholders' equity Rs 270.65 Bn » Senior and Subordinated debt Rs 37.1 Bn	 Wholesale Banking  Treasury Operation  Micro Finance  Insurance  Finance  Investment Banking Real Estate	» Year-on-year deposit growth - 14.4% (8.6% - 2024) » CASA ratio - 35.3% (34.2% - 2024) » PAT - Rs 45.4 Bn (Rs 41.3 Bn - 2024)	Strengthening Financial Capital through higher retained earnings enhances long-term stability and resilience; however, it may moderate near-term shareholder returns and postpone certain growth-oriented investments	» Earnings per share (EPS) - Rs 79.44 (Rs 72.30 - 2024) » Return on Equity (ROE) - 18.11% (19.85% - 2024) » Dividend per share - Rs 20.00 (Rs 15.00 - 2024) » Total dividend payout - Rs 11.4 Bn (Rs 8.6 Bn - 2024) » Rs 104.3 Bn paid as deposit interest to customers (Rs 114.8 Bn - 2023) » Rs 43.2 Bn taxes paid (Rs 59.0 Bn - 2024)	  	
» Dynamic digital front end comprising 5 online and mobile platforms » Robust and scalable back-end IT systems to facilitate day-to-day operations in line with strategic ambitions		» Digital transaction volumes - 63.1 Mn (46.6 Mn - 2024) » Active digital users - 1.3 Mn (0.8 Mn - 2024)	While digital capability enhancements require significant initial investment and introduce heightened cybersecurity considerations, they deliver enduring benefits in efficiency, scalability, and competitive strength, ultimately supporting sustainable profitability	» Convenient 24/7 - 365 day access to HNB Self On-Boarding platform » Queueing time – 10 min 07 sec (10 min 40 sec – 2024)	 	
» Network of 257 island-wide branches » 861 SSMs		» Total loans and advances - Rs 1.51 Tn (Rs 1.16 Tn - 2024) » Year-on-year asset growth - 15.0% (7.5% - 2024) » Year-on-year increase in transaction volumes through SSMs - 11.4%	Although investments in Manufactured Capital require substantial upfront expenditure, they deliver long-term benefits through enhanced productivity and operational efficiency, ultimately strengthening profitability	» Increased access to finance » 34 new SSMs » 24 new off-site CRMs	  	 
» Comprising a diversified workforce of over 5,600 employees across Sri Lanka » 124 strong faculty of internal trainers		» Employee retention rate - 94.6%	Prioritising Human Capital development enhances workforce capability and engagement; however, it may divert resources from other strategic investments and carries the risk of employee attrition following significant training outlays	» Rs 22.9 Bn paid as monetary benefits to employees (Rs 21.2 Bn - 2024) » 654 new recruits » 604 promotions	 	    
» 137-year-old brand legacy » Business ethics » Standards and certifications		» Best Bank in Sri Lanka 2025 by The Banker Magazine » Sri Lanka's Strongest Bank 2025 by The Asian Banker » Best Retail Bank in Sri Lanka 2025 by The Asian Banker » Best Bank for Large Corporates 2025 by Euromoney » Best Corporate Citizen Sustainability Award 2025 by the Ceylon Chamber of Commerce	Although developing Intellectual Capital demands continuous financial and organisational investment, targeted initiatives markedly enhance innovation, competitive advantage, and long-term organisational resilience	» Trust and reliability of transacting with the Sri Lanka's top commercial bank » ZERO incidents of non-compliance	   	 
» Providing access to financial products and services to all customer segments - Retail, Corporate, SME and Micro Finance customers » Providing assistance through capacity building and financial literacy programmes		» Overall customer CSAT - 87.35% » Branch CSAT - 86.17%	While building customer trust and robust stakeholder relationships bolsters reputation and supports long-term value creation, the resulting benefits are typically gradual and not easily measurable	» 1,682 Financial literacy programmes » Rs 154.2 Mn on strategic CSR investments	 	       
» Embedding ESG risk management practices into our business activities to support sustainable lending » Managing our direct and indirect environmental impact by promoting responsible operations		» 7,016 tCO2e Carbon Footprint - Scope 1 and Scope 2 (6,357 tCO2e - 2024) » 6,894 GJ of solar energy generated (7,135 GJ 2024) » 31% reduction in paper waste (45% - 2024)	While Natural Capital investments may elevate short-term expenditure, they contribute to long-term organisational resilience, improved regulatory alignment, and stronger stakeholder trust	» 1,761 facilities granted to finance environmentally sustainable projects (1,244 - 2024) » Rs 79,791 Mn credit facilities granted to finance environmentally sustainable projects (Rs 46,257 Mn - 2024) » 921 Trees saved due to paperless operations (1,627 - 2024)	 	       



A leaf represents the visible expression of a living system, shaped by intricate veins that carry nourishment, sustain balance, and enable growth. Each vein forms part of an interconnected network that supports the whole, ensuring strength, continuity, and renewal. In nature, the leaf reflects how life is sustained through connection and flow, illustrating a value creation model rooted in integration, responsibility, and continuity where growth is purposeful and interconnected.

At HNB, value is created through a clear and integrated approach. Guided by purpose and driven by people, our systems work in alignment to deliver sustainable outcomes. Each decision, relationship, and innovation strengthens long-term resilience and shared progress. Through this model, we convert insight into meaningful impact, ensuring that the value we create today continues to support communities and build a stronger future.

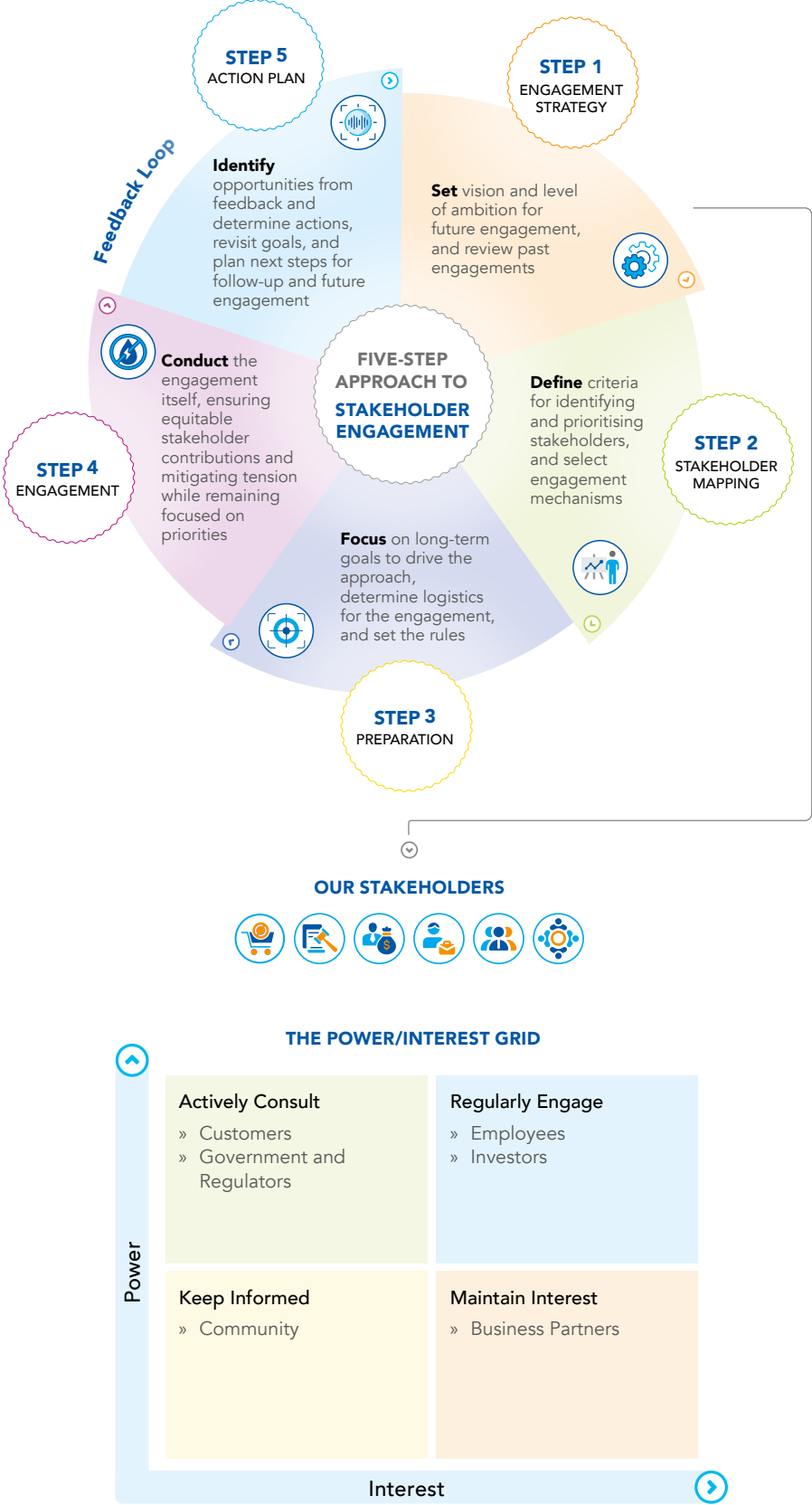
Hatton National Bank PLC
Strategy

STAKEHOLDER ENGAGEMENT

HNB acknowledges that meaningful stakeholder engagement is vital to fulfilling its responsibilities as a Domestic Systemically Important (D-SIB) Bank, including safeguarding the stability of the country’s financial system, fuelling real economic growth, and ensuring upliftment of society at large. Given its systemic significance, the Bank prioritises open, transparent, and constructive relationships with all key stakeholders, including customers, employees, investors, government and regulators, suppliers, business partners, and the wider community.

Regular and structured engagement with these stakeholder groups helps to better understand evolving expectations, assess potential impacts of its operations, and align the Bank’s strategy, risk and governance practices with broader economic, social, and environmental priorities.

In practice, outcomes from the stakeholder engagement process form an important part of the Bank’s decision-making activities at multiple levels. The Board and its Committees actively consider stakeholder perspectives in policy formulation, strategy setting, and oversight of material issues. At the operational level, interactions with customers through digital platforms, branches, and complaint-handling mechanisms informs service improvements, drives product design and innovation. Likewise, continuous and ongoing dialogue with employees is critical to enhancing employee motivation and satisfaction, while engagement with regulators strengthens compliance and reinforces HNB’s leadership within the local banking sector.





CUSTOMERS

Over **3.1 Mn** Retail, Corporate, SME and Microfinance customers across Sri Lanka

Authorities Responsible for Engagement

- » Branch/Regional Managers
- » Department Heads
- » Chief Operating Officer
- » Chief Executive Officer

Material Matters

- » Customer Experience
- » Brand Reputation
- » Inclusive Growth and Responsible Lending
- » Innovation

Importance to HNB



CRITICAL

Strength of Relationship



STRONG

Engagement Channels	Key Concerns	HNB's Response in 2025
» Dedicated 24x7 contact centre (continuous and ongoing) » Relationship Managers (continuous and ongoing) » Frontline sales teams (continuous and ongoing) » On-line and in-person surveys (as needed) » ATL and BTL Promotional Campaigns (as needed) » Corporate Website (continuous and ongoing) » Social Media (continuous and ongoing)	» Flexibility in repayments of loans due to economic stress » Access to markets and opportunities for growth » Innovative and relevant products » Sound financial advice » Access to finance » Superior customer experience	Expanding the Product Range » Tied up with leading property developers to unveil enhanced home loan solution » Introduced Sri Lanka's first World Elite Metal Mastercard » Partnered with authorised vehicle agents to promote flexible leasing » Partnered with machinery importers to introduce special financing and benefits for agri customers » Expanded Transaction Banking Suite with 24/7 Trade Finance Access via TxB TradeX Enhancing Customer Experience » Launch of HNB Accept in partnership with Visa International » Tied up with the RDA to facilitate card payment on expressways » Expanding the network of Self-Service Machines (SSM's) Improving Customer Communication » Launch of the trilingual version of the HNB Mobile App

Outcomes

Overall Customer Satisfaction Score – **87.4%**

Branch Customer Satisfaction Score – **86.2%**



More information

Social and Relationship Capital - **page 96**

STAKEHOLDER
ENGAGEMENT



EMPLOYEES

5,600+ employed
at HNB across Sri Lanka

Authorities Responsible for Engagement	Material Matters	Importance to HNB	Strength of Relationship
» Chief Human Resources Officer » Chief Operating Officer » Chief Executive Officer	» Employee Well-being, Talent Attraction, Development and Retention	 HIGH	 STRONG

Engagement Channels	Key Concerns	HNB's Response in 2025
» Proactive engagement by HR, including through dedicated HR Business Partners for communication with regional/branch teams (continuous and ongoing) » Meetings with union representatives (monthly) » Employee Experience Officer and other processes for communicating grievances (as needed) » Performance appraisals (annual) » Employee town halls (quarterly) » Internal communications (as needed) » CEO newsletters (as needed) » HATNA magazine (quarterly)	» Fair remuneration and benefits » Opportunities for career growth » Training and development » A caring and nurturing workplace » Health and safety	Talent Acquisition and Growth » Recruitment - 654 new recruits Remuneration » Rs 23 Bn paid to employees Performance Evaluation » The performance of 100% of employees was subject to annual review » 604 employees promoted Capacity Building » 166,746 total training hours Gender Equality » 23 females in leadership roles

Outcomes

Employee Retention Rate – 94.6%



More information

Human Capital - page 84



INVESTORS

Hatton National Bank PLC is owned by **12,989 Voting** and **14,231 Non-Voting** individual and institutional shareholders

Authorities Responsible for Engagement

- » Company Secretary
- » Chief Financial Officer
- » Chief Growth Officer
- » Chief Executive Officer
- » Board of Directors

Material Matters

- » Economic Stress and Uncertainty
- » Credit Risk
- » Financial Stability and Integrated Risk Management
- » Brand Reputation
- » Ethics, Governance and Compliance

Importance to HNB



HIGH

Strength of Relationship



STRONG

Engagement Channels	Key Concerns	HNB's Response in 2025
» Annual General Meeting (annual) » Annual Report (annual) » Quarterly Financial Statements (quarterly) » Press releases (as needed) » Announcements through the Colombo Stock Exchange (as needed) » Dedicated investor relations webpage (continuous and ongoing) » Dedicated media centre on the corporate website (continuous and ongoing) » Quarterly investor webinar (quarterly) » Investor relations meetings and roadshows (as needed) » Corporate Website (continuous and ongoing) » Social Media (continuous and ongoing)	» Stable financial performance » Dividends » Share price and liquidity » Timely communication of price sensitive information » Transparency and openness at the AGM and upholding shareholder rights	Profitability and Financial Stability » HNB recorded strong overall performance for 2025 with robust profitability, above industry asset quality, strong capital buffers and sound liquidity levels. Dividend » The Board of Directors has declared a final dividend of Rs 20.00 per share with the total dividend payout amounting to Rs 11.4 Bn Share Performance » HNB was one of the best traded stocks within a high of Rs 433.00 and a low of Rs 267.00 during the year. The voting share price increased by 24.6% during the year while the non-voting share price increased by 24.1%

Outcomes

ROE – **18.11%**

DPS – **Rs 20.00**



More information

Financial Capital - **page 72**

Investor Relations - **page 570**

STAKEHOLDER ENGAGEMENT



GOVERNMENT AND REGULATORS

The Central Bank of Sri Lanka, Colombo Stock Exchange, Securities and Exchange Commission of Sri Lanka and other regulatory and governing bodies

Authorities Responsible for Engagement

- » Company Secretary
- » Corporate Management
- » Chief Executive Officer
- » Board of Directors

Material Matters

- » Economic Stress and Uncertainty
- » Credit Risk
- » Financial Stability and Integrated Risk Management
- » Artificial Intelligence, Technology, Data Security and Future Readiness
- » Ethics, Governance and Compliance
- » Inclusive Growth and Responsible Lending
- » Climate Action

Importance to HNB



HIGH

Strength of Relationship



STRONG

Engagement Channels	Key Concerns	HNB's Response in 2025
» Engagement with regulators by corporate management and the Board (as needed) » Timely regulatory reporting (as mandated) » Annual CBSL Audit (annual) » Press releases (as needed) » Responses to queries and reviews carried out (as needed)	» Contributing to resolution of multiple crises » Support for the stability of the financial sector » Effective implementation of new directions and regulations » Partnering sustainable development initiatives of the government » Timely statutory reporting	Economic Development » 15.0% year-on-year growth in assets Risk Management » Impaired loans (stage 3) ratio (%) - 1.09% » Impairment (stage 3) to stage 3 loans ratio (%) - 75.97% Capital Position » HNB's Tier1 CAR as at 31st December 2025 – 16.85% (regulatory minimum – 9.50%) » HNB's Total CAR as at 31st December 2025 – 19.95% (regulatory minimum – 13.50%) Compliance » Complied with the new provisions under section 9 of the CSE listing rules » Complied with the Banking Act Direction No 05 of 2024 (Corporate Governance for Licensed Banks) Data Security » Comprehensive efforts to comply with the PDPA



More information

Corporate Governance Report - **page 166**
Financial Capital - **page 72**

Outcomes

ZERO incidents of non-compliance of regulatory requirement



SUPPLIERS AND BUSINESS PARTNERS

Over **280 active suppliers** who provide support in ensuring business continuity and business partners who facilitate business diversification and expansion

Authorities Responsible for Engagement

- » Vice President - Services
- » Chief Business Operations Officer
- » Chief Operating Officer
- » Chief Executive Officer

Material Matters

- » Business Network Relationships

Importance to HNB



MODERATE

Strength of Relationship



GOOD

Engagement Channels

- » Supplier registration process (annual)
- » Request for proposals (as needed)
- » Feedback (as needed)
- » MoUs (as needed)

Key Concerns

- » Opportunities to grow
- » Fair terms of trade
- » Timely payments
- » Constructive feedback to improve

HNB's Response in 2025

New Relationships

- » 159 new suppliers on-boarded

Outcomes

52% suppliers have maintained relations with HNB for over 2 years



More information

Social and Relationship Capital - **page 96**

STAKEHOLDER
ENGAGEMENT



Society and the
wider community

Authorities Responsible for Engagement	Material Matters	Importance to HNB	Strength of Relationship
» Chief Executive Officer » Regional/Branch Managers » HNB Sustainability Foundation » Sustainability Management Committee	» Inclusive Growth and Responsible Lending » Climate Action » Innovation	 MODERATE	 GOOD

Engagement Channels	Key Concerns	HNB's Response in 2025
» Strategic CSR initiatives (as planned) » Interactions with frontline sales teams (continuous and ongoing) » ATL and BTL promotional campaigns (as needed) » Corporate website (continuous and ongoing) » Social media (continuous and ongoing) » Grievance hotline/email (as needed)	» Financial inclusion » Opportunities for sustainable development » Access to affordable financial services and products » Environmental and social responsibility » Job opportunities and youth empowerment	» MSME development initiatives, 18 Sarusara events, 1,652 financial literacy programmes and capacity building initiatives. » Driving sustainable business growth in line with UN SDGs and strategic CSR as outlined in the Social Capital report » Launch of Women Entrepreneurship proposition » 957 projects screened by the ESMS unit for environmental and social factors » 280,900+ MSME customers supported and creating many for indirect job opportunities

Outcomes
156,000+ Microfinance customers served



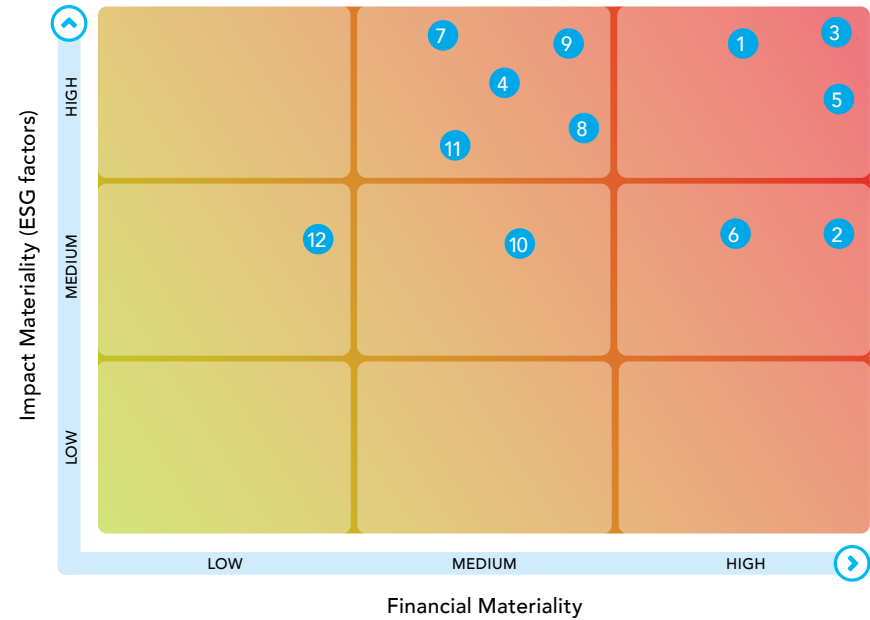
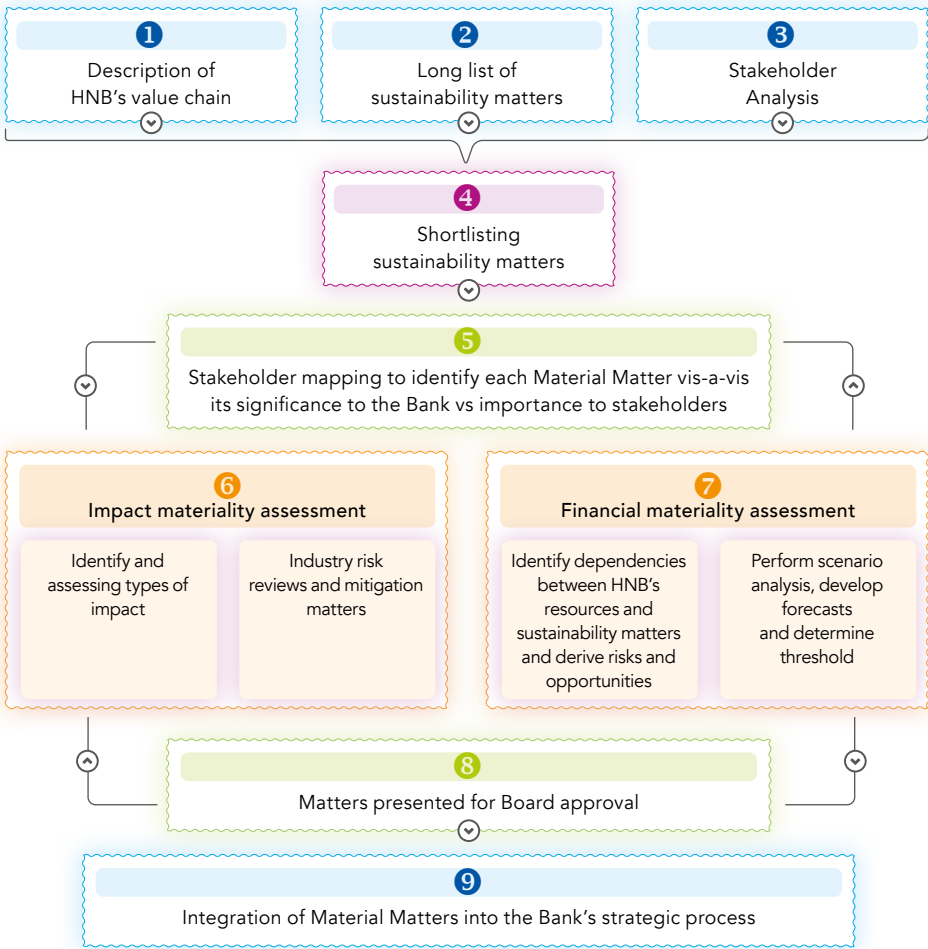
More information
Social and Relationship Capital - page 96
Natural Capital - page 110

MATERIALITY ASSESSMENT

HNB applies a formal and structured process to identify and prioritise Material Topics that are relevant to the Bank’s operations, risk profile, and stakeholder obligations. The determination of Material Topics is a comprehensive process involving a detailed analysis of the Bank’s value chain together with the assessment of outcomes from stakeholder engagements, to establish a long list of potential matters.

Further refinements are introduced through the application of the Double Materiality assessment methodology to evaluate Material Topics from both an impact and financial perspectives. Impact Materiality assesses the actual and potential environmental, social, and governance (ESG) impacts arising from the Bank’s activities on stakeholders, while Financial Materiality evaluates the extent to which identified Material Topics may influence the Bank’s financial performance, position, cash flows, and long-term operational continuity.

The main aim of this integrated approach is to ensure Material Topics are embedded within HNB’s governance, risk management and strategic decision-making processes at all levels of the Bank.



MATERIALITY ASSESSMENT

	Material Topics	Topic Boundary	Stakeholders Impacted	GRI Relevance	Risks
1	Economic Stress and Uncertainty	Considers possible uncertainties alongside Sri Lanka's economic recovery	Investors Government & Regulators	201-1, 201-4, 203-1, 203-2, 207-1, 207-2, 207-3	Credit Risk Market Risk Liquidity Risk
2	Credit Risk	Possible payment defaults by customers due to prolonged economic stress	Investors Government & Regulators	2-16	Credit Risk Liquidity Risk
3	Financial Stability and Integrated Risk Management	Integrated risk management framework of the Bank	Investors Government & Regulators	201-1	All key risks
4	Artificial Intelligence, Technology, Data Security and Future Readiness	Internal digital infrastructure, data, and information security systems	Government & Regulators	203-1 203-2	Information and Cyber Risk Reputation Risk
5	Customer Experience	Refers to the value proposition offered by the Bank to various customer segments	Customer	2-26, 2-29, 416-1, 416-2, 417-1, 417-2 417-3 418-1	Strategic Risk Reputation Risk Information and Cyber Risk Model Risk
6	Brand Reputation	All elements related to the Group's visibility, competitiveness and industry standing	Customer Investor	2-26 2-28	Reputation Risk Information and Cyber Risk Strategic Risk
7	Employee Well-being, Talent Attraction, Development and Retention	All aspect of the employee value proposition	Employees	2-7, 2-8, 2-28 2-30, 201-3, 202-1, 202-2, 401-1, 401-2, 401-3, 402-1, 403-1, 403-2, 403-3, 403-4, 403-5, 403-6, 404-7, 403-8, 403-9, 403-10, 404-1, 404-2, 404-3, 405-1, 406-1, 407-1, 408-1, 409-1	Operational Risk

	Opportunities	Management Approach: Strategy Integration and Resource Allocation Through Capitals					
		Strategic Pillars					
		Business Growth	Technology enablement	Improve Customer Experience and Productivity	People Development	Business Sustainability	Capitals
	» Adopt technology-driven solutions, leading to long-term efficiency gains. » Develop new products, services, or business models that cater to evolving demands. » Explore new markets or revenue streams, building resilience and reducing dependency on traditional income sources	✓	✓	✓	✓	✓	    
	» Investing in advanced data analytics and credit risk modelling enhances the ability to assess borrower risk accurately	✓	✓	✓	✓		  
	» Informed decision-making that aligns with strategic objectives and minimises potential disruptions	✓	✓	✓		✓	   
	» Leveraging artificial intelligence and advanced technologies enables automation, data-driven insights, and streamlined processes, driving innovation and improving overall efficiency » Robust data security measures and future-ready technology infrastructure build stakeholder trust	✓	✓				 
	» Understanding customer preferences to develop tailored products and services to meet individual needs » Driving innovation and creating unique value propositions to gain first-mover advantage » Improve customer satisfaction scores to enhancing HNB's brand reputation	✓	✓	✓	✓		    
	» Consistent delivery of stakeholder expectations to build trust » Engage in social initiatives and community projects to foster goodwill	✓				✓	    
	» Invest in employee well-being and career development to improve employee satisfaction and loyalty	✓			✓		 

MATERIALITY ASSESSMENT

	Material Topics	Topic Boundary	Stakeholders Impacted	GRI Relevance	Risks
8	Ethics, Governance and Compliance	Refers to all applicable external regulations, global best practices and the Bank's internal constitution	Investors Government & Regulators	2-9, 2-10 2-11 2-12 2-13 2-14 2-15 2-16 2-17 2-18, 2-19, 2-23,- 2-24, 2-25, 2-26, 2-27	Reputation Risk Information and Cyber Risk
9	Inclusive Growth and Responsible Lending	Considers sustainable lending practices	Customer Government & Regulators Community & Environment	2-22 2-25	Reputation Risk Model Risk Strategic Risk
10	Business Network Relationships	All activities relating to suppliers and strategic partners	Suppliers & Business Partners	2-6	Operational Risk Strategic Risk
11	Climate Action	Involves assessing physical and transitional risks associated with climate change and developing plans, and implementing measures to mitigate these risks	Government & Regulators Community & Environment	201-2, 302-1, 302-4, 302-5, 304-3, 305-1, 305-2, 305-4, 305-5, 305-6, 305-7, 306-1, 306-2, 306-3, 306-4, 306-5, 308-1, 308-2, 414-1, 414-2	Climate Risk
12	Innovation	Refers continuous improvements across product, internal processes and channels	Customer Community & Environment	302-5	Strategic Risk Model Risk Information and Cyber Risk
13	Diversity, Inclusion and Equal Opportunities	Refers to fair treatment, representation, and participation for all individuals, regardless of background or identity, within their structures and operations.	Employees Customers	405-1 405-2 406-1	Reputational risk Regulatory risk

	Opportunities	Management Approach: Strategy Integration and Resource Allocation Through Capitals					
		Strategic Pillars					
		Business Growth	Technology enablement	Improve Customer Experience and Productivity	People Development	Business Sustainability	Capitals
	» Promote early adoption of regulatory compliance and voluntary adoption of global best practices					✓	
	» Promote financial inclusion to unbanked and underbanked populations	✓				✓	 
	» Access new markets and customer segments to support revenue diversification » Knowledge sharing to improve productivity and achieve costs leadership	✓				✓	 
	» Offering green financing solutions for all customer segments » Align with global best practices to lead the transition towards net zero carbon emissions	✓	✓	✓		✓	      
	» Leverage technology to drive improvements across products, processes and channels » Invest in AI and business intelligence systems to enable precision-driven innovation	✓	✓	✓	✓	✓	      
	» Representation across gender, race, ethnicity, age, sexual orientation, religion, and socio-economic background. » Recruitment, retention, and promotion practices that foster diverse participation. » Fair access to career development, training, and advancement. » Non-discrimination in hiring, pay, and performance evaluation. » Compliance with labour laws and human rights standards.	✓	✓	✓	✓	✓	 

STRATEGY AND RESOURCE ALLOCATION

HNB's strategy formulation process is led by the Board in close collaboration with Corporate Management. The process is informed by a comprehensive assessment of the external operating environment, internal performance, risk appetite, capital adequacy, and emerging risks and opportunities. Key inputs include economic and industry outlooks, stress testing outcomes, material sustainability considerations, and feedback derived

through stakeholder engagements. The outcome is a three-year strategic plan which is updated annually on a rolling basis.

The annual update is a structured process, undertaken by the Board to facilitate the recalibration of strategic initiatives and reallocate resources as needed to take cognisance of the evolving macroeconomic environment, regulatory expectations, and stakeholder priorities, while strengthening

the Bank's resilience, risk management capabilities, and capacity to consistently deliver stakeholder deliverables.

The year 2025 was anchored on the 5 strategic pillars, Business Sustainability, Business Growth, Customer Experience and Productivity, People Development and Technology Enablement.



BUSINESS GROWTH

To be the No 1 Bank among Private Sector Banks in Sri Lanka

Material Topics: Economic Stress and Uncertainty Financial Stability and Integrated Risk Management
Artificial Intelligence, Technology, Data Security and Future Readiness | Customer Experience | Brand Reputation
Employee Well-being, Talent Attraction, Development and Retention | Ethics, Governance and Compliance
Inclusive Growth and Responsible Lending | Business Network Relationships | Climate Action | Innovation

2025 Scorecard

Focus Area	Resource Allocation in 2025	Outcomes	2025	2024	2023
Support key sectors in the economy	» Lending to high growth sectors	Total loan growth (YoY)	30.5%	11.3%	-1.8%
	» Special emphasis on agri-sector development	Savings growth (YoY)	14.4%	8.6%	12.2%
	» Empowering the SME sector through the National Credit Guarantee Scheme (NCGS)				
	» Increase lending to green and sustainability-linked projects				
	» Increase captive market share in the corporate sector				
Empowering households and small businesses	» Expanding the vehicle leasing proposition	Leasing portfolio growth (YoY)	55.3%	15.6%	-0.6%
	» Strengthening the personal loans	Pawning portfolio growth (YoY)	44.9%	9.4%	36.6%
	» Expanding pawning operations				
Driving fee income	» Focus on strengthening the Bank's Trade Finance Proposition	Fee income growth (YoY)	28.9%	12.7%	4.4%
	» Driving credit cards				
	» Promote HNB's transaction banking solutions				
CASA growth	» Leverage HNB's Transaction Banking platform HNB TXB, to drive CASA growth among corporates	CASA ratio	35.3%	34.2%	29.9%
	» Aggressive promotional campaigns to promote retail savings				
Optimising Group returns	» Strengthened Group synergies	Group profits (Rs Bn)	49.8	44.8	23.6
		Group ROE	16.9%	18.4%	11.5%

Capitals Impacted



SDGs Impacted



Stakeholders Impacted





TECHNOLOGY ENABLEMENT

To be the Best Digital Bank in Sri Lanka

Material Topics: Economic Stress and Uncertainty | Credit Risk | Financial Stability and Integrated Risk Management
Artificial Intelligence, Technology, Data Security and Future Readiness | Customer Experience | Climate Action | Innovation

2025 Scorecard

Focus Area	Resource Allocation in 2025	Outcomes	2025	2024	2023
Customer Digital Adoption	» Integration of GovPay and traffic fine settlement facilities to the HNB App/Digital Banking platform » Driving SME Digital Transformation with Nationwide Mini POS Roll Out » Launch of Visa Accept, Trade TxB, Cashbacked loans » Enhancements to the HNB App with the introduction of enhanced e-statement capabilities » Integrated the revamped HNB Fit app into SOLO » Integration of traffic fine settlement facilities to the SOLO platform	Growth in digital transaction volumes	39.4%	39.5%	63.4%
		Total digital users	2,034k	1,437k	1,007k
		Increase in digital revenues	28.9%	53.6%	38.9%
Data Governance and Integrity	» Revamped Data Protection Measures to align with PDPA and ISO 27001 » Validated the effectiveness of existing security controls, including firewalls, endpoint protection, and access controls, under the Protect function				
Digital Innovation	» Hosted Sri Lanka's first-ever FinTech Summit » Establishment of the in-house Innovation Studio				
Stabilise core systems/develop enabling systems	» Core banking system upgrade featuring enhanced APT integration to connect the Bank's systems to the customers' ERP » IT infrastructure modernisation using the latest rapid system deployment methodology » Secured the ISO 27001:2022 Information Security Management certification				

Capitals Impacted



SDGs Impacted



Stakeholders Impacted



STRATEGY AND RESOURCE ALLOCATION



CUSTOMER EXPERIENCE AND PRODUCTIVITY

Make Banking Enjoyable for the Customer

Material Topics: Economic Stress and Uncertainty | Credit Risk | Financial Stability and Integrated Risk Management | Customer Experience | Climate Action | Innovation

2025 Scorecard

Focus Area	Resource Allocation in 2025	Outcomes	2025	2024	2023
Improving Product Diversity	» Enhancing the product range for retail customers » Flexible solutions for SMEs » Service enhancements for corporates	Queuing time at branch counters	10.1 mins	10.4 mins	n/a
Targeted Customer Outreach	» Opened a Service Counter - SLIIT Balagolla » Established a fully-fledged branch at City of Dreams - Sri Lanka's first integrated resort » Opened a Service Counter at Durdans Hospital Colombo	Cost-to-income	37.8%	37.2%	29.9%
Enhancing Customer Experience at Physical Touch-points	» Migrated the KCC extension office as a fully-fledged branch » Upgraded the Maligawatta Extension office to Branch Level	Overall CSAT	87.4%	87.9%	94.6%
Improve Productivity through Automation	» Implementation of the Lime Workflow Solution to create a single platform to support onboarding and CASA account opening across the branch network. » Simplified the user onboarding process, reducing steps from 10 to 5 to deliver a faster, more intuitive account-opening experience	Branch CSAT	86.2%	86.8%	84.2%
Improving Customer Communication	» Launch of the trilingual version of the HNB Mobile App				

Capitals Impacted



SDGs Impacted



Stakeholders Impacted



PEOPLE DEVELOPMENT

To be the most preferred employer in the local banking sector

Material Topics: Economic Stress and Uncertainty | Credit Risk | Customer Experience | Employee Well-being, Talent Attraction, Development and Retention Innovation

2025 Scorecard

Focus Area	Resource Allocation in 2025	Outcomes	2025	2024	2023
Strengthening the EVP	» Recalibrating HNB's Human Capital Ecosystem » 604 employees promoted » Rs 23 Bn incurred on salaries and welfare	New recruits	654	768	1,146
Training	» 166,746 total training hours	Employee attrition	5.4%	7.3%	8.1%
Leadership Development	» Aspire Leadership Development programme » Self-Learning Management Development Programme » Catalyst Leadership Development Programme	Training hours per employee	30 hrs	26 hrs	38 hrs

Capitals Impacted



SDGs Impacted



Stakeholders Impacted





BUSINESS SUSTAINABILITY

To be the most resilient and sustainable bank

Material Topics: Economic Stress and Uncertainty | Credit Risk | Financial Stability and Integrated Risk Management | Brand Reputation | Ethics, Governance and Compliance Inclusive Growth and Responsible Lending | Business Network Relationships | Climate Action | Innovation

2025 Scorecard

Focus Area	Resource Allocation in 2025	Outcomes	2025	2024	2023
Robust Governance Structures	» Complied with the revised Section 9 of the CSE Listing Rules on Corporate Governance	» Incidents of non-compliance	Zero	Zero	Zero
	» Complied with the Banking Act Direction No 11 of 2007 on Corporate Governance which has been replaced by Banking Act Direction No 05 of 2024 in line with mandated compliance deadlines	» Net stage 3 ratio	1.09%	1.88%	3.76%
	» Complied with the Personal Data Protection Act	» Provision coverage ratio	75.97%	74.42%	57.49%
Strong Risk Management Practices	» All business loans over Rs 15 Mn screened for ESMS and 957 facilities screened by the ESMS unit	» ALL currency LCR ratio	227.75%	331.49%	445.92%
	» Continuing with ESG/Climate risk assessments on vulnerable loan portfolios	» Tier 1	16.85%	19.59%	13.66%
	» Added coal-based power and heat generation into the Bank's exclusion list to guide lending decisions	» Total CAR	19.95%	23.96%	17.13%
	» Integration of climate-related risks into HNB's Internal Capital Adequacy Assessment Process (ICAAP)	» Energy requirement met by renewable sources (%)	12.0%	13.0%	15.0%
Disciplined Liquidity, Asset Quality and Capital Management	» Strong focus on recoveries	* Including the head office and branches island wide, except for 15 branches where the rental agreement covers the electricity and water consumption.			
	» Ongoing customer rehabilitation to support stressed customers				
Promoting Financial inclusion	» Participated in the National Credit Guarantee Scheme (NCGS) to enhance access to finance for Micro, Small, and Medium Enterprises (MSMEs)				
	» Expansion of HNB's Microfinance initiative, the "Govi Saviya" Scheme				
	» Conducted 1,682 financial literacy programmes for unbanked and underbanked communities				
Manage impact on society and environment	» Invested Rs 154.2 Mn on strategic CSR to focus on strategic pillars; Sustainable Financing, Environmental Responsibility, Managing Social Impact and Robust Governance.				

Capitals Impacted



SDGs Impacted



Stakeholders Impacted

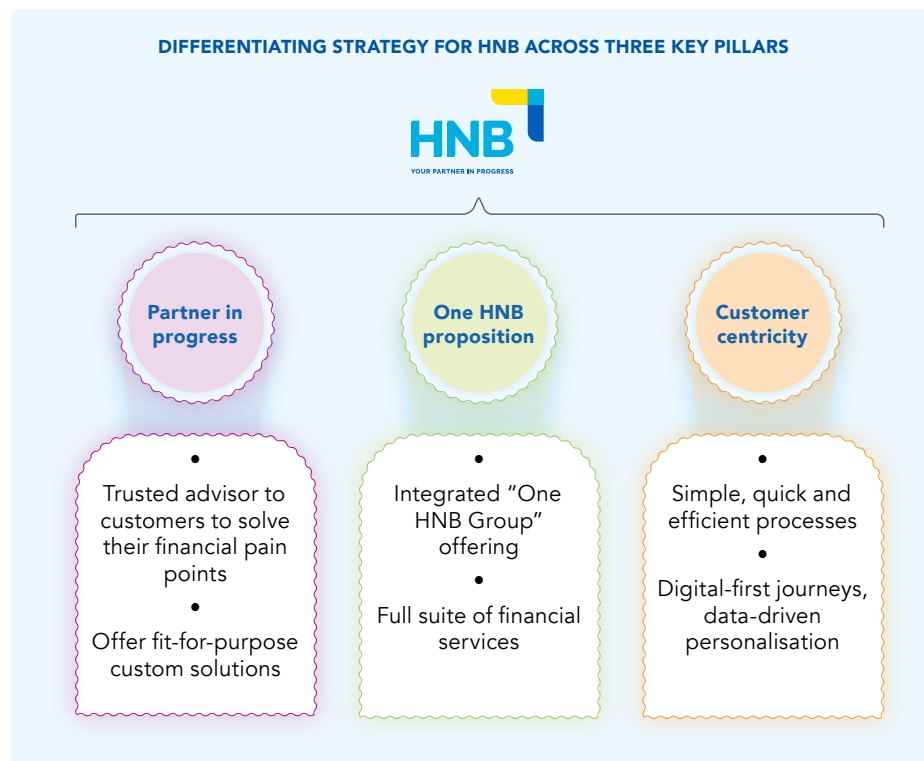


STRATEGY AND RESOURCE ALLOCATION

While acknowledging that the Bank's existing strategy has served it well in catalysing HNB's growth trajectory in recent years, the Board in 2025 commenced work on a far more ambitious agenda, one designed to propel HNB to the very pinnacle of Sri Lanka's private banking sector and realise its longstanding aspiration of becoming the largest private sector bank in the country by 2030.

Given the scope and scale of the transformation envisioned, the Board engaged a global strategy expert to develop a forward-looking roadmap to clearly differentiate HNB and position the Bank as a class apart within the local financial services industry. The resulting 2026–2030 Strategic Mandate, scheduled for rollout in 2026, represents an evolution from previous strategic initiatives. While earlier programmes were more granular and operationally driven, this refreshed strategic direction is laser-focused on elevating HNB's competitive position through three transformative pillars designed to shift the Bank from incremental growth toward becoming the benchmark for integrated financial services excellence in Sri Lanka.

"Partner in Progress" - Renewing this longstanding commitment, HNB will aim to deliver fit-for-purpose, customised financial solutions across Retail, SME and Wholesale. In keeping with this approach, the emphasis will be on hyper-personalisation, leveraging data and analytics to anticipate customer needs rather than merely respond to them. At the same time the Bank's Relationship Managers will evolve into trusted financial advisors, empowered by integrated ecosystems and a comprehensive suite of solutions spanning transaction banking, custody, employee banking, investment services, insurance, and capital markets advisory. This shift demands not only product integration, but also cultural transformation and sustained investments in upskilling to ensure advisory-led engagement becomes the norm across all business verticals.



"One HNB" proposition - HNB will strive to position itself not simply as a commercial bank, but as Sri Lanka's most diversified financial services conglomerate capable of meeting the full spectrum of client financial requirements within a single, connected platform. HNB's subsidiaries across capital markets, life and general insurance, non-bank financial services, and investment banking will be strengthened and strategically aligned to deliver seamless, end-to-end solutions, with clients seeking wealth management, trustee services, structured finance, or equity solutions will find a comprehensive financial toolkit within the HNB ecosystem. Additionally, leveraging the expertise and reach of the non-bank financial arm, HNB will focus on enhancing financial inclusivity across underserved segments, while the investment banking platform will create opportunities to channel capital where conventional balance sheet constraints limit traditional lending. To ensure this integrated model becomes embedded in

practice, cross-functional collaboration and cross-selling will be formally integrated into performance metrics and leadership accountability structures in the coming years.

Customer-centricity - Customer centricity will not be treated as a standalone initiative but as the defining lens through which all decisions are evaluated. Digital transformation will serve as the key enabler of this ambition with HNB's digital-first philosophy embodying innovation, efficiency, speed, and intuitive engagement as hallmarks of the HNB customer experience. Efforts to reimagine customer-centricity will be led by investments in enhanced loan origination systems, upgraded customer-facing platforms, and modernised backend infrastructure to ensure scalability, resilience, and seamless service delivery. This will be accompanied with the simplification of processes to eliminate duplication, streamline operating models, and reshape behaviours across the organisation.

MANAGEMENT DISCUSSION AND ANALYSIS



Phases of **ALIGNMENT**

Fruition is the visible result of a tree's growth, shaped by the balance of nourishment, environment, and care over time. It reflects how well the tree has adapted to its surroundings and reveals the effectiveness of the processes that sustain it. By observing the quality and abundance of its fruit, one can understand the tree's health, strength, and direction for continued growth.

At HNB, we follow a clear process to understand our performance and direction. By evaluating results, assessing market conditions, and reviewing operational outcomes, we gain meaningful insight into our progress and the effectiveness of our strategies. This disciplined approach supports informed decision making, strengthens alignment, and ensures our growth remains responsive and strategically guided.

OPERATING ENVIRONMENT

Overview of the Sri Lankan Economy

Economic Growth

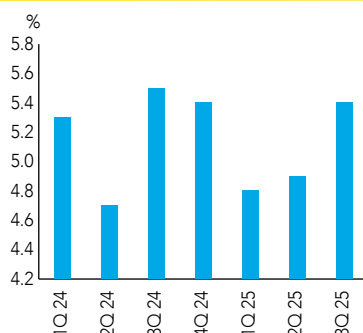
The Sri Lankan economy gained further traction in 2025, expanding progressively throughout the year, supported by positive contributions from all three major economic activities. Available data suggest the industry sector showing healthy improvement, while both agriculture and service sectors also demonstrated measured growth, culminating in robust GDP growth of 5%+ in the third quarter of 2025.

Inflation and Interest Rates

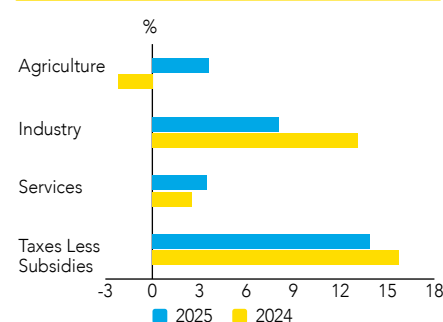
Inflation continued to be well managed, following temporary deflationary conditions in the first quarter of 2025, both CCPI- and NCPI-based measures appeared to stabilise at broadly desired levels from mid-2025 onwards.

Reflecting the CBSL's monetary easing stance, market interest rates remained largely stable during the period. Short-term rates adjusted downward in line with the reduction in the policy rate in May 2025, while the Average Weighted Call Money Rate (AWCMR) remained closely aligned with the Overnight Policy Rate (OPR).

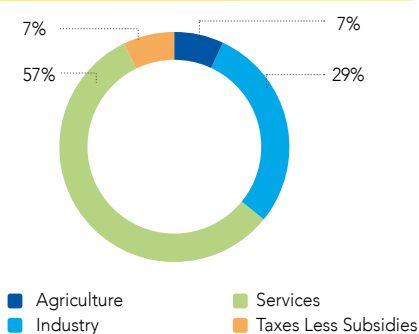
Real GDP growth



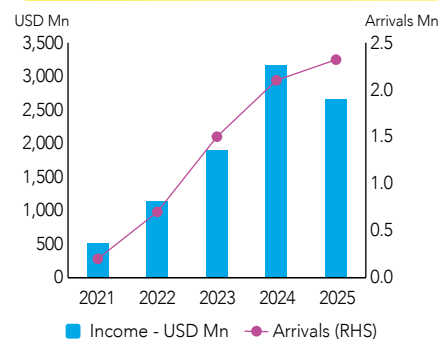
Sector-wise Growth in Economic Activities



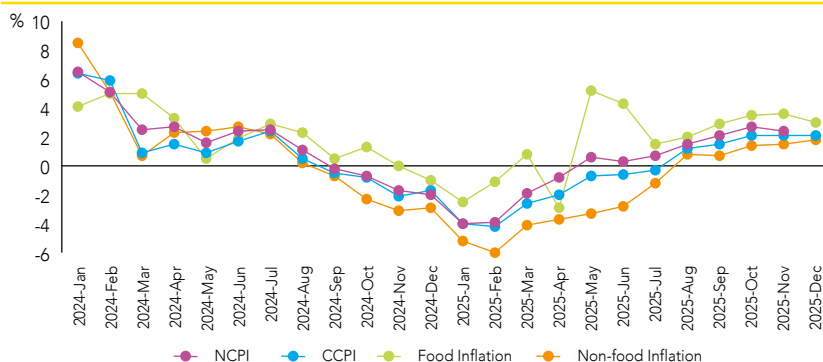
Sector Share of GDP - Q3 2025



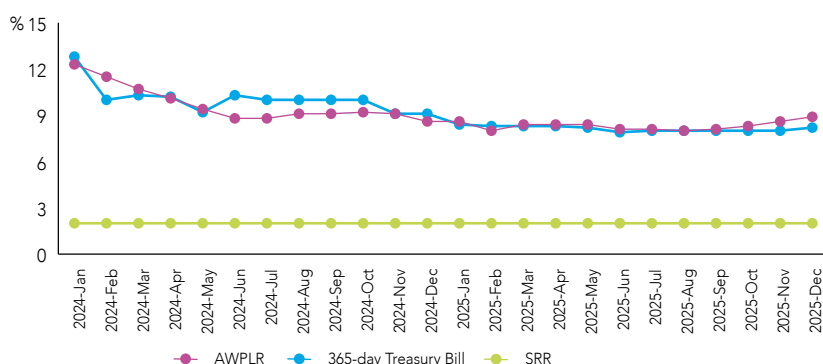
Tourist Earnings and Arrivals



Inflation NCPI and CCPI



Interest Rates and Liquidity



External Sector and Exchange Rate

Sri Lanka's external sector remained resilient in 2025, recording a current account surplus of USD 1.9 Bn as at the end of Q3 of 2025, supported by 5.3% improvement in Tourism earnings and a nearly 20% year-on-year increase in inward remittances. Although the merchandise trade deficit widened toward the end of Q3 2025 on account of increased vehicle imports, growth in textiles and garment exports, helped partially offset the gap.

The Sri Lankan rupee recorded a modest depreciation of 2.46% against the US dollar during the first half of the year, largely driven by heightened import demand following the relaxation of vehicle import restrictions. Thereafter, the currency continued to depreciate gradually over the remainder of the year, closing weaker by 5.6% against the USD as at 31 December 2025.

Meanwhile, the receipt of the fifth tranche under the IMF Extended Fund Facility in July 2025 further strengthened foreign reserves and contributed to overall external sector stability and a broadly stable exchange rate.

Banking Sector Performance

Credit Growth

Credit growth of the banking sector significantly increased amidst monetary easing and improved macroeconomic conditions in 2025. Private sector credit growth expanded by a robust 22.1% year-on-year at the end of Q3 2025 reaching Rs 9.5 Tn. Domestic Systemically Important Banks (D-SIBs) contributed to majority of the total credit expansion during the period under consideration.

Expansion of private sector credit was broad-based across key economic sectors, including a notable increase in lending to the household sector in line with strengthening demand following the lifting of restrictions on vehicle imports with effect from February 2025.

Credit Quality

Credit quality of Licensed Commercial Banks (LCBs) improved marginally in 2025 as reflected by the Stage 3 Loans ratio, which improved to 11.0% at the end of Q3 2025 from 12.7% at the end of Q4 2024, mainly due to the expansion of credit.

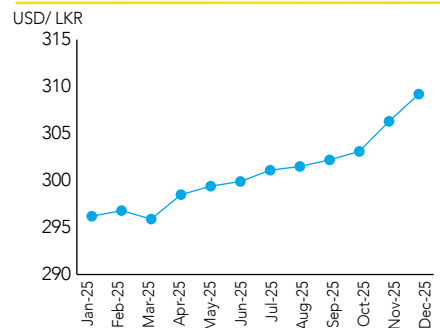
Stage 3 Impairment Coverage ratio of the sector slightly improved to 56.9% at end Q3 of 2025 compared to 53.9%, offering an additional buffer for banks to absorb potential future credit losses, thereby strengthening resilience against asset quality deterioration. Moreover, a higher Impairment Coverage ratio also reflects a prudent and proactive risk management approach by banks.

Liquidity Position

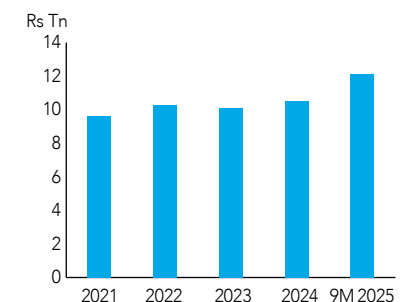
Against this backdrop of rapid credit growth, liquidity conditions in the banking system moderated somewhat, as reflected by a decline in the Rupee Liquidity Coverage Ratio to 293.2% in Q3 of 2025 from 351.0% in Q4 of 2024, although it remained well above the minimum regulatory requirement of 100%.

Furthermore, the Net Stable Funding Ratio (NSFR), an indicator of the long-term liquidity of the LCBs, stood at 158.4% in Q3 of 2025, indicating that banks possess adequate stable funding to cover their long-term assets and are better positioned to withstand funding shocks.

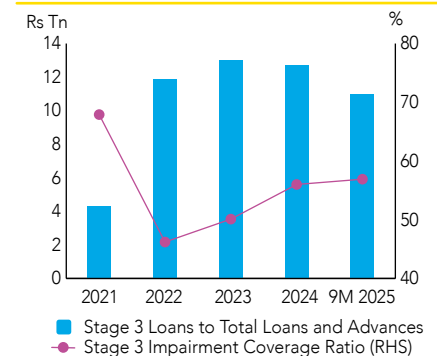
Exchange Rate



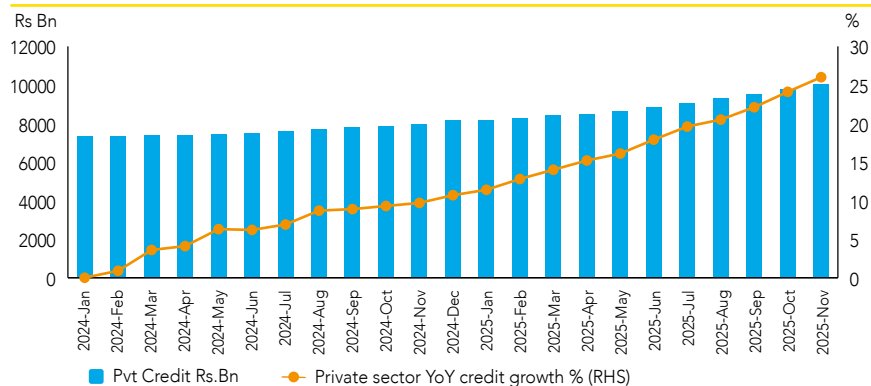
Gross Loans and Receivables



LCB's Asset Quality



Private Credit



OPERATING ENVIRONMENT

Funding Base

While the banking sector continued to rely predominantly on retail deposits as its main funding source, the relative concentration of large deposits increased marginally during the year.

As at the end of Q3 2025, LCBs' deposits grew by 10.3% during the first nine months of the year to reach Rs 17.6 Tn, reflecting a sector-wide pivot towards institutional funding. Despite the decline in interest rates, the sector's CASA base expanded by 10.7% over the same period, resulting in a sector-wide CASA ratio of 32.7% as at the end of September 2025.

Capital Adequacy

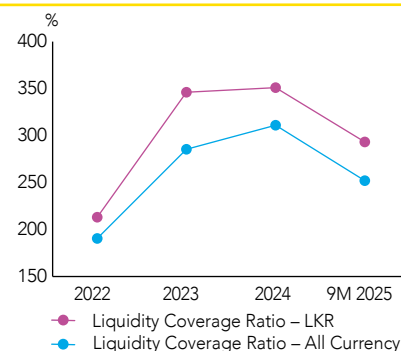
The LCBs' capital position has improved as at end Q3 2025 compared to Q3 2024, bolstered by improved retained earnings. Accordingly, the Total Capital Adequacy Ratio (CAR) increased marginally to 18.5% at end Q3 2025 compared to 18.3% at end Q3 2024, reflecting a higher growth in regulatory capital compared to the increase in Risk Weighted Assets (RWA).

The sector's total regulatory capital increased, supported primarily by stronger profitability and additional Tier-2 debenture inflows. Despite this, the Tier 1 CAR fell to 15.2% by the end of Q3 2025, down from 16.6% at the end of 2024. Similarly, the total CAR declined to 18.5% in Q3 2025 compared with 20.1% recorded in Q4 2024.

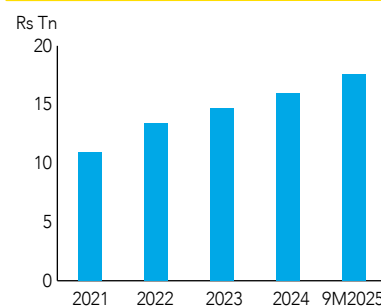
Profitability

The LCBs' Profit After Tax (PAT) improved significantly during the first nine months of 2025 compared to the corresponding period of 2024. The sector recorded a PAT of Rs 256.4 Bn in 9M-2025, up from Rs 164.3 Bn in 9M-2024, reflecting a robust year-on-year growth of 56.1%. Several factors contributed to the increase, including NII growth of Rs 121.5 Bn in first nine months of 2025 and the decline in impairment. Increases in net gain from trading, net fee-based income, and net other operating income also contributed to the profit increase during the same period.

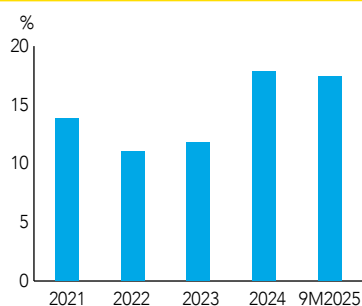
Liquidity Coverage Ratio



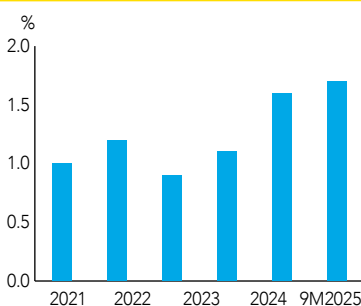
Deposits



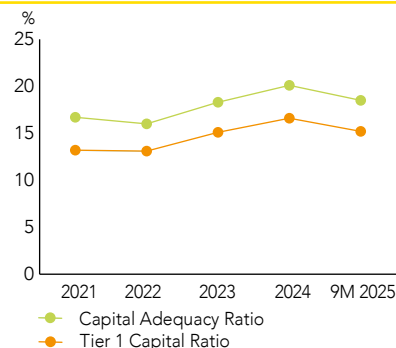
Annualised Return on Equity



Annualised Return on Assets



Capital Adequacy



Sources:

Financial Stability Review 2025 - Central Bank of Sri Lanka

Macroeconomic Developments in Charts 2025 - Central Bank of Sri Lanka

Monetary Policy Report (August 2025) - Central Bank of Sri Lanka

Opportunities and Challenges for HNB arising out of the Economic Environment and Banking Sector performance in 2025			HNB's Strategic Response	Further Reading
Opportunities	Robust Credit Demand from the Private Sector	Private sector credit demand continued to grow in 2025, with broad-based distribution across key sectors of the economy. Most notably, the progressive reduction in borrowing costs enhanced affordability and stimulated both investment- and consumption-led credit uptake, while the lifting of vehicle import restrictions led to a notable resurgence in demand for vehicle financing.	HNB capitalised on the rebound in vehicle financing, by partnering with leading dealers to expand its market share. The Bank continued to prioritise high-growth sectors, supporting agriculture, ICT start-ups, and sustainability-linked ventures. Refinance schemes, including the National Credit Guarantee Scheme (NCGS) were also fully utilised to empower SMEs nationwide at the same time, across the corporate sector, the Bank advanced lending in manufacturing, renewable energy, and other strategic industries, reinforcing its role as a trusted partner in Sri Lanka's economic recovery and long-term growth.	Business Reviews - page 48 to 71
	Well Anchored Inflation Expectations	Inflation expectations in Sri Lanka remained well anchored in 2025, as the economy moved through an extended period of low inflation and deflation. The favourable price environment supported stronger consumer sentiment throughout the year. Against this backdrop, HNB continued to drive growth in its retail lending portfolio, capitalising on the stability created by the low-inflation conditions to expand credit across key customer segments.	Amidst rising disposable income on the back of inflationary conditions in 2025, HNB expanded its home loan portfolio through a range of tailored solutions, facilitated by partnerships with over 70 leading developers and condominium projects. Easing of inflationary pressures also enabled the Bank to promote credit card usage and encourage customers to grow their savings.	
	Exchange Rate Movements	The Sri Lankan Rupee (LKR) recorded moderate depreciation during the period, supported by stronger foreign exchange inflows, a sustained current account surplus, and prudent monetary policy that helped anchor market expectations. Enhanced confidence in light of ongoing macroeconomic reforms and external financing support also helped to further reduce volatility in the domestic foreign exchange market.	HNB strengthened its presence in offshore markets during the period, transitioning from exclusive participation in syndicated transactions to selectively undertaking direct offshore lending, supported by favourable exchange rate conditions and improved foreign exchange liquidity.	
	Improvements in the External Sector	The External sector further stabilised in 2025 as tourism earnings and workers' remittances continued to recover steadily, in turn leading to a healthier current account position and easing pressure on external financing requirements. Improved export performance, together with increased imports, contributed to a wider trade deficit, while enhanced market confidence and ongoing macroeconomic reforms supported reserve accumulation.	Encouraged by the revival in external trade in 2025, HNB strengthened its strategic focus on enabling trade-led activity. At the same time, prompted by improved worker remittance inflows into the country, targeted initiatives were deployed to enhance product visibility among key customer segments. These developments helped the Bank capture higher transaction volumes, with increased trade activity and remittance flows also contributing to a notable uplift in fee income, reinforcing the Bank's role in supporting expanding external sector momentum.	Business Reviews - page 48 to 71

OPERATING ENVIRONMENT

Opportunities and Challenges for HNB arising out of the Economic Environment and Banking Sector performance in 2025			HNB's Strategic Response	Further Reading
Challenges	Credit Risk at elevated levels	Despite visible improvements in macroeconomic conditions, segments of the corporate and SME sectors continued to face cash flow pressures, resulting in higher non-performing loan ratios across the banking sector.	HNB upheld a disciplined credit underwriting approach, complemented by strengthened post-credit monitoring to protect the Bank's portfolio from emerging risks. The Bank also considerably expanded competency-building programmes for its frontline teams to reinforce prudent credit decision-making.	Risk Report - page 276 to 320
	Intensity of Climate Risks	Cyclone Ditwah in December 2025 emphasised the growing climate-related risks faced by Sri Lanka's banking sector. The severe weather event caused localised flooding and infrastructural disruptions, highlighting the vulnerability of agricultural lending portfolios, and SME exposures to extreme climate events.	The Bank promptly granted government-mandated moratoria on loan repayments to provide immediate relief for impacted individuals, SMEs, and agricultural borrowers. In parallel, HNB utilised its robust risk management framework to intensively monitor exposures in high-risk areas and adjust its credit and operational strategies in line with evolving risk conditions.	

Future Focus

Outlook and Prospects for the Sri Lankan Economy

Sri Lanka's economy is poised for continued recovery, with forecasts suggesting a strong positive growth trajectory for the coming year. GDP growth is expected to surpass 2025 figures, underpinned by steady expansions across agriculture, industry, and services. Key sectors such as tourism, ICT, renewable energy, manufacturing, and export-oriented industries are projected to be the primary engines of growth, reflecting both rising domestic demand and opportunities in global markets.

Interest rates are projected to remain relatively moderate in the near term, while inflation is set to stay within manageable levels, amidst forecast of low import costs, improving agricultural output, and controlled demand-side pressures. This environment is expected to support household consumption, private investment, and credit expansion, particularly in sectors such as housing, vehicle financing, and SMEs.

At the same time, the external sector is anticipated to benefit from sustained inflows from exports, tourism, and

remittances, which are expected to support foreign exchange liquidity and enhance reserves. While global trade uncertainties and commodity price fluctuations could introduce episodic volatility, Sri Lanka's improving competitiveness and diversified trade base provide a stabilising buffer.

Moreover, ongoing fiscal reforms, banking sector enhancements, and regulatory modernisation, are expected to further consolidate macroeconomic stability. Initiatives to streamline import regulations, enhance financial inclusion, and support export-oriented growth will also contribute to a more resilient and diversified economic base. These reforms, combined with a gradual improvement in infrastructure and business climate, are likely to enhance investor confidence and promote long-term economic sustainability.

Overall, while risks such as global market volatility, climate-related disruptions, and domestic fiscal constraints are likely to persist, ongoing structural reforms and proactive policy measures are expected to position Sri Lanka for sustainable economic expansion over the next 12 to 18 months.

Role of the Banking Sector, Going Forward

As Sri Lanka transitions into a phase of consolidation and sustainable growth, the banking sector is expected to play an increasingly strategic role in supporting economic resilience, financial stability, and inclusive development.

In this evolving landscape, the Central Bank of Sri Lanka's policy agenda for 2026 and beyond positions banks as key facilitators of productive investment, trade, and enterprise growth. Accordingly, the banking sector is expected to support rising credit demand across critical sectors such as agriculture, manufacturing, renewable energy, and services, while maintaining a strong focus on risk-based lending practices that safeguard asset quality and long-term resilience.

A key aspect of this role also involves deepening financial inclusion and expanding access to formal financial services, particularly for SMEs, households, and underserved communities. Banks will further be expected to leverage digital platforms, data analytics, and innovative product offerings to enhance outreach, improve financial literacy, and reduce barriers to

credit and savings. At the same time, institutions will be called on to strengthen risk management practices, including climate-related financial risks, in line with emerging global standards that link financial stability with sustainable development objectives.

Equally importantly, sound governance and enhanced supervisory frameworks will continue to promote transparency and resilience across the banking sector. Accordingly, banks will remain aligned with regulatory expectations on capital adequacy, liquidity buffers, and prudential norms, while also pursuing strategic initiatives that support technology adoption and secure digital transformation.

HNB's Key Priorities for 2026 and Beyond

As a Domestic Systemically Important Bank (D-SIB), HNB accepts the added responsibility to safeguard financial stability, support the real economy, and uphold public confidence in the banking system. Accordingly, the Bank's strategies will aim not only for sustainable growth and enhanced profitability, but also strengthen resilience against systemic risks, while fostering trust and value creation for all stakeholders.

Support Economic Growth and Sectoral Development

Prioritise lending to high-growth sectors of the economy, including agriculture, manufacturing, ICT, and renewable energy. The Bank will continue to act as a strategic partner to SMEs and entrepreneurs, enabling productive investment, trade, and enterprise development while supporting the broader national growth agenda.

Strengthen Risk Management and Asset Quality

Focus on maintaining robust credit risk frameworks, ensuring prudent underwriting, and enhancing early warning and recovery mechanisms, while actively integrating climate-related and systemic financial risks into risk management

strategies to safeguard long-term resilience.

Promote Financial Inclusion and Literacy

Deepening access to banking services through widespread investments in digital and physical channels and continuing financial literacy initiatives to empower individuals and businesses across Sri Lanka.

Advance Digital Transformation and Innovation

Leverage technology to modernise core banking systems, strengthen digital onboarding, expand digital payments, and integrate predictive analytics to enhance efficiency, customer experience, and operational resilience.

Sustainable and Responsible Financing

Scale climate and green financing to support environmentally responsible projects including investment in renewables alongside eco-friendly agriculture, and other sustainability-linked ventures in line with national sustainability goals.

Expand Regional and Offshore Presence

Diversify revenue streams by deepening HNB's presence in international markets through selective expansion of offshore activities.

Enhance Capital, Governance, and Operational Resilience

Strengthen its capital adequacy, liquidity buffers, and governance frameworks, ensuring compliance with regulatory standards while enhancing operational flexibility.

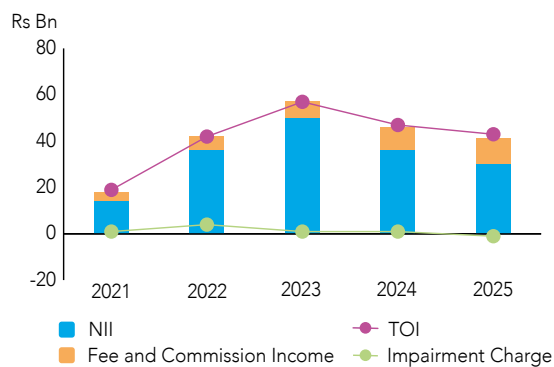
BUSINESS LINE REVIEW

RETAIL BANKING



Key Performance Highlights

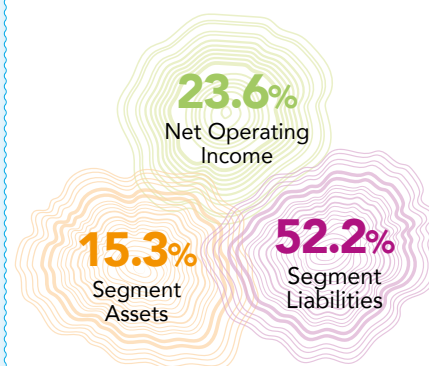
Earnings



Advances
Rs **380.2 Bn** ↑
33.0%

Deposits
Rs **1,158.8 Bn** ↑
12.5%

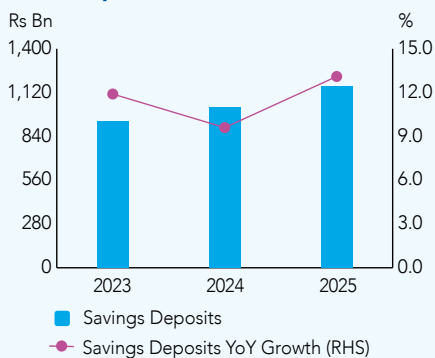
Contribution to the Group



Socioeconomic Impact Dashboard

Increase in Aggregate National Savings

Retail Deposits



Supporting Economic Recovery in Sri Lanka

LEASING (RETAIL)

Rs **47.5 Bn** 82.1% ↑

HOUSING

Rs **71.7 Bn** 25.5% ↑

PERSONAL LOANS

Rs **55.2 Bn** 19.4% ↑

CREDIT CARDS

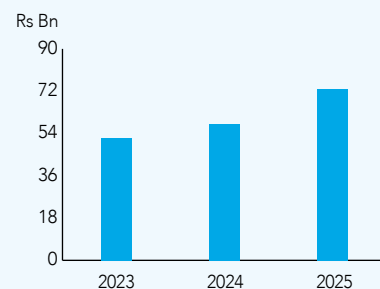
Rs **25.9 Bn** 25.7% ↑

PAWNING

Rs **116.3 Bn** 44.9% ↑

Supporting Access Education and Housing

Housing Loan and Education Loan Portfolio



Overview

Retail Banking delivered strong growth in 2025 as easing inflation, stabilised interest rates and a recovery in household confidence supported lending and deposit mobilisation. The portfolio expanded by 36.7% year-on-year, led by a powerful rebound in leasing following the resumption of vehicle imports from April 2025, as well as exceptional growth in pawning. Retail-attributed CASA increased by 15.5% year-on-year, strengthening the Bank's low-cost funding profile. Asset quality remained a priority, with disciplined underwriting, tighter verification and focused recovery engagement across regions.

Key Highlights for 2025

Retail performance in 2025 was broad based, with strong momentum across leasing, housing, personal finance, cards and pawning. Improved consumer confidence and streamlined digital journeys supported acquisition and usage, while disciplined underwriting and better verification standards preserved portfolio quality as volumes scaled.

Leasing

Leasing remained the main growth driver, supported by 25+ dealer MoUs, bundled offers and the introduction of extended-tenor EV financing. Demand strengthened rapidly after the resumption of vehicle imports, enabling HNB to further reinforce its market leadership among private commercial banks. With rising customer interest in cleaner mobility, the portfolio also saw a clear shift towards electric vehicles, supported by competitive pricing and dedicated dealer engagement.

Housing loans

The Bank strengthened its collaboration with the real estate sector, signing MoUs with over 15+ leading developers and condominium projects to provide customers with access to preferential interest rates, special packages, and end-to-end support. The internal loan application process was also further simplified and a team of specialised



mortgage advisors was appointed to assist customers through the loan process, while dedicated Relationship Managers were assigned to priority clients. This enabled the Bank to record a growth of Rs 14.6 Bn in the portfolio during the year.

Personal loans

The performance of HNB's Personal Loans portfolio reflected the broader momentum of Sri Lanka's economic recovery.

The Bank strengthened its personal lending proposition through a series of customer focused enhancements. This included introducing more flexible repayment models, integrating optional insurance solutions and providing targeted advisory support to help customers particularly first-time borrowers, make informed financial decisions. At the same time, digital loan servicing was further upgraded to give

HNB CROWNED BEST RETAIL BANK IN SRI LANKA FOR THE 15TH TIME AT TAB GLOBAL EXCELLENCE IN RETAIL FINANCIAL SERVICES AWARDS 2025 IN TOKYO



BUSINESS LINE REVIEW

customers seamless, end-to-end on-line control over their loan management.

Within the education loan category, customised offerings were developed to cater to distinct customer segments, from priority clients pursuing overseas education to lower middle income families undertaking local tertiary studies, supported by flexible repayment structures.

Pawning

The pawning franchise delivered its strongest expansion in three decades, surpassing Rs 100 Bn milestone by September 2025. A refreshed proposition positioned pawning as a mainstream, asset backed financing mechanism for diverse needs.

With these developments, by end of Q3 2025, HNB became the market leader in pawning among private sector commercial banks reflecting scale, accessibility and trusted processes.

Cards and everyday payments

Year 2025 proved to be a landmark year for HNB's card operations. HNB unveiled its exclusive first World Elite Metal Mastercard, 'Club Elite', an invitation-only card, designed specifically for HNB Club Elite members, representing a significant advancement in Sri Lanka's premium banking sector. The Bank also introduced card based toll payments on expressways together with the RDA. The performance was driven by overall recovery in the environment driving domestic spending and recovery in tourism. By end of Q3 2025, HNB moved to the second position

in the issuance market while maintaining its market leadership in card acquiring.

Deposits

Retail deposits recorded a steady growth of 13.1% during the year, representing a growth of Rs 134.3 Bn. Momentum was driven by targeted propositions including enhancements to Minor Savings, alongside Self-Onboarding journeys that simplified new to bank acquisition and reduced servicing friction. The relaunch of HNB FIT for youth also was a key highlight during the year. The deposit strategy balanced stable term funding with deeper digital engagement to sustain a granular, low cost funding base.

Way Forward

Outlook

HNB will continue to leverage the economic recovery. The environment is characterised by stabilised interest rates, improved consumer confidence and increased spending. Retail Banking will deepen penetration across core lending and deposit segments while sustaining disciplined asset quality and advancing its digital first transformation agenda.

Short Term Plans

- » Accelerate retail credit growth by expanding tailored lending across Leasing, Personal Finance, Housing, Solar and Education; strengthen digital onboarding and servicing; and drive acquisition through targeted promotional campaigns and partnerships with developers, merchants and motor dealers.

Medium to Long Term Plans

- » Consolidate leadership via end-to-end digitisation and enhanced risk frameworks; scale financial inclusion and self-service; develop future-ready propositions across savings, term deposits, pawning and cards; and deepen strategic collaborations to support sustained portfolio growth and long-term customer value creation. Over the medium term, Retail will also expand the use of AI-driven insights to personalise offers, strengthen fraud-monitoring and support more proactive customer engagement.

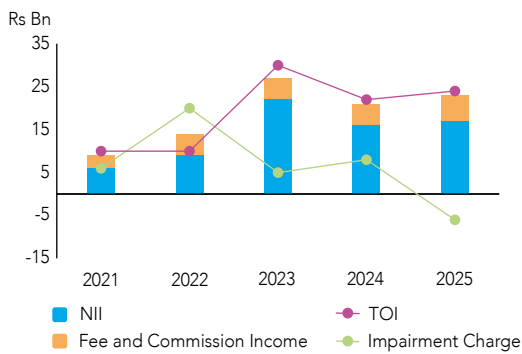


WHOLESALE BANKING



Key Performance Highlights

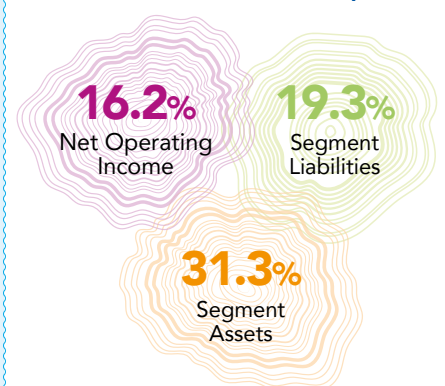
Earnings



Advances
Rs 779.6 Bn
11.6% ↑

Deposits
Rs 427.6 Bn
20.9% ↑

Contribution to the Group



Socioeconomic Impact Dashboard

Supporting Key Sectors Driving
Sri Lanka's Economic Recovery

Manufacturing **29%**

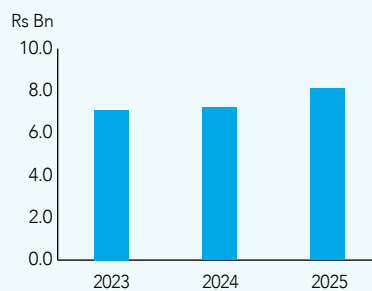
Financial Services **20%**

Construction And Infrastructure
Development **16%**

Agriculture, Forestry and Fishing **12%**

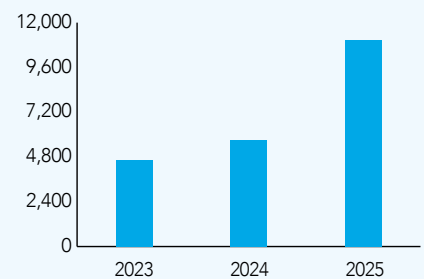
Accelerating the Renewable
Energy Transition

Renewable Energy Project Finance Portfolio



Transition to a Cashless Society

Overall Transaction Banking Volumes (No of payments)



BUSINESS LINE REVIEW

Overview

Building on the strong momentum from late 2024, credit demand within the local Corporate sector accelerated in 2025, driving HNB to expand lending and achieve a 25% year-on-year increase in its Corporate loan book.

The lifting of vehicle import restrictions further boosted activity in the wholesale banking segment, especially in import finance, where HNB's market leadership enabled a 34.8% rise in import income compared to the previous year.

Offshore lending gained strong traction in 2025, with the portfolio recording a significant expansion compared to the position as at end-December 2024.

Another notable development was the significant improvement in asset quality in 2025. Repayment performance improved significantly during the second and third quarters, contributing to a reduction in stage 3 loans and a subsequent impairment reversal.

LKR Lending

Encouraged by sustained economic recovery, many local Corporates activated long-deferred CAPEX plans aimed at expansion and diversification. For HNB, this proved to be a welcome opportunity to mobilise excess liquidity. Working systematically to deepen the penetration, the Bank adopted a fresh approach to customer segmentation, underscoring a more tactical outlook to deliver seamless client experience across each customer segment.

In the Project Finance space, HNB continued to evaluate opportunities across a diverse set of sectors, including manufacturing, sustainability-linked ventures, and renewable energy.

Further solidifying its status as the preferred partner for local Corporates, HNB served as lead arranger and the facilitating agent for a landmark Rs 44.5 Bn debt syndication in 2025, which not only stands as the largest-ever syndicated facility concluded in Sri Lanka to date, but



also brought together the highest number of participating local banks.

New business flows were evident among Emerging Corporates segment as well, with the relaxation of import controls, driving demand for trade related facilities, particularly in relation to vehicle imports.

On the government financing side, the portfolio remained stable, supported by improved fiscal flows including a significant early settlement by one of the SOEs in December 2025, reflecting government-led efforts to reduce overall debt attributed to State institutions.

As at year-end, the overall lending mix remained largely skewed towards direct lending to Corporates, which accounted for 70% of the Wholesale Banking book. The remainder was distributed between Project Finance at 13% and Emerging Corporates at 17%.

**HNB RECOGNISED AS SRI LANKA'S
BEST BANK FOR LARGE CORPORATES
BY EUROMONEY**



Cross-Border Lending

In 2025, the Bank marked a major strategic shift as it advanced from participating solely in syndications to selectively undertaking direct offshore lending, a transition that gained strong momentum in Q2 and Q3.

During the year, the Bank also made its debut in sustainability-linked financing by joining a consortium of global lenders in a landmark facility, the first such achievement for a Sri Lankan bank.

Complementing this momentum, the Bank broadened its asset mix by extending funding to select Financial Institutions, strengthening its presence in new geographic markets.

Deposit Mobilisation

Deposit mobilisation remained challenging in 2025 as the low interest rate environment continued to dampen appetite for traditional deposit products. However, the rollout of the new payment platform led to a steady improvement in CASA mobilisation. CASA balances recorded a steady increase as new clients were on-boarded following deliberate efforts to drive digital adoption among Corporate

customers while total deposits recorded a growth of 17%.

Fee-Based Activities

Fee-based income benefited primarily from renewed demand for trade services amid the resurgence in import activity, which particularly drove front-end fees across both Corporate and Emerging Corporate segments. However, intense competition exerted significant pressure on commission rates across the market. Nevertheless, higher transaction volumes following the launch of the TxB trade platform - TxB TradeX adequately compensated for reduction in commission. Aggressive efforts to promote HNB's transaction banking solutions following key enhancements early in the year also added a further boost to fee income for 2025.

Digital Enablement

Digital adoption continued to be a strategic priority for the segment. In addition to the launch of TxB TradeX, a new enterprise-wide CRM system was launched to facilitate real-time tracking of client requests and delivering faster, more coordinated responses across the network.

Parallel to these enhancements, HNB accelerated the migration of existing

HATTON NATIONAL BANK JOINS GLOBAL LENDERS IN A USD 1 BN SUSTAINABILITY-LINKED SYNDICATED FUNDING FACILITY

The initial USD 700 Mn facility was upsize by an additional USD 300 Mn via the exercise of a green-shoe option, reflecting strong investor confidence and demand.

HNB's participation in this landmark transaction underscores the Bank's deep commitment to champion sustainability linked initiatives that strengthen both environmental stewardship and long-term economic resilience.

DBS Bank Ltd. and Oversea-Chinese Banking Corporation Limited (OCBC) served as Mandated Lead Arrangers, Underwriters, and Bookrunners, and as Sustainability Coordinators, ensuring the facility's alignment with Aster's ESG objectives.

clients to its digital cash management and trade platforms, supported by targeted onboarding campaigns. The Employee Banking model was also actively promoted, reinforcing digital salary processing and transactional penetration across Corporate clients.



Way Forward

Outlook

The outlook for the sector is highly encouraging with the demand for financial solutions anticipated to grow exponentially as the sector expands in tandem with the broader recovery in economic activity. However, competitive pressures are also likely to intensify significantly in the coming years.

For HNB, the focus would be to reinforce its competitive position by streamlining internal processes to shorten turnaround times and accelerating the adoption of technology to improve operational efficiency. Ultimately, HNB will aim for the steady expansion in captive market share over the next 3 to 5 years.

Short Term Plans

- » Use of AI to deepen customer insights.
- » Extend the mobile banking experience currently used by personal banking clients to enable Corporate clients to benefit from enhanced transactional convenience.
- » Develop and implement a range of solutions to provide end-to-end support that enhances the value chain of our large corporate clients.

Medium to Long Term Plans

- » Expand the sustainability-aligned product suite to channel funding towards green and sustainable projects in Sri Lanka and across the wider region.
- » Expand regionally and increase offshore exposure to reduce impact of systemic risks and ensure diversification of exposure outside Sri Lanka.
- » Continue to digitise and transform our offerings and solutions to ensure our clients requirements are continued to be met.

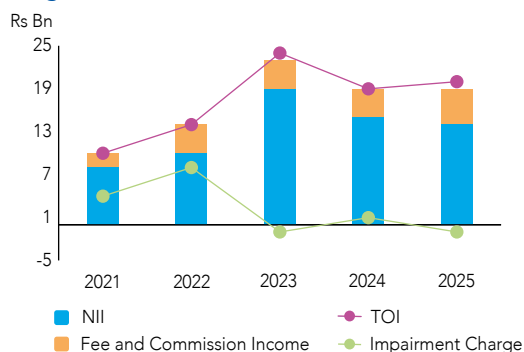
BUSINESS LINE REVIEW

SME BANKING



Key Performance Highlights

Earnings



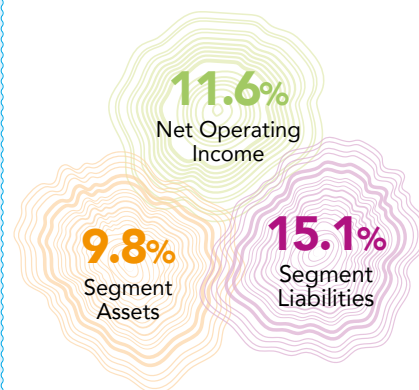
Advances
Rs **245.5 Bn**
32.1%



Deposits
Rs **334.1 Bn**
11.3%



Contribution to the Group



Socioeconomic Impact Dashboard

Supporting SME sector
Development in Sri Lanka

Wholesale and retail trade **41.8%**

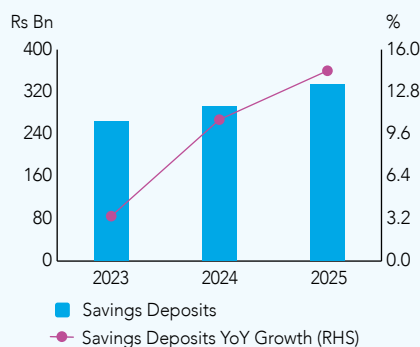
Manufacturing **14.4%**

Construction and infrastructure
development **11.4%**

Agriculture, forestry and
fishing **9.6%**

Increase in Aggregate
National Savings

Savings Deposits



Transition to a Cashless Society

SME TRANSACTION BANKING

Number of transactions

2025 - **1.6 Mn**

394.6%



TOTAL VOLUME

2025 - **Rs 403 Bn**

379.8%



NEWLY ONBOARDED COMPANIES

2025 - **5,916**

82.5%



Overview

Overall, 2025 marked a year of consolidation and renewal for HNB's SME banking segment on the back of the country's economic resurgence with macroeconomic stability, easing inflationary pressures, and rising business confidence creating the space for a meaningful revival across key SME-linked sectors. Moreover, aided by favourable weather conditions in 2025 farming and agri-processing enterprises appeared to regain capacity, while the long-stalled construction industry also showed signs of reviving during the year.

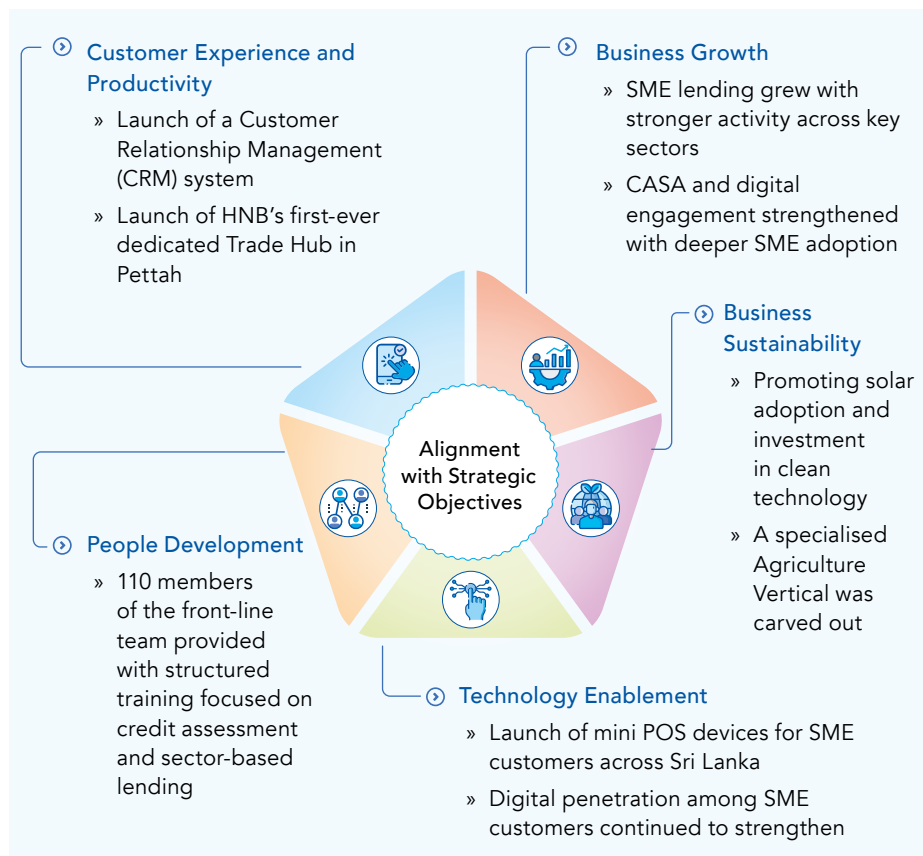
Keen to capitalise on these emerging opportunities, HNB strengthened internal capabilities with special emphasis on upskilling front-line teams. Structured training focused on credit assessment relationship management were prioritised to ensure RMs were better equipped to support SME sector customers.

To further enhance customer convenience and improve internal service delivery, a new Customer Relationship Management (CRM) system was also rolled out. The CRM platform which was made accessible across the branch network, regional offices, and key support units has greatly improved internal visibility and accountability, in turn contributing towards improving customer response times across the network.

Consequently, the SME lending recorded a significant growth of 32.1% during the year which saw the SME advances portfolio accounting for approximately 17.0% of the Bank's total advances as at 31st December 2025.

Asset quality indicators within the SME portfolio also improved notably in 2025 reflecting the broader economic improvement and the Bank's strengthened risk management framework. Dedicated senior management oversight, combined with disciplined follow-up, deeper customer engagements culminated in a significant reduction in Stage 3 exposures by end December 2025.

With the resumption of vehicle imports in April 2025, there was a significant surge in



imports and the Bank was able to capture a significant share of the renewed import-led business activity in the SME segment, mainly led by the vehicle importers.

Deposit mobilisation within the SME segment also recorded steady growth in 2025, a commendable achievement especially given the low interest rate regime. CASA balances expanded by 16.8% year-on-year, reflecting not only rising business activity but also the success of the Bank's efforts in driving digital adoption among SMEs.

Digital adoption among SMEs continued to strengthen during 2025, with an increasing share of the SME base actively engaging with our digital platforms by year-end.

Key Highlights for 2025

Lending to High Growth Sectors

In 2025, HNB continued to reiterate its commitment as a longstanding partner to Sri Lanka's agricultural sector. While

significantly increasing targeted lending, the Bank further deepened its engagement with the agri sector by empowering small and medium scale agri entrepreneurs to achieve scale and productivity advantages through the adoption of modern agri technology and sustainable farming practices.

A series of strategic partnerships aimed at expanding access to high-quality agricultural machinery and value-added services were implemented during the year.

Beyond agriculture, HNB also advanced its support for Sri Lanka's rapidly expanding ICT sector through special incentives and structured funding arrangements to support IT start ups.

Strengthening HNB's Trade Finance Proposition

Encouraged by the revival in external trade in 2025, HNB strengthened its strategic focus on enabling trade-led activity, acknowledging that efficient and accessible

BUSINESS LINE REVIEW

trade finance is essential not only for national growth but also for the thousands of businesses that form the backbone of Sri Lanka's trading ecosystem. HNB's first-ever Trade Hub was launched in Pettah, marking the first in a planned rollout of specialised HNB Trade Hubs across the island designed to bring dedicated trade financing services closer to high-density business centres.

The Trade Hub model embodies HNB's broader objective of delivering purpose-built financial solutions coupled with advisory services through a dedicated relationship-based model aimed at strengthening trade activity across the country.

Refinance Operations

With the gradual strengthening of economic conditions and the resurgence of business activity across key sectors, HNB's refinance operations gained notable traction in 2025.

All refinance schemes were fully utilised to support SMEs across the country. Additionally, HNB started utilising the National Credit Guarantee Scheme in 2025 as a participating financial institution to obtain partial credit guarantees for facilities granted up to Rs 25 Mn, thereby

significantly reducing collateral barriers and facilitating credit flows towards SMEs. Similarly, being the exclusive partner for the USAID Guarantee Scheme also helped to strengthen HNB's ability to fund larger exposures to viable enterprises that may otherwise face challenges in securing conventional credit.

At the same time, HNB continued its advocacy of cleaner technologies through leveraging its own funding lines as well as E-Friends scheme to promote solar loans at preferential rates and drive renewable energy adoption among SMEs.

Financial Literacy and Capacity Building

Financial Literacy and capacity building initiatives were further intensified amidst increased lending activities in 2025.

A specialised Agriculture Vertical was carved out within HNB's SME segment to provide more focus and drive towards the agriculture portfolio of the Bank.

To scale outreach and deepen advisory support the Bank connected with various institutions such as Rotary club, Business Network International etc. The main aim of this exercise was to identify high-potential SMEs and provide insights on financial management, credit discipline and digital adoption to grow their business and create

HNB LAUNCHES ITS FIRST TRADE HUB IN PETTAH

HNB launched its first-ever Trade Hub in Pettah to provide dedicated trade services to support importers and exporters. The Trade Hub, which offers extended banking hours from 9.00 a.m. to 5.00 p.m. is structured as specialised unit to serve the end-to-end trade financing needs of businesses, from processing of Letters of Credit (LC) applications to specialised advisory services to assist customers in completing a wide range of trade-related transactions.

pathways to progress to the next stage of business maturity.

Digital Enablement

In keeping with HNB's digital transformation agenda, digital adoption among SMEs remained a major focus. Leading the Bank's SME strategy in 2025 was the expansion of its transaction banking proposition. During the year, HNB successfully onboarded over 5,500 SME customers onto its transaction banking platform, reflecting the strong adoption and effectiveness of this initiative.

Way Forward

Outlook

The outlook for the SME sector is highly encouraging with the demand for financial solutions anticipated to grow exponentially as the sector expands in tandem with the broader recovery in economic activity. However, competitive pressures are also likely to intensify significantly in the coming years.

For HNB, the focus would be to reinforce its competitive position by streamlining internal processes to shorten turnaround times and accelerating the adoption of technology to improve operational efficiency. Ultimately, HNB will aim for the steady expansion in captive share over the next 3 to 5 years.

Short Term Plans

- » Implement a new system focused on value chain financing solutions for distributors and suppliers to capture a larger share of the SME market.
- » Promote POS adoption among SME customers to seamlessly improve scalability and lower transaction costs.

Medium to Long Term Plans

- » Drive CASA growth from the SME segment through targeted engagement and tailored deposit products.
- » Explore collaborations with fintech partners to introduce innovative solutions to drive new customer acquisitions.

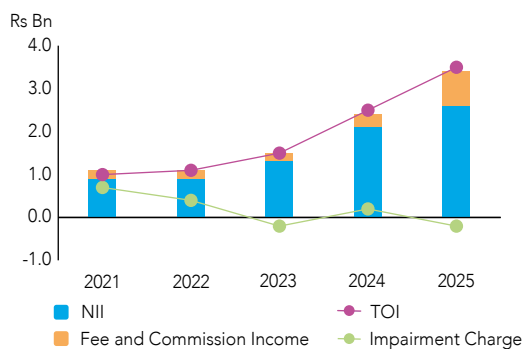


MICROFINANCE



Key Performance Highlights

Earnings



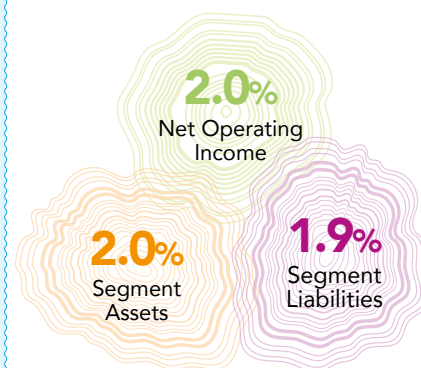
Advances
Rs **49.1 Bn**
49.7%



Deposits
Rs **42.3 Bn**
25.1%



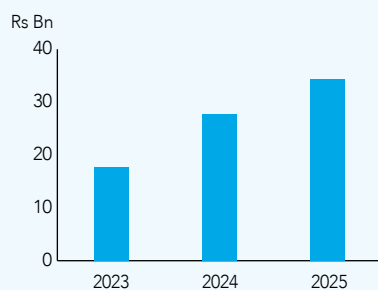
Contribution to the Group



Socioeconomic Impact Dashboard

Supporting Agriculture Sector Development in Sri Lanka

Agriculture Loan Portfolio



Women Empowerment

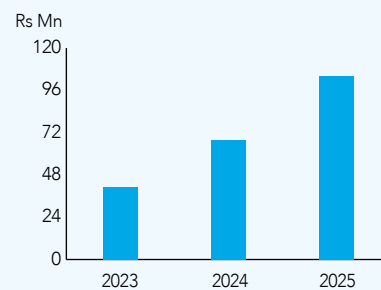
Number of Loans disbursed to Women in **2025 - 10,398**

Value of Loans disbursed to Women in **2025 - Rs 6.6 Bn**

% of Total Microfinance Loan Portfolio - **23.1%** of Facilities

Transition to a Cashless Society

Transactions on SOLO



BUSINESS LINE REVIEW

Overview

The operating environment in 2025 signalled a welcome recovery following several years of subdued activity. Encouraged by improving macroeconomic stability and renewed business confidence, many small-scale entrepreneurs re-entered the market after a lapse of several years.

Favourable weather conditions also provided a much-needed boost to Sri Lanka's agriculture sector. The recovery of paddy, tea, and other key crops not only supported rural livelihoods but also contributed to heightened credit demand across the agricultural value chain.

As an institution deeply rooted in supporting Sri Lanka's grassroots economy, HNB's Microfinance business remained steadfast in its mandate to strengthen the country's agricultural base.

With credit demand continuing to gather momentum throughout the year, the Microfinance loan portfolio expanded

by a robust 49.7% year-on-year, while the Micro-leasing book grew by 62.6% year-on-year, in tandem with the strong demand for agricultural machinery. From a sector perspective, agriculture remained the largest component, accounting for approximately 68.0% of HNB's Microfinance portfolio.

At the same time, the Bank relied on its relationship-based operating model to strengthen deposit mobilisation with efforts by Microfinance officers culminated in a 25.1% year-on-year growth in deposits attributed to the Microfinance customer base. The relationship-driven model was also largely responsible for the exceptional asset quality within the Microfinance portfolio.

Meanwhile, in order to strengthen institutional expertise in Microfinance, HNB continued to invest in capacity building for its dedicated Microfinance officers. The entire team participated in an online professional development programme

MODERNISING SRI LANKAN AGRICULTURE: HNB SARUSARA TO REACH 30,000 FARMERS NATIONWIDE

Launched under the theme: 'Empowering Agribusiness and Driving Economic Growth,' HNB Sarusara leverages cutting-edge technology, sustainable practices, and financial inclusion to revolutionise Sri Lanka's agricultural sector.

Building on its success in 2024, Sarusara will scale up its reach with targeted programmes designed to uplift rural agripreneurs and foster the modernisation of Sri Lanka's agricultural sector.

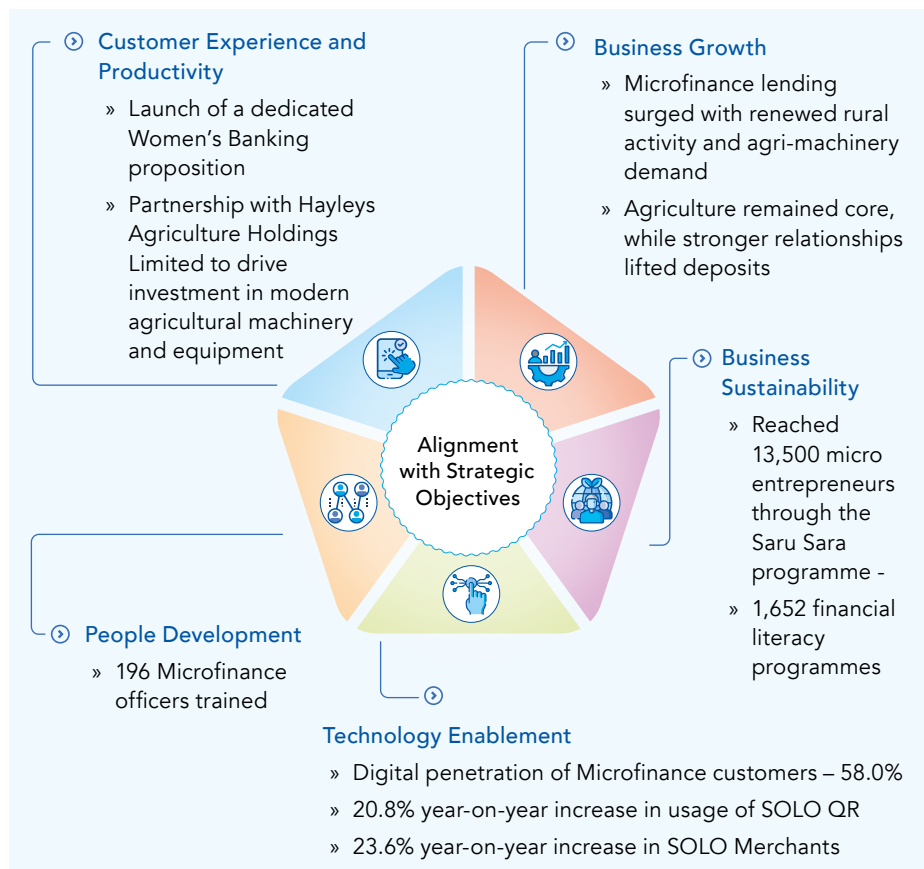
conducted by the University of Kelaniya, while a selected group successfully completed the Microfinance Certification Course offered by the Sri Lanka Bankers' Association. Newly certified officers were further equipped with advanced learning materials and tools to conduct financial literacy and awareness programmes within their respective communities.

Key Highlights for 2025

Agri Sector Development Initiatives

In 2025, HNB continued to strengthen its leadership in advancing Sri Lanka's agricultural economy through targeted initiatives.

HNB's Govi Saviya Scheme was further strengthened and strategically expanded through a combination of internal fund allocations alongside access to concessional funding sources including the Central Bank's New Comprehensive Rural Credit Scheme (NCRCS) for short-term cultivation and the ADB's (Asian Development Bank) revolving fund for agri-based refinancing facilities. The main aim of this exercise was to provide micro and small-scale paddy farmers with access to timely financial assistance to facilitate both the Yala and Maha cultivation seasons.



In parallel, efforts to enhance operational efficiency and customer experience were intensified.

Another notable highlight during the year was the launch of Phase I of a Special Agri Sector Development Solution, delivered through close collaboration between HNB, the Japan International Cooperation Agency (JICA), and the Ministry of Finance.

Meanwhile, to expand outreach within the sector, HNB also initiated structured partnerships with corporate value chains to support small-scale suppliers through integrated financial packages combining lending, savings, insurance, and marketplace access.

Financial Literacy and Capacity Building

The Microfinance Unit, continued to deepen engagement with existing and prospective clients through targeted financial literacy programmes that provide practical knowledge on financial planning, credit management, and business development skills.

In 2025, the Bank's flagship "Saru Sara" Programme targeted towards improving knowledge and awareness among farmer community was significantly expanded, with 12 mini sessions covering around 400 participants per sessions and 6 mega sessions reaching on average 1,500

participants per session held across the island in 2025.

Value-Added Services and Customer Outreach

Working in partnership with NGOs and local universities, the Bank organised a series of mini exhibitions alongside Saru Sara events to give micro-entrepreneurs the opportunity to explore investments in new technologies, new seed varieties, and renewable energy solutions such as solar-powered irrigation systems to further improve yields and build climate resilience.

A pilot project on regenerative agriculture was also launched to educate Saru Sara Microfinance customers in the Central Province on sustainable soil management and environmental conservation. These efforts are designed to promote soil health, improve productivity, and ensure long-term agricultural resilience.

The Bank's "Podi Podi Business" initiative gathered further momentum during the year, with coverage expanded to 103 branches across the island by end December 2025. Launched to help small businesses transition to digital, cashless transactions through HNB SOLO, the Podi Podi Business programme provides micro-entrepreneurs with greater visibility and access to urban markets.

Focus on Women's Empowerment

In line with the commitment to fostering financial inclusion and increasing female participation in the formal economy, the Bank launched a dedicated Microfinance proposition for women-led micro and SME businesses in 2025. This proposition offers an end-to-end support encompassing preferential interest rates, customised insurance schemes, and comprehensive advisory assistance to empower women entrepreneurs.

Beyond financing, HNB works closely with institutions such as the National Enterprise Development Authority (NEDA), Credit Enhancement Development Agency (CEDA), and Japan International Cooperation Agency (JICA)'s Women's Empowerment Programme, to provide beneficiaries with guidance.

Digital Enablement

Digital enablement of Microfinance customers remained a key priority leading to aggressive efforts to encourage customers to adopt digital solutions such as the HNB Digital Banking App, HNB SOLO QR, and SOLO Merchant platforms as well as credit and debit cards for day-to-day transactions.

Way Forward

Outlook

The outlook for HNB's Microfinance business remains highly positive in the years ahead, supported by improving economic stability and renewed business confidence alongside government-led initiatives to strengthen rural economies and empower grassroot-level entrepreneurship. A key priority will be to migrate Microfinance customers into the SME portfolio, enabling their transition to the next stage of business growth.

Short Term Plans

- » Invest in capacity building through a mix of in-house and external training programmes to further enhance the expertise of Microfinance officers.
- » Expand the Microfinance team with additional recruitment to support business growth and deepen market penetration across Sri Lanka.

Medium to Long Term Plans

- » Introduce product enhancements, including a dedicated housing loan scheme specifically designed for Microfinance customers who are typically excluded from conventional lending channels.
- » Expand the portfolio to include climate financing and green financing solutions, supporting environmentally sustainable livelihoods and agricultural practices.



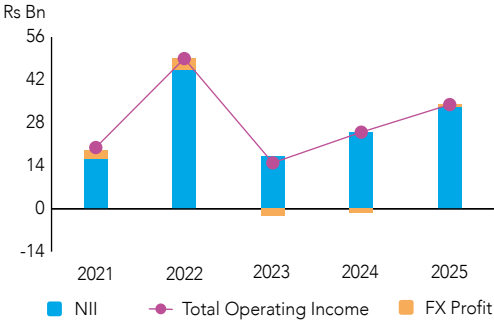
BUSINESS LINE
REVIEW

TREASURY



Key Performance Highlights

Earnings

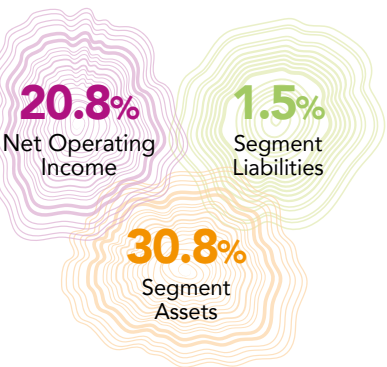


Treasury Bond Portfolio
Rs 266.8 Bn
-7.4%

Treasury Bill Portfolio
Rs 372.4 Bn
-16.5%

FCY G-SEC Portfolio
Rs 87.7 Bn
7.3%

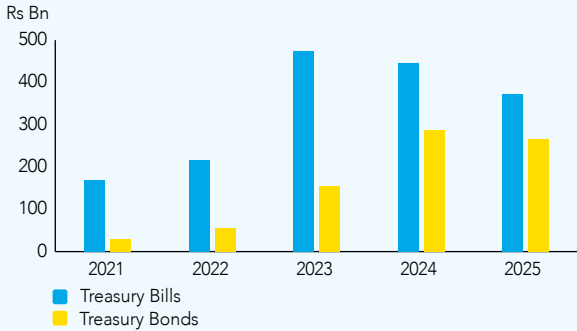
Contribution to the Group



Socioeconomic Impact Dashboard

Investments in Treasury Bills and Treasury Bonds

Portfolio of Treasury Bills and Bonds



Capacity Development

NUMBER OF PARTICIPANTS AT THE TRAININGS
CONDUCTED IN THE TREASURY DEPARTMENT

2025 - 228
2024 - 145
2023 - 219



Overview

The operating environment remained fluid in 2025, with HNB's Treasury operations for the year influenced by evolving liquidity conditions, policy rate movements, and foreign exchange dynamics. In the first half of the year, the interbank rupee market remained well-liquid, supported by accommodative conditions and subdued credit growth. However, as domestic credit momentum strengthened in the second half of the year, liquidity gradually tightened, exerting downward pressure on market interest rates, which eventually stabilised at around 8.0% in August 2025.

Developments in the local foreign exchange market also continued to play a significant role in shaping Treasury operations in 2025. While excess liquidity in the FX market at the start of the year was mopped up with the intervention of the CBSL, the Sri Lankan Rupee experienced a slight appreciation against the USD. However, as the market reopened for vehicle imports from April 2025 onwards, demand for foreign currency increased, resulting in the Sri Lankan Rupee witnessing a gradual depreciation over the course of the year and closing the year weaker against major currencies.

Meanwhile, external factors added further complexity to the operating landscape, most notably international trade headwinds from evolving US trade tariffs and broader geopolitical uncertainties which continued to alter the course of world trade dynamics.

Key Highlights for 2025

Fixed Income Portfolio

The performance of HNB's Fixed Income Portfolio in 2025 reflected the mixed outcomes resulting from the Bank's participation in the primary market during the course of the year. In the early part of the year, subdued private sector credit growth resulted in excess liquidity, which the Treasury strategically deployed towards

government securities, leading to notable expansion in the fixed income portfolio by the end of the first quarter of the year.

However, this trend reversed since the private sector credit demand accelerated sharply. With government securities also offering relatively low yields, the Treasury's liquidity management approach focused on quality lending to customers in order to minimise margin pressure and sustain earnings growth. As a consequence of the Bank redirecting liquidity towards supporting credit growth, a significant contraction in the government securities portfolio was observed in the latter part of the year with HNB's government securities portfolio as at 31st December 2025 reflecting a decline of 10.9% compared to the previous year.

Notwithstanding these conditions, the Bank maintained an active presence in the secondary market throughout the year, helping to ensure that earnings from the fixed income segment remained broadly aligned with expectations.

FX Portfolio

HNB's FX Portfolio continued to be influenced by evolving macroeconomic and market dynamics, particularly the gradual improvement in domestic business conditions and external inflows. Against this backdrop, HNB too benefited from stronger foreign exchange inflows driven by growth in exports, tourism, and worker remittances, collectively enhancing overall FX liquidity levels to enable the Bank to actively support import activities. The



BUSINESS LINE REVIEW

availability of foreign currency, further strengthened the Bank's capacity to meet customer demand for trade and cross-border transactions.

With FX liquidity remaining comfortably elevated, HNB strategically increased its

investments in offshore instruments to optimise returns and enhance portfolio diversification to better manage risk exposure while strengthening the resilience and performance of the Bank's FX portfolio.

Way Forward

Outlook

With credit demand expected to strengthen amid a stable interest rate environment in the near to medium term, HNB will continue to focus on prudently balancing liquidity requirements while optimising returns. This will be achieved through the strategic scaling of the fixed income portfolio, aligned to opportunities within the government securities market. In parallel, the Bank will maintain a diversified foreign exchange investment strategy to further strengthen its trade finance capabilities, ensuring effective support for the evolving needs of export, import, and remittance customers.

Short Term Plans

- » Increase digital integration in line with HNB's digital vision, with a view to enhancing risk management frameworks, leveraging data-driven insights for portfolio decision-making, and aligning treasury strategies with broader balance sheet objectives.

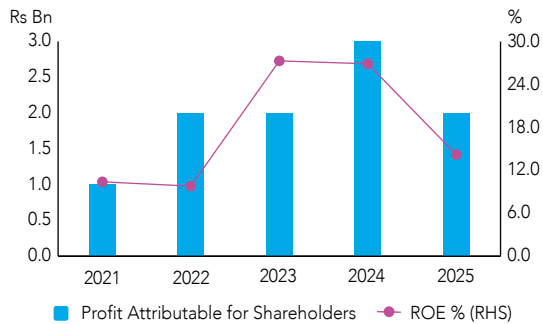


INVESTMENT BANK



Key Performance Highlights

Earnings



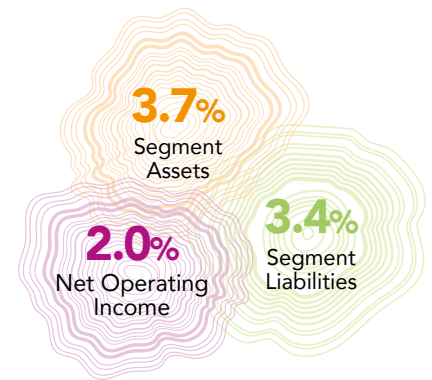
Assets Under Management
Rs 92.4 Bn
32.9%



Net Asset Value per Share
Rs 87.40
16.5%



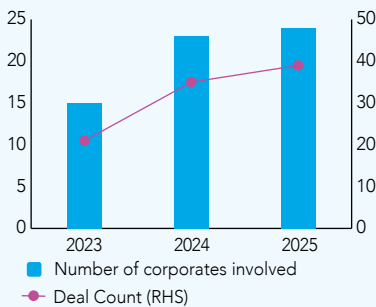
Contribution to the Group



Socioeconomic Impact Dashboard

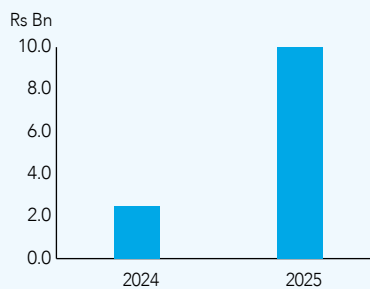
Improved Access to Capital and Business Expansion

Deal Count and Corporate Participation



Capital Market Participation and Financial Inclusion

GSS+ Capital Raised



Capital Raising Across Asset Classes

DEBT CAPITAL
Rs 20.2 Bn

EQUITY CAPITAL
Rs 3.8 Bn



BUSINESS LINE REVIEW

Overview

On 21st January 2025, HNB successfully completed the acquisition of the remaining 50% voting stake in Acuity Partners (Pvt) Ltd., previously held by DFCC Bank PLC. Following this transaction, the Company was rebranded as HNB Investment Bank (Pvt) Ltd and is now a wholly-owned subsidiary of Hatton National Bank PLC. This strategic integration solidified the Group's position in the investment banking space and strengthened alignment across its capital markets businesses.

Improved market sentiment and increased investor confidence, supported by the continued economic resurgence during the year, created a highly conducive environment for all three key business segments of HNB Investment Bank.

Healthy performances across Corporate Finance, Stockbroking, the Primary Dealer arm, and the LVL Group contributed to a strong overall financial outcome for HNB Investment Bank, reflected in a Profit After Tax exceeding Rs 2.0 Bn during the year.

Key Highlights for 2025

Corporate Finance Division

The operating environment during the year underpinned by a low-interest rate regime and a gradual pickup in economic activity provided a favourable environment for the Corporate Finance Division to pursue deal transactions. This created supportive conditions for pursuing debenture raising mandates from both banking and non-

banking financial institutions. However, during the latter part of the year, an upward pressure on interest rates resulted in an uptick in interest rates with investors demanding higher yields compared with the market dynamic experienced during the first three quarters of the year under review. Similarly, the strong momentum for mergers and acquisitions against the backdrop of the economic recovery also provided some viable opportunities, in addition to multiple cross border M&A transactions.

Eager to build on these evolving dynamics, the Division proactively engaged clients across priority sectors, collaborating closely with business teams of HNB to identify opportunities and strengthen the deal pipeline.

The Division's product suite was also further expanded with the introduction of the Trust Certificate proposition.

Stockbroking Unit

Improved political and macroeconomic stability during the year resulted in a marked revival in equity market activity in 2025. Average monthly turnover at the CSE increased significantly from Rs 44 Bn in 2024 to Rs 102 Bn in 2025, reflecting growth of approximately 131%, while the All Share Price Index (ASPI) rose by 42% during the year.

Amid rising investor activity and stronger equity market returns, the Stockbroking arm prioritised enhancing customer experience through upgraded products and services.

Client onboarding was fully digitalised, and online trading access was extended to all new accounts. Market developments were supported by sponsoring investor awareness initiatives, including the 'Invest Sri Lanka'. Further strengthening its nationwide presence, the Unit opened its second branch in Jaffna, marking a key milestone in expanding world-class investment services across the island.

Primary Dealer Operations

Throughout 2025, HNB Securities, the Primary Dealer arm of HNB Investment Bank, remained an active participant in both primary auctions and secondary market trading of Government Securities, to end the year on a high note, while the upward movement in the interest rates that prevailed in the second half of the year 2025 was a challenge that the Primary Dealer arm maneuvered with a cautious approach. HNB Securities reached another key milestone in September 2025, by becoming the first Primary Dealer in Sri Lanka to be assigned an issuer rating of 'A (Ika)' with a Stable Outlook by Fitch Ratings, a testament to market confidence in the institution's financial strength and governance standards.

Meanwhile, working proactively to facilitate the growing scale and complexity of its operations, preliminary steps were taken to upgrade existing IT infrastructure to a fully integrated core Primary Dealer system. HNB Securities opened up their first branch in Jaffna, with the aim of further expanding its customer base.

Way Forward

Outlook

The outlook for Sri Lanka's capital market in 2026 remains cautiously positive, supported by expectations of macroeconomic stabilisation, improving investor confidence, and a gradual recovery in corporate earnings. While policy consistency, easing interest rates, and stronger foreign participation are expected to underpin market activity, performance is likely to remain sensitive to global financial conditions and the pace of domestic reform implementation.

The HNB Investment Bank will seek to source business opportunities in other markets where HNB PLC has an established presence.

Short Term Plans

- » Strengthening market presence through introduction of new products and expanding its presence.

Medium to Long Term Plans

- » Leveraging emerging opportunities in international markets to diversify revenue streams.
- » AI and advanced analytics to be used to unlock deeper customer insights and strengthen the quality and speed of strategic decision-making.
- » Collaborating with partners to deliver integrated solutions, drive innovation, and enhance value creation.

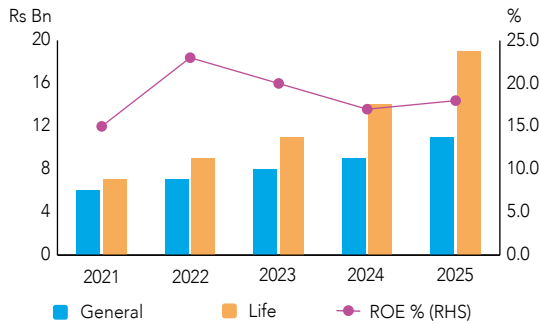


HNB ASSURANCE



Key Performance Highlights

Gross Written Premium



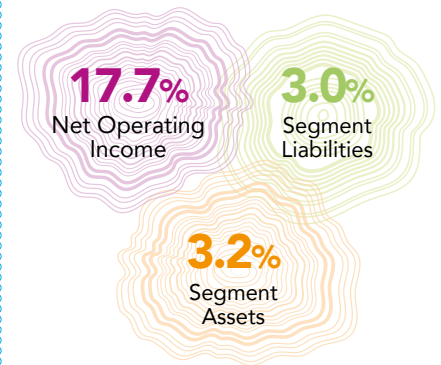
Equity
Rs **14.1 Bn**
15.2%



CAR Life
283%

CAR General
190%

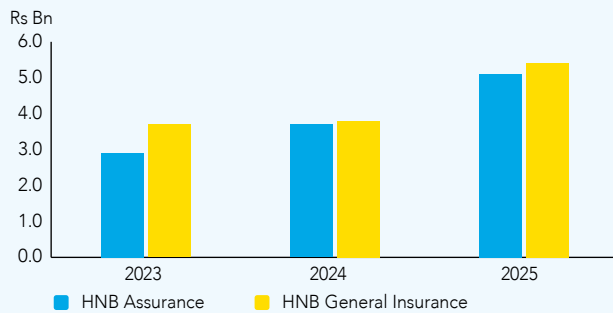
Contribution to the Group



Socioeconomic Impact Dashboard

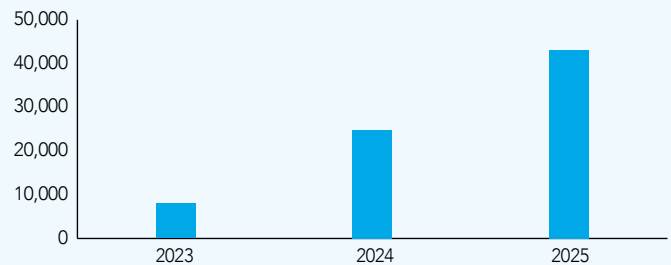
Increasing access to financial services

New Business Premiums (NBP)



Assisting low-income households and small businesses recover from disasters

Micro Insurance (No. of Policies)



BUSINESS LINE REVIEW

Overview

Benefiting from the gradual restoration of investor and consumer confidence amid improving macroeconomic stability, Sri Lanka's insurance industry continued its growth trajectory in 2025, marking a notable acceleration from the previous year with growth across key insurance lines, including motor, health, and construction. Insurance penetration also improved during the year, supported by the widespread use of digital channels to reach under-served rural communities through mobile-enabled micro-insurance solutions.

The increasing reliance on mobile and internal digital platforms heightened industry-wide exposure to cyber risks. Consequently, regulatory and compliance requirements became more stringent, with the implementation of the Personal Data Protection Act, tighter IRCSL regulations, and enhanced KYC/AML/CFT standards necessitating insurance companies to incur significant investments in implementing the required systems, controls, and processes.

As always, stiff competition across the industry was responsible for driving pricing strategies. Furthermore, global reinsurers remained cautious towards Sri Lanka, influenced by past political instability, impacting both the cost and availability of reinsurance capacity.

Key Highlights for 2025

Life Insurance Operations (HNBA)

The local life insurance segment recorded steady progress in 2025, on the back of the growing appetite for protection and long-term savings solutions. Demand for health-related life insurance products strengthened, particularly among urban customers, as private healthcare costs continued to outpace public-sector alternatives. In parallel, affordable life insurance offerings and shorter-tenure products gained traction in rural markets, aided by mobile platforms and simplified onboarding processes that improved accessibility.

Despite these positive developments, affordability remained a key constraint as financially stressed households became

increasingly price sensitive, while cultural resistance and gaps in financial literacy continued to impede broader life insurance adoption.

Against this backdrop, HNBA sharpened its focus on product innovation and data-led decision making. Leveraging analytics to better anticipate customer needs, the Company introduced tailored solutions. A key milestone was the launch of Privileged Fast, an innovative universal life insurance product, designed to deliver affordability, convenience, and financial security.

In a bid to broaden market reach, HNBA's agency network and partnership channels were also further expanded, with a particular focus on underserved segments. A notable development during the year was the partnership with Flash Health, which enhanced the wellness proposition offered to HNBA customers. Strategic partnerships with telecom operators, supermarkets, retail chains, and banks were also strengthened to enhance premium collection, supporting the transition away from cash-based payments. Digital platforms, including eBuddy, Smart Advisor, InfoMart, along with the newly launched eLife platform, were also leveraged to enhance customer access to simple life insurance solutions. The Liya Harasara campaign launched in celebration of International Women's Day 2025 further reinforced HNBA's commitment to inclusive access.

Meanwhile, the Privileged Life Overseas Plan launched in 2025, which targets Sri Lankans working abroad, underscored HNBA's efforts to expand its reach beyond mainstream customer segments.

Enhancing customer convenience remained a key priority. The call centre was upgraded to operate on a 24/7 basis, while the launch of HANA, HNBA's AI-powered chatbot, transformed customer engagement across policy servicing, claims inquiries, and product information. Digital payment capabilities were further strengthened through deeper integration with HNB SOLO, including policy number validation for seamless premium payments,

AWARDS

HNBA:

- » Ranked among the Top 40 best workplaces and 20 most woman friendly work places in Sri Lanka by Great Place to Work
- » The Best Life Bancassurance Provider Sri Lanka 2025 by Global Banking & Finance Review
- » Received the National Level Silver award for Business Growth and the Insurance Sector Gold award at the National Business Excellence Awards
- » Honoured at the CLA Great Managers Awards for Leadership Excellence
- » Won Two Gold awards at the National Convention on Quality and Productivity for Lean Management Projects
- » Silver Award at the Dragons of Sri Lanka 2025 under the Digital Category for "Virtual Avurudu Village" Campaign
- » Bronze Effie Award in the Insurance Category for the "Dola Duka" Campaign

HNBGI:

- » Certified as a Great Place to Work in Sri Lanka
- » Recognised for inclusivity at the Mom Leaders Conference 2025 and Fatherhood Forum 2025 by Parenthood Global
- » Gold Winner in the Insurance Sector at the National Management Excellence Awards (NMEA) 2025, organised by the Institute of Management of Sri Lanka (IMSL)

supported by targeted promotions and loyalty initiatives.

These strategic initiatives collectively supported HNBA's performance during the year. Although market volatility and the transition to IFRS 17 posed challenges to investment income, the Company recorded year-on-year growth in investment income, with the life fund also expanding over the period. This progression underscores HNBA's financial strength and long-term resilience. Reflecting strong underwriting discipline and prudent investment management, HNBA's profit after tax increased by 28.1% to Rs 2.1 Bn in 2025.

Operationally, the Company continued to invest in strengthening its digital and technology infrastructure. A state-of-the-art core insurance system was implemented to consolidate underwriting, servicing, and claims processes into a single integrated platform, thereby significantly enhancing accuracy, operational efficiency, and service quality.

General Insurance Operations (HNBGI)

The continued expansion of Sri Lanka's digital economy, together with rising internet penetration, supported the development of new digital distribution channels and enhanced customer engagement across the general insurance sector. Growing awareness further bolstered the demand for emerging insurance solutions, including medical, cyber liability, renewable energy, and electric vehicle coverage. The non-motor segment, particularly fire, marine, and health insurance maintained strong momentum, supporting HNBGI's efforts to progressively diversify beyond its traditionally motor-centric portfolio.

At the same time, the increasing frequency and severity of claims arising from natural disasters, climate-related events, and public health risks placed added pressure on underwriting discipline and profitability across both motor and non-motor classes. Against this backdrop, HNBGI anchored its strategy in four core pillars in 2025: driving

sustainable growth, enhancing customer experience, continuous innovation, and embedding ESG principles across operations.

HNBGI continued to rebalance its portfolio by expanding non-motor business lines through the introduction of specialised products to address emerging risks. Key highlights included the launch of cyclone insurance to support climate resilience, enhancements to bank guarantee and personal cyber insurance solutions, and the rollout of parametric insurance for day-boat fishermen in partnership with Dialog Axiata via the Sayuru app. Crop insurance solutions were also introduced through the Govi Mithuru app, extending smart, mobile-enabled protection to the agricultural sector.

Improving accessibility remained a priority. To that end, the opening of HNBGI's first Franchise Business Development Office in Karapitiya, Galle, marked a key step toward establishing a scalable, island-wide franchise model. Simultaneously, strategic partnerships with banks, finance companies, telecom operators, SMEs, and employment agencies further strengthened market reach, particularly within underserved rural, agricultural, and fisheries segments. In parallel, targeted marketing initiatives, such as the MotorGuard Lady campaign on International Women's Day, reinforced HNBGI's focus on inclusive protection and women's empowerment. These initiatives

were also in line with the Company's ESG commitments by facilitating access to inclusive insurance.

Customer-centricity was further strengthened through a range of service enhancements, namely the launch of "Nexa," HNBGI's AI-powered chatbot, enabled 24/7 customer support and improved service accessibility across digital channels. Likewise, the new CRM platform introduced in 2025 aims to capture real-time CSAT feedback, supporting faster service recovery and continuous improvement.

Technology adoption was led by the Company's cloud-first strategy, aimed at modernising its core infrastructure through migration to Oracle Cloud Infrastructure. A major milestone was the successful launch of Phase I of Project Phoenix, the new cloud-based core insurance system, now supporting 44 products and providing a scalable, API-driven foundation for future growth. Complementary investments included enhanced customer and broker portals, mobile applications, workflow automation, AI-enabled underwriting, and RPA-driven data migration to improve speed, accuracy, and efficiency. Given the growing reliance on technology systems, cybersecurity capabilities were also strengthened through the establishment of a Managed Security Operations Centre and enhanced data protection frameworks.

Way Forward

Outlook

Improvements in the macroeconomic environment together with rising awareness, and increasing demand for microinsurance, health and wellness solutions, are expected to create meaningful growth opportunities for Sri Lanka's insurance industry. Further the inherently low insurance penetration in the country is likely to trigger a strong momentum for digitally enabled insurance products.

Backed by its strong brand reputation, extensive market presence, and solid financial standing, the HNBA Group is well positioned to capitalise on these emerging opportunities and translate them into sustainable, long-term growth in the years ahead.

Short Term Plans

- » HNBGI will aim to progress to Phase II of the Project Phoenix, which will deliver B2B and B2C digital portals to expand customer self-service capabilities and deepen collaboration with business partners.

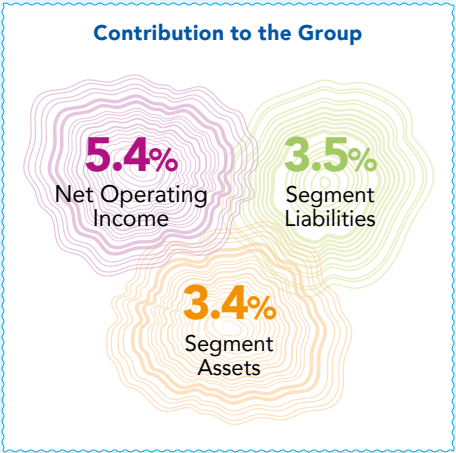
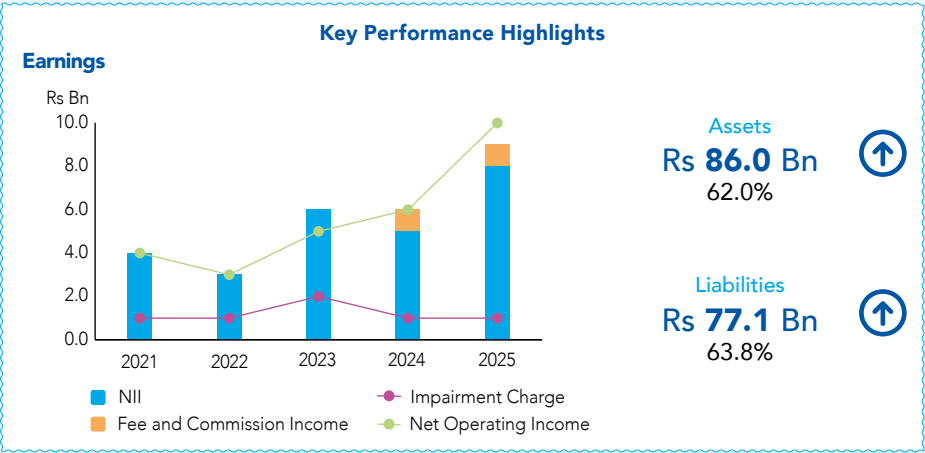
Medium to Long Term Plans

- » Position HNBA among the top three life insurers in Sri Lanka.
- » Establish HNBGI as the most customer-centric general insurer in Sri Lanka.

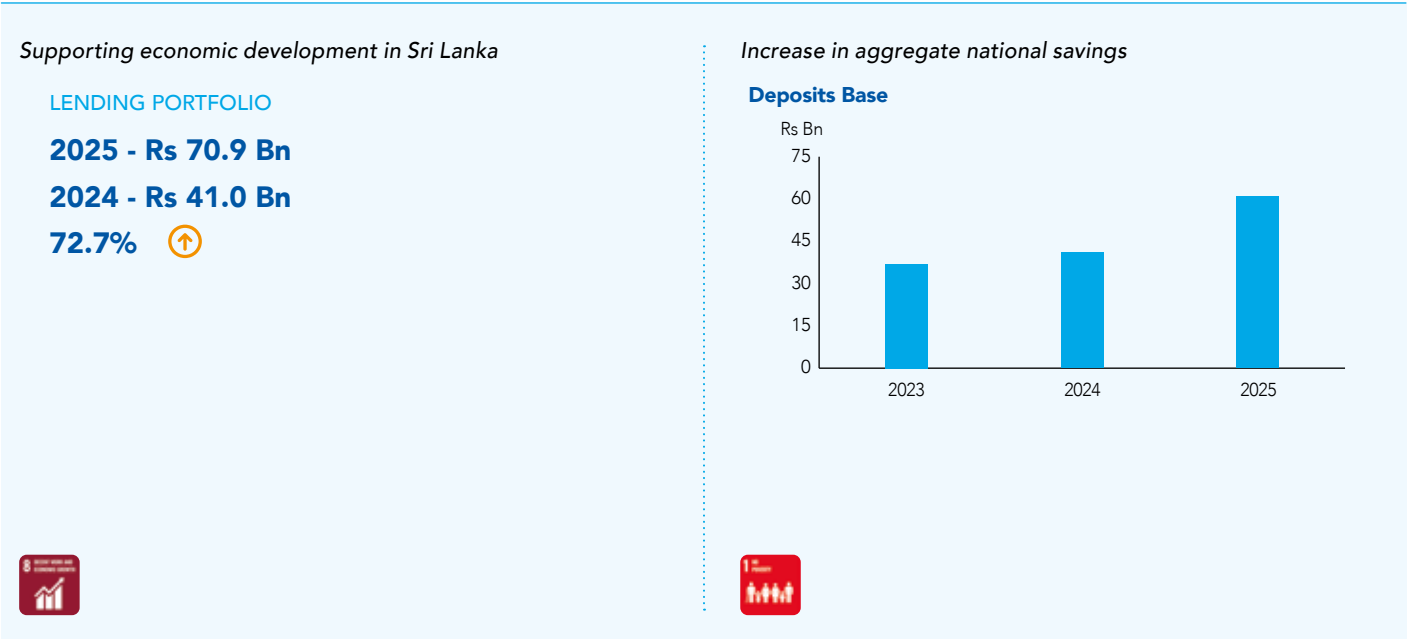


BUSINESS LINE
REVIEW

HNB FINANCE



Socioeconomic Impact Dashboard



Overview

The favourable operating environment in 2025 marked by improved economic fundamentals along with the easing of vehicle import restrictions in February 2025, created the space for HNB Finance PLC (HNBF) to grow its core business.

Against this backdrop, the Company adopted a prudent approach to scaling the business by pivoting towards collateral-based lending through leasing and gold loans. This strategic shift was aimed at mitigating risks associated with unsecured lending. Another key factor in influencing lending decisions in 2025 was the growing emphasis on sustainable finance.

On the funding front, HNBF continued to prioritise fixed deposits as its primary funding source. Mobilising long-term fixed deposits was considered a strategic imperative in facilitating longer-tenure lending such as leasing, thereby minimising potential asset-liability maturity mismatches. Steps were also taken to strengthen ties with funding partners in order to safeguard resilience amid evolving market conditions.

Prioritising Asset-Backed Lending

Capitalising on the surge in demand for vehicle leasing, HNB Finance adopted a multi-pronged strategy to expand its market share in this segment. As part of this strategy, the leasing portfolio was strengthened through the introduction of the Flexi Lease product which significantly enhances HNBF's competitive positioning in the leasing market. Designed to offer greater flexibility, the product allows customers to customise lease terms based on their individual financial requirements, underscoring the Company's commitment to continuously enhancing its product suite in line with evolving customer needs and market trends. The strategic partnership with one of the prominent motor vehicle importers and dealers in Sri Lanka, represents another notable effort to broaden product outreach and strengthen HNBF's market positioning within the vehicle leasing domain.

In line with the continued emphasis on asset-backed lending, two innovative gold loan products were introduced during the year, namely Cash in Flash and Super Max. All products offer flexible structures and tailored features, to empower a diverse range of customers to access quick and convenient financing. These initiatives were complemented through a new partnership with one of the leading and prestigious Sri Lankan jewellery brands, to enhance visibility and drive customer acquisition through joint promotional initiatives.

HNBF's own Below-The-Line (BTL) campaigns also continued year-round coupled with increased focus on social media promotions, collectively aimed at strengthening brand awareness and improving product communication with regard to the Company's leasing and gold loan propositions. These initiatives were complemented by HNBF's special 25th anniversary commemorative promotional campaign structured to reinforce brand recognition, engage existing customers, and attract new customers.

As a result of these combined initiatives, HNBF's leasing portfolio recorded a year-on-year growth of 105% while the gold loan portfolio expanded to Rs 13.6 Bn as at 31 December 2025, representing a 63% increase over the twelve-month period from 31st December 2024.

Sustainable Finance

Keen to align with the growing national emphasis on sustainable finance, a series of targeted initiatives were undertaken during the year, to align HNBF's lending activities with national environmental and climate objectives. In this regard, the Company continued to support financing of Electric Vehicles (EVs), thus empowering customers to adopt environmentally responsible practices and in doing so, contribute to long-term sustainability outcomes.

Simultaneously, reiterating the commitment to promoting inclusive economic development, enhancing livelihoods, and expanding financial inclusion among underserved communities, a tailored micro finance product was developed and rolled

ACHIEVEMENTS/AWARDS FOR 2025

- » Silver Award for the Annual Report 2024/25 at the TAGS Awards in the Finance Companies and Leasing Companies Sector
- » Most Popular Website in the Finance and Insurance category at BestWeb.lk 2025
- » Overall Bronze Award for Best Website 2025 in Finance and Insurance category
- » Great Place to Work Certification for the FY 2025-26

out to provide affordable and accessible financial services to small-scale farmers and women entrepreneurs.

Deposit Mobilisation

Long-tenure term deposits remained the overarching mandate driving deposit mobilisation activities in 2025. Accordingly, customer retention remained a key strategic priority. Broad-based efforts to enhance service quality, convenience, and relationship management translated into a healthy fixed deposit renewal ratio of 80%. Focused customer acquisition initiatives generated favourable outcomes, with the deposit book expanding by Rs 20.5 Bn during the year, representing a 51% increase over the Rs 40.5 Bn reported as at December 2024.

Equally importantly, efforts to promote savings were further intensified, with a strong emphasis placed on branch-led savings mobilisation to deepen penetration at the grassroots level with a view to consolidating the savings base. The savings product portfolio was also further enhanced through the introduction of new offerings such as Wasi Seettuwa and Power Saver, designed to provide attractive returns while encouraging savings across a broader customer demography. In parallel, the customer loyalty card programme introduced in 2024 was actively leveraged to promote savings behaviour. During the current year, the programme was expanded by issuing loyalty cards to a wider customer

BUSINESS LINE REVIEW

base and broadening the merchant network across multiple sectors, enhancing customer value through increased access to benefits, discounts, and offers.

Asset Quality Management

The broader economic recovery in 2025 contributed to improved consumer confidence and stronger repayment behaviour, resulting in an improvement in asset quality and a noticeable moderation in default rates. Notwithstanding these favourable trends, HNBF adopted a prudent approach to asset quality management driven by targeted recovery action to improve collection efficiency. Governance and oversight were also reinforced with the Board Recovery Committee undertaking more frequent reviews to monitor asset quality trends and recovery effectiveness.

In parallel, the launch of the Loan Origination Solution (LOS) marked a significant milestone in strengthening credit quality at the initial stage. Equipped with integrated mobile capabilities, the LOS streamlines and digitises the lending process by enabling field officers to capture and process customer information in real time, thereby improving the accuracy, consistency, and timeliness of credit assessments and supporting stronger asset quality outcomes over the long term.

Digital Enablement

HNB Finance embarked on a major digital transformation initiative in 2025 led by the successful launch of the Company's Internet and Mobile Banking platforms. Designed with intuitive and user-friendly features, both front-end platforms facilitate seamless transactions, account management, and information access to enable customers to

access a wide range of financial services conveniently through their devices. By enhancing customer convenience and self-service capabilities, the platforms aim to encourage a gradual shift toward digital adoption, thereby improving the overall customer experience.

Meanwhile, to strengthen internal digital capabilities, the Company made significant investments in the Microsoft 365 platform to automate routine manual workflows, with a view to improving process accuracy and operational efficiency.

During the year, HNBF also took an important step towards transforming its core IT systems. Forming a strategic partnership with a next-gen tech partner, to initiate the implementation of a modern core IT solution to comprehensively automate core financial and business processes.

Way Forward

Outlook

Sri Lanka's economy is expected to benefit from continued macroeconomic stabilisation, supportive policy reforms, and recovering private sector activity, which is set to drive momentum for credit.

Against this backdrop, HNB Finance will continue to align its lending portfolio mix in tandem with evolving market demand while maintaining strong asset quality, to facilitate sustainable growth, build resilience, and preserve the Company's reputation for prudent lending and investment practices.

Short Term Plans

- » Complete the implementation of the core IT solution to automate core financial and business processes. The solution which integrates AI-powered reporting capabilities is also expected to provide real-time insights to support informed decision-making, operational efficiency, and customer service as the Company advances its digital footprint.
- » Enhance customer experience through the introduction of value additions including the launch of Visa Debit and Credit cards to give customers the flexibility to manage their financial needs.

Medium to Long Term Plans

- » Expand the product portfolio through the introduction of innovative sustainability-linked offerings.
- » Enhance the diversity of the funding base by establishing strong relationships with banks to secure the most competitive rates, thereby effectively managing and maintaining optimal funding costs.

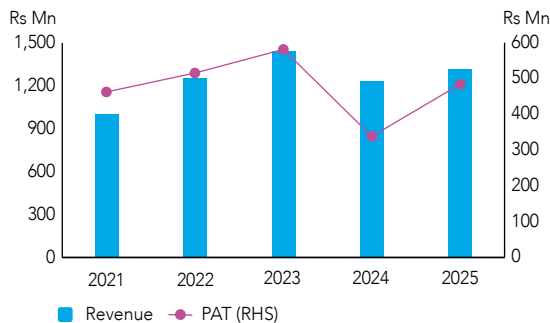


REAL ESTATE



Key Performance Highlights

Earnings



Assets
Rs 10.9 Bn
-2.9%



Liabilities
Rs 2.4 Bn
-4.6%



Contribution to the Group

0.7%
Net Operating
Income

0.1%
Segment
Liabilities

0.4%
Segment
Assets

Overview

The improving economic environment during the year presented a mix of opportunities and challenges for HNB's Real Estate segment, represented by Sithma. Demand from the corporate sector for Grade-A office space strengthened in line with the gradual revival in business activity. On the other hand, the Company experienced tenant attrition due to space limitations that hindered tenant expansions, resulting in some occupiers relocating from HNB Towers.

Heightened competitive pressures within the commercial real estate market further intensified these challenges. In response, Sithma adopted a proactive client retention strategy, anchored on continuous upgrades to building infrastructure and facilities. Key initiatives for the year included modernising legacy systems to enhance energy efficiency and ensure zero downtime, most notably through the replacement of the Medium Voltage (MV) panels at the Towers. In parallel, rental pricing strategies were reviewed and revised upward during the

year to align with prevailing market rates for commercial real estate.

Way Forward

Looking ahead, Sithma will enhance service quality by upgrading the Building Automation System, enabling smarter energy management, greater operational efficiency, and an improved tenant experience, thus reinforcing the long-term value of HNB's real estate portfolio.

FINANCIAL CAPITAL



HNB's Financial Capital represents the equity base, retained earnings, and other financial resources that support the Group's sustainable growth and enable the creation of value for stakeholders over the short, medium and long term.



GOVERNANCE AUTHORITIES

- » Board of Directors
- » Board Audit Committee (BAC)
- » Managing Director/CEO
- » Asset and Liability Committee
- » Chief Financial Officer



GOVERNANCE FRAMEWORK

- » Sri Lanka Accounting Standards issued by CA Sri Lanka
- » Companies Act No 7 of 2007
- » Banking Act No 30 of 1998 as amended
- » CBSL directives and guidelines
- » Risk Appetite Prudential Limits
- » Credit Risk Policies
- » Market Risk Policies
- » Liquidity Risk Policies
- » Treasury Policies



LINK TO STRATEGY

- » Business Growth
- » Customer Experience and Productivity
- » People Development
- » Technology Enablement
- » Business Sustainability



KEY RISKS

- » Credit Risk
- » Market Risk
- » Liquidity Risk
- » Operational Risk
- » Information & Cyber Risk
- » Strategic Risk
- » Compliance Risk
- » Reputation Risk



MANAGEMENT APPROACH

HNB maintains a disciplined approach to managing Financial Capital, focusing on expanding both fund-based and fee-based income to ensure sustainable growth in topline revenue, profitability and overall balance sheet strength.

As a Domestic Systemically Important Bank (DSIB), HNB places a strong emphasis on capital adequacy and liquidity management, aligning with stringent regulatory compliance requirements. The Group continuously strengthens its capital position through efficient earnings retention, prudent risk management, and selective capital market engagement to support future growth.

STAKEHOLDER OUTCOMES

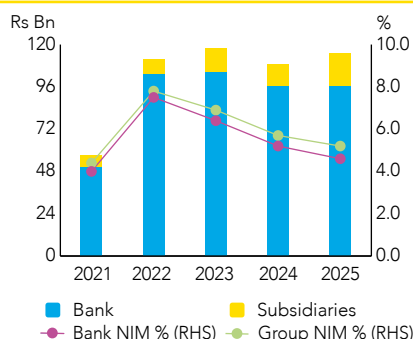
- » EPS
Rs 83.23
- » DPS
Rs 20.00
- » Total Dividend Payout
Rs 11.4 Bn
- » Amount paid as interest to depositors
Rs 108.8 Bn
- » Tax expense
Rs 48.4 Bn
- » ROE **16.9%**



Net Interest Income (NII)

HNB Group's Net Interest Income (NII) recorded a 4.9% year-on-year increase in 2025, supported primarily by the expansion of the average loan portfolio, despite the general decline in market interest rates. Interest income from Investments declined during the year, reflecting the contraction of the government securities portfolio and the overall downward movement in market interest rates. The restructuring of Sri Lanka International Sovereign Bonds (SLSBs) resulted in a portion of overdue interest being recognised in December 2024, temporarily boosting interest income in the previous year.

Net Interest Income



After adjusting for this one off impact, the underlying NII for 2025 reflects a healthy year-on-year improvement. Additionally, the faster decline in interest expenses on customer deposits relative to the moderation in interest income helped sustain NII performance during the year.

Non-Interest Income

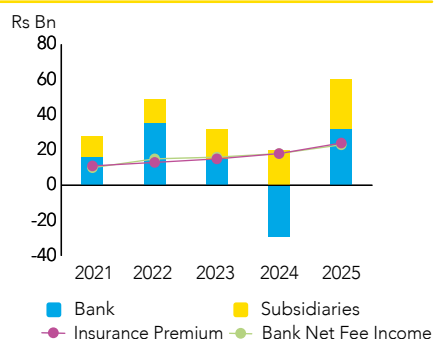
Non-Interest Income demonstrated robust growth during the year, with the Group's fee-based income increasing by approximately 31.1%, underscoring diversity of the Bank's income streams.

The largest contribution to fee growth stemmed from digital channels, highlighting the success of the Bank's digital transformation initiatives and the growing preference for digital transactions among customers. The sharp increase in the demand for trade related services on the back of the reopening of vehicle

imports and improving trade activity, saw trade finance also emerging as one of the key contributors to non-interest income in the current year. Cards fees and admin processing charges also reported substantial improvements, amidst incremental growth in transaction volumes throughout the year.

Furthermore, the insurance sector recorded a strong rise in Gross Written Premiums, which contributed to a 32.3% increase in net insurance premium income, reaching Rs 23.8 Bn during the year.

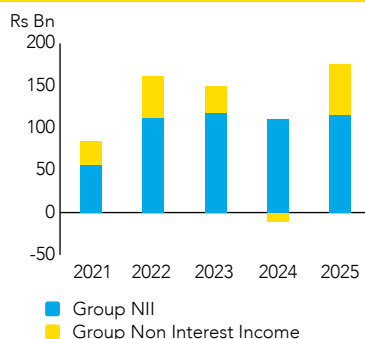
Non Interest Income



Other Income

The Group recorded Other Income of Rs 34.8 Bn in 2025. Unlike in 2024, when the appreciation of the LKR resulted in a net exchange loss, approximately 5% depreciation of the Rupee in 2025 generated revaluation gains on the Bank's foreign currency positions.

Total Operating Income



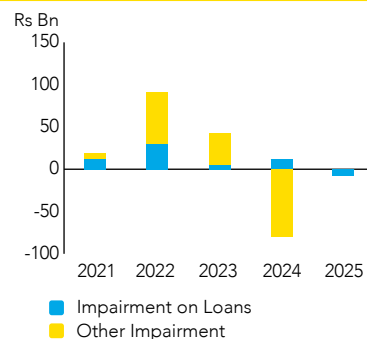
In addition, the strong increase in customer-driven foreign exchange

transactions during the year owing to the heightened demand for trade and cross-border activities, also contributed to the improvement in exchange income in the current year.

Impairment Charges

Impairment performance in 2025 was characterised by a clear and measurable improvement in credit quality signalling the return to a more sustainable and operationally driven credit environment. The outcomes seen in 2025 were the result of the Bank's efforts to rehabilitate borrowers by offering restructuring solutions, and targeted remediation initiatives to enable customers to stabilise cash flows and gradually resume repayments. This hands-on and disciplined approach ensured a meaningful portion of exposures that had been previously provided for, generating actual cash inflows, resulting in reversals in 2025. In addition, through concerted efforts the Bank was successful in recovering some of the long outstanding overdue loans leading to reversals.

Impairment



However, post model adjustments of Rs 2.2 Bn were recognised on account of loan exposures potentially impacted by Cyclone Ditwah on a prudent basis. Accordingly, a total impairment reversal of Rs 7.4 Bn was recognised against loans and advances as opposed to an impairment charge of Rs 11.8 Bn in the previous year.

Furthermore, in 2024, the Group reported a substantial impairment reversal of Rs 91.7 Bn, due to the restructuring of the

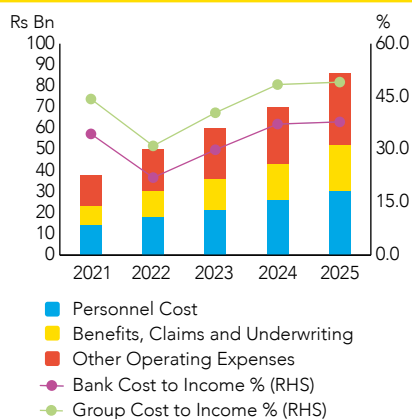
FINANCIAL CAPITAL

International Sovereign Bonds, which resulted in a total impairment reversal of Rs 77.9 Bn. Including the reversal of provisions that had been made on account of PDI bonds, in line with the settlements that took place in 2025, the total impairment reversal recognised during the year amounted to Rs 8.4 Bn.

Operating Expenses

Operating expenses increased by 20.6% on a year-on-year basis, driven by higher personnel costs, increased costs stemming from higher card transactions, elevated IT expenditure and a rise in administrative costs associated with the organic growth in business volumes across key verticals in 2025. The expansion in transactional activity and customer engagement required additional operational support and greater infrastructure capacity, which contributed to the overall increase in expenses.

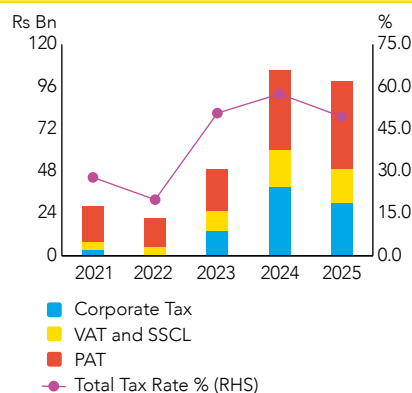
Operating Expenses



Profitability

HNB Group recorded a significant uplift in profitability in 2025, reflecting strong, broad-based performance improvements across all subsidiaries. The year also marked the first full consolidation of HNB Investment Bank (HNBIB), with 100% of its earnings incorporated into Group results, further strengthening overall performance and enhancing earnings diversity.

Profitability - Group



The Group reported a Profit Before Tax of Rs 79.5 Bn for the year ending 31st December 2025, representing a decline of 5.5% from the Rs 84.1 Bn recorded in 2024. This reduction should be viewed in the context of the high base in the previous year, which included a significant one-off gain arising from the restructuring of Sri Lanka International Sovereign Bonds. When adjusted for this non-recurring impact, the underlying performance in 2025 reflects an earnings growth trajectory, supported by improved operating momentum across subsidiaries and continued strengthening in the Bank's asset quality.

The Group recognised a total tax charge of Rs 48.4 Bn during the year. Consequently, Group Profit After Tax increased by 11.1% to Rs 49.8 Bn, compared with Rs 44.8 Bn in the prior year. On a normalised basis, excluding the total impact of Rs 11.8 Bn from the ISB restructuring recognised in 2024, the Group's Profit After Tax reflects a strong growth of 50.8%, underscoring the continued improvement in core earnings across subsidiaries.

The Bank accounted for the largest share of Group results. The Bank recorded a PAT of Rs 45.4 Bn, representing 91.2% of total Group profits, reflecting both improved core profitability and stronger credit performance.

Profitability ratios reflected the year's performance, with Group Return on Equity (ROE) moderating to 16.9% and Return on

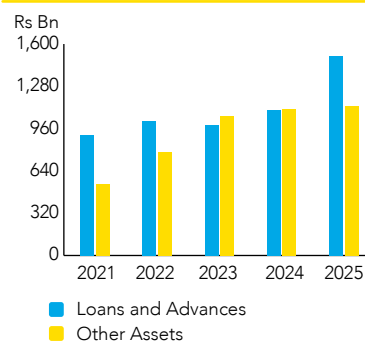
Assets (ROA) maintaining its position at 2.1%.

Assets

The Group's balance sheet recorded a strong expansion in 2025, with total assets reaching an all-time high of Rs 2.6 Bn as at 31st December 2025. This growth was led by the Bank's credit expansion drive amidst the favourable operating environment, which saw Gross Loans and Advances growing by an unprecedented 32.0% year-on-year, to reach Rs 1.6 Tn as at 31st December 2025. As a result, Net Loans and Advances accounted for 57.1% of Group total assets, up from 50.0% in the previous year.

In line with the rapid credit expansion, LKR-denominated government securities were selectively liquidated upon maturity, resulting in a 10.9% year-on-year reduction in the G-sec portfolio. This deliberate reallocation of resources highlights the Bank's proactive balance sheet management strategies aimed at ensuring funding is diverted to support lending growth while optimising funding costs.

Group Total Assets

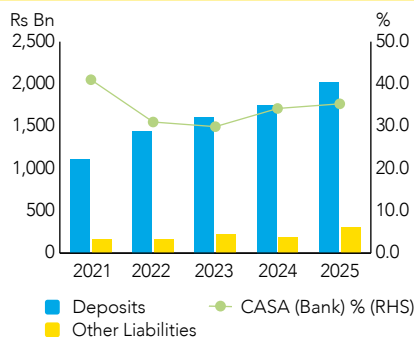


Liabilities

Total liabilities increased in 2025, reflecting accelerated deposit mobilisation to facilitate credit expansion. Customer deposits achieved double-digit growth, rising by 15.3% from Rs 1.8 Tn at the end of the previous year to Rs 2.0 Tn by 31st December 2025, a notable achievement given the prevailing low interest rates. Emphasis on digital adoption and targeted

campaigns to promote CASA deposits also gained momentum, resulting in an improved CASA ratio of 34.3% in 2025, up from 33.5% in 2024.

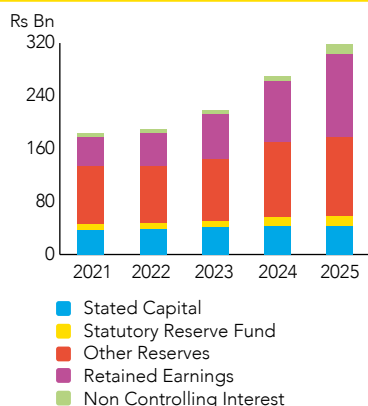
Group Liabilities



Equity

Total Shareholders Equity increased from Rs 261.4 Bn in 2024 to Rs 302.8 Bn in 2025, primarily driven by the improvement in retained earnings during the year, contributing to the overall strengthening of the Group's capital position.

Total Equity



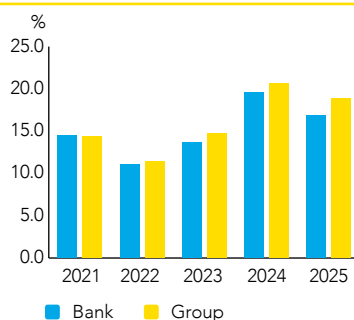
Dividend

The Board of Directors has recommended a final dividend of Rs 20.00 per share for the financial year ended 31st December 2025, and will be paid subject to the approval at the 57th Annual General Meeting scheduled for 31st March 2026.

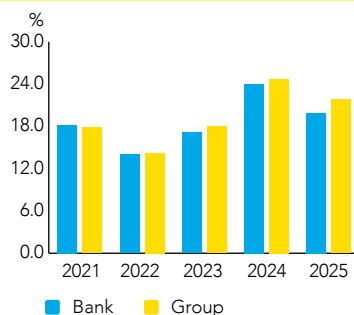
Capital

HNB maintained a strong capital position in 2025. As at 31 December 2025, Tier 1 and Total Capital ratios stood at 18.65% and 21.47%, respectively, compared to 20.6% and 24.7% at the end of 2024. All capital adequacy ratios remained well above the regulatory minimum requirements, underscoring the Bank's robust financial resilience.

Tier I Capital



Total Capital



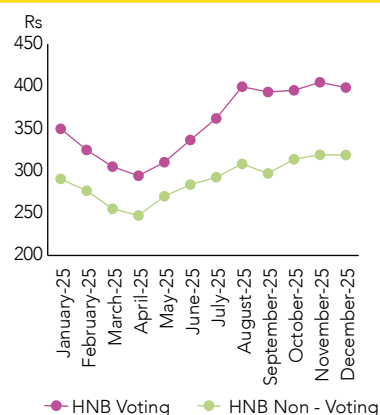
Liquidity

Supported by improving market conditions, HNB's liquidity position strengthened in 2025, with both LKR and foreign currency liquidity maintained at healthy levels, with liquidity buffers well above the regulatory requirements throughout the year. As at 31 December 2025, HNB's Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR) stood at 227.8% and 137.9%, respectively, comfortably exceeding the regulatory minimum of 100%. Liquidity remained robust even in light of government securities conversions.

Performance of HNB Shares

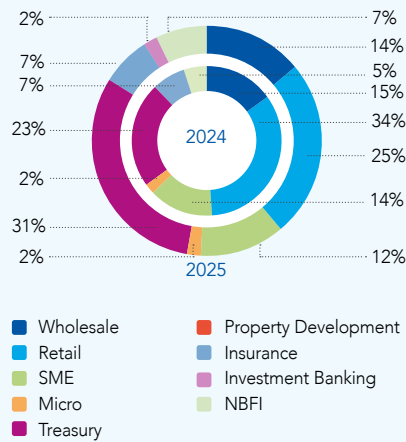
HNB shares were actively traded throughout 2025, with prices ranging from a low of Rs 267.00 to a high of Rs 433.00 for voting shares and low of Rs Rs 230.00 and high of Rs 340.00 for non-voting shares. HNB closed the year with a voting capital market capitalisation of Rs 181.7 Bn, positioning the Bank among the top 10 largest entities listed on the Colombo Stock Exchange.

HNB Voting and Non - Voting Share Price Movement

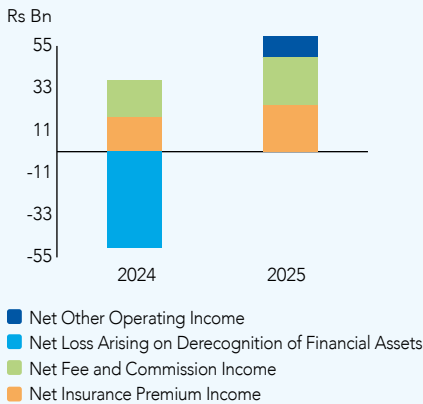


FINANCIAL
CAPITAL

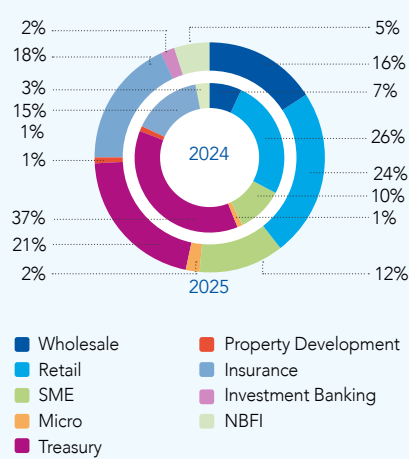
Segmental NII Contribution



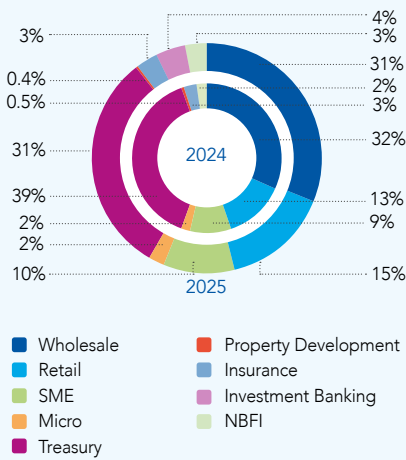
Non Interest Income Contribution



Segmental NOI Contribution



Segmental Assets

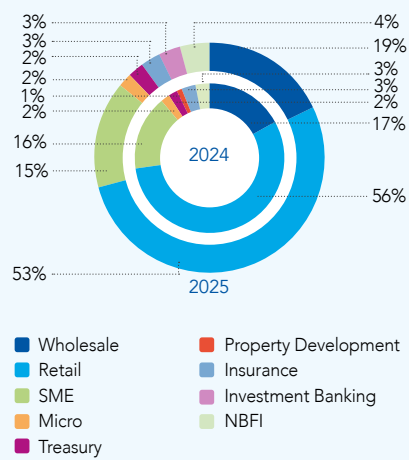


Wholesale Banking has the largest portfolio of assets amounting to 31.3% of the Group's assets

Treasury is the second largest accounting for 30.8% of assets

Retail Banking accounts for the highest proportion of liabilities due to its strong deposit mobilisation activities

Segmental Liabilities





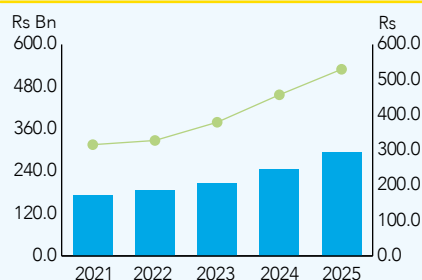
Group PAT



■ Group PAT ● EPS (RHS)



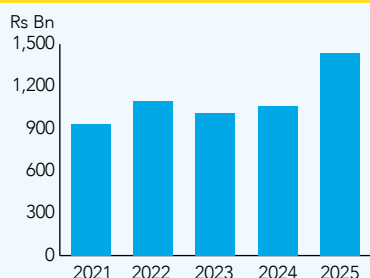
Average Equity



■ Average Equity (RHS) ● Net Assets Per Share

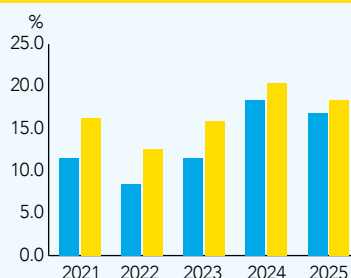


Risk Weighted Assets



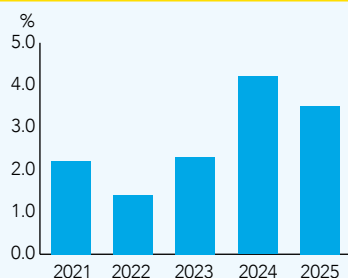
A detailed breakdown of Return on Equity enables a deeper understanding of the key drivers behind its movements. This decomposition supports more informed decision making, strengthens performance management, and enhances transparency for stakeholders.

Return on Equity/Return on Core Capital

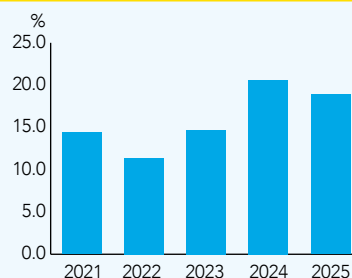


■ Return on Equity ■ Return on Core Capital

Return on Risk Weighted Assets



Core Capital Ratio



Key Priorities for the Future

Short Term

- » Manage margins through optimisation of funding costs
- » Drive disciplined credit growth by deepening lending to priority sectors such as SMEs, corporates, exports, and retail segments with strong repayment capacity
- » Maintain strong liquidity and capital buffers to support balance sheet expansion amidst evolving market conditions

Medium Term

- » Selectively pursue overseas expansion opportunities in regional markets aligned with trade flows
- » Deepen penetration in high potential local sectors including export oriented industries, essential infrastructure and sustainable financing

Long Term

- » Position HNB as a regional financial services player
- » Ensure long-term capital strength through disciplined capital planning and sustainable earnings growth to support the Bank's DSIB responsibilities



DIGITAL CAPITAL



HNB's Digital Capital, which encompasses advanced back-end infrastructure, enterprise-grade tools, and seamless front-end interfaces, serves as a core enabler of the Bank's strategic growth agenda. By supporting secure, scalable and integrated digital banking capabilities, it enhances operational resilience, reinforces HNB's position at the forefront of the local banking industry, and ensures consistent delivery of reliable, high-quality outcomes for all stakeholders.



GOVERNANCE AUTHORITIES

- » Board of Directors
- » Board Technology Committee (BTC)
- » Board Integrated Risk Management Committee (BIRMC)
- » Information Security Committee (ISC)
- » Chief Information Security Officer (CISO)
- » Chief Innovation Officer (CIO)
- » Chief Data Officer (CDO)



GOVERNANCE FRAMEWORK

- » Central Bank of Sri Lanka's (CBSL) Technology Risk Management and Resilience Guidelines
- » Personal Data Protection Act, No 9 of 2022 (PDPA)
- » ISO/IEC 27001:2022 Information Security Standard
- » NIST Cybersecurity Framework
- » Information Security Policy
- » IT Recovery Policy
- » IT Service Management Policy
- » Information Security Policy (ISP)
- » Internal Corporate Privacy Policy
- » ISO/IEC 27701:2019 Privacy Information Management Standard
- » ISO/IEC 22301: 2019 Business Continuity Management Standard
- » ISO/IEC 27035: Information Security Incident Management Standard



LINK TO STRATEGY

- » Business Growth
- » Customer Experience and Productivity
- » People Development
- » Technology Enablement
- » Business Sustainability



KEY RISKS

- » Operational Risk
- » Information & Cyber Risk
- » Strategic Risk
- » Compliance Risk
- » Reputation Risk



MANAGEMENT APPROACH

Underpinned by the vision to be the best digital bank in Sri Lanka, HNB's digital transformation strategy sets the foundation for building a robust and legally compliant digital ecosystem, supported by a stable information and network security architecture, to transform the Bank's digital core to deliver seamless, secure, and innovative solutions that elevate the customers' banking journey, while driving internal efficiency, resilience, and sustained long-term growth in a rapidly evolving local banking industry landscape

STAKEHOLDER OUTCOMES

- » Digital Revenue
Rs 1,832.8 Mn
- » Total Digital Users
2.0 Mn



Digital Channel Architecture

HNB's front-end digital architecture has progressed steadily over the past decade. Evolving from basic online and mobile banking capabilities, the Bank has invested in systematically broadening its digital footprint by integrating advanced solutions and features into its corporate and retail platforms to drive self-service transactions, improve real-time accessibility, and reduce customer's reliance on physical channels. A key milestone in this journey was the shift from siloed platforms to a unified digital architecture which has allowed HNB to continuously introduce intuitive interfaces and strengthen security features to offer consistent user experiences and smooth interoperability across devices and channels.

HNB Expands Transaction Banking Suite with 24/7 Trade Finance Access via TxB TradeX

In a landmark effort to transform its digital channel architecture, HNB launched TxB TradeX in May 2025, a next-generation Digital Trade Finance platform built to simplify and digitise Trade documentation and approval processes, enhancing speed, visibility, and efficiency across the Trade Finance lifecycle, setting a new standard for digital trade services in Sri Lanka. Developed by a globally renowned Finastra platform, TxB TradeX stands as a significantly upgraded version of HNB's existing TxB suite. The new TradeX platform offers a seamless and secure digital interface for managing the full spectrum of Trade Finance operations from Letters of Credit and Shipping Guarantees to import/export bill processing, SLPA payments, and ASYCUDA settlements.

HNB and Visa launch HNB Accept

HNB Accept, a game-changing new feature on the HNB Mobile Banking app which is powered by Visa, is designed to convert any compatible smartphone into a secure mobile point-of-sale (mPOS), enabling every HNB customer to now receive digital payments with ease.

Unveiled during a special ceremony at the inauguration of the Sri Lanka Fintech Summit 2025, HNB Accept is built to empower micro-entrepreneurs and home-based businesses by removing the traditional barriers to digital commerce. With HNB Accept, eligible HNB Visa debit or prepaid customers can activate a seller profile in minutes within the HNB Mobile Banking App and start accepting digital payments via Tap-to-Phone or Pay-by-Link. Transactions are processed over Visa's network with funds settled in near real time, while built-in thresholds and authentication help manage risk for both sellers and customers.

HNB Activates Apple Pay and Google Pay Acceptance for Merchants

HNB's Apple Pay and Google Pay integration empowers merchants to offer their customers secure, mobile/web friendly payment options that align with global payment trends,

OVERVIEW OF HNB'S FRONT-END DIGITAL ARCHITECTURE

Key Differentiators

- » Digital-first engagement, where most high-frequency transactions are migrated online.
- » Frictionless service delivery, supported by automation, workflow integration, and real-time service tracking.
- » High scalability and future readiness, enabling ongoing enhancements, mobile-led expansion, and greater alignment with emerging technologies, including AI-driven customer support and data-driven personalisation.

Key Milestones for 2025

HNB App/Digital Banking Transformation

- » Integration of GovPay and traffic fine settlement facilities to the HNB App/Digital Banking platform
- » Introduction of the Instant Cash Back Loan facility against LKR Term Deposits, through the HNB App
- » Launch of Visa Accept - a globally pioneering solution developed with Visa International to enable the acceptance of credit card payments directly through the HNB App.
- » Introduction of enhanced e-statement capabilities, enabling customers to access CASA e-statements from the date of account opening and download their most recent credit card statement directly through the Digital Banking platform
- » Ability to schedule future Bill payments and Fund Transfers through the Digital Banking Platform

SOLO Upgrade

- » Integrated the revamped HNB Fit app into SOLO, enabling users to complete daily step challenges
- » Integration of traffic fine settlement facilities to the SOLO platform
- » Simplified the user onboarding process, reducing steps from 10 to 5 to deliver a faster, more intuitive account-opening experience

Launch of TxB TradeX

- » Launched TxB TradeX, a next-generation digital platform that streamlines end-to-end Trade Finance processes—digitising documentation, approvals, and transactions such as LCs, Shipping Guarantees, import/export bills, SLPA payments, and ASYCUDA settlements to improve speed and efficiency.

DIGITAL CAPITAL

facilitating fast and seamless transactions. The payment solution is designed to reduce friction and enhance the payment experience for those who prefer using mobile wallets over traditional card methods.

HNB hosts Sri Lanka's first-ever FinTech Summit

HNB in collaboration with Tecxa Pvt Ltd, the Ministry of Digital Economy, the Ministry of Finance, Planning and Economic Development, and the FinTech Forum of Sri Lanka, hosted Sri Lanka's first-ever FinTech Summit. The two-day event which was held under the theme "Empowering Sri Lanka's Digital Economy: Innovations Driving Financial Inclusion and Growth" was structured around six strategic themes - Future of Finance; Global and Regional Trends; Blockchain, AI and digital currency; Financial Innovation and Inclusion; Regulatory Compliance; and Investment, Start-ups & Ecosystem Growth. Bringing together over 2,000 participants from more than 25 countries, the event was attended by founders of FinTech start-ups, academia, financial and technology institutions, government and regulatory bodies, creating a strong platform to foster dialogue to support efforts towards Sri Lanka's goal of achieving USD 15 Bn digital economy by 2030.

HNB establishes its Innovation Studio

The year 2025 saw a major shift in HNB's digital strategy with the formation of the HNB Innovation Studio, a dedicated unit aimed at aligning technology more directly with growth and introducing a "dual-speed innovation" model. Simultaneously, the

Centre of Excellence for Data & Advanced Analytics

4. Data Governance & Strategy:

To ensure the trust of the data, the Bank will further strengthen enterprise-wide data governance by expanding the data catalogue, implementing robust data quality KPIs with continuous monitoring, enforcing data access policies, retention standards and establishing the end to end data lineage to ensure transparency, trust and compliance across all data assets.

1. Data Science & Advanced Analytics:

Built the foundation for predictive, prescriptive, and AI-driven insights, including analytics models for credit, risk, personalisation and customer intelligence, supported by the best practices of scalable Machine Learning & AI workflows.

3. Data Platform & Architecture:

The Bank will advance its modernised data platform and architecture. This platform will also support real time analytics, predictive model development and enterprise-wide data products, creating a scalable and future-ready data ecosystem.

2. Business Intelligence & Self-Service Analytics:

Expand dashboards for self-service analytics and standardised reporting to provide timely, actionable insights for business units.

Bank appointed a Chief Innovation Officer (CINVO) to oversee the HNB Innovation Studio, where new ideas are rapidly tested in controlled sandbox environments. Since its launch in early-2025, several promising initiatives were developed by the HNB Innovation Studio with many commercialised during the year, key among them the HNB Accept model described above.

IT Infrastructure

HNB's core IT infrastructure provides the backbone to support the Bank's digital transformation journey. As Sri Lanka accelerates its digital transformation under the National Digital Economy Strategy 2030, HNB remains firmly committed to enhance its IT foundations to fulfil its strategic mandate to: strengthen stakeholder trust, deliver customer-centric



problem solving, and achieve operational agility.

Anchored to these principles, HNB has commenced reorganising its technology landscape by upgrading core systems, modernising networks, scaling to cloud-ready environments, and adopting microservices-driven architectures to facilitate end-to-end digitisation that will ensure digital channels, back-end platforms, payments infrastructure, and risk and compliance systems operate cohesively to enable the Bank to respond faster, serve smarter, and innovate at scale.

Digitisation and Automation

The focus on digitisation and automation is at the heart of HNB's efforts to migrate manual, paper-based systems to fully digitised workflows, in turn reducing turnaround times and improving Bank-wide operational agility.

The key Automation Project for 2025 was the End-to-End Branch Process Digitisation initiative, of which phase 1 consisted of the implementation of the Lime Workflow Solution to create a single platform that supports end-to-end customer onboarding and CASA account opening across the branch network, thereby eliminating the need for branch teams to access multiple systems. Internally, the Lime Workflow Solution, marks a significant shift toward paperless processing and reducing manual intervention. Likewise, faster turnaround times, real-time access and features such as SMS notifications, digital mandate generation, OTP-based mobile verification offer a more seamless customer experience. Following the live roll-out of

the system, turnaround time for onboarding a new-to-bank customer has significantly reduced, while data enrichment workload at the Central Operations Department (COD) has decreased by over 90%.

Data Analytics

While HNB's use of data analytics has thus far remained largely focused on the use of analytics for predictive modelling, the Bank is now embracing more sophisticated, AI-driven analytical capabilities. Drawing inspiration from global digital leaders the Bank is now actively pursuing collaborations with fintechs and technology partners, to embark on the next stage of its analytics evolution designed to transform both its internal operational architecture and its customer-facing digital interfaces.

Information Security Systems

HNB articulates its commitment to information security resilience through a disciplined approach that embeds compliance and global best practices across its information security architecture. The Bank operates with a high level of compliance, with the Central Bank of Sri Lanka's (CBSL) Technology Risk Management and Resilience Guidelines as well as ongoing alignment with ISO/IEC 27001:2022 Information Security Standard to ensure security controls, governance structures, and monitoring mechanisms remain robust, current, and fully attuned to emerging cyber risks. Beyond this, the Bank aligns with the NIST Cybersecurity Framework.

Additionally, HNB has invested in NextGen SIEM, Extended Detection and Response (XDR), and Security Orchestration,

Automation and Response (SOAR) tools for enhanced threat detection, correlation, and automated response capabilities.

Our information security monitoring framework is structured around specialised verticals that collectively contribute towards strengthening the Bank's defence posture and ensure full alignment with regulatory and global security standards.

Cybersecurity Unit – safeguards the Bank's digital infrastructure through continuous threat monitoring, network and endpoint protection, and incident response. Led by the Chief Information Security Officer, the function plays an integral role in embedding purpose-built security across all new systems, applications, and technology projects to ensure resilient and secure digital operations. To further strengthen HNB's cybersecurity posture, work commenced in 2025 towards adopting the ISO 20000 IT Service Management Standard and the ISO/IEC 27035 Incident Management Standard certifications.

Governance, Risk & Compliance (GRC) – provides oversight to maintain alignment with regulatory requirements, internal policies, and industry best practices. The unit also manages the Bank's information security compliance programme by tracking KPIs/KRIs to assess control effectiveness, updating the security risk register, reporting to key governance committees, and evaluating risk treatment options to ensure proactive risk mitigation. The unit is also entrusted with the responsibility of raising staff awareness programmes.



DIGITAL CAPITAL

Data Privacy – ensures personal data is handled in full compliance with relevant data protection laws and internal privacy standards. Led by the Data Protection Officer, under the direct supervision of the Chief Information Security Officer, the unit manages the Data Privacy Management System, conducts Data Protection Impact Assessments, embeds privacy clauses into contracts, and implements privacy controls across operations. To further strengthen the Bank's data privacy framework, HNB obtained certification for the ISO/IEC 27701:2019 Privacy Information Management Standard, becoming the first bank in the country to achieve this milestone.

The Bank's security operations centre is outsourced to a third-party service provider, who is responsible for threat detection and escalation, while the Bank responds to and manages the identified threats.

Additional assurance regarding our information security posture is obtained through internal Red Teaming Exercises, where simulated attacks test the Bank's defenses, detection mechanisms, and response readiness. In this regard, HNB's internal IS auditors are certified as ISO/IEC 27001 Lead Auditors, enabling independent and systematic internal assessments that reinforce accountability and ongoing compliance with international benchmarks.

Beyond internal reviews, Vulnerability Assessments and Penetration Testing (VAPT) conducted by independent third party specialists help to improve real-time threat monitoring, and incident response capabilities to support threat intelligence integration. Moreover targeted external reviews conducted on critical systems, including SWIFT, CRM, VPN, and network segmentation provide independent assurance on architectural integrity, threat exposure, and overall security posture.

HNB INFORMATION SECURITY SYSTEM

HNB Information Security System Resilience

- » Central Bank of Sri Lanka's (CBSL) Technology Risk Management and Resilience Guidelines
- » Personal Data Protection Act, No 9 of 2022 (PDPA)
- » ISO/IEC 27001:2022 Information Security Standard Certification
- » NIST Cybersecurity Framework

Key Improvements for 2025

- » Zero Trust Architecture and SASE surfaces, and updated the risk register with scenario-based findings.
- » Enablement to reduce implicit trust. IAM solution acquisition is underway for granular access control.
- » Validated the effectiveness of existing security controls, including firewalls, endpoint protection, and access controls, under the Protect function.
- » Tabletop exercises and cyber drills aimed at enhancing incident response capabilities across teams
- » Reinforced the Detect function by assessing the Bank's ability to identify malicious activity across network, endpoint, and application layers.
- » Monthly phishing simulations and continuous testing (vulnerability assessments, red teaming) improved threat detection and risk mitigation.
- » Improved the Respond function by identifying and addressing communication and escalation delays and bottlenecks.
- » Simulated attack scenarios to evaluate the Bank's defences, identify vulnerabilities, and validate incident response readiness, aligned with the NIST Cybersecurity Framework.
- » Reviewed Recover processes, including backup and restoration for critical systems, to ensure operational resilience
- » Identified critical assets, systems, and data flows to understand attack

Enhancements to the Information Security Policy (ISP) with the introduction of the following improvements;

- » New procedure "Third-party Management Procedure" linked to the policy.
- » Revamped Data Protection Measures to align with PDPA and ISO 27001.
- » Sections updated to align with PDPA requirements.
- » Updated to the Purpose of Data - Collection under Data Privacy.
- » Changes made to the Data Privacy Policy statement and objectives.
- » Revamped the Data Protection Management Programme.
- » Changes made to personal data processing guidelines.

Updated the Internal Corporate Privacy Policy with the introduction of the following procedures in compliance with the Personal Data Protection Act No 9 of 2022 which was enforced in 2025;

- » Personal Data Breach Management Procedure
- » Data Subject Request Procedure
- » Personal Data Retention and Disposal Procedure
- » Data Privacy Impact Assessment (DPIA) Procedure.

Disaster Recovery Infrastructure

HNB’s Disaster Recovery (DR) infrastructure plays a critical supporting role in the Bank’s operational resilience, ensuring business continuity and safeguarding critical systems in the event of disruptions. The DR setup comprises a primary data centre at the Head Office and a secondary site at Pitipana, both equipped with backup services, secure storage, and robust network connectivity with VPN access.

Dedicated IT teams are responsible for maintaining and testing the DR capability in line with Central Bank of Sri Lanka (CBSL) requirements. Regular DR drills and 24/7 incident detection systems enhance preparedness and enable rapid response to any operational incidents. The Bank’s IT Recovery Policy and Disaster Recovery Plan are reviewed and updated annually, with Board approval, ensuring that recovery strategies remain relevant, effective, and aligned with best practices for risk management and operational resilience.



Key Priorities for the Future

Short Term	Medium Term and Long Term
Accelerate Digital Transformation » Enhance functionality of digital channels to expand customers’ transactional and account management capability » Expand the digital payment ecosystem through the integration of QR payments, Tap-N-Pay, etc. » Pursue Fintech Collaboration to broaden digital outreach	Leverage Data Expand Outreach » Strengthening the Bank’s Data Platform and architecture by integrating the Data Warehouse to enable real-time analytics, faster regulatory reporting, and consolidated 360° views of customers and products » Expanding the data catalogue, enforcing data quality KPIs, access policies, retention standards, and privacy safeguards to ensure transparency, traceability, and trust across all critical datasets » Embedding machine learning and AI-powered insights into business workflows, piloting predictive analytics, and scaling data-driven decision-making across the enterprise through data literacy and evangelism initiatives » Invest in AI-driven predictive threat detection, forensic investigations, red teaming exercises, and post-incident analysis to assess impacts to the Bank’s business information and assets

HUMAN CAPITAL



Our greatest strength as a service-driven organisation continues to be our Human Capital. United by a shared purpose, our dedicated team members remain the driving force behind HNB's success, resilience, and sustained growth. Their commitment, expertise, and collective spirit form the foundation of everything we do, enabling us to deliver exceptional value to our customers and stakeholders year after year.



GOVERNANCE AUTHORITIES

- » Board of Directors
- » Board Nominations and Governance Committee (NGC)
- » Board Human Resource and Remuneration Committee



GOVERNANCE FRAMEWORK

- » Shop and Office Employees Act
- » EPF Act
- » ETF Act
- » Payment of Gratuities Act
- » UNGC Principle 3: Freedom of association and the effective recognition of the right to collective bargaining;
- » UNGC Principle 4: Elimination of all forms of forced and compulsory labour;
- » UNGC Principle 5: Effective abolition of child labour;
- » UNGC Principle 6: Elimination of discrimination in respect of employment and occupation
- » Human Rights and Ethical Business Practices
- » Safe Place to Work
- » Talent Management Policies Industrial Relations
- » Diversity and Equity Disciplinary Action Grievance
- » Code of Ethics
- » Employee Handbook
- » Green Pledge
- » HATNA Family Values
- » HATNA Family Personalities



LINK TO STRATEGY

- » Business Growth
- » Customer Experience and Productivity
- » People Development



KEY RISKS

- » Operational Risk
- » Strategic Risk
- » Reputation Risk



MANAGEMENT APPROACH

HNB's approach to managing Human Capital is designed to build an empowered and agile workforce with the commitment and drive to adapt to evolving challenges and achieve organisational goals in order to ensure HNB remains at the forefront of innovation and service excellence within the local banking sector. Our goal is to build a unified team to work cohesively towards delivering HNB's vision for the future and in doing so, share in the Bank's success over time.

STAKEHOLDER OUTCOMES

- » Total monetary benefits paid to employees **Rs 22.9 Bn**
- » Total number of new recruits **654** ^{LA}
- » Total number of promotions **604** ^{LA}
- » Incidents of discrimination **ZERO** ^{LA}
- » Retention rate among senior management **94%**
- » Overall female representation **46%** ^{LA}
- » Average training hours per employee **30 hrs** ^{LA}
- » Investment in training and development **Rs 137.6 Mn**



Human Capital remains central to HNB's long-term resilience, service excellence, and strategic transformation. As at 31st December 2025, the Bank employed 5,645 full-time employees, reflecting a moderate increase from the previous year driven by strategic recruitment across key operational and digital functions. The workforce maintained a balanced gender profile, comprising 46% female and 54% male employees, underscoring the Bank's continued commitment to diversity and equal opportunity.

Strategic Recruitment

HNB's strategic approach to recruitment is underpinned by a pre-approved manpower plan that ensures all hiring decisions are both strategic and efficient in keeping with the Bank's long-term vision, values, and performance culture. Accordingly, HNB did not employ part-time staff during the reporting period, with all employees engaged on a full-time basis and benefiting from the Bank's comprehensive employment framework. In addition to its permanent cadre, the Bank deployed a limited number of temporary personnel sourced through third-party service providers under established outsourcing arrangements to support operational requirements. With a skilled and future-ready workforce, HNB continues to invest in people, strengthening capabilities and fostering a culture that supports innovation, performance, and sustainable growth.

The Bank remains strongly committed to nurturing local leadership and promoting Sri Lankan talent at senior levels. *Senior management comprising members of the Corporate Management and Heads of Functions continued to be sourced entirely*

from the local community during the reporting period. In 2025, 100% of individuals appointed to senior management and above grades were Sri Lankan nationals employed within Sri Lanka ^{LA}. This approach reinforces the Bank's dedication to supporting national economic development, while ensuring continuity of institutional knowledge and strengthening the long-term stability of its leadership pipeline.

In 2025, several initiatives were introduced to further enhance the effectiveness and agility of our recruitment processes. The Bank obtained the LinkedIn Recruiter license and began actively leveraging the platform to gain direct access to potential candidates for senior and corporate management roles, which has not only shortened candidate sourcing timelines but also strengthened our ability to acquire specialised skill sets. Traditional headhunting channels continued to play a complementary role in reaching niche talent pools, while the online recruitment portal introduced in 2024 proved to be a popular choice for online submission of applications by potential candidates for all grades.

Meanwhile recognising the value of retaining institutional knowledge, a conscious effort was made to welcome back former HNB employees returning from overseas, with many returning employees reinstated at the same grade and compensation to support their reintegration into the HNB workforce.

In addition, employer branding initiatives on HNB's social media pages were further enhanced to amplify the Bank's visibility among younger and digitally engaged talent segments.



HUMAN CAPITAL

THE CASE FOR RECALIBRATING HNB'S HUMAN CAPITAL ECOSYSTEM

Challenge: Operating in the fiercely competitive local banking industry, high attrition among front line teams has remained an inherent challenge for HNB for many years. However, in recent times, attrition appears to have been driven less by competition and more by factors such as overseas migration and evolving expectations of a younger workforce that seeks agile, progressive, and purpose-driven workplaces.

HNB's Response: Keen to address the changing dynamics that continue to influence attrition rates, HNB sought to establish a strong foundation to consistently attract, develop, and retain top talent. To that end, a comprehensive Human Capital Transformation Project was undertaken in 2024 and successfully completed in March 2025. The initiative

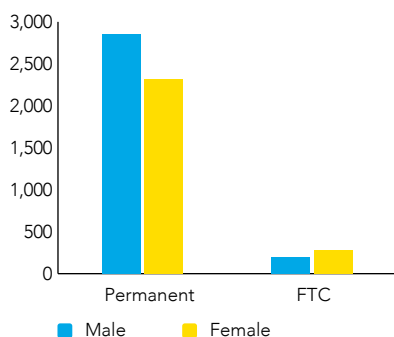
was aimed at recalibrating the Bank's HR strategy across four core areas, job banding, job evaluation, compensation and performance management, collectively targeting stronger alignment with both organisational priorities and employee aspirations.

As part of the transformation journey, more than 200 individual interviews and focus group sessions were conducted with executive employees representing all verticals of the Bank with findings from these sessions used to inform every aspect of the HR transformation, including updates to roles and responsibilities, Key Result Areas (KRAs) and performance incentives. A key outcome of this process was the introduction of 5 broad bands and 11 job grades above the Bank Associate and Allied grades along with refreshed

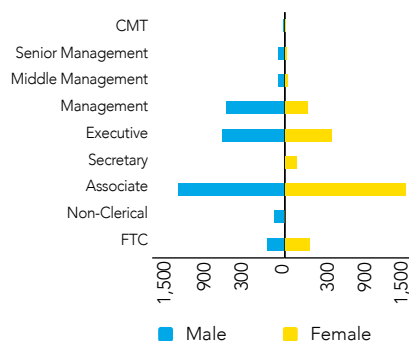
job titles in alignment with global best practices. The result was a leaner structure with greater clarity regarding career development and progression and stronger alignment to a performance driven culture. In parallel, compensation structures were also reviewed against benchmarks from leading local and international banks and updated as needed, to maintain competitiveness and fairness in rewarding performance.

Employee buy-in was critical to the success of the HR transformation initiative, with the Bank implementing broad-based management initiatives including extensive communication sessions, workshops, and regular town halls to promote understanding and smooth adoption of the new HR framework across all levels.

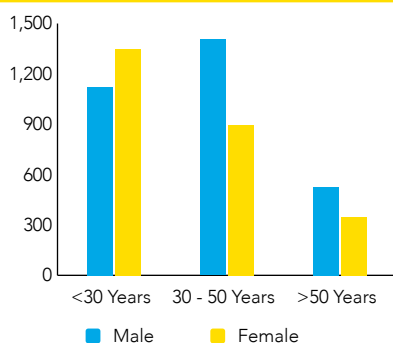
Employees by Type and Gender ^{LA}



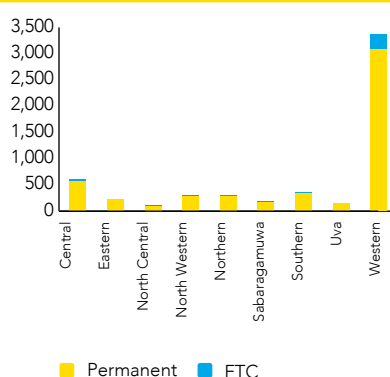
Gender Profile by Designation ^{LA}



Age Analysis ^{LA}

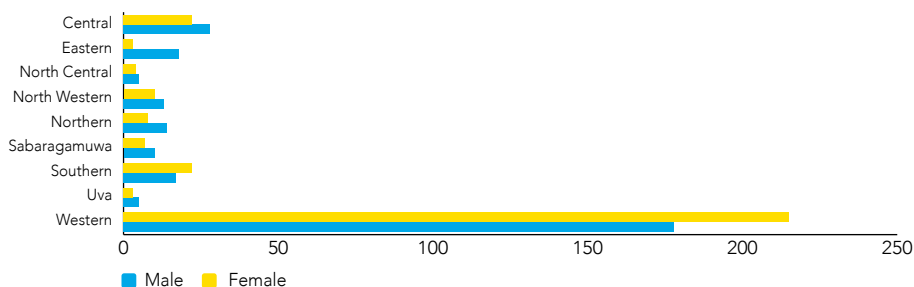


Employee by Type and Provinces ^{LA}

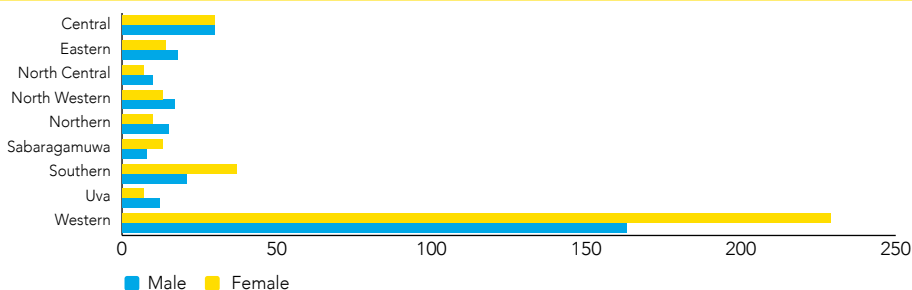


HNB reports employee information using year end headcount, consistent with sectoral practice where workforce data is disclosed as at 31 December, based on permanent and contract employment categories. ^{LA} Employee statistics are presented as point in time figures, following the 1 January–31 December annual reporting cycle to ensure comparability with prior periods. Workforce variations during the year reflect normal operational hiring trends aligned with movements across the banking industry. The Bank also engages only a limited number of non employee workers, with no significant fluctuations observed during the reporting period.

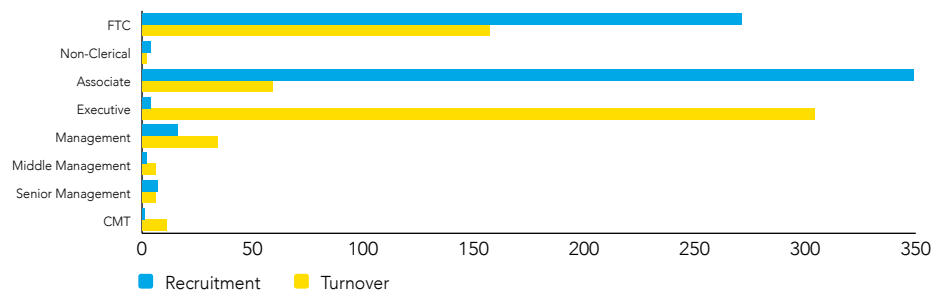
Turnover by Provinces ^{LA}



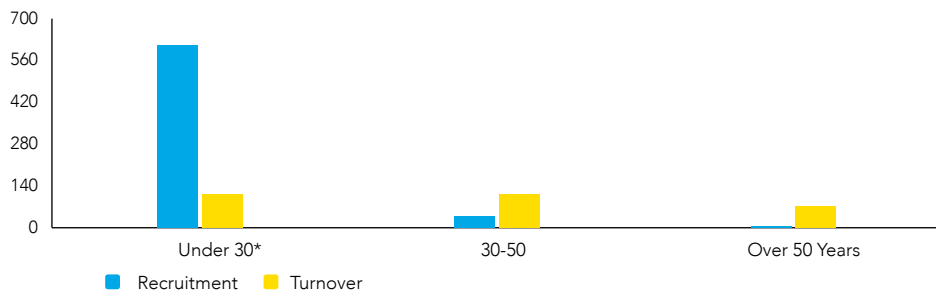
Recruitments by Provinces ^{LA}



Recruitment and Turnover by Grade ^{LA}



Recruitment and Turnover by Age ^{LA}



Human Rights

HNB is fully committed to upholding internationally recognised human rights principles, which are embedded into our policies, governance structures, and day-to-day people practices. As a longstanding participant of the United Nations Global Compact (UNGC), all four labour-related principles are fully integrated within HNB's employment ecosystem.

The Bank is committed to upholding human rights and preventing forced or compulsory labour across its operations and supply chain. Measures implemented include adherence to internal policies aligned with applicable labour laws, incorporation of ethics and labour standards into supplier onboarding and procurement processes, and ongoing supplier assessments where relevant. Employees and suppliers are expected to comply with the Bank's Code of Conduct and ethical sourcing requirements. Any identified non-compliance is addressed through corrective actions, including supplier engagement, remediation measures, or termination of contracts where necessary.

Managing Employee Expectations

Remuneration and Benefits

As one of Sri Lanka's premier financial institutions, HNB strives to lead by example in offering total rewards benchmarked against local and international banking standards, to ensure employees are rewarded fairly, and supported at every stage of their career. Further evincing the commitment to progressive remuneration for all, HNB's pay structures remain well above the minimum wage thresholds set under the Minimum Wage regulations.

Several improvements were made to the remuneration and benefits framework in 2025 through the Human Capital Transformation Project. A key outcome of this exercise was

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COMMITMENT TO BEST PRACTICES ACROSS THE EMPLOYMENT LIFECYCLE

Diversity and Inclusion

HNB's people strategy articulates the firm commitment to diversity and inclusion, supported by inclusive hiring practices, merit-based career progression, and targeted initiatives to broaden representation, in order to create a workplace that reflects the diversity of the communities we serve.

The Bank is committed to upholding equitable remuneration practices across all genders, ensuring that compensation is determined solely on the basis of role requirements, skills, experience, and performance. During the reporting period, the ratio of basic salary and total remuneration of women to men was assessed across employee categories, using comparable roles and responsibility levels as the basis for evaluation. This analysis supports the Bank's efforts to monitor pay equity, reinforce fair employment practices, and uphold a transparent and merit-based remuneration framework.

HNB Gender Parity Dashboard 2025

Indicator	2025	2024
Diversity and Inclusion	46% Female Representation (Overall)	45% Female Representation (Overall)
Remuneration	1:1 Ratio of basic salary between men and women ^{LA}	1:1 Ratio of basic salary between men and women
Sexual Harassment	ZERO Incidents reported	ZERO Incidents reported
Career Development Opportunities	Female Representation: 26% (Middle Management)	Female Representation: 28% (Middle Management)
	Female Representation: 19% (Senior Management)	Female Representation: 19% (Senior Management)

HNB Human Rights Scorecard 2025

UNGC Principles	Key Indicators	
	2025	2024
Principle 3: Freedom of Association and Collective Bargaining ^{LA} HNB respects every employee's right to organise, join associations, and participate in collective bargaining. These rights are safeguarded through the Bank's Industrial Relations Policy and reinforced by transparent mechanisms for dialogue and consultation For employees covered under collective bargaining agreements, notice and consultation requirements are governed by the specific provisions of those agreements. Employees who are not covered by collective bargaining arrangements are informed of relevant operational changes in accordance with the Bank's internal human resource policies and established communication protocols.	60% of employees covered by the collective Bargaining agreement	54% of employees covered by the collective Bargaining agreement
Principle 4: Elimination of All Forms of Forced and Compulsory Labour ^{LA} HNB strictly prohibits forced, bonded, or involuntary labour in any form. This prohibition is embedded in the Human Rights and Ethical Business Practices Policy and supported through robust controls and oversight to ensure continuous monitoring, mandatory adherence protocols, and disciplinary procedures.	100% employee grievance resolution rate	100% employee grievance resolution rate
Principle 5: Effective Abolition of Child Labour ^{LA} The Bank maintains zero tolerance for child labour within its workforce or any part of its value chain. Age verification and compliance monitoring are standard components of the recruitment and the supplier onboarding processes.	ZERO operations at risk for forced or compulsory labour	ZERO operations at risk for forced or compulsory labour
Principle 6: Elimination of Discrimination in Respect of Employment and Occupation ^{LA} HNB is committed to ensuring equal opportunity and fair treatment irrespective of gender, ethnicity, religion, age, or any other protected characteristic. Our Diversity and Equity Policy, Employee Handbook, and Code of Ethics clearly outline nondiscrimination expectations and behavioural standards. Any deviation from these principles is addressed promptly through the Grievance Policy and the Disciplinary Action Policy ensuring a safe, respectful, and inclusive work environment for all.	ZERO Incidents of discrimination reported	ZERO Incidents of discrimination reported

the creation of new salary bands with each grade assigned a pre-defined compensation structure to provide employees with visibility of growth potential, thereby enabling them to plan and work towards upward mobility. The refreshed salary bands also endorse the Bank's commitment to equal opportunity by mandating that men and women performing similar roles are remunerated equitably across all levels of the organisation.

Apart from the refreshed salary bands, employee benefits were also comprehensively reviewed and updated. All loan schemes were rationalised to bring greater transparency and supported by simplified approval processes to improve accessibility and turnaround times. These changes are partly responsible for reducing attrition to below 5.4%, a significant improvement from 7.3% in 2024.

The Bank's defined benefit obligations arising from its retirement benefit plans are fully funded and met solely by the Bank, which retains complete accountability for ensuring that these obligations are adequately provisioned as they fall due^{LA}. The Bank mitigates risks associated with defined benefit plans through regular actuarial valuations, the full recognition of liabilities in the Financial Statements, and the inclusion of these obligations within its broader liquidity and financial risk management framework.

All significant locations of operation are covered by formal retirement benefit arrangements. As such, no alternative mechanisms are required to manage retirement benefit obligations in jurisdictions that do not have formal pension systems.

The Bank also ensures that entry-level wages, irrespective of gender, exceed applicable statutory minimum wage requirements across all significant operating locations^{LA}. This practice reflects the Bank's commitment to fair and equitable remuneration, compliance with national labour regulations, and the promotion of responsible employment practices. By offering wages that are above minimum thresholds, the Bank aims to enhance employee well-being, attract and retain skilled talent, and contribute positively to the socio-economic development of the communities in which it operates.

During the reporting period, 100% of employees participated in formal performance and career development reviews conducted in line with the Bank's performance management framework^{LA}. These reviews apply across all employee categories and are structured to evaluate performance outcomes, identify development and training needs, and support individual career progression in alignment with the Bank's strategic objectives.

Onboarding

HNB acknowledges that a well-structured onboarding experience is vital for managing employee expectations at the outset as well as to foster long-term engagement. Ongoing efforts to strengthen the employee onboarding process saw several enhancements introduced in 2025. A dedicated orientation programme is provided for recruits joining directly to the Executive Cadre, offering comprehensive exposure to the Bank's core values, culture, and brand expectations.

STANDARD BENEFITS PROVIDED TO ALL EMPLOYEES

- » Salary
- » Allowances
- » Bonus
- » Opportunities for career advancement and growth
- » Opportunities for learning and development
- » Reimbursement of costs to acquire core banking qualifications and payment of honorarium on successful completion
- » Rewards and recognition programmes
- » Library facilities
- » Staff loans
- » Surgical and Hospitalisation cover
- » Critical illness cover
- » HNB Wellness Centre
- » Mobile Medical Camps
- » Recognition and reward for tenured staff (25 years)
- » Accommodation for staff working outstation



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To further elevate the onboarding experience, steps were taken to ensure new recruits are swiftly connected with their respective HR Business Partners to receive support during the transition period, while the direct involvement of senior members of the HR leadership team was sought as needed to ensure a seamless transition into the organisation.

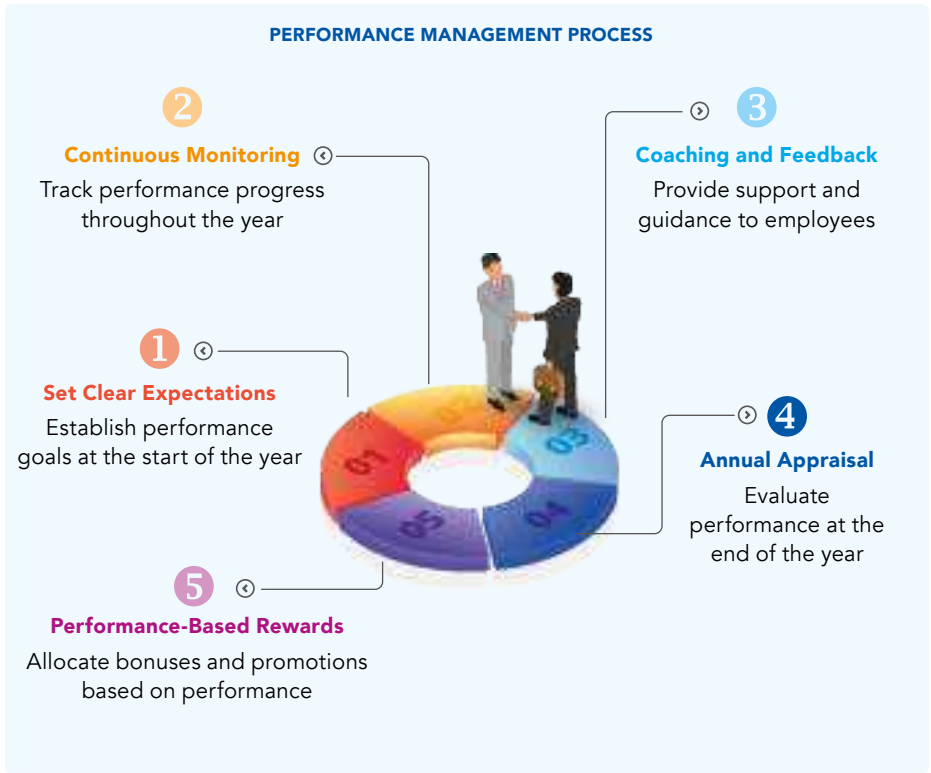
Performance Management

Given the size and scale of HNB’s operations, a purpose-driven performance management system is essential for sustaining high performance, promoting accountability and facilitating employee growth. The Bank’s performance management framework therefore serves as a critical mechanism to align individual contributions with enterprise-wide goals and ensure employees receive fair and transparent recognition for their efforts.

Under the Human Capital Transformation Project, significant enhancements were introduced to further strengthen the Bank’s performance management framework. A key reform was the introduction of a new KPI structure aligned to the 300+ newly evaluated job roles. The main objective of this exercise was to enable employees to take ownership and accountability and better understand how their contributions drive business outcomes.

Meanwhile, the KPI refinement process for senior and corporate management focused on strengthening the linkage between individual objectives and the broader business strategy. The revised framework introduced two distinct ratings:

Maternity Leave		
In compliance with the Shop and Office Employees Act of 1954, female employees are entitled to 84 days paid maternity leave, post-delivery as well as two-hour nursing time till the child reaches one year of age	2025	2024
Maternity leave availed during the year ^{LA}	51	65
Returned to work during the year after obtaining maternity leave during the previous year ^{LA}	14	17
Resignations during the year after obtaining maternity leave during the previous year	1	0



a performance rating, based exclusively on the achievement of financial and operational KPIs, and an overall rating, which combines performance outcomes with competency-based assessments to provide a holistic view of managerial effectiveness.



Training and Development

HNB adopts a holistic approach to training and development, which has prompted significant investment in building internal training resources, including a state-of-the-art facility at the Head Office and dedicated training spaces across regional offices.

Since 2015, the Bank's cloud-based e-learning system has also played an increasingly critical role in delivering training. Offering on-demand access via any digital device, the platform now hosts the majority of standard programmes, including teller operations, account opening and clearing, ethics in banking, cybersecurity, and AML compliance. Competency-based training for entry-level staff, as well as internal operational/functional certifications for officers, are also delivered through this system.

HNB's holistic approach to training and development extends to formation of partnerships with external training specialists to provide employees with the opportunity to broaden their institutional knowledge through exposure to specialised workshops and seminars both locally and internationally.

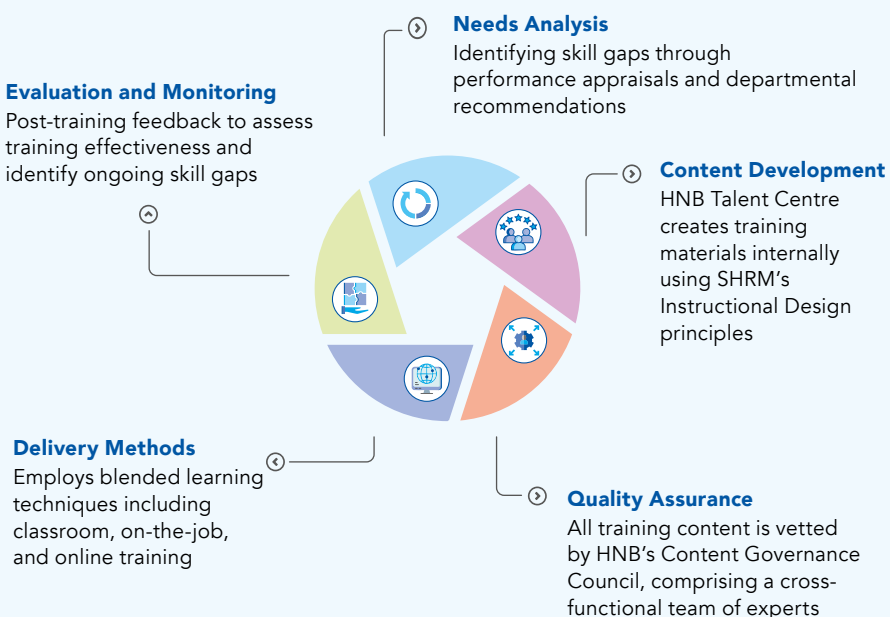
Career Growth

Opportunities for career growth are a vital part of HNB's employee value proposition. While the Bank has always facilitated employee career growth based on the outcomes of the annual performance review mechanism, the introduction of job bands, revised KPIs, and competency frameworks under the Human Capital Transformation Project implemented in 2024–2025 has led to a more formalised approach to support career growth for all employees. At the same time, clearly defined career progression pathways implemented under the Human Capital Transformation Project enable employees to visualise growth trajectories and understand how their contributions directly influence both personal advancement and the Bank's strategic success.

Employees Receiving Performance Evaluations^{LA}

	% of employees receiving performance evaluations in 2025
Corporate Management	100%
Senior Management	100%
Management	100%
Executive & allied	100%
Junior Executive & allied	100%
Bank Associate & allied	100%
Support Staff	100%
Total	100%

HNB'S INTEGRATED APPROACH TO DEVELOPING TRAINING CONTENT



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TRAINING RECORD FOR 2025

Rs **137.6 Mn**

Investment in training
and development

166,746

Total training
hours

30 hrs

Average training hours
per employee



TRAINING DELIVERY IN 2025

- » Classroom and virtual training
406 programmes delivered through class
room learning and 42 virtually
- » E-learning (Talent space platform) - 51,902
online engagements including courses
and quizzes
- » Structured leadership training
programmes - 556 employees
participated in 11 programmes
- » Role based training - designed for front
line staff for certification
- » 'Committed to serve' campaign -Service
excellence related training
- » External training - 739 employees
participated in 177 programmes locally
and overseas

TRAINING FOCUS IN 2025

- » Business Sustainability
171 programmes | 7,377 participants
- » People development
218 programmes | 5,033 participants
- » Technology enablement
60 programmes | 984 participants
- » Business growth
113 programmes | 6,614 participants
- » Improve customer
experience and productivity
63 programmes | 1,442 participants

These changes have been designed to provide employees with the ability to track progress, target promotions, and build the skills required to achieve their career growth aspirations ^{LA}.

The Bank's documented succession planning framework for senior management and above, was also further strengthened under the Human Capital Transformation Project, whereby short, medium and long-term plans were incorporated into Individual Development Plans (IDP's) to ensure continuity in critical roles. Moreover 360-degree evaluations were integrated into the coaching and mentoring models to ensure skill gaps are systematically identified and addressed through targeted initiatives.

Employee Relations and Grievance Handling

Effective employee relations and grievance management are key components of HNB's approach to managing employee expectations and cultivating a productive, engaged workforce. Our open-door policy empowers employees to engage freely with senior management. At the same time, managers at all levels of the Bank are expected to use regular meetings and briefings as opportunities to build strong

relationships with their teams. OneHNB, our internal communication platform serves as the key tool for communicating organisational changes. The notice period for operational changes vary based on the nature and scope of the change ^{LA}.

Meanwhile, given that over 60% of the workforce is represented under collective bargaining agreements, regular meetings with union representatives form an integral part of the employee relations framework. Following the structural changes implemented under the Human Capital Transformation Project, the Bank's HR teams commenced talks with union representatives to review and update designations of unionised employees to align with the new structure.

Formal grievance mechanisms were also further strengthened following the Human Capital Transformation Project. Direct engagement with the CHRO was introduced after each promotion cycle to address concerns of employees who were not successful in advancing their career aspirations. Likewise, junior staff who have completed the two-year Bank Associate Programme and three years of service, are now granted the opportunity to connect with the HR team and senior management,

including HR Business Partners to share feedback and raise concerns.

To further support new developments implemented during the year, existing disciplinary procedures were formalised as policy, while the terms of reference for the Staff Disciplinary Committee and Disciplinary Appeal Committee were reviewed and updated.

Safety and Well-being

While the nature of HNB's operations as a service-oriented organisation does not expose employees to significant occupational health risks, the Bank has established a comprehensive system in full compliance with national regulations for the safety of employees, customers, and other visitors across all Bank locations. During the year, Hatton National Bank (HNB) advanced its commitment to employee health, safety, and well-being through the continued rollout of the ISO 45001:2018 Occupational Health & Safety (OHS) Management System ^{LA}. A comprehensive gap analysis clarified the improvements needed to meet global OHS standards and guided the Bank into the documentation and system-building phase, during which new procedures, formats, and operational manuals were

HNB CAREER GROWTH FRAMEWORK

ASPIRE LEADERSHIP DEVELOPMENT PROGRAMME

A leadership development programme for Executives and Managers, launched at the end of 2024 in partnership with renowned local and international training organisations. The programme was initiated with 40 high-potential employees and is currently ongoing, with completion scheduled for 2026.

CATALYST LEADERSHIP DEVELOPMENT PROGRAMME

The HNB Catalyst Leadership Programme is a flagship initiative designed to develop the Bank's senior leadership pipeline. In 2025, a group of 20 Vice Presidents were nominated to participate in the programme, aimed at grooming them for future C-suite roles.

SELF-LEARNING MANAGEMENT DEVELOPMENT PROGRAMME

Conducted in partnership with an international digital learning provider, three self-paced programmes were launched in 2025, covering a range of business-critical skills such as self-management, customer orientation, growth mindset, and leadership agility. A total of 410 employees, including Senior Managers, Regional Heads, Branch Managers, Deputy Managers, and Relationship Managers, successfully completed the programme in 2025.

Structured List of Programmes and Participants

Programme – Target Group	Number of Participants
Catalyst – Senior Management	20
Aspire – Executives/Managers	40
Women Leadership Development Programmes	63
Emotional Intelligence (EI), Problem-Solving & Leading and Managing Teams for First-Time Managers	23
Self-Learning Management Development Programme:	410
Total	556



developed and are now under internal review.

HNB also updated its Health & Safety Policy, strengthened risk assessment methodologies, and conducted targeted awareness sessions to enhance employee understanding of OHS roles and best practices.^{LA} As part of the certification roadmap, the Bank completed its internal audit against ISO 45001:2018 requirements, demonstrating early readiness for external assessment. These efforts reinforce HNB's proactive, prevention-focused safety culture and reaffirm that employee well-being remains central to its human capital strategy.

In addition, the Bank reported no incidents of non-compliance resulting in warnings, penalties, or sanctions related to the health

and safety impacts of its products and services during the reporting period.^{LA}

HNB is pleased to report that no cases of work-related ill-health were recorded during the financial year.^{LA} The Bank continues to uphold strict health and safety protocols, supported by preventive measures designed to maintain a safe, healthy, and supportive work environment for all employees.

Employee Engagement

HNB actively cultivates employee engagement to strengthen loyalty and foster a strong sense of team spirit among all employees. The annual activity calendar is structured to create opportunities for meaningful engagement to enable employees to celebrate achievements and develop a sense of belonging by cultivating

stronger interpersonal connections across teams.

The Bank maintains a structured and transparent approach to employee engagement when implementing significant operational changes. In line with applicable labour legislation, internal human resource policies, and collective bargaining agreements where relevant, the Bank consults with employees and their representatives in advance of such changes.^{LA} Employees are provided with prior notice, together with appropriate channels for communication and consultation, ensuring that they are informed and able to provide feedback based on the nature, scale, and potential impact of the proposed change.

As at 31st December 2025, the Bank engaged 427 workers who are not

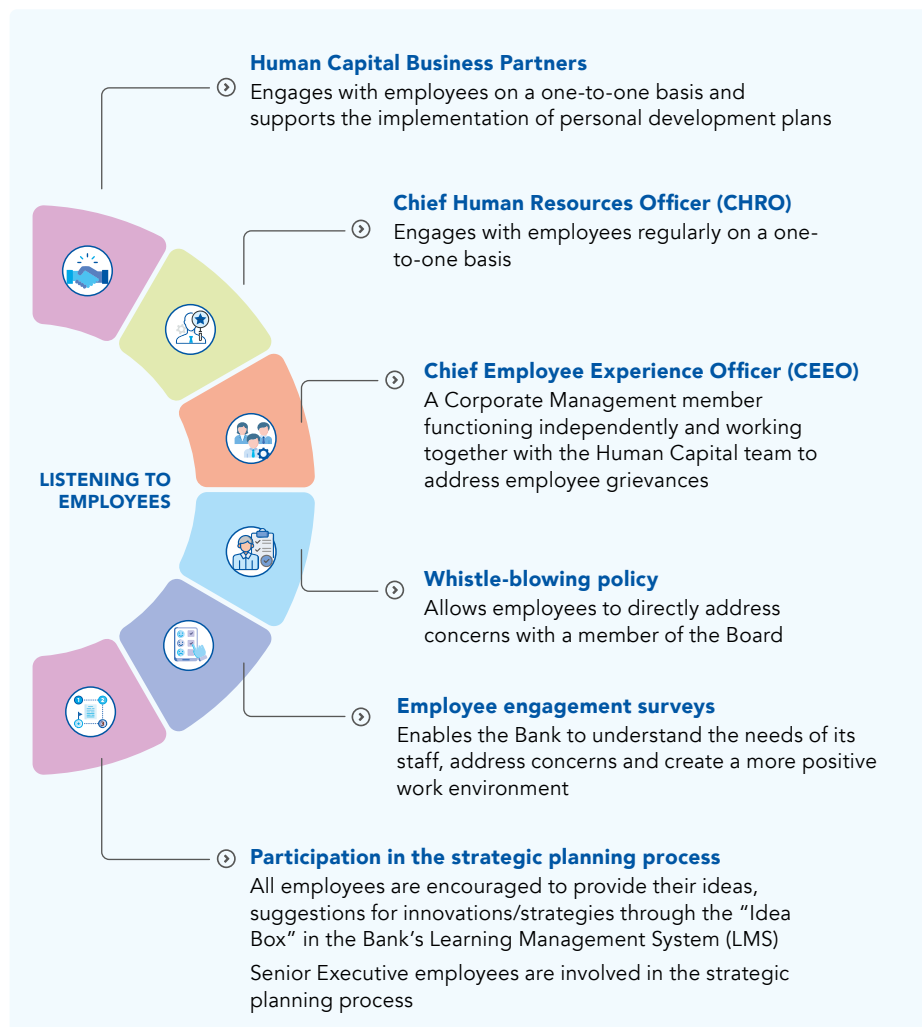
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employees, reported on a headcount basis at the end of the reporting period ^{LA}. These individuals were contracted through third-party service providers and therefore are not included in the Bank's employee headcount. The non-employee workforce primarily supported non-core operational functions, including facilities management, selected technical services, and other outsourced support activities that enable the Bank to maintain operational efficiency while ensuring that core banking operations remain fully in-house.

The scale and composition of the outsourced workforce remained stable during the year, reflecting the Bank's steady operating model and the absence of material changes in the structure, scope, or scale of outsourced activities. All non-employee workers were engaged under contractual arrangements managed by external service providers, in line with the Bank's outsourcing framework.

To uphold accountability and ensure responsible business conduct across the extended workforce, the Bank maintains formal oversight mechanisms for all third-party service providers. This includes periodic performance evaluations, compliance reviews, and risk-based audits designed to assess adherence to contractual obligations, regulatory requirements, labour standards, and the Bank's Code of Conduct and sustainability principles. Through this structured governance approach, the Bank ensures that outsourced personnel operate in alignment with its values, ethical standards, and operational expectations.

Additionally, as at 31st December 2025, the Bank engaged 304 interns under structured temporary employment arrangements. Interns are not included in the Bank's official year-end headcount. The internship programme offers practical exposure and professional development opportunities for youth, supporting national talent development while contributing to a sustainable future-ready succession pipeline for potential permanent roles within the Bank.



HEALTH AND WELLBEING



A total of **553** staff members participated in 16 health and wellness programs organised by the Talent Centre

Fire Safety & Emergency Response ^{LA}

- » Dedicated Fire Safety Warden and floor-level safety champions appointed at Head Office.
- » Safety Champions are responsible for safety risk assessments, hazard identification, and incident investigation.
- » Trained first aid teams have been established at branches to act as first responders in the event of an emergency.

Insurance & Healthcare ^{LA}

- » Life insurance coverage for full-time employees.
- » Healthcare benefits for all employees, including reimbursement of surgical and hospitalisation expenses for employees and their families.

Health & Wellness ^{LA}

- » Mobile medical camps and women's health programmes.
- » Awareness and training on diabetes, mindfulness, emotional intelligence, stress, and anger management.



First-aid training

- » Dedicated Wellness Centre at HNB Towers in partnership with Lanka Hospitals. ^{LA}

Awareness & Training

- » Mandatory safety training included in induction for all new recruits.
- » Regular refresher sessions conducted to reinforce safety practices and awareness

Key Priorities for the Future



Short Term

Leadership Development

- » Implement leadership development tracks for current employees to prepare them for immediate next career steps

Medium Term

Accelerate Digital Transformation

- » Automate end-to-end HR processes to reduce turnaround time and improve operational productivity

Long Term

Strategic Workforce Planning

- » Establish a fully data-driven strategic workforce planning framework to continuously align workforce capabilities with future requirements

SOCIAL & RELATIONSHIP CAPITAL



Social and relationship capital forms a vital bridge between HNB and the communities it serves, including customers, suppliers, business partners, and the broader society. By nurturing strong relationships with these key stakeholders, the Bank strengthens its resilience and enhances its standing as a trusted and dependable financial institution.



GOVERNANCE AUTHORITIES

- » Board of Directors
- » Board Audit Committee (BAC)
- » Board Integrated Risk Management Committee (BIRMC)
- » New Product Development (NPD) Committee
- » Procurement & Assets Disposal Committee
- » Procurement Unit
- » Sustainability Management Committee (SMC)



GOVERNANCE FRAMEWORK

- » Financial Consumer Protection Regulations, No 01 of 2023
- » The Banking (Amendment) Act, No 24 of 2024
- » The Anti-Money Laundering Laws and Regulations and Financial Transaction Reporting Act No 6 of 2006 and its amendments
- » Central Bank of Sri Lanka's (CBSL) Technology Risk Management and Resilience Guidelines
- » Personal Data Protection Act, No 9 of 2022
- » ISO/IEC 27001:2022 Information Security Standard
- » NIST Cybersecurity Framework
- » CBSL Roadmap for Sustainable Finance
- » The Sri Lankan Sustainable Banking Principles (SBP)
- » ISO 9001: 2015 Quality Management System
- » ISO/IEC 22301 Business Continuity Management System
- » Cyber Security Policy
- » Procurement Policy
- » Customer Complaint Handling Procedure
- » ESG strategy and CSR allocation



LINK TO STRATEGY

- » Business Growth
- » Customer Experience and Productivity
- » Technology Enablement
- » Business Sustainability



KEY RISKS

- » Operational Risk
- » Information & Cyber Risk
- » Strategic Risk
- » Reputation Risk



MANAGEMENT APPROACH

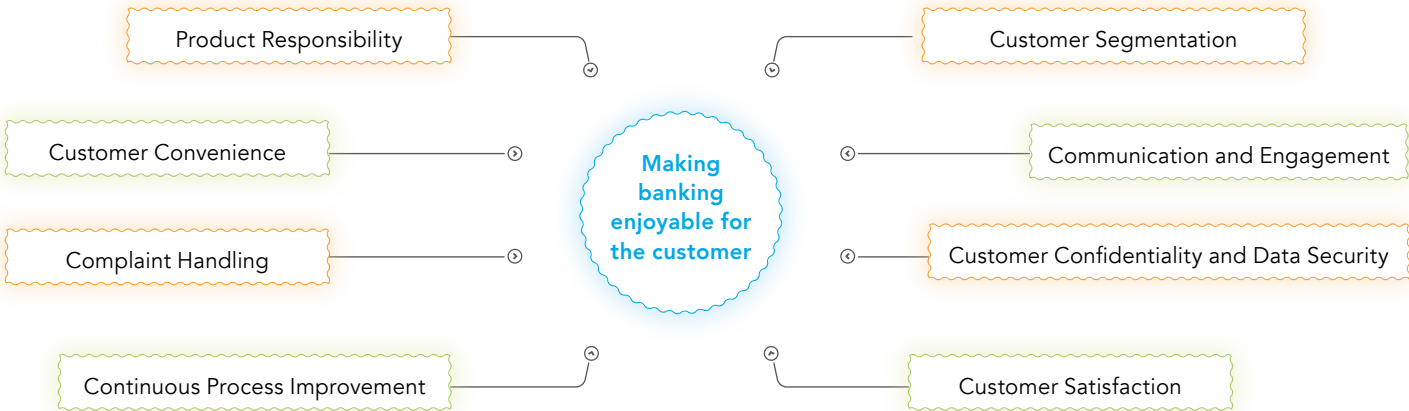
HNB's efforts to building long-lasting ties with customers, suppliers and business partners as well as the community are based on providing the best possible outcomes for each stakeholder group, through three distinct pivots – making banking enjoyable for the customer, being the preferred choice for suppliers and business partners, and building empowered communities.

STAKEHOLDER OUTCOMES

- » Customer queueing time at branch counters **10.0 mins**
- » Overall customer satisfaction score **87.4%**
- » Branch customer satisfaction score **86.2%**
- » Supplier network **280**
- » No of financial literacy programmes **1,682**



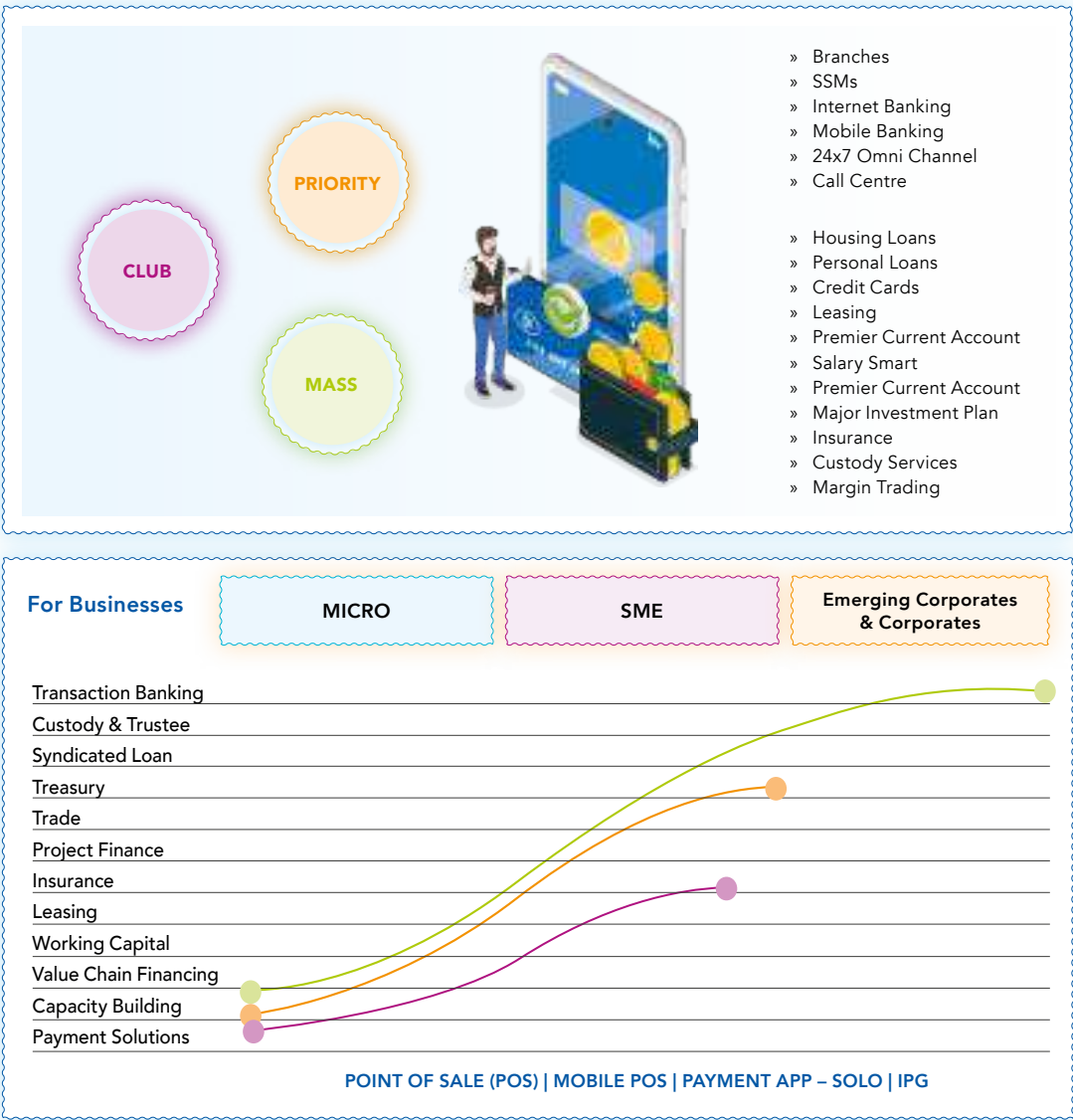
Customers



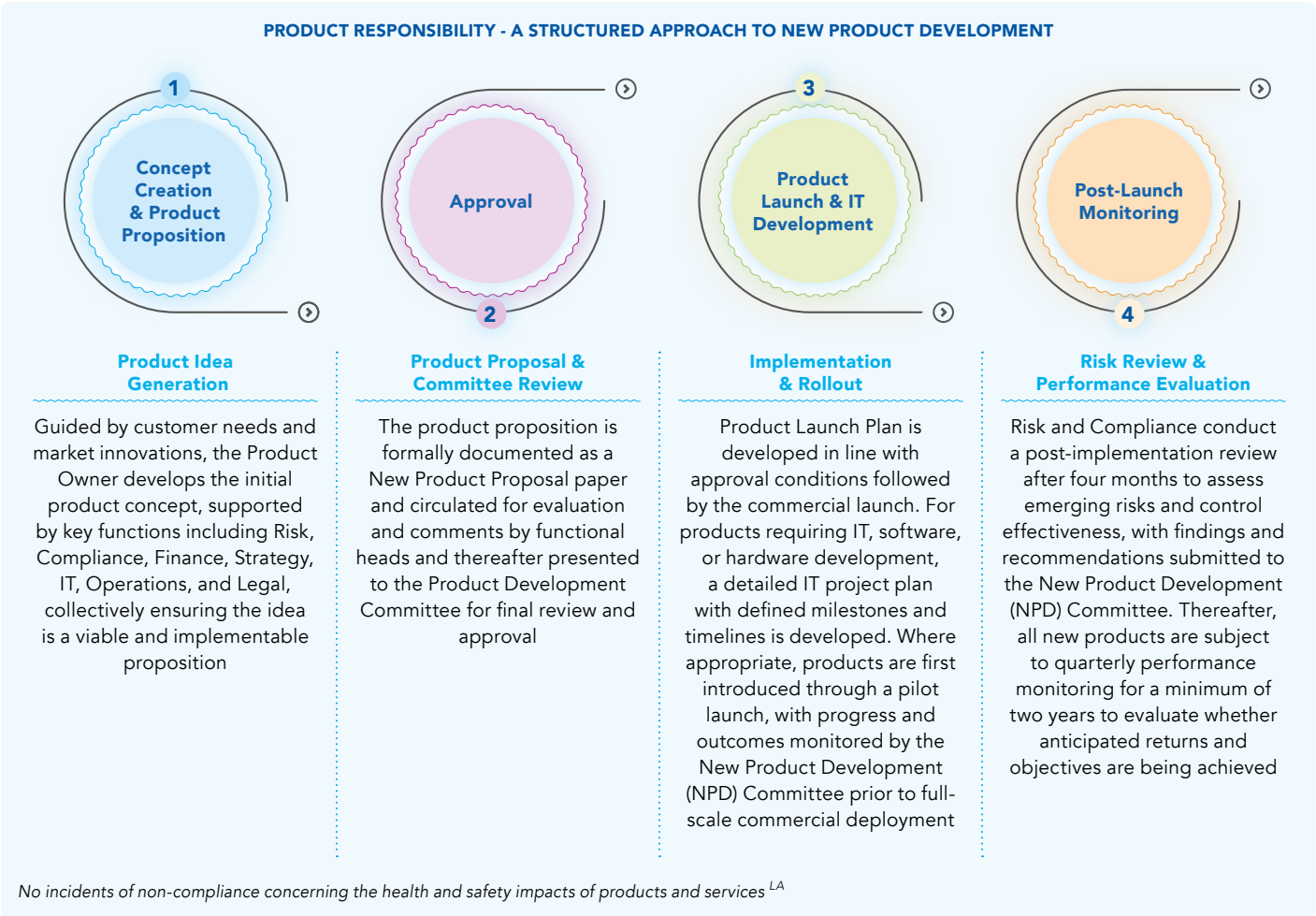
Customer Segmentation

Effective customer segmentation stands as the point of origin for “making banking enjoyable for the customer”. Our quest to develop and deliver curated experiences that are simpler, faster, and more responsive to the distinctive needs of specific customers, is driven by a deeply insightful approach to understand and anticipate the distinct needs, preferences, life stages, and financial behaviours of different customer segments. In recent years, the increased use of data analytics to disseminate customer behaviour, preferences, and market trends, has helped to further refine product customisation to enhance customer outcomes.

Strategic partnerships also enable the Bank to co-create innovative, tailored solutions, thereby expanding the relevance, accessibility, and responsiveness of HNB’s product offerings across customer segments.



SOCIAL & RELATIONSHIP
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Customer Convenience

HNB’s commitment to customer convenience is underpinned by its strategically integrated channel architecture combining both physical and digital infrastructure designed to provide seamless, reliable, and inclusive access to banking services across the country.

The Bank’s island-wide physical presence represented by the network of 257 full-service branches operate within banking hours to offer customers access to HNB’s entire suite of products and services.

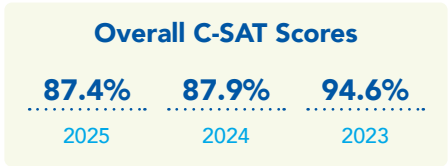
Additionally, our self-service terminals and digital banking platforms encompassing internet banking, mobile apps and mobile wallets together create an ecosystem that enables customers to transact anytime, anywhere.

The “Non-Face-to-Face” (NF2F) platform, launched in 2024, enables digital customer onboarding supporting the digital transformation journey of HNB.

Communication and Engagement

At HNB, we have always prioritised clear, upfront communication and meaningful engagement as the basis of building customer trust. In line with this principle, HNB adheres to the highest standards of transparency, accuracy, and ethical practice across all customer interactions. As a licensed commercial bank, all marketing and promotional materials are developed in strict compliance with internal guidelines and mandatory disclosures required by the Central Bank of Sri Lanka, including product terms, conditions, and fees.

Furthermore, extensive training is provided to all frontline teams engaged in direct



marketing to reinforce the importance of consistency and clarity of in-person communication and engagement. Likewise, the CRM system implemented in the latter part of 2024 has proven to be a powerful tool assisting Relationship Managers to deepen client relationships, while integrated features within the CRM system, including automated alerts, facilitate more frequent customer engagement.

As part of ongoing efforts to improve the clarity and transparency of customer communications, the trilingual version of the HNB Mobile App was launched, allowing customers to select their preferred

language between Sinhala, Tamil, or English.

No incidents of non-compliance in relation to the disclosure of product information or non-compliance concerning marketing communications were reported in 2025^{LA}.

Compliant Handling

Proactive complaint handling is a critical component of HNB's commitment to delivering exceptional customer service and maintaining trust. Hence, the Bank has established a structured process to manage complaints to ensure every customer concern is captured, tracked, and resolved within defined timelines.

As part of the process, dedicated teams engage with customers to understand the issue, provide timely resolutions in line with regulatory and internal quality standards. The new CRM system has also helped to provide the customer with feedback regarding the progress of the complaint resolution process.

Continuous monitoring and periodic analysis of complaints help identify trends, enabling the Bank to implement preventive measures and improve overall service delivery.



KEY HIGHLIGHTS FOR 2025^{LA}

TxB TradeX: Advancing HNB's Transaction Banking Capabilities

HNB launched TxB TradeX - its next-generation Digital Trade Finance platform, setting a new standard for digital trade services in Sri Lanka. TradeX offers a seamless and secure digital interface for managing the full spectrum of Trade Finance operations. The platform is built to simplify and digitise trade documentation and approval processes, enhancing speed, visibility, and efficiency across the Trade Finance lifecycle.

Introducing HNB's First Trade Hub

HNB launched its first-ever Trade Hub in Pettah to provide dedicated trade services to support importers and exporters. The Trade Hub, which offers extended banking hours is structured as specialised unit to serve the end-to-end trade financing needs of businesses.

Sri Lanka's First World Elite Metal Mastercard

HNB unveiled its exclusive first World Elite Metal Mastercard, 'Club Elite' introducing a new echelon of luxury banking to Sri Lanka's payment landscape. This invitation-only card, designed specifically for HNB Club Elite members, represents a significant advancement in Sri Lanka's premium banking sector, offering cardholders access to exclusive offers from Mastercard.

HNB and Visa Collaborate to Unveil 'HNB Accept'

HNB Accept, a Visa-enabled feature on the HNB Mobile Banking app, turns smartphones into secure mPOS devices, thus enabling low cost digital payment acceptance to support wider entrepreneurship and promote greater MSME participation in Sri Lanka's digital economy.

Enabling Card-Based Payments on Expressways

HNB, in partnership with the Road Development Authority, introduced Sri Lanka's first card-based toll payment system, enabling secure credit and debit card payments at highway toll booths, marking a major step towards modernising the national transport infrastructure.

Nationwide Mini POS Rollout to Accelerate SME Digital Adoption

The Nationwide Mini POS roll out demonstrates HNB's commitment to fostering financial inclusion and driving digital transformation for small businesses across Sri Lanka.

Driving Digital Payments by Eliminating MDR on LankaQR

HNB has removed Merchant Discount Rates (MDR) for LANKAQR transactions, making digital payments more affordable and accessible. This initiative supports wider digital adoption among small businesses and enhances customer convenience through seamless QR-based payments.



SOCIAL & RELATIONSHIP CAPITAL

Customer Confidentiality and Data Security

We recognise that customer trust is built not only through high-quality products and services but also by maintaining the highest standards of confidentiality and protecting sensitive information across all touch-points. Hence safeguarding customer information and ensuring data security are key components of HNB's responsible banking practices.

The Bank has implemented layered security controls, led by a framework of Board-approved policies, well-defined protocols, and secure technology systems to prevent unauthorised access, misuse, or loss of data. These efforts are coupled with continuous system monitoring, and regular reviews to safeguard information across physical and digital channels, in full compliance with applicable regulatory requirements and data protection standards.

These are complemented by ongoing awareness programmes. In particular, the certified course on Customer Protection, which was integrated to the Bank's e-learning platform in 2024 now plays a major role in raising awareness among staff. Customer protection was also embedded as a core discussion topic within all operations-related training programmes with effect from mid-2025, as part of a focused effort to ensure customer protection is consistently understood and practiced at all levels of operation, without exception.

As part of a holistic approach to data governance, safeguarding customer

privacy, and ensuring full compliance with Sri Lanka's Personal Data Protection Act, work also commenced on a formalising data-sharing agreement across the wider HNB Group. The main purpose of the initiative is to standardise the data governance framework across the Group and introduce regular audits to provide assurance that data is managed, accessed and used in compliance with established control.

No incidents were reported in connection with the breach of customer data ^{LA}.

Suppliers and Business Partners

Procurement Best Practices

Procurement at HNB is governed by the Bank's Procurement Policy which has been developed in alignment with globally recognised best practices to serve as the overarching framework for managing supplier relationships. In accordance with this Policy, the Bank engages exclusively with approved suppliers. The supplier registry, is updated annually to enable new suppliers to register. All prospective suppliers undergo a rigorous screening process in line with established procedures, with evaluations conducted against defined criteria including financial stability, service reliability, ethical conduct, and sustainability considerations. The general terms and conditions agreed upon as part of the supplier registration process, together with any tender-specific requirements stipulated in individual tender documents, collectively serve as the Bank's de facto Supplier Code of Conduct and remain contractually binding for the duration of the engagement.

The Bank's Procurement Unit operates under ISO 9001:2015 certification, providing independent assurance regarding the integrity and effectiveness of the procurement systems and processes adopted to manage HNB's supplier network.

In keeping with its commitment to continuous improvement, the Procurement Policy was comprehensively reviewed and enhanced in 2025. During the year, due diligence was strengthened through additional compliance verification, enhanced know-your-supplier checks including disclosures for politically exposed persons, and new privacy clauses in contracts.

As of 31 December 2025, the Bank added 159 new suppliers, bringing the total to 280. All suppliers were screened for social impacts, reinforcing a resilient, compliant, and high-performing supplier ecosystem ^{LA}.

The outcomes of the annual performance evaluation of existing suppliers did not reveal any negative social impacts and environmental impacts across the Bank's supply chain ^{LA}.

Business Partner Relations

Strategic business partnerships play a vital role in strengthening HNB's operating model by providing access to specialised expertise, resources, and innovative solutions that enable the Bank to enhance its capabilities, build operational scale, and maintain a competitive edge within the industry.



Longstanding business partnerships include, the collaboration with SLT Mobitel which has enabled HNB to leverage the extensive mCash network to extend formal banking services to underserved communities, thereby enhancing financial inclusion, and improving customer access beyond the traditional branch network.

Similarly, HNB's relationships with global correspondent banks and exchange houses are crucial in supporting international trade, facilitating secure and efficient cross-border transactions, and attracting inward remittances to Sri Lanka. These partnerships reinforce the Bank's role as a trusted intermediary in global financial networks, thereby safeguarding the integrity of the country's financial system.

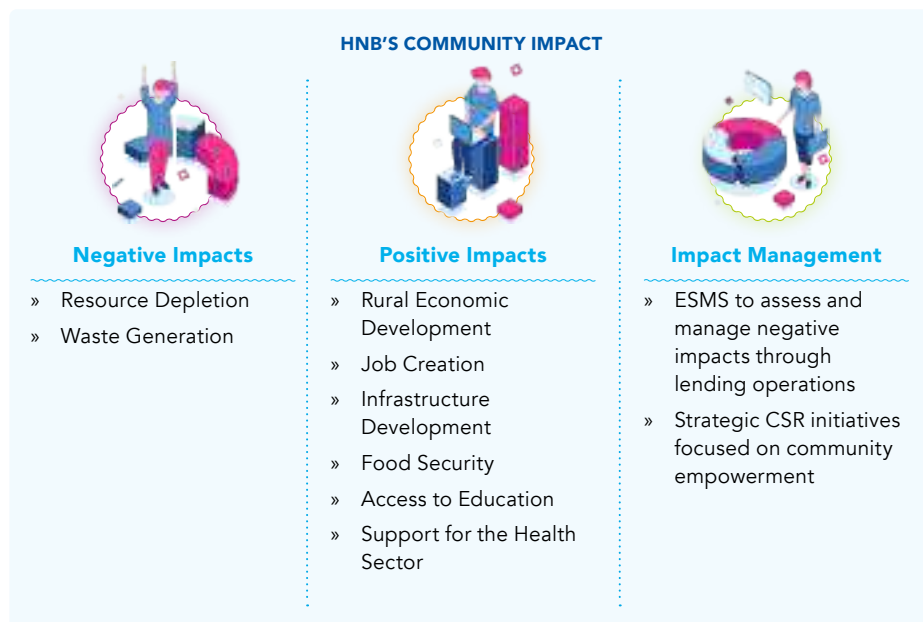
HNB's partner ecosystem expanded further in 2025 through strategic tie ups with property developers, authorised automobile agents, and fintech companies to strengthen specific business segments and enhance customer outcomes.

Community

Community Relations

Community engagement at HNB is underpinned by the Bank's longstanding commitment to advancing national development priorities and contributing meaningfully to the well being of the communities it serves. Guided by the principles of financial inclusion and aligned with the United Nations Sustainable Development Goals (SDGs), HNB's community initiatives are designed to create long term, measurable impact across critical socio economic pillars. The Bank's efforts focus particularly on empowering underserved and vulnerable segments by expanding access to essential financial services, promoting responsible financial behaviour, and strengthening socio economic resilience at the grassroots level.

In line with this commitment, HNB continues to champion financial literacy and education, with a strong emphasis on inculcating a savings habit among children and youth. Through islandwide school outreach programmes, youth focused



savings products, and digital education tools, the Bank works to build foundational financial capabilities that support lifelong economic empowerment. Complementing these efforts, the Bank extends support to community health and well being through targeted healthcare interventions, partnerships, and access initiatives that help uplift the quality of life in underserved regions.

Collectively, these programmes reflect HNB's holistic approach to community investment to deliver enduring value to society, while reinforcing the Bank's role as a responsible corporate citizen committed to equitable national progress.

HNB identified no operations with significant negative impacts on local communities, reflecting the sector's emphasis on community development and responsible operations.^{LA} The Bank did not identify suppliers or operations with elevated risks of forced or compulsory labour, and no significant social impacts were detected within the supply chain. Supply chain related social and environmental considerations are assessed through due diligence processes that reflect industry standard ESG expectations.



SOCIAL & RELATIONSHIP CAPITAL



HNB'S SUSTAINABILITY IMPACT - MEASURED AGAINST THE SDG

Goal 1: End poverty in all its forms everywhere



Total lending to poverty provinces in 2025

HNB continued to channel financing into provinces with high poverty, supporting income generation, enterprise development, and rural economic participation.

Province	Amount (Rs Mn)
Eastern	26,502
Northern	31,504
Uva	6,727

Economic Impact Through Paddy Cultivation Lending in Poverty Provinces (2025)

HNB's paddy cultivation financing directly contributed to farmer income and employment generation in key poverty affected regions.

Province	Gross Income (Rs Mn)	Employment Generation (man days) *
Northern	3,568	99,793
Eastern	13,515	378,015
Uva	620	17,329

*Hired labour

Overall National Impact of lending to Paddy (2025)

- » Rs 30,820 Mn in gross income generated for farmers.
- » 862,028 man-days of employment generated across Sri Lanka.

Assumptions

1. All bank financed paddy cultivation utilised irrigated water.
2. Total cost includes farmer owned inputs.
3. Employment generation accounts only for hired labour.

Data Sources: Socio Economics & Planning Centre, Department of Agriculture – Peradeniya.

Microfinance and Grassroots Enterprise Development

- » Rs 47.96 Bn in financing under the Gami Pubuduwa scheme in 2025 benefiting 45,410 micro entrepreneurs nationwide.
- » Enhanced income generation and employment opportunities for cottage industries and start ups.
- » 1,682 capacity-building and financial literacy initiatives strengthened business sustainability for 118,082 micro and SME clients.
- » The HNB Sarusara programme promoted adoption of modern agriculture technologies, enhancing climate resilience, sustainability, and agricultural productivity among agri MSMEs.

Goal 2: End hunger, achieve food security and improved nutrition and promote sustainable agriculture



Food production from lending 2025

	Area Cultivated (ha)	Production (Mt)
Paddy	53,746	229,019
Minor crops*	45	209

* Red Onions, Green Chillies, Potatoes, Cowpea, Green Gram, Ground Nuts, Kurakkan and Maize

Livestock Production Enabled Through Lending (2025)

- » Milk production: 87 million litres
- » Poultry meat production: 14,058 MT

Data Sources:

- » Department of Agriculture (SEPC), Peradeniya
- » Department of Animal Production and Health, Peradeniya (Poultry Bulletin – December 2025)

Contribution to National Food Security

- » 160,153 MT of rice produced from bank financed paddy cultivation in 2025.
- » Equivalent to 1.5 billion meals, adequate to feed approximately 1,442,822 people for a year.

Assumptions

- » All rice produced is used for human consumption.
- » Paddy to rice conversion factor (1 MT rice = 1.43 MT paddy) Central Bank of Sri Lanka.
- » Rice per capita consumption and national population Department of Census & Statistics.

Support for Fisheries, Food Processing, and Agricultural Productivity

- » Rs 4,522 Mn lent to the fisheries and aquaculture sector
- » Rs 38,046 Mn lent to the food and beverage manufacturing sector, expanding value addition in agricultural value chains.
- » Rs 157 Mn in farm mechanisation loans to improve productivity and reduce labour dependency.

Goal 3: Ensure healthy lives and promote well-being for all at all ages



In 2025, HNB significantly supported Sri Lanka's health ecosystem through financing directed at medical services and essential goods:

- » Rs 19,178 Mn – Lending for healthcare services, hospital development, and medical infrastructure.
- » Rs 6,226 Mn – Financing for pharmaceutical and healthcare product manufacturing.
- » Rs 5,116 Mn – Support for pharmaceutical imports to ensure national access to essential medicines.

Exclusion Policy:

HNB does not finance production or trade in alcoholic beverages (excluding beer and wine) and tobacco to new customers, in line with the Bank's exclusion list.

Goal 4: Ensure inclusive and equitable quality education and promote lifelong learning opportunities for all



HNB continued to strengthen Sri Lanka's education ecosystem in 2025, through financing that expands access, infrastructure, and learning opportunities across all levels.

Lending for Education Development

- » Rs 543 Mn – Development of primary and secondary education
- » Rs 1,642 Mn – Development of tertiary education
- » Rs 1,399 Mn – Other educational development activities

These investments supported school modernisation, higher education capacity building, and the expansion of vocational and skills based learning opportunities.

Goal 7: Ensure access to affordable, reliable sustainable and modern energy for all



HNB's financing portfolio continued to support the country's transition toward clean and renewable energy.

Sustainable Energy Financing

- » 9.8 MW – Installed hydro power capacity financed
- » 62.0 MW – Installed solar power capacity financed

159 personal loans totalling Rs. 29 million were provided for rooftop solar installations in 2025.

These investments contribute to national renewable energy targets, reducing emissions and expanding clean energy accessibility.

Goal 8: Promote sustained, inclusive and sustainable economic growth full and productive employment and decent work for all



Financing to main export crops (excluding export loans)

Crop	Lending for Production (Rs Mn)	Production from Lending
Tea	28,656	27,196 MT of made Tea
Coconut	2,095	57 No Mn nuts
Rubber	763	1,415 MT

Data Sources: Department of Census & Statistics
(Cost of production data for tea, coconut, rubber)

Additional Sector Support

- » Rs 298 Mn – Lending to minor export crops (excluding export loans)
- » Rs 33,976 Mn – Lending for tourism sector development

Financing to export Products

Product	Amount (Rs Mn)
Gems	959
Ceramic products	3,819
Leather products	1,172
Apparel, garments & fabrics	104,581
Food items	22,503
Tea	47,607
Coconut	20,191
Rubber	3,971
Minor export crops	15,116
Fish & marine products	11,602
Unprocessed agricultural products	450
Other	7,368

These financing facilities supported value addition, export competitiveness, and employment across major industrial and agricultural value chains.

Goal 9: Build resilient infrastructure, promote inclusive and sustainable industrialisation and foster innovation



Infrastructure and Technology Development Financing

- » Rs 49,149 Mn – Financing to the telecommunications sector
- » Rs 8,642 Mn – Support for development of the Information Technology sector

These investments enhance national digital infrastructure, enable innovation, and strengthen Sri Lanka's competitiveness in the digital economy.

SOCIAL & RELATIONSHIP CAPITAL



HNB'S SUSTAINABILITY IMPACT - MEASURED AGAINST THE SDG

Goal 11: Make cities and human settlements inclusive, safe, resilient and sustainable

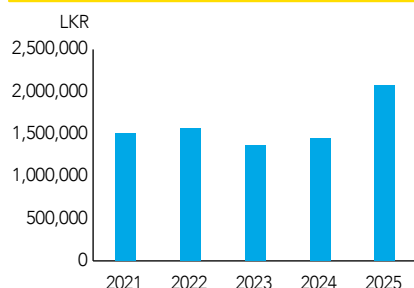


Lending for Urban and Community Development

- » 19,810 Mn – Housing loans and residential property development
- » Rs 269 Mn – Improving passenger transport services
- » Rs 3,423 Mn – Waste management projects (excluding waste to energy)

These initiatives contribute to more resilient cities, improved mobility, and environmentally responsible waste management systems.

Housing Loan Portfolio to Low income Provinces outstanding as at 31 December 2025



Goal 14: Conserve and sustainably use the oceans, seas and marine resources for sustainable development



HNB's Environment and Social Policy ensures responsible lending in the fisheries sector.

Sustainable Fisheries Financing

- » The Bank does not finance illegal fishing practices, including drift net fishing with nets exceeding the length of 2.5 km.
- » Rs 4,900 Mn in lending was identified as aligned with CBSL Green Finance Taxonomy for sustainable fisheries and aquaculture.
- » This approach supports long term conservation of marine ecosystems and responsible utilisation of ocean resources.

Goal 15: Protect, restore and promote sustainable use of terrestrial ecosystems, sustainably manage forests, combat desertification, and halt and reverse land degradation and halt biodiversity loss



HNB's lending is aligned with biodiversity protection and sustainable land use principles.

Exclusions in Line with Environmental Safeguards

- » No financing for commercial logging in primary tropical moist forests
- » No financing for unsustainably sourced forestry products
- » No financing for trade in wildlife or CITES regulated wildlife products

Sustainable Plantation Financing

- » Rs 1,293 Mn – Rainforest Alliance certified tea plantations
- » Rs 8,188 Mn – Certified rubber plantations and rubber product manufacturing

These contributions support sustainable land use, certified agricultural practices, and traceable, responsible supply chains

Goal 16: Promote peaceful and inclusive societies for sustainable development provide Access to justice for all and build effective, accountable and inclusive institutions at all levels



HNB maintains strict adherence to ethical lending and human rights principles.

Human Rights Aligned Lending Practices

The Bank does not finance:

- » Any activity involving forced labour
- » Any activity involving harmful or exploitative child labour

This commitment supports national and global efforts to build just, inclusive, and accountable institutions.

Community Empowerment Initiatives

HNB Sarusara

In 2025, the HNB Sarusara agri entrepreneur development programme continued to play a transformative role in empowering farmers and agri MSMEs across Sri Lanka. Designed to promote modern, climate resilient, and sustainable agricultural practices, Sarusara provided targeted financial support, technical guidance, and market oriented advisory services to help farming households enhance productivity and build long term resilience. Sarusara remained a cornerstone of HNB's commitment to strengthening rural livelihoods, supporting national food security, and driving inclusive growth within Sri Lanka's agricultural sector. During the year 18 programmes were held across the country with the participation of over 13,000 farmers covering a variety of crops.

Financial Literacy and Capacity Building Initiatives

HNB continued to strengthen financial capability among communities through structured financial literacy and capacity building programmes across the country. In 2025, the Bank conducted 1,682 financial literacy programmes, benefiting more than 118,000 individuals including micro entrepreneurs, farmers, women led businesses, youth, and low income households.

The Bank also invested significantly in upskilling its microfinance workforce. 48 HNB Microfinance Officers were trained under the CBSL–University of Kelaniya Certified Microfinance Training Curriculum, ensuring all field officers are equipped

with industry standard competencies in responsible lending, customer protection, financial inclusion practices, and sustainable rural economic development. This enhanced capability enables HNB to deliver higher quality advisory services, promote financial discipline, and support long term enterprise sustainability among underserved communities.

Creating Access to Markets

Solo Podi Podi Business

In 2025, HNB continued to uplift the smallest segment of Sri Lanka's entrepreneurial community through the Solo Podi Podi Business initiative, supporting individuals engaged in ultra micro enterprises that operate at village and household level. These include home based food production, tailoring, handicrafts, small retail trades, cottage industry activities, and micro agri ventures that form the backbone of rural livelihoods.

The Gami Pubuduwa Avurudu Pola

The Gami Pubuduwa Avurudu Pola which is a key platform for entrepreneurs to access new markets, build networks and elevate their business potential. The event which took place for the 6th consecutive year in April 2025, at the BMICH brought together over 150 micro entrepreneurs offering locally produced goods, including traditional foods, handcrafted items, spices, apparel, plants and more. All entrepreneurs are empowered through HNB's micro-finance support.

Women Entrepreneurs' Fairs

As part of the Women's Empowerment Proposition under HNB's Microfinance

arm, a series of Women Entrepreneurs' Fairs were hosted across 15 regions, including dedicated fairs during the festive season. These platforms enabled women-led businesses to showcase their products, access new customer segments, and strengthen commercial viability, contributing to broader financial inclusion efforts.

Teen+ Quiz Champs powering knowledge

HNB successfully concluded two regional editions of its flagship youth education programme, HNB Teen+ Quiz Champs, in Matara and Badulla. The initiative brought together more than 600 students from 80 schools for a dynamic and engaging competition that tested knowledge across Mathematics, Science, Sports, Technology, Sustainability, History, and General Knowledge.

Partnering with the Sri Lanka Inventors Commission to Strengthen the National Innovation Ecosystem

HNB in collaboration with the Sri Lanka Inventors Commission (SLIC) launched "InnovaBiz EliteLink", a programme designed to support Sri Lankan inventors throughout their innovation journey. The initiative aims to help local inventions reach commercial viability by bringing together financing, technical guidance, and capacity-building under a single platform.

Under the partnership, SLIC will identify and recommend eligible inventors, while HNB will offer preferential loan schemes, interest concessions, and faster loan processing. The Bank will also provide advisory support, including access



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to investor networks, branding and commercialisation assistance, and targeted workshops to help innovators move from idea to market. In addition, participants will also benefit from structured capacity-building programmes to strengthen financial literacy and technical skills, enabling inventors to build sustainable and scalable businesses.

Strategic CSR

HNB continued to support communities through a structured and needs-based approach in 2025. *Community priorities were identified through insights from Branch Managers and Regional Heads and were further reviewed by the Sustainability team before being presented to the Sustainability Management Committee for approval and oversight.* ^{LA}

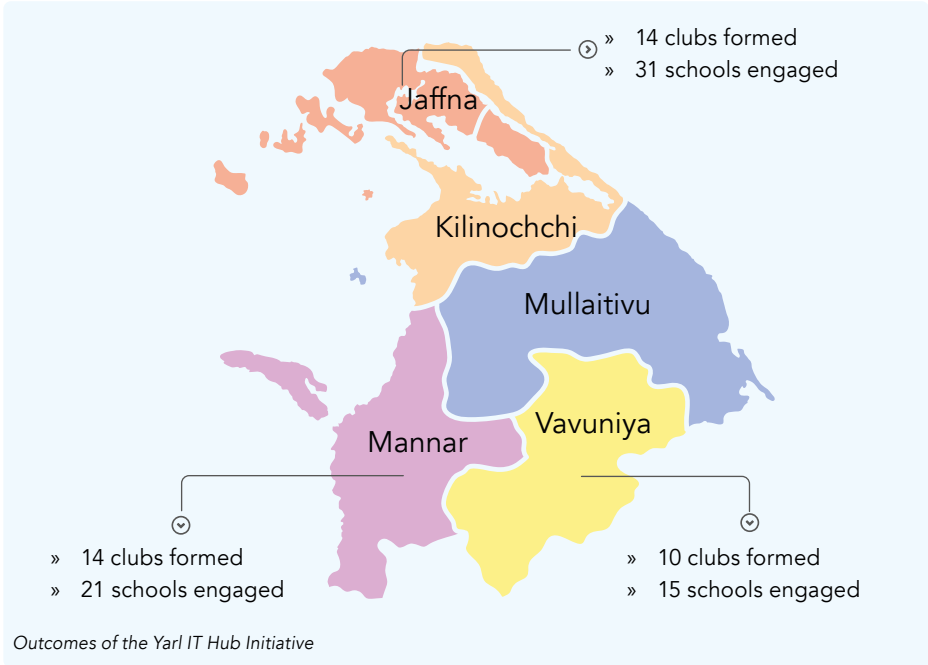
CSR initiatives were funded through the annual Board-approved budget, supplemented by proceeds from internal sustainability efforts. The Sustainability Management Committee monitored project selection, implementation progress and delivery of outcomes to ensure effective use of resources.

Long-term commitments supported through the HNB Sustainability Foundation continued during the year, including the ongoing operation of the Cancer Counselling Centre at Apeksha Hospital and financial support for selected patients.

In 2025, the Bank spent a total amount of Rs 154Mn for strategic CSR activities, which included activities carried out through the Bank as well as through the HNB Sustainability Foundation.

Disaster Relief Response
– Cyclone Ditwah ^{LA}

In response to Cyclone Ditwah, a contribution of Rs 100 Mn was made to the Rebuild Sri Lanka Fund, reinforcing national recovery efforts. Additionally, a nationwide disaster relief initiative was launched as the first phase of a structured response, through which over 2,500 essential relief



and nutrition packs were distributed to displaced families. These supplies were formally handed over to the Sri Lanka Army to ensure transparent and equitable distribution across affected areas, including Kandy, Gampaha, Kaduwela, and Hanwella. Parallel relief assistance was also extended to affected employees to support personal recovery.

Empowering Children, Youth, and Inclusive Communities

Entrepreneurship and Leadership Development – Yarl IT Hub ^{LA}

Entrepreneurship and leadership development were strengthened through sponsorship of the School Entrepreneurship Club (SEC) initiative implemented by Yarl IT Hub. The

programme reached 67 schools and established 35 student clubs across Jaffna, Mannar, and Vavuniya, enhancing financial literacy, leadership capabilities, and entrepreneurial thinking among secondary school students in the Northern Province.

Inclusive Performing Arts – Sunera Foundation ^{LA}

Support was extended to the Sunera Foundation to roll out a six-month inclusive performing arts programme designed for persons with disabilities. The initiative facilitated weekly workshops in Maharagama, Galle, and Katugastota, while providing participants with opportunities to showcase their talents on national platforms, promoting inclusion, self-expression, and wider social engagement.

Location	No of Workshops Conducted
Galle	24
Katugastota	23
Maharagama	23
Total	70

Workshops conducted in collaboration with the Sunera Foundation

Youth Empowerment Programme – Sasnaka Sansada Foundation ^{LA}

During Phase I of the Youth Empowerment through Leadership and Entrepreneurship (YELE) Programme, leadership and entrepreneurship initiatives were implemented across 12 districts, reaching more than 1,900 students. The programme strengthened youth capabilities in decision-making, financial literacy, and career readiness, supporting their transition towards informed and confident participation in the future workforce.

Province	No of Students Impacted (Sisu Saviya and Entregate)
Sabaragamuwa	391
Central	331
Eastern	281
North Western	155
Southern	458
Western	343
Total	1,959

Provincial impact of the Sasnaka project

Pop-Up Marketplace – Shiranee Joseph de Saram Foundation ^{LA}

A one-day pop-up marketplace was hosted in collaboration with the Shiranee Joseph de Saram Foundation, showcasing products created by individuals with intellectual disabilities. The initiative promoted economic empowerment, built confidence among participants, and strengthened awareness and inclusion within the workplace.

Children's Day Programme – Sirimavo Bandaranaike Vidyalaya ^{LA}

Support was extended to the Sri Lanka Girl Guides Association's Children's Day celebration at Sirimavo Bandaranaike Vidyalaya. The programme included a plastic awareness session conducted with the Zero Plastic Movement and the distribution of 200 jumbo tills and starter deposit vouchers to encourage early savings habits.

Sponsorship of SDG Village – 60th Colombo Scout Camporee 2025

Sponsorship was provided for the SDG Village at Sri Lanka's largest annual scouting event, the 60th Colombo Scout Camporee 2025. The initiative engaged over 10,000 Scouts in sustainability education and strengthened advocacy for the United Nations Sustainable Development Goals.

Partnering with SLIM to launch Marketing ROKS programme for students

The ROKS programme exemplifies HNB's dedication to educational development through a comprehensive series of masterclasses targeting O/L and A/L students across government and private schools nationwide. The ultimate goal of the programme is to the next generation of business leaders and entrepreneurs in Sri Lanka.

Support to St. Henry's College, Illavalai ^{LA}

St. Henry's College, Illavalai, with a student population of 545 was supported to expand library storage capacity and improve the organisation and accessibility of educational resources, supporting a more conducive learning environment.

Scholarship Seminar and School Clean-Up Initiative – Mullaitivu ^{LA}

A seminar was conducted for students preparing for the 2025 Grade 5 Scholarship Examination. The programme also aligned with the national Clean Sri Lanka Project, fostering environmental awareness and community responsibility among students and families and included a school clean-up initiative implemented with active parental participation

Grade 5 Scholarship Conference – Kalpitiya ^{LA}

In collaboration with the Divisional Education Office, support was provided for the 2025 Grade 5 Scholarship Conference in Kalpitiya. The initiative aimed to strengthen academic confidence and

enhance examination preparedness among participating students.

Bolawalana Ave Maria Convent Sponsorship ^{LA}

Sponsorship support was extended to Bolawalana Ave Maria Convent for Musique Fantasia 2025, a fundraising musical event organised to support the school's transport facilities. The engagement reinforced a long-standing banking relationship while strengthening community presence and inclusion.

Community Development and Social Impact Initiatives

Water Supply Renovation – Beralapanatha, Urubokka ^{LA}

HNB extended support for the renovation of the Beralapanatha water supply system, addressing long-standing challenges in access to safe drinking water. The upgraded infrastructure now provides a reliable and sustainable water supply to the community, contributing to improved health outcomes and hygiene standards.

Community Centre Renovation – Pitigala North ^{LA}

Renovation work was undertaken at the Piyaathna Community Centre, the only public facility serving approximately 1,700 residents in Pitigala North. Improvements included upgrading access pathways, restoring the community well, and completing minor structural repairs, thereby enhancing the usability of the facility for community activities.

Digital Transformation of Public Services – Kandy Railway Station ^{LA}

Two desktop computers were donated to modernise ticketing operations at the Kandy Railway Station, complementing the earlier installation of a CRM machine and supporting improvements in commuter service delivery.

SOCIAL & RELATIONSHIP CAPITAL

Health, Inclusion, and National Development Initiatives

Support to CeDARC – Faculty of Medicine, University of Colombo ^{LA}

Support was provided to the Centre for Diagnosis and Research in Cancer (CeDARC) through the donation of essential cancer diagnostic test kits. The main aim was to strengthen diagnostic accuracy, reduce treatment inefficiencies, and support national efforts to address challenges associated with the misuse of cancer medication.

Bakthi Gee Programme and Community Donation – Apeksha Hospital ^{LA}

A devotional music programme was conducted at Apeksha Hospital, Maharagama, through the HNB Bakthi Gee initiative, alongside the distribution of milk powder to patients undergoing treatment. The initiative sought to provide emotional comfort while addressing immediate nutritional needs.

Hearing Aids Donation – School for the Deaf and Blind, Ratmalana ^{LA}

High-quality hearing aids were distributed to students preparing for public examinations at the School for the Deaf and Blind, Ratmalana. The initiative enhanced learning accessibility and reinforced support for inclusive education.

Support for Karapitiya Cancer Trail ^{LA}

Continuing a long-standing partnership with the Colours of Courage Trust, the Bank contributed towards the construction of the Karapitiya Trail Cancer Hospital. This support contributes to the expansion of

national cancer care infrastructure and improved access to specialised treatment.

Facility Upgrade – Angunukolapelessa Hospital ^{LA}

Enhancements were carried out at Angunukolapelessa Hospital through the installation of powder-coated aluminium partitions, composite boards, glass panels, and sliding windows. These improvements were aimed at upgrading the registration and waiting areas, strengthening patient privacy, improving workflow efficiency, and creating a more welcoming environment for patients, staff, and visitors.

Donation of Storage Facilities – Balangoda Base Hospital ^{LA}

To support efficient medical record management, durable storage cupboards were provided to Balangoda Base Hospital. This initiative enhanced the organisation and preservation of important documents and reference materials used by medical professionals and students.

Support for 1990 Suwaseriya Foundation ^{LA}

Under the “Adopt an Ambulance” initiative, two ambulances were adopted to strengthen Sri Lanka’s free pre-hospital emergency care services, reinforcing support for rapid emergency response and public health resilience.

Renovation of Primary Medical Care Unit – Bandagiriya, Hambantota ^{LA}

Infrastructure improvements at the Bandagiriya Primary Medical Care Unit included drainage enhancements, installation of partitions, upgrades to the

ECG room, and a full repainting of the facility. These interventions improved both patient comfort and the working environment for healthcare staff.

Robust Governance

Governance, Ethics, and Capacity-Building Initiatives

United Nations Global Compact Business and Human Rights Accelerator programme

The Closing Ceremony of the United Nations Global Compact (UNGC) Business & Human Rights Accelerator 2025 was hosted at HNB premises, underscoring continued commitment to human rights, responsible business conduct, and sustainability. The event marked the conclusion of a six-month accelerator programme focused on strengthening human rights due diligence and embedding ethical practices across corporate operations. It also provided a platform to enhance awareness, foster dialogue, and recognise the achievements of participating organisations, while facilitating meaningful engagement among corporate leaders, sustainability professionals, and representatives of the UNGC.

Partnership with Transparency International Sri Lanka (TISL)

A Memorandum of Understanding was entered into with Transparency International Sri Lanka (TISL) to implement a six-month strategic CSR partnership aimed at promoting integrity, transparency, and ethical governance. The initiative focuses on empowering vulnerable communities, strengthening public



awareness of citizens’ rights, and enhancing governance structures at the grassroots level. Key outcomes of the partnership include training 100 microfinance agents on ethical lending practices, educating over 1,000 individuals on anti-corruption and Right to Information principles, and supporting legal aid services to address land ownership challenges. This collaboration further reinforces a commitment to sustainable development and principled banking.

Statistical Modelling of Climate Impact on Credit Risk for the Paddy Sector

The Bank undertook a research initiative using climate data from the Meteorology Department of Sri Lanka to statistically assess the impact of climate variability on credit risk in the paddy sector. Led by HNB’s Sustainability Department, the study aims to develop a model linking historical climate patterns with loan performance across major paddy-growing regions, enabling the Bank to proactively manage credit risk, reduce non-performing loans, and enhance support for paddy farmers.

Joined the Partnership for Carbon Accounting Financials (PCAF)

As a first step toward aligning with science-based targets, HNB PLC subscribed to PCAF for calculating financial emissions and develop a transition plan. In 2025, we further demonstrated our commitment to achieving net-zero emissions by including lending to coal power generation in its Exclusion List.

GovPay Traffic Spot-Fine System – Sri Lanka Police

To support the nationwide implementation of the GovPay digital spot-fine system, 800 feature phones were donated to the Sri Lanka Police. This initiative enhanced on-site fine processing efficiency and supported broader digitalisation of public services.

GHG Emission Calculation Training Programme

A specialised Greenhouse Gas Emission Calculation Training Programme was

conducted by the Bank in collaboration with the Sri Lanka Climate Fund under the Ministry of Environment. The programme brought together participants from HNB, its subsidiaries, and fellow SLBA member banks, providing technical knowledge on carbon accounting practices, including Scope 1, Scope 2, and Scope 3 emissions, as well as ISO 14064 standards. A key objective of the initiative was to build internal capacity, enabling independent calculation and management of emissions without reliance on external service providers.



Key Priorities for the Future

Short Term	Medium to Long Term
» HNB will focus on expanding financial literacy outreach and strengthening inclusion by enhancing microfinance advisory support and community level engagement. The Bank will also scale youth and women focused programmes to broaden access to skills, markets, and financial opportunities.	» HNB intends to position itself as a national leader in inclusive development by investing in education, innovation, and long term livelihood transformation. The Bank will continue embedding strong social impact standards to create sustainable value and resilient communities for future generations.

NATURAL CAPITAL



Our engagement with Natural Capital spans both its operational footprint and its influence through financing. The Bank works to reduce resource consumption, emissions, and waste within its own operations, while also integrating environmental considerations into lending and investment decisions to support resource-efficient, low-carbon, and climate-resilient development across the wider economy.



GOVERNANCE AUTHORITIES

- » Board of Directors
- » Board Integrated Risk Management Committee (BIRMC)
- » Board Strategy and Investment Review Committee (BSIRC)
- » Sustainability Management Committee (SMC)
- » Sustainability Department



GOVERNANCE FRAMEWORK

- » Sri Lankan Sustainable Banking Initiative established by the Sri Lanka Banks' Association (SLBA)
- » Sri Lanka Sustainable Finance Roadmap of the Central Bank of Sri Lanka
- » Sri Lanka Green Finance Taxonomy Guidelines issued by the Central Bank of Sri Lanka
- » Sri Lanka Financial Reporting Standards (SLFRS) S1 and S2
- » PCAF (Partnership for Carbon Accounting Financials) Financed Emissions Standard
- » ISO 14064-1:2018 Greenhouse Gas Certification awarded by the Sri Lanka Climate Fund
- » Sri Lanka Climate Fund Carbon Credit Scheme
- » IFC Performance Standards and Exclusion List
- » UNGC Membership
- » ESG Policy
- » Environmental and Social Policy



LINK TO STRATEGY

- » Business Growth
- » Customer Experience and Productivity
- » Technology Enablement
- » Business Sustainability



KEY RISKS

- » ESG Risk
- » Strategic Risk
- » Compliance Risk
- » Reputation Risk
- » Climate Risk



MANAGEMENT APPROACH

HNB has committed to minimising natural capital loss through a broad-based approach that focuses on responsible banking practices, responsible operations and targeted high-impact environmental projects. The Bank's membership of the UN Global Compact (UNGC) further reinforces these commitments by systematically aligning the Bank's efforts with UNGC Principle 7 (support a precautionary approach to environmental challenges), Principle 8 (undertake initiatives to promote greater environmental responsibility), and Principle 9 (encourage the development and diffusion of environmentally friendly technologies).

STAKEHOLDER OUTCOMES

- » No of facilities granted to finance environmentally sustainable projects **1,761**
- » Total amount of credit facilities granted to finance environmentally sustainable projects **Rs 79,791 Mn**



Responsible Banking Practices

Green Finance

Banks play a critical role in advancing green finance by directing capital towards environmentally sustainable activities, thereby supporting Sri Lanka's transition to a low-carbon, climate-resilient economy. As a principal member of the Sri Lanka Banks' Association's Sustainable Banking Initiative (SLBA-SBI), HNB leads by example in contributing to industry efforts aimed at managing ESG and climate-risks in lending, specifically to reduce financed emissions, thereby ensuring sustained progress towards achieving carbon neutrality. Aligned with this responsibility, HNB has continued to embrace green finance as a core pillar of its business strategy for over a decade. In turn, the Bank has progressively increased its own capital allocation towards green financing while also working on building partnerships with development finance institutions to mobilise concessionary funding to encourage investments in renewable energy, resource efficiency, and environmentally responsible technologies.

HNB's Green Finance framework is anchored by a robust Environmental and Social Management System (ESMS) benchmarked against the IFC Performance Standards, ensures that lending decisions balance financial returns with environmental and social considerations.

Accordingly, all applicable credit proposals undergo Environmental and Social Risk Assessments, with high-risk projects subject to additional due diligence.

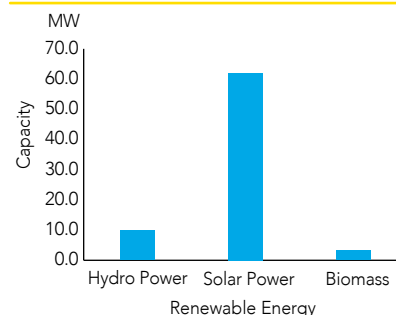
During the year under review, HNB further strengthened its ESMS to enhance governance and clarity around its exclusion framework with new changes explicitly prohibiting financing for coal-based power and heat generation. In parallel, the Bank introduced stricter environmental screening requirements, mandating that all Corporate Banking facilities, irrespective of risk category, be referred to the Sustainability Department for evaluation, from June 2025 onwards. This was supported by targeted capacity-building programmes to strengthen staff awareness and compliance with environmental risk assessment processes.

In 2025, HNB extended approximately Rs 79.8 Bn in credit facilities to environmentally sustainable projects. While renewables continue to account for the largest share of the Bank's green finance portfolio, recent efforts to diversify the portfolio have resulted in lending to sustainable agriculture, waste management, and eco-friendly manufacturing, among others.

To further advance its sustainable finance agenda in the years ahead, HNB issued a Sustainable Bond in December 2025 to mobilise dedicated funding for projects aligned with the Sri Lanka Green Finance Taxonomy and ICMA principles, reinforcing transparency, accountability, and impact-driven financing.



Contribution Towards the Nation's Renewable Energy



Green Finance Facilities Granted

Sector (Priority sectors as identified in Sri Lanka's Green Financing taxonomy)	2025		2024	
	No of new green finance facilities granted during 2025	Value of the new green finance facilities granted during 2025 (Rs Mn)	No of new green finance facilities granted during 2024	Value of the new green finance facilities granted during 2024 (Rs Mn)
Sustainable Agriculture	260	8,622	329	7,345
Sustainable Manufacturing	665	54,578	471	22,874
Renewable energy Projects	4	2,779	2	2,800
Waste Management Projects	269	3,423	172	2,823
Sustainable Tourism Projects	8	1,420	-	-
Other	555	8,969	270	10,415
Total	1,761	79,791	1,244	46,257

NATURAL CAPITAL

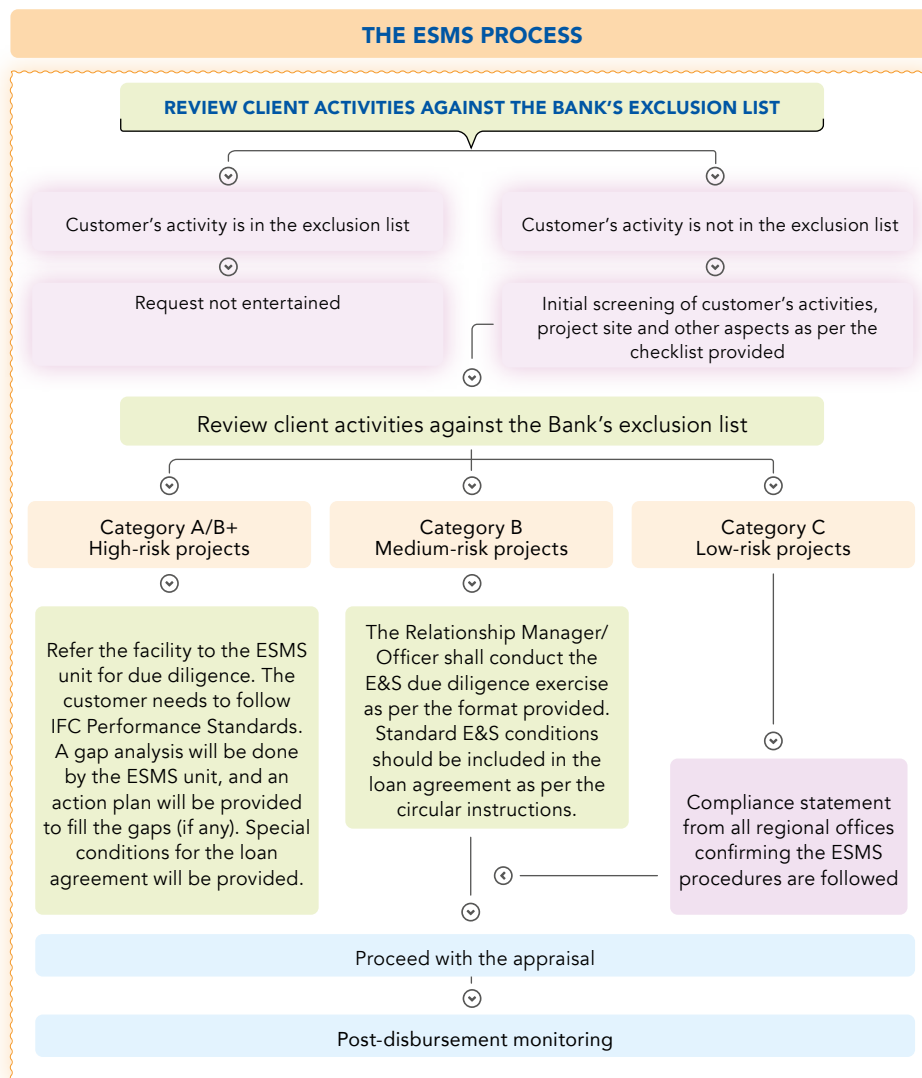
Eco-Financing Solutions

HNB's Eco Financing Solutions for SMEs and micro-entrepreneurs, represents the Bank's commitment to promote climate change adaptation among SMEs. Structured in line with the Sri Lanka Green Finance Taxonomy Guidelines issued by the Central Bank of Sri Lanka, the Bank's Eco financing solutions aim to assist SMEs across various priority sectors to transition towards environmentally sustainable operations by investing in green technologies, improving energy efficiency, and reducing their environmental footprint via sustainable waste management initiatives, and other eco-friendly practices.

Apart from providing financial assistance, The Bank's eco financing model focuses on a broader scope covering advisory services and capacity building through HNB's flagship Sarusara programme, particularly to support farmers in climate vulnerable regions to implement climate adaptation technologies and sustainable agriculture practices.

Capacity building initiatives in the current year under the Sarusara programme focused on precision farming based on soil testing. To support this effort, the Bank deployed a dedicated mobile unit in the central region, to visit farmers across multiple locations and collect soil samples directly from their fields. These samples were tested, funded entirely by the Bank at the Soil testing laboratories of the Department of Agriculture. This initiative enables the farmers to better understand the nutrient composition of their lands and make informed decisions on fertiliser application, thereby improving profitability through higher crop yields and lower operating expenses. Farmers also benefited from guidance provided by HNB's microfinance officers, regarding implementing the recommendations from the Department of Agriculture.

HNB's long term commitment to the initiative will see the project expanding into other regions in the years ahead. This continued support aims to empower more



ESMS Trainings and Project Evaluation

Description	2025
Total ESMS training programmes conducted	203
ESMS credit officers trained during the year	92
No of executives across the bank provided with sustainability related training	174
Projects escalated to ESMS unit for evaluation	957
Projects rejected due to non-compliance with Bank's ESMS	2

farmers, enhance soil health, and reduce groundwater contamination through informed and sustainable agricultural practices.

During the year, a total of 425 soil samples were tested and reports issued, covering approximately 406 acres. The initiative directly benefited 425 farmers across the Welimada, Nuwara Eliya, Ragala, and Thalawakele branch areas, supporting informed agricultural practices and improved soil management.

Renewable Energy Projects Financed by the Bank

Description	Capacity (MW)	Outstanding as at 31/12/2025 (Rs Mn)	Capacity (MW)	Outstanding as at 31/12/2024 (Rs. Mn)
Hydro Power	9.8	513.7	47.6	1,243.6
Wind Power	-	-	5.0	26.6
Solar Energy	62.0	6,065.9	54.93	4,028.9
Biomass	3.3	191.7	3.3	274.7

Green Loans

HNB's solar loan scheme and EV leasing propositions aim to extend the impact of green finance across the Bank's retail portfolio.

Following the relaunch of the Solar Loan, the Bank has continued to expand its reach by forming strategic alliances to promote investment in rooftop solar at a household level.

Description	2025	2024
No of personal loans granted for solar energy	159	34
Amount disbursed for solar energy (Rs 000)	29,065	76,990

Likewise, following the lifting of restrictions on vehicle imports, HNB forged a series of partnerships with leading automobile agents to promote Electric Vehicle (EV) leasing solutions for the retail segment.

Responsible Sourcing

The Bank monitors environmental risks within its supply chain, with particular focus on supplier compliance and resource related impacts, consistent with sector practices where sustainable procurement is a material ESG topic. HNB's sustainability and risk management systems align with recognised international and national frameworks, including GRI Standards, UNGC Principles, SDGs, IFC Performance Standards, ISO 22301, ISO 14064 1, and the CBSL Sustainable Finance Guidelines. The Bank recorded no material work related injuries during the reporting period and mitigates workplace hazards through preventive controls, training, safe work procedures, and continuous monitoring.

HNB's Board delegates responsibility for managing economic, environmental, and social impacts to senior executives through structured governance committees in alignment with financial sector governance models. Designated senior executives oversee sustainability, risk, and impact related priorities, supported by clear reporting channels that cascade responsibilities to employees. The Bank identifies corruption related risks within compliance, procurement, operational, and customer facing processes, maintaining strong anti bribery and ethical conduct frameworks. *Significant operating locations are defined as the Bank's principal markets, reflecting sector standard reporting practices where major geographies contribute the majority of business activity.*^{LA}

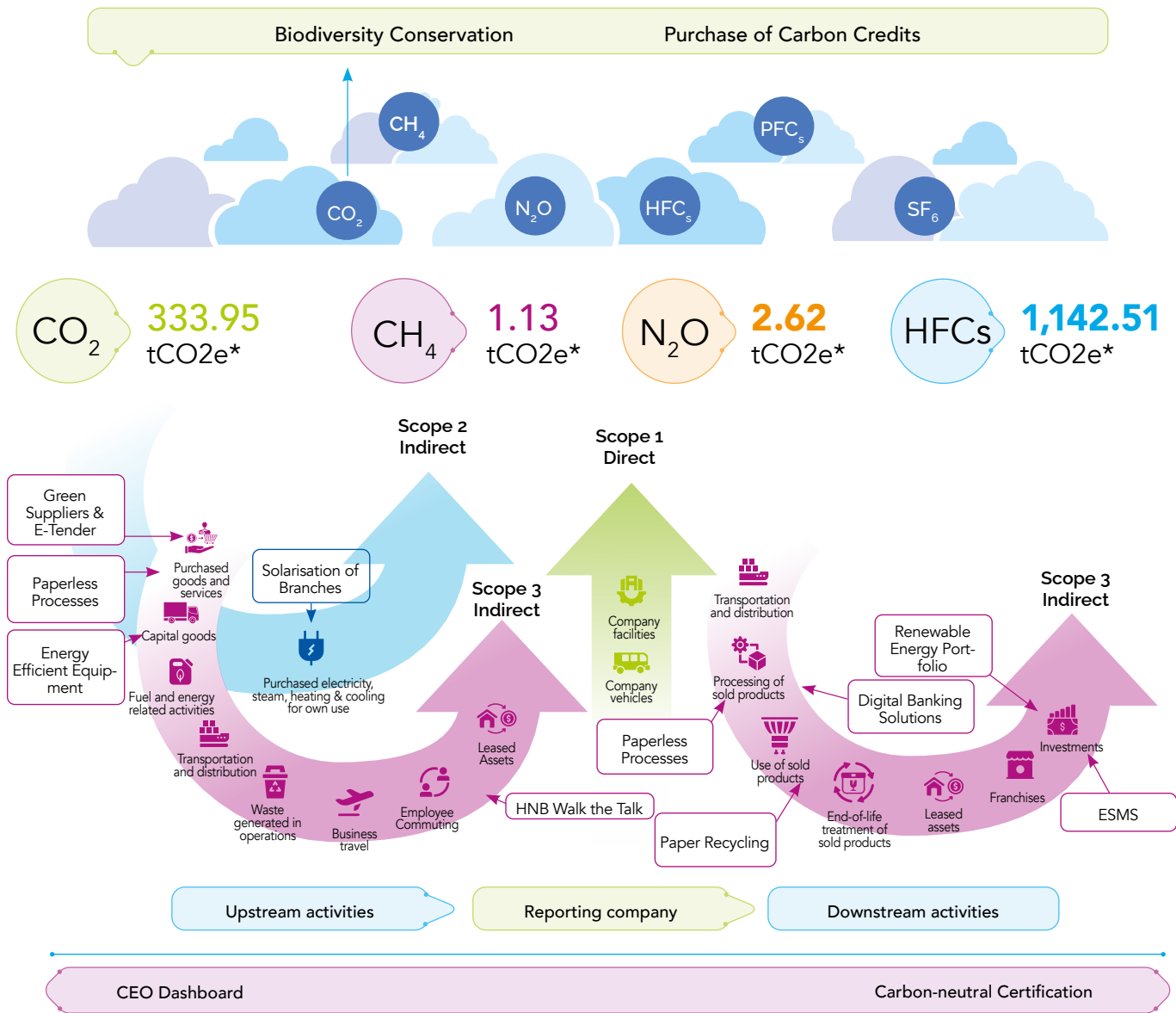


EMISSION MANAGEMENT HIGHLIGHTS - 2025

- » Commenced calculating finance emissions across its existing lending portfolio in accordance with the Partnership for Carbon Accounting Financials (PCAF) Financed Emissions Standard. Details on emissions are disclosed on page 140 - 141.
- » Coal-based power and heat generation included into the Bank's exclusion list to guide lending decisions.
- » Completed the Bank's 05th annual carbon emission inventory report in accordance with ISO 14064-1:2018 and the GHG Protocol, covering 14 and 11 emission sources respectively. The report was independently verified by the Sri Lanka Climate Fund.
- » Solar generation reached 6,894 GJ, contributing to 12% of the total energy requirements for the branch network. (As at 31st December 2025, rooftop solar systems have been installed at 95 of the 257 HNB branches across Sri Lanka).
- » A total of 2,278 kg of PET bottles were recycled in collaboration with Eco-Spindles, collected through waste bins installed at schools and public places.
- » 39.4% year-on-year increase in digital transaction volumes.

NATURAL
CAPITAL

Responsible Operations



* Emissions from Stationary Combustion- LPG, Disposal of solid and liquid waste, Capital Goods and Fuel- and energy- related activities were added as new emission sources to the 2025 inventory.



Operational Energy Usage of the Bank ^{LA}

Description	2025	2024
Electricity purchased from the national grid (GJ)	47,747	46,670
Solar energy generation in house (GJ)	6,894	7,135
Energy Consumption from Generators (GJ)	2,080	688
Energy Consumption for Fuel (Petrol/Diesel) for owned vehicles of the Bank (GJ)	2,454	1,352
Total Energy Consumption of the Bank (GJ)	59,175	55,845

*Factors used

Conversion factor used for energy conversion MWh to Gigajoules - 3.6×10^9

For energy generation from fuel; Density of Diesel= 840 kg/m³, Net Calorific Value of diesel= 43 TJ/Gg,

Density of Petrol = 752.5 kg/m³, Net Calorific Value of petrol= 44.3 TJ/Gg

Paper Management and Environmental Screening

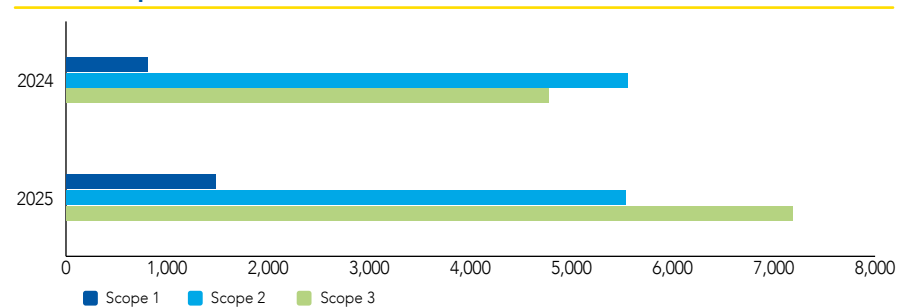
	2025	2024
Paper usage of the Bank (Kg)	77,253	82,500
Paper disposed by the Bank (kg)	65,745	95,720
Confidential/obsolete papers recycled (%)	100%	100%
New suppliers screened using environmental/social criteria (%) ^{LA}	100%	100%

In 2025, the Bank expanded its greenhouse gas inventory boundaries by incorporating additional emission sources under Scope 1, including new fuel-related activities and a broader coverage of refrigerant refilling. The graph excludes category 15 - financed emissions under scope 3 reporting and scope 3 emissions were also enhanced during the year with the inclusion of several new upstream and downstream emission categories such as capital goods, waste disposal, and upstream emissions associated with purchased fuels and electricity. Financed emissions and total emissions are disclosed on page 140 - 141 of this report.

HNB Leads on Environmental Responsibility Becomes First Sri Lankan Bank to Embark on Zero Plastic Journey

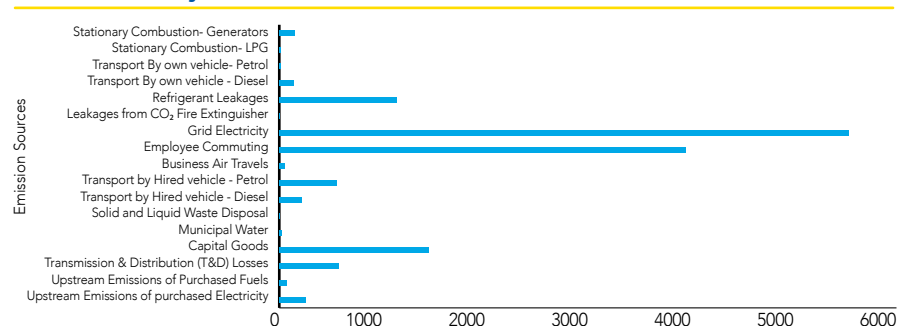
The Bank partnered with the Zero Plastic Movement Sri Lanka to transform the Bank's Head Office into a Single-use Plastic-Free Building, embracing the principles of Refuse, Reduce, Reuse, and Recycle. The initiative commenced with a baseline assessment of plastic usage and disposal practices, with the goal of achieving Zero Plastic Certification. To reinforce this commitment, an awareness session titled "The Invisible Threat of Plastic Pollution to Your Well-being" was conducted, educating employees on the environmental and health risks of plastic pollution and promoting practical steps toward a zero-plastic lifestyle. The Bank is currently in the process of assessing the baseline.

Carbon Footprint



*This graph is presented excluding emissions from investments of 2025

Emissions for the year 2025



*This graph is presented excluding emissions from investments of 2025

NATURAL
CAPITAL

HNB Encourages Thought Leadership
on Advancing Circularity

The Bank signed up as the Platinum Sponsor of the second International Conference on Plastics, Innovations, and Environmental Sustainability (ICPIES 2025), organised by the Centre for Environmental Studies and Sustainable Development (CESSD) in collaboration with the Faculty of Engineering Technology, Open University of Sri Lanka. This global forum facilitated timely dialogue between leading experts, researchers, policymakers, and industry professionals to discuss cutting-edge solutions for plastics science and advancing environmental sustainability.

Environmental Projects

Extended Commitment to Restoration of
a Degraded Fern Land in Halagahawila,
Opatha

HNB has been an active member of Biodiversity Sri Lanka (BSL) since its inception, reinforcing our commitment to biodiversity conservation and environmental sustainability. In line with this vision, we partnered on the “Restoration of a Degraded Fern Land in Halagahawila, Opatha” a five-year initiative under the Biodiversity Credit Accrual System for Sri Lanka, funded by the Bank.

From 2018 to 2023, the Bank successfully restored 2.5 acres of degraded forest land in the Kanneliya Forest Reserve with technical guidance from IUCN and the Forest Department. Building on this

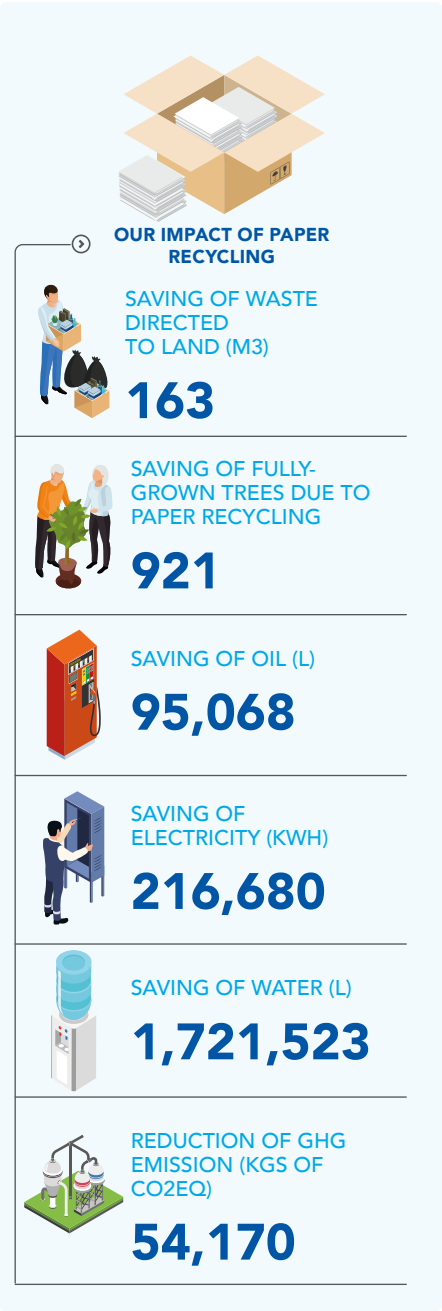
achievement, the project commenced its extended five-year phase in 2024 (2024–2029).

Exclusive Field Visit to Halagahawila
Restoration Site by HNB collaboration
with BYD

The Bank organised an exclusive field visit for a select group of customers to showcase our conservation partnership with Biodiversity Sri Lanka, the Forest Department, and IUCN. Participants, who advocate eco-friendly commuting through electric vehicles, experienced the tangible impact of our initiatives by exploring reforested areas, planting trees to enhance biodiversity, and engaging with local communities strengthening their connection to sustainability and environmental stewardship.

HNB #WalkTheTalk

As part of the Bank’s continued commitment to environmental sustainability and employee well-being, the “HNB Walk the Talk” challenge has been sustained as a flagship internal initiative. Designed to encourage environmentally responsible commuting alternatives such as walking and cycling, the programme also promotes healthier lifestyles among employees. The initiative continued successfully in 2025, with staff demonstrating strong participation and commitment by collectively walking 17,358 Km and cycling 35,230 Km.



Digital Adoption

HNB’s efforts to promote digital adoption are closely linked to the Bank’s environmental agenda. Digitising front end interfaces to encourage customers to transition towards digital banking alongside have helped reduce reliance on paper-based transactions, minimising physical branch visits, thereby lowering overall carbon footprint. Additionally, internal digital transformation initiatives contribute to resource conservation, reduced energy consumption, and lower emissions associated with travel and physical operations.

Description	2025	2024	2023
No of customers converted to E-statements	1,258,020	847,829	606,359
HNB Digital Banking App (Online balance confirmation, e-passbook, Online fund transfers)	1,057,057	802,110	586,693
Online customer migration	256,202	216,236	212,151
No of digital transactions	65,460,198	45,859,265	32,463,442
Installation of deposit machines	60	64	09



Key Priorities for the Future



Short Term

- » Develop a transition plan to reduce own emissions
- » Drive digital banking
- In the near term, HNB will advance its transition efforts by strengthening emissions related data systems and implementing targeted efficiency improvements across its operations, in line with the Bank’s sustainability commitment to embed ESG principles into decision making. Parallel to this, HNB will accelerate the shift toward digital banking by expanding its digital service ecosystem and reducing reliance on resource intensive physical channels, supporting both customer convenience and lower environmental impact.

Medium Term

- » Scale sustainable financing
- » Deepen energy transition planning
- In the medium term, HNB will accelerate its sustainability agenda by scaling sustainable financing, expanding its support for renewable energy, climate resilient agriculture, and resource efficient enterprises, in line with the Bank’s strategic commitment to environmental stewardship and inclusive growth. The Bank will also deepen its energy transition planning, advancing renewable energy integration and operational decarbonisation across facilities as part of its broader effort to strengthen environmental performance and align with evolving ESG expectations.

Long Term

- » Drive net zero target
- » Support decarbonisation journey of customers
- » Bank-wide carbon neutrality ambitions
- HNB will pursue its net zero ambition by fully transitioning to renewable energy powered operations and integrating low carbon principles into every aspect of its business. HNB will also play a pivotal role in enabling a low carbon economy by supporting the decarbonisation journey of its customers, expanding sustainable finance solutions, and guiding businesses toward climate aligned transformation, thereby advancing long term value creation for both the Bank and the wider national economy.

MANUFACTURED CAPITAL



Our Manufactured Capital comprises the branch network and physical infrastructure that support the Bank’s business model. Our island-wide presence across urban, semi-urban, and rural areas enables consistent and broad customer reach. This footprint is strengthened by an integrated network of self-service machines, enhancing accessibility, convenience, and the overall value of our physical distribution channels.



GOVERNANCE AUTHORITIES

- » Board of Directors
- » Board Integrated Risk Management Committee (BIRMC)
- » Procurement and Assets Disposal Committee (PADC)



GOVERNANCE FRAMEWORK

- » CBSL Directives on Branch Expansion
- » ISO 22301 Business Continuous Management Standard
- » Policy on Control and Management of Company Assets and Shareholder Investments
- » Procurement Policy
- » Strategic Plan
- » CAPEX Plan and Budget



LINK TO STRATEGY

- » Business Growth
- » Customer Experience and Productivity
- » Technology Enablement
- » Business Sustainability



KEY RISKS

- » Operational Risk
- » Strategic Risk
- » Compliance Risk
- » Reputation Risk



MANAGEMENT APPROACH

HNB adopts a strategic and sustainable approach to developing its Manufactured Capital, focusing on optimising its physical branch network and allied infrastructure to support business growth and enhance customer satisfaction. This involves improving the robustness of physical infrastructure through continuous and ongoing investments to strengthen reach, accessibility, reliability efficiency and resilience, all collectively contributing towards enhancing customer experience

STAKEHOLDER OUTCOMES

- » Island-wide access to Self Service Machines **861**
- » Annual transaction volumes through SSMs **69.5 Mn**
- » Average customer queuing times at branch counters **10.0 mins**



Branch Network

For over five decades, HNB's branch network has been the mainstay of the Bank's operations. The existing network of 257 branches establishes HNB's presence across every province and key economic corridor in Sri Lanka to ensure individuals and businesses across the country have convenient access to world-class banking services. Each branch operates as a fully-fledged financial service hub, offering the complete suite of solutions to support economic activity, promote financial inclusion and empower people and businesses to achieve their financial goals.

Optimising the Bank's Physical Footprint

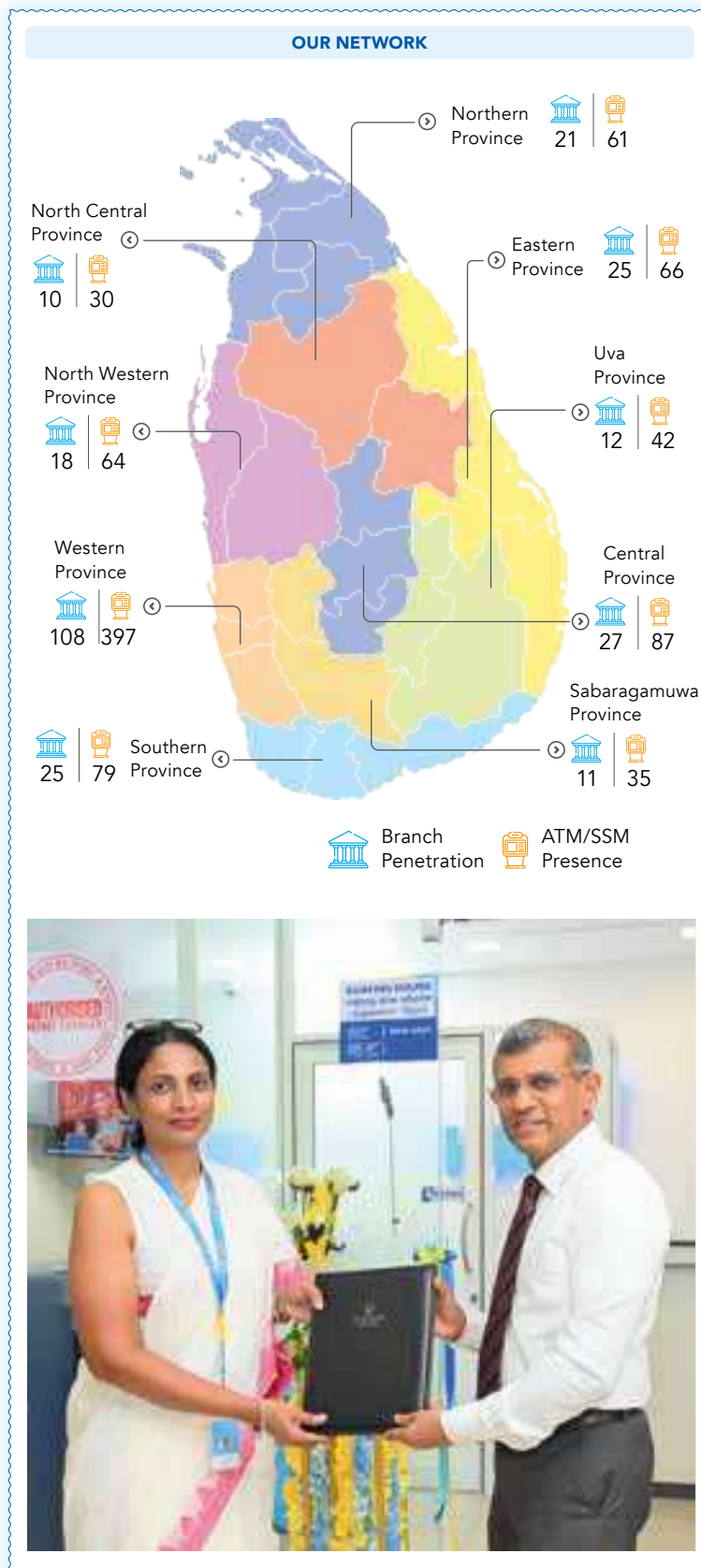
HNB's branch expansion strategy is guided by a disciplined approach aimed at ensuring the Bank's physical network continues to serve as a key platform for delivering superior customer experiences across the country. Accordingly, strategic location remains the primary criterion for establishing new branches, with priority given to areas demonstrating strong business potential, high population density and favourable demographic profiles. Infrastructure and area accessibility are the other key considerations.

Meanwhile, the need for branch relocations are typically driven by operational constraints such as insufficient space to accommodate growing business volumes or customer footfall. Relocations are also undertaken when the structural safety or overall condition of the premises renders continued occupancy unsuitable.

HNB's extensive island-wide network of 861 Self-Service Machines (SSMs) serve as a critical channel for providing customers with seamless, 24/7, year-round access to essential banking services. Each of HNB's 257 branches is equipped with a minimum of two Self-Service Machines (SSMs), while the network of 216 off-site units strategically positioned across urban centres, regional towns, and key economic corridors ensures convenient access for both individual and business customers, nationwide.

Meanwhile the introduction of the Dynamic Currency Conversion (DCC) service has led to the deployment of new SSMs catering to foreign card users in key tourism destinations such as airports, hotels and retail zones.

All SSM deployments strictly comply with CBSL mandated IT security and operational standards, including network and software compliance, data encryption, secure communication protocols, disaster recovery, business continuity guidelines, regular patch management, and remote monitoring. The entire network is monitored centrally to track uptime, availability, cash levels, and identification of fault incidents to facilitate timely



MANUFACTURED
CAPITAL

maintenance and ensure minimal service interruptions.

Optimising the SSM Network
Operations

The Bank adopts a data-driven approach to expanding its SSM network, aligned with clearly defined customer outreach objectives. HNB’s targeted deployment strategy prioritises high-growth urban centres, underbanked and underserved areas, transport hubs, commercial districts, educational institutions, and key tourist destinations. Expansion decisions are underpinned by robust analytics, with all proposed off-site installations subject to a comprehensive Return on Investment (ROI) assessment that evaluates projected transaction volumes, customer footfall, operational costs, and strategic relevance of the location. Similarly, on-site ATM/SSM installations at branches are guided by actual usage patterns, with priority accorded to branches consistently recording high transaction volumes.

Furthermore, the Bank invests in scalable and future-ready equipment, capable of supporting upgrades such as card less withdrawals, QR payments, and enhanced user interface capabilities.

Infrastructure Maintenance and
Upkeep

All physical infrastructure undergoes regular maintenance and upkeep to ensure optimal performance, operational efficiency, and extended asset lifespan. This encompasses the replacement of outdated equipment, furniture, and fittings,

KEY HIGHLIGHTS FOR 2025

To facilitate the expansion of the branch/SSM networks, the Bank undertakes planned CAPEX activities for acquiring the required Property, Plant and Equipment (PPE) as per the Board approved CAPEX plan.

- » Opened a Service Counter - SLIIT Balagolla
- » Established a fully-fledged branch at City of Dreams - Sri Lanka’s first integrated resort
- » Migrated the KCC extension office as a fully-fledged branch
- » Opened a Service Counter at Durdans Hospital Colombo
- » Upgraded the Maligawatta Extension office to Branch Level

Mode of Participation	Branch		Offsite		Total
	ATM	CRM	ATM	CRM	
Newly installed	4	4	2	24	34
Machine replacement	-	31	-	6	37
Old machine replaced with re-usable machine	2	1	-	2	5
Total	6	36	2	32	76



routine inspections, and timely repairs. During the year under review, the Bank incurred a total of Rs 32.9 Mn on repairs and maintenance of its fixed assets, contributing to the upkeep of the Bank’s physical infrastructure.

Asset Decarbonisation Strategy

To demonstrate its commitment to reducing the environmental footprint of its operations, HNB adopts a targeted

approach to the decarbonisation of physical assets, with a focus on reducing energy consumption, optimising resource utilisation, and progressively transitioning to cleaner energy solutions.

In keeping with this approach, the Bank’s continuous improvement programme promotes energy-efficient lighting, HVAC systems, and building management technologies to lower electricity consumption at branches coupled



with continuous monitoring to identify opportunities for energy saving. Similarly, for its SSM network, the Bank makes a conscious effort to source low-power, energy-efficient devices, while maintaining regulatory requirements.

Complementing these efforts, the Bank continues to advance energy transition across its operations, with significant resources allocated each year towards investments in renewable energy. HNB has invested a total of Rs 428 Mn to-date, on rooftop solar systems resulting 12% of the total energy requirements of the branch network, now met through solar power.

In addition to investments in renewable energy solutions and energy-efficient technologies, HNB is implementing paperless processes to systematically reduce the operational footprint of its branch network. Complementing these efforts, the Bank aims to expand its portfolio of green building certifications over time.

Emission Measurement and Management are also equally important aspects of HNB's Asset Decarbonisation Strategy. To further improve the accuracy of data collection systems, walk-through energy and emissions audits were introduced across the branch network with effect from mid-2025, to identify all relevant emission sources.

Meanwhile in a focused attempt to reduce emissions associated with vehicle fuel, the Bank began gradually replacing its diesel vehicle fleet with electric vehicles, marking



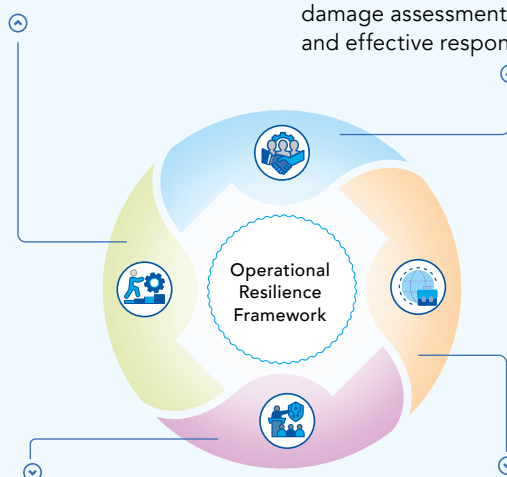
12% of energy requirements of the branch network are met by solar

Continuous Improvement

Given that HNB operates in a highly dynamic and rapidly evolving environment, continuous improvement of the BCP remains vital. To that end, lessons learned from drills, audits, and industry best practices are systematically incorporated to strengthen response capabilities, reduce risk exposure, and maintain customer trust under all circumstances. As part of the continuous improvement programme for 2025, outsourced service providers were integrated into the framework, with their processes evaluated and strengthened to align with the Bank's BCP standards.

Governance and Oversight

The Business Continuity Steering Committee, chaired by HNB's Managing Director/CEO and supported by the Corporate Management team, is entrusted with the responsibility of overseeing the BCP. The Committee is assisted by the Disaster Management Team, responsible for ground-level implementation and decision-making support, while department-level BCP champions have been appointed to drive preparedness and adherence to BCP protocols within their respective units. Location-specific procurement, logistics, and IT recovery teams operate under pre-approved mandates to conduct damage assessments and ensure a rapid and effective response to disruptions.



Monitoring and Awareness

In preparation for the ISO 22301 certification BCP monitoring activities were significantly enhanced in 2025 with the introduction of periodic internal audits and surveillance audits post-certification Department-wise BCP drills were conducted throughout the year, with the Bank-wide drill conducted in November 2025 as per CBSL requirements. Disaster readiness communications were also intensified through bulletins to ensure staff awareness and preparedness.

Alignment with International Standards,

HNB is in the process of obtaining ISO 22301 Business Continuity Management Standard certification. In 2025, the Bank completed a detailed gap analysis with the support of external consultants, with all identified gaps addressed. Key documents and procedures were refreshed and standardised in line with ISO requirements, ensuring that all branches, regional offices, and extension offices are included within the BCP scope. As part of the ongoing ISO adoption process, members of the Business Continuity Steering Committee participated in a comprehensive capacity building exercise led by external consultants to further enhance the committee's ability to oversee, monitor, and implement BCP initiatives in line with international best practices.

MANUFACTURED CAPITAL

a key step towards achieving carbon neutrality in direct emissions.

Safeguarding Physical Assets against Climate Risk

HNB’s approach to safeguarding its physical assets against climate-related risks, including floods and landslides, is underpinned by the Risk and Control Self-Assessment (RCSA) process, which enables the identification of branches and facilities located in areas exposed to elevated climate hazard risks. These detailed climate risk assessments are used as the basis to inform decisions regarding the resilience and sustainability of the branch network. Where assessments indicate elevated and persistent risk, the Bank has initiated further evaluations to determine the feasibility of branch relocation as a long-term risk mitigation measure.

Operational Resilience Framework

As a Domestic Systemically Important Bank (D-SIB), a robust Operational Resilience

Framework remains a key imperative for safeguarding HNB’s financial stability, ensuring business continuity, and protecting the interests of its customers and other stakeholders, as well as upholding the integrity of the country’s financial ecosystem.

The Bank’s Operational Resilience Framework is anchored to a comprehensive Business Continuity Plan (BCP) designed in compliance with all legal and regulatory obligations. The BCP, which encompasses the entire organisation, including branches, regional offices, extension offices, and off-site ATMs, serves as the primary tool for identifying, assessing, and mitigating operational risks by ensuring preventive and corrective measures are in place to enable swift recovery from operational incidents to maintain service continuity and minimise adverse financial and reputational impact.



Key Priorities for the Future

Short Term

- » Infrastructure Modernisation
Replace aged SSMs in 2026, ensuring continued service reliability, enhanced customer experience, and compliance with the latest operational standards.
- » Advance Asset Decarbonisation
Phased replacement of aged bulk cash deposit machines with modern Cash Recycling Machines (CRMs) to streamline operations, reduce manual cash handling, and improve machine uptime
Assign energy-related KPIs at branch and departmental levels to drive accountability and continuous reduction in energy consumption

Medium Term

- » Accelerate Technology Integration
Revamp existing screen flows and implement Smart SSM interfaces to deliver an omni-channel, interactive experience for customers

Long Term

- » Expand Outreach
Explore strategic partnerships to share the SSM network, enabling broader service coverage across Sri Lanka
- » Advance Asset Decarbonisation
Phase out R22-filled air-conditioning chillers by 2030, in line with global efforts to eliminate ozone-depleting substances with high global warming potential

INTELLECTUAL CAPITAL



Intellectual Capital represents the intangible strengths that shape HNB’s identity and standing within the Sri Lankan banking industry. It encompasses the Bank’s strong brand reputation, deeply rooted values, and other defining attributes that set HNB apart. Together, these intangibles create enduring value, reinforcing the Bank’s competitive advantage and enabling it to anticipate change, innovate, and remain ahead of industry developments.



GOVERNANCE AUTHORITIES

- » Board of Directors
- » Board Integrated Risk Management Committee (BIRMC)
- » Board Related Party Transactions Review Committee (RPTRC)



GOVERNANCE FRAMEWORK

- » All Regulations Applicable to Licensed Commercial Banks and Entities Listed on the Colombo Stock Exchange
- » ISO 9001: 2015 Quality Management Standard
- » Brand Strategy
- » Boardroom Ethics Policy
- » Policy on Internal Code of Business Conduct and Ethics
- » Policy on Anti-Bribery and Corruption
- » Anti-Money Laundering Policy
- » Policy on Whistleblowing



LINK TO STRATEGY

- » Business Growth
- » Customer Experience and Productivity
- » Technology Enablement
- » People Development
- » Business Sustainability



KEY RISKS

- » Strategic Risk
- » Compliance Risk
- » Reputation Risk



MANAGEMENT APPROACH

HNB’s approach to developing Intellectual Capital is based on the strategic commitment to invest in strengthening all key intangibles to ensure they work cohesively to contribute towards solidifying the Bank’s competitive position and retaining stakeholder trust.

STAKEHOLDER OUTCOMES

- » No of respondents polled under the brand health tracker **462**
- » Credit rating **AA- (Ika)**



INTELLECTUAL CAPITAL

Key Awards and Accolades in 2025



- » The **Bracken Award – The Best Bank in Sri Lanka 2025** awarded by **The Banker Magazine**, UK
- » Recognised among the **Top 1,000** banks in the world by **The Banker Magazine**, UK
- » **Sri Lanka's Strongest Bank 2025** awarded by The Asian Banker/TAB Global
- » The **Best Corporate Citizen Sustainability Award 2025**
 - Best Corporate Citizen Sustainability Award – Winner, awarded by the Ceylon Chamber of Commerce
 - Economic Contribution – Category Award Winner, awarded by the Ceylon Chamber of Commerce
 - Top Ten Corporate Citizen – Winner, awarded by the Ceylon Chamber of Commerce
 - Finance Sector, Winner, awarded by the Ceylon Chamber of Commerce
 - Triple Bottom Line Award Winner – Economic Sustainability (Profit) Consistent Commitment and Contribution Improvement, awarded by the Ceylon Chamber of Commerce
- Best Project Sustainability Award, Winner awarded by the Ceylon Chamber of Commerce
- » The **Best Retail Bank in Sri Lanka 2025** awarded by The Asian Banker/TAB Global for the 15th consecutive year
- » The **Best Bank for Large Corporates 2025** awarded by Euromoney
- » **Top 10 Best Employers of 2025** at the EFC National Best Employer Awards
- » The **TAGS Awards 2025**
 - Overall Excellence in Corporate Reporting – Bronze Award (Joint)
 - Private Banks Sector Award category – Silver Award
 - Corporate Governance Disclosure Award – Financial Services – Silver Award
- » HNB PLC was conferred **Superbrand status for 2025** by the Global Superbrands organisation
- » SLIM Digis 2025
 - Best use of Data and Predictive Intelligence – Merit awarded by Sri Lanka Institute of Marketing
 - Best use of Digital in Marketing – Merit awarded by Sri Lanka Institute of Marketing
- Digital/Social platform integration – Bronze awarded by Sri Lanka Institute of Marketing
- CSR/Purpose Driven Marketing – Bronze awarded by Sri Lanka Institute of Marketing
- Best use of Digital in Banking, Finance and Insurance – Bronze (Santabrigade Initiative) awarded by Sri Lanka Institute of Marketing
- Best use of Digital in Banking, Finance and Insurance – Bronze (Gaweshanayaka Mudrawa Initiative) awarded by Sri Lanka Institute of Marketing
- Agile Brand of the Year 2025 – Silver awarded by Sri Lanka Institute of Marketing
- » Dragons of Sri Lanka, 2025
 - Brand Building and Awareness – Bronze (Gaweshanayaka Mudrawa Initiative)
 - Integrated Marketing – Black Dragon Award (Santabrigade Initiative)
 - Cause, Environmental or Sustainability – Black Dragon Award (Santabrigade Initiative)
 - Event or Experiential Category – Black Dragon Award (North Region Activation)

Industry Knowledge and Expertise

As a Domestic Systemically Important Bank (D-SIB), HNB operates in an environment where leadership competence is critical to maintaining financial system stability and public trust. Accordingly, the Bank's Corporate Management is expected to demonstrate a multidimensional skill set that extends beyond traditional banking, encompassing strategic acumen, advanced financial and risk management expertise, digital ecosystem fluency, and strong governance, ethics, and legal compliance. These capabilities enable the team to lead with prudence and foresight, safeguarding HNB's credibility and reinforcing its systemic importance within the Sri Lankan banking sector.

In addition, HNB leverages the collective expertise and industry insight of its leadership to drive thought leadership and foster innovation, contributing positively to the advancement of the banking industry in Sri Lanka.

Strategic Partnerships

Strategic partnerships have long served as a key competitive advantage for HNB, enabling the Bank to advance its strategic priorities with greater speed, scale, and innovation, specifically in relation to enhancing customer

convenience and expanding financial inclusion.

Likewise, partnerships have been instrumental in strengthening HNB's ecosystem capabilities to reinforce stakeholder trust, amplify brand visibility and cement HNB's reputation as a transformative force in Sri Lanka's banking sector.

Standards and Certifications

The Bank believes that standards and certifications that promote globally recognised methodologies, structured processes, and specialised technical knowledge are crucial in strengthening the Bank's Intellectual Capital.

In line with this philosophy, HNB continues to invest in adopting global standards and certifications as part of its broader risk management approach. Currently the ISO 9001 – Quality Management Standard certification underlining HNB's commitment to maintaining robust quality controls, streamlining key processes, and delivering reliable, customer-centric services across all aspects of operation.

As part of the ongoing efforts to reinforce the Bank-wide commitment to quality and excellence in line with global standards, HNB formally obtained the ISO 9001:2015 Certification for two additional departments,

HNB EMPOWERS YOUTH TO EMBRACE A DIGITAL ECONOMY AT FINNOVATION LAB 2025

HNB showcased its commitment to leadership in digital innovation and youth empowerment by hosting Finnovation Lab 2025. The event brought together over 150 students from 45+ universities and institutes across Sri Lanka for a dynamic day of learning, dialogue, and hands-on exposure to the rapidly evolving fintech landscape.

Organised as part of the Sri Lanka FinTech Summit 2025, the Digital Finance at Finnovation Lab initiative was designed to prepare undergraduates with the knowledge, tools, and opportunities they need to thrive in the digital economy. The programme agenda was crafted to address the most pressing themes shaping both global and local fintech. Key sessions explored policy leadership, emerging global trends, financial innovation, regulatory compliance excellence, blockchain and AI applications, and the growth of startups and investment ecosystems. Each module blended expert insights with interactive discussions, encouraging participants to think critically about the opportunities and challenges ahead.

HNB PARTNERS WITH SLIM TO CONDUCT BRAND WEEK AND MARKETING ROKS PROGRAMME FOR STUDENTS

In keeping with HNB's longstanding commitment to create meaningful social value, the Bank tied up with SLIM as a banking partner for SLIM Brand Week and Marketing ROKS, an innovative educational initiative designed to inspire the next generation of business leaders and entrepreneurs in Sri Lanka. The programme which was delivered through a comprehensive series of masterclasses introduced students to real-world business concepts and challenges designed to help O/L and A/L students across 80+ schools across the island to build essential marketing, business, and financial skills, strengthening their readiness to thrive in a dynamic economic landscape.



INTELLECTUAL CAPITAL

namely Card Operations and Centre of Aspiration.

This achievement builds on the momentum created during the past years, and further strengthens the Bank's reputation and reinforces stakeholder trust.

Memberships and Affiliations

Memberships and affiliations that provide access to emerging global trends, industry intelligence, and best-practice frameworks, play a key role in strengthening HNB's internal system architecture. Typically, HNB leverages its memberships and affiliations to enhance institutional knowledge, foster innovation and drive continuous improvement of systems, processes, and governance structures in line with international standards.

Equally importantly, memberships and affiliations enable the Bank to further its role as an industry advocate by participating in policy discussions, industry forums, and collaborative initiatives with regulators, technology partners, and international institutions to help shape the future direction of the local banking industry.



Key Priorities for the Future



Short Term

- » HNB will focus on strengthening governance, compliance, and operational resilience while embedding quality, data privacy, and ethical conduct standards across the organisation. Consolidation of the unified brand architecture and enhancement of workforce capabilities will remain key priorities.

Medium Term

- » The Bank will accelerate digital transformation and innovation by leveraging technology, data, and strategic partnerships to drive customer-centric growth. Strengthening Group synergies and developing Intellectual Capital will support sustainable business expansion.

Long Term

- » HNB aims to reinforce its position as a trusted, future-ready financial institution by embedding sustainability, innovation, and strong risk discipline into its long-term strategy. The Bank will continue to create enduring stakeholder value while contributing to national economic development and financial system stability.

SLFRS SUSTAINABILITY AND CLIMATE DISCLOSURES

Basis of Preparation

Reporting Entity

This report has been prepared for HNB PLC with climate related risks and opportunities and green house gas emissions being reported for all group companies. The disclosure should be read in conjunction with the Group Financial Statements.

Estimates and Judgments

The assumptions, estimates and judgments used are disclosed under metrics.

Transition reliefs

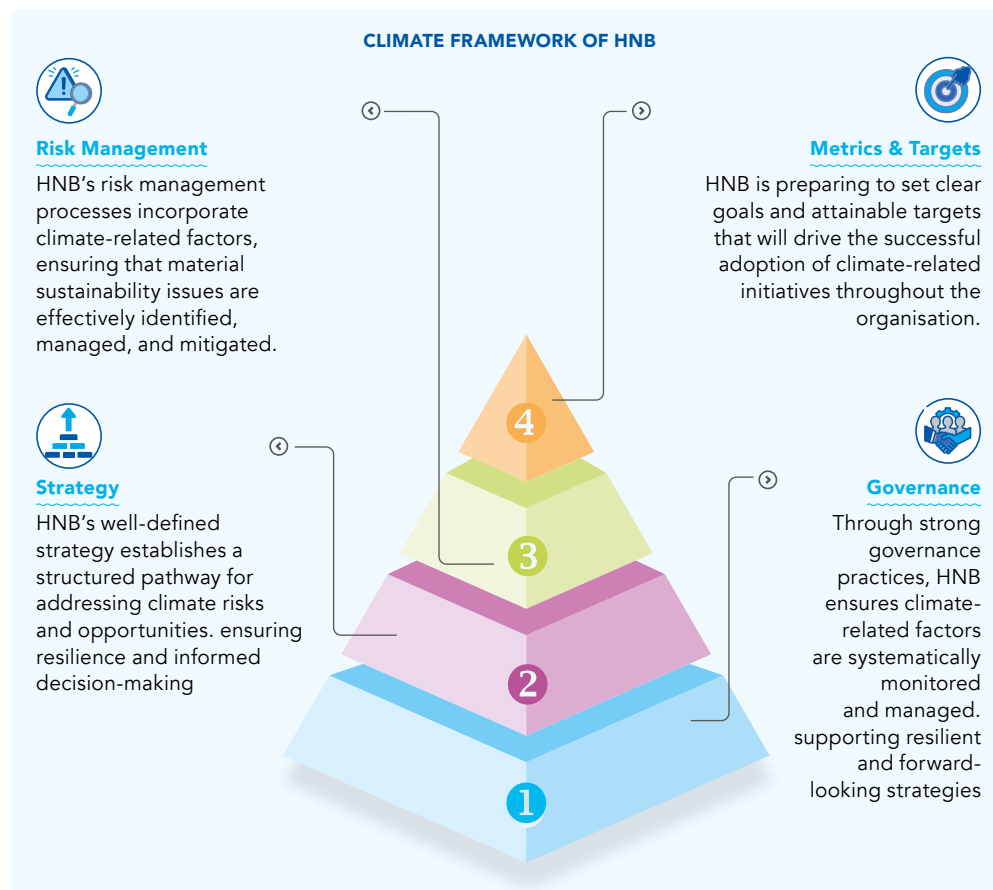
For the current reporting cycle, HNB is using the transition relief available at initial adoption and is therefore making disclosures only in accordance with SLFRS S2 and the following transition reliefs have also been applied.

- » not reporting on comparative information
- » not reporting on anticipated impacts
- » not reporting on scenario analysis and stress testing

Climate Related Disclosures

Climate change is reshaping the financial landscape in Sri Lanka, and at HNB it viewed as a risk to be managed and an opportunity to create shared value. Our disclosures reflect how we are embedding sustainability into our strategy, strengthening resilience, and our approach supporting the transition to a low-carbon economy.

This section sets out how climate and broader sustainability considerations are embedded in our strategy, supported by robust governance and risk management processes, and translated into action through adaptation, transition, and opportunity pathways—ranging from portfolio level risk assessments and sector



scorecards to financing solutions that enable a low carbon, climate resilient economy. In doing so, we reaffirm HNB's commitment to responsible banking and to the long-term alignment of financial performance with environmental stewardship and societal well-being.

Sustainability and Climate Action Governance

Roles and Responsibilities

Board Responsibility in Sustainability Oversight

As the highest governing body of the Bank, the HNB Board of Directors reiterates the commitment to responsible and sustainable banking by providing strategic direction for managing sustainability and climate-related risks and opportunities. This includes reinforcing governance structures to support ESG integration into the strategy and business, ensuring sustainability risks are incorporated into the enterprise risk management

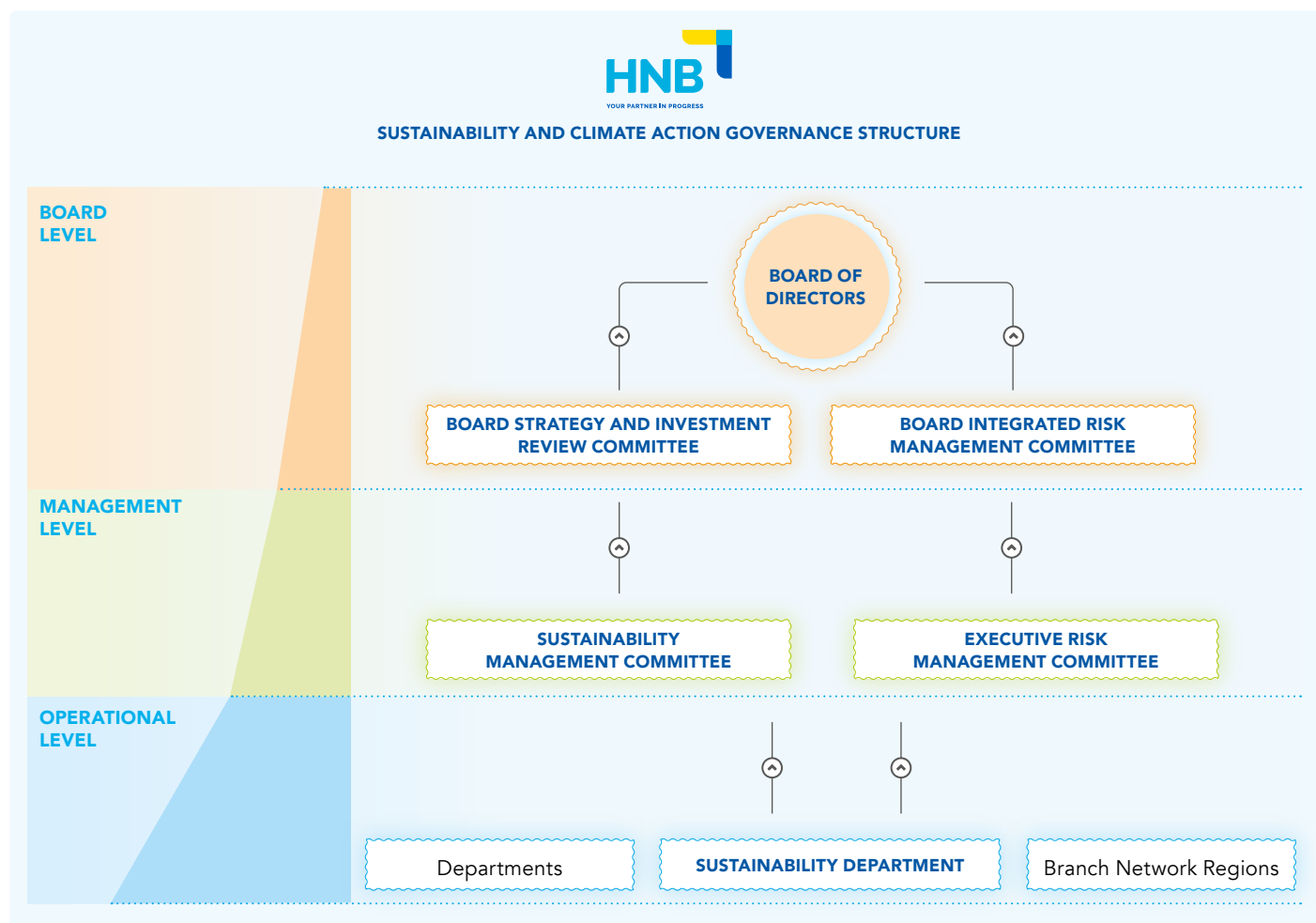
framework, promoting the development of sustainable finance and responsible lending solutions, and enhancing transparency and accountability through robust ESG disclosures.

The Board's commitment is further reinforced through its engagement with the Board Integrated Risk Management Committee (BIRMC) and the Board Strategy and Investment Review Committee (BSIRC), which provide detailed assessments and recommendations on ESG-related matters.

The roles and responsibilities of the two board sub-committees have been identified and reflected in the terms of reference of the respective committees.

In January 2026, the Board of Directors approved the establishment of a dedicated Board Sustainability Committee (BSC), reinforcing the Bank's commitment to environmental, social, and governance (ESG) excellence with Ms Dilani Alagaratnam appointed as the chairperson. The formation

SLFRS SUSTAINABILITY AND CLIMATE DISCLOSURES



of this Committee reflects the Board's recognition of sustainability as a strategic imperative that drives long term value creation, enhances sustainability and climate risk management, and strengthens stakeholder confidence. Going forward BSC will overlook sustainability and climate related matters including target setting related to climate-related risks and opportunities, incorporation of performance indicators for relevant management officials and monitoring progress towards those targets.

Board Integrated Risk Management Committee (BIRMC)

The Board Integrated Risk Management Committee (BIRMC), operating under the delegated authority of the Board, oversees the identification, assessment and management of sustainability and

climate-related risks and opportunities across HNB's operations and value chain. Sustainability-Related Risks and Opportunities (SRROs) and Climate-Related Risks and Opportunities (CRROs) identified across the Bank are communicated to the Executive Risk Management and Credit Policy Committee (ERMCP), with the BIRMC providing independent oversight and strategic guidance to ensure these risks are appropriately addressed within the overall risk governance framework.

As part of its mandate, the BIRMC reviews the Bank's Environmental and Social Management System (ESMS), which serves as a basis for managing sustainability and climate-related risks, particularly within lending, investment and credit-related activities.

Board Strategy and Investment Review Committee (BSIRC)

The Board Strategy and Investment Review Committee (BSIRC) provides strategic oversight of HNB's sustainability agenda, ensuring that Sustainability and climate actions are systematically integrated into the Bank's long-term strategy, business planning and investment decisions.

Sustainability Management Committee (SMC)

The Sustainability Management Committee (SMC) is the most senior management-level body responsible for driving the implementation of HNB's sustainability strategy. The SMC is chaired by HNB's Managing Director/Chief Executive Officer and comprises senior representatives from strategy, sustainability, finance, credit, risk and human resources.

The SMC is responsible for integrating sustainability and climate-related risks and opportunities across the Bank's operations, assessing their strategic implications, overseeing the implementation of ESG strategy and policies, and ensuring compliance with regulatory and disclosure requirements. The SMC leverages structured controls and monitoring tools, including the Environmental and Social Management System (ESMS), alongside key policy frameworks such as the ESG Policy and the Environmental and Social Policy. These frameworks are embedded across core functions through cross-functional representation and designated sustainability coordinators. In addition, the Committee provides direction on sustainable finance and CSR initiatives, promotes ESG awareness and capacity building across the workforce, and monitors progress against the Bank's sustainability roadmap and ESG targets.

Sustainability Department

The Sustainability Department plays a critical operational role in implementing the directives issued by the Sustainability Management Committee. The Department coordinates sustainability initiatives across the Bank, supports the execution of the

ESG Strategy and policies, and ensures the effective functioning of the Environmental and Social Management System (ESMS), which serves as the foundational framework for assessing climate related risks associated with HNB's lending activities.

Skills and competencies of HNB's governance bodies to oversee strategies designed to respond to Sustainability and Climate Risk Management

To ensure effective governance of sustainability and climate related matters, HNB places strong emphasis on building and maintaining appropriate skills and competencies across both Board and management levels. The skills and experience of the Board of Directors is disclosed from page 146-151 of the report under the Corporate Governance section. In 2025, both the Chairman of the Bank and the chairperson appointed for the newly established Board Sustainability Committee attended a specialised sustainability programme to strengthen their knowledge of global climate risk trends, sustainable finance expectations, and evolving regulatory standards. In addition, the Chairperson of the new Committee brings significant practical expertise, having previously overseen

the sustainability function of a large conglomerate at a group level, experience that enhances the Board's ability to guide HNB's climate related strategic direction.

The Bank focused on building internal capability which included capacity building for corporate management team covering ESG trends and impacts. The skills and capability of the operational team continued to be enhanced through many programmes covering emerging ESG trends, international sustainability reporting developments, sustainable finance practices, and climate related risk management methodologies. The Bank will continue to build capacity across the Bank to enable informed and evidence based decision making and strengthen the integration of climate considerations into strategy, risk management, and capital allocation.

Strategy

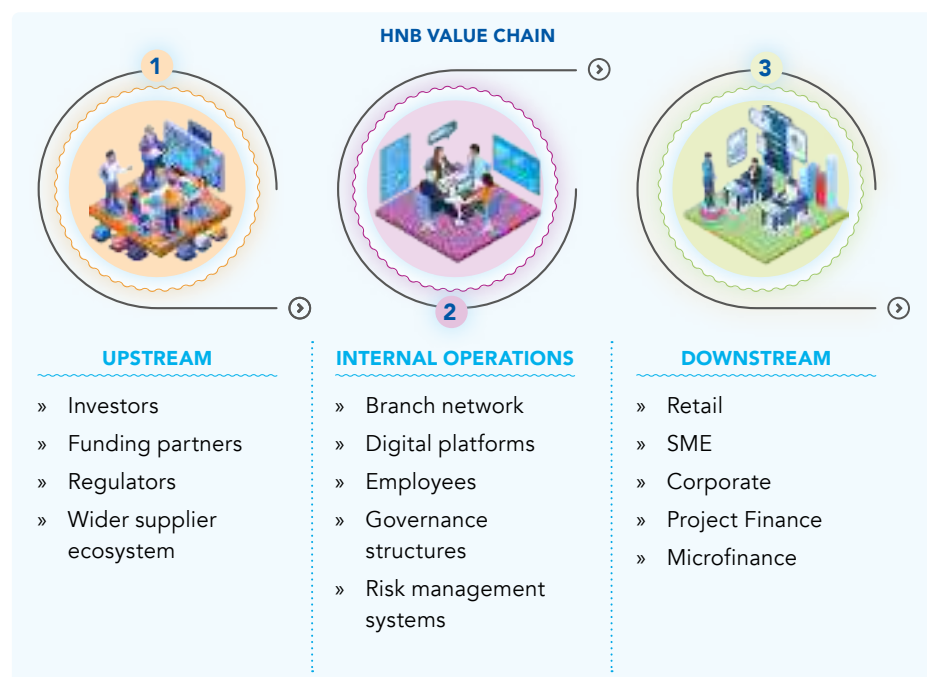
Climate Related Risks and Opportunities (CRROs) for HNB

As one of Sri Lanka's leading domestic systemically important banks, HNB operates at the heart of the country's financial system, supporting economic activity across all segments of the market. With a diversified business model, an extensive branch and digital network, and deep linkages across the financial value chain, the Bank acknowledges that climate-related risks and opportunities have the potential to significantly influence its resilience, risk profile, and long-term value creation.

HNB's CRRO cover climate risks impacting HNB's business model and value chain as a consequence of climate events or through the transition to a low-carbon economy.

Determining Climate Risks and Opportunities associated with HNB's value chain

HNB's approach to identifying material climate-related risks and opportunities (CRROs) is anchored in a structured value-chain mapping process that enables a systematic evaluation of where climate



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impacts may arise across its activities, counterparties, and operational footprint.

HNB Value Chain

Value chain mapping is followed by a comprehensive climate risk-scanning exercise, carried out collaboratively by the Sustainability and Risk teams to identify both physical climate risks; acute and chronic, as well as transition risks arising from policy, legal, market, reputational, and technological developments that could potentially affect HNB's customers, portfolios, and overall business

performance. The assessment draws on a broad range of internal and external inputs, including internal risk scorecards, Environmental and Social Management System (ESMS) assessments, sector-specific climate risk intelligence data, portfolio-level credit reviews, national regulatory guidance such as the CBSL Sustainable Finance Roadmap and publicly available climate datasets.

Financial Materiality Assessment

All identified climate-related risks and opportunities across different time

horizons were subjected to a financial materiality assessment using a scorecard methodology to establish the potential impact on the Bank's cash flows, access to finance, and cost of capital. Risks were evaluated based on both likelihood and severity and assigned to short, medium or long-term time horizons in line with SLFRS - S2 expectations. Climate-related risks deemed material were then mapped to establish linkages to credit, operational, market, liquidity, and reputational risks, in order to be formally integrated into HNB's Enterprise Risk Management (ERM) framework.

Climate Related Risks for HNB

HNB Value Chain	Risk Description	Climate risk Type	Financial Risk	Time Horizon	Current Impact to Business Model and Value Chain
Upstream	Business disruptions owing to the breakdown in supply chains attributed to climate disasters	Physical acute	Operational	Short Term	No material impact observed during the reporting year
	Fines or legal actions due to non-compliance with climate regulations	Transitional- Policy change	Reputational	Long term	No material impact observed during the reporting year
Operational	Impacts from extreme weather conditions such as floods and landslides on physical assets	Physical acute	Operational	Short term	The financial impact due to Cyclone Ditwah disclosed under Current Financial Impact for HNB on page 135
Downstream	Policy-driven climate transitions increase default risk through customer compliance and cost pressures (E.g. EU Deforestation Regulation, IFRS S2)	Transitional- Policy change	Credit	Long term	No material impact observed during the reporting year
	Increased default risk arising from climate vulnerability, particularly due to extreme weather events and natural disasters	Physical acute	Credit	Short/ Medium/ Long Term	The financial impact due to Cyclone Ditwah disclosed under Current Financial Impact for HNB on page 135

Climate Related Opportunities for HNB

Description of the opportunity	Time Horizon	Current impact to the business model and value chain
Advancing HNB's Sustainable Finance Framework	Short/Medium and Long term	Please refer pages 133 to 134 for details
Expand Green Lending and Transition Financing	Short/Medium Term	Please refer page 133 for details
Achieve Net Zero status	Long Term	In 2025, the Bank made a decision to exclude coal from financing activities as a step towards moving into low carbon emitting sectors.
Attract ESG-Focused Investors with a Strong Climate Strategy	Short/Medium/Long Term	The Bank has applied for accreditation under the Green Climate Fund in 2023, however, there was no material impact during 2025 in this regard.

Climate Related Risks for the Group

At a group level in terms of the insurance businesses, climate change is driving catastrophe and weather-related claims as floods, cyclones, landslides, droughts and heatwaves become more frequent and severe. This dynamic elevates loss ratios, pushes up reinsurance costs, and can narrow insurability in high risk districts, creating earnings volatility and capital management pressures for general insurance.

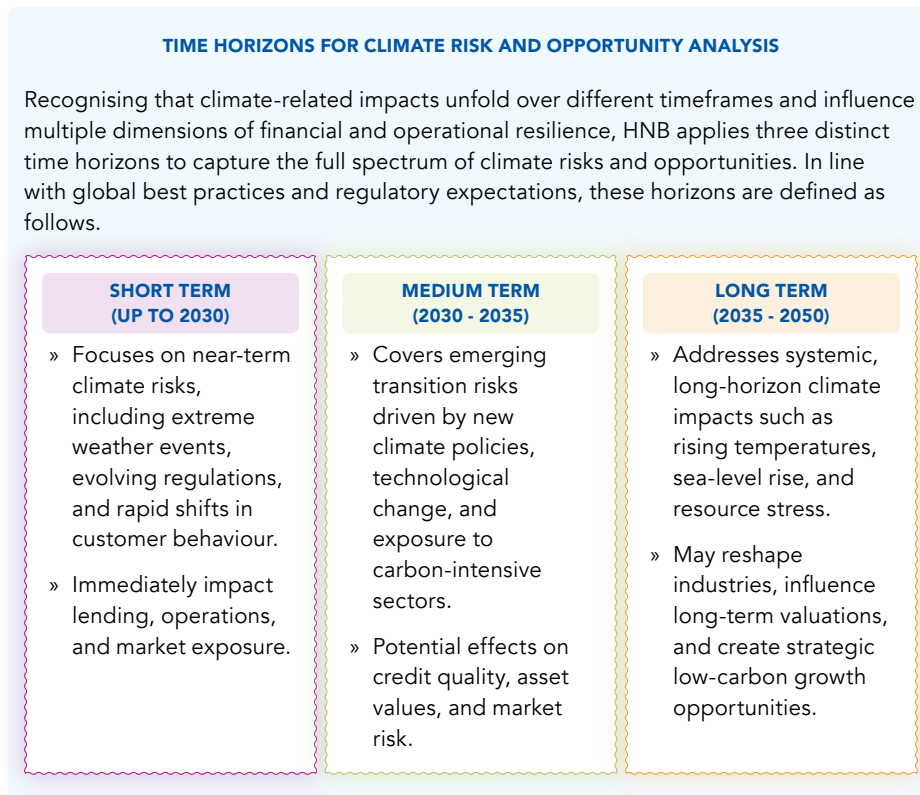
For the Bank and wider financial services operations, the same physical hazards can impair collateral values and borrower cash flows, increasing credit risk in exposed sectors and regions and reinforcing the need for granular risk mapping, underwriting discipline, and resilience focused client engagement.

Assessment and Management of Upstream Risks

The Bank has strengthened its approach to upstream risk by introducing enhanced supplier screening procedures to assess and manage climate related vulnerabilities within its key supply channels. Robust corporate governance remains central to HNB's ability to oversee and manage a wide spectrum of climate related risks and opportunities. The Bank's governance structure ensures accountability, transparency, and subject matter expertise at every stage of decision making, extending well beyond sustainability considerations. Clear oversight and approval mechanisms guide all strategic and operational decisions, enabling the Bank to maintain strong financial performance while safeguarding its reputation and sustaining the confidence of customers, partners, regulators, and other stakeholders.

Assessment and Management of Operational Risks

HNB maintains a comprehensive Operational Risk Management Framework underpinned by a well-structured and rigorously governed Business Continuity



Plan (BCP). This framework enables the Bank to effectively anticipate, mitigate, and manage the impacts of acute physical risks on its branch network, physical infrastructure, and critical service operations.

Through the Risk and Control Self-Assessment (RCSA) process, the Bank has systematically identified branches situated in high risk geographical locations. Accordingly, relocation and contingency plans have been developed to enhance operational resilience and safeguard the well-being of staff and customers.

Further strengthening the Bank's readiness, HNB's Business Continuity Plan is ISO -22301 certified, providing a robust and internationally aligned structure for ensuring uninterrupted operations during natural disasters, infrastructure failures, or other emergency situations. This certification reinforces the Bank's capability to maintain essential banking services while ensuring that recovery and response

processes are timely, coordinated, and effective.

Assessment and Management of Downstream Risks

In 2025, the Bank commenced a structured assessment of downstream physical and transition risks, applying a series of systematic evaluation procedures to better understand potential impacts across our value chain and to enhance the robustness of our overall risk management framework.

Climate Risk Score Cards (Both physical and transitional risks)

Using the Climate Risk Scorecards, the Bank assesses climate related vulnerabilities by evaluating both physical and transition risks across key economic sectors. In 2025, climate risk assessments were conducted for five priority sectors identified under the Central Bank of Sri Lanka's Green Finance Taxonomy: Agriculture and Forestry, Construction and Infrastructure, Manufacturing, Electric Power Generation,

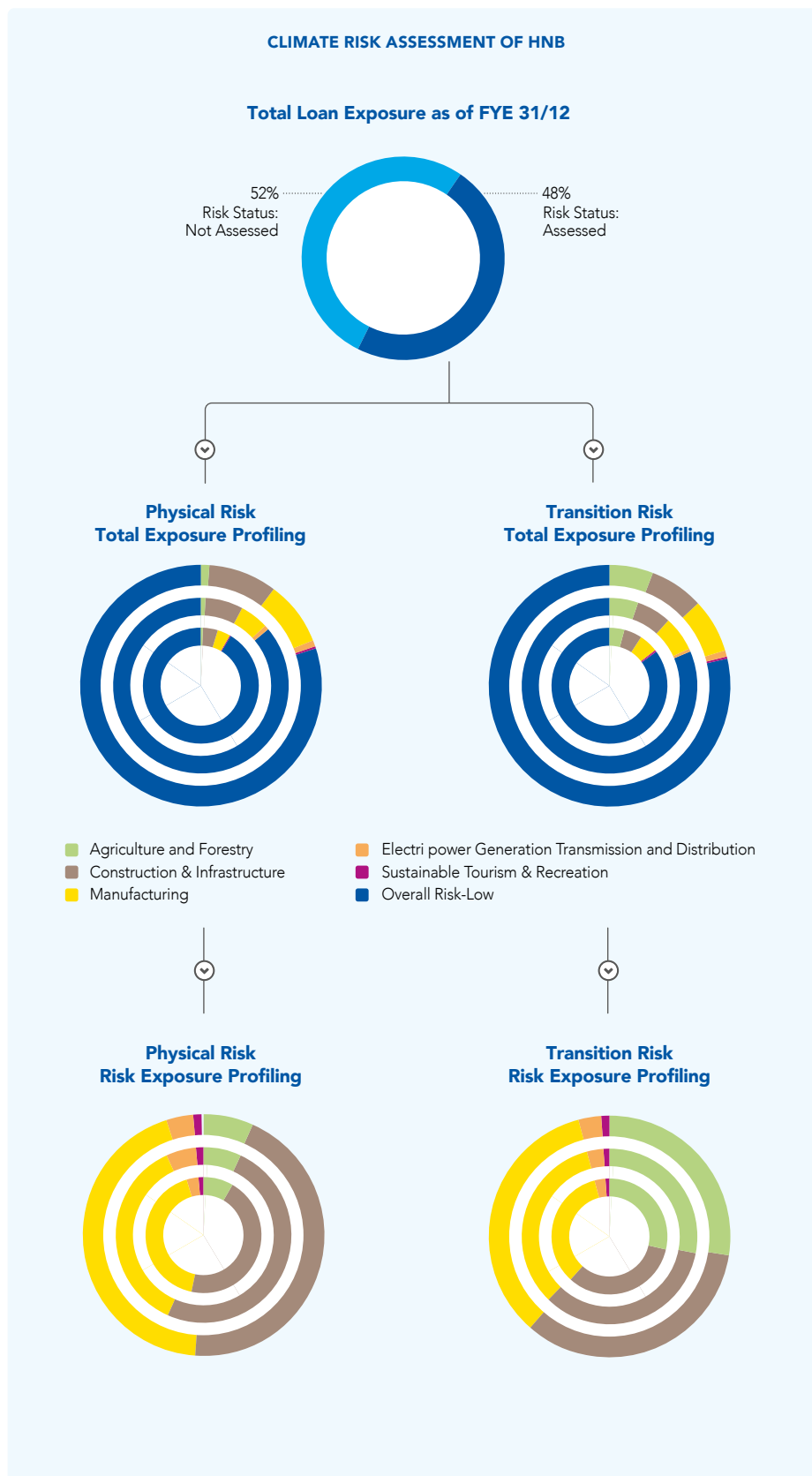
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Transmission and Distribution, and Tourism and Recreation. For each sector, a comprehensive suite of climate related risk drivers was analysed encompassing acute physical hazards such as droughts, heatwaves, wildfires, floods, and extreme weather events, as well as chronic risks including rising temperatures, water scarcity, biodiversity loss, and sea level rise. Transition risks were evaluated through the lens of evolving policy and regulatory requirements, technological shifts, market dynamics, and reputational pressures, with particular attention to emerging EU climate regulations that may materially affect export dependent industries.

Each risk driver was assigned both a likelihood rating, informed by observed climate trends, and an impact rating reflecting potential effects on the Bank's cost of capital, access to financing, and customer cash flows. These ratings were combined to generate short, medium, and long-term risk scores, which were then aggregated to produce total climate, physical, and transition risk metrics at the sector level. By benchmarking sector results against maximum attainable scores the Scorecard generates standardised climate risk indices, enabling year-on-year tracking and cross sector comparison. This methodology strengthens the Bank's capacity to systematically quantify, compare, and manage climate related risks across its lending portfolio, ensuring a robust and transparent approach to climate risk integration.

Assessment of financed emissions to measure exposure towards transitional risks

This year, the Bank initiated the calculation of financed emissions for its large corporate customers to assess exposure to climate-related transition risks. Given that the Bank's largest credit exposure is concentrated within the Wholesale Banking portfolio, analysing emissions across these sectors provides the most meaningful insights into portfolio-level climate vulnerability.



To strengthen the assessment, transition risk is evaluated using a dual-level approach:

- (i) sector-wise Weighted Average Carbon Intensity (WACI) and
- (ii) customer-wise carbon intensity metrics.

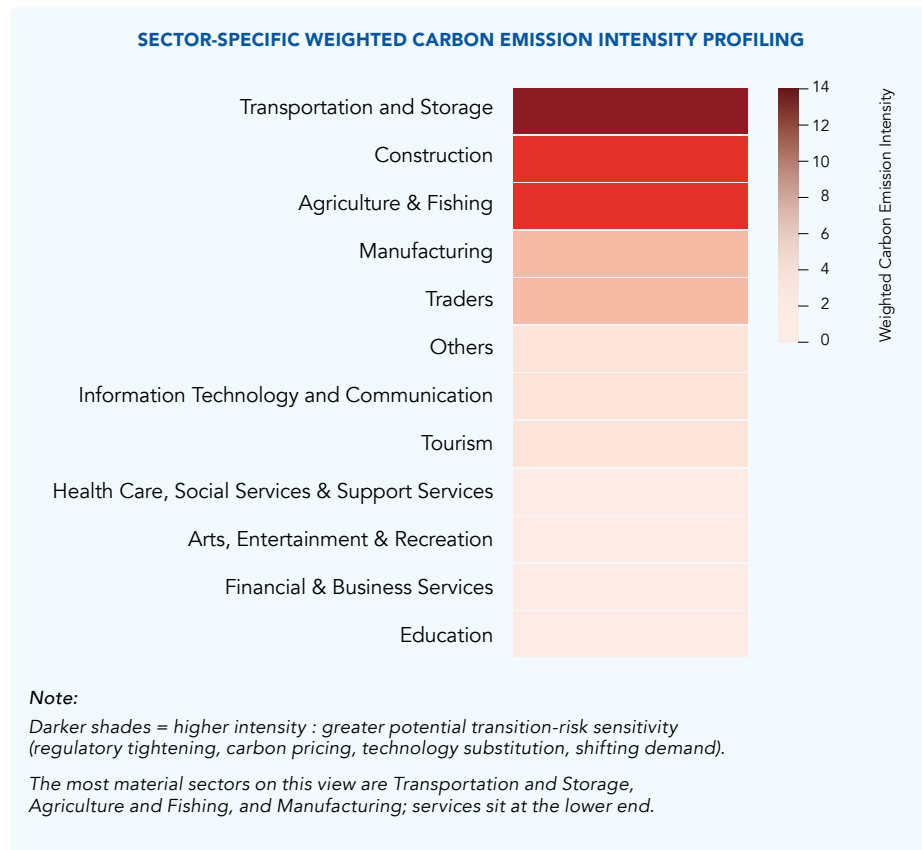
Sector-level WACI analysis enables the identification of carbon-intensive sectors and highlights structural exposure to transition risks arising from policy tightening, market shifts, and technological change. Complementing this, customer-level carbon intensity assessments allow the Bank to distinguish relative transition risk within the same sector by capturing differences in business models, operational efficiency, and decarbonisation readiness.

Based on these results, a transition risk heat map has been developed, integrating both sector-wise and customer-wise carbon intensity indicators. This heat map supports the Bank in prioritising risk mitigation actions, targeting client engagement, and informing strategic portfolio decisions, including credit monitoring, client transition support, and sustainable finance opportunities.

Transition Risk – Sector Specific Weighted Average Carbon Intensity

The sector specific carbon intensity profile indicates uneven exposure to climate transition risk across our corporate customer lending portfolio. The highest carbon intensities are observed in Transportation and Storage, Agriculture and Fishing, Construction and Manufacturing indicating elevated vulnerability to transition drivers such as carbon pricing, emissions regulations, technology substitution and changing market preferences. These pressures may increase borrowers' operating costs and capital expenditure requirements, potentially affecting credit quality over the medium to long term.

Traders indicate moderate carbon intensities and face transition risk primarily through supply chain decarbonisation



requirements, embodied carbon regulation and shifting client expectations.

Service oriented sectors, including IT and Communications, Healthcare, Financial and Business Services and Education, exhibit comparatively low carbon intensities and therefore lower direct transition risk, though indirect exposure through energy costs and Scope 3 expectations remain.

Overall, the portfolio shows material transition risk concentration in carbon intensive sectors, informing sectoral risk appetite, client engagement priorities and the allocation of transition finance in line with SLFRS S2.

Climate Related Opportunities for the Group

The Group also sees material opportunities to innovate, enable resilience, and mobilise transition capital. In insurance, HNB has the opportunity to expand protection through new and adapted products including crop

solutions, climate resilience riders, helping close protection gaps while deepening customer relationships. In investment banking and broader lending, HNB can exercise transition finance leadership by structuring green, social and sustainability linked bonds/loans, advising clients on decarbonisation, and deploying blended finance approaches for adaptation, positioning the Group to support Sri Lanka's low carbon, climate resilient growth while building a high quality, future fit portfolio.

Exploring downstream opportunities through Sustainable Finance

Sustainable Finance Framework

As a D-SIB, HNB strives to lead by example in advancing Sri Lanka's transition toward a greener, more climate-resilient and socially inclusive economy. To that end, the Bank's Sustainable Finance Framework developed in alignment with ICMA sustainable bond principle and the Sri Lanka Green Finance

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Taxonomy guidelines issued by the CBSL, serves as the overarching mandate for integrating climate risks into HNB's risk management practices. The framework contains the foundational principles that underpin HNB's efforts to allocate capital to encourage Bank customers to invest in Green, Social and Sustainable projects aligned to national priorities and global sustainability.

KEY ACHIEVEMENTS UNDER THE SUSTAINABILITY FRAMEWORK IN 2025

In December 2025, HNB successfully issued its inaugural Rs 10 Bn Sustainable Bond, marking a significant milestone in the Bank's commitment to advancing Sri Lanka's sustainable finance agenda. The bond, which carries a 'AA - (Ika)' rating from Fitch Ratings Lanka Limited, was oversubscribed on the day of opening, reflecting strong investor confidence in HNB's sustainability strategy and financial strength. Following the issuance, the Sustainable Bond was listed on the Colombo Stock Exchange (CSE), ensuring transparency, regulatory oversight, and broader market accessibility.

The proceeds from the bond are earmarked for a diversified portfolio of eligible green and social projects. These include financing the development and installation of solar, wind, biomass, and hydropower projects, promoting energy efficiency improvements through retrofits, and supporting the construction of certified green buildings. In addition, the bond proceeds will finance water treatment infrastructure, water conservation initiatives, and efficient agricultural water technologies, contributing directly to national climate resilience priorities. On the social front, the funding will support affordable housing, healthcare, and education for low- and middle-income families and expand access to credit for women led enterprises and other underserved groups. Through this landmark issuance, HNB reinforces its long-term commitment to mobilising capital towards sustainable development and inclusive economic progress.

Utilisation of proceeds as at 31st December 2025

The bond was allotted on 17th December 2025, and the details relating to the projects recognised under the bond proceeds since are listed below.

Objective number	Objective as Per Prospectus	Amount allocated as Per prospectus in Rs	Proposed date of Utilisation as Per prospectus	Amount allocated from proceeds in Rs Mn (A)	% of total proceeds	Amounts utilized in Rs Mn (B)	% of utilisation against allocation (B/A)	Clarification if not fully utilized
1. a	Financing and Refinancing of Green Projects	Upto 60% of the funds raised (Minimum of Rs 1 Bn to be disbursed)	In up to 24 months upon allotment of the Bonds	6,000	60%	1,004	16.7%	The unutilised funds are invested in government securities
1. b	Financing and Refinancing of Social Projects	Upto 40% of the funds raised (Minimum of Rs 1 Bn to be disbursed)	In up to 24 months upon allotment of the Bonds	4,000	40%	5	0.1%	

The projects identified under the bond proceeds include a 10Mw solar power project which is under construction and has been identified to be refinanced along with a microfinance loan facility granted in an underserved region. The impact relating to the projects identified is outlined below and the other relevant indicators would be provided when the solar project is commissioned, and new facilities are identified as eligible under the bond.

Impact Report as at 31st December 2025

Category	Impact indicator	Measurement
Renewable Energy	Capacity of renewable energy plants constructed/rehabilitated in MWH	10Mw
Financing or refinancing micro, small and medium enterprises, especially those led by women or operating in underserved regions	Number of MSMEs financed	01

Green Lending and Transition Financing

HNB continues to expand its Green Lending portfolio in alignment with the Central Bank of Sri Lanka's Green Finance Taxonomy, strengthening its support for renewable energy, energy efficiency improvements, green buildings, climate smart agriculture, and water resource conservation across its lending book. In 2025, the Bank granted loans totalling to Rs 79.8 Bn, through a diversified range of green and social projects that directly contribute to national climate mitigation and adaptation priorities. Please refer page 111 of the Natural Capital report for more details on green lending.

HNB also reinforced its regional leadership in sustainable finance by participating in an oversubscribed USD 1 Bn sustainability linked syndicated term loan facility for Aster Chemicals & Energy Pte Ltd in Singapore, alongside a consortium of global financial institutions. The proceeds of this facility are tied to measurable reductions in greenhouse gas emissions intensity, demonstrating HNB's ability to support clients in transitioning to lower carbon operating models through performance linked financing structures. Through these initiatives, HNB continues to expand its green finance footprint, mobilising capital towards low carbon development while enabling businesses and communities to progress toward a just and inclusive climate transition

Net Zero Status

Retrofit existing branches with energy efficient systems and solar PV installations, while progressively pursuing green building certifications. Future branch designs will integrate climate resilient features to ensure operational continuity, reduce environmental impact, and enhance long term sustainability.

The Bank will also aim to reduce the financed emissions by diversifying the lending portfolio towards low emitting sectors in line with the classification of lending to coal power as an excluded activity.

Managing Trade-Offs in Strategic Decision-Making

Trade-offs between climate-related risks and opportunities are carefully assessed across various decision-making bodies within the Bank. Policies and frameworks guide business activities to ensure financial decisions align with responsible banking principles.

HNB's lending strategy is firmly rooted in principles of environmentally and socially responsible banking. The Bank assesses the advantages and potential adverse consequences of its financing decisions to ensure they do not contribute to environmental or social harm. It adheres to a strictly Board-approved exclusion list that governs its financing activities and in 2025, lending to coal power plants was added as an excluded activity while considering the climate transitional risks. Furthermore, the Bank conducts comprehensive Environmental and Social Due Diligence (ESDD) on every business loan over Rs 15Mn, ensuring that its financing remains ethically sound and free from detrimental impacts. Please refer the Natural Capital report for more information on the Environmental and Social Management System (ESMS).

HNB's overall strategy reflects a strong commitment to sustainability in risk management and decision-making. The Bank's policies, governance structure, and operational risk framework foster a culture of responsible banking that balances financial performance with long-term environmental and social considerations.

Business Resilience Assessment – Climate Risk Impacts to HNB's Business Model and Value Chain: Cyclone Ditwah

The severe disruption caused by Cyclone Ditwah in December 2025 underscored critical climate-related vulnerabilities across HNB's value chain and customer segments. While the immediate impacts included branch closures, supply-chain interruptions, and damage to Bank and customer assets.

Impact to HNB Customers

Corporate Clients: Large corporates in sectors such as manufacturing, logistics, and real estate experienced asset damage and operational disruptions. These challenges are likely to result in delayed repayments, increased requests for loan restructuring, and elevated credit risk.

SME Sector: Small and medium-sized enterprises, particularly in agriculture, fisheries, and tourism, suffered significant losses to inventory and infrastructure. Their recovery is expected to require additional financing, increasing the Bank's exposure to climate-vulnerable sectors.

Microfinance Clients: Micro-entrepreneurs in rural and coastal areas lost livelihoods and productive assets, leading to heightened repayment stress and increased demand for emergency and concessionary credit.

Current Financial Impact for HNB

Impairment Costs and Credit Quality

The Bank engaged customers who have been impacted by the cyclone and is continuing to provide assistance to revive their livelihoods, in line with the directions issued by the Central Bank of Sri Lanka and the Ministry of Finance. However, the Bank recognised an impairment provision of Rs 2.2 Bn for the year 2025, considering the impact of the calamity.

Damage to Branches and Physical Assets

Cyclone Ditwah caused direct physical damage to branches, ATMs, and supporting infrastructure in high-exposure locations, resulting in repair and replacement costs, asset impairments, and temporary service disruptions.

The assessment of physical impacts from Cyclone Ditwah (December 2025) indicates that the total value of fixed asset damage across affected HNB branches amounts to approx. Rs 98 Mn. This represents the aggregate cost of damaged buildings, fittings, furniture, equipment, ATMs, IT infrastructure, and other branch-level physical assets identified through post-event damage assessments.

SLFRS SUSTAINABILITY AND CLIMATE DISCLOSURES

This figure reflects the gross physical damage on a cost basis and captures the scale of repair and replacement activity required to restore affected branches to operational condition. The actual accounting impact, however, will be determined based on the written-down value (WDV) of impaired assets and the extent to which losses are recoverable through insurance.

Repeated exposure to such acute physical risks may accelerate depreciation of fixed assets, increase insurance and maintenance costs, and necessitate capital expenditure for climate-resilient upgrades or branch rationalisation.

Access to Capital

Heightened perceptions of physical climate risk may lead to more stringent funding conditions from international lenders and investors. Sustaining access to ESG-linked and climate-aligned funding will require HNB to demonstrate strong physical risk management, asset resilience planning, particularly around scenario analysis and risk mitigation measures.

Regulatory and Policy Developments after Cyclone Ditrwah

The Government of Sri Lanka has announced a series of policy measures in response to heightened climate risks, including:

- » Prohibitions on construction in high-risk zones and mandatory relocation of certain facilities.
- » Stricter building codes and enhanced climate resilience standards for new developments.

The Bank currently operates 36 branches in the affected areas and the related loan portfolio is approximately 4% of the total loans. The Bank has already recognised an impairment provision with regard to the affected portfolios and will take precautionary measures going forward.

Implications for HNB's Lending Strategy

- » Portfolio realignment to reduce exposure to high-risk geographies and sectors.

- » Scaling up financing for climate-resilient infrastructure, green housing, and adaptation-focused projects.
- » Strengthening credit appraisal frameworks through the systematic integration of physical climate risk assessments.

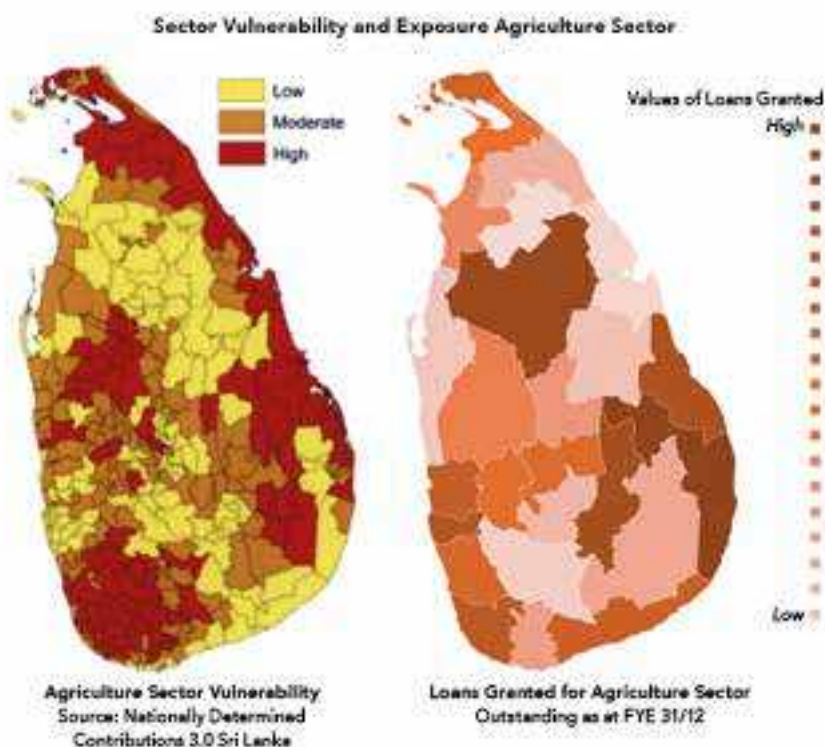
Geographical Concentration of Climate Related Physical Risks

To assess physical climate risk across our portfolio, HNB applied the Climate Risk Scorecards to evaluate sector level exposure to acute and chronic climate hazards. The assessment identified agriculture, manufacturing, and construction as sectors with elevated physical risk, given their sensitivity to extreme weather events, temperature variations, water stress, and environmental degradation. Building on these findings, district level exposure maps were developed for each high risk sector to visualise geographic concentrations within our lending portfolio. These exposure patterns were then compared against nationally published climate vulnerability

maps, enabling us to understand the alignment between HNB's portfolio and regions most susceptible to climate impacts. This analysis provides a clearer basis for climate informed decision making, proactive risk mitigation, and targeted client engagement.

Agriculture Sector Climate Risk Exposure

Our climate risk mapping exercise revealed that 9.2% share of the Bank's agriculture lending is concentrated in districts identified as high vulnerability zones, including Jaffna, Mullativu, Batticaloa, and Ampara. These areas face elevated exposure to droughts, floods, and other climate related hazards, increasing the sensitivity of our portfolio to physical climate risks. In addition, several districts with moderate vulnerability, such as Hambantota, Badulla, Matale and Puttalam, also reflect moderate levels of lending exposure. This distribution indicates that while our lending supports key agricultural regions, a substantial portion of our portfolio is situated in climate sensitive geographies, underscoring the importance



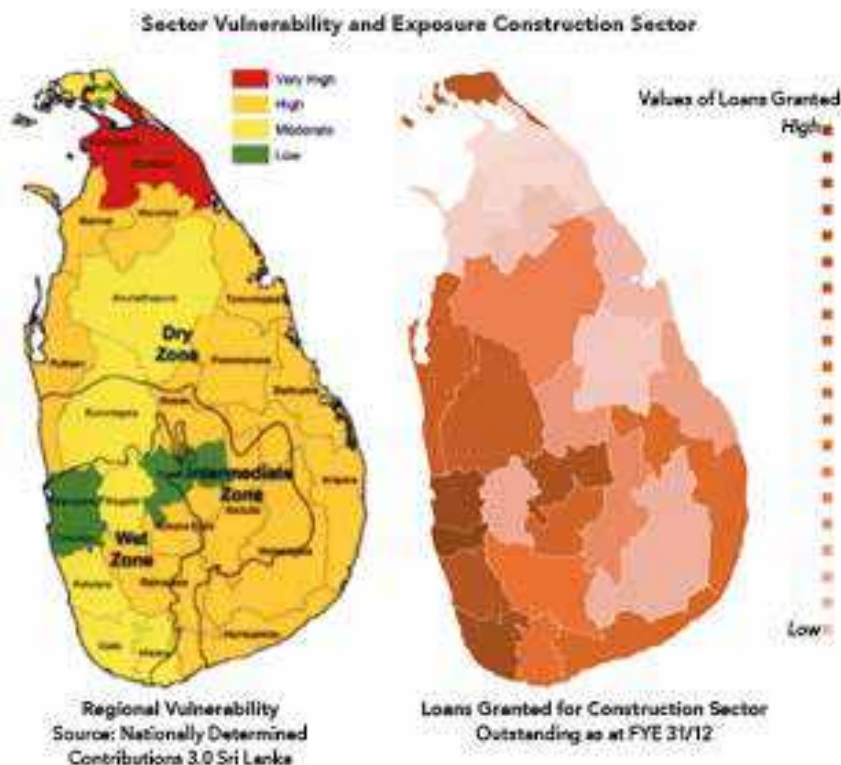
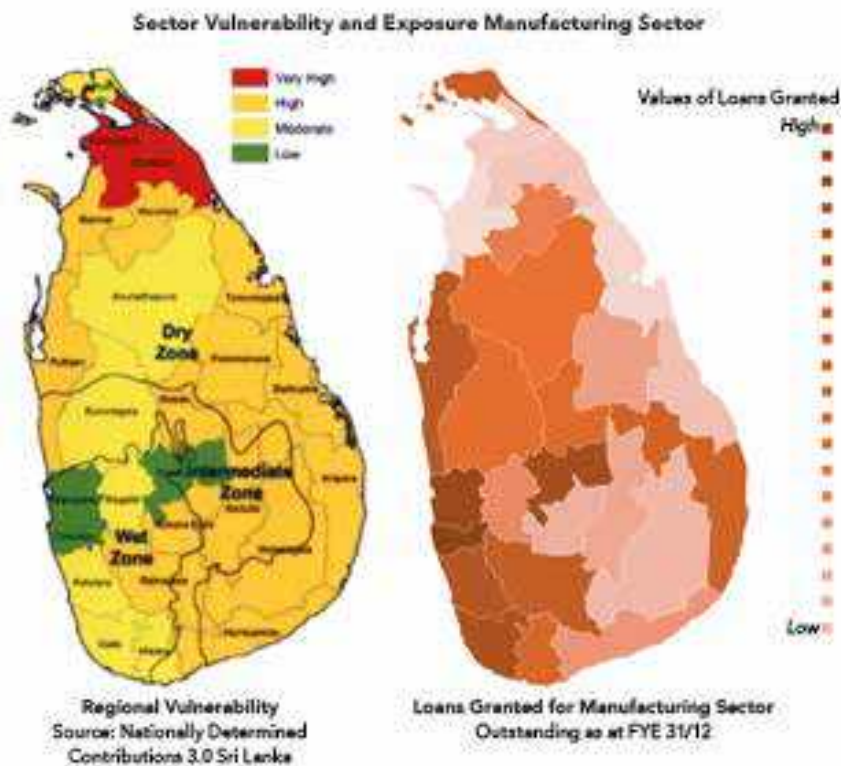
of embedding climate resilience measures into our credit and risk management practices.

Risk-Mitigation Strategy for Climate Vulnerable Agriculture Lending

As part of our Sustainable Finance Framework, the Bank promotes climate-resilient and sustainable agriculture by prioritising lending for climate-change adaptation initiatives. Eligible financing includes climate-smart agriculture activities such as crop diversification, precision farming, biological crop protection, drip irrigation, rainwater harvesting, agroforestry, and the adoption of Sri Lanka Good Agricultural Practices (SL-GAP) certification. These interventions strengthen farmers' adaptive capacity to drought, flood variability, and changing climatic conditions. In addition, the Bank has enhanced its Sarusara Programme under the microfinance portfolio to support farmers in becoming agri-entrepreneurs through modern technology uptake. The programme includes soil-testing initiatives, particularly in the hill-country regions, aimed at improving soil health and productivity, thereby increasing the long-term climate resilience of farming households.

Manufacturing Sector Climate Risk Exposure

Our assessment of the manufacturing sector indicates that lending exposure is primarily concentrated in districts with moderate levels of climate vulnerability, particularly across the North Western, Central, Southern, and Sabaragamuwa provinces. While the northern coastal belt is identified as a high-vulnerability zone, our credit exposure in these areas remains relatively moderate to low. A portion of the portfolio is also situated in low-vulnerability regions, providing a natural buffer against climate-related physical risks. Overall, the distribution of lending across varying vulnerability zones underscores the importance of integrating climate-risk considerations into sectoral lending strategies to ensure long-term portfolio resilience.



SLFRS SUSTAINABILITY AND CLIMATE DISCLOSURES

Construction Sector Climate Risk Exposure

Our construction lending is primarily concentrated in low vulnerability Wet Zone districts, with additional exposure across moderate vulnerability areas in the Dry and Intermediate Zones, and limited exposure in the high vulnerability northern coastal belt. This distribution suggests that the portfolio's sensitivity to climate related physical risks is moderate to low overall, while highlighting the importance of site specific climate screening, resilient design standards, and appropriate insurance to manage localised risks such as urban flooding, landslides, coastal hazards, and heat stress.

Climate Risk Management

Key Climate Risk Drivers for HNB

HNB has identified several key climate related risk drivers that are expected to influence its risk profile and portfolio resilience in 2025. These drivers reflect both physical and transition dimensions of climate risk and are critical in shaping the Bank's approach to climate responsive risk management.

Increased frequency and severity of extreme weather events: Rising exposure to floods, droughts, storms and other climate driven natural hazards may impact borrowers' operations, asset values and repayment capacity, particularly in agriculture, SMEs and location sensitive sectors. Further this could have an impact on the physical assets of the Bank.

Regulatory changes, including requirements under ICAAP: Strengthened disclosure, governance and risk assessment obligations increase compliance expectations for financial institutions and require enhanced climate related reporting, scenario analysis and integration into capital planning.

Growing investor and stakeholder demand for ESG compliance: Heightened expectations from investors, international partners and customers accelerating the need for transparent climate risk management, sustainable financing

practices and stronger environmental and social safeguards.

Exposure to carbon intensive sectors and projects: Sectors reliant on fossil fuels, high-emission processes or resource intensive operations face increasing transition pressure, potentially affecting creditworthiness, collateral quality and long term viability.

Global and local climate policies impacting business models: Evolving national climate commitments, sectoral decarbonisation pathways and international sustainability standards may reshape business models of key industries, influencing sectoral lending strategies and portfolio transition planning.

Integrating Climate-Change Related Risks into HNB's Risk Management framework

HNB adopts a comprehensive approach to integrating climate-change-related risks into its overall risk-management framework to ensure responsible, resilient, and sustainable financing. Climate risks both physical and transition are embedded within the Bank's Environmental and Social Management System (ESMS), credit processes, portfolio-level risk assessments, and governance structures.

Through the ESMS screening process, Environmental & Social (E&S) risk categorisation (A/B/C), and structured due diligence, the Bank identifies climate-related exposures at an early stage. High-risk transactions undergo enhanced review by the ESMS Team in accordance with the Bank's Environmental and Social Policy and ESMS Manual. Where relevant, identified climate impacts are incorporated into Environmental and Social Action Plans (ESAPs) and built into loan covenants to ensure borrower compliance with climate-risk mitigation requirements. Post-disbursement monitoring supports continuous oversight of climate-related risks across the lending portfolio.

HNB maintains strong governance oversight of climate-risk management through structured reporting to senior management and Board-level committees. This ensures that climate-risk insights

inform strategic planning, portfolio decisions, and long-term risk appetite. The Bank's climate-risk processes also align with national environmental regulations and supervisory expectations for banks operating in Sri Lanka.

To further strengthen its climate-risk framework, HNB has developed Climate Risk Scorecards to assess physical and transition risks across priority economic sectors. Additionally, the Bank has commenced calculating financed emissions for large corporate borrowers, enabling a deeper understanding of transition-risk exposure and alignment with evolving global climate-reporting standards

How the Risk is Managed

Asset-level risk assessments are done through the ESMS process (Please refer Natural Capital section for the process). The climate-related risks to the customer are assessed based on the location, type of industry and regulatory compliance requirements.

Integration of climate risk into credit evaluation and ICAAP – Scorecard available to assess the Pillar 11 capital requirements.

Development of green financing products and incentives for enhance resilience of our customers through climate adaptation as well as climate change mitigation– The Bank developed the Sustainable Finance framework with the aim to raise funds for Green/Sustainable Finance activities. In 2025, the Bank issued its 1st Sustainability bond and raised Rs 10 Bn for the purpose. (Details of sustainable finance framework mentioned in the separate section)

Enhanced due diligence for climate-sensitive projects Climate-sensitive projects are identified using the climate risk score card, ESMS process as well as through emission calculation process. Sector-wise risks are identified through the scorecards. Necessary steps are initiated to manage the risks at asset level as well as Bank level as appropriate.

Training staff on ESG and climate risk management is continued to enhance the capabilities of the staff.

The integration of climate-change related risks into HNB's existing risk management frameworks reflect a structured approach to addressing the transition and physical risks, which are evolving in nature.

Natural disaster-related impacts are embedded within the Internal Risk Rating (IRR) models, applied either through parameter-level scoring or as rating modifiers, in line with the assessed significance to each respective model.

Physical risk management: To evaluate physical risks, the Bank utilizes a Climate Risk Score Card alongside geographical location analysis, considering the specific climate-related vulnerabilities inherent to each region. This allows the bank to assess the potential impacts of climate-related physical risks on its operations and investments.

Transition risk management: For transition risks, the Bank conducts detailed greenhouse gas (GHG) emission calculations across all sectors in its portfolio. Sector-based emission analysis is utilized to identify the highest-emitting sectors, hereby enabling the identification and evaluation of the bank's transition risk exposure. Special focus is placed on the top 5 highest-emitting sectors to assess the level of transition risks in the portfolio, providing a clear view of potential impacts and ensuring the Bank is well-prepared for the evolving climate landscape.

This approach ensures that the bank meets the disclosure requirements under IFRS S1 and S2 while effectively managing climate-related risks across its operations.

Metrics and targets

In today's business environment, sustainability and environmental responsibility are key drivers of organisational success. Measuring and reducing carbon footprints has become critical in the global effort to combat climate change. Achieving Net Zero

requires a comprehensive understanding of current emissions, along with a strategic approach to reducing them through targeted investments and improved operational practices.

As part of our commitment to advancing sustainability in Sri Lanka, the Bank commenced the calculation of its Greenhouse Gas (GHG) Scope 1 and Scope 2 emissions in 2021. In 2025, we further expanded our GHG emissions reporting to include Scope 3 emissions, with a particular focus on financed emissions. This includes asset classes such as business loans to the wholesale banking segment, sovereign debt, and listed equity. This expanded and comprehensive reporting demonstrates our ongoing commitment to embedding sustainability across both our operational and financing activities.

Financed Emissions Calculation Methodology

The financed emissions disclosed are in accordance with the Partnership for Carbon Accounting Financials (PCAF) – Global GHG Accounting and Reporting Standard, Part A: Financed Emissions (2022, Second Edition). This standard provides a globally consistent methodology for calculating Scope 3 Category 15 (Financed Emissions) for financial institutions.

The Bank applied the Financial Control Approach in attributing greenhouse gas emissions to its financed portfolio, as prescribed under the PCAF Standard. PCAF permits a hierarchy of methodological options depending on data availability and the following were used.

- » Option 1a – Verified emissions
- » Option 1b – Unverified emissions
- » Option 2a – Energy consumption data
- » Option 3a – Company revenue
- » Option 3b – Company assets

Further, as Sri Lanka-specific emission factors are not available, India emission factor data from the PCAF Emission Factor Database have been used.

Data Quality Score

PCAF assigns data quality scores from 1 (highest) to 5 (lowest) depending on the quality of underlying activity data.

HNB's 2025 financed emissions disclosures include data quality scores ranging from 1 to 5, consistent with PCAF's data hierarchy:

- » Score 1: Audited emissions data
- » Score 2: Reported, non-audited emissions
- » Score 3: Projected emissions based on Physical activity data
- » Score 4: Sector based proxies
- » Score 5: High level estimates due to limited data availability

Asset Class Coverage

In 2025, HNB assessed financed emissions across selected asset classes defined in the PCAF Standard:

- » Business Loans (Corporate Banking) – covers approximately 51% of total loan portfolio
- » Project Finance
- » Listed Equity
- » Sovereign Debt

Together, these asset classes account for more than 60% of HNB's total assets for the reporting year.

The remaining asset classes and portfolios will be progressively incorporated in subsequent reporting cycles.

All emission calculations have been verified by Sri Lanka Climate Fund (Pvt) Ltd under the Ministry of Environment,

1. Complying with the requirements of GHG Protocol Corporate Accounting and Reporting Standard
2. Complying with the requirements of ISO 14064-1:2018 in accordance with the specification of ISO 14064-3:2019

SLFRS SUSTAINABILITY AND CLIMATE DISCLOSURES

GHG emission accounting

Scope	Emission Source	tCO ₂ e
Scope 01 GHG Emissions	1.1 Direct Emission from Stationary Combustion	
	Onsite Combustion - Diesel	155.12
	Onsite Combustion - LPG	15.40
	Onsite Combustion - Petrol	-
	1.2. Direct Emission from Mobile Combustion	
	Emissions from Own Vehicles - Diesel - Road	144.69
	Emissions from Own Vehicles - Petrol - Road	18.37
	1.4. Direct Emissions from Fugitive Emissions	
	Leakages from CO ₂ fire extinguishers	4.13
	Refrigerant Leakages/Refilling	1,142.51
Total Scope 01 Emissions		1,480.22
Scope 02 GHG Emissions	Emissions from import electricity	5,534.58
Total Scope 02 Emissions		5,534.58
Scope 03 GHG Emissions	Category 1 Purchased goods and services	23.44
	Category 2 Capital goods	1,456.77
	Category 3 Fuel- and energy - related activities	915.95
	Category 4 Upstream transportation and distribution	N/A
	Category 5 Waste generated in operations	0.77
	Category 6 Business travel	835.40
	Category 7 Employee commuting	3,952.10
	Category 8 Upstream leased assets	N/A
	Category 9 Downstream transportation and distribution	N/A
	Category 10 Processing of sold products	N/A
	Category 11 Use of sold products	N/A
	Category 12 End-of-life treatment of sold products	N/A
	Category 13 Downstream leased assets	N/A
	Category 14 Franchises	N/A
	Category 15 Investments	4,592,561.17
Total Scope 03 Emissions		4,599,745.60
Total GHG emissions		4,606,760.40

The table indicates the exact emissions under scope 1, scope 2 and scope 3 based on the calculation methodology as set out in the annexure to this report. The verification provided by the Sri Lanka Climate Fund is based on emissions which have been rounded up for scope 1, scope 2 and scope 3.

Financed emission:

Financed emissions (Category 15) refer to the greenhouse gas emissions associated with the financial products provided by an organisation, specifically those related to investments, loans, and other financial services.

Business loan:

GHG emissions of Business Loan portfolio by sector activity

Absolute Financed Emissions by Sector - Business Loans

	Total Outstanding Loans and Investments (in Rs Bn)	Scope 1 Financed Emissions (in tCO2e)	Scope 2 Financed Emissions (in tCO2e)	Scope 1 & 2 Financed Emissions (in tCO2e)	Weighted Data Quality Score
Transportation and Storage	26.9	296,433.5	81,735.1	378,169.0	4.0
Agriculture and Fishing	72.5	310,053.1	106,861.2	416,914.0	3.9
Manufacturing	172.0	341,505.1	253,081.9	594,587.0	3.9
Traders	112.8	217,964.5	127,919.3	345,884.0	3.8
Construction	47.9	222,879.3	14,102.4	236,982.0	4.0
Others	26.0	17,321.1	19,538.9	36,860.0	3.9
Information Technology and Communication	9.8	875.2	4,980.4	5,856.0	4.0
Tourism	26.6	7,574.2	5,468.6	13,043.0	4.0
Arts, Entertainment and Recreation	0.2	1.1	27.1	28.0	4.0
Health Care, Social Services and Support Services	8.1	690.5	1,753.1	2,444.0	3.0
Financial and Business Services	136.9	1,427,089.5	5,182.8	1,432,272.0	3.3
Education	0.8	6.6	35.2	42.0	4.0
Total Financed Emissions	640.5	2,842,393.7	620,686.0	3,463,079.7	3.8

Absolute Financed Emissions by Sector - Project Finance

	Total Outstanding Loans and Investments (in Rs Bn)	Scope 1 Financed Emissions (in tCO2e)	Scope 2 Financed Emissions (in tCO2e)	Scope 1 & 2 Financed Emissions (in tCO2e)	Weighted Data Quality Score
Transportation and Storage	0.4	9.2	4.2	13.4	4
Agriculture & Fishing	0.6	11.3	7.6	18.8	4
Manufacturing	7.6	10,053.7	4,217.2	14,270.9	4
Construction	34.0	13,491.4	36.9	13,528.4	4
Others	8.0	577.0	926.7	1,503.7	4
Tourism	9.1	22,879.0	1,803.0	24,682.0	4
Financial and Business Services	20.1	157.7	1,136.4	1,294.0	4
Total Financed Emissions	79.9	47,179.3	8,132.0	55,311.3	4

Absolute Financed Emissions by Asset Class

	Total Outstanding Loans and Investments (in Rs Bn)	Scope 1 Financed Emissions (in tCO2e)	Scope 2 Financed Emissions (in tCO2e)	Scope 1 & 2 Financed Emissions (in tCO2e)	Weighted Data Quality Score
Business Loans (Corporate Banking, Emerging Corporate)	640.5	2,842,393.7	620,686.0	3,463,079.7	3.9
Listed Equity	11.4	25.7	113.4	139.1	1.7
Project Finance	79.9	47,179.3	8,132.0	55,311.3	4.0
Sovereign Debt	766.6	1,074,031.1	N/A	1,074,031.1	4.0
Sovereign Debt (excl. LULUCF - where appl.)	N/A	703,363.2	N/A	N/A	
Sovereign Debt (incl. LULUCF - where appl.)	N/A	1,074,031.1	N/A	N/A	
Total Financed Emissions	1498.4	3,963,629.8	628,931.4	4,592,561.2	

SLFRS SUSTAINABILITY AND CLIMATE DISCLOSURES

Avoided internal emissions (Scope 2)

A total of 1,915 MWh of electricity has been generated by the Bank's solar power panels, installed at the branch network. This generation has contributed to the avoidance of 799.04 tons of CO₂.

Avoided financed emissions (Scope 3)

An avoided emission of 14,835.41 tons of CO₂ has been identified under financed emissions, and is primarily attributed to the financing of renewable energy projects including Hydro, Solar and Wind.

The Bank assessed the climate risk on the loan portfolio based on climate risks scorecards covering five sectors which have a higher vulnerability towards climate risk, accounting for 48% of total loans. The other cross industry metrics covering physical and transition risk exposures, opportunities, capital deployment, carbon pricing and remuneration shall be disclosed once the assessment is covered for the full portfolio.

The Bank has not established formal targets yet as the necessary baseline information and current state assessments are still being finalised. As our ongoing review progresses, we expect to gain a clearer understanding of our performance and operational needs. The Bank is committed to setting well informed, measurable targets in the future, once this foundational analysis is complete. These targets will guide our strategic priorities and support transparent reporting in subsequent periods.

Emission of Group Companies for 2025

Group Company	Total Emissions in tCO ₂ e
HNB Finance PLC	1,154 ³
HNB Assurance PLC	5,083
HNB Investment Bank Pvt Ltd	81.9
Sithma Development Pvt Ltd	- ⁴

Note :

1. The above emissions are at group level for each subsidiary.
2. The emissions of the insurance subsidiary HNB Assurance PLC, and its fully owned subsidiary HNB General Insurance Ltd. have only been verified by a third party.
3. Total emissions of HNB Finance PLC for 2025 is estimated based on emissions data from April to December 2025.
4. The main property of Sithma Development (Pvt) Ltd. (Sithma) is 'HNB Towers', which is rented out to HNB PLC and the relevant emissions are calculated and disclosed under HNB. Sithma owns two other buildings which are rented out to external parties and hence would form part of Scope 3 emissions of Sithma, and not reported at this point.



Way Forward

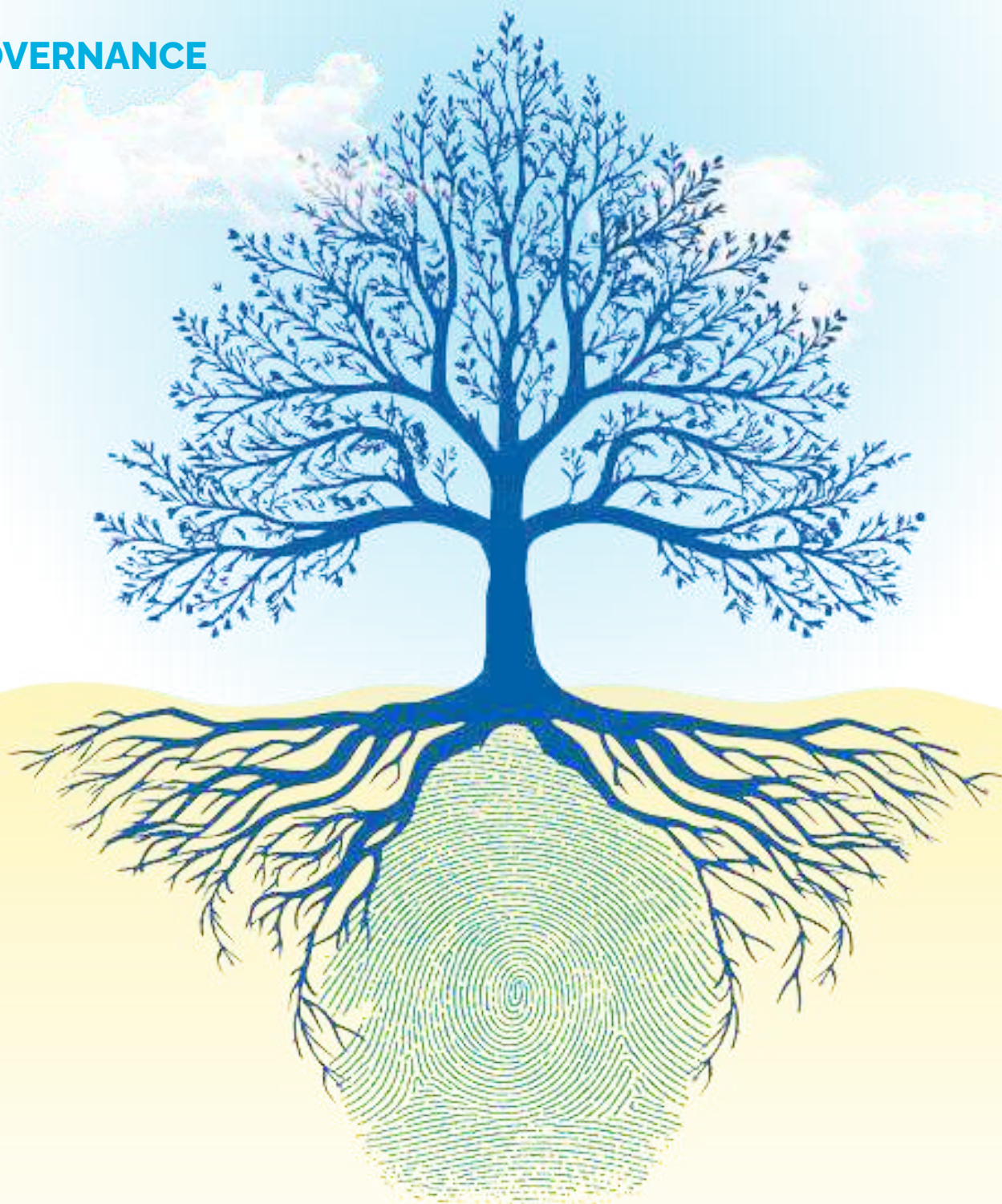
HNB will use the insights generated through this year's climate risk and emissions assessments as the foundation for developing a comprehensive Transition Plan aimed at achieving net zero status. This plan will outline clear pathways for decarbonising our portfolio, supporting client transition, and aligning the Bank's long-term strategy with national and global climate goals.

In support of this ambition, HNB will continue to expand the coverage of its financed emissions assessment to additional asset classes and progressively enhance data quality to improve the robustness of climate related disclosures. This will be achieved through

- » Direct borrower engagement
- » Greater use of verified emissions data
- » Integration of improved national level emission factors as they become available

These enhancements reflect HNB's commitment to strengthening methodological rigour in line with emerging global best practices and meeting the evolving disclosure expectations under SLFRS.

GOVERNANCE



Phases of **STABILITY**

Roots ground the tree and enable it to extend outward and grow. They form interconnected systems that anchor growth and carry nourishment from beneath the surface to sustain the whole. These networks determine the strength, balance, and resilience of the tree above, establishing the foundation for its continued evolution.

HNB's journey is sustained by an integrated set of forces where performance drivers, market conditions, and operational insights work in alignment to maintain momentum and balance. Together, they enhance adaptability, reinforce stability, and enable confident, well-informed decision-making across the Bank.

BOARD OF
DIRECTORS



Sivakrishnarajah Renganathan
Director
(Independent/
Non-Executive Director)

Devaka Cooray
Director
Senior Independent Director
(Independent/Non-Executive Director)

Nihal Jayawardene
Chairman
(Non- Independent/
Non-Executive Director)

Damith Pallewatte
Managing Director/
Chief Executive Officer
(Executive Director)

Dilani Alagaratnam
Director
(Independent/
Non-Executive Director)



Suresh Shah

Director
(Independent/
Non-Executive Director)

Dr Prasad Samarasinghe

Director
(Non-Independent/
Non-Executive Director)

Shiromi Halloluwa
Company Secretary

Prawira Rimoe Saldin

Director
(Non Independent/
Non-Executive Director)

Nanda Fernando

Director
(Independent/
Non-Executive Director)

Rasitha Gunawardana

Director
(Independent/
Non-Executive Director)

BOARD OF DIRECTORS

Nihal Jayawardene Chairman

(Non-Independent/
Non-Executive Director)

LL.M (Lond), President's Counsel

Appointed: August 2021

Appointed Chairman: June 2023



Skills & Experience:

Mr Jayawardene, who is a distinguished old boy of St. Anthony's College – Kandy, having entered Sri Lanka Law College in 1980, joined the Bar in 1983. He has his career experience as an officer of the Attorney General's Department of Sri Lanka in excess of 20 years, Senior Lecturer of Sri Lanka Law College and Legal Consultant and Board Member in numerous Institutions. He is an Attorney at Law of the Supreme Court of Sri Lanka and Solicitor of the Supreme Court of England & Wales. Recently he along with two others in the Banking sector in Sri Lanka was conferred with the honorary foundation membership of the Chartered Institute of Certified Accountants of Australia and New Zealand.

Mr Jayawardene has extensive experience in Public Enterprises reforms programmes carried out in the areas of Insurance, Telecommunication, Aviation, Port & Shipping and Plantation sectors.

In recognition of his immense contribution made to the Legal Profession as an eminent senior counsel in Corporate, Commercial, Aviation and Public Law he was appointed as a President's Counsel in the year 2012.

Mr Jayawardene also played a leading role in the process of drafting the Companies

Act, Civil Aviation Authority Act, Civil Aviation Act, and the Colombo Port City Economic Commissions Act. In December 2023 as the Chairman of a Committee appointed to review the Bills of Exchange Ordinance he submitted comprehensive recommendations to the Minister of Justice.

Other Current Appointments:

He is presently the Chairman of Company Law Advisory Commission and the Chairman of Board of Governors of the Asian Institute of Business and Science (AIBS) and the in-house Counsel of Capital City Law.

Previous appointments

Mr Jayawardene has served as the Founder Chairman (NED) of Lanka Sathosa Limited, a Director (NED) of Hotel Developers Lanka Limited from 2004 to 2015, a Director (NED) of Milco (Pvt) Ltd from 2005-2008 and also served as a Director (NED) of People's Leasing and Finance PLC. Mr Jayawardene has also been a Member of the Board of Civil Aviation Authority of Sri Lanka for more than 12 years.

Damith Pallewatte Managing Director/ Chief Executive Officer (Executive Director)

MBA - PIM (USJ), BSc - Management (Hons)
University of London (LSE), FRM, ACI, SCR,
FCMA (UK), CGMA

Appointed Managing Director/CEO:
November 2024

Skills & Experience:

Mr Pallewatte holds a Master of Business Administration (MBA) degree from Postgraduate Institute of Management

(PIM), University of Sri Jayewardenepura, Sri Lanka and earned his Bachelor of Science – Management (Hons) degree from University of London, London School of Economics (LSE). He has been admitted to the designation of Certified Financial Risk Manager (FRM) by Global Association of Risk Professionals (GARP) and also an "ACI Operations Certificate" Holder covering Treasury Operations from Financial Markets Association, France. Moreover, he is a "Sustainability and Climate Risk" (SCR) Certificate holder too from GARP, and a Fellow Member of Chartered Institute of Management Accountants - UK and a Chartered Global Management Accountant (CGMA).

Mr Pallewatte is a qualified Banking & Risk Management Professional with 29+ years of experience in the banking sector of which 15+ years in Senior/Corporate Management having exposure to the full spectrum of banking covering Credit, Branch Banking, Transformation, Operations, Strategy and Risk Management.

Other Current Appointments:

Mr Pallewatte is the Chairman/Director (NIND/NED) of HNB Investment Bank (Pvt) Ltd and (NED) of Lanka Pay (Pvt) Ltd.

Mr Pallewatte was appointed to the Governing Board of the Institute of Bankers of Sri Lanka (IBSL), the country's apex body for banking education and professional development and also appointed as the Vice Chairman of Asian Bankers' Association at its 41st Annual General Meeting held in Bhutan from 15th – 16th September 2025.

Mr Pallewatte is elected as Vice President/ Director of International Chamber of Commerce in Sri Lanka [ICCSL] as well.

- Board Audit Committee (BAC)
- Human Resources & Remuneration Committee (HRRC)
- Nominations & Governance Committee (NGC)
- Board Integrated Risk Management Committee (BIRMC)
- Related Party Transactions Review Committee (RPTRC)

- Strategy & Investment Review Committee (SIRC)
- Procurement & Assets Disposal Committee (PADC)
- Board Credit Committee (BCC)
- Board Recoveries Committee (BRC)
- Board Technology Committee (BTC)

Previous appointments

Mr Pallewatte had been a Nominee/Stake holder Director of Lanka Financial Services Bureau Ltd, Chairman (NIND/NED) of LVL Energy Fund PLC, Lanka Ventures PLC, (NIND/NED) of HNB Securities Ltd and Alternate Director of Credit Information Bureau of SL (CRIB)

Mr Pallewatte has been appointed to MESANA (Middle East South Asia and North Africa) Regional Advisory Panel of Association of International Certified Professional Accountants (AICPA) for year 2020/21 and MESANA Regional Engagement Panel for 2022/23 by CIMA and elected as Vice Chairman of CIMA Country Network Committee (CNC), Sri Lanka in 2021/22. He has also served as the Chair of South Asia Area Committee of CIMA and AICPA covering countries India, Sri Lanka and Bangladesh for year 2022/23. Mr Pallewatte was a past president of Association of Banking Sector Risk Professionals, also Known as the "CRO Forum". He was also appointed as Chairman of the Technical Committee appointed to recommend technological advancements for Credit Information Bureau of Sri Lanka (CRIB) by Central Bank of Sri Lanka.

Mr Pallewatte was a resource personnel for Institute of Bankers Sri Lanka (IBSL) and Centre of Banking Studies, Central Bank of Sri Lanka (CBSL) and Sri Lanka Institute of Directors (SLID).

Devaka Cooray

Director

*Senior Independent Director
(Independent/Non-Executive Director)*

FCA (SL), FCMA (UK)

Appointed: July 2020 as Independent Director, June 2023 Designated as Senior Independent Director



Skills & Experience:

Mr Cooray is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka and the Chartered Institute of Management Accountants of the United Kingdom.

Other Current Appointments:

Mr Cooray is the Chairman (IND/NED) of United Motors PLC, U M L Property Developments Ltd, U M L Heavy Equipment Ltd, Unimo Enterprises Ltd, Dutch Lanka Trailer Manufacturers Ltd and Dutch Lanka Engineering (Pvt) Ltd. He is also the Managing Director of Management Systems (Pvt) Ltd. He serves as (IND/NED) of HVA Foods PLC, JAT Holdings PLC, George Steuart and Company Limited, the Lighthouse Hotel PLC and Jetwing Symphony PLC. He also serves as NED of The Children Heart Project of Sri Lanka.

Previous appointments

Mr Cooray has worked with Ernst & Young for over 40 years of which 30 years was as a Senior Assurance and Talent Partner. He functioned as the Deputy Managing Partner from 2016 to 2019 and served as a member of Ernst & Young's Management Committee from the time the Management Committee was established in 1998 until his retirement in 2019. He was instrumental in establishing the Ernst &

Young Practice in the Republic of Maldives in 1995 and functioned as the Partner responsible for the overall management of the Maldivian Practice from its inception. He represented Sri Lanka and Maldives for a number of years in the EY ASEAN Regional Partner Forum. He was seconded to EY USA for a year, where practical experience was gained by being part of assurance teams that performed audit engagements on several large enterprises.

Mr Cooray also spearheaded the Ernst and Young Sri Lanka/Maldives Family Business Centre for Excellence which was instrumental in sending several eminent second generation family members to business schools worldwide. He has also served as a member of the Council of the Chartered Institute of Management Accountants UK.

Prawira Rimoe Saldin

Director

Deceased on 16th January 2026

*(Non Independent/
Non-Executive Director)*

FCA (Sri Lanka), ACA (Eng&Wales UK),
FCMA (UK), CMA (Australia)

Appointed: April 2021



Skills & Experience:

Mr Saldin is a Fellow of the Institute of Chartered Accountants of Sri Lanka and an Associate of the Institute of Chartered Accountants of England and Wales. He is also a Fellow of the Chartered Institute of Management Accountants in UK and a Certified Management Accountant, Australia. He is an alumni of the Asian Institute of Management Manila. He has over 30 years of top management level experience in the areas of Finance,

BOARD OF DIRECTORS

Human Resource Development, General Management and Operations.

Prior to being appointed to the Board of Directors of Hatton National Bank PLC, Mr Saldin served as an Alternate Director to Mr R.S. Captain from 26th July 2018 to 2nd April 2021.

Other Current Appointments:

Mr Saldin is currently employed as Director (ED) of Paints & General Industries Limited and Director/Chief Executive Officer of Polypak Secco Limited. He is also the Chairman (NIND/NED) of Chemanex PLC and serves as a Director (NIND/NED) of CIC Holdings PLC. He also serves on the Board of Directors of Akzo Nobel Paints Lanka (Private) Limited, Link Natural Products (Private) Limited, CIC Agri Businesses (Pvt) Ltd and a number of companies in the CIC Group as a Director (NIND/NED). He is the Chairman (NIND/NED) of CISCO Speciality Packaging (Private) Limited. He also is the Chairman (NIND/NED) of Sithma Development (Private) Limited and a Director (NIND/NED) of HNB Assurance PLC.

Previous appointments

Mr Saldin has served as the Commercial Director and Group Finance Director of CIC Holdings PLC for the period 1995-2005. He was the Country Controller & Group Finance Director for Shell Sri Lanka for the period 2005-2010 and also the Group Chief Operating Officer, Browns Group of Companies PLC and the Managing Director of Browns Investments PLC from 2010-2014.

Rasitha Gunawardana Director

(Independent/
Non-Executive Director)

Chartered Management Accountant
of United Kingdom, Chartered Global
Management Accountant, ACI Certified in
Treasury Operations

Appointed: January 2022



Skills & Experience:

Mr Gunawardana is a senior Banker with over 3 decades of experience covering major aspects of Banking. He is a Chartered Management Accountant - UK and has completed ACI Certificate on Treasury Operations conducted by the ACI Financial Markets Association, France.

Other Current Appointments:

Mr Gunawardana is also a Director (IND/NED) of Richard Pieris Finance Ltd.

Previous Appointments:

Mr Gunawardana served as the CEO/General Manager of Peoples Bank during the period 2019-2020. Prior to that, he held a number of corporate and executive level positions, namely, Senior Deputy General Manager (Business Banking), Deputy General Manager (Risk Management), Deputy General Manager (Credit Control) and Assistant General Manager (Treasury Operations).

During this period, he played a major role in improving the Credit and Risk culture of the bank, through introduction of risk-based credit and business policies/procedures.

He held directorships in the following establishments; Peoples Leasing and Finance PLC (NED), Peoples Insurance PLC (NED), Peoples Merchant Finance PLC (NED), Lanka Clear Ltd (Ex-Officio), Institute of Bankers of Sri Lanka (Ex-Officio), Credit Information Bureau of Sri Lanka (CRIB), Peoples Travels Ltd (NED), Peoples Micro Finance Ltd (NED) and Lankan Alliance Finance Ltd - Bangladesh (NED).

He is a founder member of the Banking Sector Risk Officers Association

Dr Prasad Samarasinghe Director

(Non-Independent/
Non-Executive Director)

PhD (Australia), MEng (Sri Lanka), BSc. (Eng.)
Hons (Sri Lanka), CISSP

Appointed: October 2022



Skills & Experience

Dr Prasad Samarasinghe was appointed as a Director in October 2022. He holds a Doctorate in Telecommunications from the Australian National University, Canberra. He also holds a Master of Engineering and a Bachelor of Science in Electronics and Telecommunications with First Class Honours from the University of Moratuwa, Sri Lanka.

Dr Samarasinghe is a Certified Information Systems Security Professional (CISSP) and a Licentiate of Part I and Part II of the Institute of Chartered Accountants of Sri Lanka. He was recognised as a Best Achiever in 1991 for outstanding performance in Financial Accounting, Business Mathematics, Statistics, and Data Processing. He is also an Associate Member of CPA Australia.

- Board Audit Committee (BAC)
- Human Resources & Remuneration Committee (HRRC)
- Nominations & Governance Committee (NGC)
- Board Integrated Risk Management Committee (BIRMC)
- Related Party Transactions Review Committee (RPTRC)

- Strategy & Investment Review Committee (SIRC)
- Procurement & Assets Disposal Committee (PADC)
- Board Credit Committee (BCC)
- Board Recoveries Committee (BRC)
- Board Technology Committee (BTC)

Prior to his appointment to the Board of Directors of Hatton National Bank PLC, Dr Samarasinghe served as an Alternate Director to Mr L. U. D. Fernando from 5 July 2019 to 25 October 2022.

Other Current Appointments

Dr Samarasinghe is the Managing Director/Director of Lanka Bell (Pvt) Ltd since July 2005 and also serves as the Managing Director of Bell Active (Pvt) Ltd and Bell Solutions (Pvt) Ltd since September 2008, and Bellvantage (Pvt) Ltd since April 2021.

He also serves as a Director (NED) of Hayleys Fibre PLC (since September 2017), Director (IND/NED) of Chemanex PLC, and Director (NIND/NED) of HNB Finance PLC. In addition, he serves as an Executive Director (ED) of Pranayapulse (Pvt) Ltd and Praxis Magnus Strategies (Pvt) Ltd.

Previous appointments

Dr Samarasinghe has served as Head of IT at Commercial Bank of Ceylon PLC, where he was responsible for enterprise-wide IT strategy, core banking systems, digital banking platforms, and large-scale technology transformation initiatives.

He has also served as a Director (NED) of E-Channeling PLC, Techno Park Development Co. (Pvt) Ltd, and Maganeguma Road Construction Equipment Company (Pvt) Ltd. He served as an Alternate Director (NED) to Mr L. U. D. Fernando on the Boards of HNB Assurance PLC and HNB General Insurance Limited.

Dr Samarasinghe has further served as a Director (NED) of DCSL Brewery (Pvt) Ltd, Chairman/Director General (ED) of the Sri Lanka Rupavahini Corporation, Commission Member (INED) of the

Insurance Regulatory Commission of Sri Lanka and as a Director (NED) of Lanka Number Portability Services (Guarantee) Ltd.

Nanda Fernando Director

(Independent/
Non-Executive Director)

Senior Fellow - IBSL, MBA

Appointed: April 2024



Skills & Experience:

Mr Fernando is a Senior Fellow of the Institute of Bankers Sri Lanka and possesses a Master of Business Administration from Sikkim Manipal University, India. He is a product of St. Thomas' College, Mount Lavinia. Mr Fernando is a Banker with over four decades of experience in banking. He possesses a proven track record of strategic leadership, business growth, and exceptional financial performance.

Other Current Appointments:

He currently serves as a Business Consultant. He is the Managing Director of Professional Business Consultants (Pvt) Ltd, a company engaged in providing financial planning and advisory services. He is engaged in uplifting productivity in companies, resulting in increased stakeholder benefits.

He is also the Chairman of Assetline Finance PLC. He serves as an Independent Non Executive Director of Haycarb PLC, Dipped Products PLC, Hayleys Fabric PLC, RIL Property PLC and R E D Capital Asia (Pvt) Ltd.

Previous appointments

He provided effective leadership to Sampath Bank, utilising his expertise to drive organisational success and deliver exceptional value to stakeholders. He is also well known for his proven professional skills in Financial Management and Analysis, Business Development, Risk Management and Compliance, Team Leadership and Talent Development, Operational Excellence, Stake Holder Engagement, and Relationship Management. Prior to his current role, Mr Nanda Fernando was attached to Sampath Bank as its Managing Director. He served Sampath Bank for 36 years from the year of its inception.

Sivakrishnarajah Renganathan Director

(Independent/
Non-Executive Director)

FCMA (UK) CGMA, (FLIBF) UK, (FIB - SL)

Appointed: April 2024



Skills & Experience:

Mr Renganathan is a Fellow of the Chartered Institute of Management Accountants UK (FCMA), Chartered Global Management Accountants (CGMA), Fellow of the London Institute of Banking and Finance UK (FLIBF) and Fellow of the Institute of Bankers Sri Lanka (FIB). Mr Renganathan is a senior banker counting over 41 years of experience.

Other Current Appointments:

Mr Renganathan currently serves as a Director (IND/NED) of Sunshine Holdings PLC, Sunshine Healthcare Lanka Ltd, Sunshine Consumer Lanka Ltd, Sunshine Tea (Pvt) Ltd, Healthguard Pharmacy

BOARD OF DIRECTORS

Ltd, Lina Manufacturing (Pvt) Ltd, Agility Innovations (Pvt) Ltd, Janashakthi Insurance PLC, Ceylon Hospitals PLC, SRF Holdings (Pvt) Ltd, Lanka IOC PLC and Marino Leisure Holdings Pvt Ltd. In addition, he is a Consultant at Asian Development Bank.

Previous appointments

Mr Renganathan was the former Managing Director/Chief Executive Officer of Commercial Bank of Ceylon PLC and had held several key positions in the bank during his tenure of more than 41 years. In addition, he has led Commercial Bank's acquisition of the banking operations of Credit Agricole Indosuez in Bangladesh. He was also the Managing Director and a Board Member of the Commercial Development Company PLC and Commercial Bank of Maldives Private Limited as the Deputy Chairman. Mr Renganathan has served among others, as a Member of the General Council of the Institute of Bankers of Bangladesh, Founder President of Sri Lanka Bangladesh Chamber of Commerce and Industry, Executive Member of the Foreign Investors Chamber of Commerce and Industry in Bangladesh, Vice Chairman of the International Chamber of Commerce Sri Lanka, Council member of Employers Federation of Ceylon, Director of the Lanka Financial Services Bureau Ltd, Sri Lanka Banks' Association (Guarantee) Ltd, Executive member of Ceylon Chamber of Commerce and Council for Business with Britain.

Suresh Shah

Director

(Independent/
Non-Executive Director)

FCA (Sri Lanka)

Appointed: May 2024



Skills & Experience:

Mr Shah is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka. His experience includes serving as CEO of two listed entities, extensive involvement in economic and related matters through trade chambers and employer organisations and leading GoSL's SOE reform agenda.

Other Current Appointments:

Mr Suresh Shah is the Chairman (INED) of Ceylon Tobacco Company PLC and a Director (NED) of Carson Cumberbatch PLC, Bukit Darah PLC and The Hill Club Company Ltd and also ED of Natures Trail (Pvt) Ltd.

Previous appointments

Previously, Mr Shah was Director and CEO (ED) of Ceylon Beverage Holdings PLC and Lion Brewery Ceylon PLC a position he held for 30 years. He has also served on several other boards in both executive and non-executive capacities including INED of Hunter & Co PLC and Lanka Canneries (Pvt) Ltd. He was the Chairman of The Ceylon Chamber of Commerce and of The Employers Federation of Ceylon, a Commissioner of The Securities & Exchange Commission of Sri Lanka, a member of Council of the University of Moratuwa and head of the State-owned Enterprise Restructuring Unit of the Government of Sri Lanka.

Dilani Alagaratnam

Director

(Independent/Non-Executive Director)

LLB. LL.M (Colombo, Sri Lanka), Attorney-at-law

Appointed : 31st January 2025



Skills & Experience:

Dilani Alagaratnam is an accomplished Attorney-at-Law of the Supreme Court of Sri Lanka, holding both a Bachelor's and a Master's degree in law from University of Colombo, Sri Lanka. She currently serves as an Independent Non-Executive Director, bringing with her a wealth of experience from various leadership positions across multiple disciplines. Her commitment to professional excellence, coupled with active involvement in several organisations, highlights her dedication to the legal profession and corporate governance.

Ms Alagaratnam's career is distinguished by her expertise in law and her capability in holding numerous senior leadership roles. Her contributions extend beyond corporate responsibilities, as she is actively engaged in several professional organisations, reflecting her broad influence within her field.

Other Current Appointments:

Ms Dilani Alagaratnam currently serves as a Director at the Ceylon Chamber of Commerce-ICLP Alternate Dispute Resolution Centre, Women's Fund Asia, Women's Fund Asia Limited Australia and Kalyana SL Guarantee Private Limited. In addition, she is a member of the Legislation Sub Committee of the Ceylon Chamber of Commerce, the Gamini Corea Foundation and the Alumni Association

- Board Audit Committee (BAC)
- Human Resources & Remuneration Committee (HRRC)
- Nominations & Governance Committee (NGC)
- Board Integrated Risk Management Committee (BIRMC)
- Related Party Transactions Review Committee (RPTRC)

- Strategy & Investment Review Committee (SIRC)
- Procurement & Assets Disposal Committee (PADC)
- Board Credit Committee (BCC)
- Board Recoveries Committee (BRC)
- Board Technology Committee (BTC)

of Faculty of Law, University of Colombo. She also holds the role of Ombudsperson for South Asia Gateway Terminals (Pvt) Limited.

Previous appointments

Ms Alagaratnam commenced her tenure at John Keells Holdings in 1992 and at the time of her retirement in December 2019 she was a member of the Group Executive Committee. She held Group-level responsibility for Legal & Secretarial functions, Human Resources, Enterprise Risk Management, Sustainability and CSR, Group Sourcing, and also for the business of John Keells Office Automation. Her directorships included several subsidiaries of John Keells Holdings PLC, encompassing listed companies. Additionally, she served as a director at the Information and Communication Technology Agency of Sri Lanka and was an advisory committee member of the State-Owned Enterprises Restructuring Unit. She has also contributed as a Council Member of the Sri Lanka Institute of Directors and as a member of the National Labour Advisory Committee.

Ms Dilani Alagaratnam has been honoured as a Career Woman Role Model by Women in Management and recognised as one of the most powerful women in Sri Lanka by Echelon Magazine, among other accolades.

Shiromi Halloluwa Company Secretary

Appointed: January 2023

Joined Hatton National Bank PLC in June 2000.

Skills & Experience:

Law, Banking and Finance, Securities Regulations, Company Secretarial Practice.

She is an Attorney-at-Law who counts over 25 years of service in the Bank and has completed 30 years of practice in the Legal Profession.

Other Current Appointments

Senior Vice President/Board Secretary of HNB PLC and a Member of the Bar Association of Sri Lanka, Association of Corporate Lawyers - Sri Lanka, Colombo Law Society and the Association of Board Secretaries of Banks in Sri Lanka.

Previous appointments

Previously Ms Halloluwa was the Assistant General Manager (Legal) of the Bank. She served as the Company Secretary of HNB Assurance PLC (2012 January – 2016 September), HNB General Insurance Limited (Initial Company Secretary) and HNB Finance PLC (2014 November to 2017 January).

CORPORATE MANAGEMENT



Damith Pallewatte

Managing Director/Chief Executive Officer

MBA (PIM-SJP), BSc Mgt (Hons), London School of Economics, FCMA (UK), CGMA, FRM®, ACI, SCR ®

Sanjaya Wijemanne

Senior Executive Vice President/Chief Operating Officer

BSc Business & Finance (Mount Saint Mary's University, USA)

Ruwan Manatunga

Executive Vice President/Chief Risk Officer

FCMA (UK), CGMA, FCA (Sri Lanka)

Niroshana Seneviratne

Executive Vice President/Chief Internal Auditor

Attorney at Law, FCA, FIB, CPA, CISA (USA), PhD (Economics)

Arjuna Abeygunasekara

Executive Vice President/Chief Treasurer

MBA (Colombo), BSc (Colombo), FCMA (UK), CGMA, ACI

Nirosh Perera

Executive Vice President/Chief Recovery & Rehabilitation Officer

MBA (Manipal), Dip in Marketing - LBS (SL)

Rajive Dissanayake

Executive Vice President/Head of SME & Micro Finance

CFA (USA), FCMA(UK), CGMA, BBA (Colombo)

Listed in standing order from left to right.



Hisham Ally

Executive Vice President/Head of Islamic Banking
MIM (Sri Lanka), ACSI (CISI)

Bimal Perera

Executive Vice President/Chief Growth Officer
BBM - Finance (Bangalore, India),
CFA Charterholder (USA), Certified FRM (GARP)

Chandima Cooray

Executive Vice President/Chief Innovation Officer
BSc (Hons) in Information Systems (Manchester Metropolitan University UK),
PGD in Entrepreneurship and Circular Economy (University of Bradford, UK)

Melody Wickramanayake

Executive Vice President/Chief Legal Officer
Attorney-at-Law (Honours) & Notary Public, Company Secretary,
Masters in Commercial Law (UOC), Commissioner for Oaths

Supun Dias

Executive Vice President/Head of Network Business
MCIM (UK), MSLIM, Chartered Marketer, Dip in Marketing (UK)

Sivarajah Nandakumar

Executive Vice President/Chief Business Operations Officer
MBA (Sri J), AIB (SL)

Tyrone Hannan

Head of Custody and Trustee Services
MBA (Aus)

CORPORATE MANAGEMENT



Majella Rodrigo

Senior Vice President/Head of Wholesale Banking
ACMA (UK), CGMA, MBA (Colombo), BSc (Colombo)

Indrajith Senadhira

Senior Vice President/Head of Services
BA (Sri J), MALS (Colombo), LLB (SL), Attorney-at-Law,
Dip in Marketing (SLIDA), Dip in Credit Mgmt, (SLICM), ACIPM
(Retired w.e.f. 11th December 2025)

Kanchana Karunagama

Senior Vice President/Head of Retail Banking
MBA (Sri J), AIB (SL), FCIM (UK), AICM (SL)

Kailaivasan Indravasan

Senior Vice President/Chief Human Resource Officer
MBA - Finance (Aus), CMA (Aus), AIB (SL)

Vijaya Vidyasagara

Senior Vice President/Chief Credit Officer - Wholesale Banking
MBA - Finance (Colombo), AIB (SL), AICM (SL)

Dilunika Jayasinghe

Senior Vice President/Chief Credit Officer - SME & Retail
MBA - Finance (USQ, Aus), FCA (SL), BSc (Colombo), ACSI (UK)

Priyanka Wijayaratne

Senior Vice President/Chief Strategy Officer
MBA (Sri J), ACMA (UK), CGMA, BSc (Colombo)

Listed in standing order from left to right.



Chammika Weerasinghe

Senior Vice President/Head of Digital Business

MBA (Sri J), MCIM (UK)

Neil Rasiah

Senior Vice President/Chief Compliance Officer

MBA - Finance (USQ, Aus), MA - Financial Economics (Colombo), BSc (Colombo), AIB (SL), Dip in Int Trade (IBSL), FCAP

Anuradhi Delage

Senior Vice President/Chief Financial Officer

FCA (SL), ACMA (UK), CGMA, FCPA, BSc Accountancy (Sri J)

Suresh Emmanuel

Senior Vice President/Chief Information Security Officer

MBA (Cardiff - UK), MBCS (UK), NCC-IDIC (UK), CISM (USA), CISA (USA), CDPSE (USA), CDP, SIEM 101, CPCISI, ITIL LV 3 (USA), ISO 27001 LA, ISO 9001 LA, DISSCA, BSC Computer Science (IIC Uni), CISSP(USA)

Shiromi Halloluwa

Senior Vice President/Board Secretary

Attorney-at-Law & Notary Public, Company Secretary

Manojith Weerasuriya

Senior Vice President/Head of Corporate Banking

B.Com (Deakin), M.AppFin (Monash), CFTP (Aus), F.Fin (FINSIA), Executive Education (Harvard Business School & Oxford Said)

Pasindu Dharmasiri

Senior Vice President/Head of Global Transaction Banking

BSc (Hons) - IT (London Metropolitan Uni - UK), MSc (IT) - (Charles Sturt Uni - Aus)

SENIOR MANAGEMENT



Tissa Nanayakkara
Head of Card Operations



Sothiratnam Mathanan
VP - SME Credit Underwriting
MBA (Aus), FABE (UK)



Rajeew Rajaratnam
VP - IT Project Delivery & Portfolio Management
AIB (SL), MSc in IT (UK)



Somaskandasarma Narenthiran
VP - SME Credit Underwriting
MBA (UK)



Sampath Kukulevithana
VP - Recoveries
MBA (Manipal), Dip in Marketing (UK)



Viranga Gamage
VP - Deposits
LLB (SL), MBA (Colombo), Attorney-at-law



Murtaza Normanbhoy
VP - Internal Audit
FCA (SL), FCMA (SL), ACCA (UK)



Udara Pathinayake
VP - Leasing
MBA (Uni of Preston - USA)



Damian Ranjit
VP - Regional Credit Head - Colombo Region
PG Dip in Business & Financial Administration (ICASL), AIB (SL)



Dilanka De Silva
VP - Head Office Branch
ACIM (UK), AIB (Int. IBSL), Registered Investment Advisor (SEC)



Suranga Peiris
VP - Emerging Corporates
MBA - Finance (USQ, Aus), ACMA (UK), CGMA, AIB (SL)



Chamara Gunawardena
VP - Digital Deliveries & Enterprise Software
PG Dip in Computer Science (Colombo), BIT (Colombo)



Roshan Fernando

VP - Banking Services

MBA (Colombo), BSc Eng (Hons) (Moratuwa),
MIET (UK) – Director/Chief Operating Officer
– Sithma Development (Pvt) Ltd



Rukshan Senaratne

VP - Centralised Credit Operations

MBA (Malaysia)



Gauthami Nirnanjan

VP - Cards

CMA (SL), MBA (Edith Cowan University - Aus)



Angelina Dharmaraj

VP - Centralised Credit Administration

MBA (UK), AIB (SL)



Susith Perera

VP - Personal Financial Services

AIB (SL)



Bandula Monnekulama

VP - Regional Business Head - Central Region

NDT - Agriculture (HTTI)



Deepal Udukumbura

VP - Agri Business

N Dip Technology (Hardy TTI),
PG Dip Management (Rajarata)



Natasha Hay

VP - Institutional Banking

MBA (Edith Cowan University Aus), Certified Specialist
in TRY & FX Operations



Daphne Gamage

VP - Remittances

MBA (UK)



Michelle De Silva

VP - Private Banking

Professional Certified Coach (ICF),
Investment Advisor (SEC)



Roshantha Jayatunge

VP - HC Strategy

MSc Business Psychology (London Metropolitan
University - UK), Professional Certified Coach
(International Coaching Federation), NLP Business
Practitioner, AIB (SL), MCPM (SL)



Sohan Fernando

VP - Regional Business Head - Colombo Region

MBA (Cardiff - UK), DFBM (IBSL), DCM (IBSL)

SENIOR MANAGEMENT



Mahinda Seneviratne

VP - Micro Finance

MBA (Cardiff - UK), Dip in Agri (SLSA)



Vajira Abeysundera

VP - Fx Trading & Customer Sales

ACMA (UK), CGMA, BA Hons (Northumbria, UK),
Master of Financial Economics (Colombo), AIB (SL)



Rozanne De Almeida

VP - Trade

AIB (SL)



Nimesha De Silva

VP - Legal Corporate Affairs

LLB, LLM, Attorney-at-Law



Chaminda Dheerasinghe

VP - Legal Recoveries

MBA, LLM, LLB, Attorney-at-Law



Sattiamoorthy Amalan

VP - Regional Business Head - Colombo Central Region

Dip in Business Management (ACHE), MBM - Finance
(University of Southern Queensland, Aus), CMA (Aus)



Roshan Anuradha

VP - Operations

MBA (UK)



Upul Adikari

VP - Marketing & Corporate Communication

MBA (Sri J), Chartered Marketer, FSLIM (SL)
MCIM - (UK), P Mkt (SL)



Dileepa Samayawardena

VP - Chief Data Officer

MSc Big Data Analytics (UK), BSc Statistics (Special),
Executive Education (Harvard Business School),
CIMA (UK)



Mayanthi Kamburugamuwa

VP - Project Finance

LLB, MBA, CIMA



Aruna Sumanasinghe

AVP - Application Management

MBCS (UK)



Siddique Faleel

AVP - Recoveries

MBA - Finance (USQ, Aus)



Amila Ranasinghe

AVP – MI & Analytics
ACMA (UK), CGMA



Shalindra Karunaratne

AVP - Regional Credit Head
- North Western Region



Manoj Pitadeniya

AVP - Centralised Credit Monitoring
AICA (UK), AICM (UK), AICM (SL), DCM (ICMSL)



Lalindra Tissera

AVP/Branch Manager - City Office Branch
MBA (Colombo), ACMA (UK), CGMA, MCIM (UK),
AIB (SL)



Rohana Amarasiri

AVP - IT Cards & Payment Systems
BSc. in Physical Science (Sri J), MBCS (UK)



Vathulan Ganeshan

AVP - Pawning



Rajitha Wijenayake

AVP - Regional Business Head - Southern
Region
NDES (Mechanical Engineering)



Prasad Tennakoon

AVP - IT Infrastructure Operations
MBA (Wales, UK), MBCS (UK), IT Diploma (Tech, SL)



Ajith Kandaramage

AVP - IT Procurement
BSc in Computer Networks & Systems Security (North
West, USA), MBCS (UK)



Sujeewa Jayasinghe

AVP - Regional Operations Head - Colombo
Region
AIB (SL), MBA - Finance (Colombo)



Harsha Wickramasinghe

AVP - Network Channel Management
MBA (Cardiff - UK)



Chaminda Abeyasinghe

AVP - Analytics
Dip in Computer Programming, System Analysis
& Design, Masters in Information Technology
(University of Keele, UK), MBCS (UK), ACS (Aus)

SENIOR MANAGEMENT



Eshan Jayaratna

AVP - Regional Business Head
- South Western Region
LLB (Buckinghamshire New University)



Nithiyanantham Kethiswaran

AVP - SME
AIB (SL), CMA (Aus), CIMA Adv Dip in MA



Nadun Gomes

AVP - IT PMO
AIB (SL), DCM, MBA (Manipal), PMP (USA)



Nishanthan Karunairaj

AVP - Regional Business Head
- Northern Region



Azyan Hameed

AVP - Card Systems
B.Sc. (MIS), ACMA (UK), MBCS (UK), Higher Dip. in
Computer Based Information Systems (NIBM SL)



Gayathri Ganeshan

AVP - Talent Development
AIB (SL), ACMA (UK), MAFE (Colombo)



Iranjan Fernando

AVP - Regional Operations Head - Greater
Colombo/North Central Regions
MBA (CMU), Diploma in Credit Management (IBSL)



Duminda Premathilake

AVP/Branch Manager - Bambalapitiya Branch



Sumathy Subramaniam

AVP/Branch Manager - Wellawatte Branch



Diva Devasagayam

AVP - It Security & Assurance
MBCS (UK), ISO/IEC 27001 Lead Auditor



Samuddika Mendis

AVP - Business Development
AIB (SL), MBA (Cardiff Metropolitan, UK), CMA (UK)



Senarath Nagahapitiya

AVP - Regional Business Head - Rajarata Region
DPHRM (CIPM), Dip in Agri. (SLSA),
Certificate in Financing Micro Enterprises (IBSL)



Lasitha Ranatunga

AVP - Regional Business Head - Greater Colombo Region

AIB (SL), MSc in Management (Sri J.),
Dip in Credit Management (IBSL)



Eranga Abeywickrama

AVP/Branch Manager - Nugegoda Branch
MBA (Cardiff), Dip in Credit Management (IBSL),
Dip in Digital Marketing (DDM - SLIM)



Krishan De Silva

AVP - Regional Business Head - Sabaragamuwa Region

MBA (Cardiff UK), AIB (SL), CQHRM (CIPM-SL),
Dip in Marketing (LBS)



Nirosh Edirisinghe

AVP - Regional Business Head - North Western Region

MBA (USJP), ACMA (UK), CGMA, ASA (Aus),
ACSI (UK), AIB (SL)



Chamin Kodikara

AVP - Regional Business Head - Western Metro Region

MBA (Anglia Ruskin), BSc



Palitha Vasana

AVP - Electronic Banking Systems

BSc (Colombo)



Bertie Mariathas

AVP - Regional Operations Head - North Western Region



Rajiv Gamage

AVP/Branch Manager - Pettah Branch

MBA (Cardiff - UK)



Saman Perera

AVP/Branch Manager - Negombo Branch

MBA (London Metropolitan Uni)



Remigius Peiris

AVP/Branch Manager - Ja Ela Branch



Dhillshani Hallock

AVP - Centralised Operations

MBA (UK)



Kumudu Liyanage

AVP - Regional Business Head - North Central Region

MBA (Suffolk Uni.), Prof Dip in International Business
(Scqf Level 11)

SENIOR MANAGEMENT



Chaminda Suduarachchi

AVP/Branch Manager - Rajagiriya Branch



Shyam De Silva

AVP - Centralised Trade Operations
AIB (SL)



Indika Ekanayake

AVP - Regional Credit Head
- North Central/Rajarata Regions

MBA (Specialised in Marketing-Sikkim Manipal), Dip in Credit Management, CBF, Dip in Business Finance and Bank Management (IBSL), MABE (UK)



Sivapalan Suresh Kumar

AVP - Regional Credit Head - Colombo Central/
Western Metro Regions

MBA (London Metropolitan University-UK), AIB (SL)



Pramith Ponnampuruma

AVP - Corporate Banking - Large
Conglomerates

MBA Finance (PIM - Sri J), AIB (SL)



Dinal Fernando

AVP - Operational Risk

MBA (Aus), DBIRM (IBSL), CBF (IBSL)



Raman Jeikumara

AVP - Financial Accounting,
Reporting & Taxation

ACA (SL), ACCA (UK),
B.Sc. Financial Management (Sabaragamuwa)



Savanthi Gunasekera

AVP - Corporate Banking
- Multinational & International Corporates

ACMA (UK), CGMA, B.Sc. (Hons)
Business Administration (Sri J)



Segarajasegaram Sathiyaseelan

AVP - Regional Business Head
- North Eastern Region

MBA(SL), MA Development Studies (SL), BSc (Hons) in Agriculture (SL), PG Dip in Public Administration (SL), PG Dip in Professional Marketing (CIM-UK)



Ruwan Fernando

AVP - Finance Operations

ACA (SL), B.Sc Accountancy (Sri J)



Dinethi Liyanage

AVP - Legal Advisory

Attorney-at-Law, BA (Kelaniya), LLM (Wales), MBA (Cardiff Met), Post Attorney's Dip in Banking & Insurance Laws



Deepal De Silva

AVP - Compliance

MBA (UK)



Dilan Wijerathne

AVP - Innovation Studio

MSc in Cyber Security (UK), BSc (Hons) in Software Engineering (OUSL), Dip in Computer Science, Nanotechnology : A maker RNN USA, MIT GSL, CLSSYB



Uthpala Pinnaduwaheewa

AVP - Customer Experience/CXO

MBA (Northampton), Certified Professional Marketer, DBFBM (IBSL), P Dip in Marketing



Blane De Silva

AVP - HC Business Partnering



Ryan Dunuwille

AVP - Regional Business Head - South Eastern Region

MBA, AIB (SL), Certified Coach – NLP



Ravi Fernando

AVP - Corporate Banking - Large Local Corporates

AIB (SL), MBA (Aus)



Sanka Illeperumachchi

AVP - FI Trading & Customer Sales



Kosol Welungoda

AVP - Corporate Banking - Large Local Corporates

BSc. Accountancy Special (USJP)



Praveen Coorey

AVP - Corporate Banking - Large Local Corporates

MBA (UK), BSc Accounting & Finance, CIMA



Mikail Mushin

AVP - Strategic Investment & Funding

BSc Economics & Management, CFA



Dulika Ariyaratne

AVP - Legal Operations

Attorney at Law



Charith Rodrigo

AVP - ALM & FTP

ACA (SL), BSc Accounting Special (Sri J), Certified Specialist in Treasury & FX Operations (CBSL)

CHAIRMAN'S INTRODUCTION TO CORPORATE GOVERNANCE



"At HNB, we have always understood the importance of a well-structured Board and continue to work towards maintaining the appropriate balance of skills, experience, independence, and diversity to support effective decision-making."

Mr Nihal Jayawardene, Chairman

As a Domestic Systemically Important Bank (D-SIB) in Sri Lanka, the effectiveness of HNB's governance framework is fundamental not only to the Bank's resilience and long-term sustainability, but also to the stability and integrity of the Country's financial system.

Accordingly, the HNB Board acknowledges its responsibility to exercise strong stewardship, independent oversight, and sound judgement in discharging its fiduciary and regulatory obligations. In this context, the Board is committed to continuously strengthening the Bank's governance architecture to ensure it remains responsive to the expectations of regulators, shareholders, depositors, and other key stakeholders.

Board Changes

At HNB, we have always understood the importance of a well-structured Board and continue to work towards maintaining the appropriate balance of skills, experience, independence, and diversity to support effective decision-making. In this regard, the composition of HNB continued to evolve in 2025.

I am particularly pleased to note that our recent efforts to improve gender diversity at Board level culminated in the appointment of Ms Dilani Champika Alagaratnam Goonatilleke to the HNB Board with effect from 31st January 2025.

Further, in compliance with statutory requirements and as stipulated by the Bank's Articles of Association requiring 1/3 of the Board to retire by rotation,

Mr Wanniarachchi Mudiyansele Madura Duminda Ratnayake and Mr Prawira Rimoe Saldin, both retired at the 56th AGM held on 27th March 2025, and being eligible, were re-elected with the approval of the shareholders.

The year also witnessed the resignations of Mr Wanniarachchi Mudiyansele Madura Duminda Ratnayake, with effect from 30th May 2025, and Mr Kahandawela Arachige Kithsiri Perera Gunawardena, with effect from 30th July 2025. The Board places on record its appreciation for their service and contributions during their tenure.

The untimely demise of Mr Rimoe Saldin on 16th January 2026 has created a void in the Bank and steps are being taken to fill the vacancy thereby caused. He was an asset to the organisation and served the Bank with distinction for many years in several capacities, including as Chairman of Sub-Committees such as the Board Integrated Risk Management Committee (BIRMC) and Board Procurement and Assets Disposal Committee (BPADC). His absence would be deeply felt as a well informed and a focused Director who displayed his commitment and ability in discharging his duties as a responsible Director. The Board places on record its deep appreciation of the significant contribution made by Mr Saldin during his tenure.

Board and Key Management Succession Planning

Succession planning is seen as a critical governance responsibility of the Board, with oversight delegated to the

Nominations and Governance Committee (NGC). The NGC is entrusted with the responsibility of establishing a structured succession plan for the Managing Director/ Chief Executive Officer and other Key Management Personnel to ensure continuity of leadership and effective management oversight.

The NGC continuously reviews succession planning arrangements, including the identification of skills, experience, and competency requirements both at the Board level as well as among the KMPs. Following its 2025 review, the NGC recommended several enhancements to strengthen succession planning procedures relating to the MD/CEO, KMPs, and Directors of the Bank. These recommendations were approved by the Board on 26th September 2025.

Policy Development

Ongoing improvements to the Bank's governance architecture in 2025 saw the Board approve a series of updates to the Policy on Matters Relating to the Board of Directors and the Policy on Internal Code of Business Conduct and Ethics, specifically to introduce stricter provisions governing conflicts of interest, independence of Directors, and professional conduct among Directors, as well as between Directors and Key Management Personnel (KMPs). The revised safeguards which reflect the evolving regulatory expectations for licensed commercial banks aim to ensure that no individual Director or a group of Directors exercises undue influence over Board deliberations, thereby preserving the

independence, objectivity, and integrity of the Board's decision-making process.

Remuneration Practices

As part of the ongoing commitment to maintaining robust, transparent, and accountable remuneration practices, the Board undertook a comprehensive review of HNB's Policy on Remuneration during the year. This review was prompted by the requirements of Banking Act Direction No. 05 of 2024 on Corporate Governance issued by the Central Bank of Sri Lanka and resulted in the introduction of a formal clawback mechanism. The revised policy was approved by the Board on 26th September 2025 and implemented with immediate effect. In line with this enhancement, the clawback provisions were duly incorporated into the employment contracts of the Chief Executive Officer and all Key Management Personnel, including existing incumbents, with effect from 30th November 2025, thereby creating a direct linkage between performance outcomes and long-term value creation.

Promoting Stakeholder Trust and Transparency

In line with the Board's commitment to timely, accurate, and transparent disclosures to stakeholders, the Bank continued to expand the policy disclosures initiated in 2024, where several key governance-related policies were published on the Bank's corporate website to enhance public accessibility and transparency. Building on this initiative, the Policy on Corporate Governance, Nominations and Re-Election were published on the Bank's website on 1st October 2025, in compliance with the Listing Rules of the Colombo Stock Exchange.

Annual General Meeting

The Bank's 56th Annual General Meeting, held on 27th March 2025, provided shareholders with the opportunity to engage directly with the Board and senior management on the Bank's performance, governance, and strategic direction. I believe the high level of shareholder participation and engagement at the AGM, further validates our commitment to openness, accountability, and effective shareholder communication.

Declaration

I wish to declare that HNB's Board of Directors, Key Management Personnel and all Employees of the Bank have endeavoured to discharge their duties in compliance with the Banking Act Directions on Corporate Governance issued by the Central Bank of Sri Lanka (CBSL) and the Listing Rules of the Colombo Stock Exchange (CSE), the Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka and all other applicable regulations as well as the Bank's internal constitutional frameworks.



Nihal Jayawardene
Chairman

Colombo, Sri Lanka
25th February 2026

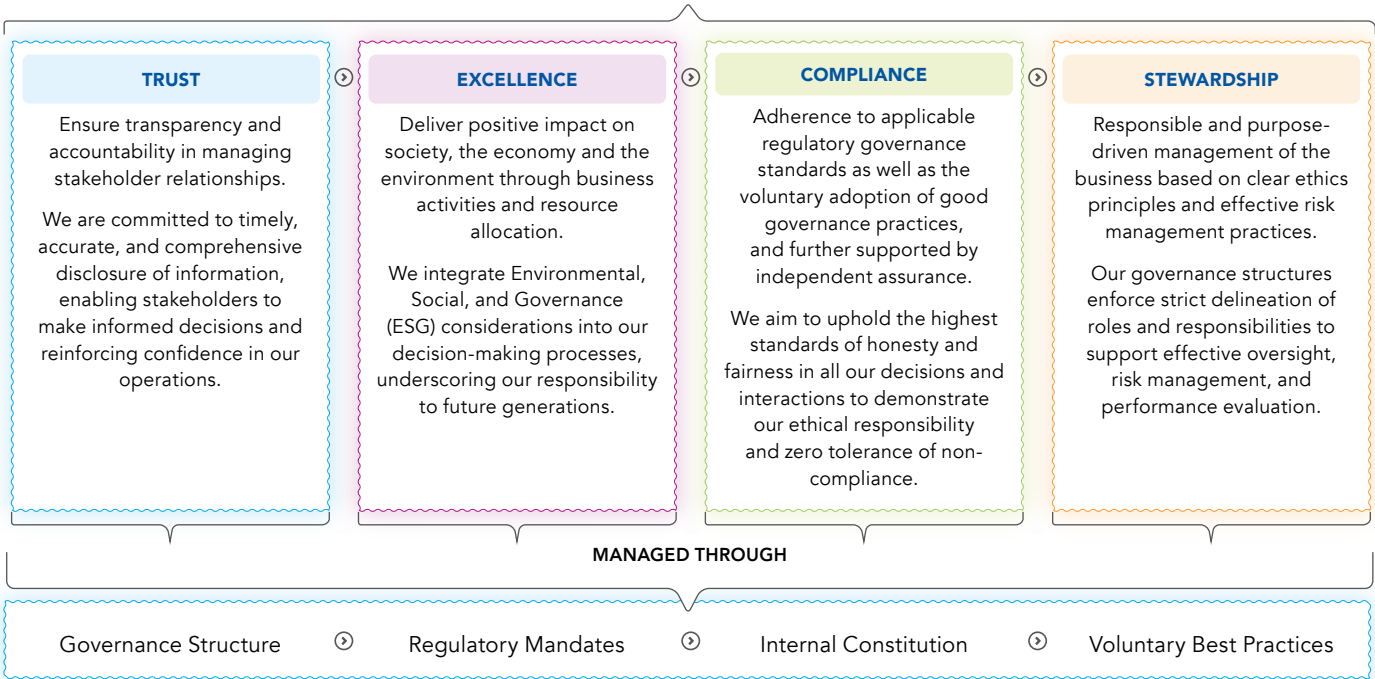
CORPORATE GOVERNANCE

Creating Value through Corporate Governance

Corporate governance is at the heart of HNB’s operational conduct and as such plays an anchoring role in ensuring all business functions operate ethically and with utmost integrity in order to preserve the trust of stakeholders.

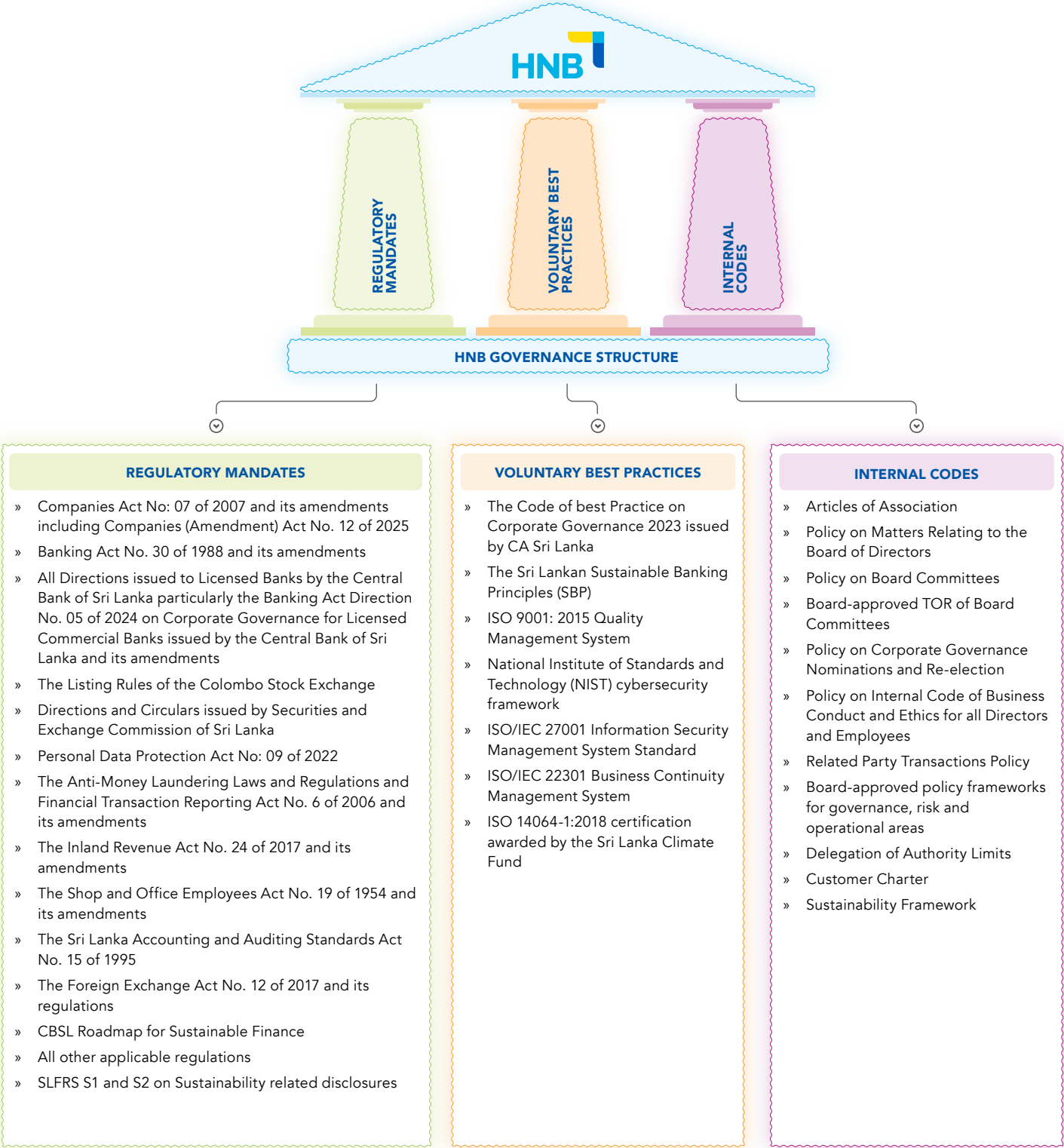
This commitment is further amplified owing to HNB’s status as a Domestic-Systemically Important Bank (D-SIB) which carries with it the added responsibility of upholding the stability and credibility of the nation’s financial system.

OUR CORPORATE GOVERNANCE PHILOSOPHY IS BASED ON THE FOLLOWING KEY COMMITMENTS



Corporate Governance Philosophy

Our corporate governance philosophy advocates integrated thinking and informed decision-making, to balance the achievement of the Bank’s strategic priorities over time while reconciling the interests of stakeholders and the wider society. This philosophy is embedded in our governance framework, policies, and practices, and is continuously reviewed to align with evolving regulatory standards, stakeholder expectations, and global best practices.

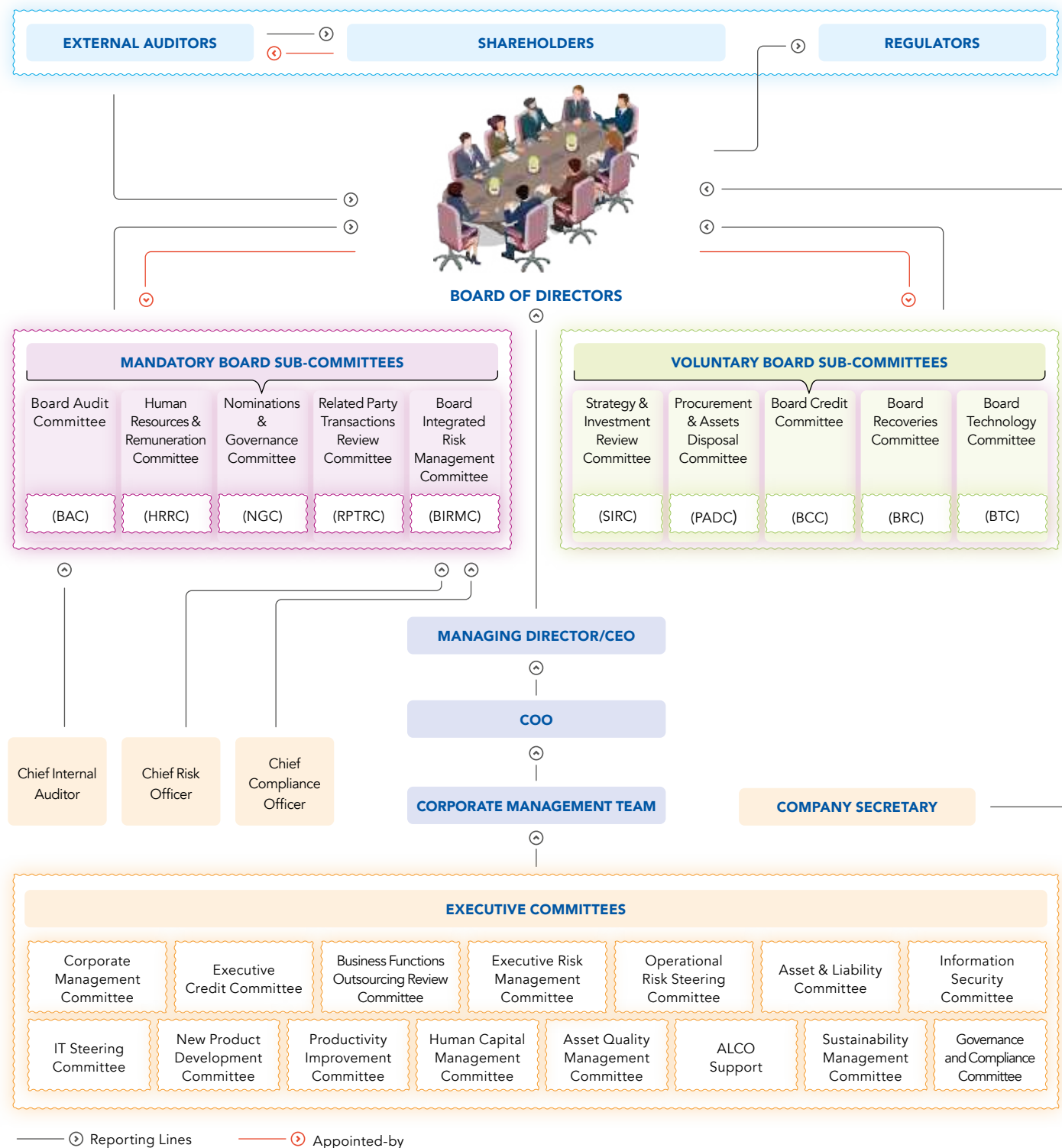


CORPORATE GOVERNANCE

Governance Structure

HNB's well-defined governance structure is designed to support value creation and preservation while guarding against value erosion.

The Board-approved governance structure provides clear direction to support responsive decision making and drive responsible behaviour at all levels of operation across the Bank.



Policies and Procedures reviewed and updated by the Board in 2025

Focus Area	Link to Strategy	Stakeholders Impacted
» Policy on Classification of Financial Instruments and Impairment Assessment of Financial Assets	Business Growth	Shareholders Regulators
» Policy on complying with Shareholder Restrictions in the Banking Act and handling KYC/AML Requirements for Shareholders		
» Treasury Policy Version XV		
» Loan Review Mechanism Policy		
» Integrated Stress Testing Policy		
» Risk Management Framework Policy	Customer Experience and Productivity	Customers Employees Suppliers & Business Partners
» Policy on Outsourcing Business Operations		
» Operational Risk Management Policy	Technology Enablement	Customers Employees Regulators
» Information Security Policy		
» Information Technology Service Management Policy		
» Information Technology Recovery Policy		
» Business Continuity Management System (BCMS) Policy and Business Continuity Plan (BCP)	People Development	Employees Directors
» Policy on Matters Relating to the Board of Directors		
» Procedure to appoint Directors MD/CEO, CEO, and KMPs		
» Appointment process of Alternate Directors		
» Policy on Internal Code of Business Conduct and Ethics		
» Remuneration Policy		
» Promotion Policy	Business Sustainability	Community Environment Customers
» Disciplinary Policy		
» Environmental and Social Policy	Business Sustainability	Community Environment Customers
» ESG Policy		
» Investment Policy	Business Sustainability	Investors

CORPORATE GOVERNANCE

BOARD MEETING HIGHLIGHTS

Date	Action
January 2025	» Acquisition of remaining 50% stake in Acuity Partners (Private) Ltd (A joint venture between HNB and DFCC Bank PLC). Following the successful acquisition, Acuity Partners (Private) Ltd has now become a fully owned subsidiary of HNB and was rebranded as HNB Investment Bank (Pvt) Ltd » The Board approved the appointment of a female Director to the HNB PLC Board - Ms Dilani Champika Alagarathnam Goonathilake w.e.f. 31st January 2025 » Bank Recapitalisation Strategy-2nd Review » Approved the proposal noting the information tabled by the management that the Bank does not need any further capital infusion in the near future
February 25	» Approval/recommendation of a final dividend to the shareholders (voting & non-voting) for the financial year ended 31st December 2024
March 25	» Approval/recommendation for the amended Articles of Association in accordance with the revised Listing Rules of the Colombo Stock Exchange and the Corporate Governance Directions issued under the Banking Act » Approved the implementation of the revised job titles/designations introduced in line with the HR strategic initiative
April 25	» Based on the recommendation of the Nominations & Governance Committee the Board approved the appointment of a new KMP namely Assistant General Manager – Global Transaction Banking (subsequently named as SVP – Head of Global Transaction Banking) » The Board decided not to proceed with the acquisition of the Bangladesh operations of Bank Alfalah » The Board accepted the resignation of Director MrW.M.M.D.Ratnayake w.e.f. 30th May 2025
May 25	» Based on the recommendation of the Nominations & Governance Committee the Board approved the appointment of Chief Credit Officer - Wholesale Banking Group at the grade of Senior Vice President -lateral movement
July 25	» The Board accepted the resignation of Director-Kahandawela Arachchige Kithsiri Perera Gunawardena- w.e.f. 30.07.2025 » Approved the engagement of a consultancy firm for the development of the Bank's Strategic Plan 2026 - 2030
August 25	» Approved the proposal to issue listed, rated, unsecured, redeemable Senior sustainability bonds
September 25	» Approval for the revised Delegated Lending Authority/Credit Approval structure
October 25	» Engaged with the external consultant in the Diagnostic Phase Findings and Aspiration Setting For Strategic Plan 2026-2030 » Based on the recommendation of the Nominations & Governance Committee the Board approved the appointment of Chief Sustainability Officer at the grade of Senior Vice President - parallel movement
November/ December	» Reviewed presentations made by the external consultant on the Bank's Strategic Plan and deliberated on the effectiveness thereof

THE BOARD OF DIRECTORS

The Role of the Board

Principles A.1.2, D.1

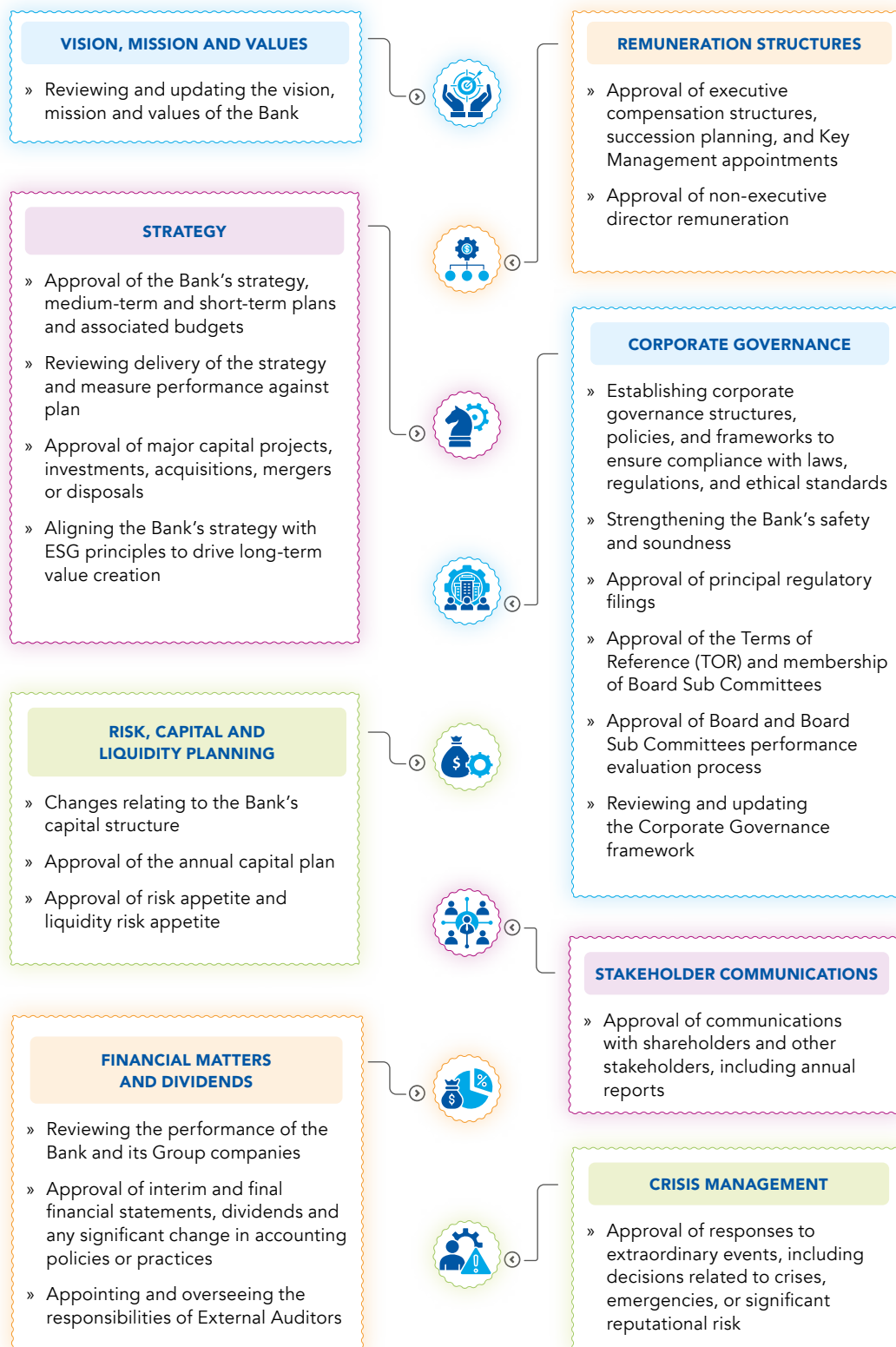
The HNB Board of Directors, as the highest governing body of the organisation, bears the overarching responsibility for upholding the highest standards of corporate governance in order to maintain transparency, accountability and trust towards the Bank's stakeholders.

The duties and responsibilities of the Board are defined by the Bank's Articles of Association which establish the foundational principles to guide the Board towards responsible leadership by steering the Bank towards sustainable growth and long-term value creation.

In this regard, the Board is tasked with ensuring strategic decisions are aligned with the Bank's vision, mission, and core values, while maintaining prudent oversight of risk management, compliance, and internal control systems. The Board is also entrusted with the responsibility of reviewing and updating policies and procedures on an ongoing basis to ensure governance frameworks support the Bank's strategic objectives and reflect changes in the broader operating environment.

The Board is further required to lead by example in promoting a culture of integrity, ethical conduct, and sound decision-making across all levels of the organisation, thereby reinforcing stakeholder confidence and protecting the Bank's reputation and status as a DSIB.

MATTERS RESERVED EXPRESSLY FOR THE ATTENTION OF THE HNB BOARD



CORPORATE GOVERNANCE

Duties and Responsibilities of Individual Directors

Principle D.1

Each Director is expected to act in good faith to safeguard the best interests of the Bank and its stakeholders. All Directors are expected to allocate sufficient time to Board responsibilities and remain fully conversant with the Bank's operations, regulatory obligations, and emerging risks. Every Director is also expected to exercise due care and diligence, as well as contributing their skills and expertise to provide independent and informed judgment in Board deliberations. Additionally, all Directors are required to engage in the annual self-assessment, which is an integral part of the comprehensive Board evaluation process to ensure continuous improvement in Board effectiveness.

Conflicts of Interest

Principles A.10

The Bank has a robust system in place to identify, manage, and mitigate conflicts of interest, ensuring the integrity and independence of its Board and decision-making processes.

All Board Directors are required to transparently disclose actual or potential conflicts of interest. Accordingly, on appointment, and thereafter on a quarterly

basis, all Directors are required to formally declare their direct, indirect, beneficial, and non-beneficial interests in any existing or proposed contracts involving the Bank. This ensures continuous monitoring of any potential conflicts. These declarations are recorded in the Directors' Interests Register, which remains available for inspection as required by Sec. 119 (1) (d) of the Companies Act No 07 of 2007 and amendments thereto. As mandated by law, the register is made available for inspection by shareholders or their authorised representatives.

Oversight of conflict of interest matters fall under the purview of the Related Party Transactions Review Committee (RPTRC), which is tasked with reviewing disclosures made by Directors and recommending appropriate courses of action to the Board to address and mitigate any conflicts in a fair and transparent manner. The Board has implemented a Related Party Transactions Policy, which outlines procedures for granting accommodation to Directors, their close family members, and entities in which Directors hold directorships. These transactions are conducted in compliance with the rules and regulations issued by CBSL, under terms and conditions applicable to other customers of the Bank.

Meanwhile, where a conflict of interest or situations that could potentially lead to a

conflict is noted, the Director concerned is expected to recuse himself or herself from all related Board deliberations and to recuse themselves from participating in meetings where matters in which they have an interest or may appear to exist are being discussed. All such declarations and actions are minuted for future reference.

In 2025, the Board approved several amendments to the Policy on matters relating to the Board of Directors and the Policy on Internal Code of Business Conduct and Ethics, strengthening provisions related to conflicts of interest, Board independence, and relationships among Directors and between Directors and Key Management Personnel (KMPs). These enhancements were designed to ensure that no single Director or a group of Directors exerted undue influence or control over the Board and that interactions were conducted in a manner that upheld the integrity, professionalism, and independence of the governance process.

Affiliations and transactions of Directors are periodically reviewed to ensure that there are no conflicts of interest or relationships that could compromise their independence.

Related Party Transactions are disclosed in Note 60 of the Financial Statements on pages 524 to 530.

The total number of Board seats (excluding directorship in HNB) held by each Director as of 31st December 2025 is summarised below.

Name of Director	Directorship Status	No of Board seats held in Listed Companies		No of Board seats held in Unlisted Companies	
		Executive Capacity	Non-Executive Capacity	Executive Capacity	Non-Executive Capacity
Mr Nihal Jayawardene		-	-	-	-
Mr Damith Pallewatte		-	-	-	3
Mr Devaka Cooray		-	5	1	9
Mr Rimoe Saldin (Deceased on 16th January 2026)		-	3	3	5
Mr Rasitha Gunawardana		-	-	-	1
Dr Prasad Samarasinghe		-	3	5	1
Mr Nanda Fernando		-	4	1	1
Mr Sivakrishnarajah Renganathan		-	4	1	7
Mr Suresh Shah		-	3	1	1
Ms Dilani Alagaratnam Goonatilleke		-	-	-	4

 Non-Independent Non-Executive Director
  Independent Non-Executive Director
  Executive Director

SEGREGATION OF DUTIES AT A LEADERSHIP LEVEL

Principle A.2, A.3

The segregation of duties and responsibilities at the leadership level is designed so that no one individual has unfettered decision making powers, enabling both governance and management functions to be conducted with the highest standards of professionalism and integrity.

At HNB, there is a clear separation of roles between the Chairman and Managing Director (MD)/CEO to ensure the appropriate balance of power and authority in compliance with the Corporate Governance regulations issued by CBSL as well as CSE Listing Rules on Corporate Governance.

Chairman

The Chairman of the HNB Board is Mr Nihal Jayawardene, a Non-Executive Director, who is responsible for providing leadership to the Board and ensuring the Board as well as all Board Committees function effectively and efficiently as per their respective mandates. The Chairman is also responsible for upholding the highest standards of integrity and probity across the Bank and ensuring the Board

remains in full control of the Bank's affairs encouraging active participation from all Directors during Board deliberations. The Chairman also ensures that the Board fulfils its obligations to all stakeholders and maintains open communication channels with the Corporate Management, enabling strategic and operational discussions.

Managing Director (MD)/Chief Executive Officer (CEO)

MD/CEO - Mr Damith Pallewatte is an Executive Director (ED) appointed by the Board to lead the management team in managing the day-to-day operations of the Bank in line with the strategic expectations set by the Board, while ensuring operational efficiency and effectiveness. The MD/CEO is responsible for conducting the Group's affairs in line with the governance principles, integrity, and probity as articulated in the policies set by the Board.

Senior Independent Director (SID)

Principles A.5.7, A.5.8

Given that HNB's Chairman is a Non-Independent/Non-Executive Director, Mr Devaka Cooray (INED) was appointed as the Senior Independent Director (SID) in 2023 in compliance with Direction No. 3(5) (ii) of the Banking Act Direction No. 11 of

2007 on Corporate Governance issued by Central Bank of Sri Lanka. The SID is tasked with ensuring Independent Non-executive Directors carry out their duties effectively.

In 2025, the SID met all Non-Executive Directors, and separately with all Independent Non-Executive Directors without the presence of the Chairman to appraise the Chairman's performance and discuss other significant issues that could be detrimental to the Bank. The SID also held one meeting each with the Executive Director and the Chairman and feedback was given to the NEDs and INEDs. The outcomes of all SID meetings were shared with the Chairman and the Board.

The Statement of the SID is set out on page 265 in compliance with the requirements of the Corporate Governance Rules of Colombo Stock Exchange and the Code of Best practice on Corporate Governance 2023.



CHAIRMAN

- » Setting the ethical tone for the Board and the Bank.
- » Upholding the highest standards of integrity and probity across the Group.
- » Leading the Board in providing strategic oversight and leadership.
- » Presiding over Board meetings and maintaining order to facilitate the effective discharge of the Board's duties.
- » Setting the Board's annual work plan and agenda in consultation with the Company Secretary and MD/CEO.
- » Ensuring the Board receives accurate, timely, and clear information required for informed decision making.
- » Ensuring effective participation and active engagement of all Board members.
- » Maintaining a balance of power between Executive and Non-Executive Directors to ensure the Board remains in full control of the Bank's affairs.
- » Monitoring the effectiveness and performance of the Board of Directors and its Sub Committees.
- » Maintaining stakeholder trust and confidence by ensuring the Board fulfils its obligations to stakeholders.
- » Ensuring regular and effective communication with shareholders and that their views are communicated to the Board.
- » Maintaining open communication channels with Corporate Management to facilitate strategic and operational discussions.

CORPORATE GOVERNANCE



SENIOR INDEPENDENT DIRECTOR

- » Act as a trusted intermediary, who is having independent views, for Non-Executive Directors.
- » Take the initiative in discussing with the Chairman or other members of the Board if it should seem that the Board is not functioning effectively, and it is going through stress.
- » Act as a sounding board for the Chairman and Chief Executive Officer on Board and matters on fellow Directors.
- » Make himself available for confidential discussions with other Directors who may have concerns which they believe have not been properly considered by the Board as a whole and which pertain to significant issues that are detrimental to the Bank.
- » Be the focal point for Board members for any concerns regarding the Chairman, or the relationship between Chairman and the Chief Executive Officer.
- » Meet with Non-Executive Director at least once a year without the Executive Director to discuss matters related to the Board and the Bank and communicate their concerns to the Board and Chairman.
- » Meet the Executive Director at least once a year to discuss governance related matters and communicate their concerns to the Board and Chairman.
- » Participate in meetings with shareholders and be made aware of their concerns.



MD/CEO

- » Leading the Management team in daily operations and implementing Board approved strategies, plans, and budgets.
- » Developing the Bank's strategy for consideration and approval by the Board.
- » Developing and recommending budgets to the Board to support the Bank's strategy.
- » Focusing on achieving the Bank's strategic objectives while ensuring operational efficiency and effectiveness.
- » Monitoring and reporting performance in line with regulatory and policy frameworks.
- » Ensuring the Bank operates within the approved risk appetite.
- » Establishing an appropriate organisational structure for the Bank.
- » Ensuring a culture aligned with the Bank's values and creating a conducive work environment.
- » Providing the Bank with ethical leadership.
- » Ensuring proper succession planning of the Executive Team and assessing their performance.
- » Conducting the Group's affairs in line with governance principles, integrity, and probity set by the Board.
- » Operating within the corporate objectives and authority limits defined by the Board.



COMPANY SECRETARY

- » Ensures Board and Board Sub-Committee meetings are conducted in accordance with the Articles of Association, relevant laws, and regulations.
- » Assisting the Chairman in conducting Board Meetings, AGMs, and EGMs in line with the Articles of Association, Policy on matters relating to Board of Directors and relevant regulations.
- » Ensuring compliance with the Articles of Association, including implementing necessary amendments.
- » Provides full access to advice and services for Directors ensuring proper Board procedures and complies with regulations.
- » Facilitating best practices in corporate governance and assisting Directors in understanding and fulfilling their duties and responsibilities.
- » Facilitating access to legal and independent professional advice in consultation with the Board when required.
- » Facilitates induction of new Directors and continuous professional development.
- » Maintains minutes of meetings and statutory registers and ensures timely statutory filings.
- » Keeps minute books open for inspection by any Director.
- » Monitoring all Board Committees to ensure they are properly constituted with clearly defined terms of Reference.
- » Ensures Board decisions are communicated to the Bank's Management.
- » Monitoring and ensuring compliance with the Listing Rules of CSE including required immediate disclosures and maintaining cordial relationships with CSE.
- » Communicating promptly with regulators to ensure compliance with applicable requirements and maintaining a strong relationship with shareholders.
- » Coordinating the preparation, publication, and distribution of Bank's Annual Reports, accounts, interim financial statements, and the Directors' Report.

Non-Executive Directors (NEDs)

☞ A.1.5, A.5.1, A.5.2, A.5.3, A.5.4, A.5.5, A.5.9

The Board benefits from the collective wisdom and independence of its Non-Executive Directors, whose contributions are essential to maintaining transparency, accountability, and resilience in governance.

NEDs play a critical role in providing an objective perspective to Board deliberations, ensuring that decisions are made in the best interests of the Bank and its stakeholders. Moreover, through their diverse expertise and independence, NEDs contribute to the effective functioning of the Board and the long-term sustainability of the Bank. The NEDs contribute significantly to:

- » **Strengthening Board Independence:** By remaining free from day-to-day management responsibilities, NEDs provide objective perspectives on corporate strategy, performance, and risk.
- » **Enhancing Oversight and Accountability:** They actively participate in Board committees, particularly Audit, Risk, Human Resource & Remuneration, Nomination & Governance and Related Party Transactions Review Committees ensuring robust oversight of financial reporting, internal controls, and executive remuneration.

- » **Offering Strategic Guidance:** Leveraging their experience across industries and sectors, NEDs challenge and support management in shaping long-term strategy and sustainable growth.
- » **Promoting Ethical Governance:** NEDs uphold the highest standards of integrity and corporate responsibility, reinforcing the Bank's commitment to ethical conduct and stakeholder trust.

Non-Executive Directors are expected to exercise sound judgment, uphold the highest standards of integrity and accountability, and ensure that robust governance practices are maintained across the Bank.

To preserve their independence, all Independent Non-Executive Directors are required to be free from any relationships or associations that could materially impair, or be perceived to impair, their ability to act in the best interests of the Bank.

The formal annual meetings of NEDs were held on 14th August 2025 and 09th September 2025, without the presence of the Executive Director. This meeting serves as a forum for NEDs to evaluate the performance of Executive Director and Key Management Personnel (KMP) and to discuss the matters and concerns related to the Bank and the operation of the Board. All feedback and recommendations from

the meeting were shared with the MD/CEO and the Board.

Company Secretary

☞ Principles A.1.3, A.1.4

The Company Secretary plays a crucial role in supporting the Board of Directors and ensuring the effective functioning of the Bank's governance framework. The Company Secretary acts as a trusted advisor to the Board and a guardian of governance integrity, ensuring that the Bank operates in accordance with legal and ethical standards.

Key responsibilities of the Company Secretary include, Board support and coordination, governance advisory, oversight for regulatory compliance, promoting high standards of corporate conduct and facilitating stakeholder communication.

Directors have unrestricted access to the Company Secretary.

Board Sub-Committees

☞ (Principles A.7.1 to A.7.3, A.7.5 & A.7.6, D.2 to D.5)

Board Sub Committees operate under the delegated authority of the Board, to support the Board in executing its oversight responsibilities effectively. To assist in performing its oversight role, the Board has appointed 10 Board Sub-Committees. The Banking Act Directions No. 05 of 2024 on Corporate Governance

Process for the determination of Directors' Independence

DEFINITION

Directors' Independence is defined by the criteria set out in the Banking Act Direction No 05 of 2024 on Corporate Governance issued by the Central Bank of Sri Lanka, Section 9 of the Listing Rules on Corporate Governance of Colombo Stock Exchange and Code of Best Practices on Corporate Governance issued by CA Sri Lanka.

ASSESSMENT

The assessment of the status of independence of the Directors is conducted initially at the time of onboarding new Directors and thereafter quarterly/annually by the Nominations and Governance Committee based on quarterly/annual declarations and other information submitted by Non-Executive Directors and submit recommendations for Board consideration. In terms of Banking Act Direction No 05 of 2024 the assessment has been carried out on quarterly basis w.e.f. 2025.

OUTCOME

The Board is satisfied there are no relationships or circumstances likely to affect or appear to affect Directors' independence during the period under review.

CORPORATE GOVERNANCE

mandates licensed banks to establish five mandatory committees, including the Related Party Transaction Review Committee (RPTRC), effective from 1st January, 2025. However the RPTRC at HNB has been in place since 2014, reflecting the Bank's commitment to the early adoption of the Code of Best Practice on Related Party Transactions issued by the SEC, which later became mandatory.

The remaining Five Committees were formed based on the Bank's business, operational, IT, and strategic needs, as permitted under its Articles of Association. These Committees underscore the Bank's commitment to good governance and operational excellence.

Each Board-Sub Committee operates in accordance with formal Board-approved Terms of Reference (TOR). These TORs clearly define the scope of work, duties and responsibilities, and the roles of the Committee Chair and members.

The Board retains overall responsibility for decisions made by the Committees, ensuring alignment with the Bank's governance framework. Matters arising from Committee meetings are regularly deliberated at Board meetings for information or approval, with any special concerns referred back to the Committees for further clarity. Minutes of Committee meetings are carefully recorded, capturing Directors' views and deliberations on key issues.

Committee TORs were reviewed by the Board and updated as needed. In 2025, the TORs of following committees were reviewed and updated to align with regulatory requirements and capture the Bank's strategic priorities.

Committee TOR Reviewed and Updated during 2025	Changes made
Human Resources & Remuneration Committee	Changes made in line with the provisions of the Banking Act Direction No. 05 of 2024.
Board Integrated Risk Management Committee	Changes made in the "Quorum" for meetings
Board Audit Committee	Changes made were to be in line with the provisions of the Banking Act Direction No. 05 of 2024.
Special Board Committee on Digital Banking	Renamed as Board Technology Committee with a new TOR with an expanded scope covering IT infrastructure, digital platforms, enterprise solutions and information security architecture
Board Strategy & Investment Review Committee	Overlooking and monitoring ESG strategy of the Bank included.
Board Procurement & Assets Disposal Committee (BPADC)	Changes made in Direct Access and Authority and Duties and Responsibilities
Board Credit Committee (BCC)	Changes to the "Composition" of the Committee
	Changes made in the "Quorum" for meetings

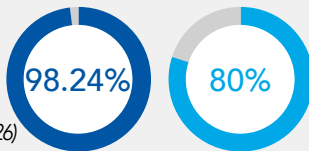
Mandatory Committees

Principles A.7, B.1, B.2, D.3, D.4, D.5

BOARD AUDIT COMMITTEE (BAC)

Membership

Mr Devaka Cooray-Chairman
Mr Rasitha Gunawardena
Mr S. Renganathan
Mr P. R. Saldin (Deceased on 16.01.2026)
Ms Dilani Alagaratnam



Attendance % of committee members who are independent directors

No of Meetings: 12

KEY ACTIVITIES TO PROTECT VALUE

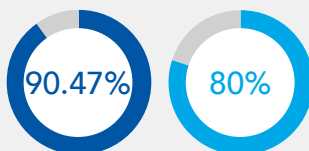
- » Monitor and review adequacy and effectiveness of Internal controls, governance process and financial reporting process
- » Exercise independent oversight of the Bank's assurance functions including internal and external audit
- » Review compliance with relevant legal, regulatory and accounting standards in the preparation of Financial Statements

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NOMINATIONS & GOVERNANCE COMMITTEE (NGC)

Membership

Mr S. Renganathan-Chairman
Mr Devaka Cooray
Mr Nihal Jayawardene
Ms Dilani Alagaratnam
Mr Suresh Shah



Attendance % of committee members who are independent directors

No of Meetings: 10

KEY ACTIVITIES TO PROTECT VALUE

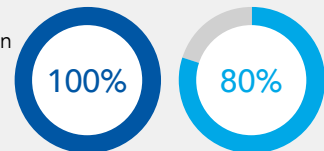
- » Selection and appointment of Directors, MD/CEO and Key Management Personnel
- » Identify skill gaps and recommending of new appointment of Directors to the Board and KMPs
- » Review succession plans of Directors, KMPs and the Bank's critical roles
- » Review the Bank's adequacy of Corporate Governance Framework, policies and skills required to achieve strategic goals

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HUMAN RESOURCES & REMUNERATION COMMITTEE (HRRC)

Membership

Ms Dilani Alagaratnam-Chairperson
Mr Nihal Jayawardene
Mr Rasitha Gunawardana
Mr Suresh Shah
Mr S. Renganathan



Attendance % of committee members who are independent directors

No of Meetings: 6

KEY ACTIVITIES TO PROTECT VALUE

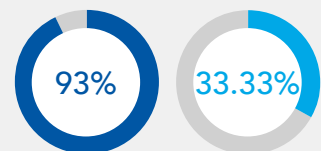
- » Review HR Policies including Remuneration Policy
- » Promote the Bank's values and policy on internal code of business conducts and ethics
- » Review compliance with labour laws
- » Review HR processes including performance evaluation, remunerations, talent management and succession planning

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BOARD INTEGRATED RISK MANAGEMENT COMMITTEE (BIRMC)

Membership

Mr P. R. Saldin-Chairman
(Deceased on 16.01.2026)
Mr Suresh Shah
Dr Prasad Samarasinghe



Attendance % of committee members who are independent directors

No of Meetings: 12

KEY ACTIVITIES TO PROTECT VALUE

- » Establish a Comprehensive Risk Management Framework
- » Monitor and assess effectiveness of the Bank's risk management processes
- » Review compliance with internal risk policy guidelines and relevant regulations including Basel III and SLFRS 9

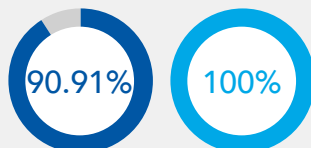
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CORPORATE GOVERNANCE

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE (RPTRC)

Membership

Mr Suresh Shah-Chairman
Mr Rasitha Gunawardana
Mr Nanda Fernando
Ms Dilani Alagaratnam
Mr Devaka Cooray



Attendance % of committee members who are independent directors

No of Meetings: 5

KEY ACTIVITIES TO PROTECT VALUE

- » Review Related Party Transactions Policy
- » Scrutiny of Related Party Transactions
- » Market disclosures on Related Party Transactions
- » Avoidance of conflict of interest

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Non-Mandatory Committees

Principles A.7, B.1, B.2, D.3, D.4, D.5

STRATEGY AND INVESTMENT REVIEW COMMITTEE (SIRC)

Membership

Mr Nihal Jayawardene - Chairman
Dr Prasad Samarasinghe
Mr S. Renganathan
Mr P. R. Saldin (Deceased on 16.01.2026)
Mr Suresh Shah

KEY SKILLS

- » Regulatory compliance
- » Risk management
- » Strategic planning
- » Organisational leadership
- » Operational efficiency
- » Financial risk assessment
- » Financial reporting
- » Internal controls
- » Corporate performance analysis
- » Cost management
- » Budgeting and forecasting
- » Strategic financial planning

KEY ACTIVITIES TO PROTECT VALUE

- » Review of economic climate, capital markets activity
- » Economic and monetary policy direction, emerging trends and their potential impact Investment Policy
- » Review Bank's investment portfolios and their performance

BOARD PROCUREMENT & ASSETS DISPOSAL COMMITTEE (BPADC)

Membership

Mr Nanda Fernando-Chairman
Mr P. R. Saldin (Deceased on 16.01.2026)
Dr Prasad Samarasinghe
Ms Dilani Alagaratnam

KEY SKILLS

- » Risk management
- » Cost management
- » Budgeting and forecasting
- » Regulatory compliance

KEY ACTIVITIES TO PROTECT VALUE

- » Procurement and Disposal Policy
- » Recommend procurements and disposal in line with delegation

BOARD CREDIT COMMITTEE (BCC)

Membership

Mr Rasitha Gunawardana-Chairman
Mr Devaka Cooray
Mr Nihal Jayawardene
Mr Suresh Shah

KEY SKILLS

- » Identifying, analysing, and mitigating credit risks
- » Developing risk frameworks for lending decisions
- » Understanding credit products and financial instruments
- » Structuring and evaluating credit facilities
- » Ensuring adherence to banking laws and credit regulation
- » Assessing borrower financial statements
- » Monitoring credit portfolio performance
- » Strategic oversight of credit policies
- » Ensuring ethical and transparent credit approval processes

KEY ACTIVITIES TO PROTECT VALUE

- » Review Credit Policy and Lending Guidelines
- » Review Credit risk control measures including pricing of credit risk
- » Review performance of credit risk indicators
- » Formulate and periodically review the Credit Policy
- » Authorise credit facilities over and above the delegated limits of specified categories

BOARD TECHNOLOGY COMMITTEE (BTC)

Membership

Dr Prasad Samarasinghe-Chairman
Mr Suresh Shah
Mr P R Saldin (Deceased on 16.01.2026)
Mr Nanda Fernando

KEY SKILLS

- » Driving adoption of emerging technologies
- » Implementing digital strategies for business growth
- » Managing data protection and cyber risk
- » Ensuring compliance with IT governance frameworks
- » Budgeting and cost control for IT initiatives
- » Integrating digital solutions in banking operations

KEY ACTIVITIES TO PROTECT VALUE

- » Evaluate the adequacy, security and scalability of IT infrastructure
- » Oversee the design and execution of IT modernisation projects
- » Provide oversight to the timely and seamless implementation of Bank's proposed Digital Banking Platform/Layer including oversight on related investment components and initiatives
- » Oversee the effectiveness of the Bank's cybersecurity posture

BOARD RECOVERIES COMMITTEE (BRC)

Membership

Mr Rasitha Gunawardana-Acting Chairman
Mr Nihal Jayawardene
Ms Dilani Alagaratnam

KEY SKILLS

- » Managing recovery processes within legal frameworks
- » Handling litigation and enforcement of recovery actions
- » Identifying high-risk accounts
- » Developing strategies to minimise credit losses
- » Negotiating settlements and restructuring debt
- » Monitoring recovery policies and performance
- » Ensuring ethical and transparent recovery practices

KEY ACTIVITIES TO PROTECT VALUE

- » Provide strategic direction for speedy recovery of defaulted facilities
- » Review the effectiveness of recovery initiatives deployed
- » Ensure engagement of relevant stakeholders in the recovery process
- » Recommend credit and recovery capability requirements to ensure effective management of NPA and recoveries
- » Review the available delegated authority limit for approving rebates and other concessions

CORPORATE GOVERNANCE

BOARD EFFECTIVENESS

Board Composition and Balance

Principles A.5,A.5.1,A.5.2, A.7, A.7.1,A.7.2,A.10

The composition and balance of the HNB Board are structured in compliance with the Bank's Articles of Association and in strict adherence to the provisions of the Banking Act, relevant directions issued by the Central Bank of Sri Lanka, and the Listing Rules of the Colombo Stock Exchange. The composition of the Board is subject

to change from time to time owing to new appointments, retirements, resignations, and the re-election of Directors.

In compliance with these mandates, the Bank's Board as at 31st December 2025 comprised 10 Directors, consisting of one (1) Executive Director and Nine (9) Non- Executive Directors, of which six (6) are Independent Non-Executive Directors

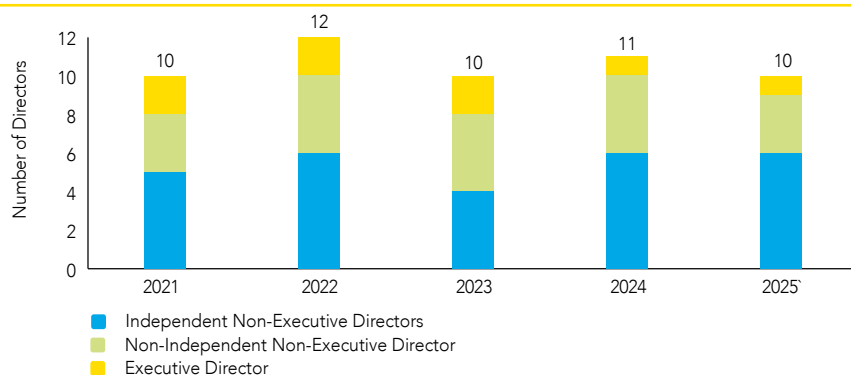
ensuring a high degree of autonomy and adherence to shareholder interests.

Each Director brings a wealth of expertise in diverse professional fields, enabling constructive challenges to Corporate Management and enriching deliberations on complex and dynamic issues. The Profiles of the Board and their membership of Committees are given on pages 146 to 151.

The composition of the Board as at 31st December 2025 is given in below table :

Name of Director	Directorship Status	Appointment Date	Sub-Committee (As at 31st December 2025)	Skills and Expertise
Mr Nihal Jayawardene	○	August 2021	○●●*○	Legal, Regulatory
Mr Damith Pallewatte	●	November 2024		Banking & Risk Management
Mr Madura Ratnayake <i>Resigned w.e.f. 30th May 2025</i>	○	October 2018	○●●●	Information Technology & Digital
Mr Devaka Cooray	○	July 2020	●*●●○	Accounting & Finance
Mr Rimoe Saldin <i>(Deceased on 16th January 2026)</i>	○	April 2021	○●*○●●	Management and Accounting & Finance
Mr Rasitha Gunawardana	○	January 2022	○●●○*○	Risk Management and Banking & Finance
Mr Kithsiri Gunawardane <i>Resigned w.e.f. 30th July 2025</i>	○	January 2022	○●	Management & Legal
Dr Prasad Samarasinghe	○	October 2022	○●●●*	Information Technology, Digital, Management and Telecommunication
Mr Nanda Fernando	○	April 2024	●●*●	Banking & Finance
Mr Sivakrishnarajah Renganathan	○	April 2024	○●●*○	Banking & Finance
Mr Suresh Shah	○	May 2024	○●●●*○●●	Accountancy & Management, Marketing
Ms Dilani Alagaratnam <i>Appointed w.e.f. 31st January 2025</i>	○	January 2025	○●*●●○	Legal, Corporate Governance, Risk Management & Human Resources Management, Regulatory
○ Non-Independent Non-Executive Director ○ Independent Non-Executive Director ● Executive Director * Committee Chairman ○ Board Audit Committee (BAC) ○ Human Resources & Remuneration Committee (HRRC) ○ Nominations & Governance Committee (NGC) ○ Board Integrated Risk Management Committee (BIRMC) ○ Related Party Transactions Review Committee (RPTRC) ○ Strategy & Investment Review Committee (SIRC) ○ Procurement & Assets Disposal Committee (PADC) ○ Board Credit Committee (BCC) ○ Board Recoveries Committee (BRC) ○ Board Technology Committee (BTC)				

Mix of Executive and Non-Executive Directors (2021–2025)



Board Skills and Diversity

Principles A.4

All Directors possess deep experience and diverse skills, enabling the Board to collectively provide informed judgement, rigorous oversight and independent debate to support delivery of HNB's strategy. HNB's high quality Board exemplifies the Bank's commitment to diversity by encompassing expertise across multiple disciplines, including Banking, Law, Accounting and Finance, Information Technology, Digital, Telecommunication, Risk Management Accountancy, Insurance, Corporate Governance and Sustainability. This diversity enables the Board to combine banking innovation, entrepreneurial, investor, and regulatory perspectives, explore matters from multiple points of view to promote healthy, constructive debate that enhance Boardroom dynamics and decision-making.

In addition to diversity of skills and experience, care is also taken to ensure age diversity and gender representation at the Board level. To that end the appointment of Ms Dilani Alagaratnam Goonatilleke earlier in January 2025 signifies a landmark step towards improving gender diversity at the Board level. Meanwhile ongoing efforts to further strengthen gender diversity are also underway.

The quality and size of the current Board is considered appropriate, considering the scale of activities as well as HNB's status as a DSIB.

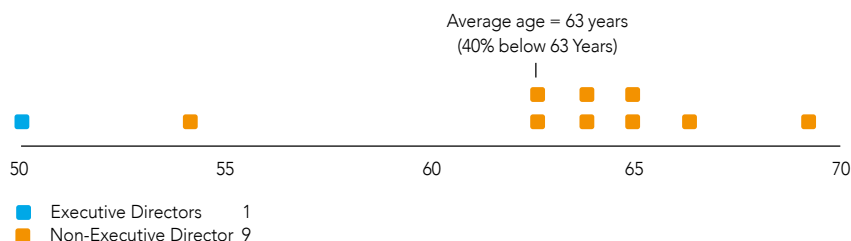
MD/CEO MR DAMITH PALLEWATTE APPOINTED TO THE GOVERNING BOARD OF THE INSTITUTE OF BANKERS OF SRI LANKA AND VICE CHAIRMAN ASIAN BANKERS' ASSOCIATION (ABA)

HNB Managing Director and Chief Executive Officer, Mr Damith Pallewatte was appointed to the Governing Board of the Institute of Bankers of Sri Lanka (IBSL), the country's apex body for banking education and professional development.

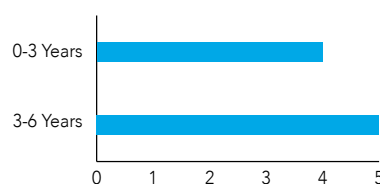
Mr Pallewatte's appointment to the IBSL will contribute towards enhancing the Board's collective expertise by enabling HNB to remain closely aligned with emerging trends in banking education, regulatory expectations, and global best practices in financial management and governance.

Mr Pallewatte was also appointed as the Vice Chairman of Asian Bankers' Association at its 41st Annual General Meeting held in Bhutan from 15th-16th September 2025. Mr Pallewatte's appointment to ABA, which is a regional organisation of banks and financial institutions across Asia and the Pacific, helps to further strengthen HNB's regional presence and leadership profile.

Executive Directors to Non-Executive Directors : Age (Years)



Non Executive Directors' Tenure



CORPORATE GOVERNANCE

Board Skills

	EXPERIENCE	VALUE PROVIDED BY THESE SKILLS
Banking and other financial services	Experience in banking including, retail banking, wholesale banking, SME banking, microfinance, trade services; and/or experience in other financial services, including insurance and asset management	These skills enable the Board to evaluate HNB's business model, strategies and competitive environment
Leadership of a large organisation	Senior executive experience in business management and strategic planning	These skills allow Board members to effectively oversee the Bank's complex operations
Client and stakeholder management	Experience in monitoring and improving client and stakeholder relationships	These skills enable the Board to manage relationships with clients and stakeholders to effectively address challenges and opportunities that emerge from time to time
Risk & capital management and controls	Skills and experience in assessment and management of financial and non-financial risks and capital management	These skills enable the Board to effectively oversee risk and capital management and understand the most significant risks facing the Bank.
Accounting and auditing	Knowledge of or experience in accounting, financial reporting and auditing processes and standards	These skills enable the Board to effectively monitor the achievement of the Bank's strategic objectives vis-a-vis financial performance, oversee HNB's financial position and ensure accurate reporting thereof
Technology and cybersecurity	Experience in, or oversight of innovative technology, cybersecurity, information systems, fintech, data and privacy management	These skills enable the Board to oversee the ongoing investment in and development of innovative technology and digitisation as well as monitor the security
Corporate governance	Knowledge of corporate governance matters, policies and best practices	These skills assist the Board in understanding the impact of various governance regulations and best practices on HNB and formulate policies to integrate applicable governance practices into the day-to-day operations of the Bank
People development, diversity and inclusion, and remuneration	Experience in senior executive development, succession planning, diversity, inclusion and executive remuneration	These skills help the Board to effectively oversee efforts to recruit, retain and develop key talent and provide valuable insight in determining compensation including that of executive officers
Regulation and macroeconomic policy	Understanding of and experience in regulated businesses, regulatory requirements, including conduct and culture, and relationships with regulators	These skills enable the board to assess and oversee the Bank's compliance with applicable regulations and ensure appropriate conduct
Environmental and social	Knowledge and experience in how HNB's activities affect the environment (including the impact on climate change) and society (including consumers and communities)	These skills enable the Board to oversee and monitor on an ongoing basis its status as a responsible corporate citizen

Directors and Executive Remuneration

Principles A.10, B.1, B.2, B.3

The Board is committed to ensuring that its remuneration practices are fair, responsible, and transparent. To support this, the Board-approved Remuneration Policy is designed to ensure all remuneration-related decisions pertaining to Executive and Non-Executive Directors, Key Management Personnel (KMP), and employees, based on the following principles:

- » Rewarding performance in the context of prevailing industry benchmarks;
- » Structuring compensation packages to suit the unique dynamics of each business within the Bank;
- » Ensuring remuneration is commensurate with the level of expertise, contribution, business performance, and shareholder value creation
- » Promote adherence to the Bank's core values and ethical culture, reinforcing responsible business conduct.

Under this framework, Executive Director remuneration is benchmarked against prevailing market compensation levels and is structured to reflect a balance between fixed and variable components, thereby linking rewards to sustainable value creation and measurable performance outcomes. Similar principles govern the remuneration of Key Management Personnel (KMP), ensuring alignment between individual performance, business results, and the Bank's long-term strategic priorities.

The Human Resources and Remuneration Committee (HRRC) is entrusted with the responsibility of recommending appropriate remuneration structures for the Executive Director and KMPs, to attract and retain top-tier professionals by offering industry-competitive packages that reflect the responsibilities and risk profile of each role. Moreover, considering the outcomes of the annual performance evaluations of the Executive Director and KMPs, the HRRC submits recommendations to the Board regarding adjustments to fixed and variable pay components. The Managing Director/Chief Executive Officer (MD/CEO) participates in HRRC deliberations relating to KMP remuneration but is excluded from discussions concerning his own remuneration. As per the Bank's Remuneration Policy, no special early termination clauses are included in the contract of employment of Executive Directors and KMP that would entitle them to extra compensation. However, if necessity arises such compensation, if any, would be determined by the Board of Directors with recommendations of the HRRC and prior written approval of the shareholders. In the current year, the HRRC reviewed and updated the Policy on Remuneration with the introduction of a claw back policy as required under Banking Act Direction No 05 of 2024 on Corporate Governance issued by CBSL and Board approval obtained on 26th September 2025. These changes were enforced with the claw back procedure incorporated into the employment contracts of CEO and KMPs including the existing CEO and KMPs with effect from 30th November 2025.

The remuneration of Non-Executive Directors (NEDs) is determined collectively by the Board, taking into consideration prevailing industry benchmarks for NED and Independent Director fees within the Sri Lankan banking sector. NEDs receive a base fee for Board service and an additional committee fee where applicable. These fees are reviewed from time to time, as and when necessary, based on market needs to ensure continued competitiveness and fairness. In the event of early retirement or at the termination there are no special payments/financial or non-financial commitments, NEDs are entitled only to accrued fees payable, if any, as stipulated in their respective terms of Contract.

Remuneration disclosures are shown under Note 18 to the financial statements on page 425.

Appointment/Re-Election/Resignation/Retirement of Directors

Principles A.7, A.7.4, A.8

Selection and Appointment of New Directors

The selection and appointment of new Directors is necessitated as a result of regulatory changes and due to skill gaps that may arise from time to time owing to the retirement or resignation of existing Board members. Apart from this, the Bank's Nominations & Governance Committee (NGC) regularly reviews the Directors' skill matrix to identify the need to strengthen selected competencies in line with the Bank's strategic plans as well as to improve age and gender diversity at a Board level.

Board Changes for FY 2025

NEW APPOINTMENTS

Ms Dilani Champika Alagaratnam
Goonatilleke was appointed
w.e.f. 31st January 2025

RESIGNATIONS

Mr Wanniarachchi
Mudiyanselage Madura Duminda
Ratnayake resigned w.e.f. 30th
May 2025

Mr Kahandawela Arachige
Kithsiri Perera Gunawardena
resigned w.e.f. 30th July 2025

RETIREMENT

None

RE-ELECTION AT THE AGM HELD ON 27TH MARCH 2025

Mr Wanniarachchi
Mudiyanselage Madura Duminda
Ratnayake

Mr Prawira Rimoe Saldin

CORPORATE GOVERNANCE

The NGC undertakes the comprehensive process of assessing and nominating potential candidates for identified vacancies on the Board, based on their skills and expertise to complement the quality and diversity of the HNB Board.

The criteria for selection of NEDs follow the directives issued under the Banking Act No. 30 of 1988 as amended by Act No. 24 of 2024, specifically Direction No. 05 of 2024, Corporate Governance rules of the Colombo Stock Exchange, Code of Best Practice on Corporate Governance issued by CA Sri Lanka (2023) and provisions in the Securities and Exchange Commission of Sri Lanka Act No. 19 of 2021.

All new Director appointments are subject to Board approval and formal clearance by the Central Bank of Sri Lanka (CBSL) and Securities and Exchange Commission of Sri Lanka regarding fulfilment of fit and proper conditions.

All new Director appointments are formally disclosed to the Colombo Stock Exchange, accompanied by a brief profile outlining the Director's professional expertise, current directorships and Board Committee memberships in other companies, shareholding in the Bank, and an explicit statement on the Director's independence. Simultaneously, a press release is issued to inform shareholders and other stakeholders. Internal communications via e-mail ensure that Bank staff are informed of appointments, retirements, or resignations of Directors.

During 2025, the NGC, reviewed the procedure to appoint MD/CEO, CEO, KMPs and Directors of the Bank and recommended changes for Board approval and the revised procedure was approved by the Board on 26th September 2025.

Re-election of Directors

Principle A.8

In accordance with the Bank's Articles of Association 1/3 of the Non- Executive Directors are required to retire from office at each Annual General Meeting and stand eligible for re-election by the shareholders at the Annual General Meeting. The Non- Executive Directors who retire at each

Annual General Meeting shall as much as practicable be those who have been longest in office since their last election or appointment at a general meeting. If multiple Directors qualify for re-election in a given year, due to them being appointed as Directors on the same day, the Directors who retire shall, unless they otherwise agree among themselves, be determined by drawing a lot. Eligibility for re-election is subject to NGC's confirmation of the relevant Directors' past record in terms of participation, engagement, contribution towards Board matters and fulfilment of fit and proper criteria for Directors as required under the applicable laws and regulations. Based on the NGC's recommendation, the Board approves their candidacy for re-election.

As per the Articles of Association of the Bank, any Director appointed by the Board to fill a casual vacancy arising after the previous Annual General Meeting shall hold office until the next Annual General Meeting, at which point he or she shall be eligible for re-election by the shareholders

This structured re-election and election process ensures transparency, accountability, and compliance with governance standards, contributing to the Board's stability and effectiveness.

The Policy on Corporate Governance, Nominations and Re- Election was published on the Bank's website on 1st October 2024 in compliance with the Listing Rules of the CSE.

Retirements and Resignation of Directors

Principle A.8.3

As per the provisions of the Banking Act Direction No. 05 of 2024 on Corporate Governance issued by the Central Bank of Sri Lanka NEDs who have served a maximum of nine (9) years on the Board of a Bank or reach 70 years of age (whichever is earlier) are required to retire from the Board.

Succession Planning

Principle: A.7.3

Given HNB's systemic significance to Sri Lanka's financial system, effective

Board succession planning is critical to maintaining strategic leadership, safeguarding institutional knowledge, and ensuring uninterrupted oversight of the Bank's operations. Management of the Board Succession Planning process for retiring Directors falls under the purview of the Nomination and Governance Committee (NGC).

The NGC ensures a succession plan for the MD/CEO and other KMPs, including identifying training and development needs for succession planning. NGC recommends appointing KMPs ensuring that they possess the required skills, experience, and knowledge to execute strategy effectively with a focus on succession planning. In line with the provisions of the Banking Act Directions on Corporate Governance issued by the Central Bank of Sri Lanka, the NGC continuously reviews succession planning for KMPs and updates the formal succession with named successors together with development plans to ensure their readiness. The updated succession plan is presented for approval of the Board of Directors.

Induction and Training for Directors

Principle: A.1.8

The Bank has a robust induction and training programme to ensure that Directors are well-equipped to fulfil their responsibilities effectively while staying updated on governance and industry standards.

All new Directors shall undergo a mandatory induction programme designed to familiarise them with the Bank's structure, strategy, and operations. All new Directors appointed to the HNB Board are provided with a comprehensive induction pack containing the Bank's Articles of Association and key internal and external reference materials such as the Banking Act Directions and the Code of Best Practice on Corporate Governance, to help them gain a well-rounded understanding of the Bank and its operations. The induction also includes meetings with the Board Chairman, MD/CEO, members of the senior management team and the opportunity to participate in branch visits to gain

an insight into day-to-day activities. An induction programme was held for Ms Dilani Alagaratnam on 19th June 2025 covering key internal functions such as Risk, Treasury, IT, Business Operations, IT security, Compliance, Legal etc.

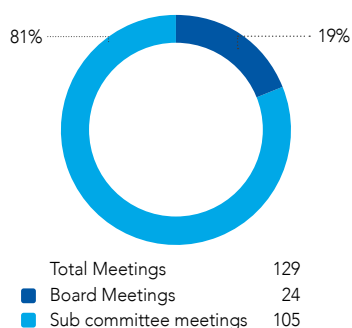
All Directors have access to ongoing training, both internal and external to help them stay informed on emerging issues, applicable laws, regulatory changes, and industry best practices. Attendance at Director Forums organised by the CBSL is mandatory, ensuring that Directors remain informed about regulatory and industry developments and strategic initiatives to enable them to make informed decisions and contribute effectively to the Board's deliberations.

BOARD MEETINGS

Principle: A.1.1, A.1.3, A.1.4, A.1.6, A.1.7, A.3, A.5.10 and A.6 A.10.1

The Board of Directors of HNB is committed to ensure its operations and decision-making processes are conducted with the utmost diligence, transparency, and accountability. Accordingly, Board meetings are convened on a monthly basis, or more frequently if needed. All scheduled Board meetings are planned ahead through the annual meeting calendar prepared by the Company Secretary in consultation with the Chairman of the Board. This calendar is communicated to all Directors at the commencement of the financial year to facilitate effective participation and preparation.

Total number of Board and Board Sub Committee Meetings



TRAINING PROGRAMMES FOR YEAR 2025

Date	Programme	Internal/External	Participants
27.05.2025	Corporate Governance for Licensed Banks	External	Board of Directors
02.06.2025	INED Forum Corporate Strategy & Oversight	External	Director-Mr Rimoe Saldin
16.06.2025	Session on Economic update (External Resource)	Internal	Board of Directors and CMT members
19.06.2025	Induction programme for newly appointed Director	Internal	Director-Ms Dilani Alagaratnam
28.07.2025	Data Privacy session (External Resource)	Internal	Board of Directors
12.09.2025	Companies (Amendment) Act No.12 of 2025	External	Director-Mr Rimoe Saldin
09.10.2025	Sustainable Finance Conference 2025	External	Chairman-Mr Nihal Jayawardene, Director-Ms Dilani Alagaratnam
14.10.2025	Salient Features of the Companies Amendment Act	Internal	Board of Directors
14.10.2025	Precautionary measures in sharing confidential information. (External Resource)	Internal	Board of Directors
24.11.2025	Cyber Security posture-CBSL requirement-CISO	Internal	Board of Directors
27.11.2025	Annual High-level Awareness Conference for Board of Directors of Licensed Banks, Licensed Finance Companies, Money or Value Transfer Service Providers, Primary Dealers, Stockbrokers and Micro Finance Companies in Sri Lanka organised by the Financial Intelligence Unit (FIU) of the Central Bank of Sri Lanka (CBSL)	External	Chairman-Mr Nihal Jayawardene Director-Mr S Renganathan Director-Mr Nanda Fernando Director-Mr Suresh Shah

Prior to each scheduled meeting, the Chairman, assisted by the MD/CEO and the Company Secretary, finalises the agenda to ensure that all material and priority matters are brought before the Board for consideration.

To enable informed and effective decision-making, a comprehensive Board pack is prepared and circulated to all Directors at least seven (7) days ahead of the meeting. The Board pack includes both qualitative and quantitative analyses on key agenda items, together with the MD/CEO's review of business operations, financial performance, industry trends, and market developments relevant to the Bank and the Group, Chief Operating Officer's presentation on Digital and Operational key performance metrics and Presentation by Business Unit Heads.

CORPORATE GOVERNANCE

ACCESS TO INFORMATION

All Board Directors are entitled to access information necessary for effective preparation and meaningful participation in meetings. Directors can request to review details pertaining to operations, financial performance, risks, and strategic plans, as well as access any relevant documents at any time. They are also permitted to engage with KMPs or the Company Secretary to seek clarifications as required. Additionally, Directors have the option to obtain independent professional advice or consult external subject matter experts as needed to enable them in fulfilling their responsibilities as Board members. All such expenses are borne by the Bank.

BOARD MEETINGS

BEFORE

- » The Chairman prepares a timed agenda in consultation with the MD/CEO, Directors, and the Company Secretary.
- » Directors are encouraged to submit proposals for inclusion in the agenda.
- » Board papers are typically circulated one (1) week prior to the meeting.
- » Directors may reach out to KMPs or the Company Secretary for any additional information needed to prepare for the meeting.



DURING

- » The Chairman ensures the meeting is conducted in an orderly manner and facilitates active engagement of all Directors.
- » Key Management Personnel (KMP) and external experts may be invited to provide clarifications or deliver presentations on agenda items.
- » Directors are encouraged to share their perspectives, contribute their expertise, and exercise independent judgment on matters presented to the Board.
- » Minutes of the proceedings are recorded, including any dissenting views expressed by Directors.
- » Directors are expected to recuse themselves from discussions or decisions where a conflict of interest may arise.



AFTER

- » Minutes are typically circulated to Board members within one to two weeks of the meeting.
- » An action tracker is maintained by the Company Secretary to monitor follow-up items and prepare for the next Board meeting.
- » While urgent matters may be approved by circulation and subsequently ratified at the next meeting, this practice is discouraged. If any Director believes a matter warrants discussion at a formal meeting, the Chairman will ensure it is included in the next agenda.
- » Decisions taken at the Board meeting are generally communicated to Key Management Personnel (KMP) within 48 hours of the meeting's conclusion.

Attendance at Board meetings is mandatory, and all Directors are expected to be thoroughly prepared and to contribute actively and constructively to Board deliberations.

Key Management Personnel (KMPs) are often invited to attend Board meetings, as needed, to provide subject-specific insights and clarifications on matters under discussion.

Attendance at Board and Sub-Committee Meetings - 2025											
Name of Director	Board Meetings	Board Audit Committee	Human Resources & Remuneration Committee	Nominations & Governance Committee	Board Integrated Risk Management Committee	Related Party Transactions Review Committee	Strategy & Investment Review Committee	Procurement & Assets Disposal Committee	Board Credit Committee	Board Recoveries Committee	Board Technology Committee w.e.f. 30th May 2025
Total meetings held	24	11+1=12	6	10	11+1=12	5	13	12	21	6	8
Mr Nihal Jayawardene	24/24		6/6	10/10			©11/13		21/21	6/6	
Mr Damith Pallewatte MD/CEO	24/24	10/12	5/5	4/4	11/12		13/13	9/12	17/20	6/6	4/4
Mr Madura Ratnayake <i>Resigned w.e.f. 30th May 2025</i>	10/13		4/4	2/5			6/6				3/4
Mr Devaka Cooray	22/24	© 11/12		10/10	7/12	3/3			18/21		
Mr Rimoe Saldin	23/24	* 12/12			©12/12		13/13	12/12			4/4
Mr Rasitha Gunawardana	24/24	12/12	6/6			5/5		3/3	©21/21	6/6	
Mr Kithsiri Gunawardena <i>Resigned w.e.f. 30th July 2025</i>	14/14				8/8					3/3	1/2
Dr Prasad Samarasinghe	24/24				12/12		11/13	11/12			© 8/8
Mr Nanda Fernando	24/24					4/5	4/5	©11/12	11/12		
Mr Sivakrishnarajah Renganathan	19/24	11/12	2/2	©10/10			11/13		0/3		
Mr Suresh Kumar Shah	23/24		6/6	3/3	8/11	© 4/5	13/13		13/13		
Ms Dilani Alagaratnam <i>Appointed w.e.f. 31st January 2025</i>	19/21	9/9	©4/4	2/3		4/4		10/10		4/4	
© Chairperson as at 31st December 2025											
* The Chairman of BIRMC attended two (02) BAC meetings by invitation											
○ Meetings attended by invitation											
● A Special joint Meeting of the Board Audit Committee and Board Integrated Risk Management Committee was held on 15th July 2025											

Board and Board Sub-Committee Evaluation

Principle : A.9

The effectiveness of the Board and its Sub-Committees is evaluated on an annual basis through a structured and comprehensive self-assessment process undertaken by all Directors. As stated in the Policy on Matters Relating to Board of

Directors the performance of the Board and its Committees is evaluated annually to assess the Board composition, balance of skills, strategic oversight, quality of deliberations, and overall contribution to the Bank's governance framework. The process provides critical insights into the Board's performance and serves as a key mechanism for identifying strengths, developmental priorities, and opportunities

for continuous improvement to improve overall Board effectiveness.

Concurrently, the NGC undertakes an independent review of the Board diversity and mix of skills, experience, independence and gender diversity with a view to assessing the overall adequacy of the Board structure in supporting the Bank's strategic objectives and risk profile.

CORPORATE GOVERNANCE

The Board and Sub Committee evaluations for 2024 were reviewed during the Board meeting held in May 2025 while the Board evaluations for 2025 were tabled and discussed at the Nominations and Governance Committee (NGC) meeting held on 26th January 2026.

The findings of the most recent evaluation confirm that the HNB Board and its Sub-Committees possess the requisite competencies, expertise, and governance maturity to discharge their respective mandates effectively but requires augmentation. The assessment further affirmed full adherence to the Terms of Reference (TORs) of each Committee and compliance with the applicable regulatory provisions.

Evaluating the performance of the MD/CEO

 **Principle: A.11**

The performance of HNB's Managing Director/Chief Executive Officer (MD/CEO) is evaluated annually through a structured process led by the Board with the assistance of the Human Resources and Remuneration Committee (HRRC). The evaluation examines the extent to which the MD/CEO has achieved the Bank's short, medium and long-term objectives, as well as financial, non financial and operational targets approved by the Board at the beginning of the performance cycle. The evaluation involves a review of quantitative and qualitative performance metrics, including business growth, profitability, risk management, governance, compliance, and leadership effectiveness against the backdrop of the evolving operating environment, thereby reinforcing accountability and continuous improvement.

The Chairman conducts a discussion with the MD/CEO to provide formal feedback on the evaluation results. The outcome of the MD/CEO's annual performance review along with the Chairman's observations are shared with the Board along with the MD/CEO's responses to the appraisal.

The Board then deliberates and makes recommendations to the BHRRRC regarding

any necessary adjustments to the MD/CEO's remuneration package.

BOARD OVERSIGHT RESPONSIBILITIES

Regulatory Compliance

The Board of Directors bears the ultimate responsibility for ensuring that the Bank conducts its operations with integrity, transparency, and in full compliance with all applicable legal, regulatory, and ethical standards.

In fulfilling this mandate, the Board, supported by its Sub-Committees and the Corporate Management Team exercises continuous oversight to ensure Bank-wide adherence to the Banking Act, Central Bank of Sri Lanka (CBSL) Directions, Colombo Stock Exchange (CSE) Listing Rules, and all other relevant statutory and prudential requirements.

Demonstrating a proactive approach to governance, the Board remains vigilant and responsive to evolving regulatory developments, engaging regularly with regulatory authorities, external legal counsel, and subject matter experts to ensure that HNB's policies, procedures, and operational practices remain fully aligned with emerging governance expectations.

Additionally, the Board has established a dedicated Compliance function, which operates under the supervision of the Board Integrated Risk Management Committee (BIRMC). The Compliance function operates as the second line of defence in managing compliance risk. In this capacity, the Compliance function is tasked with conducting routine due diligence activities to determine compliance with applicable new laws, rules and statutory codes, with findings along with any amendments and additions reported to the BIRMC. As a part of this exercise, requirements are compiled into a gap report and reported to the Board and assigned to the relevant KMP as the first line for adoption within the stipulated timeline.

HNB has complied fully with all applicable regulatory requirements and no incidents of non-compliance were reported for FY 2025.

Financial Reporting and Assurance

 **Principle : D.1**

As the highest governing body of the organisation, the Board is responsible for ensuring the integrity and accuracy of financial reporting for the Bank and the Group. This includes overseeing the preparation of financial statements that reflect a true and fair view of the financial position and performance of the Bank and the Group. The Board responsibility extends to ensuring appropriate internal controls and accounting policies are in place to safeguard assets, prevent irregularities, and support transparent, timely, and reliable financial disclosures in line with applicable laws, regulations, and reporting standards.

As part of the overall responsibility for financial reporting, the Board reviews and approves all financial reporting outputs, including quarterly and annual financial statements, thereby ensuring the transparency and integrity of published financial information.

The Board seeks independent assurance regarding the Bank's internal control and financial reporting ecosystems. Internal Auditors assure the efficacy of the internal control environment while the external Auditors validate the integrity of the Bank's financial position. The Board Audit Committee, on behalf of the Board reviews the plans and work output of both external and internal auditors, including coordinating activities to support the combined assurance model.

For more information, refer to;

- » The Directors' Statement on Internal Control over Financial Reporting, the Annual Report of the Board of Directors on the Affairs of the Bank (pages 232 to 243)

- » Directors' Statement on Internal Control Over Financial Reporting (pages 266 and 267)
- » Directors' Responsibility for Financial Reporting (pages 324 and 325)

Risk Management and Internal Control

Principle : D.2

The Board assumes ultimate accountability for the establishment and maintenance of an effective Risk Management and Internal Control Framework, designed to identify, assess, monitor, and mitigate risks in alignment with the Bank's risk appetite and strategic objectives.

The HNB Board has a thorough understanding of the Bank's risk environment and provides strategic directions to embed an enterprise-wide risk management framework that supports sound decision-making and sustainable performance. For this purpose, the Board has established a comprehensive Policy on Risk Management and Internal Controls, underpinned by an Integrated Risk Management Framework (IRMF) and a robust system of internal controls to facilitate continuous monitoring and reporting on the effectiveness of the Bank's financial, operational, and compliance control systems, and provide reasonable assurance that strategic objectives are achieved while safeguarding capital adequacy, asset quality, and long-term sustainability in accordance with regulatory expectations.

Supporting the Board in its risk oversight responsibilities, is the Board Integrated Risk Management Committee (BIRMC). Operating under the delegated authority of the Board, the BIRMC oversees the Bank's overall risk profile and ensures the effectiveness of the risk governance structure. The BIRMC also provides supervisory oversight to the Risk Management Department, which together with several Executive-Level Risk Committees undertakes to operationalise the risk management framework across the Bank.

The Internal Audit Department, as the third line of defence for managing risk,

provides independent assurance regarding the efficacy of the Bank's risk management processes, internal controls and risk governance mechanisms. The Internal Audit Department submits periodic reports on its findings to the Board Audit Committee (BAC), as part of the overall approach to maintaining transparency, accountability, and continuous improvement in the Bank's internal control environment.

For more information, refer to;

- » The BIRMC report on page 256
- » The BAC Report on page 259
- » The Risk Management Report on Page 276

Ethics and Conduct

The Board of Directors sets a clear tone at the top to build a strong ethical foundation that promotes a culture of integrity, accountability, and responsible business conduct, ensuring that ethical considerations are embedded in strategic decision-making and day-to-day management. Leading by example, each Director upholds the highest standards of ethical behaviour, in compliance with the Policy on Internal Code of Business Conduct and Ethics and governance requirements for Directors as prescribed under applicable regulatory frameworks.

To institutionalise these principles, the Board has implemented a comprehensive Conduct and Ethics Governance Framework, designed to guide decision-making, behaviour, and accountability at every level of the Bank. This framework serves as a cornerstone of the Bank's corporate culture, strengthening stakeholder confidence and reinforcing HNB's reputation as a trusted, responsible, and well-governed financial institution.

Code of Business Conduct and Ethics (Code)

Principle : D.6

The Board-approved Policy on Internal Code of Business Conduct and Ethics establishes a comprehensive framework of ethical standards, behavioural expectations, and professional

responsibilities applicable to all Directors, employees, and officers of the Bank. The Code articulates the principles of integrity, objectivity, confidentiality, transparency, conflict of interest, compliance and accountability, ensuring that all business activities are conducted in accordance with applicable laws, regulatory requirements, and internal governance standards. In this regard, the Code also offers guidance regarding what is unacceptable in the course of normal business, including the Share Trading Policy outlining the restrictions on trading in listed securities of the Bank.

In 2025, steps were taken to align with the Banking Act Direction No. 05 of 2024 on Corporate Governance, with necessary provisions incorporated to the Policy on Internal Code of Business Conduct and Ethics by way of amendments to strengthen the procedures related to conflict of interest, to ensure that no director, nor any group of directors, shall dominate or exert significant influence over the Board in a manner that could be detrimental or prejudicial to the interests of the depositors, creditors, or the Bank and to ensure that the relationships between the Directors amongst themselves as well as between Directors and Key Management Personnel are conducted in a manner that prevents excessive familiarity, undue influence, or coercion, thereby maintaining the integrity of the Board.

The Code, accessible on the Bank's website - <https://www.hnb.lk/bank-policies> and also made available on the intranet, while all employees receive training on compliance with the Code as part of their induction process and regular refresher courses.

Anti-Bribery and Corruption (ABC) Policy

The Board-approved Anti-Bribery and Corruption (ABC) Policy articulates the Bank's zero-tolerance stance towards all forms of bribery, corruption, and unethical inducements, establishing a uniform standard of integrity across its operations. The policy is applicable to all Directors, Key Management Personnel (KMPs), employees, and extends to business partners, intermediaries, and third parties

CORPORATE GOVERNANCE

acting on behalf of the Bank, wherein the Policy's provisions are embedded into the Bank's supplier onboarding and third-party due diligence processes.

The Bank's ABC Policy delineates clear procedures for identifying, reporting, and escalating suspected incidents of bribery or corruption through designated internal channels, with such matters directed to the Board Integrated Risk Management Committee (BIRMC), Board Audit Committee (BAC), or the Board itself for independent review and investigation.

Periodic risk assessments are conducted as part of the Bank's internal Compliance Monitoring Programme with findings reviewed by the Bank's Compliance Officer and reported to the relevant Board Committees to ensure continuous oversight and regulatory conformity.

To ensure effective implementation and strengthen the understanding and application of anti-bribery and corruption principles among Directors and employees, regular awareness and training programmes are also carried out. In 2025, a series of awareness programmes were conducted with the assistance of the Commission to Investigate Allegations of Bribery or Corruption (CIABOC) for the benefit of all Bank employees.

No allegations of bribery or corruption were reported in FY 2025.

Whistleblowing Policy

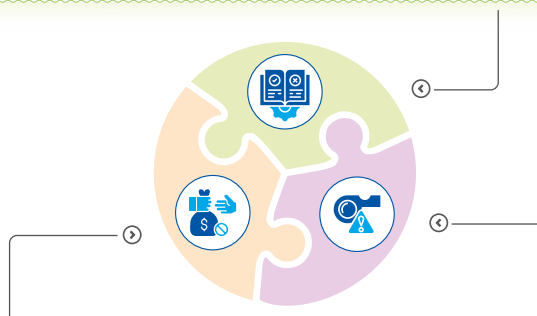
The Whistleblowing Framework serves as a formal, structured mechanism for reporting actual or suspected instances of financial irregularities, fraudulent activity, unethical conduct, non-compliance with the Bank's Policy on Internal Code of Business Conduct and Ethics, breaches of Human Rights, regulatory violations, or contraventions of internal policies, including the Anti-Bribery and Corruption (ABC) Policy.

In accordance with the established governance procedure, whistleblower disclosures involving alleged ethical breaches, confidentiality violations, or

KEY FEATURES OF HNB ETHICS AND CONDUCT FRAMEWORK

POLICY ON INTERNAL CODE OF BUSINESS CONDUCT AND ETHICS

- Act ethically, responsibly, honestly and with integrity, in the best interests of the Bank
- » Safeguard the Bank from fraud, corruption, collusion and coercion
- » Compliance with laws, rules and regulations
- » Avoidance of conflict of interest
- » Avoidance of discrimination and harassment
- » Prevention of bribery and corruption
- » Maintain confidentiality
- » Maintain fair dealing
- » Prohibit entertainment and accepting gifts
- » Ensure accurate accounting and record keeping
- » Follow fair and transparent procurement practices
- » Protection and proper use of the Bank's assets including information assets
- » Encourage whistleblowing
- » Obtain corporate opportunities



ANTI-BRIBERY AND CORRUPTION (ABC) POLICY

- » Requires all employees to fully comply with all applicable laws and regulations including, anti-corruption laws
- » Strictly prohibits to offer or accept bribes, facilitation payments, kickbacks, political contributions, unacceptable gifts, hospitality or expenses of any kind, when carrying out the Bank's transactions and business dealings either directly or indirectly
- » Provides definition of thresholds for what is an acceptable gift as well as procedures and reporting requirements
- » Provides means and mechanisms for raising complaints, including whistleblowing
- » Requires books and records of the Bank be kept accurate, clear, detailed and timely

WHISTLEBLOWING POLICY

- » Enables reporting of suspected misconduct, fraud, corruption, regulatory breaches, and unethical behaviour across all levels of the Bank
- » Provides confidential avenues of direct reporting to the nominated Independent Directors via multiple channels
- » Ensures strict protection of whistleblower identity and the confidentiality of all information disclosed
- » Safeguards whistleblowers against any form of retaliation, victimisation, or discrimination for disclosures made in good faith
- » Empowers the BAC to review complaints, initiate independent investigations, and ensure impartial resolution

potential improprieties are reviewed by the Board Audit Committee (BAC). The BAC is empowered to initiate independent investigations where warranted, ensuring impartiality and procedural integrity. All reported matters and subsequent investigations are handled with strict confidentiality, with robust safeguards in place to protect the anonymity and non-retaliation rights of whistleblowers.

Employees are periodically reminded of the Whistleblowing process through official circulars, awareness programmes, and policy communications, while comprehensive details on reporting procedures, confidentiality assurances, and escalation protocols are accessible via the corporate intranet.

The Whistleblower Policy was reviewed by the BAC and approved by the Board in September 2025, reaffirming the Bank's commitment to transparency, accountability, and ethical conduct across all levels of operation.

IT and Information Security Systems

Principle G

The Board holds ultimate accountability for IT governance, ensuring that strategic investments in technology and digital infrastructure are aligned with the Bank's long-term business goals and risk management priorities.

The Board is accountable for approving the Bank's IT/digital strategy and objectives as well as the IT budget to support the Bank's business model and strategic growth aspirations. Considering the scope and scale of HNB's operations, the Board has established a broad-based policy framework together with a comprehensive governance structure with specific responsibilities assigned to the Board Technology Committee (BTC) for overseeing the implementation of the Bank's digital strategy, strengthen IT infrastructure, safeguard digital assets and manage information security risks respectively.

HNB's aggressive digital strategy over the past decade has, in recent years prompted

the Board to assign significant emphasis on the governance of technology and cybersecurity risks. Oversight of these risks is exercised through the Board Integrated Risk Management Committee (BIRMC) and the Information Security Committee (ISC), chaired by the MD/CEO. The ISC provides strategic direction and independent oversight of all information security matters, while the Chief Information Security Officer (CISO) reports directly to the Committee, ensuring transparency and accountability in managing cyber risk.

Furthermore, the Board has ensured the Bank's information security governance framework is anchored in global best practices, including the NIST Cybersecurity Framework, ISO/IEC 27001, and regulatory directives issued by the Central Bank of Sri Lanka. This structure ensures that policies, procedures, and controls are continuously updated to address emerging threats and maintain resilience across all critical systems. Additionally, the programme of internal audits along with quarterly vulnerability assessments and penetration testing by external specialists and the annual ISO surveillance audits provide independent assurance regarding the resilience of the Bank's information security posture.

As part of the ongoing improvements to strengthen HNB's information security architecture, the cyber risk quantification process was introduced in 2025, marking a significant step forward in aligning cybersecurity with business decision-making. By modelling potential financial exposure from cyber incidents, the Bank would be able to quantify the potential risk of a lost incident such as ransomware attack. These insights enable the Board to prioritise investments in endpoint security, backup resilience, and incident response capabilities.

The Bank also became the first in Sri Lanka to achieve ISO/IEC 27701 certification, reinforcing the journey towards compliance with the Personal Data Protection Act (PDPA) and embedding privacy-by-design principles across operations. In parallel, the Bank undertook to implement the ISO/

BANK POLICIES

In line with the provisions in the Section 9 of Listing Rules on Corporate Governance of the Colombo Stock Exchange following policies were published on the Bank's website in 2024 at the link <https://www.hnb.lk/bank-policies> under the Key Link titled 'Bank Policies'

- » Policy on matters relating to the Board of Directors
- » Policy on Board Committees
- » Policy on Corporate Governance, Nominations and Re-election
- » Policy on Remuneration
- » Policy on Internal Code of Business Conduct and Ethics for all Directors and Employees, including policies on trading in the Entity's Listed Securities.
- » Policy on Risk Management and Internal Controls
- » Policy on Relations with Shareholders and Investors
- » Policy on Environmental, Social and Governance Sustainability
- » Policy on Control and Management of Company Assets and Shareholder Investments
- » Policy on Corporate Disclosures
- » Policy on Whistleblowing
- » Policy on Anti-Bribery and Corruption

IEC 27035 standards to strengthen incident management and forensic readiness, ensuring rapid containment and recovery in the event of a security breach. In related developments, work also commenced toward full PCI DSS v4.0 compliance to further enhanced payment security, protecting cardholder data and reinforcing trust in digital channels.

CORPORATE GOVERNANCE

Identity and access management was another key focus, with the rollout of a comprehensive programme introducing zero-trust principles and multi-factor authentication to safeguard critical systems. Multiple confidential infrastructure projects were also executed throughout the year to enhance resilience and digital trust across core platforms. Proactive threat management remained a priority, with expanded monitoring, advanced threat hunting, and the establishment of a dedicated forensic unit. Rigorous vulnerability assessments, penetration testing, and red-team exercises were conducted throughout the year to identify and remediate weaknesses before exploitation. To further validate the robustness of HNB's security architecture in line with global standards and best practices, an independent review was also commissioned.

Likewise ongoing efforts to improve awareness and education saw the roll out of a new Learning Management System (LMS) featuring dedicated modules on cybersecurity, acceptable usage, and data privacy. This was complemented by regular phishing simulations, and a series of customer awareness campaigns.

Human Capital Governance

As a large Bank employing 5,645 individuals across Sri Lanka, the HNB Board has established a structured governance framework to manage the complexities of human resource management effectively.

While overall strategic direction and policy oversight remain with the Board, day-to-day responsibilities are systematically delegated. The Chief Human Resources Officer is entrusted with translating Board directives into Bank-wide HR policies and frameworks covering areas such as recruitment, performance management, learning and development, and employee engagement.

At the operational level, HR Business Partners have been appointed to monitor on-ground implementation of HR policies and initiatives. HR Business Partners also act as the primary liaison for employees across the branch network, and are

tasked with managing employee welfare, addressing grievances, and creating a safe, healthy, and respectful work environment that supports the physical and mental well-being of all employees.

For more information refer to;

- » The Human Capital Report on page 84.

Sustainability Governance

Principle: H

The Board of Directors of HNB plays a central role in guiding the Bank's sustainability agenda and provides strategic insights to embed Environmental, Social, and Governance (ESG) principles by:

- » Strengthening governance frameworks to support ESG integration.
- » Ensuring sustainability risks are incorporated into enterprise risk management.
- » Supporting the development of sustainable finance products and responsible lending practices.
- » Promoting transparency and accountability through ESG disclosures aligned with SLFRS S1 & S2, GRI, frameworks.

The Board-approved ESG Policy and Environmental and Social Policy serves as the overarching mandate for embedding ESG principles across the Bank's strategy, operations, and value chain. This policy framework is subject to annual review by the Board to assess the relevance, effectiveness, and alignment of the Bank's ESG framework vis-a-vis emerging sustainability challenges and opportunities, regulatory developments, and global best practices.

Under the delegated authority of the Board, the Board Integrated Risk Management Committee (BIRMC) plays a critical role in overseeing the identification, assessment, and management of sustainability risks and opportunities (SRROs) and climate-related risks and opportunities (CRROs) across HNB's operations and value chain. BIRMC reviews the Bank's Environmental and Social Management System (ESMS) policy, which serves as a key framework for managing

sustainability and climate risks, particularly in lending and investment activities. Identified SRROs and CRROs across the Bank's entire value chain are reported to the Executive Risk Management Committee (ERMC), with BIRMC providing oversight and strategic direction.

Meanwhile, the Strategy and Investment Review Committee (SIRC) is charged with ensuring ESG related matters are integrated into the Bank's long-term strategy and investment decisions. In this regard, the SIRC provides supervisory oversight to the Sustainability Management Committee (SMC) which serves as the highest-level management body responsible for implementing the Bank's sustainability strategy. The SMC, which is chaired by the Managing Director/CEO and represented by a cross functional team of senior leaders from strategy, finance, credit and HR reports quarterly to the SIRC. The SMC is also responsible for guiding sustainable finance and CSR initiatives, promoting ESG awareness and training across staff, and monitoring progress on the Bank's sustainability roadmap and ESG targets. The SMC met three times during 2025. ESG-related targets (KPIs) are allocated to respective departments such as HR, Micro-finance, Premises, Transport, Sustainability, etc., with a percentage of the remuneration of department heads linked to the achievement of these KPIs. The SMC undertakes to review and refine the allocation of ESG related KPIs over the next couple of years.

Assisting the SMC, is the Sustainability Department which plays a key operational role in coordinating sustainability initiatives across the Bank, supporting ESG policy execution, and ensuring that the Environmental and Social Management System (ESMS) operates effectively. This includes monitoring ESG and climate risks, facilitating due diligence for high-risk projects, and aligning departmental actions with the Bank's sustainability roadmap and regulatory requirements.

In the current year the Board formally approved a framework to comply with SLFRS S1 & S2 disclosure requirements with effect from FY 2025. As part of the

ongoing capacity building on SLFRS, two Board members have participated in a special programme on Board responsibilities in relation to climate and sustainability, conducted by Association of Chartered Certified Accountants (ACCA) in collaboration with CSE and Sri Lanka Institute of Directors (SLID).

Stakeholder Engagement

Principle: C.2, E, F

While the Board of Directors retains ultimate accountability for the Bank’s stakeholder engagement strategy, the day-to-day management of stakeholder relationships has been delegated to the Bank’s executive leadership team. In accordance with Board-approved Policy on Internal Code of Business Conduct and Ethics, operational management is held accountable for designing and implementing targeted engagement initiatives to capture stakeholder expectations, concerns, and feedback, ensuring that the Bank’s strategic and operational decisions remain responsive to stakeholder interests.

Further details on the methodologies employed for engaging with different stakeholders, including the frequency of engagement and other pertinent information, can be found in the Stakeholder Engagement section on page 24 of this report.

Shareholder Relations

Principles: C.1, C.2, C.3, E, F

The Board has established a robust framework for engaging with shareholders in line with good governance practices.

The Board is firmly committed to cultivating strong, trust-based relationships with shareholders through timely, accurate, and transparent communication, alongside a firm commitment to equitable treatment, and the facilitation of shareholder rights. The Board approved Policy on Relations with shareholders and investors and Policy on Disclosures ensure effective and timely communications of material information to shareholders.

Likewise the Bank’s Corporate Communication Policy promotes consistent communication and standardised disclosure practices for disseminating the material information to the public across various channels, including the Bank’s website, Annual Report, Annual General Meeting (AGM), Extraordinary General Meeting (EGM), Interim Financial Statements, regulatory filings, the investor feedback form given in the Annual Report, Bank’s website and through announcements, in the CSE.

Shareholders also have the opportunity to comment or make suggestions on publicly available information, through the Company Secretary, where all significant issues and concerns are referred to the Board with the views of the Management.

Annual General Meeting (AGM) and Voting Rights

Principles: C.1, C.2, E, F

The Board is responsible for convening the AGM following the conclusion of each financial year. A key forum for shareholder engagement, the AGM provides an opportunity for shareholders to interact directly with the Bank’s Board and senior management, facilitating transparent and constructive two-way dialogue on strategic, financial, and operational matters.

In compliance with the Colombo Stock Exchange (CSE) Listing Rules for listed entities, the notice of the AGM, the Annual Report and financial statements, and any proposed resolutions, together with detailed voting procedures are circulated to shareholders 15 working days prior to the meeting. The digital version of the Annual Report is also uploaded to the CSE website and made accessible on the Bank’s corporate website for review and download.

A tabulation of the details of the shareholder attendance at the AGM in the last year is given below.

Mode of Participation	No of Shareholders	No of shares represented	% of Shareholding
In person	101	343,050	0.07
By Proxy	66	302,943,836	66.44
Total represented	167	303,286,886	66.51

Shareholders are encouraged to participate in the AGM and exercise their voting rights either in person or by proxy. A structured mechanism is in place to record, validate, and count all proxy votes lodged for each resolution, ensuring accuracy and transparency in the voting process. Shareholders vote on re-elections, financial statements adoption, and other key matters. All shareholders were given the opportunity to submit any question to the Board/management during the AGM and a voting is conducted by on a show of hands. The outcomes of all resolutions are formally communicated to the CSE immediately following the conclusion of the AGM, in line with regulatory requirements and best practices in corporate governance.

HNB’s 57th AGM is scheduled to be held on 31st March 2026.

Governance of Group Companies

The Board seeks to establish a common standard of Corporate Governance across subsidiaries and is guided by the Board approved Charter for Management on Good Governance for Group Companies. In alignment with good governance practices and processes, the Board of Directors has decided to refrain as much as possible from appointing Key Management Personnel (KMPs) of HNB as Directors on the Boards of Bank subsidiary companies. It was further decided that, HNB KMPs currently serving as Directors on subsidiary Boards will continue until a Board decision is taken otherwise. Further, it was decided that going forward independent personnel be appointed as Board Chairs of the Bank’s subsidiary companies, while HNB’s MD/CEO and COO could participate at Subsidiary Board meetings on invitation.

CORPORATE GOVERNANCE

Reporting of Compliance

The Bank ensured full compliance with all provisions of the Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka. The Bank is fully compliant with the revised Section 9 of the Listing Rule on Corporate Governance issued by the Colombo Stock Exchange (CSE). Further, the Bank is compliance with majority of the requirements of the Banking Act Direction No. 05 of 2024 for Licensed banks issued by the Central Bank of Sri Lanka and measures are underway to comply with the remaining requirements within the specified timelines.

Compliance with Banking Act Direction No.05 of 2024 on Corporate Governance

Section	Principle, Compliance & Implementation
1.1	Responsibilities of the Board
1.1	Strengthening the Safety and Soundness of the Bank ✓ The Board's responsibilities are set out in the Policy on matters relating to the Board of Directors. The Board is accountable for the management of the affairs of the Bank and the safety and soundness of the Bank.
	a. Setting Strategic Objectives and Corporate Values ✓ The Bank's strategic objectives derived from the Vision and Mission Statements and its corporate values have been determined and approved by the Board of Directors and communicated to all levels of staff through multiple channels. The corporate values are included in the Policy on Internal Code of Business Conduct & Ethics which is available on the Bank's website, intranet, and explained to all new employees at orientation programmes.
	b. Approving Overall Business Strategy including Risk Policy and Management ✓ The Board of Directors approved the appointment of Boston Consultancy Group (BCG) as the consultant to develop the Strategic plan for 2026-2030. Strategic objectives would be set as part of the exercise. The Strategic Plan for 2026- 2030 was presented to Strategy and Investment Review Committee/Board in November and December 2025 for discussion and approved by the Board at its Special meeting held on 30th January 2026. The strategy and execution thereof is regularly reviewed by the Board. The Board has approved the overall risk strategy of the Bank, determining the Risk Appetite, Policies and Risk Management Framework & Mechanisms. The Corporate Strategic Plan is aligned to the overall risk strategy of the Bank, where Risk Appetite is considered in areas such as capital allocation and in the adoption of risk matrix to measure the risk levels. Governance and Compliance which are embedded in the Risk Management Policy Framework have also been included in the strategic plan. Further, the risk management procedures and mechanisms with time bound implementation milestones were approved and monitored by the Board Integrated Risk Management Committee (BIRMC) on a regular basis.
	c. Inculcating a strong Risk Governance Culture ✓ i. identifying risks and implementing appropriate systems to manage risk ii. establishing well defined organisational responsibilities for the three lines of defense iii. ensuring that the risk management, compliance and internal audit functions are properly positioned and sufficiently resourced. iv. Defining the risk appetite through a Risk Appetite Statement v. Outlining actions for breach of risk appetite limits The Board takes overall responsibility for risk management of the Bank. The BIRMC is tasked with assisting the Board in structuring the Bank's Risk Policy, defining the risk appetite, identifying risks, setting governance structures and implementing processes to measure, monitor and manage the risks. The following reports provide further insights in this regard: » Risk & Capital Review on page 276 » Board Integrated Risk Management Committee Report on page 256

Section	Principle, Compliance & Implementation
	The Bank has successfully established well-defined organisational responsibilities across the three lines of defence within the organisation. The business lines are tasked with the initial management of risks, ensuring that risk-taking activities are conducted within the established risk appetite. The risk management and compliance functions operate independently from the business lines and internal audit, providing a second layer of oversight and ensuring adherence to regulatory requirements and internal policies. Furthermore, the Bank's internal audit function, which is independent from both the business lines and the risk management and compliance functions, conducts regular reviews to ensure the effectiveness of the risk management framework. The risk management, compliance and internal audit functions are properly positioned, sufficiently staffed and resourced to carry out their responsibilities independently, objectively and effectively. This ensures the highest standards of governance and integrity are maintained, with operations conducted in a manner that mitigates risks and adheres to all relevant regulations. This approach strengthens organisational resilience and enhances the ability to achieve strategic objectives with confidence. Defining the risk appetite of the Bank aligning with the Bank's strategic, capital and financial plans is done by the BIRMC and approved by the Board. This is reflected in the Board approved Risk appetite statement. The Risk Appetite Limits and Key Risk Indicators of the Bank are monitored on a regular basis. The BIRMC takes prompt corrective action to mitigate the effects of specific risks in case such risks are at levels beyond the prudent risk levels decided by BIRMC based on the Bank's policies, regulatory and supervisory requirements. The BIRMC refers to the Human Capital Department in respect of the officers identified to be responsible for failure to identify specific risks in order to take prompt corrective actions as directed
	d. Establishing a policy to ensure that the Board is not dominated or significantly influenced by a director or a group of directors in a manner that is detrimental or prejudicial to the interests of the depositors, creditors, and the Bank as a whole; ✓ The Policy on matters relating to Board of Directors was amended with Board approval on 4th March 2025 incorporating provisions that no Director, nor any group of Directors, shall dominate or exert significant influence over the Board in a manner that could be detrimental or prejudicial to the interests of the depositors, creditors, or the Bank.
	e. Approving implementation of a policy of Communication with all Stakeholders ✓ HNB's Board approved Corporate Communication Policy ensures transparent, timely, and efficient communication with stakeholders including regulators, shareholders, customers, employees, and the public. Guided by principles of efficiency, transparency, proactivity, clarity, and feedback, the policy covers internal and external communications, regulatory disclosures, investor relations, crisis communication, and media engagement. Communication is managed through formal channels such as OneHNB, newsletters, the Bank's website and press releases. Investor engagement includes Investor forums, AGMs, meetings, road shows, webinars, etc., while strict protocols govern material information disclosure and compliance. The Corporate Communication Policy, which was reformulated in 2016 was revised in 2021 and 2025. In compliance with the revised CSE Listing Rules, the Board approved Policy on Relations with shareholders and investors and Policy on Corporate Disclosures to ensure effective and timely communications with all stakeholders and to standardise disclosure practices are in place. Shareholder Relations and Stakeholder Engagement are described on page 24. The Bank has substantially implemented the provisions of Banking Act Direction No 8 of 2011 "Customer Charter of Licensed Banks", which became effective in 2012. The Charter seeks to improve the quality and content in dispensing of customer service by enhancing customer protection, instilling trust and confidence in the Bank, while incorporating a set of customer obligations generated in the interests of the Bank's stability. During the year 2024 the Board reviewed the Customer Charter and made necessary amendments to incorporate the provisions in the Financial Consumer Protection Regulation Act No. 01 of 2023 which came into effect in August 2024. The FCRD of CBSL also conducted on-site survey/meeting on 24th February 2025 at Bank's Compliance Division, covering especially the digital activations & newly implemented services for customers. By looking at the overall implementation levels, they expressed their satisfaction with the digital steps/initiatives the Bank has taken to improve customer service.

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	f. Adequacy and the integrity of the Bank's Internal Control System and Management Information Systems ✓ The Board reviews the adequacy and the integrity of the Bank's Internal Control Systems and Management Information Systems through the Board Audit Committee (BAC). The BAC has reviewed reports from the Internal Audit Department in carrying out this function, together with the Management responses on the same. The minutes of the BAC meetings are tabled for the information of the Board on a periodic basis. Considering the reports provided by the BAC in 2025, the Board concluded that the Bank's Internal Control over Financial Reporting System is effective.
	g. Implementation of effective control systems for managing related party exposures and avoiding any conflicts of interest ✓ The Bank identifies Related Parties and Related Party Transactions as defined in Section 7.1 and Section 7.2 of the Banking Act Direction No. 05 of 2024. Related party transactions are carried out based on Section 47 of the Banking Act, Banking Act Determination No.04 of 2024 on approved security & Gazette No. 2404/33 on Limits for Accommodation issued on 3rd October 2024 by the Government of Sri Lanka. Accordingly, the Related Party Transactions Policy has been reviewed by the Related Party Transaction Review Committee and approved by the Board in order to ensure effective control and identify Related Parties of the Bank in accordance with the regulations and to ensure more favourable treatment is not afforded and conflict of interest is avoided that may arise from the transactions of such Related Parties. To ensure proper oversight of Related Party Transactions (RPTs), quarterly declarations are collected from Directors through the Board Secretary and from Key Management Personnel (KMPs) via the MD's Office. In relation to identification of related party within the group this confirmation is obtained from the Compliance Officers of group entities. These declarations are used to compile a centralised Related Party List, which is verified and subsequently published on HatnaNet. The CIF numbers of related parties are tagged in core banking and support systems, enabling system-generated alerts during transactions to prompt approvers to ensure arm's length treatment. All departments manually capture RPTs based on the published list and report them quarterly for review by the Related Party Transactions Review Committee (RPTRC). Any accommodation to related parties must be approved at a physical Board meeting with a two-thirds majority, excluding the interested Director, and facilities to KMPs are approved either by the Staff Loans Committee or the Board, depending on the exposure to KMP. Quarterly reports are submitted to the RPTRC and the Board of Directors, while CBSL reporting is handled by the Credit Admin Division. To manage conflicts of interest, Directors are required to declare their interests and abstain from related discussions. Sensitive documents are masked on BoardPac to prevent access by interested parties, and separate minutes are maintained for such discussions. Awareness and training sessions are conducted to relevant stakeholders.
	h. Business Continuity and Disaster Recovery Planning ✓ The Business Continuity Management Systems policy and the Bank-wide BCP document, which contain detailed procedures for business continuity planning, are reviewed annually by Board Integrated Risk Management Committee (BIRMC) and approved by the Board of Directors (last reviewed and approved in May 2025). DR drills are conducted annually for critical IT systems and departments to test the resilience of BCP arrangements. The DR Drill reports are submitted to the Board Integrated Risk Committee for review.
	i. Remuneration- alignment of remuneration with the Bank's risk culture and risk appetite ✓ A Board-approved, Bank-wide "Policy on Remuneration" has been established for determining the remuneration of Directors, KMPs and employees based on the recommendations of the HRRC. The HRRC has taken necessary steps to address the new requirement stipulated in Direction No. 05 of 2024, effective from 1st January 2025, that the Committee will collaborate with the BIRMC to ensure that the Bank's approach to remuneration aligns with its risk culture and risk appetite limits and the same was included in the TOR of the Committee as a responsibility which was approved by the Board of Directors.

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	j. Identify and designate Key Management Personnel (KMP) ✓ KMP are defined in the Sri Lanka Accounting Standard – LKAS 24 on “Related Party Disclosures”, as the persons who significantly influence policy, direct activities and exercise control over business activities, operations, and risk management. For the financial reporting purposes, the Board of Directors and selected key employees who meet the above criteria are considered as KMP of the Bank. For Corporate Governance reporting and monitoring purposes, Key Management Personnel comprise the Corporate Management (MD/CEO, COO, EVPs and SVPs), Head of Custody & Trustee Services as per the guideline of “Key Management Personnel in Banking Act Direction on Corporate Governance” issued by the CBSL. All appointments of Key Management Personnel are recommended by the Nominations & Governance Committee and approved by the Board. Appointments are effected after obtaining Fitness and Propriety approval from CBSL.
	k. Define areas of authority and key responsibilities for Directors, Chief Executive Officer and Key Management Personnel ✓ Areas of authority and key responsibilities for the Board of Directors are set out in the Policy on matters relating to Board of Directors. Areas of authority and key responsibilities for Key Management Personnel are stated in their job descriptions as recommended by the Nominations & Governance Committee and approved by the Board. The Board of Directors has delivered the entrusted responsibilities at an optimum level under the defined areas of authority during the year under review.
	l. Oversight of affairs of the Bank by CEO and Key Management Personnel ✓ The MD/CEO and other Key Management Personnel are accountable to the Board for the Bank’s operational and financial performance, in accordance with the policies set by the Board. The Board reviews the performance of the Bank against the strategic plan and receives reports from its Sub-Committees on matters delegated to them. Further, Key Management Personnel make regular presentations to the Board on matters under their purview and are also called in to explain matters relating to their areas.
	m. Assess effectiveness of own Governance Practices ✓ The effectiveness of the Board’s own governance practices, including the process for selection, nomination and election of Directors, CEO and KMPs and the process for management of conflict of interest [which is explained in detail under Rule 1.8] are reviewed by the Board on a periodic basis for identification of weaknesses. Implementation of changes required is discussed and determined by the Board at year-end, following the submission of the summary of annual self-evaluations of the Board and Board Sub-Committees.
	n. Approving the criteria for Self- assessment of Directors ✓ Each Director undertakes a self-assessment of the Board annually, to ensure responsibilities are satisfactorily discharged. The outcome of the appraisal for the financial year 2024 was tabled at the Board Meeting held in May 2025. Further, each Director carries out an assessment of “fitness and propriety” to serve as a Director. The summary of the Board Evaluation for the year 2025 was presented and discussed at the Nominations and Governance Committee meeting held on 26th January 2026 and the recommendations to be tabled and discussed at a Board meeting.
	o. Succession plan for CEO and Key Management Personnel ✓ The Bank has an appropriate succession plan for Key Management Personnel aligned to the Bank’s strategic objectives and Talent Management Programme. The plan is guided by the policy on succession planning for Key Management Personnel and Directors. The Nominations & Governance Committee is responsible for the formulation, review and rollout of the plan. Revised succession plan was tabled at the NGC for recommendation on 19th November 2025 and approved by the Board of Directors on 27th November 2025.
	p. Regular Meetings with CEO and Key Management Personnel ✓ The Board maintains a sound relationship with the Corporate/Senior Management led by MD/CEO, who in turn assists the Board to formulate policies, strategies, processes and practices that fit the Bank and its business needs in achieving corporate objectives. The Management is provided with opportunity to be open and transparent with the Board, bringing all significant matters to its attention. Key Management Personnel are regularly invited to attend Board and Sub-Committee meetings for discussion on matters concerning their areas of responsibility or make presentations on key agenda items.

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	q. Updating Material Changes in Regulatory environment and maintaining an effective relationship with regulator ✓ On appointment, Directors are provided with a folder containing all relevant governance information, including laws, regulations, directions and guidelines. Directors are briefed about regulatory developments at Board and Sub-Committee meetings by Key Management Personnel including the Heads of Internal Audit, Risk and Compliance and by attending Director Forums arranged by the Central Bank of Sri Lanka (CBSL) and other regulatory bodies. Further, Board members meet with CBSL officials as and when required to discuss matters specific to the Bank, maintaining an effective relationship with the regulator.
	r. Hiring and Oversight of External Auditors ✓ The External Auditor is appointed by following the procedures set out in Article 53 (iv) of the Articles of Association. The Board Audit Committee makes recommendations to the Board for the appointment, re-appointment or removal of the External Auditor in-line with professional & ethical standards and regulatory requirements. The Board has adopted a policy of rotation of external auditors, once in 6 years, and to change the audit partner once in every 3 years to be in line with regulatory requirements. A policy for Engagement of the External Auditor to provide Non-Audit Services is in place, as reviewed and recommended by the Board Audit Committee. In compliance with Section 163 (3) of the Companies Act No 07 of 2007, the External Auditors submit a statement annually, confirming their independence in relation to the External Audit. On the recommendation of the Board, the shareholders approved the re-appointment of Messrs. KPMG as the External Auditor of the Bank for the financial year 2025, at the last AGM. With the completion of the audit of the financial statements for the year ended 31st December 2025, Messrs. KPMG completed six consecutive years of external audit of the Bank. Accordingly, quotations were called from suitable audit firms, prior to the recommendation of new auditors as per the policy for rotation of external auditors. Based on the recommendation of the Board Audit Committee, the Board of Directors has recommended the appointment of Messrs Ernst & Young, Chartered Accountants as the Bank's Auditor for the year 2026. A resolution appointing Messrs Ernst & Young as Auditors for the ensuing year and authorising the Directors to fix their remuneration will be proposed at the Annual General Meeting to be held on 31st March 2026.
	s. & t. Approving and overseeing the implementation of a Code of Conduct and Ethics ✓ The Policy on Internal Code of Business Conduct and Ethics and the Policy on Anti Bribery and Corruption have been adopted by the Board of Directors of the Bank and set forth broadly the standards of conduct and principles to be adhered to by Directors and employees in carrying out their respective duties and responsibilities to the highest standards of personal and corporate integrity. It ensured that Directors and employees of the Bank adhere to the highest code of business conduct and ethical considerations in all of their activities.
	u. Timely Rectification of supervisory concerns ✓ KMPs are encouraged to provide achievable target dates to address supervisory concerns/recommendations. Responses to address the concerns are followed up with the KMP and progress report is submitted to CBSL. Few remaining observations that will have to be addressed within the extended timeline due to the inherent nature of the concern and external dependencies. Repeated concerns are separately followed through a meeting for resolution with the participation of MD/CEO.
	v. Approving a Whistleblowing policy ✓ The Board has approved a Whistleblowing Policy with a view to encouraging employees to communicate confidentially the legitimate concerns regarding illegal, unethical or questionable practices without the risk of reprisal. The Whistleblowing policy was last reviewed in September 2025.
	w. Ensuring the availability of policies on Sustainable Development and ESG ✓ Board approved Policy on Environmental Social and Governance (ESG) factors is in place. The policy was approved in September 2024 and reviewed periodically. The latest updates to the ESG Policy were approved by the Board of Directors on 28th January 2026
1.2	Appointment of Chairman and CEO and defining and approving their functions and responsibilities ✓ The Board has appointed the Chairman and the MD/CEO. Their roles and responsibilities are set out clearly and separately in the Policy on matters relating to the Board of Directors ensuring a balance of power and authority and preventing unfettered power being vested with an individual. These functions and responsibilities are in line with Direction 5 of said Directions.

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1.3	Regular Board Meetings ✓ Monthly Board meetings are held regularly, and special meetings are scheduled based on need. Twenty four (24) Board meetings were held as at 31st December 2025, out of which five (5) meetings were conducted with extended teleconferencing. Directors actively participate in the meetings deliberating on matters set before the Board. Attendance at Board meetings is given on page 187. Urgent Board Papers are approved via circular resolution only on an exceptional basis, where such resolutions are ratified by the Board at the next meeting. 4 Resolutions and 3 papers were approved, via circulation.
1.4(a)	Arrangements for Directors to include proposals in the agenda ✓ The Board Calendar with tentative dates for Board and Sub-Committee meetings for the following year is sent to all members approximately one month before the end of the current year. The Chairman sets the Board Agenda assisted by the Company Secretary. Directors submit proposals for inclusion in the agenda up on discussion with the Chairman. Board Agenda was reviewed during the year and improvements were made to manage the effectiveness of managing the time.
1.4(b)	Notice of Meetings ✓ Notice of meetings, Agenda and Board Papers for the meetings are sent generally seven (7) days before the meeting, giving members sufficient time to attend the meeting and study the documents. Urgent Board Papers are included under Any Other Business in the agenda on exceptional basis, with the consent of the Chairman.
1.4 (c)	Directors' Attendance ✓ At appointment, all Directors are apprised of the regulations on attendance in accordance with the Banking Act Direction No 05 of 2024. Attendance at Board meetings is given on page 187. All Directors have attended at least two thirds (2/3) of Board meetings held during the period ended 31st December 2025, the lowest attendance being Eight (8) Directors at a Meeting. No Director has been absent from three (3) consecutive meetings during the year 2025.
1.5 (a)	Appointing and setting responsibilities of the Company Secretary ✓ The Board has appointed a Company Secretary, an Attorney at Law, who satisfies the provisions of Section 43 of the Banking Act No.30 of 1988 (as amended). The Company Secretary guides the Board on discharging its duties and responsibilities, facilitates adherence to best practices in Corporate Governance and appraises the Board of relevant legislative and regulatory changes.
1.5 (b)	Directors' access to advice and services of the Company Secretary ✓ All Board members have full access to advice and services of the Company Secretary to ensure that proper Board procedures are followed, and all applicable rules and regulations are complied with.
1.5 (c)	Implementation of recommendations of the BNGC for Director training and capacity building ✓ The Company Secretary ensured implementation of the recommendations made by Nominations and Governance Committee on training, capacity building and professional development programs for the Directors. During the period the following training programs were arranged for Director participation. 1. Mandatory Session on "Corporate Governance for Licensed Banks" for Board of Directors and Officers Performing Executive Functions of the Hatton National Bank PLC – 23rd May 2025 2. SLID INED Forum – Corporate Strategy & Oversight – 2nd June 2025 3. Induction program for the new Director – 19th June 2025 4. Session on economic update (External Resource) – 16th June 2025 5. Data Privacy session (External Resource) – 28th July 2025 6. Companies (Amendment) Act No.12 of 2025 – 12th September 2025 7. Sustainable Finance Conference 2025-Conducted by Sri Lanka Banks' Association and The Ceylon Chamber of Commerce – 09th October 2025

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	8. Salient Features of the Companies (Amendment) Act No.12 of 2025-By Chairman – 14th October 2025 9. Precautionary measures in sharing confidential information - (External Resources) – 14th October 2025 10. Cyber Security posture-CBSL requirement-CISO – 24th November 2025 11. Annual High-level Awareness Conference for Board of Directors of Licensed Banks, Licensed Finance Companies, Money or Value Transfer Service Providers, Primary Dealers, Stockbrokers and Micro Finance Companies in Sri Lanka organised by the Financial Intelligence Unit (FIU) of the Central Bank of Sri Lanka (CBSL)
1.5 (d)	Maintenance of Board Minutes ✓ Company Secretary maintains the minutes of the Board meetings together with the recordings of such meetings. The minutes are reviewed by the Chairman and are circulated to all Board members and approved at the next Board Meeting upon incorporating any amendments proposed by other Directors. The minute book is maintained by the Company Secretary and open for inspection by any Director or the regulator.
1.6	Maintaining Minutes with sufficient detail and serve as a reference for regulators and supervisory authorities Including the Board's knowledge and understanding of the risks to which the bank is exposed to, and an overview of the risk management measures adopted; ✓ Minutes of Board meetings are recorded in sufficient detail to reflect that the Board acted with due care and prudence in performing its duties and to serve as a reference for regulatory and supervisory authorities to assess the depth of deliberations at Board meetings. The detailed minutes of the meetings include the following: » a summary of data and information used by the Board in its deliberations; » the matters considered by the Board members; » the fact-finding discussions and the issues of contention or dissent; » the testimonies and confirmations of relevant executives which indicates compliance with the Board's strategies and policies and adherence to relevant laws and regulations; » matters related to risks to which the Bank is exposed and an overview of the risk management measures adopted; » the decisions and resolutions of Board/Board Sub-Committees.
1.7	Directors' ability to seek independent professional advice ✓ Procedures are in place to allow Directors to seek independent professional advice, as and when necessary and at the Bank's expense, in discharging their duties and responsibilities. This facility is coordinated through the Company Secretary.
1.8	Dealing with Conflicts of Interest ✓ Article 40 of Articles of Association, the Policy on matters relating the Board of Directors and the Policy on Internal Code of Business Conduct and Ethics addresses the provision with regard to this requirement. The Board is conscious of its obligations to ensure that Directors avoid conflicts of interest (both fact and apparent) between their duty to HNB and their other interests. The Board has taken steps to ensure that conflicts and potential conflicts of interest of Directors are disclosed to the Board. Any Director with a material personal interests in a matter being considered by the Board, declares his/her interests and shall not receive access to information pertaining to such matter both physically and/or electronically unless the Board resolves otherwise, he/she does not participate in discussions or vote on that specific matter. The Directors declare their interests at appointment and thereafter on a quarterly basis. The Bank also maintains the Register of Directors' Interests which is regularly updated in line with the regulatory requirements. In addition, Policy on Anti Bribery & Corruption and relevant internal guidelines are in place to ensure the Bank's commitment towards anti-corruption practices. Further, an effective and comprehensive internal control framework for identifying, recording and disclosing Related Party Transactions is also in place. The Policy on matters relating to the Board of Directors and the Policy on Internal Code of Business Conduct and Ethics have been reviewed and amended with the Board approval on 4th March 2025 incorporating provisions to strengthen the above procedure as required in terms of Banking Act Direction No 05 of 2024 on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka.

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1.9	Inform Central Bank, on probable solvency issues ✓ The Bank is solvent and no situations have arisen to challenge its solvency. In the unlikely event, the Bank is about to become insolvent, a procedure is however in place to inform the Director of Banking Supervision of same, prior to taking any decision or action to suspend payments due to depositors and other creditors.
1.10	Capital Adequacy and prudential requirements ✓ The Board monitors capital adequacy and other prudential measures to manage risk and to ensure compliance with regulatory requirements. The Bank is in compliance with the minimum capital requirements of the Central Bank of Sri Lanka.
1.11	Publish Corporate Governance Report in Annual Report ✓ This report forms part of the Corporate Governance Report of the Bank which is set out on pages 164 to 231.
2	The Board's Composition
2.1(a)	Formal and transparent procedure for appointing Directors to the Board ✓ The Board approved procedure for appointment of Directors is in place. The same is reviewed by the Nominations and Governance Committee and recommended for Board approval. The revised procedure was approved by the Board on 26th September 2025.
2.1 (b)	Prohibition of a director or employee of a bank, becoming a Director of the Bank ✓ None of the Directors are Directors or employees at any other bank. This is a requirement when seeking appointments of Directors. MD/CEO is the Chairman of HNB Investment Bank which is a 100% owned subsidiary of the Bank.
2.1 (c)	Prohibition for Directors representing shareholders (in contravention of Section 12 (1C) of the Banking Act participating and voting in appointing independent Directors ✓ Director Dr Prasad Samarasinghe who represents Stassen Group abstained from participating and voting in appointing independent directors.
2.2	(a) Number of Directors ✓ The Board consists of ten (10) Directors as at 31st December 2025, compliant with CBSL Direction which requires the number of Directors to be not less than seven (7) and not more than thirteen (13). (b) Female representatives on the Board ✓ Ms Dilani Alagaratnam - Independent/Non- Executive Director appointed w.e.f. 31st January 2025 well ahead of the extended time given up to 31st December 2025 and measures are underway for selecting a suitable candidate to fill the 2nd female representation by 31st December 2026.
2.3	Executive Directors – Board Balance ✓ There is one (1) Director who served in an Executive capacity in the Board as at 31st December 2025. The Board balance is compliant with the CBSL Direction which limits the number of Executive Directors to 1/3 of the Board.
2.4	Criteria for Non-Executive Directors ✓ All Non-Executive Directors are eminent professionals in their respective fields, with credible track records and necessary skills and experience. They contribute diverse perspective to matters set before the Board Meeting, bringing independent judgement to bear on issues of strategy, performance and resources and contribute towards the sustainability of the Bank.
2.5	Independent Non-Executive Directors ✓ The Board comprises six (6) Independent Non-Executive Directors as at 31st December 2025, in compliance with regulatory requirements. Directors satisfy the criteria for determining independence, which is reviewed quarterly by the Board, based on self- declaration forms submitted by the Directors.
2.6	Representation through Alternate Directors ✓ No Alternate Directors were appointed to represent Non-Executive Directors.
2.7	Quorum for the Board Meetings- at least half of the Board of Directors of which more than one third comprise of Independent Non- Executive Directors. ✓ 1/3 of the number of Directors present at meetings are independent non-executive Directors.

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3.0	Suitability of Directors
3.1	Criteria to Assess Fitness and Propriety ✓ CBSL prior approval for the fitness and propriety of the Director appointed during 2025 has been obtained.
3.2	Additional Requirements for suitability of directors ✓ (a) Age of a Director should not exceed 70 ✓ There are no Directors who are over seventy (70) years of age. (b) Period of service of a director should not exceed 9 years ✓ The total period of service of all Non-Executive Directors does not exceed nine (9) years as required by the CBSL Direction. Tenures of service of Directors are given on page 181. (c) Directors should not be Directors of more than 20 companies/entities/institutions inclusive of subsidiaries or associate companies of the Bank. ✓ The Directors do not hold Directorships of more than twenty (20) companies/entities/institutions inclusive of Subsidiaries or Associate Companies of the Bank. Directorships in other companies are given on page 146 to 151. (d) Sufficient time to carry out responsibilities as a Director ✓ The Bank has complied with the direction when appointing Directors during the year.
3.3	Cooling-off Period ✓ A Director or CEO of a bank shall not be appointed as a Director or CEO of the Bank before the expiry of a period of six months from the date of cessation of his/her office. The Bank has complied with the directions when appointing Directors during the year.
4.0	Delegation of functions
4.1	Clear Division of Responsibilities at the Board and Key Management level ✓
4.2	Formal Schedule of Matters for decision making ✓ The Board reserves for itself a formal schedule of matters on which it takes the ultimate decision.
4.3	Restrictions to Delegate- Extent of delegation should not hinder the Board's ability to discharge its functions ✓ The Board clearly understands the delegation arrangements in place and consciously delegates authority to the Board sub committees and Management to carry out certain duties to ensure a greater balance of power and authority so that powers are not concentrated in any individual. Such delegation does not hinder or reduce the Board's ability to discharge its functions within the provisions of the Bank's Articles of Association. The Management, who carries out duties on behalf of the Board under such delegated authority, are required to report to the Board regularly on such matters attended by them.
4.4	Review of Delegation process- Review delegation arrangements periodically to ensure relevance to the operations of the Bank ✓ The Board has a clear understanding of the delegation arrangements, studying, reviewing and approving the extent of delegation annually to ensure it meets the business needs of the Bank whilst enabling the Board to effectively discharge their duties. Delegated Authority for lending was reviewed and approved by the Board during the year 2025.
5.0	The Chairperson and CEO
	(a) The overall governance by the Board ✓ (b) The day-to-day management of the Bank's business by CEO ✓ The Board has duly appointed the Chairman and the MD/CEO of the Bank and their functions and responsibilities are defined in line with the regulatory requirements. In that respect, the functional responsibilities of the Board Chairman and the MD/CEO are clearly documented and duly approved by the Board.

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	As set out in the Policy on Matters relating to the Board of Directors, the responsibility for the day-to-day management of the business of the Bank has been delegated to the MD/CEO in his capacity, as the apex executive-in-charge of the day -to-day management of the Bank's operations and business.
5.1	Division of Responsibilities between Chairperson and CEO- Separation of roles ✓ There is a clear separation between roles of the Chairman and the CEO, ensuring a balance of power for decision-making.
5.2	Suitability of the Chairperson A Non-Executive Independent Director as the Chairman or if not independent, designation of an Independent Director as Senior Director ✓ Chairman, Mr Nihal Jayawardene was appointed as the Chairman w.e.f. 9th June 2023. As Mr Nihal Jayawardene is considered a Non-Independent Director as per CBSL regulations, Mr Devaka Cooray was designated as the Senior Independent Director w.e.f. 9th June 2023. A formal Terms of Reference for the Senior Independent Director is in place. Measures are underway to adhere to the extended timeline to comply with the requirement.
5.3 5.3 (a)	Responsibilities of the Chairperson Chairperson to provide leadership to the Board ✓ The Chairman led the Board ensuring that it performs effectively. The effectiveness of the Chairman in discharging Board functions is assessed annually by the Board and through the self-assessment process.
5.3 (b)	Ensure all key and appropriate issues are discussed in a timely manner. ✓ The Chairman ensured that the Board acts in the best interests of the Bank on a timely basis.
5.3 (c)	Responsibility for agenda lies with Chairman but may be delegated to Company Secretary ✓ The Chairman sets the Board agenda, assisted by the Company Secretary and MD/CEO.
5.3 (d)	Ensure that Directors are properly briefed and provided adequate information ✓ The Chairman ensured that the Board is sufficiently briefed and informed regarding the matters arising at Board Meeting. Board Papers are circulated generally seven (7) days prior to the meeting, giving members adequate time to study the documents. The Chairman ensured that urgent Board papers are included under Any Other Business in the agenda on exceptional basis with his prior approval. Directors have access to KMPs to clarify matters and to external professionals for independent advice, when required.
5.3 (e)	Encourage active participation by all Directors and lead in acting in the interests of the Bank ✓ The Chairman has encouraged all Directors to actively contribute towards the best interests of the Bank and it is addressed in the list of functions and responsibilities of the Chairman which was approved by the Board.
5.3 (f)	Encourage participation of Non-Executive Directors and relationships between Non-Executive and Executive Directors ✓ The Chairman has encouraged effective participation of all Directors and constructive relations between Executive and Non-Executive Directors. This function is assessed annually by the Board and by the Chairman in the self-assessment. Additionally, Non-Executive Directors chair the Board Sub-Committees, providing further opportunities for active participation.
5.3 (g)	Encourage all Directors to make critical and constructive discussions ensuring expressions of dissenting views in the decision - making process. ✓ The Chairman has encouraged all Directors to make critical and constructive discussions and ensured that in the decision-making process the dissenting views expressed are considered and recorded appropriately.
5.3 (h)	Refrain from direct supervision of Key Management Personnel and executive duties ✓ The Chairman does not get involved in the direct supervision of Key Management Personnel or any other executive duties.

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5.3 (i)	Ensure effective communication with Shareholders ✓ The Annual General Meeting (AGM) is the main mechanism for shareholders' views to be heard and where the Board interacts with and clarifies matters for the shareholders. The Board has formulated a formal policy to handle shareholders' complaints. The shareholder engagement is given on page 193.
5.4	Conduct of CEO ✓ (a) CEO functions as the apex executive in charge of the day-to-day operations ✓ As set out in the Policy on matters relating to the Board of Directors, the responsibility for the day-to-day operations and business of the Bank has been delegated to the MD/CEO in his capacity, as the apex executive - in charge of the management. (b) Prohibition for becoming a director or employee of another bank or company/institution/entity other than a subsidiary or an associate of the Bank. ✓ MD/CEO has been appointed as Non-Executive Director of Bank Subsidiary HNB Investment Bank (Pvt) Ltd. In addition to the above the MD/CEO has also been appointed as a Director in other institutions established for the development and effective functioning of the Banking Industry. (c) Sufficient time for effective discharge of responsibilities as CEO ✓ Despite these additional roles, MD/CEO ensured such directorships do not hinder his ability to devote sufficient professional time to discharge his duties and responsibilities as the MD/CEO of the Bank.
5.5	Suitability of CEO ✓ Criteria to Assess Fitness and Propriety. MD/CEO has fulfilled the fit and proper assessment criteria outlined in Section 44 A of the Banking Act (as amended) and possesses sufficient authority, stature, knowledge, competencies and expertise in the core banking function given the size, scale diversity and complexity of the operations of the Bank.
6.0	Board Committees
6.1	Requirements for the Board Committees- Establishing Board Committees, their functions and reporting ✓ The Board has appointed ten (10) Sub-Committees to ensure its oversight and control over the affairs of the Bank of which Five Committees are mandatory in terms of the applicable regulatory requirements while the other five Committees are non- mandatory Committees established to strengthen the Board decision making process in line with best practices in good governance. The details of Board Sub-Committees are disclosed on pages 175 to 179. Each Sub-Committee is governed by its own Terms of Reference and act on behalf of the Board and function under the oversight of their respective chair. The Sub-Committee Chairman is accountable for the effective functioning of Committees and reports on a periodic basis to the Board on the activities of their respective Sub-Committees, highlighting matters for Board attention. Each Sub- Committee has a secretary who arranges the meetings and maintains minutes and records in sufficient detail under the supervision of the Chairman of the Sub-Committee. The minutes of all Committee meetings are submitted to the Board thereby ensuring that the Directors are fully informed of all discussions and decisions taken by the Committees. The quorum of each of these sub committees consists of majority of members of which the majority should be independent Directors. Committee mandates are reviewed regularly. The Reports of the Mandatory Sub Committees are included in this Annual Report highlighting its membership, responsibilities and performance during the period under review.

Section	Principle, Compliance & Implementation
6.2	Board Audit Committee (BAC)
6.2 (a)	Chairman of the Committee shall be an Independent Non-Executive Director and should not the chair of the Board or any other Board Committee. The Chairman should possess qualifications and experience in finance, accountancy and/or audit with a membership of a recognised professional accounting body. ✓ The Chairman of the Board Audit Committee (BAC), Mr Devaka Cooray is an Independent Non-Executive Director. He is a Fellow Member of the Institute of Chartered Accountants of Sri Lanka and the Chartered Institute of Management Accountants United Kingdom. He has worked with Messrs. Ernst & Young for over 40 years, of which 30 years was as a Senior Assurance and Talent Partner. He functioned as the Deputy Managing Partner from 2016 until his retirement in 2019. Mr Devaka Cooray has spearheaded many initiatives during his tenure at Messrs. Ernst & Young. Mr Cooray does not chair any board subcommittee other than the Board Audit Committee.
6.2 (b)	Committee to comprise solely Non-Executive Directors with a majority of Independent Directors ✓ All the members of the BAC are Non-Executive Directors. Further the BAC is comprised of a majority of independent directors.
6.2 (c)	Majority of the members of the Committee shall not be constituted by the members of BIRMC ✓ The Board Audit Committee (BAC) comprises only of a single director who is a member of both the BAC & BIRMC. Accordingly, the BAC does not constitute a majority of members from the BIRMC and vice versa.
6.2 (d)	Board Audit Committee functions ✓ In accordance with the Terms of Reference the BAC has made the following recommendations In terms of its mandate, the Board Audit Committee is responsible for the following key recommendations: - The appointment of the External Auditor for audit services in line with professional and ethical standards and in compliance with regulatory requirements. On the recommendation of the Board Audit Committee/Board, the shareholders have approved Messrs. KPMG as the External Auditor of the Bank for the year 2025, - The service period, audit fee and any resignation or dismissal of the auditor. - The Board has adopted a policy of rotation of external auditors, once in 6 years, and to change the audit partner once in every 3 years to be in line with regulatory requirements, - The implementation of the Central Bank guidelines issued to auditors from time to time and, - Monitoring and review of the adequacy and effectiveness of accounting policies and the application of relevant accounting standards.
6.2 (e)	Review and monitor the external auditor's independence, objectivity and the effectiveness of the audit process ✓ The Board Audit Committee monitors and reviews the External Auditor's independence, objectivity and the effectiveness of the audit process, taking into account relevant professional and regulatory requirements.
6.2 (f)	Policy on the engagement of external auditors for non-audit services ✓ The BAC is guided by the Board approved policy for Engagement of the External Auditor to provide Non-Audit Services. The Policy was reviewed in 2021. In assignment of Non-Audit Services to External Auditors by the Bank, the Board/ Board Audit Committee ensures that the External Auditor has the necessary skills and experience for the assignment and ascertains the independency and/or objectivity of the External Auditor in carrying out his duties and responsibilities will not be impaired. Assigning such Non-Audit Services to External Auditors is discussed at BAC meetings and prior Board approval is obtained. Refer Board Audit Committee Report on page 259 for further details.
6.2 (g)	Determines the nature and scope of the audit ✓ The External Auditor Messrs. KPMG attended 05 meetings during the period. The External Auditor presented the audit approach and procedures, including nature & scope of the audit and auditor's independence to the Committee.
6.2 (h)	Review the accounting policies/systems, internal control, framework ✓ The Committee had reviewed the accounting policies/systems and the internal control framework with a view to ensuring transparency and integrity of the bank's financial reporting process and the adequacy of accounting and other internal controls.

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Section	Principle, Compliance & Implementation
6.2 (i)	Review financial information of the Bank ✓ The Committee reviews the financial information of the Bank, which are presented by the CFO in order to ensure the integrity of the Bank's Financial Statements, Annual Report, accounts and quarterly reports prepared for disclosure, and the significant financial reporting judgements contained therein. The review focuses particularly on the following: i. Major judgemental areas, ii. Any changes in accounting policies and practices, iii. Significant adjustments arising from the audit, iv. The going concern assumption, v. Compliance with relevant accounting standards and other legal requirements.
6.2 (j)	Discussions with External Auditor on interim and final audits ✓ The Board Audit Committee discusses issues, problems and reservations arising from the interim and final audits with the External Auditor.
6.2 (k)	Review of Management Letter and Bank's response ✓ The Board Audit Committee reviewed the External Auditor's Management Letter for 2024, and the Management's response and follow up on addressing the same thereto during 2025.
6.2 (l)	Review of Internal Audit Function ✓ During the year, the Board Audit Committee reviewed the independence, objectivity and performance of the Internal Audit Function, ensuring the function acts with impartiality, proficiency and due professional care. The BAC reviewed the adequacy of coverage of the internal audit plan and approved the same. The Committee also assessed the Internal Audit Department's resource requirements including succession planning and is satisfied that the Internal Audit Department has the necessary authority to carry out its work. The Committee reviewed internal audit findings, management responses thereto and results of the follow up action taken on the recommendations of the Internal Audit Department. The Internal Audit Department's evaluation of the Bank's internal controls was reviewed by the Board Audit Committee. The Committee reviewed the performance appraisal of the Chief Internal Auditor and other senior staff members of the Internal Audit Department. The Committee is mandated to recommend the appointment or termination of the head, senior staff members and outsourced service providers to the internal audit function as and when required. The Committee is being kept appraised of resignations of senior staff of the Internal Audit Department together with the reasons for resigning if any. The Chief Internal Auditor directly reports to the Board Audit Committee, ensuring the independence of the Internal Audit function.
6.2 (m)	Internal Investigations ✓ Major findings of internal investigations and management's responses thereto are reviewed by the Board Audit Committee together with the implementation of the recommendations.
6.2 (n)	Attendees at Board Audit Committee Meetings ✓ Other Board members, MD/CEO, Chief Internal Auditor, Chief Financial Officer, other Key Management Personnel attend meetings on invitation for relevant agenda items. Further, representatives of the External Auditor also attend meetings for relevant agenda items. The Committee met the External Auditor twice during 2025, in the absence of the Executive Director and KMPs.
6.2 (o)	Explicit authority, resources and access to information ✓ The Terms of Reference of BAC includes; The Board Audit Committee is guided by the Terms of Reference (TOR) which sets out authority of the said Committee. The TOR was last reviewed in April 2025. The Board Audit Committee is authorised to obtain external professional advice and to invite outsiders with relevant experience to attend meetings as and when necessary. The Committee also has full access to information in order to investigate matters relating to its Terms of Reference. Terms of Reference of the Committee is described in the Committee Report given on page 259.

Section	Principle, Compliance & Implementation
6.2 (p)	Regular Meetings ✓ The Board Audit Committee met 12 times (which includes a Special joint Meeting of the Board Audit Committee and Board Integrated Risk Management Committee) during the period. Conclusions in discharging its duties and responsibilities are recorded in the minutes of the meetings maintained by the secretary to BAC.
6.2 (q)	Maintain Minutes of Meetings ✓ Minutes of Board Audit Committee meetings are recorded and maintained by the Secretary to the Committee. The Chief Internal Auditor serves as the Secretary to the Committee.
6.2 (r)	Ensure effective implementation of the Board approved Whistle Blowing Policy ✓ A Board approved Whistle Blowing Policy is in place and the same has been last reviewed in September 2025. The Whistle Blowing Policy and the mechanism had been communicated to all staff members. The Board Audit Committee reviews issues relating to breach of ethics if any and the arrangements by which the staff of the Bank may in confidence to raise concerns about possible improprieties. The Committee also ensured that the procedures for the independent investigations of such matters are appropriate and are in place. The Independent Non-Executive Directors handling whistle blowing complaints provide regular updates to the BAC. The Policy on matters relating to the Board of Directors addresses the Board's responsibility to encourage any communication regarding non-compliances and unethical behaviour within the Bank.
6.2 (s)	Overseeing Relationship with the external auditor ✓ The Board Audit Committee acts as the key Board subcommittee for overseeing the bank's relations with the external auditor.
6.3	Human Resources & Remuneration Committee (HRRC)
6.3 (a)	Chairman of the Committee shall preferably be an Independent Non-Executive Director and should not be the chair of the Board ✓ HRRC is chaired by an Independent/Non- Executive Directors who is not the Chairman of the Board.
6.3 (b)	Committee should constitute preferably with a majority of Independent Directors ✓ The Committee comprises with five Non- Executive Directors of whom four are Independent Directors
6.3 (c)	Meetings ✓ The MD/CEO attends Human Resources & Remuneration Committee by invitation. The MD/CEO is not present when matters relating to him are being discussed.
6.3 (d)	Determine Remuneration Policy. ✓ A Board approved Bank wide Policy on Remuneration has been established for determining the remuneration of Directors, KMPs and employees based on the recommendations of the HRRC. The Committee reviewed the Policy on Remuneration to include a claw back policy as required under Banking Act Direction No 05 of 2024 on Corporate Governance issued by CBSL and Board approval obtained on 26th September 2025.
6.3 (e)	Setting Goals and Targets ✓ The goals and targets of the Board of Directors have been clearly set out and evaluated at the end of the year. The goals and targets for the CEO and the Key Management Personnel are well-documented. Further, the goals and targets for 2025 for the CEO and the Key Management Personnel were approved by the Board.
6.3 (f)	Performance Evaluation ✓ The performance evaluation of the CEO and the KMPs for the year 2025 were carried out by the HRRC with reference to the goals and targets achieved by the Bank and reported onward to the Board. The Committee deliberates upon and recommends to the Board of Directors the basis for revising remuneration, benefits and other payments of performance-based incentives. The standard procedures are in place for this purpose to ensure the consistency between the Bank's achievements and the industry standards.

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Section	Principle, Compliance & Implementation
6.3 (g)	Ensure obtaining prior written approval of shareholders for special payments/financial and non- financial benefits ✓ The requirement has not arisen. Will seek approval if the necessity arises.
6.3 (h)	Ensure compensation is within the risk appetite limits of the Bank. ✓ The HRRC has taken necessary steps to address this requirement in collaboration with the BIRMC to ensure that the compensation made to Directors, CEO and KMPs aligns with its risk culture and risk appetite limits of the Bank and same was included in the TOR of the Committee as a responsibility which was approved by the Board of Directors.
6.3 (i)	Establishing a policy on claw-back arrangements for performance-based payments. ✓ The Bank has reviewed the existing Policy on Remuneration and incorporated provisions pertaining to claw back arrangement for performance-based payments made to CEO and KMPs of the Bank. The revised Policy on Remuneration was approved by the Board of Directors on 26th September 2025. Further the Bank has incorporated claw back procedure into the employment contracts of CEO and KMPs including the existing CEO and KMPs with effect from 30th November 2025.
6.4	Nomination and Governance Committee (NGC)
6.4 (a)	Composition of Nomination and Governance Committee ✓ Chairman of the Committee shall be an Independent Non-Executive Director and should not be the chair of the Board. Committee should constitute with a majority of Independent Directors. NGC is chaired by an Independent/Non- Executive Director who is not the Chairman of the Board. The Committee comprises with three Non- Executive Directors of whom two are Independent Directors. The MD/CEO attends NGC meetings by invitation. The MD/CEO is not present when matters relating to him are being discussed. The following Non-Executive Directors served on the Nominations & Governance Committee during 2025. Chairman Mr Sivakrishnarajah Renganathan – Independent Non-Executive Director appointed w.e.f. 26th April 2024- appointed as Chairman on 5th March 2025. Other Committee Members Mr Devaka Cooray - Independent Non-Executive Director Mr Madura Ratnayake - Independent Non-Executive Director - resigned w.e.f. 30th May 2025 Mr Nihal Jayawardene - Non-Independent/Non-Executive Director Mr Suresh Shah - Independent Non-Executive Director - appointed w.e.f. 1st August 2025 Ms Dilani Alagaratnam- Independent Non-Executive Director - appointed w.e.f. 1st August 2025 Terms of Reference of the Committee is described in the Committee Report on page 248. Terms of Reference of the Nominations & Governance Committee was revised to be in line with the Banking Act Direction No 05 of 2024 on Corporate Governance issued by CBSL and approved by the Board of Directors on 13th December 2024.
6.4 (b)	Ensure implementation of a formal and transparent procedure for Appointment of Directors, CEO and Key Management Personnel ✓ A Board approved formal and transparent process is in place to identify, nominate and recommend new directors, CEO and KMPs. The Nominations & Governance Committee processes and short-lists candidates and makes recommendations to the Board for approval. The attributes and experience required from potential appointees are identified and agreed prior to the search process, considering the combined knowledge, experience and diversity of the Board, in relation to the Bank's strategic plans and any gaps thereof. The Committee reviewed the procedure to appoint Directors, MD/CEO, CEO and KMPs to further strengthen the criteria for selections and recommended it for Board approval. The Board approved the procedure on 26th September 2025.

Section	Principle, Compliance & Implementation
6.4 (c)	Ensure Fit & Propriety of Directors, CEO and Key Management Personnel ✓ The Bank obtains Declarations and Affidavits from Directors MD/CEO and KMPs to carry out an assessment of “fitness and propriety” to serve as a Director, CEO and KMP of the Bank. These declarations are reviewed by the Nominations & Governance Committee prior to submission to the Director of Bank Supervision of the Central Bank of Sri Lanka.
6.4 (d)	Obtain BIRMC views in selecting CRO and COO and BAC views in selecting CIA ✓ The NGC has certain eligibility criteria, including qualifications, experience and key attributes to be considered for the appointment or promotion to Key Management positions. Additionally, the Committee obtains the views of the BIRMC in selecting the Chief Risk Officer (CRO) and Chief Compliance Officer (CCO) and that of the BAC in selecting Chief Internal Auditor (CIA).
6.4 (e)	Re-election of Directors ✓ All Directors (other than the Executive Director) appointed to the Board are subject to re-election by shareholders at the first Annual General Meeting after their appointment. The Committee considers and recommends the re-election of the Directors to the Board. During the year under review Ms Dilani Champika Alagaratnam who was appointed to the Board w.e.f 30th January 2025 was re-elected by shareholders at the AGM held on 27th March 2025 In terms of the Provisions in the Articles of Association 1/3 of the NEDs retired at each AGM and submitted themselves for re-election. The Committee considered inter-alia the periodic evaluations of the performance, and contributions made by the Director/s concerned towards the overall discharge of the Board’s responsibilities. The Committee conducted an evaluation of the performance of the Directors retiring by rotation against an evaluation matrix prepared and adopted. Retiring members of the NGC abstained from participating in decisions relating to their own appointment or reappointment. In addition, a self-review process to ascertain the extent of the contribution participation and engagement of each Director is conducted.
6.4 (f)	Quarterly evaluation of Independence of the Independent Directors ✓ With effect from 1st January 2025, the Committee implemented a process to evaluate the independence of independent NEDs on quarterly basis. The evaluation for the first quarter ended 31st March 2025 have, been conducted by the NGC at its meeting held on 25th June 2025, 2nd quarter ended 30th June 2025 on 2nd September 2025, 3rd quarter ended 30th September 2025 on 19th November 2025, and 4th quarter ended 31st December 2025, on 26th January 2026 and concluded that the Independent NEDs do not have any conflicts of interest that could hinder their ability to perform their duties independently. Any changes to the Independent status of the NEDs (if any) will be reported to the regulatory authorities.
6.4 (g)	Eligibility criteria for appointment or promotion to key managerial positions including CEO ✓ The Committee sets the eligibility criteria, including qualifications, experience and key attributes, for appointments or promotion to key management positions including the position of MD/CEO. A Board approved procedure to appoint Directors,MD/CEO, CEO and KMP is in place. The Committee reviewed the procedure to appoint Directors,MD/CEO,CEO and KMPs to further strengthen the criteria for selections and recommended it for Board approval. The Board approved the procedure on 26th September 2025.
6.4 (h)	Succession plan and new expertise to the Board ✓ A Board-approved Succession Planning Policy is in place for retiring Directors. Each year, the Nominations & Governance Committee reviews the additional/new expertise requirements and succession arrangements for Directors of the Bank, in line with the strategic plan.

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Section	Principle, Compliance & Implementation
6.4 (i)	Ensure availability of a robust succession plan for CEO and Key Management Personnel with an effective and transparent process to identify and groom the selected successors. ✓ A Board approved Succession Planning Policy is in place for MD/CEO and KMPs. The Nominations & Governance Committee ensures that an effective succession plan for MD/CEO and KMPs aligns with the requirements to position qualified and competent individuals with diverse skills and knowledge to meet the Bank's short-, medium- and long-term strategies. Further the Committee ensures that the selected successors are groomed for the respective positions by identifying and mitigating the skills/knowledge gaps for the respective area. Each year the Nominations and Governance Committee reviews the succession arrangements for CEO and KMPs of the Bank, in line with the strategic plan.
6.4 (j) 6.4 (k)	Ensure Directors are updated on applicable laws, regulations, policies etc., on continuous basis. ✓ Training and capacity building for Directors ✓ The NGC identified the training needs of the Directors and recommends to the Board training, capacity building and professional development programs for the Directors on regular basis to ensure that the directors are regularly updated on applicable laws, regulations, macroeconomic policies, the latest technological developments emerging financial sector and market developments etc., relevant to the banking industry.
6.4 (l)	Review composition of Board and Board sub committees ✓ The NGC reviews the structure, size, qualifications and composition of the Board and Board sub-Committees on regular basis to ascertain whether the combined knowledge and experience of the Board matches the strategic demand facing the Bank and to ensure the effective discharge of duties and responsibilities of the Board and its Sub Committees.
6.4 (m)	Ensure effective implementation of overall Corporate Governance Framework and policies of the Bank ✓ The overall corporate governance framework of the Bank has been established, in accordance with the Banking Act Directions on Corporate Governance, Listing Rules of the Colombo Stock Exchange, Code of Best Practice on Corporate Governance - 2023, other applicable regulatory requirements and industry/international best practices where the same will be reviewed and updated by the NGC as deemed appropriate. This comprehensive approach is meticulously designed, ensuring that the Bank's governance structure is not only robust but also transparent and aligned with the highest standards of corporate governance. Periodic reviews and updates by the NGC will maintain in compliance with evolving regulations and best practices, thereby reinforcing the Bank's commitment to effective governance and sustainable growth. Further, this approach will lead the Bank to a sustainable entity which will look after the stakeholder interests up to their expectation while ensuring ESG contribution to the country.
6.5	Board Integrated Risk Management Committee (BIRMC)
6.5 (a)	Chairman of the Committee shall be an Independent Non-Executive Director and should not be the chair of the Board or any other Board Committee. ✓ As at 31st December 2025, The Chairman of BIRMC was a Non-Independent, Non-Executive Director who was not the Chairman of the Board. With the demise of the former Chairman of the Committee on 16th January 2026, an Independent, Non-Executive Director has been appointed as the Chairman of the Committee w.e.f. 29th January 2026.
6.5 (b)	Committee to comprise at least three Non- Executive Directors with a majority of Independent Directors ✓ The Committee comprises with three Non-Executive Directors of whom one is an Independent Director The following Non-Executive Directors served on the BIRMC during 2025 Chairman Mr Rimoe Saldin - Non-Independent Non-Executive Director - Demised on 16th January 2026 Other Members Dr Prasad Samarasinghe - Non-Independent Non-Executive Director Mr Kithsiri Gunawardena - Non-Independent Non-Executive Director – resigned w.e.f. 30th July 2025 Mr Suresh Shah - Independent Non-Executive Director w.e.f. 29th January 2026 the Committee comprises with a majority of Independent Directors

Section	Principle, Compliance & Implementation
6.5 (c)	Majority of the members of the Committee shall not be constituted by the members of BAC ✓ Complied. Majority of the members of the Committee not constituted by the members of the BAC and vice-versa. SID Mr Devaka Cooray, Chairman of BAC participates BIRMC meetings as an invitee on need basis.
6.5 (d)	Attendees at BIRMC ✓ MD/CEO, COO, and Chief Compliance Officer are invited to attend meetings on a need basis. The CRO who is the Secretary of the Committee and supervising credit, market, liquidity, operation and strategic risk attends the meeting on regular basis
6.5 (e)	Work within the framework of the authority and responsibility assigned to BIRMC ✓ The TOR of the BIRMC clearly defines its scope, authority and duties and the Committee work with KMPs closely and make decisions on behalf of the Board within such framework of the authority and responsibility entrusted on them.
6.5 (f)	Establish an Independent Risk Management function ✓ An independent risk management unit is in place and is tasked with overseeing the integrated risk management of the Bank. The risk management unit is headed by the CRO who reports functionality to the BIRMC. The CRO is responsible for evaluating and implementing suitable mitigating actions to effectively manage the various risks the Bank encounters in its operations. Bank's Risk Management function has been established as an independent function that reports to the Board of Directors through BIRMC.
6.5 (g)	Risk Assessment ✓ Policies on Credit Risk Management, Market Risk Management and Operational Risk Management have been approved by the Committee, providing a framework for management and assessment of risks. In discharging its responsibilities further as per the mandate, periodic reports on pre-established risk indicators prepared by the Risk Department are submitted to the Committee for review. The risk management process followed by the subsidiary companies has also been reviewed by the BIRMC during 2025.
6.5 (h)	Report to the Board on Bank's exposures against the risk appetite limits ✓ The BIRMC assesses all risks of the Bank on a monthly basis through key risk indicators, and management information, risk dashboards and through risk assessment reports done for the Bank. The Bank's exposures against the risk appetite limits are regularly reported to the BIRMC and the Board.
6.5(i)	Oversees the function of CRO ✓ The BIRMC oversees the functioning of CRO and the Committee receives regular reports and communication from CRO and other relevant functions with respect to the risk profile, exposures against the established risk appetite limits and limits breaches. CRO directly reports to the Chairman of the BIRMC, and his functions are overseen by the BIRMC
6.5(j)	Oversees the strategies implemented for capital and liquidity management and all relevant risks of the Bank ✓ The BIRMC oversees the strategies implemented by MD/CEO and the KMPs for capital and liquidity management and management of all relevant risks of the Bank such as credit, market, operational, information security and strategic risks to ensure consistency with the stated risk appetite.
6.5 (k)	Review of Management Level Committee on risk ✓ The Committee reviews the reports of the Management Committees including the Asset and Liability Committee (ALCO) and the Executive Risk Management & Credit Policy Committee to assess their adequacy and effectiveness in addressing specific risks and managing the same within the quantitative and qualitative risk limits set in the Risk Appetite Statement approved by the Board.
6.5 (l)	Corrective action to mitigate risks exceeding prudential levels ✓ The Risk Dashboards, prepared periodically, reflect the actual exposure levels for each risk category against the tolerance levels set by the Committee, based on the Bank's policies as well as regulatory and supervisory requirements. The Committee has taken corrective action to mitigate the impact of any risk indicators that have exceeded the established tolerance levels.

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6.5 (m)	Frequency of meetings ✓ The BIRMC has regular meetings in compliance with its TOR and schedules additional meetings when required. The agenda covers matters assessing all aspects of risk management including the updated business continuity plans. The Committee has met 12 times during the year ended 31st December 2025.
6.5(n)	Actions against officers responsible for failure to identify specific risks or implement corrective action ✓ Such matters, if any, are referred to the Human Resources Division for necessary action.
6.5 (o)	Timely Risk assessment report to Board ✓ Risk Dashboard updates of the BIRMC meetings are provided to the Board at the subsequent Board Meeting seeking its views, concurrence and guidance if any.
6.5(p)	Establish Compliance Function ✓ The Bank has established a compliance function to assess and ensure the Bank's compliance with laws, regulations, regulatory guidelines, internal controls and approved policies on all areas of business operations, headed by a dedicated Compliance Officer who is a KMP of the Bank and reports to the BIRMC.
6.5(q)	Effective communication and coordination with BAC ✓ BIRMC effectively communicates and coordinates with the BAC to facilitate exchange of information to ensure effective management of all risks, including emerging risks and any adjustments needed to the integrated risk management framework of the Bank. To establish an effective communication and coordination mechanism between both Audit Committee and BIRMC the Board has appointed the Chairman of the BIRMC as a member of the BAC. The Chairman of the BAC also attends the BIRMC meetings upon invitation.
6.5 (r)	Examine the incentives provided to the employees in terms of the levels of risk, liquidity and earnings of the Bank ✓ The Committee has taken into consideration the new requirement to examine whether the incentives provided to the employees take into consideration the levels of risks, capital, liquidity and earnings of the Bank without prejudice to the tasks of the HRRC. This assessment is covered twice a year when validating if the Bank's budget setting and actual performance is as per the Board approved Bank's Risk Appetite and Risk Goals.
6.6	Related Party Transactions Review Committees (RPTRC)
6.6 (a)	The Chairman of the Committee shall be an Independent Non-Executive Director and should not be the chair of the Board ✓ Chairman of the Committee is an Independent Non-Executive Director, who is not the Chairman of the Board.
6.6 (b)	Committee to comprise at least three Non-Executive Directors with a majority of Independent Directors ✓ The following Non-Executive Independent Directors have served on the RPTRC during 2025 Chairman Mr Suresh Shah - Independent Non-Executive Director- appointed as Chairman on 5th March 2025 Members Mr Rasitha Gunawardana - Independent Non-Executive Director Mr Nanda Fernando - Independent Non-Executive Director Ms Dilani Alagaratnam - Independent Non-Executive Director -appointed w.e.f. 2nd May 2025 Mr Devaka Cooray - Senior Independent Non-Executive Director – appointed w.e.f. 30th May 2025
6.6 (c)	Ensure availability of clear policy, procedures and processes for identifying, monitoring and reporting related party transactions ✓ Policy is in place and the revised/updated policy was tabled at the RPTRC for approval in line with the new Banking Act Directions on Corporate Governance. Process is in place for identifying, monitoring and reporting.

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6.6 (d)	Review of related party transactions ✓ The Terms of Reference (TOR) of the Committee explicitly outline its responsibility to oversee and review Related Party Transactions (RPTs) across the Bank. Business units (L1) identify the related parties as per Related Party list available on the Bank's intranet or via system triggers. Transactions with related party are conducted as per internal policy and quarterly basis, each business unit submits confirmations detailing the related party transactions undertaken during the period. These submissions are consolidated and presented to the Committee for review. The Committee's review process is designed to ensure that all related party transactions are conducted at arm's length, are not more favourable than those offered to unrelated parties, and do not give rise to any actual or perceived conflicts of interest. Additionally, Compliance Department (L2) and Internal Audit department (L3) conducts sample verifications of the RPTs to ensure adherence to internal policy and regulations. The Credit Administration Department ensures that accommodation is disbursed to related parties with approval from the Board of Directors and after obtaining required collateral. The L2 & L3 oversight mechanism serves to uphold the integrity of the Bank's operations and reinforces stakeholder confidence in its governance practices.
6.6 (e)	Submission of quarterly reports to the Board ✓ All RPT transactions are shared with the Board on a quarterly basis.
6.6 (f)	Avoid conflict of interest - Director abstains from participating in discussion related to the Director, him/her close relations or a concern in which he/she has a substantial interest ✓ A Board approved policy to enhance the transparency of Related Party Transactions is in place. The Related Party Transactions Review Committee (RPTRC) oversees the process relating to the said subject and the Committee report is provided on page 263. Steps have been taken by the Board to avoid any conflicts of interest, that may arise, in transacting with related parties as per the definition of this Direction. Directors provide declarations to the Board about their outside business interests at appointment and quarterly thereafter. Directors do not participate in, and excuse themselves from the Meeting, when the Board considers any matters in which lending to related entities are discussed and where a conflict in interest may arise. Transactions carried out with related parties as defined by LKAS 24 on 'Related Party Disclosures' in the normal course of business are disclosed on Note 60 to the Financial Statements on 'Related Party Disclosures' on pages 524 to 536. Directors' interests in contracts which do not fall into the definition of Related Party Transactions as per LKAS 24 are reported separately in the Annual Report, outside the Financial Statements. The net accommodation granted to each category of related parties as a percentage of the Bank's regulatory capital is given under Section 9.2 (e). on page 217.
6.6 (g)	More favourable treatment and prohibited transactions ✓ The Bank's Related Party Transactions Policy prohibits transactions which would grant related parties more favourable treatment than that accorded to other customers conducting similar business with the Bank. These include the following: - Granting of "Total Net Accommodation" to related parties, exceeding a prudent percentage of the Bank's regulatory capital. Refer Section 9.2 (e) page 217. - Charging of a lower rate of interest than the Bank's best lending rate or paying more than the Bank's deposit rate for a comparable transaction with an unrelated comparable counterparty. - Providing of preferential treatment, such as favourable terms, covering trade losses and/or waiving fees/commissions, that extend beyond the terms granted in the normal course of business undertaken with unrelated parties. - Providing services to or receiving services from a related-party without an evaluation procedure. - Maintaining reporting lines and information flows that may lead to sharing potentially proprietary, confidential or otherwise sensitive information with related parties, except as required for the performance of legitimate duties and functions.

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	Further when granting advances to related party, the clearance provided by the Board Secretary and Compliance instruct the business units to avoid conflict of interest, which prevents any support for more favourable treatment. To reinforce this policy: » Relevant staff are trained to understand and apply the guidelines governing related party transactions. » System enhancements have been implemented to tag related parties, ensuring clear identification and preventing preferential treatment. » A robust internal process has been established, requiring quarterly confirmations from all Business Heads (Key Management Personnel) that no transactions have been conducted on more favourable terms. Additionally Level 2 Compliance test checks and Level 3 internal audits are conducted to verify adherence to the policy and detect any deviations.
7.0	Related Party Transactions ✓ The types of related parties and the applicable requirements for related party transactions are outlined in the Bank's Related Party Policy, which aligns with relevant regulatory guidelines. Type of transactions are indicated below; - The grant of any type of accommodation, as defined in the Banking Act Directions on Maximum Amount of Accommodation/Large Exposures of Licensed Banks. (Subject to limits set out in Banking Act Direction No.4 of 2024) - The creation of any liabilities of the bank in the form of deposits, borrowings and investments. - The provision of any services of a financial or non-financial nature provided to the bank or received from the bank. - The creation or maintenance of reporting lines and information flows between the bank and any related parties which may lead to the sharing of potentially proprietary, confidential or otherwise sensitive information that may give benefits to such related parties. Based on CBSL, SEC regulations and Related party policy, a comprehensive list of related parties is maintained. Business users can identify related parties through the Related Party list available on the Bank's intranet or via system prompts during transaction processing. For transactions not routed through the system such as provision or receiving service, business units are expected to refer to the intranet-hosted RPT list to ensure compliance. The duty of RPTRC to monitor transactions is outlined in the amended Terms of Reference for the RPTRC, which involves a comprehensive oversight of all Related Party Transactions (RPTs) to ensure they are conducted fairly, transparently, and in the best interest of the Bank and its shareholders. The Committee is tasked with evaluating non-recurrent transactions in advance to prevent any preferential treatment to related parties, establishing and maintaining robust policies and procedures for identifying, monitoring, and reporting such transactions, and continuously assessing relationships to detect and manage conflicts of interest.
7.1	Categories of Related parties considered by the Direction ✓ The categories of related parties, as defined by regulatory requirements, are clearly outlined in the Bank's Related Party Policy. Based on these criteria, the Bank identifies and updates the list of relevant individuals and entities on a quarterly basis and it is hosted in the Bank's intranet for the information of all staff. The related parties indicated in the list are tagged in Core Banking and supporting systems which will provide a trigger to users when creating accounts/loans.
7.2	Type of related party transactions covered by the Direction ✓ The Related Party Transactions Policy approved by the Board covers the following transactions: - The grant of any type of accommodation, as defined in the Monetary Board's Directions on maximum amount of accommodation, - The creation of any liabilities of the Bank in the form of deposits, borrowings and investments, - The provision of any services of a financial or non-financial nature provided to the Bank or received from the Bank and - The creation or maintenance of reporting lines and information flows between the Bank and any related parties which may lead to the sharing of potentially proprietary, confidential or otherwise sensitive information that may give benefits to such related parties.

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7.3	Applicability of Banking Act Provisions in Section 47 ✓ The Bank ensures compliance with the provisions of Section 47 of the Banking Act, with respect to accommodation granted to any of the related parties, except for any accommodation granted to MD/CEO or KMPs under a scheme applicable to the employees. Direction given to the business at the time of identification and clarification by compliance division. Approval and security requirements are met through this process. For customers who are unable to comply with the regulation for existing facilities, an extended settlement is sought from CBSL within the direction guidelines.
7.4	Accommodation granted to Directors and connected parties - Accommodations granted to a person, or close relations of a person, or to any concern in which the person has a substantial interest who subsequently appointed as Directors of the Bank ✓ As at 31st December 2025 the accommodation granted to all Directors are in line with the CBSL Direction
7.5	More favourable treatment or accommodation to bank employees or their close relations ✓ Related Party Transaction Review Committee ensures that no favourable treatment or accommodation is provided to Bank KMPs, other than staff benefits.
7.6	Writing-off of Accommodation to Related Parties subject to CBSL approval ✓ Captured in the RPT policy. Such requirements are referred to CBSL for approval.
8.0	Senior Management
8.1	Board Oversight on Senior Management ✓ In terms of Direction No. 5 of 2024, the Senior Management includes the CEO and the KMPs of the Bank. The Bank has identified KMPs as persons in positions that can significantly influence policies, direct activities and exercise control over business activities, operations and risk management of the Bank. Accordingly, the Board has identified the members of Corporate Management including the MD/CEO and Head of Custody & Trustee Services as KMPs who represent the Senior Management of the Bank. The Board has outlined the areas of authority and key responsibilities for the KMPs which are detailed in their individual Job Descriptions. The KMPs have delivered the entrusted responsibilities at an optimum level under the defined areas of authority that is consistent with the Board's strategies and policies throughout the year under review. The KMPs are called upon as and when required to attend meetings of the Board and its Sub-Committees to review policies, establish communication lines and other matters relating to the scope of work under their respective purview to monitor progress towards achieving corporate objectives. The KMPs may also be required to make regular presentations to the Board as appropriate. The Board ensures that the MD/CEO and Corporate Management possess the necessary skills, collective knowledge and expertise given the size, scale, diversity and complexity of operations which are required to implement the strategy of the Bank.
8.2	Criteria to assess the fitness and propriety of Senior Management ✓ In terms of regulatory requirements, the NGC evaluated and identified that the members of Senior Management fulfil the criteria for fitness and propriety, ensuring that each individual discharges their duties effectively. The Bank develops and updates succession plans for the KMPs aligned to the Bank's strategic objectives to ensure at least one successor is identified for each role. A Board approved succession plan for Corporate Management is in place.

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Section	Principle, Compliance & Implementation
8.3	Responsibilities of Senior Management ✓ The Senior Management ensures that they, » contribute substantially to the Bank's sound corporate governance framework through personal conduct; » devote sufficient professional time to discharge their duties; » implement business strategies, risk management systems, risk and compliance culture, processes and controls for managing both financial and non-financial risks in terms of the directions of the Board; » recognise and respect the independent duties of the risk management, compliance and internal audit functions and shall not interfere in the exercise of such duties; » receive access to regular training to maintain and enhance competencies and keep abreast of developments relevant to the respective areas of responsibility; » are responsible for delegating duties to staff and overseeing such delegated duties; » establish a management structure that promotes Bank-wide accountability and transparency; » take appropriate remedial or disciplinary action if any breaches are identified; » regularly provide the Board and the Board Sub-committees as applicable with the information of material matters including but not limited to; – changes in business strategy, risk strategy/risk appetite, – performance and financial condition, – breaches of risk limits or compliance rules, – internal control failures, – legal or regulatory concerns; » notify the Director of Bank Supervision upon becoming aware of any material information that may negatively affect the fitness and propriety of a Board member or another Senior Management member.
9.0	Disclosures
9.1	Board responsibilities on disclosures Publish annual and quarterly Financial Statements ✓ Annual Audited Financial Statements and Quarterly Financial Statements of the Bank were prepared in accordance with the formats prescribed by the Supervisory and Regulatory Authorities and applicable accounting and financial reporting standards and have been published in the newspapers in all three (3) languages.
9.2	Minimum Disclosures to be made in the Annual Report ✓ a. Statement to the effect that the Annual Audited Financial Statements have been prepared in line with applicable accounting standards and regulatory requirements, inclusive of specific disclosures ✓ Disclosures on the compliance with the applicable accounting standards and regulatory requirements in preparation of the Annual Audited Financial Statements have been made in Directors' Responsibility for Financial Reporting on page 324, Managing Director/Chief Executive Officer's and Chief Financial Officer's Responsibility Statement on page 323 and Statement of Compliance in Note 1 to the Financial Statements on page 343. b. Report by the Board on the Bank's internal control mechanism ✓ A confirmation by the Directors on the effectiveness of the internal control system over financial reporting is given under the Directors' Statement on Internal Control over Financial Reporting on page 266. c. External Auditor's certification on the effectiveness of the internal control mechanism ✓ The Assurance Report issued by the External Auditor on the Internal Control over Financial Reporting based on SLSAE 3050 (Revised) – Assurance Reports for Banks on Directors' Statement on Internal Controls issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) is given on page 579. The recommendations made by the Auditors where relevant, will be dealt with in 2026.

Section	Principle, Compliance & Implementation																																															
	d. Details of Directors, including names, fitness and propriety, transactions with the Bank and the total of fees/remuneration paid by the Bank ✓ Profiles of Directors are given from pages 146 to 151. Directors' transactions with the Bank are disclosed in Note 60 to the Financial Statements from pages 524 to 530. Remuneration paid by the Bank to the Board of Directors (which includes the remuneration of the Executive Director) is disclosed in Note 18 to the Financial Statements on page 425.																																															
	e. Total accommodations granted to each category of related parties and as a percentage of the Bank's regulatory capital ✓ The net accommodation granted to each category of related parties are given below as a percentage of the Bank's regulatory capital. <table><tr><th>Category of Related Party Transactions</th><th>Rs Mn</th><th>%</th></tr><tr><td>Directors</td><td>2.00</td><td>0.00</td></tr><tr><td>Close relations of Directors</td><td>0.50</td><td>0.00</td></tr><tr><td>Concerns in which the Directors of the Bank have a substantial interest</td><td>-</td><td>-</td></tr><tr><td>Concerns in which close relations of any of the Bank's Directors have a substantial interest</td><td>-</td><td>-</td></tr><tr><td>Officers performing executive functions of the Bank *</td><td>163.54</td><td>0.06</td></tr><tr><td>Shareholders owning material interest in the Bank</td><td>12,198.41</td><td>4.64</td></tr><tr><td>Subsidiaries</td><td>3,050.00</td><td>1.16</td></tr><tr><td>Holding company of the Bank</td><td>-</td><td>-</td></tr><tr><td>Directors of subsidiary companies</td><td>165.16</td><td>0.06</td></tr><tr><td>Directors of the holding company of the Bank</td><td>-</td><td>-</td></tr><tr><td>Close relations of officers performing executive functions of the Bank or shareholder having a material interest</td><td>14.01</td><td>0.01</td></tr><tr><td>Concerns, whose director or partner is a director of the Bank</td><td>83,203.88</td><td>31.64</td></tr><tr><td>Concerns in which the Bank's material shareholders have a substantial interest</td><td>38,273.96</td><td>14.56</td></tr><tr><td>Concerns in which a close relation of an individual material shareholder has substantial interest</td><td>-</td><td>-</td></tr></table> * includes Executive Director			Category of Related Party Transactions	Rs Mn	%	Directors	2.00	0.00	Close relations of Directors	0.50	0.00	Concerns in which the Directors of the Bank have a substantial interest	-	-	Concerns in which close relations of any of the Bank's Directors have a substantial interest	-	-	Officers performing executive functions of the Bank *	163.54	0.06	Shareholders owning material interest in the Bank	12,198.41	4.64	Subsidiaries	3,050.00	1.16	Holding company of the Bank	-	-	Directors of subsidiary companies	165.16	0.06	Directors of the holding company of the Bank	-	-	Close relations of officers performing executive functions of the Bank or shareholder having a material interest	14.01	0.01	Concerns, whose director or partner is a director of the Bank	83,203.88	31.64	Concerns in which the Bank's material shareholders have a substantial interest	38,273.96	14.56	Concerns in which a close relation of an individual material shareholder has substantial interest	-	-
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Concerns in which a close relation of an individual material shareholder has substantial interest	-	-																																														
	f. Aggregate values of remuneration to, and transactions with Key Management Personnel ✓ The aggregate amount of remuneration paid during 2025 to KMP and the transactions with KMP are given below; <table><tr><th>Remuneration and transactions with the Key Management Personnel</th><th>Rs Mn</th></tr><tr><td>Remuneration paid</td><td>970.54</td></tr><tr><td>Loans and Advances</td><td>1,068.88</td></tr><tr><td>Deposits</td><td>512.35</td></tr><tr><td>Investments</td><td>102.16</td></tr></table>			Remuneration and transactions with the Key Management Personnel	Rs Mn	Remuneration paid	970.54	Loans and Advances	1,068.88	Deposits	512.35	Investments	102.16																																			
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	g. Details of Board Committees ✓ Key Activities - Given from pages 177 to 179 Number of meetings - Given on page 187 Attendance of Directors - Given on page 187																																															

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Section	Principle, Compliance & Implementation
	h. Disclosures in Annual Corporate Governance Report ✓ - External Auditors certification of compliance ✓ The External Auditors have performed procedures set out in Sri Lanka Standards on Related Services (SLSRS) 4400 (Revised) issued by the Institute of Chartered Accountants of Sri Lanka, to meet the compliance requirement of the Corporate Governance Directive. The findings presented in their report addressed to the Board are consistent with the matters disclosed above and did not identify any inconsistencies to those reported above by the Board. The recommendations made by the Auditors where relevant will be dealt with in 2026. - Composition of the Board ✓ - Disclosure of Identity of Chairman and CEO and any relationship with the Board members ✓ The profiles of the Chairman and CEO are disclosed from page 146 to 151 The Bank has in place a mechanism to monitor this aspect. As declared by the Directors, no relationships including financial, business, family, or any other, prevailed between the Chairman, MD/CEO or among other Board members.
	i. Report confirming compliance with prudential requirements, regulations, laws and internal controls ✓ All such requirements are captured in a gap analysis to ensure adherence & compliance. Status update and confirmation given to BIRMC. Captured items are not removed without the confirmation from relevant KMP. There was no material non-compliance to prudential requirements, regulations, laws and internal controls affecting the Bank. Directors' Responsibility for Financial Reporting on pages 324 to 325, "Directors' statement on Internal Control over Financial Reporting" on page 266 and Statement of Compliance to the Financial Statements on page 343, clearly sets out details regarding compliance with prudential requirements, regulations, laws, and internal controls.
	j. Non-compliance Report ✓ There were no supervisory concern on non-compliance with the said Direction that have been pointed out by the Director of the Banks Supervision Department of the CBSL, which has been directed to be disclosed to the public. Hence, there are no disclosures in this regard. Non-compliance are identified and reported to BIRMC as Key risk concerns
	k. Aggregate value of total non-statutory special payments/Financial or non-financial benefits to Directors, CEO and KMP ✓ Nil
9.3	Disclosures on resignation, removal or vacation of office of Directors ✓ Resignations of Directors and the reasons thereof are promptly informed to the regulatory authorities and shareholders in compliance with the CSE regulations together with a statement confirming whether or not there are any matters that need to be brought to the attention of shareholders. Mr Madura Ratnayake resigned w.e.f. 30th May 2025 Mr Kithsiri Gunawardena resigned w.e.f. 30th July 2025
11	Conflict with Articles of Association Effective from 01st January 2025, the Bank complies with Section 11 of the Direction No. 05 of 2024, where applicable.

Compliance with Colombo Stock Exchange (CSE) Listing Rules - Section 09 on Corporate Governance

Code Ref	Requirement	Extent of Compliance	Status of Compliance
9.1	Corporate Governance Rules		
9.1.1 9.1.2 9.1.3	Extent of Compliance with Corporate Governance Rules	The extent of compliance with Corporate Governance Section 09 of the listing rules issued by CSE is tabulated below.	Complied
9.2	Policies		
9.2.1	Availability of Policies	The following policies which are mandated by the revised CSE Listing Rules are currently in place; » Policy on the matters relating to the Board of Directors » Policy on Board Sub-Committees » Policy on Corporate Governance, Nominations and Re-election » Policy on Remuneration » Policy on Internal Code of Business Conduct and Ethics for all Directors and employees, including policies on trading in the Entity's listed securities » Policy on Risk Management and Internal Controls » Policy on Relations with Shareholders and Investors » Policy on Environmental, Social and Governance Sustainability » Policy on Control and Management of Company Assets and Shareholder Investments » Policy on Corporate Disclosures » Policy on Whistle Blowing » Policy on Anti-Bribery and Corruption Summarised versions of all policies are now hosted in the Bank's website at the link https://www.hnb.lk/bank-policies under the Key Link titled 'Bank Policies'.	Complied
9.2.2	Waivers and Exemptions	At present there are no waivers and exemptions applicable to the Bank.	Complied
9.2.3	Disclosures in the Annual Report	Please refer section 9.2.1.	Complied
9.2.4	Requesting of Bank Policies by Shareholders	A copy of the above policies will be made available to the shareholders upon a written request being made to the Company Secretary.	Complied
9.3	Board Committees		
9.3.1	Establishment of Board Committees	The Nominations & Governance Committee, Remuneration Committee, Audit Committee and Related Party Transactions Review Committee are in place.	Complied
9.3.2	Board Composition, Responsibilities and Disclosures	The composition of all Committees is aligned with the CSE Listing Rules, ensuring compliance with best governance practices. Each Sub-Committee operates under its own Terms of Reference and is supported by a designated Secretary who coordinates meetings, maintains minutes, and manages records under the guidance of the respective Chairperson. The Chairperson is responsible for the effective functioning of the Sub-Committee and provides periodic reports to the Board, highlighting key activities and matters requiring attention. The Terms of Reference of all Committees are reviewed regularly to ensure relevance and alignment with regulatory requirements and organisational objectives.	Complied

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Code Ref	Requirement	Extent of Compliance	Status of Compliance
9.3.3	Chairperson of Board Committees	The Chairperson of the Board of Directors was not the Chairperson of Nominations & Governance Committee, Remuneration Committee, Audit Committee or the Related Party Transactions Review Committee during 2025	Complied
9.4	Adherence to principles of democracy in the adoption of meeting procedures and the conduct of all General Meetings with shareholders		
9.4.1	Record Maintenance	The Company Secretary maintains records of all resolutions and information (Appointment of proxy, number of votes in favour & against and number of shares in respect of vote was directed to be abstained) of General Meetings.	Complied
9.4.2	Communication and relation with Shareholders and Investors	The Bank has an established policy on communication. Further, the Policy on Relations with Shareholders and Investors is in place in alignment with the CSE listing rules for effective communication and relations with shareholders and investors.	Complied
9.5	Policy on matters relating to the Board of Directors		
9.5.1	Availability of policy on governing matters relating to Board of Directors	The requirements were captured in the Policy on matters relating to Board of Directors, several other policies and the Articles of Association.	Complied
9.5.2	Disclosures in the Annual Report	Disclosures are made in the Annual Report of the Board of Directors given on page 232.	Complied
9.6	Chairperson and CEO		
9.6.1	Chairperson and CEO	The Chairperson is a Non-Executive Director. The position of Chairperson and CEO is not held by the same individual.	Complied
9.6.2	Disclosure of Non-Compliances	Not applicable.	Complied
9.6.3	Appointment of Senior Independent Director	A Non-Independent Director was appointed as the Chairperson in June 2023, a Senior Independent Director was designated in terms of direction 3(5)(ii) of Banking Act Direction No.11 of 2007 on Corporate Governance issued by the Central Bank of Sri Lanka (Direction No. 5.2 (a) of Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks issued by Central Bank of Sri Lanka) which was duly notified to shareholders through Colombo Stock Exchange ("CSE") Disclosure. However, since the Chairperson and CEO are not the same person or the Chairperson and CEO are not Close Family Members nor related parties, the designation of a Senior Independent Director doesn't arise under the CSE listing rules. Please refer the report of the Senior Independent Director given on page 265 for further details.	Complied
9.6.4	Disclosure of Non-Compliances in the Annual Report	Not applicable.	Complied

Code Ref	Requirement	Extent of Compliance	Status of Compliance
9.7	Fitness of Directors and CEOs		
9.7.1 9.7.2	Appointment of Fit and Proper Persons	The Board follows a formal and transparent process for Director succession and appointments. The Nominations & Governance Committee is responsible for shortlisting candidates and recommending them to the Board for approval. Prior to initiating the search, the required attributes and experience for potential appointees are identified and agreed upon, taking into account the Board's collective knowledge, expertise, and diversity in alignment with the Bank's strategic objectives and any identified gaps. The Committee also evaluates candidates' other directorships and commitments to ensure they can dedicate sufficient time to fulfil their responsibilities at HNB effectively. Once this process is completed, the proposed names are submitted to the Director of the Bank Supervision Department of the Central Bank of Sri Lanka for "fit and proper" approval before the appointment. All appointments are duly communicated to the CSE. Furthermore, every Director appointed to the Board is subject to re-election by shareholders at the first Annual General Meeting following their appointment. The criteria given in the CSE listing rules are also considered when appointing new Directors and during the annual assessment of their fitness and propriety.	Complied
9.7.3	Fit and Proper Assessment Criteria a) Honesty, Integrity and Reputation b) Competence and Capability c) Financial Soundness	The assessment criteria detailed in the CSE listing rules have been incorporated into the annual declaration of the Directors and CEO.	Complied
9.7.4	Annual Declarations from Directors and CEO	Annual declarations were obtained from all Directors as of 31 December 2025, confirming their continuous compliance with the fit and proper assessment criteria outlined in the CSE listing rules.	Complied
9.7.5	Disclosures in the Annual Report	Disclosures are made in the Annual Report of the Board of Directors given on page 232.	Complied
9.8	Board Composition		
9.8.1	Board at Minimum to consist of Five (5) Directors.	The Bank is complied with the requirement. The Board of Directors of the Bank consisted of ten (10) Directors as at 31 December 2025.	Complied
9.8.2	Minimum number of Independent Directors (Min:2 or 1/3 of total number, whichever is higher)	The Bank is complied with the minimum number of Independent Directors. The Board of Directors of the Bank consisted of six (6) Independent Directors as at 31 December 2025	Complied

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Code Ref	Requirement	Extent of Compliance	Status of Compliance
9.8.3 9.8.4	Criteria for determining Independence	The Bank complies with the criteria for determining the independence of Directors as required under applicable regulations. In assessing independence, the Bank takes into account the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) in 2023, Banking Act Direction No. 05 of 2024 issued by Central Bank of Sri Lanka and the CSE Listing Rules applicable to listed entities. The Bank reviewed and revised its criteria for determining Director independence to ensure alignment with the updated regulatory requirements and best practices. The revised criteria are applied consistently in evaluating the independence of a Non-Executive Director.	Complied
9.8.5	Declarations	Annual Declaration was obtained from the Board of Directors incorporating the provisions made under the CSE listing rules as at 31 December 2025.	Complied
9.9	Alternate Directors		
9.9	Appointment of Alternate Directors	No Alternate Directors were appointed to represent Non-Executive Directors. Articles of Association includes provisions to comply with the CSE listing rules. For more clarity the Bank amended the Articles of Association of the Bank incorporating the provisions in rule 9.9 in the Listing Rules.	Complied
9.10	Disclosures relating to Directors		
9.10.1	Policy on the maximum number of Directorships	In accordance with Direction 3.2. (c) of Banking Act Direction No.05 of 2024 on Corporate Governance issued by the Central Bank of Sri Lanka, the Bank confirms that its Directors comply with the prescribed limits on external directorships. Specifically: No Director of the Bank holds directorships in more than twenty (20) companies/entities/institutions in total, out of these, no Director holds directorships in more than ten (10) companies classified as Specified Business Entities and the above limits include directorships in subsidiaries and associate companies of the Bank. The Bank has obtained declarations from all Directors and verified that they are in full compliance with these requirements.	Complied
9.10.2	Appointment of new Director	Nominations & Governance Committee reviews all new appointments. One (01) new appointment has been done during the year 2025 and immediate market announcements have been made for such appointment.	Complied
9.10.3	Changes to the Composition	Immediate market announcements have been made with regard to the changes in the composition of the Board and Board Committees during the year 2025.	Complied
9.10.4	Disclosures in the Annual Report	Please refer pages 146 to 151 for profiles of Directors. Please refer page 265 for Terms of Reference of Senior Independent Director. Please refer pages 146 to 151 for Directorships in other companies.	Complied
9.11	Nominations and Governance Committee		
9.11.1	Availability of Nominations and Governance Committee	Nominations & Governance Committee is in place.	Complied
9.11.2	Appointment and re-election of Directors	The Committee follows a formal procedure in appointment and re-election of Directors.	Complied

Code Ref	Requirement	Extent of Compliance			Status of Compliance															
9.11.3	Terms of Reference	Terms of Reference (TOR) which defines the scope, authority, duties and matters pertaining to the quorum of meetings of the Nomination and Governance Committee is in place. The TOR was last reviewed and approved by the Board in November 2024.			Complied															
9.11.4 (1)	Composition - Minimum of three (3) Directors, out of which a minimum of two (2) members shall be Independent Directors	The Bank is in compliance throughout the year with the revised CSE listing rules. Given below is the composition of the Nominations & Governance Committee during 2025 <table><tr><th>Period</th><th>Independent Non-Executive Directors</th><th>Non- Executive Directors</th></tr><tr><td>01st January to 04th March 2025</td><td>3</td><td>1</td></tr><tr><td>05th March to 28th May 2025</td><td>3</td><td>1</td></tr><tr><td>29th May 2025 to 31st July 2025</td><td>2</td><td>1</td></tr><tr><td>01st August 2025 to 31st December 2025</td><td>4</td><td>1</td></tr></table>			Period	Independent Non-Executive Directors	Non- Executive Directors	01st January to 04th March 2025	3	1	05th March to 28th May 2025	3	1	29th May 2025 to 31st July 2025	2	1	01st August 2025 to 31st December 2025	4	1	Complied
Period	Independent Non-Executive Directors	Non- Executive Directors																		
01st January to 04th March 2025	3	1																		
05th March to 28th May 2025	3	1																		
29th May 2025 to 31st July 2025	2	1																		
01st August 2025 to 31st December 2025	4	1																		
9.11.4 (2)	Composition - An Independent Director shall be appointed as the Chairperson of the Committee	An Independent Director functioned as the Chairman of the Committee throughout the year.			Complied															
9.11.4 (3)	Composition - The Chairperson and the members of the Committee shall be identified in the Annual Report	The Chairman and the members of the Committee are identified in the Nominations & Governance Committee report given on page 247.			Complied															
9.11.5	Functions	The Bank has documented the functions of the Committee in the Terms of Reference. All functions are effectively discharged by the Committee. Refer Nominations & Governance Committee Report on page 247.			Complied															
9.11.6	Disclosures in the Annual Report	Disclosure requirements are covered in the Nominations & Governance Committee Report given on page 247.			Complied															
9.12	Remuneration Committee																			
9.12.1	Definition of Remuneration	The Bank has established a formal transparent policy on remuneration and defined remuneration in terms of cash and non-cash benefits.			Complied															
9.12.2	Remuneration Committee	A Human Resources and Remuneration Committee is in place.			Complied															
9.12.3	Remuneration Policy - Executive Directors/Non-Executive Directors	The Remuneration Policy is in place.			Complied															
9.12.4		The Bank’s remuneration policy has been further reviewed and amended to align with the provisions of the Banking Act Direction No. 05 of 2024 on Corporate Governance issued by Central Bank of Sri Lanka .The revised policy was approved by the Board of Directors on 26th September 2025.																		
9.12.5	Terms of Reference	Terms of Reference (TOR) which defines the scope, authority, duties and matters pertaining to the quorum of meetings of the Human Resources and Remuneration Committee is in place. The TOR was last reviewed and approved by the Board in January 2025.			Complied															

CORPORATE GOVERNANCE

Code Ref	Requirement	Extent of Compliance			Status of Compliance
9.12.6 (1) & (2)	Composition - Minimum of three (3) Directors, out of which a minimum of two (2) members shall be Independent Directors	Given below is the composition of the Human Resources and Remunerations Committee during 2025			Complied
		Period	Independent – Non-Executive Directors	Non- Executive Directors	
		01st January to 04th March 2025	3	1	
		05th March to 29th May 2025	4	1	
		30th May to 31st December 2025	4	1	
		The scope of the Committee is limited to the operations of the Bank.			
9.12.6 (3)	Composition - An Independent Director shall be appointed as the Chairperson of the Committee	An Independent Director functioned as the Chairman of the Committee throughout the year.			Complied
9.12.7	Functions	The Bank has documented the functions of the Committee in the Terms of Reference. All functions are effectively discharged by the Committee. Refer Human Resources and Remuneration Committee Report on page 244.			Complied
9.12.8	Disclosures in the Annual Report	Disclosure requirements are covered in the Human Resources and Remuneration Committee Report given on page 244.			Complied
9.13	Audit Committee				
9.13.1	Audit and Risk Committees	The Bank has established separate Committees to perform the Audit and Risk Functions.			Complied
9.13.2	Terms of Reference	Terms of Reference (TOR) which defines the scope, authority and duties of the Board Audit Committee is in place. The TOR was last reviewed and approved by the Board in April 2025.			Complied
9.13.3 (1)	Composition - A Minimum of three (3) Directors, out of which a minimum of two (2) or a majority of the members, whichever is higher, shall be Independent Directors	The Bank is in compliance throughout the year with the revised CSE listing rules. Given below is the composition of the Audit Committee during 2025			Complied
		Period	Independent Non-Executive Directors	Non-Executive Directors	
		01st January to 04th March 2025	3	-	
		05th March to 30th April 2025	3	1	
		02nd May to 31st December 2025	4	1	
		The scope of the Committee is limited to the operations of the Bank.			
9.13.3 (2)	Composition - The quorum for a meeting of the Audit Committee shall require that the majority of those in attendance to be Independent Directors	As per the TOR the quorum for a Board Audit Committee meeting shall be the majority of the members of the Committee out of which the majority in attendance should be independent. In all the meetings held during the year, Twelve (12), the majority of members present were Independent Directors.			Complied

Code Ref	Requirement	Extent of Compliance	Status of Compliance
9.13.3 (3)	Composition - The Audit Committee may meet as often as required provided that the Audit Committee compulsorily meets on a quarterly basis prior to recommending the financials to be released to the market	The Committee met Twelve (12) times (which includes a Special joint Meeting of the Board Audit Committee and Board Integrated Risk Management Committee) during the year. The Committee reviewed the quarterly and annual financial statements and recommended same to the Board of Directors prior to publication.	Complied
9.13.3 (4)	Composition - Independent Director shall be appointed as the Chairperson of the Committee	An Independent Director functioned as the Chairman of the Committee throughout the year.	Complied
9.13.3 (5)	Composition - The CEO and the CFO shall attend the Audit Committee meetings by invitation	MD/CEO, Chief Internal Auditor, Chief Financial Officer, other Key Management Personnel attend meetings on invitation for relevant agenda items. Other Board members may also attend meetings upon invitation.	Complied
9.13.3 (6)	Composition - The Chairperson of the Audit Committee shall be a Member of a recognised professional accounting body	The Chairman of the Board Audit Committee, Mr Devaka Cooray is an Independent Non-Executive Director, a Fellow Member of the Institute of Chartered Accountants of Sri Lanka and the Chartered Institute of Management Accountants of United Kingdom.	Complied
9.13.4	Functions	The Bank has documented the functions of the Committee in the Board Audit Committee TOR. Audit Committee TOR was last revised and approved by the Board in April 2025. The functions listed under 9.13.4.1 (vii), (viii) and (ix) are covered within the scope of Board Integrated Risk Management Committee. Functions are effectively discharged by the Committee. Refer Audit Committee Report on page 259.	Complied
9.13.5	Disclosures in the Annual Report	Disclosure requirements are covered in the Audit Committee Report given on page 259.	Complied
9.14	Related Party Transactions Review Committee		
9.14.1	Availability of Related Party Transactions Review Committee	A Related Party Transactions Review Committee is in place.	Complied

CORPORATE GOVERNANCE

Code Ref	Requirement	Extent of Compliance	Status of Compliance																				
9.14.2	Composition - A minimum of three (3) Directors, out of which two (2) members shall be Independent Directors. Committee may also include Executive Directors. An Independent Director shall be appointed as the Chairperson of the Committee	The Bank is in compliance throughout the year with the CSE listing rules. Given below is the composition of the Related Party Transactions Review Committee during 2025 <table> <tr> <th>Period</th><th>Independent Non- Executive Directors</th><th>Non- Executive Directors</th><th>Executive Directors</th></tr> <tr> <td>01st January to 04th March 2025</td><td>3</td><td>-</td><td>-</td></tr> <tr> <td>05th March to 30th April 2025</td><td>3</td><td>-</td><td>-</td></tr> <tr> <td>02nd May to 29th May 2025</td><td>4</td><td>-</td><td>-</td></tr> <tr> <td>30th May to 31st December 2025</td><td>5</td><td>-</td><td>-</td></tr> </table> An Independent Director functioned as the Chairman of the Committee throughout the year. The scope of the Committee is limited to the operations of the Bank and oversight on group entities through the compliance officers of each group entity.	Period	Independent Non- Executive Directors	Non- Executive Directors	Executive Directors	01st January to 04th March 2025	3	-	-	05th March to 30th April 2025	3	-	-	02nd May to 29th May 2025	4	-	-	30th May to 31st December 2025	5	-	-	Complied
Period	Independent Non- Executive Directors	Non- Executive Directors	Executive Directors																				
01st January to 04th March 2025	3	-	-																				
05th March to 30th April 2025	3	-	-																				
02nd May to 29th May 2025	4	-	-																				
30th May to 31st December 2025	5	-	-																				
9.14.3	Functions	The Related Party Transactions Review Committee is tasked with reviewing all Related Party Transactions to ensure that the interests of shareholders as a whole are duly considered when such transactions are undertaken. The Committee has implemented a comprehensive policy, along with procedures and processes, to identify, clarify, and report Related Party Transactions across the Bank's operations on an end-to-end basis. The Bank reviewed and updated its Related Party Transactions policy to align with the Banking Act Direction No. 05 of 2024 on Corporate Governance issued by the Central Bank of Sri Lanka and approved by the Board in October 2025. Please refer Related Party Transactions Review Committee Report on page 263.	Complied																				
9.14.4 (1)	General requirements - The Committee shall meet at least once a calendar quarter	The Committee met four (4) times during 2025. The minutes of all meetings are properly documented and tabled at the subsequent Board meetings for information.	Complied																				
9.14.4 (2)	General requirements - The Committee should ensure that they have, or have access to, enough knowledge or expertise to assess all aspects of proposed Related Party Transactions	The Committee has adequate knowledge and expertise to assess all aspects of Related Party Transactions.	Complied																				
9.14.4 (3)	General requirements - Approval by Board of Directors	Where necessary, the Committee shall recommend and request the Board of Directors to approve the Related Party Transactions which have been reviewed by the Committee.	Complied																				

Code Ref	Requirement	Extent of Compliance	Status of Compliance
9.14.4 (4)	General requirements - Conflict of Interest	The Related Party Transactions Review Committee is responsible for overseeing processes related to conflicts of interest. The Board has implemented measures to prevent any potential conflicts that may arise when dealing with related parties. Upon appointment and subsequently on a quarterly basis, Directors submit declarations to the Board disclosing any material interests in business transactions. Furthermore, Directors abstain from participating in discussions and recuse themselves from meetings whenever matters involving related party transactions are considered and a conflict of interest could occur.	Complied
9.14.5	Review of Related Party Transactions by the Related Party Transactions Review Committee	The Committee takes into account the provision of the CSE listing rules when reviewing related party transactions.	Complied
9.14.6	Shareholder Approval	A situation to obtain the shareholder approval as per CSE listing rules has not arisen during the year.	Complied
9.14.7	Immediate Disclosures	A situation has not arisen where immediate disclosure is required to be made as per CSE listing rules.	Complied
9.14.8	Disclosures in the Annual Report	Disclosure requirements are covered in the Related Party Transactions Review Committee Report given on page 263.	Complied
9.14.9	Acquisition and Disposal of assets from/to related parties	The Bank has not acquired/disposed substantial assets from/to related parties.	Complied
9.14.10	Exempted Related Party Transactions	The provisions of the sections are considered when evaluating the Related Party Transactions by the Committee.	Complied
9.17	Additional Disclosures		
9.17	(i) Declaration of all material interest (ii) Review of internal controls and compliance controls (iii) Compliance with laws, rules and regulations (iv) Material Non-Compliances	Disclosure requirements are covered in the Annual Report of the Board of Directors given on page 232. Material non-compliance with any Law or Regulation has not arisen during the year 2025.	Complied

CORPORATE GOVERNANCE

Compliance with the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka (2023)

Code Ref.	Requirement	Reference	Complied	Page Ref
A.	Directors			
A.1	The Board	The Board	✓	171
A.1.1	Regular Board meetings, provide information to the Board on a structured and regular basis	Board Meetings	✓	185
A.1.2	Roles & Responsibilities of the Board	The Role of the Board	✓	171
A.1.3	Compliance & Independent Professional Advice	Company Secretary	✓	175
A.1.4	Access to advice and services of Company Secretary	Company Secretary	✓	175
A.1.5	Independent Judgement	Non-Executive Directors	✓	175
A.1.6	Dedicate Adequate Time and Effort	Board Meetings	✓	185
A.1.7	Calls for Resolutions	Board Meetings	✓	185
A.1.8	Board Induction and Training Annual Assessment of Training Needs	Induction & Training for Directors	✓	184
A.2	Chairman & Chief Executive Officer	Segregation of Duties at a Leadership Level	✓	173
A.3	Chairman's Role in Preserving Good Corporate Governance	Segregation of Duties at a Leadership Level	✓	173
A.4	Availability of Financial Acumen	Board Skills and Diversity	✓	181
A.5	Board Balance	Board Composition	✓	180
A.5.1 A.5.2	Independent Non-Executive Directors	Board Composition	✓	180
A.5.3	Director's Independency	Non-Executive Directors	✓	175
A.5.4	Annual Declaration	Non-Executive Directors	✓	175
A.5.5	Annual determination of independence of Non-Executive Directors	Non-Executive Directors	✓	175
A.5.6	Alternate Directors	No alternate Directors have been appointed to represent Non-Executive Directors of the Bank	✓	
A.5.7	Senior Independent Director (SID) Meetings with Non-Executive Directors and Executive Director by SID	Senior Independent Director (SID) Statement by the Senior Independent Director (SID)	✓	265
A.5.8	Confidential Discussions with SID	Senior Independent Director (SID) Statement by the Senior Independent Director (SID)	✓	265
A.5.9	Meetings with Non-Executive Directors by Chairman	Non-Executive Directors (NEDs)	✓	175
A.5.10	Minutes	Board Meetings	✓	185

Code Ref.	Requirement	Reference	Complied	Page Ref
A.6	Provision of Appropriate and Timely Information	Board Meetings	✓	185
A.7	Appointments to the Board; Nomination Committee	Board Composition, Board Skills and Diversity Selection, Election & Appointment	✓	183
A.7.1	Composition of Nomination Committee	Board Composition, Nomination and Governance Committee Report	✓	175
A.7.2	Annual assessment of Board composition	Board Skills and Diversity, Board Composition	✓	180
A.7.3	Succession plan for CEO/KMPs	Succession planning	✓	184
A.7.4	Disclosures on appointment of new Directors	Board Skills and Diversity, Selection and appointment of new Directors	✓	183
A.7.5 A.7.6	Profile of the Members of the Nomination Committee Terms of Reference for Nomination Committee	Nomination and Governance Committee Report Board Sub-Committees	✓	247 175
A.8	Re-election of Directors	Re-election of Directors	✓	183
A.9	Appraisal of Board & Sub-Committees	Board and Board Sub Committee evaluation	✓	187
A.10	Annual Report to Disclose Specified Information Regarding Directors	Board Composition Conflict of interest Board Meetings	✓	172
A.11	Annual appraisal of the CEO	Evaluating the performance of the MD/CEO	✓	188
B.	Directors' Remuneration			
B.1	Directors' & Executive Remuneration	Directors and Executive Remuneration Mandatory Committees	✓	183
B.2	Level & Make-up of Remuneration	Directors and Executive Remuneration	✓	183
B.3	Disclosures related to Remuneration in Annual Report	Directors and Executive Remuneration Financial Statements HRRC Report	✓	183 183 244
C.	Relations with Shareholders			
C.1	Constructive use of the AGM & conduct of General Meetings	Annual General Meeting (AGM) and Voting rights Shareholder Relations	✓	193
C.2	Communication with shareholders	Annual General Meeting and Voting rights. Shareholder Relations	✓	193
C.3	Disclosure of Major and Material Transactions	During the financial year 2025, one material transaction was undertaken. The Bank acquired the remaining 50% stake in Acuity Partners (Pvt) Ltd from DFCC Bank PLC on 21st January 2025. Subsequent to the acquisition, the entity was rebranded as HNB Investment Bank (Pvt) Ltd. Refer Business Line Review on page 48 HNB Investment Bank (Pvt) Ltd.	✓	193

CORPORATE GOVERNANCE

Code Ref.	Requirement	Reference	Complied	Page Ref
D.	Accountability & Audit			
D.1	Present a balanced and understandable assessment of the Company's financial position, performance and prospects	The Role of the Board Reporting and Disclosure Managing Director/Chief Executive Officer's and Chief Financial Officer's Responsibility Statement Annual Report of the Board of Directors on the affairs of the Bank Directors' Responsibility for Financial Reporting Directors' Statement on Internal Control over Financial Reporting Management Discussion and Analysis Statement of going concern of the Bank on Note 2, to the Financial Statements Related Party Transactions i) Note 60 in the Financial Statements ii) Report of the RPTRC In the unlikely event of the net assets of the Bank falling below 50% of Shareholders Funds, the Board will summon an Extraordinary General Meeting (EGM) to notify the shareholders of the position and to explain the remedial action being taken.	✓	171 188 323 232 324 to 325 266 21 344 524 to 530 263 193
D.2	Process of Risk Management and a sound system of internal control to safeguard shareholders' investments and the Company's assets	Risk Management and Internal Control Risk & Capital Review Directors' Statement on Internal Control over Financial Reporting	✓	189
D.3	Audit Committee	Mandatory Committees Board Sub-Committees Board Audit Committee Report	✓	177 175 259
D.4	Risk Committee	Mandatory Committees Board Sub-Committees Board Integrated Risk Management Committee Report	✓	177 175 252
D.5	Related Party Transactions Review Committee	Mandatory Committees Board Sub-Committees Related Party Transactions Review Committee report	✓	177 175 263
D.6	Code of Business Conduct and Ethics	Code of Business Conduct and Ethics Chairman's Message	✓	189
D.7	Corporate Governance Disclosures	Corporate Governance Report	✓	164

Code Ref.	Requirement	Reference	Complied	Page Ref
E/F	Institutional and other Investors		✓	193
	Encourage voting at AGM – institutional and other investors	Annual General Meeting and Voting rights Shareholder Relations Stakeholder Engagement	✓	193
G.	Internet of Things & Cyber Security			
G.1	Identify connectivity and related cyber risks	IT and Information Security Systems	✓	191
G.2	Appoint a CISO and implementing a Cyber Security Policy		✓	191
G.3	Include Cyber Security on Board agenda		✓	191
G.4	Independent Assurance		✓	191
G.5	Disclosures in Annual Report		✓	191
H.	Sustainability: ESG RISK and Opportunities			
H.1	Board to consider Sustainability Risks and opportunities	Sustainability Governance	✓	192
H.2	Consider views of stakeholders in managing sustainability related risks and opportunities		✓	192
H.3	Establish an ESG governance framework		✓	192
H.4	Establish an ESG governance structure		✓	192
H.5	Annual Report to contain sufficient information on sustainability related risks and opportunities		✓	192

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE BANK

The Board of Directors of Hatton National Bank PLC (hereinafter referred to as the 'Bank' or the 'Company') proudly presents its Annual Report for the financial year ended 31st December 2025, reaffirming its commitment to transparency, accountability and sound governance.

This report encompasses:

- » The Bank's audited financial statements;
- » The Group's consolidated financial statements for the same period; and
- » The Auditor's Report on both sets of financials.

These disclosures have been prepared in full compliance with prevailing regulatory frameworks, including:

- » The Companies Act No. 7 of 2007, as amended by the Companies (Amendment) Act No. 12 of 2025;
- » The Banking Act No.30 of 1988 (and amendments thereto)
- » The Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks, issued by the Central Bank of Sri Lanka;
- » The Listing Rules of the Colombo Stock Exchange, updated periodically; and
- » The Code of Best Practice on Corporate Governance 2023, issued by the Institute of Chartered Accountants of Sri Lanka.

Hatton National Bank PLC operates as a Licensed Commercial Bank under the provisions of the Banking Act No. 30 of 1988, as amended from time to time. The Bank was originally incorporated in Sri Lanka on 5th March 1970 as a public limited company under the Companies Ordinance No. 51 of 1938. Subsequently, it was re-registered under the Companies Act No. 7 of 2007 on 27th September 2007. The Bank holds the re-registration number PQ 82.

The ordinary shares of Hatton National Bank PLC both voting and non-voting, as well as its unsecured subordinated and senior redeemable debentures, are listed on the Colombo Stock Exchange, reflecting the Bank's strong presence in the capital market.

Fitch Ratings Lanka Ltd has reaffirmed the Bank's financial strength by assigning a National Long-Term Rating of AA-(lka), underscoring its stability and credit worthiness.

The Bank's Registered Office and Head Office is situated at "HNB Towers", No. 479, T.B. Jayah Mawatha, Colombo 10, Sri Lanka serving as the central hub for its strategic and operational leadership.

The financial statements included in this Annual Report were formally reviewed and approved by the Board of Directors on 25th February 2026.

OUR COMMITMENT TO CORPORATE GOVERNANCE

Hatton National Bank PLC remains steadfast in its commitment to the highest standards of governance, integrity and professionalism.

GOVERNANCE FRAMEWORK

To reinforce its governance ethos, the Board has significantly enhanced the scope of its Annual Report. Expanded disclosures to offer deeper insights into the Bank's corporate governance framework. A comprehensive Corporate Governance Report forms an integral part of the reporting suite, reflecting the Bank's unwavering dedication to ethical leadership and regulatory excellence.

Designed to promote integrated thinking and informed decision-making, HNB's Governance Framework ensures a strategic balance that aligns the long-term interests of the Bank, its stakeholders and society. This approach is rooted in the creation and protection of sustainable shared value.

Key pillars of our governance structure include:

- » **Strong Leadership:** Reinforcing checks and balances across all levels of the organisation.
- » **Clear Organisational Structure:** Establishing well-defined lines of accountability and responsibility.
- » **Effective Risk Management and Controls:** Proactively mitigating risks to safeguard institutional stability.
- » **Ethical, Values-Driven Culture:** Fostering responsible conduct and principled decision-making.
- » **Whistleblowing and Employee Protection:** The Board has approved a comprehensive Whistleblowing Policy to encourage employees to confidentially report legitimate concerns regarding illegal, unethical, or questionable practices without fear of reprisal. The policy is reviewed annually and clearly outlines escalation channels within the Bank, investigation procedures, measures to ensure anonymity and protection against detrimental treatment, and alternative avenues for reporting to regulators.

As the principal steward of corporate governance, the Board is fully committed to delivering the four fundamental outcomes of the Bank's Governance Framework:

1. Sustainable Value Creation
2. Effective Control
3. Ethical Leadership
4. Accountability

Further elaboration on these outcomes is provided on pages 164 to 193 of this report.

GOVERNANCE IN 2025

The year 2025 tested the strength, resilience and agility of HNB's governance framework as the Bank pursued sustainable growth aligned with our Vision and Values, while safeguarding stakeholder interests.

HNB's well-structured governance model enabled the Board to exercise effective oversight and leadership as the medium- to long-term effects of prevailing economic conditions unfolded. Throughout the year, the Board received timely updates supported by enhanced analysis and reporting on critical issues impacting the Bank and its stakeholders.

Key priorities included Compliance, Risk Management, Recoveries and Internal Controls. Acting both directly and through its Sub-Committees, the Board took decisive measures to address challenges, manage crises and capitalise on emerging opportunities, while recalibrating strategy to protect and create value for the Bank and its stakeholders.

In developing strategy, the Board adopted an integrated approach to value creation, prioritising stakeholder inclusivity

and embedding Environmental, Social and Governance (ESG) considerations into decision-making. Updates on stakeholder engagement initiatives were regularly reviewed alongside reports from Board Sub-Committees, as detailed in the Stakeholder Expectations section on page 193 of this report.

The annual strategy review for 2026 was conducted in November and December 2025 in collaboration with the Corporate Management Team assisted by a renowned global strategy consulting firm. This exercise involved developing a long-term strategic plan for the period 2026-30 taking into consideration the prevailing local and global economic environment, major trends shaping the banking landscape and new business opportunities and risks faced by the banks. The strategic plan also included clearly articulated business objectives, revised short, medium and long-term aspirations for the Bank.

LEADERSHIP

The Board of Directors bears ultimate responsibility for the performance, strategic direction and overall affairs of Hatton National Bank PLC. The Board defines the Bank's risk appetite, steers strategic formulation, monitors progress against established objectives and oversees the governance and control environment.

To ensure focused and effective oversight, the Board has delegated specific responsibilities to ten (10) Board Sub-Committees, five of which are statutorily mandated and fully compliant with regulatory requirements.

Day-to-day operations and the execution of the Bank's strategic plan are entrusted to the Executive Management, led by the Managing Director/Chief Executive Officer (MD/CEO). Operating within a clearly defined framework, the Executive Management team leverages its diverse expertise, and complementary skill sets to drive strategic delivery and operational excellence.

Roles and responsibilities are clearly delineated through formal mandates and job descriptions, enabling efficient delegation and accountability. A distinct separation of duties between the Chairman and the MD/CEO ensures a balanced governance structure, with the MD/CEO directly accountable to the Board.

A culture of transparency and openness exists between the Board and the Executive Management team ensuring matters of concern are proactively addressed. In keeping with this practice, Key Management Personnel (KMP) participate in Board meetings by invitation, fostering robust communication and alignment between governance and execution. Regular reporting on critical issues enables the Board to exercise informed and effective oversight.

ANNUAL REPORT OF THE BOARD OF DIRECTORS
ON THE AFFAIRS OF THE BANK

THE BOARD

The Board comprises a diverse and balanced mix of skills and experience, enabling objective evaluation and informed decision-making. Non-Executive Directors are recognised professionals in their respective fields. Structured succession planning ensure that Board competencies remain aligned with the Bank’s evolving needs. A Skills Matrix is utilised to guide Director recruitment and succession planning.

Directors are appointed through a formal and transparent process, assessed for independence and approved by the Central Bank of Sri Lanka. The Nominations & Governance Committee (NGC) plays a pivotal role in recommending new Directors for Board approval after evaluating the collective knowledge, experience and diversity of the Board

against strategic priorities and identified gaps.

In 2025, one female Director was appointed, ensuring compliance with Direction No. 05 of 2024, which mandates at least one female representative on the Board by 31st December 2025. Further details are provided on page 248 of this report.

Newly appointed Directors participate in a structured induction programme, equipping them with essential information and resources to perform effectively. To remain abreast of regulatory changes, market developments and industry trends, Directors attend seminars, workshops, conferences and formal training programs enhancing their ability to guide the Bank through evolving challenges.

Meeting agendas and papers are typically circulated seven days prior to each meeting, while minutes of the previous meeting are shared two weeks before the next session. This ensures Directors have sufficient time to review, provide observations and prepare for discussions. The Chairman, supported by the Company Secretary, sets the agenda with careful attention to matters critical to the Bank’s success, including governance practices, compliance, risk management, sustainability initiatives and administrative matters.

The names, appointment dates, and meeting attendance of the Bank’s Directors are provided on pages 180 and 187 of this report.

The Board as at 31st December 2025

Non-Executive/ Independent Directors	» Mr Devaka Cooray » Mr Rasitha Gunawardana » Mr Nanda Fernando » Mr Sivakrishnarajah Renganathan » Mr Suresh Kumar Shah » Ms Dilani Alagaratnam	Senior Independent Director (SID)
Non-Executive/ Non-Independent Directors	» Mr Nihal Jayawardene » Mr Rimoe Saldin- Deceased on 16th January 2026 » Dr Prasad Samarasinghe	Chairman
Executive Director	» Mr Damith Pallewatte	Managing Director/Chief Executive Officer

Remuneration

The Bank’s Remuneration Policy is structured to attract, motivate and retain talent while rewarding performance in alignment with regulatory standards and stakeholder expectations. The framework ensures fairness, transparency and competitiveness across all levels of the organisation.

The remuneration package consists of two key components:

- » **Fixed Remuneration:** A stable base salary and benefits.
- » **Variable Remuneration:** Performance-linked incentives, including an annual bonus tied to individual and organisational achievements.

HNB’s remuneration policy was reviewed and amended by the Board during 2025 in line with regulatory requirements. In accordance with Banking Act Direction No. 05 of 2024, a formal claw-back

mechanism is in place for performance-based payments to the MD/CEO and KMP in cases of fraud or misappropriation, incorporated into employment contracts to ensure procedural fairness and transparency.

For details of Directors emoluments and other benefits paid in respect of Group and the Bank during the financial year ended 31st December 2025, please refer to Note 18 on page 425 of the financial statements.

Board Evaluation

Reinforcing the commitment to strong corporate governance, the Board conducts annual performance evaluations to enhance its effectiveness and that of its Committees. The evaluation is based on a self-assessment conducted by each Director to review both individual contribution and the collective performance of the Board.

The evaluation for 2025 was completed in January 2026, and the results confirmed that the Board's performance met expectations. Areas identified for improvement were duly communicated for action.

Directors' Interests and Related Party Transactions

The Directors at all times take necessary steps to avoid conflicts of interest or the potential conflicts of interest in their activities with and commitments to other organisations, related parties and other stakeholders. The Directors are also conscious of their obligation to deal with situations where there is a conflict of interest in accordance with the Bank's Policy on matters relating to the Board of Directors and Policy on Code of Business Conduct and Ethics and Corporate Governance Directions issued by CBSL in 2024. These policies have been developed in line with applicable regulatory requirements and best practices, and their effectiveness is periodically reviewed by the Board.

The policies ensure that the Board is not dominated or significantly influenced by a Director or a group of Directors in a manner that is detrimental or prejudicial to the interests of the depositors, creditors and the Bank as a whole.

As per the policies, where there is deemed to be a conflict of interest either in respect of the Director, his/her close relation or a concern in which he/she has substantial interest, is interested, the respective Directors refrain from participating in the discussions, voicing their opinion, approving the same and accessing the

information pertaining thereto, physically and/or electronically. Such actions are appropriately minuted for future reference and the Director concerned is not counted in the quorum in such instances.

In addition, an effective and comprehensive internal control framework for identifying, recording and disclosing Related Party Transactions is also in place.

The Directors are required to disclose upon appointment and subsequently on a quarterly basis their interests with other organisations, related parties and other stakeholders and also confirm that there are no relationships between the Directors among themselves and as well as between the Directors, MD/CEO and KMPs are at a level that does not result in excessive familiarity, undue influence or coercion. These declarations are recorded in the Directors' Interests Register and the Bank regularly updates the Register of Directors' Interests which is maintained in compliance with the Companies Act and is available for inspection.

Except as disclosed on pages 269 to 274 of this report, Directors hold no direct or indirect interest in any contract or proposed contract with the Bank.

The Related Party Transactions Review Committee reviews all transactions requiring approval in accordance with the terms of reference of the Committee, the Bank's Related Party Transactions Policy and relevant regulations of the Colombo Stock Exchange and the Central Bank of Sri Lanka. This is to ensure that more favourable treatment is not afforded and conflict of interest that may arise from related party transactions is avoided.

Related party transactions are detailed in Note 60 from pages 524 to 530 of the financial statements.

Independence

The independence of Non-Executive Directors is assessed quarterly basis in accordance with Banking Act Direction No. 05 of 2024.

Whenever matters involving a clear conflict of interest arise, the relevant Directors are denied access to related information, both physically and electronically. They are required to withdraw from the meeting and abstain from participating in discussions or decision-making on those specific issues.

Compliance

Compliance and regulatory risk encompass the potential exposure of the Bank to adverse outcomes resulting from non-compliance with applicable laws, rules, regulations, and codes of conduct. Such non-compliance could result in regulatory penalties, financial losses, business disruptions, and reputational damage. The Bank maintains a zero tolerance approach for non-compliance with the regulatory requirements.

In line with principle approach, the Board, through the Board Integrated Risk Management Committee (BIRMC), reviews the adequacy of the Bank's systems of governance and risk including ensuring that appropriate controls are in place to confirm compliance with applicable laws, regulations, codes of conduct and standards. Implementation of an effective compliance framework has been delegated to the Chief Compliance Officer and dedicated compliance function, directly reports to the BIRMC, ensuring the independence of this key function.

In 2025, the Bank responded proactively to the increasingly stringent regulatory environment shaped by heightened global scrutiny on financial crime, evolving standards for strong corporate governance, cybersecurity, and domestic political landscape.

Key measures included the timely integration of new regulatory directives such as Banking Act Directions No. 01 of 2025 and No. 05 of 2024 on Corporate Governance, the Banking (Special Provisions) Act Direction No. 01 of 2025, and amendments to the Personal Data Protection Act into internal policies and controls.

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE BANK

In terms of the forthcoming county mutual evaluation by APG due in 2026, Financial Intelligence Unit (FIU) functioning within the CBSL intensified surveillance particularly in the areas of Anti-Money Laundering (AML) and Countering the Financing of Terrorism (CFT). In preparation for the third mutual evaluation of the country's AML standards, the Bank strengthened its AML/CFT framework and enhanced transaction monitoring capabilities through system upgrades, including real-time sanction screening during onboarding and modifications to the SWIFT screening tool. The adoption of digital tools powered by Artificial Intelligence (AI) enabled efficient analysis of CBSL regulations and provided staff with timely clarifications.

A dedicated Compliance Audit Team was established to conduct comprehensive audits across 30 branches and business units, ensuring policy adherence and identifying areas for improvement. Periodic reviews of the compliance programme were carried out to assess its effectiveness, while continuous staff training initiatives were implemented to build awareness and competency in regulatory matters. Collectively, these measures reinforced the Bank's commitment to maintaining a strong compliance culture and operational integrity in a dynamic regulatory landscape.

For a comprehensive overview of our compliance, please refer to page 311 of this report.

Risk Governance & Internal Control

The Board is responsible for formulating and implementing effective risk management and internal control systems to safeguard shareholder interests and the assets of the Bank, in meeting strategic objectives. These internal control systems cover aspects of the Bank's business operations, including financial, operational and compliance and are monitored and regularly reviewed for effectiveness by the Board. The control systems are governed by mandated Board and management

committees with appropriate expertise and resources and are compliant with statutory and regulatory requirements. The overall risk profile of the Bank was well managed in the period under review, as the country's economic conditions and operating environment continued to improve. Nevertheless, the Bank has further reinforced its risk management activities to build necessary safeguards and mitigate risk exposure as described in the Risk Review on pages 276 to 320 of this report.

Digital Trust and Cyber Resiliency

In 2025, the Bank continued to advance its cybersecurity strategy with a strong emphasis on building digital trust and operational resilience. Recognising the growing complexity of cyber threats and the increasing reliance on digital platforms, the Bank adopted a forward-looking approach to safeguarding customer data and ensuring the integrity of its digital services.

A key highlight of the year was the continued implementation of a Zero Trust Cybersecurity Architecture, which reinforces the principle that no access internal or external is automatically trusted. This model has been instrumental in strengthening the Bank's security posture across its digital ecosystem. The Bank also embedded the concept of "Security by Design" into all technology initiatives, ensuring that security considerations are integrated from the earliest stages of development. To enhance preparedness and response capabilities, the Bank conducted industry-first cybersecurity simulation exercises involving senior leadership. These tabletop drills helped validate incident response protocols and fostered a culture of proactive risk management. The Bank also expanded its threat detection capabilities, enabling real-time monitoring and mitigation of potential cyber risks.

Customer protection remained a top priority, with enhanced security features

introduced in mobile banking applications. These measures include runtime protection technologies that secure transactions and personal data during active use. In parallel, the Bank launched targeted awareness campaigns to educate customers on cybersecurity best practices, empowering them to safeguard their digital identities.

Internally, the Bank invested in continuous training and awareness programs for staff, including the rollout of a Cybersecurity Learning Academy. This initiative provided structured learning modules tailored to different roles, from frontline staff to executive leadership, reinforcing a shared responsibility for information security.

The Bank also made significant progress in aligning with regulatory and industry standards. Compliance efforts were strengthened across multiple frameworks, including ISO 27001, ISO 27701, ISO 27035 and directives from the Central Bank. These efforts reflect the Bank's commitment to maintaining a robust governance structure and ensuring accountability in its cybersecurity operations. As the Bank looks ahead, its strategic roadmap includes further investments in advanced security technologies, automation, and data privacy. By fostering innovation while maintaining a strong security foundation, the Bank aims to deliver trusted digital experiences that meet the evolving needs of its customers and stakeholders.

Group Corporate Governance

The Board is committed to establishing a unified standard of corporate governance across all Group subsidiaries. Although policies and procedures are aligned with those of the Bank, they are customised to reflect the unique business models and risk profiles of each entity.

Statutory Disclosures

In accordance with Section 168 of the Companies Act No. 7 of 2007 as amended by Companies (Amendment) Act No. 12 of 2025, the following information must be included in the Annual Report for the year under review.

No.	Disclosure requirements	Reference to the Companies Act No. 7 of 2007	Disclosure reference for compliance	Page
1	The nature of the business of the Bank and the Group	Section 168 (1) (a)	About HNB Group	6
2	Financial statements for the accounting period completed and signed in accordance with Section 152	Section 168 (1) (b)	The financial statements of the Group and the Bank for the year ended December 31, 2025	331 to 603 Signed on page 335
3	Auditor's report on the financial statements of the Bank and the Group	Section 168 (1) (c)	Independent Auditor's Report	326 to 330
4	Any change in accounting policies made during the accounting period	Section 168 (1) (d)	Note 3.6 to the financial statements - Changes in Material Accounting Policies	353
5	Particulars of entries in the Interests Register made during the accounting period	Section 168 (1) (e)	Directors' Interest in Contracts with the Bank	269
			Corporate Governance Report - Conflict of Interest, provides details of management of Directors' Interests	172
6	Remuneration and other benefits of Directors during the accounting period	Section 168 (1) (f)	Note 18 to the financial statements - Other Expenses	425
			Corporate Governance Report - Fair and Responsible Remuneration, provides details of the remuneration framework	183
7	Total amount of donations made by the Company during the accounting period	Section 168 (1) (g)	Note 18 to the financial statements - Other Expenses	425
8	Names of the persons holding office as Directors of the Company as at the end of the accounting period and the names of any persons who ceased to hold office as Directors of the Company during the accounting period	Section 168 (1) (h)	Board Profiles	146 to 151
			Corporate Governance Report	164 to 243
9	Amounts payable by the Company to the person or firm holding office as auditor of the Company as audit fees and as a separate item, fees payable by the Company for other services provided by that person or firm	Section 168 (1) (i)	Note 18 to the financial statements – Other Expenses	425

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE BANK

No.	Disclosure requirements	Reference to the Companies Act No. 7 of 2007	Disclosure reference for compliance	Page
10	Particulars of any relationship (other than that of auditor) which the auditor has with or any interests which the auditor has in the Company or any of its subsidiaries	Section 168 (1) (j)	The Bank's auditors during the period under review were Messrs. KPMG, Chartered Accountants.	267
			Board Audit Committee periodically reviews the independence and objectivity of the External Auditor and also considers the adherence to the Policy on non-audit services to ensure that their independence is maintained.	
			Based on the declaration provided by Messrs. KPMG, and as far as the Directors are aware, the auditors do not have any relationship or interest with the Bank that in our judgement, may reasonably be thought to have a bearing on their independence within the meaning of the Code of Professional Conduct and Ethics issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka), applicable on the date of this Report.	
			A resolution for the appointment of Messrs. Ernst & Young, Chartered Accountants as Auditors for the ensuing year and authorising the Directors to fix their remuneration will be proposed at the Annual General Meeting.	
11	Signed on behalf of the Board by two Directors and the Company Secretary	Section 168 (1) (k)	Complied with	243

Additional Disclosures

Outlined below are additional disclosures, with comprehensive details provided in the accompanying notes to the Annual Report, an essential component of the Board of Directors' Report.

No.	Disclosure requirements	Note reference	Page
1	Vision, Mission and Corporate Conduct	Vision and Mission The Bank is committed to upholding high standards of business conduct and ethics in the work place at all times, paramount in retaining the trust of our stakeholders. All employees of the Bank abide by the Bank's Policy on Internal Code of Business Conduct and Ethics, which has been communicated via electronic and visual mediums and been made available in three languages. The Policy on Internal Code of Business Conduct and Ethics for Directors and employees is hosted in the Bank's website	22
2	Principal Activities	About HNB Group	6
3	Changes to the Group Structure	Pursuant to the Bank acquired the remaining 50% stake in Acuity Partners (Private) Limited from DFCC Bank PLC, Acuity Partners (Private) Limited became a fully owned subsidiary of the Bank on 21st January 2025 and has changed its name as HNB Investment Bank (Pvt) Ltd.	
4	List of Directors of Subsidiaries and Joint Ventures of the Bank as at 31st December 2025	Subsidiaries HNB Assurance PLC » Mr S A Chapman » Mr L U D Fernando » Mr Ashoka Goonesekere » Mr L H A Lakshman Silva » Dr P S Gamwarige » Mr P R Saldin - Deceased on 16th January 2026 » Prof. Ananda Kithsiri W Jayawardane » Mr P.H.L.N. Wimalaratne » Ms W A P A Ranawaka Sithma Development (Pvt) Ltd » Mr P R Saldin - Deceased on 16th January 2026 » Dr L Rohan Karunaratne » Ms Anuradhi U Delage » Mr U A Roshan Fernando	
		HNB Finance PLC » Mr A G R Dissanayake » Mr B M D C Prabath » Mr R D Manatunga - resigned w.e.f 8th January 2026 » Mr P Lalith P Withana » Mr M S Polamarasetty » Mr B Premalal » Mr Anura Pathirage » Dr T K D A P Samarasinghe » Ms R G Unamboowe	
		HNB INVESTMENT BANK (PVT) LTD » Mr P G D B Pallewatte » Mr M R Abeywardena » Mr M S Wijemanne » Mr D Nigel Bartholomeusz	

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE BANK

No.	Disclosure requirements	Note reference	Page
		Other Group Companies HNB General Insurance Ltd (Subsidiary of HNB Assurance PLC) » Mr S A Chapman » Mr L U D Fernando » Mr M S Wijemanne » Mr A V Abeygunasekara » Mr U K D Dharmadasa » Ms P Abeygunawardana » Mr J M J S D Jayasundara	
		Lanka Ventures PLC » Mr M R Abeywardena » Mr J D N Kekulawala » Mr W P Kusal Jayawardana » Mr M S Wijemanne	
		HNB Securities Limited » Mr M R Abeywardena » Mr A V Abeygunasekara » Mr W P Kusal Jayawardana	
		HNB Stockbrokers (Pvt)Ltd » Mr M R Abeywardena » Mr P P S P Fernando » Mr M S Wijemanne » Ms M P Abeyesekara	
		LVL Energy Fund PLC (Subsidiary of Lanka Ventures PLC) » Mr M R Abeywardena » Mr J D N Kekulawala » Mr W P Kusal Jayawardana » Mr M S Wijemanne	
5	Review of Operations	Chairman's Message Managing Director/CEO's Message Stakeholder Reports Business Line Review	10 to 12 13 to 20 567 48 to 71
6	Future Developments	Chairman's Message Managing Director/CEO's Message Stakeholder Reports Business Line Review	10 to 12 13 to 20 567 48 to 71
7	Financial Statements	The financial statements of the Group and the Bank for the year ended December 31, 2025 The financial statements of the Bank and the Group have been prepared in accordance with Sri Lanka Accounting Standards laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and they comply with the requirements of Companies Act No. 7 of 2007 and Banking Act No. 30 of 1988 (as amended).	331 to 603
8	Directors' Responsibility for Financial Reporting	Directors' Responsibility for Financial Reporting	324 to 325
9	Auditor's Report	Independent Auditor's Report	326 to 330
10	Material Accounting Policies	Note 2 and 3 to the financial statements - Basis of Preparation and Material Accounting Policies, respectively	343
11	Going Concern	Note 2 to the financial statements – Going Concern	344
12	Income	Note 7 to the financial statements – Gross Income	332

No.	Disclosure requirements	Note reference	Page
13	Financial Results and Appropriations	Income Statement	332
		Statement of Profit or Loss and Other Comprehensive Income	333
		Statement of Changes in Equity	336
14	Reserves	Statement of Changes in Equity	336
15	Corporate Donations	Note 18 to the financial statements - Other Expenses	425
		The Bank did not make any donations to Government approved charities	
16	Taxation	Note 21 to the financial statements - Income Tax Expense	332
17	Statutory Payments	The Directors, to the best of their knowledge and belief, are satisfied that all statutory payments in relation to the Government and the employees have been made up to date.	-
18	Dividends on Ordinary Shares	Note 23 to the financial statements - Dividends Paid and Proposed	432
19	(i) Capital Expenditure	The total capital expenditure on acquisition of property, plant and equipment and intangible assets of the Bank and the Group amounted to Rs 2,135,591 and Rs 960,504/- respectively. (2024 Bank: Rs 1,516,991/- and Rs 358,166/-) Group: Rs 2,575,557/- and Rs 2,252,733 (2024 Group Rs 1,993,957 and Rs 499,081) However, there was no capital expenditure on investment property during 2025 (2024 - Nil). Details are given in Note 36, 37 and 39 to the financial statements.	
	(ii) Capital commitments	Capital expenditure approved and contracted for and approved and not contracted for, as at balance sheet date are given in Note 59 to the financial statements – Capital commitments.	523
20	Property, Plant and Equipment	Note 37 to the financial statements - Property, Plant and Equipment	476
21	Net Book Value of Freehold Properties	Note 37 to the financial statements - Property, Plant and Equipment.	476
22	Outstanding Litigation	In the opinion of the Directors and the Bank's Lawyers, pending litigation against the Bank disclosed in Note 59 of the financial statements, will not have a material impact on the financial position of the Bank or its future operations.	524
		Note 59 to the financial statements - Litigation against the Bank	
23	Events after the Reporting Date	Note 64 to the financial statements - Events Occurring After the Reporting Period	536
24	Stated Capital and Debentures	Notes 54, 46 and 52 to the financial statements – Stated Capital, Debt Securities Issued and Subordinated Term Debts, respectively	517, 501, 509
25	Share Information	Investor Relations	570 to 578
26	Shareholdings	Investor Relations	570 to 578
27	Equitable Treatment to Shareholders	The Bank has at all times ensured that all shareholders (both voting and non-voting) are treated equitably except for the right to vote.	-
28	Register of Directors and Secretaries	As required under Section 223 (1) of the Companies Act No. 7 of 2007, the Bank maintains a Register of Directors and Secretaries which contains the name, surname, former name (if any), residential address, business, occupation, dates of appointment and dates of resignation (if applicable) of each Director and the Secretary.	-

ANNUAL REPORT OF THE BOARD OF DIRECTORS ON THE AFFAIRS OF THE BANK

No.	Disclosure requirements	Note reference			Page
29	Directors' Interests in the Ordinary Shares (Voting and Non-Voting)	Name	As at 31st December 2025	As at 31st December 2024	
		Mr Nihal Jayawardene	-	-	
		Mr Damith Pallewatte	-	-	
		Mr Devaka Cooray	9,491	9,491	
		Mr Madura Ratnayake - resigned w.e.f. 30th May 2025	-	-	
		Mr P R Saldin - deceased on 16th January 2026	-	3,505	
		Mr Kithsiri Gunawardena - resigned w.e.f. 30th July 2025	-	-	
		Mr Rasitha Gunawardana	26,261	26,261	
		Dr Prasad Samarasinghe	-	-	
		Mr Nanda Fernando	-	-	
		Mr S Renganathan	-	-	
		Mr S K Shah	-	-	
		Ms Dilani Alagaratnam	-	N/A	
30	Directors' Interest in Debentures	Directors did not have any interest in debentures as at 31st December 2025			-
31	Directors' Remuneration	Note 18 to the financial statements - Other Expenses			425
32	Human Resources	Human Capital			84
33	Employee Share Option Plan	Note 54 to the financial statements - Stated Capital			517
34	Environmental Protection	The Bank has not engaged in any activity that is harmful or hazardous to the environment. The environmental impact from the Bank's lending activities are monitored and managed through a structured Environmental and Social Management System.			291
35	Risk Management and Internal Control	Risk & Capital Review			276
36	Directors' Statement on Internal Control	Directors' Statement on Internal Control Over Financial Reporting			266
37	Corporate Governance	Corporate Governance Report			164 to 243
38	Insurance and Indemnity	Pursuant to a decision of the Board, the Bank obtained an Insurance Policy to cover Directors' and Officers' liability.			-
39	Material Foreseeable Risk Factors (As per Rule No. 7.6 (VI) of the Listing Rules of the Colombo Stock Exchange)	Risk & Capital Reviews			276
40	Material Issues Pertaining to Employees and Industrial Relations Pertaining to the Bank (As per Rule No. 7.6 (VII) of the Listing Rules of the Colombo Stock Exchange)	No material issues occurred during the year			-

No.	Disclosure requirements	Note reference	Page
41	Disclosure on the Sustainable Bonds listed on the CSE (As per Rule No. 7.6 (xviii) of the Listing Rules of the Colombo Stock Exchange	The Bank successfully completed its inaugural Sustainable Bond issuance of Rs 10 Bn on 9th December 2025. The proceeds from this issuance are being allocated exclusively toward financing or refinancing eligible green and social projects, in accordance with the Bank's Sustainable Bond Framework. Through this initiative, the Bank aims to further expand its portfolio of environmentally and socially beneficial projects as part of its ongoing business activities. SLFRS Disclosure.	127
42	Information on listed debt securities	Investor Relations	577
43	Operational Excellence	Performance Highlights	8

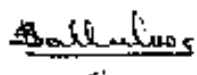
Notice of Annual General Meeting

The 57th Annual General Meeting of the Bank is convened on 31st March 2026, at 10.00 in the forenoon, at the Auditorium on Level 22 of "HNB Towers", No 479, T. B. Jayah Mawatha, Colombo 10 (Registered Office). The Notice of the 57th Annual General Meeting is enclosed.

Acknowledgement of the Contents of the Report

In compliance with Section 168(1)(k) of the Companies Act No. 7 of 2007, the Board of Directors formally acknowledges the contents of this Annual Report.

For and on behalf of the Board of Directors,



Shiromi Halloluwa
Board Secretary



Damith Pallewatte
Managing Director/Chief Executive Officer



Nihal Jayawardene
Chairman

Colombo, Sri Lanka
25th February 2026

HUMAN RESOURCES AND REMUNERATION COMMITTEE REPORT



Ms Dilani Alagaratnam, Chairperson,
Human Resources & Remuneration
Committee

Composition & Meetings

The HR & Remuneration Committee of the Board comprises Five Non-Executive Directors whose details are given below:

Chairperson

Ms Dilani Alagaratnam (IND/NED)
(appointed as a member on 05th March 2025 and appointed as the Chairperson on 30th May 2025)

Other Members

- » Mr Nihal Jayawardene (NIND/NED)
(appointed on 23rd June 2023)
- » Mr Rasitha Gunawardana (IND/NED)
(appointed on 9th November 2023)
- » Mr Suresh Kumar Shah (IND/NED)
(appointed on 28th June 2024)
- » Mr Sivakrishnarajah Renganathan
(IND/NED) (appointed on 30th May 2025)
- » Mr Madura Ratnayake (IND/NED)
resigned w.e.f. 30th May 2025

Brief profiles of the Directors are given on pages 146 to 151 in this report.

Invitees of the Board

Mr Damith Pallewatte (MD/CEO)
(except when his remuneration or performance is discussed).

Management Participants

Mr Kailaivasan Indravasan – Chief
Human Resources Officer (CHRO)

The HR & Remuneration Committee (the “Committee”) convenes meetings as needed but meets at least once every quarter. The outcomes of these meetings are reported to the Board, with minutes tabled at the meetings of the Board of Directors.

The Committee operates under an established Terms of Reference (TOR) that outlines its scope, authority, responsibilities, and quorum requirements. Committed to principles of accountability and transparency, the Committee ensures that remuneration frameworks are fair, performance-driven, and aligned with the Bank’s long-term objectives and the interests of its stakeholders. The TOR has been reviewed and updated to comply with Section 9 of the Listing Rules on Corporate Governance issued by the Colombo Stock Exchange, as well as the Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks, issued by the Central Bank of Sri Lanka (CBSL).

Policy

The Bank’s Remuneration Policy aims to attract, motivate and retain employees with professional, managerial and operational expertise required to meet the Bank’s objectives. This year, the policy was updated to include regulatory compliance of the Central Bank of Sri Lanka Banking Act Direction on Claw-back policies and procedures for Key Management Personnel of the Bank. The policy is available on the Bank’s website, ensuring alignment with the Corporate Governance Rules of the Colombo Stock Exchange.

Scope

The Committee is entrusted with reviewing, assessing, and making recommendations to the Board of Directors on matters related to the Bank’s Human Resources, as well as issues referred to it by the Board or other Sub-Committees. In carrying out its mandate, the Committee focuses on:

- » Remuneration for Non-Executive Directors, the Executive Director, and Key Management Personnel (KMP)
- » Talent strategies that attract, develop, and retain high-performing individuals.
- » Learning and development initiatives, including annual training plans for employees.
- » Workforce representation and engagement.
- » Leadership acquisition and retention, ensuring a strong pipeline of future leaders.

To achieve these objectives, the Committee undertakes the following responsibilities:

- » Review and recommend annual goals and performance targets for the MD/CEO and Key Management Personnel (KMPs).
- » Reviews Human Resource policies, salary structures, and incentive schemes for Senior Management, based on inputs and recommendations from the MD/CEO and Chief Human Resource Officer (CHRO). It evaluates performance and recommends remuneration packages, annual increments, and bonuses for the MD/CEO, Corporate Management, and Senior Management to the Board of Directors.
- » Conducts an annual review of the organisational structure, ensuring alignment with the Bank’s strategic direction.
- » Ensures robust succession planning for critical positions and establishes the basis for revising remuneration, benefits, and other performance-based incentives.
- » Considers and approves promotions for management-level and above staff, based on proposals submitted by the Human Capital Management Committee headed by the MD/CEO, following a formal evaluation process.

Secretary to the Committee

The Board Secretary functions as the Secretary to the Committee.

Attendance during 2025

The Committee met six (06) times during 2025.

Attendance details of meetings held during 2025 are as follows.

Attendance during 2025

	Eligible to attend/ Attended
Ms Dilani Alagaratnam	4/4
Mr Nihal Jayawardene	6/6
Mr Rasitha Gunawardana	6/6
Mr Suresh Shah	6/6
Mr Sivakrishnarajah Renganathan	2/2
Mr Madura Duminda Ratnayake (resigned w.e.f.30th May 2025)	4/4
Mr Damith Pallewatte	5/5

» Provides strategic oversight for skill and capability development, considering market dynamics and emerging regulatory, technological, and industry trends.

- » Reviews and recommends diversity-related matters to the Board, including:
- The Bank's diversity policy.
 - Setting measurable objectives for achieving diversity across the Group and annually assessing progress against these objectives.
 - Reviewing gender representation at all levels and analysing remuneration by gender to identify and address pay gaps, making recommendations to the Board where necessary.

Key Activities Carried Out in 2025

Successful completion of the Strategic HR Transformation project covering Organisation Structure review, Job Evaluation, Job grading & Job banding, Compensation & Benefits, Industry Benchmarking study, Performance Management system and competency framework review. The implementation of the project deliverables commenced during the first quarter of 2025. Key areas of implementation were introduction of a new Job Grading nomenclature and leaner job banding structure, revision of compensation and benefits, role enrichment and mobilisation of employees to fill new vacancies in the organisation structure to support the continuous drive of the Bank in executing its plans. The first structured performance evaluation cycle was conducted for 1,291 Executives and Senior Executives during March 2025 toward bringing their performance evaluation in line with the rest of the Management grade and above staff. This has increased the total employees brought into the performance evaluation process from previous years' composition of 18% to 41% in 2025.

Reviewing revised Succession Plan for the Senior Management with a success rate assessment.

Whilst all HR Policies were reviewed and amendments were approved in 2024, several policies that required further improvements owing to new regulatory directions and to support the recommendations implemented through the HR Transformation project, were further reviewed and amendments to the following policies were approved by the Board HR Committee:

- » Disciplinary Policy
- » Remuneration Policy
- » Mobility Policy
- » Promotion Policy

The management continued the Regional Engagement Teams monthly meetings, covering the sixteen regions and Head Office/Centralised functions to identify areas requiring attention in line with Great Place To Work (GPTW) survey feedback. Recommendations for action are considered and actioned by a cross-functional team chaired by SEVP/Chief Operating Officer and comprising of Corporate Management, Senior Management, and other grades representing the business and enabling functions, and CBEU and Officers' Union.

Employment Report

To achieve its objectives, the Bank recognises the need for a workforce that is both highly skilled and cross functional capabilities and reflective of the diverse stakeholders it serves. The Bank's present and future success depends on the collective knowledge and expertise of its employees, particularly as it navigates the growing need to adapt to a dynamic, diverse, and mobile workforce. In line with this, the Bank is firmly committed to investing in Human Capital Development enhancing existing capabilities and acquiring new knowledge essential for driving superior performance and efficiencies across the Bank.

For the employment report of the Bank as of 31st December, 2025 refer Human Capital Report on pages 84 to 95 in this report.

HUMAN RESOURCES AND REMUNERATION COMMITTEE REPORT

Professional Advice

The Committee is empowered by its TOR to obtain external professional advice on matters within its scope.

Committee Evaluation

To ensure effectiveness of the Committee, the members conducted a self-assessment and shared the same among its members. A summary is shared with the Board.

Conclusion

In 2026, the Bank will continue to implement identified strategies for the optimal growth of Human Capital. We will further review HR policies, practices and systems, towards enabling a culture of efficient and effective work ethic among the employees whilst enriching them with knowledge and training. Our focus will be to enhance the employer brand and ensure that the employee value proposition supports the strategic vision and growth of the bank



Dilani Alagaratnam

Chairperson

*Human Resources & Remuneration
Committee*

Colombo, Sri Lanka
25th February 2026

NOMINATIONS AND GOVERNANCE COMMITTEE REPORT



Mr Sivakrishnarajah Renganathan,
Chairman, Nominations and Governance
Committee

Composition & Meetings

The following Directors serve/served on the Nominations and Governance Committee:

Chairman

Mr Sivakrishnarajah Renganathan (IND/NED) Appointed on 26th April 2024 and Chairman w.e.f. 5th March 2025

Other Members

- » Mr Devaka Cooray (IND/NED) Appointed on 30th July 2021 (Chairman up to 4th March 2025).
- » Mr Nihal Jayawardene (NIND/NED) Appointed on 23rd June 2023
- » Mr Suresh Shah (IND/NED) Appointed w.e.f. 1st August 2025
- » Ms Dilani Alagaratnam (IND/NED) Appointed w.e.f. 1st August 2025
- » Mr Madura Ratnayake (IND/NED) Resigned w.e.f. 30th May 2025

(IND – Independent Director, NIND – Non-Independent Director, NED – Non-Executive Director, MD/CEO – Managing Director/Chief Executive Officer)

Brief profiles of the Directors are given on pages 146 to 151 in this report.

Activities In 2025

In 2025, the Board Nominations and Governance Committee (BNGC) continued as a pivotal force in the Bank's governance landscape with the Banking Act Direction No. 05 of 2024 on Corporate Governance issued by Central Bank of Sri Lanka came into effect from 1st January 2025. Consequent to the implementation of the corporate governance regulations of Colombo Stock Exchange and corporate governance directions of Central Bank of Sri Lanka the BNGC's responsibilities were significantly expanded, empowering the Committee to elevate the Bank's governance culture beyond the expectations of stakeholders.

As part of its duties, the Committee undertook a comprehensive review of the Bank's Corporate Governance Framework, including an in-depth assessment of policies, guidelines, principles in relation to both the Board and Key Management levels. The Committee further evaluated the balance of skills, experience, attributes, independence and diversity among the Board and Key Management Personnel (KMP) to ensure each leadership tier possesses the requisite skills to implement strategic plans effectively and that the Board could provide informed and constructive challenges to Management.

Accordingly, talent management and succession planning for roles below the Board level were key topics of discussion. Throughout the year, the Committee engaged in continuous reviews of the structure, skills and composition of the Board and its Committees with appropriate recommendations made to the Board to enable any identified skill gaps at the Board level to be addressed through the appointment of suitable candidates to fill these vacancies.

The Committee also closely monitored activities and initiatives aimed at strengthening the Bank's talent pipeline. Recommendations were made to appoint suitable external individuals to Group Company Boards to ensure independence.

The fitness and propriety of Directors and new KMP were evaluated as required to ensure compliance with the Central Bank of Sri Lanka (CBSL) requirements and the Corporate Governance Rules of the Colombo Stock Exchange (CSE). Additionally, the Committee reviewed the revised selection matrix, which includes qualifications, experience and key attributes for promotions within the Key Management Personnel. This comprehensive approach ensured that the Bank maintained a robust governance framework capable of supporting its strategic objectives.

Committee Responsibilities

The Committee is responsible for implementing a systematic and transparent procedure to select and appoint new Directors, the MD/CEO, CEO and Key Management Personnel (KMP), in line with the Bank's governance standards.

In addition, the Committee considers and recommends the re-election of current Directors following an evaluation of their performance and contributions to the Board's overall responsibilities. The Committee conducted an evaluation of the performance of the Directors retiring by rotation against an evaluation matrix prepared and adopted. Retiring members of the NGC abstained from participating in decisions relating to their own appointment or reappointment.

Ensuring that an updated procedure is in place for the selection, appointment and re-election of Directors taking into account the fitness, propriety, qualifications, competencies and independence of the candidates, in line with statutory provisions.

The Committee reviewed the eligibility criteria for appointments or promotions to the positions of MD/CEO and KMPs including establishing clear guidelines regarding required qualifications, experience and key attributes necessary for the respective roles, to ensure the right individuals are selected.

NOMINATIONS AND GOVERNANCE COMMITTEE REPORT

Invitees of the Committee

Mr Damith Pallewatte Managing Director/Chief Executive Officer participated at the meetings on invitation as and when necessary

Secretary to the Committee

The Board Secretary functions as the Secretary to the Committee.

Attendance during 2025

Attendance details of meetings held during 2025 are as follows.

	Eligible to attend/ Attended
Mr S. Renganathan	10/10
Mr Devaka Cooray	10/10
Mr Nihal Jayawardene	10/10
Mr Suresh Shah	3/3
Ms Dilani Alagaratnam	2/3
Mr Madura Ratnayake <i>Resigned w.e.f. 30th May 2025</i>	2/5
Invitees	
Mr Damith Pallewatte	4/4

The Committee is entrusted with the responsibility of ensuring that the Directors, the MD/CEO and KMP are fit and proper persons to hold office in compliance with the criteria specified under statutory and regulatory requirements, maintaining the integrity of the Bank's leadership.

The Committee considers and recommends the need for additional expertise and succession arrangements for retiring Directors and KMPs ensuring continuity and preparing for future leadership needs.

The Terms of Reference

The Terms of Reference (TOR) of the Nominations and Governance Committee, adopted by the Board was reviewed periodically, to ensure alignment with regulatory requirements and industry best practices at all time.

Duties Discharged by The Committee

Board Composition

The Committee:

Reviewed the structure, skills and the composition of the Board and its Committees on an ongoing basis, making recommendations to the Board as appropriate;

Identified the required skill gaps at the Board level and recommended several candidates to fill vacancies on the Board;

The Committee identified Board diversity to be an essential factor for effective Board performance and ensured the diversification under expertise, age and gender during the year under review;

Assessed the fitness and propriety of the Directors holding office in terms of the provisions of the Banking Act Direction No 05 of 2024 on Corporate Governance for Licensed Commercial Banks issued by the Central Bank of Sri Lanka ("the Direction"), Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka and Corporate Governance Rules of the CSE;

Recommended the appointment of Ms Dilani Alagaratnam and Accordingly Ms Alagaratnam was appointed to the Board effective from 31st January 2025, during the year the Committee also recommended the appointment of an Independent Director and a Non Independent Director to the Board to fill casual vacancies in the Board.

Succession Planning

The Committee:

- » Reviewed the Succession Plans for MD/CEO, Key Management Personnel and Directors;
- » Continuously assessed the adequacy of the expertise available at Corporate Management level;

Highlights 2025

- » During the year, the Committee's activities included:
- » Reviewed and updated Policy on matters relating to the Board of Directors;
- » Reviewed and updated the procedure to appoint Alternate Directors;
- » Reviewed and updated the procedure to appoint Directors, Managing Director, Chief Executive Officer and Key Management Personnel;
- » Overseeing the Board evaluations undertaken during the year and further refining the Board Evaluation framework;
- » Assessed the Board's skill set and bench strength to ensure that the required balance of skills and experience, independence and knowledge is in place for the Board and its Committees to function effectively;
- » Proactively initiated the process of recruiting a female director to the Board to ensure gender diversity, well ahead of the regulatory requirement deadline, which is 31st December 2025 as per the Banking Act Direction No 05 of 2024 issued by the Central Bank of Sri Lanka and recommended the appointment of Ms Dilani Champika Alagaratnam Goonatilleke;

- » Ensured compliance with the Corporate Governance Rules in the conduct of all affairs in the Committee;
- » Reviewed and updated the Organisation structure;
- » Revised the selection matrix containing qualifications, experience, and the key attributes applicable for promotions to and within the Key Management Personnel.

Group Governance/Management Principles

Appointed suitable external individuals and KMPs to Group Companies as HNB nominee Directors to ensure governance standards within the group are complied with.

Training

The Committee ensured that the Bank carried out the induction programme for the newly appointed Directors during the year 2025 with sessions covering Board engagement.

Ten (10) training opportunities were made available to the Directors apart from conducting special presentations by eminent professionals on matters of importance inter-alia Corporate Governance for Licensed Banks, Corporate

Strategy & Oversight, Economic updates, Data Privacy, Companies (Amendment) Act No.12 of 2025, Sustainable Finance, Precautionary measures in sharing confidential information and Cyber Security. Director training and developments were further supported through Board deep dives, risk deep dives and functions reviews.

Re-election/Re-appointment of Directors at the 57th Annual General Meeting

As per the provisions in the Articles of Association a Director is eligible for re- election pursuant retirement, after having served three years since his/her last re-election to the office. Accordingly, Mr Nihal Jayawardene (NIND/NED), Mr Rasitha Gunawardana (IND/NED) and Dr Prasad Samarasinghe (NIND/NED) having served three years since their last re-election are required to retire by rotation and remain eligible to be re-elected/re-appointed at the 57th Annual General Meeting to be held on 31st March 2026 , under Article 34 of the Articles of Association and other applicable regulations.

The Committee, conducted an evaluation of the performance of the Directors retiring by rotation, reviewed

their participation, contributions, and engagement and recommended their names to the Board of Directors for approval. Based on the NGC's recommendation, the Board approved that Mr Rasitha Gunawardana (IND/NED) and Dr Prasad Samarasinghe (NIND/NED) should be re-elected as Directors of the Bank at the next Annual General Meeting.

The Chairman, Mr Nihal Jayawardene, who will retire from the office as a Director in terms of the provisions of the Articles of Association of the Bank, at the Annual General Meeting of the Bank to be held on 31st March 2026, provided written notice that he will not offer himself for re-election, upon his retirement. He will thus be stepping down from the Board upon the conclusion of the 57th Annual General Meeting which is noted as a written notice for the purpose of Article 34 (iv) (b) of the Articles of Association.

Director Ms Dilani Alagaratnam who was appointed on 31st January 2025 to fill a casual vacancy has offered herself for formal appointment under Article 36 of the Articles of Association and re appointed at the Annual General Meeting held on 27th March 2025.

As required under Rule No 9.11.6 of the Corporate Governance Rules of the Colombo Stock Exchange, we give below the information of the Directors proposed for re-election at the 57th Annual General Meeting to be held on 31st March 2026.

Name of the Director	Board Sub-Committee Memberships	First Appointment as a Director	Date of Last Re-election as a Director	Directorships in Other Entities	Material Relationships
Mr Rasitha Gunawardana	BCC – Chairman BRC – Chairman BHRRC – Member BAC – Member RPTRC – Member BRC – Member	21st January 2022	30th March, 2022	Details are given in profiles of Board of Directors on pages 146 to 151.	None
Dr Prasad Samarasinghe	BIRMC – Member BSIRC – Member PADC – Member BTC – Chairman	26th October 2022	30th March 2023	Details are given in profiles of Board of Directors on pages 146 to 151.	None

The following Directors were re-elected/re- appointed at the 56th Annual General Meeting in terms of provisions stipulated in the Articles of Association of the Bank and other applicable regulatory requirements.

NOMINATIONS AND GOVERNANCE COMMITTEE REPORT

As required under Rule No 9.11.6 of the Corporate Governance Rules of the Colombo Stock Exchange, we give below the information of the Directors re-elected/re-appointed at the 56th Annual General Meeting held on 27th March 2025.

Name of the Director	Board Sub-Committee Memberships	First Appointment as a Director	Date of Last Re-election as a Director	Directorships in Other Entities	Material Relationships
Mr Madura Ratnayake	HRRC – Chairman NGC – Member BSIRC – Member SBCDB – Chairman	25th October, 2018	27th March, 2025	Details are given in profiles of Board of Directors on pages 146 to 151.	None
Mr Prawira Rimoe Saldin (Deceased on 16.01.2026)	BIRMC – Chairman BSIRC – Member PADC – Chairman	30th April, 2021	27th March, 2025	Details are given in profiles of Board of Directors on pages 146 to 151.	None
Mr Nanda Fernando	RPTRC – Member BPADC – Chairman BTC – Member	02.04.2024	Re-appointed on 27th March 2025	Details are given in profiles of Board of Directors on pages 146 to 151.	None
Mr S Renganathan	BAC – Member BHRRC – Member BNGC – Chairman BSIRC – Member	02.04.2024	Re-appointed on 27th March 2025	Details are given in profiles of Board of Directors on pages 146 to 151.	None
Mr Suresh Shah	BHRRC – Member BNGC – Member BIRMC – Member RPTRC – Chairman BSIRC – Member BCC – Member BTC – Member	10.05.2024	Re-appointed on 27th March 2025	Details are given in profiles of Board of Directors on pages 146 to 151.	None
Ms Dilani Alagaratnam	BAC – Member BHRRC – Chairman BNGC – Member RPTRC – Member BPADC – Member BRC – Member	31.01.2025	Re-appointed on 27th March 2025	Details are given in profiles of Board of Directors on pages 146 to 151.	None

Committee Effectiveness

The performance of the Committee is reviewed each year as part of the Board effectiveness assessment. The annual self-evaluation of the Committee was conducted at the year-end by the members of the Committee. The results were discussed at the Committee with, where necessary, areas for improvement being identified and the plans for improvement being communicated to the Board.

The Board of Directors performs an annual self-evaluation of its own individual performance as well as an assessment of the overall performance of the Board as a whole.

The Senior Independent Director conducted two separate meetings with the Independent Directors and Non Executive Directors enabling them to inform the major issues relating to the Bank in terms of the CSE Listing Rules during the year under review. In addition, Independent Directors are free to express their views

on the issues relating to the Bank at Board meetings.

Induction programs are conducted for newly appointed Directors on Corporate Governance, Listing Rules, Securities Market Regulations and other applicable laws and regulations along with the familiarisation on the key focus areas of the Bank. The Board of Directors are periodically appraised on Corporate Governance, Listing Rules, Securities Market Regulations and other applicable laws and regulations as appropriate.

Declarations with regard to the assessment of independence/non-independence of Directors for the year 2025/2026 were submitted by the Directors in terms of Direction 2.5 of CBSL Direction on Corporate Governance, item A.5.5 of "Code of Best Practice on Corporate Governance" and Rule 9.8.5 of "Corporate Governance Rules of the Colombo Stock Exchange (CSE)" have been assessed by the Committee at its meeting held on 26th January 2026 and declared that the Directors of the Bank have met the criteria for determining the independence as set out in Corporate Governance Rules of CSE as well as other Corporate Governance regulations.

This year's review highlights that the Committee realised the need to be well constituted, and one additional member was included during the year. The Committee ensured that the role and the responsibilities are clear and well understood. The Committee's interaction with the Board and the Management is considered effective and was pursuing matters to ensure safe and sound operation of the Bank in line with the applicable laws and regulations.

The Committee noted the need to continuously review the process used in relation to appointments, the Committee's approach to succession planning and how best to attract a diverse pipeline of potential Non-Executive Directors.

Reporting to the Board

The Bank maintains a suitable process for the periodic evaluation of the performance of the Board of Directors and the MD/CEO to ensure that their responsibilities are satisfactorily discharged.

The minutes of the Committee meetings were tabled at Board meetings, thereby providing Board members with access to the deliberations of the Committee.

Declarations by the Committee:

The Bank has already complied with the requirements stipulated under the Banking Act Direction No. 05 of 2024 on Corporate Governance for Licensed Banks issued by the Central Bank of Sri Lanka, which is effective from 1st January 2025 as appropriate. Further, the Bank will ensure overall compliance with the aforementioned regulation in accordance with the timelines specified therein.

The Committee declares that the Corporate Governance requirements stipulated under the CSE Listing Rules have already been met by the Bank including certain requirements implemented recently.



Sivakrishnarajah Renganathan

Chairman

Nominations and Governance Committee

Colombo, Sri Lanka

25th February 2026

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE REPORT



Mr Rimoe Saldin, Chairman, Board Integrated Risk Management Committee

Composition & Meetings

The Board Integrated Risk Management Committee (BIRMC) currently comprises three members and one invitee, the Chairman of the BAC, who will attend on an as needed basis. The Committee members are listed below.

Chairman

Mr Rimoe Saldin (NIND/NED) - Deceased on 16th January 2026.

Other Members

- » Mr Suresh Shah (IND/NED)
- » Dr Prasad Samarasinghe (NIND/NED)
- » Mr Kithsiri Gunawardena (NIND/NED)

Invitees of the Board

- » Mr Devaka Cooray (IND/NED)

Profiles of directors are given in pages 144 to 151.

Management Participants

- » Mr Damith Pallewatte - MD/CEO
- » Mr Sanjay Wijemanna – SEVP/Chief Operating Officer
- » Mr Ruwan Manatunga - EVP/Chief Risk Officer
- » Mr Neil Rasaiah – SVP/Chief Compliance Officer

Major Initiatives Implemented in 2025

Integrated Risk Management

- » The Bank undertook a comprehensive review of its Internal Capital Adequacy Assessment Process (ICAAP) to ensure that capital levels remained well above the minimum regulatory thresholds. The review incorporated rigorous stress testing across multiple dimensions, including asset quality deterioration, market volatility, exposure to government securities, and sectoral concentration risks. These assessments enabled the Bank to proactively identify vulnerabilities and reinforce its capital buffers accordingly. To further strengthen the robustness of the ICAAP framework, the Bank engaged an independent external consultant to evaluate the model's effectiveness.
- » The Bank's Risk Appetite Statement (RAS) was revisited in light of evolving macroeconomic and microeconomic conditions. This review ensured that the Bank's strategic objectives, financial budgets, and operational performance remained aligned with its defined risk appetite.
- » Targeted risk reviews were conducted across key sectors such as the automobile industry, animal feed production, and elevated-risk industries. These reviews facilitated a deeper understanding of sector-specific risk dynamics and informed corrective actions to optimise the Bank's lending portfolio and mitigate potential credit losses.
- » A new Internal Risk Rating (IRR) assessment solution was successfully implemented covering Corporate, Emerging Corporate, SME, Micro SME, Project Finance, Financial Institutes and Micro Finance segments. This model enhances the Bank's ability to assess borrower creditworthiness with greater precision and supports more informed credit decision-making across diverse business segments.

Credit Risk

- » The Bank's credit risk policies, which defines the Credit Risk Management process of the Bank's customer lending procedures and practices were reviewed in line with regulatory requirements and market conditions.
- » Credit guidelines for large corporates, emerging corporates, SMEs, credit cards, personal loans, home loans, educational loans, leasing, microfinance etc., were reviewed, in line with the Bank's strategic growth plans, risk appetite and prevailing economic factors.
- » The Management Review List (MRL) and Watch List (WL) policies covering identifying, classifying and managing credit facilities which are of elevated risk were reviewed in line with the overall risk appetite of the Bank and regulatory requirements.
- » Quarterly credit risk bulletins were circulated to the Branch network, featuring topics such as loan restructuring and rescheduling, the potential and challenges of solar power projects, removal of import restrictions on motor vehicles, project-based lending to SME Customers, with the aim of keeping credit underwriters informed of emerging developments.
- » Training and familiarisation sessions were conducted for business and credit approvers on the Bank's credit policies and guidelines, best practices and common lapses in credit underwriting of facilities as well as rescheduling/restructuring of facilities
- » Credit Approval Structure was reviewed taking into account Stage 3 facilities, Loan Review Management findings, regulatory changes and other emerging credit risks to the loan book.

Group Risk

- » The Bank reviewed policies and guidelines maintained by the Group companies for risk management and internal controls. Additionally, the

Regular Attendees by Invitation

- » Mr Chandima Cooray – EVP/Chief Innovation Officer
- » Mr Arjuna Abeygunasekara – EVP/Chief Treasurer
- » Mr Sivarajah Nandakumar – EVP/Chief Business Operations Officer
- » Mr Suresh Emmanuel – SVP/Chief Information Security Officer
- » Ms Anuradhi Delage – SVP/Chief Financial Officer

Secretary to the Committee

- » Mr Ruwan Manatunga – EVP/Chief Risk Officer

Attendance during 2025

	Eligible to attend/ Attended
Mr Rimoe Saldin	11/11
Mr Suresh Shah	11/8
Mr Devaka Cooray	11/6
Dr Prasad Samarasinghe	11/11
Mr Kithsiri Gunawardena*	7/7
Mr Damith Pallewatte	11/10

* Resigned on 30th July 2025

reporting process and dashboards used by the Group companies were also reviewed to strengthen the monitoring and reporting process with the subsidiary companies.

- » Key risk exposures of each subsidiary were reviewed on a regular basis with follow-up on remedial actions taken to ensure that identified risks were effectively mitigated. This review process significantly strengthened the risk management environment across group companies, promoting a proactive approach to risk identification and resolution.

Operational Risk

- » Through social media platforms, SMS alerts and the Bank's branch network, the Bank enhanced public awareness of fraud and scams committed by individuals and well-organised groups using bank accounts. Additionally, suspicious transactions were monitored by the Compliance Department through the Anti Money Laundering (AML) system. The Bank has also strengthened evaluation procedures when onboarding customers.
- » Non-compliance with procedure controls by branches was addressed by the Operational Risk Unit through visiting branches, reviewing the operational standards, and conducting Operational Risk trainings. Familiarisation sessions and trainings were conducted to educate staff on operational standards and the importance of compliance with procedural controls.
- » The Operational Risk Unit visited branches to review their operational standards with regards to controls, security measures, BCP readiness and general banking operations. In addition, Operational Risk awareness was improved through familiarisation sessions and training programmes conducted to educate staff on operational standards and the importance of compliance with procedural controls.

- » The business stakeholder units conducted frequent on-site visits as Level 1 (L1) reviewers and monitored the business operations outsourced by the respective business units. Additionally, as Level 2 (L2) reviewers, the Operational Risk Management Unit, together with the Compliance Department and the CISO Office, carried out visits to the outsourced service providers' business locations and reviewed their operations and controls to safeguard the Bank's interests and ensure proper handling of customer data. Outsourced service providers were also educated on the Financial Consumer Protection Regulations No. 01 of 2023.

- » The Bank's Operational Risk Management Policy was reviewed to ensure that it is aligned to the Bank's operations, best practices and emerging risks and threats. Branch and regional level training sessions were conducted to raise awareness of operational policies and controls among staff members.
- » IT system failures and unexpected errors were addressed through root causes analysis and the BCP was tested through IT DR drills.
- » Operational controls were introduced and monitored through risk and control self-assessments (RCSA) to address emergent risks arising from operational process changes. This process encompassed all Head Office departments, as well as the branch network and regional offices.
- » The consultancy services of M/s Ernst and Young was obtained to ensure that the HNB's overall business continuity processes are all aligned with the ISO 22301 standards. This encompassed reviewing all BCP processes of the Bank for improvements. Subsequently, Bureau Veritas carried out the ISO certification audit and the Bank was awarded with the ISO 22301 certificate.

Portfolio Risk Management

- » Lending portfolios were frequently risk reviewed for credit quality, proper

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE REPORT

classifications, provisioning under SLFRS-9, and credit concentration including compliance with the risk appetite levels of the Bank.

- » The Individually Significant Loan (ISL) impairment assessment solution (i-SLAP) was upgraded with new features to address regulatory and audit requirements, as well as evolving business needs. Additionally, the system has been enhanced to deliver an improved user experience and a more intuitive impairment assessment framework.
- » Strengthened L2 review mechanism for specific lending portfolios i.e. Margin Trading portfolio, Overdraft portfolio etc., to ensure adherence and compliance with the Bank's credit policies.
- » Conducted series of training sessions across business divisions and branch network to enhance knowledge on 'classification, recognition and measurement of credit facilities based on SLFRS 9 ECL approach.

Market Risk

- » Treasury limits were reviewed with increased frequency to evaluate the impact of evolving micro and macroeconomic factors on treasury counterparties, portfolio concentrations and overall treasury operations. The Bank's liquidity and funding requirements were also assessed periodically to ensure alignment with market dynamics and internal risk appetite.
- » Semi-annual stress tests were conducted based on the Bank's Liquidity Coverage Ratio (LCR) to evaluate the potential effects of various liquidity crisis scenarios. These exercises provided a comprehensive understanding of the Bank's resilience under stress, enabling the formulation of strategic responses to address potential liquidity shortfalls and mitigate potential adverse outcomes.

» Biannual and interim country limit reviews were carried out to assess the Bank's exposure across foreign jurisdictions. These evaluations included treasury counterparty limits, counter-guarantee limits, export bill limits, Nostro balances, foreign bond investments, and foreign loan facilities. Limits were allocated based on the Bank's core capital, ensuring prudent country-specific risk management in response to growing foreign credit exposure.

» Periodic macroeconomic reviews were conducted to analyse key indicators of economic health and debt sustainability. Findings were presented to the Board Integrated Risk Management Committee (BIRMC) to support strategic decision-making and enhance the Bank's preparedness for potential economic disruptions, including the risk of a secondary debt restructuring.

» Scenario-based impact analysis on Bank's capital base was performed on the possible hair cut on the Bank's investment in USD denominated bonds, USD deposit run, LKR deposit run and immediate demand of FC funding lines. Mitigation strategies were identified to minimise a potential financial impact and preserve capital adequacy.

Loan Review Mechanism

- » Effectively monitored a sample of 30% of the credit portfolio to identify credit weaknesses for corrective action. By identifying and addressing weaknesses in the loan portfolio, loan reviews helped improve overall loan performance and reduced the risk of losses. Further, these credit reviews identified opportunities to optimise lending practices and improve the efficiency of the loan origination process.
- » Enhanced post-loan disbursement reviews were conducted on the Advances Portfolio to ensure compliance with credit policies and guidelines. Observations and learnings were shared with business units and credit teams to

ensure qualitative improvements in credit underwriting and credit administration processes.

» As part of proactive risk management, loan reviews provided management and the Board with independent insights into the timely assessment of the overall health of the loan portfolio, enabling informed decisions on lending strategies and providing accurate and timely credit quality information for financial and regulatory reporting purposes.

» Held quarterly discussions with the respective Corporate Management Team (CMT) members to implement corrective actions for improvement on LRM findings. Inputs received from each CMT member were highlighted with the LRM view and circulated to the respective members for further action.

» The loan review team also reviewed underwriting and collateral files to assess underwriting, monitoring, and documentation practices. During file reviews, team members met with business units to discuss individual facilities.

» The LRM Policy was reviewed and updated in line with internal lending guidelines and market/economic conditions to adjust credit underwriting standards appropriately to meet the Bank's current requirements.

» Initiated the Risk Assessment Matrix to define risk levels on key findings in the loan review mechanism, assessing the severity and potential impact of identified observations on the loan portfolio.

» A comprehensive e-learning module on LRM was hosted on Talent Space, HNB

» The LRM team visited branches twice a quarter to communicate best practices on credit guidelines and LRM findings, improving credit underwriting standards of SME Relationship Managers/ Relationship Officers and staff engaged

in Personal Financial Services and other lending products.

- » Conducted comprehensive training programmes and awareness sessions for staff on LRM key findings to improve credit underwriting standards.
- » Issued quarterly Risk Bulletins for knowledge sharing and to improve credit underwriting standards, cultivating a strong credit culture within the Bank.

Information & Cyber Risk

- » Engage external security consultancy firm in implementing industry standards relate to data privacy and incident management.
- » Perimeter security and mobile application security controls were enhanced to defend against the latest security threats to the Bank.
- » Comprehensive Bank-wide information security risk assessments were conducted, encompassing technology infrastructure, business applications, operational processes, and the branch network.
- » Periodic information security risk assessments were conducted for vendors and Outsourced Service Providers (OSPs) to identify potential cyber risk exposures and evaluate their impact on the Bank.
- » IT and Cybersecurity assessments were carried out for technology projects both prior to and following implementation, to identify potential threats to the Bank and to establish appropriate risk mitigation controls.
- » Security measures to mitigate phishing risks were enhanced through customised employee training and simulated exercises incorporating diverse phishing scenarios.
- » Cybersecurity awareness among employees and customers was strengthened through a range of initiatives, including in-person and online

training sessions, simulated exercises, e-flyers, posters, web notifications, and SMS communications

Climate Risk

- » Strengthened the Environmental and Social Management System (ESMS) by reviewing policies and adding coal power generation to the exclusion list to minimise transition risks
- » A climate risk scorecard was developed to assess both physical and transition risks across key sectors, including agriculture, tourism, power and energy generation, construction, and manufacturing.
- » Initiated financed emissions calculations to better understand transition risk exposure and enhanced the environmental and social evaluation process for corporate clients.
- » Commenced development of a statistical model to evaluate climate risk in the agriculture portfolio, initially focusing on lending to the paddy sector.
- » Issued a sustainability bond, reinforcing organisation's commitment to climate resilience and responsible banking.

Looking Ahead

Integrated Risk Management (IRM)

- » The Bank plans to intensify its industry risk review efforts with a dual objective: identifying emerging business opportunities and strategically exiting sectors exhibiting elevated risk profiles. These reviews are expected to refine sectoral exposures, enhance portfolio quality, and support informed lending decisions aligned with the Bank's long-term risk appetite.
- » Recognising the growing importance of cross-border financial activities, the Bank will initiate a comprehensive country risk assessment review. These reviews are intended to evaluate geopolitical, economic, and regulatory risks

associated with international exposures. The insights gained are expected to guide prudent lending strategies, safeguard asset quality, and strengthen financial stability while enabling exploration of new international growth opportunities.

- » To ensure the continued effectiveness of the newly implemented Internal Risk Rating model, the Bank will conduct a structured back-testing exercise. This initiative is aimed at validating the model's accuracy and making necessary adjustments to improve its ability to generate reliable IRRs across all lending segments.

Credit Risk

- » Bank continues to work closely with impacted customers to gain a clear understanding of their business challenges and cash flow constraints. This enables the Bank to support their recovery by facilitating initiatives such as linking them with the supply chains of large corporates to expand their customer base, offering digital solutions to enhance sales and collection channels, and providing advisory services. Where necessary, the Bank also undertakes restructuring of customer facilities at an early-stage, allowing borrowers to meet their financial obligations in line with their projected cash flows.
- » Develop predictive models to analyse the Bank's loan portfolios across business segments and products, enabling the identification of early warning signals of emerging portfolio stress.
- » Enhance credit evaluation processes through the issuance of periodic guidelines that reflect anticipated economic and business environment changes, thereby minimising potential stress on the lending portfolio.

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE REPORT

- » Conduct frequent familiarisation and training sessions for internal credit staff to strengthen credit underwriting standards and foster a culture of prudent risk management.
- » Carry out periodic reviews of industry sectors to identify vulnerable segments and classify them as 'Elevated Risk Industries'.

Group Risk

- » The Bank will continue to monitor the existing policies, processes, and controls maintained by the Group companies to strengthen the risk management framework. Recommendations will be provided for further improvements in line with regulatory guidelines.
- » Quarterly meetings will be scheduled at the senior executive level to assess the compliance of Group companies and to identify any issues or challenges that need to be addressed.

Operational Risk

- » Implement an advanced IT-based Operational Risk Management platform to replace existing manual risk assessment processes. This initiative is aimed at enhancing efficiency, accuracy, and timeliness in identifying, assessing, and mitigating operational risks. The automated system is expected to provide real-time risk monitoring, integrated reporting capabilities, and improved data analytics to support informed decision-making across all business units.
- » As part of strengthening the Bank's governance and risk management framework, the Bank is pursuing ISO 31000 certification. This globally recognised standard is intended to validate the robustness and effectiveness of the Bank's risk management processes, ensuring alignment with international best practices. Achieving this certification is expected to reinforce stakeholder confidence and demonstrate the Bank's commitment to maintaining a resilient, effective, and compliant risk culture.

- » To further enhance risk oversight, Bank will expand the scope of operational risk reviews and increasing the frequency and coverage of on-site visits. This initiative is expected to enable more comprehensive evaluations of operational risk exposures across branches and business units, ensuring a broader sample size for testing and validation. The expanded reviews are aimed at proactively identifying emerging risks and strengthening the overall risk control environment.
- » The resilience of the Bank's BCP arrangements has been aligned with the ISO 22301 standard for Business Continuity Management Systems (BCMS). Continuous monitoring to maintain these standards are being carried out through periodic surveillance audits conducted by the certification authority, ensuring sustained compliance and operational readiness.

Loan Review Mechanism

- » Further expansion of scope under LRM will be implemented which will include risk assessing the restructuring and rescheduling of facilities that directly impacts impairment outcomes to ensure that account restructures or reschedules are carried out appropriate taking into account customer cash-flows.
- » Risk bulletins will be issued quarterly to promote continuous knowledge sharing and strengthen credit underwriting standards, thereby fostering a strong and consistent credit culture across the Bank.
- » Comprehensive training programs and awareness sessions with regards to LRM findings will be conducted for staff to enhance credit underwriting standards and support sound credit decision-making.

Information & Cyber Risk

- » Advanced web filtering and cloud security tools will be introduced to safeguard the Bank from modern Cyber threats and unauthorised access to online services.
- » Controls to prevent data leakage across various channels will be enhanced through the implementation of advanced detection and prevention technologies.
- » Scope of periodic information security risk assessments will be expanded to include a thorough evaluation of the Bank's applications and IT infrastructure, with the objective of reinforcing security controls and ensuring their continued effectiveness.
- » Independent security consultancy will be engaged to assess and validate the effectiveness of the Bank's Cybersecurity controls, ensuring alignment with industry best practices and identifying areas for improvement.

- » Staff and customer awareness on emerging security threats and vulnerabilities will be enhanced through targeted education initiatives, along with recommended mitigation strategies.

Market Risk

- » Review and recalibrate caps and limits on securities investments, with a focus on improving the measurement of foreign exchange and securities market volatility to support more dynamic risk management.
- » Reassess the Treasury activity limit framework in alignment with the Bank's 2026 strategic objectives, considering emerging risk factors, global economic headwinds and likely implications if further external debt restructuring takes place.
- » Enhance internal monitoring mechanisms to ensure full alignment with the principles of the FX Global Code in accordance with Central Bank directives, reinforcing ethical conduct and operational transparency in FX markets.

- » Engage an external consultant to validate and enhance the Bank's market risk models, improving the accuracy, reliability and regulatory compliance of risk measurement and reporting practices.
- » Launch targeted campaigns to attract LKR and USD deposits, strengthening the Bank's funding base and supporting liquidity resilience.

Climate Risk

- » In 2026, the Bank aims to further strengthen its climate risk management framework to align with emerging global standards and regulatory expectations. Key initiatives will include enhancing climate risk scorecards to improve the granularity and accuracy of risk assessments, conducting comprehensive climate scenario analyses to evaluate portfolio resilience under varying climate pathways, and advancing our Environmental and Social Management System (ESMS) by integrating a dedicated climate risk component into ESMS procedures. These measures will support the Bank to embed climate considerations more systematically into decision-making processes, ensuring robust risk mitigation and long-term sustainability.

Summary of BIRMC Charter

The BIRMC Charter specifically establishes a Risk Management Framework that proactively supports the assessment, evaluation, monitoring and management of risks, whilst creating a strong risk culture and supporting the Bank's strategic objectives.

The Charter stipulates that decisions are made in compliance with the Bank's internal risk policy guidelines and regulatory supervisory requirements and corrective actions are taken to mitigate risks taken beyond the risk tolerance set by the Committee.

Primary Responsibilities of BIRMC

The primary responsibilities of the BIRMC as defined by the terms of reference set out by the Board of Directors are:

- » Ensure that the Bank and its subsidiaries have an enterprise wide comprehensive risk management framework, appropriate compliance policies and risk management systems in place.
- » Assess all risk types, including but not limited to, credit, market, liquidity, operational and strategic, reputational risks, information and Cyber security risks to the Bank and that they are managed through appropriate risk indicators and management information and established mitigants.
- » Ensure risk assessment and mitigating actions are taken in accordance with established delegated authority based on the Bank's policies, the Board's risk appetite and regulatory and supervisory requirements.
- » Monitor and assess the effectiveness of the Bank's risk management system and the robustness of the risk management monitoring metrics in both embedded and forward risks.
- » Assess periodically performance against defined risk appetite and risk goals set for the Bank.
- » Review issues raised by Internal Audit that impact to the Bank's risk metrics and refer to the Board Audit Committee (BAC) any matters that have come to the attention of the Committee that require the BIRMC's action.
- » Review compliance on the Basel III guidelines and provide risk insights on SLFRS 9 implementation.
- » Examine any other matters referred by the Board.

Other Responsibilities of The Committee

Other responsibilities of the BIRMC include:

- » Supporting the Board of Directors in fulfilling its oversight responsibilities relating to compliance matters. In this capacity, the Committee reviews the implementation of compliance programmes, policies and procedures that are designed to respond to the various compliance and regulatory risks of the Bank.
- » Reviewing and monitoring the Bank's compliance report on money laundering and action taken in relation to it.
- » Reviewing and referring for action to any subcommittee of the Board, matters that are either specifically referred to the attention of the Committee, or that comes to the attention of the Committee from Board filings that impact the systemic risks to the Bank, with a clear objective of eliminating repeat findings or managing forward risks.

Compliance

The BIRMC was established as a Sub Committee of the Board, in compliance with Section 3(6) of the Banking Act Direction No 11 of 2007, on Corporate Governance for Licensed Commercial Banks in Sri Lanka. The composition and the scope of work of the Committee conform with the provisions of this direction.

The Bank has adopted an Integrated Risk Management (IRM) framework in line with the Central Bank of Sri Lanka (CBSL) Banking Act Direction No 7 of 2011. Further, the BIRMC has adopted Basel III Guidelines issued under the Banking Act No 01 of 2016 as well and continues to improve the Bank's adherence to these guidelines. As per section 3(6)(v)(g) Banking Act No 11 of 2007 on Corporate Governance for Licensed Commercial Banks, the BIRMC submits Risk Dashboards and Key Risk Summaries within a week of each meeting

BOARD INTEGRATED RISK MANAGEMENT COMMITTEE REPORT

to the Board of Directors in order to seek the Board's views, concerns and/or specific directions on material risks deliberated.

Professional Advice

The BIRMC is authorised to obtain legal or other professional advice internally and/or from outside the Bank, as and when considered necessary, at the Bank's expense.

The Committee may also seek the views of other Board sub committees as required and may inform them of any relevant risk matters that may be of relevance to their mandates.

Committee Evaluation

The self-assessment of the BIRMC by its Committee members was carried out in February 2026 and the Committee agreed on a 'Satisfactory' rating score. Areas identified for improvement are addressed.



Dr Prasad Samarasinghe

*For and on behalf of the Board Integrated
Risk Management Committee*

Colombo, Sri Lanka
25th February 2026

BOARD AUDIT COMMITTEE REPORT



Mr Devaka Cooray, Chairman,
Board Audit Committee

Composition & Meetings

The Board Audit Committee (BAC) comprised of four (04), Independent Non-Executive Directors and one (01) Non-Executive Director as at 31st December 2025.

Chairman

Mr Devaka Cooray (IND/NED)

Other Members

- » Mr Rasitha Gunawardana (IND/NED)
- » Mr Sivakrishnarajah Renganathan (IND/NED)
- » Mr Rimoe Saldin (NED) Appointed w.e.f. 5th March 2025
- » Ms Dilani Alagaratnam (IND/NED) Appointed w.e.f. 2nd May 2025 (IND - Independent Director, NED - Non-Executive Director)

Profiles of the Directors representing the BAC are given on pages 146 to 151

Regular Attendees by Invitation

The Managing Director/Chief Executive Officer, Chief Internal Auditor and Chief Financial Officer attends meetings by invitation on regular basis for relevant agenda items. Further, representatives of the External Auditor (Messrs. KPMG) also attend meetings for relevant agenda items.

Significant Assumptions, Accounting Judgements and Accounting Treatment Considered During 2025

During the year, the BAC reviewed key assumptions, judgements and accounting treatments adopted by the Bank including the following key areas;

- » Loan Impairment Allowances and related Management Overlay, taking into consideration the developments in the macro economic environment and its potential impact on Expected Credit Losses
- » Recognition of Deferred Tax on Impairment Charges
- » Actuarial Valuation of Pension Liability
- » Tax Provisions
- » Assessment of Going Concern
- » Carrying Value of Investments in Group Companies
- » Valuation of Financial Instruments

Terms of Reference (TOR) of the Committee

The role of the BAC is to assist the Board in exercising structured, systematic oversight over the Bank's financial reporting, internal audit, internal controls and external audit practices. The TOR which is approved by the Board, clearly defines and regulates the purpose, composition, duties, responsibilities and investigative authority of the Committee. To be in line with the changes in the regulatory landscape, specially focusing on the revised CBSL Corporate Governance Direction (Banking Act Direction No. 05 of 2024), the TOR was revised and approved by the Board in April 2025.

Key Responsibilities of the Committee

Key responsibilities include;

- » Monitor and review adequacy and effectiveness of Bank's policies with respect to risk assessments and management of financial reporting processes and internal control systems in order to provide accurate, appropriate and timely information

to the Board, regulatory authorities, management and other stakeholders.

- » Review Bank's compliance with relevant legal, regulatory and accounting standards and discuss the significant financial reporting issues and judgements in the preparation and presentation of financial statements, external reports, and periodical evaluation of the effectiveness of such compliance processes.
- » Exercise independent oversight of the Bank's assurance functions, including external & internal audit and ensure the independence and effectiveness of both external & internal audit functions.
- » Establish a policy for non-audit services provided by the External Auditor and review/oversee the non-audit services provided by the External Auditor in line with the Bank's policy.
- » Evaluate the adequacy, efficiency and effectiveness of the governance process.
- » Engagement of independent advisors for specialised functions where deemed necessary.
- » Approve and review the annual internal audit plan and review the internal audit findings, and liaise with the Bank's Corporate Management to ensure that precautionary measures are taken to minimise and control weaknesses, procedure violations, frauds and errors.

Authority of the Committee

The BAC is empowered to investigate into any matter as deemed necessary with unrestricted access to records, data, reports and management/staff, to obtain relevant information considered necessary in the discharge of duties and responsibilities. The BAC may also engage independent counsel and/or other advisors, if deemed necessary.

BOARD AUDIT COMMITTEE REPORT

Secretary to the Committee

- » Dr Niroshana Seneviratne
– Chief Internal Auditor

Attendance during 2025

Attendance details of Meetings held during 2025 are as follows;

	Eligible to attend/ Attended
Mr Devaka Cooray	12/11
Mr Rasitha Gunawardana	12/12
Mr Sivakrishnarajah Renganathan	12/11
Mr Rimoe Saldin	12/12
Ms Dilani Alagaratnam	9/9

The External Auditor (Messrs. KPMG) attended nine (09) meetings while the Chairman of BIRMC, Mr Rimoe Saldin attended two (02) meetings by invitation.

Activities in 2025

The BAC met twelve (12) times (which includes a special joint Meeting of the Board Audit Committee and Board Integrated Risk Management Committee) during the year. Apart from the regular attendees from the management, the BAC invited Members of the Bank's Senior Leadership Team to participate in meetings on a need basis. Minutes of the proceedings of the BAC meetings are periodically reported to the Board.

Activities of the BAC during 2025 are summarised below.

Financial Reporting

- » The BAC reviewed the Bank's financial reporting process on behalf of the Board to ascertain that financial statements are prepared in accordance with the Bank's accounting records, in compliance with all applicable regulatory provisions including the Sri Lanka Accounting Standards, Companies Act, Listing Rules of Colombo Stock Exchange, Securities Exchange Commission Act and Banking Act and reflect a true and fair view on the financial position and performance of the Bank.
- » The BAC reviewed the accounting policies and practices and is satisfied that those are appropriate, and that adequate internal controls and procedures are in place to provide reasonable assurance that the financial reporting system is effective and well managed to provide reliable and timely information.
- » The BAC reviewed the impact of the accounting treatment on significant risks and uncertainties and key estimates and judgements material to the Bank's financial reporting and whether disclosures made in the published financial statements were adequate, appropriate and fair.
- » During the year, BAC continued its ongoing focus on the assessment of adequacy of provision for Expected Credit Loss (ECL) recognised in the

Financial Statements based on the internal models which were refined during the year with updated underlying assumptions, post model adjustments recognised in respect of exposures characterised by significant uncertainty, and adjustments made to economic factors to incorporate the latest macro-economic conditions such as exchange rates, interest rates, inflation and GDP growth rates.

- » The BAC continued to evaluate and monitor the effectiveness of the related processes and internal control framework to ensure ongoing compliance with Directions No. 13 and 14 of 2021, issued by the Central Bank of Sri Lanka. The BAC reviewed and recommended annual and quarterly Financial Statements to the Board for approval, along with management discussion and analysis, prior to publishing the same.
- » The BAC obtained and reviewed assurance received from the Chief Executive Officer and Chief Financial Officer that the financial records have been properly maintained and the financial statements give a true and fair view of the Bank's operations and finances. The Managing Director/ Chief Executive Officer's and Chief Financial Officer's responsibility statement, detailed in page 323 of this annual report, confirms adherence to applicable laws, regulations, and prudential requirements.
- » The BAC continued to assess and monitor the adequacy, effectiveness and progress of Bank's reconciliation processes through periodic updates provided by the finance team.
- » The BAC met with the Chief Financial Officer twice (02) during the year, in the absence of Key Management Personnel to ensure the transparency and independence of the financial reporting function of the Bank.

External Audit

The BAC assists the Board in assessing the independence, evaluating the performance and making recommendations pertaining to appointment, re-appointment and removal of External Auditors where deemed required. Furthermore, BAC recommends the remuneration and terms of engagement of the External Auditors.

The BAC carried out the following activities in discharge of its duties in this regard;

- » Assisted the Board in engaging the External Auditor for audit services, in compliance with regulatory provisions.
- » Monitored and assessed the independence, objectivity and effectiveness of the External Auditor during the year 2025.
- » The BAC assessed any potential threats to independence that were self-identified or reported by the External Auditor.
- » The BAC reviewed the non-audit services provided by the External Auditor against the Policy on non-audit services, to ensure such functions do not fall within the definition of restricted services. The BAC also ensured that provision of such services would not impair the External Auditors' independence and objectivity. The BAC reviewed and recommended the fees payable to External Auditor while ensuring adherence to the Board approved limit on fees pertaining to non-audit fees.
- » The External Auditor provided the BAC with a written confirmation of its independence for the Financial Year ended 31st December 2025. Accordingly, the BAC considered the External Auditor to be independent, in accordance with professional ethical standards and applicable rules & regulations.

- » Discussed the audit plan, scope and the methodology proposed to be adopted in conducting the audit with the External Auditor prior to commencement of the annual audit. Discussed all relevant matters arising from the interim and final audits together with the Management Letter and management responses thereto.
- » The BAC met with the engagement partner of the External Auditor twice (02) during the year, in the absence of Key Management Personnel to ensure that there were no limitations of the scope in relation to the audit and to allow for full disclosure of any incidents which could have had a negative impact on the effectiveness of the external audit. The BAC concluded that there was no cause for concern.
- » The BAC overlooked the process adopted for selection of external auditor for year 2026 in line with the Bank's policy on rotation of external auditor and recommended the appointment of new external auditor and their remuneration for the year 2026 for approval by the Board of Directors subject to shareholder approval at the forthcoming Annual General Meeting to be held in March 2026.

Risks and Internal Control

- » Continued to assess the adequacy, efficiency and effectiveness of the Bank's internal control systems. The BAC satisfied itself that adequate controls and procedures are in place to provide reasonable assurance to the effect that the Bank's assets are safeguarded.
- » Assessed through the internal audit function that reports directly to the BAC, the effectiveness of the Bank's internal control over financial reporting as at 31st December 2025, as required by the section 9.2 (b) of the Banking Act Direction No 05 of 2024 on Corporate Governance for Licensed Commercial Banks in Sri Lanka and based on the "Guidance for Directors of Banks on the Directors' Statement on Internal

Control" issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka). Furthermore, the External Auditor has issued an Assurance Report on Directors' Statement on Internal Control over Financial Reporting.

- » The BAC is satisfied with the reliability of the financial reporting system as disclosed on pages 266 to 267, Directors' Statement on Internal Control over Financial Reporting. BAC confirms that the report given in page 268 does not suggest any fundamental concerns over the control framework or procedures.
- » Reviewed the processes for identification, recording, evaluation and management of significant risks that come under the purview of the BAC. The BAC received regular reports from the Chief Internal Auditor on bank wide appraisal of the systems of internal controls. These reports also included summary highlights of the most significant matters being highlighted by the Internal Audit Department.
- » The BAC periodically reviewed and discussed the key financial issues of group companies, with a view of identifying and managing associated risks in order to maintain the smooth flow of operations.
- » The BAC focused on specific operational areas of the Bank and held detailed discussions with the leadership team to ensure the adequacy and effectiveness of the Bank's internal controls over such operational aspects and Information security.

Internal Audit

The BAC carried out the following activities in discharge of its duties in this regard:

- » Continuously reviewed and satisfied itself with the independence, objectivity and effectiveness of the internal audit function as the third line of defence.

BOARD AUDIT COMMITTEE REPORT

- » Reviewed the internal audit reports, investigation outcomes, status of significant findings along with recommendations, corrective actions, management responses and status of implementations on a regular basis, in order to satisfy itself on the adequacy and effectiveness of the Bank's internal controls system.
- » Ensured the adequacy and coverage of the annual audit plan for the year, which was prepared on the risk-based planning methodology along with frequent pre-planned reviews.
- » Material concerns highlighted by the Internal Audit function of the Bank were taken up by the BAC for further discussion and deliberation at the Board where necessary.
- » Assessed and addressed the Internal Audit Department's resource requirements including succession planning.
- » Continuously supervised and guided the Internal Audit Department in executing the annual Internal Audit Plan, while also ensuring the department's engagement in addressing areas that required attention beyond the scope of the Audit Plan.

- » Reviewed and satisfied itself with the performance of the Chief Internal Auditor and other senior staff members of the Internal Audit Department.
- » Two (02) independent discussions were held with the Chief Internal Auditor, in the absence of Key Management Personnel to ensure independence of the Internal Audit Department's operations.

Whistleblowing

The BAC reviewed concerns raised via the whistleblower process with regard to actual or suspected frauds, violations or any other serious infringement of rules/policies of the Bank. The BAC ensured independent investigations on such matters, while maintaining the confidentiality of the identity of the person raising the concern. Updates on each matter were reviewed by the BAC on a regular basis to ensure that adequate and appropriate actions were taken where necessary.

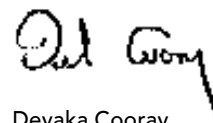
The policy was reviewed during the year and recommended to the Board for approval.

Training and Development of Committee Members

Members of the BAC attended seminars, conferences and workshops as a part of their continuous professional development.

Committee Evaluation

A self-assessment of the BAC's effectiveness was carried out by its Chairman and members together with contribution from the Chairman of the Board, Chief Internal Auditor, Chief Financial Officer and External Auditor. The results of the assessment will be taken up for discussion at the BAC Meeting scheduled to be held in March 2026.



Devaka Cooray
Chairman
Board Audit Committee

Colombo, Sri Lanka
25th February 2026

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT



Mr Rasitha Gunawardana, Chairman,
Related Party Transactions Review
Committee

Composition & Meetings

The Related Party Transactions Review Committee (RPTRC) comprised five members consisting of five non-executive directors. All directors including the Chairman are Independent Directors.

Chairman

Mr Rasitha Gunawardana (IND/NED)

Other Members

- » Mr Devaka Cooray (SI/NED)
- » Mr Suresh Shah (IND/NED)
- » Mr Nanda Fernando (IND/NED)
- » Ms Dilani Alagaratnam (IND/NED)

(IND/NED) – Independent Non-Executive Director

Brief profiles of the Directors are given on pages 146 to 151 in this report.

Management Participants

SVP/Chief Financial Officer and SVP/ Board Secretary attends the meetings by invitation. In addition, the Committee summons other relevant officials of the Bank to participate in Committee proceedings on a 'need basis'.

Secretary to the Committee

Mr Neil Rasiah
– SVP/Chief Compliance Officer

Key Initiatives Implemented During 2025

Terms of Reference (TOR) of the Committee was reviewed and amended in 2025 taking into consideration the amendments made to Section 9 of the listing rules of Colombo Stock Exchange and in terms Banking act direction on Corporate Governance for Licensed banks directions No 5 of 2024.

In line with the Central Bank of Sri Lanka (CBSL) Directions, the Related Party Transactions Review Committee (RPTRC) was recognised as a mandatory Board Sub-Committee of the Bank. In addition, the definition and scope of related parties were expanded to include new categories of individuals and entities. Considering these regulatory enhancements, the Bank's Related Party Transactions Policy was reviewed and revised to ensure full alignment with the updated CBSL requirements.

'Terms of Reference' (TOR) of The Related Party Transactions Review Committee

The Related Party Transactions Review Committee is governed by the 'Terms of Reference' approved by the Bank's Board of Directors. The statutory and fiduciary responsibilities of the Committee are set out by the following regulations and relevant codes.

1. The 'Code of Best Practices on Related Party Transactions' published by the Securities and Exchange Commission of Sri Lanka (the "Code"),
2. Regulations promulgated by the Colombo Stock Exchange ("The CSE Rules"),
3. Financial reporting under Sri Lanka Accounting Standard LKAS 24,
4. Banking Act Direction No: 5 of 2024 on Corporate Governance of Licensed Commercial Banks in Sri Lanka.
5. Code of Best Practices on Corporate Governance 2017', issued by the Institute of Chartered Accountants of Sri Lanka.

The TOR also spells out the constitution, including the guidelines on related party transactions and its reporting requirements. The TOR also specifies the composition of the Committee; stating that the Chairman should be a Non-Executive Independent Director, and the Committee should meet at least once in every quarter. As per the TOR, the Committee can directly access required data and information in order to discharge its duties and responsibilities as and when necessary. The Committee also has the right to obtain appropriate opinions from external specialists.

The TOR is subject to periodic review based on regulatory as well as operational requirements. During the year 2025, the TOR was amended in line with amendments to Banking Act Direction No. 5 of 2024 on Corporate Governance & Listing Rules of Colombo Stock Exchange and banking act direction.

Scope of Operations

The principal function of the Committee is the review, verification and scrutiny of relevant transactions with directors, Key Management Personnel (KMPs), shareholders having material interest, subsidiaries and associate companies of the Bank and those substantial shareholders and other related parties as defined in the "Code" and the new corporate governance rule no 5 of 2024, to ensure that they have not received more favourable or preferential consideration vis a vis the other shareholders and customers of the Bank, thereby ensuring all such dealings have been done in conformity with the above regulations and "Codes". These requirements are captured in the related Part Transaction Policy and disseminated to all staff in the Bank for compliance.

In discharging the above responsibilities, the Committee relies on the integrity of related party transactions data sourced via the following:

- » Comprehensive list of related parties compiled based on latest available

RELATED PARTY TRANSACTIONS REVIEW COMMITTEE REPORT

Meetings

In accordance with the terms of reference, the Committee meets whenever necessary, but not less than four (4) times a year or once in every three (3) months as stipulated in the Banking Act Direction No.5 of 2024 on Corporate Governance & Securities and Exchange Commission of Sri Lanka (SEC) Guidelines and Listing Rules of Colombo Stock Exchange. During 2025, five (5) such meetings were held, and the minutes were circulated to the Board of Directors for their information and review.

Attendance details of meetings held during 2025 are as follows:

	Eligible to attend/ Attended
Mr Rasitha Gunawardana	5/5
Mr Devaka Cooray	3/3
Mr Suresh Shah	5/4
Mr Nanda Fernando	5/4
Ms Dilani Alagaratnam	4/4

- declarations, provided by the Directors/ Key Management Personnel.
- » Related party transactions confirmed by the business and functional heads to the Committee.
 - » Direct information obtained from subsidiaries and associates.

Quarterly reporting to RPTRC falls under the responsibility of business heads who confirm to the Committee that “more favourable treatment” was not offered in regard to related party transactions. Quarterly reports are further reviewed by the Chief Compliance Officer (who serves as the secretary to the RPTRC) by assessing transactions on sample basis, against benchmarked criteria applicable for comparable non-related party transactions, based on system generated reports.

The Bank’s Internal Audit Division is also mandated to periodically verify the integrity of reported data by carrying out audit checks, to ensure greater transparency.

Wherever necessary, the Committee is empowered to obtain independent legal, financial and technical advice from specialists in such fields, to review and determine transactions. Apart from obtaining independent specialists’ advice wherever necessary, the Committee has access to data and information pertaining to related parties as well as the ability to call for clarifications from the management and auditors (External and Internal) on any allied matters.

The committee reviews and evaluates related party transactions reported by the business heads, including any comments, justifications and observations made by them. In accordance with Banking Act Direction No. 5 of 2024 on Corporate Governance, the Bank commenced quarterly reporting of related party transactions from the stipulated date to the Board of Directors.

In addition, the Committee shares information with the Board Audit Committee whenever necessary and

appropriate to facilitate the Board Audit Committee to conduct its Statutory and Regulatory responsibilities with regard to related party transactions. Also, a quarterly confirmation on related party transactions, is provided to Board Audit Committee based on requirements stipulated in section 9.13.4(d) of the Listing Rules of Colombo Stock Exchange.

Training and awareness
Measures were taken to increase the awareness on Related Party Transactions (RPTs) guidelines by conducting a training programmes for the Board of Directors and Corporate Management with the assistance of Director Bank Supervision at Central Bank of Sri Lanka. Further several training sessions were conducted for relevant internal staff members.

Self-Appraisal of Committee Functions
An annual self evaluation was conducted on the effectiveness of the RPTRC with contributions by way of individual assessments by the members. The review for 2025 concluded that the Committee continues to operate effectively and competently.

Note 60 to the financial statements on pages 524 to 530 set out the information required on related party transactions. In the opinion of the Committee, there were no transactions with related parties which were more favourable or preferential, during the period under review and the Bank had been compliant with the above regulations and Codes.



Rasitha Gunawardana
*Chairman
Related Party Transactions Review
Committee*

Colombo, Sri Lanka
25th February 2026

STATEMENT BY THE SENIOR INDEPENDENT DIRECTOR



Mr Devaka Cooray
Senior Independent Director

Dear Stakeholders,

I have been serving as the Senior Independent Director (SID) of Hatton National Bank PLC ("the Bank") since 9th June 2023, as the Chairman of the Bank Mr Nihal Jayawardene is a Non independent Non-Executive Director.

The role of the Senior Independent Director (SID) is defined by the Board approved Terms of Reference (TOR), designed to enhance the independence of the position. Throughout 2025, I have been actively involved in Board meetings, contributing to discussions and decision-making processes. Accordingly, I have encouraged active participation by Non-Executive Directors and have been available for confidential discussions with other Directors who may need to raise concerns. I am pleased to report that the Board of Directors has consistently demonstrated independent judgment and objectivity in all Board deliberations, ensuring that the decisions made were in the best interest of the Bank.

In accordance with the TOR, the purview and the objectives of the SID are delineated as follows:

1. Serving as a key intermediary between the Chairman and other Directors, facilitating open dialogue and independent perspectives.

2. Providing a forum for the Chairman to discuss strategic matters and governance issues, ensuring that a range of perspectives is duly considered in the deliberations of the Board.
3. Upholding legal obligations to the Bank as any other Director, participating actively in promoting the success of the Bank;
4. Assisting the Board in collectively directing the Bank's affairs and ensuring the effective governance of the Bank; and
5. Engaging with shareholders and other stakeholders to address concerns and enhance the governance framework of the Bank.

As the SID, it was incumbent upon me to ensure that all critical issues were deliberated by the Board in a timely manner and that the perspectives of the Non-Executive Directors were duly considered. Serving as a member of the Board Nominations and Governance Committee (BNGC) further augmented my capacity to fulfil the comprehensive responsibilities of the SID, particularly in the appointment of new Directors to the Board and Key Management Personnel to the Bank, evaluating the fitness and propriety of Directors continuing in office, providing independent and prudent advice to the Chairman and the Board on matters discussed during meetings, and offering leadership to the Board as and when required.

To provide guidance to the Chairman, I conducted One (01) meeting with Non-Executive Directors without the presence of the Chairman on 31st July 2025 One (01) meeting with the Independent Non-Executive Directors on 17th December 2025 and a meeting with the Executive Director on 28th January 2026, facilitating discussions and communication of governance-related matters in line with Principle A.5.7 of the Code of Best Practice on Corporate Governance 2023 issued by

the Institute of Chartered Accountants of Sri Lanka.

During the meetings with Non-Executive Directors, we conducted a comprehensive assessment of the Chairman's contributions, while also considering the perspectives of the Executive Director. The feedback and recommendations from these discussions were duly communicated to the Chairman as appropriate.

I affirm that under my supervision as the SID, the performance of individual Directors and the overall effectiveness of the Board were reviewed throughout 2025, in accordance with the Corporate Governance guidelines and the Policy on matters relating to the Board of Directors.

In discharging my duties and responsibilities towards shareholders, I attended the Annual General Meeting held on 27th March 2025, which provided me with a balanced understanding of the issues and concerns of shareholders.

I believe that I have met the obligations entrusted to the SID and have effectively discharged my duties and responsibilities towards the Chairman, the Board of Directors, and the Shareholders of Hatton National Bank PLC, in accordance with the Corporate Governance guidelines and the TOR setting out the functions of the SID.

Devaka Cooray
Senior Independent Director

Colombo, Sri Lanka
25th February 2026

DIRECTORS' STATEMENT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

Responsibility

The Board of Directors presents this statement on Internal Control Over Financial Reporting of the Bank in accordance with Section 9.2 (b) of Banking Act Direction No 05 of 2024, and principle D.1.5. of the Code of Best Practice on Corporate Governance issued by the Institute of Chartered Accountants of Sri Lanka and Rule 9.17 (ii) of the Corporate Governance Rules of the Colombo Stock Exchange.

The Board of Directors ('Board') is responsible for the adequacy and effectiveness of Hatton National Bank PLC's ('the Bank') system of internal controls. It is designed to manage the Bank's key areas of risk within an acceptable risk profile and does not eliminate the risk of failure to achieve the business objectives and policies of the Bank. Accordingly, the system of internal controls can only provide reasonable but not absolute assurance against material misstatement of management and financial information and records and against financial losses or fraud.

The Board has established an on-going process for identifying, evaluating, and managing the significant risks faced by the Bank and this process includes enhancing the system of internal controls as and when there are changes to the business environment or regulatory guidelines.

The process is regularly reviewed by the Board in accordance with the guidance for directors of banks on the Directors' Statement on Internal Control issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka). As per the said guidance, processes affecting significant accounts of the Bank were assessed along with the key risk areas.

The management assists the Board in the implementation of the Board's policies and procedures on risk and control by identifying and assessing the risks faced by the Bank, and in the design, operation, and monitoring of suitable internal controls to mitigate and control these risks.

The Board is of the view that the system of internal controls in place is sound and robust to provide reasonable assurance regarding the reliability of financial reporting, and that the preparation of financial statements for external purposes is in accordance with relevant accounting standards and regulatory requirements.

Key Internal Control Processes

The key processes that have been established in reviewing the adequacy and integrity of the system of internal controls include the following:

- » The Board Sub Committees are established to assist the Board in ensuring the effectiveness of the Bank's daily operations, that the Bank's operations are in accordance with the Bank's declared objectives and strategies and that the operations of the Bank are in line with the annual budget as well as the policies and business directions that have been approved by the Board.
- » The Internal Audit Division of the Bank checks for compliance with policies and procedures and the effectiveness of the internal control systems and highlights significant findings in respect of any non-compliance. Audits are carried out on majority of the units and branches, the frequency of which is determined by the level of risk assessed by the internal audit, to provide an independent and objective report on the operational and management activities of these units and branches. The annual audit plan is reviewed and approved by the Board Audit Committee and the findings of the audits are submitted to the Board Audit Committee for review at their periodic meetings.
- » The Board Audit Committee of the Bank approves the annual audit plan, reviews internal control issues identified by the Internal Audit Division, the external auditors, regulatory authorities and management; and evaluates the adequacy and effectiveness of the internal control systems. They also review the internal audit function with particular emphasis on the scope of the audits and quality of same. The minutes of the Board Audit Committee meetings are tabled for the information of the Board on a periodic basis. Further details of the activities undertaken by the Board Audit Committee of the Bank are set out in the Board Audit Committee Report on pages 259 to 262 in this report.
- » The Board Integrated Risk Management Committee (BIRMC) is established to assist the Board to oversee the overall management of principal areas of risk of the Bank. The Executive Risk Management Committee which includes representation from all key business and operating units of the Bank, assists the Board with the implementation of policies advocated at BIRMC.
- » Operational committees have also been established with appropriate empowerment to ensure effective management and supervision of the Bank's core areas of business operations. These committees include the Human Resource Management Committee, Assets and Liabilities Committee, the Information Technology Steering Committee, Executive Risk Management Committee and the Operational Risk Steering Committee.
- » In assessing the internal control system over financial reporting, identified officers of the Bank collated all procedures and controls that are connected with significant accounts and disclosures of the financial statements of the Bank. These, in turn, were observed and checked by the Internal Audit Division for suitability of design and effectiveness on an on-going basis. This assessment did not include subsidiaries of the Bank.

The Bank continued to refine the statistical models used in the computations of Expected Credit Losses (ECL) in accordance with SLFRS 9 - "Financial Instruments" and the data extraction

procedures pertaining to the calculations performed in respect of SLFRS 9. Since the adoption of this standard, progressive improvements on processes to comply with improved requirements of classification, estimation of expected credit losses and disclosures were made whilst, further strengthening of processes continued to support the estimation of expected credit loss and financial statement disclosures.

The existing models were further validated this year in terms of the appropriateness of underlying assumptions, incorporating the potential implications of changes in the macroeconomic conditions prevailing in the country. Adjustments to estimates were made using the statistical model to capture the impact of Cyclone Ditwah which was not addressed by the existing models. In addition, where relevant, the Bank also reviewed and updated post-model overlay previously recognised to align with the improved economic environment.

These amendments include adjustments to economic factors, such as adjusting the weightage assigned to worst-case scenario to account for positive changes in the economic environment. These refinements ensure that the models remain relevant while continuing to stress test exposures for identified sectors that remain vulnerable.

Policies in relation to classification and measurement of financial instruments and the computation of Expected Credit Losses are reviewed at frequent intervals and the Board approval is obtained based on

the recommendation of the Board Audit Committee. Further, the Bank maintains detailed documentation in relation to the methodologies and the procedures adopted and same are reviewed as and when necessary.

Considering the complexity involved in the computation of ECL from Loans and Advances, the Bank will continue to strengthen the process with system-supported procedures in order to minimise the manual intervention.

The recommendations made by the external auditors in connection with the internal control system in previous years were reviewed during the year and appropriate steps have been taken to implement those.

Confirmation

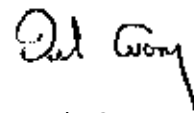
Based on the above processes, the Board confirms that the financial reporting system of the Bank has been designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes has been done in accordance with Sri Lanka Accounting Standards and regulatory requirements of the Central Bank of Sri Lanka.

Review of The Statement by External Auditors

The external auditors, Messrs KPMG, have reviewed the above Directors' Statement on Internal Control Over Financial Reporting for the year ended

31st December 2025 and reported to the Board that nothing has come to their attention that causes them to believe that the statement is inconsistent with their understanding of the process adopted by the Board in the review of the design and effectiveness of the internal control system of the Bank. Their Report on the Statement of Internal Control is given in page 268 of this report.

By order of the Board



Devaka Cooray
Chairman
Board Audit Committee



Damith Pallewatte
Managing Director/
Chief Executive Officer



Nihal Jayawardene PC
Chairman

Colombo, Sri Lanka
25th February 2026

AUDITORS' REPORT ON INTERNAL CONTROL



KPMG
(Chartered Accountants)
32A, Sir Mohamed Macan Markar Mawatha,
P. O. Box 186,
Colombo 00300, Sri Lanka.

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TO THE BOARD OF DIRECTORS OF HATTON NATIONAL BANK PLC

Report on the Directors' Statement on Internal Control

We were engaged by the Board of Directors of Hatton National Bank PLC ("Bank") to provide assurance on the Directors' Statement on Internal Control ("Statement") included in the annual report for the year ended 31st December 2025.

Management's Responsibility

Management is responsible for the preparation and presentation of the Statement in accordance with the Section 9.2 of the Schedule 1 "Regulatory Requirements on Corporate Governance for Licensed Banks" issued in compliance with the Banking Act Direction No. 05 of 2024, by the Institute of Chartered Accountants of Sri Lanka.

Our Independence and Quality Control

We have complied with the independence and other ethical requirement of the Code of Ethics for Professional Accountants issued by the Institute of Chartered Accountants of Sri Lanka, which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality, and professional behaviour.

The firm applies Sri Lanka Standard on Quality Management 1, which requires the firm to design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

Our Responsibilities

Our responsibility is to assess whether the Statement is both supported by the documentation prepared by or for directors and appropriately reflects the process the directors have adopted in reviewing the design and effectiveness of the internal control of the Bank.

We conducted our engagement in accordance with Sri Lanka Standard on Assurance

Engagements (SLSAE) 3050 (Revised), Assurance Report for Banks on Directors' Statement on Internal Control, issued by the Institute of Chartered Accountants of Sri Lanka.

This standard requires that the Auditor plan and perform procedures to obtain limited assurance about whether Management has prepared, in all material respects, the Statement on Internal Control.

For purposes of this engagement, we are not responsible for updating or reissuing any reports, nor have we, in the course of this engagement, performed an audit or review of the financial information.

Summary of work performed

Our engagement has been conducted to assess whether the Statement is both supported by the documentation prepared by or for the Directors and appropriately reflects the process the Directors have adopted in reviewing the system of internal control for the Bank.

To achieve our objective, appropriate evidence has been obtained by performing the following procedures;

- Enquired the directors to obtain an understanding of the process defined by the Board of Directors for their review of the design and effectiveness of internal control and compared their understanding to the statement made by the directors in the annual report.
- Reviewed the documentation prepared by the Directors to support their Statement made.
- Related the Statement made by the Directors to our knowledge of the Bank obtained during the audit of the Financial Statements.
- Reviewed the minutes of the meetings of the Board of Directors and of relevant Board Committees.
- Attended meetings of the Audit Committee at which the annual report, including the Statement on Internal Control

is considered and approved for submission to the Board of Directors.

- Considered whether the Director's Statement on Internal Control covers the year under review and that adequate processes are in place to identify any significant matters arising.
- Obtained written representations from directors on matters material to the Statement on Internal Control where other sufficient appropriate audit evidence cannot reasonably be expected to exist.

SLSAE 3050 (Revised) does not require us to consider whether the Statement covers all risks and controls, or to form an opinion on the effectiveness of the Bank's risk and control procedures. SLSAE 3050 (Revised) also does not require us to consider whether the processes described to deal with material internal control aspects of any significant problems disclosed in the annual report will, in fact, remedy the problems.

The procedures selected depend on our judgment, having regard to our understanding of the nature of the Bank, the event or transaction in respect of which the Statement has been prepared.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion.

Our Conclusion

Based on the procedures performed, nothing has come to our attention that causes us to believe that the Statement included on pages 266 to 267 of this annual report is inconsistent with our understanding of the process the Board of Directors have adopted in the review of the design and effectiveness of internal control system over financial reporting of the Bank.

Chartered Accountants

Colombo
25 February 2026

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G.P. Jayasinghe FCA
Mr. S. Joseph FCA
R.M.D.B. Rajasinghe FCA
M.M.H. Satharath FCA
Mr. P.M.K. Gunawardena FCA

E.J.B. Rajasinghe FCA
M.R.D.C. Amarasinghe FCA
Ms. B.K.D.T.N. Rodrigo FCA
Ms. C.T.S.N. Perera FCA
R.G.M. Rodrigo FCA

W.W.J.C. Perera FCA
G.P.U. Karunaratne FCA
R.H. Rajan FCA
A.M.M.P. Alshamouni FCA

Principal: S.B.L. Perera FCA (UK), L.L.B. Mawatha FCA, H.S. Gunawardena FCA, M. P.P. Jayaward FCA (UK), P.C.T. K. Gunawardena FCA (UK), Mr. D. Costa Chartered Accountant

DIRECTORS' INTEREST IN CONTRACTS WITH THE BANK

Related party transactions as required by LKAS 24 "Related Party Disclosures", are detailed in Note 60 to the financial statements. In addition, the Bank carries out transactions in the ordinary course of business on an arms length basis with entities in which the Chairman or a Director of the Bank has interest as declared by them, the details of which are given below.

Also, this complies with the requirements of section 168 of the Companies Act. No 07 of 2007 as amended and directions issued under section 47 (3), (4), (5) and (6) of the Banking Act No 30 of 1988 as amended.

1. Lending Transactions with the Bank

Director/Company	Name of the Director/ Relationship	Nature of Transaction	Aggregate Amount of Accommodation				Security	
			As at 31st December 2025		As at 31st December 2024			
			Limit	Outstanding	Limit	Outstanding		
			Rs Mn	Rs Mn	Rs Mn	Rs Mn		
(A) Mr P R Saldin								
Sithma Development (Pvt) Ltd.	Chairman	Overdraft Letter of Credit S/U)	50.00 *(50.00)	- -	50.00 *(50.00)	- 23.05	Mortgage over Commercial Property, Documents of title to goods to be imported/Duly accepted Usance drafts	
		Total	50.00	-	50.00	23.05		
CIC Holdings PLC	Director	Short Term Loans Letter of Credit (S/U) Import Loan Overdraft Shipping Guarantee Forward Exchange Contract Total	2,500.00 *(1,500.00) *(1,500.00) *(250.00) *(1,500.00) *(1,500.00) 2,500.00	2,420.00 21.78 - - - - 2,441.78	2,500.00 *(1,500.00) *(1,500.00) *(250.00) *(1,500.00) *(1,500.00) 2,500.00	400.00 196.65 - 0.68 174.99 - 772.32		Negative Pledge over stocks and debtors, RPT Loan Agreement
Chemanex PLC	Chairman	Letter of Credit (S/U) Import Loan Short Term Loan Overdraft Shipping Guarantee Forward Exchange Contract Total	200.00 *(200.00) *(200.00) *(200.00) - - 200.00	- - 125.00 - - - 125.00	200.00 *(200.00) *(200.00) *(200.00) *(200.00) *(200.00) 200.00	- - 150.00 6.58 - - 156.58	RPT Loan Agreement	
CIC Agri Business (Pvt) Ltd	Director	Letter of Credit Overdraft Import Loan Short Term Loan Shipping Guarantee Forward Exchange Contract Total	2,000.00 *(200.00) *(2,000.00) *(2,000.00) *(2,000.00) *(2,000.00) 2,000.00	- - - 175.00 - - 175.00	1,300.00 *(100.00) *(1,300.00) *(1,300.00) *(1,000.00) *(130.00) 1,300.00	- - - - - - -		

DIRECTORS' INTEREST IN CONTRACTS WITH THE BANK

Director/Company	Name of the Director/ Relationship	Nature of Transaction	Aggregate Amount of Accommodation				Security
			As at 31st December 2025		As at 31st December 2024		
			Limit	Outstanding	Limit	Outstanding	
			Rs Mn	Rs Mn	Rs Mn	Rs Mn	
(B) Dr T K D A P Samarasinghe							
HNB Finance PLC	Director	Money Market Loan	2,000.00	2,000.00	1,000.00	1,000.00	Mortgage over lease portfolio, Cash Margin
		Overdraft	1,000.00	-	1,000.00	-	
		Corporate Credit Card	-	-	1.00	0.01	
		Term Loan	-	-	1,000.00	-	
		Total	3,000.00	2,000.00	3,001.00	1,000.01	
Hayleys Fibre PLC	Director	Overdraft	6.00	-	6.00	-	RPT Loan Agreement, Export Bill Discounting Indemnity, Letter of Guarantee Indemnity, Overdraft Agreement, Short Term Loan Agreement, Documents of Title to goods imported/ Duly accepted Usance drafts, Forward Exchange Agreement
		Packing Credit Loan (Export Loan)	325.00	160.32	325.00	89.98	
		Export Bill Discounting	*(325.00)	-	*(325.00)	-	
		Short Term Loan	*(75.00)	75.00	*(75.00)	**150.00	
		Letter of Credit (S/U)	*(3.00)	-	*(3.00)	-	
		Letter of Guarantee	*(5.00)	**16.09	*(5.00)	**16.09	
		Forward Exchange Contract	*(244.00)	-	240.00	-	
		Total	331.00	251.41	571.00	256.07	
Chemanex PLC	Director	Letter of Credit (S/U)	200.00	-	200.00	-	RPT Loan Agreement
		Import Loan	*(200.00)	-	*(200.00)	-	
		Short Term Loan	*(200.00)	125.00	*(200.00)	150.00	
		Overdraft	*(200.00)	-	*(200.00)	6.58	
		Shipping Guarantee	-	-	*(200.00)	-	
		Forward Exchange Contract	-	-	*(200.00)	-	
		Total	200.00	125.00	200.00	156.58	
(C) Mr M P D Cooray							
Unimo Enterprises Limited	Chairman	Letter of Credit(S/U)	3,500.00	799.97	1,500.00	175.28	Documents of title to goods imported/ Duly accepted Usance drafts, Shipping Guarantee Indemnity, LG Indemnity, Forward Exchange Agreement, Loan Agreement
		Import Loan	*(3,500.00)	849.52	*(1,500.00)	725.00	
		Short Term Loan	*(1,500.00)	870.00	*(1,500.00)	-	
		Letter of Guarantee	*(3,500.00)	-	1,500.00	-	
		Shipping Guarantee	*(3,500.00)	-	-	-	
Total	3,500.00	2,519.49	3,000.00	900.28			
United Motors Lanka PLC	Chairman	Letter of Credit(S/U)	2,000.00	-	N/A	N/A	Letter of Guarantee Indemnity, Documents of title to goods imported/ Duly accepted Usance drafts, Forward Exchange Agreement, Import Loan Agreement, RPT Agreement, Shipping Guarantee Indemnity
		Import Loan	*(2,000.00)	-			
		Short Term Loan	*(2,000.00)	-			
		Shipping Guarantee	*(2,000.00)	-			
		Letter of Guarantee	500.00	-			
Total	2,500.00	-					

Director/Company	Name of the Director/ Relationship	Nature of Transaction	Aggregate Amount of Accommodation				Security
			As at 31st December 2025		As at 31st December 2024		
			Limit	Outstanding	Limit	Outstanding	
			Rs Mn	Rs Mn	Rs Mn	Rs Mn	
JAT Holdings PLC	Director	Overdraft	100.00	43.49	100.00	31.99	Letter of Guarantee Indemnity, Personal Guarantee, Documents of title to goods imported/Duly accepted Usance drafts, Import Loan Agreement, RPT Agreement
		Letter of Guarantee	75.00	27.15	75.00	57.39	
		Letter of Credit(S/U)	250.00	0.77	250.00	2.99	
		Import Loan	*(250.00)	162.09	*(250.00)	249.44	
		Standby Letter of Credit	330.00	-	330.00	-	
		Import Loan	*(330.00)	-	*(330.00)	-	
		Corporate Credit Card	1.00	-	1.00	-	
		Total	756.00	233.50	756.00	341.81	
HVA Foods PLC	Director	Overdraft	100.00	99.80	100.00	98.57	Corporate Guarantee of George Steuart & Co Ltd, Forward Exchange Agreement, RPT Loan Agreement
		Packing Credit	300.00	42.83	300.00	-	
		Export Bill Discounting	*(300.00)	-	*(300.00)	-	
		Export Loans Post Shipment	*(300.00)	-	*(300.00)	-	
		Forward Exchange Contract	*(300.00)	-	*(300.00)	-	
		Short Term Loan	*(100.00)	100.00	*(100.00)	100.00	
		Total	400.00	242.63	400.00	198.57	
		Dutch Lanka Engineering (Private) Limited	Chairman	Overdraft	20.00	-	
Short Term Loan II	23.00			-	23.00	-	
Letters of Guarantee	5.00			0.05	5.00	1.92	
Letter of Credit (S/U)	180.00			63.64	100.00	-	
Import Loans	*(100.00)			84.29	*(100.00)	29.48	
Short Term Loan I	*(180.00)			20.00	-	-	
Term Loans	*(29.30)			29.30	*(45.86)	45.86	
Shipping Guarantee	*(100.00)			-	*(100.00)	-	
Forward Exchange Contract	*(100.00)			-	*(10.00)	-	
Total	228.00			197.28	148.00	96.60	
The Lighthouse Hotel PLC	Director	Overdraft	300.00	35.23	200.00	-	Loan Agreement, Corporate Guarantee of Jetwing Hotels Ltd
		Money Market Loan	*(300.00)	50.00	*(200.00)	-	
		Term Loans	195.01	195.01	105.43	105.43	
		One-off Letter of Credit	-	-	10.00	6.80	
		Total	495.01	280.24	315.43	112.23	
(D) Mr M N R Fernando							
Haycarb PLC	Director	Letter of Guarantee	1,000.00	100.00	-	-	LG Indemnity, Forward Exchange Agreement, RPT Loan Agreement
		Short Term Loan	1,000.00	495.00	100.00	100.00	
		Forward Exchange Contract	1,000.00	-	-	-	
		Total	3,000.00	595.00	100.00	100.00	
Dipped Products PLC	Director	Overdraft	250.00	-			LG Indemnity, RPT Loan Agreement, Documents of title to goods to be imported/Duly accepted Usance drafts
		Letter of Guarantee	50.00	-	N/A	N/A	
		Letter of Credit (S/U)	300.00	-			
		Short Term Loan	600.00	-			
		Total	1,200.00				

DIRECTORS' INTEREST IN CONTRACTS WITH THE BANK

Director/Company	Name of the Director/ Relationship	Nature of Transaction	Aggregate Amount of Accommodation				Security
			As at 31st December 2025		As at 31st December 2024		
			Limit	Outstanding	Limit	Outstanding	
			Rs Mn	Rs Mn	Rs Mn	Rs Mn	
Hayleys Fabric PLC	Director	Letters of Credit-(S/U)	782.13	110.57	600.00	41.05	Mortgage over commercial property, Mortgage over equipment, Cheque Purchase Indemnity, Letter of Guarantee Indemnity, Documents of title to goods imported/ Duly accepted Usance drafts, Forward Exchange Agreement
		Import Loan	*(782.13)	12.07	*(600.00)	-	
		Cheque Purchase	*(156.43)	-	*(150.00)	-	
		Short Term Loan	*(625.70)	154.94	*(450.00)	293.26	
		Shipping Guarantee	*(469.28)	51.78	*(450.00)	-	
		Overdraft	31.29	-	30.00	-	
		Forward Exchange	-	-	-	-	
		Contract	125.14	-	120.00	-	
		Export Bill Discounting	156.43	-	-	-	
		Overdraft	15.00	-	15.00	-	
		Total	1,109.98	329.36	765.00	334.31	
Assetline Finance Limited	Chairman	Term Loans	4,687.50	4,687.50	3,000.00	2,850.00	RPT Loan Agreement
		Overdraft	50.00	-	50.00	-	
		Money Market Loan	5,500.00	5,500.00	5,500.00	2,450.00	
		Total	10,237.50	10,187.50	8,550.00	5,300.00	
(E) <u>Mr S Renganathan</u>							
Sunshine Tea (Private) Limited	Director	Letter of Guarantee	400.00	-	-	-	Letter of Guarantee Indemnity, Documents of title to goods imported/ Duly accepted Usance drafts, Forward Exchange Agreement, Loan Agreement, Overdraft Agreement
		Packing Credit Loan I	938.55	838.00	N/A	N/A	
		Letter of Credit	*(100.00)	4.81	-	-	
		Packing Credit Loan II	*(900.00)	-	-	-	
		Short Term Loan	*(900.00)	-	-	-	
		Overdraft	125.00	1.25	-	-	
Total		1,463.55	844.06				
Sunshine Healthcare Lanka Limited	Director	Letter of Guarantee	150.00	308.32	150.00	8.84	Absolute ownership over vehicles, Letter of Guarantee indemnity, Documents of title to goods imported/ Duly accepted Usance drafts, Forward Exchange Agreement, Import Loan Agreement, Money Market Loan Agreement, Overdraft Agreement, RPT Loan Agreement
		Money Market Loan	1,350.00	-	1,350.00	800.00	
		Block Lease	50.00	-	50.00	-	
		Letters of Credit	1,400.00	1,011.97	1,400.00	213.12	
		Shipping Guarantee	*(500.00)	494.34	*(500.00)	32.52	
		Import Loan	*(1,400.00)	211.53	*(1,400.00)	-	
		Export Bill Discounting	*(100.00)	-	*(100.00)	-	
		Overdraft I	150.00	-	150.00	-	
		Overdraft II	100.00	-	100.00	-	
		Forward Exchange	-	-	-	-	
		Contract	-	-	*(270.00)	-	
Total		3,200.00	2,026.16	3,200.00	1,054.48		
Healthguard Pharmacy Limited	Director	Revolving Short Term Loan	500.00	500.00	250.00	-	Mortgage over stocks, LG Indemnity, Documents of title to goods imported/Duly accepted Usance drafts, Import Loan Agreement, Short Term Loan Agreement, Overdraft Agreement, RPT Loan Agreement
		Letter of Guarantee	100.00	12.16	50.00	7.51	
		Overdraft	250.00	-	500.00	-	
		Letter of Credit (S/U)	200.00	-	200.00	11.62	
		Import Loan	*(200.00)	-	*(200.00)	-	
		Letter of Credit -Local	*(200.00)	-	*(200.00)	-	
Total		1,050.00	512.16	1,000.00	19.13		

Director/Company	Name of the Director/ Relationship	Nature of Transaction	Aggregate Amount of Accommodation				Security
			As at 31st December 2025		As at 31st December 2024		
			Limit	Outstanding	Limit	Outstanding	
			Rs Mn	Rs Mn	Rs Mn	Rs Mn	
Lina Manufacturing (Pvt) Ltd	Director	Letter of Credit (S/U)	1,000.00	-	400.00	-	LG Indemnity, SG Indemnity, Documents of title to goods imported/ Duly accepted Usance drafts, RPT Loan Agreement
		Shipping Guarantee	*(1,000.00)	-	-	-	
		Import Loan	*(1,000.00)	-	*(400.00)	-	
		Money Market Loan	*(500.00)	-	*(100.00)	-	
		Letter of Guarantee	75.00	-	75.00	-	
		Overdraft	125.00	-	125.00	-	
		Total	1,200.00	-	600.00	-	
Ceylon Hospitals PLC	Director	Block Term Loan	200.00	137.39	217.67	217.67	Documents of title to goods imported/ Duly accepted Usance drafts, Loan Agreement
		Overdraft	300.00	289.84	300.00	278.68	
		Money Market Loan	*(300.00)	-	*(300.00)	-	
		Corporate Credit Card	1.50	0.60	-	-	
		Total	501.50	427.83	517.67	496.35	
Lanka IOC PLC	Director	Letter of Credit	9,000.00	-	N/A	N/A	Documents of title to goods imported/ Duly accepted Usance drafts, RPT Loan Agreement, Forward Exchange Agreement, Letter of Guarantee Indemnity
		Overdraft	*(500.00)	-			
		Letter of Guarantee	*(900.00)	872.46			
		Import Loan	*(9,000.00)	-			
		Money Market Loan	*(4,500.00)	-			
		Total	9,000.00	872.46			

(F) Mr P G D B Pallewatte

HNB Investment Bank Pvt Ltd	Chairman	Letter of Guarantee	10.61	10.61	11.76	10.61	Cash Margin
		Total	10.61	10.61	11.76	10.61	

2. Other Entities

Director/Company	Name of the Director/ Relationship	Nature of Transaction	Aggregate Amount of Accommodation				Security
			As at 31st December 2025		As at 31st December 2024		
			Limit	Outstanding	Limit	Outstanding	
			Rs Mn	Rs Mn	Rs Mn	Rs Mn	

(A) Mr S K Shah

The Hill Club, Nuwara Eliya	Committee Member	Term Loan	50.00	50.00	-	-	Cash Margin, Clean
		Overdraft	13.50	10.05	13.50	-	
		Total	63.50	60.05	13.50	-	

(B) Mr S Renganathan

Old Wesleyites Sports Club	Past President	Overdraft	2.50	-	2.50	-	Cash Margin
		Total	2.50	-	2.50	-	

* Figures in brackets indicate sub limits granted to respective entities.

** Approval was obtained for the excesses.

DIRECTORS' INTEREST IN CONTRACTS WITH THE BANK

3. Other Business Transactions with the Bank

Company/Director	Name of the Director/ Relationship	Nature of Transaction	Amount Rs Mn	Amount Rs Mn
			2025	2024
(A) Mr P R Saldin				
Sithma Development (Pvt) Ltd.	Chairman	Rental paid	932.96	830.53
		Dividend income	595.00	595.00
		Rental income	27.52	27.52
		Expenses Reimbursed by bank	137.07	168.92
HNB Assurance PLC	Director	Merchant commission	4.07	15.93
		Rental income	7.85	8.19
		Dividend income	-	350.92
		Commission received	1022.42	637.58
		Claims received	47.69	49.35
		Premium paid	13.97	-
		Reimbursement to Bank	1.97	1.74
		Other income	3.36	3.26
(B) Dr T K D A P Samarasinghe				
Lanka Bell Limited	Managing Director	Data line expenses & Others	-	0.91
(C) Mr M P D Cooray				
JAT Holdings PLC	Director	Merchant commission	-	1.51
The Light House Hotel PLC	Director	Merchant commission	4.24	7.54
Management Systems (Pvt) Ltd	Managing Director	Administration Expenses	9.28	8.33
(D) Mr S K Shah				
Ceylon Chamber of Commerce	Committee Member	Subscription fees	0.12	0.39
		Training & Participation	0.19	1.44
The Hill Club Nuwara Eliya	Committee Member	Sponsorship	0.47	0.25
(E) Mr P G D B Pallewatte				
International Chamber of Commerce Sri Lanka (ICCSL)	Director	Subscription fees	0.02	0.02
		Sponsorship	0.1	-
Institute of Bankers of Sri Lanka	Governing Board Member	Training & Participation	0.71	0.05
(F) Mr S Renganathan				
International Chamber of Commerce & Industry, Policy Advisory Committee	Advisory	Training & Subscription	-	0.12
Lanka IOC PLC	Director	Rental paid	0.71	N/A
Sunshine Tea (Private) Limited	Director	Merchant commission	0.29	N/A

Collateral details of facilities for each company are grouped together without identifying collateral, facility-wise.

The above disclosure is only pertaining to the transactions carried out with directors who are holding office as at 31st December 2025.

The above entities also held customer deposits with the Bank totaling to Rs 5,218.52 Mn and interest paid was Rs 409.57 Mn. Interest income earned from loans and advances amounted to Rs 1,820.68 Mn and Net Fee Income totaling to Rs 4.49 Mn for the year ended 31st December 2025.



Phases of **RESILIENCE**

A tree carries the evidence of stress within its trunk. When cut across, its growth rings reveal each year of life. When exposed to fire, drought, or damage, these rings become thinner or uneven, and scars form where the tree has been injured. Over time, new layers of wood grow around these wounds, sealing and protecting the core. These visible marks show how the tree adapts, conserving resources and reinforcing its structure to endure and recover from adversity.

At HNB, we approach risk with the same measured discipline. By identifying emerging challenges, strengthening controls, and adapting our frameworks, we safeguard our core stability while reinforcing our capacity to withstand uncertainty and sustain progress within an evolving financial landscape.

RISK & CAPITAL REVIEWS



As a leading, systemically important financial institution in Sri Lanka, HNB is committed to safeguarding stakeholder interests and strengthening the Bank's resilience through a structured and proactive approach to risk management. The Bank's integrated risk management framework has been designed to facilitate continuous and interconnected monitoring of macro and micro risk factors in order to mitigate threats across all business functions, ensuring operational stability, while safeguarding the Bank's assets and best interests of our shareholder, customer and other stakeholders. During the year, HNB further enhanced its risk management framework in response to macro dynamics by refining policies, strengthening monitoring mechanisms, and adopting international certification and advanced analytical tools to deliver more accurate and timely risk assessments. These enhancements have reinforced the Bank's ability to anticipate emerging risks, manage exposures effectively, and support informed decision-making. By reinforcing financial risk management, strengthening compliance and internal control mechanisms, and embedding a risk-ownership culture across our island-wide branch network through continuous awareness building and technical training, HNB has created an exceptionally risk conscious organisation. This disciplined approach underpins the Bank's strategic objectives, protects stakeholder value, and ensures resilience in the current complex and dynamic business landscape.

RISK MANAGEMENT ACHIEVEMENTS IN 2025

- **Operational Resilience:** The Bank recorded its lowest-ever levels of operational losses, marking a significant milestone and positioning itself among the best performers in the industry.
- **Business Continuity Certification:** Successfully achieved certification of the Bank's enterprise-wide Business Continuity Management (BCM) processes in accordance with the internationally recognised ISO 22301 standard.
- **Enhanced Credit Risk Assessment:** Rolled out a comprehensive Internal Risk Rating (IRR) framework, incorporating customer segment-specific assessment models to strengthen credit underwriting, pricing strategies, and portfolio assessments.
- **Impairment Assessment Upgrade:** Enhanced the Individually Significant Loan (ISL) impairment assessment platform (i-SLAP) with advanced features and modules to improve the accuracy of expected credit loss (ECL) identification and quantification.
- **ICAAP Framework Strengthening:** Further reinforced the Internal Capital Adequacy Assessment Process (ICAAP) through model enhancements and independent external validation, ensuring that the Bank had robust capital and liquidity buffers to withstand potential stress scenarios.
- **Loan Book Quality Improvement:** Achieved substantial recoveries and upgrades of Stage-2 (underperforming) and Stage-3 (non-performing) loans, following structured curing periods. This contributed to one of the highest-quality loan portfolios in the banking sector.
- **Cybersecurity Enhancements:** Partnered with a leading external security consultancy to implement industry-standard practices in Data Privacy and Incident Management. Additionally, Perimeter Security and Mobile Application Security controls were fortified to counter emerging cyber threats.
- **Sustainability Risk Integration:** Integrated SLFRS S1 and S2 standards into the Bank's overall risk management framework, embedding sustainability and climate-related financial risk considerations into strategic decision-making.

Sri Lanka's economy maintained its positive growth trajectory in 2025, with GDP expected to expand by approximately 4.5%, outperforming the World Bank's more conservative 3.5% forecast.

Inflation, which had slipped into deflationary territory in 2024, reversed during 2025, averaging around 2.1%, while food inflation accelerated to approximately 3%. The Central Bank held the overnight policy rate at 7.75% by December 2025 to guide inflation back towards its 5% target, amid ongoing global uncertainties and subdued inflationary pressures. As a result of easing inflation, the real interest rate declined to roughly 5.65% by October 2025.

By the end of December 2025, Gross Official Reserves (GOR) stood at about US\$ 6.82 billion, marking a significant increase from December 2024 levels. Concurrently, fiscal discipline continued to improve for the second consecutive year, Sri Lanka registered a primary fiscal surplus as of December 2024. Provisional data indicate this surplus reached +2.2% of GDP, edging close to the IMF's medium-term target of 2.3%, with the 2025 budget projecting a primary surplus of +2.5% of GDP.

Although debt restructuring has alleviated the government's debt service burden and reduced liquidity risks, the general government debt-to-GDP ratio remains elevated. It declined from 103.8% in December 2023 to an indicative of 96.9% by September 2024. The IMF's medium-term goal is to lower this ratio to between 95% and 82% by 2032, while the government hopes to achieve 96.8% by 2026 and below 90% by 2032.

The external sector surged in strength during 2025, with the current account posting a surplus of approximately US\$ 1.9 billion, a remarkable turnaround from the US\$ 509 million deficit recorded at the end of 2024. The improvement was primarily fuelled by robust earnings from tourism and worker remittances, despite elevated import spending linked to vehicle imports during the year.

SIGNIFICANT RISKS IN 2025

Macroeconomy

The World Bank, in its Sri Lanka Development Update of April 2025, noted that while fiscal and external buffers are gradually being rebuilt, downside risks remain significant. Sri Lanka also faces rising vulnerabilities stemming from slowing global growth, elevated global interest rates, and unprecedented trade policy uncertainty. These factors could constrain capital inflows, dampen investment, and weaken export demand. Moreover, despite emerging signs of economic recovery, regressive indirect taxes could further worsen the country's poverty outlook.

Cyclone Ditwah, which struck Sri Lanka on 28th November 2025, caused extensive damage across the country and slowed the island's ongoing economic recovery. The cyclone caused widespread destruction and placed renewed pressure on public finances, with substantial resources required for emergency relief, support for displaced households, and the restoration of critical infrastructure. Disruptions to agriculture and export-oriented manufacturing were significant, as flooding and power shortages constrained production capacity and delayed shipments, particularly in key sectors such as textiles and garments. Domestic food supply was also adversely affected, with losses in cultivation areas and impairments to harvesting, storage, and distribution systems tightening availability across essential food categories. These developments have increased short-term import demand for food and reconstruction materials, while weighing on export earnings, thereby exerting further strain on the trade balance. Collectively, these impacts posed a significant shock to Sri Lanka's economic outlook, with implications for near-term growth, inflation, and fiscal stability.

Geopolitical risks

As a net importer of oil and liquefied petroleum gas (LPG), Sri Lanka remained heavily exposed to fluctuations in global energy-prices and exchange-rate dynamics in 2025. This also made the country's trade balance vulnerable. Meanwhile, the US imposed a 20% import tariff on Sri Lankan exports, effective August 2025, which may reduce access to the country's exports to the US market and could also result in job losses. In addition, any loss of the GSP+ status or tightening of EU trade rules could also negatively impact export earnings in the future. In 2025, Sri Lanka also continued to experience backlash from the continued Russia-Ukraine war and intermittent unrest in the Middle East, in the form of indirect economic pressures from global market volatility.

Credit risk

Credit risk in the banking sector showed a notable improvement in 2025, with progress evident across key indicators. Credit growth rebounded significantly during the year, registering a year-on-year increase of 17% (September 2025) in banks and financial institutions, supported by expansionary monetary policy, improved liquidity, the expansion of economic activity, and renewed business confidence. As of 30 September 2025, the overall banking sector Stage 3 loans ratio declined to 11.0% from 12.6% a year earlier, reflecting a modest improvement in asset quality, while the Stage 3 impairment coverage ratio increased to 55.5%, signalling stronger provisioning buffers.

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Climate related financial risks

Climate-related risks emerged as a critical challenge for the Sri Lankan economy and financial sector in 2025. Extreme weather events, particularly Cyclone Ditwah, highlighted the vulnerability of key economic sectors and their cascading impact on credit portfolios, liquidity, and operational resilience. The cyclone resulted in significant sectoral disruptions across agriculture, tourism, and infrastructure, thereby elevating credit risk within the affected portfolios. SMEs especially in the agricultural sector experienced considerable damage to tea plantations and paddy cultivation in certain regions, while tourism activities in parts of the country were also impacted during the peak season, leading to reduced foreign currency inflows and borrower repayment capacity. Infrastructure damage also disrupted SME operations in the impacted areas. In response, the Bank has provided targeted concessions, including capital and interest moratoriums, to support affected borrowers. The Bank also recognised the immediate impact arising from the affected lending portfolio through appropriate staging and impairment adjustments during the current financial year. Additionally, a management overlay was applied to capture any potential impact on the lending portfolios, reflecting a prudent and forward-looking risk assessment approach.

Beyond immediate physical risks, Sri Lanka faces intensifying floods, droughts, and heatwaves that could undermine long-term economic stability, while transition risks from regulatory and market shifts toward a low-carbon economy require portfolio realignment. With a large portion of the population lacking adaptive capacity, systemic risks amplify credit exposure across sectors. For HNB, this translates into heightened vulnerability in agriculture and plantation lending, tourism and hospitality, SMEs, and infrastructure finance. In

response, HNB has strengthened its risk management framework by integrating climate risk assessment into credit appraisal, adopting PCAF methodologies for financed emissions measurement and disclosure, expanding green finance products and disaster recovery support, and aligning with the CBSL Sustainable Finance Roadmap and the National Climate Finance Strategy to promote resilience and sustainability.

Cyber and Information Security Risk

Cybersecurity has emerged as a significant risk for Sri Lankan banks. The increased adoption of online banking, mobile payments, and cloud-based services has expanded the sector's exposure to cyber threats. Key risks include phishing scams, ransomware, advanced persistent threats (APTs), and supply chain attacks, all of which can compromise the confidentiality, integrity, and availability of critical systems and customer data. The rise of digital identity fraud and social engineering targeting both customers and employees further amplifies these vulnerabilities.

To address these challenges, banks are investing in advanced security technologies, including AI-driven threat detection, zero-trust architectures, and encryption protocols, while also enhancing employee awareness and customer education programmes. Looking ahead, the growing integration of digital ecosystems and real-time payment platforms will necessitate cybersecurity strategies that increasingly leverage predictive analytics, quantum-safe encryption, and collaborative threat intelligence to counter evolving threats.

IT-Related Risk

The rapid digital transformation in Sri Lanka's banking sector has significantly increased reliance on complex IT systems and digital platforms. While these advancements enhance operational

efficiency and customer convenience, they also introduce vulnerabilities, including system failures, outages, and integration errors. Unplanned disruptions can impair service delivery, result in financial losses, and damage institutional reputation. The growing adoption of cloud computing, API-driven integrations, and third-party fintech partnerships adds further complexity, emphasising the need for robust IT governance, resilience planning, and continuous monitoring to ensure uninterrupted operations.

Looking ahead, emerging technologies such as artificial intelligence (AI), blockchain, and open banking frameworks are expected to further reshape IT landscapes, requiring banks to invest in adaptive architectures and advanced automation to maintain operational resilience and scalability.

Rising trend in fraud and scams

With the growing adoption of online banking and electronic payment systems, Sri Lanka continued to face an elevated risk of financial fraud in 2025. In addition, the persistent financial pressures on individuals, driven by the rising cost of living, contributed to heightened vulnerability to theft and fraudulent activities. These developments underscore the need for enhanced fraud detection mechanisms, robust internal controls, and heightened awareness among customers and employees.

Liquidity Risk

In 2025, the Bank's liquidity risk profile reflected continued resilience amid the Country's gradual economic stabilisation following debt restructuring and fiscal reforms. Liquidity levels remained comfortable, supported by surplus market liquidity and prudent balance sheet management. The Bank's investments in International sovereign Bonds (ISBs) stood at Rs 87.3 Bn, with impairment provisions significantly reduced to Rs 1.35 Bn, following the external debt restructuring. Treasury Bill holdings moderated to Rs 372.41 Bn from Rs 453.1 Bn in 2024, while Treasury Bond investments were maintained at Rs 266.83 Bn, reflecting a balanced approach to sovereign exposure. Despite ongoing challenges in the domestic economy, the Bank continued to maintain excess capital and liquidity buffers, ensuring regulatory compliance and safeguarding depositor confidence.

	Investments			Impairment		
	As at Dec 2025 Rs (Bn)	As at Dec 2024 Rs (Bn)	As at Dec 2023 Rs (Bn)	As at Dec 2025 Rs (Bn)	As at Dec 2024 Rs (Bn)	As at Dec 2023 Rs (Bn)
Bank's investments in ISBs*	87.3	123.0	196.3	1.35	1.6	102.1
Bank's investments in TBills	372.4	453.1	474.1	Nil	Nil	Nil
Bank's investments in TBonds	266.8	277.5	155.3	Nil	Nil	Nil

*Based on prevailing exchange rate during the corresponding dates

RISK & CAPITAL REVIEWS

Managing the Material Risks

All risks noted as material are continually measured and monitored to ensure operational stability and sustainability.

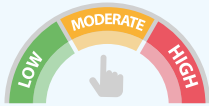
Figure 1: Material Risks

	CREDIT RISK	OPERATIONAL RISK	INFORMATION & CYBER RISK
Definition of the risk	This risk refers to losses due to one, or more, counterparties failing to meet all, or part, of their contractual obligations towards the Bank in accordance with agreed terms. This risk includes » Default risk » Counterparty risk » Concentration risk » Residual risk » Recovery risk	The risk of loss due to inadequate, or failed internal processes, people, or systems or from external events. This definition includes Legal Risk but excludes Strategic and Reputational Risk. Operational Risk Components; » Compliance Risk » Legal Risk » Financial Crimes Risk » Technology Risk » Information & Cyber Risk » Business Continuity Management » Conduct Risk	Risk of financial loss, or disruption or damage to the reputation of the Bank from information by unintended parties and unauthorised access to our systems or data/information. This risk also arises from the failure of the Bank's Information Technology systems services due to unauthorised modifications. Components of Cyber Risk; » Information Risk » Cyber Risk » Financial Crime Risk » Technology Risk
Risk drivers	Drivers of this risk includes the current economic landscape, concentration of portfolio by product, business sector, geography etc, rigour of credit evaluation and monitoring processes, the Bank's credit risk appetite, internal risk goals and tolerance level, and expectation on government concessions to postpone repayment.	Day-to-day operations and external events.	The integration of Information Technology into all aspects of Banking operations which facilitate convenience, scalability and capability but also makes the Bank vulnerable to unauthorised access to systems and information assets.
How the Risk is measured	The risk is measured based on credit exposure, Probability of Default (PD), expected losses, Loss Given Default (LGD) and recovery rates. Stage 3 ratio, stress testing on concentration, large Borrower default, increase in provision etc. Additional capital under pillar 2 risk is assessed by Internal Capital Adequacy Assessment Process (ICAAP), as per Basel III.	Measured using operational losses, loss events/near misses, key risk indicators, overall risk grid matrix, risk ranking and prioritising, risk heat map. Capital is allocated under Capital Adequacy Ratio (CAR) as per Basel III.	Cyber Risk loss limits and Cyber Risk Matrix, Hacking, Phishing, Malware attack attempts for a month are measured to track this risk factor continuously.

LIQUIDITY RISK	MARKET RISK	STRATEGIC RISK	REPUTATION RISK	CLIMATE RISK
This refers to the risk that the Bank is unable to meet its debt obligations or having to meet these obligations at excessive cost.	Market risk refers to the potential for losses in financial instruments or portfolios due to fluctuations in market conditions, such as changes in interest rates, exchange rates, and commodity prices. It encompasses the uncertainty that arises from various economic factors, impacting the value of investments in the financial markets.	The Strategic Risk is the uncertainties inherent in executing strategic objectives.	Refers to potential losses from damages to reputation.	Climate risk refers to potential financial loss or operational disruption arising from climate-related events and regulatory transitions. It includes: » Physical Risk: Losses from extreme weather events (floods, droughts, storms) impacting borrowers' repayment capacity and asset values. » Transition Risk: Risks from policy, legal, technology, and market changes during the shift to a low-carbon economy.
Arises from the risk of Debt Restructure, as well as mismatches in cash flow from potential short-term cash demand, the Bank's own borrowing activity, trading activities and counterparty interactions.	Arises from adverse fluctuations in the market interest rates, exchange rates and equity prices. Components of Market Risk; » Interest Rate Risk » Foreign Exchange Risk » Equity Price Risk » Commodity Price Risk	Arises from external developments in Technology, Products and Business Models.	Arises from events that could adversely impact public perception of the Bank as a responsible corporate citizen.	» Increased frequency and severity of extreme weather events. » Regulatory changes (e.g., SLFRS S1 & S2 standards, effective January 2025) » Investor and stakeholder demand for ESG compliance. » Exposure to carbon-intensive sectors and projects. » Global and local climate policies impacting business models.
A range of metrics are being used by the Bank including regulatory limits such as the LCR, internal models and balance sheet-based measures and Stress Testing on Interest Rate Sensitivity, Probabilistic Analysis and NII analysis to measure this risk.	Measured using Value at Risk, Sensitivity Analysis and Stress Testing on open positions, mark to market on daily basis to identify the trading book position. Capital is allocated under CAR as per Basel III.	Measured using a scorecard approach to quantify strategic risk under the Basel III Pillar 2 calculation.	Measured using a scorecard approach by assessing underlying risk drivers of Reputational Risk due to qualitative nature of the risk.	» Climate Risk Score Cards (Both physical and transitional risks). » Climate Risk reviews for Portfolio exposure to climate-sensitive sectors. » Assessment of financed emissions to measure exposure towards traditional risks. » Climate risk indicators (natural disasters) integrated into Internal Risk Rating (IRR) models.

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	CREDIT RISK	OPERATIONAL RISK	INFORMATION & CYBER RISK	
How the risk is monitored	Continuous monitoring is conducted via the Credit Risk vertical using the Credit Risk Dashboard which provides metrics on several parameters including analysis of arrears, collateral, concentration etc. that are submitted to BIRMC, BCC and executive committees.	Monitored through the Bank's Operational Risk Management vertical under the guidance of ORSC with input from business units through risk and control self-assessments. Operational risk monthly dashboards are submitted to ERM, BIRMC and Board.	The Bank conducts security risk reviews/assessments on regular basis to ensure business processes are in line with guidelines. IT and Cyber-Risk dashboards are presented to BIRMC and ERM monthly by the Information and Cyber Security Risk vertical, monitoring of privileged user activities and changes are carried out on a periodic basis and reported to BIRMC.	
How the risk is managed	A Credit Risk Management Policy and monitoring mechanism is available to manage this risk.	Managed through a sound Operational Risk Management Framework by the Operational Risk Steering Committee (ORSC) with the participation of all business/support units. A comprehensive Business Continuity Plan (BCP) is also available.	The Bank has in place an action plan for digital resilience and awareness and also has business continuity plans. In addition, physical controls, technical and logical access and administrative controls, independent L2 & L3 verifications by Risk and Audit are used to manage the risk.	
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LIQUIDITY RISK	MARKET RISK	STRATEGIC RISK	REPUTATION RISK	CLIMATE RISK
Regular monitoring by the ALCO, Board subcommittee and Treasury Middle Office (TMO) using a matrix of regulatory and prudential limits and gaps using both stock and flow approaches. The dashboards are submitted to ALCO and BIRMC and the Board.	Monitored by the ALCO using market risk dashboards supported by an independent TMO, which reports to the CRO. Internal and regulatory limits and exceptions are immediately reported to ALCO.	The Integrated Risk Management Unit monitors this risk through a scorecard and is evaluated for any additional capital requirement through the ICAAP submission to the Board annually.	Monitored by the Integrated Risk Management Unit using a scorecard and evaluated for any additional capital requirements through the ICAAP submission to the Board annually.	» Sustainability Management Committee oversight. » Review identified climate related risk and opportunities by BIRMC and ERM. » Monitoring compliance with the CBSL Sustainable Finance Roadmap. » Tracking progress on green financing and ESG targets.
A strong Liquidity Risk Management Framework is in place which includes contingency plans.	The Treasury Department overlooks this risk using diversification and hedging strategies.	The Corporate Management and Board are involved in managing this risk.	The Bank sets the tone at the top and reinforces its core values and purpose.	» Integration of climate risk into credit evaluation and ICAAP. » Development of green financing products and incentives. » Enhanced due diligence for climate-sensitive projects. » Alignment with national climate strategy and CBSL guidelines. » Training staff on ESG and climate risk management.
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Enterprise Risk Governance

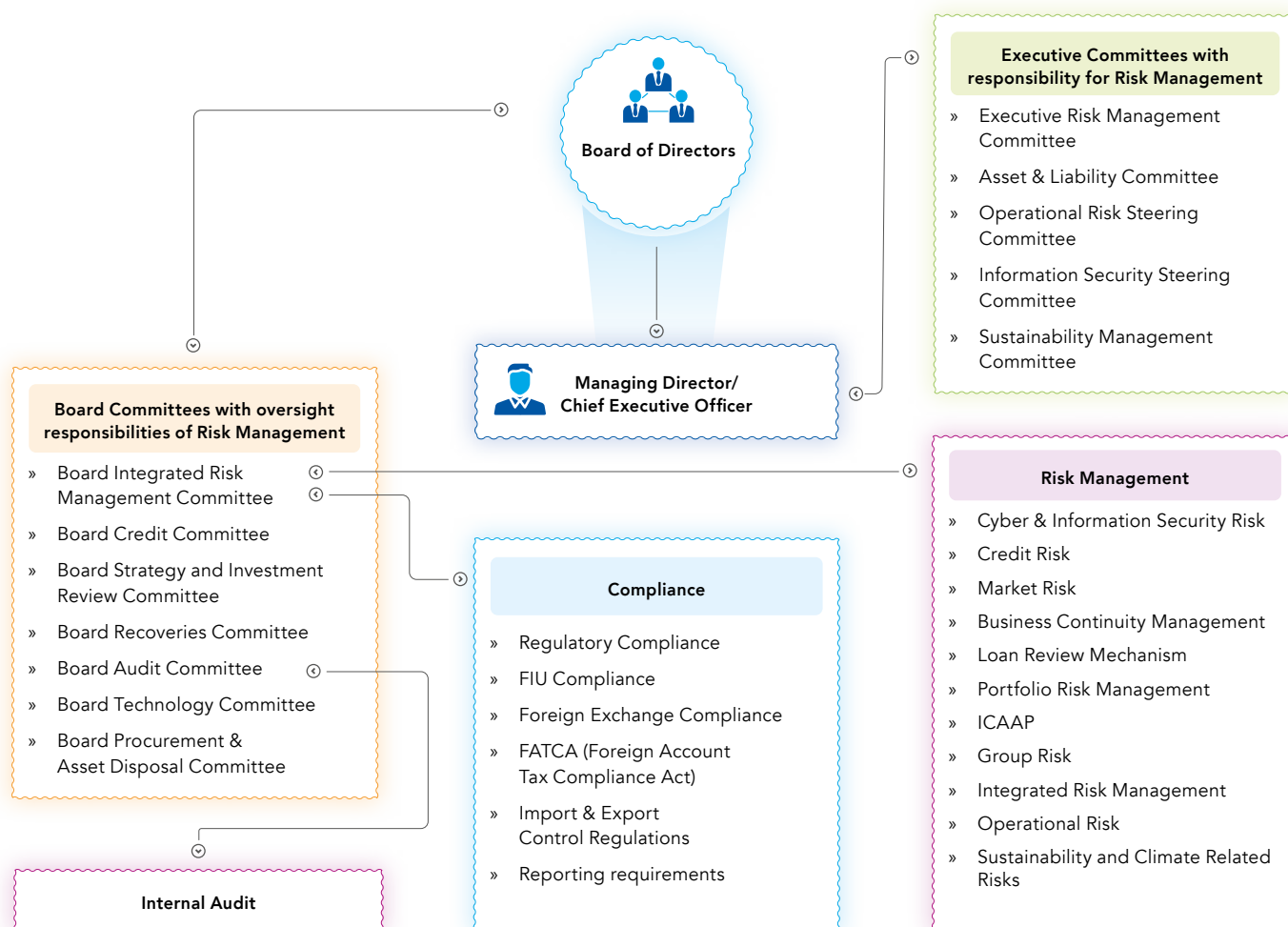
The Board is ultimately responsible for managing the Bank's risks and is assisted by the Board Integrated Risk Management Committee (BIRMC) and other Board sub committees. In addition, the executive functional units of the Bank are also held responsible for the effective implementation of the risk management strategies that have been approved by the Board. Expertise from executive committees consisting of corporate and senior management teams also contribute towards managing risks.

Three Lines of Defence

The 'Three Lines of Defence' model has been adopted to ensure the risk management initiatives of the Bank is in line with best industry practises.



Figure 2: Risk Governance Structure of the Bank



Roles & Responsibilities of Committees in Relation to Risk Management

Figure 3: Roles & Responsibilities of Committees in Relation to Risk Management

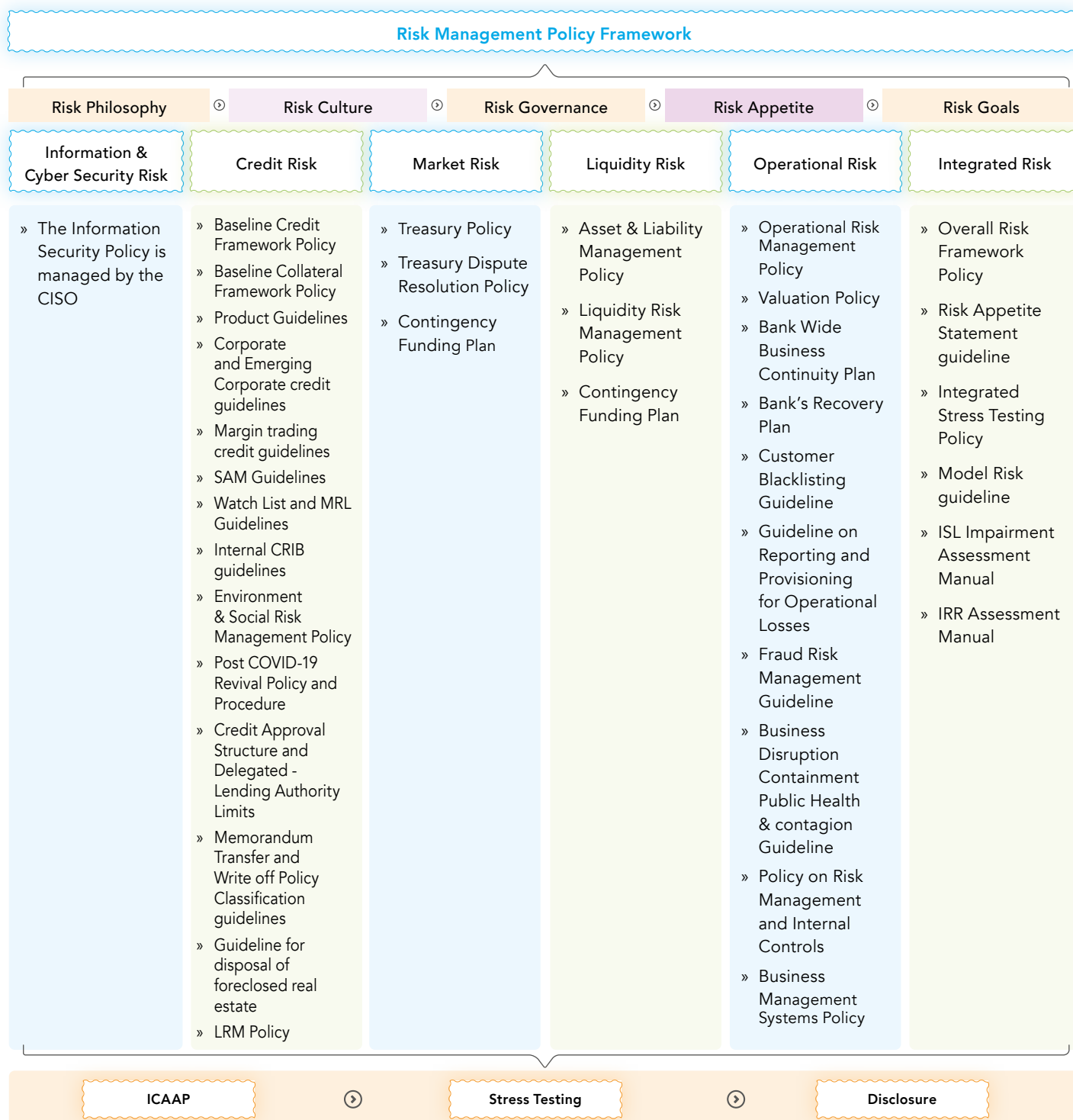
Board Committees	Role of Committees in Relation to Risk Management	Executive Committees	Role of Committees in Relation to Risk Management
Board Integrated Risk Management Committee (BIRMC)	Maintains oversight of Risk Management and makes recommendations to the Board on developing and implementing Risk Management Policies, setting the Bank's Risk Appetite and monitoring material risks of the Bank through risk dashboards. The Chief Risk Officer and Chief Compliance Officer have a direct technical reporting line to the BIRMC.	Executive Risk Management Committee (ERMC)	Chaired by MD/CEO and comprising heads of key business lines and operating units of the Bank, the ERMC is the apex executive committee for risk management and supports BIRMC and BCC in effective implementation of the risk policy.
Board Credit Committee (BCC)	Approves credit proposals above a specified exposure threshold. Reviews the credit risk dashboards and makes recommendations on areas including credit limits, sector-wise exposure, sector risks, or any other related areas concerning Credit Risk Management policies and processes.	Asset & Liability Committee (ALCO)	The ALCO plays a key role in managing liquidity risk and financial stability of the Bank. It reviews liquidity forecasts to manage gaps, adequacy of contingency funding plans and stress testing results in achieving its objectives. The Committee also determines the ideal structure of the Bank's balance sheet to provide the optimal profitability while minimising potential risks.
Board Recoveries Committee (BRC)	Is responsible for overlooking of recoveries of Stage 3 advances and to strengthen the delinquent loan recovery function of the Bank.	Operational Risk Steering Committee (ORSC)	Chaired by the EVP/Chief Risk Officer and comprising the Heads of Operations, Audit, Compliance, IT, HR and Network Management, the Committee is responsible for assessing operational processes and internal controls to minimise operational losses and to instil a compliance culture amongst staff.
Board Audit Committee (BAC)	Responsible for financial reporting risk and internal controls. The Bank's Chief Internal Auditor reports directly to the BAC. This Committee plays a key role in the implementation of the Bank's risk management and compliance policy by monitoring key controls.	Information Security Committee (ISC)	Responsible for reviewing and making recommendations on Bank wide information security and cyber security, the ISC is chaired by MD/CEO and comprises of representatives from corporate business, IT, Audit, Compliance and support functions.
Board Strategy and Investment Review Committee	Responsible for setting the overall business strategy of the Bank and ensures there is a congruence in the Bank's strategic direction, goals and KPIs and the Board's Risk Appetite.	Sustainability Management Committee	Highest-level Committee on matters related to Sustainability affairs. This ensures the Bank integrates sustainability into its strategy by formulating and implement ESG policies, monitoring compliance with regulatory norms, and guiding departments on sustainability decisions. The Sustainability Management Committee will assume advisory and monitoring responsibilities in 2025, previously managed by the Sustainability foundation until end 2024.
Board Technology Committee (BTC)	Support the Board in overseeing and guiding the Bank's technology direction, infrastructure, platforms, cybersecurity, talent, vendor relationships, and alignment with strategic innovation goals. Furthermore, the Committee is also responsible for developing relevant technology-related policies and frameworks to ensure that the Bank remains secure, agile, and competitive in a rapidly evolving environment, which is the ultimate expectation of the Board.		
Board Procurement & Asset Disposal Committee	Responsible for assessing proposals for procurement or disposal of assets/properties of the Bank and ensures transparency in procurement/disposal processes and good practices.		

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Risk Management Policy Framework

The Bank's Risk Policy stems from the Bank's risk philosophy which is to maximise value creation for all stakeholders. The Risk Framework Policy is approved by the Board and provides guidance to the management on implementing processes within the Bank. The primary objective of the Bank's Risk Management Policy Framework is to effectively identify, measure, manage, monitor and control risks faced by the Bank and to determine its Risk Appetite in line with the overall business strategy of the Bank.

Figure 4: Risk Management Policy Framework



Risk Culture

The risk culture of the Bank is a fundamental component shaping its approach to identifying, assessing, and managing risks inherent in banking and financial activities. It encompasses the shared values, beliefs, and behaviours within the Bank that collectively influences how risks are perceived, communicated, and integrated into decision-making processes. In the dynamic landscape of the banking industry, a robust risk culture is not merely a regulatory necessity but a strategic imperative for ensuring the long-term resilience and success of the Bank.

Figure 5: Key Determinants of Risk Culture

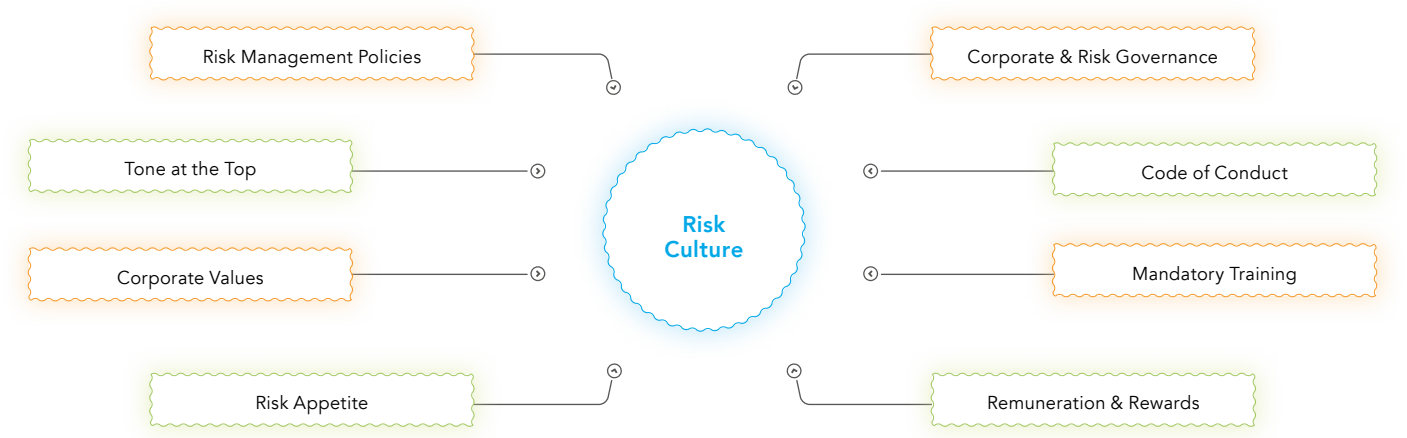
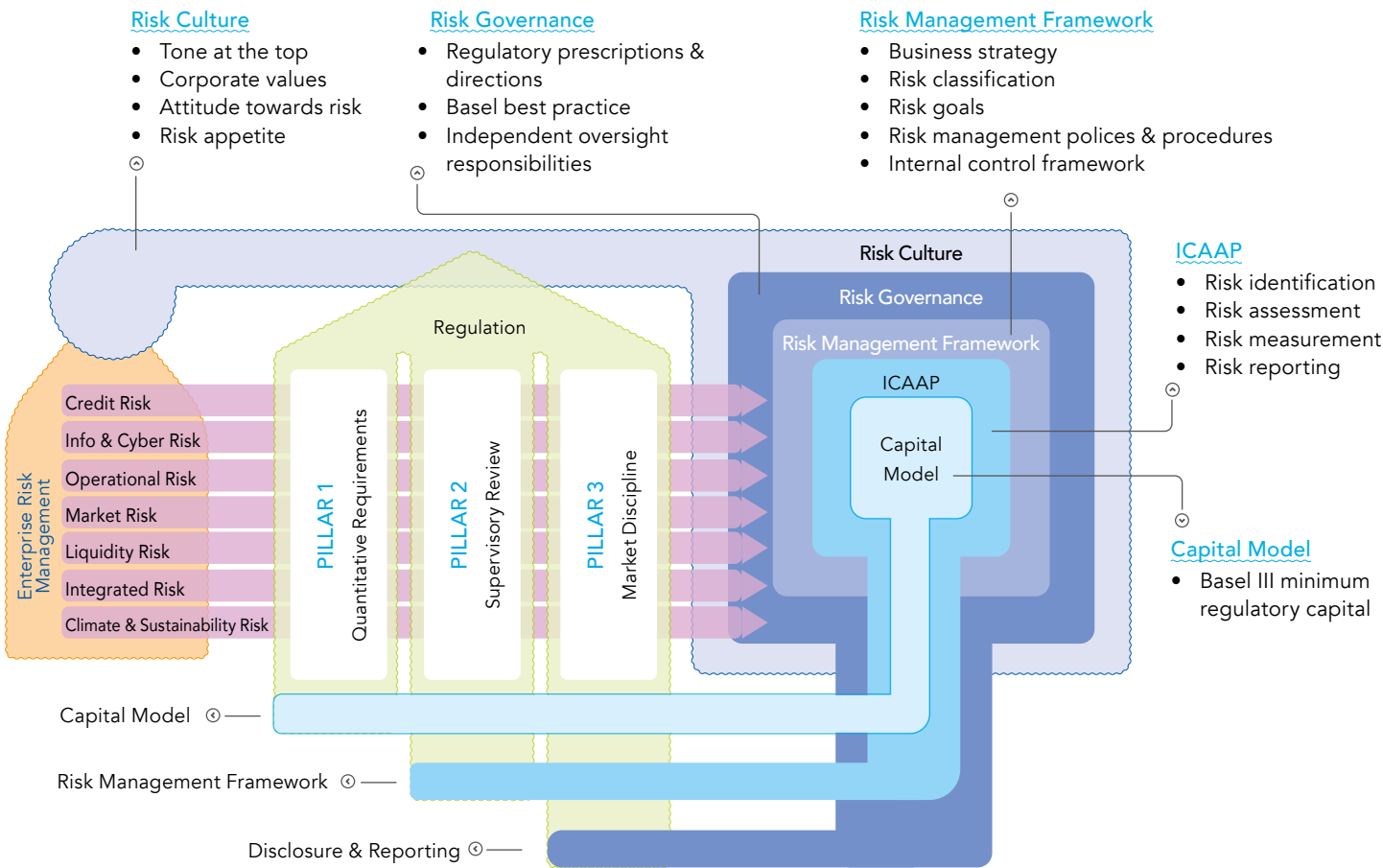


Figure 6: HNB Philosophy in Managing Risk



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Risk appetite

The Bank's Risk Appetite Statement instils targets for a number of criteria such as capital adequacy, profitability and efficiency, concentration limits, liquidity positioning and limits for other risk types.

The objectives of the Bank's Risk Appetite Framework (RAF) are as follows:

- » Links the Bank's business strategy, products and processes with associated risk levels
- » Design Risk Appetite and thresholds in line with the Risk Management Framework of the Bank
- » Enable the Senior Management and the Board of Directors (BOD) to effectively monitor the material risks across various business units of the Bank, and take corrective action, as and when required
- » Compliance to regulatory principles on Risk Appetite requirements

Stress testing

The primary objective of Stress Testing is to assess the impact of adverse scenarios on the Bank's Capital Adequacy Ratio (CAR), profitability and liquidity. Appropriate stress scenario development methodologies applicable to each risk area are clearly specified and key macroeconomic factors impacting the Bank are identified to support this process. To ensure the effectiveness of the process, the Bank's stress testing system complies with CBSL guidelines and the Basel Committee and encompasses all significant and high impact risk areas of the Bank. The outcome of stress tests is communicated to the BIRMC and to the Board.

Group Risk

To sustain stringent Risk Management across the Group, the Bank's four direct subsidiaries are overlooked by the Integrated Risk Management division for regular review and continuous supervision, while senior Bank officials are members of the Boards of subsidiaries ensuring a high level of knowledge of the risk management activities of the subsidiaries. The two insurance subsidiaries and HNB Finance

PLC have dedicated risk management units, which regularly liaise with the Bank's Integrated Risk Management (IRM) division. The IRM division also receives the Regulatory Inspection Reports and Management Letters of the Group entities to ascertain potential areas of risk concern and to follow up on agreed remedial action to strengthen the Risk Management environment of Group companies.

In addition, some of the subsidiaries are also subject to external regulatory monitoring with two direct subsidiaries, which are public listed companies, complying with the regulatory reporting requirements of the Colombo Stock Exchange (i.e HNB Assurance PLC and HNB Finance PLC). HNB Assurance PLC and HNB General Insurance Ltd., come under the regulations of the Insurance Regulatory Commission of Sri Lanka, while HNB Finance PLC is regulated by CBSL.

Strengthening risk management in 2025

As the macro environment continued to evolve and correct itself from the previous economic-crisis environment towards a more stable risk environment, the Bank remained vigilant towards any further economic shocks that could impact the financial sector and its operations by continually monitoring external operating environment dynamics. As a core component of risk preparedness, the Bank continued to invest in strengthening and upgrading its technologies for risk monitoring and assessment. All statutory reports such as the ICAAP report were submitted on time to the regulator maintaining an uncompromising level of compliance at all times.

Figure 7: Strengthening Risk Management in 2025

Integrated Risk Management

- » The Bank undertook a comprehensive review of its Internal Capital Adequacy Assessment Process (ICAAP) to ensure that capital levels remained well above the minimum regulatory thresholds. The review incorporated rigorous stress testing across multiple dimensions, including asset quality deterioration, market volatility, exposure to government securities, and sectoral concentration risks. These assessments enabled the Bank to proactively identify vulnerabilities and reinforce its capital buffers accordingly. To further strengthen the robustness of the ICAAP framework, the Bank engaged an independent external consultant to evaluate the model's effectiveness.
- » The Bank's Risk Appetite Statement (RAS) was revisited in light of evolving macroeconomic and microeconomic conditions. This review ensured that the Bank's strategic objectives, financial budgets, and operational performance remained aligned with its defined risk appetite.
- » Targeted risk reviews were conducted across key sectors such as the Automobile industry, Animal feed production, and Elevated-risk industries. These reviews facilitated a deeper understanding of sector-specific risk dynamics and informed corrective actions to optimise the Bank's lending portfolio and mitigate potential credit losses.
- » A new Internal Risk Rating (IRR) assessment solution was successfully implemented covering Corporate, Emerging Corporate, SME, Micro SME, Project Finance, Financial Institutes and Micro Finance segments. This model enhances the Bank's ability to assess borrower creditworthiness with

greater precision and supports more informed credit decision-making across diverse business segments.

Credit Risk

- » The Bank's credit risk policies, which defines the Credit Risk Management process of the Bank's customer lending procedures and practices were reviewed in line with regulatory requirements and market conditions.
- » Credit guidelines for large corporates, emerging corporates, SMEs, credit cards, personal loans, home loans, educational loans, leasing, microfinance etc were reviewed, in line with the Bank's strategic growth plans, risk appetite and prevailing economic factors.
- » The Management Review List (MRL) and Watch List (WL) policies covering identifying, classifying and managing credit facilities which are of elevated risk were reviewed in line with the overall risk appetite of the Bank and regulatory requirements.
- » Quarterly credit risk bulletins were circulated to the Branch network covering matters relating to loan growth potential and credit risk challenges of industry sectors and customer segments, importance of identifying early warning signs of stressed customers and proactively restructuring and rescheduling such facilities, vehicles, project-based lending to SME Customers, with the aim of keeping credit underwriters informed of emerging developments.
- » Training and familiarisation sessions were conducted for business and credit approvers on the Bank's credit policies and guidelines, best practices and common lapses seen in credit underwriting of facilities as well as rescheduling/restructuring of facilities.
- » Credit Approval Structure was reviewed taking into account Stage 3 facilities,

Loan Review Management findings, regulatory changes and other emerging credit risks to the loan book.

Group Risk

- » The Bank reviewed policies and guidelines maintained by the Group companies for risk management and internal controls. Additionally, the reporting process and dashboards used by the Group companies were also reviewed to strengthen the monitoring and reporting process within the subsidiary companies.
- » Key risk exposures of each subsidiary were reviewed on a regular basis with follow-up on remedial actions taken to ensure that identified risks were effectively mitigated. This review process significantly strengthened the risk management environment across group companies, promoting a proactive approach to risk identification and resolution.

Operational Risk

- » Through social media platforms, SMS alerts and the Bank's branch network, the Bank enhanced public awareness of fraud and scams committed by individuals and well-organised groups using bank accounts. Additionally, suspicious transactions were monitored by the Compliance Department through the Anti Money Laundering (AML) system. The Bank has also strengthened evaluation procedures when onboarding customers.
- » Non-compliance with procedure controls by branches was addressed by the Operational Risk Unit through visiting branches, reviewing the operational standards, and conducting Operational Risk trainings. Familiarisation sessions and trainings were conducted to educate staff on operational standards and the importance of compliance with procedural controls.

- » The Operational Risk Unit visited branches to review their operational standards with regards to controls, security measures, BCP readiness and general banking operations. In addition, Operational Risk awareness was improved through familiarisation sessions and training programs conducted to educate staff on operational standards and the importance of compliance with procedural controls.
- » The business stakeholder units conducted frequent on-site visits as Level 1 (L1) reviewers and monitored the business operations outsourced by the respective business units. Additionally, as Level 2 (L2) reviewers, the Operational Risk Management Unit, together with the Compliance Department and the CISO Office, carried out visits to the outsourced service providers' business locations and reviewed their operations and controls to safeguard the Bank's interests and ensure proper handling of customer data. Outsourced service providers were also educated on the Financial Consumer Protection Regulations No. 01 of 2023.
- » The Bank's Operational Risk Management Policy was reviewed to ensure that it is aligned to the Bank's operations, best practices and emerging risks and threats. Branch and regional level training sessions were conducted to raise awareness of operational policies and controls among staff members.
- » Operational controls were introduced and monitored through risk and control self-assessments (RCSA) to address emergent risks arising from operational process changes. This process encompassed all Head Office departments, as well as the branch network and regional offices.
- » The consultancy services of M/s Ernst and Young was obtained to ensure that

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the HNB's overall business continuity processes are all aligned with the ISO 22301 standards. This encompassed reviewing all BCP processes of the Bank for improvements. Subsequently, Bureau Veritas carried out the ISO certification audit and the Bank was awarded with the ISO 22301 certificate.

Portfolio Risk Management

- » Lending portfolios were frequently risk reviewed for credit quality, proper classifications, provisioning under SLFRS-9, credit concentration including compliance to the risk appetite levels of the Bank.
 - » The Individually Significant Loan (ISL) impairment assessment solution (i-SLAP) was upgraded with new features to address regulatory and audit requirements, as well as evolving business needs. Additionally, the system has been enhanced to deliver an improved user experience and a more intuitive impairment assessment framework
 - » Strengthened L2 review mechanism for specific lending portfolios i.e. Margin Trading portfolio, Overdraft portfolio etc. to ensure adherence and compliance with the Bank's Credit policies.
 - » Conducted series of training sessions across business divisions and branch network to enhance knowledge on 'Classification, Recognition and Measurement of credit facilities based on SLFRS 9 ECL Approach.
- » Semi-annual stress tests were conducted based on the Bank's Liquidity Coverage Ratio (LCR) to evaluate the potential effects of various liquidity crisis scenarios. These exercises provided a comprehensive understanding of the Bank's resilience under stress, enabling the formulation of strategic responses to address potential liquidity shortfalls and mitigate potential adverse outcomes.
 - » Biannual and interim country limit reviews were carried out to assess the Bank's exposure across foreign jurisdictions. These evaluations included treasury counterparty limits, counter-guarantee limits, export bill limits, Nostro balances, foreign bond investments, and foreign loan facilities. Limits were allocated based on the Bank's core capital, ensuring prudent country-specific risk management in response to growing foreign credit exposure.
 - » Periodic macroeconomic reviews were conducted to analyse key indicators of economic health and debt sustainability. Findings were presented to the Board Integrated Risk Management Committee (BIRMC) to support strategic decision-making and enhance the Bank's preparedness for potential economic disruptions, including the risk of a secondary debt restructuring.
 - » Scenario-based impact analysis on Bank's capital base was performed on the possible hair cut on Bank's investment in USD denominated bonds, USD deposit run, LKR deposit run and immediate demand of FC funding lines. Mitigation strategies were identified to minimise a potential financial impact and preserve capital adequacy.

Market Risk

- » Treasury limits were reviewed with increased frequency to evaluate the impact of evolving micro and macroeconomic factors on treasury counterparties, portfolio concentrations and overall treasury operations. The Bank's liquidity and funding requirements were also assessed

periodically to ensure alignment with market dynamics and internal risk appetite.

Loan Review Mechanism

- » Effectively monitored a sample of 30% of the credit portfolio to identify credit weaknesses that required corrective action. By identifying and addressing weaknesses in the loan underwriting and administrative approval and workflows, LRM reviews helped improve overall loan performance and reduced the risk of losses. Further, these credit reviews identified opportunities to optimise lending practices and improve the efficiency of the loan origination process.
- » Enhanced post-loan disbursement reviews were conducted on the Advances Portfolio to ensure compliance with credit policies and guidelines. Observations and learnings were shared with business units and credit teams to ensure qualitative improvements in credit underwriting and credit administration processes.
- » As part of proactive risk management, loan reviews provided management and the Board with independent insights into the timely assessment of the overall health of the loan portfolio, enabling informed decisions on lending strategies and providing accurate and timely credit quality information for financial and regulatory reporting purposes.
- » Held quarterly discussions with the respective Corporate Management Team (CMT) members to implement corrective actions for improvement on LRM findings. Inputs received from each CMT member were highlighted with the LRM view and circulated to the respective members for further action.
- » The loan review team also reviewed underwriting and collateral files to assess underwriting, monitoring, and documentation practices. During file reviews, team members met with business units to discuss individual facilities.

- » The LRM Policy was reviewed and updated in line with internal lending guidelines and market/economic conditions to adjust credit underwriting standards appropriately to meet the Bank's current requirements.
- » Initiated the Risk Assessment Matrix to define risk levels on key findings in the loan review mechanism, assessing the severity and potential impact of identified observations on the loan portfolio.
- » A comprehensive e-learning module on LRM was hosted on Talent Space, HNB.
- » The LRM team visited branches twice a quarter to communicate best practices on credit guidelines and LRM findings, improving credit underwriting standards of SME Relationship Managers/Relationship Officers and staff engaged in Personal Financial Services and other lending products.
- » Conducted comprehensive training programs and awareness sessions for staff on LRM key findings to improve credit underwriting standards.
- » Issued quarterly Risk Bulletins for knowledge sharing and to improve credit underwriting standards, cultivating a strong credit culture within the Bank.

Information & Cyber Risk

- » Engaged an external security consultancy firm in implementing industry standards relate to Data privacy and Incident Management.
- » Perimeter Security and Mobile Application Security controls were enhanced to defend against latest security threats to the Bank.
- » Comprehensive Bank-wide information security risk assessments were conducted, encompassing technology infrastructure, business applications,

operational processes, and the branch network.

- » Periodic information security risk assessments were conducted for vendors and Outsourced Service Providers (OSPs) to identify potential cyber risk exposures and evaluate their impact on the Bank.
- » IT and cybersecurity assessments were carried out for technology projects both prior to and following implementation, to identify potential threats to the Bank and to establish appropriate risk mitigation controls.
- » Security measures to mitigate phishing risks were enhanced through customised employee training and simulated exercises incorporating diverse phishing scenarios.
- » Cybersecurity awareness among employees and customers was strengthened through a range of initiatives, including in-person and online training sessions, simulated exercises, e-flyers, posters, web notifications, and SMS communications.

Climate Risk

- » Strengthened the Environmental and Social Management System (ESMS) by reviewing policies and adding coal power generation to the exclusion list to minimise transition risks.
- » A climate risk scorecard was developed to assess both physical and transition risks across key sectors, including agriculture, tourism, power and energy generation, construction, and manufacturing.
- » Initiated financed emissions calculations to better understand transition risk exposure and enhanced the environmental and social evaluation process for corporate clients.

- » Commenced development of a statistical model to evaluate climate risk in the agriculture portfolio, initially focusing on lending to the paddy sector.
- » Issued a sustainability bond, reinforcing the organisation's commitment to climate resilience and responsible banking.

RISK & CAPITAL REVIEWS

PLANNED INITIATIVES TO STRENGTHEN RISK MANAGEMENT IN 2026

Figure 8: Planned Initiatives to Strengthen Risk Management In 2026

Integrated Risk Management (IRM)

- » The Bank plans to intensify its industry risk review efforts with a dual objective: identifying emerging business opportunities and strategically exiting sectors exhibiting elevated risk profiles. These reviews are expected to refine sectoral exposures, enhance portfolio quality, and support informed lending decisions aligned with the Bank's long-term risk appetite.
- » Recognising the growing importance of cross-border financial activities, the Bank will initiate a comprehensive country risk assessment review. These reviews are intended to evaluate geopolitical, economic, and regulatory risks associated with international exposures. The insights gained are expected to guide prudent lending strategies, safeguard asset quality, and strengthen financial stability while enabling exploration of new international growth opportunities.
- » To ensure the continued effectiveness of the newly implemented Internal Risk Rating model, the Bank will conduct a structured back-testing exercise. This initiative is aimed at validating the model's accuracy and making necessary adjustments to improve its ability to generate reliable IRRs across all lending segments.

Credit Risk

- » Bank continues to work closely with impacted customers to gain a clear understanding of their business challenges and cash flow constraints. This enables the Bank to support their recovery by facilitating initiatives such as linking them with the supply chains of large corporates to expand

their customer base, offering digital solutions to enhance sales and collection channels, and providing advisory services. Where necessary, the Bank also undertakes restructuring of customer facilities at an early-stage, allowing borrowers to meet their financial obligations in line with their projected cash flows.

- » Develop predictive models to analyse the Bank's loan portfolios across business segments and products, enabling the identification of early warning signals of emerging portfolio stress.
- » Upgrade and integrate enhanced IRR assessment models across all business lines into their respective loan origination systems.
- » Enhance credit evaluation processes through the issuance of periodic guidelines that reflect anticipated economic and business environment changes, thereby minimising potential stress on the lending portfolio.
- » Conduct frequent familiarisation and training sessions for internal credit staff to strengthen credit underwriting standards and foster a culture of prudent risk management.
- » Carry out periodic reviews of industry sectors to identify vulnerable segments and classify them as 'Elevated Risk Industries'.

Group Risk

- » The Bank will continue to monitor the existing policies, processes, and controls maintained by the Group companies to strengthen the risk management framework. Recommendations will be provided for further improvements in line with regulatory guidelines.

- » Quarterly meetings will be scheduled at the senior executive level to assess the compliance of Group companies and to identify any issues or challenges that need to be addressed.

Operational Risk

- » Implementation of an advanced IT-based Operational Risk Management platform to replace existing manual risk assessment processes. This initiative is aimed at enhancing efficiency, accuracy, and timeliness in identifying, assessing, and mitigating operational risks. The automated system is expected to provide real-time risk monitoring, integrated reporting capabilities, and improved data analytics to support informed decision-making across all business units.
- » As part of strengthening the Bank's governance and risk management framework, the Bank is pursuing ISO 31000 certification. This globally recognised standard is intended to validate the robustness and effectiveness of the Bank's risk management processes, ensuring alignment with international best practices. Achieving this certification is expected to reinforce stakeholder confidence and demonstrate the Bank's commitment to maintaining a resilient, effective, and compliant risk culture.
- » To further enhance risk oversight, Bank will expand the scope of operational risk reviews and increasing the frequency and coverage of on-site visits. This initiative is expected to enable more comprehensive evaluations of operational risk exposures across branches and business units, ensuring a broader sample size for testing and validation. The expanded reviews are aimed at

proactively identifying emerging risks and strengthening the overall risk control environment.

- » The resilience of the Bank's BCP arrangements has been aligned with the ISO 22301 standard for Business Continuity Management Systems (BCMS). Continuous monitoring to maintain these standards are being carried out through periodic surveillance audits conducted by the certification authority, ensuring sustained compliance and operational readiness.

Loan Review Mechanism

- » Further expansion of scope under LRM will be implemented which will include risk assessing the restructuring and rescheduling of facilities that directly affect impairment outcomes, particularly where restructures or reschedules are carried out without evaluating actual cash-flow availability, resulting in indefinite tenor extensions and the evergreening of facilities.
- » Risk Bulletins will be issued quarterly to promote continuous knowledge sharing and strengthen credit underwriting standards, thereby fostering a strong and consistent credit culture across the Bank.
- » Comprehensive training programmes and awareness sessions with regards to LRM findings will be conducted for staff to enhance credit underwriting standards and support sound credit decision-making.

Information & Cyber Risk

- » Advanced web filtering and cloud security tools to be introduced to safeguard the Bank from modern Cyber threats and unauthorised access to online services.

- » Controls to prevent data leakage across various channels to be enhanced through the implementation of advanced detection and prevention technologies.

- » Scope of periodic information security risk assessments to be expanded to include a thorough evaluation of the Bank's applications and IT infrastructure, with the objective of reinforcing security controls and ensuring their continued effectiveness.

- » Independent security consultancy to be engaged to assess and validate the effectiveness of the Bank's Cybersecurity controls, ensuring alignment with industry best practices and identifying areas for improvement.

- » Staff and customer awareness on emerging security threats and vulnerabilities to be enhanced through targeted education initiatives, along with recommended mitigation strategies.

Market Risk

- » Review and recalibrate caps and limits on securities investments, with a focus on improving the measurement of foreign exchange and securities market volatility to support more dynamic risk management.
- » Reassess the Treasury activity limit framework in alignment with the Bank's 2026 strategic objectives, considering emerging risk factors, global economic headwinds, and the evolving implications of external debt restructuring.

and operational transparency in FX markets.

- » Engage an external consultant to validate and enhance the Bank's market risk models, improving the accuracy, reliability and regulatory compliance of risk measurement and reporting practices.
- » Launch targeted campaigns to attract LKR and USD deposits, strengthening the Bank's funding base and supporting liquidity resilience.

Climate Risk

- » In 2026, the Bank aims to further strengthen its climate risk management framework to align with emerging global standards and regulatory expectations. Key initiatives will include enhancing climate risk scorecards to improve the granularity and accuracy of risk assessments, conducting comprehensive climate scenario analyses to evaluate portfolio resilience under varying climate pathways, and advancing our Environmental and Social Management System (ESMS) by integrating a dedicated climate risk component into ESMS procedures. These measures will support the Bank to embed climate considerations more systematically into decision-making processes, ensuring robust risk mitigation and long-term sustainability.

RISK & CAPITAL REVIEWS

Integrated Risk Management & Capital Management

The IRM framework of the Bank has been structured in line with regulatory requirements as well as the Bank's strategic requirements, and is regularly reviewed to enable optimum risk-returns for the Bank through a systematic process of identifying, assessing and managing the multitude of risks faced by the Bank in its daily operations. Meanwhile, the Bank's capital management system is aimed at optimising the capital structure for maximum stability and growth, enabling efficient capital allocation, cost management, liquidity, regulatory compliance etc., to ensure the Bank's financial stability and resilience to external shocks. As a core component of risk management, the Bank's capital management process has been integrated into the IRM and plays a vital role in the sustained stability and profitability of the Bank.

Regulatory Capital

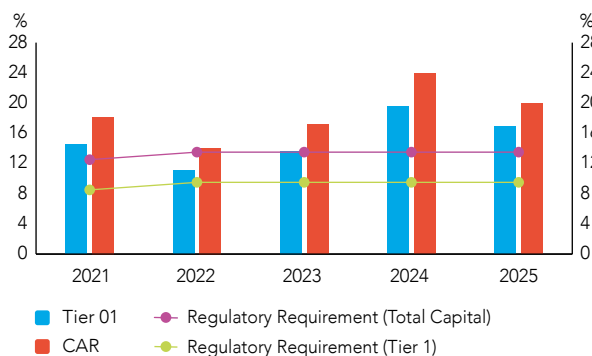
Figure 9 depicts the components of the Bank's capital in compliance with regulatory requirements on capital adequacy.

Figure 9 :Regulatory Capital Requirements

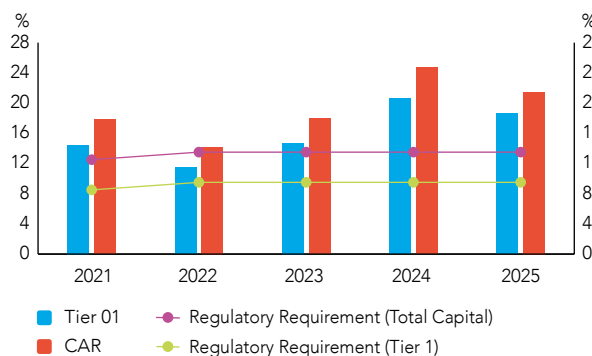
Components of Capital	Regulatory Requirement as at			Bank's Position as at		
	31.12.2025	31.12.2024	31.12.2023	31.12.2025	31.12.2024	31.12.2023
Common Equity Tier (CET) 1 ^(a)	8.00%	8.00%	8.00%	16.85%	19.59%	13.66%
Total Tier 1 ^(a)	9.50%	9.50%	9.50%	16.85%	19.59%	13.66%
Total Capital ^(a)	13.50%	13.50%	13.50%	19.95%	23.96%	17.13%

(a) Including Capital Conservation Buffer and Capital Surcharge on Domestic Systemically Important Banks

Capital Adequacy - Bank



Capital Adequacy - Group



Risk Weighted Assets

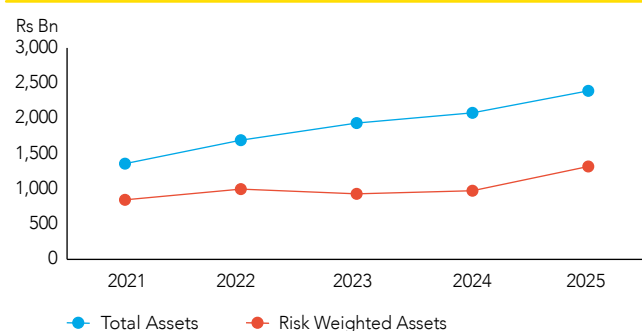
Capital requirements are measured as a percentage of Risk Weighted Assets which are calculated on the following basis as per CBSL direction No1 of 2016:

- » Credit Risk – The Standardised Approach
- » Market Risk – The Standardised Measurement Method
- » Operational Risk – Alternative Standardised Approach

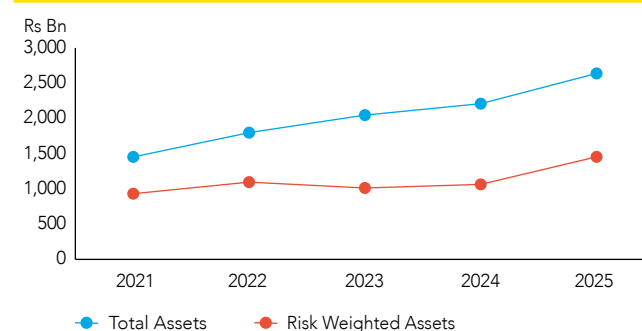
Figure 10: Risk Weighted Assets & Capital Charge

Item (Rs'000)	Bank				Group			
	Risk Weighted Assets		Capital Required		Risk Weighted Assets		Capital Required	
	2025	2024	2025	2024	2025	2024	2025	2024
Credit Risk	1,236,360,015	900,119,356	166,908,602	121,516,113	1,355,713,382	985,802,113	183,021,307	133,083,285
Market Risk	2,649,741	1,545,030	357,715	208,579	16,351,133	2,130,508	2,207,403	287,619
Operational Risk	78,928,622	72,220,824	10,655,364	9,749,811	83,364,447	75,708,579	11,254,200	10,220,658
Total	1,317,938,378	973,885,210	177,921,681	131,474,503	1,455,428,962	1,063,641,201	196,482,910	143,591,562

Total Assets Vs. Risk Weighted Assets - Bank

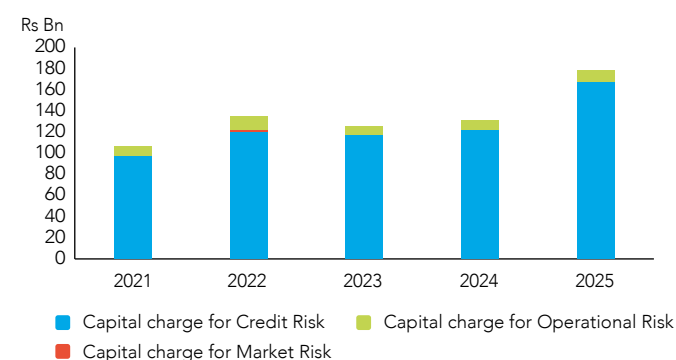


Total Assets Vs. Risk Weighted Assets - Group

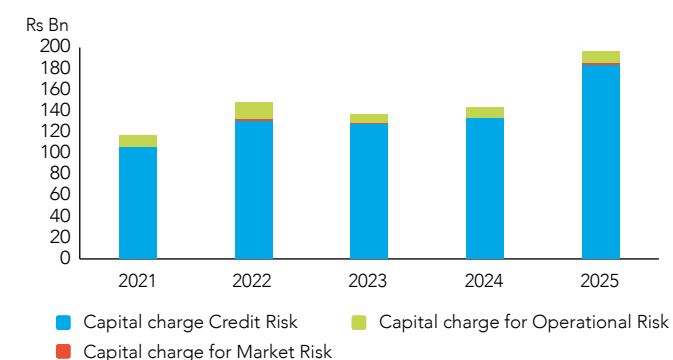


The Bank's RWAs increased from Rs 974 Bn in 2024 to Rs 1,318 Bn in 2025 by Rs 344 Bn. The difference between Total Assets and RWAs increased during the year to Rs 1,073 Bn.

Capital Charge for Risk - Bank



Capital Charge for Risk - Group



RISK & CAPITAL REVIEWS

Stress Testing

Comprehensive stress tests were conducted on the Bank's CAR for the highest risk indicator in each major risk category.

Figure 11: Stress Testing Results on a Moderate Stress Scenario

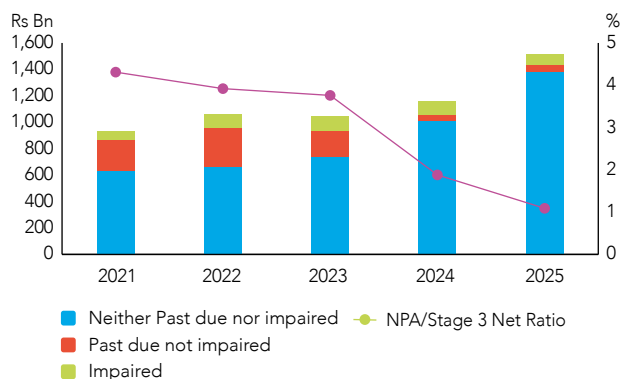
S.No	Particulars	Description	Impact on CAR as at 30.06.2025		
			Minor	Moderate	Major
1	Stage 3 Stress	Increase in the Stage 3 ratio for different portfolios and thereby increase in provisions	✓		
2	Credit Risk - Asset Downgrade	Increasing the direct non-performing facilities over the direct performing facilities balance for the entire portfolio	✓		
3	Credit Concentration Risk - Large Borrowers Default	Default of the higher borrowers by classifying the credit granted to them as non-performing (Sub-Standard)		✓	
4	Credit Concentration Risk - HHI	% Increase in HHI under stress	✓		
5	IFRS Stage Modelling Errors	This scenario assumes that due to model errors the existing ECL is undermined and hence applies increase in the existing provision %	✓		
6	Operational Losses	Increase in operational losses in the stress scenario leading to higher capital requirements	✓		
7	IRRBB EAR and EVE (LKR)	To assess the long-term impact of changes in interest rates on Bank's Economic Value of Equity (EVE) through changes in the Economic Value of its assets and liabilities and to assess the immediate impact of changes in interest rates on Bank's earnings through changes in its Net Interest Income (NII)		✓	
8	Foreign Exchange Risk	% shock in the LKR exchange rate against all other currencies	✓		
9	Liquidity Risk - Flow Approach	Deposits runs and loans rollovers	✓		
10	Liquidity Risk - LCR	Stress on Liquidity Coverage Ratio	✓		

Credit risk

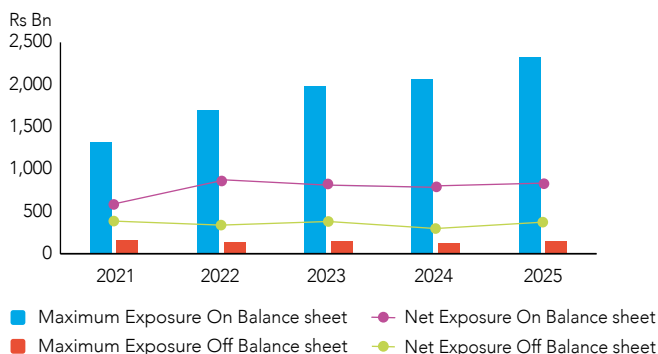
	2025 Maximum Exposure Rs 000's	2024 Maximum Exposure Rs 000's	%
Maximum Credit Exposures	2,470,068,235	2,179,930,586	13%
- Total Assets subject to Credit Risk	2,317,240,718	2,059,334,682	13%
- Off Balance Sheet Commitment subject to Credit Risk	152,827,517	120,595,904	27%
- Max Exposure to Credit Risk of Gross Loans & Receivables to Customers	1,513,959,514	1,159,740,459	31%
Net Exposure to Credit Risk of Loans & Receivables to Customers	617,169,958	583,574,917	6%
Impaired Loans	83,365,866	104,230,733	-20%
Provisions for Impairment	80,722,276	96,065,115	-16%
- Individual Impairment	53,559,811	65,077,051	-18%
- Collective Impairment	27,162,465	30,988,064	-12%
Net Stage 3 Ratio	1.09%	1.88%	-79 bps

In 2025, the Bank's maximum exposures to credit risk increased by 13%, while Impaired Loans as a % of Gross Loans and Receivables were at 13% reflecting a better position than its peers. Allowance for individual impairment decreased by 18% to Rs 53 Bn while allowance for collective impairment reduced by 12% to Rs 27 Bn.

Credit Quality



Credit Exposure



Credit risk governance

The Risk Management Department's function was further streamlined to focus on the monitoring and advisory functions of credit risk, in order to enhance the credit risk governance process.

Approved Regulatory Capital Approach

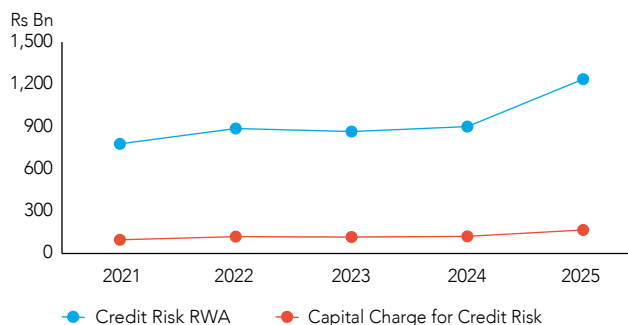
Complying with the CBSL Direction No1 of 2016, the Bank uses the Standardised Approach to measure the capital charge for Credit Risk. Accordingly, specific risk weights are applied to net counterparty exposures in defined categories after recognising a limited set of qualifying collateral.

- » Template 9: Credit Risk under Standardised Approach: Exposures by Assets Classes and Risk Weights on page 548 provides details according to risk weights.
- » Template 8: Credit Risk under Standardised Approach on page 546 details the computation of Risk Weighted Assets for Credit Risk.

Internal Risk Ratings (IRR)

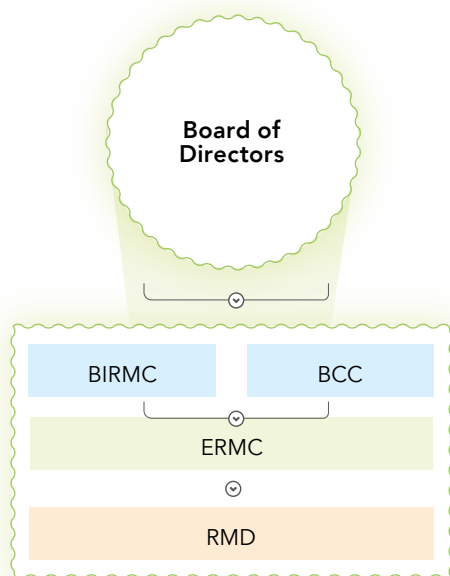
The Bank's current IRR model, which is Basel III compliant enhances the capability to manage default risk. The Bank recalibrated its IRR models in order to factor emerging development in the macro and microeconomic operating environments.

Risk Weighted Assets & Capital Charge for Credit Risk



RISK & CAPITAL REVIEWS

Figure 12: Credit Risk Governance



Credit Risk

- » Pre-assessment
- » Portfolio Management
- » Loan Review Mechanism

Credit Administration

- » Security Documentation
- » Disbursements

Centre of Aspiration

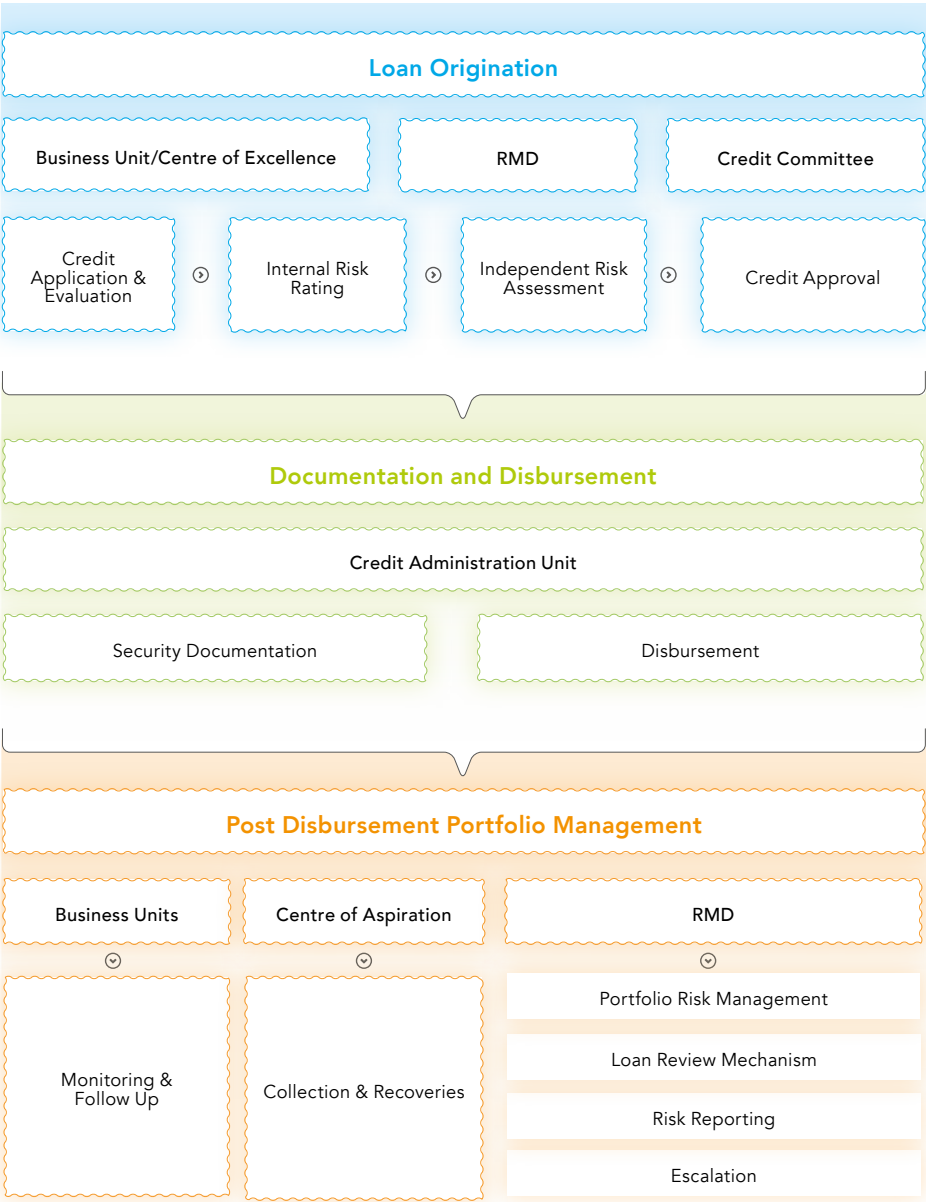
- » Collection & Recoveries

Credit Risk Management Processes

The Bank's comprehensive Credit Risk management process includes the following:

- » **Segregation of Credit Risk management at branch level** – Duties between relationship management/sales and the loan approval process for SME and retail segments are clearly segregated, facilitating high levels of specialisation. Separation of recoveries has assisted monitoring of the effectiveness of recovery processes at management and Board levels. Due to this segregation, it is possible to measure, monitor and make recommendations at portfolio level.
- » **Security Documentation and Disbursement** – The Centralised Security Repository Centre checks completeness and authenticity of security documentation and compliance with pre-disbursement conditions. This function supports compliance and recovery processes with required documentation while the pre-disbursement function ensures that correct limits and rates are marked in the system facilitating accurate monitoring and recovery processes.
- » **Loan Review Mechanism** – Post reviews of credit facilities are conducted covering all business lines, and LRM reports are submitted to BIRMC and Board, and learnings from LRM reports are incorporated when Credit Policies are reviewed.
- » **Management of Large Exposures** – Exposures of the 20 largest borrowers are maintained within internal risk limits and material exposures and substantial exposures are monitored. Industry risk limits are set to monitor concentration risk facilitating early action on industries with elevated risk.
- » **Portfolio Risk Management** – Accounts are monitored to identify early warning signs of asset quality deterioration. likely to fall in to Stage 3 lists are used for alerting Business units, Risk Management Department, Management Committees, Board, both Business Revival Unit (BRU) and the Special Asset Management
- » **Environmental and Social Risk Management** – The Bank's Environmental and Social Risk Management division provides the framework to establish internationally accepted best Environmental and Social Risk Management practices including country regulations and globally standards such as IFC Performance Standards and ADB Safeguards.
- » **Independent Risk Assessment** – The Credit Risk Management function independently reviews Corporate, Emerging Corporates and SME facilities, while Retail facilities are reviewed by the Centre of Excellence (COE) enabling high levels of specialisation, and improved turnaround times.
- » **Delegation of Authority** – Approval of credit facilities above a specified threshold have been assigned to Credit Approval Committees. The Credit Risk Management division provides its assessment on credit facilities prior to approval of facilities in order to support decision making of the relevant approving committee.
- » **Internal Risk Ratings** – Bank rolled out a comprehensive Internal Risk Rating (IRR) framework, incorporating customer segment-specific assessment models to strengthen credit underwriting, pricing strategies, and portfolio assessments. The Bank also computes the Risk Adjusted Return on Capital (RAROC) for Corporate Banking, Emerging Corporate and SME business segments which enables to assess the risk returns of customer relationships.
- » **Collateral** – The Bank obtains collateral as a secondary recourse through mortgage bonds over movable and immovable property, guarantees, liens over financial assets and assignments of receivables. Regular valuations are carried out to ensure adequacy of collateral throughout the lifecycle of the loan.

Figure 13: segregation of duties for credit risk management



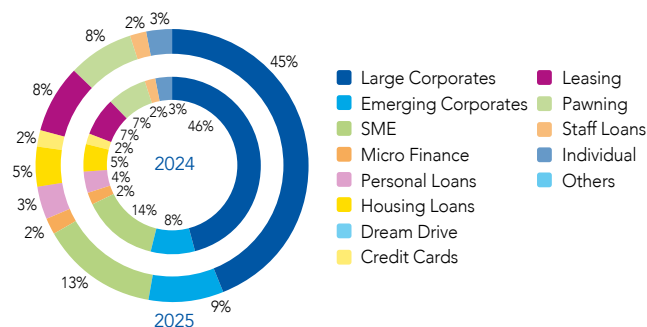
RISK & CAPITAL REVIEWS

Concentration Risk

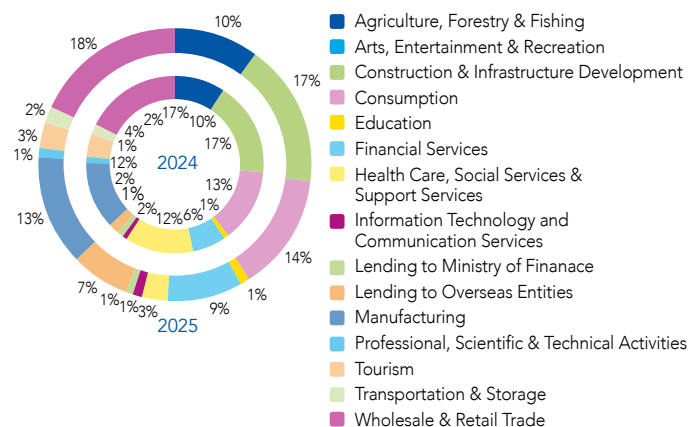
Potential concentration risk is managed through a diversified portfolio in line with risk appetite. The Herfindahl-Hirschman Index (HHI) model is used to quantify Concentration Risk and dashboards are reviewed at all levels of the risk governance structure to balance portfolio quality.

Portfolio Growth by Region	Dec'25 (Rs Mn)	Dec'24 (Rs Mn)
Central	40,821	32,173
Central Highlands	19,455	14,820
Colombo Central	54,218	43,489
Colombo	137,131	104,029
Corporate/EC	814,905	634,787
Eastern	28,477	18,991
FCBU	1,362	641
Greater Colombo	57,578	44,015
North Central	41,917	30,387
North Eastern	24,066	16,135
North Western	60,422	47,410
Northern	36,505	24,290
Rajarata	27,200	21,093
Sabaragamuwa	13,368	10,635
South Eastern	22,000	16,369
South Western	43,145	31,424
Southern	39,837	31,850
Western Metro	51,551	37,203

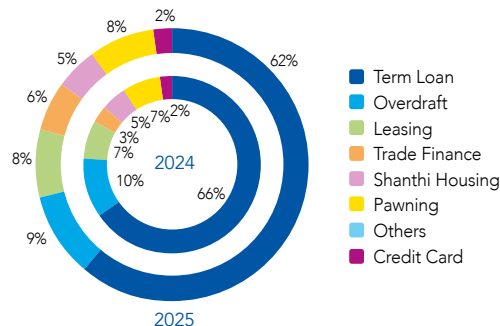
Exposure by Counter Party



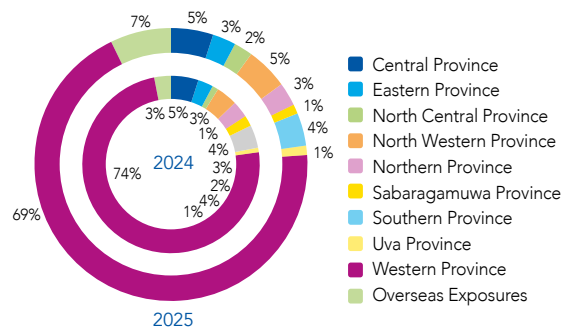
Exposure by Industry Sector



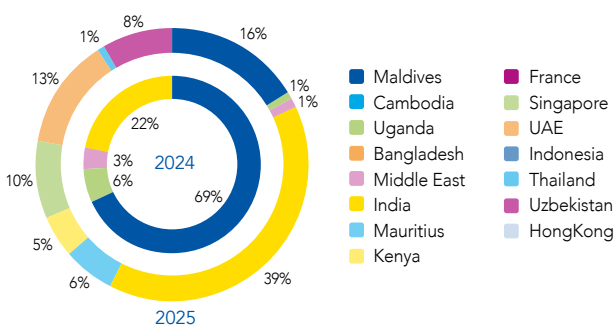
Exposure by Product



Exposure by Geography



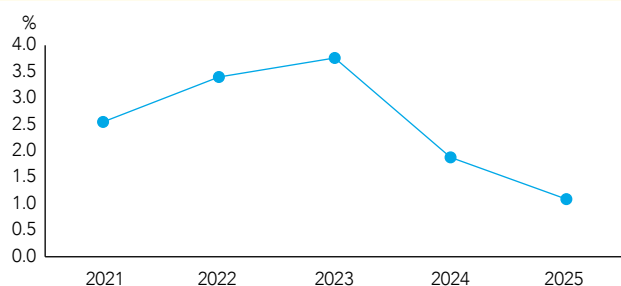
Overseas Exposure



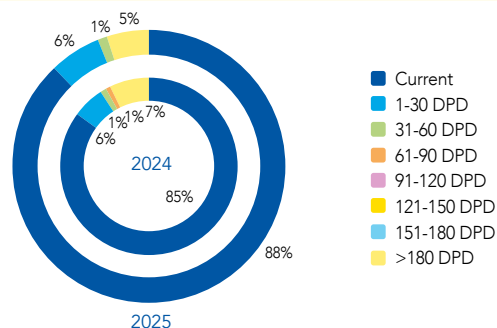
Default risk

Default risk indicators include Stage 3 ratio, ageing of exposures and classification of the portfolio using Internal Risk Rating models.

NPA/Stage 3 Net as a % of Loans & Advances



Aging of Past Due Loans



Operational risk

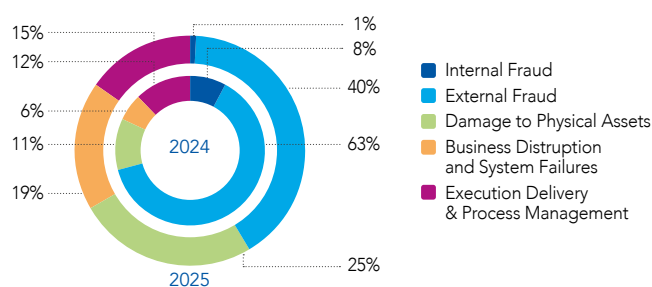
Operational Risk Review

As a large island-wide operator, HNB's operational risks are diverse. As a risk management strategy, the Bank invests in modern technologies, best practices and continuous training. A consolidated Recovery Plan has been implemented considering the Business Continuity Policy, Contingency Funding Plan, Internal Capital Adequacy Assessment Process and the Crisis Communication Plan. Further, the Fraud Risk Management Guideline and Customer Blacklisting Guideline were reviewed to address new and emerging risks.

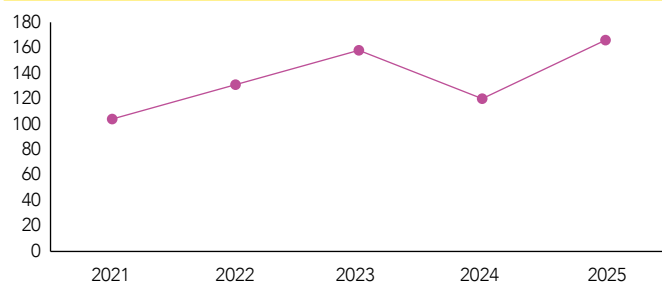
Operational Losses & Recoveries



Operational losses by event type



No of Incidents



RISK & CAPITAL REVIEWS

Operational Risk Governance

The BIRMC continued to engage with the Risk Management department, while the Board Audit Committee (BAC) maintained stringent oversight of internal controls, while liaising with internal and external auditors. The Board and Board subcommittees are supported in risk management by the Executive Risk Management Committee (ERMC) in addition to the Operational Risk Steering Committee (ORSC) which supports the BIRMC in identifying, measuring, monitoring and managing Operational Risk.

Managing operational risk

Operational Risk is managed by utilising the following tools.

» Risk & Control Self-Assessment (RCSA)

The frequency of the RCSA was increased to quarterly assessments, for more frequent Operational Risk monitoring. Businesses assess their own processes and controls on a quarterly basis, which are reviewed by the Operational Risk Unit to estimate the operational risk profile of the entire Bank.

» Key Risk Indicators (KRI)

KRIs are used for early warnings of risks and are monitored continuously with triggers and thresholds reviewed and revised regularly.

» Internal Loss Data Capturing & Reporting

Operational Risk Dashboards in accordance with Basel guidelines, are used for reporting internal losses, including potential losses and “near misses” for material risks. These are reviewed by ORSC, ERMC and BIRMC to identify potential threats and determine appropriate action to manage same. External loss incidents are captured on best effort basis and reviewed in relation to the internal control environment.

» Root Cause Analysis

The Bank has adopted a system to review material loss incidents to ascertain the root cause and these

learnings are used to improve the control environment under the Operational Risk Management function.

» Risk Matrices

Risk matrices are used to consolidate and prioritise risks considering the potential impact and likelihood of occurrence.

Risk Review of New Products & Processes

The Bank has clear policies and procedures for introducing new products or amending or discontinuing existing products or delivery channels, to minimise associated risks.

Mitigating operational risk

The following tools are used to manage operational risk.

» **Risk Culture** – The risk culture is a key preventive tool and all senior personnel lead by example, to inspire accountability and risk ownership. The culture is supported by a policy framework, governance structure, regular training and effective internal controls.

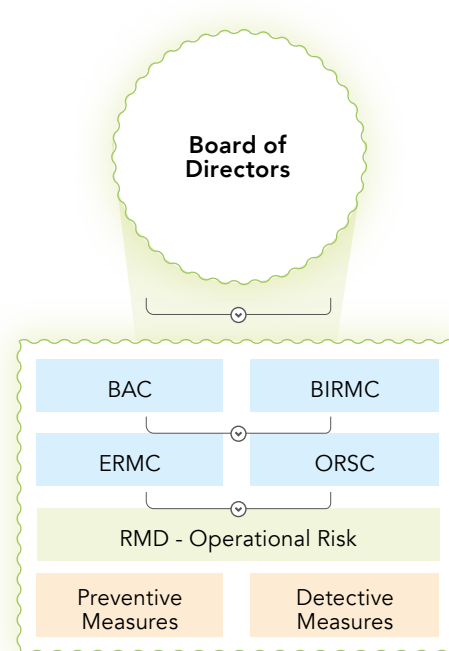
» **Insurance** – The adequacy and effectiveness of the Bank’s comprehensive insurance covers were reviewed during the year.

» **Scenario planning** – Scenario planning was continued in 2025 to develop appropriate responses for potential loss events such as fire, security breach, etc.

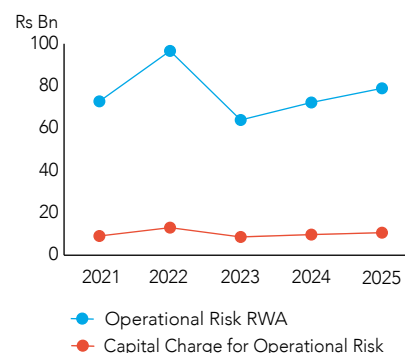
» **Assessment of Outsourcing Activities** – The Bank has a comprehensive Outsourcing Policy that defines the activities, terms and conditions relating to outsourced activities and is monitored by the Compliance Division. Detailed KYC and due diligence tests are conducted before engagement, or renewal of existing contracts to assess the AML/CFT risks that may arise. The Operational Risk Unit carries out a risk-based review of critical outsourcing activities on a need basis. All critical outsourcing service providers are

required to have a satisfactory BCP and must perform regular tests on its BCP, to ensure disaster readiness and a return to normal operations as quickly as possible.

Figure 14: Operational Risk Governance



Risk Weighted Assets & Capital Charge for Operational Risk





Business Continuity Planning & Disaster Recovery

Mission critical units, critical processes and necessary resources have been identified and documented together with Recovery Time Objectives (RTO), Recovery Point Objectives (RPO) and Recovery Strategies. A Business Continuity Management and Public Health Contagion Plan was developed in 2020 following the emergence of the COVID-19 pandemic, and Business Continuity policy documents and plans are updated regularly to reflect the regulatory changes.

Regular BCP and Disaster Recovery tests are conducted to cover all critical systems and the Mission Critical Units of the Bank. BCP tests are reviewed by the Bank's Internal Audit department and the Bank has also established a Business Continuity Steering Committee (BCSC) and a Disaster Management Team (DMT) to oversee the BCP strategy. Awareness sessions and newsletters are used to educate the staff regarding the Business Continuity Management process, while maintaining clear communications with the public to communicate any emergency responses.

Information and Cyber Risk

Information & Cyber Risk Governance

Given the rising rate of digital crimes and rapid adoption of digital financial transactions, maintaining stringent governance and oversight of the Bank's information systems has become a priority to protect customers as well as HNB's banking assets. For direct monitoring of associated risks, the Information and Cyber Security Risk Management Unit under the Risk Management Department, reports to the CRO, who reports independently to BIRMC and the Chief Information Security Officer (CISO) reports directly to the COO. Policy formulation is under the purview of the CISO while implementation and compliance are overseen by the Information and Cyber Security Risk Management team. The segregation of functions has strengthened the implementation and monitoring aspects of the Cyber Risk management function.

Information Security Management

HNB has a fully-fledged Information & Cyber Security Policy that defines the management approach towards the Bank's information assets, hardware and software, with the primary objective of protecting these assets from identified internal and external threats to ensure that all statutory and contractual obligations are met, and the brand is protected.

INFORMATION & CYBER RISK REVIEWS CONDUCTED IN 2025

Information & Cyber Risk Reviews

- » EDR security risk review
- » Web Application Firewall risk review
- » SIEM security risk review
- » Email security risk review
- » VPN/Remote Access security risk review
- » L2 Firewall reviews
- » L2 Privileged Access Management (PAM) Reviews
- » Outsourced vendor security risk reviews
- » Finance Department security risk review
- » Fixed Assets system security review
- » Branch security risk reviews
- » IT/Security Project security risk reviews

Cybersecurity Statistics 2025

- » Average total cost of a breach: USD 4.44M
- » Average cost of a malicious insider attack: USD 4.92M
- » Percentage of organisations planning to increase security investments as a result of a breach: 49%
- » Average cost of data breaches that involved data stored in public cloud: USD 4.68M
- » Cost of breaches when attackers used compromised credentials: USD 4.67M
- » Average breach costs for organisations experiencing a high-level shortage of security skills: USD 5.22M

Source: IBM

Cyber Security predictions for 2026

- » Agentic Cyber Attack and Defence – Autonomous AI agents will escalate cyberattacks and defences, enabling both criminals and businesses to act faster and smarter.
- » Deepfake and Synthetic Cyber Attacks – Deepfake audio and video will increasingly trick employees and systems, making impersonation attacks harder to detect.
- » The Evolving Ransomware Threat – Ransomware will become more advanced and accessible through ransomware-as-a-service and anonymous cryptocurrencies.
- » Strengthening the Weakest Link – Human error remains the biggest vulnerability, driving businesses to invest in security awareness and training programmes.
- » Quantum Security – Quantum computing threatens current encryption, forcing organisations to adopt quantum-safe cryptography before data becomes exposed.
- » Regulatory and Legislative Overhaul – Stricter global regulations will require businesses to report breaches and implement stronger cybersecurity measures.

Source: Forbes Media LLC

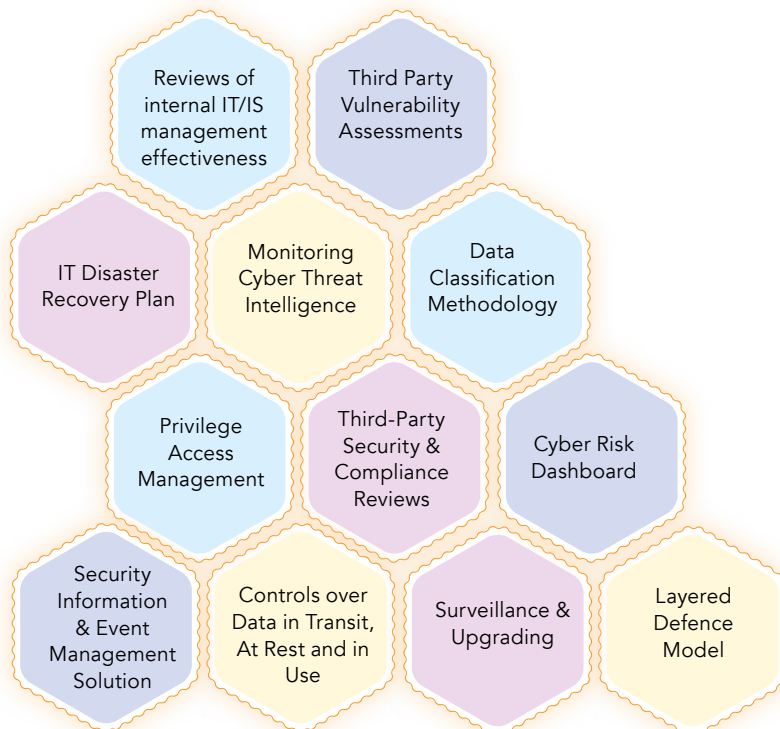
RISK & CAPITAL REVIEWS

It also provides guidance for systematic management of information assets throughout its lifecycle supporting the operational and strategic needs of the Bank in compliance with regulations and internal risk appetite.

Tools used to protect information assets

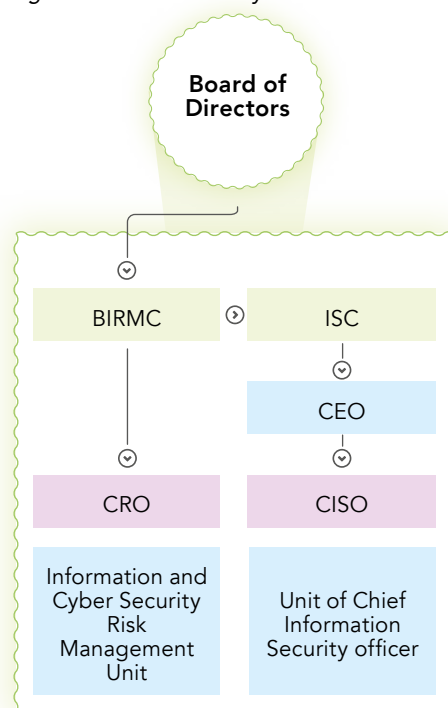
Additional tools to ensure continuous protection of its information assets from emerging threats include the following;

- » **Layered Defence Model** – A layered defence model is deployed to support management of Information Security.
- » **Third Party Vulnerability Assessments and Third-Party Security & Compliance Reviews** – Carried out to manage risks arising from connectivity with third parties.
- » **Periodic reviews of the effectiveness of the Bank's Internal IT/IS Management by IT Security Team** – Internal Audit and CISO carry out separate reviews to assess the effectiveness of the Information and Cyber Risk Management processes and controls.
- » **Monitoring Cyber Threat Intelligence** – Review up-to date information on current and emerging Cyber threats with a view to initiating necessary action in a timely manner.
- » **Data Classification Methodology** – This initiative supports safeguarding of information assets through clear categorisation of access to documents and uses leading IT tools.
- » **Controls over Data in Transit, At Rest and in Use** – Email flow and USB/ CD ROM restrictions implemented together with organisation wide awareness campaigns enhance levels of information security.
- » **Security Information & Event Management (SIEM) Solution** – All critical systems and databases are integrated for log analysis enhancing capabilities of identifying IT & Cyber risks.



- » **Surveillance & Upgrading** – Continuous monitoring of effectiveness of Anti-virus/Malware/ ransomware protections.
- » **Cyber Risk Dashboard** – Communicates developments in Information & Cyber Risk to executive and Board Committees on a monthly basis. This dashboard includes a tracker of Information and Cyber Risk related incidents, Top 10 Cyber risks, Cybersecurity incidents reported during 6 months, IS audit findings, adherence level of security standards, Cybersecurity awareness activities, Security Operations Centre statistics, malware & phishing related updates, update on BCP and DR drill, update on Endpoints exposed with risks, etc.
- » **IT Disaster Recovery Plan** – A key component of the Bank's Business Continuity Plan, this is tested regularly and amended as appropriate.
- » **Privilege Access Management (PAM)** – Provides granular level visibility over activities carried out by privilege users in the banking systems.
- » **Security Operating Centre (SOC)** – Strengthens the Cyber Security surveillance and incident response process with 24x7 security alert monitoring function.

Figure 15 : Information & Cyber Risk Governance



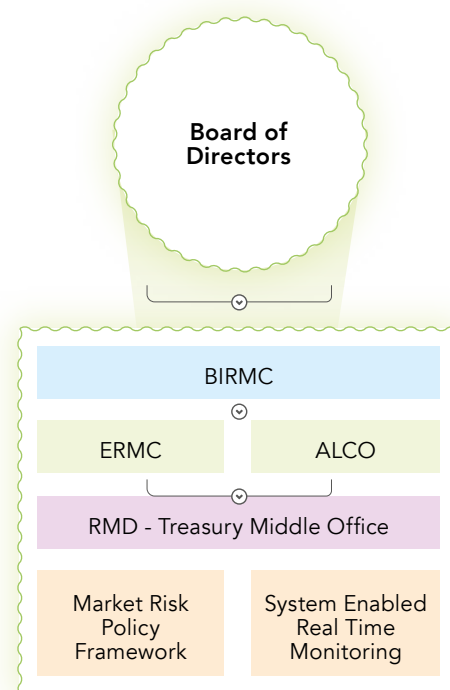
Market risk

Market Risk Review

The Bank's market risk exposures arise mainly from the Bank's Non-Trading Portfolio (Banking Book) which accounts for 27% of Total Assets and 30% of Total Liabilities. Interest Rate Risk (IRR) and Foreign Exchange (FX) Risk are the most significant components of Market Risk as the Bank has minimal exposure to Commodity Price Risk and Equity Risk as these account for less than 15% of the total risk weighted exposure for market risk at the close of the year.

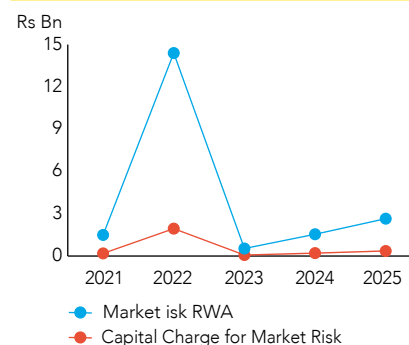
Market Risk Governance

The Board has overall responsibility for managing the Market Risks and is assisted in its duties by the Board Integrated Risk Management Committee (BIRMC), while the Executive Risk Management Committee (ERMC) makes proposals on policy to monitor risks. Market Risk exposures and profitability is supervised by the Asset and Liability Committee (ALCO) and the Treasury is involved in managing both the Banking/Trading Book and the asset and liability position of the Bank. Accordingly, duties of the Bank's Treasury Operations are segregated into Front Office, Middle Office and Back Office in line with best practices. Treasury Middle Office (TMO) ensures that Treasury Front Office deals within limits set out in the Bank's risk appetite and Treasury Back Office reconciles and escalates key issues promptly. The Market Risk Management Unit of Risk Management Department (RMD) independently measures, monitors and reports on market risk exposures using Market Risk Dashboards and assists in review of the Bank's Market Risk related policies and exposure limits.



	2025 (Rs Mn)	2024 (Rs Mn)
Assets Subject to Market Risk		
Cash & Cash Equivalents	55,375	63,356
Balances with Central Bank	37,288	6,913
Placements with Banks	27,318	41,859
Derivative Financial Assets	1,977	375
Financial assets measured at fair value through profit or loss	1,237	1,835
Financial assets measured at amortised cost - debt and other instruments	650,619	741,761
Loans & Receivables to other customers	1,433,237	1,063,675
Financial assets measured at fair value through other comprehensive income	94,855	96,309
Liabilities subject to Market Risk		
Due to Banks	11,343	6,596
Derivative Financial Liabilities	300	1,573
Due to Other Customers/Deposits from customers	1,961,851	1,715,484
Other Borrowings	15,511	19,740
Subordinated Liabilities	28,179	28,174

Risk Weighted Assets and Capital Charge for Market Risk



RISK & CAPITAL REVIEWS

Approved Regulatory Capital Approaches

The Bank is in the process of adopting the more advanced Internal Model Approach, while using the Standardised Measurement method as required by CBSL Direction No1 of 2016 in line with Basel III requirements for computing regulatory capital for Market Risk. Accordingly, the calculation of regulatory capital is based on specified risk weightings applied to net exposures in defined categories as set out in Template 10 in page 549, Market Risk under Standardised Measurement Method.

Market Risk Management

Market Risk is managed in accordance with the Asset and Liability Management (ALM) and Treasury Policy which support management of Interest Rate Risk, Investment and the Foreign Exchange Risk. The trading portfolio is managed by Treasury while the Non-Trading Portfolio is impacted by both the Bank's business lines and Treasury. The Balance Sheet and Income Statement implications of Market Risk are summarised below.

Portfolio	Banking Book "Hold Until Maturity" and "Available for Sale"	Trading Book "Intend to Actively Trade"
Line Items	» Deposits » Loans » Bonds (Investment Portfolio) » Bills & Bonds (Treasury Portfolio) » Derivatives	Bills & Bonds (Treasury Portfolio) Derivatives (Forward, Swaps and Options)
Balance Sheet Value	Historical Cost	Mark to Market daily
Income Statement	Net Interest Margins	Net Interest margins + Net Change in Value (Mark to Market)
Risk exposure	Repricing risk Basis risk Forex risk	All components of market risk

1. Loss of reputation due to rumours of a large loss, fraud, management misdemeanour, etc.
2. Severe rating downgrade (3-4 notches or to below investment grade).
3. News/speculation of an impending takeover/merger.
4. Large regulatory penalty/qualification of accounts by Auditors/other compliance related loss of reputation.

The following stress scenarios were applied to assess the impact of a liquidity squeeze on the Bank:

1. A run on the Bank by depositors.
2. Loss of short-term interbank LKR liquidity.
3. A global banking crisis which could affect short term interbank FC liquidity.
4. Worst case scenario comprising of the above stress situations (scenarios 1,2 and 3).
5. Loss of wholesale savings and deposits.

Results of the stress testing are tabled at ERM/ALCO/BIRMC for their reference on ALM decisions.

Key tools and processes used to manage Market Risk

- » **Market Risk Limits** – Limits contain trading activities within a specified range in line with the Bank's Risk Appetite Statement. These are reviewed and approved by the BIRMC as well as BOD and are regularly reviewed by ALCO and ERM/ALCO.
- » **Value at Risk (VaR)** – The VaR of a portfolio is the estimated loss that will arise on the portfolio over a specified period of time (holding period) from an adverse market movement with a specified probability (confidence level). The VaR model used by the Bank is based upon a 99% confidence level and assumes 1-day and a 10-day holding period. It is based mainly on historical simulation. The model generates a wide range of plausible future scenarios for market price movements considering market data and observed relationships between different markets and prices.
- » **Stress Testing** – The Bank conducts stress testing on key components of Market Risk including interest rate, foreign currency, equity and gold to understand the potential impacts. This information is used to provide direction in managing portfolios, optimising profitability and liquidity.

Bank also periodically conducts simulations on severe liquidity crisis events that can be triggered by any one or more of the following events taking place:

Figure 16: Market Risk Limits

Limit Type	Activity Limit	Target Risk Area
Exposure	Trading/Investment in foreign currency fixed income securities (excluding investment in Sri Lanka Government Treasury Bills & Bonds)	Governs the trading/investment in long-term securities with reputed issuers, with minimum credit ratings of A or equivalent
	Investment in Sri Lanka Government Treasury Bills & Bonds/CBSL Securities	Governs trading & investments in Sri Lanka Government Treasury Bills & Bonds that are denominated in Sri Lankan Rupees
	Cap on total investment on Government Securities	Governs overall exposure to government securities in terms of balance sheet exposure
	Standing Deposit Facility (SDF) With CBSL	Governs Money Market Deals with CBSL
	Interbank Money Market/Trade borrowings in FCY both in Sri Lanka and outside	Limits the Bank's exposure to liquidity risk arising from funding mismatches and over reliance of FC borrowings to generate liquidity
	Cap on inter-bank call borrowing/call lending	Limits the Bank's exposure to adverse fluctuations in inter-bank call money rates and liquidity risk arising due to market liquidity
Tolerance	Rate Tolerances	Governs minimum/maximum deviation from market rates on interest/exchange rates to ensure no undue risks are undertaken
	Amount Tolerances	Governs maximum transaction size undertaken on a currency, instrument or by a dealer
	Tenor Tolerances	Protects the bank from both market and counterparty risk that could arise with time

Stress Testing on Projected NII

Results of stress tests carried out on Interest Rate Risk for its Loans and Advances portfolio and the Fixed Income Securities portfolio are given below.

Item Rs'000	2025		2024	
	100 bp Parallel Up Rs'000	100 bp Parallel Down Rs'000	100 bp Parallel Up Rs'000	100 bp Parallel Down Rs'000
As at December 31st	10,063,046	(10,663,866)	6,707,612	(7,143,899)
Average for the Year	7,678,929	(8,165,833)	2,409,455	(2,605,153)
Maximum for the Year	10,063,046	(6,342,090)	6,707,612	(1,029,396)
Minimum for the Year	5,971,788	(10,663,866)	933,210	(7,143,899)
Minimum for the Year		1%	2%	5%
Fixed Income Risk	Original CAR		CAR After Change	
Fixed Income Total Portfolio	19.95%	19.57%	19.18%	18.00%
Fixed Income Trading Portfolio	19.95%	19.95%	19.95%	19.95%

RISK & CAPITAL REVIEWS

Interest Rate Risk in Banking Book (IRRBB)

The differences in re-pricing of Rate Sensitive Assets (RSA) and Rate Sensitive Liabilities (RSL) can lead to IRRBB, which impact future interest income and expenses and its economic value. Different maturity buckets are used to analyse the Bank's interest rate sensitive assets and interest rate sensitive liabilities to determine suitable strategies to optimise earnings based on identified gaps and future interest rate forecasts. The modified duration gap approach is used for analysing changes in economic value of equity, which requires the mapping of assets and liabilities into different time buckets based on their residual maturity as set out below depicting an increased/decreased sensitivity.

(Rs Mn)	Upto 1 Month	1-3 Months	3-6 Months	6-12 Months	1-3 Years	3-5 Years	Over 5 Years	Non-Sensitive	Total
Assets and Off Balance Sheet Exposures	960,556	152,331	311,851	234,267	288,139	107,157	227,501	144,504	2,426,306
Liabilities and Off Balance Sheet Exposures	196,486	317,795	303,665	346,020	250,132	197,334	264,759	491,325	2,367,515
Period Gap	764,070	(165,464)	8,186	(111,753)	38,007	(90,177)	(37,258)	-	-
Cumulative Gap	764,070	598,607	606,793	495,040	533,047	442,870	405,612	-	-
RSA/RSL	4.89	0.48	1.03	0.68	1.15	0.54	0.86	-	-

Foreign Exchange Risk

This risk is managed through currency swaps, exposure limits and VaR. Market Risk exposure of the Bank's overnight foreign exchange positions is measured using 10-day VaR, at 99% confidence level. TMO monitors limits in real time and at specified frequencies in accordance with the Bank's comprehensive Market Risk management limit structure to ensure compliance with Bank's risk appetite. Trigger points are escalated to CRO, MD/CEO or Board of Directors depending on the potential loss that may arise.

The Bank's exposure to FX risk as at the end of the reporting period is given below. Foreign exchange exposures are subject to stress testing by applying shocks between 5% to 15% to estimate the impact on profitability and capital adequacy of the Bank.

	Net Open Position (NOP) (000)	Overall Exposure in Respective Foreign Currency (000)	Overall Exposure in LKR (000)
United States Dollar	6,364	2,226,695	689,997,172
Great Britain Pound	21	80,988	33,714,234
Euro	12	90,101	32,765,629
Japanese Yen	(86)	6,138,777	12,144,957
Singapore Dollar	32	3,479	838,267
Other currencies in USD	620	90,438	28,024,395
Total Exposure	7,051	2,573,569	797,484,654
Total Capital Funds as at 31st December 2025	262,951,455		
Total exposure as a % of Capital Funds as at 31st December 2025	0.83%		
VaR (99%, 1 day) 31st December 2025	0.38%		
VaR (99%, 1 day) 31st December 2024	0.49%		

Magnitude of shock		5%	10%	15%
Foreign Currency Risk	Original CAR	CAR after Change		
1) All foreign currencies	19.95%	19.95%	19.94%	19.93%
2) USD/LKR		19.95%	19.94%	19.93%

Equity Price Risk

As at end December 2025, the Bank's equity portfolio stood at Rs 200 Mn and is managed taking a long-term view. Stress testing conducted at 10% to 40% change in equity prices indicate no change in CAR. The Bank conducts mark-to-market calculations on a daily basis for held-for-trading and available-for sale portfolios and VaR calculations on a 10-day basis. Year-end positions are summarised below.

	2025		2024	
	Exposure Rs Mn	VaR (99%,10 day) Rs Mn	Exposure Rs Mn	VaR (99%,10 day) Rs Mn
Equity (MV)	200.00	14.89	158.10	12.74

Commodity Price Risk

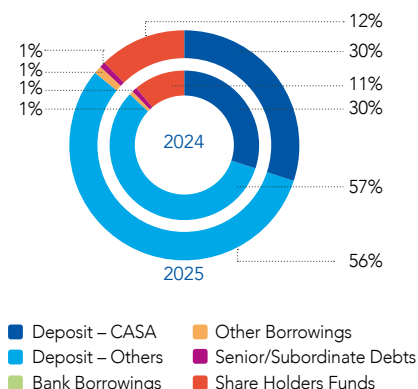
The Bank's careful management of the Pawning portfolio and the use of conservative loan to value ratios, have ensured that the risk exposure was limited to 8% of the loan book. It is noteworthy that the regulatory approach is to treat the exposure in line with Foreign Exchange Risk as described in the Approved Regulatory Capital Approach under Market Risk.

Liquidity risk

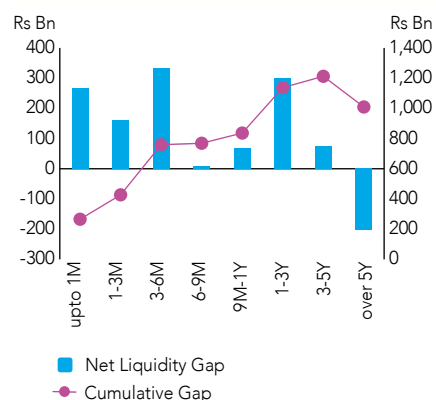
The Bank continued to maintain prudent Liquidity Risk management during the year.

Ratio	Dec-25
Liquidity Coverage Ratio (For LKR)	193.97%
Liquidity Coverage Ratio (For All CCY)	227.75%
Net Loans to Total Assets	58.02%
Loans to Customer Deposits	80.62%
Liquid Assets to Short Term Liabilities	117.87%
Commitments to Liquid Assets	68.02%
Commitments to Total Loans	45.61%

Funding Diversification by Product



Liquidity Gap based on behavioural Analysis

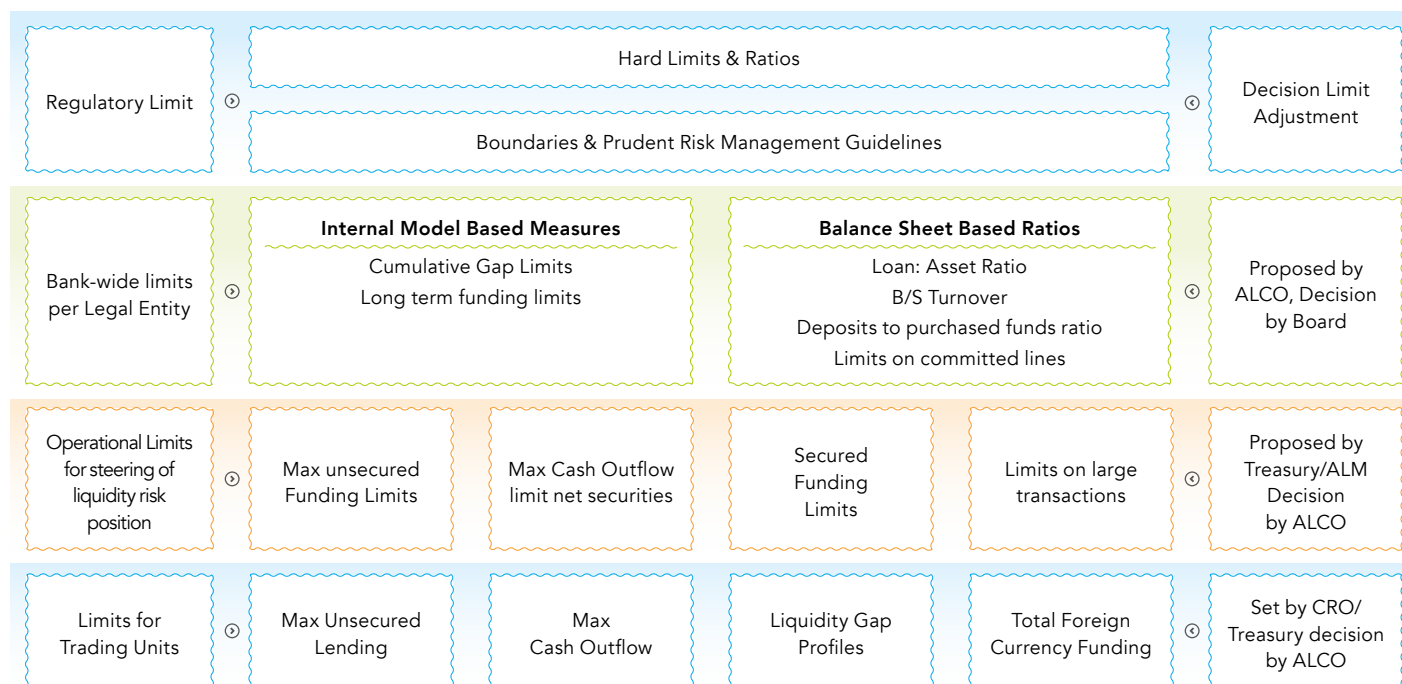


RISK & CAPITAL REVIEWS

Liquidity Risk Governance

The Bank's Liquidity Risk management framework includes a contingency plan encompassing both contracted and un-contracted liquidity positions as summarised in Figure 18. The column on the extreme right reflects the governance structures identifying roles of those with responsibility for managing Liquidity Risk. The Board, BIRMC, ERM and ALCO regularly review reports on the Bank's liquidity indicators to ensure that they are managed within agreed parameters.

Figure 17: Liquidity Risk Management Framework



Liquidity Risk Management

A range of Liquidity Risk indicators are available to indicate changes in assets and liabilities to enable continuous monitoring of Liquidity Risk. Appropriate funding activities to maintain desired levels of liquidity in line with the Bank's Risk Appetite have been identified and liquidity ladders, probabilistic analysis and stress tests are undertaken to evaluate liquidity requirements of the Bank using both stock and flow approaches. Liquidity gaps are monitored based on the behavioural analysis of the Bank's assets and liabilities, historical rollover patterns, drawdown of unutilised overdrafts and disbursement of approved but undisbursed loans.

Figure 18: Managing Liquidity Risk

Funding Plan	Managing Liquidity Risk	Managing intraday liquidity risk	Identify Contingent Funding Requirement	Managing Regulator
Identify concentration risk in banking book	Establish liquidity policy and appetite	Maintain liquidity buffers	Early warning indicators	Maintaining LCR
Pricing liquidity risk via maintain pricing mechanism within the bank	Monitor intraday limits and carry out stress Testing	Daily clearing and settlement	Conduct liquidity simulations	Reporting on liquidity assets and reserves

The Bank measures its liquidity position against all major currencies at both individual and aggregate levels to maintain potential risks within specified limits while liquidity commitments resulting from loan disbursements and undrawn overdrafts are also monitored to assess adequacy of funding sources. An adequate margin in high quality liquid assets and diverse funding sources are maintained and contingency funding agreements have been negotiated with peer banks for sufficient liquidity buffers in accordance with the Bank's Contingency Funding Plan.

The Bank has taken a strategic decision to generate low cost LKR funding through foreign currency swaps for short to medium term liquidity. Exposure limits in terms of regulatory and internal, regular management information to ALCO/BIRMC/BOD manages the Liquidity Risk that could arise from over reliance of borrowings and cross currency liquidity generation, are actively managed.

Funding Diversification

As at end of 2025, deposits from customers accounted for 86% of funds, excluding shareholder funds and subordinate debts. The total capital stood at LKR 263 Bn.

Credit Ratings

Following the recent sovereign upgrade and the recalibration of Sri Lanka national rating scale by Fitch Ratings, HNB's credit rating was upgraded to AA- (lka) from A (lka) on 08th September 2025.

Rating Type	Long Term National rating
Issuer	Fitch Ratings Lanka Ltd
Rating	AA- (lka)
Outlook	Stable
Date Issued	08th September 2025
What can change the rating up	An upgrade in Sri Lanka's sovereign rating could result in an improvement in banks' ratings reflecting reduced sovereign risk and stronger operating conditions. Furthermore, a rating upgrade could also be supported by key credit metrics outperforming those of peers.
What can change the rating down	A sovereign rating downgrade in Sri Lanka may lead to a negative impact on banks' ratings, given the close link between the sovereign and domestic banking sector. In addition, sustained deterioration in key credit metrics compared to peers could also weigh on ratings that are based on intrinsic financial strength and assessed independently of sovereign influences.

Compliance Risk

The Bank has maintained a rigorous focus on all new, as well as existing, compliance guidelines, with the Compliance Division conducting regular compliance checks on branches and departments.

Compliance Risk Governance

The Compliance function of the Bank falls within the purview of the Bank's Compliance Department which is empowered to ensure that the Bank complies with all legal and regulatory requirements including CBSL, SEC, CSE, SLAASMB etc., and encompasses both financial and operational compliance. The compliance function also extends to the Bank's wide-ranging policy framework. While the Compliance Officer reports directly to BIRMC, the Compliance Department operates independently of the Risk Management Department but is invited to attend meetings of the Board Audit Committee, Board Nomination Committee. Compliance officer acts as the Secretary to the Related Party Transactions Review Committee.

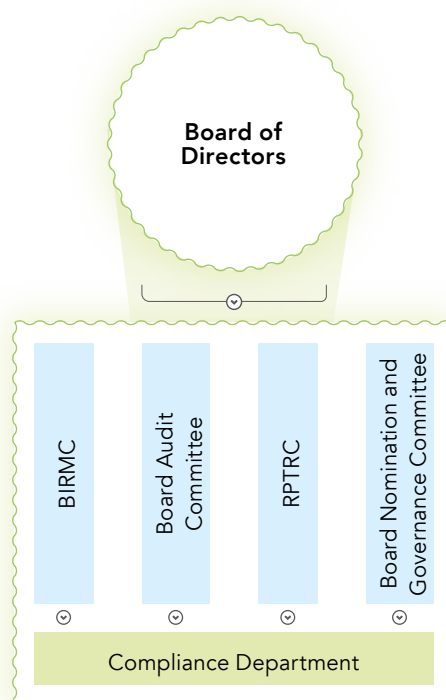
Compliance Risk Mitigation

The Bank regularly reviews and updates its policy framework to incorporate changes in regulations, emerging threats and learnings from industry experiences and learnings from HNB itself. The Bank ensures that the Compliance Division is staffed with the relevant expertise to enable full compliance with all regulations and is headed by the Chief Compliance Officer. In order to ensure compliance, all new regulations are analysed and identified gaps are disseminated to relevant KMPs for adherence. The Compliance Division plays a key role in enhancing awareness on regulations, internal policies and best practices in the industry by integrating these into the training programmes of the Bank. New recruits and promoted employees receive a compliance training tailored to meet the demands of their new role and function. An e-learning AML module further supports knowledge enhancement on Anti Money Laundering covering all regions. The Bank also conducted compliance case studies for its branch network to mitigate potential compliance risk.

KEY ACTIVITIES OF THE COMPLIANCE FUNCTION

- Monitoring Adherence to CBSL Directions & Supervisory Concerns
- Customer Due Diligence (CDD), Enhanced Due Diligence (EDD) & Risk Reviews
- Sanctions & Screening (SWIFT, TSS & Inward Remittances)
- Monitoring/Verification of Regulatory Reporting
- Compliance Oversight for New Products & Policy Management
- AML/CFT Review on Correspondence Banks/Exchange Houses
- Related Party & Group Entity Compliance
- Compliance Testing for Departments & Branch Network
- FATCA Regulatory Compliance
- Staff Awareness, Training & Compliance Culture Development

Figure 19 : Compliance Risk Governance



RISK & CAPITAL REVIEWS

Definition

Compliance Risk is defined as the risk of legal or regulatory sanctions, financial loss, or loss of reputation that a bank may suffer as a result of its failure to comply with all applicable laws, regulations, codes of conduct and standards of good practice.

During the year compliance risk awareness was enhanced by:

- » Conducting knowledge sharing and training sessions across the branch network to educate the staff on mitigating potential compliance risk.
- » Ensured staff were nominated to attend local & foreign training programmes, international summits, webinars and online certification courses to improve knowledge.
- » Rolled out on the Bank's E-Learning platform training material covering latest regulations, AML courses, forex courses, & FAQs, etc., for knowledge sharing.
- » Risk reviews and risk assessment of business and support services.

Reputation Risk

The Bank has continued to manage its Reputation Risk by maintaining full compliance, ethical and professional behaviour and transparent and timely communications with its stakeholders. As an important initiative, the Bank implemented measures to safeguard the interests of its customers while ensuring customer touchpoints functioned efficiently to serve the needs of the communities it operates in. Additionally, awards and accolades received, reflect the high esteem in which the Bank is held.

Reputation Risk Mitigation

Mechanisms in place to safeguard the reputation of the Bank include:

- » Availability of a Code of Ethics applicable to all employees ensures

that corporate values and expectations of conduct are clearly communicated throughout the Bank.

- » Comprehensive customer engagement mechanisms are in place including the contact centre, which is operative 24x7, enabling customers to contact the Bank for any assistance, report of a complaint and also enables the Bank to address any concerns promptly.
- » Print and electronic media exposure is monitored for any adverse remarks or customer complaints on the Bank and its services.
- » A comprehensive training and development plan facilitate employee learning on the subject and sharing of learnings while supporting competency development in this area.
- » Response plans and identification of spokespersons in the event of a crisis supports organisation readiness to handle reputation risk events.

Monitoring

A scorecard is used to assess Reputation Risk trigger events and manage attributes that impact the reputation of the Bank, there by reducing the capital requirement.

These pre-emptive measures support scoring, reducing capital allocation under reputational risk.

Strategic Risk

The leadership of the Bank is collectively responsible for providing strategic direction and undertake evaluation of alternative strategies which are deliberated in depth to chart its course. Strategic Risk was continually reviewed during the year to accommodate changing market conditions.

Definition

Strategic Risk may arise if the Bank's future business plans and strategies are inadequate to meet desired business goals and expectations.

Strategic Risk Mitigation

The dedicated Strategic Planning Department oversees the strategic planning process while the RMD strengthens the process through analysis of potential areas of concern. Compliance is maintained with all Regulatory requirements. Key risk drivers and other material matters are monitored to identify potential areas of regulation. The Bank also engages external resources to support its strategic planning processes, injecting global expertise to enhance the management of Strategic Risk. Regular communications are maintained with employees to ensure that employees are engaged.

Monitoring

Strategic Risk assessments are conducted in both quantitative and qualitative dimensions using a scorecard to compute capital allocation for Strategic Risk as a part of Pillar II risk assessment under ICAAP. In 2025, the Bank operationalised a Strategic Risk dashboard through which major Strategic Risks can be escalated to the BSIRC through the BIRMC which would support the BSIRC in reviewing macroeconomic strategic opportunities and risks available within and outside Sri Lanka.

Conduct Risk

Within the prevailing challenging and unpredictable macro environment, managing Conduct Risk is becoming increasingly significant. Underlying factors contributing to elevated Conduct Risk include failures in internal controls, non-compliance, negligence and failure to incentivise the right behaviours, etc.

Definition

Conduct Risk is any action of a bank, or the banking industry that leads to customer dissatisfaction, or negatively impacts market stability due to unacceptable, or unexpected behaviour in meeting the bank's obligations towards its stakeholders.

Conduct Risk Mitigation

A clear understanding of the causes of poor conduct in the past has assisted the Bank in estimating and preventing a recurrence of the same conduct in the future. Therefore, the Bank has defined its key conduct risk drivers.

Monitoring

Lines of defence in managing Conduct Risk:

- » Operational: Day to day monitoring and reviewing management of information. This line of defence remains with the respective business unit itself.
- » Compliance: Implementing policies and procedures as prescribed by the regulator and industry best standards. The Operational Risk Management Department is under the purview of RMD, and the Audit and Compliance Department ensures the management of the risk control framework and ongoing compliance monitoring.
- » Board: Assessing Conduct Risks through review and analysis of periodic management information.

Legal Risk

The Bank continually monitors its compliance with all applicable laws and directives as well as maintaining high ethical standards, to address potential legal risks. As per ISO 31000, legal risk can be of the following types:

- » Litigation Risk
- » Contract Risk
- » Regulatory Risk
- » Structural Risk

Legal Risk Mitigation

The Bank has implemented a Legal Risk scorecard as a part of improvements made to the ICAAP document of the Bank and the same was considered as quantitative risk assessing parameters to be used in Pillar 2 risk assessment.

The Legal Department of the Bank carries out a comprehensive assessment prior to entering into an agreement with any 3rd party service providers. Additionally, the Bank retains reputed legal counsellors to safeguard the Bank's interest in dealing with litigation against the Bank.

Monitoring

Legal Risks are analysed using a scorecard to ascertain the additional capital requirement under Basel II, Pillar 2 calculations. Factors considered for the assessment of Legal Risk include, Legal Risk governance and framework, claims arising from/deprived due to defective documentation in contracts, legislative/regulatory developments resulting in claims against/deprivation of making claims, etc.

The Legal Department prepares a quarterly compliance assessment report based on a comprehensive checklist covering a broad spectrum of the Bank's litigation and related functionalities which is signed off by every member of the Legal Department.

Definition

Legal Risk can arise from the current and prospective risks to earnings, or capital due to violations of or non-conformance with laws, rules, regulations, prescribed practices or ethical standards issued by the regulator from time to time.

This is reviewed by the Compliance Division on a quarterly basis, strengthening Legal Risk monitoring.

Model Risk

Models are widely used to support decision making in the financial sector, and are a critical component of a Bank's Risk Management. Therefore, prudent development of models and their lifecycle is fundamentally important to their effectiveness and Risk control.

Model Risk Governance

The Bank's Model Risk Management Framework provides guidance on the structure of models and assumptions used for the Bank's business projections, financial analysis and risk management capabilities.

The governance principles for the Bank's model lifecycles are:

- » Compliance with model development rules and risk estimation methodologies prescribed by Basel principles and leading model development practices across the globe.
- » Maintain data for models in line with the Risk Data Aggregation (and Reporting) Principles prescribed by the Basel Committee on Banking Supervision through the BCBS 239 principles.
- » Develop distinct models across different portfolios of the Bank such as Retail, Corporate, etc. for credit portfolios and loss data for Market Risk and Operational Risk.
- » Models are to be parsimonious, taking into account the appropriateness of variables, data length, ease of availability, with the aim to maximise performance with resources available.
- » Independent validation of models with the aim of ensuring accuracy of models.

RISK & CAPITAL REVIEWS

Definition

Model Risk may arise from losses as a consequence of decisions that could be primarily based on the output of internal models, or as a result of the errors in the development, implementation or use/maintenance of the models.

Model Risk Mitigation

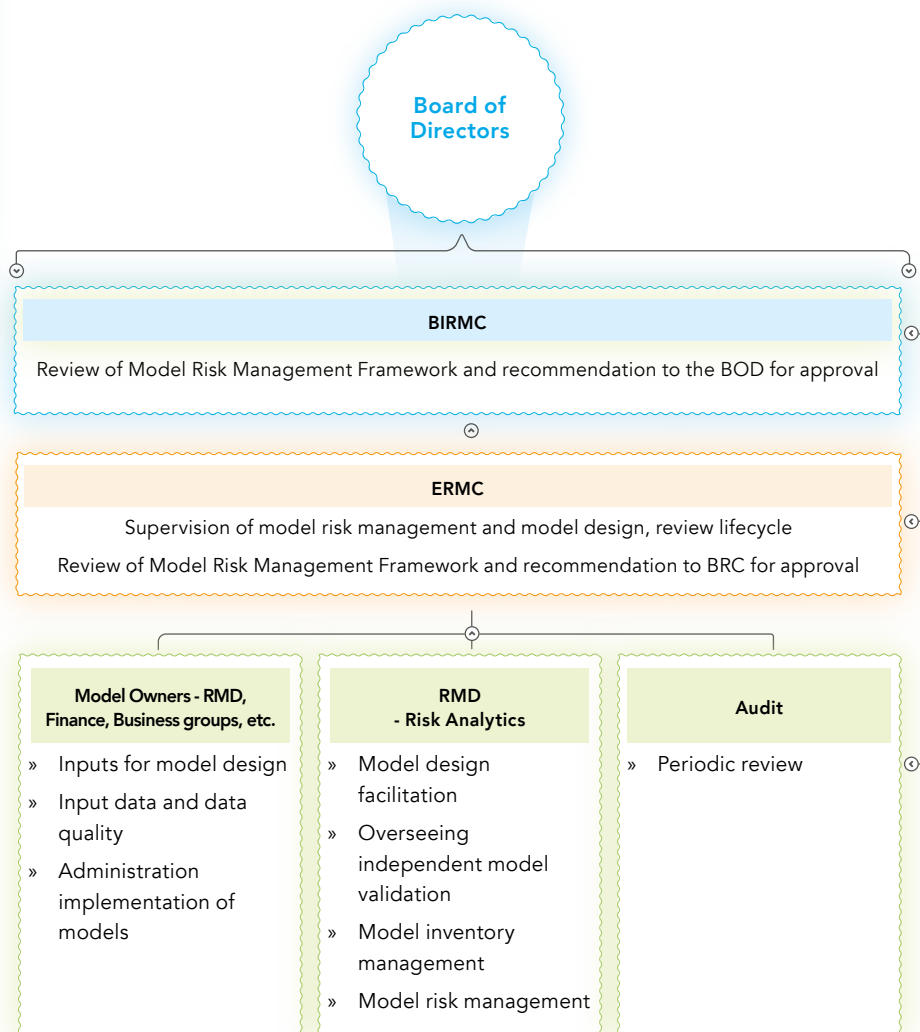
To mitigate the Model Risk, the Bank carries out supplementary model validations considering changes in the nature and structure of existing risks and the emergence of new risk.

Monitoring

There is cross-departmental involvement in various stages of model development, implementation and review; with the oversight of the Board of Directors, through the BIRMC.

The performance of models against actual results are reported via dashboards and other monthly reporting methods. Further, the Bank also obtains independent validation of data quality and model processes to strengthen model risk management.

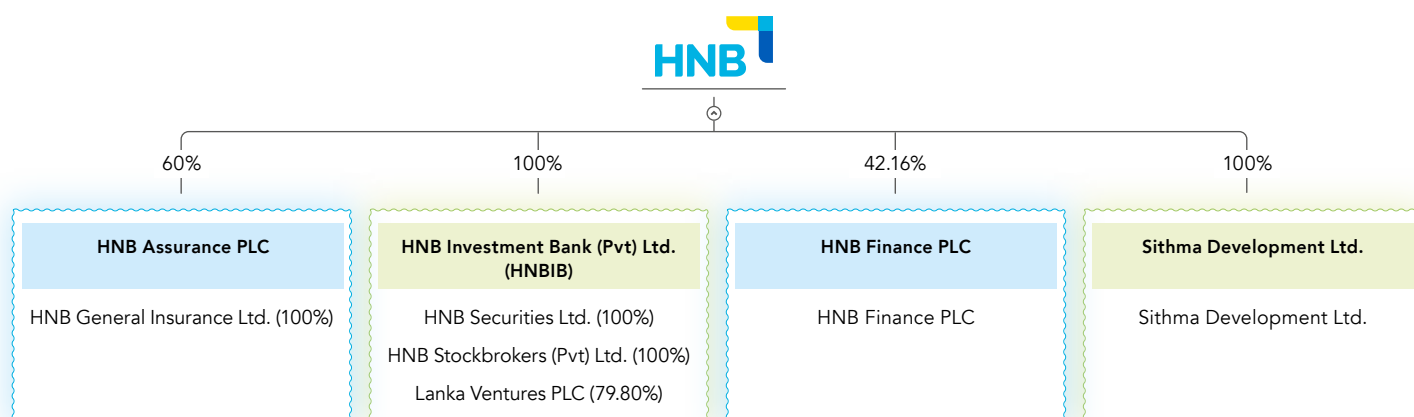
Figure 20: Model Risk Governance Structure



Group Risk

The HNB Group comprises four subsidiaries, out of which three are engaged in the provision of financial services.

- » HNB Investment Bank (Pvt) Ltd. (previously known as Acuity Partners (Pvt) Ltd.) is a joint venture providing investment banking services which has three subsidiaries which make up a fully-fledged wealth management and investment banking cluster.
- » HNB Assurance PLC and HNB Finance PLC are listed on the Colombo Stock Exchange. These two subsidiaries are regulated by the Insurance Regulatory Commission of Sri Lanka and the Central Bank of Sri Lanka. Activities of HNB Investment Bank (Pvt) Ltd. are subject to regulations of the SEC as market intermediaries.
- » Sithma Development Ltd., the fourth subsidiary is the real estate arm of the HNB Group.



Mitigation & Monitoring

Risk management of the Group companies are overseen by the HNB's Corporate Management team and they are on the Boards of Group companies. The risk management divisions of the Group companies forward risk management review reports including the key risk concerns to the Risk Division and Compliance Division of HNB. These reports identify the key risks faced by each entity, measures taken to manage or mitigate the risks and are reviewed by the Risk Management Department of the Bank and tabled at the BIRMC meeting for further guidance. Risk aggregating poses some challenges due to the varying operating models of the Group companies and the Bank continues to address this to facilitate assessment

of the Bank's material risks as a group. Accordingly, the Bank's Risk Management Department has developed a Group Risk Dashboard to monitor subsidiary specific financial and nonfinancial risk parameters covering changes to Group structure, general and specific financial highlights of each subsidiary, adherence to respective governing authorities, compliance breaches if any and non-financial risks faced by respective subsidiaries on a quarterly basis.

Effectiveness of the Group risk management is supported by the following:

- » All Group companies indicate healthy financial positions at the close of the year despite an exceptionally challenging year.

- » HNB's capital at risk is limited to the amounts invested in these companies in the form of equities at the time of these companies were incorporated or acquired.
- » Key Management Personnel/Director representation on Boards of Group companies support alignment to core values, business strategy and a sufficient information flow.
- » Group companies engaged in Insurance, Finance Business and Investment Banking are subject to regulatory oversight and have structures in place to facilitate compliance.

Group Co.	Board Representation	Chairman	Board Risk Committee Representation
HNB Assurance PLC	✓		✓
HNB Investment Bank (Pvt) Ltd.	✓	✓	✓
Sithma Development Pvt Ltd.	✓	✓	
HNB Finance PLC	✓		✓

RISK & CAPITAL REVIEWS

HNB Assurance PLC (HNBA)

As a leading insurer in the country, HNB Assurance PLC (HNBA) and its fully-owned subsidiary HNB General Insurance Limited (HNBGI) maintain stringent compliance and risk management systems. These companies also comply with multiple regulatory frameworks including the regulations of the Insurance Regulatory Commission of Sri Lanka, the CSE and the SEC.

The key risk indicators of these two subsidiaries are given below and a summary of their performance is given below.

Capital Adequacy Ratio	HNB Assurance PLC	HNB General Insurance
HNBA	A(lka)	A(lka)
283%	OUTLOOK: STABLE	OUTLOOK: STABLE
HNBGI		
190%		

Key Risk Indicator	2025	2024
HNB Assurance PLC		
Claims Ratio (without policy maturities)	9%	10%
Expense Ratio	48%	53%
Combined Ratio	72%	76%
Capital Adequacy Ratio	283%	377%
HNB General Insurance Limited		
Claims Ratio	70%	67%
Expense Ratio	37%	41%
Combined Ratio	107%	108%
Capital Adequacy Ratio	190%	219%

KEY INITIATIVES IN 2025

- Revamped Key Risk Indicators (KRIs) covering insurance risk, operational risk, HR risk, Business risk, Investment risk, compliance risk, finance risk and IT risk.
- Conducted stress testing and scenario analysis based on the current economic conditions.
- Ensured company policies align with regulatory compliance and internal controls, including risk assessment for Anti-Money Laundering (AML) compliance, cyber security and system access reviews.
- Ensured company policies align with regulatory compliance and internal controls, including risk assessment for customer complain compliance and firewall security and system access reviews.
- Initiated "Branch Risk and Control Self-Risk Assessment" and through that Risk & Control Department remotely monitor the compliance status of entire branch network operations.
- Initiated real-time "Incident Reporting" system and appointed risk champions to head office and whole branch network.
- Key initiatives to be complied with Personal Data Protection Act (PDPA).
- Key initiatives to adhere ESG reporting to adopt SLFRS S1 and S2.
- Conducted business continuity planning (BCP) tests and disaster recovery simulations throughout the year, with results reviewed by the Board Risk Management Committee.

HNBA Group's Risk Management Policy Framework

HNBA Group operates a robust and Integrated Risk Management Framework that enables the effective identification, assessment, monitoring, and mitigation of risks across the organisation, supporting sound decision making, regulatory compliance, and long-term sustainability. The framework is underpinned by a strong governance structure, with the Board of Directors setting the risk appetite and providing strategic oversight, supported by the Board Risk Management Committee and Executive Management Committee to ensure effective implementation. Risks across underwriting, market, credit, operational, liquidity, regulatory, and reputational domains are systematically managed through periodic reviews, Key

Risk Indicator monitoring, scenario analysis, and stress testing, with clear risk ownership at the business unit level and independent oversight by Risk Management and Compliance functions. The framework is further strengthened by a Three Lines of Defence model, comprehensive policies and internal controls, and the use of advanced analytics, automated systems, and digital risk tools to enhance risk assessment and reporting. The Compliance Risk is managed by the submission of confirmation on compliance to the Compliance Division of HNB on a quarterly basis.

The following officials of the Bank are Directors of HNBA, facilitating alignment of values and culture:

Name	Role in HNBA	Role at the Bank
Mr Sanjay Wijemanne	Non Independent/ Non-Executive Director - HNBGI	Senior Executive Vice President/ Chief Operating Officer
Mr Arjuna Abeygunasekara	Non Independent/ Non-Executive Director - HNBGI	Executive Vice President/ Chief Treasurer

RISK & CAPITAL REVIEWS

HNB Finance PLC (HNBF)

HNBF has a comprehensive risk management framework aligned to the Bank's risk objectives and parameters that reflects the Company's status as a full-fledged finance company listed on the CSE in 2020. Its risk profiles are shaped by a legacy of microfinance business with more recent successful penetration into the leasing market segment, extending the customer life cycle and broad basing the market segments.

The key risk indicators of HNBF are given below while a summary of its performance is given below.

Capital Adequacy Ratio	HNB Finance PLC
13.24%	A(lka)
	OUTLOOK: STABLE

Key Risk Indicator	2025	2024
Deposit Growth (%)	50.60%	8.16%
Advances Growth (%)	72.74%	20.78%
Profitability (Rs. Mn)	1,684	938
Total Assets (Rs. Mn)	85,969	53,067
Shareholder Funds (Rs. Mn)	8,855	5,999
CAR (%) Total Capital	13.24%	11.16%
Impairment Charge (%)	14.78%	18.64%
Impaired Portfolio (Rs. Mn)	6,368	6,704.8
Stage 3 Ratio (%)	9.70%	19.17%

For the fiscal year 2025, HNB Finance PLC reported a profit of Rs 1,684 million, reflecting a strong financial performance. Net Interest Income (NII) increased by 46.5%, primarily due to the strategic growth in lending activities.

The Chief Risk Officer (CRO) of HNB PLC was a member of the Board Integrated Risk Management Committee (BIRMC) of HNB Finance PLC (held this position until 8 January 2026) and provided guidance on the development and enhancement of risk management policies, structures, processes, and controls, leveraging the extensive expertise of the Bank's risk management function.

The following officials of the Bank are Directors of HNBF, facilitating alignment of values and culture:

KEY INITIATIVES IN 2025

- Reviewed and approved the ICAAP, based on the recommendation of the BIRMC, to further strengthen the Company's capital management framework.
- Enhanced the assumptions and scenarios under the Board-approved Integrated Stress Testing Policy.
- Updated the Credit Risk Management Policy in compliance with Finance Business Act Direction No. 02 of 2024.
- Conducted Business Continuity Plan (BCP) testing across all departments and Disaster Recovery (DR) drills for IT systems to strengthen operational resilience.
- Implemented a framework to assess individual and aggregate branch-level risks, with quarterly reviews by the BIRMC.
- Ensured ongoing monitoring and effective implementation of the Information Security Policies Manual and ISMS procedures to maintain compliance with ISO 27001, and fully implemented Data Loss Prevention and Information Rights Management controls.
- Updated the Operational Risk Management Policy in line with Finance Business Act Direction No. 04 of 2024.
- Reviewed and enhanced the Anti-Fraud Policy to strengthen governance and fraud risk controls.
- Reviewed and updated the Integrated Risk Management Policy and Risk Appetite Framework to ensure alignment with strategic objectives and regulatory requirements.
- Strengthened credit scoring models based on the outcomes of periodic model reviews.
- Continued staff training programmes on credit evaluation, risk management, and credit scoring.

Name	Role in HNBF	Role at the Bank
Mr Ruwan Manatunga	» Non-Independent Non-Executive Director » Chairman of the Board Recovery Committee & Board Credit Committee » Committee Member of BIRMC and Board Related Party Transactions Review Committee	Executive Vice President/ Chief Risk Officer
Mr Rajive Dissanayake	» Chairman/Non-Independent Non-Executive Director » Chairman of the Board Strategic & Investment Review Committee » Committee Member of the Board Human Resources & Remuneration Committee, Board Nominations & Governance Committee and Board	Executive Vice President/ Head of SME & Micro Finance

HNB Investment Bank (Pvt) Ltd (HNBIB)

The HNB Investment Bank Risk exposure is monitored and followed by the group's Audit Committees with oversight by HNB BIRMC. The group submits a monthly and quarterly report on risk management activities to the Board Integrated Risk Management Committee of the Bank. In addition, HNB conducts a Group Governance follow-up meeting on a quarterly basis with HNBIB and provides timely supervision, to be in line with the HNB group's risk management framework. The Margin Trading operations & Corporate Finance operations of HNB Investment Bank (Pvt) Ltd. and the stockbroking license of HNB Stockbrokers (Pvt) Ltd. are regulated by the SEC and they comply with its requirements. HNB Securities Ltd. is regulated by CBSL and LVL PLC Group, being a listed entity comes under the supervision of CSE.

Material risks identified by the HNBIB Group are Market Risks, Compliance Risks, Interest Rate Risk and Liquidity Risk. Such risks are assessed and mitigated through laid-down procedures based on internal and regulatory procedures. Additionally, Lanka Ventures PLC and its group entities are materially impacted by the currency devaluation and adverse weather patterns as its portfolio comprises investments in Bangladesh and renewable energy, respectively. However, climate change risks are largely mitigated through diversification, as the portfolio covers thermal, solar, wind and hydro power generation and the impact from currency devaluation is managed through hedge arrangement by utilising USD-denominated borrowings.

Debt to Equity Ratio

46%

Profit After Tax

Rs 2.06 Bn

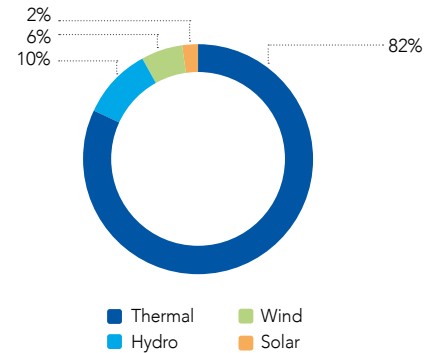
Key Risk Indicator	2025	2024
ROE	14.20%	26.80%

HNB Investment Bank Group recorded a PAT of Rs 2.06 Bn. The surge in the turnover levels of the Colombo Stock Exchange assisted HNB Stockbrokers (Pvt) Ltd. to end the year with a strong performance while HNB Securities Ltd. (HSL) was also able to close the year on a high note, amid adverse fluctuations in interest rates that prevailed during the second half of the year 2025.

The Corporate Finance arm of HNBIB was able to record a higher revenue, driven by renewed interest in investors towards the low interest environment.

The following officials of the Bank are Directors of HNBIB, facilitating oversight and alignment of values and culture:

Break-up of Installed power Generation capacity



KEY INITIATIVES IN 2025

- HNB Securities Ltd. obtained a A (Stable) rating from Fitch rating.
- Opened a branch in Jaffna.
- HNBIB has formed a strategic Partnership with Dhivehi Investment Partners with the intention of exploring joint mandates for clients in the Maldives.
- The CF Division completed the 1st High Yield Bond in the country for a NBFI.
- The CF Division completed multiple cross border transactions during the Year.
- HNB Stockbrokers Pvt Ltd fully digitalised the account opening process.
- Implementation of a Personal Data Protection Policy (PDP) in accordance with the regulatory and legal requirement.
- Enhanced brand visibility across diverse media channels.

Name	Role in HNBIB	Role at the Bank
Mr Damith Pallewatte	» Chairman - HNBIB	Managing Director/Chief Executive Officer
Mr Sanjay Wijemanne	» Director HNBIB, HNB Stockbrokers (Pvt) Ltd., Lanka Ventures PLC and Lanka Ventures Energy Fund PLC	Senior Executive Vice President/Chief Operating Officer
Mr Arjuna Abeygunasekara	» Director HNB Securities Ltd.	Executive Vice President/Chief Treasurer

RISK & CAPITAL REVIEWS

Sithma Development (Pvt) Ltd.

Sithma Development owns and manages the landmark building of the Bank's head office and manages the branch premises owned by the Bank. Risks related to Sithma are monitored by the Bank's Audit Committee and BIRMC in addition to the Board of the subsidiary and the Bank in its role as the parent company.

Typically, the main risks faced by the subsidiary are Market Risk and Compliance Risk. The value of its assets and rental revenues are impacted by real estate market movements.

However, the prime location and A grade facilities of the building act as a strength. As the building houses over 2,500 people, compliance with best practice in health and safety standards including fire detection and prevention is a key aspect of risk that is monitored continuously.

The improving economic environment during the year presented a mix of opportunities and challenges for HNB's Real Estate segment, represented by Sithma. Demand from the corporate sector for Grade-A office space strengthened in line with the gradual revival in business activity. On the other hand, the Company experienced tenant attrition due to space limitations that hindered tenant expansions, resulting in some occupiers relocating from HNB Towers.

Heightened competitive pressures within the commercial real estate market further intensified these challenges. In response, Sithma adopted a proactive client retention strategy, anchored on continuous upgrades to building infrastructure and facilities.

KEY INITIATIVES IN 2025

- Modernising legacy systems to enhance energy efficiency and ensure zero downtime, most notably through the replacement of the Medium Voltage (MV) panels at the Towers.
- Rental pricing strategies were reviewed and revised upward during the year to align with prevailing market rates for commercial real estate.

A Grade Smart Building

Value of Properties	Rs '000
HNB Towers - No 479, TB Jayah Mawatha, Colombo 10.	
Net Book Value	7,624,049
Market Value	18,927,900
SMART Building - No 21, Janadhipathi Mawatha, Colombo 1.	
Net Book Value	48,985
Market Value	484,300
Building at Kegalle	
Net Book Value	69,829
Market Value	218,000

	2025 Rs '000	2024 Rs '000
Revenue from Rental		
Rental Income	1,175,846	1,072,371
Profitability		
Profit After Tax	483,654	355,244
Equity & Debt		
Equity & Reserves	8,486,242	8,690,834
Liabilities	2,448,218	2,567,560
Total Equity & Liabilities	10,934,460	11,258,394



Phases of **ABUNDANCE**

Flowering marks the natural expression of a healthy, well-formed tree. Through its blossoms, the tree reveals its full potential, reflecting the cumulative strength built steadily over time. At this stage, growth is no longer anticipated but fully realised and sustained.

HNB's financial performance in the year under review, reflects this maturity. Through disciplined execution and consistent strategy, our results emerge with clarity, demonstrating the strength of foundations built over time and the value created through deliberate, long-term growth.

FINANCIAL CALENDAR

FINANCIAL CALENDAR	2025	2026
56th Annual General Meeting held on	27th March 2025	-
Rs15.00 per share Final Dividend for 2024 paid on	21st April 2025	-
Audited Financial Statements for 2025 signed on	25th February 2026	-
57th Annual General Meeting to be held on	31st March 2026	-
Rs 20.00 per share Final Dividend for 2025 payable in* (Rs. 15.00 in the form of cash and Rs. 5.00 in the form of scrip)	April 2026	-
58th Annual General Meeting to be held in	-	March 2027
Final Dividend for 2026 payable in**	-	April 2027

Financial Calendar

*Subject to confirmation by Shareholders

**Subject to confirmation by Directors and Shareholders

Interim Financial Statements published / to be published in terms of Rule 7.4 of the Colombo Stock Exchange and as per the requirements of the Central Bank of Sri Lanka

	Colombo Stock Exchange		Newspapers (as required by CBSL)			
	2025	2026	2025 (Published on)			2026 (To be published on or before)
	(Published on)	(To be published on or before)	English	Sinhala	Tamil	In all three languages
1st Quarter Interim Results	9th May 2025	15th May 2026	23rd May 2025	27th May 2025	27th May 2025	31st May 2026
2nd Quarter Interim Results	13th August 2026	15th August 2026	25th August 2025	28th August 2025	28th August 2025	31st August 2026
3rd Quarter Interim Results	12th November 2026	15th November 2026	25th November 2025	27th November 2025	27th November 2025	30th November 2026
4th Quarter Interim Results	26th February 2026	28th February 2027	31st March 2026*	31st March 2026*	31st March 2026*	31st March 2027

* To be published on or before 31st March 2026

MANAGING DIRECTOR /CHIEF EXECUTIVE OFFICER'S AND CHIEF FINANCIAL OFFICER'S RESPONSIBILITY STATEMENT

The financial statements of Hatton National Bank PLC (the "Bank") and the consolidated financial statements of the Group as at 31st December 2025 are prepared and presented in compliance with the requirements of the following:

- Sri Lanka Accounting Standards issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka),
- Companies Act No 7 of 2007 and amendments thereto
- Sri Lanka Accounting and Auditing Standards Act No 15 of 1995,
- Banking Act No 30 of 1988 and the Directions, Determinations and Guidelines issued by the Central Bank of Sri Lanka, amendments thereto
- Listing Rules of the Colombo Stock Exchange,
- Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka)

The formats used in the preparation of the financial statements and disclosures made in this annual report and the interim financial statements comply with the formats prescribed by the Central Bank of Sri Lanka. The Group presents the financial results to its shareholders on a quarterly basis.

The material accounting policies used in the preparation of the financial statements are appropriate and are consistently applied by the Group. The material accounting policies and estimates that involved a high degree of judgment and complexity were discussed with the Board Audit Committee and external auditors. Comparative information has been reclassified wherever necessary to comply with the current presentation. There are no departures from the prescribed accounting standards in their adoption. The estimates and judgments relating to the financial statements were made on a prudent and reasonable basis to ensure that the financial statements reflect a true and fair view, and the form and substance of transactions and the Bank's state of affairs are reasonably presented.

We confirm that to the best of our knowledge that the financial records have been properly maintained and the financial statements give a true and fair view of the Group's operations and finances. We confirm that the Bank and the Group has adequate resources to continue operations in the foreseeable future and have adopted the 'going concern' basis in preparing these financial statements.

We confirm that, the Group has taken proper and sufficient care in installing a system of internal controls framework, to ensure safeguarding of assets and for preventing and detecting frauds as well as other irregularities, which are reviewed, evaluated, and updated on an ongoing basis. We have reviewed the internal controls for the financial year under review and to the best of our knowledge are satisfied that there were no significant deficiencies and weaknesses in the design or operation of internal controls. The Bank's internal auditor has conducted periodic audits to provide reasonable assurance that the established policies and procedures of the Bank are consistently followed. However, there are inherent limitations that should be recognised in weighing the assurances provided by any system of internal controls and accounting. The financial statements of the Group for the year 2025 were audited by Messrs KPMG, Chartered Accountants, the independent external auditors. Their report is given in pages 326 to 330.

The Board Audit Committee of the Bank meets periodically with the internal audit team and the independent external auditor to review their audit plans, assess the manner in which the auditors are performing their responsibilities, and to discuss their reports on internal controls and financial reporting issues. To ensure complete independence, the external auditor and the internal auditor have access to the members of the Board Audit Committee to discuss any matter of substance, details of which are given in the 'Board Audit Committee Report' in pages 259 to 262.

The Board Audit Committee approves the audit and non-audit services provided by external auditor, Messrs KPMG, in line with the

Bank's policy on non-audit services provided by the external auditors, in order to ensure that the provision of such services does not impair KPMG's independence.

We confirm that to the best of our knowledge,

- The Bank and the Group have complied with all applicable laws, regulations, and prudential requirements; there are no material non-compliances; there are no material litigations and open tax assessments that are pending against the Bank and the Group other than those disclosed in the Note 59 (c) to the financial statements in this Annual Report; and
- All taxes, duties, levies, and all statutory payments payable by the Bank and the Group and all contributions, levies, and taxes payable on behalf of and in respect of the employees of the Bank and the Group as at 31st December 2025, have been paid, or where relevant provided for.



Damith Pallewatte
Managing Director/Chief Executive Officer



Anuradhi Delage
Chief Financial Officer

Colombo, Sri Lanka
25th February 2026

DIRECTORS' RESPONSIBILITY FOR FINANCIAL REPORTING

The responsibility of the Board of Directors in relation to the financial statements of the Bank and the Group companies prepared in accordance with, LKAS & SLFRS and prescribed in the provisions of the Companies Act No. 7 of 2007 and amendments thereto, is set out in the following statement.

The responsibility of the external auditor in relation to the financial statements are set out in the report of the auditors given on pages 326 to 330.

In terms of sections 150 (1), 151, 152, and 153 (1) & (2) of the Companies Act No 7 of 2007 and amendments thereto, the Directors are required to prepare financial statements for each financial year and present them before a general meeting. The financial statements comprise the statement of financial position as at 31st December 2025, the income statement, the statement of profit or loss and other comprehensive income, the statement of changes in equity and the statement of cash flow for the year then ended and the accompanying notes.

In preparing these financial statements, the Directors are required to ensure that:

- appropriate accounting policies have been selected and applied in a consistent manner and material departures, if any, have been disclosed and explained;
- judgements and estimates have been made which are reasonable and prudent; and
- all applicable accounting standards, as relevant, have been complied with;

The Directors must also ensure that the Bank and the Group companies have adequate resources to continue as going concerns. In this regard, the Directors have considered the implications of the current economic conditions on the Group's business operations and financial performance during the year.

Further, the Directors are responsible for ensuring that each entity within the Group maintains adequate accounting records that disclose, with reasonable accuracy, the financial position of the Bank, its subsidiaries and the Group.

Accordingly, the Board of Directors confirms that the financial statements of the Group and the Bank, give a true and fair view of; the

financial position as at 31st December 2025 and the financial performance for the year then ended.

COMPLIANCE REPORT

- Financial statements presented in this report have been prepared in accordance with Sri Lanka Accounting Standards (commonly referred as "SLFRS"/"LKAS"), together with the specific disclosures required by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka). They are consistent with the underlying books of accounts and comply with the requirements of Companies Act No 7 of 2007, the Sri Lanka Accounting and Auditing Standards Act No 15 of 1995, the Banking Act No 30 of 1988 (and amendments thereto), the Listing Rules of the Colombo Stock Exchange (CSE) and the Code of Best Practice on Corporate Governance 2023 issued by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka). In addition, these financial statements comply with the prescribed format issued by the Central Bank of Sri Lanka for the preparation of annual financial statements of licensed commercial banks. The financial statements and related disclosures appear on pages 332 to 537.
- The Directors have instituted effective and comprehensive systems of internal control for identifying, recording, evaluating and managing the significant risks faced by the Bank during the year.

These controls, which are regularly reviewed by the Board, include internal reviews and internal audit processes, as well as the full system of financial and operational controls required to conduct banking activities in an orderly manner, safeguard assets, prevent and detect fraud and irregularities, and ensure the accuracy and reliability of records. The results of these reviews for the year ended 31 December 2025 are presented on pages 266 to 267 in the Directors' Statement on Internal Control over Financial Reporting. The External Auditor's Assurance Report on the Directors' Statement on Internal Control is given on page 266.

- To the best of their knowledge, the Directors are satisfied that all statutory payments due to regulatory and statutory

authorities by the Bank and the Group as at the reporting date have been paid or, where relevant, provided for, except as disclosed under contingent liabilities in Note 59 to the financial statements.

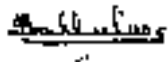
- The Directors have taken appropriate steps to ensure that the Bank and the Group maintain proper books of account and review the financial reporting system at regular Board meetings and through the Board Audit Committee. The report of the Board Audit Committee is presented on pages 259 to 262. The Board of Directors also approves the interim and annual financial statements prior to their release, based on the review and recommendation of the Board Audit Committee.
- The Board of Directors accepts responsibility for the integrity and objectivity of the financial statements presented in this report.
- The Bank's external auditor, Messrs. KPMG, has been provided with every opportunity to carry out whatever reviews and checks on the system of internal control they may consider appropriate and necessary for expressing their independent audit opinion on the financial statements.
- The Bank's financial statements are in compliance with the provisions of the Banking Act No. 30 of 1988 relating to the issuance of financial statements and disclosure provisions, and no occurrences of losses were identified that would materially reduce stated capital or irregularities that jeopardise the interests of depositors or creditors. The Bank's obligations to depositors are adequately covered by its assets. The External Auditor has examined the financial statements along with all financial records, related data, and minutes of shareholder and Board meetings. Their report appears on pages 326 to 330.
- The financial statements of the Bank and the Group have been certified by the Chief Financial Officer of the Bank, the officer responsible for their preparation, as required by Sections 150 (1) (b) and 152 (1) (b) of the Companies Act No 07 of 2007 and amendments thereto. The financial statements of the Bank and the

Group have been signed by two Directors and the Company Secretary of the Bank on 25th February 2026 in compliance with Sections 150 (1) (c) and 152 (1) (c) of the Companies Act.

- As required under Section 56(2) of the Companies Act No. 7 of 2007 and amendments thereto, the Directors have confirmed that, based on available information, the Bank satisfies the solvency test immediately after the distribution of dividends in accordance with Section 57. A certificate from the auditors has been obtained prior to declaring a final dividend of Rs. 20 per share, Rs 15 in the form of cash and Rs 5 in the form of scrip for the year 2025.
- In compliance with Sections 166(1) and 167(1) of the Companies Act No 07 of 2007 and amendments thereto, the Board of Directors has prepared this Annual Report in a timely manner and the Annual Report will be published on the Bank's website and the Colombo Stock Exchange website. The link will be shared with shareholders to enable accessing the Annual Report electronically. The Bank will also provide a printed copy of the Annual Report to any shareholder who requests one, within the period specified under Rule No. 7.5(a) and (b) of the Continuing Listing Requirements of the CSE.
- All shareholders in every category have been treated equitably in accordance with the original terms of issue.

Accordingly, the Directors are of the view that they have discharged their responsibilities as set out in this statement.

By order of the Board



Shiromi Halloluwa
Board Secretary

Colombo, Sri Lanka
25th February 2026



Allowances for Expected Credit Losses

As disclosed in Note 31 & 15 to these financial statements, the Bank and the Group have recorded financial assets measured at amortized cost against loans and advances to customers, of Rs. 1,513,960 Mn and Rs.1,592,680 Mn respectively as at 31st December 2025.

High degree of complexity and judgment are involved in estimating Expected Credit Loss (ECL) (Bank Rs. 80,722 Mn; Group Rs. 87,092 Mn as at the reporting date.

SLFRS 9 Financial Instruments requires the Group to measure ECLs on a forward-looking basis reflecting a range of economic conditions. Post-model adjustments are considered to address known ECL model limitations or emerging trends in the loan portfolios.

Additionally, allowances for individually assessed loans exceeding specific thresholds are assessed. Challenging the assessment of specific allowances based on the expected future cash repayments and estimated proceeds from the value of the collateral held in respect of the loans by the Bank and Group in respect of the loans.

Assessing Significant increase in Credit Risk (SICR) and adequacy of impairment for individually significant customers (ISL) by selecting a sample of customers (based on quantitative thresholds set by the bank and qualitative factors) and our procedures included the following;

- Evaluating management's assessment of recoverability of the forecast cash flows by comparing them to the historical performance of the customers, their financial position and the expected future performance where applicable;
- Assessing external collateral valuer's credentials and comparing external valuations to values used in management's impairment assessments, forecasted timing of future cash flows in the context of underlying valuations and approved business plans on a sample basis;
- Involving a specialist Property valuer to challenge key assumptions and judgments used in the valuation of properties held as collateral for sample of loans, and to assess the reasonableness and accuracy of the valuation methodologies applied.
- Exercising our judgment, our procedures included using our understanding of relevant industries and the macroeconomic environment and comparing with the data and assumptions used in recoverability assessment.
- Testing the implementation of the SICR methodology by re-performing the staging calculation for a sample of loans;
- For a sample of customer loans which were not identified as displaying indicators of impairment by management, we reassessed the conclusions made by the management by reviewing the historical performance of the customers and formed our own view whether any impairment indicators were present.

Assessing the adequacy of collective impairment included the following procedures:

- Obtaining an understanding of the processes to determine ECL allowances, evaluating the ECL model methodologies of the Bank and the Group against established market practices and criteria in the accounting standards;
- Assessing the accuracy of the data used in the ECL models by checking a sample of data fields such as account balance, days past due, interest rate to relevant source systems.
- By working with our Financial Risk Management (FRM) specialist we carried out the following procedures;
 - o Challenge the forward-looking macro-economic assumptions and scenarios incorporated in the ECL models by comparing the economic factors used to relevant publicly available macro-economic information, to identify contradictory indicators;
- Assessing the completeness of additional allowance overlays by checking the consistency of risks we identified in the loan portfolios against the assessment of the Bank and Group;

INDEPENDENT AUDITOR'S REPORT



Allowances for Expected Credit Losses

Assessing the adequacy of post model adjustments

We challenged key assumptions in the components of the Bank and Group's post-model adjustments to the ECL allowance balance. This included:

- Assessing post-model adjustments against the ECL model and data deficiencies identified in the ECL model validation processes, particularly in light of the significant volatility in economic scenarios;
- Comparing underlying data used in concentration risk and economic cycle allowances to underlying loan portfolio characteristics of recent loss experience, current market conditions and specific risks (including exposure to risk elevated sectors) in the loan portfolios;
- Assessing certain post-model adjustments identified by the Bank and Group against internal and external information;
- Assessing the completeness of post-model adjustments by checking the consistency of risks we identified in the loan portfolios against the Bank and Group's assessment.

We also assessed the appropriateness of the related disclosures in the financial statements using our understanding obtained from our testing and against the requirements of Sri Lanka Accounting Standards.

IT systems and controls over financial reporting

Risk Description	Our Responses
The Bank and Group's businesses utilize many complex, interdependent Information Technology (IT) systems to process and record a high volume of transactions. The controls over access, changes to and operation of IT systems are key to the recording of financial information and the preparation of financial statements which provide a true and fair view of the Bank and Group's financial position and performance. The IT systems and controls, as they impact the recording and reporting of financial transactions, is a key audit matter as our audit approach could significantly differ depending on the effective operation of the Bank and Group's IT controls.	Our testing focused on the technology control environments for key IT applications (systems) used in processing significant transactions and recording balances in the general ledgers, and the automated controls embedded within these systems which link the technology enabled business processes. Our audit procedures included: • Assessing the governance and higher-level controls in place across the IT Environment, including those regarding policy design, review and awareness, and IT Risk Management practices; • Obtaining an understanding and testing operating effectiveness of the sample of key controls operating in relation to financial accounting and reporting systems, including system access and system change management, monitor system integrity, program development and computer operations; • Data integrity of key system reporting used by us in our audit to select samples and analyse data used by management to generate Financial Statements. • Testing compensating controls, such as reconciliations between systems and other information sources and performed additional substantive testing such as using extended sample sizes and performing data analysis routines over the full population of transactions.



Other Information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements and our auditor's report thereon. The annual report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the annual report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Bank's and Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Bank/Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Bank's and the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank's and Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

INDEPENDENT AUDITOR'S REPORT



From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Bank.

The Bank's financial position is in compliance with the provisions of the Banking Act No.30 of 1988 and the Banking (Amendment) Act No.24 of 2024 relating to the issuance of financial statements and disclosure provisions and, we have not noted any instance to call for an explanation or any information from any officer or agent of the bank in relation to Section 39 (1A).

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is FCA 1798.

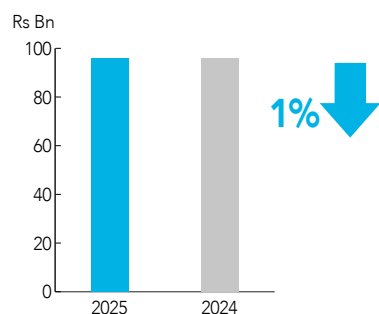
A handwritten signature in black ink, appearing to read 'KPMG' or similar, written over a faint grid.

Chartered Accountants
Colombo, Sri Lanka

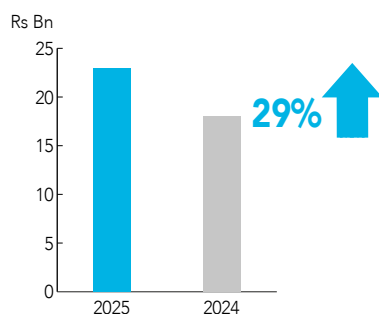
25 February 2026

FINANCIAL HIGHLIGHTS - BANK

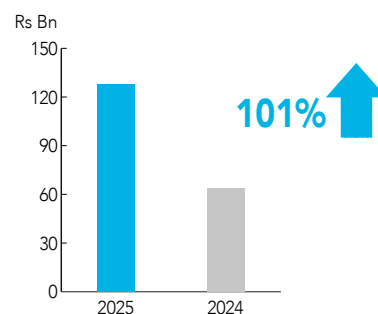
Net Interest Income



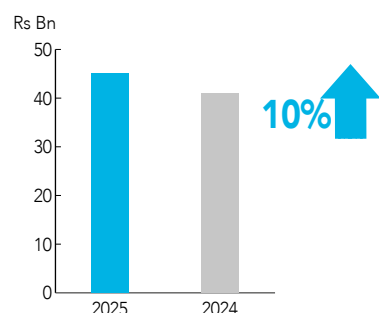
Net Fee and Commission Income



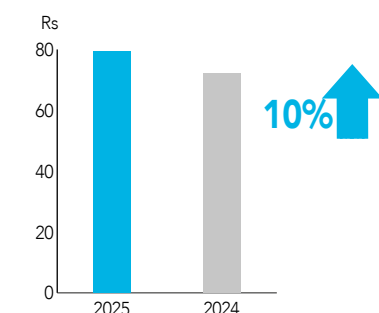
Total Operating Income



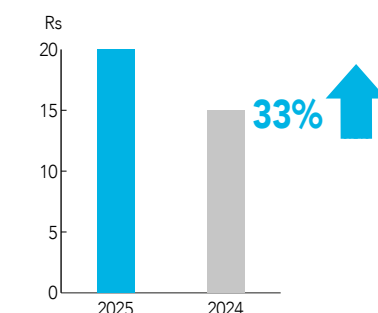
Profit after Tax



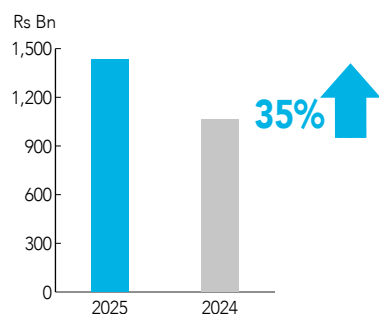
Earnings per Share - Basic



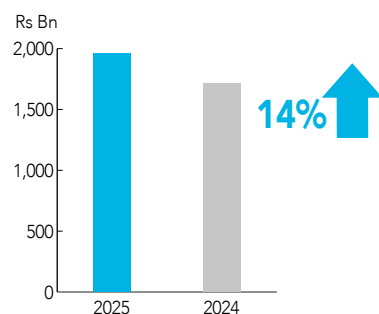
Dividend per Share



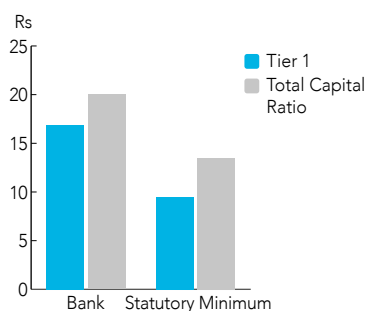
Financial Assets measured at Amortised Cost - Loans and Advances to Customers



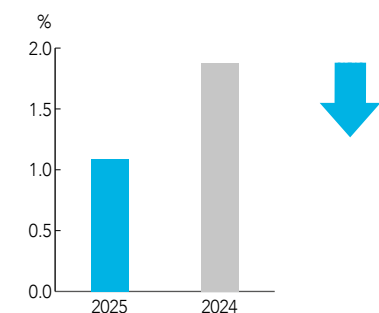
Financial Liabilities measured at Amortised Cost - Due to Depositors



Capital Adequacy Ratio



Net Stage 3 ratio



INCOME STATEMENT

For the year ended 31st December	Note	Bank		Group	
		2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Gross income	7	243,601,451	190,538,072	300,747,904	228,476,799
Interest income		210,862,176	222,690,253	239,723,325	240,243,657
Less : Interest expenses		115,125,931	126,402,153	124,614,700	130,478,678
Net interest income	8	95,736,245	96,288,100	115,108,625	109,764,979
Fee and commission income		23,705,737	18,412,099	26,252,858	20,022,671
Less: Fee and commission expenses		708,094	564,359	1,257,739	873,946
Net fee and commission income	9	22,997,643	17,847,740	24,995,119	19,148,725
Net interest, fee and commission income		118,733,888	114,135,840	140,103,744	128,913,704
Net gains / (losses) from trading	10	27,455	(4,308,429)	1,228,016	(3,965,732)
Net gains / (losses) from financial investments at fair value through other comprehensive income	11	451,368	379,172	542,377	506,803
Net insurance premium income	12	-	-	23,770,490	17,968,647
Net losses arising from de-recognition of financial assets measured at amortised cost	13	-	(49,461,541)	-	(49,461,541)
Net other operating income	14	8,554,715	2,826,518	9,230,838	3,162,294
Total operating income		127,767,426	63,571,560	174,875,465	97,124,175
Less: Impairment charge/(reversal) for loans and other losses	15	(9,166,636)	(78,987,828)	(8,395,196)	(77,874,059)
Net operating income		136,934,062	142,559,388	183,270,661	174,998,234
Less : Operating expenses					
Personnel expenses	16	22,939,306	21,189,328	29,837,507	26,328,854
Benefits, claims and underwriting expenditure	17	-	-	22,334,000	17,314,118
Other expenses	18	25,378,608	21,015,257	33,643,099	27,485,811
Total operating expenses		48,317,914	42,204,585	85,814,606	71,128,783
Operating profit before taxes on financial services		88,616,148	100,354,803	97,456,055	103,869,451
Less: Taxes on financial services	19	17,124,122	20,534,046	18,767,963	21,147,935
Operating profit after taxes on financial services		71,492,026	79,820,757	78,688,092	82,721,516
Share of profit of equity accounted investees (net of tax)	20	-	-	797,703	1,377,926
PROFIT BEFORE INCOME TAX		71,492,026	79,820,757	79,485,795	84,099,442
Less: Income tax expense	21	26,065,179	38,478,964	29,672,630	39,259,810
PROFIT FOR THE YEAR		45,426,847	41,341,793	49,813,165	44,839,632
Profit attributable to:					
Equity holders of the Bank		45,426,847	41,341,793	47,592,853	43,538,931
Non-controlling interests		-	-	2,220,312	1,300,701
PROFIT FOR THE YEAR		45,426,847	41,341,793	49,813,165	44,839,632
Earnings per share					
Basic earnings per ordinary share (Rs)	22	79.44	72.30	83.23	76.14
Diluted earnings per ordinary share (Rs)		79.44	72.30	83.23	76.14
Dividend per share	23				
Dividend per share: Gross (Rs)		20.00*	15.00	20.00*	15.00

The notes to the financial statements from pages 342 to 536 form an integral part of these financial statements.

*Final dividend proposed, which is to be approved at the Annual General Meeting.

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the year ended 31st December	Note	Bank		Group	
		2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
PROFIT FOR THE YEAR		45,426,847	41,341,793	49,813,165	44,839,632
Other comprehensive income that will not be reclassified to profit or loss in subsequent periods					
Change in fair value of investments in equity instruments designated at fair value through other comprehensive income		3,204,836	3,043,986	3,206,078	3,042,939
Remeasurement of post-employment benefit obligations	53 (c) vi	(863,399)	(3,138,087)	(973,300)	(3,280,236)
Revaluation gain on freehold land and buildings		-	4,733,055	180,507	5,490,076
Less: Tax expense relating to items that will not be reclassified to profit or loss including the effect of rate change		-	(1,419,916)	(16,622)	(1,632,877)
Total other comprehensive income that will not be reclassified to profit or loss		2,341,437	3,219,038	2,396,663	3,619,902
Other comprehensive income that will be reclassified to profit or loss in subsequent periods					
Debt instruments at fair value through other comprehensive income :					
Net gains/(losses) on investments in debt instruments measured at fair value through other comprehensive income		(192,217)	4,136,290	(71,378)	4,462,226
Net change in expected credit losses of debt securities measured at fair value through other comprehensive income (Net of exchange gain arising from translation)		(227,859)	1,593,267	(227,859)	1,593,267
Unrealised gain/ (Loss) on foreign currency translation on accounted of equity accounted investees				354,220	
Transfer to life policy holder reserve fund	57 (f)	-	-	(139,039)	(190,566)
Share of other comprehensive income of equity accounted investees that will be reclassified to profit or loss		-	-	106,722	(299,689)
Less: Tax expense relating to items that will be reclassified to profit or loss including the effect of rate change		57,672	(1,240,887)	59,693	(1,241,243)
Total other comprehensive income that will be reclassified to profit or loss		(362,404)	4,488,670	82,359	4,323,995
OTHER COMPREHENSIVE INCOME FOR THE YEAR, NET OF TAX		1,979,033	7,707,708	2,479,022	7,943,897
TOTAL COMPREHENSIVE INCOME FOR THE YEAR, NET OF TAX		47,405,880	49,049,501	52,292,187	52,783,529
Total comprehensive income attributable to:					
Equity holders of the Bank		47,405,880	49,049,501	49,820,913	51,477,698
Non-controlling interests		-	-	2,471,274	1,305,831
TOTAL COMPREHENSIVE INCOME FOR THE YEAR		47,405,880	49,049,501	52,292,187	52,783,529

The notes to the financial statements from pages 342 to 536 form an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

		Bank		Group	
As at 31st December		2025	2024	2025	2024
	Note	Rs 000	Rs 000	Rs 000	Rs 000
ASSETS					
Cash and cash equivalents	25	55,375,004	63,356,259	56,743,380	64,065,041
Placements with banks	26	27,317,501	41,858,517	42,282,404	48,656,010
Balances with Central Bank of Sri Lanka	27	37,288,440	6,913,009	37,288,716	6,913,009
Reverse repurchase agreements	28	22,319,688	-	25,046,586	5,280,692
Derivative financial instruments	29	1,976,631	375,060	1,976,631	375,060
Financial assets measured at fair value through profit or loss	30	1,237,231	1,835,469	72,322,060	2,962,612
Financial assets measured at amortised cost - loans and advances to customers	31	1,433,237,237	1,063,675,345	1,505,587,603	1,104,013,319
Financial assets measured at amortised cost - debt and other financial instruments	32	650,618,623	741,761,201	684,366,194	770,020,546
Financial assets measured at fair value through other comprehensive income	33	94,855,469	96,309,470	115,172,024	112,407,299
Investment in equity accounted investees	34	-	755,000	6,382,955	5,553,026
Investment in subsidiaries	35	10,785,759	3,017,285	-	-
Investment properties	36	448,434	453,769	744,786	868,188
Property, plant and equipment	37	30,506,130	30,126,467	57,340,062	55,467,867
Right-of-use assets	38	8,730,560	4,512,346	2,974,167	2,302,947
Intangible assets and goodwill	39	1,718,483	1,322,941	3,645,478	1,808,753
Deferred tax assets	40	891,810	3,393,785	1,340,386	3,941,633
Other assets	41	13,305,385	18,872,133	25,023,466	24,537,698
Total assets		2,390,612,385	2,078,538,056	2,638,236,898	2,209,173,700
LIABILITIES					
Due to banks	42	11,343,172	6,595,571	11,343,172	6,595,571
Derivative financial instruments	29	300,191	1,573,417	300,191	1,573,417
Securities sold under repurchase agreements	43	28,197,135	26,486,104	81,505,432	26,486,104
Financial liabilities measured at amortised cost - due to depositors	44	1,961,851,197	1,715,484,127	2,017,732,197	1,750,259,233
Financial liabilities measured at amortised cost - other borrowings	45	15,511,110	19,740,135	27,213,296	19,742,152
Debt securities issued	46	10,044,766	-	9,986,711	448,108
Current tax liabilities	47	24,351,386	10,435,749	26,968,009	11,387,381
Deferred tax liabilities	40	-	-	6,857,168	6,731,283
Insurance provision - life	48	-	-	49,245,402	38,877,712
Insurance provision - non-life	49	-	-	6,788,999	4,507,058
Other provisions	50	16,987,948	23,486,877	17,294,532	24,269,203
Other liabilities	51	23,525,467	15,082,574	33,364,371	18,579,820
Subordinated term debts	52	28,179,053	28,174,227	32,156,082	29,967,185
Total liabilities		2,120,291,425	1,847,058,781	2,320,755,562	1,939,424,227

As at 31st December		Bank		Group	
		2025	2024	2025	2024
	Note	Rs 000	Rs 000	Rs 000	Rs 000
EQUITY					
Stated capital	54	42,858,227	42,858,227	42,858,227	42,858,227
Statutory reserve fund	55	14,910,000	12,610,000	14,910,000	12,610,000
Retained earnings	56	108,774,720	77,316,202	125,166,317	91,384,909
Other reserves	57	103,778,013	98,694,846	119,850,762	114,507,771
Total shareholders' equity		270,320,960	231,479,275	302,785,306	261,360,907
Non-controlling interests	58	-	-	14,696,030	8,388,566
Total equity		270,320,960	231,479,275	317,481,336	269,749,473
Total equity and liabilities		2,390,612,385	2,078,538,056	2,638,236,898	2,209,173,700
Contingent liabilities and commitments	59	1,009,361,708	867,243,839	1,009,361,708	867,243,839
Net assets value per ordinary share (Rs.)	63	472.74	404.81	529.51	457.07

The notes to the financial statements from pages 342 to 536 form an integral part of these financial statements.

I certify that these financial statements are in compliance with the requirements of Companies Act No 7 of 2007 and amendments thereto.

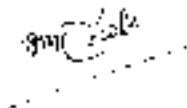


Anuradhi Delage
Chief Financial Officer

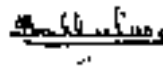
The Board of Directors is responsible for the preparation and presentation of these financial statements.
Approved and signed for and on behalf of the Board.



Damith Pallewatte
Managing Director/Chief Executive Officer



Nihal Jayawardene
Chairman



Shiromi Halloluwa
Board Secretary

25th February 2026

Colombo

STATEMENT OF CHANGES IN EQUITY

Bank	Stated Capital		Other Reserves				Total
	Voting Shares	Non Voting Shares	Statutory Reserve Fund	Capital Reserve	Fair Value Reserve	Special Reserve	
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Note							
Balance as at 1st January 2024	33,553,624	7,401,492	10,410,000	13,927,316	4,273,171	-	56,311,574
Total comprehensive income for the year							184,977,177
Net profit for the year 2024	-	-	-	-	-	-	41,341,793
Other comprehensive income, net of tax	-	-	-	3,313,138	7,532,657	-	(3,138,087)
Total comprehensive income for the year	-	-	-	3,313,138	7,532,657	-	38,203,706
Transactions with equity holders, recognised directly in equity							49,049,501
Contributions by and distributions to equity holders							
Dividends to equity holders							
Final dividend 2023 - Cash	23	-	-	-	-	-	(2,238,954)
Final dividend 2023 - Scrip	23	1,518,616	384,495	-	-	-	(2,238,954)
Total contributions by and distributions to equity holders		1,518,616	384,495	-	-	-	(4,477,908)
Transfer of / (subsequent settlement of) unclaimed dividends	56	-	-	-	-	-	27,394
Transfers during the year 2024		-	-	-	-	-	(12,748,564)
Balance as at 31st December 2024	35,072,240	7,785,987	12,610,000	17,240,454	11,805,828	9,548,564	77,316,202
							231,479,275

The notes to the financial statements from pages 342 to 536 form an integral part of these financial statements.

Bank	Note	Stated Capital		Other Reserves					Total	
		Voting Shares	Non Voting Shares	Statutory Reserve Fund	Capital Reserve	Fair Value Reserve	Special Reserve	General Reserve		Retained Earnings
		Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000		Rs 000
Balance as at 1st January 2025		35,072,240	7,785,987	12,610,000	17,240,454	11,805,828	9,548,564	60,100,000	77,316,202	231,479,275
Total comprehensive income for the year										
Net profit for the year 2025		-	-	-	-	-	-	-	45,426,847	45,426,847
Other comprehensive income, net of tax		-	-	-	-	2,842,432	-	-	(863,399)	1,979,033
Total comprehensive income for the year		-	-	-	-	2,842,432	-	-	44,563,448	47,405,880
Transactions with equity holders, recognised directly in equity										
Contributions by and distributions to equity holders										
Dividends to equity holders										
Final dividend 2024 - Cash	23	-	-	-	-	-	-	-	(8,577,318)	(8,577,318)
Final dividend 2024 - Scrip	23	-	-	-	-	-	-	-	-	-
Total contributions by and distributions to equity holders		-	-	-	-	-	-	-	(8,577,318)	(8,577,318)
Transfer of / (subsequent settlement of) unclaimed dividends	56	-	-	-	-	-	-	-	13,123	13,123
Transfers during the year 2025		-	-	2,300,000	-	-	1,240,735	1,000,000	(4,540,735)	-
Balance as at 31st December 2025		35,072,240	7,785,987	14,910,000	17,240,454	14,648,260	10,789,299	61,100,000	108,774,720	270,320,960

The notes to the financial statements from pages 342 to 536 form an integral part of these financial statements.

STATEMENT OF CHANGES IN EQUITY

Group	Attributable to Equity Holders of the Bank													
	Stated Capital			Other Reserves										
	Voting Shares	Non-Voting Shares	Statutory Reserve Fund	Capital Reserve	General Reserve	Fair Value Reserve	Special Reserve	Life Policy Holder Reserve Fund	Restricted Regulatory Reserve	Exchange Equalisation Reserve	Retained Earnings	Shareholders' Funds	Non Controlling Interests	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2024	33,553,624	7,401,492	10,410,000	28,493,417	59,100,000	4,069,473	-	10,983	381,156	568,207	68,251,694	212,240,046	7,316,735	219,556,781
Total comprehensive income for the year														-
Net profit for the year 2024	-	-	-	-	-	-	-	-	-	-	43,538,931	43,538,931	1,300,701	44,839,632
Other comprehensive income, net of tax	-	-	-	3,831,870	-	7,579,976	-	-	-	(266,441)	(3,206,638)	7,938,767	5,130	7,943,897
Total comprehensive income for the year	-	-	-	3,831,870	-	7,579,976	-	-	-	(266,441)	40,332,293	51,477,698	1,305,831	52,783,529
Transactions with equity holders, recognised directly in equity														
Contributions by and distributions to equity holders														
Dividends to equity holders														
Final dividend 2023 - Cash	-	-	-	-	-	-	-	-	-	-	(2,238,954)	(2,238,954)	(234,000)	(2,472,954)
Final dividend 2023 - Scrip	1,518,616	384,495	-	-	-	-	-	-	-	-	(2,238,954)	(335,843)	-	(335,843)
Total contributions by and distributions to equity holders	1,518,616	384,495	-	-	-	-	-	-	-	-	(4,477,908)	(2,574,797)	(234,000)	(2,808,797)
Transfer to life policy holder reserve fund	57 (f)	-	-	-	-	-	-	190,566	-	-	-	190,566	-	190,566
Transfer of / (subsequent settlement of) unclaimed dividends	56	-	-	-	-	-	-	-	-	-	27,394	27,394	-	27,394
Transfers during the year 2024	-	-	2,200,000	-	1,000,000	-	9,548,564	-	-	-	(12,748,564)	-	-	-
Balance as at 31st December 2024	35,072,240	7,785,987	12,610,000	32,325,287	60,100,000	11,649,449	9,548,564	201,549	381,156	301,766	91,384,909	261,360,907	8,388,566	269,749,473

The notes to the financial statements from pages 342 to 536 form an integral part of these financial statements.

Group	Attributable to Equity Holders of the Bank													
	Stated Capital			Other Reserves									Non Controlling Interests	Total
	Voting Shares	Non-Voting Shares	Statutory Reserve Fund	Capital Reserve	General Reserve	Fair Value Reserve	Special Reserve	Life Policy Holder Reserve Fund	Restricted Regulatory Reserve	Exchange Equalisation Reserve	Retained Earnings	Shareholders' Funds		
Note	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January 2025	35,072,240	7,785,987	12,610,000	32,325,287	60,100,000	11,649,449	9,548,564	201,549	381,156	301,766	91,384,909	261,360,907	8,388,566	269,749,473
Recognition of Non controlling interest on acquisition of subsidiary	-	-	-	-	-	-	-	-	-	-	-	-	3,202,313	3,202,313
Total comprehensive income for the year	-	-	-	-	-	-	-	-	-	-	47,592,853	47,592,853	2,220,312	49,813,165
Net profit for the year 2025	-	-	-	126,205	-	2,686,154	-	-	-	150,858	(735,158)	2,228,059	250,963	2,479,022
Other comprehensive income, net of tax	-	-	-	126,205	-	2,686,154	-	-	-	150,858	46,857,695	49,820,912	2,471,275	52,292,187
Total comprehensive income for the year	-	-	-	126,205	-	2,686,154	-	-	-	150,858	46,857,695	49,820,912	2,471,275	52,292,187
Transactions with equity holders, recognised directly in equity														
Contributions by and distributions to equity holders														
Change in control without changing the ownership	-	-	-	-	-	-	-	-	-	-	28,643	28,643	-	28,643
Rights issue by subsidiary - HNB Finance PLC	-	-	-	-	-	-	-	-	-	-	-	-	918,810	918,810
Dividends to equity holders														
Final dividend 2024 - Cash	-	-	-	-	-	-	-	-	-	-	(8,577,318)	(8,577,318)	(284,934)	(8,862,252)
Total contributions by and distributions to equity holders	-	-	-	-	-	-	-	-	-	-	(8,548,675)	(8,548,675)	633,876	(7,914,799)
Transfer to life policy holder reserve fund 57(f)	-	-	-	-	-	-	-	139,039	-	-	-	139,039	-	139,039
Transfer of / (subsequent settlement of) unclaimed dividends 56	-	-	-	-	-	-	-	-	-	-	13,123	13,123	-	13,123
Transfers during the year 2025	-	-	2,300,000	-	1,000,000	-	1,240,735	-	-	-	(4,540,735)	-	-	-
Balance as at 31st December 2025	35,072,240	7,785,987	14,910,000	32,451,492	61,100,000	14,335,603	10,789,299	340,588	381,156	452,624	125,166,317	302,785,306	14,696,030	317,481,336

The notes to the financial statements from pages 342 to 536 form an integral part of these financial statements.

STATEMENT OF CASH FLOWS

ACCOUNTING POLICY

The statement of cash flows has been prepared using the direct method of preparing cash flows in accordance with Sri Lanka Accounting Standard - LKAS 7 on "Statement of Cash Flows" whereby gross cash receipts and gross cash payments of

operating activities, financing activities and investing activities have been recognised. Cash and cash equivalents comprise of short term, highly liquid investments that are readily convertible to known amounts of

cash and are subject to an insignificant risk of change in value.

The cash and cash equivalents include cash in hand, balances with banks, placements with banks, money at call and short notice.

For the year ended 31st December	Note	Bank		Group	
		2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Cash flows from operating activities					
Interest receipts		203,194,180	201,623,178	227,467,526	218,752,576
Interest payments		(112,428,521)	(128,565,113)	(120,549,785)	(133,557,378)
Net commission receipts		22,858,491	17,684,449	24,855,967	18,985,433
Payments to employees		(22,079,189)	(17,695,193)	(28,956,296)	(22,750,135)
Taxes on financial services		(23,570,433)	(13,319,538)	(24,622,107)	(13,893,960)
Receipts/exchange gain / (loss) from other operating activities		12,787,476	(10,811,220)	20,629,647	8,502,446
Payments for other operating activities		(23,332,071)	(18,746,267)	(40,431,284)	(33,660,738)
Operating profit before changes in operating assets and liabilities		57,429,933	30,170,296	58,393,668	42,378,244
(Increase)/decrease in operating assets					
Balances with Central Bank of Sri Lanka		(30,351,905)	5,320,239	(30,352,181)	5,320,239
Financial assets measured at amortised cost - loans and advances to customers		(348,954,725)	(116,835,715)	(406,931,037)	(123,531,526)
Reverse repurchase agreements		(22,319,688)	-	(19,765,894)	(3,450,231)
Other assets		4,271,795	1,874,838	1,537,430	1,341,578
		(397,354,523)	(109,640,638)	(455,511,682)	(120,319,940)
Increase / (decrease) in operating liabilities					
Financial liabilities measured at amortised cost - due to depositors		222,745,191	167,098,275	279,554,879	172,499,922
Financial liabilities measured at amortised cost - other borrowings		497,496	(7,711,581)	7,757,893	(7,808,132)
Securities sold under repurchase agreements		1,897,494	(35,208,798)	7,103,821	(35,208,798)
Other liabilities		4,488,297	(164,878)	9,804,533	928,835
		229,628,478	124,013,018	304,221,126	130,411,827
Net cash generated (used in)/ generated from operating activities before income tax		(110,296,112)	44,542,676	(92,896,888)	52,470,131
Income tax paid		(9,582,378)	(24,107,062)	(10,707,884)	(25,249,820)
Net cash generated from / (used in) operating activities		(119,878,490)	20,435,614	(103,604,772)	27,220,311
Cash flows from investing activities					
Purchase of property, plant & equipment	37	(2,135,591)	(1,516,991)	(2,575,557)	(1,993,957)
Proceeds from the sale of property, plant and equipment		218	10,650	3,082	36,976
Net proceeds from sale, maturity and purchase of financial investments		104,714,295	(49,949,296)	93,760,145	(52,906,022)
Net purchase of intangible assets	39	(960,504)	(358,166)	(1,381,900)	(499,081)
Acquisition of Subsidiary		(6,500,000)	-	(3,923,373)	-
Investment in Rights Issue of Subsidiary		(513,474)	-	-	-
Dividends received from investment in subsidiaries	14	895,368	893,280	-	-
Dividends received from other investments		320,969	236,374	318,404	236,831
Net cash generated from / (used in) investing activities		95,821,281	(50,684,149)	86,200,801	(55,125,253)

		Bank		Group	
For the year ended 31st December		2025	2024	2025	2024
	Note	Rs 000	Rs 000	Rs 000	Rs 000
Cash flows from financing activities					
Proceeds from the issue from non-controlling interest relating to rights issue of subsidiary		-	-	918,811	-
Proceeds from the issue of subordinated debt	52 (b)	-	12,000,000	1,538,602	12,000,000
Proceeds from the debt security issued	46 (a)	10,000,000	-	10,000,000	
Repayment of subordinated debt/debt securities issued		-	(3,334,074)	-	(4,391,391)
Dividend paid to non controlling interest		-	-	(284,934)	(234,000)
Dividend paid to shareholders of the parent company		(8,496,495)	(2,546,164)	(8,496,495)	(2,547,403)
Net cash generated in financing activities		1,503,505	6,119,762	3,675,984	4,827,206
Net decrease in cash and cash equivalents					
		(22,553,704)	(24,128,773)	(13,727,987)	(23,077,736)
Cash and cash equivalents at the beginning of the year		105,261,283	129,390,056	112,769,278	135,847,014
Cash and cash equivalents at the end of the period		82,707,579	105,261,283	99,041,291	112,769,278
Note [a] - Reconciliation of operating profit before changes in operating assets and liabilities					
Profit before income tax		71,492,026	79,820,757	79,485,795	84,099,442
Amortisation of intangible assets	18 (b)	564,962	595,324	668,511	680,592
Amortisation of right of use assets	18 (b)	823,844	848,063	777,632	891,471
Accretion of interest on right of use assets		591,766	879,192	22,988	421,269
Accrual for interest payable		5,221,439	998,801	7,157,723	540,985
Accrual for interest receivable		(6,941,180)	(20,342,239)	(11,528,982)	(20,766,245)
Accrual for other payables		(4,993,808)	43,457	(22,464,489)	1,008,206
Accrual for other receivables		(2,872,796)	236,388	(2,254,784)	(252,096)
Depreciation of investment property	18 (b)	5,335	5,335	31,592	46,031
Depreciation of property, plant and equipment	18 (b)	1,727,192	1,579,932	2,460,229	2,212,880
Dividend income		(1,349,796)	(1,275,403)	(496,185)	(405,808)
Foreign exchange gain / (loss)	14	2,427,462	(3,773,123)	2,427,462	(3,773,123)
Gain on disposal of property, plant and equipment		42	(10,569)	(824)	(30,818)
Impairment charge for loans and other losses	15	(9,166,636)	(78,655,988)	(8,395,196)	(77,405,549)
Increase in insurance contract liabilities - life		-	-	10,367,690	7,902,452
Movement in general insurance reserve fund		-	-	2,281,941	(187,245)
Net capital gain/(loss) from financial assets measured at fair value through other comprehensive income		-	-	(90,514)	(127,174)
Net capital gain/(loss) from financial assets measured at fair value through profit or loss		(65,776)	(189,376)	(1,119,950)	(224,256)
Net losses arising from de-recognition of financial assets measured at amortised cost		-	49,461,541	-	49,461,541
Net capital gain/(loss) from mark to market valuation on Financial assets measured at fair value through profit or loss		(34,143)	(51,796)	(139,268)	(336,385)
Share of profit of equity accounted investees	20	-	-	(797,703)	(1,377,926)
		57,429,933	30,170,296	58,393,668	42,378,244
Note [b] - Cash and cash equivalents at the end of the year					
Cash and cash equivalents	25	55,386,321	63,384,494	56,754,697	64,093,301
Placements with banks	26	27,321,258	41,876,789	42,286,594	48,675,977
		82,707,579	105,261,283	99,041,291	112,769,278

The notes to the financial statements from page 342 to 536 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

1 REPORTING ENTITY

1.1 Corporate Information

Hatton National Bank PLC (the “Bank”) is a public quoted company incorporated on 5th March 1970 with limited liability and domiciled in Sri Lanka. It is a licensed commercial bank registered under the Banking Act No. 30 of 1988 and amendments thereto. The Bank was re-registered under the Companies Act No. 07 of 2007. The registered office of the Bank is situated at No 479, T B Jayah Mawatha, Colombo 10. The shares of the Bank have a primary listing on the Colombo Stock Exchange. The unsecured subordinated debentures of the bank are also listed on the Colombo Stock Exchange.

The Bank does not have an identifiable parent of its own. The Hatton National Bank PLC is the ultimate parent of the Group.

The structure of the Group is given below.

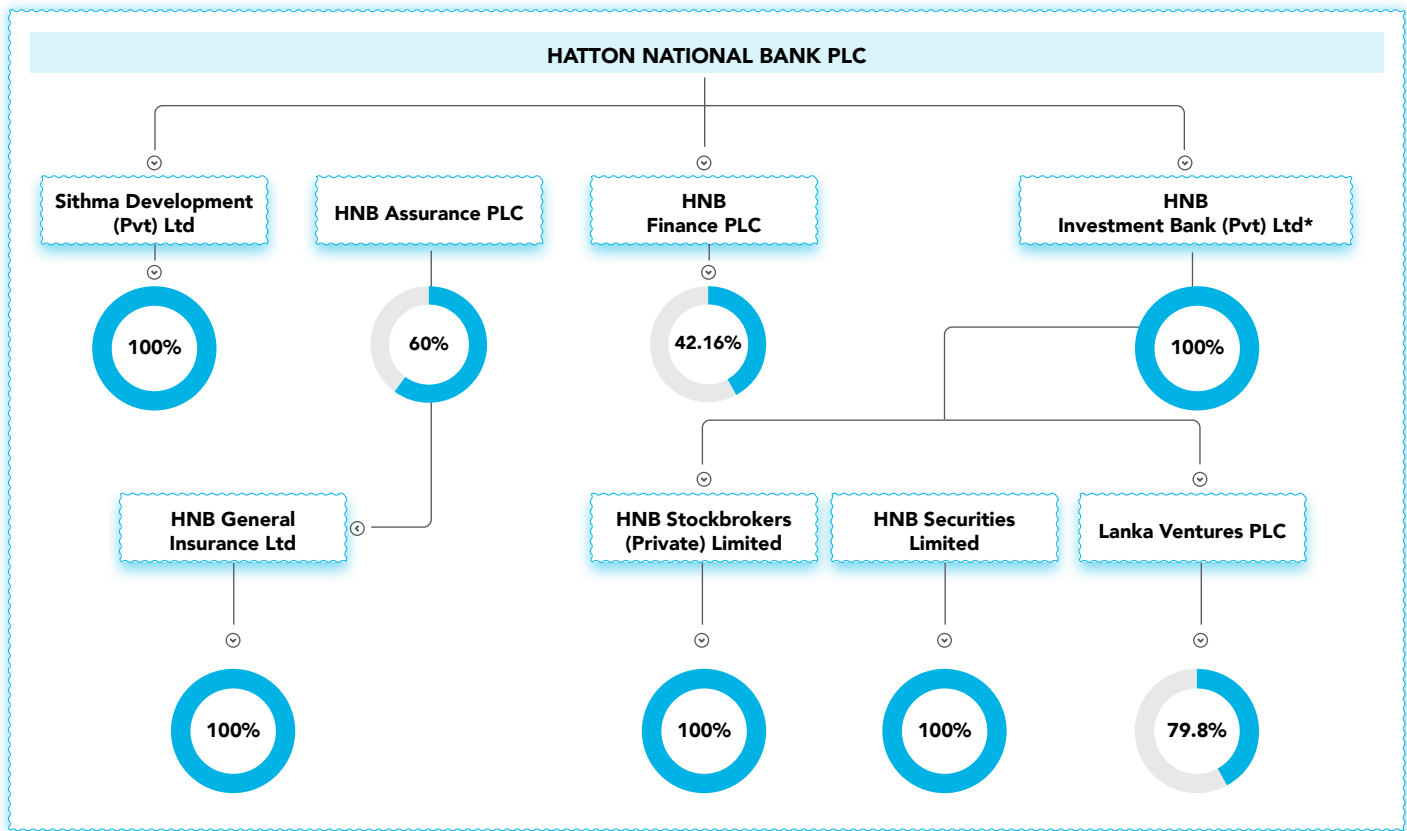
The staff strength of the Bank was as follows:

	Bank	
As at 31st December	2025	2024
Staff strength	5,645	5,577

Corporate information is presented in inner back cover of this Annual Report.

1.2 Consolidated Financial Statements

The consolidated financial statements of the Group for the year ended 31st December 2025 include the Bank and its subsidiaries (together referred to as the “Group” and individually as “Group entities”). The financial statements of all companies in the Group have a common financial year which ends on December 31st except for subsidiary, HNB Finance PLC and Lanka Ventures PLC, (a subsidiary of HNB Investment Bank (Pvt) Ltd), whose financial year ends on March 31st.



*The bank acquired the remaining 50% shares in Acuity Partners (Pvt) Ltd on 21st January 2025. With this acquisition Acuity partners (Pvt) Ltd, which was subsequently rebranded as HNB Investment Bank (Pvt) Ltd, became a wholly owned subsidiary of Hatton National Bank PLC.

** Group’s interest in entities held through Lanka Ventures PLC are listed in Note 34 (e) and Note 35 (d) to the financial statements.

1.3 Principal Activities and Nature of Operations

The principal activities of the group companies comprising of the subsidiaries are summarised below.

Entity	Principal business activity
Hatton National Bank PLC	Banking and related activities such as deposit acceptance, corporate and retail banking, personal financial services, off shore banking, foreign currency operations, trade services, investment banking, development banking, micro finance, project finance, leasing, issuing of local and international debit and credit cards, internet banking, mobile banking, money remittance facilities, dealing in government securities and treasury-related products, value chain financing, pawning, margin trading, digital banking services, bancassurance and islamic banking products and services etc.
Subsidiaries	
HNB Assurance PLC	Provides life insurance solutions for both individual and corporate customers. Life insurance is a protection against financial losses that would result from an insured event adversely affecting the insured. In such situations, the nominated beneficiary receives the proceeds and is thereby safeguarded from financial impacts of the insured event. The benefit paid by a life insurer is consideration in exchange for premium payments made by the insured.
HNB General Insurance Ltd (Fully owned subsidiary of HNB Assurance PLC)	Provides general insurance solutions for both individual and corporate customers. Insurance other than 'Life Insurance' falls under the category of general insurance; Fire, motor, marine and miscellaneous insurance are the main categories under general insurance
Sithma Development (Pvt) Ltd	Construction and letting of premises for commercial purposes and related services
HNB Finance PLC	Provision of microfinance facilities, personal and business loans, leasing, housing loans, gold loans etc. primarily focusing on the lower income segment of the community and mobilisation of public deposits.
HNB Investment Bank (Pvt) Ltd	Provides comprehensive investment banking related solutions to individuals, corporates, and institutions. Its core activities include stockbroking, government and corporate debt trading, equity capital market services, mergers and acquisitions, corporate advisory, and equity research.

There were no significant changes in the nature of the principal activities of the Group during the financial year under review. The group companies are domiciled in Sri Lanka, other than as disclosed in Note 34 (e) to the financial statements.

2 BASIS OF ACCOUNTING

2.1 Basis of Preparation

2.1.1 Statement of Compliance

The consolidated financial statements of the Group and the separate financial statements of the Bank has been prepared in accordance with the Sri Lanka Accounting Standards (the "Accounting Standards"), as issued by The Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka). The Accounting Standards comprise:

- Sri Lanka Financial Reporting Standards ("SLFRS");
- Sri Lanka Accounting Standards ("LKAS");
- Statements of Recommended Practices (SoRPs);
- Statement of Alternate Treatment (SoATs) and
- Financial Reporting Guidelines issued by the CA Sri Lanka.

The Accounting Standards along with FAQs issued are available at the website of CA Sri Lanka www.casrilanka.com.

Further, these statements are consistent with the requirements of the Companies Act No. 7 of 2007, the Banking Act No. 30 of 1988 (including applicable directions and amendments), the Insurance Industry Act No. 43 of 2000, and the Finance Business Act No. 42 of 2011 and its amendments in relation to

information and appropriate disclosures as required by the above.

The Group did not adopt any inappropriate accounting treatments, which are not in compliance with the requirement of the SLFRSs and LKASs, regulations governing the preparation and presentation of financial statements.

Details of the Group's material accounting policies applied during the year are given in notes 3 to 67 on pages 347 to 537. The formats used in the preparation and presentation of the financial statements and the disclosures made therein also complied with the specified formats prescribed by the Central Bank of Sri Lanka (CBSL) in circular No 05 of 2024 dated 31st December 2024, on "Publication of Annual and Quarterly Financial Statements and Other Disclosures by Licensed Banks".

NOTES TO THE FINANCIAL STATEMENTS

2 BASIS OF ACCOUNTING (Contd.)

2.1.2 Responsibility for Financial Statements

The Board of Directors acknowledges their responsibility for financial statements as set out in the "Annual Report of the Board of Directors on the Affairs of the Company", "Directors' Responsibility for Financial Reporting" and the certification on the statement of financial position on pages 243, 325 and 335 respectively.

2.1.3 Approval of Financial Statements by Directors

The financial statements of the Group and the Bank were authorised for issue by the Board of

Directors in accordance with the resolution of the directors on 25th February 2026.

These financial statements include the following components:

- an income statement and statement of profit or loss and other comprehensive income providing the information on the financial performance of the Group and the Bank for the year under review. Refer pages 332 and 333
- a Statement of Financial Position (SOFPI) providing the information on the financial position of the Group and the Bank as at the year end. Refer pages 334 and 335
- a Statement of Changes in Equity depicting all changes in shareholders' funds during the year under review of the Group and the Bank. Refer pages 336 to 339
- a Statement of Cash Flows providing the information to the users, on the ability of the Group and the Bank to generate cash and cash equivalents and utilisation of those cash flows. Refer page 340 and 341
- notes to the financial statements comprising material accounting policies and other explanatory information. Refer pages 347 to 537.

2.1.4 Basis of Measurement

The financial statements have been prepared on the historical cost basis and applied consistently except for the following items in the statement of financial position.

Item	Basis of measurement	Note Reference	Page Reference
Derivative financial instruments	Fair value	29	437
Financial assets measured at fair value through profit or loss	Fair value	30	438
Financial assets measured at fair value through other comprehensive income	Fair value	33	456
Freehold land and buildings	Measured at cost at the time of acquisition and subsequently at revalued amounts which are the fair values at the date of revaluation	37	474
Insurance contract liabilities	Actuarially determined value of life insurance liability estimated based on actuarial guidelines issued by Insurance Regulatory Commission of Sri Lanka (IRCSL)	48	503
Incurred but not reported/incurred but not enough reported liability	Actuarially determined values based on internationally accepted actuarial policies and methodologies	49	505
Defined benefit obligations	Asset/(liability) for defined benefit obligations is recognised as the present value of the defined benefit obligation less the fair value of the plan assets	53	510

2.1.5 Going Concern

The Group's financial statements have been prepared under the assumption of a going concern, as the Board of Directors is confident that the Group possesses sufficient resources to continue its operations into the foreseeable future. This confidence is based on directors' comprehensive assessment, which includes adherence to regulatory capital requirements, and anticipated funding requirements. The

going concern assessment takes into account several factors, with key elements being the Group's profitability, capital, and liquidity. Refer to Note 5.4 and Note 5.7 of the financial statements.

2.1.6 Functional and Presentation Currency

The financial statements of the Group are presented in Sri Lankan Rupees (LKR), which is the currency of the primary economic

environment in which the Group operates (Group's functional currency). Each entity in the Group determines its own functional currency and items included in the financial statements of each individual entity are measured using that functional currency. There was no change in the Group's presentation and functional currency during the year under review.

2.1.7 Presentation of Financial Statements

The assets and liabilities of the Group presented in the statement of financial position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. An analysis on recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (non-current) is presented in Note 61 to the financial statements.

No adjustments have been made for the inflationary factors affecting the financial statements.

2.1.8 Rounding

The amounts in the financial statements have been rounded-off to the nearest rupees thousands except where otherwise indicated, as permitted by the Sri Lanka Accounting Standard - LKAS 1 on "Presentation of Financial Statements".

2.1.9 Materiality and aggregation

Each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or function are presented separately unless they are immaterial as permitted by the Sri Lanka Accounting Standard - LKAS 1 - "Presentation of Financial Statements".

2.1.10 Comparative Information

The comparative information has been reclassified where ever necessary to conform with the current year's classification in order to provide a better presentation. The details of reclassifications are provided in Note 65 to the financial statements.

2.2 Accounting Judgements, Estimates and Assumptions

The preparation of the financial statements requires management to make judgements, estimates and assumptions that affect the reported amount of revenues, expenses, assets, liabilities, and the accompanying disclosures, as well as the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of assets or liabilities affected in future periods. In the process of applying the Group's accounting policies, management has made the following judgements and assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year. Existing circumstances and assumptions about future developments may change due to circumstances beyond the Group's control and are reflected in the assumptions if and

when they occur. Estimates and underlining assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised prospectively. Items with the most significant effect on the amounts recognised in the consolidated financial statements with substantial management judgement and/or estimates are collated below with respect to judgement/estimates involved.

2.2.1 Economic environment

The Sri Lankan economy continued to improve during the year, supported by monetary and fiscal measures, increased foreign exchange reserves, and a gradual recovery in key sectors. These improvements contributed to enhanced market confidence and economic stability.

The significant accounting estimates impacted by economic forecasts and associated uncertainties predominantly relate to expected credit losses, fair value measurement and the assessment of the recoverable amount of financial assets. The impact of the economic conditions on each of these estimates is discussed further in the relevant notes of these financial statements. Actual results may differ from these estimates. Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognised prospectively.

2.2.2 Judgements

Information about judgements made in applying accounting policies that have the most significant effects on the amounts recognised in the consolidated financial statements is included in the following notes.

Significant Judgements	Note Reference	Page Reference
Classification of financial assets and assessment of the business model within which the assets are held	3.4.3	350
Determination of fair value of financial instruments when there is no observable market data	6.2	450
Establishing the criteria for determination of whether credit risk on a financial asset has increased significantly since initial recognition, determining the methodology for incorporating forward-looking information into the measurement of Expected Credit Losses (ECL) and the selection and approval of models used to measure Expected Credit Losses (ECL)	15 (c)	418
Determination of control over investees	34, 35	459, 465
Classification of investment properties	36	469

NOTES TO THE FINANCIAL STATEMENTS

2 BASIS OF ACCOUNTING (Contd.)

2.2.3 Assumptions and estimation uncertainties

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment in the financial statements for the year ended 31st December 2025 is included in the following notes.

Significant Assumptions and Estimation Uncertainties	Note Reference	Page Reference
Impairment testing for Cash Generating Units (CGU) containing goodwill: key assumptions underlying recoverable amounts	3.5, 39	352, 490
Measurement of the fair value of financial instruments with significant unobservable inputs	6.2	405
Impairment of financial instruments: determination of inputs into the Expected Credit Loss (ECL) measurement model including key assumptions used in estimating recoverable cash flows and incorporation of forward-looking information	15 (a)	418
Useful life time of property, plant and equipment, investment properties and intangible assets	36, 37, 39	469, 474, 490
Determination of the fair value of freehold land and buildings on the basis of significant unobservable inputs	37 (c)	482
Right-of-use assets and operating lease liability	38	487
Recognition of deferred tax assets: availability of future taxable profit against which carry-forward tax losses can be used	40 (d)	496
Valuation of life insurance contract liabilities of subsidiary, HNB Assurance PLC (HNBA)	48	503
Valuation of non-life insurance contract liabilities of subsidiary, HNB General Insurance Limited	49	505
Measurement of defined benefit obligations: key actuarial assumptions	53 (c) vi	514
Recognition and measurement of contingencies: key assumptions about the likelihood and magnitude of an outflow of resources	59	522
Accounting policy	Note Reference	Page Reference
Material accounting policies – General		
Basis of consolidation	3.1	347
Foreign currency	3.2	348
Financial instruments – Initial recognition, classification and subsequent measurement	3.3	348
Investment in equity accounted investees	34	459
Investment in subsidiaries	35	465
Investment properties	36	469
Property, plant and equipment	37	474
Right-of-use assets	38	487
Intangible assets and goodwill	39	490
Due to banks	42	498
Securities sold under repurchase agreements	43	498
Financial liabilities measured at amortised cost – Due to depositors	44	499
Financial liabilities at amortised cost – Other borrowings	45	501
Debt securities issued	46	501
Subordinated term debts	52	509
Insurance provision – Life	48	503
Insurance provision – Non-life	49	505
Employee benefit obligations	53	510
Contingent liabilities and commitments	59	522

Accounting policy	Note Reference	Page Reference
Material accounting policies – Recognition of income and expenses		
Gross income	7	408
Net interest income	8	409
Net fee and commission income	9	412
Net gains/(losses) from trading	10	414
Net gain from financial investments at fair value through other comprehensive income	11	415
Net insurance premium income	12	415
Net losses arising from de-recognition of financial assets measured at amortised cost	13	416
Net other operating income	14	417
Impairment charge for loans and other losses	15	418
Personnel expenses	16	423
Benefits, claims and underwriting expenditure	17	424
Other expenses	18	425
Income tax expenses	21	427

3. MATERIAL ACCOUNTING POLICIES

Application of Accounting Policies

The Group has consistently applied the accounting policies for all periods presented in the financial statements. However, the Bank had a JV arrangement in 2024, which became a fully owned subsidiary in 2025. The impact is not material to the group and included in 34 (a -c). The Group has adopted the standards set out in Note 3.6 during the year. The Group has not early adopted any other standard, interpretation or amendment that has been issued but not yet effective as given in Note 4.

Apart from the general accounting policies set out below, the specific accounting policies pertaining to each item in the financial statements have been presented within the respective notes to the financial statements. These material accounting policies have been applied consistently to all periods presented in the financial statements of the Group, unless otherwise indicated. The accounting policies have been consistently applied by the Group entities where applicable and deviations if any have been disclosed accordingly. Further the changes in accounting policies due to adoption of new standards and interpretations have been presented in Note 4 to the financial statements.

3.1 Basis of Consolidation

The Group's financial statements comprise the consolidation of the financial statements

of the Bank, its subsidiaries in terms of the Sri Lanka Accounting Standard - SLFRS 10 on "Consolidated Financial Statements" and the proportionate share of the profit or loss and net assets of its equity accounted investees in terms of the Sri Lanka Accounting Standard - SLFRS 11 on "Joint Arrangements" and Sri Lanka Accounting standard -SLFRS 28 on "Investments in Associates and Joint Venture"

3.1.1 Business Combinations and Goodwill

The Group accounts for business combinations using the acquisition method when the acquired set of activities and assets meets the definition of a "business" and control is transferred to the Group.

In determining whether a particular set of activities and assets is a business, the Group assesses whether the set of assets and activities acquired includes, at a minimum, an input and substantive process and whether the acquired set has the ability to produce outputs. The Group has an option to apply a 'concentration test' that permits a simplified assessment of whether an acquired set of activities and assets is not a business. The optional concentration test is met if substantially all of the fair value of the gross assets acquired is concentrated in a single identifiable asset or group of similar identifiable assets.

The consideration transferred in the acquisition is generally measured at fair value, as are the identifiable net assets acquired.

Any goodwill that arises is tested annually for impairment. Any gain on a bargain purchase is recognised in profit or loss immediately. Transaction costs are expensed as incurred, except if related to the issue of debt or equity securities.

The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in income statement.

Any contingent consideration is measured at fair value at the date of acquisition. If an obligation to pay contingent consideration that meets the definition of a financial instrument is classified as equity, then it is not remeasured and settlement is accounted for within equity. Otherwise, other contingent consideration is remeasured at fair value at each reporting date and subsequent changes in the fair value of the contingent consideration are recognised in income statement.

3.1.2 Non-Controlling Interests (NCI)

The details of non-controlling interest are given in Note 58 to the financial statements.

3.1.3 Subsidiaries

The details of the Bank's subsidiaries, the basis of their accounting in the Bank's financial statements and their contingencies are set out in Notes 35 and 59 on pages 465 and 522 of the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

3. MATERIAL ACCOUNTING POLICIES (Contd.)

3.1.4 Loss of Control

When the Group loses control over a subsidiary, it derecognises the assets and liabilities of the subsidiary, and any related non-controlling interests and other components of equity. Any resulting gain or loss is recognised in income statement. Any interest retained in the former subsidiary is measured at fair value when control is lost. Subsequently, it is accounted for as an associate or in accordance with the Group's accounting policy for financial instruments.

3.1.5 Transactions Eliminated on Consolidation

Intra-group balances, transactions and income and expenses arising from intra-group transactions are eliminated in preparing the consolidated financial statements. Un-realised gains arising from transactions with equity accounted investees are eliminated to the extent of the Group's interest in the investee. Un-realised losses are eliminated in the same way as un-realised gains, but only to the extent that there is no evidence of impairment.

3.1.6 Material Gains or Losses, Provisional Values or Error Corrections

There were no material gains or losses, provisional values or error corrections recognised during the year in respect of business combinations that took place in previous periods.

3.2 Foreign Currency

3.2.1 Foreign Currency Transactions and Balances

Transactions in foreign currencies are translated into the functional currency, which is Sri Lankan Rupees (LKR), using the middle rates of exchange prevailing at the dates on which the transactions were affected.

Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated to Sri Lankan Rupees using the middle rates of exchange prevailing at that date. All differences arising on non-trading activities are taken to "other operating income" in the income statement as foreign exchange gain/(loss).

The foreign currency gains or loss on monetary items is the difference between

amortised cost in the functional currency at the beginning of the period, adjusted for effective interest and payments during the period and the amortised cost in foreign currency translated at the middle rates of exchange prevailing at the end of the reporting period.

Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are retranslated to Sri Lankan Rupees at the exchange rates on the date that the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the date of the transaction.

Foreign currency differences arising on translation are generally recognised in income statement. However, foreign currency differences arising from the translation of following items are recognised in Other Comprehensive Income (OCI):

- Equity investments in respect of which an election has been made to present subsequent changes in fair value in OCI;
- A financial liability designated as a hedge of the net investment in a foreign operation to the extent that the hedge is effective; and
- Qualifying cash flow hedges to the extent that the hedges are effective.

3.2.2 Foreign Currency Translations

The Group's consolidated financial statements are presented in Sri Lankan Rupees, which is also the Bank's functional currency. The financial statements of the foreign currency banking unit is translated into the Group's presentation currency as explained below.

3.2.3 Transactions of the Foreign Currency Banking Unit

These are recorded in accordance with above, except the application of the closing exchange rate for translation of the income statement and the statement of profit or loss and other comprehensive income.

3.3 Financial Instruments – Initial Recognition, Classification and Subsequent Measurement

3.3.1 Date of Recognition

All financial assets and liabilities with the exception of loans and advances to customers and balances due to customers are initially recognised on the trade date, i.e., the date that the Group becomes a party to the contractual provisions of the instrument. This includes "regular way trades". Regular way trades mean purchases or sales of financial assets that require delivery of assets within the time frame generally established by regulation or convention in the market place. Loans and advances to customers are recognised when funds are transferred to the customers' accounts. The Group recognises balances due to customers when funds are transferred to the Group.

3.3.2 Recognition and Initial Measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their contractual terms and the business model for managing instruments as described in Note 3.4 to the financial statements.

All financial instruments are measured initially at their fair value plus or minus the transaction costs that are directly attributable to the acquisition or issue of the financial asset or financial liability, except in the case of financial assets and financial liabilities measured at fair value through profit or loss.

Trade receivables are measured at transaction price. When the fair value of financial instruments at initial recognition differs from the transaction price, the bank accounts for the 'Day 1' profit or loss, as described below.

3.3.2 (a) "Day 1" Profit or Loss

The "Day 1 loss" arising in the case of loans granted to employees at concessionary rates under uniformly applicable schemes is deferred and amortised using Effective Interest Rate (EIR) in "Interest Income" and "Personnel Expenses" over the remaining service period of employee or tenure of the loan whichever is shorter.

3.4 Classification and Subsequent Measurement of Financial Instruments

The Group classifies all of its financial assets based on the business model for managing the asset and the asset's contractual terms.

These assets are measured at either:

- Amortised cost, as explained in Note 31 and Note 32 to the financial statements.
- Fair Value through Other Comprehensive Income (FVOCI), as explained in Note 33 to the financial statements.
- Fair Value through Profit or Loss (FVTPL) as explained in Note 30 to the financial statements.

The Group classifies and measures its derivative and trading portfolio at FVTPL as explained in Notes 29 and 30 to the financial statements. The Group may designate financial instruments at FVTPL, if doing so eliminates or significantly reduces measurement or recognition inconsistencies, as explained in Note 30 to the financial statements.

Financial liabilities, other than loan commitments and financial guarantees, are measured at amortised cost or at FVTPL. The financial liabilities are measured at FVTPL when they are either derivative instruments, held for trading or the fair value designation is applied, as explained in Note 29 to the financial statements.

The subsequent measurement of financial instruments depends on their classification.

3.4.1 Business Model Assessment

The Group determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective.

The Group's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed
- How managers of the business are compensated (for example, whether the compensation is based on the fair value of the assets managed or on the contractual cash flows collected) and
- The expected frequency, value and timing of sales are also important aspects of the Group's assessment

The business model assessment is based on reasonably expected scenarios without taking into account "worse case" or "stress case" scenarios. If cash flows after initial recognition are realised in a way that is different from the Group's original expectations, the Group does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

3.4.2 Assessment of whether contractual cash flows are Solely Payments of Principal and Interest (SPPI test)

As a second step of its classification process, the Group assesses the contractual terms of the financial assets to identify whether they meet the SPPI test.

For the purpose of this assessment, "principal" is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

"Interest" is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during the particular period of time and for other basic lending risks and costs, as well as profit margin.

When carrying out the SPPI assessment, the Group applies judgement and considers relevant factors such as the currency in which the financial asset is denominated and the period for which the interest rate is set.

In contrast, contractual terms that introduce a more than "de minimis" exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVTPL.

NOTES TO THE FINANCIAL STATEMENTS

3. MATERIAL ACCOUNTING POLICIES (Contd.)

3.4.3 Classification and Subsequent Measurement of Financial Assets

A summary of the recognition and measurement criteria pertaining to different types of financial assets recognised within the statement of financial position are as follows.

Financial Asset Classification	Criteria	Type of Assets Measured as per the Specified Asset Classification	Note Reference
Financial assets measured at amortised cost	A financial asset is measured at amortised cost if both of the following conditions are met and is not designated as at FVTPL: - The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows; and - The contractual terms of the financial asset give rise on specified dates to cash flows that are Solely Payments of Principal and Interest (SPPI) on the principal amount outstanding.	Cash and cash equivalents	25
		Placements with banks	26
		Balances with Central Bank of Sri Lanka	27
		Reverse repurchase agreements	28
		Financial assets measured at amortised cost - loans and advances to customers	31
		Financial assets measured at amortised cost - debt and other instruments	32
Financial assets measured at fair value through other comprehensive income	- A debt instrument is measured at Fair Value through Other Comprehensive Income (FVOCI) when both of the following conditions are met: - The instrument is held within a business model, the objective of which is achieved by both collecting contractual cash flows and selling financial assets - The contractual terms of the financial asset meet the SPPI test - Upon initial recognition, the Group may elect to classify irrevocably some of its equity investments held for strategic and statutory purposes as equity instruments measured at fair value through other comprehensive income.	Financial assets measured at fair value through other comprehensive income	33
Financial assets measured at fair value through profit or loss	A financial asset is measured at fair value through profit or loss unless it is measured at amortised cost or at fair value through other comprehensive income. However, the Group may, at initial recognition, irrevocably designate a financial asset as measured at fair value through profit or loss if doing so eliminates or significantly reduces a measurement or recognition inconsistency (accounting mismatch) that would otherwise arise from measuring the assets and liabilities or recognising gains or losses on them on different basis.	Derivative financial instruments	29
		Financial assets measured at fair value through profit or loss	30

3.4.4 Classification and Subsequent Measurement of Financial Liabilities

A summary of the recognition and measurement criteria pertaining to the different types of financial liabilities recognised within the statement of financial position are as follows

Financial Liability Classification	Criteria	Type of Liabilities Measured as per the Specified Liability Classification	Note Reference
Financial liabilities measured at amortised cost	Financial liabilities issued by the Group that are not designated at FVTPL are classified as financial liabilities measured at amortised cost	Due to banks	42
		Securities sold under repurchase agreements	43
		Financial liabilities measured at amortised cost - due to depositors	44
		Financial liabilities measured at amortised cost - other borrowings	45
		Debt securities issued	46
		Subordinated term debts	52
Financial liabilities measured at fair value through profit or loss	Financial liabilities measured at fair value through profit or loss include; - Financial liabilities held for trading and - Financial liabilities designated at fair value through profit or loss	Derivative financial instruments	29

Financial liabilities designated at fair value through profit or loss

Financial liabilities in this category are those that are not held for trading and have been either designated by the Group upon initial recognition or are mandatorily required to be measured at fair value under SLFRS 9. Group only designates a financial liability at FVTPL upon initial recognition when one of the following criteria are met. Such designation is determined on an instrument-by-instrument basis:

The designation eliminates, or significantly reduces, the inconsistent treatment that would otherwise arise from measuring the assets and liabilities or recognising gains or losses on them on a different basis or

- The liabilities are part of a group of financial liabilities, which are managed and their performances are evaluated on a fair value basis, in accordance with a documented risk management or investment strategy.
- The liabilities containing one or more embedded derivatives, unless they do not significantly modify the cash flows that would otherwise be required by the contract, or it is clear with little or no analysis when a similar instrument is first considered that separation of the embedded derivative(s) is prohibited.

Changes in fair value are recorded in income statement with the exception of movements in fair value of liabilities designated at FVTPL due to changes in fair value are recorded in the own credit reserve through other comprehensive income and do not get recycled to the income statement. Interest earned or incurred on instruments designated at FVTPL is accrued in interest income or interest expenses, respectively, using the effective interest rate, taking into account any discount/premium and qualifying transaction costs being an integral part of the instrument.

3.4.5 Reclassifications of Financial Instruments

As per the requirement of SLFRS 9, the Group reclassifies its financial assets subsequent to the initial recognition when and only when the business model for managing such financial assets is changed. Such reclassifications are applied prospectively from the reclassification date. Financial liabilities are not reclassified as such reclassifications are not permitted by SLFRS 9.

- If a financial asset is reclassified out of the amortised cost measurement category and into the fair value through profit or loss measurement category, its fair value is measured at the reclassification date. Any gain or loss arising from a difference between the previous amortised cost of the financial asset and fair value is recognised in income statement.

- If the reclassification takes place out of the fair value through profit or loss category into the amortised cost measurement category, its fair value at the reclassification date becomes the new gross carrying amount.
- If the reclassification takes place out of the amortised cost measurement category and into the fair value through other comprehensive income measurement category, fair value is measured at the reclassification date. Any gain or loss arising from a difference between the previous amortised cost of the financial asset and fair value is recognised in other comprehensive income. The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification.
- If the reclassification takes place out of the fair value through other comprehensive income measurement category to amortised cost measurement category, the financial asset is reclassified at its fair value at the reclassification date. However, the cumulative gain or loss previously recognised in other comprehensive income is removed from equity and adjusted against the fair value of the financial asset at the reclassification date. As a result, the financial asset is measured at the reclassification date

NOTES TO THE FINANCIAL STATEMENTS

3. MATERIAL ACCOUNTING POLICIES (Contd.)

as if it had always been measured at amortised cost. The effective interest rate and the measurement of expected credit losses are not adjusted as a result of the reclassification.

3.4.6 De-recognition of Financial Instruments

3.4.6(a) Derecognition due to substantial modification of terms and conditions

The Group derecognises a financial asset, such as a loan to a customer or a financial instrument, when the terms and conditions have been renegotiated to the extent that, substantially, it becomes a new loan/financial instrument, with the difference recognised as a derecognition gain or loss, to the extent that an impairment loss has not already been recorded. The newly recognised loans/financial instruments are classified as Stage 1 for ECL measurement purposes, unless the new loan/financial instrument is deemed to be a Purchased or Originated Credit Impaired (POCI) asset.

When assessing whether or not to derecognise a financial asset, amongst others, the Group considers the following factors:

Change in currency of the financial asset

- Introduction of an equity feature
- Change in counterparty
- If the modification is such that the instrument would no longer meet the SPPI criterion

If the modification does not result in cash flows that are substantially different, the modification does not result in derecognition. Based on the change in cash flows discounted at the original effective interest rate, the Group records a modification gain or loss, to the extent that an impairment loss has not already been recorded.

3.4.6 (b) Derecognition other than for substantial modification

3.4.6 (b)(i) Financial assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the financial asset have expired. The Bank also derecognises the financial asset if it has both

transferred the financial asset and the transfer qualifies for derecognition.

The Group has transferred the financial asset if, and only if, either:

- The Group has transferred its contractual rights to receive cash flows from the financial asset

or

- It retains the rights to the cash flows, but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement. Pass-through arrangements are transactions whereby the Group retains the contractual rights to receive the cash flows of a financial asset (the 'original asset'), but assumes a contractual obligation to pay those cash flows to one or more entities (the 'eventual recipients'), when all of the following three conditions are met:
- The Group has no obligation to pay amounts to the eventual recipients unless it has collected equivalent amounts from the original asset, excluding short-term advances with the right to full recovery of the amount lent plus accrued interest at market rates
- The Group cannot sell or pledge the original asset other than as security to the eventual recipients
- The Group has to remit any cash flows it collects on behalf of the eventual recipients without material delay

In addition, the Group is not entitled to reinvest such cash flows, except for investments in cash or cash equivalents including interest earned, during the period between the collection date and the date of required remittance to the eventual recipients.

A transfer only qualifies for derecognition if either

- The Group has transferred substantially all the risks and rewards of the asset
- or
- The Group has neither transferred nor retained substantially all the risks and

rewards of the asset, but has transferred control of the asset

The Group considers control to be transferred if and only if, the transferee has the practical ability to sell the asset in its entirety to an unrelated third party and is able to exercise that ability unilaterally and without imposing additional restrictions on the transfer.

When the Group has neither transferred nor retained substantially all the risks and rewards and has retained control of the asset, the asset continues to be recognised only to the extent of the Group's continuing involvement, in which case, the Group also recognises an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Bank has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration the Group could be required to pay.

If continuing involvement takes the form of a written or purchased option (or both) on the transferred asset, the continuing involvement is measured at the value the Group would be required to pay upon repurchase. In the case of a written put option on an asset that is measured at fair value, the extent of the entity's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

3.4.6 (b)(ii) Financial liabilities

The Group derecognises a financial liability when the obligation under the liability is discharged, cancelled or expires. Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the financial liability recognised and the consideration paid is recognised in income statement.

3.5 Impairment of Non-Financial Assets

The carrying amounts of the Group's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, or when annual impairment testing for an asset is required, the Group estimates the asset's recoverable amount. For goodwill and intangible assets that have indefinite useful lives or that are not yet available for use, the recoverable amount is estimated each year at the same time. An impairment loss is recognised if the carrying amount of an asset or its Cash Generating Unit (CGU) exceeds its estimated recoverable amount.

The recoverable amount of an asset or CGU is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or CGU.

For impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generate cash inflows from continuing use that is largely independent of the cash inflows of other assets or CGUs. Subject to an operating segment ceiling test, for the purposes of

goodwill impairment testing, CGUs to which goodwill has been allocated are aggregated so that the level at which impairment testing is performed reflects the lowest level at which goodwill is monitored for internal reporting purposes. Goodwill acquired in a business combination is allocated to groups of CGUs that are expected to benefit from the synergies of the combination.

The Group's corporate assets do not generate separate cash inflows and are utilised by more than one CGU. Corporate assets are allocated to CGUs on a reasonable and consistent basis and tested for impairment as part of the testing of the CGUs to which the corporate asset are allocated.

Impairment losses are recognised in the income statement and disclosed in Note 15 to the financial statement, except for property previously revalued where the gain or loss on revaluation was taken to equity. In this case, the impairment is also recognised in equity up to the extent of any previously recognised revaluation gains. Impairment losses recognised in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the CGU (group of CGUs) and then to reduce the carrying amount of the other assets in the CGU (group of CGUs) on a pro rata basis.

An impairment loss in respect of goodwill is not reversed. For other assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

3.6 Changes in Material Accounting Policies

The Group has not made any changes to its material accounting policies during the current annual reporting period.

4. NEW AND AMENDED STANDARDS AND INTERPRETATIONS

The Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) has issued several new accounting standards and amendments/improvements to existing standards. These new standards are set to become effective in the coming years. Early application of these standards is allowed, but the Group has not early adopted any of the new or amended standards in the preparation of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

4. NEW AND AMENDED STANDARDS AND INTERPRETATIONS (Contd.)

Accounting Standard	Descriptions	Effective Date	Assessment of the impact on the Group/Bank
Sri Lanka Accounting Standard - SLFRS 17 "Insurance Contracts"	SLFRS 17 Liability Recognition: Presents future cash flows as present value with risk adjustment and Contractual Service Margin (CSM), groups contracts by risk and profitability, and recognises losses directly in the income statement. New Insurance Revenue Measure: Shifts revenue measurement to service delivery, excluding investment-related premiums, and necessitates calculating deferred profit (CSM) at transition.	1st January 2026	Impact on the subsidiaries HNBA and HNBGI: HNBA and HNB GI made a significant progress in implementing SLFRS 17 and SLFRS 9 in terms of technical analysis, transition approach, opening balance sheet and system development during the year 2025. As per the SLFRS 17 and SLFRS 9 implementation roadmap, HNBA and HNB GI are in the process of refining accounting policy choices and completing system developments. The parallel run is planned to be completed by mid-2026. HNBA and HNB GI have not yet finalised the testing and evaluation of controls over its new IT systems, changes to its governance framework, and the related financial reporting processes. In addition, the accounting policies, assumptions, judgements, and estimation techniques applied under SLFRS 17 and SLFRS 9 remain subject to refinement until the completion of the first set of financial statements prepared with the date of initial application. Accordingly, HNBA and HNB GI are currently not in a position to reliably quantify and disclose the financial impact arising from the adoption of SLFRS 17 and SLFRS 9.
Exemption - Sri Lanka Accounting Standard - SLFRS 9 "Financial Instruments"	SLFRS 9 which addresses financial instruments accounting, became effective from 1st January 2018. A temporary exemption is allowed to apply LKAS 39 instead of SLFRS 9 up to 31st December 2025, for qualifying insurers. Criteria for Exemption: Insurers like HNBA and HNB GI, whose activities are predominantly insurance-related, are qualifying to apply LKAS 39, based on the specified criteria.	1st January 2026	Given that HNBA and HNBGI are primarily engaged in insurance activities, and considering the criteria for exemption, both companies will continue to applying LKAS 39 instead of SLFRS 9 up until 31st December 2025. However, the financial Statements of HNB Assurance PLC has been prepared in line with SLFRS 9 when preparing Consolidated financial statements.

Accounting Standard	Descriptions	Effective Date	Assessment of the impact on the Group/Bank
SLFRS – 18	SLFRS 18 “Presentation of Financial Statements” will replace LKAS 1 Presentation of Financial Statements. The new accounting standard introduces the following key new requirements. • Entities are required to classify all income and expenses into five categories in the statement of profit or loss, namely the operating, investing, financing, discontinued operations, and income tax categories. Entities are also required to present a newly defined operating profit subtotal. Entities’ net profit will not change. • Management-defined performance measures (MPMs) are disclosed in a single note in the financial statements. • Enhanced guidance is provided on how to group information in the financial statements. In addition, all entities are required to use the operating profit subtotal as the starting point for the statement of cash flows when presenting operating cash flows under the indirect method.	1st January 2027	The Bank is currently evaluating the implications of these standards and is in the process of establishing the necessary processes to ensure compliance.
Other SLFRSs	Annual Improvements to SLFRS Accounting Standards – Volume 11	1st January 2026	These changes are not expected to have a significant impact on the Bank’s Financial Statements

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT

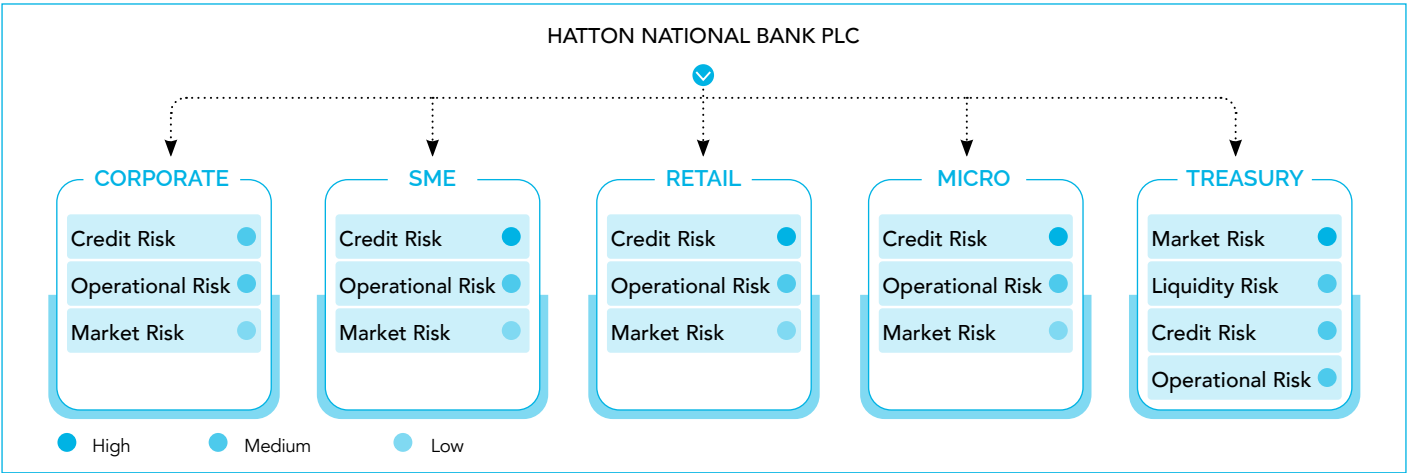
This note presents information about the Bank/Group exposure to financial risks and the Bank/Group’s management of capital.

5.1 Introduction and Overview

Bank/Group has exposure to the following key risks from financial instruments:

- credit risk;
- liquidity risk;
- market risk and
- operational risks

The following chart provides a link between the Bank’s business units and the principal risks that they are exposed to. The significance of risk is assessed within the context of the Bank as a whole and is measured based on allocation of the regulatory capital within the Bank.



This note presents information about the Bank/Group’s exposure to each of the above risks, the objectives, policies and processes for measuring and managing such risks.

5.2 Risk Management Framework

The Board of Directors has overall responsibility for the establishment and oversight of the Bank’s risk management framework. The Board discharges its governance responsibility through seven board sub committees with oversight responsibility for risk management viz. Board Integrated Risk Management Committee (BIRMC), Board Audit Committee (BAC), Board Credit Committee (BCC), Strategy and Investment Review Committee (SIRC), Board Technology Committee, Procurement and Asset Disposal Committee and Board Recoveries Committee (BRC).

The BIRMC provides the Board, the assurance that risk management strategies, policies and processes are in place to manage events/

outcomes that have the potential to impact significantly on earnings performance, reputation and capital. The approach entails active monitoring of the level of risk exposure against the parameters set in the risk appetite and risk goals. The BCC and BRC also assists the Board by assessing significant credit and other transactions beyond the discretion of executive management.

Executive management committees, each with specialised focus, have been established to support the BIRMC and are responsible for the co-ordination of risk matters for each of the areas pertaining to risk management. Those are Executive Risk Management Committee, Operational Risk Steering Committee, Asset and Liability Committee and Information Security Committee.

The BAC provides its assessment on the effectiveness of internal audit and external disclosure of accounting policies and financial reporting to the Board. Internal Audit Department undertakes both regular and ad-hoc reviews of risk management controls and procedures, the results of which are reported to the BAC.

Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered.

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5.3 Credit Risk

Credit risk is the risk of financial loss to the Bank if a customer or a counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Bank's loans and advances to customers and investments in debt securities.

In addition to loans, the Bank makes available to its customers, guarantees which may require that the Bank makes payments on their behalf and enters into commitments to extend credit lines to secure their liquidity needs. Letters of credit and guarantees (including standby letters of credit) commit the Bank to

make payments on behalf of customers in the event of a specific act, generally related to the import or export of goods. Such commitments expose the Bank to risks similar to loans and are mitigated by the same control processes and policies.

For risk management reporting purposes, the Bank considers and consolidates all elements of credit risk exposure (such as individual obligor default risk, industry risk and geographical risk etc.). The methodology adopted by the Bank in determining the expected credit losses is detailed in Note 15 to the financial statements.

Consideration of current economic conditions on credit risk

Bank continued to conduct in-depth analysis on the industries which has been affected and the scale of impact on Bank's lending portfolio, through various stress testing techniques including stage shift assessment of elevated risk industries. Uncertainties relating to the economic conditions in Sri Lanka stressed the importance of diversification of the Bank's loan book across a wide range of industries which in turn would ensure the resilience of the Bank in the economic environment of this nature. The Bank is comfortable with the existing composition of its loan book and continuous monitoring activities are being carried out to avoid accumulation of exposures to risky economic segments.

5.3.1 Settlement Risk

The bank's activities may give rise to risk at the time of settlement of transactions and trades. "Settlement risk" is the risk of loss due to the failure of a customer or a counterparty to honour its obligations to deliver cash, securities or other assets as contractually agreed.

5.3.2 Management of Credit Risk

Board Credit Committee has oversight responsibility for the management of credit. Risk Management Division (RMD) is a separate vertical independent of business units, established to assess the credit risk of credit proposals and submit independent observations to all approving authorities.

Other responsibilities of RMD are as follows:

- Formulating credit policies and guidelines in consultation with business units covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures and compliance with regulatory and statutory requirements.
- Formalise approval of such policies and guidelines from the Board of Directors upon clearance by relevant Board Sub-committees.
- Establishing the credit approval structure with delegated authority limits for the approval and renewal of credit facilities. The delegated authority limits are assigned to identified individuals. Larger

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

credit facilities require approval by the Board Credit Committee or the Board of Directors as appropriate.

- Reviewing and assessing credit risk: credit risk unit of RMD assesses all credit exposures in excess of designated limits, before facilities are approved. Renewals of facilities are subject to the same review process.
- Setting the risk appetite for exposures to counterparties, geographies and industries (for loans and advances, financial guarantees and similar exposures), and by issuer, credit rating band, market liquidity and country (for investment securities).
- Providing advice, guidance and specialist skills to business units to promote best practice throughout the Bank in the management of credit risk.
- Identification of elevated risk industries and the adequacy of any overlay adjustment made outside the ECL model, as part of model adjustments to address the potential implications of the prevailing economic conditions.

Each business unit is required to implement Bank's credit policies and guidelines, with credit approval authorities delegated from the Board of Directors. Each business unit is responsible for the quality and performance of its credit portfolio and for monitoring and controlling all credit risks in its portfolios.

Regular audits of business units and credit processes are undertaken by Internal Audit Division.

The general creditworthiness of customers tends to be the most relevant indicator of credit quality of a loan. However, collateral provides additional security and the Bank generally requests large borrowers to provide same. The Bank may take collateral in the form of a first charge over real estate and residential properties, floating charges over all corporate assets and other liens and guarantees.

The main types of collateral obtained are, as follows:

- For securities lending and reverse repurchase transactions; cash or securities
- For corporate and small business lending; charges over real estate properties, inventory and trade receivables and in special circumstances, government guarantees
- For retail lending; mortgages over residential properties

The Bank also obtains guarantees from parent companies for loans to their subsidiaries.

Management monitors the market value of collateral and will request additional collateral in accordance with the underlying agreement.

The Bank's policy is to pursue timely realisation of the collateral in an orderly manner. The proceeds are used to reduce or repay the outstanding claim. The Bank generally does not use non-cash collateral for its own operations.

5.3.3 Credit Quality Analysis

5.3.3(a) Collateral and other credit enhancements

The amount and type of collateral required depends on an assessment of the credit risk of the counterparty. Guidelines are in place covering the acceptability and valuation of each type of collateral.

5.3.3(b) Maximum exposure to credit risk

The following table shows the maximum exposure and net exposure (net of fair value of any collaterals held) to credit risk by class of financial asset, before netting off impairment for expected credit losses.

Bank

As at 31st December	2025		2024	
	Maximum exposure to credit risk	Net exposure to credit risk	Maximum exposure to credit risk	Net exposure to credit risk
	Rs 000	Rs 000	Rs 000	Rs 000
Balances with banks	3,778,954	3,778,954	12,053,665	12,053,665
Placements with banks	27,321,258	27,321,258	41,876,789	41,876,789
Reverse repurchase agreements	22,319,688	-	-	-
Derivative financial instruments	1,976,631	1,976,631	375,060	375,060
Financial assets measured at fair value through profit or loss	1,237,231	200,001	1,835,469	158,099
Financial assets measured at amortised cost - loans and advances to customers (gross)	1,513,959,514	617,169,958	1,159,740,459	583,601,328
Financial assets measured at amortised cost - debt and other instruments	651,157,646	79,087,880	742,397,231	71,511,510
Financial assets measured at fair value through other comprehensive income	94,855,469	28,725,120	96,309,470	34,908,351
Other financial assets	634,327	593,411	4,746,539	1,394,045
	2,317,240,718	758,853,213	2,059,334,682	745,878,847
Guarantees, letters of credit and acceptances	152,827,517	148,382,214	120,595,904	118,278,759

Group

As at 31st December	2025		2024	
	Maximum exposure to credit risk	Net exposure to credit risk	Maximum exposure to credit risk	Net exposure to credit risk
	Rs 000	Rs 000	Rs 000	Rs 000
Balances with banks	4,563,490	4,563,490	12,337,937	12,337,937
Placements with banks	42,286,594	42,286,594	48,675,977	48,675,977
Reverse repurchase agreement	25,046,586	-	5,280,692	-
Derivative financial instruments	1,976,631	1,976,631	375,060	375,060
Financial assets measured at fair value through profit or loss	72,322,060	1,514,970	2,962,612	1,285,242
Financial assets measured at amortised cost - loans and advances to customers (gross)	1,592,680,455	635,605,817	1,206,782,185	602,311,583
Financial assets measured at amortised cost - debt and other instruments	684,905,425	90,853,261	770,658,755	82,453,319
Financial assets measured at fair value through other comprehensive income	115,172,024	28,764,852	112,407,299	34,912,783
Other financial assets	7,341,373	1,829,581	8,414,670	2,630,215
	2,546,294,638	807,395,196	2,167,895,187	784,982,116
Guarantees, letters of credit and acceptances	152,827,517	148,382,214	120,595,904	118,278,759

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

5.3.3(c) Maximum exposure to credit risk by risk rating

The following table sets out information about the credit quality of financial assets measured at amortised cost, measured at fair value through profit or loss, measured at fair value through other comprehensive income and contingent liabilities and commitments.

Bank	High Grade				Standard Grade				Sub-Standard Grade			
	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
As at 31st December 2025												
Financial Assets												
Cash and cash equivalents	1,810,551	-	-	51,607,367	1,574,490	-	-	-	2,519	-	-	-
Placements with banks	20,392,153	-	-	-	6,929,105	-	-	-	-	-	-	-
Balances with Central Bank of Sri Lanka	-	-	-	37,288,440	-	-	-	-	-	-	-	-
Reverse repurchase agreements	13,302,933	-	-	-	9,016,755	-	-	-	-	-	-	-
Derivative financial instruments	-	-	-	1,254,660	-	-	-	658,386	-	-	-	-
Financial assets measured at fair value through profit or loss	1,037,230	-	-	-	-	-	-	7,605	-	-	-	-
Financial assets measured at amortised cost loans and advances to customers (gross)*	77,329,638	520,221	-	-	519,726,666	14,613,475	-	-	138,372,878	16,333,594	-	-
Financial assets measured at amortised cost debt and other instruments	577,190,019	-	-	-	1,500,634	71,928,661	-	-	-	-	-	-
Financial assets measured at fair value through other comprehensive income	66,130,349	-	-	-	-	-	-	11,174,344	-	-	-	-
Other financial assets	-	-	-	-	-	-	-	-	-	-	-	-
	757,192,873	520,221	-	90,150,467	538,747,650	86,542,136	-	11,840,335	138,375,397	16,333,594	-	-
Off balance sheet exposures												
Contingent liabilities and commitments*	68,913,783	489,614	-	-	230,921,028	640,379	-	-	57,423,775	499,667	-	-
As at 31st December 2024												
Financial Assets												
Cash and cash equivalents	1,023,643	-	-	51,330,829	10,704,582	-	-	-	8,969	-	-	-
Placements with banks	14,551,757	-	-	-	27,325,032	-	-	-	-	-	-	-
Balances with Central Bank of Sri Lanka	-	-	-	6,913,009	-	-	-	-	-	-	-	-
Derivative financial instruments	-	-	-	316,623	-	-	-	4,684	-	-	-	-
Financial assets measured at fair value through profit or loss	1,677,370	-	-	-	-	-	-	5,963	-	-	-	-
Financial assets measured at amortised cost loans and advances to customers (gross)*	112,335,377	592,350	-	-	317,788,985	10,355,557	-	-	133,316,831	15,798,889	-	-
Financial assets measured at amortised cost debt and other instruments	676,030,434	-	-	-	2,075,211	63,657,093	-	-	-	-	-	-
Financial assets measured at fair value through other comprehensive income	68,637,405	-	-	-	-	-	-	8,275,744	-	-	-	-
Other financial assets	-	-	-	-	-	-	-	-	-	-	-	-
	874,255,986	592,350	-	58,560,461	357,893,810	74,012,650	-	8,286,391	133,325,800	15,798,889	-	-
Off balance sheet exposures												
Contingent liabilities and commitments*	53,555,950	-	-	-	116,339,577	353,339	-	-	26,620,591	980,919	-	-

*Categorisation based on Bank's internal risk rating. Accordingly, AAA to AA- considered as "High grade", A+ to BBB- as "Standard grade", BB+ to B- as "Sub Standard grade", CCC+ and below as "Low grade".

Low Grade				Unrated				Exposures not Subject to Rating					
Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Total	Note
Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000		
391,394	-	-	-	-	-	-	-	-	-	-	-	55,386,321	25
-	-	-	-	-	-	-	-	-	-	-	-	27,321,258	26
-	-	-	-	-	-	-	-	-	-	-	-	37,288,440	27
-	-	-	-	-	-	-	-	-	-	-	-	22,319,688	28
-	-	-	-	-	-	-	63,585	-	-	-	-	1,976,631	29
-	-	-	-	-	-	-	192,396	-	-	-	-	1,237,231	30
42,452,741	9,456,668	65,356,757		459,292,663	11,216,700	17,276,672		140,714,018	564,386	732,437	-	1,513,959,514	31
-	-	538,332	-	-	-	-	-	-	-	-	-	651,157,646	32
-	15,820,065	-	-	-	-	-	1,730,711	-	-	-	-	94,855,469	33
-	-	-	-	-	-	-	-	634,327	-	-	-	634,327	41
42,844,135	25,276,733	65,895,089	-	459,292,663	11,216,700	17,276,672	1,986,692	141,348,345	564,386	732,437	-	2,406,136,525	
7,998,928	127,092	724,095	-	341,892,755	520,480	346,045	-	-	-	-	-	710,497,641	5.3.6 (C)
316,471	-	-	-	-	-	-	-	-	-	-	-	63,384,494	25
-	-	-	-	-	-	-	-	-	-	-	-	41,876,789	26
-	-	-	-	-	-	-	-	-	-	-	-	6,913,009	27
-	-	-	-	-	-	-	53,753	-	-	-	-	375,060	29
-	-	-	-	-	-	-	152,136	-	-	-	-	1,835,469	30
37,703,651	7,379,537	82,014,014	-	310,672,107	10,370,162	20,784,340	-	98,916,121	807,418	905,120	-	1,159,740,459	31
-	-	634,493	-	-	-	-	-	-	-	-	-	742,397,231	32
-	18,105,304	-	-	-	-	-	1,291,017	-	-	-	-	96,309,470	33
-	-	-	-	-	-	-	-	4,746,539	-	-	-	4,746,539	41
38,020,122	25,484,841	82,648,507	-	310,672,107	10,370,162	20,784,340	1,496,906	103,662,660	807,418	905,120	-	2,117,578,520	
7,274,529	77,523	367,620	-	425,425,882	2,923,179	897,354	-	-	-	-	-	634,816,463	5.3.6 (C)

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5 FINANCIAL RISK MANAGEMENT (Contd.)

Group	High Grade				Standard Grade				Sub-Standard Grade			
	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
As at 31st December 2025												
Financial Assets												
Cash and cash equivalents	2,376,162	-	-	52,191,208	1,793,414	-	-	-	2,519	-	-	-
Placements with banks	35,357,267	-	-	-	6,929,327	-	-	-	-	-	-	-
Balances with Central Bank of Sri Lanka	-	-	-	37,288,716	-	-	-	-	-	-	-	-
Reverse repurchase agreements	16,029,832	-	-	-	9,016,754	-	-	-	-	-	-	-
Derivative financial instruments	-	-	-	1,254,660	-	-	-	658,386	-	-	-	-
Financial assets measured at fair value through profit or loss	70,807,090	-	-	396,142	-	-	-	7,605	-	-	-	-
Financial assets measured at amortised cost loans and advances to customers (gross)*	77,319,974	520,221	-	-	517,380,180	14,613,475	-	-	138,372,878	16,333,594	-	-
Financial assets measured at amortised cost debt and other instruments	609,140,215	-	-	-	3,246,942	71,928,661	-	-	51,275	-	-	-
Financial assets measured at fair value through other comprehensive income	86,407,172	-	-	29,327	-	-	-	11,174,361	-	-	-	-
Other financial assets	-	-	-	-	-	-	-	-	-	-	-	-
	897,437,712	520,221	-	91,160,053	538,366,617	86,542,136	-	11,840,352	138,426,672	16,333,594	-	-
Off balance sheet exposures												
Contingent liabilities and commitments*	68,913,783	489,614	-	-	230,921,028	640,379	-	-	57,423,775	499,667	-	-
As at 31st December 2024												
Financial Assets												
Cash and cash equivalents	1,078,158	-	-	51,750,422	10,939,281	-	-	-	8,969	-	-	-
Placements with banks	21,350,945	-	-	-	27,325,032	-	-	-	-	-	-	-
Balances with Central Bank of Sri Lanka	-	-	-	6,913,009	-	-	-	-	-	-	-	-
Reverse repurchase agreements	5,280,692	-	-	-	-	-	-	-	-	-	-	-
Derivative financial instruments	-	-	-	316,623	-	-	-	4,684	-	-	-	-
Financial assets measured at fair value through profit or loss	2,339,498	-	-	-	70,258	-	-	5,963	-	-	-	-
Financial assets measured at amortised cost loans and advances to customers (gross)*	112,335,377	592,350	-	-	316,277,014	10,355,557	-	-	133,316,831	15,798,889	-	-
Financial assets measured at amortised cost debt and other instruments	690,052,397	-	-	-	10,763,034	63,657,093	-	-	-	-	-	-
Financial assets measured at fair value through other comprehensive income	84,730,802	-	-	-	-	-	-	8,275,744	-	-	-	-
Other financial assets	-	-	-	-	-	-	-	-	-	-	-	-
	917,167,869	592,350	-	58,980,054	365,374,619	74,012,650	-	8,286,391	133,325,800	15,798,889	-	-
Off balance sheet exposures												
Contingent liabilities and commitments*	53,555,950	-	-	-	116,339,577	353,339	-	-	26,620,591	980,919	-	-

*Categorisation based on Bank's internal risk rating. Accordingly, AAA to AA- considered as "High grade", A+ to BBB- as "Standard grade", BB+ to B- as "Sub Standard grade", CCC+ and below as "Low grade".

Low Grade				Unrated				Exposures not Subject to Rating					
Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Stage 1	Stage 2	Stage 3	Exposures not subject to ECL	Total	Note
Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000		
391,394	-	-	-	-	-	-	-	-	-	-	-	56,754,697	25
-	-	-	-	-	-	-	-	-	-	-	-	42,286,594	26
-	-	-	-	-	-	-	-	-	-	-	-	37,288,716	27
-	-	-	-	-	-	-	-	-	-	-	-	25,046,586	28
-	-	-	-	-	-	-	63,585	-	-	-	-	1,976,631	29
-	-	-	-	-	-	-	1,111,223	-	-	-	-	72,322,060	30
42,452,741	9,456,668	65,356,757	-	521,646,131	22,449,721	24,767,275	-	140,714,017	564,386	732,437	-	1,592,680,455	31
-	-	538,332	-	-	-	-	-	-	-	-	-	684,905,425	32
-	15,820,065	-	-	-	-	-	1,741,099	-	-	-	-	115,172,024	33
-	-	-	-	7,341,373	-	-	-	-	-	-	-	7,341,373	41
42,844,135	25,276,733	65,895,089	-	528,987,504	22,449,721	24,767,275	2,915,907	140,714,017	564,386	732,437	-	2,635,774,561	
7,998,928	127,092	724,095	-	341,892,755	520,480	346,045	-	-	-	-	-	710,497,641	
316,471	-	-	-	-	-	-	-	-	-	-	-	64,093,301	25
-	-	-	-	-	-	-	-	-	-	-	-	48,675,977	26
-	-	-	-	-	-	-	-	-	-	-	-	6,913,009	27
-	-	-	-	-	-	-	-	-	-	-	-	5,280,692	28
-	-	-	-	-	-	-	53,753	-	-	-	-	375,060	29
-	-	-	-	394,758	-	-	152,135	-	-	-	-	2,962,612	30
37,703,651	7,379,537	82,014,014	-	311,498,860	10,370,162	20,784,340	-	129,344,727	8,947,130	10,063,746	-	1,206,782,185	31
-	-	634,493	-	-	-	-	-	5,551,738	-	-	-	770,658,755	32
-	18,105,304	-	-	-	-	-	1,291,017	4,432	-	-	-	112,407,299	33
-	-	-	-	3,574,847	-	-	-	4,839,823	-	-	-	8,414,670	41
38,020,122	25,484,841	82,648,507	-	315,468,465	10,370,162	20,784,340	1,496,905	139,740,720	8,947,130	10,063,746	-	2,226,563,560	
7,274,529	77,523	367,620	-	425,425,882	2,923,179	897,354	-	-	-	-	-	634,816,463	

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

5.3.3 (d) Financial assets measured at amortised cost - loans and advances to customers - Analysis of Stage 2 and Stage 3 loans

The tables below summarises the ageing of stage 2 and stage 3 loans, as follows:

Stage 2 :Loans classified under Stage 2 include contractually past due loans and loans that have been moved to Stage 2 based on criteria such as restructuring, watch listing, and the customer's worst arrears bucket.

Stage 3: Loans classified under Stage 3 include contractually past due loans and loans that have been moved to Stage 3 based on criteria such as restructuring more than twice, rescheduling, and the customer's worst arrears bucket.

Bank	Stage 2		Stage 3		Total	
As at 31st December 2025	Gross carrying amount Rs 000	Expected credit losses Rs 000	Gross carrying amount Rs 000	Expected credit losses Rs 000	Gross carrying amount Rs 000	Expected credit losses Rs 000
Less than :						
30 DPD	34,673,499	6,022,158	-	-	34,673,499	6,022,158
90 DPD	-	-	7,312,238	5,030,632	7,312,238	5,030,632
More than :						
30 DPD	18,031,545	1,779,759	-	-	18,031,545	1,779,759
90 DPD	-	-	76,053,628	58,622,256	76,053,628	58,622,256
Total	52,705,044	7,801,917	83,365,866	63,652,888	136,070,910	71,454,805

Bank	Stage 2		Stage 3		Total	
As at 31st December 2024	Gross carrying amount Rs 000	Expected credit losses Rs 000	Gross carrying amount Rs 000	Expected credit losses Rs 000	Gross carrying amount Rs 000	Expected credit losses Rs 000
Less than :						
30 DPD	34,504,933	6,972,701	-	-	34,504,933	6,972,701
90 DPD	-	-	18,545,740	10,227,187	18,545,740	10,227,187
More than :						
30 DPD	12,174,404	1,411,166	-	-	12,174,404	1,411,166
90 DPD	-	-	85,684,992	67,529,196	85,684,992	67,529,196
Total	46,679,337	8,383,867	104,230,732	77,756,383	150,910,069	86,140,250

Group	Stage 2		Stage 3		Total	
As at 31st December 2025	Gross carrying amount	Expected credit losses	Gross carrying amount	Expected credit losses	Gross carrying amount	Expected credit losses
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Less than :						
30 DPD	35,131,781	6,054,122	-	-	35,131,781	6,054,122
90 DPD	-	-	7,492,686	5,135,042	7,492,686	5,135,042
More than :						
30 DPD	28,806,284	2,204,394	-	-	28,806,284	2,204,394
90 DPD	-	-	83,363,783	63,650,076	83,363,783	63,650,076
Total	63,938,065	8,258,516	90,856,469	68,785,118	154,794,534	77,043,634

Group	Stage 2		Stage 3		Total	
As at 31st December 2024	Gross carrying amount	Expected credit losses	Gross carrying amount	Expected credit losses	Gross carrying amount	Expected credit losses
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Less than :						
30 DPD	34,655,801	6,980,246	-	-	34,655,801	6,980,246
90 DPD	-	-	18,642,620	10,270,180	18,642,620	10,270,180
More than :						
30 DPD	20,163,248	1,917,256	-	-	20,163,248	1,917,256
90 DPD	-	-	94,746,738	73,123,194	94,746,738	73,123,194
Total	54,819,049	8,897,502	113,389,358	83,393,374	168,208,407	92,290,876

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

5.3.3 (e) Derivative financial instruments - Bank/Group

Credit risk arising from derivative financial instruments is, at any time, limited to those with positive fair values, as recorded on the statement of financial position. With gross-settled derivatives, the Bank is also exposed to a settlement risk, being the risk that the Bank honours its obligation, but the counterparty fails to deliver the counter value.

The following table shows an analysis of counterparty credit exposures arising from derivative financial instruments.

As at 31st December 2025	Derivative Type							
	Forward		SWAP		Spot*		Total	
	Notional amount	Fair value	Notional amount	Fair value	Notional amount	Fair value	Notional amount	Fair value
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Derivative financial assets								
By counterparty ;								
- with banks	5,690,005	37,427	144,961,593	1,774,498	2,693,300	3,606	153,344,898	1,815,531
- with other customers	5,950,086	161,100	-	-	-	-	5,950,086	161,100
Total derivative financial assets	11,640,091	198,527	144,961,593	1,774,498	2,693,300	3,606	159,294,984	1,976,631
Derivative financial liabilities								
By counterparty ;								
- with banks	7,583,440	100,888	35,279,466	132,587	1,484,842	2,013	44,347,748	235,488
- with other customers	3,469,771	64,703	-	-	-	-	3,469,771	64,703
Total derivative financial liabilities	11,053,211	165,591	35,279,466	132,587	1,484,842	2,013	47,817,519	300,191

As at 31st December 2024	Derivative Type							
	Forward		SWAP		Spot*		Total	
	Notional amount	Fair value	Notional amount	Fair value	Notional amount	Fair value	Notional amount	Fair value
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Derivative financial assets								
By counterparty ;								
- with banks	9,278,897	113,418	51,095,136	205,547	1,828,468	2,343	62,202,501	321,308
- with other customers	5,778,509	53,752	-	-	-	-	5,778,509	53,752
Total derivative financial assets	15,057,406	167,170	51,095,136	205,547	1,828,468	2,343	67,981,010	375,060
Derivative financial liabilities								
By counterparty ;								
- with banks	22,863,190	191,494	81,701,474	1,358,666	2,471,018	2,371	107,035,682	1,552,531
- with other customers	1,544,422	20,886	-	-	-	-	1,544,422	20,886
Total derivative financial liabilities	24,407,612	212,380	81,701,474	1,358,666	2,471,018	2,371	108,580,104	1,573,417

*Spot contract is a contract that will mature within two days from the deal date.

5.3.3 (f) Modified financial assets

The contractual terms of a loan may be modified for a number of reasons, including changing market conditions, customer retention and other factors not related to a current or potential credit deterioration of the customer. An existing loan whose terms have been modified may be derecognised and the renegotiated (restructured / rescheduled) loan recognised as a new loan at fair value in accordance with the accounting policy set out in 31 (c) iii.

When the terms of a financial asset are modified and the modification does not result in derecognition, the determination of whether the asset's credit risk has increased significantly reflects comparison of:

- its remaining lifetime PD at the reporting date based on the modified terms; with

- the remaining lifetime PD estimated based on data on initial recognition and the original contractual terms.

When modification results in derecognition, a new asset is recognised and allocated to Stage 1 (assuming it is not credit-impaired at that time).

The Group renegotiates loans to customers in financial difficulties to maximise collection opportunities and minimise the risk of default. Concessions are granted on a selective basis if the debtor is currently in default on its debt or if there is a high risk of default, there is evidence that the debtor made all reasonable efforts to pay under the original contractual terms and the debtor is expected to be able to meet the revised terms.

The revised terms usually include extending the maturity, changing the timing of interest payments

and amending the terms of loan covenants. Such concessions are granted to both retail and corporate loans and the management regularly reviews reports on loans.

Generally, a change to original repayment terms is a qualitative indicator of a significant increase in credit risk for performing credit facility while the repayment terms of the existing credit impaired credit facilities are also amended due to reasons noted above. A customer needs to demonstrate consistently good payment behaviour over a period of time before the exposure is no longer considered to have an increased credit risk or credit impaired / in default and the PD is considered to have decreased such that it falls within the 12 month PD range for the asset to be considered Stage 1.

The following table provides information on financial assets that were modified while they had a loss allowance measured at an amount equal to lifetime ECL.

	2025 Rs 000	2024 Rs 000
Financial assets modified during the year		
Amortised cost before modification	8,084,797	4,794,403
Net modification loss	282,926	541,318
Financial assets modified since initial recognition		
Gross carrying amount of financial assets previously modified for which loss allowance has changed during the year to an amount equal to 12month ECL from lifetime	8,428,976	17,525,561

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

5.3.4 (a) Credit exposure and expected credit loss (ECL) provision movement - Stage wise

Bank - 2025	Stage 1		Stage 2		Stage 3		Exposures not subject to ECL	Total	
	Gross carrying amount Rs 000	ECL Rs 000	Gross carrying amount Rs 000	ECL Rs 000	Gross carrying amount Rs 000	ECL Rs 000	Gross carrying amount Rs 000	Gross carrying amount Rs 000	ECL Rs 000
Cash and cash equivalents									
As at 1st January 2025	12,053,665	28,235	-	-	-	-	51,330,829	63,384,494	28,235
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated or purchased and effect of remeasurement	3,778,954	11,317	-	-	-	-	51,607,367	55,386,321	11,317
Financial assets derecognised or repaid (excluding write offs)	(12,053,665)	(28,235)	-	-	-	-	(51,330,829)	(63,384,494)	(28,235)
Write offs	-	-	-	-	-	-	-	-	-
As at 31st December 2025	3,778,954	11,317	-	-	-	-	51,607,367	55,386,321	11,317
Placements with banks									
As at 1st January 2025	41,876,789	18,272	-	-	-	-	-	41,876,789	18,272
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated or purchased and effect of remeasurement	27,321,258	3,757	-	-	-	-	-	27,321,258	3,757
Financial assets derecognised or repaid (excluding write offs)	(41,876,789)	(18,272)	-	-	-	-	-	(41,876,789)	(18,272)
Write offs	-	-	-	-	-	-	-	-	-
As at 31st December 2025	27,321,258	3,757	-	-	-	-	-	27,321,258	3,757
Financial assets measured at amortised cost - debt and other financial instruments									
As at 1st January 2025	741,762,737	1,536	-	-	634,494	634,494	-	742,397,231	636,030
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated or purchased and effect of remeasurement / exchange adjustment	384,776,635	-	-	-	-	-	-	384,776,635	-
Financial assets derecognised or matured / exchange adjustment (excluding write offs)	(475,919,976)	(763)	-	-	(83)	(83)	-	(475,920,059)	(846)
Write offs	-	-	-	-	(96,161)	(96,161)	-	(96,161)	(96,161)
As at 31st December 2025	650,619,396	773	-	-	538,250	538,250	-	651,157,646	539,023

Bank - 2025	Stage 1		Stage 2		Stage 3		Exposures not subject to ECL	Total	
	Gross carrying amount Rs 000	ECL Rs 000	Gross carrying amount Rs 000	ECL Rs 000	Gross carrying amount Rs 000	ECL Rs 000	Gross carrying amount Rs 000	Gross carrying amount Rs 000	ECL Rs 000
Financial assets measured at amortised cost - Loans and advances to customers									
As at 1st January 2025	1,008,830,390	9,924,864	46,679,337	8,383,867	104,230,732	77,756,383	-	1,159,740,459	96,065,114
Transfer from stage 1 to stage 2 and stage 3	(13,298,165)	(302,977)	10,951,466	248,880	2,346,699	54,097	-	-	-
Transfer from stage 2 to stage 1 and stage 3	9,827,238	973,710	(12,921,365)	(1,472,221)	3,094,127	498,511	-	-	-
Transfer from stage 3 to stage 1 and stage 2	2,186,473	811,669	2,678,202	1,226,969	(4,864,675)	(2,038,638)	-	-	-
Movement of new assets originated or loans rescheduled during the year	985,509,070	6,228,103	27,554,480	4,143,029	4,205,840	2,554,821	-	1,017,269,390	12,925,953
Financial assets derecognised or repaid (excluding write offs)	(547,990,050)	(2,560,285)	(17,434,111)	(3,247,266)	(14,817,022)	(8,701,692)	-	(580,241,183)	(14,509,243)
Net effect of re-measurement	(69,631,240)	(5,828,014)	(5,231,974)	(1,534,073)	(6,703,949)	(2,081,066)	-	(81,567,163)	(9,443,153)
Write offs	-	-	-	-	(5,049,595)	(5,049,595)	-	(5,049,595)	(5,049,595)
Foreign exchange adjustments	2,454,888	20,402	429,009	52,732	923,709	660,067	-	3,807,606	733,201
As at 31st December 2025	1,377,888,604	9,267,472	52,705,044	7,801,917	83,365,866	63,652,888	-	1,513,959,514	80,722,277
Financial assets measured at fair value through other comprehensive income									
As at 1st January 2025	68,637,405	-	18,105,304	-	-	-	9,566,761	96,309,470	-
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated/purchased or increase in fair value	(1,496,842)	-	2,037,192	-	-	-	3,338,294	3,878,644	-
Financial assets derecognised/repaid (excluding write offs) and reductions in fair value	(1,010,214)	-	(4,322,431)	-	-	-	-	(5,332,645)	-
Write offs	-	-	-	-	-	-	-	-	-
As at 31st December 2025	66,130,349	-	15,820,065	-	-	-	12,905,055	94,855,469	-
Financial assets measured at fair value through profit or loss									
As at 1st January 2025	1,677,370	-	-	-	-	-	158,099	1,835,469	-
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated/purchased or increase in fair value	1,037,230	-	-	-	-	-	41,902	1,079,132	-
Financial assets derecognised/repaid (excluding write offs) and reductions in fair value	(1,677,370)	-	-	-	-	-	-	(1,677,370)	-
Write offs	-	-	-	-	-	-	-	-	-
As at 31st December 2025	1,037,230	-	-	-	-	-	200,001	1,237,231	-

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

Bank - 2024	Stage 1		Stage 2		Stage 3		Exposures not subject to ECL	Total	
	Gross carrying amount Rs 000	ECL Rs 000	Gross carrying amount Rs 000	ECL Rs 000	Gross carrying amount Rs 000	ECL Rs 000	Gross carrying amount Rs 000	Gross carrying amount Rs 000	ECL Rs 000
Cash and cash equivalents									
As at 1st January 2024	28,492,964	216,627	-	-	-	-	44,872,259	73,365,223	216,627
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated or purchased and effect of remeasurement	12,053,665	357	-	-	-	-	51,330,829	63,384,494	357
Financial assets derecognised or repaid (excluding write offs)	(28,492,964)	(188,749)	-	-	-	-	(44,872,259)	(73,365,223)	(188,749)
Write offs	-	-	-	-	-	-	-	-	-
As at 31st December 2024	12,053,665	28,235	-	-	-	-	51,330,829	63,384,494	28,235
Placements with banks									
As at 1st January 2024	56,024,833	33,699	-	-	-	-	-	56,024,833	33,699
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated or purchased and effect of remeasurement	1,267,774	964	-	-	-	-	-	1,267,774	964
Financial assets derecognised or repaid (excluding write offs)	(15,415,818)	(16,391)	-	-	-	-	-	(15,415,818)	(16,391)
Write offs	-	-	-	-	-	-	-	-	-
As at 31st December 2024	41,876,789	18,272	-	-	-	-	-	41,876,789	18,272
Financial assets measured at amortised cost - debt and other financial instruments									
As at 1st January 2024	456,285,915	740,093	196,305,095	102,078,763	651,160	651,160	-	653,242,170	103,470,016
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated or purchased and effect of remeasurement / exchange adjustment	288,209,627	-	-	-	-	-	-	288,209,627	-
Financial assets derecognised or repaid (excluding write offs)	(2,732,805)	(738,557)	(196,305,095)	(102,078,763)	(16,666)	(16,666)	-	(199,054,566)	(102,833,986)
Write offs	-	-	-	-	-	-	-	-	-
As at 31st December 2024	741,762,737	1,536	-	-	634,494	634,494	-	742,397,231	636,030

Bank - 2024	Stage 1		Stage 2		Stage 3		Exposures not subject to ECL	Total	
	Gross carrying amount	ECL	Gross carrying amount	ECL	Gross carrying amount	ECL		Gross carrying amount	ECL
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000		Rs 000	Rs 000
Financial assets measured at amortised cost - Loans and advances to customers									
As at 1st January 2024	816,389,120	10,653,265	111,013,262	10,333,747	114,587,821	66,122,875	-	1,041,990,203	87,109,887
Transfer from stage 1 to stage 2 and stage 3	(12,532,569)	(395,723)	7,583,974	212,637	4,948,595	183,086	-	-	-
Transfer from stage 2 to stage 1 and stage 3	53,198,164	2,402,632	(60,830,381)	(4,267,682)	7,632,217	1,865,050	-	-	-
Transfer from stage 3 to stage 1 and stage 2	2,411,919	779,390	5,081,913	2,754,892	(7,493,832)	(3,534,282)	-	-	-
Movement of new assets originated or loans reschedule during the year	649,226,687	5,529,962	17,695,406	5,277,508	15,644,359	28,300,029	-	682,566,452	39,107,499
Financial assets derecognised or repaid (excluding write offs)	(114,746,297)	(5,917,917)	(9,041,130)	(3,794,595)	(10,070,841)	(3,294,234)	-	(133,858,268)	(13,006,746)
Net effect of re-measurement	(395,920,155)	(3,214,998)	(26,793,730)	(2,153,704)	(22,375,564)	(11,148,682)		(445,089,449)	(16,517,384)
Write offs	-	-	-	-	(752,915)	(752,915)	-	(752,915)	(752,915)
Foreign exchange adjustments	10,803,521	88,253	1,970,023	21,064	2,110,892	15,456	-	14,884,436	124,773
As at 31st December 2024	1,008,830,390	9,924,864	46,679,337	8,383,867	104,230,732	77,756,383	-	1,159,740,459	96,065,114
Financial assets measured at fair value through other comprehensive income									
As at 1st January 2024	183,097,126	-	-	-	-	-	6,228,832	189,325,958	-
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated/purchased or increase in fair value	90,297,360	-	18,105,304	-	-	-	3,337,929	111,740,593	-
Financial assets derecognised/repaid (excluding write offs) and reductions in fair value	(204,757,081)	-	-	-	-	-	-	(204,757,081)	-
Write offs								-	-
As at 31st December 2024	68,637,405	-	18,105,304	-	-	-	9,566,761	96,309,470	-
Financial assets measured at fair value through profit or loss									
As at 1st January 2024	1,933	-	-	-	-	-	113,708	115,641	-
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated/purchased or increase in fair value	1,677,370	-	-	-	-	-	44,391	1,721,761	-
Financial assets derecognised/repaid (excluding write offs) and reductions in fair value	(1,933)	-	-	-	-	-	-	(1,933)	-
Write offs								-	-
As at 31st December 2024	1,677,370	-	-	-	-	-	158,099	1,835,469	

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

5.3.4 (b) Sensitivity of factors used to determine impairment provisions

Given current economic uncertainties and the judgment applied to factors used in determining the expected default of borrowers in future periods, expected credit losses reported by the Bank should be considered as a best estimate within a range of possible estimates.

As at 31st December 2025 - Bank	Sensitivity effect on Statement of Financial Position				Sensitivity effect on
	[Increase/(Decrease) in impairment provision]				Income Statement
	Stage 1	Stage 2	Stage 3	Total	[Increase/(Decrease) in impairment charge]
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Change in Property realisation period of individually significant impaired customers					
- Advanced by one year	-	-	751,036	751,036	751,036
- Deferred by one year	-	-	(697,721)	(697,721)	(697,721)
Change in Probability of Default (PD)					
- Increase existing PD by 10% across all age buckets	696,805	157,504	-	854,309	854,309
- Decrease existing PD by 10% across all age buckets	(696,805)	(157,504)	-	(854,309)	(854,309)
Change in Loss Given Default (LGD)					
- 1% increase	69,681	15,750	48,152	133,583	133,583
- 1% decrease	(69,681)	(15,750)	(48,152)	(133,583)	(133,583)
Change in deemed loss period*					
- Deemed loss period increase by 1 year	(207,039)	(63,920)	(114,321)	(385,280)	(385,280)
- Deemed loss period decrease by 1 year	174,008	49,263	135,529	358,800	358,800
Changes in Weightages Used for Economic Factor Adjustment (EFA)					
- worse case 5% increase, best case 5 % decrease, base case constant	67,043	15,485	-	82,528	82,528
- worse case 5% decrease, best case 5 % increase, base case constant	(67,043)	(15,485)	-	(82,528)	(82,528)
Changes in economic variables					
Increase in GDP rate by 1%	(75,278)	(16,435)	-	(91,713)	(91,713)
Decrease in GDP rate by 1%	81,301	17,748	-	99,049	99,049
Increase in inflation rate by 1%	20,207	4,513	-	24,720	24,720
Decrease in inflation rate by 1%	(19,701)	(4,401)	-	(24,102)	(24,102)
Increase in unemployment rate by 1%	1,055,321	233,977	-	1,289,299	1,289,299
Decrease in unemployment rate by 1%	(1,055,321)	(233,977)	-	(1,289,299)	(1,289,299)

*The deemed loss period is when the Bank assumes a contract's LGD (Loss Given Default) is 100% when calculating LGD.

As at 31st December 2024 - Bank	Sensitivity effect on Statement of Financial Position [Increase/(Decrease) in impairment provision]				Sensitivity effect on Income Statement
	Stage 1	Stage 2	Stage 3	Total	[Increase/(Decrease) in impairment charge]
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Change in Property realisation period of individually significant impaired customers					
- Advanced by one year	-	-	735,067	735,067	735,067
- Deferred by one year	-	-	(679,866)	(679,866)	(679,866)
Change in Probability of Default (PD)					
- Increase existing PD by 10% across all age buckets	866,557	230,927	-	1,097,484	1,097,484
- Decrease existing PD by 10% across all age buckets	(866,557)	(230,927)	-	(1,097,484)	(1,097,484)
Change in Loss Given Default (LGD)					
- 1% increase	86,656	23,093	75,428	185,177	185,177
- 1% decrease	(86,656)	(23,093)	(75,428)	(185,177)	(185,177)
Change in deemed loss period					
- Deemed loss period increase by 1 year	(120,417)	(30,443)	(107,867)	(258,727)	(258,727)
- Deemed loss period decrease by 1 year	102,029	28,692	92,747	223,468	223,468
Change in Economic Factor Adjustment (EFA)					
- worse case 5% increase, best case % decrease, base case constant	85,170	22,751	-	107,921	107,921
- worse case 5% decrease, best case % increase, base case constant	(85,170)	(22,751)	-	(107,921)	(107,921)
Changes in economic variables					
Increase in GDP rate by 1%	(71,732)	(18,909)	-	(90,641)	(90,641)
Decrease in GDP rate by 1%	80,840	21,309	-	102,149	102,149
Increase in inflation rate by 1%	19,131	5,001	-	24,133	24,133
Decrease in inflation rate by 1%	(18,615)	(4,867)	-	(23,482)	(23,482)
Increase in unemployment rate by 1%	1,028,262	276,316	-	1,304,577	1,304,577
Decrease in unemployment rate by 1%	(1,028,262)	(276,316)	-	(1,304,577)	(1,304,577)

*The deemed loss period is when the Bank assumes a contract's LGD (Loss Given Default) is 100% when calculating LGD.

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

5.3.4 (c) Credit exposure and expected credit loss (ECL) provision movement - Stage wise

Group - 2025	Stage 1		Stage 2		Stage 3		Exposures not subject to ECL	Total	
	Gross carrying amount Rs 000	ECL Rs 000	Gross carrying amount Rs 000	ECL Rs 000	Gross carrying amount Rs 000	ECL Rs 000	Gross carrying amount Rs 000	Gross carrying amount Rs 000	ECL Rs 000
Cash and cash equivalents									
As at 1st January 2025	12,337,937	28,260	-	-	-	-	51,755,364	64,093,301	28,260
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated or purchased and effect of remeasurement	4,563,490	11,317	-	-	-	-	52,191,207	56,754,697	11,317
Financial assets derecognised or repaid (excluding write offs)	(12,337,937)	(28,260)	-	-	-	-	(51,755,364)	(64,093,301)	(28,260)
Write offs	-	-	-	-	-	-	-	-	-
As at 31st December 2025	4,563,490	11,317	-	-	-	-	52,191,207	56,754,697	11,317
Placements with banks									
As at 1st January 2025	48,675,977	19,967	-	-	-	-	-	48,675,977	19,967
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated or purchased and effect of remeasurement	42,286,594	4,190	-	-	-	-	-	42,286,594	4,190
Financial assets derecognised or repaid (excluding write offs)	(48,675,977)	(19,967)	-	-	-	-	-	(48,675,977)	(19,967)
Write offs	-	-	-	-	-	-	-	-	-
As at 31st December 2025	42,286,594	4,190	-	-	-	-	-	42,286,594	4,190
Financial assets measured at amortised cost - debt and other financial instruments									
As at 1st January 2025	770,024,261	3,715	-	-	634,494	634,494	-	770,658,755	638,209
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated or purchased and effect of remeasurement / exchange adjustment	421,661,921	-	-	-	-	-	-	421,661,921	-
Financial assets derecognised or matured / exchange adjustment (excluding write offs)	(507,319,007)	(2,734)	-	-	(83)	(83)	-	(507,319,090)	(2,817)
Write offs	-	-	-	-	(96,161)	(96,161)	-	(96,161)	(96,161)
As at 31st December 2025	684,367,175	981	-	-	538,250	538,250	-	684,905,425	539,231

Group - 2025	Stage 1		Stage 2		Stage 3		Exposures not subject to ECL	Total	
	Gross carrying amount Rs 000	ECL Rs 000	Gross carrying amount Rs 000	ECL Rs 000	Gross carrying amount Rs 000	ECL Rs 000	Gross carrying amount Rs 000	Gross carrying amount Rs 000	ECL Rs 000
Financial assets measured at amortised cost - Loans and advances to customers									
As at 1st January 2025	1,038,573,778	10,477,990	54,819,049	8,897,502	113,389,358	83,393,374	-	1,206,782,185	102,768,866
Transfer from stage 1 to stage 2 and stage 3	(14,275,584)	(418,163)	11,796,825	301,994	2,478,759	116,169	-	-	-
Transfer from stage 2 to stage 1 and stage 3	12,351,590	1,029,049	(15,557,032)	(1,572,184)	3,205,442	543,135	-	-	-
Transfer from stage 3 to stage 1 and stage 2	2,864,860	842,720	3,730,617	1,359,838	(6,595,477)	(2,202,558)	-	-	-
Movement of new assets originated or loans rescheduled during the year	1,029,213,773	6,814,522	36,193,049	4,211,279	7,563,823	5,125,238	-	1,072,970,645	16,151,039
Financial assets derecognised or repaid (excluding write offs)	(555,991,084)	(2,805,542)	(22,580,361)	(3,236,577)	(20,088,398)	(12,882,516)	-	(598,659,843)	(18,924,635)
Net effect of re-measurement	(77,306,300)	(5,911,761)	(4,893,091)	(1,756,069)	(3,693,878)	359,078	-	(85,893,269)	(7,308,752)
Write offs	-	-	-	-	(6,326,869)	(6,326,869)	-	(6,326,869)	(6,326,869)
Foreign exchange adjustments	2,454,888	20,403	429,009	52,733	923,709	660,067	-	3,807,606	733,203
As at 31st December 2025	1,437,885,921	10,049,218	63,938,065	8,258,516	90,856,469	68,785,118	-	1,592,680,455	87,092,852
Financial assets measured at fair value through other comprehensive income									
As at 1st January 2025	93,006,546	-	18,105,304	-	-	-	1,295,449	112,407,299	-
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated/purchased or increase in fair value	5,620,484	-	2,037,192	-	-	-	439,694	8,097,370	-
Financial assets derecognised/repaid (excluding write offs) and reductions in fair value	(1,010,214)	-	(4,322,431)	-	-	-	-	(5,332,645)	-
Write offs	-	-	-	-	-	-	-	-	-
As at 31st December 2025	97,616,816	-	15,820,065	-	-	-	1,735,143	115,172,024	-
Financial assets measured at fair value through profit or loss									
As at 1st January 2025	1,677,370	-	-	-	-	-	1,285,242	2,962,612	-
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated/purchased or increase in fair value	70,807,090	-	-	-	-	-	229,728	71,036,818	-
Financial assets derecognised/repaid (excluding write offs) and reductions in fair value	(1,677,370)	-	-	-	-	-	-	(1,677,370)	-
Write offs	-	-	-	-	-	-	-	-	-
As at 31st December 2025	70,807,090	-	-	-	-	-	1,514,970	72,322,060	-

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

5.3.4 (c) Credit exposure and expected credit loss (ECL) provision movement - Stage wise (Contd.)

Group - 2024	Stage 1		Stage 2		Stage 3		Exposures not subject to ECL	Total	
	Gross carrying amount	ECL	Gross carrying amount	ECL	Gross carrying amount	ECL	Gross carrying amount	Gross carrying amount	ECL
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Cash and cash equivalents									
As at 1st January 2024	28,743,107	216,652	-	-	-	-	45,232,452	73,975,559	216,652
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated or purchased and effect of remeasurement	12,337,937	28,260	-	-	-	-	51,755,364	64,093,301	28,260
Financial assets derecognised or repaid (excluding write offs)	(28,743,107)	(216,652)	-	-	-	-	(45,232,452)	(73,975,559)	(216,652)
Write offs	-	-	-	-	-	-	-	-	-
As at 31st December 2024	12,337,937	28,260	-	-	-	-	51,755,364	64,093,301	28,260
Placements with banks									
As at 1st January 2024	61,871,455	35,073	-	-	-	-	-	61,871,455	35,073
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated or purchased and effect of remeasurement	48,675,977	19,967	-	-	-	-	-	48,675,977	19,967
Financial assets derecognised or repaid (excluding write offs)	(61,871,455)	(35,073)	-	-	-	-	-	(61,871,455)	(35,073)
Write offs	-	-	-	-	-	-	-	-	-
As at 31st December 2024	48,675,977	19,967	-	-	-	-	-	48,675,977	19,967
Financial assets measured at amortised cost - debt and other financial instruments									
As at 1st January 2024	490,646,660	741,729	196,305,095	102,078,763	1,424,250	1,424,250	-	688,376,005	104,244,742
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated or purchased and effect of remeasurement / exchange adjustment	279,053,511	-	-	-	-	-	-	279,053,511	-
Financial assets derecognised or repaid (excluding write offs)	324,090	(738,014)	(196,305,095)	(102,078,763)	(16,666)	(16,666)	-	(195,997,671)	(102,833,443)
Write offs	-	-	-	-	(773,090)	(773,090)	-	(773,090)	(773,090)
As at 31st December 2024	770,024,261	3,715	-	-	634,494	634,494	-	770,658,755	638,209

Group - 2024	Stage 1		Stage 2		Stage 3		Exposures not subject to ECL	Total	
	Gross carrying amount	ECL	Gross carrying amount	ECL	Gross carrying amount	ECL		Gross carrying amount	ECL
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000		Rs 000	Rs 000
Financial assets measured at amortised cost - Loans and advances to customers									
As at 1st January 2024	839,427,758	12,960,050	118,245,535	10,659,837	123,512,873	68,965,082	-	1,081,186,166	92,584,969
Transfer from stage 1 to stage 2 and stage 3	(15,317,916)	(307,207)	10,241,584	151,272	5,076,332	155,935	-	-	-
Transfer from stage 2 to stage 1 and stage 3	54,803,210	2,276,232	(63,724,250)	(4,073,338)	8,921,040	1,797,106	-	-	-
Transfer from stage 3 to stage 1 and stage 2	2,453,891	687,681	5,101,034	2,600,406	(7,554,925)	(3,288,087)	-	-	-
Movement of new assets originated or loans rescheduled during the year	664,177,019	6,029,321	19,688,308	5,300,931	15,653,462	29,824,991	-	699,518,789	41,155,243
Financial assets derecognised or repaid (excluding write offs)	(128,999,382)	(7,746,291)	(10,816,894)	(3,395,529)	(11,418,789)	(3,916,937)	-	(151,235,065)	(15,058,757)
Net effect of re-measurement	(388,774,323)	(3,510,049)	(25,886,291)	(2,367,141)	(22,137,709)	(9,386,354)	-	(436,798,323)	(15,263,544)
Write offs	-	-	-	-	(773,818)	(773,818)	-	(773,818)	(773,818)
Foreign exchange adjustments	10,803,521	88,253	1,970,023	21,064	2,110,892	15,456	-	14,884,436	124,773
As at 31st December 2024	1,038,573,778	10,477,990	54,819,049	8,897,502	113,389,358	83,393,374	-	1,206,782,185	102,768,866
Financial assets measured at fair value through other comprehensive income									
As at 1st January 2024	189,740,995	-	-	-	-	-	6,234,312	195,975,307	-
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated/purchased or increase in fair value	106,390,757	-	18,105,304	-	-	-	3,336,881	127,832,942	-
Financial assets derecognised/repaid (excluding write offs) and reductions in fair value	(211,400,950)	-	-	-	-	-	-	(211,400,950)	-
Write offs								-	
As at 31st December 2024	84,730,802	-	18,105,304	-	-	-	9,571,193	112,407,299	-
Financial assets measured at fair value through profit or loss									
As at 1st January 2024	1,947	-	-	-	-	-	799,118	801,065	-
Transfer from stage 1	-	-	-	-	-	-	-	-	-
Transfer from stage 2	-	-	-	-	-	-	-	-	-
Transfer from stage 3	-	-	-	-	-	-	-	-	-
New assets originated/purchased or increase in fair value	1,677,370	-	-	-	-	-	486,124	2,163,494	-
Financial assets derecognised/repaid (excluding write offs) and reductions in fair value	(1,947)	-	-	-	-	-	-	(1,947)	-
Write offs								-	
As at 31st December 2024	1,677,370	-	-	-	-	-	1,285,242	2,962,612	

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

5.3.4 (d) Sensitivity of factors used to determine impairment provisions

Given current economic uncertainties and the judgment applied to factors used in determining the expected default of borrowers in future periods, expected credit losses reported by the Group should be considered as a best estimate within a range of possible estimates.

As at 31st December 2025 - Group	Sensitivity effect on Statement of Financial Position [Increase/(Decrease) in impairment provision]				Sensitivity effect on Income Statement [Increase/(Decrease) in impairment charge] Rs 000
	Stage 1	Stage 2	Stage 3	Total	
	Rs 000	Rs 000	Rs 000	Rs 000	
Change in Property realisation period of individually significant impaired customers					
- Advanced by one year	-	-	761,736	761,736	761,736
- Deferred by one year	-	-	(708,421)	(708,421)	(708,421)
Change in Probability of Default (PD)					
- Increase existing PD by 10% across all age buckets	826,142	186,738		1,012,880	1,012,880
- Decrease existing PD by 10% across all age buckets	(826,142)	(186,738)		(1,012,880)	(1,012,880)
Change in Loss Given Default (LGD)					
- 1% increase	84,023	23,060	121,854	228,937	228,937
- 1% decrease	(84,023)	(23,060)	(121,854)	(228,937)	(228,937)
Change in deemed loss period*					
- Deemed loss period increase by 1 year	(207,039)	(63,920)	(114,321)	(385,280)	(385,280)
- Deemed loss period decrease by 1 year	174,008	49,263	135,529	358,800	358,800
Change in Economic Factor Adjustment (EFA)					
- worse case 5% increase, best case % decrease, base case constant	70,277	17,134	-	87,411	87,411
- worse case 5% decrease, best case % increase, base case constant	(70,277)	(17,134)	-	(87,411)	(87,411)
Changes in economic variables					
Increase in GDP rate by 1%	(122,861)	(40,685)	-	(163,546)	(163,546)
Decrease in GDP rate by 1%	128,884	41,998	-	170,882	170,882
Increase in inflation rate by 1%	67,007	28,364	-	95,371	95,371
Decrease in inflation rate by 1%	(66,501)	(28,252)	-	(94,753)	(94,753)
Increase in unemployment rate by 1%	1,084,080	248,634	-	1,332,715	1,332,715
Decrease in unemployment rate by 1%	(1,084,080)	(248,634)	-	(1,332,715)	(1,332,715)

*The deemed loss period is when the Bank assumes a contract's LGD (Loss Given Default) is 100% when calculating LGD.

As at 31st December 2024 - Group	Sensitivity effect on Statement of Financial Position [Increase/(Decrease) in impairment provision]				Sensitivity effect on Income Statement
	Stage 1	Stage 2	Stage 3	Total	[Increase/(Decrease) in impairment charge]
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Change in Property realisation period of individually significant impaired customers					
- Advanced by one year	-	-	752,203	752,203	752,203
- Deferred by one year	-	-	(698,457)	(698,457)	(698,457)
Change in Probability of Default (PD)					
- Increase existing PD by 10% across all age buckets	892,746	248,583	-	1,141,329	1,141,329
- Decrease existing PD by 10% across all age buckets	(892,746)	(248,583)	-	(1,141,329)	(1,141,329)
Change in Loss Given Default (LGD)					
- 1% increase	96,666	29,841	167,210	293,717	293,717
- 1% decrease	(96,666)	(29,841)	(167,210)	(293,717)	(293,717)
Change in deemed loss period					
- Deemed loss period increase by 1 year	(120,417)	(30,443)	(107,867)	(258,727)	(258,727)
- Deemed loss period decrease by 1 year	102,029	28,692	92,747	223,468	223,468
Change in Economic Factor Adjustment (EFA)					
- worse case 5% increase, best case % decrease, base case constant	88,386	24,919	-	113,304	113,304
- worse case 5% decrease, best case % increase, base case constant	(88,386)	(24,919)	-	(113,304)	(113,304)
Changes in economic variables					
Increase in GDP rate by 1%	(106,188)	(42,138)	-	(148,326)	(148,326)
Decrease in GDP rate by 1%	115,296	44,538	-	159,834	159,834
Increase in inflation rate by 1%	55,035	29,206	-	84,242	84,242
Decrease in inflation rate by 1%	(54,519)	(29,072)	-	(83,591)	(83,591)
Increase in unemployment rate by 1%	1,072,169	305,917	-	1,378,085	1,378,085
Decrease in unemployment rate by 1%	(1,072,169)	(305,917)	-	(1,378,085)	(1,378,085)

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

5.3.5 Collateral held and other credit enhancement

The bank holds collateral and other credit enhancements against certain types of its credit exposures. The following table sets out the principal types of collateral held against different types of financial assets. For each loan, the value of disclosed collateral is capped at the amount of the loan it is held against.

As at 31st December	Bank			
	2025		2024	
	Gross loan balance Rs 000	Security value Rs 000	Gross loan balance Rs 000	Security value Rs 000
Stage 1				
Cash Collateral	81,987,510	81,987,510	56,812,111	56,812,111
Property, plant and machinery	343,933,835	318,658,438	305,570,661	293,491,223
Treasury Guarantee	-	-	32,104,481	32,104,481
Others	369,611,797	325,319,947	224,563,213	166,923,499
Unsecured	582,355,462	-	389,779,924	-
	1,377,888,604	725,965,895	1,008,830,390	549,331,314
Stage 2				
Cash collateral	1,482,253	1,482,253	941,800	941,800
Property, plant and machinery	19,435,171	16,092,684	23,772,340	21,164,675
Treasury Guarantee	-	-	-	-
Others	11,663,492	7,868,306	8,378,521	7,934,272
Unsecured	20,124,128	-	13,586,676	-
	52,705,044	25,443,243	46,679,337	30,040,747
Stage 3				
Cash collateral	363,872	363,872	729,444	729,445
Property, plant and machinery	55,397,300	45,537,927	69,484,938	60,221,049
Others	12,914,326	11,082,662	17,469,970	11,740,563
Unsecured	14,690,368	-	16,546,380	-
	83,365,866	56,984,461	104,230,732	72,691,057

As at 31st December	Group			
	2025		2024	
	Gross loan balance Rs 000	Security value Rs 000	Gross loan balance Rs 000	Security value Rs 000
Stage 1				
Cash Collateral	82,456,200	82,456,200	57,230,588	57,230,588
Property, plant and machinery	348,501,847	323,242,577	307,335,276	295,255,838
Treasury Guarantee	-	-	32,104,481	32,104,481
Others	420,648,628	376,356,778	248,839,272	191,199,558
Unsecured	586,279,246	-	393,064,161	-
	1,437,885,921	782,055,555	1,038,573,778	575,790,465
Stage 2				
Cash collateral	1,482,253	1,482,253	941,800	941,800
Property, plant and machinery	20,129,718	16,818,214	24,360,953	21,753,288
Treasury Guarantee	-	-	-	-
Others	21,568,349	17,773,507	14,621,002	14,176,753
Unsecured	20,757,745	-	14,895,294	-
	63,938,065	36,073,974	54,819,049	36,871,841
Stage 3				
Cash collateral	363,872	363,872	730,229	730,230
Property, plant and machinery	56,542,123	46,726,637	70,972,957	61,709,068
Others	13,837,132	12,007,495	18,912,746	13,183,339
Unsecured	20,113,342	-	22,773,426	-
	90,856,469	59,098,004	113,389,358	75,622,637

Assets obtained by taking possession of collateral

Details of financial and non-financial assets obtained by the Bank during the year by taking possession of collateral held as security against loans and advances and held at the year end are shown below.

	2025 Rs 000	2024 Rs 000
Property	7,679,840	7,036,570
Debt securities	-	-
Other	-	-

The Bank's policy is to pursue timely realisation of the collateral in an orderly manner. The Bank does not generally use the non-cash collateral for its own operations.

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

5.3.6 Concentration of Credit Risk

The Bank monitors concentration of credit risk by sector.

5.3.6 (a) Concentration by Sector

Bank	Agriculture and Fishing	Manufacturing	Tourism	Transport and Storage	Construction and Infrastructure	Wholesale and Retail
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
As at 31st December 2025						
Financial Assets						
Cash and cash equivalents	-	-	-	-	-	-
Placements with banks	-	-	-	-	-	-
Balances with Central Bank of Sri Lanka	-	-	-	-	-	-
Reverse repurchase agreements	-	-	-	-	-	-
Derivative financial instruments	-	-	-	105,442	-	54,825
Financial assets measured at fair value through profit or loss	-	-	77,602	10,182	13	-
Financial assets measured at amortised cost - loans and advances to customers (gross)	135,296,998	248,381,360	65,396,285	40,543,771	257,818,247	284,363,156
Financial assets measured at amortised cost - debt and other instruments	-	-	-	-	-	-
Financial assets measured at fair value through other comprehensive income	-	-	-	-	-	-
Other financial assets	-	-	-	-	-	-
	135,296,998	248,381,360	65,473,887	40,659,395	257,818,260	284,417,981

As at 31st December 2024

Financial Assets

Cash and cash equivalents	-	-	-	-	-	-
Placements with banks	-	-	-	-	-	-
Balances with Central Bank of Sri Lanka	-	-	-	-	-	-
Derivative financial instruments	-	-	-	-	-	-
Financial assets measured at fair value through profit or loss	-	-	61,903	3,117	6	-
Financial assets measured at amortised cost - loans and advances to customers (gross)	116,589,967	148,729,358	66,738,277	27,344,448	223,903,992	192,801,271
Financial assets measured at amortised cost - debt and other instruments	-	-	-	-	-	-
Financial assets measured at fair value through other comprehensive income	-	-	-	-	-	-
Other financial assets	-	-	-	-	-	-
	116,589,967	148,729,358	66,800,180	27,347,565	223,903,998	192,801,271

Information Technology and Communication Services Rs 000	Financial Services Rs 000	Professional, Scientific and Technical Services Rs 000	Art, Entertainment and Recreation Rs 000	Education Rs 000	Health care, Social Services and Support Services Rs 000	Consumption Rs 000	Other Rs 000	Lending to Overseas Entities Rs 000	Total Rs 000
-	55,386,321	-	-	-	-	-	-	-	55,386,321
-	27,321,258	-	-	-	-	-	-	-	27,321,258
-	37,288,440	-	-	-	-	-	-	-	37,288,440
-	22,319,688	-	-	-	-	-	-	-	22,319,688
-	1,815,530	-	-	-	-	-	834	-	1,976,631
-	1,105,916	-	-	-	-	-	43,518	-	1,237,231
15,729,753	190,200,943	13,682,194	2,723,016	12,750,151	35,408,679	205,331,610	1,784,899	4,548,452	1,513,959,514
-	649,118,680	-	-	-	-	-	2,038,966	-	651,157,646
-	94,855,469	-	-	-	-	-	-	-	94,855,469
-	634,327	-	-	-	-	-	-	-	634,327
15,729,753	1,080,046,572	13,682,194	2,723,016	12,750,151	35,408,679	205,331,610	3,868,217	4,548,452	2,406,136,525
-	63,384,494	-	-	-	-	-	-	-	63,384,494
-	41,876,789	-	-	-	-	-	-	-	41,876,789
-	6,913,009	-	-	-	-	-	-	-	6,913,009
-	375,060	-	-	-	-	-	-	-	375,060
-	1,730,058	-	-	-	-	-	40,385	-	1,835,469
24,116,223	87,730,684	11,412,166	1,818,809	10,644,559	85,316,464	155,098,736	1,653,098	5,842,407	1,159,740,459
-	740,300,758	-	-	-	-	-	2,096,473	-	742,397,231
-	96,309,470	-	-	-	-	-	-	-	96,309,470
-	4,746,539	-	-	-	-	-	-	-	4,746,539
24,116,223	1,043,366,861	11,412,166	1,818,809	10,644,559	85,316,464	155,098,736	3,789,956	5,842,407	2,117,578,520

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

5.3.6(a) Concentration by Sector (Contd.)

Group	Agriculture and Fishing	Manufacturing	Tourism	Transport and Storage	Construction and Infrastructure	Wholesale and Retail
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
As at 31st December 2025						
Financial Assets						
Cash and cash equivalents	-	-	-	-	-	-
Placements with banks	-	-	-	-	-	-
Balances with Central Bank of Sri Lanka	-	-	-	-	-	-
Reverse repurchase agreements	-	-	-	-	-	-
Derivative financial instruments	-	-	-	105,442	-	54,825
Financial assets measured at fair value through profit or loss	-	152,484	121,826	111,074	70,198	-
Financial assets measured at amortised cost - loans and advances to customers (gross)	146,570,612	254,458,532	66,326,858	42,171,222	259,001,355	310,846,057
Financial assets measured at amortised cost - debt and other instruments	-	-	-	-	-	-
Financial assets measured at fair value through other comprehensive income	-	-	-	-	-	-
Other financial assets	-	-	-	-	-	-
	146,570,612	254,611,016	66,448,684	42,387,738	259,071,553	310,900,882
As at 31st December 2024						
Financial Assets						
Cash and cash equivalents	-	-	-	-	-	-
Placements with banks	-	-	-	-	-	-
Balances with Central Bank of Sri Lanka	-	-	-	-	-	-
Reverse repurchase agreements	-	-	-	-	-	-
Derivative financial instruments	-	-	-	-	-	-
Financial assets measured at fair value through profit or loss	-	83,115	61,903	3,117	11,930	-
Financial assets measured at amortised cost - loans and advances to customers (gross)	120,505,334	146,756,744	65,895,976	27,748,298	206,856,772	199,569,363
Financial assets measured at amortised cost - debt and other instruments	-	-	-	-	-	-
Financial assets measured at fair value through other comprehensive income	-	-	-	-	-	-
Other financial assets	-	-	-	-	-	-
	120,505,334	146,839,859	65,957,879	27,751,415	206,868,702	199,569,363

Information Technology and Communication Services Rs 000	Financial Services Rs 000	Professional, Scientific and Technical Services Rs 000	Art, Entertainment and Recreation Rs 000	Education Rs 000	Health care, Social Services and Support Services Rs 000	Consumption Rs 000	Other Rs 000	Lending to Overseas Entities Rs 000	Total Rs 000
-	56,754,697	-	-	-	-	-	-	-	56,754,697
-	42,286,594	-	-	-	-	-	-	-	42,286,594
-	37,288,716	-	-	-	-	-	-	-	37,288,716
-	25,046,586	-	-	-	-	-	-	-	25,046,586
-	1,815,530	-	-	-	-	-	834	-	1,976,631
36,509	71,619,926	15,033	-	-	-	59,473	135,537	-	72,322,060
16,389,287	192,519,766	16,007,005	2,723,016	13,944,612	55,876,222	209,512,560	1,784,899	4,548,452	1,592,680,455
148,163	681,732,558	-	-	-	-	-	3,024,704	-	684,905,425
-	115,137,984	-	-	-	-	-	34,040	-	115,172,024
-	7,341,373	-	-	-	-	-	-	-	7,341,373
16,573,959	1,231,543,730	16,022,038	2,723,016	13,944,612	55,876,222	209,572,033	4,980,014	4,548,452	2,635,774,561
-	64,093,301	-	-	-	-	-	-	-	64,093,301
-	48,675,977	-	-	-	-	-	-	-	48,675,977
-	6,913,009	-	-	-	-	-	-	-	6,913,009
-	5,280,692	-	-	-	-	-	-	-	5,280,692
-	375,060	-	-	-	-	-	-	-	375,060
-	2,564,462	-	-	-	-	-	238,085	-	2,962,612
24,062,536	79,155,636	10,596,715	1,527,803	10,687,189	154,272,950	151,714,459	1,590,289	5,842,121	1,206,782,185
148,163	767,335,522	-	-	-	-	-	3,175,070	-	770,658,755
-	112,407,299	-	-	-	-	-	-	-	112,407,299
-	8,414,670	-	-	-	-	-	-	-	8,414,670
24,210,699	1,095,215,628	10,596,715	1,527,803	10,687,189	154,272,950	151,714,459	5,003,444	5,842,121	2,226,563,560

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

5.3.6 (b) Significant foreign lending exposures

Gross and net carrying values of significant foreign lending are given below. All these loans have been considered as significant loans and analysed individually. When the Bank has identified objective evidence of impairment of these loans, future cash flows have been estimated giving due consideration for specific industry, Country's economic conditions etc. and availability of collateral.

As at 31st December	India		Maldives		Middle East	
	2025	2024	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Gross carrying value	38,955,466	6,293,832	16,524,058	19,455,362	13,965,023	1,050,354
Impairment allowance	(508,356)	(174,652)	(4,665,297)	(4,675,561)	(46,178)	(20,111)
Net carrying value	38,447,110	6,119,180	11,858,761	14,779,801	13,918,845	1,030,243

Other foreign country exposures, apart from the amounts disclosed above, amounted to Rs 31 Bn. (2024: Rs 6.3 Bn)

Total unutilised overdrafts approved to above customers as at 31st December 2025 amounts to Rs 987 Mn (2024: Rs 3,372 Mn).

5.3.6 (c) Commitments and Guarantees - Bank/Group

The Bank enters into various irrevocable commitments and assumes contingent liabilities in order to meet the financial needs of the customer. These obligations contain credit risk and form part of the overall risk of the Bank even though those are not recognised on the statement of financial position.

As at 31st December	2025	2024
	Rs 000	Rs 000
Documentary credit	48,089,527	27,331,743
Guarantees	87,592,144	78,546,123
Acceptances	17,145,846	14,718,038
Commitment for unutilised facilities - Direct	327,156,178	271,929,810
Commitment for unutilised facilities - Indirect	230,513,946	242,290,749
Total	710,497,641	634,816,463

5.3.7 Loan to value ratio

Bank complies with the requirements of Central Bank of Sri Lanka in relation to Loan to value ratio when granting credit facilities.

5.4 Liquidity Risk

Liquidity risk is the risk that the Bank is unable to meet its debt obligations associated with its financial liabilities due to lack of funds or having to meet these obligations at excessive cost.

5.4.1 Management of Liquidity Risk

The Bank manages liquidity risk, in accordance with regulatory guidelines and international best practices. The objective of the Bank's liquidity and funding framework is to ensure that funding commitments and deposit withdrawals can be met when due and

market access remains cost effective.

A board approved liquidity policy to manage liquidity on a day-to-day basis along with a contingency funding plan to deal with crisis situations are in place. Contractual and behavioural maturity of assets and liabilities, key liquidity ratios and monthly liquidity forecasts and gaps are reviewed at Assets and Liability Committee (ALCO) meetings. The main sources of the Bank's funding are capital, core deposits from retail and commercial clients, wholesale deposits and access to borrowed funds from the interbank money market. The Bank also maintains a portfolio of readily marketable securities to further strengthen its liquidity position. Liquidity risk exposure is managed by treasury with limits and triggers set to

ensure that sufficient liquidity surplus and reserves are available to meet daily business requirements and also to deal with a sudden liquidity shock. Treasury reports the Bank's overall liquidity position to management on a daily basis.

5.4.2 Exposure to Liquidity Risk

The Bank monitors the following liquidity ratios to assess funding requirements.

As at 31st December		2025 %	2024 %
Liquidity Coverage Ratio (LCR)			
This ratio determines the ability of the Bank to withstand adverse shocks (i.e. sudden withdrawal of a significant portion of deposits) by holding high quality liquid assets in a 30 day time span. The LCR is intended to promote the short-term resilience of a bank's liquidity risk profile over a 30-day period.	Rupee Liquidity Requirement	193.97	292.61
	All Currency Liquidity Requirement	227.75	331.49
This ratio is defined as the amount of high-quality liquid assets that could be used to raise liquidity, measured against the total volume of net cash outflows, arising from both actual and contingent exposures in a stressed scenario.			
Net Stable Funding Ratio (NSFR)			
This ratio measures the availability of stable funds against the required funds of the Bank. NSFR, requires banks to maintain stable funding profile by creating additional incentives to fund their activities with more stable sources of funding on an ongoing basis, over a longer time horizon.		138%	161.18

5.4.3 Liquidity reserves

Components of the Bank's liquid assets portfolio/High quality liquidity assets (all currency) used for the purpose of calculating Liquidity Coverage ratio in December 2025 and December 2024.

As at 31st December	2025 Rs 000	2024 Rs 000
Asset - All Currency		
Level 1 Assets		
Cash in hand	51,607,367	51,330,829
Instruments issued by Sovereign	616,037,239	716,709,484
Level 2A Assets		
Issued or guaranteed by sovereigns	87,363,137	85,988,105
Level 2B Assets		
Qualifying non-financial common equity shares	131,315	105,412
Total unweighted stock of High Quality Liquid Assets (HQLA)	755,139,058	854,133,830
Total weighted stock of High Quality Liquid Assets (HQLA)	741,968,930	841,182,908
Net Cash outflows	325,788,527	253,758,731
Liquidity Coverage Ratio (LCR)	227.75	331.49

Total stock of HQLA is weighted as instructed by Regulator to arrive at LCR.

Monthly liquidity gap is reported to ALCO by Treasury for each currency, together with the overall gap position. Liquidity gap is based on the expected realisation of assets and liabilities which have been determined based on historical behaviour. Net liquidity position reported for the

month is monitored against the pre-set limits which have been approved by the ALCO.

The Bank also holds debt and equity securities which are not considered as liquid assets but for which there is an active and liquid market. These

assets can be readily sold to meet any unexpected liquidity requirements. Detailed analysis of the debt and equity securities held by the Bank as at 31st December 2025 is presented in Note 32 and 33 to the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

5.4.4 Analysis of Financial Assets and Liabilities by Remaining Contractual Maturities

The table below summarises the maturity profile of undiscounted cash flows of the Bank's financial assets and liabilities as at 31st December. Repayments which are subject to notice are treated as if notice were to be given immediately. However, the Bank expects that many customers will not request repayment on the earliest date it could be required to pay and the table does not reflect the expected cash flows indicated by its deposit retention history.

Contractual maturities of undiscounted cash flows of financial assets and financial liabilities

Bank 31st December 2025	Up to 3 months Rs 000	3 - 12 months Rs 000	1 - 3 years Rs 000	3 - 5 years Rs 000	More than 5 years Rs 000	Total Rs 000
Financial Assets						
<i>Derivative assets</i>						
Derivative financial instruments held for risk management	1,717,327	259,304	-	-	-	1,976,631
<i>Non- derivative assets</i>						
Cash and cash equivalents	55,386,321	-	-	-	-	55,386,321
Reverse repurchase agreements	22,319,688					22,319,688
Placements with banks	27,321,258	-	-	-	-	27,321,258
Balances with Central Bank of Sri Lanka	19,273,838	-	-	-	18,014,602	37,288,440
Financial assets measured at fair value through profit or loss	1,237,231	-	-	-	-	1,237,231
Financial assets measured at amortised cost - loans and advances to customers (gross)	380,552,691	504,146,999	394,904,818	259,064,617	224,677,802	1,763,346,927
Financial assets measured at amortised cost - debt and other instruments	178,060,383	279,726,415	92,709,068	24,334,469	107,185,241	682,015,576
Financial assets measured at fair value through other comprehensive income	4,139,313	29,992,455	45,364,533	17,475,000	12,905,055	109,876,356
Other financial assets	634,327	-	-	-	-	634,327
Total undiscounted financial assets	690,642,377	814,125,173	532,978,419	300,874,086	362,782,700	2,701,402,755
Financial Liabilities						
<i>Derivative liabilities</i>						
Derivative financial instruments held for risk management	299,772	419	-	-	-	300,191
<i>Non-derivative liabilities</i>						
Due to banks	5,555,338	260,861	5,862,874	-	-	11,679,073
Securities sold under repurchase agreements	25,181,401	3,070,714	-	-	-	28,252,115
Financial liabilities measured at amortised cost - due to depositors	1,171,716,704	650,321,654	223,190,054	28,327,862	7,090,950	2,080,647,224
Financial liabilities measured at amortised cost - other borrowings	506,256	2,249,434	3,227,907	1,527,703	243,145	7,754,445
Financial liabilities at amortised cost - debt securities issued	-	1,089,310	4,737,977	10,461,158	-	16,288,446
Other financial liabilities	7,629	-	-	-	-	7,629
Subordinated term debts	139,638	12,168,149	-	16,591,776	27,682,079	56,581,642
Total undiscounted financial liabilities	1,203,406,738	669,160,541	237,018,812	56,908,499	35,016,174	2,201,510,765
Net undiscounted financial assets/(liabilities)	(512,764,361)	144,964,632	295,959,607	243,965,587	327,766,526	499,891,990

The table below shows the contractual expiry by maturity of the Bank's contingent liabilities and commitments.

Bank As at 31st December 2025	Up to 3 months Rs 000	3 - 12 months Rs 000	1 - 3 years Rs 000	3 - 5 years Rs 000	More than 5 years Rs 000	Total Rs 000
Documentary credit	40,537,801	7,164,153	313,203	74,370	-	48,089,527
Guarantees	22,157,402	47,003,714	15,144,684	229,518	3,056,826	87,592,144
Acceptances	12,945,055	4,154,607	46,184	-	-	17,145,846
Commitment for unutilised facilities - Direct	327,156,178	-	-	-	-	327,156,178
Commitment for unutilised facilities - Indirect	230,513,946	-	-	-	-	230,513,946
	633,310,382	58,322,474	15,504,071	303,888	3,056,826	710,497,641

Contractual maturities of undiscounted cash flows of financial assets and financial liabilities

Bank As at 31st December 2024	Up to 3 months Rs 000	3 - 12 months Rs 000	1 - 3 years Rs 000	3 - 5 years Rs 000	More than 5 years Rs 000	Total Rs 000
Financial Assets						
<i>Derivative assets</i>						
Derivative financial instruments held for risk management	288,923	86,137	-	-	-	375,060
<i>Non- derivative assets</i>						
Cash and cash equivalents	63,386,702	-	-	-	-	63,386,702
Placements with banks	41,039,131	895,540	-	-	-	41,934,671
Balances with Central Bank of Sri Lanka	-	-	-	-	6,913,009	6,913,009
Financial assets measured at fair value through profit or loss	1,835,469	-	-	-	-	1,835,469
Financial assets measured at amortised cost - loans and advances to customers (gross)	513,402,484	334,794,279	256,577,747	138,340,388	140,822,957	1,383,937,855
Financial assets measured at amortised cost - debt and other instruments	155,475,154	360,794,300	113,889,168	197,423,611	107,506,166	935,088,399
Financial assets measured at fair value through other comprehensive income	3,300,133	12,107,539	35,865,603	48,281,905	25,916,761	125,471,941
Other financial assets	4,746,539	-	-	-	-	4,746,539
Total undiscounted financial assets	783,474,535	708,677,795	406,332,518	384,045,904	281,158,893	2,563,689,645

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

Bank As at 31st December 2024	Up to 3 months Rs 000	3 - 12 months Rs 000	1 - 3 years Rs 000	3 - 5 years Rs 000	More than 5 years Rs 000	Total Rs 000
Financial Liabilities						
<i>Derivative liabilities</i>						
Derivative financial instruments held for risk management	1,502,085	71,332	-	-	-	1,573,417
<i>Non-derivative liabilities</i>						
Due to banks	4,152,114	362,758	573,089	116,239	2,068,527	7,272,727
Securities sold under repurchase agreements	26,127,304	435,970	-	-	-	26,563,274
Financial liabilities measured at amortised cost - due to depositors	1,079,935,232	567,226,477	89,032,766	31,053,163	4,383,055	1,771,630,693
Dividends payable	976,029	-	-	-	-	976,029
Financial liabilities measured at amortised cost - other borrowings	4,945,374	5,930,690	9,396,407	2,357,896	213,149	22,843,516
Financial liabilities at amortised cost - debt securities issued	-	-	-	-	-	-
Other financial liabilities	10,466	-	-	-	-	10,466
Subordinated term debts	138,499	4,186,482	15,693,482	25,205,544	10,875,958	56,099,965
Total undiscounted financial liabilities	1,117,787,103	578,213,709	114,695,744	58,732,842	17,540,689	1,886,970,087
Net undiscounted financial assets/(liabilities)	(334,312,568)	130,464,086	291,636,774	325,313,062	263,618,204	676,719,558

The table below shows the contractual expiry by maturity of the Bank's contingent liabilities and commitments.

Bank As at 31st December 2024	Up to 3 months Rs 000	3 - 12 months Rs 000	1 - 3 years Rs 000	3 - 5 years Rs 000	More than 5 years Rs 000	Total Rs 000
Documentary credit	23,000,946	3,965,232	147,505	218,060	-	27,331,743
Guarantees	17,038,393	16,864,163	23,248,766	17,091,008	4,303,793	78,546,123
Acceptances	12,491,218	2,117,374	75,136	34,310	-	14,718,038
Commitment for unutilised facilities - Direct	271,929,810	-	-	-	-	271,929,810
Commitment for unutilised facilities - Indirect	242,290,749	-	-	-	-	242,290,749
	566,751,116	22,946,769	23,471,407	17,343,378	4,303,793	634,816,463

The amounts in the table above have been compiled as follows.

Type of financial instrument	Basis on which amounts are compiled
Non-derivative financial liabilities and financial assets	Undiscounted cash flows, which include estimated interest payments.
Issued financial guarantee contracts and unrecognised loan commitments	In respect of issued financial guarantee contracts, the maximum amount of the guarantee is allocated to the earliest period in which the guarantee could be called.

The Bank's expected cash flows on some financial assets and financial liabilities vary significantly from the contractual cash flows. The principal differences are as follows:

- Demand deposits from customers are expected to remain stable or increase;
- Not all undisbursed loan commitments are expected to be drawn down immediately;

5.4.5 Financial assets available to support future funding

Financial assets are pledged as collateral as part of sales and repurchases, securities borrowing and securitisation transactions under terms that are usual and customary for such activities. In addition, as part of these transactions, the Bank has received collaterals that it is permitted to sell or repledge in the absence of default. The fair value of collateral received as at 31st December 2025 was Rs 24 Bn on account of reverse repo.

The total financial assets recognised in the statement of financial position that had been pledged as collateral for liabilities as at 31st December 2025 and 2024 is shown in the following tables.

As at 31st December 2025	Encumbered		Unencumbered		Total Rs 000
	Pledged as collateral	Other	Available as collateral	Other	
	Rs 000	Rs 000	Rs 000	Rs 000	
Cash and cash equivalents	-	-	55,386,321	-	55,386,321
Placements with banks	-	-	27,321,258	-	27,321,258
Balances with Central Banks	-	37,288,440	-	-	37,288,440
Reverse repurchase agreements	-	-	22,319,688	-	22,319,688
Derivative financial assets	-	-	-	1,976,631	1,976,631
Financial assets recognised through profit or loss measured at fair value	-	-	1,237,231	-	1,237,231
Financial assets measured at amortised cost Loans and advances to other customers	-	-	1,513,959,514	-	1,513,959,514
Financial assets measured at amortised cost Debt and other financial instruments	31,344,866	-	619,812,780	-	651,157,646
Financial assets measured at fair value through other comprehensive income	-	-	94,855,469	-	94,855,469
Other financial assets	-	-	-	634,327	634,327
Total	31,344,866	37,288,440	2,334,892,261	2,610,958	2,406,136,525

As at 31st December 2024	Encumbered		Unencumbered		Total Rs 000
	Pledged as collateral	Other	Available as collateral	Other	
	Rs 000	Rs 000	Rs 000	Rs 000	
Cash and cash equivalents	-	-	63,384,494	-	63,384,494
Placements with banks	-	-	41,876,789	-	41,876,789
Balances with Central Banks	-	6,913,009	-	-	6,913,009
Derivative financial assets	-	-	-	375,060	375,060
Financial assets recognised through profit or loss measured at fair value	-	-	1,835,469	-	1,835,469
Financial assets measured at amortised cost - Loans and advances to other customers	-	-	1,159,740,459	-	1,159,740,459
Financial assets measured at amortised cost - Debt and other financial instruments	29,609,594	-	712,787,637	-	742,397,231
Financial assets measured at fair value through other comprehensive income	-	-	96,309,470	-	96,309,470
Other financial assets	-	-	-	4,746,539	4,746,539
Total	29,609,594	6,913,009	2,075,934,318	5,121,599	2,117,578,520

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

5.5 Market Risk

Market risk is the risk that changes in market prices, such as interest rates, equity prices, foreign exchange rates and credit spreads (not relating to changes in the obligor's or issuer's credit standing) will affect the Bank's income or the value of its holding of financial instruments. The objective of the Bank's market risk management is to manage and control market risk exposures within acceptable parameters in order to ensure the Bank's solvency while optimising the return on risk.

5.5.1 Management of Market Risk Framework

The Bank separates its exposure to market risk between trading and non-trading portfolios. Trading portfolio includes financial assets and liabilities that are managed on a fair value basis. All foreign exchange positions within the Bank are treated as part of the Bank's trading portfolio for risk management purposes. Non trading portfolio is managed in accordance with the purpose and strategic benefits of such investments, rather than purely on fair value basis.

The Bank has a board approved treasury policy. Treasury middle office monitors the Bank's compliance with the above policy and ensures that the Bank's market risk limits are in line with the level of risk acceptable to the Board.

The following table sets out the allocation of assets and liabilities subject to market risk between trading and non-trading portfolios.

As at 31st December 2025 Bank	Market Risk Measurement			
	Note	Carrying amount Rs 000	Trading Portfolio Rs 000	Non-Trading Portfolio Rs 000
Assets subject to market risk				
Cash and cash equivalents	25	55,386,321	-	55,386,321
Placements with banks	26	27,321,258	-	27,321,258
Reverse repurchase agreements	28	22,319,688	-	22,319,688
Derivatives financial assets	29	1,976,631	1,976,631	-
Financial assets measured at fair value through profit or loss	30	1,237,231	1,237,231	-
Financial assets measured at amortised cost - Loans to and advances to customers	31	1,513,959,514	-	1,513,959,514
Financial assets measured at amortised cost - Debt and other financial instruments	32	651,157,646	-	651,157,646
Financial assets measured at fair value through other comprehensive income	33	94,855,469	-	94,855,469
Financial assets measured at fair value through other comprehensive income		2,368,213,758	3,213,862	2,364,999,896
Liabilities subject to market risk				
Due to banks	42	11,343,172	-	11,343,172
Derivatives financial liabilities	29	300,191	300,191	-
Financial liabilities measured at amortised cost - due to depositors	44	1,961,851,197	-	1,961,851,197
Financial liabilities measured at amortised cost - other borrowings	45	15,511,110	-	15,511,110
Debt securities issued	46	10,044,766	-	10,044,766
Subordinated term debt	52	28,179,053	-	28,179,053
		2,027,229,489	300,191	2,026,929,298

As at 31st December 2025 Group	Market Risk Measurement			
	Note	Carrying amount Rs 000	Trading Portfolio Rs 000	Non-Trading Portfolio Rs 000
Assets subject to market risk				
Cash and cash equivalents	25	56,754,697	-	56,754,697
Placements with banks	26	42,286,594	-	42,286,594
Reverse repurchase agreements	28	25,046,586	-	25,046,586
Derivatives financial assets	29	1,976,631	1,976,631	-
Financial assets measured at fair value through profit or loss	30	72,322,060	72,322,060	-
Financial assets measured at amortised cost - Loans to and advances to customers	31	1,592,680,455	-	1,592,680,455
Financial assets measured at amortised cost - Debt and other financial instruments	32	684,905,425	-	684,905,425
Financial assets measured at fair value through other comprehensive income	33	115,172,024	-	115,172,024
Financial assets measured at fair value through other comprehensive income		2,591,144,472	74,298,691	2,516,845,781
Liabilities subject to market risk				
Due to banks	42	11,343,172	-	11,343,172
Derivatives financial liabilities	29	300,191	300,191	-
Financial liabilities measured at amortised cost - due to depositors	44	2,017,732,197	-	2,017,732,197
Financial liabilities measured at amortised cost - other borrowings	45	27,213,296	-	27,213,296
Debt securities issued	46	9,986,711	-	9,986,711
Subordinated term debt	52	32,156,082	-	32,156,082
		2,098,731,649	300,191	2,098,431,458

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

As at 31st December 2024			Market Risk Measurement	
Bank	Note	Carrying amount Rs 000	Trading Portfolio Rs 000	Non-Trading Portfolio Rs 000
Assets subject to market risk				
Cash and cash equivalents	25	63,384,494	-	63,384,494
Placements with banks	26	41,876,789	-	41,876,789
Reverse repurchase agreements	28	-	-	-
Derivatives financial assets	29	375,060	375,060	-
Financial assets measured at fair value through profit or loss	30	1,835,469	1,835,469	-
Financial assets measured at amortised cost				
- Loans to and advances to customers	31	1,159,740,459	-	1,159,740,459
Financial assets measured at amortised cost				
- Debt and other financial instruments	32	742,397,231	-	742,397,231
Financial assets measured at fair value through other comprehensive income	33	96,309,470	-	96,309,470
		2,105,918,972	2,210,529	2,103,708,443
Liabilities subject to market risk				
Due to banks	42	6,595,571	-	6,595,571
Derivatives financial liabilities	29	1,573,417	1,573,417	-
Financial liabilities measured at amortised cost - due to depositors	44	1,715,484,127	-	1,715,484,127
Financial liabilities measured at amortised cost - other borrowings	45	19,740,135	-	19,740,135
Debt securities issued	46	-	-	-
Subordinated term debt	52	28,174,227	-	28,174,227
		1,771,567,477	1,573,417	1,769,994,060

As at 31st December 2024			Market Risk Measurement	
Group	Note	Carrying amount Rs 000	Trading Portfolio Rs 000	Non-Trading Portfolio Rs 000
Assets subject to market risk				
Cash and cash equivalents	25	64,093,301		64,093,301
Placements with banks	26	48,675,977		48,675,977
Reverse repurchase agreements	28	5,280,692		5,280,692
Derivatives financial assets	29	375,060	375,060	
Financial assets measured at fair value through profit or loss	30	2,962,612	2,962,612	
Financial assets measured at amortised cost				
- Loans to and advances to customers	31	1,206,782,185		1,206,782,185
Financial assets measured at amortised cost				
- Debt and other financial instruments	32	770,658,755		770,658,755
Financial assets measured at fair value through other comprehensive income	33	112,407,299		112,407,299
		2,211,235,881	3,337,672	2,207,898,209
Liabilities subject to market risk				
Due to banks	42	6,595,571		6,595,571
Derivatives financial liabilities	29	1,573,417	1,573,417	
Financial liabilities measured at amortised cost - due to depositors	44	1,750,259,233		1,750,259,233
Financial liabilities measured at amortised cost - other borrowings	45	19,742,152		19,742,152
Debt securities issued	46	448,108		448,108
Subordinated term debt	52	29,967,185		29,967,185
		1,808,585,666	1,573,417	1,807,012,249

The Bank employs a range of tools to monitor and limit market risk exposures which are discussed below.

5.5.2 Market Risk Measurement - Value at Risk (VaR)

The principal tool used to measure and control market risk exposure within the Bank is Value at Risk (VaR). The VaR of a portfolio is the estimated loss that will arise on the portfolio over a specified period of time (holding period) from an adverse market movement with a specified probability (confidence level). The VaR model is used mainly based on historical simulation by the Bank upon a 99 percent confidence level and assumes 1-day and a 10-day holding period. Taking account of market data from the previous two years and observed relationships between different markets and prices, the model generates a wide range of plausible future scenarios for market price movements.

Although VaR is an important tool for measuring market risk, the assumptions on which the model is based give rise to some limitations, including the following:

- The 1-day and 10-day holding periods assumes that it is possible to hedge or dispose of positions within those periods. This may not be the case for illiquid assets or in situations in which there is severe general market liquidity.
- A 99 percent confidence level does not reflect losses that may occur beyond this level. Even within the model used, there is a one percent probability that losses could exceed the VaR.
- VaR is calculated on an end-of-day basis and does not reflect exposures that may arise on positions during the trading day.
- The use of historical data as a basis for determining the possible range of future outcomes, may not always cover all possible

scenarios, especially those of an exceptional nature.

- The VaR measure is dependent upon the Bank's position and the volatility of market prices. The VaR of an unchanged position reduces if market price volatility declines and vice versa.
- The Bank uses VaR limits for foreign exchange and equity risks. The overall structure of VaR limits is subject to review and approval by ALCO. VaR limits are allocated to portfolios. VaR is measured at least monthly and reported to the Asset and Liability Committee (ALCO) and Board Integrated Risk Management Committee (BIRMC).

The Bank's VaR models are subject to regular validation by Treasury Mid Office (TMO) to ensure that they continue to perform as expected and that assumptions used in model development are still appropriate.

A summary of the VaR position of the Bank as at 31st December is as follows:

As at 31st December	2025	2024
Trading portfolio		
Marked-to-market value of the trading equity portfolio - Rs 000	200,001	158,099
Value-at-Risk (under 99% confidence level for 10 day period)	7.45%	8.06%
Maximum estimated loss of value in the marked-to-market value of the portfolio is indicated by the VaR over a 10 day period - Rs 000	14,894	12,744
Non trading portfolio		
Marked-to-market value of the non trading equity portfolio - Rs 000	42,900	27,221
Value-at-Risk (under 99% confidence level for 10 day period)	16.86%	10.90%
Maximum estimated loss of value in the marked-to-market value of the portfolio is indicated by the VaR over a 10 day period - Rs 000	4,733	2,059

The limitations of the VaR model are mitigated by supplementing VaR limits with other risk measures. The Bank uses a wide range of stress tests to model the financial impact of various exceptional market scenarios such as changes in exchange rates, interest rates and prices of financial instruments such as equities and bonds. The results of the stress tests are reviewed periodically by the Asset and Liability Committee (ALCO) and Board Integrated Risk Management Committee (BIRMC).

NOTES TO THE FINANCIAL STATEMENTS

5 FINANCIAL RISK MANAGEMENT (Contd.)

5.5.3 Interest Rate Risk in the Banking Book

The principal risk to which non-trading portfolios are exposed is the risk of loss from fluctuations in the future cash flows or fair values of financial instruments due to changes in market interest rates. The Bank manages the interest rate risk against interest rate gap limits, which is supplemented by monitoring the sensitivity of the Bank's financial assets and liabilities to various rate scenarios. Net interest yields are also calculated for each product, to ensure that adequate margins are maintained.

Majority of the Bank's holding in treasury bills and bonds are in shorter maturities, thus the impact of interest rate changes in prices of treasury bills and bonds are very insignificant. Modified duration of non-trading portfolios as at 31st December is given below.

As at 31st December	2025	2024
Non trading	1.6500	0.7100

The following is a summary of the Bank's interest rate gap position on non-trading portfolios. The interest rate repricing gap table analyses the full-term structure of interest rate mismatches within the Bank's balance sheet based on either the next repricing date or the maturity date if floating rate or the maturity date if fixed rate.

As at 31st December 2025	Carrying amount Rs 000	Less than 3 months Rs 000	3–6 months Rs 000	6–12 months Rs 000	1–5 years Rs 000	More than 5 years Rs 000
Financial assets measured at amortised cost						
- Loans and advances to customers	1,513,959,514	495,421,740	175,457,373	161,425,789	505,485,675	176,168,937
Financial assets measured at amortised cost						
- debt and other instruments	651,157,646	173,776,120	224,148,760	38,687,666	82,436,368	132,108,732
Financial assets measured at fair value through other comprehensive income	81,950,414	3,373,862	-	20,220,426	58,356,126	-
	2,247,067,574	672,571,722	399,606,133	220,333,881	646,278,169	308,277,669
Financial liabilities measured at amortised cost						
- due to depositors	1,961,851,197	1,142,702,471	290,195,510	318,441,249	207,543,266	2,968,701
Debt securities issued	10,044,766	-	-	-	-	10,044,766
Subordinated term debts	28,179,053	-	-	8,355,028	10,875,071	8,948,954
Borrowings	55,051,417	35,077,400	3,816,614	632,262	11,567,041	3,958,100
	2,055,126,433	1,177,779,871	294,012,124	327,428,539	229,985,378	25,920,521
	191,941,141	(505,208,149)	105,594,009	(107,094,658)	416,292,791	282,357,148

Modified duration follows the concept that the interest rates and bond prices move in opposite directions. This determines the effect that a 100 basis point (1%) change in interest rates will have on the price of a bond.

An analysis of the Bank's sensitivity to an increase or decrease in market interest rates based on rate sensitive assets and rate sensitive liabilities as at 31st December 2025 is as follows.

As at 31st December	Increase of 100 bps	Decrease of 100 bps	Increase of 200 bps	Decrease of 200 bps
LKR Portfolio (Rs 000)	10,063,046	(10,663,866)	19,553,446	(21,955,663)
USD Portfolio (USD 000)	12,419	(13,137)	24,173	(27,048)

Interest rate movements affect reported equity in the following ways:

- Retained earnings: Increases/ (decreases) in net interest income and in fair values of derivatives and other non-trading financial assets mandatorily measured at FVTPL reported in profit or loss;

- Fair value reserve: Increases/ (decreases) in the fair values of financial assets at FVOCI reported directly in equity;

Aggregate non-trading interest rate risk positions are managed by Treasury, which uses investment securities, placements with banks,

deposits from banks and derivative instruments to manage the positions. The use of derivatives to manage interest rate risk is described in Note 29 to the financial statements.

5.5.4 Exposure to currency risks - Non-trading portfolios

Foreign exchange risk in Net Open Position (NOP)/unhedged position of Bank

The following table indicates the Bank's exchange rate risk exposure based on its size of the NOP/unhedged positions in the foreign currency assets/liabilities. By 31st December 2025, Bank carried a USD equivalent NOP/unhedged "Overbought" position of LKR 2,185 Mn. The impact of exchange rate risk is given below:

As at 31st December	2025	2024
Net exposure – USD equivalent	7,050,504	1,669,359
Value of position in Rs 000	2,184,775	489,539
Exchange rate (USD/LKR) as at 31 December	309.88	293.25
Possible potential loss to Bank		
– If exchange rate (USD/LKR) depreciates by 1% – Rs 000	21,848	4,895
– If exchange rate depreciates by 10% – Rs 000	218,478	48,954
– If exchange rate depreciates by 15% – Rs 000	327,716	73,431

5.6 Operational Risk

Operational risk is the risk of direct or indirect loss arising from a wide variety of causes associated with the Bank's processes, personnel, technology and infrastructure and from external factors other than credit, market and liquidity risks. Operational risks arise from all of the Bank's operations.

The Bank's objective is to manage operational risk in order to avoid/ mitigate financial losses and damage to the Bank's reputation with overall cost effectiveness and innovation. All activities should be aligned with the Bank's policy and requires compliance with the applicable legal and regulatory requirements.

The following are included in the operational risk management process within the Bank.

- Review the risk exposure to the Bank with the current macro-economic changes through the

Risk and Control Self Assessment process (RCSA) across the Bank's Departments and Branch network.

- Identify the risk exposure to the Bank in processes followed by departments through Risk and Control-Assessment (RCSA) process and monitor that necessary actions are introduced and implemented to mitigate the associated risks.
- Monitoring of Key Risk Indicators (KRIs) for critical systems and processes and ensure that they are operated within the defined threshold limits.
- Collate the loss incidents through the 'Operational risk incident reporting system' which are independently analysed by the Integrated Risk Management Division (RMD) and recommend necessary improvements to the systems, processes and procedures to avoid recurrence and mitigate risks to minimise the losses.

- Analyse downtime of the critical systems, attrition information, exit interview comments and complaints to identify operational risks and recommend mitigating controls. The key findings of the analysis are evaluated at the Operational Risk Steering Committee (ORSC) and the Board Integrated Risk Management Committee (BIRMC) meetings in an operational risk perspective.
- Ensuring business continuity management and operational resilience by Business Continuity Planning (BCP) and testing through Bank's disaster recovery drills to strengthen perceived areas for improvement.
- Reviewing risk in new products, processes and outsourcing activities.

The primary responsibility for the development of operational risk management framework and controls to address operational risk,

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5 FINANCIAL RISK MANAGEMENT (Contd.)

lies with RMD whilst implementation is assigned to senior management within each business unit and support function. This responsibility is supported by the development of overall standards for management of operational risk in the following areas

- Defining requirement for appropriate segregation of duties, including independent authorisation of transactions.
- Defining requirements for reconciliation and monitoring of transactions.
- Maintain compliance with regulatory and other legal requirements.
- Review of controls and procedures through RCSA process.
- Periodic review of operational risks to identify emerging threats and assess the adequacy of controls and procedures to mitigate the identified risks.
- Maintain a data base and reporting of operational losses to the senior management, Board of Directors and regulator.
- Development of contingency plans as a business continuity measure.
- Developing the risk awareness culture across the Bank through communication and conducting training and awareness programmes for the staff to maintain ethics and business standards.
- Recommend insurance coverage as a risk mitigation strategy under the operational risk framework for emerging threats arising from external and other events.
- Conduct risk based reviews on critical outsourced activities through periodic site visits.

Conduct of risk reviews for new products, process changes, and new services based on risk exposure and materiality.

5.7 Capital Management

The Bank is required to manage its capital taking in to account the need to meet the regulatory requirements as well as the current and future business needs, stakeholder expectation and available options for raising capital.

5.7.1 Regulatory capital

The Bank manages its capital considering regulatory capital requirements. The Central Bank of Sri Lanka (CBSL) sets and monitors capital requirements for licensed banks in Sri Lanka based on the Basel Framework. Thus the Bank's operations are directly supervised by CBSL. The Bank is required to comply with the provisions of the Basel III framework in respect of regulatory capital and capital to cover any additional risk.

All banks in Sri Lanka need to maintain a minimum Common Equity Tier 1 ratio of 7%, Tier 1 ratio of 8.5% and a total capital ratio of 12.5%. In addition, the licensed banks which are determined as Domestic Systemically Important Banks (D-SIBs) shall maintain additional Higher Loss Absorbency (HLA) requirements as specified by the Monetary Board in the form of Common Equity Tier 1.

As per this requirement, the Bank should maintain a Common Equity Tier 1 ratio of 8% together with a Tier 1 ratio of 9.5% and a total capital ratio of 13.5%. Regulatory minimum ratio as at 31st December 2025 - Common Equity Tier 1 ratio of 8% together with a Tier 1 ratio of 9.5% and a total capital ratio of 13.5%.

Regulatory capital

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Common equity Tier 1 (CET1) capital after adjustments	222,010,336	190,811,979	271,508,085	219,579,323
Total common equity Tier 1 (CET1) capital	234,036,064	199,639,959	277,087,360	224,195,623
Equity capital (stated capital)/assigned capital	42,858,227	42,858,227	42,858,227	42,858,227
Reserve fund	14,910,000	12,610,000	14,910,000	12,610,000
Published retained earnings/(accumulated retained losses)	108,774,720	77,316,203	125,166,319	92,754,161
Published accumulated other comprehensive income (OCI)	6,393,117	6,755,529	6,393,117	6,600,198
General and other disclosed reserves	61,100,000	60,100,000	73,063,667	60,984,471
Unpublished current year's profit/(losses) and gains reflected in OCI	-	-	-	-
Ordinary shares issued by consolidated banking and financial subsidiaries of the Bank and held by third parties	-	-	14,696,030	8,388,566
Total adjustments to CET1 capital	12,025,728	8,827,980	5,579,275	4,616,301
Goodwill (net)	-	-	993,775	122,941
Other intangible assets (net)	1,718,483	1,322,941	2,651,703	1,685,812
Revaluation losses of property, plant and equipment	-	-	-	-
Defined benefit pension fund assets	593,411	1,394,045	593,411	1,394,045
Investments in the capital of banking and financial institutions where the bank does not own more than 10% of the issued ordinary share capital of the entity	-	-	-	-
Significant investments in the capital of financial institutions where the Bank owns more than 10% of the issued ordinary share capital of the entity	8,822,024	2,089,842	-	15,064
Shortfall of capital in financial subsidiaries	-	627,367	-	771,071
Deferred tax assets (net)	891,810	3,393,785	1,340,386	627,367
Additional Tier 1 (AT1) capital after adjustments	-	-	-	-
Total additional Tier 1 (AT1) capital	-	-	-	-
Qualifying additional Tier 1 capital instruments	-	-	-	-
Instruments issued by consolidated banking and financial subsidiaries of the Bank and held by third parties	-	-	-	-
Total adjustments to AT1 capital	-	-	-	-
Investment in own shares	-	-	-	-
Others (Specify)	-	-	-	-
Tier 2 Capital after adjustments	40,941,119	42,501,520	40,941,119	43,189,218
Total Tier 2 Capital	40,941,119	42,501,520	40,941,119	43,189,218
Qualifying Tier 2 capital instruments	18,753,631	22,230,972	18,753,631	21,847,635
Revaluation gains	9,019,057	9,019,057	9,019,057	9,019,057
General provisions/Eligible impairment	13,168,431	11,251,492	13,168,431	12,322,526
Instruments issued by consolidated banking and financial subsidiaries of the Bank and held by third parties	-	-	-	-
Total adjustments to Tier 2 capital	-	-	-	-
Investment in own shares	-	-	-	-
Others (specify)	-	-	-	-
CET1 capital	222,010,336	190,811,979	271,508,085	219,579,323
Total Tier 1 capital	222,010,336	190,811,979	271,508,085	219,579,323
Total capital	262,951,455	233,313,500	312,449,204	262,768,541

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5 FINANCIAL RISK MANAGEMENT (Contd.)

As at 31st December	Bank		Group	
	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000
Total Risk Weighted Assets (RWA)	1,317,938,378	973,885,210	1,455,428,962	1,063,641,201
RWAs for credit risk	1,236,360,015	900,119,356	1,355,713,382	985,802,113
RWAs for market risk	2,649,741	1,545,030	16,351,133	2,130,508
RWAs for operational risk	78,928,622	72,220,824	83,364,447	75,708,579
Regulatory capital ratios (%)				
Common equity Tier 1 Capital ratio	16.85%	19.59%	18.65%	20.64%
Tier 1 capital ratio	16.85%	19.59%	18.65%	20.64%
Total capital ratio	19.95%	23.96%	21.47%	24.70%

5.7.2 Capital allocation

Management monitors the capital adequacy ratio on a regular basis to ensure that it operates well above the internal limit set by the Bank. The allocation of capital between specific operations and activities, to a large extent is driven by optimisation of return on capital allocated. The amount of capital allocated to each operation or activity is based primarily on regulatory capital requirements, but in some cases, the regulatory requirements do not fully reflect the varying degree of risks associated with different activities. In such cases, the capital requirements may be flexed to reflect differing risk profiles, subject to the overall level of capital to support a particular operation or activity not falling below the minimum required level by the regulator.

6 FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES ACCOUNTING POLICY

Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal market or, in its absence of which, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk.

If there is no quoted price in an active market, then the Group uses valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. The chosen valuation technique incorporates all of the factors that market participants would take into account in pricing a transaction.

The best evidence of the fair value of a financial instrument on initial recognition is normally the transaction price – i.e. the fair value of the consideration given or received.

Group measures the fair value of an asset or a liability carried at fair value at bid price or ask price respectively. The long positions and short positions are measured using mid rates.

Portfolios of financial assets and financial liabilities that are exposed to market risk and credit risk that are managed by the Group on the basis of the net exposure to either market or credit risk are measured on the basis of a price that would be received to sell a net long position (or paid to transfer a net short position) for the particular risk exposure.

The Group recognises transfers between levels of the fair value hierarchy as of the end of the reporting period during which the change has occurred.

Valuation models

Valuation techniques include net present value and discounted cash flow models,

comparison with similar instruments for which observable market prices exist, and other valuation models. Assumptions and inputs used in valuation techniques include risk-free and benchmark interest rates, credit spreads and other premiums used in estimating discount rates, bond and equity prices, foreign currency exchange rates, expected price volatilities and correlations.

The objective of valuation techniques is to arrive at a fair value measurement that reflects the price that would be received to sell the asset or paid to transfer the liability in an orderly transaction between market participants at the measurement date.

The Group uses widely recognised valuation models to determine the fair value of common and simple financial instruments, such as interest rate and currency swaps, that use only observable market data and require little management judgement and estimation. Observable prices or model inputs are usually available in the market for government securities such as treasury bills, treasury bonds and Sri Lanka sovereign bonds, listed equity securities and forward contracts.

The availability of observable market prices and model inputs reduces the need for management judgement and estimation and also reduces the uncertainty associated with determining fair values. The availability of observable market prices and inputs varies depending on the products and markets and is prone to changes based on specific events and general conditions in the financial markets.

Fair Value Hierarchy

The Group measures the fair values of financial instruments using the following fair value hierarchy, which reflects the significance of the inputs used in making the measurements.

• Level 1 : Fair value measurement using unadjusted quoted market prices

When available, the fair values of financial instruments are determined using unadjusted quoted market prices in active markets for identical instruments, including those published by the Central Bank of Sri Lanka. A market is considered active if quoted prices are readily and regularly available and represent actual and regularly occurring market transactions conducted at arm's length..

• Level 2 : Fair value measurement using significant observable inputs

In the absence of an active market for a financial instrument, the fair value is determined using quoted market prices in active markets for similar instruments or quoted prices for identical or similar instruments in markets that are considered less than active or other valuation techniques in which all significant inputs are directly or indirectly observable from market data. The spot and forward premiums available as at the reporting date have been used to estimate the fair value of derivative financial instruments while the fair value of unquoted units have been measured using manager's selling prices.

In determining the discount rate for the present value measurement of Level 2 financial instruments, the Bank used the yield on Treasury bonds as the base risk-free rate and incorporated an appropriate credit risk premium. The credit spread was benchmarked against yields observed on recently issued securities of comparable institutions within the banking sector, reflecting market-observable inputs for fair value measurement.

NOTES TO THE FINANCIAL STATEMENTS

6 FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES (Contd.)

- **Level 3 : Fair value measurement using significant unobservable inputs**

Financial instruments for which the valuation technique includes inputs that are not observable and the unobservable inputs have a significant effect on the instrument's valuation.

Fair value estimates obtained from models are adjusted for any other factors, such as liquidity risk or model uncertainties, to the extent that the Group believes that a third party market participant would take them into account in pricing a transaction.

Assets and Liabilities Recorded at Fair Value

A description of how fair values are determined for assets and liabilities that are recorded at fair value using valuation techniques is summarised below, which incorporates the bank's estimate of assumptions that a market participant would make when valuing the instruments.

- **Derivative financial instruments**

Derivative financial instruments such as forward foreign exchange contracts and currency swaps are valued using a valuation technique with market observable inputs (Level 2). The most frequently applied valuation technique is forward pricing model which incorporates various inputs, including foreign exchange spot and forward premiums.

- **Financial assets measured at fair value (FVOCI/FVTPL)**

Government debt securities classified as financial assets measured at FVOCI/ FVTPL are valued using current yield rates or market rates published by the Central

Bank of Sri Lanka. Quoted equities and units classified as FVOCI/FVTPL are valued using quoted market prices in the active markets as at the reporting date (Level 1). Unquoted units classified as FVOCI/FVTPL are valued using manager's selling price. Unquoted shares classified as FVOCI are valued at cost.

Valuation framework

Control framework has been established for the measurement of fair values.

The determination of fair value is carried out independently from front office management and reports to the Chief Financial officer, with the overall responsibility for independently verifying the results of trading and investment operations and all significant fair value measurements. Specific controls include verification of observable pricing and analysis and investigation of significant daily valuation movements for government securities. When the assistance of third party experts is obtained to determine the fair values, the reasonability of such valuation results are validated and significant valuation issues are reported to the Board Audit Committee. Specific controls include:

- verification of observable pricing
- re performance of model valuations
- a review and approval of changes to models
- quarterly calibration and back testing of models against observed market transactions

ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

Assessment of implications of uncertain economic environment

The Group evaluates the material accuracy of the valuations incorporated in the financial statements as they can involve a high degree of judgement and estimation in determining the carrying values of financial assets and financial liabilities at the reporting date.

For certain financial instruments, data that is not readily observable in current markets may be used. If unobservable market data is used, a higher degree of judgement is used to determine fair value depending on the significance of the unobservable input to the overall valuation. Generally, unobservable inputs are derived from other relevant market data and compared with the observed transaction prices where available.

6.1 Financial instruments measured at fair value and fair value hierarchy

The following table analyses financial instruments measured at fair value at the reporting date, by the level in the fair value hierarchy into which the fair value measurement is categorised.

The amounts are based on the values recognised in the statement of financial position.

As at 31st December 2025	Bank				Group			
	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000	Level 1 Rs 000	Level 2 Rs 000	Level 3 Rs 000	Total Rs 000
Financial assets measured at fair value derivative financial instruments								
Currency swaps	-	1,679,246	-	1,679,246	-	1,679,246	-	1,679,246
Forward foreign exchange contracts	-	297,385	-	297,385	-	297,385	-	297,385
	-	1,976,631	-	1,976,631	-	1,976,631	-	1,976,631
Financial assets measured at fair value through profit or loss								
Quoted shares	200,001	-	-	200,001	1,005,604	-	-	1,005,604
Government Securities	1,037,230	-	-	1,037,230	1,037,230	-	-	1,037,230
Unquoted units	-	-	-	-	-	509,366	-	509,366
	1,237,231	-	-	1,237,231	2,042,834	509,366	-	2,552,200
Financial assets measured at fair value through other comprehensive income								
Quoted shares	11,174,344	-	-	11,174,344	11,208,402	-	-	11,208,402
Unquoted shares	-	-	184,180	184,180	-	-	189,854	189,854
Unquoted units	-	1,546,531	-	1,546,531	-	1,546,531	-	1,546,531
Government Securities	66,130,349	15,820,065	-	81,950,414	86,407,172	15,820,065	-	102,227,237
	77,304,693	17,366,596	184,180	94,855,469	97,615,574	17,366,596	189,854	115,172,024
Financial liabilities measured at fair value derivative financial instruments								
Currency swaps	-	34,779	-	34,779	-	34,779	-	34,779
Forward foreign exchange contracts	-	265,412	-	265,412	-	265,412	-	265,412
	-	300,191	-	300,191	-	300,191	-	300,191

NOTES TO THE FINANCIAL STATEMENTS

6 FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES (Contd.)

As at 31st December 2024	Bank				Group			
	Level 1	Level 2	Level 3	Total	Level 1	Level 2	Level 3	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial assets measured at fair value derivative financial instruments								
Currency swaps	-	200,265	-	200,265	-	200,265	-	200,265
Forward foreign exchange contracts	-	174,795	-	174,795	-	174,795	-	174,795
	-	375,060	-	375,060	-	375,060	-	375,060
Financial assets measured at fair value through profit or loss								
Quoted shares	158,099	-	-	158,099	992,227	-	-	992,227
Government Securities	1,677,370	-	-	1,677,370	1,677,370	-	-	1,677,370
Unquoted units	-	-	-	-	-	293,015	-	293,015
	1,835,469	-	-	1,835,469	2,669,597	293,015	-	2,962,612
Financial assets measured at fair value through other comprehensive income								
Quoted shares	8,275,744	-	-	8,275,744	8,275,744	-	-	8,275,744
Unquoted shares	-	-	184,180	184,180	-	-	188,612	188,612
Unquoted units	-	1,106,837	-	1,106,837	-	1,106,837	-	1,106,837
Government Securities	68,637,405	18,105,304	-	86,742,709	84,730,802	18,105,304	-	102,836,106
	76,913,149	19,212,141	184,180	96,309,470	93,006,546	19,212,141	188,612	112,407,299
Financial liabilities measured at fair value derivative financial instruments								
Currency swaps	-	1,353,631	-	1,353,631	-	1,353,631	-	1,353,631
Forward foreign exchange contracts	-	219,786	-	219,786	-	219,786	-	219,786
	-	1,573,417	-	1,573,417	-	1,573,417	-	1,573,417

6.2 Fair Value Measurement of Assets Classified as Level 3 and Level 2

The following tables show the valuation techniques used in measuring Level 2 and Level 3 fair values for financial instruments in the statement of financial position, as well as the significant unobservable inputs used.

Type	Valuation technique
Unquoted equity shares	The majority of unquoted equity investments of the Group include share investments that have been made primarily for regulatory purposes. Such investments have been recorded at cost which is comparable to computed fair value due to level 3 estimates used.
Forward exchange contracts/Currency swaps	Forward pricing: The fair value is determined using quoted forward exchange rates at the reporting date.
Unquoted units	Manager's selling prices [Rs 79.49 per unit (2024 - Rs 56.89)]

Further there are no material changes in the fair value of financial assets categorised under Level 3 compared to the values reported as at 31st December 2024. The Group has not changed the valuation models and assumptions used to measure the fair values of Level 3 financial instruments during the year ended 31st December 2025.

Further, there were no transfers from Level 1 to Level 2 or Level 2 to Level 1 in 2025 and no transfers in either direction in 2024. There were no transfers out of Level 3 in 2025 or 2024.

Sensitivity of significant unobservable inputs used to measure fair value of fixed rate financial instruments

A significant increase / (decrease) in the market interest rate would result in lower/(higher) fair value being disclosed.

6.3 Level 3 recurring fair values

Reconciliation of Level 3 fair values

The following table shows a reconciliation from the opening balances to the closing balances for Level 3 fair values.

	Equity securities			
	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Balance as at 1st January	184,180	33,035	188,612	38,515
Addition during the year	-	151,145	1,242	150,097
Balance as at 31st December	184,180	184,180	189,854	188,612

NOTES TO THE FINANCIAL STATEMENTS

6 FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES (Contd.)

6.4 Fair value of assets and liabilities not measured at fair value

The following table summarises the carrying amounts and the Group's estimate of fair values of those assets and liabilities not presented in the statement of financial position at fair value. The fair values in the table below may be different from the actual amounts that will be received/paid on the settlement or maturity of the asset or liability. For certain instruments, the fair value may be determined, using assumptions which are not observable in the market.

As at 31st December 2025	Bank					Group				
	Carrying Value Rs 000	Fair Value				Carrying Value Rs 000	Fair Value			
		Level 1	Level 2	Level 3	Total		Level 1	Level 2	Level 3	Total
		Rs 000	Rs 000	Rs 000	Rs 000		Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets										
Cash and cash equivalents [Note 25]	55,375,004	-	55,375,004	-	55,375,004	56,743,380	-	56,743,380	-	56,743,380
Placements with banks [Note 26]	27,317,501	-	27,317,501	-	27,317,501	42,282,404	-	42,282,404	-	42,282,404
Balances with Central Bank of Sri Lanka [Note 27]	37,288,440	-	37,288,440	-	37,288,440	37,288,716	-	37,288,716	-	37,288,716
Reverse repurchase agreement [Note 28]	22,319,688	-	23,767,000	-	23,767,000	25,046,586	-	26,493,900	-	26,493,900
Financial assets at amortised cost - loans and advances to customers [Note 31]	1,433,237,237	-	1,467,835,478	-	1,467,835,478	1,505,587,603	-	1,545,848,151		1,545,848,151
Financial assets at amortised cost- debt and other financial instruments [Note 32]	650,618,623	574,184,801	73,792,913	-	647,977,714	684,366,194	591,288,572	93,541,370	-	684,829,942
Other financial assets [Note 41]	634,327	-	634,327	-	634,327	7,341,373	-	7,341,373	-	7,341,373
Total financial assets measured at amortised cost	2,226,790,820	574,184,801	1,686,010,663	-	2,260,195,464	2,358,656,256	591,288,572	1,809,539,294	-	2,400,827,866
Financial Liabilities										
Due to banks [Note 42]	11,343,172	-	11,343,172	-	11,343,172	11,343,172	-	11,343,172	-	11,343,172
Securities sold under repurchase agreements [Note 43]	28,197,135	-	28,197,135	-	28,197,135	81,505,432	-	81,505,432	-	81,505,432
Financial liabilities at amortised cost- due to depositors [Note 44]	1,961,851,197	-	1,986,523,403	-	1,986,523,403	2,017,732,197	-	2,042,114,922		2,042,114,922
Financial liabilities at amortised cost- other borrowings [Note 45]	15,511,110	-	15,511,110	-	15,511,110	27,213,296	-	27,213,296	-	27,213,296
Debt securities issued [Note 46]	10,044,766	-	10,038,952	-	10,038,952	9,986,711	-	9,980,897	-	9,980,897
Subordinated term debts [Note 52]	28,179,053	-	30,287,425	-	30,287,425	32,156,082	-	34,264,454	-	34,264,454
Other financial liabilities [Note 51]	7,629	-	7,629	-	7,629	9,585,626	-	9,585,626	-	9,585,626
Total financial liabilities measured at amortised cost	2,055,134,062	-	2,081,908,826	-	2,081,908,826	2,189,522,516	-	2,216,007,799	-	2,216,007,799

As at 31st December 2024	Bank					Group				
	Carrying Value	Fair Value				Carrying Value	Fair Value			
		Level 1	Level 2	Level 3	Total		Level 1	Level 2	Level 3	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Financial Assets										
Cash and cash equivalents [Note 25]	63,356,259	-	63,356,259	-	63,356,259	64,065,041	-	64,065,041	-	64,065,041
Placements with banks [Note 26]	41,858,517	-	41,858,517	-	41,858,517	48,656,010	-	48,656,010	-	48,656,010
Balances with Central Bank of Sri Lanka [Note 27]	6,913,009	-	6,913,009	-	6,913,009	6,913,009	-	6,913,009	-	6,913,009
Reverse repurchase agreement [Note 28]	-	-	-	-	-	5,280,692	-	5,280,692	-	5,280,692
Financial assets at amortised cost - loans and advances to customers [Note 31]	1,063,675,345	-	1,075,048,670	-	1,075,048,670	1,104,013,319	-	1,114,972,987	-	1,114,972,987
Financial assets at amortised cost- debt and other financial instruments [Note 32]	741,761,201	682,838,280	75,431,246	-	758,269,526	770,020,546	700,813,971	90,791,756	-	791,605,727
Other financial assets [Note 41]	4,746,539	-	4,746,539	-	4,746,539	8,414,670	-	8,414,670	-	8,414,670
Total financial assets measured at amortised cost	1,922,310,870	682,838,280	1,267,354,240	-	1,950,192,520	2,007,363,287	700,813,971	1,339,094,165	-	2,039,908,136
Financial Liabilities										
Due to banks [Note 42]	6,595,571	-	6,595,571	-	6,595,571	6,595,571	-	6,595,571	-	6,595,571
Securities sold under repurchase agreements [Note 43]	26,486,104	-	26,486,104	-	26,486,104	26,486,104	-	26,486,104	-	26,486,104
Financial liabilities at amortised cost- due to depositors [Note 44]	1,715,484,127	-	1,734,577,618	-	1,734,577,618	1,750,259,233	-	1,769,175,119	-	1,769,175,119
Financial liabilities at amortised cost- other borrowings [Note 45]	19,740,135	-	19,740,135	-	19,740,135	19,742,152	-	19,742,152	-	19,742,152
Debt securities issued [Note 46]	-	-	-	-	-	448,108	-	448,108	-	448,108
Subordinated term debts [Note 52]	28,174,227	-	30,554,562	-	30,554,562	29,967,185	-	32,347,519	-	32,347,519
Other financial liabilities [Note 51]	10,466	-	10,466	-	10,466	4,190,120	-	4,190,120	-	4,190,120
Total financial liabilities measured at amortised cost	1,796,490,630	-	1,817,964,456	-	1,817,964,456	1,837,688,473	-	1,858,984,693	-	1,858,984,693

Fair values of the following assets and liabilities are estimated for the purpose of disclosure as described below:

Financial assets measured at amortised cost - loans and advances to customers

The loans and advances to customers comprise of both fixed rate loans and floating rate loans. Majority of the floating rate loans can be re-priced either quarterly or semi-annually while for fixed rate loans, the loan contract allows the Bank to change the contracted rate if there is a material difference between the contracted rate and the market rate. The carrying value of floating rate loans generally approximates the fair value due to the effect of re-pricing while the fair value of loans and receivables to customers with a residual maturity of less than

one year generally approximates the carrying value, subject to any significant movement in credit spreads.

The estimated fair value of loans and receivables with a residual maturity of more than one year, is the present value of future cash flows expected to be received from such loans and receivables calculated based on interest rates at the reporting date for similar types of loans and receivables.

Financial assets measured at amortised cost - debt and other instruments

These comprise of investments in treasury bills, treasury bonds USD Step up Bond, quoted and unquoted debentures.

The fair values of Treasury bills and Treasury bonds are determined using current yield rates or market rates published by the Central Bank of Sri Lanka.

The fair values of USD Step up Bond is valued using quoted market prices while the fair value of unquoted debentures are estimated at the present value of future cash flows expected to be received from such investments calculated based on interest rates at the reporting date for similar instruments.

Financial liabilities measured at amortised cost - due to depositors

The fair value of customer deposits which are repayable on demand or have a remaining contractual maturity of less than one year, approximates to the carrying value of such deposits.

NOTES TO THE FINANCIAL STATEMENTS

6 FAIR VALUE OF FINANCIAL ASSETS AND LIABILITIES (Contd.)

The fair value of customer deposits with a contractual maturity of more than one year, is estimated as the present value of future cash flows expected from such deposits calculated based on interest rates at the reporting date for similar types of deposits.

Debt securities issued

The fair value of debt securities issued has been determined by discounting the future cash flows by the interest rates prevailing as at the reporting date for similar instruments.

Subordinated term debts

The fair value of fixed rate subordinated debentures has been

determined by discounting the future cash flows by the interest rates prevailing as at the reporting date for similar instruments.

The carrying values of assets and liabilities listed below are reasonable approximation of their fair values since, those are short term in nature or re-priced to current market rates frequently:

Assets	Liabilities
Cash and cash equivalents	Due to banks
Balances with Central Bank of Sri Lanka	Securities sold under repurchase agreements
Placements with banks	Other borrowings
Securities purchased under resale agreements	Other financial liabilities
Other financial assets	

7 GROSS INCOME

ACCOUNTING POLICY

Gross revenue is recognised to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured. The specific recognition criteria, for each type of gross income, are given under the respective income notes.

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Interest income [Note 8 (a)]	210,862,176	222,690,253	239,723,325	240,243,657
Fee and commission income (Note 9)	23,705,737	18,412,099	26,252,858	20,022,671
Net gain/(loss) from trading (Note 10)	27,455	(4,308,429)	1,228,016	(3,965,732)
Net gains from financial investments at fair value through other comprehensive income (Note 11)	451,368	379,172	542,377	506,803
Net insurance premium income (Note 12)	-	-	23,770,490	17,968,647
Net losses arising from de-recognition of financial assets measured at amortised cost (Note 13)	-	(49,461,541)	-	(49,461,541)
Net other operating income (Note 14)	8,554,715	2,826,518	9,230,838	3,162,294
	243,601,451	190,538,072	300,747,904	228,476,799

8 NET INTEREST INCOME

ACCOUNTING POLICY

Interest income and expenses are recognised in the income statement using the effective interest rate method. Interest income and expense presented in the income statement include:

- financial assets measured at FVTPL
- financial assets and financial liabilities measured at amortised cost
- financial assets measured at FVOCI

Effective interest rate (EIR)

The EIR is the rate that exactly discounts estimated future cash receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to the net carrying amount of the financial asset.

The effective interest rate (and therefore, the amortised cost of the asset) is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of the effective interest rate. The Group recognises interest income using a rate of return that represents the best estimate of a constant rate of return over the

expected life of the financial asset. The calculation includes all fees and points received or paid between parties to the contract, that are an integral part of effective interest rate.

Once the recorded value of a financial asset or a group of similar financial assets has been reduced due to an impairment loss, interest income continues to be recognised, using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.

For the year ended 31st December	Bank		Group	
	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000
Interest income [Note 8 (a)]	210,862,176	222,690,253	239,723,325	240,243,657
Interest expense [Note 8 (b)]	115,125,931	126,402,153	124,614,700	130,478,678
Net interest income	95,736,245	96,288,100	115,108,625	109,764,979

NOTES TO THE FINANCIAL STATEMENTS

8 NET INTEREST INCOME (Contd.)

8 (a) Interest income

ACCOUNTING POLICY

The Group calculates interest income by applying the effective interest rate to the gross carrying amount of financial assets other than credit-impaired assets.

When a financial asset becomes credit-impaired (as set out in Note 31(c) ii to the financial statements) and the Days Past Due (DPD) exceeds 90 days, the Group calculates interest income by applying the effective interest rate to the net amortised cost of the financial asset. If the financial

asset cures (as outlined in Note 31(c) to the financial statements) and is no longer credit-impaired, the Bank reverts to calculating interest income on a gross amortised cost basis.

The Group ceases to recognise interest income on assets that are collectively impaired (over 90 days past due) when it becomes probable that the associated economic benefits will no longer continue to flow to the Bank.

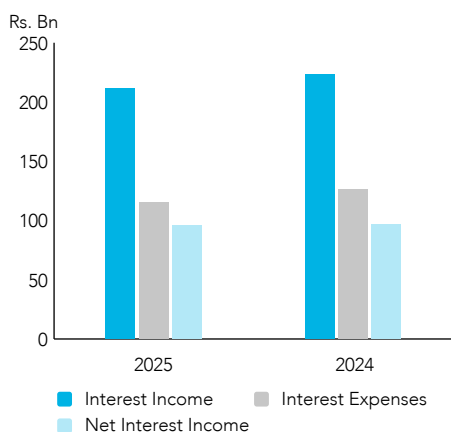
For Purchased or Originated Credit-Impaired (POCI) financial assets (as set out in Note 31 (b) to the financial statements), the Group calculates interest income by calculating the credit-adjusted effective interest rate and applying that rate to the amortised cost of the asset. The credit-adjusted effective interest rate is the interest rate that, at original recognition, discounts the estimated future cash flows (including credit losses) to the amortised cost of the POCI assets.

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Cash and cash equivalents	261,651	745,047	286,979	786,440
Securities purchased under resale agreements	164,221	18,051	663,029	462,655
Placements with banks	1,392,964	1,613,291	2,769,998	2,568,025
Interest income accrued on impaired financials assets	1,075,136	1,095,957	1,376,775	1,311,494
Financial assets measured at fair value through profit or loss	458,919	122,493	7,119,429	122,493
Financial assets measured at amortised cost				
Loans and advances to customers	124,680,924	118,233,460	137,401,359	127,656,647
Debt and other instruments	73,319,531	85,360,535	78,632,629	90,383,163
Financial assets measured at fair value through other comprehensive income	9,508,830	15,501,419	11,466,738	16,949,330
Other interest income	-	-	6,389	3,410
	210,862,176	222,690,253	239,723,325	240,243,657

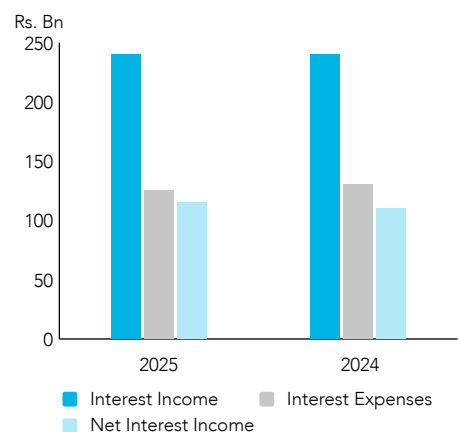
8 (b) Interest Expenses

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Securities sold under repurchase agreements	4,819,560	5,854,778	9,427,308	5,854,778
Due to banks	1,405,717	1,178,541	1,405,717	1,178,541
Due to depositors (deposits from customers)	104,286,797	114,801,825	108,839,333	118,824,307
Debt securities issued	48,876	6,732	89,651	193,410
Other borrowings	710,739	1,247,219	1,121,463	1,320,288
Subordinated term debts	3,262,184	2,433,427	3,707,862	2,685,647
Interest expense on lease liabilities [Note 38 (b)]	591,766	879,192	23,074	421,268
Other interest expenses	292	439	292	439
	115,125,931	126,402,153	124,614,700	130,478,678

Analysis of Interest Income - Bank



Analysis of Interest Income - Group



8 (c) Net Interest Income from Sri Lanka Government Securities

Interest income and interest expenses on investment in government securities are summarised below.

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Interest income				
Financial assets measured at fair value through profit or loss	458,919	122,493	7,119,429	122,493
Financial assets measured at amortised cost -Debt and other financial instruments	72,596,287	84,114,000	76,269,576	87,663,535
Financial assets measured at fair value through other comprehensive income	9,508,830	15,501,419	11,466,738	16,949,330
Securities purchased under resale agreements	164,221	18,051	663,029	462,655
Less : Interest expenses				
Securities sold under repurchase agreements	(4,819,560)	(5,854,778)	(9,427,308)	(5,854,778)
Net interest income from Sri Lanka Government Securities	77,908,697	93,901,185	86,091,464	99,343,235

NOTES TO THE FINANCIAL STATEMENTS

9 NET FEE AND COMMISSION INCOME

ACCOUNTING POLICY

Fee and commission income and expense that are integral to the effective interest rate of a financial asset or liability are included in the measurement of the effective interest rate.

If a loan commitment is not expected to result in the draw down of a loan, then the related loan commitment fee is recognised on a straight line basis over the commitment period.

Other fees and commission income are recognised as follows;

- Fee and commission income earned from services that are provided over

a certain period of time are accrued over that period. Fees for guarantees and trade related commissions are recognised on a straight line basis over the period of contract.

- Fee and commission income from providing transaction services are recognised as and when the services are performed.

Other fees and commission expenses are mainly related to transaction and service fees that are expensed as and when the services are received.

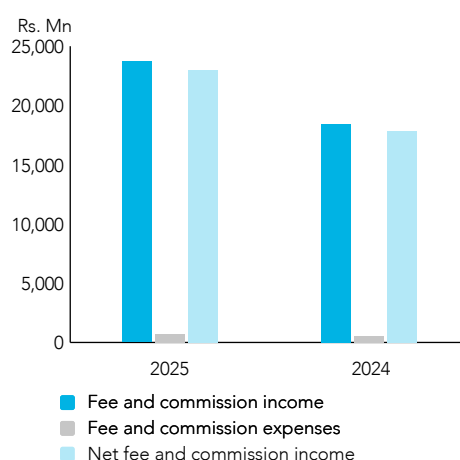
A contract with a customer that results in a recognising a financial instrument

in the Group's financial statements may be partially in the scope of Sri Lanka Accounting Standard SLFRS 9 "Financial Instruments" and partially within the scope of Sri Lanka Accounting Standard SLFRS 15 "Revenue from Contracts with Customers". In such a scenario, the Group first applies SLFRS 9 to such separate contract and measure the part of the contract that is in the scope of SLFRS 9 and then applies SLFRS 15 to the residual

Other fee and commission expenses relate mainly to transaction and service fees, which are expensed as the services are received.

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Fee and commission income [Note 9 (b)]	23,705,737	18,412,099	26,252,858	20,022,671
Less: Fee and commission expenses	708,094	564,359	1,257,739	873,946
Net fee and commission income	22,997,643	17,847,740	24,995,119	19,148,725

Net fee and commission income - Bank



9 (a) Performance Obligations and Revenue Recognition Policies

Fee and commission income from contracts with customers is measured based on the consideration specified in the contract with a customer. The Group recognises revenue when it transfers control over a service to a customer.

The following table provides information about the nature and timing of satisfaction of performance obligations in contracts with customers, including significant payment terms, and the related revenue recognition policies.

Type of service	Nature and timing of satisfaction of performance obligations, including significant payment terms	Revenue recognition under SLFRS 15
Retail and corporate banking services	The Bank provides banking services to retail and corporate customers, including account management, provision of overdraft facilities, foreign currency transactions, credit card and servicing fees.	Revenue from account service and servicing fees is recognised over time as the services are provided. Fees for guarantees and trade related commissions are recognised on a straight-line basis over the period of contract.
	Fees for ongoing account management are charged to the customer's account on a monthly basis. The Bank sets the rates on a periodic basis.	Revenue related to transactions is recognised at the point in time when the transaction takes place.
	Transaction-based fees for interchange, foreign currency transactions and overdrafts are charged to the customer's account when the transaction takes place.	Revenue related to transactions is recognised at the point in time when the transaction takes place.
	Servicing fees are charged on a monthly basis.	
Insurance service	Insurance contract policyholders are charged for policy administration services and other contract fees.	These fees are recognised as income upon receipt or when they become due.

9 (b) Disaggregation of fee and commission income

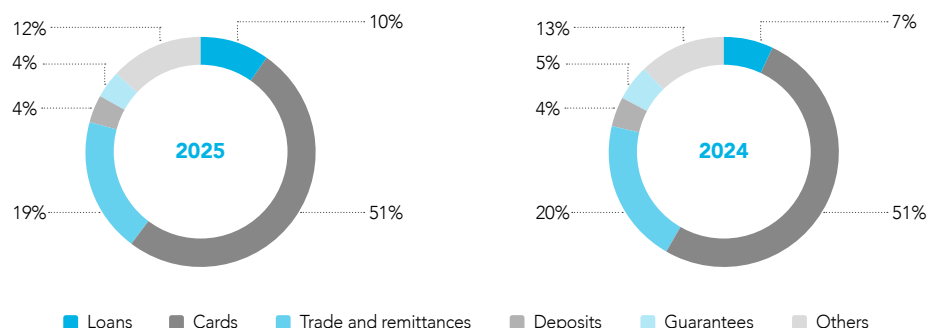
In the following table, fee and commission income from contracts with customers in the scope of SLFRS 15 is disaggregated by major types of services.

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Loans and advances related services	2,476,546	1,356,476	3,848,325	1,356,476
Credit and debit cards related services	11,993,822	9,451,559	11,993,822	9,451,559
Trade and remittances related services	4,480,370	3,709,797	4,480,370	3,709,797
Deposits related services	921,483	806,310	1,028,375	806,310
Guarantees related services	833,274	883,339	833,274	883,339
Other financial services	3,000,242	2,204,618	4,068,692	3,815,190
Gross fee and commission income	23,705,737	18,412,099	26,252,858	20,022,671

NOTES TO THE FINANCIAL STATEMENTS

9 NET FEE AND COMMISSION INCOME (Contd.)

Analysis of Net Free and Commission Income - Bank



10 NET GAINS/(LOSSES) FROM TRADING

ACCOUNTING POLICY

Results arising from trading activities include all gains and losses from unrealised fair value changes, related capital gains and losses, dividend income from financial assets held for trading

and gains/(losses) from revaluation of derivative financial instruments.

Dividend income is recognised when the Group's right to receive the dividend is established.

Derivative financial instruments are fair valued at each reporting date. Gains and losses arising from changes in fair value are included in the income statement in the period in which they arise.

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Financial assets - Held for trading				
Fixed income				
Net marked to market gain/(loss)	(7,759)	-	(277,794)	-
Net capital gain/(loss)	65,776	189,187	1,062,327	189,187
Equities				
Net marked to market gain/(loss)	41,902	51,796	417,062	336,385
Net capital gain/(loss)	-	189	57,623	35,069
Dividend income	3,060	2,950	44,322	26,178
Derivative financial instruments				
Gain/(loss) on revaluation of foreign currency derivatives				
- With banks	(171,921)	(4,585,417)	(171,921)	(4,585,417)
- With customers	96,397	32,866	96,397	32,866
	27,455	(4,308,429)	1,228,016	(3,965,732)

11 NET GAIN/(LOSS) FROM FINANCIAL INVESTMENTS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

ACCOUNTING POLICY

Net gain/(loss) from financial investments includes dividend income and other gains/(losses) recognised in the financial investments. Dividend income is recognised when the Group's right to receive the dividend is established.

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Fixed income				
Net capital gain/(loss)	-	-	108,440	127,174
Equities				
Net capital gain/(loss)	-	-	(17,926)	-
Dividend income	451,368	379,172	451,863	379,629
	451,368	379,172	542,377	506,803

12 NET INSURANCE PREMIUM INCOME

ACCOUNTING POLICY

• Life insurance business

Gross Written Premiums (GWP) from Life Insurance contracts are recognised as revenue when a premium is due from a Policyholder within the 30-day grace period are considered as due premium, except for group life which is considered up to 90 days. Premiums received in advance are not recorded as revenue but recorded as liability until the premium is due unless otherwise the relevant policy conditions require such premiums to be recognised as revenue. Benefits and expenses are provided against such revenue to recognise profits over the estimated life of the policies.

For single premium business, revenue is recognised on the date on which the policy is effective.

• Non-life insurance business

Gross written premium on non-life insurance comprise the total premiums received/receivable for the whole period of cover provided by contracts entered into during the accounting period.

Premium is generally recognised upon the inception of the policy as written and are earned primarily on a pro-rata basis over the term of the related policy coverage.

• Reinsurance premiums

Gross reinsurance premiums on insurance contracts are recognised as an expense on the earlier of the date when premiums are payable or when the policy becomes effective. Value of the reinsurance premiums are decided based on rates agreed with reinsurers. Reinsurance premiums on insurance contracts are recognised as an expense on the earlier of the date when premiums are payable or when the policy becomes effective. Reinsurance premiums are decided based on rates agreed with reinsurer and accounted on an accrual basis.

• Net change in reserve for unearned premium

Gross Written Premium of General business is deferred over the term of the underlying policies' risk attached period according to the Regulation of Insurance Industry Act, No. 43 of 2000 and subsequent amendments there to, unearned premiums are the proportion of premiums that relate to the period of risk after the respective reporting period. Group uses 1/24th basis to defer the GWP of all policies except for the Marine Insurance policies and Title Insurance policies, where Marine Insurance premiums are deferred based on 60 : 40 basis and total premiums on Title Insurance are transferred to Reserve for Title Insurance for the reporting period. Similarly Reinsurance Premiums attached to those policies are also deferred over the policies risk attached period using the same basis as mentioned above. Further, Title Insurance Reserve is maintained based on the net transfer of Net Written Premium after deducting acquisition cost and profit recognised during that period.

NOTES TO THE FINANCIAL STATEMENTS

12 NET INSURANCE PREMIUM INCOME (Contd.)

For the year ended 31st December	Group	
	2025 Rs 000	2024 Rs 000
Gross insurance premium income	30,080,838	22,354,891
Premium ceded to reinsurers	(5,786,807)	(4,585,634)
Net written premium	24,294,031	17,769,257
Net change in reserve for unearned premium	(523,541)	199,390
Net insurance premium income [Note 12 (a)]	23,770,490	17,968,647

12 (a) Net Insurance Premium income

For the year ended 31st December	Gross insurance premium income		Premium ceded to reinsurers		Net insurance premium income	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Life Insurance						
Individual policies	14,701,411	10,733,915	(652,247)	(479,268)	14,049,164	10,254,647
Corporate policies	732,368	466,898	(144,265)	(82,571)	588,103	384,327
Single premium	4,007,730	2,453,122	(252,075)	(213,210)	3,755,655	2,239,912
Gross written premium - life insurance	19,441,509	13,653,935	(1,048,587)	(775,049)	18,392,922	12,878,886
General Insurance						
Fire	2,273,742	1,885,932	(2,218,627)	(1,755,130)	55,115	130,802
Motor	5,979,891	4,775,374	(1,698,935)	(1,254,142)	4,280,956	3,521,232
Marine	376,414	327,135	(320,386)	(290,630)	56,028	36,505
Miscellaneous	2,009,282	1,712,515	(500,272)	(510,683)	1,509,010	1,201,832
Gross written premium - general insurance	10,639,329	8,700,956	(4,738,220)	(3,810,585)	5,901,109	4,890,371
Net change in reserves for unearned premium					(523,541)	199,390
	30,080,838	22,354,891	(5,786,807)	(4,585,634)	23,770,490	17,968,647

13 NET LOSSES ARISING FROM DE-RECOGNITION OF FINANCIAL ASSETS MEASURED AT AMORTISED COST

The loss arising from the restructure of the Sri Lanka International Sovereign Bonds (SLISBs) was recognised upon the completion of the restructuring process in December 2024. The previously held SLISBs were derecognised and the new instruments received were recognised in the Bank's financial statements, resulting in a net loss on restructure presented consistently by the Banking sector to enable comparability and transparency. There is no gain/loss arising from de-recognition of financial assets measured at amortised cost in 2025.

14 NET OTHER OPERATING INCOME ACCOUNTING POLICY

Other operating income includes rental income, dividend income from group entities, gains on disposal of property, plant and equipment and foreign exchange gains and losses.

• Rental income

Rental income is recognised on an accrual basis.

• Dividend income from subsidiaries

Dividend income from subsidiaries is recognised when the Bank's right to receive the dividend is established.

• Gains and losses on disposal of assets

Net gains and losses arising from the disposal of property, plant and equipment and other non-current assets including investments in subsidiaries, joint ventures and associates are recognised in the income statement after deducting from the proceeds on disposal, the carrying amount of such assets and the related selling expenses.

• Foreign exchange gain

Foreign currency positions are revalued at each reporting date. Gains and losses arising through revaluation are included in the income statement in the period in which they arise.

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Dividend income from subsidiaries and joint venture	895,368	893,280	-	-
Foreign exchange gain *				
- With banks	2,177,396	(2,381,687)	2,224,175	(2,462,415)
- With customers	4,170,275	4,068,298	4,170,275	4,068,298
Gain / (Loss) on disposal of property, plant and equipment (net)	(42)	10,569	824	30,818
Rental income	14,591	16,088	576,660	16,088
Effect of remeasurement rent due to change in duration	1,084,598	-	-	-
Rental income from investment properties	123,682	130,757	123,682	385,955
Recovery of operational losses provided for in prior years	17,200	23,157	17,200	23,157
Miscellaneous	71,647	66,056	2,118,022	1,100,393
	8,554,715	2,826,518	9,230,838	3,162,294

* Foreign exchange gain/(loss) represents both revaluation gain/(loss) on the Bank's net open position and gain/(loss) on foreign exchange contracts. Loss on revaluation of foreign currency derivatives amounting to Rs 76 Mn (2024 : Loss of Rs 4,552 Mn) is reported under Note 10, 'Net gain/(loss) from trading' as required by the Sri Lanka Accounting Standard SLFRS 9 "Financial Instruments". Accordingly total exchange gain of the Bank and the Group for the year ended 31st December 2025 amounted to Rs 6,272 Mn and Rs 6,318 Mn respectively (2024 : Loss of Rs 2,866 Mn for the Bank and a loss of Rs 2,947 Mn for the Group).

NOTES TO THE FINANCIAL STATEMENTS

15 IMPAIRMENT CHARGE /(REVERSAL) FOR LOANS AND OTHER LOSSES ACCOUNTING POLICY

The Group calculates Expected Credit Loss (ECL) allowances on financial assets in line with SLFRS - 9. The Bank also considers the Banking Act Direction No. 13 of 2021 and No.14 of 2021 on Classification, Recognition and Measurement of Credit Facilities/Other Financial Assets in Licensed Banks. The accounting policy adopted in determining same is given in Note 15 (a) to the financial statements.

The Group calculates ECL allowances for financial assets, except for those assets that are not measured at Fair Value Through Profit or Loss (FVTPL) and equity instruments are not subject to ECL under SLFRS 9:

- Cash and cash equivalents
- Placements with banks
- Financial assets measured at amortised cost - loans and advances to customers

- Financial assets measured at amortised cost - debt and other financial instruments
- Financial assets measured at fair value through other comprehensive income
- Loan commitments and financial guarantee contracts

15 (a) Overview of the Expected Credit Loss Principles

The Group measures Expected Credit Loss (ECL) allowances based on the credit losses anticipated over the life of the asset (Lifetime Expected Credit Loss, or LTECL). However, if there has been no significant increase in credit risk since origination, the allowance is based on the 12-month expected credit loss (12mECL). The 12m ECL represents that portion of LTECLs which corresponds to ECLs that could result from default events within 12 months following the reporting date. The Group calculates Expected Credit Loss (ECL) by applying a 12-month Probability of Default (PD), adjusted for Exposure at Default (EAD) and Loss Given Default (LGD). This figure is then discounted using a rate that approximates the original Effective Interest Rate (EIR).

LTECLs and 12mECLs are calculated either on an individual basis or on collective basis, depending on the nature of the underlying portfolio of financial instruments.

15 (b) i Calculation of ECLs for individually significant loans

The Group initially assesses Expected Credit Losses (ECLs) for each individually significant loan (ISL), above a predefined threshold. The criteria used to assess whether there is a significant increase in credit risk of an individually significant loan are detailed under Note 31. The Group calculates ECLs for ISLs by using probability weighted scenarios to

estimate expected cash flows, based on a predefined threshold. These cash flows are then discounted at a rate approximating the original EIR. A cash shortfall is defined as the difference between the cash flows that are contractually due to the group and the cash flows that the group actually expects to receive.

15 (b) ii Grouping loans and advances measured on a collective basis

Loans and advances, including those assessed individually and found not impaired as well as individually insignificant loans, are collectively assessed for Expected Credit Loss (ECL) provisions. This process involves categorising these assets into groups with similar credit risk characteristics as described below.

The key elements of ECL computation for collectively assessed loans are as follows:

- Product type
- Industry of the Borrower
- Whether the loan is restructured/rescheduled
- Whether the loan is watch listed or not
- Additionally, the Group may determine other necessary criteria from time to time to classify such loans and advances appropriately.

Probability of Default (PD): The probability of default is an estimate of the likelihood

of a borrower defaulting on its financial obligations. A default may only happen at a certain time over the assessed period, if the facility has not been previously de-recognised and is still in the portfolio. The Group estimates the Probability of Default (PD) based on historical information with regard to delinquency of loans and advances. In this process historical information pertaining to 3-6 years have been used depending on the nature of the product. (Definition of default is given in Note 31 (c)).

Exposure at Default (EAD): The exposure at default represents the expected exposure in the event of a default. The Group estimates EAD, taking into account the repayment of principal and interest from the reporting date to the default event together with any expected drawdowns of committed facilities. To calculate the EAD for a Stage 1 loan, the Group assesses the possible default events within 12 months. For Stage 2, Stage 3 and Purchase or Originated Credit Impaired (POCI) financial assets, the exposure at default is considered for events over the lifetime of the instruments.

Loss Given Default (LGD): The loss given default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the Group would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of

the EAD. The Group segments its lending portfolio into homogeneous portfolios, based on key characteristics that are relevant to the estimation of future cash flows. The loss given default is estimated based on historically collected loss data and is usually presented as a percentage of the EAD.

Discount rate for collective assessments are determined separately for portfolios of facilities with similar credit risk characteristics.

- **Credit card and Revolving facilities**

The group offers a diverse range of products, including corporate, SME, and retail overdraft, as well as credit card facilities. It conducts an annual review of the sanction limits, retaining the right to either cancel or reduce these limits. For these facilities, the group calculates 12 month ECLs allowances, reflecting its expectations of customer behaviour, the likelihood of default, and potential future risk mitigation strategies, which may involve reducing or cancelling the facilities.

The EAD is determined by taking the maximum of the sanctioned limit adjusted by an appropriate credit conversion factor (CCF), or the gross carrying amount of the loan.

The Group calculates Expected Credit Loss (ECL) by applying a 12-month Probability of Default (PD), adjusted for EFA to EAD. This figure is subsequently multiplied by the LGD and then discounted using a rate that approximates the original EIR. For credit cards, the Group assesses ECL over the asset's lifetime (Lifetime Expected Credit Loss, LTECL). However, if credit risk has not significantly increased since origination, the allowance is based on the 12-month ECL (12mECL), which represents the LTECL portion that is expected from default events within the next 12 months.

- **Undrawn loan commitments**

When estimating life time ECL (LTECLs) for undrawn loan commitments, the Group estimates the expected portion of the loan commitment that will be drawn down over its expected life and ECL is recognised based on probability of default, loss given default and economic factor adjustment. The ECL component for loan commitments, letters of

credit and acceptances is recognised within "other provisions".

- **Financial guarantee contracts**

The Group estimates ECLs for financial guarantee contracts based on the present value of the expected payments to reimburse the holder for a credit loss that it incurs. The shortfalls are discounted by the risk adjusted interest rate relevant to the exposure. The ECL component related to the financial guarantee contracts are recognised within "other provisions".

- **Recognition of expected credit loss provisions on government securities**

The assessment of Expected Credit Loss (ECL) for Treasury Bills and bonds denominated in local currency its credit risk is considered immaterial, to these financial statements based on considerations given to directives issued by Central Bank of Sri Lanka and guidelines/ interpretations provided by CA Sri Lanka, while recognition of impairment on foreign currency denominated government securities which does not have a LKR repayment option is determined based on the applicable exposure at default, probability of default and loss given default.

- **Debt instruments measured at fair value through OCI**

The Bank does not recognise impairment provisions for LKR denominated government securities. However, the recognition of impairment on foreign currency-denominated government securities, which do not have a LKR repayment option, is determined based on the applicable exposure at default, probability of default, and loss given default.

- **Forward Looking Information**

The Group incorporates forward looking information into both its assessment as to whether the credit risk of an instrument has increased significantly since its initial recognition and its measurement of ECL. When estimating the ECLs, the Group considers three economic scenarios (base case, best case and worst case).

In its ECL models, the Group relied on a broad range of forward-looking information as economic inputs as noted below.

Quantitative factors	Qualitative factors
GDP growth	Government policies
Inflation	Status of industry/ business
Interest rate	Regulatory impact
Unemployment rates	
Exchange rate	

The Bank derived forward-looking macroeconomic variables either using a binomial tree approach or internal statistical models. When deriving the annual real GDP Growth rate and inflation, the projections published by the International Monetary Fund (IMF) were used as the anchors in the binomial tree model (GDP growth 2026 – 2.9% 2027- 3.1% and inflation 2026 – 5.4%, 2027 – 5.0%) while unemployment rate was fully derived based on the binomial tree approach. However, the forward-looking information for interest rate and exchange rate were fully derived based on internal statistical models.

- **Reversal of Impairment**

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back to the profit or loss by reducing the impairment allowance accordingly.

- **Write-off of financial assets**

Loans and debt securities are written off (either partially or in full) when there is no reasonable expectation of recovering a financial asset in its entirety or a portion thereof. This is generally the case when the Group determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. This assessment is carried out at individual asset level.

However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Bank's procedures for recovery of amounts due.

NOTES TO THE FINANCIAL STATEMENTS

15 IMPAIRMENT CHARGE FOR LOANS AND OTHER LOSSES (Contd.)

15 (c) Accounting Judgements, Estimates and Assumptions used in ECL calculation

The measurement of impairment losses under SLFRS - 9 requires judgement across all categories of financial assets, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining ECL allowances and the assessment of a significant increase in credit risk. These estimates are driven by a number of factors, changes of which can result in different levels of allowances.

The Group's Expected Credit Loss (ECL) calculations are the outputs of complex models with a number of underlying assumptions regarding the choice of variable inputs and their interdependencies. Elements

of the ECL models that are considered for accounting judgements and estimates include:

- the Group's criteria for assessing whether there has been a significant increase in credit risk as a result of which allowances for financial assets should be measured on a Life Time Expected Credit Loss (LTECL) basis. The criteria are elaborated under Note 31 (c)
- the segmentation of financial assets when their ECL is assessed on a collective basis.
- the selection of an estimation technique or modelling methodology, noting that the modelling of the Group's ECL estimates are complex; and

- the selection of inputs for those models, and the interdependencies between those inputs.

The judgements and associated assumptions have been made within the context of the impact of prevailing economic conditions and reflect historical experience and other factors that are considered to be relevant, including expectations of future events that are believed to be reasonable under the circumstances. Accordingly, the Group's ECL estimates are inherently uncertain and, as a result, actual results may differ from these estimates.

The following table summarises the key judgements and assumptions used by the Bank in relation to the ECL model inputs, and the interdependencies between those inputs.

Judgement/ Assumption	Description	Considerations for the year ended 31st December 2025
Determining when a Significant Increase in Credit Risk (SICR) has occurred	In the measurement of ECL, judgement is involved in setting the rules and trigger points to determine whether there has been a SICR since initial recognition of a loan, which would result in the financial asset moving from Stage 1 to Stage 2. This is a key area of judgement since transition from Stage 1 to Stage 2 increases the ECL from 12 month ECL to life time ECL.	There were no material changes to the policies during the year ended 31st December 2025. Details of SICR indicators are given under Note 31 (c) i.
Measuring 12 month expected credit losses and lifetime expected credit losses	The Probability of Default (PD), Loss Given Default (LGD) and Exposure at Default (EAD), credit risk parameters used in determining ECL are point-in-time measures reflecting the relevant forward looking information determined by management. Judgement is involved in determining which forward-looking information variables are relevant for particular lending portfolios and for determining each portfolio's point-in-time sensitivity.	The PD, EAD and LGD models are subject to the Group's policy on impairment assessment. There were no material changes to the policies during the year ended 31st December 2025.
	In addition, judgement is required where behavioural characteristics are applied in estimating the lifetime of a facility to be used in measuring ECL.	There were no material changes to behavioural lifetime estimates during the year ended 31st December 2025.
Base case economic forecast	The Group derives a forward-looking base case economic scenario which reflects the Bank's view of the most likely future macro-economic conditions.	As at 31 December 2025, the base case assumptions have been updated to reflect the evolving situation with respect to prevailing economic conditions and economic forecasts provided by the Central Bank of Sri Lanka, International Monetary Fund, Asian Development Bank and World Bank.

Judgement/ Assumption	Description	Considerations for the year ended 31st December 2025												
Probability weighting of each economic scenario (base case, best case and worse case scenarios)	Probability weighting of each economic scenario is determined by management considering the risks and uncertainties surrounding the base case economic scenario at each measurement date.	The key consideration for probability weightings in the current period is the prevailing uncertain economic conditions. In addition to the base case forecast, which reflects the improved economic conditions in Sri Lanka following a period of stabilisation, the Group has considered the potential downside risks arising from recent uncertainties. While the economy shows signs of recovery, the lingering effects of past challenges and the unexpected impact of the Ditwah cyclone on certain sectors and customers have introduced new vulnerabilities. Accordingly, the Group has maintained a prudent approach by assigning probability weightings that reflect both the improved outlook and the heightened risk from Ditwah cyclone. It is important to note that these weightings carry a significant degree of inherent uncertainty, and actual outcomes may differ materially from projections given the evolving economic and environmental landscape. The probability weightings applied in the ECL calculations are presented below. <table> <tr> <th>As at 31st December</th><th>2025 %</th><th>2024 %</th></tr> <tr> <td>Best Case</td><td>5</td><td>5</td></tr> <tr> <td>Base Case</td><td>35</td><td>25</td></tr> <tr> <td>Worst Case</td><td>60</td><td>70</td></tr> </table>	As at 31st December	2025 %	2024 %	Best Case	5	5	Base Case	35	25	Worst Case	60	70
As at 31st December	2025 %	2024 %												
Best Case	5	5												
Base Case	35	25												
Worst Case	60	70												
Post model adjustments	Temporary adjustments to the ECL allowance are used in circumstances where it is judged that the existing inputs, assumptions and model techniques do not capture all the risk factors relevant to Group's lending portfolios. Emerging local or global macroeconomic, microeconomic or political events, and natural disasters that are not incorporated into the current parameters, risk ratings, or forward-looking information are examples of such circumstances. The use of management overlay may impact the amount of ECL recognised. While Sri Lanka's economic conditions have shown signs of improvement, uncertainties remain regarding the extent to which government policies, business strategies, and consumer behaviour will mitigate potential credit risks. These factors are not fully captured within existing Expected Credit Loss models. Accordingly, management has applied post-model overlays to ensure that credit provisions remain prudent and reflective of both the improved outlook and residual vulnerabilities.	Management has implemented several post-model adjustments to the modelled Expected Credit Loss, primarily due to prolonged uncertainty within certain sectors/Industries and the additional impact of the Ditwah cyclone. Post-model adjustments have been applied to the modelled Expected Credit Loss provisions, specifically to address exposures in sectors identified by the Group as carrying elevated risk, as well as the impact on certain facilities affected by the Ditwah cyclone.												

NOTES TO THE FINANCIAL STATEMENTS

15 IMPAIRMENT CHARGE FOR LOANS AND OTHER LOSSES (Contd.)

15 (d) The Group calculates loss allowances equal to the lifetime Expected Credit Loss, except for the financial instruments for which there has been no significant increase in credit risk since their initial recognition

To support this approach, the Group has an established policy to assess, at the end of each reporting period, whether the credit risk of a financial instrument has significantly increased since its initial recognition. This assessment is based on evaluating the change in the risk of default over the remaining life of the financial instrument.

15 (e) Impairment charges on financial and non-financial assets

Bank

For the year ended 31st December	2025					2024				
	Stage 1	Stage 2	Stage 3	Other	Total	Stage 1	Stage 2	Stage 3	Other	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Impairment charge/(reversal) on financial assets measured at amortised cost										
Cash and cash equivalents	(16,918)	-	-	-	(16,918)	(188,392)	-	-	-	(188,392)
Placements with banks	(14,515)	-	-	-	(14,515)	(15,428)	-	-	-	(15,428)
Loans and advances *	(677,794)	(634,682)	(6,883,852)	-	(8,196,328)	(640,148)	(1,824,681)	13,132,946	-	10,668,117
Debt instruments	(763)	-	13,707	-	12,944	(1,788)	(91,639,774)	(16,666)	-	(91,658,228)
Impairment charge/(reversal) on financial assets measured at fair value through other comprehensive income										
Debt instruments	-	(311,754)	-	-	(311,754)	-	1,593,267	-	-	1,593,267
Impairment charge / (reversal) on loan commitments and financial guarantee contracts	(729,759)	3,281	175,059	-	(551,419)	(1,042,170)	(241,073)	606,463	-	(676,780)
Impairment charge / (reversal) on property plant and equipment, intangible assets and prepayments	-	-	-	28,477	28,477	-	-	-	(37,914)	(37,914)
Other impairment charges	-	(400,048)	282,925	-	(117,123)	-	786,212	541,318	-	1,327,530
	(1,439,749)	(1,343,203)	(6,412,161)	28,477	(9,166,636)	(1,887,926)	(91,326,049)	14,264,061	(37,914)	(78,987,828)

* Impairment charges recognised against loans and advances include adjustments made outside the Expected Credit Loss (ECL) model, based on post-model amendments and various stress-testing techniques, to address potential sector-specific risks and associated uncertainties.

In 2025, improved economic conditions applied to the base case resulted in a reduction in the modelled Expected Credit Loss (ECL). However, management implemented post-model adjustments to the ECL based on the Bank's exposure to risk-elevated sectors identified by the Risk Division. The Bank reassessed these elevated risk sectors in light of the improved economic outlook and made the necessary post-model adjustments accordingly.

The Ditwah cyclone introduced credit risk elements that were not fully captured by the Bank's existing ECL models. To address this limitation, the Bank recognised an additional provision for customers directly affected by the event, reflecting the heightened likelihood of credit deterioration.

In addition, the Bank assessed the broader impact on customers residing in the cyclone affected regions who were not individually identified as impacted through internal assessments. Recognising the possibility of indirect financial stress and spillover effects within these areas, the Bank applied a further provision. This was quantified using a statistical methodology.

As at 31 December 2025, the Bank recognised an overlay of Rs 2.2 Bn relating to the Ditwah cyclone and the associated uncertainties. The Bank continued to classify the construction industry as an elevated risk sector during the year and, recognised a cumulative provision of Rs 1 Bn as at 31 December 2025. Thus, total cumulative provision amounted to Rs 3.2 Bn as at 31st December 2025.

The total cumulative impairment provision, excluding the management overlay, amounted to Rs 77.5 Bn.

Group

For the year ended 31st December	2025					2024				
	Stage 1	Stage 2	Stage 3	Other	Total	Stage 1	Stage 2	Stage 3	Other	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Impairment charge/(reversal) on financial assets measured at amortised cost										
Cash and cash equivalents	(16,943)	-	-	-	(16,943)	(188,392)	-	-	-	(188,392)
Placements with banks	(15,777)	-	-	-	(15,777)	(15,106)	-	-	-	(15,106)
Loans and advances	(452,031)	(691,718)	(6,279,143)	-	(7,422,892)	(2,393,807)	(1,637,136)	15,811,964	-	11,781,021
Debt instruments	(2,734)	-	13,707	-	10,973	(1,245)	(91,639,774)	(16,666)	-	(91,657,685)
Impairment charge/(reversal) on financial assets measured at fair value through other comprehensive income										
Debt instruments	-	(311,754)	-	-	(311,754)	-	1,593,267	-	-	1,593,267
Impairment charge / (reversal) on loan commitments and financial guarantee contracts	(729,759)	3,281	175,059	-	(551,419)	(1,042,170)	(241,073)	606,463	-	(676,780)
Impairment charge / (reversal) on property plant and equipment, intangible assets and prepayments	-	-	-	28,477	28,477	-	-	-	(37,914)	(37,914)
Other impairment charges	-	(398,786)	282,925	-	(115,861)	-	786,212	541,318	-	1,327,530
	(1,217,244)	(1,398,977)	(5,807,452)	28,477	(8,395,196)	(3,640,720)	(91,138,504)	16,943,079	(37,914)	(77,874,059)

16 PERSONNEL EXPENSES

ACCOUNTING POLICY

Personnel expenses include salaries and bonus, terminal benefit charges and other related expenses. Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short term cash bonus or profit-sharing plans, if the Group has a present legal or constructive obligation to pay this amount, as a result of past

service provided by the employee and the obligation can be estimated reliably.

Employees are eligible for Employees' Provident Fund (EPF) contributions and Employees' Trust Fund (ETF) contributions in accordance with the respective statutes and regulations.

Defined benefit plan contributions and changes in the liabilities for EPF interest guarantee and accumulated leave are

recognised in the income statement based on actuarial valuations carried out in accordance with Sri Lanka Accounting Standard - LKAS 19 on "Employee Benefits".

The Group's net obligation to the pension fund, gratuity, EPF interest guarantee and Unutilised accumulated annual leave are disclosed under Note 53 to the financial statements.

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Salaries and bonus	18,953,638	18,507,725	25,037,444	22,990,323
Contributions to Employees' Provident Fund (EPF)	2,075,701	1,141,474	2,544,342	1,530,529
Contributions to Employees' Trust Fund (ETF)	308,779	285,368	425,775	382,344
Provision for defined benefit plan - funded [Note 16 (a)]	825,819	416,006	825,819	416,006
Increase in liability for EPF interest guarantee [Note 53 (d)]	7,486	3,840	7,486	3,840
Increase in liability for accumulated leave [Note 53 (e)]	41,067	110,079	41,067	110,079
Provision for defined benefit plan - unfunded [Note 53 (g)]	-	-	228,758	170,897
Others	726,816	724,836	726,816	724,836
	22,939,306	21,189,328	29,837,507	26,328,854

NOTES TO THE FINANCIAL STATEMENTS

16 PERSONNEL EXPENSES (Contd.)

16 (a) Provision for Defined Benefit Plan - Funded

For the year ended 31st December	Bank/Group	
	2025 Rs 000	2024 Rs 000
Current service cost [Note 53 (c) iii]	986,171	915,081
Net interest on defined benefit (asset)/liability [Note 53 (c) v]	(160,352)	(499,075)
	825,819	416,006

17 BENEFITS, CLAIMS AND UNDERWRITING EXPENDITURE

ACCOUNTING POLICY

Benefits and claims for insurance contracts include the cost of all claims arising during the year including internal and external claims handling costs that are directly related to the processing and settlement of claims and are recorded net of recoveries from reinsurance on claims.

- Benefits and claims paid - Life insurance**

Claims on accident, hospitalisation, death and maturity are charged on notification of death or on expiry of the term. The interim payments and surrenders are accounted for only at the time of settlement.

- Benefits and claims paid - Non life insurance**

General insurance claims include all claims occurred during the year, whether reported or not together with claims handling costs that are directly related to the processing and settlement of claims, reductions for the value of salvage and other recoveries.

- Reinsurance claims**

Reinsurance on claims are recognised when the related gross insurance claims are recognised according to the terms of the relevant contract.

- Underwriting and net acquisition cost**

Expenses for acquisition and maintenance of life and general insurance business are accounted for net of reinsurance commission on accrual basis. Reinsurance commission income is accrued according to the agreed terms with the reinsurers.

For the year ended 31st December	Group	
	2025 Rs 000	2024 Rs 000
Net insurance benefits and claims paid [Note 17(a)]	8,367,668	6,756,055
Net change in insurance claims outstanding	78,146	(71,922)
Change in contract liabilities - life fund	10,314,303	7,880,552
Underwriting and net acquisition costs	3,573,883	2,749,433
	22,334,000	17,314,118

17 (a) Net insurance benefits and claims paid

For the year ended 31st December	Group					
	2025			2024		
	Gross Claims Paid	Recovery from Reinsurers	Net Claims Paid	Gross Claims Paid	Recovery from Reinsurers	Net Claims Paid
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Life Insurance						
Claims - deaths, disability and hospitalisation	1,573,464	(508,378)	1,065,086	1,009,666	(396,109)	613,557
Surrenders	557,070	-	557,070	689,062	-	689,062
Annuity payments	12,982	-	12,982	13,019	-	13,019
Policy maturities	2,715,358	-	2,715,358	1,679,466	-	1,679,466
Net life insurance claims	4,858,874	(508,378)	4,350,496	3,391,213	(396,109)	2,995,104
Non-life Insurance						
Fire	350,892	(331,308)	19,584	358,009	(318,286)	39,723
Motor	2,417,469	(39,468)	2,378,001	2,428,293	(4,272)	2,424,021
Marine	278,342	(269,462)	8,880	82,742	(63,031)	19,711
Miscellaneous	1,713,690	(102,983)	1,610,707	1,348,722	(71,226)	1,277,496
Net non-life insurance claims	4,760,393	(743,221)	4,017,172	4,217,766	(456,815)	3,760,951
Total net insurance benefits and claims paid	9,619,267	(1,251,599)	8,367,668	7,608,979	(852,924)	6,756,055

18 OTHER EXPENSES
ACCOUNTING POLICY

Other operating expenses are recognised in the income statement on the basis of a direct association between the cost incurred and the earning of specific items of income. All expenditure incurred in the running of the business and maintaining the property, plant and equipment in a

state of efficiency has been charged to the income statement in arriving at the profit for the year. Provisions in respect of other expenses are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources

embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

For the year ended 31st December	Bank		Group	
	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000
Advertising and related expenses	378,778	421,960	772,927	677,636
Auditors' remuneration [Note 18 (a)]	35,265	33,622	63,415	47,136
Business promotion and product expenses	939,893	874,457	2,426,280	874,457
Crop insurance levy	494,993	218,266	529,360	228,322
Deposit insurance premium	1,803,933	1,593,025	1,803,933	1,593,025
Depreciation and amortisation [Note 18 (b)]	3,121,333	3,028,654	3,937,964	3,830,974
Direct operating expenses on investment property	-	170	46,100	58,765
Directors' emoluments - Board related fees only	72,411	57,167	135,748	103,355
Donations	145,008	14,331	146,301	15,035
Legal expenses and professional fees	561,813	431,024	672,728	499,512
Office administration and establishment expenses	14,395,597	11,515,864	19,158,974	15,024,638
Operational risk event losses	128,497	146,595	128,497	146,595
Other overhead expenses	3,301,087	2,680,122	3,820,872	4,386,361
	25,378,608	21,015,257	33,643,099	27,485,811

NOTES TO THE FINANCIAL STATEMENTS

18 OTHER EXPENSES (Contd.)

18 (a) Auditors' Remuneration

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Audit fees and expenses	23,200	23,789	40,338	36,506
Audit related fee and expenses	3,365	3,593	7,539	4,165
Non-audit expenses	8,700	6,240	15,538	6,465
	35,265	33,622	63,415	47,136

18 (b) Depreciation and amortisation expenses

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Depreciation of investment property (Note 36)	5,335	5,335	31,592	46,031
Depreciation of property, plant and equipment (Note 37)	1,727,192	1,579,932	2,460,229	2,212,880
Amortisation of right-of-use assets (Note 38)	823,844	848,063	777,632	891,471
Amortisation of intangible assets (Note 39)	564,962	595,324	668,511	680,592
	3,121,333	3,028,654	3,937,964	3,830,974

19 TAXES ON FINANCIAL SERVICES

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Value Added Tax on financial services	16,455,471	18,031,837	17,956,920	18,565,989
Social Security Contribution Levy	668,651	2,502,209	811,043	2,581,946
	17,124,122	20,534,046	18,767,963	21,147,935

(a) Value Added Tax (VAT) on Financial Services

The base of the calculation of Value Added Tax (VAT) on financial services is the value addition attributable to financial services which includes operating profit before VAT on financial services adjusted for emoluments of employees and economic depreciation.

VAT rate applied during 2025 was 18%.

(b) Social Security Contribution Levy (SSCL)

Social Security Contribution Levy came into effect from 1st October 2022. The base of the calculation of Social Security Contribution Levy is the value addition attributable to financial services which includes operating profit before taxes on financial services adjusted for emoluments of employees and economic depreciation. SSCL rate applied during 2025 was 2.5%. (2024 : 2.5%)

As per the amendments to the Social Security Contribution Levy Act, No. 25 of 2022, Financial services of any person who carries on the business of providing financial services in Sri Lanka and liable to Value Added Tax under Chapter IIIA of the Value Added Tax Act, No. 14 of 2002 on supply of such financial services at the rate of 20.5% is exempted from SSCL with effect from formal amendments to the Value Added Tax Act, No. 14 of 2002.

20 SHARE OF PROFIT OF EQUITY ACCOUNTED INVESTEEES (NET OF INCOME TAX)

ACCOUNTING POLICY

The policy adopted in accounting for equity accounted investees is given in Note 34 to the financial statements.

The aggregate of the Group's share of profit or loss of the equity accounted investees is shown on the face of the income statement outside operating profit

and represents Group's share of profit or loss after tax and non-controlling interests in the subsidiaries of the equity accounted investees.

For the year ended 31st December	Group	
	2025 Rs 000	2024 Rs 000
Share of profit of equity accounted investees before income tax	836,716	1,868,901
Income tax on share of operating results of equity accounted investees [(charge)/reversal]	(39,013)	(490,975)
Share of profit of equity accounted investees (net of income tax) [Note 34 (b)]	797,703	1,377,926

21 INCOME TAX EXPENSE

ACCOUNTING POLICY

Income tax expense comprises of current and deferred tax. Income tax expense is recognised in the income statement, except to the extent it relates to items recognised directly in Other Comprehensive Income (OCI), in which case it is recognised in OCI. The Group applied IFRIC 23 "Uncertainty Over Income Tax Treatment" (IFRIC 23) in determination of taxable profit, tax bases, unused tax losses, unused tax credits and tax rates when there is uncertainty over the income tax treatment. However, the application of IFRIC 23 did not have any significant impact on the financial statements of the Group to provide additional disclosures in the financial statements.

Current Tax

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the taxation authorities in respect of current year as well as any adjustment to the tax payable or receivable in respect of previous years. The tax rates and tax laws used to

compute the amount of current tax assets and liabilities are those that are enacted or substantively enacted on the reporting date.

Current income tax relating to items recognised directly in equity, is recognised in equity and not in the income statement. Management periodically evaluates positions taken in the tax returns, with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

Management has used its judgement on the application of tax law including transfer pricing regulations involving identification of associated undertaking, estimation of respective arm's length prices and selection of appropriate pricing mechanism.

Deferred Tax

Deferred tax is recognised in respect of temporary differences at the reporting date between the tax base of assets and

liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities

Deferred tax liabilities are recognised for all taxable temporary differences, except:

- When the deferred tax liability arises from the initial recognition of goodwill or an asset or liability in a transaction that is not a business combination and at the time of the transaction, affects neither the accounting profit nor taxable profit or loss
- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, when the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

NOTES TO THE FINANCIAL STATEMENTS

21 INCOME TAX EXPENSE (Contd.)

Deferred tax assets

Deferred tax assets are recognised for all deductible temporary differences, carry forward of unused tax credits and unused tax losses (if any), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and the unused tax credits and unused tax losses carried forward can be utilised except;

- When the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction, that is not a business combination and at the time of the transaction, affects neither the accounting profit nor taxable profit or loss
- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax asset is reviewed at each reporting date, and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are re-assessed at each reporting date and

are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates, that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax relating to items recognised directly in equity are also recognised in equity, through other comprehensive income and not in the income statement.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

As of 31st December 2025, the total deferred tax assets recognised for lease liabilities amounted to Rs 2,586 Mn (2024: Rs 1,783 Mn), and the total deferred tax liabilities recognised for right-of-use assets were Rs 2,619 Mn (2024: Rs 1,352 Mn).

Accordingly, provision for taxation is made on the accounting profit for the year as adjusted for taxation purposes in accordance with the provisions of the applicable Inland Revenue Act. In estimating the provision for taxation, the Group had applied the provisions of

Inland Revenue Act No. 24 of 2017 and the subsequent amendments thereto.

ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The Group is subject to income tax and judgement is required to determine the total provision for current, deferred and other taxes due to the uncertainties that exist with respect to interpretation of the applicability of tax laws, at the time of preparation of these financial statements.

Uncertainties also exist with respect to the interpretation of complex tax regulations and the amount and timing of future taxable income. Given the wide range of business relationships and the long term nature and complexity of existing contractual agreements, differences arising between the actual results and the assumptions made, or future changes to such assumptions, could necessitate future adjustments to tax income and expense amounts that were initially recorded and deferred tax amounts in the period in which the determination is made. The Group has evaluated these uncertainties in terms of IFRIC 23 "Uncertainty Over Income Tax Treatment".

The deferred tax liabilities/assets are disclosed under Note 40 to the financial statements.

21 (a) Income Tax Expense

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Current tax expense [Note 21 (b)]	23,498,015	10,588,988	26,941,088	11,929,522
Deferred tax expense [Note 21 (c)]	2,567,164	27,889,976	2,731,542	27,330,288
	26,065,179	38,478,964	29,672,630	39,259,810
Effective tax rate	36.46%	48.21%	37.33%	46.68%
Effective tax rate (excluding deferred tax)	32.87%	13.27%	33.89%	14.19%

21 (b) Current Income Tax Expense

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Current tax on profit for the year [Note 21 (b) (i)]	23,498,015	10,588,988	26,929,443	11,884,004
Under/(over) provision in previous years	-	-	11,645	45,518
	23,498,015	10,588,988	26,941,088	11,929,522

21 (b) (i) Treatment of impairment charges

As per Part I : Sec. (I) of the Gazette notification issued on 25th October 2022 under sub section (2) and (3) of section 66 of the Inland revenue Act, No. 24 of 2017, the impairment charges of Stage 3 credit facilities classified as per Sri Lanka Accounting Standards (SLFRS 9) have been considered as an allowable deduction (after adjusting for specifications given under section 1 of schedule 1 of the said Gazette notification).

21 (c) Deferred Tax Expense

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Deferred Tax Liability [Note 40(a)]				
Origination / (reversal) of temporary difference during the year	373,316	(176,745)	485,043	(395,882)
	373,316	(176,745)	485,043	(395,882)
Deferred Tax Asset [Note 40(b)]				
Reversal / (origination) of temporary difference during the year - Sri Lanka International Sovereign Bonds and PDI Bonds	-	27,014,458	-	27,014,458
Reversal / (origination) of temporary difference during the year - Others	2,193,848	1,052,263	2,246,499	711,712
	2,567,164	27,889,976	2,731,542	27,330,288

Deferred tax asset has been recognised on all temporary differences arising on impairment provisions after adjustments been made in respect of impairment charges pertaining to stage 3 credit facilities, based on the specifications given in section 1 of schedule (1) of the Gazette notification issued on 25th October 2022 under Inland Revenue Act No 24 of 2017.

The Bank has made substantial provisions against Sri Lanka International Sovereign Bonds (SLISB) during the previous years (Note 32 (d)). Accordingly, a deferred tax asset has been recognised against the said provision. With the conclusion of the SLISB debt restructuring in December 2024, the said impairment provisions previously recognised were reversed to the income statement and an expected credit loss provision was recognised for PDI bonds. Accordingly, the net deferred tax asset recognised by the Bank against such provisions have been reversed to the income statement during 2024.

NOTES TO THE FINANCIAL STATEMENTS

21 INCOME TAX EXPENSE (Contd.)

21 (d) Current Tax on Profit for the year - Subsidiaries

For the year ended 31st December	Group	
	2025 Rs 000	2024 Rs 000
Sithma Development (Pvt)Ltd	251,461	238,721
HNB Assurance PLC	996,460	834,635
HNB Finance PLC	1,006,779	267,178
HNB Investment Bank (Pvt) Ltd	1,188,372	-
	3,443,072	1,340,534

21 (e) Applicable Tax Rates

The tax rate applicable for the Bank and Group is disclosed below.

Company	Tax rate
Hatton National Bank PLC	30%
HNB Assurance PLC and its subsidiary HNB General Insurance Limited	30%
HNB Finance PLC	30%
Sithma Development (Pvt) Ltd	30%
HNB investment Bank (Pvt) Ltd	30%

21 (f) Reconciliation of Effective Tax Rate

For the year ended 31st December	Bank				Group			
	2025		2024		2025		2024	
	%	Rs 000	%	Rs 000	%	Rs 000	%	Rs 000
Profit before income tax		71,492,026		79,820,757		79,485,795		84,099,442
Tax using the statutory tax rate	30.00	21,158,534	30.00	23,946,227	30.00	23,556,665	30.14	25,343,588
Tax using the statutory tax rate	15.00	289,074	21.03	16,789,249	15.00	289,074	20.91	17,581,530
Disallowable expenses	10.85	7,759,186	21.03	16,789,249	11.84	9,412,531	20.91	17,581,530
Tax effects on:								
Allowable expenses	(0.83)	(591,866)	(0.62)	(493,125)	(1.32)	(1,046,543)	(0.63)	(525,873)
Tax exempt income	(3.57)	(2,549,749)	(2.21)	(1,763,387)	(3.48)	(2,764,567)	(2.99)	(2,518,674)
Effect of change in tax rate	-	-	-	-	-	-	-	-
(Recognition)/utilised of tax losses during the year	-	-	-	-	0.31	244,520	(0.73)	(610,883)
Undistributable profits of subsidiaries	-	-	-	-	(0.04)	(30,688)	(0.07)	(55,396)
	36.46	26,065,179	48.21	38,478,964	37.32	29,660,985	46.63	39,214,292
Over provision in previous years	-	-	-	-	0.01	11,645	0.05	45,518
Income tax expense [Note 21 (a)]	36.46	26,065,179	48.21	38,478,964	37.33	29,672,630	46.68	39,259,810

21 (g) Tax Expenses Relating to Items Recognised in Other Comprehensive Income

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Remeasurement of post-employment benefit obligations	-	-	(17,578)	12,897
Revaluation of freehold land and buildings	-	(1,419,916)	(30,516)	(1,645,774)
Net losses on investments in government securities	57,672	(1,240,887)	59,686	(1,241,243)
	57,672	(2,660,803)	11,592	(2,874,120)

21 (h) Tax Losses Recognised during the Year

Group	2025 Rs 000	2024 Rs 000
Balance as at 1st January	2,036,277	-
Addition from acquisition of subsidiary	104,709	-
Tax losses recognised during the year	-	2,036,277
Tax losses utilised during the year	(815,044)	-
Balance as at 31st December	1,325,942	2,036,277

22 EARNINGS PER SHARE

ACCOUNTING POLICY

The Bank/Group presents basic and diluted Earnings per Share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss for the year attributable to ordinary shareholders of the Bank and Group by the weighted

average number of ordinary shares outstanding during the year. Diluted EPS is determined by adjusting the profit or loss attributable to the ordinary shareholders and the weighted average number of ordinary shares outstanding

for the effects of all dilutive potential ordinary shares, which comprise share options granted to employees as per Sri Lanka Accounting Standard - LKAS 33 on "Earnings per Share".

22 (a) Basic Earnings per Share

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Amount used as the numerator				
Profit attributable to equity holders of the Bank (Rs 000)	45,426,847	41,341,793	47,592,855	43,538,931
Number of ordinary shares used as the denominator				
Weighted average number of ordinary shares outstanding during the year used as the denominator				
for basic EPS ('000) [Note 22 (c)]	571,821	571,821	571,821	571,821
Basic earnings per ordinary share (Rs)	79.44	72.30	83.23	76.14

NOTES TO THE FINANCIAL STATEMENTS

22 EARNINGS PER SHARE (Contd.)

22 (b) Diluted Earnings per Share

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Amount used as the numerator				
Profit attributable to equity holders of the Bank (Rs 000)	45,426,847	41,341,793	47,592,855	43,538,931
Number of ordinary shares used as the denominator				
Weighted average number of ordinary shares outstanding during the year used as the denominator				
for diluted EPS ('000) [Note 22 (c)]	571,821	571,821	571,821	571,821
Diluted earnings per ordinary share (Rs)	79.44	72.30	83.23	76.14

22 (c) Weighted Average Number of Ordinary Shares Outstanding During the Year, Used as the Denominator for Basic and Diluted Earnings Per Share

	Bank/Group	
	2025	2024
Number of shares in issue as at 1st January	571,821,196	559,738,387
Number of shares satisfied in the form of issue and allotment of new shares for final dividend 2023	-	12,082,809
Weighted average number of ordinary shares as at 31st December	571,821,196	571,821,196

23 DIVIDENDS PAID AND PROPOSED

For the year ended 31st December	2025			2024		
	Gross Dividend Rs 000	Dividend Tax Rs 000	Net Dividend Rs 000	Gross Dividend Rs 000	Dividend Tax Rs 000	Net Dividend Rs 000
Rs 4.00 cash dividend per share declared for 2023 and paid in 2024	-	-	-	2,238,954	257,777	1,981,177
Rs 4.00 scrip dividend per share declared for 2023 and paid in 2024	-	-	-	2,238,954	335,843	1,903,111
Rs 15.00 cash dividend per share declared for 2024 and paid in 2025	8,577,318	1,095,287	7,482,031	-	-	-

23 (a) Proposed Dividends

The Directors recommend that a final dividend of Rs 20.00 (Rs 15.00 in the form of cash dividend per share and Rs 5.00 in the form of scrip dividend) per share (2024: Rs 15.00 cash dividend per share) on both voting and non-voting shares of the Bank, be paid for the financial year ended 31st December 2025.

The final dividend is to be approved at the Annual General Meeting to

be held on 31st March 2026. In accordance with Sri Lanka Accounting Standard – LKAS 10 on “Events after the reporting period”, this final dividend has not been recognised as a liability as at 31st December 2025. Final dividend proposed amounts to Rs 11,436 Mn (2024 final dividend : Rs 8,577 Mn).

The proposed dividend includes withholding tax payable to the Inland Revenue Department amounting to Rs. 1,513 Mn.

23 (b) Compliance with Sections 56 and 57 of Companies Act No. 07 of 2007

As required by the Section 56 of the Companies Act No. 07 of 2007, the Board of Directors of the Bank satisfied the solvency test in accordance with the Section 57, prior to recommending the final dividend.

24 ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

The accounting policies adopted in measurement of financial instruments are given in Notes 3.3, 3.4 to the financial statements.

The carrying amounts of financial instruments by category as defined in Sri Lanka Accounting Standard - SLFRS 9 "Financial Instruments" under headings of the statement of financial position are summarised below.

24 (a) Analysis of Financial Instruments by Measurement Basis - Bank

	As at 31st December 2025				As at 31st December 2024			
	Fair Value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total Carrying Amount	Fair Value through Profit or Loss	Amortised Cost	Fair Value through Other Comprehensive Income	Total Carrying Amount
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Assets								
Cash and cash equivalents	-	55,375,004	-	55,375,004	-	63,356,259	-	63,356,259
Placements with banks	-	27,317,501	-	27,317,501	-	41,858,517	-	41,858,517
Balances with Central Bank of Sri Lanka	-	37,288,440	-	37,288,440	-	6,913,009	-	6,913,009
Reverse repurchase agreements	-	22,319,688	-	22,319,688	-	-	-	-
Derivative financial instruments	1,976,631	-	-	1,976,631	375,060	-	-	375,060
Financial assets measured at fair value through profit or loss	1,237,231	-	-	1,237,231	1,835,469	-	-	1,835,469
Financial assets measured at amortised cost - loans and advances to customers	-	1,433,237,237	-	1,433,237,237	-	1,063,675,345	-	1,063,675,345
Financial assets measured at amortised cost - debt and other instruments	-	650,618,623	-	650,618,623	-	741,761,201	-	741,761,201
Financial assets measured at fair value through other comprehensive income	-	-	94,855,469	94,855,469	-	-	96,309,470	96,309,470
Other financial assets	-	634,327	-	634,327	-	4,746,539	-	4,746,539
Total financial assets	3,213,862	2,226,790,820	94,855,469	2,324,860,151	2,210,529	1,922,310,870	96,309,470	2,020,830,869
Liabilities								
Due to banks	-	11,343,172	-	11,343,172	-	6,595,571	-	6,595,571
Derivative financial instruments	300,191	-	-	300,191	1,573,417	-	-	1,573,417
Securities sold under repurchase agreements	-	28,197,135	-	28,197,135	-	26,486,104	-	26,486,104
Financial liabilities measured at amortised cost - due to depositors	-	1,961,851,197	-	1,961,851,197	-	1,715,484,127	-	1,715,484,127
Financial liabilities measured at amortised cost - other borrowings	-	15,511,110	-	15,511,110	-	19,740,135	-	19,740,135
Debt securities issued	-	10,044,766	-	10,044,766	-	-	-	-
Other financial liabilities	-	7,629	-	7,629	-	10,466	-	10,466
Subordinated term debts	-	28,179,053	-	28,179,053	-	28,174,227	-	28,174,227
Total financial liabilities	300,191	2,055,134,062	-	2,055,434,253	1,573,417	1,796,490,630	-	1,798,064,047

NOTES TO THE FINANCIAL STATEMENTS

24 ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS (Contd.)

24 (b) Analysis of Financial Instruments by Measurement Basis - Group

	As at 31st December 2025				As at 31st December 2024			
	Fair Value	Amortised	Fair Value	Total	Fair Value	Amortised	Fair Value	Total
	through	Cost	through Other	Carrying	through	Cost	through Other	Carrying
	Profit or Loss		Comprehensive	Amount	Profit or Loss		Comprehensive	Amount
			Income				Income	
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Assets								
Cash and cash equivalents	-	56,743,380	-	56,743,380	-	64,065,041	-	64,065,041
Placements with banks	-	42,282,404	-	42,282,404	-	48,656,010	-	48,656,010
Balances with Central Bank of Sri Lanka	-	37,288,716	-	37,288,716	-	6,913,009	-	6,913,009
Reverse repurchase agreements	-	25,046,586	-	25,046,586	-	5,280,692	-	5,280,692
Derivative financial instruments	1,976,631	-	-	1,976,631	375,060	-	-	375,060
Financial assets measured at fair value through profit or loss	72,322,060	-	-	72,322,060	2,962,612	-	-	2,962,612
Financial assets measured at amortised cost-loans and advances to customers	-	1,505,587,603	-	1,505,587,603	-	1,104,013,319	-	1,104,013,319
Financial assets measured at amortised cost-debt and other instruments	-	684,366,194	-	684,366,194	-	770,020,546	-	770,020,546
Financial assets measured at fair value through Other comprehensive income	-	-	115,172,024	115,172,024	-	-	112,407,299	112,407,299
Other financial assets	-	7,341,373	-	7,341,373	-	8,414,670	-	8,414,670
Total financial assets	74,298,691	2,358,656,256	115,172,024	2,548,126,971	3,337,672	2,007,363,287	112,407,299	2,123,108,258
Liabilities								
Due to banks	-	11,343,172	-	11,343,172	-	6,595,571	-	6,595,571
Derivative financial instruments	300,191	-	-	300,191	1,573,417	-	-	1,573,417
Securities sold under repurchase agreements	-	81,505,432	-	81,505,432	-	26,486,104	-	26,486,104
Financial liabilities measured at amortised cost - due to depositors	-	2,017,732,197	-	2,017,732,197	-	1,750,259,233	-	1,750,259,233
Financial liabilities measured at amortised cost - other borrowings	-	27,213,296	-	27,213,296	-	19,742,152	-	19,742,152
Debt securities issued	-	9,986,711	-	9,986,711	-	448,108	-	448,108
Other financial liabilities	-	9,585,626	-	9,585,626	-	4,190,120	-	4,190,120
Subordinated term debts	-	32,156,082	-	32,156,082	-	29,967,185	-	29,967,185
Total financial liabilities	300,191	2,189,522,516	-	2,189,822,707	1,573,417	1,837,688,473	-	1,839,261,890

25 CASH AND CASH EQUIVALENTS

ACCOUNTING POLICY

Cash and cash equivalents include cash in hand and balances with banks. These are subject to an insignificant risk of changes in fair value and are used by the Group

in the management of its short term commitments. These are brought to the financial statements at the face values or gross values where appropriate. Cash and

cash equivalents are carried at amortised cost in the statement of financial position.

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Local currency in hand	49,972,953	49,903,638	50,556,793	50,328,173
Foreign currency in hand	1,634,414	1,427,191	1,634,414	1,427,191
Balances with banks *	3,778,954	12,053,665	4,563,490	12,337,937
	55,386,321	63,384,494	56,754,697	64,093,301
Less : Allowance for impairment losses [Note 25 (a)]	11,317	28,235	11,317	28,260
	55,375,004	63,356,259	56,743,380	64,065,041

All cash and cash equivalent balances held by the group entities were available for use by the Group.

* Bank balances classified as cash and cash equivalents comprise funds held with licensed Banks that are readily available for use and expected to be utilised within three months

25 (a) Movement in Impairment during the year

	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Stage 1				
Balance as at 1st January	28,235	216,627	28,260	216,652
Net impairment charge / (reversal) during the year [Note 15]	(16,918)	(188,392)	(16,943)	(188,392)
Balance as at 31st December	11,317	28,235	11,317	28,260

25 (b) Credit and Market risk

Information about the Group's credit and market risks for financial assets are included in Note 5 to the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

26 PLACEMENTS WITH BANKS

ACCOUNTING POLICY

Placements with banks include money at call and short notice that are subject to an insignificant risk of change in the fair value, and are used by the Group

in the management of its short term commitments. These are brought to the financial statements at the face values or gross values where appropriate.

Placements with banks are carried at amortised cost in the statement of financial position.

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Placements - within Sri Lanka	14,380,748	883,400	29,346,084	7,682,588
Placements - outside Sri Lanka	12,940,510	40,993,389	12,940,510	40,993,389
	27,321,258	41,876,789	42,286,594	48,675,977
Less : Allowance for impairment losses [Note 26 (a)]	3,757	18,272	4,190	19,967
	27,317,501	41,858,517	42,282,404	48,656,010

26 (a) Movement in Impairment during the year

	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Stage 1				
Balance as at 1st January	18,272	33,700	19,967	35,073
Net impairment charge / (reversal) during the year [Note 15]	(14,515)	(15,428)	(15,777)	(15,106)
Balance as at 31st December	3,757	18,272	4,190	19,967

26 (b) Credit and Market risk

Information about the Group's credit and market risks for financial assets are included in Note 5 to the financial statements.

27 BALANCES WITH CENTRAL BANK OF SRI LANKA

Balances with Central Bank of Sri Lanka represent both Statutory cash balance and Standing deposit facility. Statutory cash balance is required to be maintained as per the provisions of Section 93 of the Monetary Law Act. The minimum cash reserve requirement on rupee deposit liabilities was 2% as at 31st December 2025 (2024 : 2%).

There is no reserve requirement for foreign currency deposit liabilities.

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Statutory balance with Central Bank of Sri Lanka	18,014,602	6,913,009	18,014,602	6,913,009
Standing deposit facility with Central Bank of Sri Lanka	19,273,838	-	19,274,114	-
	37,288,440	6,913,009	37,288,716	6,913,009

28 REVERSE REPURCHASE AGREEMENTS ACCOUNTING POLICY

Securities purchased under agreements to resell at a specified future date are not recognised in the statement of financial position. The consideration paid, including accrued interest, is recorded

in the statement of financial position, within "reverse repurchase agreements", reflecting the transaction's economic substance as a loan by the Group. The difference between the purchase and

resale prices is recorded in net interest income and is accrued over the life of the agreement using the Effective Interest Rate (EIR).

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Securities purchased under reverse repurchase agreements				
with banks	22,319,688	-	22,897,816	-
with customers	-	-	2,148,770	5,280,692
	22,319,688	-	25,046,586	5,280,692

29 DERIVATIVE FINANCIAL INSTRUMENTS ACCOUNTING POLICY

The accounting policy pertaining to derivative financial instruments has been given in Note 3.3 and 3.4 to the financial statements.

A derivative is a financial instrument or other contract with all three of the following characteristics:

- Its value changes in response to the change in a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates, credit rating or credit index, or other variable, provided that, in the case of a non-financial variable, it is not specific to a party to the contract (i.e. the 'underlying').
- It requires no initial net investment or an initial net investment that is smaller than would be required for other types

of contracts expected to have a similar response to changes in market factors.

- It is settled at a future date.

The Bank uses derivatives such as forward foreign exchange contracts and currency swaps. Bank has not designated any derivative as a hedging instrument and has not followed hedge accounting as at the reporting date. All derivatives are initially recognised and subsequently measured at fair value, with revaluation gains or losses recognised in the income statement under "Net gain/(loss) from trading" (Note 10). Derivatives are recorded at fair value and carried as assets when their fair value is positive and as liabilities when their fair value is negative. Fair value is determined using the forward market rates ruling on the reporting date.

ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

Judgement is required when the Bank/ Group selects the valuation techniques used to determine the fair value of derivatives, particularly the selection of valuation inputs that are not readily observable, and the application of valuation adjustments to certain derivatives.

The table below shows the fair values of derivative financial instruments, recorded as assets or liabilities.

NOTES TO THE FINANCIAL STATEMENTS

29 DERIVATIVE FINANCIAL INSTRUMENTS (Contd.)

As at 31st December	Bank/Group			
	2025		2024	
	Assets Rs 000	Liabilities Rs 000	Assets Rs 000	Liabilities Rs 000
Currency swaps				
Sales	60,397	3,149	452	5,025
Purchases	1,618,849	31,630	199,813	1,348,606
	1,679,246	34,779	200,265	1,353,631
Forward foreign exchange contracts				
Sales	103,085	237,964	113,966	129,579
Purchases	194,300	27,448	60,829	90,207
	297,385	265,412	174,795	219,786
	1,976,631	300,191	375,060	1,573,417

30 FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS

ACCOUNTING POLICY

The accounting policy pertaining to financial assets measured at fair value through profit or loss has been given in Note 3.3 and 3.4 to the financial statements.

A financial asset is classified as measured at fair value through profit or loss if it is held for trading or is designated at fair value through profit or loss.

Financial assets held for trading

The Group classifies financial assets as held for trading in the following circumstances.

- Those have been purchased or acquired primarily for short-term profit making through trading activities; or
- Those form part of a portfolio of financial instruments that are managed together, for which there is evidence of a recent pattern of short-term profit taking

Financial assets held for trading are measured and recorded at fair value in the statement of financial position. Changes in fair value are recognised in "net gain/(loss) from trading" (Note 10). Interest income from financial assets held for trading is recorded in "Interest income" (Note 8) and dividend income is recorded in "net gain/(loss) from trading" (Note 10) according to the terms of the contract, or when the right to receive the payment has been established.

Financial assets held for trading include instruments such as government securities, equity instruments etc. that have been acquired principally for the purpose of selling or repurchasing in the near term.

Further as per SLFRS 9, financial assets measured at fair value through profit or loss include all financial assets other than those classified as fair value through other

comprehensive income and financial assets measured at amortised cost.

Financial assets designated at fair value through profit or loss

The Group has not designated any financial asset at fair value through profit or loss

ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

Judgement is required when applying the valuation techniques used to determine the fair value of trading securities not valued using quoted market prices.

As at 31st December	2025 Fair Value Rs 000	2024 Fair Value Rs 000
Quoted shares - Bank [Note 30 (a)]	200,001	158,099
Government of Sri Lanka treasury bills - Bank [Note 30 (b)]	7,384	797
Government of Sri Lanka treasury bonds - Bank [Note 30 (c)]	1,029,846	1,676,573
Total financial assets measured at fair value through profit or loss - Bank	1,237,231	1,835,469
Government of Sri Lanka treasury bills - Subsidiaries [Note 30 (d)]	10,181,427	-
Government of Sri Lanka treasury bonds - Subsidiaries [Note 30 (e)]	59,588,433	-
Quoted shares - Subsidiaries [Note 30 (f)]	805,603	834,128
Unquoted units in unit trusts - Subsidiaries [Note 30 (g)]	509,366	293,015
Total financial assets measured at fair value through profit or loss - Subsidiaries	71,084,829	1,127,143
Total financial assets measured at fair value through profit or loss - Group	72,322,060	2,962,612

30 (a) Quoted Shares Held by the Bank

As at 31st December	2025				2024			
	No of Ordinary Shares	Cost of Investment Rs 000	% of Total	Fair Value Rs 000	No of Ordinary Shares	Cost of Investment Rs 000	% of Total	Fair Value Rs 000
Banks, Finance and Insurance								
Ceylinco Insurance PLC	34,000	23,035	18	61,081	34,000	23,035	18	46,725
National Development Bank PLC	53,841	10,904	8	7,605	52,651	10,904	8	5,963
Sector Total		33,939		68,686		33,939		52,688
Construction and Engineering								
Access Engineering PLC	175	6	-	13	175	6	-	6
Sector Total		6		13		6		6
Diversified Holdings								
Aitken Spence PLC	278,515	30,625	24	43,518	278,515	30,625	24	40,385
Sector Total		30,625		43,518		30,625		40,385
Hotels and Travels								
Aitken Spence Hotel Holdings PLC	575,301	45,998	36	65,153	575,301	45,998	36	48,728
Asian Hotels and Properties PLC	207,476	14,918	12	12,449	207,476	14,918	12	13,175
Sector Total		60,916		77,602		60,916		61,903
Transportation								
United Motors Lanka PLC	33,385	3,522	3	10,182	33,385	3,522	3	3,117
Sector Total		3,522		10,182		3,522		3,117
		129,008		200,001		129,008		158,099
Unrealised gain/(loss) from marked to market valuation		70,993				29,091		
Total quoted shares - Bank		200,001		200,001		158,099		158,099

NOTES TO THE FINANCIAL STATEMENTS

30 FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS (Contd.)

30 (b) Government of Sri Lanka Treasury Bills Held by the Bank

As at 31st December	2025		2024	
	Cost of Investment	Fair Value	Cost of Investment	Fair Value
	Rs 000	Rs 000	Rs 000	Rs 000
Government of Sri Lanka treasury bills - Bank	7,415	7,384	797	797
Unrealised gain/(loss) from marked to market valuation	(31)		-	
Total Government of Sri Lanka treasury bills - Bank	7,384	7,384	797	797

30 (c) Government of Sri Lanka Treasury Bonds Held by the Bank

As at 31st December	2025		2024	
	Cost of Investment	Fair Value	Cost of Investment	Fair Value
	Rs 000	Rs 000	Rs 000	Rs 000
Government of Sri Lanka treasury bonds - Bank	1,030,183	1,029,846	1,669,182	1,676,573
Unrealised gain/(loss) from marked to market valuation	(337)		7,391	-
Total Government of Sri Lanka treasury bonds - Bank	1,029,846	1,029,846	1,676,573	1,676,573

30 (d) Government of Sri Lanka Treasury Bills Held by the Subsidiaries

As at 31st December	2025		2024	
	Cost of Investment	Fair Value	Cost of Investment	Fair Value
	Rs 000	Rs 000	Rs 000	Rs 000
Government of Sri Lanka treasury bills - Subsidiaries	10,166,649	10,181,427	-	-
Unrealised gain/(loss) from marked to market valuation	14,778		-	
Total Government of Sri Lanka treasury bills - Bank	10,181,427	10,181,427	-	-

30 (e) Government of Sri Lanka Treasury Bonds Held by the Subsidiaries

As at 31st December	2025		2024	
	Cost of Investment	Fair Value	Cost of Investment	Fair Value
	Rs 000	Rs 000	Rs 000	Rs 000
Government of Sri Lanka treasury bonds - Subsidiaries	58,236,563	59,588,433	-	-
Unrealised gain/(loss) from marked to market valuation	1,351,870		-	
Total Government of Sri Lanka treasury bonds - Bank	59,588,433	59,588,433	-	-

30 (f) Quoted shares Held by Subsidiaries

As at 31st December	2025				2024			
	No of	Cost of	% of	Fair	No of	Cost of	% of	Fair
	Ordinary Shares	Investment Rs 000	Total	Value Rs 000	Ordinary Shares	Investment Rs 000	Total	Value Rs 000
Banks, Finance and Insurance								
Central Finance Company PLC	-	-	-	-	785,000	57,120	10	70,258
Nations Trust Bank PLC	295,136	87,707	11	92,378	551,622	66,762	12	102,877
Peoples Leasing & Finance PLC	-	-	-	-	649,094	10,374	2	11,035
Sampath Bank PLC	264,000	38,922	5	38,676	1,231,295	90,552	17	145,600
Seylan Bank PLC - (Non-Voting)	-	-	-	-	1,532,963	59,792	11	87,379
Commercial Bank of Ceylon PLC	369,000	75,392	10	74,077	266,130	24,709	5	38,522
National Development Bank PLC	-	-	-	-	518,182	36,730	7	58,684
LB Finance PLC	191,000	30,462	4	29,653	142,285	17,090	3	27,034
Sector Total		232,483		234,784		363,129		541,389
Beverage Food and Tobacco								
Sunshine Holdings PLC	895,554	30,086	4	31,434	467,400	29,954	5	46,740
Ceylon Tobacco Company PLC	16,250	27,300	3	28,039	-	-	-	-
Sector Total		57,386		59,473		29,954		46,740
Diversified Holdings								
Hemas Holdings PLC	1,065,000	37,266	5	36,956	1,284,537	107,360	20	132,628
John Keells Holdings PLC	1,165,000	25,187	3	25,281	29,670	3,679	1	6,705
Hayleys PLC	152,141	29,009	4	29,782	-	-	-	-
Melstacorp PLC	-	-	-	-	94,532	5,603	1	11,627
Sector Total		91,462		92,019		116,642		150,960
Construction and Engineering								
Access Engineering PLC	957,500	59,593	8	70,185	-	-	-	-
Sector Total		59,593		70,185		-		-
Hotels and Travels								
Aitken Spence Hotel Holdings PLC	390,500	46,665	6	44,224	-	-	-	-
Sector Total		46,665		44,224		-		-
Land and Property								
Overseas Realty (Ceylon) PLC	-	-	-	-	486,679	12,453	2	11,924
Sector Total		-		-		12,453		11,924
Manufacturing								
ACL Cables PLC	430,266	31,114	4	38,638	197,125	3,601	1	23,360
Haycarb PLC	367,500	40,724	5	39,231	-	-	-	-
Hayleys Fabric PLC	651,728	27,488	3	26,525	-	-	-	-
PGP Glass Ceylon PLC	389,999	22,511	3	21,411	-	-	-	-
JAT Holdings PLC	553,500	26,175	3	26,679	-	-	-	-
Royal Ceramic Lanka PLC	-	-	-	-	680,000	9,172	2	29,580
Tokyo Cement Company (Lanka) PLC	-	-	-	-	431,057	12,824	2	30,175
Sector Total		148,012		152,484		25,597		83,115

NOTES TO THE FINANCIAL STATEMENTS

30 FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH PROFIT OR LOSS (Contd.)

As at 31st December	2025				2024			
	No of Ordinary Shares	Cost of Investment Rs 000	% of Total	Fair Value Rs 000	No of Ordinary Shares	Cost of Investment Rs 000	% of Total	Fair Value Rs 000
Transportation								
Digital Mobility Solutions Lanka PLC	676,018	100,540	13	100,892	-	-	-	-
Sector Total		100,540		100,892		-		-
Telecommunication Services								
Dialog Axiata PLC	1,225,127	36,869	5	36,509	-	-	-	-
Sector Total		36,869		36,509		-		-
Software and Services								
hSenid Business Solutions PLC	859,000	14,454	2	15,033	-	-	-	-
Sector Total		14,454		15,033		-		-
		787,464		805,603		547,775		834,128
Unrealised gain / (loss) From marked to market valuation		18,139				286,353		
Total quoted shares - Subsidiaries		805,603		805,603		834,128		834,128

30 (g) Unquoted Units in Unit Trusts Held by Subsidiaries

As at 31st December	2025			2024		
	No of Units	Cost of Investment Rs 000	Fair Value Rs 000	No of Units	Cost of Investment Rs 000	Fair Value Rs 000
Capital Alliance Investment Grade Fund	9,760,714	330,000	379,377	5,721,311	120,000	203,353
Capital Alliance Fixed Income Opportunities Fund	3,173,944	125,000	129,989	-	-	-
JB Vantage Money Market Fund	-	-	-	1,942,552	80,000	89,662
Unrealised gain from marked to market valuation		54,366			93,015	
Total quoted units - Subsidiaries		509,366	509,366		293,015	293,015

30 (h) Analysis

As at 31st December	Bank		Group	
	2025 Fair Value Rs 000	2024 Fair Value Rs 000	2025 Fair Value Rs 000	2024 Fair Value Rs 000
By currency				
Sri Lankan Rupee	1,237,231	1,835,469	72,322,060	2,962,612
	1,237,231	1,835,469	72,322,060	2,962,612

30 (i) Credit and Market risk

Information about the Group's credit and market risks for financial assets are included in Note 5 to the financial statements.

31 FINANCIAL ASSETS MEASURED AT AMORTISED COST - LOANS AND ADVANCES TO CUSTOMERS

ACCOUNTING POLICY

The accounting policy pertaining to financial assets measured at amortised cost - loans and advances to customers has been given in Note 3.3 and 3.4 to the financial statements.

Financial assets measured at amortised cost - loans and advances to customers include loans and advances and lease receivables of the Group.

As per SLFRS 9, loans and advances to customers are assets that are;

- Held within a business model with the objective to hold financial assets in order to collect contractual cash flows
- The contractual terms of the financial asset give rise on specified dates to cash flows, that are Solely Payments of Principal and Interest (SPPI) on the principal amount outstanding.

After initial measurement, loans and receivables are subsequently measured at amortised cost using the Effective Interest Rate (EIR), less allowance for impairment

except when the Group designates loans and receivables at fair value through profit or loss. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in 'interest income' in the income statement. The losses arising from impairment are recognised in 'impairment charge for loans and other losses' in the income statement. (Note 15)

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Gross loans and advances	1,513,959,514	1,159,740,459	1,592,680,455	1,206,782,185
Stage 1	1,377,888,604	1,008,830,390	1,437,885,921	1,038,573,778
Stage 2	52,705,044	46,679,337	63,938,065	54,819,049
Stage 3	83,365,866	104,230,732	90,856,469	113,389,358
Less : Accumulated impairment under:	80,722,277	96,065,114	87,092,852	102,768,866
Stage 1 [Note 31 (e)]	9,267,472	9,924,864	10,049,218	10,477,990
Stage 2 [Note 31 (e)]	7,801,917	8,383,867	8,258,516	8,897,502
Stage 3 [Note 31 (e)]	63,652,888	77,756,383	68,785,118	83,393,374
Net loans and advances	1,433,237,237	1,063,675,345	1,505,587,603	1,104,013,319

31 (a) Analysis of Loans and Advances

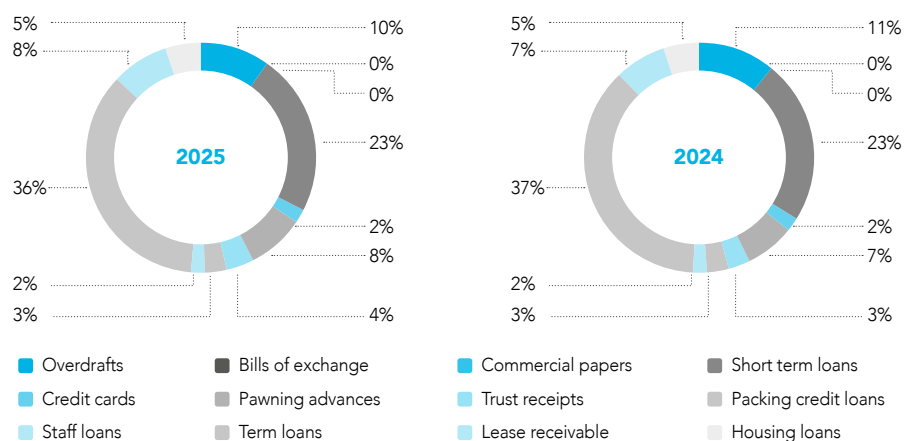
31 (a) i By Product

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Overdrafts	152,539,234	129,410,251	152,187,733	129,410,251
Bills of exchange	1,712,176	1,690,490	1,712,176	1,690,490
Commercial papers	260,136	242,634	260,136	242,634
Short term loans	353,783,144	269,530,223	353,783,144	269,570,632
Credit cards	25,873,222	20,581,153	25,873,222	20,581,153
Pawning advances	116,256,970	80,249,186	116,256,970	80,249,186
Trust receipts	54,530,464	32,448,218	54,530,464	32,448,218
Packing credit loans	38,776,309	35,320,921	38,776,309	35,320,921
Staff loans	25,181,189	20,371,999	25,474,630	20,757,747
Term loans	547,027,189	431,400,596	577,368,784	454,393,885
Lease receivable	126,279,186	81,320,812	174,716,592	104,943,092
Housing loans	71,740,295	57,173,976	71,740,295	57,173,976
Total gross loans and advances [Note 31 (a) ii]	1,513,959,514	1,159,740,459	1,592,680,455	1,206,782,185

NOTES TO THE FINANCIAL STATEMENTS

31 FINANCIAL ASSETS MEASURED AT AMORTISED COST - LOANS AND ADVANCES TO CUSTOMERS (Contd.)

Analysis of Loans and Advances - Bank



31 (a) ii By Currency

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Sri Lankan Rupees	1,276,014,314	994,638,787	1,354,735,255	1,041,680,513
United States Dollars	217,749,239	144,234,223	217,749,239	144,234,223
Great Britain Pounds	112,931	93,285	112,931	93,285
Euros	1,752,085	1,648,791	1,752,085	1,648,791
Other currencies	18,330,945	19,125,373	18,330,945	19,125,373
Total gross loans and advances [Note 31 (a) i]	1,513,959,514	1,159,740,459	1,592,680,455	1,206,782,185

31 (b) Staging Classification of Loans and Advances

As per SLFRS 9, a three stage model is adopted for impairment assessment based on changes in credit quality since initial recognition.

Stage	Classification Criteria	ECL measurement
Stage 1	Financial assets that have not undergone a significant increase in credit risk since initial recognition and are not credit impaired	12 months expected credit loss
Stage 2	Financial assets that have experienced a significant increase in credit risk since initial recognition but not credit impaired	Life time expected credit loss
Stage 3	Financial assets which are credit impaired	Life time expected credit loss with probability of default at 100%
POCI	Purchased or Originated Credit Impaired assets (POCI) are financial assets which are credit impaired on initial recognition.	These assets are categorised within stage 3 and expected credit loss is only recognised or released to the extent that there is a subsequent change in expected credit loss

31 (c) Factors considered in the Assessment of Expected Credit Losses

31 (c) i Significant Increase in Credit Risk (SICR)

The Group assesses significant increase in credit risk primarily based on whether customer's contractual payments are over 30 days past due, in line with the rebuttable presumption under SLFRS 9. Additionally, to determine if an ISL customer shows signs of significant credit risk increase, the Group considers following criteria beyond the initial assessment.

- When reasonable and supportable forecasts of future economic conditions directly affect the performance of a customer/group of customers, portfolios or instruments.
- When there is a significant change in the geographical locations or natural catastrophes that directly impact the performance of a customer/group of customers or an instrument and When the value of collateral is significantly reduced and/or realisability of collateral is doubtful.
- Frequent changes in the senior management of an institutional customer.
- Delay in the commencement of business operations/projects by more than two years from the originally agreed date.
- Modification of terms resulting in restructuring, including extensions, deferment of payments, waiver of covenants.
- A fall of 50% or more in the turnover and/or profit before tax of the customer when compared to the previous year
- Erosion in net-worth by more than 25% when compared to the previous year

Credit facilities/exposures which have one or more of the above indicators are treated as facilities with significant increase in credit risk and assessed accordingly in ECL computations. The Group regularly monitors, the

effectiveness of the criteria used to identify significant increase in credit risk to confirm that the criteria is capable of identifying significant increase in credit risk before an exposure is in default.

- Economic conditions

Bank takes into consideration the uncertainties relating to the current economic conditions in order to assess cashflow projections for future recoveries. The main factors that cause uncertainties regarding this application relate to the unstable economic environment prevailing in the country and to the resultant implications on the creditworthiness of the borrowers.

31 (c) ii Definition of Default and Credit Impaired Assets

The Group generally considers financial assets as defaulted and therefore assessed in Stage 3 (as credit-impaired) for ECL calculations when:

- The borrower is unlikely to pay its obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held); or
- The borrower becomes 90 days past due on its contractual payments.
- When a customer is subject to litigation, that significantly affects the performance of the credit facility.
- When the customer is deceased/insolvent.
- Modification of terms resulting in rescheduling, including extensions, deferment of payments, waiver of covenants.

In addition, the Group classifies the financial investments under Stage 3 when the external credit rating assigned to the particular investment is "default".

In assessing whether a borrower is in default, Group reviews its individually significant loans and advances above a predefined threshold at each reporting date. The Group considers

customers with one or more of the default indicators as credit impaired. [Further as per Guidelines to Licensed Banks on the Adoption of Sri Lanka Accounting Standard - SLFRS 9 : "Financial Instruments" issued by Central Bank of Sri Lanka, all the credit facilities/customers classified as non-performing as per Central Bank of Sri Lanka Directions are assessed as Stage 3 exposures].

31 (c) iii Modified Financial Assets

The Group sometimes makes concessions or modifications to the original terms of loans as response to the borrower's financial difficulties, rather than taking possession or to otherwise enforce collection of collateral. Such concessions or modifications are provided as a result of the borrower's present or expected financial difficulties and the Group would not have agreed to them if the borrower had been financially healthy. This may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, any impairment is measured using the original EIR as calculated before the modification of terms. De-recognition decisions and classification between Stage 2 and Stage 3 are determined on a case-by-case basis.

When the loan has been renegotiated or modified but not de-recognised, a reassessment is made whether there has been a significant increase in credit risk, as set out in Note 31 (c) to the financial statements. Accordingly, all rescheduled loans are classified as Stage 3 unless upgraded due to satisfactory performing period. Further loans which have been restructured up to two times unless upgraded due to satisfactory performing period are classified as Stage 2 while such loans which have been restructured more than two times are classified as Stage 3 in accordance with Banking Act Direction No. 13 of 2021 on "Classification, Recognition and Measurement of credit facilities in Licensed Banks".

31 (d) Movement between the Stages

Financial assets can be transferred between the different categories (other than POCI) depending on

NOTES TO THE FINANCIAL STATEMENTS

31 FINANCIAL ASSETS MEASURED AT AMORTISED COST - LOANS AND ADVANCES TO CUSTOMERS (Contd.)

their relative change in credit risk since initial recognition. Financial instruments are transferred out of Stage 2 if their credit risk is no longer considered to be significantly increased since initial recognition based on the assessment described above. Financial instruments are

transferred out of Stage 3 when they no longer exhibit any evidence of credit impairment as described above. Further restructured facilities are upgraded in accordance with board approved policies upon the settlement of all due payment and Bank is satisfied, the customer is

able to service debt obligations up to a foreseeable future and the upgraded credit facility has exhibited a sustained/trend/status of improvement to justify an improved classification.

31 (e) Movement in Impairment during the year

	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Stage 1				
Balance as at 1st January	9,924,864	10,653,265	10,477,990	12,960,050
Effect of exchange rate fluctuations`	20,402	(88,253)	20,402	(88,253)
Addition from acquisition of subsidiary	-	-	2,857	-
Net impairment (reversal)/charge for the year [Note 15]	(677,794)	(640,148)	(452,031)	(2,393,807)
Balance as at 31st December [Note 31]	9,267,472	9,924,864	10,049,218	10,477,990
Stage 2				
Balance as at 1st January	8,383,867	10,333,747	8,897,502	10,659,837
Effect of exchange rate fluctuations	52,732	(125,199)	52,732	(125,199)
Net impairment charge for the year [Note 15]	(634,682)	(1,824,681)	(691,718)	(1,637,136)
Balance as at 31st December [Note 31]	7,801,917	8,383,867	8,258,516	8,897,502
Stage 3				
Balance as at 1st January	77,756,383	66,122,875	83,393,374	68,965,082
Effect of exchange rate fluctuations/Other movement	(2,170,048)	(746,523)	(2,002,244)	(609,853)
Net impairment charge for the year [Note 15]	(6,883,852)	13,132,946	(6,279,143)	15,811,964
Write-offs during the year	(5,049,595)	(752,915)	(6,326,869)	(773,819)
Balance as at 31st December [Note 31]	63,652,888	77,756,383	68,785,118	83,393,374
Total impairment allowance for financial assets measured at amortised cost - Loans and advances to customers	80,722,277	96,065,114	87,092,852	102,768,866

31 (f) i Product wise Movement in Allowance for Impairment Losses - Bank

	2025			2024	
	Lease Receivable Rs 000	Loans and Receivables Rs 000	Pawning Rs 000	Total Rs 000	Total Rs 000
Balance as at 1st January	2,651,522	93,366,089	47,503	96,065,114	87,109,887
Effect of exchange rate fluctuations/Other movement	112	(2,097,026)	-	(2,096,914)	(1,291,815)
Net impairment charge for the year	102,696	(8,285,318)	(13,706)	(8,196,328)	10,999,957
Write-offs during the year	(258,887)	(4,790,708)	-	(5,049,595)	(752,915)
Balance as at 31st December	2,495,443	78,193,037	33,797	80,722,277	96,065,114

31 (f) ii Product wise Movement in Allowance for Impairment Losses - Group

	2025				2024
	Lease Receivable	Loans and Receivables	Pawning	Total	Total
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January	4,206,226	98,515,137	47,503	102,768,866	92,584,969
Effect of exchange rate fluctuations/Other movement	112	(1,929,222)	-	(1,929,110)	(823,305)
Addition from acquisition of subsidiary	-	2,857	-	2,857	-
Net impairment charge for the year	603,940	(8,013,126)	(13,706)	(7,422,892)	11,781,021
Write-offs during the year	(893,783)	(5,433,086)	-	(6,326,869)	(773,819)
Balance as at 31st December	3,916,495	83,142,560	33,797	87,092,852	102,768,866

31 (g) Lease Receivables

ACCOUNTING POLICY

Assets leased to customers which transfer substantially all the risks and rewards associated with ownership other than legal title, are classified as finance leases. Amounts receivable under finance leases

are classified as lease receivables and presented within loans and advances to customers in the statement of financial position after deduction of unearned lease income and the impairment for rentals

doubtful of recovery. Lease receivables are collectively assessed for impairment in accordance with the policy for allowance for impairment losses as given in Note 31 (c) to the financial statements.

As at 31st December	Bank		Group	
	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000
Total lease rentals receivable	151,014,690	97,729,118	214,972,618	128,288,978
Unearned lease income	(24,735,504)	(16,408,306)	(40,256,025)	(23,345,886)
Gross lease receivable	126,279,186	81,320,812	174,716,593	104,943,092
Impairment allowance for lease receivable	(2,495,443)	(2,651,522)	(3,916,495)	(4,206,226)
Net lease receivable	123,783,743	78,669,290	170,800,098	100,736,866
Net lease receivables within one year [Note 31 (g) i]	45,593,158	32,990,819	58,147,175	38,777,713
Net lease receivables from one to five years [Note 31 (g) ii]	77,426,298	45,447,770	110,401,156	61,328,419
Net lease receivables after five years [Note 31 (g) iii]	764,287	230,701	2,251,767	630,734
	123,783,743	78,669,290	170,800,098	100,736,866

31 (g) i Net Lease Receivables within one year

As at 31st December	Bank		Group	
	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000
Total lease rentals receivable within one year from the reporting date	58,562,823	42,837,268	79,361,464	49,452,771
Unearned lease income	(12,050,521)	(8,649,073)	(19,731,385)	(8,775,608)
Less: Impairment allowance for lease receivables	(919,144)	(1,197,376)	(1,482,904)	(1,899,450)
	45,593,158	32,990,819	58,147,175	38,777,713

NOTES TO THE FINANCIAL STATEMENTS

31 FINANCIAL ASSETS MEASURED AT AMORTISED COST - LOANS AND ADVANCES TO CUSTOMERS (Contd.)

31 (g) ii Net Lease Receivables from one to five years

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Total lease rentals receivables from one to five years from the reporting date	91,589,659	54,622,881	133,215,492	77,949,953
Unearned lease income	(12,602,470)	(7,730,559)	(20,433,156)	(14,329,978)
Less: Impairment allowance for lease receivables	(1,560,891)	(1,444,552)	(2,381,180)	(2,291,556)
	77,426,298	45,447,770	110,401,156	61,328,419

31 (g) iii Net Lease Receivables after five years

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Total lease rentals receivable after five years from the reporting date	862,208	268,969	2,395,662	886,254
Unearned lease income	(82,513)	(28,674)	(91,484)	(240,300)
Less: Impairment allowance for lease receivables	(15,408)	(9,594)	(52,411)	(15,220)
	764,287	230,701	2,251,767	630,734

Impairment allowance for lease receivables are included in the stage wise movement for impairment presented in Note 31 (e) to the financial statements.

31 (h) Credit and Market risk

Information about the Group's credit and market risks for financial assets are included in Note 5 to the financial statements.

32 FINANCIAL ASSETS MEASURED AT AMORTISED COST - DEBT AND OTHER FINANCIAL INSTRUMENTS

ACCOUNTING POLICY

The accounting policy pertaining to financial assets measured at amortised cost - debt and other financial instruments has been given in Note 3.3 and 3.4 to the financial statements

The Group measures financial assets at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows
- The contractual terms of the financial asset give rise on specified dates to cash flows that are Solely Payments of Principal and Interest (SPPI) on the principal amount outstanding. These conditions are explained in detail in Note 3.4 and 3.4.2 to the financial statements.

After initial measurement, financial assets measured at amortised cost - debt and other financial instruments are subsequently measured at amortised cost using the Effective Interest Rate (EIR), less allowance for impairment except when the Group designates a financial asset as measured at fair value through profit or loss. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees and costs that are an integral part of the EIR. The amortisation is included in 'interest income' in the income statement. The losses arising from impairment are recognised in 'impairment charge for loans and other losses' in the income statement.

These assets are tested for impairment in accordance with the criteria given in Note 31 (c) to the financial statements.

ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

Impairment of financial assets measured at amortised cost - debt and other financial instruments

The Group assesses impairment for financial assets measured at amortised cost - debt and other financial instruments in line with the same principles used for assessment of impairment of loans and receivables.

The impairment loss on financial assets measured at amortised cost - debt and other financial instruments is disclosed in Note 32 (d) to the financial statements.

As at 31st December	2025 Rs 000	2024 Rs 000
Government of Sri Lanka treasury bills held by the Bank	372,400,286	444,888,401
Government of Sri Lanka treasury bonds held by the Bank	199,669,480	225,997,320
USD Step up Bond issued by Government of Sri Lanka	71,928,661	63,657,093
Foreign government bonds held by the Bank	-	96,161
Unquoted debentures held by the Bank [Note 32 (f)]	5,120,253	5,144,713
Quoted debentures held by the Bank [Note 32 (e)]	2,038,966	2,613,543
Total financial assets at amortised cost – debt and other financial instruments - Bank [Note 32 (a)]	651,157,646	742,397,231
Allowance for impairment on financial assets at amortised cost – debt and other financial instruments Bank [Note 32 (c)]	539,023	636,030
Stage 1	773	1,536
Stage 2	-	-
Stage 3	538,250	634,494
Net financial assets at amortised cost - debt and other financial instruments - Bank	650,618,623	741,761,201

NOTES TO THE FINANCIAL STATEMENTS

32 FINANCIAL ASSETS MEASURED AT AMORTISED COST - DEBT AND OTHER FINANCIAL INSTRUMENTS (Contd.)

As at 31st December	2025 Rs 000	2024 Rs 000
Government of Sri Lanka treasury bonds held by subsidiaries	20,610,514	13,429,892
Government of Sri Lanka treasury bills held by subsidiaries	1,371,884	3,889,823
Quoted debentures held by subsidiaries [Note 32 (g)]	10,798,591	9,565,926
Unquoted debentures held by subsidiaries [Note 32 (h)]	966,790	1,375,883
Total financial assets at amortised cost - debt and other financial instruments - Subsidiaries	33,747,779	28,261,524
Total financial assets at amortised cost - debt and other financial instruments - Group	684,905,425	770,658,755
Allowance for impairment on financial assets at amortised cost - debt and other financial instruments Group [Note 32 (c)]	539,231	638,209
Stage 1	981	3,715
Stage 2	-	-
Stage 3	538,250	634,494
Net financial assets at amortised cost – debt and other financial instruments - Group	684,366,194	770,020,546

32 (a) (i) Analysis

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
By Collateralisation				
Pledged as collateral*	31,344,866	29,609,594	100,817,572	29,609,594
Unencumbered	619,812,780	712,787,637	584,087,853	741,049,161
	651,157,646	742,397,231	684,905,425	770,658,755
By Currency				
Sri Lankan Rupee	579,228,985	678,643,977	612,976,764	706,905,501
United States Dollar	71,928,661	63,657,093	71,928,661	63,657,093
Euros	-	96,161	-	96,161
	651,157,646	742,397,231	684,905,425	770,658,755

* Related to securities sold under repurchase agreements as disclosed in Note 43 to the financial statements.

32 (b) Disclosure as per Registered Stock and Securities Ordinance and Local Treasury Bills Ordinance Direction No 01 of 2019 on Repurchase and Reverse Repurchase transactions of Dealer Direct Participants in Scripless Treasury Bonds and Scripless Treasury Bills.

Bank has allocated government securities amounting to Rs 31.3 Bn (2024 - Rs 29.6 Bn) in respect of securities sold under repurchase agreements.

Banks policy on haircuts for repurchase and reverse repurchase transactions are explained below.

Board approved policy guideline outlines the allocation of securities and haircut rules for repurchase and reverse repurchase agreements and valuation process. The policy has been formulated in line with the Direction No.01 of 2019 on Registered Stock and Securities Ordinance and Local Treasury Bills Ordinance issued by the Monetary Board of the Central Bank of Sri Lanka taking in to consideration the market practices. Securities are allocated/obtained as per the set guidelines. No penalties were levied on the Bank during the year, for any non-compliance.

32 (c) Movement in Impairment during the year

	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Stage 1				
Balance as at 1st January	1,536	740,093	3,715	741,729
Net impairment charge for the year [Note 15]	(763)	(1,788)	(2,734)	(1,245)
Effect of exchange rate fluctuations & other movements	-	(736,769)	-	(736,769)
Balance as at 31st December	773	1,536	981	3,715
Stage 2				
Balance as at 1st January	-	102,078,763	-	102,078,763
Net impairment charge for the year [Note 15]	-	(91,639,774)	-	(91,639,774)
Effect of exchange rate fluctuations	-	(10,438,989)	-	(10,438,989)
Balance as at 31st December	-	-	-	-
Stage 3				
Balance as at 1st January	634,494	651,160	634,494	1,424,250
Net impairment charge for the year [Note 15]	13,707	(16,666)	13,707	(16,666)
Effect of exchange rate fluctuations & other movements	(13,790)		(13,790)	
Write-offs during the year	(96,161)	-	(96,161)	(773,090)
Balance as at 31st December	538,250	634,494	538,250	634,494
Total impairment allowance for financial assets measured at amortised cost - Debt and other financial instruments	539,023	636,030	539,231	638,209

32 (c) (i) Impairment reversal in 2024 of Rs 91.6 Bn relates to the restructure of SLISBs concluded in December 2024. As per the terms of the bonds exchanged during the restructuring process the Bank opted for three types of bonds i.e. LKR bond, USD Step up bond and PDI bond. The Bank assessed the fair value of new instruments in accordance with SLFRS - 9 Financial Instruments.

NOTES TO THE FINANCIAL STATEMENTS

32 FINANCIAL ASSETS MEASURED AT AMORTISED COST - DEBT AND OTHER FINANCIAL INSTRUMENTS (Contd.)

32 (c) (ii) Sensitivity analysis of impairment provision of PDI bonds

Sensitivity analysis of impairment provision of PDI bonds to +1%/-1% change in PD/LGD rates.

As at 31st December	Increase/(Decrease) in Impairment provision Rs 000
Increase in PD rate by 1%	135,416
Decrease in PD rate by 1%	(135,416)
Increase in LGD rate by 1%	13,542
Decrease in LGD rate by 1%	(13,542)

32 (d) (i) Stage Assessment PDI and USD Step up Bond

Bank classified USD Step up bonds and LKR bonds in stage 1 considering the ability of the Government to settle the dues in LKR while the PDI bonds has been classified under Stage 2, since the bonds will be repaid in USD only.

32 (d) (ii) Fair value Assessment

The Bank assessed the fair value of local LKR bonds using Level 1 inputs similar to other LKR denominated government securities, also considering the variable nature of the instrument with short term interest reset feature. The fair values of PDI bonds received and USD Step up bonds have been assessed using Level 2 inputs.

32 (e) Quoted debentures held by the Bank

As at 31st December	2025		2024	
	No of Debentures	Amortised Cost Rs 000	No of Debentures	Amortised Cost Rs 000
Brown & Company PLC (15.42% debentures redeemable on 31st March 2027)	15,000,000	1,500,634	15,000,000	1,558,141
LOLC Finance PLC (Previously known as Commercial Leasing and Finance PLC) (6 months T bill rate + 4.25% debentures redeemable on 24th September 2025)	5,000,000	-	5,000,000	517,070
MTD Walkers PLC (10.25% debentures redeemable on 30th September 2020) *	5,000,000	538,332	5,000,000	538,332
Quoted Debentures - Bank		2,038,966		2,613,543

* This investment has been categorised as stage 3 for Expected Credit Loss (ECL) computation. ECL provision has been recognised in full for this exposure.

32 (f) Unquoted debentures held by the Bank

As at 31st December	2025		2024	
	No of Debentures	Amortised Cost Rs 000	No of Debentures	Amortised Cost Rs 000
National Savings Bank (6 months AWPLR + 1% debentures redeemable on 24th September 2026)	50,000,000	5,120,253	50,000,000	5,144,713
Unquoted Debentures - Bank		5,120,253		5,144,713

32 (g) Quoted debentures held by subsidiaries

As at 31st December	2025		2024	
	No of Debentures	Amortised Cost Rs 000	No of Debentures	Amortised Cost Rs 000
Commercial Bank of Ceylon PLC				
(12.25% debentures redeemable on 27th October 2026)	135,700	13,945	135,700	13,861
(28.00% debentures redeemable on 11th December 2027)	5,000,000	514,307	5,000,000	507,288
(12.50% debentures redeemable on 22nd July 2028)	1,192,800	125,857	1,192,800	125,857
(15.00% debentures redeemable on 19th December 2028)	3,000,000	305,856	3,000,000	301,356
(13.00% debentures redeemable on 09th July 2029)	4,000,000	424,789	4,000,000	424,789
(10.55% debentures redeemable on 11th August 2030)	875,200	91,087	-	-
(10.85% debentures redeemable on 11th August 2030)	1,172,400	122,154	-	-
(14.25% debentures redeemable on 19th December 2030)	1,500,000	152,782	1,500,000	150,644
(13.25% debentures redeemable on 09th July 2031)	2,000,000	212,633	2,000,000	212,633
(14.00% debentures redeemable on 19th December 2033)	2,500,000	254,555	2,500,000	251,055
(13.50% debentures redeemable on 09th July 2034)	4,000,000	425,742	4,000,000	425,742
		2,643,707		2,413,225
DFCC Bank PLC				
(13.00% debentures redeemable on 29th March 2025)	-	-	500,000	54,968
(9.00% debentures redeemable on 23rd October 2025)	-	-	2,700,000	274,660
(13.75% debentures redeemable on 28th March 2026)	1,298,100	143,404	1,298,100	143,404
(15.25% debentures redeemable on 16th January 2029)	7,000,000	802,363	7,000,000	802,363
(13.90% debentures redeemable on 28th March 2029)	3,532,100	390,604	3,532,100	390,604
		1,336,371		1,665,999
First Capital Holdings PLC				
(10.00% debentures redeemable on 07th February 2026)	2,903,200	316,329	2,903,200	316,329
		316,329		316,329
LOLC Holdings PLC				
(10.25% debentures redeemable on 24th February 2026)	4,050,000	440,371	4,050,000	440,388
		440,371		440,388
National Development Bank PLC				
(9.50% debentures redeemable on 24th September 2025)	-	-	1,114,600	114,303
(11.90% debentures redeemable on 23rd November 2026)	5,000,000	509,194	5,000,000	506,195
(13.00% debentures redeemable on 01st December 2029)	2,950,000	301,882	2,950,000	298,047
(12.41% debentures redeemable on 01st December 2029)	506,900	51,347	506,900	51,190
		862,423		969,735
Nations Trust Bank PLC				
(12.90% debentures redeemable on 23rd December 2026)	800,000	81,315	800,000	80,283
		81,315		80,283
People's Leasing and Finance PLC				
(9.00% debentures redeemable on 05th August 2026)	1,205,600	124,989	1,205,600	124,977
(9.00% debentures redeemable on 05th August 2026)	1,076,967	102,426	1,076,967	93,970
		227,415		218,947

NOTES TO THE FINANCIAL STATEMENTS

32 FINANCIAL ASSETS MEASURED AT AMORTISED COST - DEBT AND OTHER FINANCIAL INSTRUMENTS (Contd.)

As at 31st December	2025		2024	
	No of Debentures	Amortised Cost Rs 000	No of Debentures	Amortised Cost Rs 000
Sampath Bank PLC				
(28.00% debentures redeemable on 09th February 2028)	9,000,000	1,125,074	9,000,000	1,125,074
(11.75% debentures redeemable on 26th March 2030)	3,754,800	409,325	-	-
		1,534,399		1,125,074
Seylan Bank PLC				
(9.75% debentures redeemable on 12th April 2026)	973,100	104,172	973,100	104,172
(25.00% Debentures redeemable on 01st May 2028)	415,100	43,216	415,100	43,216
(28.00% Debentures redeemable on 01st May 2028)	4,500,000	534,230	4,500,000	534,230
(13.25% debentures redeemable on 17th July 2029)	5,500,000	583,343	5,500,000	583,343
(11.25% debentures redeemable on 18th July 2030)	3,092,500	324,290	-	-
(10.08% debentures redeemable on 18th July 2030)	1,403,000	144,155	-	-
		1,733,406		1,264,961
Siyapatha Finance PLC				
(13.20% debentures redeemable on 06th June 2029)	6,000,000	645,132	6,000,000	645,133
(11.40% debentures redeemable on 26th June 2030)	2,200,000	232,918	-	-
		878,050		645,133
Sri Lanka Telecom PLC				
(12.75% debentures redeemable on 19th April 2028)	1,443,800	148,163	1,443,800	148,163
		148,163		148,163
LOLC Finance PLC				
(10.50% debentures redeemable on 23rd September 2025)	-	-	2,700,000	277,689
				277,689
Hayleys PLC				
(10.50% debentures redeemable on 14th May 2028)	5,000,000	509,407	-	-
		509,407		-
Vidullanka PLC				
(10.75% debentures redeemable on 23rd June 2030)	357,900	35,960	-	-
		35,960		-
Lanka Credit And Business Finance PLC				
(12.41% debentures redeemable on 17th October 2030)	500,000	51,275	-	-
		51,275		-
Total quoted debentures - Subsidiaries		10,798,591		9,565,926

32 (h) Unquoted debentures held by subsidiaries

As at 31st December	2025		2024	
	No of Debentures	Amortised Cost Rs 000	No of Debentures	Amortised Cost Rs 000
DFCC Bank PLC				
(11.00% debentures redeemable on 12th June 2025)	-	-	2,460,000	261,050
		-		261,050
Nations Trust Bank PLC				
(9.15% debentures redeemable on 9th July 2026)	4,250,000	443,751	4,250,000	443,751
		443,751		443,751
Peoples Bank				
(9.50% debentures redeemable on 27th July 2025)	-	-	1,500,000	156,168
(16.25% debentures redeemable on 16th October 2031)	5,000,000	523,039	5,000,000	514,914
		523,039		671,082
Total unquoted Debentures - Subsidiaries		966,790		1,375,883

32 (i) Credit and Market risk

Information about the Group's credit and market risks for financial assets are included in Note 5 to the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

33 FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

ACCOUNTING POLICY

The accounting policy pertaining to financial assets measured at fair value through other comprehensive income has been given in Note 3.3 and 3.4 to the financial statements

Financial assets are classified as Fair Value through Other Comprehensive Income (FVOCI) when both of the following conditions are met:

- The instrument is held within a business model, the objective of which is achieved by both collecting contractual cash flows and selling financial assets
- The contractual terms of the financial asset give rise on specified dates to cash flows that are Solely Payments of Principal and Interest (SPPI) on the principal amount outstanding.

Debt instruments measured at FVOCI

Debt instruments measured at FVOCI are subsequently measured at fair value with gains and losses arising due to changes in fair value recognised in OCI. Interest income and foreign exchange gains and

losses on account of such investments are recognised in profit or loss. Where the Group holds more than one investment in the same security, they are deemed to be disposed of on a first-in first-out basis. On de-recognition, cumulative gains or losses previously recognised in OCI are reclassified from OCI to profit or loss.

Equity instruments measured at FVOCI

Upon initial recognition, the Group occasionally makes an irrevocable election to classify some of its equity investments as equity instruments measured at FVOCI when those meet the definition of equity under Sri Lanka Accounting Standard - LKAS 32 "Financial Instruments - Presentation" and are not held for trading. Such classification is determined on an instrument by instrument basis.

The FVOCI designation was made because the investments are expected to be held for long term strategic purposes and regulatory nature of investments. None of these investments were disposed during the year.

Gains and losses on these equity instruments are never recycled to profit or loss. Dividends are recognised in profit or loss as other operating income when the right of the payment has been established, except when the Group benefits from such proceeds as a recovery of part of the cost of the instrument, in which case, such gains are recorded in OCI. Equity instruments measured at FVOCI are not subject to an impairment assessment.

ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

Impairment of financial assets measured at fair value through other comprehensive income

The Group assesses impairment for financial assets measured at fair value through other comprehensive income in line with the same principal used for assessment of impairment of loans and receivables.

As at 31st December	Fair Value	
	2025 Rs 000	2024 Rs 000
Quoted shares held by Bank [Note 33 (b)]	11,174,344	8,275,744
Unquoted shares held by Bank [Note 33 (c)]	184,180	184,180
Unquoted units held by Bank [Note 33 (d)]	1,546,531	1,106,837
Government of Sri Lanka treasury bills held by Bank	-	985,445
Government of Sri Lanka treasury bonds held by Bank	66,130,349	60,415,674
PDI Bond issued by Government of Sri Lanka	15,820,065	18,105,304
Government of US treasury bills held by Bank	-	7,236,286
Total financial assets at fair value through other comprehensive income - Bank [Note 33 (a)]	94,855,469	96,309,470
Government of Sri Lanka treasury bills held by subsidiaries	263,796	-
Government of Sri Lanka treasury bonds held by subsidiaries	20,013,027	16,093,397
Quoted shares held by subsidiaries [Note 33 (e)]	34,058	-
Unquoted shares held by subsidiaries [Note 33 (f)]	5,674	4,432
Total financial assets at fair value through other comprehensive income - Subsidiaries	20,316,555	16,097,829
Total financial assets at fair value through other comprehensive income - Group [Note 33 (a)]	115,172,024	112,407,299

33 (a) Analysis

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
By collateralisation				
Pledged as collateral	-	-	-	-
Unencumbered	94,855,469	96,309,470	115,172,024	112,407,299
	94,855,469	96,309,470	115,172,024	112,407,299
By Currency				
Sri Lankan Rupee	79,035,404	70,967,880	99,351,959	87,065,709
United States Dollar	15,820,065	25,341,590	15,820,065	25,341,590
	94,855,469	96,309,470	115,172,024	112,407,299

33 (b) Quoted shares held by the Bank

As at 31st December	2025			2024		
	No of Ordinary Shares	Cost of Investment Rs 000	Fair Value Rs 000	No of Ordinary Shares	Cost of Investment Rs 000	Fair Value Rs 000
DFCC Bank	54,681,654	2,317,589	8,092,885	53,964,933	2,225,849	6,138,511
National Development Bank PLC	11,778,400	1,284,547	1,663,699	11,517,884	1,255,177	1,304,400
Nations Trust Bank PLC	4,529,586	433,952	1,417,760	4,465,586	421,604	832,833
Total quoted shares - Bank		4,036,088	11,174,344		3,902,630	8,275,744

33 (c) Unquoted shares held by the Bank

As at 31st December	2025			2024		
	No of Ordinary Shares	Cost of Investment Rs 000	Fair Value Rs 000	No of Ordinary Shares	Cost of Investment Rs 000	Fair Value Rs 000
Credit Information Bureau of Sri Lanka	5,300	530	530	5,300	530	530
LankaPay Private Limited	2,214,521	24,559	24,559	2,214,521	24,559	24,559
Lanka Financial Services Bureau	500,000	5,000	2,750	500,000	5,000	2,750
Lanka Rating Agency Limited	10,471,898	16,550	-	10,471,898	16,550	-
Magpek Exports Ltd	359,000	14,360	-	359,000	14,360	-
National Credit Guarantee Institution Ltd	15,114,374	151,145	151,145	15,114,374	151,145	151,145
S.W.I.F.T	27	5,196	5,196	27	5,196	5,196
Total unquoted shares - Bank		217,340	184,180		217,340	184,180

NOTES TO THE FINANCIAL STATEMENTS

33 FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME (Contd.)

33 (d) Unquoted units in unit trusts held by the Bank

As at 31st December	2025			2024		
	No of	Cost of	Fair	No of	Cost of	Fair
	Units	Investment	Value	Units	Investment	Value
		Rs 000	Rs 000		Rs 000	Rs 000
JB Vantage Value Equity Fund	19,455,327	400,000	1,546,531	19,455,327	400,000	1,106,837
Total unquoted units in unit trust - Bank		400,000	1,546,531		400,000	1,106,837

33 (e) Quoted shares held by subsidiaries

As at 31st December	2025			2024		
	No of	Cost of	Fair	No of	Cost of	Fair
	Ordinary	Investment	Value	Ordinary	Investment	Value
	Shares	Rs 000	Rs 000	Shares	Rs 000	Rs 000
Hayleys PLC	149,820	1,116	29,327	-	-	-
John Keels Holdings PLC	217,210	44	4,713	-	-	-
Central Finance PLC	64	-	18	-	-	-
Total quoted shares - Subsidiaries		1,160	34,058		-	-

33 (f) Unquoted shares held by subsidiaries

As at 31st December	2025			2024		
	No of	Cost of	Fair	No of	Cost of	Fair
	Ordinary	Investment	Value	Ordinary	Investment	Value
	Shares	Rs 000	Rs 000	Shares	Rs 000	Rs 000
Credit Information Bureau of Sri Lanka	200	290	4,000	200	290	4,000
UB Finance	540,121	12,196	1,674	540,121	12,196	432
Standard Credit Lanka (Formerly Ceylinco investment and Reality Ltd)	38,458,474	38,458	-	38,458,474	38,458	-
Total unquoted shares - Subsidiaries		50,944	5,674		50,944	4,432

33 (g) Credit and Market risk

Information about the Group's credit and market risks for financial assets are included in Note 5 to the financial statements.

33 (h) Reclassification of financial instruments

The Bank re-classified its debt securities portfolio measured at Fair Value Through Other Comprehensive Income category to Amortised Cost category with effect from 1st April 2022 in accordance with "Statement of Alternative Treatment (SoAT) on Reclassification of Debt Portfolio" issued by CA Sri Lanka. Additionally, this reclassification requires the disclosure of its impact at each reporting date. Accordingly, Government of Sri Lanka treasury bills, Government of Sri Lanka treasury bonds and international sovereign bond investments which were previously classified as financial assets measured at Fair Value Through Other Comprehensive Income (FVOCI) were re-classified as financial assets measured at amortised cost. There was no change to the effective interest rate used and interest revenue recognised in respect of the reclassified assets for the year ended 31st December 2025.

Had these investments continued to be carried at fair value through other comprehensive income, the fair value of same as at 31st December 2025 would have amounted to Rs 4.7 Bn (31st December 2024: Rs 11.5 Bn) and would have resulted in the recognition of a fair value loss of Rs 207 Mn (2024: Rs 326 Mn) (net of tax) in other comprehensive income statement during the period.

34 INVESTMENTS IN EQUITY ACCOUNTED INVESTEEES

ACCOUNTING POLICY

The Group's equity-accounted investees comprise of associates and joint ventures over which the Group has significant influence or joint control, but does not have control. Significant influence is presumed to exist when the Group holds 20% or more of the voting power of another entity unless such influence can be clearly demonstrated not to exist. Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require unanimous consent of the parties sharing control. The Group determines joint control, by taking into account similar considerations necessary, to determine control over subsidiaries.

The Group's investment in an equity accounted investees is accounted for, using the equity method and is recognised initially at cost. The carrying amount of the investment is adjusted to recognise changes in the Group's share of net assets of the equity-accounted investee since the acquisition date. Goodwill relating to an equity-accounted investee is included in the carrying amount of the investment and is not tested for impairment individually.

The income statement reflects Group's share of the results of operations of the equity accounted investees. Any change in "other comprehensive income" of the equity accounted investees is presented as part of the Group's "other comprehensive income". In addition, when there has been a change recognised directly in the equity of the equity accounted investees, the Group recognises its share of any such change, when applicable, in the statement of changes in equity. Unrealised gains and losses resulting from transactions between the Group and the equity-accounted investee are eliminated to the extent of the interest in the equity accounted investee.

The aggregate of the Group's share of profit or loss of an equity accounted investees is shown on the face of the income statement outside operating profit.

The financial statements of the equity accounted investees joint venture are prepared for the same reporting period as the Group. When necessary, adjustments are made to bring the accounting policies in line with those of the Group.

At each reporting date, the Group determines whether there is an objective evidence that the investment in equity accounted investees is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the equity accounted investees and its carrying value, and then recognises the loss in impairment for loans and other losses in the income statement.

The Group discontinues the use of equity method from the date that it ceases to have significant influence or joint control over the equity accounted investee and accounts for the investment in accordance with the Group's accounting policy for financial instruments. Any difference between the carrying amount of the joint venture/associate upon loss of joint control/significant influence, the fair value of the retained investment and proceeds from disposal, is recognised in income statement. The Bank's investment in equity accounted investees are carried at cost.

	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Investments in Joint ventures [Note 34 (a), (b)]	-	755,000	-	5,553,026
Investments in Associates [Note 34 (e)]	-	-	6,382,955	-
	-	755,000	6,382,955	5,553,026

34 (a) Investment in unquoted joint venture - Bank

As at 31st December	2025			2024		
	% Holding value	Cost of Investment Rs 000	Fair Value/ Directors' valuation Rs 000	% Holding value	Cost of Investment Rs 000	Fair Value/ Directors' valuation Rs 000
Acuity Partners (Pvt) Ltd	-	-	-	50	755,000	5,665,164
					755,000	

NOTES TO THE FINANCIAL STATEMENTS

34 INVESTMENTS IN EQUITY ACCOUNTED INVESTEEES (Contd.)

34 (b) Investment in Unquoted Joint Venture - Group

	2025 Rs 000	2024 Rs 000
Investment in joint venture (at cost) as at 1st January	-	755,000
Group's share of joint venture profit as at 1st January	-	3,831,927
Group's share of net assets of joint venture company as at 1st January	-	4,586,927
Share of unrealised profit on disposal of investments	-	(112,138)
Group's share of net assets of joint venture company as at 1st January (net of unrealised profit)	-	4,474,789
Share of profit of equity accounted investees (net of tax) [Note 20]	-	1,377,926
Share of other comprehensive income of equity accounted investees	-	(299,689)
Dividend received during the year	-	-
Group's share of net assets of joint venture company as at 31st December	-	5,553,026

34 (c) Summarised Financial Position of Joint Venture - *Acuity Partners (Pvt) Ltd and its Subsidiaries

*Subsequently rebranded as HNB Investment Bank (Pvt) Ltd with the acquisition of balance shareholding on 21st January 2025

As at 31st December	2025 Rs 000	2024 Rs 000
Cash and cash equivalents	-	2,576,673
Trade and other receivables	-	1,922,905
Other current assets	-	48,368,607
Non-current assets	-	16,941,496
Trade and other payables	-	(610,845)
Other current liabilities	-	(52,052,140)
Non-current liabilities	-	(2,686,048)
Non controlling interest	-	(3,130,321)
Share holder's equity of Joint Venture	-	11,330,327
Group's carrying amount of the investment	-	5,665,164
Share of unrealised profit on disposal of investments	-	(112,138)
Group's carrying amount of the investment - Net	-	5,553,026

34 (d) Summarised Statement of Profit or Loss of Joint Venture - *Acuity Partners (Pvt) Ltd and its Subsidiaries

*Subsequently rebranded as HNB Investment Bank (Pvt) Ltd with the acquisition of balance shareholding on 21st January 2025

For the year ended 31st December	2025 Rs 000	2024 Rs 000
Interest income	-	5,673,900
Other Income	-	918,046
Revenue	-	6,591,946
Depreciation and amortisation expenses	-	(137,497)
Administration and distribution expenses	-	(922,205)
Finance cost	-	(402,633)
Profit from operations	-	5,129,611
VAT on financial services	-	(834,200)
Profit before tax	-	4,295,411
Income tax expenses	-	(1,115,854)
Profit for the year	-	3,179,557
Other comprehensive income	-	(1,416,516)
Total comprehensive income for the year	-	1,763,041
Non controlling interest	-	393,432
Total comprehensive income for the year	-	2,156,473
Group's share of :		
Profit or loss for the year	-	1,377,926
Other comprehensive income for the year	-	(299,689)
Comprehensive income for the year	-	1,078,237

There are no restrictions on the ability of the joint venture company to transfer funds to the investor in the form of cash dividends, or repayment of loans or advances.

The Bank has neither contingent liabilities nor capital and other commitments towards its joint venture company.

34 (e) Investments in Associates (Held through the Subsidiary, HNB Investment Bank (Pvt) Ltd)

The list of associate companies in which Lanka Ventures PLC (subsidiary of HNB Investment Bank (Pvt) Ltd), has an interest as at 31st December 2025 are as listed below.

As at 31st December	% Holding Value	2025 Rs 000
Haylese Hydro Energy (Pvt) Ltd - Sri Lanka [Note 34 (e) i]	49	146,189
Pawan Danavi (Pvt) Ltd - Sri Lanka [Note 34 (e) ii]	40	447,316
Nala Danavi (Pvt) Ltd - Sri Lanka [Note 34 (e) iii]	49	268,867
Raj Lanka Power Company Ltd - Bangladesh [Note 34 (e) iv]	20	657,876
Lakdhanavi Bangla Power Ltd - Bangladesh [Note 34 (e) v]	33	1,519,042
Nividhu (Pvt) Ltd - Sri Lanka [Note 34 (e) vi]	25	200,916
Parambe Hydro Power (Pvt) Ltd - Sri Lanka [Note 34 (e) vii]	44	34,774

NOTES TO THE FINANCIAL STATEMENTS

34 INVESTMENTS IN EQUITY ACCOUNTED INVESTEEES (Contd.)

As at 31st December	% Holding Value	2025 Rs 000
Bambarapana Hydro Power (Pvt) Ltd - Sri Lanka [Note 34 (e) viii]	40	209,402
ENV Engineering Enterprises Lanka (Pvt) Ltd - Sri Lanka [Note 34 (e) ix]	50	-
LTL Energy (Pvt) Ltd - Sri Lanka [Note 34 (e) x]	45	579,777
Feni Lanka Power Ltd - Bangladesh [Note 34 (e) xi]	29	2,430,933
		6,495,092
Share of unrealised profit on disposal of investments		(112,137)
Total Investment in Associate Companies		6,382,955

34 (e) i Haylese Hydro Energy (Pvt) Ltd - Sri Lanka

	2025 Rs 000
Investment	58,800
Group's share of net assets of associate company as at 1st January	98,245
Dividend Distribution	(25,108)
Share of profit of equity accounted investees	13,624
Share of other comprehensive income of equity accounted investees	628
Group's share of net assets of associate company as at 31st December	146,189

34 (e) ii Pawan Danavi (Pvt) Ltd - Sri Lanka

	2025 Rs 000
Investment	424,000
Group's share of net assets of associate company as at 1st January	37,809
Dividend distribution	(20,000)
Share of profit of equity accounted investees	5,507
Share of other comprehensive income of equity accounted investees	-
Group's share of net assets of associate company as at 31st December	447,316

34 (e) iii Nala Danavi (Pvt) Ltd - Sri Lanka

	2025 Rs 000
Investment	242,550
Group's share of net assets of associate company as at 1st January	34,992
Share of profit of equity accounted investees	(8,675)
Share of other comprehensive income of equity accounted investees	-
Group's share of net assets of associate company as at 31st December	268,867

34 (e) iv Raj Lanka Power Company Ltd - Bangladesh

	2025 Rs 000
Investment	386,500
Group's share of net assets of associate company as at 1st January	(83,952)
Foreign currency difference as at 1st January	321,864
Foreign currency conversion gain	22,975
Share of profit of equity accounted investees	10,489
Share of other comprehensive income of equity accounted investees	-
Group's share of net assets of associate company as at 31st December	657,876

34 (e) v Lakdhanavi Bangla Power Ltd - Bangladesh

	2025 Rs 000
Investment	653,000
Group's share of net assets of associate company as at 1st January	242,873
Foreign currency difference as at 1st January	459,498
Foreign currency conversion gain	84,309
Dividend Distribution	(127,913)
Share of profit of equity accounted investees	172,607
Share of other comprehensive income of equity accounted investees	34,668
Group's share of net assets of associate company as at 31st December	1,519,042

34 (e) vi Nividhu (Pvt) Ltd - Sri Lanka

	2025 Rs 000
Investment	235,407
Group's share of net assets of associate company as at 1st January	(21,055)
Dividend distribution	(34,520)
Share of profit of equity accounted investees	21,084
Share of other comprehensive income of equity accounted investees	-
Group's share of net assets of associate company as at 31st December	200,916

34 (e) vii Parambe Hydro Power (Pvt) Ltd - Sri Lanka

	2025 Rs 000
Investment	35,500
Group's share of net assets of associate company as at 1st January	(502)
Share of profit of equity accounted investees	(224)
Share of other comprehensive income of equity accounted investees	-
Group's share of net assets of associate company as at 31st December	34,774

NOTES TO THE FINANCIAL STATEMENTS

34 INVESTMENTS IN EQUITY ACCOUNTED INVESTEEES (Contd.)

34 (e) viii Bambarapana Hydro Power (Pvt) Ltd - Sri Lanka

	2025 Rs 000
Investment	155,639
Group's share of net assets of associate company as at 1st January	56,513
Dividend distribution	(20,000)
Share of profit of equity accounted investees	17,250
Share of other comprehensive income of equity accounted investees	-
Group's share of net assets of associate company as at 31st December	209,402

34 (e) ix ENV Engineering Enterprises Lanka (Pvt) Ltd - Sri Lanka

	2025 Rs 000
Investment	45,000
Group's share of net assets of associate company as at 1st January	(45,000)
Share of profit of equity accounted investees	-
Share of other comprehensive income of equity accounted investees	-
Group's share of net assets of associate company as at 31st December	-

34 (e) x LTL Energy (Pvt) Ltd - Sri Lanka

	2025 Rs 000
Investment	664,727
Group's share of net assets of associate company as at 1st January	(143,283)
Foreign currency difference as at 1st January	4,476
Foreign currency conversion gain	5,593
Share of profit of equity accounted investees	48,264
Share of other comprehensive income of equity accounted investees	-
Group's share of net assets of associate company as at 31st December	579,777

34 (e) xi Feni Lanka Power Ltd - Bangladesh

	2025 Rs 000
Investment	1,423,200
Group's share of net assets of associate company as at 1st January	(106,319)
Foreign currency difference as at 1st January	659,325
Foreign currency conversion gain	135,905
Dividend distribution	(270,312)
Share of profit of equity accounted investees	517,778
Share of other comprehensive income of equity accounted investees	71,356
Group's share of net assets of associate company as at 31st December	2,430,933

Subsidiaries are entities that are controlled by the Group. Control is achieved when the Group is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect the returns of those investees through its power over the investee. Specifically, the Group controls an investee if, and only if, the Group has:

- power over the investee
- exposure or rights to variable returns from its involvement with the investee
- the ability to use its power over the investee to affect its returns

Generally, there is a presumption that a majority of voting rights results in control. To support this presumption when the Group has less than a majority of the voting or similar rights of an investee, the Group considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- the contractual arrangement with other vote holders of the investee
- rights arising from other contractual arrangements
- the Group's voting rights and potential voting rights

The Group reassesses whether or not it controls an investee, if facts and circumstances indicate that there are changes to one or more of the above.

The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences, until the date that control ceases. Where subsidiaries have been

sold or acquired during the year, assets, liabilities, income and expenses of the said subsidiary are included in the consolidated financial statements, from the date the Group gains control until the date the Group ceases to control the subsidiary.

When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies in line with the Group's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of Group are eliminated in full on consolidation.

Non-controlling interests represent the portion of profit or loss and net assets of the subsidiaries, not owned directly or indirectly by the Bank. The non-controlling interest is presented in the consolidated statement of financial position within equity, separately from the equity attributable to the equity holders of the Bank. Non-controlling interests in the profit or loss of the Group, is disclosed separately in the consolidated income statement.

A change in the ownership interest of a subsidiary without a loss of control, is accounted for as an equity transaction. Upon the loss of control, the Group de-recognises the assets (including goodwill) and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control, is recognised in the statement of changes in equity. If the Group retains any interest in the previous

subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently, it is accounted for as an equity-accounted investee or in accordance with the Group's accounting policy for financial instruments depending on the level of influence retained.

There are no significant restrictions on the ability of the subsidiaries to transfer funds to the Bank in the form of cash dividends or repayment of loans and advances. All subsidiaries of the Bank as at the reporting date, have been incorporated in Sri Lanka.

The Bank's investments in subsidiaries are carried at cost.

ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

Impairment of Investments in Subsidiaries

The Bank follows the guidance of Sri Lanka Accounting Standard - LKAS 36 - "Impairment of Assets" in determining whether an investment in subsidiary is impaired. This determination requires significant judgement. The Bank evaluates, among other factors, the duration and extent to which the fair value of a subsidiary is less than its cost and the financial health of the near-term business outlook of the investment or the financial asset, including factors such as industry and sector performance, changes in technology and operational and financing cash flows.

NOTES TO THE FINANCIAL STATEMENTS

35 INVESTMENT IN SUBSIDIARIES (Contd.)

35 (a) Investment in Subsidiaries - Quoted

As at 31st December	2025			2024		
	% Holding	Cost of Investment Rs 000	Fair Value/ Directors' valuation Rs 000	% Holding	Cost of Investment Rs 000	Fair Value/ Directors' valuation Rs 000
HNB Assurance PLC (89,979,000 ordinary shares)	60.00	384,285	10,325,000	60.00	384,285	7,207,318
HNB Finance PLC [Note 35 (b) i] (875,925,809 ordinary shares)	42.16	1,173,474	6,569,000	42.16	660,000	3,407,049
Total Investments in quoted subsidiaries		1,557,759			1,044,285	

35 (b) Investment in Subsidiary - Unquoted

As at 31st December	2025			2024		
	% Holding	Cost of Investment Rs 000	Fair Value/ Directors' valuation Rs 000	% Holding	Cost of Investment Rs 000	Fair Value/ Directors' valuation Rs 000
Sithma Development (Pvt) Ltd (206,000,000 ordinary shares)	100	1,973,000	8,486,246	100	1,973,000	8,690,832
HNB Investment Bank (Pvt) Ltd (151,000,002 ordinary shares)	100	7,255,000	17,174,798	-	-	-
Total Investments in quoted subsidiaries		9,228,000			1,973,000	
Total for the Bank [35 (a) and 35 (b)]		10,785,759			3,017,285	

35 (b) i HNB Finance PLC

Bank holds a stake of 51% in the voting rights of HNB Finance PLC. Accordingly, the said investment is accounted for as an investment in subsidiary. Since the Bank does not hold non-voting shares of HNB Finance PLC, Bank's holding in the said company is 42.16%.

35 (c) Subsidiary Held through HNB Assurance PLC

As at 31st December	2025		2024	
	% Holding	Cost of Investment Rs 000	% Holding	Cost of Investment Rs 000
HNB General Insurance PLC (115,000,000 ordinary shares)	100	1,150,000	100	1,150,000
		1,150,000		1,150,000

35 (d) i Subsidiary Held through HNB Investment Bank (Pvt) Ltd

As at 31st December	2025
	%
	Holding
Lanka Ventures PLC	79.59%

35 (d) ii Subsidiary Held through Lanka Ventures PLC

As at 31st December	2025
	%
	Holding
LVL Energy Fund PLC	51.46%

35 (d) iii Subsidiaries Held through LVL Energy Fund PLC

As at 31st December	2025
	%
	Holding
LVS Energy (Private) Limited	57.75%
Lanka Energy International (Private) Limited	100%
Unit Energy Lanka (Private) Limited	95%
Sapthakanya Hydro Electric Company (Private) Limited	85%
Campion Hydro (Private) Limited	84.29%
Pupluketiya Hydro Power (Private) Limited	100%
Solar Energy Investments (Private) Limited	100%

35 (d) iv Subsidiaries Held through Solar Energy Investments (Private) Limited

As at 31st December	2025
	%
	Holding
Solar Energy Investments Pallekele (Private) Limited	81.10%
SEI Mathugama (Private) Limited	77.15%
SEI Maho (Private) Limited	81.47%

NOTES TO THE FINANCIAL STATEMENTS

35 INVESTMENT IN SUBSIDIARIES (Contd.)

35 (e) Summarised Financial Position of Subsidiaries

As at 31st December	HNB Assurance PLC		Sithma Development (Pvt) Ltd		HNB Finance PLC		HNB Investment Bank (Pvt) Ltd	
	2025	2024	2025	2024	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Assets	80,650,048	62,437,072	10,934,462	11,258,394	85,969,027	53,066,750	92,463,010	-
Liabilities	66,514,829	50,162,452	2,448,216	2,567,562	77,114,147	47,067,691	75,288,212	-
Equity	14,135,219	12,274,620	8,486,246	8,690,832	8,854,880	5,999,059	17,174,798	-

35 (f) Summarised Financial Performance of Subsidiaries

For the year ended 31st December	HNB Assurance PLC		Sithma Development (Pvt) Ltd		HNB Finance PLC		HNB Investment Bank (Pvt) Ltd	
	2025	2024	2025	2024	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Revenue	33,425,322	26,725,783	1,319,999	1,229,719	16,883,815	13,232,561	9,934,675	-
Profit after tax	2,387,966	1,895,998	483,654	355,244	1,683,754	937,590	2,063,094	-
Total comprehensive income	2,306,554	1,947,594	495,412	347,606	1,715,228	910,778	2,497,345	-

For the year ended 31st December	HNB Assurance PLC		Sithma Development (Pvt) Ltd		HNB Finance PLC		HNB Investment Bank (Pvt) Ltd	
	2025	2024	2025	2024	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Cash flows from operating activities	7,238,169	3,228,226	607,033	443,640	(6,869,163)	(3,200,678)	7,238,169	-
Cash flows from Investing activities	(6,196,340)	(2,075,617)	275,785	281,844	(1,055,728)	3,504,439	(6,196,340)	-
Cash flows from financing activities	(585,302)	(820,909)	(726,835)	(726,824)	3,432,285	(179,459)	(585,302)	-

Assessment of Impairment

The Board of Directors has assessed the potential impairment loss on investments in subsidiaries as at 31st December 2025. Based on the assessment, no impairment provision is required to be made in the financial statements as at the reporting date.

ACCOUNTING POLICY

Basis of Recognition

An investment property is recognised, if it is probable that future economic benefits that are associated with the investment property will flow to the Group and cost of the investment property can be reliably measured.

When a portion of the property is held to earn rentals or for capital appreciation and another portion is held for use in the production or supply of goods or services or for administrative purposes, the Group accounts for the portions separately if these portions could be sold separately (or leased out separately under a finance lease). If the portions could not be sold separately, the property is treated as investment property, only if an insignificant portion is held for use in the production or supply of goods or services or for administrative purposes.

Where the Group provides ancillary services to the occupants of a property it holds, the Group treats such a property as investment property if the services are insignificant to the arrangement as a whole.

Depreciation

Depreciation is provided on a straight line basis over the estimated life of the class of asset, from the date of purchase up to the date of disposal.

Classes of Assets	% per annum
Hatton National Bank PLC	
Freehold buildings (Refer Note 36 (a))	2.50
Sithma Development (Pvt) Ltd	
Freehold buildings	
HNB Tower	1.00
Others	2.50
Plant, Machinery and equipment integral to freehold buildings referred to above	20.00

De-recognition

Investment properties are de-recognised when disposed of, or permanently withdrawn from use since no future economic benefits are expected. Gains

Measurement

An investment property is measured initially at its cost. The cost of a purchased investment property comprises of its purchase price and any directly attributable expenditure. The cost of a self-constructed investment property, is its cost at the date when the construction or development is completed.

The Group applies the cost model for investment properties in accordance with Sri Lanka Accounting Standard - LKAS 40 on "Investment Property". Accordingly, land classified as investment properties are stated at cost less any accumulated impairment losses and buildings classified as investment properties are stated at cost, less any accumulated depreciation and any accumulated impairment loss.

The Group obtains the services of independent valuers who are not connected with the Bank, in order to determine the fair value of its investment properties annually for disclosure purposes and such fair values have been disclosed as required by Sri Lanka Accounting Standard - LKAS 40 on "Investment Property".

or losses arising from de-recognition of an investment property are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the income statement.

Transfers are made to and from investment properties only when there is a change in use.

Investment Property Leased within the Group

Any property leased out to the parent or a subsidiary in full or where the parent or subsidiary occupies a significant portion of such a property, it is considered as owner-occupied from the perspective of the Group and adjustments are made for consolidation purposes.

ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS**Classification of Investment Properties**

Management uses its judgment to determine whether a property qualifies as an investment property. The Group has developed criteria so it can exercise its judgement consistently.

A property that is held to earn rentals or for capital appreciation or both, and which generates cash flows largely independent of the other assets held by the Group are accounted for as investment properties. On the other hand, a property that is used for operations or in the process of providing services or for administrative purposes and which do not directly generate cash flows as a standalone asset, are accounted for as property, plant and equipment. The Group assesses on an annual basis, the accounting classification of its properties, taking into consideration the current use of such properties.

Useful Life Time of Investment Properties

The Group reviews the residual values, useful lives and methods of depreciation of investment properties at each reporting date. Management exercises judgement in the estimation of these values, rates, methods and hence those are subject to uncertainty.

NOTES TO THE FINANCIAL STATEMENTS

36 INVESTMENT PROPERTIES (Contd.)

	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Cost				
Balance as at 1st January	507,684	507,684	1,217,010	1,216,713
Transferred to Property plant and equipment	-	-	(123,802)	-
Transferred from other Assets	-	-	-	297
Balance as at 31st December	507,684	507,684	1,093,208	1,217,010
Accumulated depreciation				
Balance as at 1st January	53,915	48,580	348,822	302,791
Transferred to Property plant and equipment	-	-	(31,992)	-
Charge for the year [Note 18 (b)]	5,335	5,335	31,592	46,031
Balance as at 31st December	59,250	53,915	348,422	348,822
Carrying value as at 31st December	448,434	453,769	744,786	868,188

36 (a) Valuation of Investment Properties - Bank

	Cost/Carrying Amount As at 31st December 2025					Fair Value As at 31st December 2025			Fair Value As at 31st December 2024 Total
	Building sq.ft	Land Perches	Land (Cost) (Rs 000)	Building (Net Book Value) (Rs 000)	Total (Rs 000)	Land (Rs 000)	Building (Rs 000)	Total (Rs 000)	(Rs 000)
23 & 23 1/1, Independence Avenue, Colombo 7 [Note 36 (b) i]	10,470	105.10	37,081	32,447	69,528	-	-	1,071,500	1,071,500
479, T B Jayah Mawatha, Colombo 10 [Note 36 (b) ii]	Land	113.00	126,480	-	126,480	2,654,560	-	2,654,560	2,654,600
21, 21A, 23 & 25, Janadhipathi Mawatha, Colombo 1 [Note 36 (b) ii]	Land	26.62	34,889	-	34,889	785,300	-	785,300	785,300
451, Kandy Road, Kegalle [Note 36 (b) ii]	Land	56.30	83,400	-	83,400	205,495	-	205,495	205,495
181, High Level Road, Nugegoda.	12,990	16.50	82,500	51,637	134,137	193,900	94,600	288,500	288,500
			364,350	84,084	448,434	3,839,255	94,600	5,005,355	5,005,395

36 (b) Valuation of Investment Properties - Group

	Cost/Carrying Amount As at 31st December 2025					Fair Value As at 31st December 2025			Fair Value As at 31st December 2024 Total
	Building sq.ft	Land Perches	Land (Cost)	Building (Net Book Value)	Total	Land	Building	Total	
			Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Through the Bank									
23 & 23 1/1, Independence Avenue, Colombo 7 [Note 36 (b) i]	10,470	105.10	37,081	32,447	69,528	-	-	1,071,500	1,071,500
181, High level Road, Nugegoda	12,990	16.50	82,500	51,637	134,137	193,900	94,600	288,500	288,500
Through the Subsidiary -Sithma Development (Pvt) Ltd									
21, 21A, 23 & 25, Janadhipathi Mawatha, Colombo 1 [Note 36 (b) ii]	49,490	-	-	45,451	45,451	-	484,300	484,300	484,330
451, Kandy Road, Kegalle [Note 36 (b) ii]	16,865	-	-	69,828	69,828	-	203,863	203,863	194,500
Through the Subsidiary -HNB Finance PLC [Note 36 (b) iii]									
249, Stanley Thilekaratne Mawatha, Pagoda, Nugegoda	24,952	39.60	151,063	244,125	395,188	629,903	500,097	1,130,000	1,005,000
Vihara Road, Rankewatte, Matale	-	15.00	9,000	-	9,000	18,000	-	18,000	16,500
465/1, Old Police Station Road, Kahathuduwa, Polgasowita	-	-	-	-	-	-	-	-	206,500
Adampodaivayal, Adampodimalaikadu, Trincomalee	-	724.00	14,000	-	14,000	44,000	-	44,000	41,000
Siyabalawalana Village, Katugampola, Giriulla	-	196.00	3,712	-	3,712	5,900	-	5,900	5,500
Kalupahana Village, Horana	-	12.85	3,942	-	3,942	5,200	-	5,200	5,200
			301,298	443,488	744,786	896,903	1,282,860	3,251,263	3,318,530

36 (b) i Valued as a condominium property

36 (b) ii Lands situated at No 479, T B Jayah Mw, Colombo 10 on which HNB Towers is built, No 21, 21A, 23 and 25, Janadhipathi Mawatha, Colombo 01 and No. 451, Kandy Road, Kegalle are leased out to Sithma Development (Pvt) Ltd by the Bank and the Bank receives ground rent and substantial portion of the building is occupied by the third party tenants. Accordingly, these lands have been classified as investment properties in the statement of financial position of the Bank.

36 (b) iii These properties are held by the subsidiary of the Bank, HNB Finance PLC and valuations of the said properties were carried out by Ms R.M.N. Priyadarshani a professional independent valuer. All these properties other than the property situated in Trincomalee, Giriulla and Horana have been mortgaged to Seylan Bank PLC by HNB Finance PLC for the financial facilities obtained by the company. The aggregate mortgage value amounts to Rs 665 Mn.

There are no restrictions on the realisability of investment properties of the Group other than as specified above.

36 (b) iv Land situated at 465/1, Old Police Station Road, Kahathuduwa, Polgasowita held by HNB Finance PLC have been transferred from Investment Property category to Property Plant and Equipment category during the year ended 31st December 2025 since the Company has decided to utilise this property for its own use. Consequently, the asset no longer meets the definition of an investment property and has been reclassified as Property, Plant and Equipment during the year.

NOTES TO THE FINANCIAL STATEMENTS

36 INVESTMENT PROPERTIES (Contd.)

36 (c) Valuation details of Investment Properties

In determining fair value, the current condition of the properties, future usability and associated development requirements have been considered. Further, the valuers have made reference to market evidence of transaction prices for similar properties with appropriate adjustments for size and locations.

36 (c) i Bank

Property	Name of professional Valuer	Method of valuation and significant unobservable inputs	Range of estimates for unobservable inputs
23 & 23 1/1, Independence Avenue, Colombo 07	Mr G. W. G. Abeygunawardene	Investment Method approach - Estimated rent per month - Years since purchase - Outgoing expenses as a percentage of gross annual rent	Rs 5,300,000 22.22 25%
479, T.B. Jayah Mawatha, Colombo 10	Mr G. W. G. Abeygunawardene	Market comparable method - Rate per perch for land	Rs 23,500,000
21, 21A, 23 & 25, Janadhipathi Mawatha, Colombo 01	Mr G. W. G. Abeygunawardene	Market comparable method - Rate per perch for land	Rs 29,500,000
451, Kandy Road, Kegalle	Mr W.M. S.K. Walisundara	Contractor's method - Rate per perch for land	Rs 3,650,000
181, High Level Road, Nugegoda	Mr G. W. G. Abeygunawardene	Comparison approach - Rate per perch for land - Rate per Sq.ft.	Rs 11,750,000 Rs.5,250 to Rs. 8,300

36 (c) ii Group

Property	Name of professional Valuer	Method of valuation and significant unobservable inputs	Range of estimates for unobservable inputs
Through the Bank -			
23 & 23 1/1, Independence Avenue, Colombo 07	Mr G.W.G. Abeygunawardene	Investment Method approach - Estimated rent per month - Years since purchase - Outgoing expenses as a percentage of gross annual rent	Rs 5,300,000 22.22 25%
Through the subsidiary - Sithma Development (Pvt) Ltd			
21, 21A, 23 & 25, Janadhipathi Mawatha, Colombo 01	Mr G.W.G. Abeygunawardene	Depreciated replacement cost basis - Rate per Sq.ft for building	Rs.7,800-Rs.10,850
451, Kandy Road, Kegalle	Mr W.M.S.K. Walisundara	Depreciated replacement cost basis - Rate per Sq.ft for building	Rs.12,500-Rs.14,000
Through the subsidiary - HNB Finance PLC			
No.249, Stanley Thilekerathna Mawatha, Pagoda, Nugegoda	Ms R.M.N.Priyadarshani	Income approach - Price per perch for land - Price per Sq.ft for building	Rs.12,400,000-Rs.12,800,000 Rs.16,000-Rs.20,000
Vihara Road, Rakewatta, Matale	Ms R.M.N.Priyadarshani	Market approach - Price per perch for land	Rs.900,000-Rs.1,300,000

Property	Name of professional Valuer	Method of valuation and significant unobservable inputs	Range of estimates for unobservable inputs
No.465/1, Old Police Station Road, Kahathuduwa, Polgasowita	Ms R.M.N.Priyadarshani	Income approach - Price per perch for land - Price per Sq.ft for building	Rs.500,000-Rs.900,000 Rs.2,000-Rs.6,000
Adampodaivayal, Adampodaimlaikadu, Trincomalee	Ms R.M.N.Priyadarshani	Market approach - Price per perch for land	Rs.55,000-Rs.59,000
Siyabalawalana village, Katugampola, Giriulla	Ms R.M.N.Priyadarshani	Market approach - Price per perch for land	Rs.28,000-Rs.32,000
Kalupahana Village, Horana	Ms R.M.N.Priyadarshani	Market approach - Price per perch for land	Rs.300,000-Rs.700,000

36 (c) iii Fair Valuation of Investment properties

Fair valuation of investment properties held through the Bank and through the subsidiary, Sithma Development (Pvt) Ltd was carried out in 2025 while the fair valuation of investment properties held through the subsidiary, HNB Finance PLC were revalued as of March 2025.

Fair value of the investment properties is determined using the income approach, market comparable method and depreciated replacement cost basis as appropriate.

Unobservable inputs used in measuring fair value

- Depreciated replacement cost basis/Market comparable method

Significant increase/(decrease) in estimated price per perch, price per sq.ft and depreciation rate would result in a significantly higher/(lower) fair value.

- Income approach

Significant increase/(decrease) in rent per sq.ft, outgoing expenses and number of years since purchase would result in a significantly higher/(lower) fair value.

36 (d) Statement of Income and Expenditure of investment properties

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Rental income derived from the investment properties [Note 14]	123,682	130,757	123,682	385,955
Direct operating expenses (including repair and maintenance generating rental income [Note 18])	-	170	46,100	58,765

NOTES TO THE FINANCIAL STATEMENTS

37 PROPERTY, PLANT AND EQUIPMENT ACCOUNTING POLICY

Basis of Recognition

Property, plant and equipment are recognised if it is probable that future economic benefits associated with the assets will flow to the Group and cost of the asset can be reliably measured.

Measurement

An item of property, plant and equipment that qualifies for recognition as an asset is initially measured at its cost. Cost includes expenditure that is directly attributable to the acquisition of the asset and cost incurred subsequently to add to, replace part of, or service it. The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to a working condition for its intended use and the costs of dismantling and removing the items and restoring the site on which those are located. Purchased software that is integral to the functionality of the related equipment is capitalised as part of computer equipment.

When parts of an item of property or equipment have different useful lives, those are accounted for as separate items (major components) of property, plant and equipment.

Cost Model

The Group applies cost model to property, plant and equipment except for freehold land and buildings and records at cost of purchase or construction together with any incidental expenses thereon, less accumulated depreciation and any accumulated impairment losses.

Revaluation Model

The Group applies the revaluation model to the entire class of freehold land and buildings. Such properties are carried at a revalued amount, being their fair value at the date of revaluation, less any subsequent accumulated depreciation and subsequent accumulated impairment loss. Freehold land and buildings of

the Group are revalued at least once in every three years on a roll over basis, to ensure that the carrying amounts do not differ materially from the fair values at the reporting date. On revaluation of an asset, any increase in the carrying amount is recognised in other comprehensive income and accumulated in equity, under capital reserve, or used to reverse a previous revaluation decrease relating to the same asset, which was charged to the income statement. In this circumstance, the increase is recognised as income to the extent of the previous write down. Any decrease in the carrying amount is recognised as an expense in the income statement or debited in the other comprehensive income to the extent of any credit balance existing in the capital reserve in respect of that asset. The decrease recognised in other comprehensive income reduces the amount accumulated in equity under capital reserves. Any balance remaining in the revaluation reserve in respect of an asset, is transferred directly to retained earnings on retirement or disposal of the asset.

Reclassification as Investment Property

When the use of a property changes from owner-occupied to investment property, the property is re-measured to fair value and reclassified as an investment property. Any gain arising on re-measurement, is recognised in the income statement to the extent that it reverses a previous impairment loss on the specific property, with any remaining gain recognised in other comprehensive income and presented in revaluation reserve in equity. Any loss is recognised immediately in the income statement.

Subsequent Costs

The subsequent cost of replacing a component of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic

benefits embodied within that part will flow to the Group and its cost can be reliably measured. The costs of day to day servicing of property, plant and equipment are charged to the income statement as incurred. Costs incurred in using or redeploying an item, is not included under carrying amount of an item.

De-recognition

The carrying amount of an item of property, plant and equipment is de-recognised on disposal or when no future economic benefits are expected from its use or disposal. The gain or loss arising from the de-recognition of an item of property, plant and equipment which is calculated as the difference between the carrying amount and the net disposal proceeds, is included in the income statement when the item is de-recognised.

When replacement costs are recognised in the carrying amount of an item of property, plant and equipment, the remaining carrying amount of the replaced part is de-recognised. Major inspection costs are capitalised. At each such capitalisation, the remaining carrying amount of the previous cost of inspections is de-recognised.

Depreciation

The Group provides depreciation from the date the assets are available for use up to the date of disposal. The assets are depreciated at the following rates on a straight line basis over the periods appropriate to the estimated useful lives, based on the pattern in which the asset's future economic benefits are expected to be consumed by the Group other than disclosed separately. Depreciation of an asset ceases at the earlier of the date that the asset is classified as held for sale or the date that the asset is de-recognised. Depreciation does not cease when the assets become idle or is retired from active use unless the asset is fully depreciated.

ACCOUNTING POLICY

Hatton National Bank PLC and its Subsidiary Companies (except for Sithma Development (Pvt) Ltd)

Class of Asset	% per annum
Freehold buildings	2.50
Motor vehicles	25.00
Computer equipment	16.67
Office equipment	20.00
Furniture and fittings	10.00
Fixtures	10.00

Sithma Development (Pvt) Ltd

Class of Asset	% per annum
Generators, generator panels and associated power cables	2.00
Chillers, cooling towers and associated equipment	4.00
Lifts and escalators	4.00
Building management systems	4.00
Plant and machinery	20.00
Equipment	20.00
Furniture and fittings	10.00

Capital Work-in-Progress

These are expenses of a capital nature directly incurred in the construction of buildings and major plant and machinery awaiting capitalisation. Capital work-in-progress would be transferred to the relevant asset when it is available for use i.e. when it is in the location and condition necessary for it to be capable of operating in the manner intended by management. Capital work-in-progress is stated at cost less any accumulated impairment losses.

ASSUMPTIONS AND ESTIMATION UNCERTAINTIES

Fair value of freehold land and buildings

The freehold land and buildings of the Group are reflected at fair value. The Group engages independent valuers to determine the fair value of freehold land and buildings in terms of Sri Lanka Accounting Standard - SLFRS 13 on "Fair Value Measurement".

The methods used to determine the fair value of the freehold land and buildings, are further explained in Note 37 (d) to the financial statements.

Useful Life Time of Property, Plant and Equipment

The Group reviews the residual values, useful lives and methods of depreciation of property, plant and equipment at each reporting date. Management exercises judgement in the estimation of these values, rates, methods and hence those are subject to uncertainty.

NOTES TO THE FINANCIAL STATEMENTS

37 PROPERTY, PLANT AND EQUIPMENT (Contd.)

Bank	Improvements to Leasehold Buildings Note 37 (b) Rs 000	Freehold Land and Buildings Note 37 (a) Rs 000	Computer Equipment Rs 000	Equipment Furniture and Fixtures Rs 000	Motor Vehicles Rs 000	Capital Work-in Progress Rs 000	2025 Total Rs 000	2024 Total Rs 000
Cost/valuation as at 1st January	2,332,132	26,072,400	7,319,491	8,314,788	142,882	3,242	44,184,935	39,366,740
Accumulated depreciation adjustment on Revaluation	-	-	-	-	-	-	-	(759,928)
Revaluation surplus	-	-	-	-	-	-	-	4,733,055
Additions and improvements	107,748	65,050	784,237	1,079,085	43,540	55,931	2,135,591	1,516,991
Disposals during the year	-	-	-	(1,152)	-	-	(1,152)	(709,837)
Impairment losses recognised	-	-	(47,713)	(719,492)	-	-	(767,205)	37,914
Transferred from capital work-in-progress	37,771	4,110	-	7,579	-	(49,460)	-	-
Cost/valuation as at 31st December	2,477,651	26,141,560	8,056,015	8,680,808	186,422	9,713	45,552,169	44,184,935
Accumulated depreciation as at 1st January	2,076,990	8,672	5,769,289	6,060,635	142,882	-	14,058,468	13,948,220
Accumulated depreciation adjustment on Revaluation	-	-	-	-	-	-	-	(759,928)
Accumulated depreciation adjustment on Impairment	-	-	(37,326)	(701,401)	-	-	(738,727)	-
Charge for the year [Note 18 (b)]	136,293	345,904	490,682	752,396	1,917	-	1,727,192	1,579,932
Disposals during the year	-	-	-	(893)	-	-	(893)	(709,756)
Accumulated depreciation as at 31st December	2,213,283	354,576	6,222,645	6,110,737	144,799	-	15,046,040	14,058,468
Carrying value as at 31st December 2025	264,368	25,786,984	1,833,370	2,570,071	41,623	9,713	30,506,129	-
Carrying value as at 31st December 2024	255,142	26,063,728	1,550,202	2,254,153	-	3,242	-	30,126,467

Group	Improvements to Leasehold Buildings Note 37 (b)	Freehold Land and Buildings Note 37 (a)	Computer Equipment Rs 000	Equipment Furniture and Fixtures Rs 000	Motor Vehicles Rs 000	Capital Work-in Progress Rs 000	2025 Total Rs 000	2024 Total Rs 000
Cost/valuation as at 1st January	2,332,132	50,354,782	8,574,890	11,830,255	231,165	41,989	73,365,213	67,764,874
Addition from acquisition of subsidiary	41,342	82,211	110,822	2,057,258	33,433		2,325,066	
Accumulated depreciation adjustment on revaluation	-	(87,117)	-	-	-	-	(87,117)	(1,119,959)
Transfer from investment property	-	91,810	-	-	-	-	91,810	
Revaluation surplus	-	180,507	-	-	-	-	180,507	5,490,075
Additions and improvements	108,468	65,539	938,966	1,252,989	119,574	90,021	2,575,557	1,993,957
Disposals during the year	-	-	(43,561)	(33,901)	-	-	(77,462)	(801,648)
Impairment losses recognised	-	-	(47,713)	(719,492)	-	-	(767,205)	37,914
Transferred from capital work-in-progress	37,771	4,110		21,225		(63,106)	-	-
Cost/valuation as at 31st December	2,519,713	50,691,842	9,533,404	14,408,334	384,172	68,904	77,606,369	73,365,213
Accumulated depreciation as at 1st January	2,076,990	1,061,571	6,476,497	8,092,813	189,476	-	17,897,347	17,599,917
Addition from acquisition of subsidiary	40,833	2,406	72,835	660,127	33,433	-	809,634	
Accumulated depreciation adjustment on revaluation	-	(87,117)	-	-	-	-	(87,117)	(1,119,959)
Accumulated depreciation adjustment on Impairment			(37,326)	(701,401)	-	-	(738,727)	
Charge for the year [Note 18 (b)]	136,509	598,845	682,188	1,014,816	27,871	-	2,460,229	2,212,880
Disposals during the year	-	-	(43,257)	(31,801)	-	-	(75,058)	(795,492)
Accumulated depreciation as at 31st December	2,254,332	1,575,705	7,150,937	9,034,554	250,780	-	20,266,308	17,897,346
Carrying value as at 31st December 2025	265,381	49,116,137	2,382,467	5,373,780	133,392	68,904	57,340,061	
Carrying value as at 31st December 2024	255,142	49,293,211	2,098,393	3,737,442	41,690	41,989	-	55,467,867

NOTES TO THE FINANCIAL STATEMENTS

37 PROPERTY, PLANT AND EQUIPMENT (Contd.)

37 (a) Information on Freehold Land and Buildings of the Bank - Extents and Locations

As required by the Rule 7.6 (viii) of the Listing Rules of the Colombo Stock Exchange.

Bank	Land Perches	Buildings Sq.ft.	Cost/ Valuation of Land Rs 000	Cost/ Valuation of Buildings Rs 000	Total Value Rs 000	Accumulated Depreciation Rs 000	As at 31st December 2025 Carrying Value Rs 000	As at 31st December 2024 Carrying Value Rs 000
Akkaraipattu Branch								
14, Main Street, Akkaraipattu.	19.32	9,164	125,580	79,420	205,000	5,393	199,607	204,873
Ambalangoda Branch								
94/1, New Galle Road, Ambalangoda.	29.90	4,960	194,350	33,250	227,600	2,262	225,338	227,552
Anuradhapura Branch								
30, Maithripala Senanayake Mawatha, Anuradhapura.	48.55	9,406	247,605	64,623	312,228	4,252	307,976	309,900
Badulla Branch								
15, 15 1/1, Udayaraja Mawatha,Badulla.	28.40	5,715	134,900	20,100	155,000	1,383	153,617	154,967
Bambalapitiya Branch								
285, Galle Road, Colombo 04.	20.00	19,018	470,000	163,685	633,685	8,502	625,183	593,100
Boralesgamuwa Branch								
24, Maharagama Road, Boralesgamuwa.	30.34	6,250	197,200	41,600	238,800	2,838	235,962	238,733
Borella Branch								
53/1, D S Senanayake Mawatha,Colombo 08.	28.00	10,950	434,000	129,733	563,733	8,737	554,996	561,794
Centre of Aspirations								
90, Vinayalankara Mawatha, Colombo 10.	249.00	10,270	5,478,000	87,600	5,565,600	5,975	5,559,625	5,565,459
Centralised Operations								
10, Sri Uttarananda Mawatha, Colombo 3	40.00	70,240	1,140,000	629,250	1,769,250	42,285	1,726,965	1,767,801
City Office								
16, Janadhipathi Mawatha, Colombo 1.	84.00	48,350	2,478,000	352,121	2,830,121	23,595	2,806,526	2,827,840
Chavakachcheri Branch								
170, Kandy Road, Chavakachcheri .	35.31	5,387	88,000	37,700	125,700	1,166	124,534	125,672
Dambulla Branch								
700B, Anuradhapura Road, Dambulla.	93.00	7,376	223,200	52,800	276,000	3,639	272,361	275,914
Fruithill Bungalow								
No 295/6, Dimbula Road, Hatton.	52.00	4,530	31,200	26,978	58,178	1,629	56,549	54,962
Galle Branch								
3, Wakwella Road, Galle.	13.80	7,920	131,100	53,500	184,600	3,649	180,951	184,514
Gampaha Branch								
148, Colombo Road, Gampaha.	25.00	16,683	150,000	208,500	358,500	14,179	344,321	358,165
Gampola Branch								
142, Kandy Road, Gampola.	16.00	13,340	80,000	155,000	235,000	5,477	229,523	234,837
Grandpass Branch								
182, St Joseph Street, Colombo 14.	24.00	11,240	222,000	127,500	349,500	8,658	340,842	349,295
Gunasinghapura Stores								
11, Mohandiram's Road, Colombo 12.	48.30	6,030	700,300	33,793	734,093	2,299	731,794	733,846

Bank	Land Perches	Buildings Sq.ft.	Cost/ Valuation of Land Rs 000	Cost/ Valuation of Buildings Rs 000	Total Value Rs 000	Accumulated Depreciation Rs 000	As at 31st December 2025 Carrying Value Rs 000	As at 31st December 2024 Carrying Value Rs 000
Ja-Ela Branch								
73, Old Negombo Road, Kanuwana, Ja-Ela.	19.00	-	76,000	-	76,000	-	76,000	76,000
Jaffna Metro Branch								
177 & 179, Ponnampalam Road, Jaffna.	62.09	30,988	496,700	386,585	883,285	13,103	870,182	877,107
Kahawatte Branch								
772 A, Main Street, Kahawatte.	16.28	17,949	48,840	64,160	113,000	4,376	108,624	112,897
Kalmunai Branch								
30A, Batticaloa Road, Kalmunai.	25.10	6,540	138,050	57,028	195,078	2,009	193,069	194,958
Kandy Branch								
1, Dalada Veediya, Kandy.	56.00	27,705	1,257,200	293,376	1,550,576	19,905	1,530,671	1,549,530
Kuliapitiya Branch								
225, Main Street, Kuliapitiya.	24.00	5,490	144,000	46,000	190,000	3,138	186,862	189,926
Kurunegala Branch								
6, St. Anne's Street, Kurunegala.	22.00	19,646	220,000	177,768	397,768	12,071	385,697	396,715
Mount Bungalow								
16, Mount Road, Hatton.	159.00	4,728	55,650	24,350	80,000	1,661	78,339	79,961
Mannar Branch								
68, Main Street, Mannar.	23.00	6,490	69,000	36,291	105,291	2,468	102,823	104,942
Marawila Branch								
534, Colombo Road, Marawila.	43.80	7,595	87,600	46,102	133,702	3,129	130,573	133,526
Maskeliya Branch								
7/11, New Town, Maskeliya.	19.00	8,231	47,500	57,500	105,000	3,904	101,096	104,908
Matara Branch								
58D, Esplanade Road, Matara.	26.00	9,484	156,000	62,000	218,000	4,204	213,796	217,901
Minuwangoda Branch								
41, Samarakkody Road, Minuwangoda.	20.51	3,232	61,530	24,270	85,800	1,648	84,152	85,761
Managers' Bungalow								
295, Dimbula Road, Hatton.	41.00	2,060	29,325	8,675	38,000	592	37,408	37,986
Mount Lavinia Branch								
605, Galle Road, Mount Lavinia.	22.60	14,730	214,700	100,800	315,500	6,855	308,645	315,338
Nawalapitiya Branch								
68, Gampola Road, Nawalapitiya.	9.27	7,134	63,963	60,626	124,589	1,649	122,940	122,961
Negombo Branch								
18, Rajapakse Broadway, Negombo.	8.88	5,400	57,720	40,254	97,974	2,803	95,171	95,437
Negombo Metro								
201, Colombo Road, Negombo.	51.81	24,132	233,145	301,655	534,800	20,484	514,316	534,316
Nittambuwa Branch								
22, Kandy Road, Nittambuwa.	53.44	9,293	160,300	171,300	331,600	11,650	319,950	331,325
Nochchiyagama Branch *								
10, Puttalam Road, Nochchiyagama.	-	8,280	-	54,000	54,000	3,683	50,317	53,913

NOTES TO THE FINANCIAL STATEMENTS

37 PROPERTY, PLANT AND EQUIPMENT (Contd.)

Bank	Land Perches	Buildings Sq.ft.	Cost/ Valuation of Land Rs 000	Cost/ Valuation of Buildings Rs 000	Total Value Rs 000	Accumulated Depreciation Rs 000	As at 31st December 2025 Carrying Value Rs 000	As at 31st December 2024 Carrying Value Rs 000
Nuwara Eliya Branch/Bungalow								
42, Queen Elizabeth Drive, Nuwara Eliya.	191.50	13,815	1,077,500	61,159	1,138,659	4,160	1,134,499	1,136,903
Nugegoda Branch								
190, 190/1, Highlevel Road (New), Nugegoda.	39.65	20,160	456,000	229,826	685,826	6,917	678,909	685,437
Panchikawatte Branch								
168, Panchikawatta Road, Colombo 10.	22.55	16,030	338,300	140,608	478,908	9,469	469,439	477,476
Pettah Branch								
149-151, Main Street, Colombo 11.	13.03	12,480	495,100	131,200	626,300	8,922	617,378	626,089
Pettah Metro **								
88, Main Street, Colombo 11.	-	3,708	-	141,900	141,900	9,650	132,250	141,672
Polonnaruwa Branch *								
467, Main Street, Kaduruwela, Polonnaruwa.	-	9,314	-	72,006	72,006	4,911	67,095	71,884
Pussellawa Branch								
510, Nuwara Eliya Road, Pussellawa.	13.00	6,590	41,600	65,400	107,000	4,461	102,539	106,895
Ratnapura Branch								
21 & 23, Senanayake Mawatha, Ratnapura.	50.00	18,970	237,000	85,100	322,100	2,560	319,540	321,940
Sea Street Branch								
60, Sea Street, Colombo 11.	6.93	9,625	221,800	67,100	288,900	4,577	284,323	288,792
Trincomalee Branch								
59, Ehamparam Road, Trincomalee.	31.75	9,072	127,000	85,000	212,000	5,798	206,202	211,863
Vavuniya Branch								
43, Inner Circular Road, Vavuniya.	-	9,571	-	60,562	60,562	3,983	56,579	55,909
Wattala Branch								
270, 270/1, Negombo Road, Wattala.	53.00	8,725	318,000	64,100	382,100	4,372	377,728	381,997
Welimada Branch								
35, Nuwara Eliya Road, Welimada.	14.37	12,568	75,443	55,055	130,498	3,756	126,742	130,412
Wellawaya Branch								
70, Kumaradasa Mawatha, Wellawaya.	25.50	10,525	34,897	43,153	78,050	2,943	75,107	77,930
Wellawatte Branch								
100 & 102, Galle Road, Colombo 06.	36.05	16,280	775,000	189,200	964,200	12,847	951,353	963,897
			20,340,298	5,801,262	26,141,560	354,576	25,786,984	26,063,728

* Buildings constructed on the state land given on lease

** Condominium property

Bank has 53 freehold buildings as at 31st December 2025

37 (a) Information on Freehold Land and Buildings of the Group - Extents and Locations

Group	Land Perches	Buildings Sq.ft.	Cost/ Valuation of Land Rs 000	Cost/ Valuation of Buildings Rs 000	Total Value Rs 000	Accumulated Depreciation Rs 000	As at 31st December 2025 Net Book Value Rs 000	As at 31st December 2024 Net Book Value Rs 000
Through the subsidiary - Sithma Development (Pvt) Ltd.								
479 T B Jayah Mawatha, Colombo 10	112.96	549,890	2,478,000	19,120,797	21,598,797	1,196,267	20,402,530	20,707,755
Janadhipathi Mawatha, Colombo 1	26.62	-	785,290	-	785,290		785,290	785,290
451, Kandy Road, Kegalle	61.70	-	205,495	-	205,495		205,495	205,495
Through the subsidiary - HNB Finance PLC								
94 96/1, Kandy Road, Kurunegala	7.05	5,755	49,348	62,152	111,500	1,371	110,129	105,463
46/A, Tangalle Road, Hambanthota	14.20	2,508	9,891	14,109	24,000	311	23,689	20,835
677, William Gopallawa Mawatha, Kandy	9.26	5,400	41,378	53,622	95,000	1,183	93,817	89,862
168, Nawala Road, Nugegoda	25.90	30,887	284,607	555,393	840,000	12,251	827,749	883,093
No 67/1, Mahinda Place, Kirulapone, Colombo 5	8.00	5,786	51,189	98,811	150,000	2,180	147,820	142,062
No 10/11, Galle Road, Katubedda, Moratuwa	23.00	-	80,000	-	80,000		80,000	57,500
No.56 , Puttalam Service Mawatha, Puttalam	25.60	7,085	45,930	70,070	116,000	1,420	114,580	95,266
No.06 , Abaya Place,7th Lane , Anuradapura.	13.52	11,237	60,766	112,234	173,000	2,275	170,725	136,862
No.465/1 , Old Police Station Road , Kahathuduwa , Polgasovita.	23	20,494	127,794	78,706	206,500	-	206,500	-
Through the subsidiary - HNB Assurance PLC								
No. 44D, Polhena Road, Devalapola, Minuwangoda.	160	7,905	41,600	40,400	82,000	1,101	80,899	-
Through the subsidiary - HNB Investment Bank								
Campion Mini Hydro, Bogawanthalawa, Nuwara Eliya District	17	-	1,000	-	1,000	-	1,000	-
Karuwalagahawewa, Kaluperumawa, Palapaththala, Ambanpola	10	550	18,827	2,255	21,082	421	20,661	-
Diwurumpolahena, Bellana, Palindanuwara		368	21,185	899	22,084	203	21,881	-
Patanahena Estate, Godamunna, Medadumbara, Pallekele	37	-	32,527	-	32,527	-	32,527	-
Kadawala 1 Mini Hydro Power Plant, Peragahamula, Ginigathena	-	3,030	-	2,828	2,828	1,372	1,456	-
Therberton Mini Hydro power plant,Maskeli Oya at therberton estate, Kiriwan Eliya, Nuwara Eliya District	-	1,600	-	3,179	3,179	774	2,405	-
Total freehold land and buildings -Subsidiaries			4,334,827	20,215,455	24,550,282	1,221,129	23,329,153	23,229,483
Total freehold land and buildings - Group			24,675,125	26,016,717	50,691,842	1,575,705	49,116,137	49,293,211

Group has 72 freehold buildings as at 31st December 2025

NOTES TO THE FINANCIAL STATEMENTS

37 PROPERTY, PLANT AND EQUIPMENT (Contd.)

37 (b) Improvements to Leasehold Buildings

As at 31st December	Bank				Group			
	2025		2024		2025		2024	
	Cost of Buildings	Accumulated Depreciation	Net Book Value	Net Book Value	Cost of Buildings	Accumulated Depreciation	Net Book Value	Net Book Value
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
01 - 05 years	1,197,055	1,114,307	82,748	51,080	1,127,768	1,116,138	83,761	51,080
06 - 10 years	1,184,426	1,024,584	159,842	167,614	1,112,765	1,025,066	159,842	167,614
11 - 15 years	70,097	56,161	13,936	27,331	65,527	94,898	13,936	27,331
16 - 20 years	26,072	18,230	7,842	9,117	26,072	18,230	7,842	9,117
	2,477,650	2,213,282	264,368	255,142	2,332,132	2,254,332	265,381	255,142

37 (c) The Details of Freehold Land and Buildings Which are Stated at Valuation - Bank

As required by Rule 7.6 (viii) of Listing Rules of Colombo Stock Exchange

Date of valuation: 31st December 2024.

Bank	Name of Professional Valuer	Range of Estimates for Unobservable Inputs	Carrying Value before Revaluation of		Revalued Amount of		Revaluation Gain/ (Loss) recognised on	
			Land	Buildings	Land	Buildings	Land	Buildings
			Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Akkaraipattu Branch	Mr S. Suresh	Rs.6,500,000 p.p/Rs.12,500 p.sq.ft	135,000	31,524	125,580	79,420	(9,420)	47,896
Ambalangoda Branch	Mr G.K.D.K. Abayathunga	Rs.6,500,000 P P/Rs.9,350-Rs.9,500 p.sq.ft	150,000	23,880	194,350	33,250	44,350	9,370
Anuradhapura Branch	Mr W. M. S. K.Walisundara	Rs.6,000,000 p.p/Rs.Rs.9,500 p.sq.ft	143,648	61,564	247,605	62,395	103,957	831
Badulla Branch	Mr E.P.P. Jayaratne	Rs.4,750,000 p.p /Rs.4,000-6,500 p.sq.ft	127,890	17,829	134,900	20,100	7,010	2,271
Bambalapitiya Branch	Mr G.W.G. Abeygunawardene	Rs.23,500,000 p.p /Rs.3,500-Rs.7,750 P.Sq.ft	450,000	91,373	470,000	123,300	20,000	31,927
Boralesgamuwa Branch	Mr G.W.G. Abeygunawardene	Rs.6,500,000 p.p /Rs.6,500-Rs.6,750 P.Sq.ft"	176,000	32,118	197,200	41,600	21,200	9,482
Borella Branch	Mr G.W.G. Abeygunawardene	Rs.15,500,000 p.p /Rs.3,000-Rs.12,750 P.Sq.ft	392,000	102,839	434,000	128,000	42,000	25,161
Centre of Aspiration	Mr G.W.G. Abeygunawardene	Rs.22,000,000 P.P/Rs.8,150-Rs.8,900 P.Sq.ft	4,233,000	71,780	5,478,000	87,600	1,245,000	15,820
Chavakachcheri Branch	Mr S. Suresh	Rs.2,500,000 p.p /Rs.7000 p.sq.ft	49,500	21,864	88,000	37,700	38,500	15,836
City Office	Mr G.W.G. Abeygunawardene	Rs.29,500,000 p.p /Rs.4,500-Rs.7,750 P.Sq.ft	2,184,000	245,250	2,478,000	350,400	294,000	105,150
Dambulla Branch	Mr W.M. S.K.Walisundara	Rs.3,000,000 p.p/Rs.9,500 p.Sq.ft	224,600	54,257	223,200	52,800	(1,400)	(1,457)
Fruithill Bungalow	Mr A. Senevirathne	Rs.600,000 p.p /Rs.7,500 p.sq.ft	26,900	16,768	31,200	23,800	4,300	7,032
Galle Branch	Mr G.K.D.K. Abayathunga	Rs.9,500,000 P. P./Rs.9,250-Rs.10,000 p.sq.ft	117,300	43,548	131,100	53,500	13,800	9,952

Bank	Name of Professional Valuer	Range of Estimates for Unobservable Inputs	Carrying Value before Revaluation of		Revalued Amount of		Revaluation Gain/ (Loss) recognised on	
			Land Rs 000	Buildings Rs 000	Land Rs 000	Buildings Rs 000	Land Rs 000	Buildings Rs 000
Gampaha Branch	Mr D.C. Sosa	Rs.6,000,000 p.p /Rs.12,500 p.sq.ft	121,250	134,781	150,000	208,500	28,750	73,719
Gampola Branch	Mr A. Senevirathne	Rs.5,000,000 p.p /Rs.14,500 p.sq.ft	76,725	123,536	80,000	155,000	3,275	31,464
Grandpass Branch	Mr G.W.G. Abeygunawardene	Rs.9,250,000 p.p/ Rs.9,250-Rs.12,750 P.Sq.ft	216,000	105,089	222,000	127,500	6,000	22,411
Gunasinghapura Stores	Mr G.W.G. Abeygunawardene	Rs.14,500,000 p.p /Rs.5,250-Rs.6,000 P.Sq.ft	458,900	26,759	700,300	33,600	241,400	6,841
Ja-Ela Branch	Mr D.C. Sosa	Rs.4,000,000 p.p	62,000	-	76,000	-	14,000	-
Jaffna Metro Branch	Mr S. Suresh	Rs.8,000,000 p.p /Rs.12,300 p.sq.ft	372,500	273,835	496,700	381,000	124,200	107,165
Kahawatte Branch	Mr E.P.P.Jayarathne	Rs.3,000,000 p.p /Rs.3,000-Rs.6,500 p.sq.ft	36,315	41,712	48,840	64,160	12,525	22,448
Kalmunai Branch	Mr S. Suresh	Rs.5,500,000. p.p /Rs.12,500 p.sq.ft	113,000	28,391	138,050	56,950	25,050	28,559
Kandy Branch	Mr A. Senevirathne	Rs.22,450,000 p.p /Rs.7,000-Rs.17,500 p.sq.ft	1,153,000	225,101	1,257,200	292,800	104,200	67,699
Kuliapitiya Branch	Mr W.M. S.K.Walisundara	Rs.6,000,000 p.p /Rs.10,000 p.sq.ft	41,745	26,074	144,000	46,000	102,255	19,926
Kurunegala Branch	Mr W.M. S.K.Walisundara	Rs.10,000,000 p.p /Rs.12,000 p.sq.ft	150,800	137,217	220,000	177,000	69,200	39,783
Mount Bungalow	Mr A. Senevirathne	Rs.350,000 p.p /Rs.6,500 p.sq.ft	48,027	20,823	55,650	24,350	7,623	3,527
Mannar Branch	Mr S. Suresh	Rs.3,000,000 p.p /Rs.5,580 p.sq.ft	40,000	19,431	69,000	36,000	29,000	16,569
Marawila Branch	Mr W.M. S.K.Walisundara	Rs.2,000,000 p.p /Rs.4,500-Rs.6,500 p.sq.ft	58,800	43,769	87,600	46,000	28,800	2,231
Maskeliya Branch	Mr A. Senevirathne	Rs.2,500,000 p.p /Rs.4,000-Rs.10,000 p.sq.ft	44,704	42,883	47,500	57,500	2,796	14,617
Matara Branch	Mr G.K.D.K. Abayathunga	Rs.6,000,000 p.p /Rs.9,250-Rs.9,500 p.sq.ft	90,000	49,602	156,000	62,000	66,000	12,398
Minuwangoda Branch	Mr D.C. Sosa	Rs.3,000,000 p.p /Rs.7,500 p.sq.ft	51,275	28,326	61,530	24,270	10,255	(4,056)
Managers' Bungalow	Mr A. Senevirathne	Rs.575,000 p.p /Rs.6,500 p.sq.ft	20,045	6,136	29,325	8,675	9,280	2,539
Mount Lavinia Branch	Mr G.W.G. Abeygunawardene	Rs.9,500,000 p.p /Rs.5,700-Rs.7,750 p.sq.ft	192,100	86,064	214,700	100,800	22,600	14,736
Nawalapitiya Branch	Mr W.M.S.K.Walisundara	Rs.6,900,000 p.p /Rs.3,500-11,000p.sq.ft	67,032	51,238	63,963	59,037	(3,069)	7,798
Negombo Branch	Mr D.C. Sosa	Rs.6,500,000 p.p /Rs.7,000 p.sq.ft	32,000	32,234	57,720	37,780	25,720	5,546
Negombo Metro Building	Mr D.C. Sosa	Rs.4,500,000 p.p /Rs.12,500 p.sq.ft	170,000	202,388	233,145	301,655	63,145	99,267
Nittambuwa Branch	Mr D.C. Sosa	Rs.3,000,000 p.p /Rs.4,500-Rs.21,500 p.sq.ft	155,932	144,000	160,300	171,300	4,368	27,300

NOTES TO THE FINANCIAL STATEMENTS

37 PROPERTY, PLANT AND EQUIPMENT (Contd.)

Bank	Name of Professional Valuer	Range of Estimates for Unobservable Inputs	Carrying Value before Revaluation of		Revalued Amount of		Revaluation Gain/ (Loss) recognised on	
			Land Rs 000	Buildings Rs 000	Land Rs 000	Buildings Rs 000	Land Rs 000	Buildings Rs 000
Nochchiyagama Branch*	Mr W.M. S.K.Walisundara	Rs.7,500-Rs.10,000 p.sq.ft	-	42,274	-	54,000	-	11,726
Nugegoda Branch	Mr G.W.G. Abeygunawardene	Rs.11,500,000 p.p /Rs.6,650-Rs.13,650 p.sq.ft	416,300	208,075	456,000	229,600	39,700	21,525
Nuwara Eliya Branch/ Bungalow	Mr A. Senevirathne	Rs.5,000,000 p.p-7,000,000P.P / Rs.8,500-Rs.9,000 p.sq.ft	865,150	51,015	1,077,500	59,500	212,350	8,485
Panchikawatta Branch	Mr G.W.G. Abeygunawardene	Rs.15,000,000 P.P /Rs.4,650-Rs.9,950 P.Sq.ft	281,800	113,970	338,300	139,400	56,500	25,430
Pettah Branch	Mr G.W.G. Abeygunawardene	Rs.38,000,000 P.P/Rs.6,500-Rs.11,250 P.Sq.ft	390,900	102,020	495,100	131,200	104,200	29,180
Pettah Metro**	Mr G.W.G. Abeygunawardene	Rs.245 -Rs.290 P.Sq.ft	-	109,234	-	141,900	-	32,666
Polonnaruwa Branch*	Mr W.M. S.K.Walisundara	Rs.11,500 p.sq.ft	-	67,012	-	72,000	-	4,988
Pussellawa Branch	Mr A. Senevirathne	Rs.3,200,000 p.p /Rs.11,000 p.sq.ft	39,325	49,407	41,600	65,400	2,275	15,993
Ratnapura Branch	Mr E.P.P. Jayaratne	Rs.4,750,000 p.p /Rs.3,000-Rs.6,750 p.sq.ft	206,150	74,996	237,000	85,000	30,850	10,004
Sea Street Branch	Mr G.W.G. Abeygunawardene	Rs.32,000,000 p.p/Rs.5,600-Rs.7,650 P.Sq.ft	191,500	55,313	221,800	67,100	30,300	11,787
Trincomalee Branch	Mr S. Suresh	Rs.4,000,000 p.p /Rs.12,500 p.sq.ft	111,000	31,887	127,000	85,000	16,000	53,113
Vavuniya Branch*	Mr S. Suresh	Rs.5,890 p.sq.ft	-	34,825	-	56,000	-	21,175
Wattala Branch	Mr D.C. Sosa	Rs.6,000,000 p.p /Rs.3,500-Rs.8,000 p.sq.ft	318,000	47,953	318,000	64,100	-	16,147
Welimada Branch	Mr E.P.P.Jayarathne	Rs.5,250,000 p.p /Rs.3,000-Rs.6,500 p.sq.ft	71,850	41,561	75,443	55,058	3,593	13,497
Wellawaya Branch	Mr E.P.P. Jayaratne	Rs.400,000-Rs.2,250,000 p.p / Rs.1,500-Rs.6,500 p.sq.ft	31,560	38,529	34,898	43,103	3,338	4,574
Wellawatte Branch	Mr G.W.G. Abeygunawardene	Rs.21,500,000 p.p /Rs.7,750-Rs.12,500 P.Sq.ft	739,000	155,256	775,000	189,200	36,000	33,944
Centralised Operations Building	Mr G.W.G. Abeygunawardene	Rs.28,500,000 p.p /Rs.7,500-10,500 p.sq.ft	1,080,000	489,599	1,140,000	628,800	60,000	139,201
			16,924,523	4,376,909	20,340,299	5,732,103	3,415,776	1,355,193

* Buildings constructed on the state land given on lease

** Condominium property

37 (d) Fair value measurement of Freehold land and buildings

Given below are the valuation techniques used in measuring freehold land and buildings;

Type	Valuation technique	Inter-relationship between significant unobservable inputs and fair value measurement
Freehold land and buildings	Depreciated replacement cost basis	This method involves the capitalisation of expected cost of construction at appropriate remaining life time of the building. Significant increase/(decrease) in estimated price per perch, price per sq.ft and depreciation rate would result in a significantly higher/(lower) fair value.
	Market comparable method	Market comparable method considers the selling price of a similar property within a reasonable period of time in determining the fair value of the property being revalued. This involves evaluation of recent active market prices of similar assets, making appropriate adjustment for differences in size, nature, location and condition of the specific property. In this process, outlier transactions indicative of particularly motivated buyers or sellers are compensated for, since the price may not adequately reflect the fair market value.
	Investment method	This method involves the capitalisation of the expected rental income at an appropriate rate of years purchased currently characterised by the real estate market. Significant increase/(decrease) in rent per sq.ft, outgoing expenses and number of years since purchase would result in a significantly higher/(lower) fair value.

The fair values of the Group's freehold land and buildings are determined by independent valuers at least once in every three years according to the Group's policy. During the year 2024, the fair values of the Group's freehold land and buildings were determined by independent valuers as per the Group's policy to revalue the freehold land and buildings at least once in every three years.

NOTES TO THE FINANCIAL STATEMENTS

37 PROPERTY, PLANT AND EQUIPMENT (Contd.)

37 (e) Temporarily Idle Property, Plant and Equipment - Bank

There was no temporarily idle property, plant and equipment as at 31st December 2025, except the Land in Ja-Ela valued at Rs 76 Mn.

37 (f) Compensation from Third Parties for Property, Plant and Equipment - Bank

No compensation was received from third parties for items of property, plant and equipment that were impaired, lost or given up.

37 (g) Capitalisation of Borrowing Costs

Borrowing costs were not capitalised in the acquisition of property plant and equipment during the year 2025 (2024 - Nil)

37 (h) Title restriction on property plant and equipment

There were no restrictions on the title of the property plant and equipment of the Group/Bank as at the reporting date.

37 (i) Property plant and equipment pledged as security for liabilities - Bank

There were no item of property, plant and equipment pledged as securities for liabilities as at the reporting date in the Bank.

37 (j) Fully Depreciated Property, Plant and Equipment

The initial cost of fully depreciated property, plant and equipment which are still in use as at the reporting date is as follows;

As at 31st December	Bank	
	2025 Rs 000	2024 Rs 000
Leasehold building	1,849,610	1,751,050
Computer equipment	4,780,724	4,334,967
Office equipment, furniture and fixtures	4,691,116	4,376,136
Motor Vehicle	142,882	142,882
	11,464,332	10,605,035

37 (k) Assessment of Impairment

The Board of Directors has assessed the potential impairment loss on property, plant and equipment as at 31st December 2025. Based on the assessment, the Bank provided an impairment of Rs 28 Mn for the reporting period.

37 (l) Change in Classification from /(to) Investment Properties

Group did not reclassify any property, plant and equipment as investment properties during the year. Details of investment properties reclassified as property plant and equipment have been provided in 36 (b) iv.

37 (m) The carrying amount of Bank's revalued freehold land and buildings, if they carried at cost less accumulated depreciation, would be as follows.

As at 31st December	2025			2024		
	Cost	Accumulated Depreciation	Net book value	Cost	Accumulated Depreciation	Net book value
		Rs 000	Rs 000		Rs 000	Rs 000
Freehold lands and buildings	4,682,007	2,620,764	2,061,243	4,612,846	2,620,584	1,992,262
Total	4,682,007	2,620,764	2,061,243	4,612,846	2,620,584	1,992,262

In accordance with Sri Lanka Accounting Standard - SLFRS -16 "Lease" Group accounts for all lease hold rights except for short term leases, which are held for use in the provision of services. At the inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is a lease or contains a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

• **Group acting as a lessee**

At commencement or on modification of a contract that contains a lease component, the Group allocates consideration of the contract to each lease component on the basis of its relative standalone price. However, for leases of branches and office premises the Group has elected not to separate non-lease component and accounts for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove any improvements made to branches or office premises.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot

be readily determined, the Group's incremental borrowing rate. Generally, the Group uses its incremental borrowing rate as the discount rate.

The Group determines its incremental borrowing rate by analysing its borrowings from various external sources and makes certain adjustments to reflect the terms of the lease and type of asset leased.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group's estimate of the amount expected to be payable under a residual value guarantee, if the Group changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group presents right-of-use assets on the face of the statement of financial position and lease liabilities within "other liabilities" in the statement of financial position.

• **Short-term leases and leases of low-value assets**

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases, including leases of IT equipment. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

• **Group acting as a lessor**

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in

the contract to each lease component on the basis of their relative stand-alone selling prices.

When the Group acts as a lessor, it determines at lease inception whether the lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

The Group applies the derecognition and impairment requirements in SLFRS 9 to the net investment in the lease. The Group further regularly reviews estimated unguaranteed residual values used in calculating the gross investment in the lease.

The details of lease receivables which comprise of finance leases where the group acts as the lessor, are disclosed in note 31 to the financial statements.

• **Leases as lessee**

The Bank leases a number of branch and office premises. For some leases, payments are renegotiated once in every five years to reflect market rentals. Some leases provide for additional rent payments that are based on changes in local price indices.

The leases on branch and office premises were entered in to many years ago and previously, these leases were classified as operating leases under LKAS 17.

Information about leases for which the Bank is a lessee is presented in Note 38 (c) to the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

38 RIGHT-OF-USE ASSETS (Contd.)

ACCOUNTING POLICY

ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

Right-of-Use Assets and Lease Liability

The Group uses its judgment to determine whether an operating lease contract qualifies for recognition of right-of-use assets. The Group applies judgement in evaluating whether it is reasonably

certain whether or not to exercise the option to renew or terminate the lease. That is, it considers all relevant factors that create an economic benefit for it to exercise either the renewal or termination. Further, the Group cannot readily determine the interest rate implicit in the lease. Therefore, it uses its incremental borrowing rate to measure operating

lease liability. The incremental borrowing rate is the rate of interest that the Group would have to pay to borrow over a similar term and with similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in similar economic environment.

38 (a) Movement in Right-of-use Assets

	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Cost				
Balance as at 1st January	7,616,739	7,802,243	4,741,241	4,787,635
Addition from acquisition of subsidiary	-	-	144,803	-
Additions/renewals of leases during the year	2,973,735	417,454	1,726,884	925,585
Effect of remeasurement rent due to change in duration	3,674,554	-	-	-
Expiration of lease agreements during the year	(374,467)	(602,958)	(466,305)	(971,979)
Balance as at 31st December	13,890,561	7,616,739	6,146,623	4,741,241
Accumulated amortisation				
Balance as at 1st January	3,104,393	2,720,905	2,438,294	2,314,186
Addition from acquisition of subsidiary	-	-	47,653	-
Amortisation for the year [Note 18 (b)]	823,844	848,063	777,632	891,471
Effect of remeasurement rent due to change in duration	1,231,764	-	-	-
Amortisation of expiring lease agreements during the year	-	(464,575)	(91,123)	(767,363)
Balance as at 31st December	5,160,001	3,104,393	3,172,456	2,438,294
Carrying value as at 31st December	8,730,560	4,512,346	2,974,167	2,302,947

The lease liabilities are presented under Note 51 to the financial statements. Given below is the movement of the operating lease liability during the period.

38 (b) Movement in lease liabilities

	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Balance as at 1st January	5,945,438	6,342,349	2,502,190	2,877,746
Addition from acquisition of subsidiary			95,072	
Additions/renewal of lease agreements during the year	905,489	417,454	1,485,970	925,585
Effect of remeasurement rent due to change in duration	2,944,301	-	-	-
Accretion of interest [Note 8 (b)]	591,766	879,192	23,074	421,269
Payments to lease creditors	(1,392,074)	(1,090,599)	(915,983)	(750,431)
Expiration of lease agreements during the year	(374,467)	(602,958)	(375,516)	(971,979)
Balance as at 31st December (Note 51)	8,620,453	5,945,438	2,814,807	2,502,190

38 (c) Future Minimum Lease Payments under Non-cancellable Operating Leases

As at 31st December	Bank	
	2025 Rs 000	2024 Rs 000
<u>Maturity analysis of contractual undiscounted cash flows</u>		
Less than one year	1,464,738	1,362,327
Between one and five years	5,359,238	4,401,552
More than five years	17,222,997	4,659,147
<u>Total undiscounted lease liabilities</u>	<u>24,046,973</u>	<u>10,423,026</u>

38 (d) Sensitivity of Right-of-Use Assets/Lease Liability to Key Assumptions

Sensitivity to Incremental Borrowing Rate

Increase/(decrease) in incremental borrowing rate as at 31st December 2025 by 1% would have (decreased)/ increased the lease liability by approximately Rs 81 Mn and Rs 82 Mn respectively. Had the Bank increased/ (decreased) the incremental borrowing rate by 1%, the Bank's profit before tax for the year would have (decreased)/ increased by approximately Rs 0.03 Mn and Rs 2 Mn respectively.

38 (e) Amounts Recognised in Profit or loss

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Interest expense on lease liabilities	591,766	879,192	23,074	421,268
Amortisation of right-of-use assets	823,844	848,063	777,632	891,471
Effect of remeasurement rent due to change in duration	1,084,598	-	-	-
	<u>2,500,208</u>	<u>1,727,255</u>	<u>800,706</u>	<u>1,312,739</u>

38 (f) Amounts recognised in statement of cash flows in respect of operating lease liabilities during the year ended 31st December 2025 amounts to Rs 1,596 Mn (2024 - Rs 1,555 Mn)

not by the lessors. The Group assesses at lease commencement date whether it is reasonably certain to exercise the extension options. The Group reassesses whether it is reasonably certain to exercise the options if there is a significant event or a significant change in circumstances within its control.

38 (g) Extension Options

Some leases of office premises contain options exercisable by the Group up to one year before the end of the non-cancellable contract period. Where practicable, the Group seeks to include extension options in new leases to provide operational flexibility. The extension options held are exercisable only by the Group and

38 (h) Leases as Lessor

The details of maturity analysis of finance lease receivables have been provided in Note 61 to the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

39 INTANGIBLE ASSETS AND GOODWILL ACCOUNTING POLICY

Basis of Recognition

An intangible asset is recognised if it is probable that the future economic benefits that are attributable to the asset will flow to the Group and the cost of the asset can be measured reliably. An intangible asset is initially measured at cost. The cost of intangible assets acquired in a business combination is the fair value as at the date of acquisition.

(a) Goodwill

Goodwill that arises upon the acquisition of subsidiaries is included in intangible assets. Goodwill is measured at initial recognition in accordance with Note 3.1.1 to the financial statements.

Subsequent measurement

Goodwill is measured at cost less accumulated impairment losses. In respect of equity accounted investees, the carrying amount of goodwill is included in the carrying amount of the investment, and an impairment loss in such an investment is not allocated to any asset, including goodwill, that forms part of the carrying amount of equity accounted investee.

Any gain on bargain purchase is recognised immediately in the income statement.

(b) Software

All computer software costs incurred, licensed for use by the Group, which are not integrally related to associated hardware, which can be clearly identified, reliably measured and it's probable that those will lead to future economic benefits, are included in the statement of financial position under the category "intangible assets" and are carried at cost less accumulated amortisation and any accumulated impairment losses.

(c) License

The amount that would be required to obtain a license to operate a registered finance business is recognised as license in the financial statements.

Subsequent expenditure

Expenditure incurred on software is capitalised, only when it is probable that this expenditure will enable the asset to generate future economic benefits in excess of its originally assessed standard of performance and this expenditure can be measured and attributed to the asset reliably. All other expenditure is expensed as incurred.

Amortisation

The useful lives of intangible assets are assessed as either finite or infinite.

Intangible assets, with finite lives, are amortised on a straight line basis in the income statement from the date when the asset is available for use, over the best estimate of the useful economic life based on a pattern in which the asset's economic benefits are consumed by the Bank/Group.

The estimated amortisation rates are as follows

Class of Asset	Computer software
% per annum	16.67

Those assets are assessed for impairment whenever there is an indication that the intangible asset may be impaired. Expenditure on an intangible item that was initially recognised as an expense by the Group in previous annual financial statements or interim financial statements are not recognised as part of the cost of an intangible asset at a later date. Amortisation methods, useful lives and residual values are reviewed

at each reporting date and adjusted if appropriate.

Goodwill and intangible assets with infinite useful lives are not amortised, but are assessed for impairment annually. The assessment of infinite life is reviewed annually to determine whether the infinite life continues to be supportable.

De-recognition

An intangible asset is de-recognised on disposal or when no future economic benefits are expected from its use and subsequent disposal. Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in the income statement.

ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

Impairment of Goodwill

The Group estimates the value in use of the Cash Generating Units (CGU) to which goodwill has been allocated in order to determine whether goodwill is impaired. The value in use calculation requires the entity to estimate the future cash flows expected to arise from the CGU and a suitable discount rate in order to calculate present value.

Useful Life Time of Intangible Assets

The Group reviews the residual values, useful lives and methods of depreciation of intangible assets at each reporting date. Management exercises judgement in the estimation of these values, rates, methods and hence those are subject to uncertainty.

	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Cost				
Balance as at 1st January	6,524,691	6,166,525	7,787,815	7,383,367
Addition from acquisition of subsidiary	-	-	305,110	-
Additions and improvements during the year	960,504	358,166	2,252,733	499,081
Disposals during the year	-	-	-	(75,238)
Amortisation of Goodwill acquired through subsidiary, HNB Finance PLC	-	-	(4,849)	(19,395)
Balance as at 31st December	7,485,195	6,524,691	10,340,809	7,787,815
Accumulated amortisation				
Balance as at 1st January	5,201,750	4,606,426	5,979,062	5,373,471
Addition from acquisition of subsidiary	-	-	47,758	-
Amortisation for the year [Note 18 (b)]	564,962	595,324	668,511	680,592
Disposals during the year	-	-	-	(75,001)
Balance as at 31st December	5,766,712	5,201,750	6,695,331	5,979,062
Carrying value as at 31st December	1,718,483	1,322,941	3,645,478	1,808,753

39 (a) Analysis of Intangible Assets

	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
As at 31st December				
Computer Software	1,718,483	1,322,941	2,551,703	1,585,812
Goodwill *	-	-	993,775	122,941
License	-	-	100,000	100,000
	1,718,483	1,322,941	3,645,478	1,808,753

*Goodwill amounting to Rs 122.94 Mn has been recognised in respect of acquisition of HNB Finance PLC in 2014. Goodwill amounting to Rs 58.2 Mn was recognised during the year ended 31st December 2021 in respect of acquisition of Prime Finance PLC by HNB Finance PLC and same has been fully amortised over a 4 year period which ended on 31st December 2025.

Further, goodwill amounting to Rs 870.83 Mn was recognised during the year in respect of acquisition of subsidiary, HNB Investment Bank (Pvt) Ltd.

39 (b) Acquisition of subsidiary - HNB Investment Bank (Pvt) Ltd ("Company")

On 21st January 2025, the Bank acquired the remaining 50% of the equity holding in Acuity Partners (Pvt) Ltd, joint venture of the Bank. As a result, the Group's equity interest in Acuity Partners (Pvt) Ltd increased to 100% and the entity was subsequently rebranded as HNB Investment Bank (Pvt) Ltd.

This acquisition was primarily driven by the synergistic benefits expected to be derived by positioning HNB as a full-service financial services conglomerate. The goodwill recognised on the acquisition is primarily attributed to the potential earnings expected from the acquired business lines.

The consolidated financial statements of HNB Investment Bank (Pvt) Ltd recorded Rs 9,934 Mn as revenue and Rs 2,063 Mn as profit after tax for the year ended 31st December 2025.

NOTES TO THE FINANCIAL STATEMENTS

39 INTANGIBLE ASSETS AND GOODWILL (Contd.)

39 (b) When preparing the consolidated financial statements, the Company has been accounted for as a subsidiary, w.e.f 1st January 2025 and the revenue and profits of the acquiree since such date have been included in the consolidated statement of profit or loss and other comprehensive income for the reporting period.

39 (c) Consideration transferred on acquisition date

	Rs 000
Cash consideration	6,500,000
	6,500,000

39 (d) Identifiable assets acquired and liabilities assumed

The following table summarises the recognised amounts of assets acquired and liabilities assumed at the date of acquisition.

	Rs 000
Property , Plant and equipment	1,612,583
Intangible Assets	257,164
Investment in associates	5,839,809
Financial investments	56,612,867
Deposit with Colombo Stock Exchange	1,000
Trade and other receivable	2,883,385
Cash and cash equivalent	2,576,671
Borrowings	(3,508,300)
Employee benefits	(93,632)
Lease liability	(95,071)
Differed tax liability	(46,232)
Trade and other payable	(2,549,753)
Payable under repurchase agreements	(48,102,014)
Current tax liability	(927,830)
Total identifiable net assets acquired	14,460,647

39 (e) Goodwill

Goodwill arising from the acquisition has been recognised as follows.

	Rs 000
Consideration transferred on acquisition date [Note 39 (a)]	6,500,000
Fair value of pre-existing interest	5,629,167
Non-controlling interest	3,202,313
Total identifiable net assets acquired [Note 39 (d)]	(14,460,647)
	870,833

39 (f) Assessment of Impairment

As at 31st December 2025, the Bank carried out an impairment assessment on the goodwill recognised, on acquisition of HNB Finance PLC and HNB Investment Bank (Pvt) Ltd.

The recoverable value of the goodwill has been determined based on the residual income method.

Key assumptions used in residual income calculation

- HNB Finance PLC

Profit Growth

Profit growth was projected based on the forecast given in the strategic plan of the company. Budgeted Profit before taxes, depreciation and amortisation was based on expectation of future outcomes taking into past experience, adjusted for anticipated economic conditions.

Discount factor

The discount rate of 20% used is based on the risk free rate, adjusted for temporary fluctuations in interest rates.

Inflation

The basis used to determine the value assigned to the budgeted cost

inflation is the inflation rate based on projected economic conditions.

- HNB Investment Bank (Pvt) Ltd

The Bank performed an impairment assessment of goodwill on its investment in HNB Investment Bank, and concluded its recoverable value exceeds its carrying value. The key assumptions related to the evaluation of the business value of HNB Investment Bank and its subsidiaries vary on account of the specific nuances of each business.

Assumptions used for the various methodologies are updated to reflect the most recent data, both internal and external, as available and required. The discount rates used for this purpose, where applicable, varied between 17.9% - 18.6%, and were based on the risk-free rate, for which the reference rate was the most recent mid-rate on a selected treasury bond tenor plus an equity risk premium multiplied by a beta factor.

- Other intangible assets

The Board of Directors has assessed the potential impairment loss of other intangible assets as at 31 December 2025. Based on the assessment, no impairment provision is required to be made in the financial statements as at the reporting date.

39 (g) Title Restriction on Intangible Assets

There are no restrictions on the title of the intangible assets of the Group as at the reporting date.

39 (h) Intangible Assets pledged as Security

None of the intangible assets have been pledged as security as at the reporting date.

39 (i) Acquisition of Intangible Assets During the Year

During the financial year, the Bank and Group acquired intangible assets to the aggregate value of Rs 960 Mn and Rs 2.2 Bn respectively (2024 - Rs 358 Mn and Rs 499 Mn respectively). Cash payments amounting to Rs 960 Mn and Rs 2.2 Bn respectively (2024 - Rs 358 Mn and Rs 499 Mn) were made for purchase of intangible assets by the Bank and Group respectively, during the year.

39 (j) Fully Amortised Intangible Assets in Use

Intangible assets include fully amortised computer software amounting Rs 4.3 Bn (2024 - Rs. 3.5 Bn) which are in use in the normal business activities of the Group.

40 DEFERRED TAX ASSETS AND LIABILITIES

ACCOUNTING POLICY

The policy adopted in accounting for deferred tax is given in Note 21 to the financial statements.

ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

Deferred Tax Assets

Deferred tax assets are recognised in respect of loan impairment allowances which will be recovered in the foreseeable future and on tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Judgement is required to determine the amount of deferred tax assets that can be recognised, based on the likely timing and level of future taxable profits, together with future tax planning strategies.

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Net deferred tax liabilities [Note 40 (a)]	-	-	6,857,168	6,731,283
Net deferred tax assets [Note 40 (b)]	891,810	3,393,785	1,340,386	3,941,633
	891,810	3,393,785	(5,516,782)	(2,789,650)

NOTES TO THE FINANCIAL STATEMENTS

40 DEFERRED TAX ASSETS AND LIABILITIES (Contd.)

40 (a) Net Deferred Tax Liabilities

	Bank		Group	
	2025	2024	2025	2024
	Tax Effect Rs 000	Tax Effect Rs 000	Tax Effect Rs 000	Tax Effect Rs 000
Balance as at 1st January	10,964,207	8,480,149	18,159,553	15,668,716
Recognised in profit or loss				
Originating during the year				
Recognised/(realised) in the income statement	373,316	(176,745)	485,043	(395,882)
Effect of change in tax rate	-	-	-	-
	373,316	(176,745)	485,043	(395,882)
Recognised in OCI				
Originating during the year				
Recognised/(realised) in the income statement	(57,672)	2,660,803	(29,170)	2,886,719
Effect of change in tax rate	-	-	-	-
Balance as at 31st December	11,279,851	10,964,207	18,615,426	18,159,553
Offset against deferred tax assets	(11,279,851)	(10,964,207)	(11,758,258)	(11,428,270)
Net deferred tax liabilities (Note 40)	-	-	6,857,168	6,731,283

40 (b) Net Deferred Tax Assets

	Bank		Group	
	2025	2024	2025	2024
	Tax Effect Rs 000	Tax Effect Rs 000	Tax Effect Rs 000	Tax Effect Rs 000
Balance as at 1st January	14,357,991	42,424,712	15,369,903	43,083,478
Originating during the year				
Recognised/(realised) in the income statement	(2,193,848)	(28,066,721)	(2,246,499)	(27,726,162)
Effect of change in tax rate / Others	7,518	-	(7,182)	-
	(2,186,330)	(28,066,721)	(2,253,681)	(27,726,162)
Recognised in OCI	-	-	(17,578)	12,587
Balance as at 31st December	12,171,571	14,357,991	13,098,644	15,369,903
Offset against deferred tax liabilities	(11,279,851)	(10,964,207)	(11,758,258)	(11,428,270)
Net deferred tax assets (Note 40)	891,810	3,393,785	1,340,386	3,941,633

40 (c) Recognised Deferred Tax Assets and Liabilities

40 (c) i Recognised Deferred Tax Assets/(Liabilities) - Bank

	Temporary Difference	Statement of Financial Position As at 31st December	Temporary Difference	Statement of Financial Position As at 31st December	Statement of Profit or Loss For the year ended 31st December		Other Comprehensive Income For the year ended 31st December	
	2025 Rs 000	2025 Rs 000	2024 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Accelerated depreciation for tax purposes								
Property, plant and equipment	(5,835,680)	(1,750,704)	(4,532,247)	(1,359,674)	(391,030)	(163,427)	-	-
Intangible assets	(434,523)	(130,357)	(432,467)	(129,740)	(617)	39,192	-	-
Assets on leasing business	(132,143)	(39,643)	(193,250)	(57,975)	18,331	300,981	-	-
Fair valuation of government securities	(7,182,442)	(2,154,733)	(7,374,660)	(2,212,398)	-	-	57,762	(1,240,887)
Revaluation surplus on freehold lands	(19,198,881)	(5,759,664)	(19,198,881)	(5,759,664)	-	-	-	(1,025,653)
Revaluation surplus on freehold buildings	(4,821,507)	(1,446,452)	(4,821,507)	(1,446,452)	-	-	-	(394,263)
	(37,605,176)	(11,281,553)	(36,553,011)	(10,965,903)	(373,316)	176,745	57,762	(2,660,803)
Operating lease rights	(110,107)	(33,032)	1,433,090	429,927	(462,959)	51,624	-	-
Temporary difference on allowance for impairment	40,687,982	12,206,395	46,432,537	13,929,761	(1,723,371)	(28,118,346)	-	-
	40,577,875	12,173,362	47,865,627	14,359,688	(2,186,330)	(28,066,722)	-	-
	2,972,699	891,810	11,312,616	3,393,785	(2,559,646)	(27,889,976)	57,762	(2,660,803)

NOTES TO THE FINANCIAL STATEMENTS

40 DEFERRED TAX ASSETS AND LIABILITIES (Contd.)

40 (c) ii Recognised Deferred Tax Assets/(Liabilities) - Group

	Temporary Difference	Statement of Financial Position As at 31st December	Temporary Difference	Statement of Financial Position As at 31st December	Statement of Profit or Loss For the year ended 31st December	Other Comprehensive Income For the year ended 31st December
	2025 Rs 000	2025 Rs 000	2024 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Accelerated depreciation for tax purposes						
Property, plant and equipment	(7,055,610)	(2,116,683)	(5,313,503)	(1,594,051)	(522,632)	110,158
Intangible assets	(434,666)	(130,400)	(432,467)	(129,740)	(660)	39,235
Assets on leasing business	(132,143)	(39,643)	(193,250)	(57,975)	18,332	300,982
Fair valuation of government securities	(7,278,722)	(2,183,617)	(7,813,423)	(2,344,027)	-	-
Revaluation surplus on freehold lands	(33,252,357)	(9,975,707)	(33,252,357)	(9,975,707)	-	-
Revaluation surplus on freehold buildings	(12,469,423)	(3,740,827)	(12,367,703)	(3,710,311)	-	-
Undistributed profits of subsidiaries and joint ventures	(1,027,820)	(308,346)	(1,094,210)	(328,263)	19,917	52,859
	(61,650,741)	(18,495,222)	(60,466,913)	(18,140,074)	(485,043)	503,234
Unutilised tax losses	1,325,943	397,783	-	610,883	(213,100)	610,883
Operating lease rights	(55,584)	(16,675)	1,087,347	326,204	(342,875)	(41,756)
Temporary difference on allowance for impairment	41,031,538	12,309,462	47,500,863	14,250,259	(1,697,714)	(28,402,649)
Retirement benefits	959,570	287,871	543,607	163,082	-	-
	43,261,468	12,978,440	49,131,817	15,350,428	(2,253,681)	(27,833,522)
	(18,389,273)	(5,516,782)	(11,335,096)	(2,789,646)	(2,738,724)	(27,330,288)
						11,592
						(2,874,120)

40 (d) Tax losses - Subsidiaries

HNB Finance PLC ("Company")

Unutilised tax credit on amalgamation and tax losses brought forward

During the financial year 2021/22, the Company incurred Rs.2,387 Mn to acquire Prime Finance PLC which was amalgamated with the Company on 12th May 2022. This amount has been confirmed by the Central Bank

of Sri Lanka as expenditure incurred on the amalgamation in accordance with the masterplan for consolidation of non banking financial institutions of Sri Lanka. Accordingly, the company recognised a deferred tax asset on remaining claimable amount and tax loss brought forward amounting to Rs 610 Mn during 2024. During the year the company utilised brought-forward tax losses amounting to Rs. 815 Mn.

Accordingly, a deferred tax asset of Rs. 244.5 Mn has been reversed.

HNB Investment Bank (Pvt) Ltd

During the year, the Group recognised a deferred tax asset of Rs. 31.4 Mn on unclaimed tax losses amounting to Rs. 104.7 Mn arising from the acquisition of the subsidiary.

41 OTHER ASSETS

ACCOUNTING POLICY

The financial assets included in other assets have been accounted for based on the accounting policy discussed in Note 3.4 to the financial statements.

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Un-amortised cost on staff loans	6,979,519	7,801,597	6,979,519	7,801,597
Other debtors	3,895,892	4,736,205	13,581,571	9,876,480
Reimbursement under special senior citizen deposit scheme*	40,916	3,352,494	40,916	3,352,494
Receivable from pension fund	593,411	1,394,045	593,411	1,394,045
Deposits and prepayments	1,927,470	2,216,774	3,959,872	2,742,064
Stationery and other consumables	265,824	216,849	265,824	216,849
Allowance for impairment [Note 41 (a)]	(397,647)	(845,831)	(397,647)	(845,831)
	13,305,385	18,872,133	25,023,466	24,537,698

As at 31st December 2025 other assets includes Rs 634 Mn (2024 - Rs 4,746 Mn) financial assets in the Bank and Rs 7,341 Mn (2024 - Rs 8,414 Mn) in the Group.

* The Bank received Rs 3.3 Bn from the Government during the year.

41 (a) Movement in Impairment Allowance

	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Balance as at 1st January	845,831	59,619	845,831	59,619
Net impairment reversal for the year	(448,184)	786,212	(448,184)	786,212
As at 31st December	397,647	845,831	397,647	845,831

41 (b) Credit and Market Risk

Information about the Group's credit and market risks for financial assets are included in Note 5 to the financial statements.

NOTES TO THE FINANCIAL STATEMENTS

42 DUE TO BANKS

ACCOUNTING POLICY

The accounting policy pertaining to due to banks has been given in Note 3.4 to the financial statements.

Due to banks represents refinance borrowings, call and time deposits and borrowings from banks. Subsequent to

initial recognition, these are measured at their amortised cost using the Effective Interest Rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is

included in "interest expenses" in the Income Statement. Gains and losses are recognised in the Income Statement when the liabilities are de-recognised.

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Local bank borrowings	5,163,713	100,022	5,163,713	100,022
Foreign bank borrowings	1,744,723	1,807,927	1,744,723	1,807,927
Refinance borrowings	1,898,569	2,637,794	1,898,569	2,637,794
Other balances	2,536,167	2,049,828	2,536,167	2,049,828
	11,343,172	6,595,571	11,343,172	6,595,571

The maturity analysis of due to banks is given in Note 61 to the financial statements.

42 (a) Credit and Market Risk

Information about the Group's credit and market risks for due to banks are included in Note 5 to the financial statements.

43 SECURITIES SOLD UNDER REPURCHASE AGREEMENTS

ACCOUNTING POLICY

The accounting policy pertaining to securities sold under repurchase agreements has been given in Note 3.4 to the financial statements.

Securities sold under agreements to repurchase at a specified future date are not de-recognised from the statement of financial position, as the Group retains

substantially all of the risks and rewards of ownership. The corresponding cash received is recognised in the statement of financial position as an asset and a corresponding obligation to return it with accrued interest, as "securities sold under repurchase agreements", reflecting the transaction's economic substance as a loan to the Group. The difference between the

sale and repurchase price is treated as interest expense and is accrued over the life of the agreement using the Effective Interest Rate (EIR). Haircuts for security sold under repurchase agreements comply with Direction No. 01 of 2019 dated 20th November 2019.

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Securities sold under repurchase agreements				
With banks	-	4,741,107	-	4,741,107
With customers	28,197,135	21,744,997	81,505,432	21,744,997
	28,197,135	26,486,104	81,505,432	26,486,104

44 FINANCIAL LIABILITIES MEASURED AT AMORTISED COST - DUE TO DEPOSITORS ACCOUNTING POLICY

The accounting policy pertaining to financial liabilities measured at amortised cost- due to depositors has been given in Note 3.4 to the financial statements.

Due to depositors include non-interest bearing deposits, savings deposits, term deposits, deposits payable at call, certificate of deposits and

margin deposits. Subsequent to initial recognition, deposits are measured at their amortised cost using the Effective Interest Rate (EIR) method, except where the Group designates liabilities as measured at fair value through profit or loss. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that

are an integral part of the EIR. The EIR amortisation is included in "interest expenses" in the income statement. Gains and losses are recognised in the income statement when the liabilities are de-recognised. Group has not designated any liabilities at fair value through profit or loss as at the reporting date.

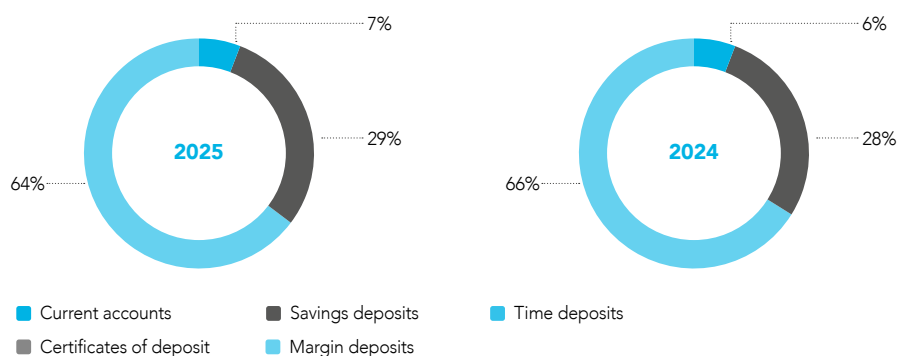
As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Local currency deposits	1,581,012,614	1,392,959,439	1,637,640,473	1,428,235,119
Foreign currency deposits	380,838,583	322,524,688	380,091,724	322,024,114
	1,961,851,197	1,715,484,127	2,017,732,197	1,750,259,233

Analysis of Due to Customers

44 (a) i By Product

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Current account deposits	120,392,409	106,836,687	119,479,139	105,967,271
Savings deposits	571,757,240	479,202,503	572,776,721	480,499,923
Time deposits	1,265,368,365	1,126,853,274	1,321,143,154	1,161,200,376
Certificates of deposit	274,257	274,153	274,257	274,153
Margin deposits	4,058,926	2,317,510	4,058,926	2,317,510
	1,961,851,197	1,715,484,127	2,017,732,197	1,750,259,233

Analysis of deposits- Bank



NOTES TO THE FINANCIAL STATEMENTS

44 FINANCIAL LIABILITIES MEASURED AT AMORTISED COST - DUE TO DEPOSITORS (Contd.)

44 (a) ii By Product

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Local Currency Deposits				
Current account deposits	111,338,421	97,132,894	110,425,151	96,263,478
Savings deposits	486,308,809	409,389,702	487,264,933	410,597,836
Time deposits	979,064,965	883,991,720	1,035,649,970	918,928,682
Certificates of deposit	274,257	274,153	274,257	274,153
Margin deposits	4,026,162	2,170,970	4,026,162	2,170,970
	1,581,012,614	1,392,959,439	1,637,640,473	1,428,235,119
Foreign Currency Deposits				
Current account deposits	9,053,988	9,703,793	9,053,988	9,703,793
Savings deposits	85,448,431	69,812,801	85,433,691	69,783,145
Time deposits	286,303,400	242,861,554	285,571,281	242,390,636
Margin deposits	32,764	146,540	32,764	146,540
	380,838,583	322,524,688	380,091,724	322,024,114
	1,961,851,197	1,715,484,127	2,017,732,197	1,750,259,233

44 (a) iii By Currency

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Sri Lankan Rupees	1,581,012,614	1,392,959,439	1,637,640,473	1,428,235,119
United States Dollars	338,162,975	284,794,164	337,419,934	284,295,799
Great Britain Pounds	16,028,279	13,412,916	16,028,279	13,412,916
Euros	13,608,230	13,868,258	13,604,412	13,866,049
Australian Dollars	10,232,831	8,194,478	10,232,831	8,194,478
Other currencies	2,806,268	2,254,872	2,806,268	2,254,872
	1,961,851,197	1,715,484,127	2,017,732,197	1,750,259,233

The maturity analysis of due to depositors is given in Note 61 to the financial statements.

45 FINANCIAL LIABILITIES AT AMORTISED COST - OTHER BORROWINGS

ACCOUNTING POLICY

The accounting policy pertaining to financial liabilities at amortised cost - other borrowings has been given in Note 23 to the financial statements.

Other borrowings represent refinance borrowings and borrowings from other

financial institutions. Subsequent to initial recognition these borrowings are measured at their amortised cost using the Effective Interest Rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral

part of the EIR. The EIR amortisation is included in "interest expenses" in the income statement. Gains and losses are recognised in the income statement when the liabilities are de-recognised.

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Refinance borrowings	9,808,375	8,910,047	9,808,375	8,910,047
Foreign borrowings	5,702,735	10,830,088	5,702,735	10,830,088
Local borrowings	-	-	11,702,186	2,017
	15,511,110	19,740,135	27,213,296	19,742,152

The maturity analysis of financial liabilities at amortised cost – other borrowings is given in Note 61 to the financial statements.

46 DEBT SECURITIES ISSUED

ACCOUNTING POLICY

The accounting policy pertaining to debt securities issued has been given in Note 3.4 to the financial statements.

Debt securities issued represent funds borrowed for long term funding purposes.

Subsequent to initial recognition debt securities are measured at their amortised cost using the Effective Interest Rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that

are an integral part of the EIR. The EIR amortisation is included in "interest expenses" in the income statement. Gains and losses are recognised in the income statement when the liabilities are de-recognised.

NOTES TO THE FINANCIAL STATEMENTS

46 DEBT SECURITIES ISSUED (Contd.)

Year of issuance	Colombo Stock Exchange Listing	Interest Payment Frequency	Face Value	Fixed / floating interest rate	Interest rate	Interest rate of comparable government securities (Gross) (p.a)	Repayment Terms	Issue Date	Maturity Date	Bank		Group	
										As at 31.12.2025	As at 31.12.2024	As at 31.12.2025	As at 31.12.2024
										Rs 000	Rs 000	Rs 000	Rs 000
					1 Year Average T-bill rate	1 Year Average T-bill rate							
2011/2040*	Not Listed	Monthly	665,000	Fixed	rate	rate	20 Years	01st Apr 2011	31st Mar 2040	-	-	414,219	448,108
2025/2030	Listed	Annually	1,425,280	Fixed	10.25%	T-bill rate	5 years	16th Dec 2025	16th Dec 2030	1,470,046	-	1,470,046	-
2025/2032	Listed	Annually	8,574,720	Fixed	11.00%	T-bill rate	7 years	16th Dec 2025	16th Dec 2032	8,574,720	-	8,102,446	-
Total debt securities issued										10,044,766	-	9,986,711	448,108
Analysis of total debt securities issued													
Due within one year										-	-	-	-
Due after one year										10,044,766	-	9,986,711	448,108
										10,044,766	-	9,986,711	448,108

* Debt securities issued by HNB Finance PLC. Capital repayment commenced from December 2020.

There were no debt securities designated at FVTPL as at 31st December 2025.

The Group did not have any defaults of principal and interest or other breaches with respect to its debt securities during the year ended 31st December 2025.

- 46 (a)** During the year, the Bank issued Rs 10 Bn of listed, rated, unsecured, redeemable senior sustainable bonds at a par value of Rs 100 per bond, comprising five-year (2025–2030) and seven-year (2025–2032) maturities. The issuance consisted of an initial Rs 5 Bn with an additional Rs 5 Bn issued upon the exercise of the oversubscription option.

47 CURRENT TAX LIABILITIES

ACCOUNTING POLICY

The policy adopted in accounting for current tax liabilities is given in Note 21 to the financial statements.

	Bank		Group	
	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000
Balance as at 1st January	10,435,749	23,953,823	11,387,381	24,707,679
Provision for the year	23,498,015	10,588,988	26,929,443	11,929,522
Under/(over) provision in previous years	-	-	11,645	
Payments during the year	(9,497,021)	(24,030,467)	(11,129,881)	(25,027,215)
Withholding tax/other credits	(85,357)	(76,595)	(230,579)	(222,605)
Balance as at 31st December	24,351,386	10,435,749	26,968,009	11,387,381

48 INSURANCE PROVISION - LIFE

The insurance provision-life represents the life fund of the subsidiary HNB Assurance PLC, which is carrying out life insurance business.

ACCOUNTING POLICY

Insurance Provision - Life Insurance

Life insurance liabilities are recognised when contracts are entered into and premiums are charged. These liabilities are measured by using a prospective actuarial valuation method. The liability is determined as the sum of the present value of future benefits, the expected future management and distribution expenses, less the present value of future gross premiums arising from the policy discounted at the appropriate discount rate as specified by the Insurance Regulatory Commission of Sri Lanka. The liability is based on best estimate assumptions and with due regard to significant recent experience. An appropriate allowance for provision of risk margin for adverse deviation from expected experience is included in the valuation.

Liability Adequacy Test (LAT)

At each reporting date, an assessment is made of whether the recognised life insurance liabilities are adequate by using an existing liability adequacy test as laid out under SLFRS 4 "Insurance Contracts". The liability value is adjusted to the extent that it is sufficient to meet future benefits and expenses. The Company performs a Liability Adequacy Test (LAT) in respect of Life Insurance Contract Liabilities with

the assistance of an External Actuary. In performing the LAT, current best estimates of future contractual cash flows, including related cash flows such as claims handling and policy administration expenses, policyholder options and guarantees, as well as investment income from assets backing such liabilities, are used. Number of valuation techniques are applied including discounting cash flows, interest rate applied is based on the management's expectation of current market interest rates. The liability value is adjusted to the extent that it is sufficient to meet future benefits and expenses.

ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

Valuation of Life Insurance Contract Liabilities of Subsidiary, HNB Assurance PLC (HNBA)

The liability for life insurance contracts with Discretionary Participation Features (DPF) is either based on current assumptions or on assumptions established at the inception of the contract, reflecting the best estimate at the time, increased with a margin for risk and adverse deviation. All contracts are subject to a liability adequacy test, which reflect management's best current estimate of future cash flows.

The main assumptions used relate to mortality, morbidity, longevity, investment returns, expenses, lapse and surrender rates and discount rates. For those contracts that insure risk related to longevity, prudent allowance is made for expected future mortality improvements, as well as wide ranging changes to lifestyle, which could result in significant changes to the expected future mortality exposure.

Estimates are also made as to future investment income arising from the assets backing the life insurance contracts. These estimates are based on current market returns, as well as expectations about future economic and financial developments. Assumptions on future expenses are based on current expense levels, adjusted for expected expense inflation, if appropriate.

Lapse and surrender rates are based on the Group's historical experience of lapses and surrenders. Discount rates are based on current industry risk rates for the non-participating products, whereas it is the expected fund yield of par fund for the policies with discretionary participating benefit.

As at 31st December	Group	
	2025	2024
	Rs 000	Rs 000
Insurance Contract Liabilities		
Life Insurance Fund [Note 48 (a)]	48,867,482	38,567,462
Claims Outstanding	377,920	310,250
Total Insurance Contract Liabilities - Life Insurance	49,245,402	38,877,712

NOTES TO THE FINANCIAL STATEMENTS

48 INSURANCE PROVISION - LIFE (Contd.)

48 (a) Life Insurance Fund

	Group	
	2025 Rs 000	2024 Rs 000
Balance as at 01st January	38,567,462	30,705,584
Change in contract liabilities - life fund	-	-
Increase in life insurance fund before surplus distribution to shareholders	12,214,304	9,230,552
Surplus distributed to shareholders	(1,900,000)	(1,350,000)
Increase in life insurance fund	10,314,304	7,880,552
Effect of taxation on surplus/bonus transferred to policyholders	(14,284)	(18,674)
Change in contract liabilities - life fund (after tax)	10,300,020	7,861,878
Balance as at 31st December	48,867,482	38,567,462

Valuation of Life Insurance Fund

The valuation of the Life Insurance fund as at 31st December 2025 was carried out by the Appointed Actuary, Mr Abhishek Chadha, FIA, FIAI for and on behalf of Willis Towers Watson India Private Limited and have ensured adequate provisions have been made in these Financial Statements in line with the Actuarial Valuation.

According to the appointed Actuary's report, the reserve for the year amounted to Rs 44,413 Mn (2024 - Rs 34,983 Mn). In opinion of the appointed Actuary, the reserve is adequate to cover the liabilities pertaining to the Life Insurance fund.

48 (b) Sensitivity of the Value of Insurance Liabilities

As at 31st December	Change in assumptions	Impact on gross liabilities	
		2025 %	2024 %
Mortality	10%	0.38	0.23
	-10%	(0.38)	(0.23)
Discount rate	+50% basis points	(1.44)	(1.06)
	-50% basis points	1.31	1.03
Expense	10%	0.71	0.71
	-10%	(0.67)	(0.67)

Liability Adequacy Testing (LAT)

A Liability Adequacy Test (LAT) for life insurance contract liability was carried out by Mr Abhishek Chadha, FIA, FIAI on behalf of Willis Towers Watson India Private Limited, as at 31st December 2025 as required by SLFRS 4 - Insurance Contracts. When performing the LAT, the Company discounted all contractual cash flows and compared this amount with the carrying value of the liability. The valuation is based on internationally accepted actuarial methods. According to the consultant actuary's report, assets are sufficiently adequate as compared to the reserves as at 31st December 2025. No additional provision was required against the LAT as at 31st December 2025.

49 INSURANCE PROVISION - NON LIFE

The insurance provision non life represents the non life fund of subsidiary HNB General Insurance Limited which is carrying out general insurance business.

ACCOUNTING POLICY

Insurance Provision – Non Life Insurance

Non life insurance contract liabilities are recognised when contracts are entered into and premiums are charged. These liabilities comprise claims liabilities and premium liabilities.

Claims liabilities

Claims liabilities are recognised in respect of both with reinsurance and without reinsurance. Claims liabilities refer to the obligation by the insurance company, whether contractual or otherwise to make future payments in relation to all claims that have been incurred as at valuation date. These include provision for claims reported, claims Incurred But Not Reported ("IBNR") and claims Incurred But Not Enough Reported ("IBNER") together with related claims handling costs. Claims liabilities consist of the best estimate value of the claim liabilities and the Provision of Risk Margin for Adverse Deviation (PRAD) calculated at line of business level.

Premium liabilities

Premium liabilities are the higher of the aggregate of the Unearned Premium Reserve (UPR) and the best estimate value of the insurer's Unexpired Risk Reserves (URR) at the valuation date and the Provision of Risk Margins for Adverse Deviation (PRAD) calculated at line of business level.

The provision for unearned premiums represents premiums received for risks that have not yet expired. Generally, the reserve is released over the term of the contract and is recognised as premium income.

Group uses 1/24th basis to defer the gross written premium of all policies, except for the marine insurance policies and title insurance policies, where marine insurance premiums are deferred based on 60:40 basis and title insurance premiums are transferred to reserves for title insurance for reporting period.

Liability Adequacy Test (LAT)

As required by Sri Lanka Accounting Standard - SLFRS 4 on "Insurance Contracts", the entity performed a Liability Adequacy Test (LAT) in respect of General Insurance contract liabilities with the assistance of an external actuary.

Title Insurance Reserve

Title insurance reserve is maintained by the Group to pay potential claims arising from the title insurance policies. Title insurance policies are normally issued for a long period such as 5 years or more. Thus, no profit is recognised in the first year of the policy given the higher probability of claims occurring in the first year. From the second year onwards, profit is recognised by amortising the premium

received over a five year period using the straight line method. Profit in the first year will be recognised in the second year and thereafter it will be periodically recognised.

ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

Valuation of Non Life Insurance Contract Liabilities of Subsidiary, HNB General Insurance Limited (HNBGI)

The estimates of general insurance contracts have to be made both for the expected ultimate cost of claims reported at the reporting date and for the expected ultimate cost of claims Incurred, But Not yet Reported and claims Incurred, But Not Enough Reported (IBNR/ IBNER) at the reporting date. It can take a significant period of time before the ultimate claims cost can be established with certainty. The main assumption underlying in estimating the amount of outstanding claims is the past claims development experience.

Large claims are usually addressed separately, either by being reserved at the face value of loss adjuster estimates or separately projected in order to reflect their future development. In most cases, no explicit assumptions are made regarding future rates of claims inflation or loss ratios.

NOTES TO THE FINANCIAL STATEMENTS

49 INSURANCE PROVISION - NON LIFE (Contd.)

As at 31st December	Group	
	2025 Rs 000	2024 Rs 000
Gross unearned premium	5,493,834	4,576,570
Reinsurance	(2,260,246)	(1,841,922)
Net unearned premium	3,233,588	2,734,648
Reserve for title insurance	99,689	75,088
	3,333,277	2,809,736
Claims outstanding - Gross	2,669,824	1,128,373
Claims incurred but not reported - Gross	785,898	568,949
	6,788,999	4,507,058

Incurred But Not Reported (IBNR) and Incurred But Not Enough Reported (IBNER)

IBNR and IBNER claims Reserves as at 31st December 2025 has been actuarially computed by the Appointed Actuary, Ms Sipika Tandon Mathur, FIAI, for and on behalf of Willis Towers Watson India Private Limited. The Appointed Actuary has ensured that adequate reserves are maintained by HNB General Insurance Ltd as at 31st December 2025.

Sensitivity of claims outstanding

As at	Change in assumptions	Reported Claim Outstanding Rs 000	Impact on Gross Liabilities Rs 000	Impact on Net Liabilities Rs 000	Impact on Profit before tax Rs 000	Impact on Equity after tax Rs 000
31st December 2025	+/- 10%	2,669,824	+/-266,982	+/-70,441	+/-70,441	-/+49,309

Liability Adequacy Testing (LAT)

A Liability Adequacy Test (LAT) for General Insurance Contract Liability was carried out by Appointed Actuary, Ms Sipika Tandon Mathur, FIAI, as at 31st December 2025 for and on behalf of Willis Towers Watson India Private Limited as required by SLFRS 4 - Insurance Contracts. According to the Appointed Actuary's report, HNB General Insurance Limited adequately satisfies the LAT as at 31st December 2025. No additional provision was required against the LAT as at 31st December 2025.

50 OTHER PROVISIONS

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Impairment allowance for off-balance sheet credit exposures [Note 50 (a)]	3,411,669	3,963,089	3,411,669	3,963,089
Finance VAT and SSCL Payable	5,365,298	11,759,809	5,519,900	11,814,534
Other provisions*	8,210,981	7,763,979	8,362,963	8,491,580
	16,987,948	23,486,877	17,294,532	24,269,203

* Other provision includes accrual for expenses

50 (a) Movement in Impairment for Off Balance Sheet Credit Exposures during the Year

ACCOUNTING POLICY

The expected credit losses on off balance sheet credit exposures is measured based on the methodology described in Note 15 to the financial statements.

ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

Impairment for Financial Guarantees, Letters of Credit and Undrawn Loan Commitments

The Group assesses impairment for off balance sheet exposures such as financial guarantees, letter of credit and undrawn commitments in line with ECL principles as detailed in Note 15 to the financial statements.

	Bank/Group	
	2025 Rs 000	2024 Rs 000
Stage 1		
Balance as at 1st January	1,984,084	3,026,254
Net impairment charge for the year [Note 15]	(729,759)	(1,042,170)
Balance as at 31st December	1,254,325	1,984,084
Stage 2		
Balance as at 1st January	106,880	347,953
Net impairment charge/(reversal) for the year [Note 15]	3,281	(241,073)
Balance as at 31st December	110,161	106,880
Stage 3		
Balance as at 1st January	1,872,125	1,265,662
Net impairment charge/(reversal) for the year [Note 15]	175,059	606,463
Balance as at 31st December	2,047,184	1,872,125
Total impairment allowance for off balance sheet credit exposures	3,411,669	3,963,089

NOTES TO THE FINANCIAL STATEMENTS

51 OTHER LIABILITIES

ACCOUNTING POLICY

The financial liabilities included in other liabilities have been accounted for based on the accounting policy discussed in Note 3.4 to the financial statements.

The operating lease liability has been accounted for based on the accounting policy discussed in Note 38 to the financial statements.

Employee benefit obligations have been accounted for based on the accounting policy discussed in Note 53 to the financial statements.

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Bills payable	1,457,280	1,398,559	1,457,280	1,398,559
Employee benefit obligations [Note 51 (a)]	443,761	395,208	1,624,576	1,245,430
Lease liability [Note 38 (b)]	8,620,453	5,945,438	2,814,807	2,502,190
Dividend Payable	1,056,852	976,029	1,081,166	994,123
Other creditors	6,369,416	5,010,884	20,808,837	10,589,461
Payable to lease creditors	5,577,705	1,356,456	5,577,705	1,850,057
	23,525,467	15,082,574	33,364,371	18,579,820

As at 31st December 2025 other liabilities include Rs 7.6 Mn (2024 - Rs 10.5 Mn) financial liabilities in the Bank and Rs 9,586 Mn (2024 - Rs 4,190 Mn) in the Group.

51 (a) Employee Benefit Obligations

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Liability for EPF interest rate guarantee [Note 53 (d)]	106,941	99,455	106,941	99,455
Liability for leave accrual plan [Note 53 (e)]	336,820	295,753	336,820	295,753
Provision for gratuity benefits [Note 53 (g)]	-	-	1,180,815	850,222
	443,761	395,208	1,624,576	1,245,430

52 SUBORDINATED TERM DEBTS

ACCOUNTING POLICY

The accounting policy pertaining to subordinated term debts is given in Note 3.4 to the financial statements.

Subordinated term debts represent funds borrowed for long term funding purposes which are subordinated to the other claims. Subsequent to initial

recognition, subordinated term debts are measured at their amortised cost using the Effective Interest Rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the EIR. The EIR amortisation is

included in "interest expenses" in the income statement. Gains and losses are recognised in the income statement when the liabilities are de-recognised.

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Subordinated debentures [Note 52 (a)]	28,179,053	28,174,227	32,156,082	29,967,185
	28,179,053	28,174,227	32,156,082	29,967,185

52 (a) Subordinated Debentures

Year of issuance	Colombo Stock Exchange Listing	Interest Payment Frequency	Face Value Rs 000	Fixed / floating interest rate	Interest Rate	Interest Rate of Comparable Government Securities (Gross) (p.a)	Repayment Terms	Issue Date	Maturity Date	Bank		Group	
										As at 31.12.2025	As at 31.12.2024	As at 31.12.2025	As at 31.12.2024
2019	Listed	Annually	8,077,430	Fixed	12.80%	9.41%	7 Year	23rd Sep 2019	22nd Sep 2026	8,355,028	8,354,270	8,291,495	8,290,737
2021	Listed	Annually	7,000,000	Fixed	9.50%	11.07%	10 Year	28th Jul 2021	29th Jul 2031	7,286,041	7,283,443	7,172,212	7,169,614
2022	Unlisted	Annually	2,000,000	Floating	1 year T Bill rate + 3%	1 year T Bill rate 3%	5 Year	25th April 2022	25th April 2027	-	-	2,153,092	2,179,295
2024	Listed	Annually	8,212,500	Fixed	13.00%	10.60%	5 Year	27th August 2024	26th August 2029	8,581,050	8,580,043	8,372,075	8,371,068
2024	Listed	Semi-Annually	2,198,400	Fixed	12.60%	10.60%	5 Year	27th August 2024	26th August 2029	2,294,021	2,293,760	2,294,021	2,293,760
2024	Listed	Annually	282,400	Fixed	13.25%	11.07%	7 Year	27th August 2024	26th August 2031	295,317	295,282	295,317	295,282
2024	Listed	Annually	1,306,700	Fixed	13.50%	11.75%	10 Year	27th August 2024	26th August 2034	1,367,596	1,367,429	1,367,596	1,367,429
2025	Unlisted	Annually	2,000,000	Fixed	12.50%	10.60%	5 years	28th February 2025	28th February 2030	-	-	2,210,274	-
Total subordinated debentures										28,179,053	28,174,227	32,156,082	29,967,185
Analysis of subordinated debentures													
Due within one year										8,355,028	819,957	8,291,495	804,340
Due after one year										19,824,025	27,354,270	23,864,587	29,162,845
										28,179,053	28,174,227	32,156,082	29,967,185

NOTES TO THE FINANCIAL STATEMENTS

52 SUBORDINATED TERM DEBTS (Contd.)

HNB Assurance PLC has invested Rs 386 Mn in (2024 - Rs 386 Mn) subordinated debentures issued by the Bank while no investment has been made in the debentures issued by HNB Finance PLC in 2025 Nil (2024 - Nil)

The Group did not have any defaults of principal and interest or other breaches with respect to its debt securities during the year ended 31st December 2025.

BASEL III Compliant approved Subordinated Debentures

BASEL III compliant subordinated debentures are either perpetual or dated subordinated securities on which there is an obligation to pay coupons with a minimum maturity period of five years and which can be converted to ordinary shares at an objective, pre-specified trigger point determined by the Monetary Board. They may be called before maturity date at the option of the Group and

subject to permission by the Group's lead regulator. These capital securities are included within the Group's regulatory capital base as Tier 2 capital.

The securities would, in the event of the winding-up of the issuer, be subordinated to the claims of depositors and all other creditors of the issuer.

52 (b) Subordinated Debentures Movements

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Balance as at 1st January	28,174,227	18,961,556	29,967,185	29,967,185
Add:				
Debentures issued	-	12,000,000	1,538,602	12,000,000
Interest Accrued	3,262,184	2,433,427	3,707,862	2,685,647
Less:				
Debentures redeemed	-	(3,418,114)	-	(4,391,391)
Interest paid	(3,257,358)	(1,802,642)	(3,057,567)	(10,294,256)
Balance as at 31st December	28,179,053	28,174,227	32,156,082	29,967,185

53 EMPLOYEE BENEFIT OBLIGATIONS ACCOUNTING POLICY

Defined Benefit Plan

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan.

(a) Pension Fund

The Bank operates an approved pension fund to facilitate the following payments for permanent staff of the Bank:

i Pensions to Retiring Staff

Pensionable staff members who are in the permanent cadre are eligible to draw pension from the pension fund as per the trust deed dated 24th September 1981.

ii Benefits to Staff who Opted for the Optional Scheme for Pension introduced in 2005

Staff members who opted for the optional scheme for pension introduced in 2005

are eligible for the payment in accordance with the terms and conditions agreed upon.

iii Gratuity

Gratuity would be the payments to staff who satisfy the criteria as per the Gratuity Act No 12 of 1983 at the time of leaving the services of the Bank without pension rights.

Payment of gratuities to employees who have completed more than five years of service under the said Act is covered through the Bank's own non-contributory pension scheme which is in force.

These liabilities are assessed by an actuarial valuation using project credit method. The Bank's obligation in respect of defined benefit pension plan is calculated by estimating the amount of

future benefit that employees have earned in return for their service in the current and prior periods, and discounting that benefit to determine its present value, then deducting the fair value of any plan assets to determine the net amount to be shown in the statement of financial position. The value of any defined benefit asset is restricted to the present value of any economic benefits available in the form of refunds from the plan or reductions in the future contributions to the plan. In order to calculate the present value of economic benefits, consideration is given to any minimum funding requirements that apply to any plan in the Bank. An economic benefit is available to the Bank if it is realisable during the life of the plan, or on settlement of the plan liabilities.

The Bank determines the net interest expense/(income) on the net defined benefit liability/(asset) by applying the discount rate used to measure the defined benefit obligation at the beginning of the annual period to the net defined benefit liability/(asset) at the beginning of the annual period.

The discount rate is the yield as at the reporting date on government bonds that have maturity dates approximating to the terms of the Bank's obligations. The calculation is performed by a qualified actuary using the projected unit credit method.

The demographic assumptions underlying the valuation are retirement age, early withdrawals from service and retirement on medical grounds, death before and after retirement etc. The assets of the fund are held separately from those of the Bank's assets and are administered independently by the trustees of the fund.

When the benefits of a plan has changed or when a plan is curtailed, the resulting change in benefits that relates to past service or the gain or loss on curtailment is recognised immediately in profit or loss. The Group recognises gain or losses on the settlement of a defined plan when the settlement occurs.

Details of the pension fund are given in Note 53 (a) to the financial statements.

(b) Other Long-term Employee Benefits

The Bank's net obligation in respect of long-term employee benefits other than pension fund, is the amount of future benefit that employees have earned in return for their service in the current and prior periods. That benefit is discounted to determine its present value. The discount rate is the yield at the reporting date on government bonds that have maturity dates approximating to the terms of the Bank's obligation. The calculation is performed using the projected unit credit method. Any actuarial gains and losses are recognised in the other comprehensive income in the period in which they arise.

The Bank's liability towards the portion of the accumulated leave which is expected to be utilised beyond one year from the end of the reporting period is treated as other long term employee benefits.

(c) Gratuity Obligation - Group Companies

The subsidiaries of the Bank do not operate pension funds and make a provision for gratuity obligation. These liabilities are assessed either by actuarial valuations using projected credit method or by the use of gratuity formula. Provision for gratuity benefits of group companies is given in Note 53 (a) to the financial statements.

(d) Employees' Provident Fund - Bank

Employees' Provident Fund is an approved private provident fund which has been set up to meet the provident fund liabilities of the Bank to which the Bank and employees contribute at 12% and 8% respectively on the salary of each employee. Staff members who are members of the fund are entitled to receive a minimum interest rate which is the higher of one year fixed deposit rate of HNB or National Savings Bank on their balance on a semi-annual basis. Accordingly this obligation was treated as a defined benefit liability and an actuarial valuation was conducted to value the Bank's obligation of the same.

(e) Widows', Widowers' and Orphans' Pension Fund

The Bank operates a separate Widows', Widowers' and Orphans' Pension Scheme (WW & OP) which was established with effect from 1st September 1995. The contributions are from employees only and the Bank does not have any legal or constructive obligation towards the above scheme.

Details of Widows', Widowers' and Orphans' Pension Fund are given in Note 53 (f) to the financial statements

(f) Defined Contribution Plans

A defined contribution plan is a post-employment plan under which an entity

pays fixed contributions into a separate entity (a fund) and will have no legal or constructive obligation to pay a further contribution if the fund does not hold sufficient assets to pay all employee benefits relating to employee services in the current and prior periods. Obligations for contributions to defined contribution plans are recognised as an expense in the income statement as and when they are due.

(i) Employees' Trust Fund

The Bank and the Group contribute 3% of the salary of each employee to the Employees' Trust Fund.

(ii) Employees' Provident Fund – Group Companies

The Group entities and their employees contribute at 12% and 8% respectively on the salary of each employee to Employees' Provident Fund except for the Bank as explained above.

ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

Defined Benefit Obligation

The defined benefit obligation is determined using an actuarial valuation. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, future salary increases, mortality rates, increase in cost of living allowances and future pension increases. Due to the long term nature of these plans, such estimates are subject to significant uncertainty. All assumptions are reviewed at each reporting date.

In determining the appropriate discount rate, management considers the interest rates of Government of Sri Lanka Treasury Bonds with maturities corresponding to the expected duration of defined benefit obligation. Future salary increases and pension increases are based on expected future inflation rates, expected future salary increment rates and expected future pension increases.

NOTES TO THE FINANCIAL STATEMENTS

53 EMPLOYEE BENEFIT OBLIGATIONS (Contd.)

53 (a)	As at 31st December	Bank/Group	
		2025	2024
		Rs 000	Rs 000
	Unfunded defined benefit plans [Note 53 (a) i]	443,761	395,208
	Funded defined benefit plan [Note 53 (c) i]	(593,735)	(1,394,368)
	Total employee benefit obligations	(149,974)	(999,160)
53 (a) (i)	Unfunded defined benefit plans		
	Liability for EPF interest rate guarantee plan [Note 53 (d)]	106,941	99,455
	Liability for leave accrual plan [Note 53 (e)]	336,820	295,753
		443,761	395,208

53 (b) Implementation of the Provisions of the Minimum Age of Workers Act No 28 of 2021

In accordance with the provisions of the above Act, during the year 2021, the Group extended the minimum retirement age of its employees

Age of Employee	Minimum Retirement Age
54 or above and below 55 years	57 Years
53 or above and below 54 years	58 Years
52 or above and below 53 years	59 Years
Below 52 years	60 Years

53 (c) Funded defined benefit plan

Pension Fund - Bank

An actuarial valuation of the pension fund was carried out as at 31st December 2025 by Mr Kailasam Arumugam ,FIAI,FIA,Consulting Actuary, Messrs Actuarial and Management Consultants (Pvt) Ltd, a firm of professional actuaries. The valuation method used by the actuary to value the fund is the projected unit credit method, the method recommended by the Sri Lanka Accounting Standard - LKAS 19 on "Employee Benefits".

The Bank contributed 9 % out of the pensionable salary, to the pension fund in 2025 (2024 - 9%).

The assets of the fund, which are independently administered by the trustees as per the provision of the Trust Deed are held separately from those of the Bank.

No additional provision has been made in the financial statements of the Bank for gratuities to employees who have completed five or more years of service, payable under the Payment of Gratuity Act No 12 of 1983 as the Bank contributes for all permanent employees to its own non-contributory pension scheme, which is in force.

53 (c) i Deficit/(surplus) on funded defined benefit plan - pension fund

As at 31st December	Bank/Group	
	2025 Rs 000	2024 Rs 000
Present value of funded obligation [Note 53 (c) iii]	29,582,381	25,793,747
Total present value of obligations	29,582,381	25,793,747
Fair value of plan assets [Note 53 (c) ii]	(30,176,116)	(27,188,115)
(Surplus)/deficit on funded defined benefit plan - pension fund	(593,735)	(1,394,368)
Recognised (asset)/liability for defined benefit obligations - pension fund	(593,735)	(1,394,368)

As per Sri Lanka Accounting Standard LKAS 19 – “Employee Benefits” if a plan is in surplus, the amount recognised as the net defined benefit asset in the statement of financial position is the lower of the surplus in the defined benefit plan and the asset ceiling which is the present value of any economic benefits available to the entity in the form of a refund or a reduction in future contributions. Since the actuarial valuation of the pension fund as at 31st December 2025 resulted in a surplus, Bank assessed the requirement to apply the asset ceiling, and recognised the surplus in the pension fund valuation amounting to Rs 594 Mn as a net receivable in respect of pension fund (2024 – Rs 1,394 Mn).

53 (c) ii Fair Value of Plan Assets consists of the following

As at 31st December	Bank/Group	
	2025 Rs 000	2024 Rs 000
Equity securities and debentures	5,163,635	4,988,707
Government securities	11,354,615	13,035,987
Balances with banks	8,080	69,662
Fixed deposits	13,485,419	7,991,362
Others	164,367	1,102,397
	30,176,116	27,188,115

53 (c) iii Movement in the Present Value of Defined Benefit Obligations

	Bank/Group	
	2025 Rs 000	2024 Rs 000
Liability for defined benefit obligations as at 1st January	25,793,747	20,394,553
Current service cost [Note 16 (a)]	986,171	915,081
Interest on obligation	2,966,281	2,447,347
Actuarial (gain)/loss	1,149,383	3,857,503
Benefits paid by the plan	(1,313,201)	(1,820,737)
Liability for defined benefit obligations as at 31st December	29,582,381	25,793,747

NOTES TO THE FINANCIAL STATEMENTS

53 EMPLOYEE BENEFIT OBLIGATIONS (Contd.)

53 (c) iv Movement in the Present Value of Plan Assets

	Bank/Group	
	2025 Rs 000	2024 Rs 000
Fair value of plan assets as at 1st January	27,188,112	24,553,512
Expected return on plan assets	3,126,633	2,946,422
Contributions paid into plan	888,584	789,499
Benefits paid by the plan	(1,313,201)	(1,820,737)
Actuarial gain	285,984	719,416
Fair value of plan assets as at 31st December	30,176,112	27,188,112

53 (c) v Net Interest on Defined Benefit Asset/(Liability)

For the year ended 31st December	Bank/Group	
	2025 Rs 000	2024 Rs 000
Interest on obligation	2,966,281	2,447,347
Expected return of plan assets	(3,126,633)	(2,946,422)
Net interest on defined benefit (asset)/liability [Note 16 (a)]	(160,352)	(499,075)

53 (c) vi Actuarial Gains and Losses Recognised in Other Comprehensive Income

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Actuarial gain/(loss) on present value of defined benefit obligations	(1,149,383)	(3,857,503)	(1,149,383)	(3,857,503)
Actuarial gain/(loss) on provision for gratuity benefits	-	-	(109,901)	(142,149)
Actuarial gain/(loss) on fair value of plan assets	285,984	719,416	285,984	719,416
Actuarial gain/(loss) recognised during the year	(863,399)	(3,138,087)	(973,300)	(3,280,236)

53 (c) vii Actuarial Assumptions

Type of Assumption	Criteria	Description
Demographic assumptions	Mortality – in service	A 1967-70 Mortality table issued by the Institute of Actuaries, London
	After retirement	A (90) Annuities table (Males and Females) issued by the Institute of Actuaries, London
	Staff turnover	The withdrawal rate at an age represents the probability of an active employee leaving within one year of that age due to reasons other than death, ill health and normal retirement. Given below are the staff turn over ratios used for the 2025 valuation.
		Assistant managers and above 5%
		Executives 5%
		Bank associates and allied grades 7%
		Trainee banking associates 8%
		Fixed term contract employees 30%
	Disability	Assumptions similar to those used in other comparable schemes for disability were used as the data required to do a scheme specific study was not available.
	Normal retirement age	As per the provisions of Minimum Age of Workers Act No. 28 of 2021 [Note 53 (b)]

Type of Assumption	Criteria	Description
Financial assumptions	Rate of discount	A long-term interest rate of 11% p.a. (2024 – 11.5% p.a.) has been used to discount future liabilities taking into consideration remaining working life of eligible employees.
	Salary increases	A salary increment rate of 10% p.a. (2024 – 10.25% p.a.) has been used in respect of the active employees.
	Post-retirement pension increase rate	2025 - Nil (2024 - Nil)

The average duration of the pension fund obligation is 11 years as at 31st December 2025 (2024 - 12.9 years)

53 (c) viii Sensitivity of Assumptions Employed in Actuarial Valuation

Assumptions regarding discount rate and salary increment rate have a significant effect on the amounts recognised in the statement of comprehensive income and statement of financial position.

The following table demonstrates the sensitivity of a reasonably possible change in such assumptions with all other variables held constant, in the actuarial valuation of the pension fund as at 31st December 2025.

Increase/(decrease) in Discount Rate	Increase/ (decrease) in Salary Increment Rate	Sensitivity Effect on Statement of Comprehensive Income Increase / (decrease) in results for the year Rs 000	Sensitivity Effect on Pension Fund Surplus Increase/ (decrease) Rs 000
1%		2,571,725	2,571,725
-1%		(3,046,387)	(3,046,387)
	1%	(1,824,086)	(1,824,086)
	-1%	1,648,621	1,648,621

53 (c) ix Distribution of Present Value of Defined Benefit Obligations - Pension Fund - Bank

Given below is an analysis of the distribution of present value of defined benefit obligation pertaining to the pension fund of the Bank excluding the frozen pension benefit for the employees who have opted for the optional scheme for pensions introduced in 2005.

As at 31st December	2025 Rs 000	2024 Rs 000
Less than one year	1,018,735	742,017
1 - 3 years	2,859,026	2,175,147
3 - 5 years	6,419,710	4,016,286
5 - 10 years	7,779,069	7,447,938
Above 10 years	11,505,841	11,412,361
	29,582,381	25,793,749

NOTES TO THE FINANCIAL STATEMENTS

53 EMPLOYEE BENEFIT OBLIGATIONS (Contd.)

53 (d) Provision for EPF Interest Rate Guarantee Plan - Bank/Group

EPF is an approved provident fund which has been set up to meet the provident fund liabilities of the Bank. Staff members who are members of the fund are entitled to receive a minimum interest rate which is the higher of one year fixed deposit rate of HNB or National Savings Bank on their balance on a semi-annual basis. Accordingly, this obligation was treated as a defined benefit liability and an actuarial valuation was conducted by Mr Kailasam Arumugam, FIAI, FIA, Consulting Actuary, of Messrs Actuarial and Management Consultants (Pvt) Limited to value the Bank's obligation on same with the following actuarial assumptions.

As at 31st December	Bank/Group	
	2025	2024
Discount rate	11.00%	11.50%
Long term interest rate to credit the fund	11.00%	11.50%
Liability for EPF interest rate guarantee		
	Bank/Group	
	2025	2024
	Rs 000	Rs 000
Present value of obligation as at 1st January	99,455	95,615
Provision made during the year (Note 16)	7,486	3,840
Present value of obligation as at 31st December [Note 53 (a) i]	106,941	99,455

53 (e) Provision for Leave Accrual Plan - Bank/Group

Employees are entitled to accumulate annual leave up to a maximum of ninety days and such accumulated leave to be utilised prior to their retirement. This has been treated as other long term benefit in terms of Sri Lanka Accounting Standards - LKAS 19 on "Employee benefits" and an actuarial valuation has been conducted by Mr Kailasam Arumugam, FIAI, FIA, Consulting Actuary, of Messrs Actuarial and Management Consultants (Pvt) Limited on same with the following assumptions.

Liability for leave accrual plan

As at 31st December	Bank/Group	
	2025	2024
Discount rate	11.00%	11.50%
Future salary increase	10.00%	10.25%
Liability for leave accrual plan		
	Bank/Group	
	2025	2024
	Rs 000	Rs 000
Present value of obligation as at 1st January	295,753	185,674
Provision made during the year (Note 16)	41,067	110,079
Present value of obligation as at 31st December [Note 53 (a) i]	336,820	295,753

53 (f) Widows', Widowers' and Orphans' Pension Fund

The results of the actuarial valuation of the Widows', Widowers' and Orphans' Pension Fund conducted by Mr Kailasam Arumugam, FIAI, FIA, Consulting Actuary, of Messrs Actuarial and Management Consultants (Pvt) Limited indicate that the actuarial present value of the obligation is Rs 2,935 Mn and that the fair value of the fund assets is Rs 3,961 Mn resulting in a past service surplus of Rs 1,027 Mn (2024 : Rs 1,040 Mn) in the Widows', Widowers' and Orphans' Pension Scheme as at 31st December 2025.

No contribution is made by the Bank and the members' contribution during the period amounted to Rs 82.7 Mn. (2024 - Rs 73.5 Mn)

53 (g) Provision for gratuity benefits

	Group	
	2025 Rs 000	2024 Rs 000
Balance as at 1st January	850,222	638,719
Addition from acquisition of subsidiary	127,152	-
Provision during the year [Note 16]	228,758	170,897
Actuarial (gain)/loss recognised in OCI	109,901	142,149
Payments during the year	(135,218)	(101,543)
Balance as at 31st December	1,180,815	850,222

As at 31st December	Group	
	2025	2024
Actuarial Assumptions		
Discount rate	10.00% - 11.00%	12.50% - 17.75%
Future salary increment rate	8.00% - 10.00%	9.00% - 12.50%

Actuarial valuations for HNB Assurance PLC and HNB Finance PLC as at 31st December 2025 and 31st March 2025 respectively were carried out by actuary, Mr Pushpakumar Gunasekara, Associate of Institute of Australia of Messrs Smiles Global (Pvt) Ltd .

54 STATED CAPITAL

Ordinary shares

Ordinary shares in the Bank are recognised at the amount paid per ordinary share net of directly attributable issue costs. The shares of the Bank are quoted in the Colombo Stock Exchange. The holders of ordinary shares are entitled to receive dividends declared from time to time and are entitled to one vote per share at General Meetings of the Bank.

The non-voting shares rank pari passu in respect of all rights with the ordinary shares of the Bank except voting rights on resolutions passed at general meetings. If the Bank fails to pay dividends for three consecutive years, these shares will automatically be converted into voting ordinary shares

54 (a) Stated Capital - Bank/Group

	2025		2024	
	Number of shares	Value Rs 000	Number of shares	Value Rs 000
Voting ordinary shares				
Balance as at 1st January	455,968,474	35,072,240	446,651,811	33,553,624
Issue of shares through scrip dividend	-	-	9,316,663	1,518,616
Balance as at 31st December	455,968,474	35,072,240	455,968,474	35,072,240
Non-voting ordinary shares				
Balance as at 1st January	115,852,722	7,785,987	113,086,576	7,401,492
Issue of shares through scrip dividend	-	-	2,766,146	384,495
Balance as at 31st December	115,852,722	7,785,987	115,852,722	7,785,987
	571,821,196	42,858,227	571,821,196	42,858,227

NOTES TO THE FINANCIAL STATEMENTS

55 STATUTORY RESERVE FUND

	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Balance as at 1st January	12,610,000	10,410,000	12,610,000	10,410,000
Transfers during the year	2,300,000	2,200,000	2,300,000	2,200,000
Balance as at 31st December	14,910,000	12,610,000	14,910,000	12,610,000

Nature and purpose of reserve

Statutory reserve fund is maintained as per the statutory requirements in terms of Section 20 (1) and (2) of the Banking Act No 30 of 1988.

This fund is built up by transferring a sum equivalent to not less than 5% of the profit after tax before any dividend is declared or any profits are transferred until the fund equals 50% of the Bank's stated capital. Thereafter, a further sum equal to 2% of profit after tax is transferred until the fund equals to the stated capital of the Bank.

56 RETAINED EARNINGS

	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Balance as at 1st January	77,316,202	56,311,574	91,384,909	68,251,694
Profit for the year	45,426,847	41,341,793	47,592,853	43,538,931
Other comprehensive income for the year	(863,399)	(3,138,087)	(735,158)	(3,206,638)
Transfer to other reserves	(4,540,735)	(12,748,564)	(4,540,735)	(12,748,564)
Change in control without changing the ownership	-	-	28,643	-
Transfer of unclaimed dividends	13,123	27,394	13,123	27,394
Dividends to equity holders	(8,577,318)	(4,477,908)	(8,577,318)	(4,477,908)
Balance as at 31st December	108,774,720	77,316,202	125,166,317	91,384,909

This represents cumulative net earnings, inclusive of final dividend proposed amounting to Rs 11,436 Mn. The balance is retained and reinvested in the business of the Bank/Group.

57 OTHER RESERVES

57 (a)

	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
As at 31st December				
Capital reserve [Note 57 (b)]	17,240,454	17,240,454	32,451,492	32,325,287
General reserve [Note 57 (c)]	61,100,000	60,100,000	61,100,000	60,100,000
Fair value reserve [Note 57 (d)]	14,648,260	11,805,828	14,335,603	11,649,449
Special reserve [Note 57 (e)]	10,789,299	9,548,564	10,789,299	9,548,564
Life policy holder reserve fund [Note 57 (f)]	-	-	340,588	201,549
Restricted regulatory reserve [Note 57 (g)]	-	-	381,156	381,156
Exchange equalisation reserve [Note 57 (h)]	-	-	452,624	301,766
	103,778,013	98,694,846	119,850,762	114,507,771

57 (b) Capital Reserve

	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Balance as at 1st January	17,240,454	13,927,316	32,325,287	28,493,417
Other comprehensive income for the year, net of tax	-	3,313,138	126,205	3,831,870
Balance as at 31st December	17,240,454	17,240,454	32,451,492	32,325,287

Nature and purpose of reserve

Capital reserve related to revaluation surplus that resulted from the revaluations of freehold land and buildings.

57 (c) General Reserve

	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Balance as at 1st January	60,100,000	59,100,000	60,100,000	59,100,000
Transfer during the year	1,000,000	1,000,000	1,000,000	1,000,000
Balance as at 31st December	61,100,000	60,100,000	61,100,000	60,100,000

Nature and purpose of reserve

General reserve comprises of the amounts appropriated by the Board of Directors as a general banking reserve.

57 (d) Fair Value Reserve

	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Balance as at 1st January	11,805,828	4,273,171	11,649,449	4,069,473
Net change in fair value during the year	2,842,432	7,532,657	2,686,154	7,579,976
Balance as at 31st December	14,648,260	11,805,828	14,335,603	11,649,449

57 (e) Special Reserve

	Bank/ Group	
	2025 Rs 000	2024 Rs 000
Balance as at 1st January	9,548,564	-
Transfer during the year	1,240,735	9,548,564
Balance as at 31st December	10,789,299	9,548,564

Nature and purpose of reserve

The Central Bank of Sri Lanka instructed all banks to establish a special temporary reserve equivalent to 15% of the amortised cost of the USD Step-Up Bonds received in settlement of the restructured SLISBs. As at 31st December 2025, the amortised cost of these USD Step-Up Bonds stood at Rs 71.9 Bn, requiring the Bank to allocate Rs 10.8 Bn to this reserve. This reserve is excluded from the Bank's regulatory capital.

NOTES TO THE FINANCIAL STATEMENTS

57 OTHER RESERVES (Contd.)

57 (f) Life Policy Holder Reserve Fund

	Group	
	2025 Rs 000	2024 Rs 000
Balance as at 1st January	201,549	10,983
Transfer to / (from) life policy holder reserve fund	139,039	190,566
Balance as at 31st December	340,588	201,549

Nature and purpose of reserve

The life policyholders' reserve fund includes the fair value gains/(losses) recorded under other comprehensive income arising from life insurance related financial assets categorised as measured at fair value through other comprehensive income.

57 (g) Restricted Regulatory Reserve

	Group	
	2025 Rs 000	2024 Rs 000
Balance as at 1st January	381,156	381,156
Transfer to/(from) restricted regulatory reserve	-	-
Balance as at 31st December	381,156	381,156

Nature and purpose of reserve

Restricted regulatory reserve – HNB Assurance PLC "Company"

As per Direction No. 16 issued by the Insurance Regulatory Commission of Sri Lanka (IRCSL) all life insurance companies were allowed to transfer one - off surplus attributable to policyholders' non participating fund to shareholders' fund with the approval of the IRCSL. This transfer has been presented as a separate reserve as "Restricted Regulatory Reserve" under equity in accordance with the Direction.

57 (h) Exchange Equalisation Reserve

	Group	
	2025 Rs 000	2024 Rs 000
Balance as at 1st January	301,766	568,207
Transfer to/(from) exchange equalisation reserve	150,858	(266,441)
Balance as at 31st December	452,624	301,766

Nature and purpose of reserve

Exchange equalisation reserve comprises of all foreign currency differences arising from the translation of the financial statements of foreign operations within the subsidiary of HNB investment (Pvt) Ltd.

58 NON-CONTROLLING INTERESTS ACCOUNTING POLICY

Non-Controlling Interests (NCI) are measured at their proportionate share of the acquiree's identifiable net assets at the date of acquisition. Changes in the Group's interest in a subsidiary that do not result in a loss of control are accounted for as equity transactions. Accordingly, the Bank has direct non-controlling interest in two subsidiaries namely, HNB Assurance PLC (NCI of

40%) and HNB Finance (NCI of 57.84%) as at the reporting date as follows.

Further an indirect non-controlling interest of 20.20% is held in a subsidiary of HNB Investment Bank (Pvt) Ltd.

As at 31st December	Group	
	2025 Rs 000	2024 Rs 000
Subsidiaries		
HNB Assurance PLC	5,517,865	4,829,228
HNB Finance PLC	5,200,702	3,559,338
HNB Investment Bank (Pvt) Ltd	3,977,462	-
	14,696,030	8,388,566

	HNB Assurance PLC	HNB Finance PLC	HNB Investment Bank (Pvt) Ltd	Total
NCI percentage	40.00%	57.84%	20.20%	
As at 31st December 2025	Rs 000	Rs 000	Rs 000	Rs 000
Non-current assets	50,195,409	76,201,700	65,569,281	191,966,390
Current assets	30,454,639	9,767,329	26,893,729	67,115,697
Non-current liabilities	(56,376,236)	(72,637,855)	(2,468,885)	(131,482,976)
Current liabilities	(10,138,594)	(4,476,292)	(72,819,331)	(87,434,217)
Net assets	14,135,218	8,854,882	17,174,794	40,164,894
Other adjustments	(340,554)	(684,995)	(13,197,332)	(1,025,549)
Net assets	13,794,664	8,169,887	3,977,462	39,139,345
Net assets attributable to NCI	5,517,865	5,200,702	3,977,462	14,696,030

For the year ended 31st December 2025	Rs 000	Rs 000	Rs 000	
Revenue	33,425,320	16,883,815	9,934,675	50,309,135
Profit	2,387,966	1,683,754	2,063,095	4,071,719
Other Comprehensive Income	2,306,554	1,715,228	2,497,345	4,021,782
Total comprehensive income				
Profit allocated to NCI	955,186	943,463	321,662	2,220,312
Other comprehensive income allocated to NCI	922,622	961,668	586,984	2,471,273

NOTES TO THE FINANCIAL STATEMENTS

58 NON-CONTROLLING INTERESTS (Contd.)

	HNB Assurance PLC	HNB Finance PLC	Total
NCI percentage	40.00%	57.84%	
As at 31st December 2024	Rs 000	Rs 000	Rs 000
Non-current assets	44,264,459	47,834,963	92,099,422
Current assets	18,172,613	5,231,787	23,404,400
Non-current liabilities	(43,384,770)	(44,444,379)	(87,829,149)
Current liabilities	(6,777,682)	(2,623,312)	(9,400,994)
Net assets	12,274,620	5,999,059	18,273,679
Other adjustments	(201,547)	154,707	(46,839)
Net assets	12,073,073	6,153,766	18,226,840
Net assets attributable to NCI	4,829,228	3,559,338	8,388,566
For the year ended 31st December 2024	Rs 000	Rs 000	Rs 000
Revenue	26,725,783	13,232,561	39,958,344
Profit	1,895,998	937,590	2,833,588
Other Comprehensive Income	1,947,594	910,778	2,858,372
Total comprehensive income			
Profit allocated to NCI	758,399	542,302	1,300,701
Other comprehensive income allocated to NCI	779,037	526,794	1,305,831

59 CONTINGENT LIABILITIES AND COMMITMENTS

ACCOUNTING POLICY

Commitments and Contingencies

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured as defined in the Sri Lanka Accounting Standard LKAS 37 on "Provisions, Contingent Liabilities and Contingent Assets".

To meet the financial needs of customers, the Group enters into various irrevocable commitments and contingent liabilities. These consist of financial guarantees, letters of credit and other undrawn commitments to lend. Letters of credit and guarantees (including stand by letters of credit) commit the Group to make payments on behalf of customers in the event of a specific act, generally related to the import or export of goods. Guarantees and standby letters of credit carry a similar credit risk to loans. Operating lease commitments of the Bank

(as a lessor and as a lessee) and pending legal claims against the Group also form part of commitments of the Group. Contingent liabilities are not recognised in the statement of financial position but are disclosed unless they are remote. But these contingent liabilities do contain credit risk and therefore form part of the overall risk of the Group.

All discernible risks are accounted for in determining the amount of all known liabilities. The Group's share of any contingencies and capital commitments of a subsidiary or joint venture for which the Group is also liable severally or otherwise are also included with appropriate disclosures.

Financial Guarantees

Financial guarantees are initially recognised in the financial statements within other liabilities at fair value, being the premium received. Subsequent to initial recognition, the Group's liability

under each guarantee is measured at the higher of the amount initially recognised less cumulative amortisation recognised in the income statement, and the best estimate of expenditure required to settle any financial obligation arising as a result of the guarantee. Expected credit loss provisions recognised for same are set out in Note 50 (a) to the financial statements.

Any increase in the liability relating to financial guarantees is recorded in the income statement. The premium received is recognised in the income statement in "net fee and commission income" on a straight line basis over the life of the guarantee.

No material losses are anticipated as a result of these commitments and contingencies.

ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

Provisions and Other Contingent Liabilities

The Group operates in a regulatory and legal environment that, by nature, has a heightened element of litigation risk inherent to its operation. As a result,

it is involved in various litigations and regulatory investigations and proceedings, arising in the ordinary course of the business. When the Group can reliably measure the outflow of economic benefits in relation to a specific case and such outflows are probable, the Group records a provision against the case. Contingent liabilities are possible

obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the statement of financial position but are disclosed unless those are remote.

59 (a) Contingent Liabilities and Commitments - Bank/Group

As at 31st December	2025 Rs 000	2024 Rs 000
Documentary credit	48,089,527	27,331,743
Guarantees	87,592,144	78,546,123
Acceptances	17,145,846	14,718,038
Bills for collection	40,431,954	33,573,676
Forward exchange contracts		
Forward exchange sales	62,138,808	52,460,878
Forward exchange purchases	189,232,293	140,389,106
Cheques sent on clearing	7,061,012	6,003,716
Commitments for unutilised facilities - direct	327,156,178	271,929,810
Commitments for unutilised facilities - indirect	230,513,946	242,290,749
	1,009,361,708	867,243,839

59 (b) Capital Commitments

Capital expenditure approved by the Board of Directors for which provision has not been made in the accounts are shown below.

As at 31st December	Bank/Group	
	2025 Rs 000	2024 Rs 000
Approved and contracted but not provided for	1,138,562	854,342
Approved and not contracted for	12,910	7,980
	1,151,472	862,322

NOTES TO THE FINANCIAL STATEMENTS

59 CONTINGENT LIABILITIES AND COMMITMENTS (Contd.)

59 (c) Litigation against the Bank

In the banking industry, litigation is a common incidence due to the nature of the transactions agreed between various stakeholders including the customers and the Bank.

The Bank has formal controls and policies in place for managing legal claims. Once professional advice has been obtained and the amount of loss is reasonably estimated, the Bank makes adjustments to account for any adverse effects of such claims on its financial standing.

Based on the internal assessment, the Bank is of the view that apart from three legal cases pertaining to guarantee-related issues (viz HC (Civil) 657/2019 MR, M 5491 and HC (Civil) 143/2020) and one legal case pertaining to a LC-related issue (HC (Civil) 663/2019 MR), the other legal cases filed against the Bank as at 31st December 2025, will not have a material impact on the financial position of the Bank.

59 (d) Tax Assessments

59 (d) i Tax assessments against the Bank

Assessments to the value of Rs 222.9 Mn on Financial Services VAT (relating to 2003, 2004 and 2021), an assessment to the value of Rs 990.4 Mn on income tax of Y/A 2020/21 and an assessment to the value of Rs 471.3 Mn on Surcharge tax applicable for taxable income of Y/A 2020/21 received by the Bank are outstanding and have been duly appealed.

59 (d) ii Tax assessments against Group entity - HNB Assurance PLC (HNBA)

Assessments to the value of Rs 13.37 Mn on VAT on reinsurance claims and commissions (relating to Y/A 2010/11), an assessments to the value of Rs 442.79 Mn on VAT on financial services (relating to 2014,2018,2019,2021,2022 and 2023),

an assessments to the value of Rs 290.67 Mn on VAT, an assessments to the value of Rs 3,205 Mn on Income tax (relating to Y/A 2011/12, 2012/13, 2013/14, 2014/15, 2015/16 ,2016/17, 2017/18,2018/19,2019/20,2020/21 and 2021/22) received by HNBA are outstanding and have been duly appealed.

59 (d) iii Tax assessments against Group entity - HNB Finance PLC (HNBF)

Assessments to the value of Rs 149.12 Mn on Income tax relating to Y/A 2018/19 and 2019/20, an assessment to the value of Rs 41.56 on Surcharge tax relating to Y/A 2020/21 received by HNBF are outstanding and have been duly appealed.

59 (d) iv Tax assessments against Group entity – HNB Investment Bank (Pvt) Ltd

Assessments to the value of Rs 39.76 Mn on Income tax (relating to Y/A 2013/14, 2014/15, 2015/16, 2016/17 and 2017/18), assessments to the value of Rs 1064.68 Mn on VAT on financial services (relating to 2013, 2014, 2015, 2016, 2017, 2018, 2019, 2020,2021,2022 and 2023), assessments to the value of Rs 5.87 Mn on NBT on financial services (relating to 2014, 2015 and 2016), assessments to the value of Rs 177.53 Mn on SSCL on financial services (relating to 2022,2023 and 2024) received by HNB Investment Bank are outstanding and have been duly appealed.

60 RELATED PARTY DISCLOSURES

The Group carries out transactions with parties who are defined as related parties in the Sri Lanka Accounting Standard - LKAS 24 on “Related party disclosures”, in the ordinary course of its business. The details of such transactions are reported below. The pricing applicable to such transactions is based on the assessment of risk and pricing model of the Bank and is comparable with what is applied to transactions between the Bank and its unrelated customers.

60 (a) Parent and ultimate controlling party

The Bank does not have an identifiable parent of its own.

60 (b) Transactions with Key Management Personnel (KMP)

According to Sri Lanka Accounting Standard - LKAS 24 on “Related party disclosures”, Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity.

Accordingly, the Bank’s KMP include the Board of Directors (including executive and non-executive directors) and selected key employees who meet the above criteria.

Key Management Personnel (KMP) of the Group

Bank is the ultimate parent of its subsidiaries listed out in Note 35 to the financial statements. Thus the KMPs of the Bank have the authority and responsibility for planning, directing and controlling the activities of the Group and have been identified as KMPs of the Group as well.

Close Family Members (CFMs) of KMPs are those family members who may be expected to influence, or be influenced by that KMP in their dealings with the entity. CFMs may include the domestic partner and children of KMP, the children of KMP’s domestic partner and dependents of KMP and the KMP’s domestic partner.

60 (b) i Compensation to KMP

For the year ended 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Short term employee benefits	207,238	174,285	213,178	178,750
Post-employment benefits	3,332	1,477	3,332	1,477
	210,570	175,762	216,510	180,227

60 (b) ii Transactions, Arrangements and Agreements Involving Key Management Personnel (KMPs) and their Close Family Members (CFMs)

Statement of Financial Position - Bank

As at 31st December	Closing Balance		Average Balance	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Assets				
Financial assets measured at amortised cost - loans and advances to customers	86,771	77,316	80,952	297,257
	86,771	77,316	80,952	297,257
Liabilities				
Financial liabilities measured at amortised cost - due to depositors	115,858	325,564	116,788	868,756
	115,858	325,564	116,788	868,756

Commitments and Contingencies

As at 31st December	Closing Balance	
	2025 Rs 000	2024 Rs 000
Commitments for unutilised facilities		
Direct	28,087	123,267
	28,087	123,267

Income Statement - Bank

For the year ended 31st December	2025 Rs 000	2024 Rs 000
Interest income	4,094	13,182
Interest expenses	7,805	53,675
Fee and commission income/(expenses)	94	172

Number of shares held by KMP

As at 31st December	2025 Rs 000	2024 Rs 000
Voting	5,307	5,307
Non-Voting	30,445	12,996

Cash Dividend paid to KMP in 2025 - Rs 0.51 Mn (2024- 0.14Mn)

NOTES TO THE FINANCIAL STATEMENTS

60 RELATED PARTY DISCLOSURES (Contd.)

60 (b) iii Transactions, Arrangements and Agreements with Entities which are Controlled and/or Jointly Controlled by the KMP or their Close Family Members (CFMs)

No transactions recorded during the year.

60 (c) Transactions with Group Entities

The group entities include subsidiary, joint venture of the Bank.

60 (c) i Transactions with Subsidiaries

Statement of Financial Position - Bank

As at 31st December	Closing Balance		Average Balance	
	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000
Assets				
Financial assets measured at amortised cost- loans and advances to customers	2,000,000	1,001,640	466,677	628,410
Other assets	253,508	207,143	238,420	56,135
	2,253,508	1,208,783	705,097	684,545
Liabilities				
Securities sold under repurchase agreements	505,700	-	187,180	-
Debt securities issued and subordinated term debt	870,720	370,720	620,720	237,387
Financial liabilities measured at amortised cost - due to depositors	4,315,158	4,608,153	4,355,282	5,413,981
	5,691,578	4,978,873	5,163,182	5,651,368

Commitments and Contingencies

As at 31st December	Closing Balance	
	2025	2024
	Rs 000	Rs 000
Guarantees	26,738	232,334
Letter of credit	-	23,050
Commitments for unutilised facilities		
Direct	1,124,262	1,027,310
	1,151,000	1,282,694

Income Statement - Bank

For the year ended 31st December	2025	2024
	Rs 000	Rs 000
Interest income	42,526	73,571
Interest expenses	319,146	730,100
Fee and commission income	1,249,959	700,693
Other income	633,548	1,014,311
Other expenses	1,206,814	1,061,364
Other transactions		
Expenses reimbursed to the bank	59,872	57,920
Expenses reimbursed by the bank	137,070	168,920
Insurance claims received	95,910	80,172

60 (c) ii Transactions with the equity accounted investees

Statement of Financial Position - Bank

As at 31st December	Closing Balance		Average Balance	
	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000
Assets				
Financial assets measured at amortised cost - loans and advances to customers	-	373,472	-	274,461
	-	373,472	-	274,461
Liabilities				
Financial liabilities measured at amortised cost - due to depositors	-	59,644	-	72,159
Securities sold under repurchase agreements	-	23,300	-	84,760
	-	82,944	-	156,919

Commitments and Contingencies

As at 31st December	Closing Balance	
	2025	2024
	Rs 000	Rs 000
Letter of Guarantees	-	48,350
Commitments for unutilised facilities		
Direct	-	5,487,780
Indirect	-	13,410
	-	5,549,540

Income Statement - Bank

For the year ended 31st December	2025	2024
	Rs 000	Rs 000
Interest income	-	34,328
Interest expenses	-	16,444
Fee and commission income	-	11,831
Other expenses	-	5,367
Expenses reimbursed to the bank	-	6,629

60 (d) Transactions with Post Employment Benefit Plans of the Bank

As at 31st December	Closing Balance		Average Balance	
	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000
Liabilities				
Financial liabilities measured at amortised cost - due to depositors	15,379,684	6,827,132	9,226,883	6,499,092
Debt securities issued and subordinated term debts	988,900	988,900	1,035,540	403,278
Securities sold under repurchase agreements	5,168,800	-	7,620,250	2,567,600
	21,537,384	7,816,032	17,882,673	9,469,970
Equity				
Stated capital	100,127	68,858	57,775	67,744
	100,127	68,858	57,775	67,744

NOTES TO THE FINANCIAL STATEMENTS

60 RELATED PARTY DISCLOSURES (Contd.)

Income Statement - Bank

For the year ended 31st December	2025 Rs 000	2024 Rs 000
Interest expenses	2,643,327	1,450,850
Other transactions		
Dividends paid	13,168	3,342
Contributions made	3,042,551	2,706,688

Number of shares held by post employment benefit plans of the Bank

As at 31st December	2025	2024
Voting	272,651	172,651
Non voting	833,694	876,684

60 (e) Transactions with Government of Sri Lanka/Entities Controlled, Jointly Controlled, Significantly Influenced by the Government of Sri Lanka

During the year ended 31st December 2025, the Bank has carried out transactions with the Government of Sri Lanka and other government related entities in the ordinary course of its business, the details of which are given below. The pricing applicable to such transactions was based on the assessment of risk and pricing model of the Bank and was comparable with what was applied to transactions between the Bank and its unrelated customers.

Statement of Financial Position - Bank

As at 31st December	Closing Balance		Average Balance	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Assets				
Balances with Central Bank of Sri Lanka	37,288,440	6,913,009	22,243,953	8,986,270
Reverse repurchase agreements	8,000,000	-	8,537,500	-
Placement with Banks	4,000,000	-	333,333	-
Financial assets measured at amortised cost- -debt and other instruments	648,580,430	738,094,252	749,413,287	688,572,073
Financial assets measured at fair value through other comprehensive income	81,950,414	79,506,423	79,801,625	103,021,887
Financial assets measured at fair value through profit or loss	1,037,230	1,677,370	4,744,815	1,018,613
Financial assets measured at amortised cost-loans and advances to customers	38,646,425	69,304,072	55,047,742	63,258,734
	819,502,939	895,495,126	920,122,255	864,857,577

As at 31st December	Closing Balance		Average Balance	
	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000
Liabilities				
Financial liabilities measured at amortised cost - due to depositors	31,413,832	27,103,785	23,117,456	17,603,110
Due to banks	11,447,933	11,501,492	11,359,861	10,568,857
Debt securities issued/Subordinated term debts	11,704,300	7,579,300	11,704,300	7,204,300
Securities sold under repurchase agreements	2,898,680	2,829,430	26,815,390	29,815,390
Current tax liabilities	24,351,386	10,435,749	19,235,476	17,876,795
	81,816,131	59,449,756	92,232,483	83,068,452

Commitments and Contingencies

As at 31st December	Closing Balance	
	2025	2024
	Rs 000	Rs 000
Forward foreign exchange contracts		
Sales	102,870,866	-
Purchases	103,575,625	60,830,900
Documentary credit	-	921,340
Guarantee	-	5,853,741
Commitments for unutilised facilities		
Direct	13,976,734	16,776,379
Indirect	21,850,000	15,115,054

NOTES TO THE FINANCIAL STATEMENTS

60 RELATED PARTY DISCLOSURES (Contd.)

60 (f) Transactions with Government of Sri Lanka/Entities Controlled, Jointly Controlled, Significantly Influenced by the Government of Sri Lanka

Income Statement - Bank

For the year ended 31st December	2025 Rs 000	2024 Rs 000
Interest income	85,648,281	98,633,831
Interest expenses	6,506,220	6,730,338
Fee and commission income/(expenses)	174,394	378,672
Impairment charge/(reversal) for loans and other losses	4,848,839	(129,148)
Tax expenses (income tax, financial services VAT, SSCL, crop insurance levy, local taxes and stamp duty)	41,318	31,446

Transactions which are not individually significant

Apart from the transactions listed above, the Bank has carried out transactions with the Government of Sri Lanka and other government related entities in the form of utility bills, telephone charges, CRIB charges etc. The total of such payments made during the year ended 31st December 2025 was Rs 1,150.17 Mn (2024 - Rs 1,241 Mn).

61 MATURITY ANALYSIS

61 (a) As at 31st December 2025

	Bank			Group		
	Within	More than	Total	Within	More than	Total
	12 months	12 months		12 months	12 months	
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
ASSETS						
Cash and cash equivalents	55,375,004	-	55,375,004	56,743,380	-	56,743,380
Placements with banks	27,317,501	-	27,317,501	30,089,096	12,193,308	42,282,404
Balances with Central Bank of Sri Lanka	19,273,838	18,014,602	37,288,440	19,273,838	18,014,878	37,288,716
Reverse repurchase agreements	22,319,688	-	22,319,688	25,046,586	-	25,046,586
Derivative financial instruments	1,976,631	-	1,976,631	1,976,631	-	1,976,631
Financial assets measured at fair value through profit or loss	1,237,231	-	1,237,231	16,090,164	56,231,896	72,322,060
Financial assets measured at amortised cost - loans and advances to customers	875,432,218	557,805,019	1,433,237,237	920,459,264	585,128,339	1,505,587,603
Financial assets measured at amortised cost - debt and other financial instruments	436,612,546	214,006,077	650,618,623	447,338,609	237,027,585	684,366,194
Financial assets measured at fair value through other comprehensive income	36,499,343	58,356,126	94,855,469	38,025,199	77,146,825	115,172,024
Investment in equity accounted investees	-	-	-	-	6,382,955	6,382,955
Investment in subsidiaries	-	10,785,759	10,785,759	-	-	-
Investment properties	-	448,434	448,434	-	744,786	744,786
Property, plant and equipment	-	30,506,130	30,506,130	-	57,340,061	57,340,061
Right-of-use assets	63,879	8,666,681	8,730,560	210,482	2,763,685	2,974,167
Intangible assets and goodwill	-	1,718,483	1,718,483	5,009	3,640,469	3,645,478
Deferred tax assets	-	891,810	891,810	-	1,340,386	1,340,386
Other assets	4,848,378	8,457,007	13,305,385	12,260,018	12,763,448	25,023,466
Total assets	1,480,956,257	909,656,128	2,390,612,385	1,567,518,276	1,070,718,621	2,638,236,897
LIABILITIES						
Due to banks	9,444,603	1,898,569	11,343,172	9,444,603	1,898,569	11,343,172
Derivative financial instruments	300,191	-	300,191	300,191	-	300,191
Securities sold under repurchase agreements	28,197,135	-	28,197,135	81,505,432	-	81,505,432
Financial liabilities measured at amortised cost - due to depositors	1,751,339,230	210,511,967	1,961,851,197	1,791,003,450	226,728,747	2,017,732,197
Financial liabilities measured at amortised cost - other borrowings	5,702,735	9,808,375	15,511,110	12,911,879	14,301,417	27,213,296
Debt securities issued	-	10,044,766	10,044,766	-	9,986,711	9,986,711
Current tax liabilities	24,351,386	-	24,351,386	26,968,009	-	26,968,009
Deferred tax liabilities	-	-	-	-	6,857,168	6,857,168
Insurance provision - life	-	-	-	377,920	48,867,482	49,245,402
Insurance provision - non-life	-	-	-	6,689,309	99,690	6,788,999
Other provisions	16,987,948	-	16,987,948	17,294,532	-	17,294,532
Other liabilities	14,461,253	9,064,213	23,525,466	27,667,844	5,696,526	33,364,370
Subordinated term debts	8,355,028	19,824,025	28,179,053	7,968,691	24,187,391	32,156,082
Total shareholders' equity	-	270,320,960	270,320,960	-	302,785,306	302,785,306
Non-controlling interests	-	-	-	-	14,696,030	14,696,030
Total equity and liabilities	1,859,139,509	531,472,876	2,390,612,385	1,982,131,860	656,105,037	2,638,236,897
Maturity gap	(378,183,252)	378,183,252		(414,613,584)	414,613,584	
Cumulative gap	(378,183,252)			(414,613,584)		

NOTES TO THE FINANCIAL STATEMENTS

61 MATURITY ANALYSIS (Contd.)

61 (b) As at 31st December 2024

	Bank			Group		
	Within	More than	Total	Within	More than	Total
	12 months	12 months		12 months	12 months	
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
ASSETS						
Cash and cash equivalents	63,356,259	-	63,356,259	64,065,041	-	64,065,041
Placements with banks	41,858,517	-	41,858,517	45,768,216	2,887,794	48,656,010
Balances with Central Bank of Sri Lanka	-	6,913,009	6,913,009	-	6,913,009	6,913,009
Reverse repurchase agreements	-	-	-	5,280,692	-	5,280,692
Derivative financial instruments	375,060	-	375,060	375,060	-	375,060
Financial assets measured at fair value through profit or loss	158,896	1,676,573	1,835,469	606,455	2,356,157	2,962,612
Financial assets measured at amortised cost						
- loans and advances to customers	594,473,961	469,201,384	1,063,675,345	611,803,307	492,210,012	1,104,013,319
Financial assets measured at amortised cost						
- debt and other financial instruments	476,400,130	265,361,071	741,761,201	482,781,719	287,238,827	770,020,546
Financial assets measured at fair value through other comprehensive income	8,221,833	88,087,637	96,309,470	10,383,624	102,023,675	112,407,299
Investment in equity accounted investees	-	755,000	755,000	-	5,553,026	5,553,026
Investment in subsidiaries	-	3,017,285	3,017,285	-	-	-
Investment properties	-	453,769	453,769	-	868,188	868,188
Property, plant and equipment	-	30,126,467	30,126,467	-	55,467,867	55,467,867
Right-of-use assets	61,544	4,450,802	4,512,346	285,267	2,017,680	2,302,947
Intangible assets and goodwill	-	1,322,941	1,322,941	-	1,808,753	1,808,753
Deferred tax assets	-	3,393,785	3,393,785	-	3,941,633	3,941,633
Other assets	7,115,671	11,756,462	18,872,133	11,352,894	13,184,804	24,537,698
Total assets	1,192,021,871	886,516,185	2,078,538,056	1,232,702,275	976,471,425	2,209,173,700
LIABILITIES						
Due to banks	3,643,877	2,951,694	6,595,571	3,643,877	2,951,694	6,595,571
Derivative financial instruments	1,573,417	-	1,573,417	1,573,417	-	1,573,417
Securities sold under repurchase agreements	26,486,104	-	26,486,104	26,486,104	-	26,486,104
Financial liabilities measured at amortised cost - due to depositors	1,627,702,601	87,781,526	1,715,484,127	1,642,022,511	108,236,722	1,750,259,233
Financial liabilities measured at amortised cost - other borrowings	7,379,675	12,360,460	19,740,135	7,379,675	12,362,477	19,742,152
Debt securities issued	-	-	-	4,080	444,028	448,108
Current tax liabilities	10,435,749	-	10,435,749	11,387,381	-	11,387,381
Deferred tax liabilities	-	-	-	-	6,731,283	6,731,283
Insurance provision - life	-	-	-	310,249	38,567,463	38,877,712
Insurance provision - non-life	-	-	-	4,431,970	75,088	4,507,058
Other provisions	23,486,877	-	23,486,877	24,269,203	-	24,269,203
Other liabilities	8,822,074	6,260,500	15,082,574	13,526,797	5,053,023	18,579,820
Subordinated term debts	819,957	27,354,270	28,174,227	819,957	29,147,228	29,967,185
Total shareholders' equity	-	231,479,275	231,479,275	-	261,360,907	261,360,907
Non-controlling interests	-	-	-	-	8,388,566	8,388,566
Total equity and liabilities	1,710,350,331	368,187,725	2,078,538,056	1,735,855,221	473,318,479	2,209,173,700
Maturity gap	(518,328,460)	518,328,460		(503,152,946)	503,152,946	
Cumulative gap	(518,328,460)			(503,152,946)		

62 SEGMENT REPORTING ACCOUNTING POLICY

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components, whose operating results are reviewed

regularly by the chief operating decision maker to make decisions about resources allocated to each segment, assess its performance, and for which discrete financial information is available.

Management monitors the operating results of its business units separately for the purpose of making decisions about resource allocation and performance assessment. Unallocated items comprise mainly of corporate assets, expenses, tax assets and liabilities.

62 (a) Basis for Segmentation

Group's activities have been segregated into eight different segments based on the business activities that each unit is engaged for the purpose of reviewing the operating results of the Group as well as to make decisions about resource allocation. The operating results of the Bank is split between corporate, retail, SME, micro and treasury. Real estate, insurance, Investment Banking and NBFIs represent the operating results and financial position of the subsidiaries, Sithma Development (Pvt) Ltd, HNB Assurance PLC, HNB investment Bank (Pvt) Ltd and HNB Finance PLC respectively.

Segment performance is evaluated based on operating income, profits or losses which, in certain respects, are

measured differently from operating profits or losses in the consolidated financial statements.

Inter segment transactions are accounted for at fair market prices charged to inter-bank counterparts for similar services on an arm's length basis. Such transfers are eliminated on consolidation.

Income taxes are not allocated to operating segments. Other expenses which cannot be directly identified against a particular business segment have been treated as consolidation adjustments.

The Group's management reviews internal management reports from each division at least monthly.

62 (b) Information about reportable segments

Segment information is presented in respect of the Group's business segments. The Group's primary format for segment reporting is based on business segments. The business segments are determined based on the Group's management and internal reporting structure.

NOTES TO THE FINANCIAL STATEMENTS

62 SEGMENT REPORTING (Contd.)

For the year ended 31st December	Corporate		Retail		SME		Micro		Treasury	
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Net interest income	17,159,662	16,457,649	29,520,268	36,252,228	14,094,742	15,136,415	2,527,272	2,123,942	36,645,813	25,321,977
Foreign exchange income	615,609	632,210	1,456,583	1,401,079	791,725	700,628	57,077	17,012	923,691	(559,013)
Net fee and commission income	6,466,955	4,589,305	10,741,154	9,763,892	5,178,131	3,536,899	831,714	325,934	4,785	10,674
Other operating income	-	-	-	-	-	-	-	-	118,231	(49,212,690)
Total operating income	24,242,226	21,679,164	41,718,005	47,417,199	20,064,598	19,373,942	3,416,063	2,466,888	37,692,520	(24,439,052)
Impairment charge/(reversal) for loans and other losses	(5,389,571)	8,269,695	(1,426,253)	901,797	(1,181,265)	1,185,878	(191,759)	207,844	(330,246)	(90,268,781)
Net operating income	29,631,797	13,409,469	43,144,258	46,515,402	21,245,863	18,188,064	3,607,822	2,259,044	38,022,766	65,829,729
Profit from operations	-	-	-	-	-	-	-	-	-	-
Share of profit of equity accounted investees (net of tax)	-	-	-	-	-	-	-	-	-	-
Income tax expenses	-	-	-	-	-	-	-	-	-	-
Non - controlling interests	-	-	-	-	-	-	-	-	-	-
Net Profit for the year attributable to equity holders of the parent company	-	-	-	-	-	-	-	-	-	-
As at 31st December	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Segment assets	779,616,371	698,803,930	380,230,769	285,904,178	245,462,660	185,874,986	49,092,605	32,795,429	768,278,521	843,337,050
Investment in equity accounted investees	-	-	-	-	-	-	-	-	-	-
Total assets	779,616,371	698,803,930	380,230,769	285,904,178	245,462,660	185,874,986	49,092,605	32,795,429	768,278,521	843,337,050
Segment liabilities	427,581,091	353,756,709	1,158,843,848	1,029,724,392	334,128,188	300,310,970	42,280,517	33,787,452	33,816,878	37,055,277
Total liabilities	427,581,091	353,756,709	1,158,843,848	1,029,724,392	334,128,188	300,310,970	42,280,517	33,787,452	33,816,878	37,055,277
For the year ended 31st December	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Information on cash flows										
Cash flows from operating activities	12,391,129	94,361,875	67,170,158	108,425,194	(9,912,268)	18,235,535	(5,890,712)	2,340,534	86,188,749	14,024,725
Cash flows from investing activities	-	-	-	-	-	-	-	-	82,394,607	(49,949,296)
Cash flows from financing activities	-	-	-	-	-	-	-	-	-	-
Net cash flow generated during the year	12,391,129	94,361,875	67,170,158	108,425,194	(9,912,268)	18,235,535	(5,890,712)	2,340,534	168,583,356	(35,924,571)
Capital expenditure										
- Property, plant and equipment	-	-	-	-	-	-	-	-	-	-
- Intangible assets	-	-	-	-	-	-	-	-	-	-
Total Capital Expenditure	-	-	-	-	-	-	-	-	-	-

* Business of HNB Finance PLC

Geographic information

The Group functions in one geographic location, other than as disclosed under Note 34 (e) to the financial statements.

Accordingly, geographic information is not presented in these financial statements.

	Real Estate		Insurance		Investment Banking		NBFI*		Eliminations/Unallocated		Consolidated	
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
	106,589	143,351	8,079,364	7,434,738	2,637,932	-	7,781,749	5,310,093	(3,444,766)	1,584,586	115,108,625	109,764,979
	-	-	-	-	-	-	-	-	2,427,462	(5,057,856)	6,272,147	(2,865,940)
	-	-	480,087	421,784	630,116	-	927,398	906,293	(265,221)	(406,056)	24,995,119	19,148,725
	1,175,846	1,045,973	23,845,248	18,765,349	307,242	-	2,099,861	1,311,724	953,146	(833,945)	28,499,574	(28,923,589)
	1,282,435	1,189,324	32,404,699	26,621,871	3,575,290	-	10,809,008	7,528,110	(329,379)	(4,713,271)	174,875,465	97,124,175
	-	-	(1,882)	864	-	-	941,240	1,249,575	(815,460)	579,069	(8,395,196)	(77,874,059)
	1,282,435	1,189,324	32,406,581	26,621,007	3,575,290	-	9,867,768	6,278,535	486,081	(5,292,340)	183,270,661	174,998,234
	-	-	-	-	-	-	-	-	-	-	78,688,092	82,721,516
	-	-	-	-	-	-	-	-	-	-	797,703	1,377,926
	-	-	-	-	-	-	-	-	-	-	(29,672,630)	(39,259,810)
	-	-	-	-	-	-	-	-	-	-	2,220,312	1,300,701
	-	-	-	-	-	-	-	-	-	-	47,598,071	43,538,931
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
	10,934,463	11,258,395	80,650,049	62,437,072	92,463,010	-	85,969,027	53,066,750	145,539,423	30,142,884	2,638,236,898	2,203,620,674
	-	-	-	-	-	-	-	-	-	5,553,026	-	5,553,026
	10,934,463	11,258,395	80,650,049	62,437,072	92,463,010	-	85,969,027	53,066,750	145,539,423	35,695,910	2,638,236,898	2,209,173,700
	2,448,217	2,567,562	66,514,830	50,162,452	75,288,210	-	77,114,147	47,067,691	420,220,972	354,741,195	2,638,236,898	2,209,173,700
	2,448,217	2,567,562	66,514,830	50,162,452	75,288,210	-	77,114,147	47,067,691	420,220,972	354,741,195	2,638,236,898	2,209,173,700
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
	607,033	443,640	7,238,169	3,228,226	(2,933,333)	-	(6,869,163)	(3,200,678)	(251,594,534)	(210,638,740)	(103,604,772)	27,220,311
	275,785	281,844	(6,196,340)	(2,075,617)	6,748,462	-	(1,055,728)	3,504,439	(18,285,673)	(6,886,623)	86,200,801	(55,125,253)
	(726,835)	(726,824)	(585,302)	(820,909)	(535,375)	-	3,432,285	(179,459)	2,091,211	6,554,398	3,675,984	4,827,206
	155,983	(1,340)	456,527	331,700	3,279,754	-	(4,492,606)	124,302	(267,788,996)	(210,970,965)	(13,727,987)	(23,077,736)
	-	-	-	-	-	-	-	-	-	-	(2,575,557)	(1,993,957)
	-	-	-	-	-	-	-	-	-	-	(1,381,900)	(499,081)
	-	-	-	-	-	-	-	-	-	-	(3,957,457)	(2,493,038)

NOTES TO THE FINANCIAL STATEMENTS

63 NET ASSETS VALUE PER ORDINARY SHARE

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Amount used as the numerator:				
Equity holders funds (Rs 000)	270,320,960	231,479,275	302,785,306	261,360,907
Number of ordinary shares used as the denominator:				
Total number of shares ('000) [Note 22 (c)]	571,821	571,821	571,821	571,821
Net assets value per ordinary share (Rs)	472.74	404.81	529.51	457.07

64 EVENTS OCCURRING AFTER THE REPORTING PERIOD

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date the financial statements are authorised for issue.

There are no material events that took place after the reporting date which require adjustments to or disclosure in the financial statements, other than those disclosed below:

64 (a) Proposed Dividends

Refer Note 23 (a) to the financial statements.

65 COMPARATIVE INFORMATION

The presentation and classification of the following items in these financials statements are amended to ensure the comparability with the current year.

	Bank			Group		
	As previously disclosed Rs 000	Current Presentation Rs 000	Adjustment Rs 000	As previously disclosed Rs 000	Current Presentation Rs 000	Adjustment Rs 000
Net other operating income	3,158,358	2,826,518	(331,840)	3,630,804	3,162,294	(468,510)
Impairment charge/(reversal) for loans and other losses	(78,655,988)	(78,987,828)	(331,840)	(77,405,549)	(77,874,059)	(468,510)

During the year, the Bank reclassified recoveries pertaining to loans written off in prior years from "Net other operating income" to "Impairment charge/(reversal) for loans and other losses".

66 DIRECTORS' RESPONSIBILITY STATEMENT

The Board of Directors of the Bank is responsible for the preparation and presentation of these financial statements.

Please refer page 324 to 325 for the statement of the directors' responsibility for financial reporting.

67 SELECTED PERFORMANCE INDICATORS (AS PER REGULATORY REPORTING)

The table below presents selected performance indicators as specified in Circular No. 05 of 2024, issued by the Central Bank of Sri Lanka.

	Bank		Group	
	As at 31.12.2025	As at 31.12.2024	As at 31.12.2025	As at 31.12.2024
BASEL III				
Regulatory Capital				
Common Equity Tier 1. Rs. Mn	222,010	190,812	271,508	219,579
Tier 1 Capital. Rs. Mn	222,010	190,812	271,508	219,579
Total Capital. Rs. Mn	262,951	233,314	312,449	262,769
Regulatory Capital Ratios				
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 2025 - 8.00%: 2024 - 8.00%)	16.85%	19.59%	18.65%	20.64%
Tier 1 Capital Ratio (Minimum Requirement - 2025 - 9.50%: 2024 - 9.50%)	16.85%	19.59%	18.65%	20.64%
Total Capital Ratio (Minimum Requirement 2025 - 13.50%: 2024 - 13.50%)	19.95%	23.96%	21.47%	24.70%
Leverage Ratio (Minimum Requirement- 3.00%)	7.99%	7.93%	8.80%	8.64%
Regulatory Liquidity				
Liquidity Coverage Ratio (%) - Rupee (Minimum Requirement - 2025 - 100%, 2024 - 100%)	193.97%	292.61%		
Liquidity Coverage Ratio (%) - All Currency (Minimum Requirement - 2025 - 100%, 2024 - 100%)	227.75%	331.49%		
Net Stable Funding Ratio (Minimum Requirement - 2025 - 100%, 2024 - 100%)	137.89%	161.18%		
Assets Quality (Quality of Loan Portfolio)				
Impaired Loans (Stage 3) Ratio, %*	1.09%	1.88%		
Impairment (Stage 3) to Stage 3 loans Ratio, %*	75.97%	74.42%		
Profitability (Annualised)				
Interest Margin, %**	4.26%	4.86%		
Return on Assets (before Tax), %**	3.20%	4.03%		
Return on Equity, %**	18.11%	20.40%		
Cost to Income %***	37.82%	66.04%		
Memorandum Information				
Credit Rating	AA-(lka)	A (lka)		
Number of Employees	5,645	5,577		
Number of Branches	257	254		

* Including Undrawn Portion of Credit

** Computed based in quarterly averages of assets and equity

***Excluding the net losses arising from de-recognition of financial assets measured at amortised cost, the cost-to-income ratio for 2024 would have been 37.20%

SUPPLEMENTARY INFORMATION



Phases of **CONTINUITY**

As a tree completes a season of growth, its canopy stands as the full expression of the structure built over time. Every branch, leaf, and extension reflects the strength of what supports it beneath the surface. Together, they form a complete ecosystem, demonstrating how clarity emerges when each element is understood in relation to the whole.

The disclosures that follow complete HNB's cycle of growth in the year under review. By reinforcing transparency and continuity, they provide clarity, context, and assurance, ensuring that each phase of progress is clearly understood and responsibly carried forward into the future.

MARKET DISCIPLINE-DISCLOSURE REQUIREMENTS UNDER PILLAR III

TEMPLATE 1

Key regulatory ratios - Capital and liquidity

As at 31st December	Bank		Group	
	2025	2024	2025	2024
Regulatory Capital				
Common Equity (Rs 000)	222,010,336	190,811,979	271,508,085	219,579,323
Tier 1 Capital (Rs 000)	222,010,336	190,811,979	271,508,085	219,579,323
Total Capital (Rs 000)	262,951,455	233,313,500	312,449,204	262,768,541
Regulatory Capital Ratios				
Common Equity Tier 1 Capital Ratio (Minimum Requirement - 2025-8% ; 2024-8%)	16.85%	19.59%	18.65%	20.64%
Tier 1 Capital Ratio (Minimum Requirement - 2025-9.5% ; 2024-9.5%)	16.85%	19.59%	18.65%	20.64%
Total Capital Ratio (Minimum Requirement - 2025-13.5% ; 2024-13.5%)	19.95%	23.96%	21.47%	24.70%
Leverage Ratio (Minimum Requirement - 3%)	7.99%	7.93%	8.80%	8.64%
Net stable funding ratio (minimum requirement : 2025-100% , 2024-100%)	137.89%	161.18%		
Regulatory Liquidity				
Liquidity Coverage Ratio (%) – Rupee (Minimum Requirement - 2025-100% ; 2024-100%)	193.97%	292.61%		
Liquidity Coverage Ratio (%) – All Currency (Minimum Requirement - 2025-100% ; 2024-100%)	227.75%	331.49%		

TEMPLATE 2

Basel III computation of capital ratios

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Common equity Tier 1 (CET1) Capital after Adjustments	222,010,336	190,811,979	271,508,085	219,579,323
Total common equity Tier 1 (CET1) Capital	234,036,064	199,639,959	277,087,360	224,195,623
Equity Capital (Stated Capital)/Assigned Capital	42,858,227	42,858,227	42,858,227	42,858,227
Reserve fund	14,910,000	12,610,000	14,910,000	12,610,000
Published retained earnings/(Accumulated retained losses)	108,774,720	77,316,203	125,166,319	92,754,161
Published accumulated other comprehensive income (OCI)	6,393,117	6,755,529	6,393,117	6,600,198
General and other disclosed reserves	61,100,000	60,100,000	73,063,667	60,984,471
Unpublished current year's profit/(losses) and gains reflected in OCI	-	-	-	-
Ordinary shares issued by consolidated banking and financial subsidiaries of the Bank and held by third parties	-	-	14,696,030	8,388,566
Total adjustments to CET1 Capital	12,025,728	8,827,980	5,579,275	4,616,301
Goodwill (net)	-	-	993,775	122,941
Intangible assets (net)	1,718,483	1,322,941	2,651,703	1,685,812
Deferred tax assets (net)	891,810	3,393,785	1,340,386	-
Defined benefit pension fund assets	593,411	1,394,045	593,411	1,394,045
Revaluation losses of property, plant & equipment	-	-	-	-
Investments in the capital of banking and financial institutions where the bank does not own more than 10 per cent of the issued ordinary share capital of the entity	-	-	-	15,064
Significant investments in the capital of financial institutions where the bank owns more than 10 per cent of the issued ordinary share capital of the entity	8,822,024	2,089,842	-	771,071
Shortfall of capital in financial subsidiaries	-	627,367	-	627,367
Additional Tier 1 (AT1) capital after adjustments	-	-	-	-
Additional Tier 1 (AT1) capital	-	-	-	-
Qualifying additional Tier 1 capital instruments	-	-	-	-
Instruments issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-	-	-	-
Total adjustments to AT1 capital	-	-	-	-
Investment in Own Shares	-	-	-	-
Others (specify)	-	-	-	-
Tier 2 capital after adjustments	40,941,119	42,501,520	40,941,119	43,189,218
Total Tier 2 Capital	40,941,119	42,501,520	40,941,119	43,189,218
Qualifying Tier 2 capital instruments	18,753,631	22,230,972	18,753,631	21,847,635
Revaluation gains	9,019,057	9,019,057	9,019,057	9,019,057
General provision/eligible impairment	13,168,431	11,251,492	13,168,431	12,322,526
Instruments issued by Consolidated Banking and Financial Subsidiaries of the Bank and held by Third Parties	-	-	-	-

MARKET DISCIPLINE-DISCLOSURE REQUIREMENTS UNDER PILLAR III

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Total adjustments to Tier 2 capital	-	-	-	-
Investment in own shares	-	-	-	-
Others (specify)	-	-	-	-
Investments in the capital of financial institutions and where the bank does not own more than 10 per cent of the issued capital carrying voting rights of the issuing entity	-	-	-	-
CET1 capital	222,010,336	190,811,979	271,508,085	219,579,323
Total Tier 1 capital	222,010,336	190,811,979	271,508,085	219,579,323
Total capital	262,951,455	233,313,500	312,449,204	262,768,541
Total risk weighted amount (RWA)	1,317,938,378	973,885,210	1,455,428,962	1,063,641,201
RWAs for Credit Risk	1,236,360,015	900,119,356	1,355,713,382	985,802,113
RWAs for Market Risk	2,649,741	1,545,030	16,351,133	2,130,508
RWAs for Operational Risk	78,928,622	72,220,824	83,364,447	75,708,579
CET1 capital ratio (including capital conservation buffer, countercyclical capital buffer & surcharge on D-SIBs) (%)	16.85%	19.59%	18.65%	20.64%
Of which: capital conservation buffer (%)	2.50%	2.50%	2.50%	2.50%
Of which: countercyclical buffer (%)				
Of which: capital surcharge on D-SIBs (%)	1.00%	1.00%	1.00%	1.00%
Total Tier 1 capital ratio (%)	16.85%	19.59%	18.65%	20.64%
Total capital ratio (including capital conservation buffer, countercyclical capital buffer & surcharge on D-SIBs) (%)	19.95%	23.96%	21.47%	24.70%
Of which: capital conservation buffer (%)	2.50%	2.50%	2.50%	2.50%
Of which: countercyclical buffer (%)				
Of which: capital surcharge on D-SIBs (%)	1.00%	1.00%	1.00%	1.00%

TEMPLATE 3

Leverage ratio

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
Tier 1 capital	222,010,336	190,811,979	271,508,085	219,579,323
Total exposures	2,778,778,664	2,405,767,807	3,086,157,927	2,540,615,130
On-balance sheet items (excluding derivatives and securities financing transactions, but including collateral)	2,345,192,958	2,063,435,565	2,596,537,026	2,198,282,888
Derivative exposures	295,345,950	248,077,994	295,345,950	248,077,994
Securities financing transaction exposures	59,614,203	32,385,555	115,649,398	32,385,555
Other off-balance sheet exposures	78,625,553	61,868,692	78,625,553	61,868,692
Basel III leverage ratio (Tier 1/Total Exposure) (minimum requirement 3%)	7.99%	7.93%	8.80%	8.64%

TEMPLATE 4

Liquidity coverage ratio (LCR) - All currency

As at 31st December	2025		2024	
	Total Unweighted Value Rs 000	Total Weighted Value Rs 000	Total Unweighted Value Rs 000	Total Weighted Value Rs 000
Total stock of High-Quality Liquid Assets (HQLA)	755,139,058	741,968,930	854,133,830	841,182,908
Total adjusted level 1 assets	668,972,510	668,972,510	771,199,573	771,199,573
Level 1 assets	667,644,606	667,644,606	768,040,313	768,040,313
Total adjusted level 2A assets	87,363,137	74,258,666	85,988,105	73,089,889
Level 2A assets	87,363,137	74,258,666	85,988,105	73,089,889
Total adjusted level 2B assets	131,315	65,657	105,412	52,706
Level 2B assets	131,315	65,657	105,412	52,706
Total cash outflows	2,315,914,091	424,138,631	2,005,187,918	366,966,714
Deposits	141,544,379	141,544,379	1,266,204,952	126,620,495
Unsecured wholesale funding	512,913,596	235,604,818	420,552,146	190,011,691
Secured funding transactions	25,105,268	-	24,804,863	-
Undrawn portion of committed (irrevocable) facilities and other contingent funding obligations	183,199,672	13,137,352	261,775,892	18,484,462
Additional requirements	29,073,503	29,073,503	31,850,065	31,850,065
Total cash inflows	170,835,766	98,350,104	187,895,404	109,193,731
Maturing secured lending transactions backed by collateral	-	-	-	-
Committed facilities	-	-	-	-
Other inflows by counterparty which are maturing within 30 days	161,060,188	94,173,735	166,500,179	103,717,486
Operational deposits	2,266,595	-	10,538,279	-
Other cash inflows	7,508,983	4,176,370	10,856,946	5,476,244
Liquidity coverage ratio (%) (Stock of High Quality Liquid Assets/Total Net Cash Outflows over the Next 30 Calendar Days) * 100		227.75%		331.49%

TEMPLATE 5

Net stable funding ratio (NSFR)

As at 31st December	Bank	
	2025 Rs 000	2024 Rs 000
Total available stable funding (ASF)	1,605,013,869	1,483,602,474
Required stable funding – On balance sheet assets	1,150,727,678	904,508,010
Required stable funding – Off balance sheet items	13,246,206	15,976,384
Total required stable funding (RSF)	1,163,973,884	920,484,394
NSFR (minimum requirement - 2025 - 100%, 2024 - 100%)	137.89%	161.18%

MARKET DISCIPLINE-DISCLOSURE REQUIREMENTS UNDER PILLAR III

TEMPLATE 6

Main Features of Regulatory Capital Instruments

Description of the capital instrument	Stated Capital	Debentures - 2019 Basel III compliant – Tier 2 listed rated unsecured subordinated redeemable debentures with a non-viability conversion	
Issuer	HNB PLC	HNB PLC	
Unique identifier			
Governing law(s) of the instrument	Sri Lanka	Sri Lanka	
Original date of issuance	Not Applicable	September 23, 2019	
Par value of instrument		LKR 100/-	
Perpetual or dated	Perpetual	Dated	
Original maturity date, if applicable	Not Applicable	September 22, 2026	
Amount recognised in regulatory capital (in Rs 000 as at the reporting date)	42,858,227	1,615,486	
Accounting classification (equity/liability)	Equity	Liability	
Issuer call subject to prior supervisory approval			
Optional call date, contingent call dates and redemption amount (Rs. '000)	Not Applicable	Not Applicable	
Subsequent call dates, if applicable	Not Applicable	Not Applicable	
Coupons/dividends:	Dividends	Coupons	
Fixed or floating dividend/coupon	Not Applicable	Fixed	
Coupon rate and any related index		12.8% p.a.	
Non-cumulative or cumulative	Non-cumulative	Cumulative	
Convertible or non-convertible	Not Applicable	Convertible	
If convertible, conversion trigger (s)		"A "Trigger Event" is determined by and at the sole discretion of the Monetary Board of the Central Bank of Sri Lanka (i.e., conversion of the said Debentures upon occurrence of the Trigger Event will be affected by the Bank solely upon being instructed by the Monetary Board of the Central Bank of Sri Lanka), and is defined in the Banking Act Direction No. 1 of 2016 of Web-Based Return Code 20.2.3.1.1.1.(10) (iii) (a & b) as a point/event being the earlier of – (a) "A decision that a write-down, without which the Bank would become non-viable, is necessary, as determined by the Monetary Board, OR (b) The decision to make a public sector injection of capital, or equivalent support, without which the Bank would have become non-viable, as determined by the Monetary Board."	
If convertible, fully or partially	Not Applicable	Fully	
If convertible, mandatory or optional	Not Applicable	Optional. At the discretion of the monetary board of the Central Bank of Sri Lanka upon occurrence of trigger points as detailed above.	
If convertible, conversion rate	Not Applicable	The price based on the simple average of the daily volume of weighted average price (VWAP) of an ordinary voting share of the Bank during the three (03) months period, immediately preceding the date of the Trigger Event.	

Debentures - 2021 Basel III compliant – Tier 2 listed rated unsecured subordinated redeemable debentures with a non-viability conversion	Debentures - 2024 Basel III compliant – Tier 2 listed rated unsecured subordinated redeemable debentures with a non-viability conversion
HNB PLC	HNB PLC
Sri Lanka	Sri Lanka
July 28, 2021	August 27, 2024
LKR 100/-	LKR 100/-
Dated	Dated
July 28, 2031	August 27, 2034
7,000,000	9,917,820
Liability	Liability
Not Applicable	Not Applicable
Not Applicable	Not Applicable
Coupons	Coupons
Fixed	Fixed
9.50% p.a.	13.50% p.a.
Cumulative	Cumulative
Convertible	Convertible
"A "Trigger Event" is determined by and at the sole discretion of the Monetary Board of the Central Bank of Sri Lanka (i.e., conversion of the said Debentures upon occurrence of the Trigger Event will be affected by the Bank solely upon being instructed by the Monetary Board of the Central Bank of Sri Lanka), and is defined in the Banking Act Direction No. 1 of 2016 of Web-Based Return Code 20.2.3.1.1.1.(10) (iii) (a & b) as a point/event being the earlier of –	"A "Trigger Event" is determined by and at the sole discretion of the Monetary Board of the Central Bank of Sri Lanka (i.e., conversion of the said Debentures upon occurrence of the Trigger Event will be affected by the Bank solely upon being instructed by the Monetary Board of the Central Bank of Sri Lanka), and is defined in the Banking Act Direction No. 1 of 2016 of Web-Based Return Code 20.2.3.1.1.1.(10) (iii) (a & b) as a point/event being the earlier of –
(a) "A decision that a write-down, without which the Bank would become non-viable, is necessary, as determined by the Monetary Board, OR	(a) "A decision that a write-down, without which the Bank would become non-viable, is necessary, as determined by the Monetary Board, OR
(b) The decision to make a public sector injection of capital, or equivalent support, without which the Bank would have become non-viable, as determined by the Monetary Board."	(b) The decision to make a public sector injection of capital, or equivalent support, without which the Bank would have become non-viable, as determined by the Monetary Board."
Fully	Fully
Optional. At the discretion of the monetary board of the Central Bank of Sri Lanka upon occurrence of trigger points as detailed above.	Optional. At the discretion of the monetary board of the Central Bank of Sri Lanka upon occurrence of trigger points as detailed above.
The price based on the simple average of the daily volume of weighted average price (VWAP) of an ordinary voting share of the Bank during the three (03) months period, immediately preceding the date of the Trigger Event.	The price based on the simple average of the daily volume of weighted average price (VWAP) of an ordinary voting share of the Bank during the three (03) months period, immediately preceding the date of the Trigger Event.

MARKET DISCIPLINE-DISCLOSURE REQUIREMENTS UNDER PILLAR III

TEMPLATE 7

Summary discussion on adequacy/meeting current and future capital requirements

The Bank's tier I and total capital adequacy ratios stood at 16.85% and 19.95% respectively as at end of 2025, against the regulatory requirements of 9.5% and 13.5% indicating the comfortable leeway of 735 bps and 645 bps available to the Bank. In addition, the Bank has the option to draw down up to 250bps on the capital conservation buffer as per the guidelines issued by the Central Bank of Sri Lanka.

The Bank has already provided 8.8% for impairment on its investments in international sovereign bonds on a prudent basis.

TEMPLATE 8

Credit risk under standardised approach

Credit risk exposures and credit risk mitigation (CRM) effects - Bank

As at 31st December 2025	Bank					
	Exposures before Credit Conversion Factor (CCF) and CRM		Exposures post CCF and CRM		RWA and RWA Density (%)	
	On-balance sheet amount (a)	Off-Balance Sheet Amount (b)	On-balance sheet amount (c)	Off-Balance Sheet Amount (d)	RWA (e)	RWA Density {e/(c+d)}
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	(%)
Claims on Central Government and CBSL	800,287,331	-	791,887,652	-	17,549,745	2.22%
Claims on foreign sovereigns and their central banks	-	-	-	-	-	-
Claims on public sector entities (PSEs)	-	-	-	-	-	-
Claims on Official Entities and Multilateral Development Banks (MDBs)	-	-	-	-	-	-
Claims on banks exposures	38,973,873	-	38,973,873	-	9,638,966	24.73%
Claims on financial institutions	110,461,548	1,588,005	110,461,548	1,588,005	78,357,860	69.93%
Claims on corporates	662,688,385	64,397,973	631,274,844	64,397,973	660,887,239	95.00%
Retail claims	574,156,852	15,996,256	501,841,377	15,996,256	336,020,265	64.89%
Claims secured by residential property	72,785,026	-	72,785,026	-	53,829,858	73.96%
Claims secured by commercial real estate	-	-	-	-	-	-
Non-Performing Assets (NPAs)(i)	19,712,979	-	19,712,979	-	20,314,674	103.05%
Higher-risk categories	2,308,324	-	2,308,324	-	5,770,810	250.00%
Cash items and other assets	103,963,550	-	103,963,550	-	53,990,597	51.93%
Total	2,385,337,868	81,982,234	2,273,209,173	81,982,234	1,236,360,015	

Credit risk under standardised approach

Credit risk exposures and credit risk mitigation (CRM) effects - Group

As at 31st December 2025	Group					
	Exposures before Credit Conversion Factor (CCF) and CRM		Exposures post CCF and CRM		RWA and RWA Density (%)	
	On-balance sheet amount (a)	Off-Balance Sheet Amount (b)	On-balance sheet amount (c)	Off-Balance Sheet Amount (d)	RWA (e)	RWA Density {e/(c+d)}
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	(%)
Claims on Central Government and CBSL	845,277,724	-	836,878,045	-	17,549,745	2.10%
Claims on foreign sovereigns and their central banks	-	-	-	-	-	-
Claims on public sector entities (PSEs)	-	-	-	-	-	-
Claims on Official Entities and Multilateral Development Banks (MDBs)	-	-	-	-	-	-
Claims on banks exposures	48,334,305	-	48,334,305	-	12,874,545	26.64%
Claims on financial institutions	127,124,694	30,306	127,124,694	30,306	92,658,957	72.87%
Claims on corporates	662,199,655	65,955,674	630,786,114	65,955,674	661,388,713	94.93%
Retail claims	640,407,931	15,996,254	568,092,456	15,996,254	388,688,463	66.55%
Claims secured by residential property	72,785,026	-	72,785,026	-	53,829,858	73.96%
Claims secured by commercial real estate	-	-	-	-	-	-
Non-Performing Assets (NPAs)(i)	25,812,267	-	25,812,267	-	29,463,606	114.15%
Higher-risk categories	2,317,589	-	2,317,589	-	5,793,973	250.00%
Cash items and other assets	144,806,852	-	144,806,852	-	93,465,523	64.54%
Total	2,569,066,043	81,982,234	2,456,937,348	81,982,234	1,355,713,382	

MARKET DISCIPLINE-DISCLOSURE REQUIREMENTS UNDER PILLAR III

TEMPLATE 9

Credit risk under standardised approach

Exposures by asset classes and risk weights (Post CCF & CRM) - Bank

As at 31st December 2025	Bank										
	0%	10%	20%	35%	50%	60%	75%	100%	150%	>150%	Total credit exposures amount
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Claims on central government and central bank of Sri Lanka	704,138,926	-	87,748,726	-	-	-	-	-	-	-	791,887,652
Claims on foreign sovereigns and their central banks	-	-	-	-	-	-	-	-	-	-	-
Claims on public sector entities	-	-	-	-	-	-	-	-	-	-	-
Claims on official entities and multilateral development banks	-	-	-	-	-	-	-	-	-	-	-
Claims on banks exposures	-	-	35,436,092	-	2,089,882	-	-	1,330,083	117,816	-	38,973,873
Claims on financial institutions	-	-	1,793,545	-	64,513,714	-	-	45,742,294	-	-	112,049,553
Claims on corporates	-	-	41,626,906	-	2,968,106	-	-	651,077,805	-	-	695,672,817
Retail claims	-	-	440,026	-	-	19,163,289	230,403,431	151,631,713	-	-	401,638,459
Claims secured by gold	116,199,174	-	-	-	-	-	-	-	-	-	116,199,174
Claims secured by residential property	-	-	-	29,161,797	-	-	-	43,623,229	-	-	72,785,026
Claims secured by commercial real estate	-	-	-	-	-	-	-	-	-	-	-
Non-Performing Assets (NPAs)	-	-	-	-	281,184	-	-	17,947,221	1,484,574	-	19,712,979
Higher-risk categories	-	-	-	-	-	-	-	-	-	2,308,324	2,308,324
Cash items and other assets	49,972,953	-	-	-	-	-	-	53,990,597	-	-	103,963,550
Total	870,311,053	-	167,045,295	29,161,797	69,852,886	19,163,289	230,403,431	965,342,942	1,602,390	2,308,324	2,355,191,407

Credit risk under standardised approach

Exposures by asset classes and risk weights (Post CCF & CRM) - Group

As at 31st December 2025	Group										
	0%	10%	20%	35%	50%	60%	75%	100%	150%	>150%	Total credit exposures amount
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Claims on central government and central bank of Sri Lanka	749,129,319	-	87,748,726	-	-	-	-	-	-	-	836,878,045
Claims on foreign sovereigns and their central banks	-	-	-	-	-	-	-	-	-	-	-
Claims on public sector entities	-	-	-	-	-	-	-	-	-	-	-
Claims on official entities and multilateral development banks	-	-	-	-	-	-	-	-	-	-	-
Claims on banks exposures	-	-	40,251,551	-	6,634,855	-	-	1,330,083	117,816	-	48,334,305
Claims on financial institutions	-	-	1,793,545	-	66,122,414	-	-	59,239,041	-	-	127,155,000
Claims on corporates	-	-	42,313,803	-	3,004,066	-	-	651,423,919	-	-	696,741,788
Retail claims	-	-	440,026	-	-	19,163,289	230,403,430	204,299,912	-	-	454,306,657
Claims secured by gold	129,782,053	-	-	-	-	-	-	-	-	-	129,782,053
Claims secured by residential property	-	-	-	29,161,797	-	-	-	43,623,229	-	-	72,785,026
Claims secured by commercial real estate	-	-	-	-	-	-	-	-	-	-	-
Non-Performing Assets (NPAs)	-	-	-	-	281,184	-	-	17,947,221	7,583,862	-	25,812,267
Higher-risk categories	-	-	-	-	-	-	-	-	-	2,317,589	2,317,589
Cash items and other assets	51,341,329	-	-	-	-	-	-	93,465,523	-	-	144,806,852
Total	930,252,701	-	172,107,625	29,161,797	76,042,519	19,163,289	230,403,430	1,071,328,928	7,701,678	2,317,589	2,538,919,582

TEMPLATE 10

Market risk under standardised measurement method

As at 31st December	Bank		Group	
	2025 Rs 000	2024 Rs 000	2025 Rs 000	2024 Rs 000
(a) Capital charge for interest rate risk	27,019	113,772	1,745,419	113,772
General interest rate risk	27,019		1,745,419	
(i) Net long or short position	27,019	113,772	1,745,419	113,772
(ii) Horizontal disallowance			-	-
(iii) Vertical disallowance			-	-
(iv) Options			-	-
Specific interest rate risk				
(b) Capital charge for equity	35,455	28,461	166,743	107,501
(i) General equity risk	17,727	14,231	94,788	53,750
(ii) Specific equity risk	17,727	14,231	71,955	53,750
(c) Capital charge for foreign exchange & gold	295,241	66,346	295,241	66,346
Capital charge for market risk [(a) + (b) + (c)] * CAR	2,649,741	1,545,030	16,351,133	2,130,508

MARKET DISCIPLINE-DISCLOSURE REQUIREMENTS UNDER PILLAR III

TEMPLATE 11

Operational Risk- Bank

Operational Risk under 'Alternative Standardised Approach'

As at 31st December 2025			Gross Income			Capital Charges		
	Capital Charge Factor	Fixed Factor	1st Year	2nd Year	3rd Year	1st Year	2nd Year	3rd Year
	%		Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
The Alternative Standardised Approach			1,819,483,482	1,976,384,766	1,797,852,388	9,685,430	10,559,132	11,721,530
Sub Total			3,386,828	3,758,904	16,962,969	608,255	672,638	3,040,793
Corporate Finance	18%		-	-	-	-	-	-
Trading and Sales	18%		1,145,458	1,002,098	8,904,899	206,182	180,378	1,602,882
Payment and Settlement	18%		2,195,593	2,624,638	7,640,019	395,207	472,435	1,375,203
Agency Services	15%		45,777	132,169	418,051	6,866	19,825	62,708
Asset Management	12%		-	-	-	-	-	-
Retail Brokerage	12%		-	-	-	-	-	-
Sub Total			1,816,096,655	1,972,625,862	1,780,889,419	9,077,175	9,886,494	8,680,737
Retail Banking	12%	0.035	435,554,640	447,421,089	637,078,543	1,829,329	1,879,169	2,675,730
Commercial Banking	15%	0.035	1,380,542,015	1,525,204,773	1,143,810,876	7,247,846	8,007,325	6,005,007
Capital Charges for Operational Risk								10,655,364
The Alternative Standardised Approach								10,655,364
Risk-Weighted Amount for operational Risk								78,928,622
The Alternative Standardised Approach								78,928,622

Operational Risk under 'Alternative Standardised Approach'

As at 31st December 2024			Gross Income			Capital Charges		
	Capital Charge Factor	Fixed Factor	1st Year	2nd Year	3rd Year	1st Year	2nd Year	3rd Year
	%		Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
The Alternative Standardised Approach			1,562,414,032	1,819,386,236	1,976,284,793	9,040,371	9,667,926	10,541,136
Sub Total			7,591,100	3,289,582	3,658,931	1,365,862	590,751	654,643
Corporate Finance	18%		-	-	-	-	-	-
Trading and Sales	18%		5,745,701	1,048,212	902,125	1,034,226	188,678	162,383
Payment and Settlement	18%		1,827,529	2,195,593	2,624,638	328,955	395,207	472,435
Agency Services	15%		17,870	45,777	132,169	2,681	6,866	19,825
Asset Management	12%		-	-	-	-	-	-
Retail Brokerage	12%		-	-	-	-	-	-
Sub Total			1,554,822,932	1,816,096,655	1,972,625,862	7,674,509	9,077,175	9,886,494
Retail Banking	12%	0.035	465,058,309	435,554,640	447,421,089	1,953,245	1,829,329	1,879,169
Commercial Banking	15%	0.035	1,089,764,623	1,380,542,015	1,525,204,773	5,721,264	7,247,846	8,007,325
Capital Charges for Operational Risk								9,749,811
The Alternative Standardised Approach								9,749,811
Risk-Weighted Amount for operational Risk								72,220,824
The Alternative Standardised Approach								72,220,824

Operational Risk- Group

Operational Risk under 'Alternative Standardised Approach'

As at 31st December 2025			Gross Income			Capital Charges		
	Capital Charge Factor	Fixed Factor	1st Year	2nd Year	3rd Year	1st Year	2nd Year	3rd Year
	%		Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
The Alternative Standardised Approach			1,900,365,535	2,064,044,099	1,911,314,552	10,139,425	11,055,448	12,567,728
Sub Total			3,810,092	4,228,668	18,765,048	684,272	756,700	3,363,599
Corporate Finance	18%		-	-	-	-	-	-
Trading and Sales	18%		1,288,609	1,127,333	9,705,834	231,950	202,920	1,747,050
Payment and Settlement	18%		2,469,985	2,952,648	8,588,918	444,597	531,477	1,546,005
Agency Services	15%		51,498	148,687	470,296	7,725	22,303	70,544
Asset Management	12%		-	-	-	-	-	-
Retail Brokerage	12%		-	-	-	-	-	-
Sub Total			1,896,555,443	2,059,815,431	1,892,549,504	9,455,153	10,298,748	9,204,129
Retail Banking	12%	0.035	477,868,908	490,745,704	696,910,060	2,007,049	2,061,132	2,927,022
Commercial Banking	15%	0.035	1,418,686,535	1,569,069,727	1,195,639,444	7,448,104	8,237,616	6,277,107
Capital Charges for Operational Risk								11,254,200
The Alternative Standardised Approach								11,254,200
Risk-Weighted Amount for operational Risk								83,364,447
The Alternative Standardised Approach								83,364,447

Operational Risk under 'Alternative Standardised Approach'

As at 31st December 2024			Gross Income			Capital Charges		
	Capital Charge Factor	Fixed Factor	1st Year	2nd Year	3rd Year	1st Year	2nd Year	3rd Year
	%		Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
The Alternative Standardised Approach			1,635,051,403	1,900,256,136	2,063,838,298	9,523,736	10,119,734	11,018,504
Sub Total			8,436,831	3,700,693	4,022,866	1,518,034	664,580	719,756
Corporate Finance	18%		-	-	-	-	-	-
Trading and Sales	18%		6,385,834	1,179,211	991,855	1,149,450	212,258	178,534
Payment and Settlement	18%		2,031,135	2,469,985	2,885,697	365,604	444,597	519,425
Agency Services	15%		19,861	51,497	145,315	2,979	7,725	21,797
Asset Management	12%		-	-	-	-	-	-
Retail Brokerage	12%		-	-	-	-	-	-
Sub Total			1,626,614,572	1,896,555,443	2,059,815,431	8,005,703	9,455,154	10,298,748
Retail Banking	12%	0.035	508,593,993	477,868,908	490,745,704	2,136,095	2,007,049	2,061,132
Commercial Banking	15%	0.035	1,118,020,579	1,418,686,535	1,569,069,727	5,869,608	7,448,104	8,237,616
Capital Charges for Operational Risk								10,220,658
The Alternative Standardised Approach								10,220,658
Risk-Weighted Amount for operational Risk								75,708,579
The Alternative Standardised Approach								75,708,579

MARKET DISCIPLINE-DISCLOSURE REQUIREMENTS UNDER PILLAR III

TEMPLATE 12

Differences between Accounting and Regulatory Scopes and Mapping of Financial Statement Categories with Regulatory Risk Categories – Bank only

As at 31st December 2025	a	b	c	d	e
	Carrying Values as Reported in Published Financial Statements	Carrying Values under Scope of Regulatory Reporting	Subject to Credit Risk Framework	Subject to Market Risk Framework	Not subject to Capital Requirements or Subject to Deduction from Capital
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Assets	2,390,612,385	2,390,612,385	2,476,914,333	1,237,231	123,552,378
Cash and cash equivalents	55,375,004	55,375,004	55,375,004	-	-
Placements with banks	27,317,501	27,317,501	27,317,501	-	-
Balances with Central Bank of Sri Lanka	37,288,440	37,288,440	37,288,440	-	-
Reverse repurchase agreements	22,319,688	22,319,688	22,319,688	-	-
Derivative financial instruments	1,976,631	1,976,631	1,976,631	-	-
Financial assets measured at fair value through profit or loss	1,237,231	1,237,231	-	1,237,231	-
Financial assets measured at amortised cost - loans and advances to customers	1,433,237,237	1,433,237,237	1,532,200,099	-	112,128,695
Financial assets measured at amortised cost - debt and other financial instruments	650,618,623	650,618,623	650,618,623	-	-
Financial assets measured at fair value through other comprehensive income	94,855,469	94,855,469	94,854,838	-	9,265
Investment in equity accounted investees	-	-	-	-	-
Investment in subsidiaries	10,785,759	10,785,759	1,973,000	-	8,812,759
Investment properties	448,434	448,434	448,434	-	-
Property, plant and equipment	30,506,130	30,506,130	30,506,130	-	-
Right-of-use assets	8,730,560	8,730,560	8,730,560	-	-
Intangible assets and goodwill	1,718,483	1,718,483	-	-	1,718,483
Deferred tax assets	891,810	891,810	-	-	891,810
Other assets	13,305,385	13,305,385	13,305,385	-	-

As at 31st December 2025	a	b	c	d	e
	Carrying Values as Reported in Published Financial Statements	Carrying Values under Scope of Regulatory Reporting	Subject to Credit Risk Framework	Subject to Market Risk Framework	Not subject to Capital Requirements or Subject to Deduction from Capital
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Liabilities	2,120,291,425	2,120,291,425	-	-	-
Due to banks	11,343,172	11,343,172	-	-	-
Derivative financial instruments	300,191	300,191	-	-	-
Securities sold under repurchase agreements	28,197,135	28,197,135	-	-	-
Financial liabilities measured at amortised cost - due to depositors	1,961,851,197	1,961,851,197	-	-	-
Financial liabilities measured at amortised cost - other borrowings	15,511,110	15,511,110	-	-	-
Debt securities issued	10,044,766	10,044,766	-	-	-
Current tax liabilities	24,351,386	24,351,386	-	-	-
Deferred tax liabilities	-	-	-	-	-
Other provisions	16,987,948	16,987,948	-	-	-
Other liabilities	23,525,467	23,525,467	-	-	-
Subordinated term debts	28,179,053	28,179,053	-	-	-
Off-Balance Sheet Liabilities	1,009,361,708	1,009,361,708	637,290,929	-	-
Guarantees	30,422,195	30,422,195	30,422,195	-	-
Performance Bonds	57,169,949	57,169,949	57,169,949	-	-
Letters of Credit	48,089,527	48,089,527	44,030,969	-	-
Other Contingent Items	316,009,913	316,009,913	184,979,884	-	-
Undrawn Loan Commitments	557,670,124	557,670,124	325,186,947	-	-
Other Commitments	-	-	-	-	-
Shareholders' Equity	270,320,960	270,320,960	-	-	-
Equity Capital (Stated Capital)/Assigned Capital of which Amount Eligible for CET1	42,858,227	42,858,227	-	-	-
Of which Amount Eligible for AT1	-	-	-	-	-
Retained Earnings	108,774,720	108,774,720	-	-	-
Accumulated Other Comprehensive Income	14,648,260	14,648,260	-	-	-
Other Reserves	104,039,753	104,039,753	-	-	-

MARKET DISCIPLINE-DISCLOSURE REQUIREMENTS UNDER PILLAR III

TEMPLATE 13 : BANK RISK MANAGEMENT APPROACH

The Risk Report from pages 276 to 320 sets out the Bank's approach to risk management including governance structures, policies, processes, limits and the current risk profile of the Bank.

TEMPLATE 14 : RISK MANAGEMENT RELATED TO KEY RISK EXPOSURES

Risk	Compliance
Section I -Credit Risk	Refer Pages 358 to 386
Section II Market Risk	Refer Pages 392 to 397
Section II (a) IRR	Refer Pages 555 to 556
Section II (b) Equity Position Risk	Refer Page 557
Section II (c) Foreign Exchange	Refer Page 557
Section III Liquidity Risk	
Section III (a) Key Ratios	Refer Page 558
Section III (b) Currency Wise	Refer Pages 559 to 560
Section IV Operational Risk	Refer page 397 to 398
Section V Interest Rate Risk in Banking Book (IRRBB)	Refer page 561

TEMPLATE 14 - SECTION II MARKET RISK -(A) INTEREST RATE RISK

Interest Rate Sensitivity Gap Analysis as at 31-Dec-2025-LKR

(Values are in Millions LKR)

			1M	3M	6M	1Y	3Y	5Y	>5Y
Account Type	Product	Product Name Level18							
Rate Sensitive Assets	Inflows	Balances due from Head Office, Affiliates and Own Branches	0.00	0.00	0.00	0.00	0.00	0.00	3,530.76
		Bills of Exchange	71.72	0.00	0.00	0.00	0.00	0.00	0.00
		Cash on hand	49,699.43	0.00	0.00	0.00	0.00	0.00	0.00
		Deposits with CBSL	0.00	0.00	0.00	0.00	0.00	0.00	18,014.60
		Investments (Net of provisions)	114,726.46	62,414.63	230,451.78	51,091.79	105,481.77	18,033.22	67,071.98
		Loans and Advances	537,172.80	45,513.30	57,519.95	152,372.75	156,806.73	85,427.25	44,044.13
		NPLs	0.01	0.01	0.00	2,690.26	0.00	0.00	8,070.77
		Net Inter-Branch Transactions	0.00	0.00	0.00	0.00	0.00	0.00	(1.50)
		Other Assets	1,817.82	776.30	265.82	8,206.19	0.00	1,394.04	10,037.29
		Overdraft	90,392.17	13,712.43	9,334.29	8,370.43	4,845.67	2,791.42	4,020.00
		Accrued Interest	3,683.59	885.34	1,208.06	2,590.51	1.61	0.65	0.55
		Balances due from Other Banks	12,143.55	1,499.52	0.00	0.00	0.00	0.00	0.00
		Fixed Assets L1	0.00	0.00	0.00	0.00	0.00	0.00	32,691.81
			809,707.57	124,801.53	298,779.90	225,321.92	267,135.78	107,646.58	187,480.38
Rate Sensitive Liabilities	Outflows	Balances due to Other Banks	0.00	0.00	0.00	0.00	0.00	0.00	0.00
		Bills Payable	1,218.42	0.00	0.00	0.00	0.00	0.00	0.00
		Demand Deposits	2,271.66	4,695.00	7,042.50	14,085.00	10.91	21.82	84,289.23
		Interest Payable	3,572.21	7,049.04	8,900.27	6,578.21	14,594.66	1,033.39	843.88
		Other Liabilities	82.13	340.63	247.30	10,068.37	24,433.65	1,604.30	22,766.39
		Savings Deposits	4,413.66	29,422.96	12,822.06	25,644.11	68,979.59	137,903.37	206,957.37
		Time Deposits	122,824.70	225,268.52	231,194.95	201,474.20	146,111.07	13,304.46	2,389.77
		Bonds Issued	0.00	0.00	0.00	8,077.43	0.00	11,836.18	17,163.82
		Borrowings	129.22	306.05	826.68	1,174.55	2,911.86	1,438.38	230.22
		Capital & Reserves	0.00	0.00	0.00	0.00	0.00	0.00	42,858.23
		Repo	25,105.27	2,664.92	199.61	126.31	0.00	0.00	0.00
		Reserves	0.00	0.00	0.00	0.00	0.00	5,938.06	209,747.90
			159,617.27	269,747.11	261,233.36	267,228.18	257,041.75	173,079.96	587,246.81
Net Gap			650,090.29	(144,945.59)	37,546.54	(41,906.27)	10,094.03	(65,433.38)	(399,766.43)
Cumulative Gap			650,090.29	505,144.71	542,691.25	500,784.98	510,879.01	445,445.64	45,679.21
Rate Sensitive Assets total		(Excl- Cash on hand, Deposits with CBSL)	760,008.13	124,801.53	298,779.90	225,321.92	267,135.78	107,646.58	169,465.78
Rate Sensitive Liabilities total		(Excl- Demand Deposits, Capital)	157,345.61	265,052.11	254,190.86	253,143.18	257,030.83	173,058.14	460,099.35
Net Gap			602,662.52	(140,250.59)	44,589.04	(27,821.27)	10,104.95	(65,411.56)	(290,633.57)
Cumulative Gap			602,662.52	462,411.94	507,000.98	479,179.71	489,284.66	423,873.10	133,239.53

MARKET DISCIPLINE-DISCLOSURE REQUIREMENTS UNDER PILLAR III

Interest Rate Sensitivity Gap Analysis as at 31-Dec-2025-USD

(Values are in Thousands USD)

			1M	3M	6M	1Y	3Y	5Y	>5Y
Account Type	Product	Product Name Level18							
Rate Sensitive Assets	Inflows	Bills of Exchange	1,123.34	3,622.33	0.00	0.00	0.00	0.00	0.00
		Cash on hand	3,020.48	0.00	0.00	0.00	0.00	0.00	0.00
		Investments (Net of provisions)	0.00	0.00	0.00	0.00	52,703.77	0.00	353,198.79
		Loans and Advances	463,212.10	87,914.39	46,757.06	62,112.70	14,787.63	2,468.21	(19,531.29)
		NPLs	0.00	0.00	0.00	820.56	0.00	0.00	2,461.67
		Other Assets	528.92	1,578.06	0.00	26,645.82	0.00	0.00	(3,863.61)
		Overdraft	18,160.49	122.10	34.13	506.55	187.89	375.65	563.67
		Accrued Interest	1,240.00	444.66	677.45	0.00	1,004.21	0.00	0.00
		Balances due from Other Banks	44,403.80	0.00	0.00	0.00	0.00	0.00	0.00
			531,689.12	93,681.54	47,468.65	90,085.63	68,683.50	2,843.86	332,829.23
Rate Sensitive Liabilities	Outflows	Balances due to Other Banks	0.00	12,000.00	18,461.54	0.00	0.00	0.00	0.00
		Demand Deposits	551.27	1,138.69	1,708.04	3,416.07	253.97	507.74	20,637.85
		Interest Payable	4,504.10	5,966.88	4,029.09	4,129.87	3,340.95	240.30	0.00
		Other Liabilities	18.96	168.81	264.47	566.20	309.75	619.25	929.34
		Savings Deposits	2,098.36	4,248.04	6,372.06	12,744.11	34,280.13	68,532.53	102,849.64
		Time Deposits	125,782.20	151,308.41	146,490.28	301,287.63	61,086.99	24,059.85	0.00
			132,954.90	174,830.82	177,325.47	322,143.89	99,271.80	93,959.67	124,416.83
Net Gap			398,734.22	(81,149.28)	(129,856.83)	(232,058.26)	(30,588.30)	(91,115.82)	208,412.40
Cumulative Gap			398,734.22	317,584.94	187,728.12	(44,330.14)	(74,918.44)	(166,034.26)	42,378.14
Rate Sensitive Assets total (Excl - Cash on Hand)			528,668.64	93,681.54	47,468.65	90,085.63	68,683.50	2,843.86	332,829.23
Rate Sensitive Liabilities total (Excl- Demand Deposit)			132,403.63	173,692.13	175,617.44	318,727.82	99,017.83	93,451.93	103,778.98
Net Gap			396,265.01	(80,010.59)	(128,148.79)	(228,642.19)	(30,334.33)	(90,608.08)	229,050.26
Cumulative Gap			396,265.01	316,254.42	188,105.63	(40,536.55)	(70,870.88)	(161,478.96)	67,571.30

Notes

- 1) The above figures have been prepared including interest cash flows and may differ from SLFRS figures given in the Statement of Financial Position
- 2) Prepared as per the requirements given in the Banking Act Direction No 7 of 2011 on "Integrated Risk Management Framework".

TEMPLATE 14 - SECTION II MARKET RISK -(B) EQUITY POSITION RISK

Equity (Rs Mn)	Carrying Value	Fair Value
Investment Portfolio	20,425	42,900
Trading Portfolio	129	200

TEMPLATE 14 - SECTION II MARKET RISK -(C) FOREIGN EXCHANGE RISK

Report on Liquidity Gap Summery as at 31st Dec 2025 (Consolidated Foreign Currency)

(Amounts are in Thousands USD)

		1M	3M	6M	1Y	3Y	5Y	>5Y
Particulars	Product							
Total Inflows	Bills of Exchange	1,133.41	3,627.72	0.00	0.00	0.00	0.00	0.00
	Cash on hand	4,624.18	0.00	0.00	0.00	0.00	0.00	0.00
	Investments (Net of provisions)	0.00	0.00	18,154.17	3,427.03	53,252.00	71,134.24	332,783.87
	Loans and Advances	78,896.65	122,718.93	142,568.64	92,535.55	184,285.48	51,908.56	41,438.67
	NPLs	0.00	0.00	0.00	830.26	0.00	0.00	2,490.79
	Other Assets	528.92	1,578.06	0.00	25,057.13	0.00	0.00	(3,863.38)
	Other	0.00	0.00	2,142.95	4,286.54	0.00	0.00	0.00
	Overdraft	220.88	441.67	663.93	1,321.22	4,932.29	7,473.58	9,686.73
	Accrued Interest	1,254.43	444.76	677.45	0.00	1,004.21	0.00	0.00
	Balances due from Other Banks	44,837.60	0.00	0.00	0.00	0.00	0.00	0.00
	Forward Contracts	394,221.59	166,951.25	61,747.47	251.37	9.69	0.00	0.00
		525,717.66	295,762.38	225,954.61	127,709.11	243,483.67	130,516.37	382,536.68
Total Outflows	Balances due to Other Banks	0.00	12,297.27	611.90	229.92	18,920.13	0.00	0.00
	Demand Deposits	570.76	1,178.92	1,768.38	3,536.76	275.86	551.49	21,377.02
	Interest Payable	4,700.23	6,421.46	4,424.20	4,484.91	3,537.72	245.96	0.00
	Letters of Credit/Guarantees/ Acceptances	0.00	2,166.88	2,166.88	2,167.53	0.00	0.00	0.00
	Other Liabilities	159.53	198.95	424.69	649.27	392.98	785.65	1,221.18
	Savings Deposits	2,948.23	5,905.59	8,864.09	17,646.45	49,501.84	87,990.39	125,027.27
	Time Deposits	140,583.41	185,424.95	172,131.43	356,546.83	77,505.16	26,362.20	0.00
	Forward Contracts Payable	151,497.64	91,326.98	1,747.47	251.37	9.69	0.00	0.00
		300,459.78	304,921.01	192,139.06	385,513.05	150,143.38	115,935.69	147,625.46
Net Liquidity Gap		225,257.88	(9,158.63)	33,815.55	(257,803.94)	93,340.29	14,580.68	234,911.22
Net Gap as % of Total Outflows		74.97	(3.00)	17.60	(66.87)	62.17	12.58	159.13
Cumulative Gap		225,257.88	216,099.25	249,914.80	(7,889.14)	85,451.15	100,031.83	334,943.05

Notes

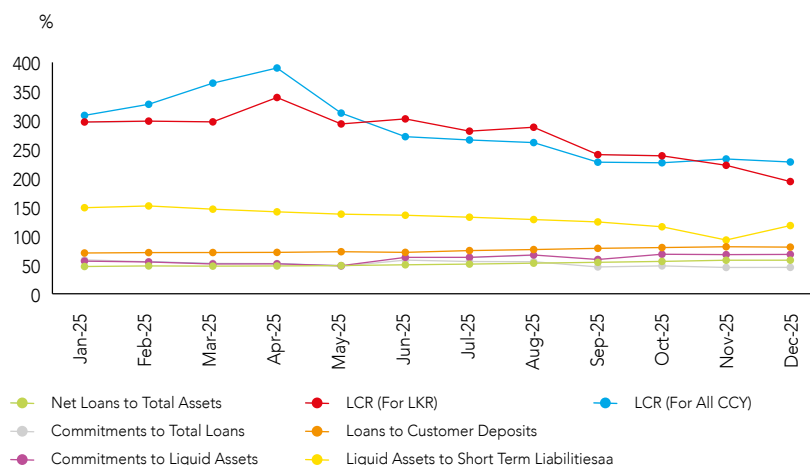
- The above figures have been prepared including interest cash flows and may differ from SLFRS figures given in the Statement of Financial Position
- Prepared as per the requirements given in the Banking Act Direction No 7 of 2011 on "Integrated Risk Management Framework".

MARKET DISCIPLINE-DISCLOSURE REQUIREMENTS UNDER PILLAR III

TEMPLATE 14 - SECTION III LIQUIDITY RISK - KEY LIQUIDITY RATIOS

Ratio	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25
LCR (For LKR)	296.90%	298.43%	297.12%	339.26%	293.55%	302.29%	281.10%	287.82%	240.52%	238.45%	222.06%	193.97%
LCR (For All CCY)	308.31%	327.50%	364.10%	390.26%	312.30%	271.54%	265.84%	261.31%	227.45%	226.42%	232.99%	227.75%
Net Loans to Total Assets	47.12%	48.10%	47.76%	48.04%	48.75%	50.07%	51.27%	52.88%	54.35%	55.93%	57.95%	58.02%
Loans to Customer Deposits	70.48%	71.16%	71.28%	71.53%	72.69%	71.56%	74.64%	76.41%	78.51%	79.86%	81.27%	80.62%
Liquid Assets to Short Term Liabilities	148.75%	151.80%	146.23%	141.63%	137.61%	135.72%	132.34%	128.29%	124.17%	115.79%	92.88%	117.87%
Commitments to Liquid Assets	56.42%	54.97%	51.49%	51.73%	48.49%	62.90%	62.95%	67.00%	59.25%	68.29%	67.67%	68.02%
Commitments to Total Loans	58.62%	55.22%	52.47%	52.14%	47.53%	58.17%	55.75%	55.38%	46.35%	48.18%	45.46%	45.61%

Liquidity Risk - Key Liquidity Ratios



TEMPLATE 14 - SECTION III (B) LIQUIDITY RISK- CURRENCY WISE

Report on Liquidity Gap Summery as at 31st Dec 2025 (LKR/ Behavioural)

(Amounts are in Millions LKR)

		1M	3M	6M	1Y	3Y	5Y	>5Y
Particulars	Product							
Total Inflows	Balances due from Head Office, Affiliates and Own Branches	0.00	0.00	0.00	0.00	0.00	0.00	3,530.76
	Bills of Exchange	71.72	0.00	0.00	0.00	0.00	0.00	0.00
	Cash on hand	49,699.43	0.00	0.00	0.00	0.00	0.00	0.00
	Deposits with CBSL	0.00	0.00	0.00	0.00	0.00	0.00	18,014.60
	Investments (Net of provisions)	122,318.40	69,765.15	252,918.56	61,316.35	126,569.99	21,357.61	67,508.58
	Loans and Advances	107,347.24	197,005.74	181,249.52	223,143.23	288,171.63	180,063.41	131,419.53
	NPLs	0.01	0.01	0.00	2,690.26	0.00	0.00	8,070.77
	Net Inter-Branch Transactions	0.00	0.00	0.00	0.00	0.00	0.00	(1.50)
	Other Assets	1,817.82	776.30	265.82	8,206.19	0.00	1,394.04	10,037.29
	Other	0.00	0.00	878.51	1,757.28	0.00	0.00	0.00
	Overdraft	2,692.19	4,184.01	6,424.80	12,905.37	47,786.55	60,599.52	68,572.63
	Accrued Interest	3,683.59	885.34	1,208.06	2,590.51	1.61	0.65	0.55
	Balances due from Other Banks	12,189.45	1,525.61	0.00	0.00	0.00	0.00	0.00
	Fixed Assets L1	0.00	0.00	0.00	0.00	0.00	0.00	32,691.81
	Forward Contracts	11,347.53	15,340.93	241.43	77.42	2.87	0.00	0.00
	Reverse Repo	41,632.89	0.00	0.00	0.00	0.00	0.00	0.00
		352,800.28	289,483.10	443,186.70	312,686.60	462,532.64	263,415.23	339,845.02
Total Outflows	Balances due to Other Banks	0.00	0.00	0.00	0.00	0.00	0.00	0.00
	Bills Payable	1,218.42	0.00	0.00	0.00	0.00	0.00	0.00
	Demand Deposits	2,271.66	4,695.00	7,042.50	14,085.00	10.91	21.82	84,289.23
	Interest Payable	3,572.21	7,049.04	8,900.27	6,578.21	14,594.66	1,033.39	843.88
	Letters of Credit/Guarantees/ Acceptances	0.00	878.78	878.78	879.04	0.00	0.00	0.00
	Other Liabilities	82.13	340.63	247.30	10,068.37	24,433.65	1,604.30	22,766.39
	Savings Deposits	6,007.43	11,936.38	17,935.88	35,578.40	103,005.52	166,543.54	224,730.43
	Time Deposits	127,339.28	237,138.35	249,139.44	219,118.85	183,482.24	19,049.27	6,247.07
	Bonds Issued	0.00	139.64	0.00	12,168.15	0.00	16,591.78	27,682.08
	Borrowings	151.69	354.57	928.06	1,315.66	3,227.91	1,527.70	243.14
	Capital	0.00	0.00	0.00	0.00	0.00	0.00	42,858.23
	Forward Contracts Payable	86,837.66	40,916.36	19,473.96	77.42	2.87	0.00	0.00
	Repo	25,181.40	2,723.98	210.35	136.39	0.00	0.00	0.00
	Reserves	0.00	0.00	0.00	0.00	0.00	5,938.06	209,747.90
		252,661.89	306,172.72	304,756.54	300,005.50	328,757.76	212,309.86	619,408.35
Net Liquidity Gap		100,138.39	(16,689.62)	138,430.16	12,681.11	133,774.89	51,105.36	(279,563.33)
Net Gap as % of Total Outflows		39.63	(5.45)	45.42	4.23	40.69	24.07	(45.13)
Cumulative Gap		100,138.39	83,448.77	221,878.93	234,560.04	368,334.92	419,440.29	139,876.96
Adjustments for Behavioural Maturities	Time Deposits	89,137.49	165,996.85	174,397.61	153,383.20	128,437.56	13,334.49	4,372.95
	Unutilised O/D	(18,265.88)	(18,265.88)	(18,265.88)	(36,531.76)	0.00	0.00	0.00
	Undisbursed Loans	(4,058.02)	(4,058.02)	(4,058.02)	(8,116.03)	(6,763.36)	0.00	0.00
	Pawning Rollovers	(963.76)	(2,471.09)	(6,217.73)	(40,730.07)	50,382.65	0.00	0.00
Total Adjustments		65,849.84	141,201.86	145,855.98	68,005.33	172,056.85	13,334.49	4,372.95
Adjusted Net Liquidity Gap		165,988.23	124,512.24	284,286.14	80,686.44	305,831.74	64,439.85	(275,190.38)
Adjusted Net Gap as % of Total Outflows		88.85	75.48	178.91	34.78	195.17	32.39	(44.74)
Adjusted Cumulative Gap		165,988.23	290,500.47	574,786.61	655,473.04	961,304.78	1,025,744.63	750,554.26

Notes

- 1) The above figures have been prepared including interest cash flows and may differ from SLFRS figures given in the Statement of Financial Position
- 2) Prepared as per the requirements given in the Banking Act Direction No 7 of 2011 on "Integrated Risk Management Framework".

MARKET DISCIPLINE-DISCLOSURE REQUIREMENTS UNDER PILLAR III

TEMPLATE 14 - SECTION III (B) LIQUIDITY RISK- CURRENCY WISE

Report on Liquidity Gap Summery as at 31st Dec 2025 (USD/ Behavioural)

(Amounts are in Thousands USD)

		1M	3M	6M	1Y	3Y	5Y	>5Y
Particulars	Product							
Total Inflows	Bills of Exchange	1,123.34	3,627.72	0.00	0.00	0.00	0.00	0.00
	Cash on hand	3,020.48	0.00	0.00	0.00	0.00	0.00	0.00
	Investments (Net of provisions)	0.00	0.00	18,154.17	3,427.03	53,252.01	71,134.24	332,783.90
	Loans and Advances	77,719.65	121,259.38	140,673.85	92,384.22	183,733.42	51,141.45	40,144.04
	NPLs	0.00	0.00	0.00	820.56	0.00	0.00	2,461.67
	Other Assets	528.92	1,578.06	0.00	26,645.82	0.00	0.00	(3,863.61)
	Other	0.00	0.00	1,681.64	3,363.78	0.00	0.00	0.00
	Overdraft	220.88	441.67	663.93	1,321.22	4,932.29	7,473.58	9,686.74
	Accrued Interest	1,240.00	444.66	677.45	0.00	1,004.21	0.00	0.00
	Balances due from Other Banks	44,418.35	0.00	0.00	0.00	0.00	0.00	0.00
	Forward Contracts	285,303.58	121,902.96	60,000.00	75.34	9.69	0.00	0.00
		413,575.19	249,254.45	221,851.04	128,037.98	242,931.62	129,749.26	381,212.73
Total Outflows	Balances due to Other Banks	0.00	12,297.27	611.90	229.92	18,920.13	0.00	0.00
	Demand Deposits	551.27	1,138.69	1,708.04	3,416.07	253.97	507.74	20,637.85
	Interest Payable	4,504.10	5,966.88	4,029.09	4,129.87	3,340.95	240.30	0.00
	Letters of Credit/Guarantees/ Acceptances	0.00	1,689.56	1,689.56	1,690.07	0.00	0.00	0.00
	Other Liabilities	18.96	168.81	271.05	581.36	309.75	619.25	739.37
	Savings Deposits	2,498.87	5,002.20	7,508.43	14,943.32	42,026.73	74,146.33	104,955.06
	Time Deposits	130,555.59	159,142.75	154,852.24	318,118.15	75,404.59	26,130.33	0.00
	Forward Contracts Payable	142,859.24	69,207.49	0.00	75.34	9.69	0.00	0.00
		280,988.03	254,613.66	170,670.32	343,184.12	140,265.81	101,643.97	126,332.29
Net Liquidity Gap		132,587	(5,359)	51,181	(215,146)	102,666	28,105	254,880
Net Gap as % of Total Outflows		47.19	(2.10)	29.99	(62.69)	73.19	27.65	201.75
Cumulative Gap		132,587	127,228	178,409	(36,737)	65,928	94,034	348,914
Adjustments for Behavioural Maturities	Time Deposits	91,388.91	111,399.93	108,396.57	222,682.71	52,783.21	18,291.23	0.00
	Unutilised O/D	(1,044.53)	(1,044.53)	(1,044.53)	(2,089.06)	0.00	0.00	0.00
	Undisbursed Loans	(289.26)	(289.26)	(289.26)	(289.26)	(482.10)	0.00	0.00
Total Adjustments		90,055.13	110,066.14	107,062.78	220,304.39	52,301.11	18,291.23	0.00
Adjusted Net Liquidity Gap		222,642.28	104,706.93	158,243.50	5,158.25	154,966.91	46,396.53	254,880.44
Adjusted Net Gap as % of Total Outflows		116.61	72.44	248.78	4.20	176.17	55.66	201.75
Adjusted Cumulative Gap		222,642.28	327,349.21	485,592.71	490,750.96	645,717.87	692,114.40	946,994.85

Notes

- The above figures have been prepared including interest cash flows and may differ from SLFRS figures given in the Statement of Financial Position
- Prepared as per the requirements given in the Banking Act Direction No 7 of 2011 on "Integrated Risk Management Framework".

TEMPLATE 14 - SECTION (V) INTEREST RATE RISK IN THE BANKING BOOK (IRRBB)

Present Market Value of RSA/RSL on Movement of Market Interest Rates - LKR

(Values are in Millions LKR)

	1M	3M	6M	1Y	3Y	5Y	>5Y
Rate Sensitive Assets total	801,578.13	124,801.53	298,779.90	225,321.92	267,135.78	107,646.58	169,465.78
Rate Sensitive Liabilities total	157,345.61	265,052.11	254,190.86	253,143.18	257,030.83	173,058.14	460,099.35
Net Gap	644,232.52	(140,250.59)	44,589.04	(27,821.27)	10,104.95	(65,411.56)	(290,633.57)
Cumulative Gap	644,232.52	503,981.94	548,570.98	520,749.71	530,854.66	465,443.10	174,809.53
Duration weight	0.08	0.25	0.50	1.00	3.00	5.00	30.00
Market Rates	7.44	7.90	8.44	8.62	9.34	9.99	10.46
Present Value at market rates	640,391.38	137,610.44	42,818.93	25,612.82	7,731.00	40,634.27	14,699.11
Present Value at market rates + 50 basis pt	640,143.65	137,451.48	42,720.55	25,495.46	7,625.90	39,723.15	12,836.55
Change in Market value for 50 basis point interest movement	(247.73)	(158.96)	(98.38)	(117.36)	(105.10)	(911.13)	(1,862.56)

Present Market Value of RSA/RSL on Movement of Market Interest Rates - USD

(Values are in Thousands USD)

	1M	3M	6M	1Y	3Y	5Y	>5Y
Rate Sensitive Assets total	528,668.64	93,681.54	47,468.65	90,085.63	68,683.50	2,843.86	332,829.23
Rate Sensitive Liabilities total	132,403.63	173,692.13	175,617.44	318,727.82	99,017.83	93,451.93	103,778.98
Net Gap	396,265.01	(80,010.59)	(128,148.79)	(228,642.19)	(30,334.33)	(90,608.08)	229,050.26
Cumulative Gap	396,265.01	316,254.42	188,105.63	(40,536.55)	(70,870.88)	(161,478.96)	67,571.30
Duration weight	0.08	0.25	0.50	1.00	3.00	5.00	10.00
Market Rates	3.70	3.66	3.58	3.42	3.37	3.31	3.18
Present Value at market rates	395,067.23	79,294.64	125,912.55	221,072.23	27,463.66	76,976.54	167,523.82
Present Value at market rates + 10 basis pt	395,035.50	79,275.53	125,851.81	220,858.68	27,384.11	76,605.09	165,908.79
Change in Market value for 10 basis point interest movement	(31.73)	(19.11)	(60.73)	(213.55)	(79.55)	(371.46)	(1,615.02)

Notes

- 1) The above figures have been prepared including interest cash flows and may differ from SLFRS figures given in the Statement of Financial Position
- 2) Prepared as per the requirements given in the Banking Act Direction No 7 of 2011 on "Integrated Risk Management Framework".

INCOME STATEMENT IN US DOLLARS

For the year ended 31st December	Bank		Group	
	2025 US\$ 000	2024 US\$ 000	2025 US\$ 000	2024 US\$ 000
Gross income	786,117	649,746	970,530	779,120
Interest income	680,464	759,387	773,601	819,245
Less : Interest expenses	371,518	431,039	402,139	444,940
Net interest income	308,946	328,348	371,462	374,305
Fee and commission income	76,500	62,786	84,719	68,279
Less: Fee and commission expenses	2,285	1,924	4,059	2,980
Net fee and commission income	74,215	60,862	80,660	65,299
Net interest, fee and commission income	383,161	389,210	452,122	439,604
Net gains/(losses) from trading	89	(14,692)	3,963	(13,523)
Net gain from financial investments at fair value through other comprehensive income	1,457	1,293	1,750	1,728
Net insurance premium income	-	-	76,709	61,274
Net gains arising on de-recognition of financial assets	-	(168,667)	-	(168,667)
Net other operating income	27,607	9,639	29,788	10,784
Total operating income	412,314	216,783	564,332	331,200
Less: Impairment charge for loans and other losses	(29,581)	(269,353)	(27,092)	(265,555)
Net operating income	441,895	486,136	591,424	596,755
Less : Operating expenses				
Personnel expenses	74,026	72,257	96,287	89,783
Benefits, claims and underwriting expenditure	-	-	72,073	59,042
Other expenses	81,898	71,663	108,568	93,728
Total operating expenses	155,924	143,920	276,928	242,553
Operating profit before taxes on financial services	285,971	342,216	314,496	354,202
Less: Taxes on financial services	55,260	70,022	60,565	72,116
Operating profit after taxes on financial services	230,711	272,194	253,931	282,086
Share of profit of joint venture (net of income tax)	-	-	2,574	4,699
PROFIT BEFORE INCOME TAX	230,711	272,194	256,505	286,785
Less: Income tax expense	84,114	131,216	95,755	133,878
PROFIT FOR THE YEAR	146,597	140,978	160,750	152,907
Profit attributable to:				
Equity holders of the Bank	146,597	140,978	153,585	148,472
Non-controlling interests	-	-	7,165	4,435
PROFIT FOR THE YEAR	146,597	140,978	160,750	152,907
Earnings per share				
Basic earnings per ordinary share (\$)	0.26	0.25	0.27	0.26
Diluted earnings per ordinary share (\$)	0.26	0.25	0.27	0.26
Dividend per share				
Dividend per share: Gross (\$)	0.07*	0.05	0.07*	0.05

Exchange rate of US\$ 1 was Rs. 309.88 as at 31st December 2025 (Rs. 293.25 as at 31st December 2024)

The income statement given on this page is solely for the convenience of the stakeholders of financial statements and does not form part of the audited financial statements

*Final dividend proposed, which is to be approved at the Annual General Meeting.

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME IN US DOLLARS

For the year ended 31st December	Bank		Group	
	2025	2024	2025	2024
	US\$ 000	US\$ 000	US\$ 000	US\$ 000
PROFIT FOR THE YEAR				
Other comprehensive income that will not be reclassified to profit or loss in subsequent periods	146,597	140,978	160,750	152,907
Change in fair value of investments in equity instruments designated at fair value through other comprehensive income	10,342	10,380	10,346	10,377
Remeasurement of post-employment benefit obligations	(2,786)	(10,701)	(3,141)	(11,186)
Revaluation gain on freehold land and buildings	-	16,140	583	18,721
Share of other comprehensive income of joint venture that will not be reclassified to profit or loss	-	-	-	-
Less: Tax expense relating to items that will not be reclassified to profit or loss including the effect of rate change	-	(4,842)	(54)	(5,568)
Total other comprehensive income that will not be reclassified to profit or loss	7,556	10,977	7,734	12,344
Other comprehensive income that will be reclassified to profit or loss in subsequent periods				
Debt instruments at fair value through other comprehensive income :				
Net gains / (losses) on investments in debt instruments measured at fair value through other comprehensive income	(620)	14,105	(230)	15,216
Cumulative net gains/(losses) on debt instruments measured at fair value through other comprehensive income that are reclassified to amortised cost	-	-	-	-
Net change in expected credit losses of debt securities measured at fair value through other comprehensive income	(735)	5,433	(735)	5,433
Transfer (to)/from life policy holder reserve fund	-	-	1,143	
Share of other comprehensive income of joint venture that will be reclassified to profit or loss	-	-	(449)	(650)
	-	-	344	(1,022)
Less: Tax expense relating to items that will be reclassified to profit or loss including the effect of rate change	186	(4,231)	193	(4,233)
Total other comprehensive income that will be reclassified to profit or loss	(1,169)	15,307	266	14,744
OTHER COMPREHENSIVE INCOME FOR THE YEAR, NET OF TAX	6,387	26,284	8,000	27,088
TOTAL COMPREHENSIVE INCOME FOR THE YEAR, NET OF TAX	152,984	167,262	168,750	179,995
Total comprehensive income attributable to:				
Equity holders of the Bank	152,984	167,262	161,585	175,542
Non-controlling interests	-	-	7,165	4,453
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	152,984	167,262	168,750	179,995

Exchange rate of US\$ 1 was Rs. 309.88 as at 31st December 2025 (Rs. 293.25 as at 31st December 2024)

The statement of profit or loss and other comprehensive income given on this page is solely for the convenience of the stakeholders of financial statements and does not form part of the audited financial statements

STATEMENT OF FINANCIAL POSITION IN US DOLLARS

As at 31st December	Bank		Group	
	2025	2024	2025	2024
	US\$ 000	US\$ 000	US\$ 000	US\$ 000
ASSETS				
Cash and cash equivalents	178,698	216,049	183,114	218,466
Placements with banks	88,155	142,740	136,448	165,920
Balances with Central Bank of Sri Lanka	120,332	23,574	120,333	23,574
Reverse repurchase agreements	72,027	-	80,827	18,007
Derivative financial instruments	6,379	1,279	6,379	1,279
Financial assets measured at fair value through profit or loss	3,993	6,259	233,387	10,103
Financial assets measured at amortised cost - loans and advances to customers	4,625,136	3,627,196	4,858,615	3,764,751
Financial assets measured at amortised cost - debt and other financial instruments	2,099,582	2,529,450	2,208,488	2,625,816
Financial assets measured at fair value through other comprehensive income	306,104	328,421	371,667	383,316
Investment in joint venture	-	2,575	20,598	18,936
Investment in subsidiaries	34,806	10,289	-	-
Investment properties	1,447	1,547	2,403	2,961
Property, plant and equipment	98,445	102,733	185,040	189,149
Right-of-use assets	28,174	15,387	9,598	7,853
Intangible assets and goodwill	5,546	4,511	11,764	6,168
Deferred tax assets	2,878	11,573	4,326	13,441
Other assets	42,937	64,355	80,752	83,675
Total assets	7,714,639	7,087,938	8,513,739	7,533,415
LIABILITIES				
Due to banks	36,605	22,491	36,605	22,491
Derivative financial instruments	969	5,365	969	5,365
Securities sold under repurchase agreements	90,994	90,319	263,023	90,319
Financial liabilities measured at amortised cost - due to depositors	6,331,003	5,849,903	6,511,334	5,968,488
Financial liabilities measured at amortised cost - other borrowings	50,055	67,315	87,819	67,322
Debt securities issued	32,415	-	32,228	1,528
Current tax liabilities	78,583	35,587	87,027	38,832
Deferred tax liabilities	-	-	22,128	22,954
Insurance provision - life	-	-	158,918	132,575
Insurance provision - non-life	-	-	21,908	15,369
Other provisions	54,821	80,092	55,810	82,759
Other liabilities	75,919	51,432	107,671	63,361
Subordinated term debts	90,935	96,076	103,769	102,190
Total liabilities	6,842,299	6,298,580	7,489,209	6,613,553
EQUITY				
Stated capital	138,306	146,149	138,306	146,149
Statutory reserve fund	48,115	43,001	48,115	43,001
Retained earnings	351,022	263,653	403,919	311,628
Other reserves	334,897	336,555	386,765	390,478
Total shareholders' equity	872,340	789,358	977,105	891,256
Non-controlling interests	-	-	47,425	28,606
Total equity	872,340	789,358	1,024,530	919,862
Total equity and liabilities	7,714,639	7,087,938	8,513,739	7,533,415
Contingent liabilities and commitments	3,257,266	2,957,353	3,257,266	2,957,353
Net assets value per ordinary share (\$)	1.53	1.38	1.71	1.56

Exchange rate of US\$ 1 was Rs. 309.88 as at 31st December 2025 (Rs. 293.25 as at 31st December 2024)

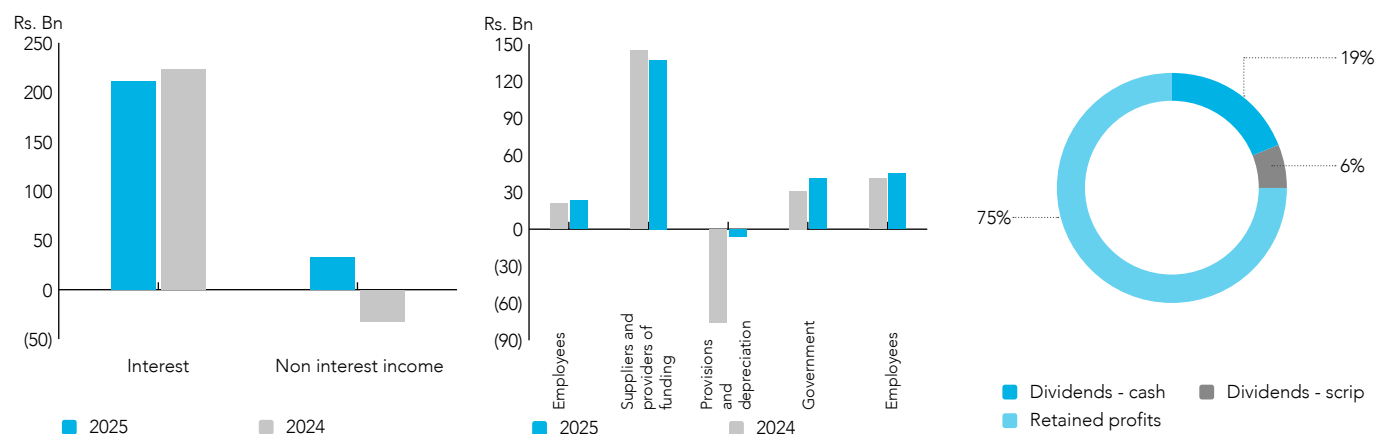
The statement of financial position given on this page is solely for the convenience of the stakeholders of financial statements and does not form part of the audited financial statements

SOURCES AND UTILISATION OF INCOME

For the year ended 31st December	2020	2021	2022	2023	2024	2025
	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000	Rs 000
Sources of income						
Interest	103,944,602	98,600,557	207,019,354	284,097,697	222,690,253	210,862,176
Non interest income	11,869,016	16,446,768	35,393,137	15,041,650	(32,152,181)	32,739,275
Total	115,813,618	115,047,325	242,412,491	299,139,347	190,538,072	243,601,451
Utilisation of income						
Employees						
Salaries and other payment to staff	11,459,352	10,757,563	15,025,888	16,944,206	21,189,328	22,939,306
Suppliers and providers of funding						
Interest paid	59,235,456	49,041,200	104,142,478	179,755,441	126,402,153	115,125,931
Other expenses	8,376,595	9,505,351	12,935,090	15,995,366	18,227,800	22,341,971
	67,612,051	58,546,551	117,077,568	195,750,807	144,629,953	137,467,902
Provisions and depreciation						
Depreciation and amortisation	2,359,326	2,442,964	2,567,704	2,776,261	3,028,654	3,121,333
Impairment for loans and other losses	15,258,468	18,778,047	90,461,305	40,589,311	(78,987,828)	(9,166,636)
	17,617,794	21,221,011	93,029,009	43,365,572	(75,959,174)	(6,045,303)
Net income before government taxes and levies	19,124,421	24,522,200	17,280,026	43,078,762	100,677,965	89,239,546
Government						
Income tax, VAT, SSCL, Crop Insurance, DRL	9,788,490	10,699,838	30,880,002	27,170,367	31,446,196	41,245,534
Shareholders						
Dividends - cash	2,303,891	3,418,380	-	2,238,954	8,577,318	8,577,318
Retained through scrip dividend	1,791,915	1,314,761	2,672,884	2,238,954	-	2,859,106
Retained profits	7,366,832	12,566,626	11,360,609	15,875,211	32,764,475	33,990,423
Deferred taxation	(2,126,705)	(3,477,405)	(27,633,469)	(4,444,723)	27,889,976	2,567,164
Total	115,813,618	115,047,325	242,412,491	299,139,347	190,538,072	243,601,451

Figures are based on the Bank's financial statements

Sources and Utilisation of Income 2025



VALUE ADDED STATEMENT

For the year ended 31st December	2025		2024	
	Rs 000	%	Rs 000	%
Value added				
Income earned by providing banking services	240,915,584		243,499,975	
Cost of services	137,395,091		144,576,187	
Value added by banking services	103,520,493		98,923,788	
Non-banking income	2,207,044		1,139,907	
Net gain/(loss) from trading and financial investment	478,823		(53,769,970)	
Impairment for loans and other losses	9,166,636		78,655,988	
	115,372,996		124,949,713	
Value allocated to employees				
Salaries,wages and other benefits	22,939,306	19.88	21,189,328	16.96
To providers of capital				
Dividends to shareholders - cash	8,577,318	7.43	8,577,318	6.86
To the Government				
Income tax	23,498,015		10,588,988	
Value added tax on financial services	16,455,471		18,031,837	
Social security contribution levy -(Financial and Non Financial)	741,462		2,609,741	
Crop insurance levy	494,993		218,266	
Local taxes	26,680		29,298	
Stamp duty	101,725	41,318,346	21,832	31,499,962
		35.81		25.21
To expansion and growth				
Retained income	33,990,423	29.46	32,764,475	26.22
Retained through scrip dividend	2,859,106	2.48	-	0.00
Depreciation and amortisation	3,121,333	2.71	3,028,654	2.42
Deferred taxation	2,567,164	2.23	27,889,976	22.32
	115,372,996	100.00	124,949,713	100.00

Figures are based on the Bank's financial statements

VALUE CREATED TO STAKEHOLDERS

For the year ended 31st December	2025 Rs 000	2024 Rs 000
Direct economic value generated		
Interest income	210,862,176	222,690,253
Fee commission income	23,705,737	18,412,099
Net gain/ (loss) from trading and financial investment	478,823	(53,390,798)
Other operating income	8,554,715	3,158,358
Total direct economic value generated	243,601,451	190,869,912
Economic value distributed		
To depositors/ debenture holders as interest	115,125,931	126,402,153
To employees as emoluments	22,939,306	21,189,328
Depreciation/ amortisation set aside	3,121,333	3,028,654
Impairment charge for loans and other losses	(9,166,636)	(78,655,988)
To providers of supplies and services	20,320,219	16,566,679
To government as taxation	41,318,346	31,499,962
- Income tax	23,498,015	10,588,988
- VAT and SSCL on Financial and Non financial services	17,196,933	20,641,578
- Crop insurance levy	494,993	218,266
- Stamp duty and other local taxes	128,405	51,130
To Central Bank of Sri Lanka as deposit insurance premium	1,803,933	1,593,025
To shareholders as dividends	11,436,424	8,577,318
To community as donation/CSR	145,008	14,331
Total economic value distributed	207,043,864	130,215,462
Economic value retained	36,557,587	60,654,450

Figures are based on the Bank's financial statements

TEN YEAR STATISTICAL SUMMARY

Year ended 31st December (Rs Mn)	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
OPERATING RESULTS										
Income	84,351	106,295	121,356	125,998	115,814	115,047	242,412	299,139	190,538	243,601
Interest income	75,608	96,175	108,105	115,211	103,945	98,601	207,019	284,098	222,690	210,862
Interest expense	41,237	56,526	60,525	65,997	59,235	49,041	104,142	179,755	126,402	115,126
Non interest income	8,743	10,120	13,251	10,787	11,869	16,447	35,393	15,042	(32,152)	32,739
Operating expenses (Incl. financial VAT, SSCL and DRL)	22,968	27,719	37,879	41,538	41,497	46,181	126,296	86,695	(15,685)	56,983
Profit before income tax	20,146	22,050	22,952	18,463	15,081	19,825	11,974	32,689	79,821	71,492
Income tax on profit	6,002	5,583	7,433	4,431	3,619	2,525	(2,060)	12,336	38,479	26,065
Profit after taxation	14,143	16,467	15,518	14,032	11,463	17,300	14,033	20,353	41,342	45,427
LIABILITIES AND SHAREHOLDERS' FUNDS										
Customer deposits	623,495	701,519	799,975	810,035	967,821	1,075,709	1,407,800	1,579,780	1,715,484	1,961,851
Refinance borrowings	4,140	5,244	5,639	6,364	15,089	14,270	9,950	9,952	11,548	11,707
Other liabilities	154,080	134,884	163,312	179,723	174,939	116,316	113,461	159,543	120,027	146,733
Deferred tax liabilities	231	5,083	1,809	1,382	-	-	-	-	-	-
Shareholders' funds	77,017	108,148	115,754	127,504	134,002	152,041	159,327	184,977	231,479	270,321
Total	858,963	954,878	1,086,489	1,125,009	1,291,852	1,358,337	1,690,539	1,934,252	2,078,538	2,390,612
ASSETS										
Loans and receivables to customers (net)	584,413	639,102	749,049	741,769	772,581	876,255	974,131	954,880	1,063,675	1,433,237
Cash, short term funds and statutory deposits with the Central Bank of Sri Lanka	52,042	63,533	62,342	59,487	41,336	64,006	112,583	85,383	70,269	92,663
Property, plant and equipment	13,945	17,905	21,304	21,077	20,705	24,954	24,836	25,419	30,126	30,506
Deferred tax assets	-	-	-	-	807	4,462	30,471	33,945	3,394	892
Other assets	208,564	234,337	253,794	302,676	456,423	388,661	548,517	834,626	911,073	833,314
Total	858,963	954,878	1,086,489	1,125,009	1,291,852	1,358,337	1,690,539	1,934,252	2,078,538	2,390,612
RATIOS										
Return on average shareholders funds (%)	19.9	17.8	13.9	11.5	8.8	12.1	9.0	11.82	19.85	18.11
Income growth (%)	37.9	26.0	14.2	3.8	(8.1)	(0.7)	110.7	23.4	(36.3)	27.8
Return on average assets (%)	1.8	1.8	1.5	1.3	0.9	1.3	0.9	1.1	2.1	2.0
Dividend cover (times)	4.0	4.0	3.7	3.5	2.8	3.7	5.3	4.5	4.8	4.0
Property, plant and equipment to shareholders' funds (%)	18.1	16.6	18.4	16.5	15.5	16.4	15.6	13.7	13.0	11.3
Total assets to shareholders' funds (times)	11.2	8.8	9.4	8.8	9.6	8.9	10.6	10.5	9.0	8.8
SHARE INFORMATION										
Market value per share (Rs)										
- Voting	225.00	249.00	214.00	172.20	126.50	135.00	78.90	169.25	319.75	398.50
- Non voting	190.00	195.00	168.50	135.50	100.60	122.25	70.00	140.00	256.75	318.75
Group earnings per share (Rs)	34.99	35.50	35.25	29.32	25.58	36.18	28.62	40.68	76.14	83.23
*Group earnings per share (adjusted) (Rs)	25.80	27.89	30.84	25.66	22.90	33.27	26.81	39.82	76.14	83.23
Price earnings ratio	6.43	7.01	6.07	5.87	4.95	3.73	2.76	4.16	4.20	4.79
Group net assets per share (Rs)	220.61	247.79	269.28	290.78	301.28	335.93	342.25	379.18	457.07	529.51
**Group net assets per share (adjusted) (Rs)	159.65	213.37	232.00	254.46	269.75	308.96	320.54	371.17	457.07	529.51
Dividend per share (Rs)	8.50	8.50	8.50	8.00	8.00	9.00	5.00	8.00	15.00	20.00
Cash dividend per share (Rs)	5.00	6.50	5.00	4.50	4.50	6.50	-	4.00	15.00	15.00
Gross dividends (Rs Mn)	3,523	4,153	4,188	4,003	4,096	4,733	2,673	4,478	8,577	11,436
OTHER INFORMATION										
No. of employees	4,190	4,348	4,781	4,913	4,836	5,042	5,156	5,492	5,577	5,645
No. of customer centres	251	251	250	252	252	255	255	254	254	257
No. of student banking centres	150	152	155	156	162	162	162	162	162	167

* Earnings per share has been adjusted for weighted average number of shares outstanding during the current year

** Net assets per share has been computed for the current number of shares issued as at 31st December 2025

QUARTERLY STATISTICS

For the three months ended	2025				** 2024			
	December 31st	September 30th	June 30th	March 31st	December 31st	September 30th	June 30th	March 31st
Statement of Financial Position (Rs Mn)								
Total assets	2,390,612	2,350,450	2,267,783	2,149,966	2,078,538	1,999,701	1,952,911	1,940,900
Loans and advances to customers	1,433,237	1,326,261	1,186,636	1,078,106	1,063,675	1,020,124	957,757	930,051
Due to customers	1,961,851	1,880,472	1,864,265	1,723,272	1,715,484	1,620,614	1,594,583	1,553,074
Shareholders' funds	270,321	258,644	245,188	233,162	231,479	206,055	200,111	190,595
Average assets	2,289,703	2,211,684	2,165,429	2,114,252	1,993,013	1,956,941	1,942,688	1,937,576
Income Statement (Rs 000)								
Net interest income	26,541,677	23,608,377	21,900,117	23,686,074	27,826,169	22,843,731	23,627,725	21,990,475
Net fee and commission income	6,981,792	6,000,705	5,214,476	4,800,670	4,967,803	4,510,991	4,264,917	4,104,029
Net gains / (losses) from trading	480,534	(671,683)	(270,948)	489,552	(225,367)	(3,401,163)	3,457,556	(4,139,455)
Net gains from financial investments at fair value through other comprehensive income	-	49,071	-	402,296	49,761	-	-	329,411
Net losses arising on de-recognition of international sovereign bonds	-	-	-	-	(49,461,541)	-	-	-
Net other operating income	2,484,496	2,211,244	2,467,700	1,391,275	(218,211)	2,811,387	(1,135,158)	1,700,340
Total operating income / (loss)	36,488,499	31,197,714	29,311,345	30,769,867	(17,061,386)	26,764,946	30,215,040	23,984,800
Less : Impairment charge / (reversal) for loans and other losses	(1,707,093)	(2,336,081)	(4,743,750)	(379,712)	(81,901,153)	1,757,638	115,961	1,371,566
Net operating income	38,195,592	33,533,795	34,055,095	31,149,579	64,839,767	25,007,308	30,099,079	22,613,234
Less : Operating expenses	12,807,514	12,489,014	11,817,234	11,204,152	11,929,513	10,514,710	9,892,800	9,867,562
Taxes on financial services	3,523,810	4,549,539	4,726,668	4,324,105	9,932,365	3,412,142	4,245,630	2,943,909
Income tax expenses	7,948,311	6,170,957	6,553,885	5,392,026	23,842,695	4,242,106	6,829,710	3,564,453
Profit for the quarter ended	13,915,957	10,324,285	10,957,308	10,229,296	19,135,194	6,838,350	9,130,939	6,237,310
Other comprehensive income for the quarter ended	(2,239,354)	3,119,147	1,068,267	30,974	6,261,497	(894,011)	385,161	1,955,061
Total comprehensive income for the quarter ended	11,676,603	13,443,432	12,025,575	10,260,270	25,396,691	5,944,339	9,516,100	8,192,371
Ordinary share information								
Market price per share (Rs)	V	NV	V	NV	V	NV	V	NV
High	433.00	340.00	410.00	321.00	340.00	291.00	362.00	305.00
Low	383.50	295.00	327.00	276.50	267.00	230.00	299.00	238.00
Closing	398.50	318.75	393.25	297.00	336.50	283.75	305.00	255.25
V- Voting NV - Non voting								
Net Asset Value per Share (Adjusted)	472.74	452.32	428.78	407.75	404.81	360.35	349.95	333.31
Financial measures								
Profitability (Annualised)								
Interest Margin	4.26	4.17	4.20	4.48	4.86	4.66	4.70	4.54
Return on Assets (before Tax), %**	3.20	2.99	3.05	2.96	4.03	2.51	2.65	2.02
Return on Equity**	18.11	17.35	17.78	17.61	20.40	15.15	16.02	13.29
Productivity								
Cost to Income Ratio	37.82	38.90	38.32	36.41	66.04	37.39	36.46	41.14
BASEL III								
Risk weighted capital ratios								
Common Equity Tier I Capital (%)	16.85	16.74	18.42	17.60	19.59	15.51	16.17	14.48
Tier I Capital (%)	16.85	16.74	18.42	17.60	19.59	15.51	16.17	14.48
Total Capital (%)	19.95	20.13	22.46	21.89	23.96	20.01	19.69	18.06
Leverage Ratio	7.99	7.26	7.73	6.94	7.93	6.24	6.42	5.65
Asset quality								
Impaired Loans (Stage 3) Ratio, %	1.09	1.36	1.59	1.82	1.88	3.32	4.09	4.02
Impairment (Stage 3) to Stage 3 loans Ratio, %	75.97	75.64	74.88	75.12	74.42	60.50	56.08	55.50

* Quarterly information has been amended based on classification changes made in 2025.

INVESTOR RELATIONS

1. STOCK EXCHANGE LISTING

The issued ordinary shares of Hatton National Bank PLC are listed with the Colombo Stock Exchange. The audited income statement for the year ended 31st December 2025 and the audited balance sheet of the bank as at date have been submitted to the Colombo Stock Exchange within three months of the balance sheet date.

Stock Exchange code for Hatton National Bank PLC shares is "HNB.N0000". Reuters code of Hatton National Bank PLC is "HNB.CM"

2. ORDINARY SHAREHOLDERS

SHARE INFORMATION - VOTING

There were 12,989 registered voting shareholders as at 31st December 2025 (2024 - 8,582) distributed as follows.

		Resident			Non-resident			Total		
		No of share holders	No of shares	%	No of share holders	No of shares	%	No of share holders	No of shares	%
1	- 1,000	9,436	1,890,264	0.45	65	19,567	0.05	9,501	1,909,831	0.41
1,001	- 10,000	2,473	8,117,411	1.97	39	150,933	0.35	2,512	8,268,344	1.82
10,001	- 100,000	761	23,988,338	5.81	34	1,147,619	2.74	795	25,135,957	5.53
100,001	- 1,000,000	137	42,810,145	10.37	11	4,043,451	9.65	148	46,853,596	10.30
Over	1,000,000	29	336,211,751	81.40	4	36,547,516	87.21	33	372,759,267	81.94
		12,836	413,017,909	100.00	153	41,909,086	100.00	12,989	454,926,995	100.00

ANALYSIS OF SHAREHOLDERS

Resident / Non-Resident

	31st December 2025			31st December 2024		
	No of share holders	No of shares	%	No of share holders	No of shares	%
Resident	12,836	413,017,909	90.79	8,451	401,571,875	88.27
Non-Resident	153	41,909,086	9.21	131	53,355,120	11.73
Total	12,989	454,926,995	100.00	8,582	454,926,995	100.00

Individuals / Institutions

	31st December 2025			31st December 2024		
	No of share holders	No of shares	%	No of share holders	No of shares	%
Individuals	12,391	106,510,637	23.41	8,057	84,379,340	18.55
Institutions	598	348,416,358	76.59	525	370,547,655	81.45
Total	12,989	454,926,995	100.00	8,582	454,926,995	100.00

As at 31/12/2025 the average size of holding of ordinary shareholding was 35,104 voting shares, (31/12/2024 - 53,131 voting shares), including unregistered shares.

As per the rule No. 7.6 (iv) of the listing rules of the Colombo Stock Exchange, percentage of public holding of voting shares as at 31st December 2025 was 69% approximately (69% as at 31st December 2024).

As per the rule No. 7.13.1 of the listing rules of the Colombo Stock Exchange, No. of shareholders, representing public holding as at 31st December 2025 - 12,971 (8,563 as at 31st December 2024).

1,041,479 shares remain unregistered arising from a direction given by the CBSL dated 26th August 2010 in terms of Sec. 12(IC)(c) of the Banking Act, and these unregistered shares are not included herein.

3. SHARE INFORMATION - NON VOTING

There were 14,231 registered non voting shareholders as at 31st December 2025 (2024 - 11,090) distributed as follows.

			Resident			Non-resident			Total		
			No of share holders	No of shares	%	No of share holders	No of shares	%	No of share holders	No of shares	%
1	-	1,000	9,306	2,895,285	2.54	49	17,798	1.11	9,355	2,913,083	2.52
1,001	-	10,000	3,832	13,108,670	11.47	39	148,135	9.23	3,871	13,256,805	11.44
10,001	-	100,000	836	24,942,865	21.83	21	628,437	39.18	857	25,571,302	22.07
100,001	-	1,000,000	132	39,212,750	34.32	4	809,758	50.48	136	40,022,508	34.55
Over		1,000,000	12	34,089,024	29.84	-	-	-	12	34,089,024	29.42
			14,118	114,248,594	100.00	113	1,604,128	100.00	14,231	115,852,722	100.00

ANALYSIS OF SHAREHOLDERS

Resident / Non-Resident

	31st December 2025			31st December 2024		
	No of share holders	No of shares	%	No of share holders	No of shares	%
Resident	14,118	114,248,594	98.62	10,996	114,543,243	98.87
Non-Resident	113	1,604,128	1.38	94	1,309,479	1.13
Total	14,231	115,852,722	100.00	11,090	115,852,722	100.00

Individuals / Institutions

	31st December 2025			31st December 2024		
	No of share holders	No of shares	%	No of share holders	No of shares	%
Individuals	13,726	55,087,297	47.55	10,734	36,689,786	31.67
Institutions	505	60,765,425	52.45	356	79,162,936	68.33
Total	14,231	115,852,722	100.00	11,090	115,852,722	100.00

As at 31/12/2025 the average size of holding of ordinary shareholding was 8,141 non-voting shares, (31/12/2024 - 10,447 non-voting shares).

As per the rule No. 7.6 (iv) of the listing rules of the Colombo Stock Exchange, percentage of public holding as at 31st December 2025 was 99% approximately. (99% as at 31st December 2024).

As per rule No. 7.13.1 of the listing rules of the Colombo Stock Exchange, No. of shareholders representing public holding as at 31st December 2025 - 14,220 (11,077 as at 31st December 2024).

INVESTOR RELATIONS

4 SHARE TRADING

VOTING	2025	2024
Number of transactions	73,347	37,507
Number of shares traded (Mn)	181	151
Value of shares traded (Rs Mn)	61,463	32,801
NON VOTING	2025	2024
Number of transactions	41,647	14,986
Number of shares traded (Mn)	101	22
Value of shares traded (Rs Mn)	29,541	4,029

5. DIVIDENDS

	2025	2024
Cash dividend	15	Cash dividend 15
Scrip dividend	5	Scrip dividend 0
Cash dividend payout ratio (%)	18.9%	Cash dividend payout ratio (%) 20.7%

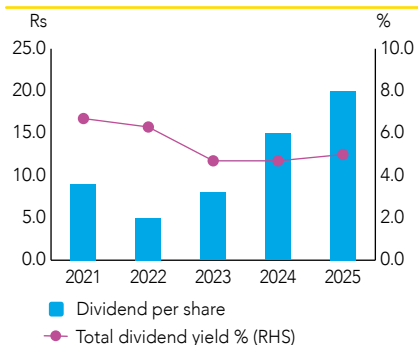
6 EARNINGS

VOTING	2025	2024
Group earnings per share (Rs)	83.23	76.14
Price earnings ratio (times) - voting shares	4.79	4.20

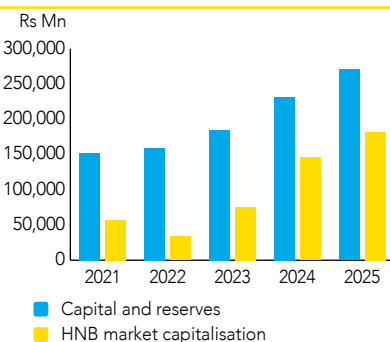
7 MARKET VALUES

	Highest Rs.	Lowest Rs.	Year End Rs.
2019 - Voting	214.90	130.50	172.20
- Non Voting	168.50	118.30	135.50
2020 - Voting	173.20	91.70	126.50
- Non Voting	136.20	74.70	100.60
2021 - Voting	170.00	123.50	135.00
- Non Voting	146.75	92.00	122.25
2022 - Voting	142.25	72.10	78.90
- Non Voting	131.50	65.00	70.00
2023 - Voting	203.50	75.20	169.25
- Non Voting	169.75	66.50	140.00
2024 - Voting	324.00	151.00	319.75
- Non Voting	264.50	127.00	256.75
2025 - Voting	433.00	267.00	398.50
- Non Voting	340.00	230.00	318.75

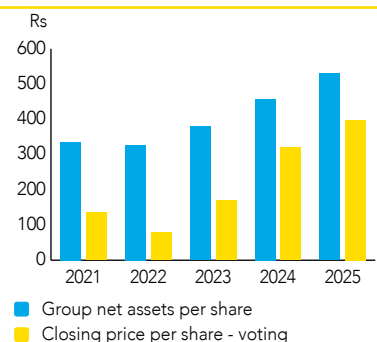
Dividend per Share and Dividend Yield



Shareholder Funds and HNB Market Capitalisation



Group Net Assets per Share and Closing Price per Share



8 MARKET CAPITALISATION

	Capital and Reserves	*HNB market capitalisation	CSE market capitalisation	Market capitalisation ranking
	Rs Mn	Rs Mn	Rs Mn	
2021	152,041	56,816	5,489,168	22
2022	159,327	33,807	3,847,150	26
2023	184,977	75,596	4,248,935	12
2024	231,479	145,796	5,695,560	8
2025	270,321	181,703	8,068,620	9

*HNB market capitalisation include only voting shares

9. PUBLIC SHAREHOLDING

	2025 Number	%	2024 Number	%
Number of shareholders representing the public holding (Voting)	12,971	69	8,563	69
Number of shareholders representing the public holding (Non Voting)	14,220	99	11,077	99
Complaint under option 1 - float adjusted market capitalisation (Rs Bn)	105.9		100.6	

INVESTOR RELATIONS

10. INFORMATION ON MOVEMENT IN SHARE CAPITAL

Year	Issue	Basis	No of shares
	Prior to public issue		50,000
1971	Public issue		220,000
1977	Rights issue (@ Rs 10/-)	42:50:00	230,000
1980	Rights issue (@ Rs 10/-)	1:1	500,000
1982	Bonus	1:1	1,000,000
1988	Bonus	1:1	2,000,000
1990	Bonus	1:2	2,000,000
1993	Bonus	1:1	6,000,000
1996	Bonus	2:3	8,000,000
1998	Bonus	1:2	10,000,000
1999	Bonus	2:3	20,000,000
1999	Rights (non-voting @ Rs 70/-)	3:10	15,000,000
2002	Bonus	1:10	6,500,000
2004	Rights (voting @ Rs 55/- and non-voting @ Rs 33/-)	2:5	28,600,000
2005	Issue of underlying shares for GDR		17,664,700
2007	Bonus	1:1	117,764,700
2009	Shares issued under ESOP		240,747
2010	Shares issued under ESOP		2,198,875
2011	Sub division of shares	1:2	119,179,782
2011	Rights (voting @ Rs 219.50/- and non-voting @ Rs 119.50/-)	1:10	21,858,851
2011	Private placement of unsubscribed rights		8,975,700
2011	Shares issued under ESOP		613,488
2012	Scrip dividend		7,890,528
2012	Shares issued under ESOP		759,078
2013	Shares issued under ESOP		2,308,752
2014	Shares issued under ESOP		3,042,455
2015	Shares issued under ESOP		3,223,714
2016	Shares issued under ESOP		1,314,043
2016	Scrip dividend		6,680,061
2017	Shares issued under ESOP		1,201,044
2017	Scrip Dividend	1:6	5,830,259
2017	Rights Issue (voting @Rs 220/- and non-voting @Rs 190/-)		67,706,913
2018	Shares issued under ESOP		263,948
2018	Scrip dividend		3,832,951
2019	Scrip dividend		7,756,118
2020	Scrip dividend		11,569,009
2021	Scrip dividend		13,928,857
2022	Scrip dividend		9,650,869
2023	Scrip dividend		24,182,945
2024	Scrip dividend		12,082,809
2025	Scrip dividend		-
	Total		571,821,196

11. 20 MAJOR SHAREHOLDERS (VOTING) OF THE BANK AS AT 31ST DECEMBER 2025

	Name	% on total capital	% on total voting capital	No of shares 2025	No of shares 2024
1.	CEYLON STEEL CORPORATION LIMITED	7.97	9.99	45,595,077	-
2.	EMPLOYEE'S PROVIDENT FUND	7.77	9.75	44,443,363	44,443,363
3.	SRI LANKA INSURANCE CORPORATION LTD-LIFE FUND	6.59	8.27	37,696,270	37,696,270
4.	MILFORD EXPORTS (CEYLON) (PVT) LIMITED	6.31	**7.91	36,055,836	36,055,836
5.	STASSEN EXPORTS (PVT) LIMITED	5.47	**6.85	31,252,000	31,252,000
6.	MR. Y.S.H.I. SILVA	4.05	5.08	23,173,547	10,728,905
7.	SONETTO HOLDINGS LIMITED.	3.92	4.91	22,410,383	22,410,383
8.	SRI LANKA INSURANCE CORPORATION LTD-GENERAL FUND	3.39	4.25	19,366,354	19,366,354
9.	MR. H.H. ABDULHUSEIN	2.78	3.49	15,910,000	10,940,000
10.	DISTILLERIES COMPANY OF SRI LANKA PLC	2.45	**3.07	13,982,540	13,982,540
11.	NATIONAL SAVINGS BANK	2.30	2.88	13,148,066	13,083,066
12.	MR. N.A. MADANAYAKE	1.63	2.05	9,330,862	-
13.	STANDARD CHARTERED BANK SINGAPORE S/A HL BANK SINGAPORE BRANCH	1.50	1.88	8,558,121	8,558,121
14.	MR. Y.S.H.R.S. SILVA	1.30	1.63	7,429,046	5,224,858
15.	FIRST CAPITAL HOLDINGS PLC	0.98	1.23	5,600,000	7,600,000
16.	JANASHAKTHI INSURANCE PLC-SHAREHOLDERS	0.86	1.08	4,940,000	3,000,000
17.	SIMONAS TRUST SERVICE PVT LTD	0.81	1.02	4,640,728	4,640,728
18.	CITIBANK NEWYORK S/A NORGES BANK ACCOUNT 2	0.78	0.98	4,483,788	17,184,380
19.	GALLE FACE CAPITAL PARTNERS PLC	0.70	0.88	4,000,000	3,500,000
20.	STAR PACKAGING (PVT) LTD	0.51	0.64	2,900,000	1,780,000
	Sub total	62.07	77.84	354,915,981	291,446,804
	* Unregistered Shares	0.18	0.23	1,041,479	1,041,479
	Balance held by 12,969* voting shareholders	17.49	21.93	100,011,014	163,480,191
	(Total voting shareholders- 12,989)				
	Total voting shares	79.74	100.00	455,968,474	455,968,474
	Shares held by 14,231 Non-voting shareholders	20.26		115,852,722	115,852,722
	Total No. of Ordinary shares	100.00		571,821,196	571,821,196

* 1,041,479 shares remain unregistered arising from a direction given by the CBSL dated 26th August 2010 in terms of Sec. 12(IC)(c) of the Banking Act.

** Pursuant to the provisions of the Banking Act Directions No. 1 of 2007, the total collective voting rights in the bank, of Milford Exports (Ceylon) Limited, Stassen Exports Limited and Distilleries Company of Sri Lanka (who collectively hold 17.83% of the voting shares of the Bank) are limited to 10% of the total voting rights of the Bank with effect from 15th March 2012 as the voting rights in excess of such percentage is deemed invalid from that date.

INVESTOR RELATIONS

12. 20 MAJOR SHAREHOLDERS (NON-VOTING) OF THE BANK AS AT 31ST DECEMBER 2025

	Name	% on total capital	% on total non-voting capital	No of shares 2025	No of shares 2024
1.	COMMERCIAL BANK OF CEYLON PLC/METROCORP (PVT) LTD	1.60	7.90	9,153,791	-
2.	AKBAR BROTHERS PVT LTD	1.28	6.31	7,314,771	5,096,874
3.	HNB INVESTMENT BANK (PVT) LTD/ MR. ELAYATHAMBY THAVAGNANASOORIYAM & MR. ELAYATHAMBY THAVAGNANA SUNDR	0.85	4.20	4,867,719	5,143,513
4.	COMMERCIAL BANK OF CEYLON PLC/ G.A.B. HARISCHANDRA	0.47	2.34	2,711,254	-
5.	MR. K.R.E.M.D.M.B. JAYASUNDARA	0.30	1.46	1,690,000	-
6.	SABOOR CHATOOR (PVT) LTD	0.24	1.18	1,363,000	854,000
7.	J.B. COCOSHELL (PVT) LTD	0.23	1.16	1,341,076	360,694
8.	COMMERCIAL BANK OF CEYLON PLC/G.S.N.PEIRIS	0.23	1.11	1,290,477	119,333
9.	EMPLOYEES TRUST FUND BOARD	0.21	1.06	1,225,898	813,775
10.	AMBEON HOLDINGS PLC	0.19	0.96	1,107,538	-
11.	MR. E. CHATOOR	0.18	0.88	1,020,000	762,044
12.	PEOPLE'S LEASING & FINANCE PLC/MR. I.D.R. PERERA	0.18	0.87	1,003,500	925,000
13.	MR. N.A. MADANAYAKE	0.17	0.86	1,000,000	-
13.	N P CAPITAL LTD	0.17	0.86	1,000,000	-
14.	DFCC BANK PLC A/C NO.02	0.17	0.85	981,960	496,190
15.	SAMPATH BANK PLC/ANDARADENIYA ESTATE PRIVATE LIMITED	0.16	0.78	900,000	-
16.	MR. R.K. MODDER	0.15	0.74	851,556	-
17.	HATTON NATIONAL BANK PLC A/C NO 2 - (EMPOYEEES PROVIDENT FUND)	0.15	0.72	833,694	833,694
18.	SENKADAGALA FINANCE PLC/E.THAWAGNASUNDARAM	0.14	0.71	822,409	581,539
19.	HATTON NATIONAL BANK PLC-SENFIN GROWTH FUND	0.14	0.69	803,688	253,228
20.	RIL PROPERTY PLC	0.14	0.69	797,954	-
	Sub total	7.36	36.33	42,080,285	16,239,884
	Balance held by 14,211 Non-voting shareholders	12.90	63.67	73,772,437	99,612,838
	(Total Non-voting shareholders-14,231)				
	Total Non-voting shares	20.26	100.00	115,852,722	115,852,722
	Total voting shares	79.74		455,968,474	455,968,474
	Total No. of Ordinary shares	100.00		571,821,196	571,821,196

* 1,041,479 shares remain unregistered arising from a direction given by the CBSL dated 26th August 2010 in terms of Sec. 12(IC)(c) of the Banking Act.

13. DISCLOSURE REQUIREMENT UNDER SECTION 9.3.2 (A) AND SECTION 9.3.2 (B) OF THE LISTING RULES OF COLOMBO STOCK EXCHANGE (CSE)

• Recurrent related party transactions

In accordance with rule No. 9.3.2 (b) there are no recurrent related party transactions (loans and advances) which in aggregate exceeds more than 10% of the gross revenue of the Bank.

• Non-recurrent related party transactions .

In accordance with rule No. 9.3.2 (a) the Bank does not have any non-recurrent related party transactions carried out during the financial year under review with a value exceeding 10% of the equity or 5% of the total assets whichever is lower, as per the audited financial statements of the Bank.

14. DEBENTURE INFORMATION

HNB SUBORDINATED DEBENTURES 2019

i) Market Value

12 months ended 31st December 2025

These debentures have not traded during the year ended 31st December 2025

ii) Interest Rate

12 months ended 31st December

	31st December 2025				31st December 2024			
	Amount Rs 000	Coupon Rate %	Annual Effective Rate %	Interest Rate of comparable Govt. Security %	Amount Rs 000	Coupon Rate %	Annual Effective Rate %	Interest Rate of comparable Govt. Security %
7-year Fixed Rate (12.80% p.a.)	8,360,693	12.80	12.80	8.04	8,360,693	12.80	12.80	9.41

HNB SUBORDINATED DEBENTURES 2021

i) Market Value

12 months ended 31st December 2025

These debentures have not traded during the year ended 31st December 2025

ii) Interest Rate

12 months ended 31st December

	31st December 2025				31st December 2024			
	Amount Rs 000	Coupon Rate %	Annual Effective Rate %	Interest Rate of comparable Govt. Security %	Amount Rs 000	Coupon Rate %	Annual Effective Rate %	Interest Rate of comparable Govt. Security %
10-year Fixed Rate (9.5% p.a.)	7,286,042	9.50	9.50	9.91	7,286,042	9.50	9.50	11.07

INVESTOR RELATIONS

HNB SUBORDINATED DEBENTURES 2024

i) Market Value

12 months ended 31st December 2025

These debentures have not traded during the year ended 31st December 2025

ii) Interest Rate

12 months ended 31st December

	31st December 2025				31st December 2024			
	Amount Rs 000	Coupon Rate %	Annual Effective Rate %	Interest Rate of comparable Govt. Security %	Amount Rs 000	Coupon Rate %	Annual Effective Rate %	Interest Rate of comparable Govt. Security %
5-year Fixed Rate (13.00% p.a.)	8,212,500	13.00	13.00	9.35	8,212,500	13.00	13.00	10.60
5-year Fixed Rate (12.60% p.a.)	2,198,400	12.60	13.00	9.35	2,198,400	12.60	13.00	10.60
7-year Fixed Rate (13.25% p.a.)	282,400	13.25	13.25	9.91	282,400	13.25	13.25	11.07
10-year Fixed Rate (12.50% p.a.)	1,306,700	13.50	13.50	10.61	1,306,700	13.50	13.50	11.72

HNB SENIOR SUSTAINABLE BOND 2025

i) Market Value

12 months ended 31st December 2025

These debentures have not traded during the year ended 31st December 2025

ii) Interest Rate

12 months ended 31st December

	31st December 2025				31st December 2024			
	Amount Rs 000	Coupon Rate %	Annual Effective Rate %	Interest Rate of comparable Govt. Security %	Amount Rs 000	Coupon Rate %	Annual Effective Rate %	Interest Rate of comparable Govt. Security %
5-year Fixed Rate (10.25% p.a.)	1,425,280	10.25	10.25	9.69	N/A	N/A	N/A	N/A
7-year Fixed Rate (11.00% p.a.)	8,574,720	11.00	11.00	10.28	N/A	N/A	N/A	N/A

Note: HNB Senior Debenture information is listed under Debt Securities issued, Note 46 of the Financial Position.

Note: HNB Subordinated Debenture information is listed under Subordinated Term Debts, Note 52 of the Financial Position.

Ratios	2025	2024
Debt to Equity Ratio (%) *	12.54	19.55
Interest Cover (Times) **	19.19	8.49

* Debt includes Borrowings and Debentures

** Includes interest paid on Borrowings and Debentures

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Conclusion

Based on the procedures performed and evidence obtained, nothing has come to our attention to cause us to believe that the Content Elements in the Integrated Report of Hatton National Bank PLC for the year ended 31st December 2025 are not prepared, in all material respects, in accordance with the Criteria.

Our conclusion on the SMI as mentioned above does not extend to other information that accompanies or contains the SMI and our assurance report.

Basis for conclusion

We conducted our engagement in accordance with Sri Lanka Standard on Assurance Engagements (SLAE) 3000 (Revised), Assurance Engagements Other Than Audits or Reviews of Historical Financial Information issued by the Institute of Chartered Accountants of Sri Lanka. Our responsibilities under this standard are further described

in the “Our responsibilities” section of our report.

We have complied with the independence and other ethical requirements of the Code of Ethics for professional Accountants issued by CA Sri Lanka (Code of Ethics).

Our firm applies Sri Lanka Standard on Quality Management (SLSQM) 1, which requires the firm to design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for limited assurance conclusion.

Intended use or purpose

We have been engaged by the Board of Directors of Hatton National Bank PLC to provide limited assurance on whether the SMI have been prepared in accordance with the Criteria.

Restriction on use or distribution

This report has been prepared for the Board of Directors of Hatton National Bank PLC for the purpose of providing an assurance conclusion on whether the SMI in the Hatton National Bank PLC's Integrated Annual Report for the Year ended 31st December 2025 has been prepared in accordance with the Criteria and may not be suitable for another purpose. We disclaim any assumption of responsibility for any reliance on this report, to any person other than Hatton National Bank PLC, or for any other purpose than that for which it was prepared.

Our report should not be regarded as suitable to be used or relied on by any party wishing to acquire rights against us other than Hatton National Bank PLC, for any purpose or in any other context. Any party other than Hatton National Bank PLC who obtains access to our report or a copy thereof and chooses to rely on our report (or any part thereof) will do so at its own risk. To the fullest extent permitted by law, we accept or assume no responsibility and deny any liability to any party other than Hatton National Bank PLC for our work, for this independent assurance report, or for the conclusions we have reached.

Our conclusion is not modified in respect of this matter.

Responsibilities of Management for the SMI.

The management of the Bank are responsible for:

- Selecting or developing suitable criteria for preparing the Subject Matter Information and appropriately referring to or describing the criteria
- Determining that the criteria is appropriate to meet the needs of intended users, being the Bank's Board of Directors and any other intended users.
- Preparing and presenting the SMI in accordance with the criteria set out in the IFRS Foundation's International<IR> Framework.
- Design and implementation of internal controls that the Bank determines necessary to enable the preparation and presentation of the SMI that is free from material misstatement, whether due to fraud or error.

HPH2, a 50% joint venture partnership and a member firm of the HPHC group of companies of independent member firms affiliated with KPMG International Limited, a private Eng. co. company limited by guarantee. Its rights, interests

Dr. H. Jayashankar F.C.A.
Mr. S. Joseph F.C.A.
Dr. V. D. Rajagopal F.C.A.
Mr. V. Srinivas F.C.A.
Mr. P. V. S. Suresh Kumar F.C.A.

IJS Nijmegen PCA
KCOF Aberyntia PCA
las BKO "H Rongro PCA
Me CTR h FurekPCA
CGB T. Taddis PCA

W. J. D. Patten FCA
J. A. L. Kinnear FCA
R. H. Ryan FCA
A. M. P. Smith FCA

Phages: ERI-Remy + Cap108/L L. H. Astry et al. - F. Goussardine ACA Int. FR 2003 Folia 7-9; 2003
E. Schaeffer and J. M. S. M. B. D. Zoon Dynamics

INDEPENDENT PRACTITIONERS' LIMITED ASSURANCE REPORT



- Ensuring the Bank's strategy is well-presented in the SMI and reflects how the Bank creates value as they operate in practice
- Identifying stakeholders and stakeholder requirements;
- Identifying material issues and reflecting those in the SMI; and
- Preparation and fair presentation of the SMI;
- Informing us of any known and/or contentious issues relating to the SMI.
- Preventing and detecting of fraud and ensuring that the Bank complies with laws and regulations applicable to its activities;
- Process to ensure that the Bank's personnel involved with the preparation and presentation of the SMI are properly trained, systems are properly updated and that any changes in reporting is relevant to SMI encompass all significant business units.
- The responsibility also includes informing changes in the Bank's Operations since the date of our most recent assurance report on the SMI.
- The maintenance and integrity of Hatton National Bank PLC's website, including the presentation of our independent limited assurance report on the website is the responsibility of the Hatton National Bank PLC's management. Management is responsible for any changes to either the information in the Report or our independent limited assurance report that may have occurred since the initial date of its presentation on Hatton National Bank PLC's website.

Those charged with governance are responsible for overseeing the reporting process for the Bank's SMI.

Inherent limitations

The preparation of SMI is subject to inherent limitations arising from the nature of non-financial data, including the use of estimates, assumptions, and third-party information. In addition, due to the inherent limitations of any

internal control system, errors or irregularities may occur and not be detected.

Our engagement was not designed to detect internal control weaknesses because the procedures were performed on a test basis and not continuously throughout the period. We do not provide any assurance on the assumptions and achievability of prospective information in the Integrated Report.

Our responsibilities

We are responsible for:

- planning and performing the engagement to obtain limited assurance about whether the SMI is free from material misstatement, whether due to fraud or error;
- forming an independent conclusion, based on the procedures we have performed and the evidence we have obtained; and
- reporting our conclusion to the Board of Directors of Hatton National Bank PLC.

Summary of the work we performed as the basis for our conclusion

We exercised professional judgment and maintained professional skepticism throughout the engagement. We designed and performed our procedures to obtain evidence about the SMI that is sufficient and appropriate to provide a basis for our limited assurance conclusion.

Our procedures selected depended on our understanding of the SMI, other engagement circumstances, and our consideration of areas where material misstatements are likely to arise. In carrying out our engagement, the procedures we performed primarily consisted of:

1. Assessing the suitability of the criteria used by the Bank in preparing SMI;
2. Through inquiries, obtained an understanding of the Bank's control environment, processes and information systems relevant to the preparation of the Information subject to Limited Assurance, but did not evaluate the design of particular control activities, obtain evidence about their implementation or test their operating effectiveness;

3. Obtaining an understanding of the relevant internal policies and procedures developed by the Bank, including those relevant to determining what matters most to the Bank's stakeholders, how the Bank creates value, the Bank's external environment, strategy, governance and reporting.
4. Obtaining an understanding of the description of the Bank's strategy and how the Bank creates value in the SMI and enquiring of management as to whether the description accurately reflects their understanding;
5. Assessing of the alignment between the Bank's strategy, the disclosures on how the Bank creates value and what matters most to the Bank's stakeholders.
6. Checking Board minutes to ensure consistency with the SMI.
7. Evaluated the overall presentation of the Information subject to Limited Assurance to determine whether it is consistent with the criteria and in line with our overall knowledge of, and experience with, the Bank's processes.

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Chartered Accountants
Colombo

26th February 2026

INDEPENDENT PRACTITIONERS' LIMITED ASSURANCE REPORT



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To the Board of Directors of Hatton National Bank PLC

Report on selected indicators included in Hatton National Bank PLC's Integrated Annual Report for the year ended

December 31, 2025

Conclusion

We have performed a limited assurance engagement on whether the selected sustainability related indicators as defined in annexure A ("Subject matter Information" or "SMI") in Hatton National Bank PLC's ("the Bank") Integrated annual report for the year ended December 31, 2025 have been prepared with reference to the selected Global Reporting Initiative Standards 2021 as mentioned in Annexure A ("Criteria").

Based on the procedures performed and evidence obtained, nothing has come to our attention to cause us to believe that the selected sustainability related indicators as defined in annexure A of Hatton National Bank PLC for the year ended 31st December 2025 are not prepared, in all material respects, with reference to the Criteria.

The SMI subject to our limited assurance engagement are listed in Annexure A. The assured sustainability information is italic and marked with "LA" in the Integrated Annual Report, and the corresponding GRI indicators are also provided in Annexure A.

Our conclusion on the SMI as defined in annexure A does not extend to other information that accompanies or contains the SMI as defined in annexure A and our assurance report.

Basis for conclusion

We conducted our engagement in accordance with Sri Lanka Standard on Assurance Engagements SLSAE 3000 (Revised), Assurance Engagements Other Than Audits or Reviews of Historical Financial Information issued by the Institute of Chartered Accountants of Sri Lanka. Our responsibilities under this standard are further described in the "Our responsibilities" section of our report.

We have complied with the independence and other ethical requirements of the Code of Ethics for professional Accountants issued by CA Sri Lanka (Code of Ethics).

Our firm applies Sri Lanka Standard on Quality Management (SLSQM) 1, which requires the firm to design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for limited assurance conclusion.

Intended use or purpose

We have been engaged by the Management of Hatton National Bank PLC to provide limited assurance on whether the selected SMI as defined in annexure A have been prepared with reference to the Criteria.

Restriction on use or distribution

This report has been prepared for the Board of Directors of Hatton National Bank PLC for the purpose of providing an assurance

conclusion on whether the selected SMI in the Hatton National Bank PLC's Integrated Annual Report for the Year ended 31st December 2025 has been prepared with reference to the Criteria and may not be suitable for another purpose. We disclaim any assumption of responsibility for any reliance on this report, to any person other than Hatton National Bank PLC, or for any other purpose than that for which it was prepared.

Our report should not be regarded as suitable to be used or relied on by any party wishing to acquire rights against us other than the Hatton National Bank PLC, for any purpose or in any other context. Any party other than Hatton National Bank PLC who obtains access to our report or a copy thereof and chooses to rely on our report (or any part thereof) will do so at its own risk. To the fullest extent permitted by law, we accept or assume no responsibility and deny any liability to any party other than Hatton National Bank PLC for our work, for this independent assurance report, or for the conclusions we have reached.

Our conclusion is not modified in respect of this matter.

Responsibilities of Management for the SMI.

The management of the Bank are responsible for:

- Designing, implementing and maintaining internal control relevant to the preparation of the Subject Matter Information that is free from material misstatement, whether due to fraud or error.
- Selecting or developing suitable criteria for preparing the Subject Matter Information and appropriately referring to or describing the criteria

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Dr. Jayasinghe FCA
Mr. S. Jayasinghe FCA
Mr. D. Rajasinghe FCA
Mr. M. Anura Kumara FCA
Mr. P. M. S. Gunaratne FCA

Mr. J. Jayasinghe FCA
Mr. K. D. Jayasinghe FCA
Mr. S. D. H. Jayasinghe FCA
Mr. S. D. H. Jayasinghe FCA
Mr. S. D. H. Jayasinghe FCA

Mr. J. Jayasinghe FCA
Mr. K. D. Jayasinghe FCA
Mr. S. D. H. Jayasinghe FCA
Mr. S. D. H. Jayasinghe FCA
Mr. S. D. H. Jayasinghe FCA

Prepared by: Sri Lanka Chartered Accountants Association (SLCAA) and Sri Lanka Institute of Accountants (SLIA) for the purpose of providing an assurance conclusion on whether the selected SMI in the Hatton National Bank PLC's Integrated Annual Report for the Year ended 31st December 2025 has been prepared with reference to the Criteria and may not be suitable for another purpose.

INDEPENDENT PRACTITIONERS' LIMITED ASSURANCE REPORT



- Preventing and detecting fraud and ensuring the bank's compliance with applicable laws and regulations to its activities.
- Ensuring that staff involved in preparation and presentation of the description and Report are properly trained, information systems are properly updated and that any changes in reporting encompass all significant business units; and
- Preparing the Subject Matter Information with reference to the criteria
- The maintenance and integrity of Hatton National Bank PLC's website, including the presentation of our independent limited assurance report on the website is the responsibility of the Hatton National Bank PLC's management. Management is responsible for any changes to either the information in the Report or our independent limited assurance report that may have occurred since the initial date of its presentation on Hatton National Bank PLC's website.

Those charged with governance are responsible for overseeing the reporting process for the bank's SMI.

Inherent limitations

The preparation of SMI is subject to inherent limitations arising from the nature of non-financial data, including the use of estimates, assumptions, and third-party information. In addition, due to the inherent limitations of any internal control system, errors or irregularities may occur and not be detected.

Our engagement was not designed to detect internal control weaknesses because the procedures were performed on a test basis and not continuously throughout the period.

Our responsibilities

We are responsible for:

- planning and performing the engagement to obtain limited assurance about whether the SMI is free from material misstatement, whether due to fraud or error;

- forming an independent conclusion, based on the procedures we have performed and the evidence we have obtained; and
- reporting our conclusion to the Board of Directors of Hatton National Bank PLC.

Summary of the work we performed as the basis for our conclusion

We exercised professional judgment and maintained professional skepticism throughout the engagement. We designed and performed our procedures to obtain evidence about the SMI that is sufficient and appropriate to provide a basis for our limited assurance conclusion.

Our procedures selected depended on our understanding of the SMI, other engagement circumstances, and our consideration of areas where material misstatements are likely to arise. In carrying out our engagement, the procedures we performed primarily consisted of:

- interviewed senior management and relevant staff at corporate and selected site level concerning sustainability strategy and policies for material issues, and the implementation of these across the business;
- enquired from management to gain an understanding of the Bank's processes for determining material issues for the Bank's key stakeholder groups;
- enquired relevant staff at corporate and selected site level responsible for the preparation of the SMI in the Integrated Annual Report of Hatton National Bank PLC for the year ended 31st December 2025;
- enquired about the design and implementation of the systems and methods used to collect and report the SMI in the Integrated Annual Report of the Hatton National Bank PLC for the year ended 31st December 2025, including the aggregation of the reported information;

- applied analytical procedures, as appropriate;
- compared the SMI in the Integrated Annual Report of Hatton National Bank PLC for the year ended 31st December 2025 to relevant underlying sources on a sample basis to determine whether all the relevant information has been appropriately included in the Report;
- recalculated the Information subject to Limited Assurance based on the criteria;
- read the SMI in the Integrated Annual Report of Hatton National Bank PLC for the year ended 31st December 2025 presented in the Report to determine whether they are in line with our overall knowledge of, and experience with, the sustainability performance of the Bank; and
- read the remainder of the Report to determine whether there are any material misstatements of fact or material inconsistencies based on our understanding obtained as part of our assurance engagement.

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Chartered Accountants Colombo
26 February 2026

ANNEXURE A TO OUR LIMITED ASSURANCE REPORT

DATED 26TH FEBRUARY 2026

The numbers in this annexure have been included in the Integrated Annual Report prepared by the Management Our reporting boundary is limited to the Bank's operations in Sri Lanka.

GRI Standard (The criteria relevant to the information)		Subject Matter Information	Point in time or period subject to assurance	Page Number
Disclosure 2-7 Employees	2-7 a	Employees related metrics	As at 31st December 2025	85
	2-7 b (i)		As at 31st December 2025	85
	2-7 b (ii)		As at 31st December 2025	85
	2-7 c (i)		for the year ended 31 December 2025	86
	2-7 d		for the year ended 31 December 2025	86
	2-7 e		for the year ended 31 December 2025	86
Disclosure 2-8 Workers who are not employees	2-8 a (i)	Workers who are not employees	As at 31st December 2025	93
	2-8 a (ii)		for the year ended 31 December 2025	93
	2-8 b (i)		for the year ended 31 December 2025	93
	2-8 c		for the year ended 31 December 2025	86
Disclosure 2-13 Delegation of responsibility for managing impacts	2-13 a (i)	Delegation of responsibility for managing impacts	for the year ended 31 December 2025	106
Disclosure 2-28 Membership associations	2-28 a	Membership associations list	for the year ended 31 December 2025	109
Disclosure 2-30 Collective bargaining agreements	2-30 a	Collective bargaining agreements coverage	for the year ended 31 December 2025	88
	2-30 b		for the year ended 31 December 2025	88
Disclosure 201-3 Defined benefit plan obligations and other retirement plans	201-3 a	Defined benefit plan obligations and other retirement plans	for the year ended 31 December 2025	89
	201-3 b (i)		for the year ended 31 December 2025	89
	201-3 b (ii)		for the year ended 31 December 2025	89
	201-3 b (iii)		for the year ended 31 December 2025	89
	201-3 c		for the year ended 31 December 2025	89
	201-3 d		for the year ended 31 December 2025	89
Disclosure 202-1 Ratios of standard entry level wage by gender compared to local minimum wage	201-3 e	Ratios of standard entry level wage by gender compared to local minimum wage	for the year ended 31 December 2025	89
	202-1 a		for the year ended 31 December 2025	89
Disclosure 202-2 Proportion of senior management hired from the local community	202-1 b	Proportion of senior management hired from the local community	for the year ended 31 December 2025	89
	202-2 a		for the year ended 31 December 2025	85
	202-2 b		for the year ended 31 December 2025	85
Disclosure 203-2 Significant indirect economic impacts	202-2 c	Significant indirect economic impacts	for the year ended 31 December 2025	85
	203-2 a		for the year ended 31 December 2025	108
Disclosure 205-1 Operations assessed for risks related to corruption	203-2 b	Operations assessed for corruption Risks	for the year ended 31 December 2025	109
	205-1 b	Operations assessed for corruption Risks	for the year ended 31 December 2025	113

ANNEXURE A TO OUR LIMITED ASSURANCE REPORT DATED 26TH FEBRUARY 2026

GRI Standard (The criteria relevant to the information)		Subject Matter Information	Point in time or period subject to assurance	Page Number
Disclosure 302-1 Energy consumption within the organisation	302-1 a	Total Energy consumption within the organisation	for the year ended 31 December 2025	115
	302-1 b		for the year ended 31 December 2025	115
	302-1 c (i)		for the year ended 31 December 2025	115
	302-1 e		for the year ended 31 December 2025	115
	302-1 f		for the year ended 31 December 2025	115
	302-1 g		for the year ended 31 December 2025	115
Disclosure 308-1 New suppliers that were screened using environmental criteria	308-1 a	List of New suppliers that were screened using environmental criteria	for the year ended 31 December 2025	100
Disclosure 308-2 Negative environmental impacts in the supply chain and actions taken	308-2 a	Negative environmental impacts in the supply chain and actions taken	for the year ended 31 December 2025	100
	308-2 b		for the year ended 31 December 2025	100
	308-2 c		for the year ended 31 December 2025	100
	308-2 d		for the year ended 31 December 2025	100
	308-2 e		for the year ended 31 December 2025	100
Disclosure 401-1 New employee hires and employee turnover	401-1 a	List of New employee hires and employee turnover	for the year ended 31 December 2025	87
	401-1 b		for the year ended 31 December 2025	87
Disclosure 401-2 Benefits provided to full-time employees that are not provided to temporary or part-time employees	401-2 a (i)	Benefits provided to full-time employees that are not provided to temporary or part-time employees	for the year ended 31 December 2025	95
	401-2 a (ii)		for the year ended 31 December 2025	95
Disclosure 401-3 Parental leave	401-3 b	Parental leave calculations	for the year ended 31 December 2025	90
	401-3 c		for the year ended 31 December 2025	90
Disclosure 402-1 Minimum notice periods regarding operational changes	402-1 a	Minimum notice periods regarding operational changes	for the year ended 31 December 2025	92
	402-1 b		for the year ended 31 December 2025	93
Disclosure 403-1 Occupational health and safety management system	403-1 a (ii)	Occupational health and safety management system	for the year ended 31 December 2025	92
	403-1 b		for the year ended 31 December 2025	92
Disclosure 403-2 Hazard identification, risk assessment, and incident investigation	403-2 a	Hazard identification, risk assessment, and incident investigation	for the year ended 31 December 2025	95
	403-2 d		for the year ended 31 December 2025	95
Disclosure 403-3 Occupational health services	403-3 a	Occupational health services	for the year ended 31 December 2025	92, 93
Disclosure 403-4 Worker participation, consultation, and communication on occupational health and safety	403-4 a	Worker participation, consultation, and communication on occupational health and safety	for the year ended 31 December 2025	93

GRI Standard (The criteria relevant to the information)		Subject Matter Information	Point in time or period subject to assurance	Page Number
Disclosure 403-5				
Worker training on occupational health and safety	403-5 a	Worker training on occupational health and safety	for the year ended 31 December 2025	95
Disclosure 403-6 Promotion of worker health	403-6 a	Promotion of worker health	for the year ended 31 December 2025	95
	403-6 b			95
Disclosure 403-9 Work-related injuries	403-9 a (i)	Number of Work-related injuries	for the year ended 31 December 2025	95
	403-9 a (ii)		for the year ended 31 December 2025	95
	403-9 a (iii)		for the year ended 31 December 2025	95
	403-9 a (iv)		for the year ended 31 December 2025	95
	403-9 a (v)		for the year ended 31 December 2025	95
Disclosure 403-10 Work-related ill health Incidents	403-10 c (iii)	Number of Work-related ill health Incidents	for the year ended 31 December 2025	93
Disclosure 404-1 Average hours of training per year per employee	404-1 a (i)	Average hours of training per year per employee	for the year ended 31 December 2025	85
Disclosure 404-2 Programs for upgrading employee skills and transition assistance programs	404- 2 a	Programs for upgrading employee skills and transition assistance programs	for the year ended 31 December 2025	92
Disclosure 404-3 Percentage of employees receiving regular performance and career	404-3 a	Percentage of employees receiving regular performance and career development reviews'	for the year ended 31 December 2025	89
Disclosure 405-1 Diversity of governance bodies and employees	405-1 a (i)	Diversity of governance bodies and employees	for the year ended 31 December 2025	86
	405-1 a (ii)		for the year ended 31 December 2025	86
	405-1 b (i)		for the year ended 31 December 2025	86
	405-1 b (ii)		for the year ended 31 December 2025	86
Disclosure 405-2 Ratio of basic salary and remuneration of women to men	405-2 a	Ratio of basic salary and remuneration of women to men	for the year ended 31 December 2025	88
	405-2 b		for the year ended 31 December 2025	113
Disclosure 406-1 Incidents of discrimination and corrective actions taken	406-1 a	Number of Incidents of discrimination and corrective actions taken	for the year ended 31 December 2025	88
Disclosure 408-1 Operations and suppliers at Significant risk for incidents of child labour	408-1 a (i)	Operations and suppliers at Significant risk for incidents of child labour	for the year ended 31 December 2025	88
	408-1 c		for the year ended 31 December 2025	88

ANNEXURE A TO OUR LIMITED ASSURANCE REPORT DATED 26TH FEBRUARY 2026

GRI Standard (The criteria relevant to the information)		Subject Matter Information	Point in time or period subject to assurance	Page Number
Disclosure 409-1 Operations and suppliers at significant risk for incidents of forced or compulsory labour	409-1 a (i)	Operations and suppliers at significant risk for incidents of forced or compulsory labour	for the year ended 31 December 2025	88
	409-1 b		for the year ended 31 December 2025	88
Disclosure 413-2 Operations with significant actual and potential negative impacts on local communities	413-2 a	Operations with significant actual and potential negative impacts on local communities	for the year ended 31 December 2025	101
	413-2 a (ii)		for the year ended 31 December 2025	101
Disclosure 414-1 New suppliers that were screened using social criteria	414-1 a	Percentage of new suppliers that were screened using social criteria	for the year ended 31 December 2025	115
Disclosure 414-2 Negative social impacts in the supply chain and actions taken	414-2 a	Negative social impacts in the supply chain and actions taken	for the year ended 31 December 2025	100
	414-2 b		for the year ended 31 December 2025	100
	414-2 c		for the year ended 31 December 2025	100
	414-2 d		for the year ended 31 December 2025	100
	414-2 e		for the year ended 31 December 2025	100
Disclosure 416-2 Incidents of non-compliance concerning the health and safety impacts of products and services	416-2 a (ii)	Number of Incidents of non-compliance concerning the health and safety impacts of products and services	for the year ended 31 December 2025	98
	416-2 a (iii)		for the year ended 31 December 2025	98
	416-2 b		for the year ended 31 December 2025	98
Disclosure 417-2 Incidents of non-compliance concerning product and service information and labelling	417-2 a (i)	Number of Incidents of non-compliance concerning product and service information and labelling	for the year ended 31 December 2025	93
	417-2 a (ii)		for the year ended 31 December 2025	93
	417-2 a (iii)		for the year ended 31 December 2025	93
	417-2 b		for the year ended 31 December 2025	93
	417-2 c		for the year ended 31 December 2025	93
Disclosure 417-3 Incidents of non-compliance concerning marketing communications	417-3 a (i)	Incidents of non-compliance concerning marketing communications	for the year ended 31 December 2025	99
	417-3 a (ii)		for the year ended 31 December 2025	99
	417-3 a (iii)		for the year ended 31 December 2025	99
	417-3 b		for the year ended 31 December 2025	99
Disclosure 418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data	418-1 a (i)	Substantiated complaints concerning breaches of customer privacy and losses of customer data	for the year ended 31 December 2025	100
	418-1 a (ii)		for the year ended 31 December 2025	100
	418-1 b		for the year ended 31 December 2025	100
	418-1 c		for the year ended 31 December 2025	100

GHG EMISSIONS CALCULATIONS METHODOLOGY:

SCOPE 01 GHG EMISSIONS

Direct Emission from Stationary Combustion

Onsite Combustion-Diesel/LP Gas/Petrol

Total emissions (t CO₂ e/year) = (1000/Diesel consumption (L/year) × Density (kg/m³) × 1/10⁶) × Net calorific value (TJ/Gg) (Emission Factor) × GWP

Direct Emission from Mobile Combustion

Emissions from Own Vehicles - Diesel

Total emissions (t CO₂-e/year) = (1000 × Diesel consumption (L/year) × Density (kg/m³) / 10⁶) × Net calorific value (TJ/Gg) × Emission Factor × GWP

Emissions from Own Vehicles - Petrol

Total emissions (t CO₂-e/year) = (1000 × Petrol consumption (L/year) × Density (kg/m³) / 10⁶) × Net Calorific Value (TJ/Gg) × Emission Factor × GWP

Direct Emissions from Fugitive Emissions

Leakages from CO₂ fire extinguishers

Total emissions (t CO₂-e/year) = (CO₂ gas refilled (kg per year) × GWP)/1000

Refrigerant Leakages/Refilling

Total emissions (t CO₂ e/year) = (Refrigerant refilled (kg) × GWP)/1000

SCOPE 02 GHG EMISSIONS

Emissions from import electricity

1. Emission from Electricity Consumption (tons of CO₂ equivalent) = (Electricity consumption (kWh/year) × Grid Emission Factor (tCO₂e / MWh))/1000
2. Emission from Electricity T & D Loss (tons of CO₂ equivalent) = (Electricity consumption (MWh/year) × Grid Emission Factor (tCO₂e / MWh) × T&D Loss percentage (%))/100

SCOPE 03 GHG EMISSIONS

Purchased goods and services

Municipal water consumption

Emissions (t CO₂ e/year) = (Water consumption (m³/year) × Grid Emission Factor (tCO₂e /MWh) × Electricity consumption per m³ of water (kWh/m³))/1000

Capital goods

Emission (t CO₂-e/year): (paid Amount (USD) × Supply chain emission factor)/1000

Waste generated in operations

Food waste generated

1. Food Waste Emission (t CO₂ e/year) = (waste usage (kg/year) × Emission Factor (kg CO₂e per kg))/1000

Paper waste generated

2. Emission from Paper waste (t CO₂ e/year) = (Paper waste quantity (kg/year) × Emission factor (kg CO₂e per kg))/10⁶

Polythene waste generated

3. Emission from Paper waste (t CO₂ e/year) = (Polythene waste quantity (kg/year) × Emission factor (kg CO₂e per kg))/10⁶

Business travel

Calculated on 26th January 2020 by using ICAO Calculator

Employee commuting

Emission for using Bus, Train, Car/Van/Jeep (Petrol), Car/Van/Jeep (Diesel), Motor bike. Three wheel (petrol powered), three wheel diesel powered)

Total emission (t CO₂ e/year) = (mileage per year × EF (for relevant vehicle type mentioned above))/1000

Financed Emissions

Business Loans

Methodology Options: Option 1a, option 1b, option 2a, option 3a and Option 3b

Activity Variables: Verified emissions, unverified emission, energy consumption, company revenue or Asset

Emission Factor Source: PCAF Database

Data Quality average:

Attribution Factor Formulas

For private companies:

Attribution factor=Outstanding amount/Total equity+ Total debt

For listed companies:

Attribution factor=Outstanding amount/Enterprise Value Including Cash

Listed Equity

Methodology Options Applied-Option 1a, Option 2a, Option 3a

Emission Factors & Data Source

- India emission factors from the PCAF Database have been used due to unavailability of Sri Lanka specific factors

Attribution Factor Formula

Attribution factor=Outstanding amount/Enterprise Value Including Cash

Sovereign Debt

Methodology Options Applied

- Option 3a – GDP based sovereign emissions calculation (PCAF recommended when data availability is limited)

Activity Variables Used

- PPP adjusted GDP of Sri Lanka

Sovereign emissions factors (Sri Lanka) from PCAF Database

Data Quality Score

- Score: 4, reflecting reliance on national level estimation methods

Attribution Factor Formula

Attribution factor=Exposure to Sovereign Bond (USD)/PPP-adjusted GDP (international USD)

Project Finance

Methodology Options: option 3a

Activity Variables: Project revenue

Emission Factor: PCAF Database (Emission Factors data in India as Sri Lanka specific data are not available)

Data Quality average:

Attribution Factor Formula

Attribution factor=Outstanding amount/Total equity+ Total debt

ALIGNMENT TO UNITED NATIONS GLOBAL COMPACT (UNGC) PRINCIPLES

HUMAN RIGHTS

Principle 1

Businesses should support and respect the protection of internationally proclaimed human rights

HNB integrates human rights protections into its corporate governance, workplace policies, and business operations. The Bank ensures a fair, inclusive, and non-discriminatory work environment, with strong mechanisms to address workplace concerns. Additionally, regular risk assessments are conducted to ensure continuous improvement of employee well-being and occupational health and safety mechanisms in line with global standards.

Beyond internal operations, the commitment to human rights extends to Bank's lending activities, financial inclusion, and community empowerment. By conducting due diligence on lending projects and ensuring fair labour practices, the Bank promotes responsible lending, while initiatives that support SMEs, women entrepreneurs, and rural communities aim to enhance economic opportunities and access to financial services. These efforts, combined with sustainable lending and financial literacy programmes, reflect HNB's broader role in protecting and respecting human rights while driving social progress.

Refer Corporate Governance – page 144-231, Human Capital - page 84-95, Social and Relationship Capital - page 96-109

Principle 2

Business should make sure that they are not complicit in human rights abuses

Strict policies and continuous monitoring ensure HNB does not become complicit in any form of human rights abuse.

In this regard, the Anti-Money Laundering (AML) and Know Your Customer (KYC) policies represent the Bank's commitment by preventing financial crimes that could contribute to human rights violations.

Additionally, the Bank integrates Environmental, Social, and Governance (ESG) criteria into its lending decisions to ensure that businesses receiving financial support align with ethical and sustainable practices. Moreover, the Bank actively avoids financing entities linked to human rights violations and promotes responsible banking through transparent operations and stakeholder engagement.

Refer Corporate Governance – page 144-231, Risk Report - page 276-320

LABOUR

Principle 3

Businesses should uphold the freedom of association and the effective recognition of the right to collective bargaining

HNB fully complies with Sri Lanka's labour laws and international standards, fostering a workplace where employees can voice concerns and engage in collective representation. The Bank's commitment to fair labour practices is reflected in its transparent policies and structured engagements with unions, where collective bargaining agreements allowing employee representatives to negotiate fair wages, benefits, and working conditions

Additionally, the open-door policy and structured grievance mechanisms promote open dialogue between management and employees.

Refer Human Capital – page 84-95

Principle 4

Elimination of all forms of forced and compulsory labour

HNB's recruitment framework guarantees that all employees work voluntarily, with fair contracts and without coercion, while regular audits and due diligence processes ensure compliance across the Bank's operations

Refer Human Capital – page 84-95

Principle 5

Effective abolition of child labour

HNB complies with Sri Lanka's labour laws and international conventions, ensuring that no individuals under the legal working age are employed directly or indirectly. Additionally, the Bank actively supports education and community initiatives, investing in programmes that enhance access to schooling and reduce the socio-economic factors that contribute to child labour

Refer Human Capital – page 84-95, Social and Relationship Capital - page 96-109

Principle 6

Elimination of discrimination in respect of employment and occupation;

HNB has implemented strict policies on non-discrimination policies and promotes fair treatment in recruitment, promotions, and remuneration, regardless of gender, ethnicity, religion, or disability. This is supported by structured training programmes to raise awareness about unconscious bias and workplace equality while providing equal opportunities for career advancement. The bank also actively supports women's empowerment through leadership development initiatives.

Refer Human Capital – page 84-95

ENVIRONMENT

Principle 7

Businesses should support a precautionary approach to environmental challenges

HNB has also introduced sustainability-linked financial products, such as green loans and renewable energy financing, to encourage environmentally responsible investments. This is achieved by embedding environmental risk assessments into its credit evaluation process to ensure high-impact projects comply with national and international environmental best practices and standards, mitigating potential ecological harm.

Refer Natural Capital - page 110-117, Corporate Governance – page 144-231, Risk Report - page 276-320

Principle 8

Undertake initiatives to promote greater environmental responsibility

Further, the Bank strives proactively to reduce its environmental footprint through energy-efficient infrastructure, green buildings, and paperless banking initiatives. Additionally, employee awareness programmes on climate change and sustainable practices have been implemented to foster a culture of environmental responsibility.

Beyond internal sustainability measures, HNB actively supports community-driven environmental initiatives to promote biodiversity conservation and climate resilience. Through partnerships with environmental organisations, the bank has participated in reforestation projects, coastal clean-ups, and water conservation efforts to address pressing environmental concerns.

Refer Natural Capital - page 110-117

Principle 9

Encourage the development and diffusion of environmentally friendly technologies

The Bank actively encourages the development and adoption of environmentally friendly technologies by integrating green finance solutions into its product portfolio. The bank has extended specialised loan schemes to support businesses and individuals investing in renewable energy, energy-efficient technologies, and sustainable agriculture. By providing preferential financing for solar panel installations, HNB continues to play a crucial role in accelerating the transition towards a low-carbon economy. Furthermore, its credit evaluation framework incorporates environmental due diligence, ensuring that funded projects align with sustainability objectives.

In addition to financing green initiatives, HNB has embraced digital transformation to minimise its operational footprint. The adoption of paperless banking, e-statements, and digital payment solutions has significantly reduced resource consumption while enhancing customer convenience. Investments in energy-efficient IT infrastructure and cloud-based systems have further reinforced the bank's commitment to reducing its carbon footprint.

Refer Natural Capital - page 110-117, Digital Capital – page 78-83, Business Reviews - page 48-71

ANTI CORRUPTION

Principle 10

Businesses should work against corruption in all its forms, including extortion and bribery

HNB maintains a zero-tolerance policy towards corruption, extortion, and bribery, ensuring strict compliance with both local regulations and international best practices. The bank's Anti-Bribery and Corruption Policy, endorsed by the Board of Directors, serves as a comprehensive framework to prevent, detect, and address corrupt practices across all levels of operation, while the Know Your Customer (KYC) and Anti-Money Laundering (AML) policies, aim to mitigate risks associated with illicit financial activities. Periodic risk assessments and independent audits are carried out to identify potential vulnerabilities, ensuring continuous improvement in compliance measures.

Regular training programmes and awareness sessions are conducted to reinforce ethical conduct among employees, while stringent internal controls, due diligence procedures, and whistleblowing mechanisms ensure transparency and accountability.

The Bank also collaborates with regulatory bodies and industry stakeholders to combat corruption in the broader financial ecosystem.

Refer Corporate Governance - page 144-231, Intellectual Capital – page 123-126

GRI INDEX

STATEMENT OF USE

Hatton National Bank PLC has reported with reference to GRI Standards for the period 1st January 2025 to 31st December 2025.

GRI 1 USED

GRI 1: Foundation 2021

GRI Standards	Disclosures	Reference	SDG Goals	SDG Targets	Page No
GRI 2: General Disclosures 2021	2-1	Organisational details			Inner back cover
	2-2	Entities included in the organisation's sustainability reporting			4
	2-3	Reporting period, frequency and contact point			3
	2-4	Restatements of information			5
	2-5	External assurance			326-330 , 576-586
	2-6	Activities, value chain and other business relationships			22, 23
	2-7	Employees	8	8.3	84-95
	2-8	Workers who are not employees	8	8.3	93-94
	2-9	Governance structure and composition	5 & 16	5.5,16.7	168, 221-222
	2-10	Nomination and selection of the highest governance body	5 & 16	5.5,16.7	247-251
	2-11	Chair of the highest governance body	5 & 16	5.5,16.7	144, 146, 173
	2-12	Role of the highest governance body in overseeing the management of impacts			146-151, 171-175
	2-13	Delegation of responsibility for managing impacts			152-163
	2-14	Role of the highest governance body in sustainability reporting			128, 231, 285
	2-15	Conflicts of interest	16	16.6	172
	2-16	Communication of critical concerns			193, 195, 198, 207
	2-17	Collective knowledge of the highest governance body			146-151
	2-18	Evaluation of the performance of the highest governance body			188, 248
	2-19	Remuneration policies			223
	2-20	Process to determine remuneration			207-208
	2-21	Annual total compensation ratio			88
	2-22	Statement on sustainable development strategy			134
	2-23	Policy commitments			191, 219
	2-24	Embedding policy commitments			191
	2-25	Processes to remediate negative impacts			Capital Reports
	2-26	Mechanisms for seeking advice and raising concerns			189-191
	2-27	Compliance with laws and regulations			259-262
	2-28	Membership associations			126
	2-29	Approach to stakeholder engagement			24-30
	2-30	Collective bargaining agreements			88
MATERIAL TOPICS					
"GRI 3: Material Topics 2021"	3-1	Process to determine material topics			31-35
	3-2	List of material topics			31-35
ECONOMIC PERFORMANCES					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 201: Economic Performance 2016	201-1	Direct economic value generated and distributed	8 & 9	8.1, 8.2, 9.1, 9.4, 9.5	22-23
	201-2	Financial implications and other risks and opportunities due to climate change	13	13.1	130
	201-3	Defined benefit plan obligations and other retirement plans			89
	201-4	Financial assistance received from government			56,134

GRI Standards	Disclosures	Reference	SDG Goals	SDG Targets	Page No
MARKET PRESENCE					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 202: Market Presence 2016	202-1	Ratios of standard entry level wage by gender compared to local minimum wage	5	5.1	89
	202-2	Proportion of senior management hired from the local community	8	8.5	87-88
INDIRECT ECONOMIC IMPACTS					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 203: Indirect Economic Impacts 2016	203-1	Infrastructure investments and services supported	9 & 11	9.1, 9.4, 11.2	103
	203-2	Significant indirect economic impacts	1, 3 & 8	1.2, 1.4, 3.8, 8.2, 8.3, 8.5	102-104
PROCUREMENT PRACTICES					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 204: Procurement Practices 2016	204-1	Proportion of spending on local suppliers	8,17	8.3, 17.17	508
ANTI CORRUPTION					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 205: Anti-corruption 2016	205-1	Operations assessed for risks related to corruption			189-190
	205-2	Communication and training about anti-corruption policies and procedures			189-190
	205-3	Confirmed incidents of corruption and actions taken			301
ANTI-COMPETITIVE BEHAVIOUR					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 206: Anti-competitive Behaviour 2016	206-1	Legal actions for anti-competitive behaviour, anti-trust, and monopoly practices	16	16.3	311-313
TAX					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 207: Tax 2019	207-1	Approach to tax	1, 10 & 17	1.1, 10.4, 17.1, 17.3	426-432
	207-2	Tax governance, control, and risk management	1, 10 & 17	1.1, 10.4, 17.1, 17.3	427-428
	207-3	Stakeholder engagement and management of concerns related to tax	1, 10 & 17	1.1, 10.4, 17.1, 17.3	426-432
	207-4	Country-by-country reporting			
ENERGY					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 302: Energy 2016	302-1	Energy consumption within the organisation	7,8 & 12	7.3, 8.4, 12.2	115
	302-2	Energy consumption outside of the organisation			115
	302-3	Energy intensity			115
	302-4	Reduction of energy consumption	7, 8,12 & 13	7.3, 8.4, 12.2, 13.1	115
	302-5	Reductions in energy requirements of products and services			115
BIODIVERSITY					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 304: Biodiversity 2016	304-1	Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas	15	15.2	116
	304-2	Significant impacts of activities, products and services on biodiversity			116
	304-3	Habitats protected or restored			116

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GRI Standards	Disclosures	Reference	SDG Goals	SDG Targets	Page No
EMISSIONS					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 305: Emissions 2016	305-1	Direct (Scope 1) GHG emissions	3, 12, 13 & 15	3.9, 12.4, 13.1, 15.2	140
	305-2	Energy indirect (Scope 2) GHG emissions	3, 15, 12 & 13	3.9, 12.4, 13.1, 15.2	140
	305-3	Other indirect (Scope 3) GHG emissions			140
	305-4	GHG emissions intensity	13, 14 & 15	13.1, 14.3, 15.2	115
	305-5	Reduction of GHG emissions	13, 14 & 15	13.1, 14.3, 15.2	115
	305-6	Emissions of ozone-depleting substances (ODS)	3, 12	3.9, 12.4	114
	305-7	Nitrogen oxides (NOx), sulfur oxides (SOx), and other significant air emissions	3, 12	3.9, 12.4	114
WASTE					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 306: Waste 2020	306-1	Waste generation and significant waste-related impacts	3, 6, 12 & 14	3.9, 6.3, 6.4, 6.6, 12.4, 14.1	115
	306-2	Management of significant waste-related impacts	3, 6 & 12	3.9, 6.3, 12.4, 12.5	115
	306-3	Waste generated	3, 6, 12, 14 & 15	3.9, 6.3, 6.4, 6.6, 12.4, 14.1, 15.1	116
	306-4	Waste diverted from disposal	8 & 12	8.4, 12.4	116
	306-5	Waste directed to disposal	6, 14 & 15	6.6, 14.2, 15.1, 15.5	116
SUPPLIER ENVIRONMENTAL ASSESSMENT					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 308: Supplier Environmental Assessment 2016	308-1	New suppliers that were screened using environmental criteria			115
	308-2	Negative environmental impacts in the supply chain and actions taken			101
EMPLOYMENT					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 401: Employment 2016	401-1	New employee hires and employee turnover	5, 8 & 10	5.1, 8.5, 8.6, 10.3	87
	401-2	Benefits provided to full-time employees that are not provided to temporary or part-time employees	5 & 8	5.4, 8.5	87
	401-3	Parental leave	8	8.5	90
LABOUR/MANAGEMENT					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 402 : Labour Management Relations 2016	402 - 1	Minimum notice periods regarding the operational changes			
OCCUPATIONAL HEALTH & SAFETY					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 403: Occupational Health and Safety 2018	403-1	Occupational health and safety management system	3, 8 & 16	3.3, 3.4, 3.9, 8.8, 16.1	92
	403-2	Hazard identification, risk assessment, and incident investigation			92
	403-3	Occupational health services			95
	403-4	Worker participation, consultation, and communication on occupational health and safety			95
	403-5	Worker training on occupational health and safety			95
	403-6	Promotion of worker health	3, 8	3.4, 8.8	95
	403-7	Prevention and mitigation of occupational health and safety impacts directly linked by business relationships	3, 8	3.4, 8.8	93

GRI Standards	Disclosures	Reference	SDG Goals	SDG Targets	Page No
	403-8	Workers covered by an occupational health and safety management system	3, 8	3.4, 8.8	93
	403-9	Work-related injuries	3	3.4	95
	403-10	Work-related ill health	3	3.4	93
TRAINING AND EDUCATION					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 404: Training and Education 2016	404-1	Average hours of training per year per employee	4, 5, 8 & 10	4.3, 4.4, 4.5, 5.1, 8.2, 8.5 & 10.3	92
	404-2	Programs for upgrading employee skills and transition assistance programs	8	8.2, 8.5	90
	404-3	Percentage of employees receiving regular performance and career development reviews	5, 8 & 10	5.1, 8.5, 10.3	90
DIVERSITY AND EQUAL OPPORTUNITY					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 405: Diversity and Equal Opportunity 2016	405-1	Diversity of governance bodies and employees	5 & 8	5.1, 5.5, 8.5	85, 181
	405-2	Ratio of basic salary and remuneration of women to men			88
NON DISCRIMINATION					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 406: Non-discrimination 2016	406-1	Incidents of discrimination and corrective actions taken			86-88
FREEDOM OF ASSOCIATION AND COLLECTIVE BARGAINING					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 407: Freedom of Association and Collective Bargaining 2016	407-1	Operations and suppliers in which the right to freedom of association and collective bargaining may be at a risk			84, 88, 92
CHILD LABOUR					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 408: Child Labour 2016	408-1	Operations and suppliers at significant risk for incidents of child labour			88
FORCED OR COMPULSORY LABOUR					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 409: Forced or Compulsory Labour 2016	409-1	Operations and suppliers at significant risk for incidents of forced or compulsory labour			88
LOCAL COMMUNITIES					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 413: Local Communities 2016	413-1	Operations with local community engagement, impact assessments, and development programs			105-109
	413-2	Operations with significant actual and potential negative impacts on local communities			101
SUPPLIER SOCIAL ASSESSMENT					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 414: Supplier Social Assessment 2016	414-1	New suppliers that were screened using social criteria			115
	414-2	Negative social impacts in the supply chain and actions taken			100
CUSTOMER HEALTH AND SAFETY 2016					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 416: Customer Health and Safety 2016	416-1	Assessment of the health and safety impacts of product and service categories			98
	416-2	Incidents of non compliance concerning the health and safety impacts of products and services			98

GRI INDEX

GRI Standards	Disclosures	Reference	SDG Goals	SDG Targets	Page No
MARKETING AND LABELLING					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 417: Marketing and Labelling 2016	417-1	Requirements for product and service information and labelling	12	12.8	97
	417-2	Incidents of non-compliance concerning product and service information and labelling	16	16.3	99
	417-3	Incidents of non-compliance concerning marketing communications	16	16.3	99
CUSTOMER PRIVACY					
GRI 3: Material Topics 2021	3-3	Management of material topics			31-35
GRI 418: Customer Privacy 2016	418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	16	16.3, 16.10	100

SLFRS S2 DISCLOSURE INDEX

Topic	SLFRS Index	Location in Report
Governance	IFRS S2.5	127
	IFRS S2.6	127-129
	IFRS S2.7	Additional guidance - no disclosure requirement
Strategy	IFRS S2.8	130
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	IFRS S2.11	Additional guidance - no disclosure requirement
	IFRS S2.12	Additional guidance - no disclosure requirement
	IFRS S2.13	135-137
	IFRS S2.14	130-133
	IFRS S2.15	130-133
	IFRS S2.16	46, 73, 106, 130-133,
	IFRS S2.17	Additional guidance - no disclosure requirement
	IFRS S2.18	Additional guidance - no disclosure requirement
	IFRS S2.19	Additional guidance - no disclosure requirement
	IFRS S2.20	Additional guidance - no disclosure requirement
	IFRS S2.21	Not reported in 2025
	IFRS S2.21	Not reported in 2025
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	IFRS S2.23	Not reported in 2025
Risk management	IFRS S2.24	138-139
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	IFRS S2.26	Additional guidance - no disclosure requirement
Metrics and targets	IFRS S2.27	Additional guidance - no disclosure requirement
	IFRS S2.28	139-142
	IFRS S2.29	Not reported in 2025
	IFRS S2.30	Additional guidance - no disclosure requirement
	IFRS S2.31	Additional guidance - no disclosure requirement
	IFRS S2.32	Not reported in 2025
	IFRS S2.33	Not reported in 2025
	IFRS S2.34	Not reported in 2025
	IFRS S2.35	Additional guidance - no disclosure requirement

ANNEXURE

APPLICATION OF <IR> GUIDING PRINCIPLES

This report is prepared in accordance with the <IR> Framework and has applied the following guiding principles:

IR Guiding Principle	How we have Complied
Strategic Focus and Future Orientation	The strategic focus and future orientation is derived by the management team considering inputs from diverse sources including our risk management process and evaluation of external environment Our Bank strategy related to key material topics are presented on page 31-35 and our future plans are given in all business line reviews and the Chairman's and Managing Director/CEO's messages on pages 10-12 and 13-20 respectively.
Connectivity of Information	We have provided links to other reports for additional and supporting information related to identified material topics. The Business Model on page 22-23 provides an overview of our business operations and interactions between capitals, business lines, risks and opportunities and value delivered to Stakeholders.
Stakeholder Relationships	We have a process of stakeholder identification and engagement and details of stakeholder engagement and relationship management is discussed and signposted on page 24-30
Materiality	The process for determining materiality is based on identifying relevant matters and evaluating importance based in <IR> framework and is described on page 31-35
Conciseness	We have made every effort to present relevant material information, including organisational context, strategy, governance, performance and prospects in a concise and effective manner.
Reliability & Completeness	We have established an internal and external process of evaluating our nonfinancial disclosures further external auditors have provided assurance on financial statements as given page 326-330, and non-financial disclosures related to the integrated reporting framework has been assured by KPMG and their Independent assurance statement is given on page 579-580.
Consistency & Comparability	We have provided possible comparable information on a consistent basis for the benefit of stakeholders to understand our performance trends. Where there has been a departure in computation or measurement criteria or restatements, same has been indicated in the relevant segment

SUSTAINABILITY DISCLOSURE TOPICS & ACCOUNTING METRICS

TOPIC	ACCOUNTING METRIC	CATEGORY	UNIT OF MEASURE	CODE	PAGE NO
Data Security	(1) Number of data breaches, (2) percentage involving personally identifiable information (PII), (3) number of account holders affected	Quantitative	Number, Percentage (%)	FN-CB-230a.1	100
	Description of approach to identifying and addressing data security risks	Discussion and Analysis	n/a	FN-CB-230a.2	82, 303-304
Financial Inclusion & Capacity Building	(1) Number and (2) amount of loans outstanding qualified to programs designed to promote small business and community development	Quantitative	Number, Reporting currency	FN-CB-240a.1	09, 105
	Number of participants in financial literacy initiatives for unbanked, underbanked, or underserved customers	Quantitative	Number	FN-CB-240a.4	09
Incorporation of Environmental, Social, and Governance Factors in Credit Analysis	Description of approach to incorporation of environmental, social, and governance (ESG) factors in credit analysis	Discussion and Analysis	n/a	FN-CB-410a.2	110-117
Business Ethics	Total amount of monetary losses as a result of legal proceedings associated with fraud, insider trading, anti-trust, anti-competitive behaviour, market manipulation, malpractice, or other related financial industry laws or regulations	Quantitative	Reporting currency	FN-CB-510a.1	289
	Description of whistleblower policies and procedures	Discussion and Analysis	n/a	FN-CB-510a.2	190
Systemic Risk Management	Description of approach to incorporation of results of mandatory and voluntary stress tests into capital adequacy planning, long-term corporate strategy, and other business activities	Discussion and Analysis	n/a	FN-CB-550a.2	288

GLOSSARY OF FINANCIAL/BANKING TERMS

A

ACCEPTANCES

The signature on a Bill of Exchange indicates that the person on whom it is drawn accepts the conditions of the Bill. In other words, a Bill of Exchange that has been accepted.

ACCOUNTING POLICIES

The specific principles, bases, conventions, rules and practices adopted by an entity in preparing and presenting financial statements.

ACCRUAL BASIS

Recognising the effects of transactions and other events when they occur without waiting for receipt or payment of cash or cash equivalent.

ACTUARIAL GAIN/LOSS

Gain or loss arising from the difference between estimates and actual experience in a company's pension plan.

AMORTISATION

The systematic allocation of the depreciable amount of an intangible asset over its useful life.

AMORTISED COST

Amount at which the financial asset or financial liability is measured at initial recognition, minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount and minus any reduction for impairment or uncollectability.

ASSOCIATE

An associate is an entity, including an unincorporated entity such as a partnership, over which the investor has significant influence and that is neither a subsidiary nor an interest in a joint venture.

AVERAGE WEIGHTED DEPOSIT RATE (AWDR)

AWDR is calculated by the Central Bank monthly based on the weighted average of all outstanding Interest-bearing deposits of commercial banks and the corresponding Interest rates.

AVERAGE WEIGHTED PRIME LENDING RATE (AWPLR)

AWPLR is calculated by the Central Bank weekly based on commercial banks' lending rates offered to their prime customers during the week

ASSET AND LIABILITY MANAGEMENT COMMITTEE (ALCO)

The ALCO, in a bank is generally composed of members from the Corporate management. Its chief function is to scrutinise, oversee, and sanction policies concerning risks arising from disparities in the bank's capital structure. The committee takes into account various elements such as risks related to liquidity, interest rates, operations, and external occurrences that could influence the bank's projected balance sheet strategies and forecasts.

B

BASEL III

The Basel committee on banking Supervision (BCBS) issued the Basel III rules text, which presents the details of strengthened global regulatory standards on bank capital adequacy and liquidity.

BASIS POINT(BP)

One hundredth of a percentage point (0.01 per cent); 100 basis points is 1 percentage point. Used in quoting movements in interest rates or yields on securities.

BILLS SENT FOR COLLECTION

A Bill of Exchange drawn by an exporter usually at a term, on an importer overseas and brought by the exporter to his Bank with a request to collect the proceeds.

BONUS ISSUE

The issue of new shares to existing shareholders in proportion to their shareholdings. It is a process for converting a company's reserves (in whole or part) in to issued capital and hence does not involve an infusion of cash.

BUSINESS MODEL ASSESSMENT

Business model assessment is carried out as the first step of the financial assets classification process. Business model refers to how an entity manages its financial

assets in order to generate cash flows. It is determined at a level that reflects how groups of financial assets are managed rather than at an instrument level. SLFRS 9 identifies three types of business models: "hold to collect", "hold to collect and sell" and "other". In order to determine the business model, it is necessary to understand the objectives of each business model. An entity would need to consider all relevant information including, for example, how business performance is reported to the entity's key management personnel and how managers of the business are compensated.

BUSINESS CONTINUITY PLAN

A document that consists of the critical information an organisation needs to continue operating during an unplanned event. The BCP should state the essential functions of the business, identify which systems and processes must be sustained, and detail how to maintain them. It should take into account any possible business disruption.

C

CAPITAL ADEQUACY RATIO

The percentage of risk-adjusted assets supported by capital as defined under the framework of risk-based capital standards developed by the Bank for International Settlements (BIS) and as modified to suit local requirements by the Central Bank of Sri Lanka.

CAPITAL RESERVE

Capital reserves consist of revaluation reserves arising from revaluation of properties owned by the Bank.

CAPITAL CONSERVATION BUFFER

Designed to ensure that banks build up buffers of capital outside any period of stress and avoid breaches of minimum capital requirements.

CASH EQUIVALENTS

Cash equivalents are short-term highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

CASH GENERATING UNIT (CGU)

The smallest identifiable group of assets that generates cash inflows that are largely

GLOSSARY OF FINANCIAL/BANKING TERMS

independent of the cash inflows from other assets or group of assets.

CEDED INSURANCE ARRANGEMENTS

An arrangement where an insurance company passes the part or all of its risks from its insurance policy portfolio to a reinsurance firm.

COLLECTIVELY ASSESSED LOAN IMPAIRMENT PROVISIONS

Also known as portfolio impairment provisions. Impairment assessment on a collective basis for homogeneous groups of loans that are not considered individually significant and to cover losses that has been incurred but has not yet been identified at the reporting date. Typically, assets within the consumer banking business are assessed on a portfolio basis.

COMMERCIAL PAPER

An unsecured, short-term debt instrument issued by a corporation, typically for the financing of accounts receivable, inventories and meeting short-term liabilities. The debt is usually issued at a discount, reflecting prevailing market interest rates.

COMMITMENT TO EXTEND CREDIT

Credit facilities available to clients either in the form of loans, bankers' acceptances and other on-balance sheet financing or through off-balance sheet products such as guarantees and letters of credit.

COMMITMENTS

Credit facilities approved but not yet utilised by the clients as at the reporting date.

COMPREHENSIVE INCOME

The change in equity of a business enterprise during a period from non-owner sources. This includes all changes in equity during a period except those resulting from investments by owners and distributions to the owners. Comprehensive income equals net income plus other comprehensive income.

CONTINGENCIES

Conditions or situations at the reporting date, the financial effect of which are to be determined by the future events which may or may not occur.

CONTRACTUAL MATURITY

Contractual maturity refers to the final payment date of a loan or other financial instrument, at which point all the remaining outstanding principal will be repaid and interest is due to be paid.

CORPORATE GOVERNANCE

The system of internal controls and procedures by which corporate entities are governed. It is concerned with the way in which power is exercised over the management and direction of entity, the supervision of executive actions and accountability to owners and others.

CORRESPONDENT BANK

A Bank in a foreign country that offers banking facilities to the customers of a Bank in another country.

COST INCOME RATIO

Operating expenses excluding loan loss provision as a percentage of total operating income.

COST METHOD

Cost method is a method of accounting for an investment whereby the investment is recognised at cost. The investor recognises income from the investment only to the extent that the investor receives distributions from accumulated profits of the investee arising after the date of acquisition. Distributions received in excess of such profits are regarded as a recovery of investment and are recognised as a reduction of the cost of the investment.

CREDIT RATINGS

An evaluation of a corporate's ability to repay its obligations or likelihood of not defaulting, carried out by an independent rating agency.

CREDIT RISK

Credit risk is the risk of financial loss to the Bank if a customer or counter party to a financial instrument fails to meet its contractual obligations, and arises principally from the loans and advances to customers and other banks and investment in debt/equity securities.

CREDIT RISK MITIGATION

A technique to reduce the credit risk associated with an exposure by application

of credit risk mitigants such as collateral, guarantee and credit protection.

CURRENCY RISK

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates.

CURRENCY SWAPS

The simultaneous purchase of an amount of a currency for spot settlement and the sale of the same amount of same currency for forward settlement.

D

DEBT RESTRUCTURING/RESCHEDULING

This is when the terms and provisions of outstanding debt agreements are changed. This is often done in order to improve cash flow and the ability of the borrower to repay the debt. It can involve altering the repayment schedule as well as debt or interest charge reduction.

DEFERRED TAX

Sum set aside in the financial statements for taxation that may become payable in a financial year other than the current financial year.

DEFAULT FACTOR

This refers to a measure used in financial risk management to estimate the likelihood that a borrower will default on their debt obligations.

DELINQUENCY

A debt or other financial obligation is considered to be in a state of delinquency when payments are overdue. Loans and advances are considered to be delinquent when consecutive payments are missed.

DERECOGNITION

Removal of a previously recognised financial asset or financial liability from an entity's statement of financial position.

DERIVATIVES

A derivative is a financial instrument or other contract, the value of which changes in response to some underlying variable (e.g. an interest rate), that has an initial net investment smaller than would be required for other instruments that have a similar response to the

variable, and that will be settled at a future date

DEMINIMIS

Features that could impact the cash flows of a financial asset by a de minimis amount both on a period by period basis and cumulatively.

DEPRECIATION

The process of systematically allocating the cost of long - lived (tangible) assets to the periods during which the assets are expected to provide economic benefits.

DILUTED EARNINGS PER SHARE

The earnings per share that would result if all dilutive securities were converted into common shares.

DIVIDEND COVER

Profit after tax divided by gross dividends. This ratio measures the number of times dividend is covered by the current year's distributable profits.

DIVIDEND YIELD

Dividend earned per share as a percentage of its market value.

DIVIDEND PAYOUT RATIO

It is the percentage of earnings paid to shareholders in dividends

DOCUMENTARY LETTERS OF CREDIT

Written undertakings by a Bank on behalf of its customers, authorising a third party to draw on the Bank up to a stipulated amount under specific terms and conditions. Such undertakings are established for the purpose of facilitating international trade.

DISCOUNT RATE

The discount rate is a financial tool used to determine the present value of future cash flows, considering the time value of money.

DOCUMENTARY LETTERS OF CREDIT

Written undertakings by a Bank on behalf of its customers, authorising a third party to draw on the Bank up to a stipulated amount under specific terms and conditions. Such undertakings are established for the purpose of facilitating international trade.

DOMESTIC SYSTEMATICALLY IMPORTANT BANKS (D-SIBS)

Systematically important banks (SIBs) are perceived as banks that are "Too Big To Fail". D-SIBs are critical for the uninterrupted availability of essential banking services to the country's real economy even during crisis. D-SIBs are determined as per Banking Act Direction No 10 of 2019 "Framework for dealing with Domestic Systemically Important Banks".

E

EARNINGS PER SHARE (EPS)

Profit attributable to ordinary shareholders, divided by the number of ordinary shares in issue.

ECONOMIC VALUE ADDED (EVA)

A measure of productivity which takes into consideration cost of total invested equity.

EFFECTIVE INTEREST RATE (EIR)

Rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instruments or when appropriate a shorter period to the net carrying amount of the financial asset or financial liability.

EFFECTIVE TAX RATE

Income tax expense for the year divided by the profit before tax.

EQUITY INSTRUMENT

Equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities.

EQUITY METHOD

The equity method is a method of accounting whereby the investment is initially recognised at cost and adjusted thereafter for the post-acquisition changes in the investor's share of net assets of the investee. The profit or loss of the investor includes the investor's share of the profit or loss of the investee.

EMBEDDED DERIVATIVES

An embedded derivative is a component of a hybrid (combined) instrument that also includes a non-derivative host contract with the effect that some of the cash flows of the

combined instrument vary in a way similar to a stand-alone derivative.

EMPLOYEE SHARE OPTION PLAN (ESOP)

A method of giving employees shares in the business for which they work.

EX-DIVIDEND DATE

The first date that a share trades without the (i.e. "ex") dividend

EXERCISE PRICE

The fixed price at which an option holder can buy or sell the underlying.

EXPECTED CREDIT LOSSES (ECL)

Expected credit losses are a probability – weighted estimate of credit losses over the expected life of the financial instrument.

12 MONTH EXPECTED CREDIT LOSSES (12MECL)

The portion of life time expected credit losses that represent the expected credit losses resulting from default events of a financial instrument that are possible within 12 months after the reporting date.

EXPOSURE AT DEFAULT (EAD)

Gross carrying amount of financial instruments subject to impairment calculation.

F

FAIR VALUE

The amount at which an asset could be exchanged, or a liability settled, between knowledgeable, willing parties in an arm's length transactions. It is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants.

FINANCE LEASE

A lease in which the lessee acquires all the financial benefits and risks attaching to ownership of the asset under lease.

FINANCIAL ASSET OR FINANCIAL LIABILITY AT FAIR VALUE THROUGH PROFIT OR LOSS

Financial asset or financial liability that is held for trading or upon initial recognition designated by the entity as 'at fair value through profit or loss'.

GLOSSARY OF FINANCIAL/BANKING TERMS

FINANCIAL ASSETS MEASURED AT AMORTISED COST

A financial asset is measured at amortised cost if the asset is held within a business model whose objective is to hold assets to collect contractual cash flows and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

FINANCIAL ASSETS MEASURED AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME (FVOCI)

FVOCI include debt and equity instruments measured at fair value through other comprehensive income. A debt instrument is measured at FVOCI, if it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets and the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

FINANCIAL INSTRUMENT

Financial Instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

FINANCIAL RISK

The risk of a possible future change in one or more of a specified interest rate, financial instrument price, commodity price, foreign exchange rate, index of prices or rates or credit rating or credit index.

FOREIGN EXCHANGE INCOME

The gain recorded when assets or liabilities denominated in foreign currencies are translated into Sri Lankan Rupees on the reporting date at prevailing rates which differ from those rates in force at inception or on the previous reporting date. Foreign exchange income also arises from trading in foreign currencies.

FORWARD EXCHANGE CONTRACT

Agreement between two parties to exchange one currency for another at a future date at a rate agreed upon today.

FORWARD-LOOKING INFORMATION

Incorporation of macroeconomic scenarios into the impairment calculations.

G

GLOBAL REPORTING INITIATIVES (GRI)

The GRI is an international independent standards organisation that helps businesses, governments and other organisations to understand and communicate their impacts on issues such as climate change, human rights and corruption. GRI promotes sustainability reporting as a way for organisations to become more sustainable and contribute to sustainable development.

GOODWILL

An intangible asset that represents the excess of the purchase price of an acquired company over the value of the net assets acquired.

GROSS DIVIDENDS

The portion of profit inclusive of tax withheld distributed to shareholders.

GROUP

A group is a parent and all its subsidiaries.

GUARANTEES

Primarily represent irrevocable assurances that a bank will make payments in the event that its customer cannot meet his/her financial obligations to third parties. Certain other guarantees represent non-financial undertakings such as bid and performance bonds.

H

HEDGING

A strategy under which transactions are effected with the aim of providing cover against the risk of unfavourable price movements (interest rate, foreign exchange rate, commodity prices, etc.). A hypothetical combination of the derivative and its underlying that eliminates risk.

HIGH QUALITY LIQUID ASSETS (HQLA)

Assets that are unencumbered, liquid in markets during a time of stress and, ideally, be central bank eligible. These include, for example, cash and claims on central governments and central banks.

I

IMPAIRED LOANS

Loans where the Group does not expect to collect all the contractual cash flows or expects to collect them later than they are contractually due.

IMPAIRMENT

This occurs when recoverable amount of an asset is less than its carrying amount.

IMPAIRMENT ALLOWANCES

Impairment allowances are provisions held on the statement of financial position as a result of the raising of a charge against profit for the incurred loss. An impairment allowance may either be identified or unidentified and individual (specific) or collective (portfolio) respectively.

INCREMENTAL COST

Costs that would not have been incurred if the entity had not acquired, issued or disposed of the financial instrument.

INCURRED BUT NOT ENOUGH REPORTED (IBNER)

The reserves for claims that become due with the occurrence of the events covered under the insurance policy, but have not been reported yet.

INCURRED BUT NOT REPORTED (IBNR)

An estimate of the liability for claim-generating events that have taken place but have not yet been reported to the insurer or self-insurer.

INDIVIDUALLY SIGNIFICANT LOANS

Exposures which are above a certain threshold decided by the Bank's management which should be assessed for objective evidence, measurement, and recognition of impairment on an individual basis.

INDIVIDUALLY SIGNIFICANT LOAN IMPAIRMENT PROVISIONS

Also known as specific impairment provisions. Impairment is measured individually for assets that are individually significant to the Group. Typically, assets within the corporate banking business of the Group are assessed individually.

IRREVOCABLE COMMITMENT

A loan amount that may be drawn down, or is due to be contractually funded in the future.

INTANGIBLE ASSET

An identifiable non-monetary asset without physical substance held for use in the production/supply of goods/services or for rental to others or for administrative purposes.

INTEREST MARGIN

Net interest income as a percentage of average interest earning assets.

INTEREST RATE SWAP

An agreement between two parties (known as counterparties) where one stream of future interest payments is exchanged for another based on a specified principal amount.

INTEREST RATE RISK

The risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates.

INTEREST SPREAD

This represents the difference between the average interest rate earned and the average interest rate paid on funds.

INSURANCE RISK

Risk, other than financial risk, transferred from the holder of a contract to the issuer.

INVESTMENT PROPERTIES

Investment property is property (land or a building - or part of a building - or both) held (by the owner or by the lessee under a finance lease) to earn rentals or for capital appreciation or both, rather than for use or sale.

INTEREST COVER

A ratio showing the number of times interest charges is covered by earnings before interest and tax.

J

JOINT CONTROL

Joint control is the contractually agreed sharing of the control over an economic activity and exists only when the strategic financial and operating decisions relating to the activity require the unanimous consent of the parties sharing control.

JOINT VENTURE

A joint venture is a contractual arrangement whereby two or more parties undertake an economic activity that is subject to joint control

K

KEY MANAGEMENT PERSONNEL

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly.

L

LETTER OF CREDIT (L/C)

Written undertakings by a Bank on behalf of its customer (typically an importer), authorising a third party (e.g. an exporter) to draw drafts on the Bank up to a stipulated amount under specific terms and conditions. Such undertakings are established for the purpose of facilitating international trade.

LEVERAGE RATIO

A leverage ratio is any one of several financial measurements that look at how much capital comes in the form of debt (loans) or assesses the ability of a company to meet its financial obligations.

LIABILITY ADEQUACY TEST (LAT)

Assessment on each reporting date whether the recognised insurance liabilities are adequate, using current estimates of future cash flows under the insurance contract.

LIFE TIME EXPECTED CREDIT LOSSES (LTECL)

The expected credit losses that result from all possible default events over the expected life of a financial instrument.

LIQUID ASSETS

Assets that are held in cash or in a form that can be converted to cash readily, such as deposits with other Banks, Bills of Exchange and Treasury Bills.

LIQUIDITY RISK

The risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities.

LIQUIDITY COVERAGE RATIO (LCR)

Refers to highly liquid assets held by Banks to meet short - term obligations. The ratio represents a generic stress scenario that aims to anticipate market - wide shocks.

LOANS AND ADVANCES/RECEIVABLES

Non derivative financial assets with fixed or determinable payments that are not quoted in an active market other than those intended to sell immediately or in the near term and designated as fair value through profit or loss or available for sale on initial recognition.

LOAN - TO - VALUE RATIO (LTV)

The LTV ratio is a mathematical expression which expresses the amount of a first mortgage lien as a percentage of the total appraised value of real property. The LTV ratio is used in determining the appropriate level of risk for the loan and therefore the correct price of the loan to the borrower.

LOSS GIVEN DEFAULT (LGD)

LGD is the percentage of an exposure that a lender expects to lose in the event of obligor default.

M

MARKET CAPITALISATION

Number of ordinary shares in issue multiplied by the market value of each share at the year end.

MARKET RISK

This refers to the possibility of loss arising from changes in the value of a financial instrument as a result of changes in market variables such as interest rates, exchange rates, credit spreads and other asset prices.

MATERIALITY

The relative significance of a transaction or an event, the omission or misstatement of which could influence the decisions of users of financial statements.

N

NET ASSET VALUE PER SHARE

Shareholders' funds divided by the number of ordinary shares in issue.

GLOSSARY OF FINANCIAL/BANKING TERMS

NET-INTEREST INCOME

The difference between what a Bank earns on assets such as loans and securities and what it pays on liabilities such as deposits, refinance funds and inter-bank borrowings.

NET INTEREST MARGIN (NIM)

The margin is expressed as net Interest Income divided by average Interest earning assets.

NET PREMIUM METHOD

A Net Premium Valuation is an actuarial calculation, used to place a value on the liabilities of a life insurer.

NET STABLE FUNDING RATIO (NSFR)

Measures the amount of longer - term, stable sources of funding employed by a bank relative to the liquidity profiles of the assets funded and the potential for contingent calls on funding liquidity arising from off-balance sheet commitments and obligations.

NON-CONTROLLING INTEREST

Equity in a subsidiary not attributable, directly or indirectly to a parent.

NON – GENUINE

A cash flow characteristic that affects the instrument's contractual cash flows only on the occurrence of an event that is extremely rare, highly abnormal and very unlikely to occur.

NOSTRO ACCOUNT

A bank account held in a foreign country by a domestic bank, denominated in the currency of that country. Nostro accounts are used to facilitate the settlement of foreign exchange trade transactions.

O

OFF BALANCE SHEET TRANSACTIONS

Transactions that are not recognised as assets or liabilities in the statement of financial position, but which give rise to contingencies and commitments.

ONEROUS CONTRACT

A type of contract where the costs involved with fulfilling the terms and conditions of the contract are higher than the amount of economic benefits received.

OPERATIONAL RISK

This refers to the risk of loss resulting from inadequate or failed internal processes, people and systems, or from external events.

OVERNIGHT POLICY RATE

Overnight Policy Rate (OPR) is the policy interest rate of the Central Bank under the single policy interest rate mechanism (w.e.f. 27 November 2024). It is the primary monetary policy instrument that signals the Central Bank's monetary policy stance.

P

PARENT

A parent is an entity that has one or more subsidiaries.

PAST DUE

A financial asset is past due when a counterparty has failed to make a payment when contractually due.

PRICE EARNINGS RATIO (P/E RATIO)

Market price of an ordinary share divided by earnings per share (EPS).

PROBABILITY OF DEFAULT (PD)

PD is an internal estimate for each borrower grade of the likelihood that an obligor will default on an obligation.

PROVISION COVER

Total provisions for loan losses expressed as a percentage of net non - performing loans and advances before discounting for provisions on non - performing loans and advances.

PRUDENCE

Inclusion of a degree of caution in the exercise of judgement needed in making the estimates required under conditions of uncertainty, such that assets or income are not overstated and liabilities or expenses are not understated.

R

REGULAR WAY TRADES

A type of trade that is settled through the regular settlement cycle required for the particular investment being traded. The settlement cycle is the time that the regulations of the securities market allows for

the buyer to complete payment and for the seller to deliver the goods being purchased.

RELATED PARTIES

One party has the ability to control the other party or exercise significant Influence over the other party in making financial and operating decisions, directly or Indirectly.

RELATED PARTY TRANSACTION (RPT)

RPT is a transfer of resources, services or obligations between a reporting entity and a related party, regardless whether a price is changed.

REPURCHASE AGREEMENT

This is a contract to sell and subsequently repurchase government securities at a given price on a specified future date.

RETURN ON AVERAGE ASSETS (ROA)

A profitability ratio calculated as profit after tax expressed as a percentage of average total assets, used along with ROE, as a measure of profitability and as a basis of intra-industry performance comparison.

RETURN ON AVERAGE EQUITY (ROE)

Profit after tax less preferred share dividends if any, expressed as a percentage of average ordinary shareholders' equity.

REVENUE RESERVE/RETAINED EARNINGS

Reserves set aside for future distribution and investment.

REVERSE REPURCHASE AGREEMENT

Transaction involving the purchase of government securities by a Bank or dealer and resale back to the seller at a given price on a specific future date.

RIGHTS ISSUE

Issue of shares to the existing shareholders at an agreed price, generally lower than market price.

RIGHT OF USE ASSETS

The Right of use asset is a lessee's right to use an asset over the life of a lease.

RISK-WEIGHTED ASSETS

Used in the calculation of risk-based capital ratios. The face amount of lower risk assets is discounted using risk weighting factors in

order to reflect a comparable risk per rupee among all types of assets. The risk inherent in off - balance sheet instruments is also recognised, first by adjusting notional values to balance sheet (or credit) equivalents and then by applying appropriate risk weighting factors.

S

SEGMENT REPORTING

Segment reporting indicates the contribution to the revenue derived from business segments such as Corporate, Retail, SME, Micro, Treasury, Real estate, Insurance, Non-Banking Financial Institute (NBFI).

SHAREHOLDERS' FUNDS

Shareholders' funds consist of stated capital, statutory reserves, capital and revenue reserves.

SIGNIFICANT INCREASE IN CREDIT RISK (SICR)

According to SLFRS 9, an entity should assess whether the risk of default on a financial Instrument has Increased significantly since Initial recognition. The assessment should consider reasonable and supportable Information that is relevant and available without undue cost or effort. There is a rebuttable presumption in the standard that the credit risk on a financial asset has Increased significantly since Initial recognition when contractual payments are more than 30 days past due.

SOLELY PAYMENTS OF PRINCIPAL AND INTEREST TEST (SPPI)

Classification decision for non- equity financial assets under SLFRS 9.

SPECIFIC IMPAIRMENT PROVISIONS

Impairment is measured individually for loans that are individually significant to the Bank.

STATE-OWNED ENTERPRISE

A state-owned enterprise is a legal entity that is created by a government in order to partake in commercial activities on the government's behalf.

STATUTORY RESERVE FUND

Reserve created as per the provisions of the Banking Act No. 30 of 1988.

Standard Lending Facility Rate (SLFR)

A policy rate used by CBSL before 27th November 2024.

SUBSIDIARY

A subsidiary is an entity, including an unincorporated entity such as a partnership, that is controlled by another entity (known as the parent).

SUBSTANCE OVER FORM

The consideration that the accounting treatment and the presentation in financial statements of transactions and events should be governed by their substance and financial reality and not merely by legal form.

T

TIER 1 CAPITAL - COMMON EQUITY TIER 1 (CET 1)

Consists of stated capital, other capital, and revenue reserves. CET1 is the element of capital that has the highest quality and is the most effective in absorbing losses.

TIER 1 CAPITAL - ADDITIONAL TIER 1 (AT 1)

Additional tier 1 capital (AT1) is a component of tier 1 capital, distinct from common equity tier 1 (CET1) capital. It comprises capital instruments that are not included in CET1. These AT1 instruments are subordinated to most other types of debt and have characteristics such as no fixed maturity and the flexibility for the issuing bank to cancel dividends at any time without triggering a default. AT1 plays a supplementary role in a bank's overall capital structure, providing additional financial resilience and capacity to absorb losses.

Tier ii capital consists of the sum total of revaluation reserves, general provisions, hybrid capital instruments and approved subordinated debentures.

TOTAL CAPITAL

Total capital is the sum of Tier I (both CET 1 and AT 1) capital and Tier II capital.

TRANSACTION COSTS

Incremental cost that is directly attributable to the acquisition, issue or disposal of a financial asset or financial liability.

TWELVE MONTH EXPECTED CREDIT LOSSES (12 MONTH ECL)

The portion of lifetime expected credit losses that represent the expected credit losses that result from default events on a financial Instrument that are possible within the 12 months after the reporting date.

U

UNEARNED PREMIUM RESERVE

The premium corresponding to the time period remaining on an insurance policy.

UNIT TRUST

An undertaking formed to invest in securities under the terms of a trust deed.

V

VALUE ADDED

Value added is the wealth created by providing banking services less the cost of providing such services. The value added is allocated among the employees, the providers of capital, to government by way of taxes and retained for expansion and growth.

Y

YIELD TO MATURITY

Discount rate which the present value of future cash flows would equal the security's current price.

YIELD CURVE

A yield curve is a line that plots yields (Interest rates) of bonds having equal credit quality but differing maturity dates. The slope of the yield curve gives an idea of future Interest rate changes and economic activity. There are three main types of yield curve shapes: normal (upward sloping curve), Inverted (downward sloping curve) and flat.

OUR BRANCH & SMART SELF-SERVICE MACHINE (SSM) NETWORK



257
Branches



261
ATMs



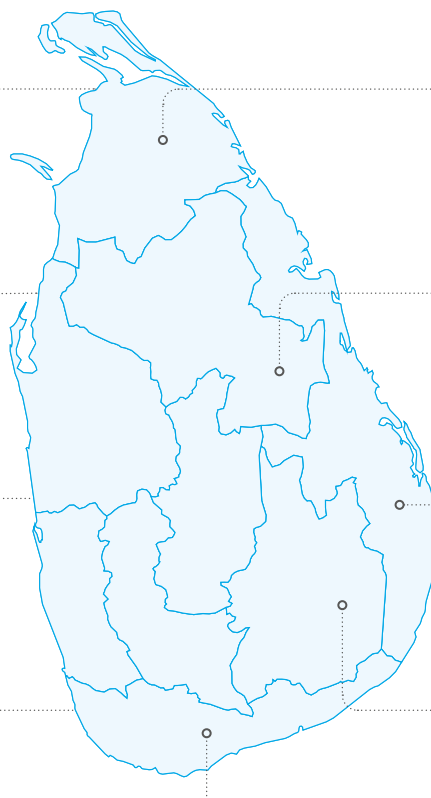
431
CRMs



14
CHQ-DMs



155
BDM



North Central Province – 40



10



11



15



0



4

North Western Province – 79



18



16



30



1



14

Western Province – 507



108



120



189



12



78

Sabaragamuwa Province – 46



11



12



15



0



8

82 – Northern Province



21



22



31



0



8

114 – Central Province



27



22



51



1



13

91 – Eastern Province



25



17



39



0



10

54 – Uva Province



12



15



18



0



9

105 – Southern Province



25



26



43



0



11

NORTHERN PROVINCE – 21

JAFFNA - 12

Atchchuveli
Chankanai
Chavakachcheri
Chunnakam
Jaffna
Jaffna Metro
Kaithady
Kodikamam
Manipay
Nelliady
Point Pedro
Thirunelvely

KILINOCHCHI - 02

Kilinochchi North
Kilinochchi South

MANNAR - 03

Mannar
Mallavi
Nanattan

MULLAITIVU - 02

Mullaitivu
Mulliyawalai

VAVUNIYA - 02

Kurumankadu
Vavuniya

NORTH WESTERN PROVINCE - 18

KURUNEGALA - 09

Alawwa
Galgamuwa
Giriulla
Hettipola
Kuliyaipitiya
Kurunegala
Kurunegala Metro
Nikaweratiya
Wariyapola

PUTTALAM - 09

Anamaduwa
Chilaw
Dankotuwa
Madampe
Marawila
Norochhole
Puttalam
Udappuwa
Wennappuwa

NORTH CENTRAL PROVINCE - 10

ANURADHAPURA - 07

Anuradhapura
Anuradhapura Metro
Kekirawa
Medawachchiya
Nochchiyagama
Padavi Parakramapura
Thambuttegama

POLONNARUWA - 03

Aralaganwila
Medirigiriya
Polonnaruwa

WESTERN PROVINCE – 108

COLOMBO - 67

Aluthkade
Asiri Central Hospital
Asiri Surgical Hospital
Athurugiriya
Avissawella
Bambalapitiya
Boralesgamuwa
Borella
Cinnamon Gardens
City Office
City of Dreams
Dehiwela
Dematagoda
Department of Immigration
and Emigration
Durdans Hospital
Grandpass
Greenpath
Hanwella
Head Office Branch
Homagama
Hulftsdorp
International Water
Management Institute

Islamic Banking Unit
Jampettah
Sri Jayawardenapura
Hospital
Kaduvela
Kirulapone
Kohuwela
Kollupitiya
Kolonnawa
Kotahena
Kottawa
Rajagiriya
Kothalawala Defence
University (KDU)
Maharagama
Pettah Metro -IBU
Malabe
Maligawatte
Maradana
Mirihana
Moratumulla
Moratuwa
Mount Lavinia
Mutwal
Narahenpita

Nawala
Nawaloka Hospital
Colombo - Metro
Nugegoda
Ninewells Hospital
Overseas School of
Colombo
Padukka
Pamankada
Panchikawatte
Pettah
Piliyandala
Ratmalana
Sea Street
Sri Lanka Ports Authority
Battaramulla
Thalawathugoda
Thimbirigasyaya
Wellawatte
Wijerama
World Trade Centre
Orion City
Lanka Hospital PLC

GAMPAHA - 32

Airport Departure Counter
Biyagama
Delgoda
Divulapitiya
Ekala
Gampaha
Ganemulla
Hendala
Ja-Ela
Kadawatha
Kandana
Katunayake
Kelaniya
Kiribathgoda
Kirindiwela
Kochchikade
Marandagahamula
Minuwangoda
Mirigama
Negombo
Negombo Metro
Nittambuwa
Pamunugama
Peliyagoda

Pugoda
Ragama
Seeduwa
Sri Lankan Airlines
Veyangoda
Wattala
Weliweriya
Yakkala

KALUTARA - 09

Aluthgama
Bandaragama
Beruwala
Horana
Ingiriya
Kalutara
Mathugama
Panadura
Wadduwa

CENTRAL PROVINCE - 27

KANDY - 16

Akurana
Asiri Hospital
Digana
Galaha
Gampola
Gelioya
Kandy
Kandy City Centre
Katugastota
Kundasale
Kurunduwatte
Nawalapitiya
Peradeniya
Pilimathalawa
Rikillagaskada
SLIT Digana

MATALE - 03

Dambulla
Galewela
Matale

NUWARA ELIYA - 08

Bogawanthalawa
Ginigathena
Hatton
Maskeliya
Nuwara Eliya
Pussellawa
Ragala
Thalawakele

SABARAGAMUWA PROVINCE - 11

KEGALLE - 04

Mawanella
Kegalle
Rambukkana
Warakapola

RATNAPURA - 07

Balangoda
Embilipitiya
Godakawela
Kahawatta
Kalawana
Pelmadulla
Ratnapura

UVA PROVINCE - 12

BADULLA - 06

Badulla
Bandarawela
Haputale
Mahiyanganaya
Passara
Welimada

MONARAGALA - 06

Buttala
Bibile
Kataragama
Monaragala
Siyambalanduwa
Wellawaya

EASTERN PROVINCE - 25

AMPARA - 11

Akkaraipattu
Ampara
Dehiattakandiya
Kalmunai
Karaithivu
Ninthavur
Pottuvil
Samanthurai
Thandavenvily
Thirukkivil
Uhana

BATTICALOA - 05

Batticaloa
Eravur
Valachchenai
Kaluwanchikudy
Kattankudy

TRINCOMALEE - 09

Kantale
Kinniya
Marathamunai
Mullipathana
Muttur
Trinco Metro
Serunuwara
Trincomalee
Uppuveli

SOUTHERN PROVINCE - 25

GALLE - 09

Ambalangoda
Batapola
Elpitiya
Galle
Hikkaduwa
Karapitiya
Habaraduwa
Pitigala
Yakkalamulla

HAMBANTOTA - 08

Ambalantota
Angunakolapelessa
Hambantota
Middeniya
Sooriyawewa
Tangalle
Tissamaharama
Walasmulla

MATARA - 08

Akuressa
Deniyaya
Devinuwara
Dickwella
Hakmana
Matara
Urubokka
Weligama

NOTICE OF MEETING

1. NOTICE OF MEETING AND AGENDA

Notice is hereby given that the Fifty Seventh (57th) Annual General Meeting of Hatton National Bank PLC (the "Bank") is convened on Tuesday, the Thirty First (31st) day of March 2026 at the Auditorium on Level 22 of "HNB Towers" at No. 479, T.B. Jayah Mawatha, Colombo 10, at 10.00 in the forenoon when the following business will be transacted:

- i. To receive and consider the Annual Report of the Board of Directors along with the Financial Statements of the Bank for the year ended 31st December 2025 and the Auditor's Report thereon.
- ii. To declare a final dividend as recommended by the Board of Directors, to consider and if thought fit, to pass the following resolution:

ORDINARY RESOLUTION - DECLARATION OF DIVIDEND AND APPROVAL OF ITS METHOD OF SATISFACTION:

IT IS HEREBY RESOLVED

- (a) THAT a final dividend of Rupees Twenty (Rs 20/-) per share constituting a total sum of Rs 11,436,423,920.00 be paid on the issued and fully paid ordinary voting shares and ordinary non-voting shares of the Bank for the financial year ended 31st December 2025 based on the issued ordinary voting shares and ordinary non-voting shares as at the commencement of trading on 25th February 2026.
- (b) THAT the shareholders entitled to such dividend ('Entitled Shareholders') shall be those shareholders (holders of both ordinary voting shares and ordinary non-voting shares), whose names have been duly registered in the Register of Shareholders and those shareholders whose names appear on the Central Depository Systems (Pvt) Ltd ('CDS') as at end of trading on 6th April 2026 being the second (2nd) Market Day from and excluding the date of the Annual General Meeting (the "Record Date");
- (c) THAT the said final dividend of Rs 20/- per share be distributed and satisfied partly by the payment of cash and partly by the allotment and issue of new ordinary voting shares and ordinary non-voting shares (the "distribution scheme") based on the share prices of ordinary voting shares and ordinary non-voting shares as at the commencement of trading on 25th February 2026 in the following manner, subject however to any necessary revision being made to the amount of dividends to be distributed and the number of shares to be issued pursuant to any changes to the applicable law:
 - i. By way of cash distribution:

A cash distribution of (A) a sum of Rs 6,839,527,110/- be made to the holders of ordinary voting shares and (B) a sum of Rs 1,737,790,830/- be made to the holders of ordinary non-voting shares respectively, on the basis of Rupees Fifteen (Rs 15/-) per each share.

- ii. By way of the allotment of and issue of new shares:

A. For ordinary voting shares:

A sum of Rupees Two Billion Two Hundred and Seventy Nine Million Eight Hundred and Forty Two Thousand Three Hundred and Seventy (Rs 2,279,842,370/-) be distributed to the holders of ordinary voting shares in the form of a scrip dividend, on the basis of Rupees Five (Rs 5/-) per each share by the issue of a total of 4,249,706 ordinary voting shares computed on the basis of one (1) ordinary voting share for every 107.2941219933 ordinary voting shares held by such holders of ordinary voting shares (which computation is based on the consideration of Rupees Four Hundred and Fifty Six (Rs.456/-) per each new ordinary voting share being the share price of ordinary voting shares as at the commencement of trading on 25th February 2026).

B. For ordinary non-voting shares:

A sum of Rupees Five Hundred and Seventy Nine Million Two Hundred and Sixty Three Thousand Six Hundred and Ten (Rs 579,263,610/-) be distributed to the holders of ordinary non-voting shares in the form of a scrip dividend, on the basis of Rupees Five (Rs 5/-) per each share by the issue of a total of 1,251,268 ordinary non-voting shares which is distributed on the basis of one (1) ordinary non-voting share for every 92.5882560730 non-voting shares held by such holders of ordinary non-voting shares (which computation is based on the consideration of Rupees Three Hundred and Ninety Three and cents Fifty (Rs 393/50) per each new ordinary non-voting share being the share price of ordinary non-voting shares as at the commencement of trading on 25th February 2026).

- (d) THAT the shares arising from the aggregation of the residual fractions consequent to the scrip dividend be issued to and disposed of in the market by the trustees to be nominated by the Board of Directors and the proceeds to be distributed for charitable purposes as may be approved by the Board of Directors.

Fractional shares/entitlement referred to herein will mean the fractions arising after applying the following formula:

In the context of ordinary voting shares

Number of shares held by a shareholder as at end of trading on the Record Date	x	1
107.2941219933		

In the context of ordinary non-voting shares

Number of shares held by a shareholder as at end of trading on the Record Date	x	1
92.5882560730		

(e) THAT (a) the new ordinary voting shares to be issued in pursuance of the distribution scheme shall, immediately consequent to the allotment and issue thereof to the Entitled Shareholders rank equal and pari passu in all respects with the existing issued and fully paid ordinary voting shares of the Bank and (b) the new ordinary non-voting shares to be issued in pursuance of the distribution scheme shall, immediately consequent to the allotment and issue thereof to the Entitled Shareholders rank equal and pari passu in all respects with the existing issued and fully paid ordinary non-voting shares of the Bank, and shall be listed on the Colombo Stock Exchange.

(f) THAT the new ordinary voting shares and ordinary non-voting shares to be so allotted and issued shall not be eligible for the payment of cash dividend declared hereby.

(g) THAT accordingly, the Bank's management be and is hereby authorised to take all necessary steps to give effect to the aforesaid proposed issue of new ordinary voting shares and ordinary non-voting shares of the Bank.

SPECIAL RESOLUTION – APPROVAL OF THE HOLDERS OF ORDINARY VOTING SHARES UNDER SECTION 99 OF THE COMPANIES ACT NO. 7 OF 2007, FOR THE ISSUE OF SHARES BY WAY OF A SCRIP DIVIDEND

IT IS HEREBY RESOLVED THAT the issue by the Bank of (a) 4,249,706 ordinary voting shares on the basis of one (1) ordinary voting share for every 107.2941219933 ordinary voting shares held by holders of ordinary voting shares and (b) 1,251,268 ordinary non-voting shares on the basis of one (1) ordinary non-voting share for every 92.5882560730 ordinary non-voting shares held by holders of ordinary non-voting shares, by way of a scrip dividend (subject however to any necessary revision being made to the number of shares to be so issued pursuant to any changes to the applicable law) with the shares arising from the aggregation of the residual fractions consequent to the scrip dividend being issued to trustees to be nominated by the Board of Directors and disposed of in the market by such trustees and the proceeds from such disposal being distributed to charitable purposes, be and is hereby approved.

iii. To re-elect Goluhewage Bindu Rasitha Poojitha Gunawardana, who retires at the Annual General Meeting, as a Non-Executive Director of the Bank, in terms of Article 34 (ii) of the Articles of Association of the Bank.

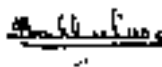
iv. To re-elect Talpawila Kankanamge Don Aruna Prasad Samarasinghe, who retires at the Annual General Meeting, as a Non-Executive Director of the Bank, in terms of Article 34 (ii) of the Articles of Association of the Bank.

v. (a) To appoint Messrs Ernst & Young (Chartered Accountants) as the Bank's Auditors for the ensuing year.

(b) To authorise the Board of Directors to determine the remuneration for such Auditors for the ensuing year.

vi. To authorise the Board of Directors to determine payments for the year 2026 for charitable and other purposes.

By order of the Board of Hatton National Bank PLC,



Shiromi Halloluwa
Board Secretary

Colombo, Sri Lanka
25th February 2026

NOTICE OF MEETING

NOTES:

- (1) A shareholder entitled to attend or attend, vote and be heard at the Annual General Meeting, is entitled to appoint a proxy to attend or attend, vote and be heard as the case may be, in his stead.
- (2) A proxy need not be a shareholder of the Bank. The Form of Proxy is enclosed.
- (3) The completed Form of Proxy should be emailed to info@hnb.lk or deposited with the Board Secretary at the Registered Office of the Bank at No. 479, T.B. Jayah Mawatha, Colombo 10 (at "HNB Towers", Level 19), not less than twenty-four (24) hours before the time fixed for the meeting.

SUMMARY OF ARTICLE 22 OF THE ARTICLES OF ASSOCIATION OF HATTON NATIONAL BANK PLC ON PROCEDURE ON VOTING AND HOW A POLL IS TO BE TAKEN

- (1) Voting at a meeting of shareholders shall, unless a poll is demanded, be by a show of hands or voting by voice, as may be determined by the Chairman.
- (2) Subject to any rights or restrictions for the time being attached to any class or classes of shares, on a show of hands or voting by voice as aforesaid every member who is present at the meeting shall have one (01) vote, and on a poll, every shareholder present in person at the meeting shall be entitled to one (1) vote for each voting share held by him/her.
- (3) A declaration by the Chairman of the meeting that a resolution is carried by the requisite majority is conclusive evidence of that fact, unless a poll is demanded.
- (4) At a meeting of shareholders, a poll may be demanded on a particular question as provided for in the Companies Act No. 7 of 2007, by:
 - (i) the Chairman;
 - (ii) not less than five (5) shareholders having the right to vote at the meeting; or
 - (iii) a shareholder or shareholders representing not less than ten per centum (10%) of the total voting rights of all shareholders having the right to vote at the meeting.
- (5) A poll may be demanded either before or after the vote is taken on a resolution. A demand for a poll may be withdrawn any time before the poll is taken.
- (6) If a poll is taken, votes shall be counted according to the votes attached to the shares of each shareholder present and voting.
- (7) In the case of an equality of votes, whether on a show of hands or on a poll, the Chairman of the meeting shall be entitled to a second or casting vote.
- (8) A declaration by the Chairman of the meeting that a resolution has been carried, or carried unanimously or by a particular majority, or lost, and an entry made to that effect in the minute book, shall be conclusive evidence of the fact without proof of the number or proportion of the votes recorded for or against such a resolution.
- (9) Objections to voter qualification must be raised at the meeting where the vote is cast, and any vote not disallowed shall be valid. The Chairman's decision on any objection shall be final.

FORM OF PROXY (VOTING)

I/We of
.....being *a shareholder/shareholders of the Hatton National Bank PLC, hereby appoint
.....
of

or failing him/her, Kuttikande Vidanelage Nihal Jayawardene or failing him, Pallewatte Gamaralalage Damith Buddhika Pallewatte or failing him, Mututantrige Parakrama Devaka Cooray or failing him, Goluhewage Bindu Rasitha Poojitha Gunawardana or failing him, Talpawila Kankanamge Don Aruna Prasad Samarasinghe or failing him, Meemanage Nanda Rajarathna Fernando or failing him, Sivakrishnarajah Renganathan or failing him, Suresh Kumar Shah or failing him, Dilani Champika Alagaratnam Goonatilleke as *my/our proxy, to attend, vote and speak on *my/our behalf and to represent *me/us at the Fifty Seventh (57th) Annual General Meeting of the Bank to be held at the Auditorium on Level 22 of “HNB Towers” at No. 479, T B Jayah Mawatha, Colombo 10, on the Thirty First (31st) day of March, 2026 at 10.00 in the forenoon and at any adjournment thereof.

*I/we the undersigned hereby authorise *my/our proxy to vote on *my/our behalf in accordance with the preference** indicated below:

(i)	To declare the recommended dividend of Rupees Twenty (Rs 20/-) per share as the final dividend for the financial year ended 31st December 2025 and (a) to adopt Ordinary Resolution - Declaration of Dividend and approval of its method of satisfaction: (b) to adopt Special Resolution - Approval of the holders of ordinary voting shares under section 99 of the Companies Act No. 7 of 2007, for the issue of shares by way of a scrip dividend	In favour	☐
		Against	☐
(ii)	To re-elect Goluhewage Bindu Rasitha Poojitha Gunawardana, who retires at the Annual General Meeting, as a Director of the Bank	In favour	☐
		Against	☐
(iii)	To re-elect Talpawila Kankanamge Don Aruna Prasad Samarasinghe, who retires at the Annual General Meeting, as a Director of the Bank	In favour	☐
		Against	☐
(iv)	To appoint Messrs Ernst & Young (Chartered Accountants) as the Bank's Auditors for the ensuing year and authorise the Directors to fix their remuneration	In favour	☐
		Against	☐
(v)	To authorise the Directors to determine payments for F/Y 2026 for charitable and other purposes	In favour	☐
		Against	☐

* Delete inappropriate words ** Mark your preference with “✓” or “✗”

Signed this day 2026.
Signature/s
.....

FORM OF PROXY (VOTING)

Please provide the following details:

Shareholder's NIC No/Company Registration No	:	
Folio No/Number of Shares held	:	
Proxy holder's NIC No (if not a Director)	:	

Instructions to complete proxy:

1. The full name and the registered address of the shareholder appointing the Proxy should be legibly entered in the Form of Proxy, duly signed and dated.

2. The completed Proxy should be emailed to info@hnb.lk or deposited with the Board Secretary, at the Registered Office of the Bank at No. 479, T B Jayah Mawatha, Colombo 10 ("HNB Towers", Level 19), not less than twenty-four (24) hours before the time appointed for holding the Meeting.

3. The Proxy shall-

(a) in the case of an individual, be signed by the shareholder or by his attorney, and if signed by an attorney, a notarially certified copy of the Power of Attorney duly registered at the office of the Registrar General should be attached to the completed Proxy if it has not already been registered with the Bank;

(b) in the case of a company or corporate body, either be under its Common Seal or signed by its attorney or by an officer on behalf of the company or corporate body in accordance with the Articles of Association or the Constitution of that company or corporate body. The Bank may but shall not be bound to, require evidence of the authority of any such attorney or officer;

(c) in the case of joint-holders, the first joint-holder has the power to sign the proxy without the concurrence of the other joint-holder/s.
4. Every alteration or addition to the Proxy must be duly authenticated by the full signature of the shareholder signing the Proxy. Such signature should as far as possible be placed in proximity to the alteration or addition intended to be authenticated.

FORM OF PROXY (NON-VOTING)

I/We of
..... being *a shareholder/shareholders of the Hatton National Bank PLC, hereby appoint
.....
of

or failing him/her, Kuttikande Vidanelage Nihal Jayawardene or failing him, Pallewatte Gamaralalage Damith Buddhika Pallewatte or failing him, Mututantrige Parakrama Devaka Cooray or failing him, Goluhewage Bindu Rasitha Poojitha Gunawardana or failing him, Talpawila Kankanamge Don Aruna Prasad Samarasinghe or failing him, Meemanage Nanda Rajarathna Fernando or failing him, Sivakrishnarajah Renganathan or failing him, Suresh Kumar Shah or failing him Dilani Champika Alagaratnam Goonatilleke as *my/our proxy, to attend and speak on *my/our behalf and to represent *me/us at the Fifty Seventh (57th) Annual General Meeting of the Bank to be held at the Auditorium on Level 22 of "HNB Towers" at No. 479, T B Jayah Mawatha, Colombo 10, on the Thirty First (31st) day of March, 2026 at 10.00 in the forenoon and at any adjournment thereof.

** Delete inappropriate words*

Signed this day 2026.

Signature/s
.....

Please provide the following details:

Shareholder's NIC No/Company Registration No	:	
Folio No/Number of Shares held	:	
Proxy holder's NIC No (if not a Director)	:	

Note – See reverse hereof for instructions to complete the proxy.

FORM OF PROXY (NON-VOTING)

Instructions to complete proxy

1. The full name and the registered address of the shareholder appointing the Proxy should be legibly entered in the Form of Proxy, duly signed and dated.
2. The completed Proxy should be emailed to info@hnb.lk or deposited with the Board Secretary, at the Registered Office of the Bank at No. 479, T B Jayah Mawatha, Colombo 10 ("HNB Towers", Level 19), not less than twenty-four (24) hours before the time appointed for holding the Meeting.
3. The Proxy shall-
 - (a) in the case of an individual, be signed by the shareholder or by his attorney, and if signed by an attorney, a notarially certified copy of the Power of Attorney duly registered at the office of the Registrar General should be attached to the completed Proxy if it has not already been registered with the Bank;
 - (b) in the case of a company or corporate body, either be under its Common Seal or signed by its attorney or by an officer on behalf of the company or corporate body in accordance with the Articles of Association or the Constitution of that company or corporate body. The Bank may but shall not be bound to, require evidence of the authority of any such attorney or officer;
 - (c) in the case of joint-holders, the first joint-holder has the power to sign the proxy without the concurrence of the other joint-holder/s.
4. Every alteration or addition to the Proxy must be duly authenticated by the full signature of the shareholder signing the Proxy. Such signature should as far as possible be placed in proximity to the alteration or addition intended to be authenticated.

INVESTOR FEEDBACK FORM

To request information or submit a comment/query to the Bank, please complete the following and return this page to -

Chief Growth Officer,
Hatton National Bank PLC,
No 479, T B Jayah Mawatha, Colombo 10
Sri Lanka
Email: investor.relations@hnb.lk

Name				
Permanent Mailing Address				
Contact Numbers	(Tel)			
		Country Code	Area Code	Number
	(Fax)			
		Country Code	Area Code	Number
E-mail				
Name of Company (If Applicable)				
Designation (If Applicable)				
Company Address (If Applicable)				

Queries/Comments

NOTES

[illegible]

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CORPORATE INFORMATION

GENERAL

Name of Company

Hatton National Bank PLC

Legal Form

A public limited company incorporated on 5th March 1970 under the Laws of the Republic of Sri Lanka. The Company was re-registered under the Companies Act No 7 of 2007 on 27th September 2007. It is a Licensed Commercial Bank under the Banking Act No. 30 of 1988 as amended.

Company Registration Number

PQ 82 (Previous PBS 613)

Accounting Year End

31st December 2025

Stock Exchange Listing

The ordinary shares and senior and subordinated debentures of the Bank are listed on the Colombo Stock Exchange in Sri Lanka.

Registered Office

"HNB Towers"
No. 479, T B Jayah Mawatha,
Colombo 10, Sri Lanka.

Head Office

"HNB Towers",
No. 479, T B Jayah Mawatha,
Colombo 10, Sri Lanka.

Cable Address : HATNABANK

Telephone Nos

General Line : +94 11 266 4664

Hotline : +94 11 246 2462

Swift : Bic Code - HBLILKLX

e-mail : hnbconnect@hnb.lk

Web : www.hnb.lk

Facebook : HNBPLC

Instagram : hnbstrilanka

X : @hnbplc

Linkedin : hatton-national-bank-plc

Youtube : hnbplcstrilanka

Tiktok : hnb.strilanka

Credit Ratings

The Bank has been assigned a national long term rating of AA-(lka) by Fitch Ratings Lanka Limited

Subsidiary Companies

HNB Assurance PLC (Insurance Services)

Voting rights – 60%

HNB Finance PLC (Financial Services)

Voting rights – 51%

HNB Investment Bank (Pvt) Ltd (Financial Services)

Voting rights – 100%

Sithma Development (Pvt) Ltd (Property Development)

Voting rights – 100%

Auditors

KPMG Sri Lanka
Chartered Accountants
32A, Sir Mohamed Macan Markar
Mawatha,
Colombo 03,
Sri Lanka.

Investor Information

Institutional Investors, Stockbrokers and Security Analysts requiring financial information should contact the – Chief Growth Officer

"HNB Towers"

Level 16, No. 479,
T B Jayah Mawatha,
Colombo 10,
Sri Lanka.

Telephone : +94 11 266 1206

e-mail : investor.relations@hnb.lk

BOARD OF DIRECTORS AND COMMITTEES

Board of Directors

(as at 31st December 2025)

Mr Nihal Jayawardene (Chairman)
Mr Damith Pallewatte (Managing Director/CEO)
Mr Devaka Cooray - Senior Independent Director
Mr Rimoe Saldin (Deceased on 16.01.2026)
Mr Rasitha Gunawardana
Dr Prasad Samarasinghe
Mr Nanda Fernando
Mr Sivakrishnarajah Renganathan
Mr Suresh Shah
Ms Dilani Alagaratnam

Board Secretary

Ms Shiromi Halloluwa
Attorney-at-Law

Statutory Board Sub- Committees

(as at 31st December 2025)

Audit Committee

Mr Devaka Cooray (Chairman)
Mr Rasitha Gunawardana
Mr Sivakrishnarajah Renganathan
Mr Rimoe Saldin (Deceased on 16.01.2026)
Ms Dilani Alagaratnam

Nominations and Governance Committee

Mr Sivakrishnarajah Renganathan (Chairman)
Mr Devaka Cooray
Mr Nihal Jayawardene
Ms Dilani Alagaratnam
Mr Suresh Shah

HR & Remuneration Committee

Ms Dilani Alagaratnam (Chairperson)
Mr Nihal Jayawardene
Mr Rasitha Gunawardana
Mr Suresh Shah
Mr Sivakrishnarajah Renganathan

Board Integrated Risk Management Committee

Mr Rimoe Saldin (Chairman) Deceased on 16.01.2026
Dr Prasad Samarasinghe
Mr Suresh Shah

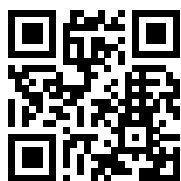
Invitee

Mr Devaka Cooray - Only on need basis

Related Party Transaction Review Committee

(Statutory Committee w.e.f. 1st January 2025)

Mr Suresh Shah (Chairman)
Mr Rasitha Gunawardana
Mr Nanda Fernando
Ms Dilani Alagaratnam
Mr Devaka Cooray



www.hnb.lk



HATTON NATIONAL BANK PLC

"HNB Towers" No 479, T B Jayah Mawatha (Darley Road),
P O Box 837, Colombo 10, Sri Lanka
Telephone Nos : +94 11 266 4664, +94 11 246 2462
e-mail : hnbconnect@hnb.lk